



ADK

ACQUISITION ATTORNEYS DESKBOOK 2026

THE JUDGE ADVOCATE GENERAL'S LEGAL CENTER AND SCHOOL
UNITED STATES ARMY
CHARLOTTESVILLE, VIRGINIA

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PREFACE

As with previous editions of the Contract Law Deskbook, the below faculty in the Contract and Fiscal Law Department takes this body of work and updates it with the passing of new laws, promulgation of new regulations and directives, and/or publication of new implementing guidance. Unique to this year's version, was incorporating changes to the Federal Acquisition Regulation pursuant to President Donald J. Trump's Executive Order, *Restoring Common Sense to Federal Procurement*. Moreover, pursuant to President Trump's Executive Order, *Modernizing Defense Acquisitions and Spurring Innovation in the Defense Industrial Base*, and the Department's subsequent implementation, an additional chapter has been incorporated into this year's deskbook- *Partnerships*.

The information contained herein contains laws and regulations current for the Department of War as of 1 June 2026. We periodically review and refine the content to ensure it continues to meet the professional needs of our intended audience: Judge Advocates and civilian attorneys serving the Federal Government. While our goal is to maintain the highest standards of accuracy, we acknowledge that errors or omissions may inadvertently occur. With those goals in mind, new to this year, the Department is publicizing a live form whereby user input can be provided from the field for consideration in future publications. That worksheet is available [here](#) and is also posted on our Contract & Fiscal Law Community Microsoft Teams page. We welcome constructive feedback and are committed to initiating thoughtful discussions on any issues raised. This collaborative approach underscores our dedication to continuous improvement, ensuring that the Contract Law Deskbook remains a dynamic resource that empowers legal professionals with the most up-to-date and reliable information in this crucial domain.

We hope all government contract and fiscal law practitioners find this resource useful in advising your respective clients.

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Advanced Course, 2021. Career Highlights: Assistant District Counsel, U.S. Army Corps of Engineers Middle East District, 2022-Present; Administrative Law Attorney (TPU), U.S. Army Civil Affairs and Psychological Operations Command (Airborne), Fort Liberty, NC, 2021-2024; Contract and Fiscal Law Attorney, U.S. Army Reserve Command, Ft. Bragg, NC, 2021-2022; Chief, Military Justice (TPU), 316th Sustainment Command (Expeditionary), Coraopolis, PA, 2020-2021; Assistant Counsel, Naval Medical Logistics Command, Ft. Detrick, MD, 2019-2021; Administrative Law Attorney (TPU), 10th Legal Operations Detachment, Gaithersburg, MD, 2017-2020; Assistant District Counsel, Army Corps of Engineers Middle East District, 2016-2019. Member of the Maryland State Bar.

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Volume I: Contract Formation & Foundation

CHAPTER 1

INTRODUCTION TO GOVERNMENT CONTRACT LAW

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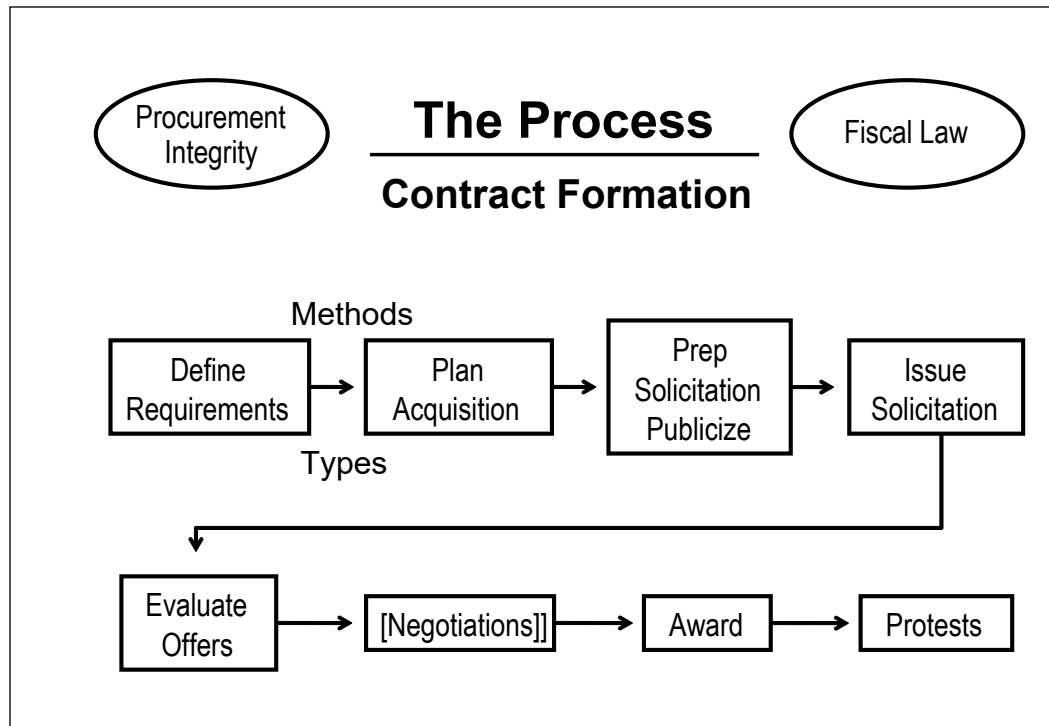
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CHAPTER 1

INTRODUCTION TO GOVERNMENT CONTRACT LAW

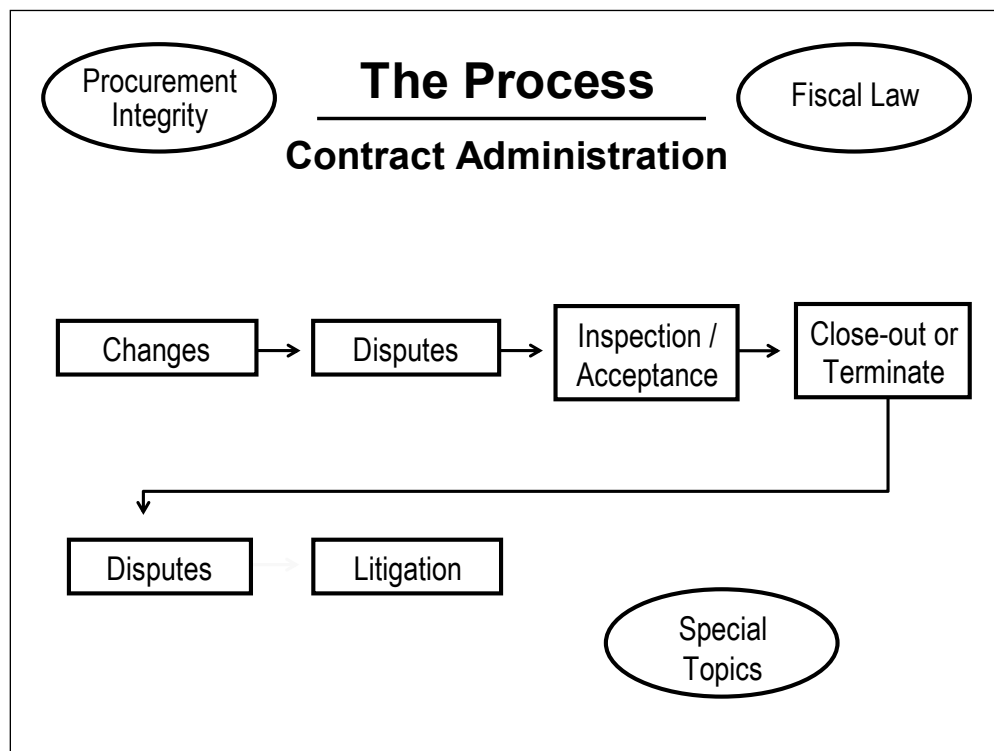
I. DESKBOOK OVERVIEW

- A. The Government Contract Law Deskbook, Volumes I, II, and III.
 - 1. Volumes I and II are the phases of Government Contracting - Contract Formation and Contract Administration. Contract Formation topics will generally be covered during the first week of the Contract Attorneys Course, while Contract Administration topics will generally be covered during the second week of the course. These phases are not necessarily distinct; however, they are separated to aid understanding. Practitioners must realize that these steps often run together or are out of sequence. Early and frequent attorney involvement in any of these steps will often prevent problems from arising in other steps. Representative flow diagrams of these phases appear below.
 - 2. Volume III of the Deskbook consists of Special Topics in the arena of government acquisitions. Specifically, Partnerships, non-FAR based Acquisitions, Information Technology, Intellectual Property, and Other Transactions comprise this volume.
 - 3. Electronic versions of the Deskbook are available on the TJAGLCS Contract and Fiscal Law Department's webpage on JAGCNet.
- B. Volume I - Contract Formation. Contract Formation entails the process and requirements for procuring goods and services on behalf of the Government. The formation phase concerns issues that arise primarily when entering into a contract. It generally begins with the process of defining the Government's requirements. Major topics include:



1. Authority: What individuals have the authority to bind the Government in a contract action?
2. Competition: What are the minimum requirements to solicit competition among contractors to fill the Government's needs, and are there any applicable exceptions?
3. Methods of acquisition (*e.g.*, simplified acquisition, sealed bidding, contracting by negotiation): What contracting method will be used to solicit bids, quotes, or proposals, and how will the responses be evaluated against each other in order to select a winner?
4. Contract types: How will the contract be structured and what are the pricing mechanisms?
5. Socioeconomic policies: Are there public policy concerns or requirements that apply?
6. Protests: Has the Government followed all applicable regulations and its own procurement approach such that an award is both fair and prudent?
7. Procurement fraud: Has the procurement been tainted by unethical or illegal conduct?

- C. Volume II - Contract Administration. Volume II covers contract administration and other special topics. Contract administration concerns contract performance. Once the contract is awarded, numerous oversight and management responsibilities continue to ensure the Government gets what it bargained for and to protect the contractor against unfair treatment. The administration phase concerns issues that arise primarily during the performance of a contract. Major topics include:
1. Contract changes: How do changed requirements affect an existing contract?
 2. Inspection and acceptance: How does the Government ensure it gets the quality and quantity of goods and services for which it contracted?
 3. Terminations for default and for the convenience of the Government: When can the Government terminate a contract?
 4. Contract claims and disputes: How are disagreements between the contractor and the Government resolved?
 5. Procurement integrity and ethics in Government contracting: Are contracts administered fairly, ethically, and legally?
 6. Alternative Dispute Resolution (ADR): Are there alternate forums to resolve contractor/Government disputes?



- D. Volume III- Special Topics. Volume III consists of Special Topics in the arena of government acquisitions. Major topics include:
 - 1. Is a procurement contract the proper vehicle?
 - 2. What Intellectual Property implications are there with meeting my agency need?
- E. Other Resources.
 - 1. John Cibinic, Jr., Ralph C. Nash, Jr., Christopher R. Yukins and Nathaniel E. Castellano, Formation of Government Contracts, 5th edition, 2023.
 - 2. John Cibinic, Jr., Ralph C. Nash, Jr., and James F. Nagle, Administration of Government Contracts, 6th edition, 2025.
 - 3. A listing of some contract law terminology and common abbreviations is found at Appendix A of the Government Contract Law Deskbook, Volume I. For further information, definitions, and explanations, *see* Ralph C. Nash, Jr., Karen R. O'Brien-DeBakey, and Steven L. Schooner, The Government Contracts Reference Book, 5th edition, 2021.

II. COMMERCIAL/GOVERNMENT CONTRACT COMPARISON

- A. Interrelationship of Commercial and Government Contract Law. The government, when acting in its proprietary capacity, is bound by ordinary commercial law unless otherwise provided by statute or regulation:

“If [the government] comes down from its position of sovereignty, and enters the domain of commerce, it submits itself to the same laws that govern individuals there.” Cooke v. United States, 91 U.S. 389, 398 (1875).
- B. Federal Statutes and Regulations Preempt Commercial Law. Government statutes and regulations preempt and predominate over commercial law in nearly every aspect:

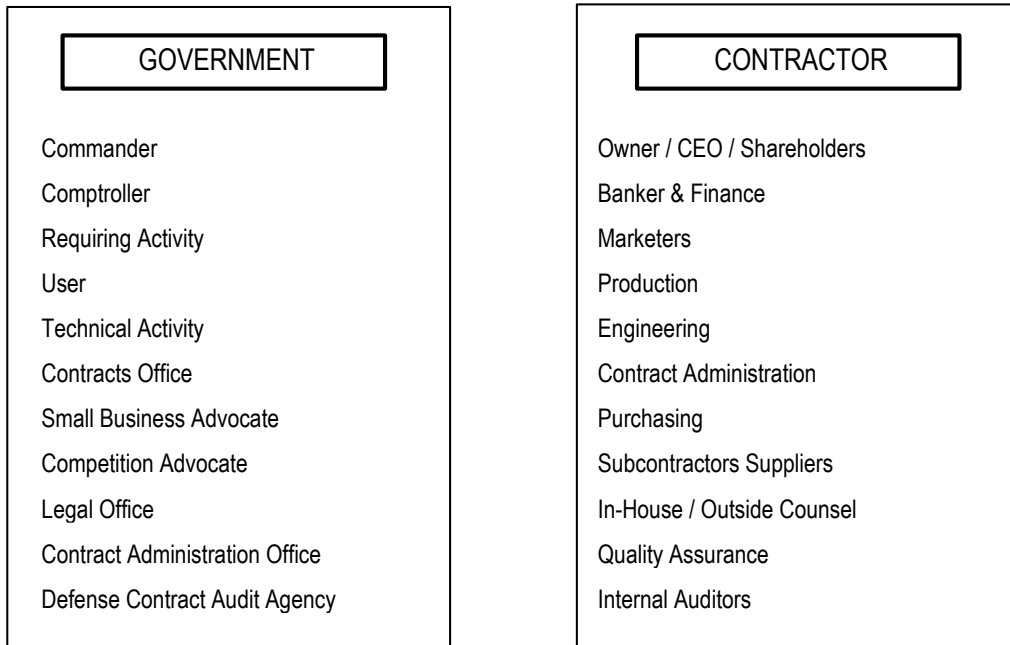
“Our statute books are filled with acts authorizing the making of contracts with the government through its various officers and departments, but, in every instance, the person entering into such a contract must look to the statute under which it is made, and see for himself that his contract comes within the terms of the law.” The Floyd Acceptances, 74 U.S. 666, 680 (1868).

- C. Agency Supplements. Numerous agency and command-level supplements provide additional direction and constraint over the public procurement process. *See* Chapter 2, Contract Format and the Federal Acquisition Regulation (FAR).

III. ROLE OF PUBLIC POLICY IN GOVERNMENT CONTRACT LAW

- A. Objectives of Government Contracting (*See* Steven L. Schooner, *Desiderata: Objectives for a System of Government Contract Law*, 11 PUBLIC PROCUREMENT LAW REVIEW 103 (2002) available at (http://papers.ssrn.com/sol3/papers.cfm?abstract_id=304620). In a short but insightful article, Professor Schooner describes various objectives and principles of a public contracting system. These principles are sometimes difficult to harmonize and may create points of friction for practitioners. A few of the objectives and principles are highlighted below and are recurring themes throughout this deskbook and federal acquisition regulations.
1. Core Principles: Competition, Transparency, Integrity, Fairness.
 2. Socioeconomic Policies: *e.g.*, Labor Standards, RFO FAR Part 22; Foreign Acquisition, RFO FAR Part 25; Small Business Programs, RFO FAR Part 19; Other Socioeconomic Programs, RFO FAR Part 26.
 3. Customer Satisfaction.
- B. The Procurement Environment: The Acquisition Workforce. The Government's ability to efficiently procure quality goods and services at reasonable prices is directly tied to the size and quality of the acquisition workforce. Numerous initiatives have been launched in recent years to establish specific education and training standards for civilian and military contracting professionals (*see, e.g.*, Defense Acquisition Workforce Development Fund (DAWDF) Sec. 852 of the 2008 National Defense Authorization Act, Public Law No. 110-181; Section 825 and 826 of the 2026 National Defense Authorization Act, Public Law 119-60). Contract attorneys are not typically considered part of the acquisition workforce, but they are a recognized member of any acquisition team and bring a unique skill set that can help detect, avoid, and resolve problems. Contract attorneys must work with the other participants in the acquisition process. The graphic below lists many of the players typically involved in the procurement process.

The Players



C. Public Policy and Contract Clauses.

1. Clauses required by statute or regulation will be incorporated into a contract by operation of law. Voices R Us, ASBCA Nos. 51026, 51070, 98-1 BCA ¶ 29,660; G. L. Christian & Assoc. v. United States, 160 Ct. Cl. 1, 312 F.2d 418, cert. denied, 375 U.S. 954 (1963) (regulations published in the Federal Register and issued under statutory authority have the force and effect of law).
2. Clauses included in a contract in violation of statutory or regulatory criteria will be read out of a contract. Empresa de Viacao Terceirense, ASBCA No. 49827, 00-1 BCA ¶ 30,796; Charles Beseler Co., ASBCA No. 22669, 78-2 BCA ¶ 13,483 (where contracting officer acts beyond scope of actual authority, Government not bound by his acts).
3. A clause incorporated erroneously will be replaced with the correct one. S.J. Amoroso Constr. Co. v. United States, 12 F.3d 1072 (Fed. Cir. 1993).
4. Contracts tainted by fraud in the inducement may be void ab initio, cannot be ratified, and contractors may not recover costs incurred during performance. Schuepferling GmbH & Co., KG, ASBCA No. 45564, 98-1 BCA ¶ 29,659; Godley v. United States, 5 F.3d 1473 (Fed. Cir. 1993).

IV. CONTRACT ATTORNEY ROLES

- A. Advisor to the Commander and the Contracting Officer.
 - 1. Advise on formation and administration phase issues.
 - 2. Advise on fiscal law issues.
- B. Litigator.
 - 1. Protect the record (whether formation or administration).
 - 2. Litigate protests.
 - 3. Litigate disputes.
 - 4. Litigate collateral matters before federal bankruptcy, district, and circuit courts.
- C. Fraud Fighter.
 - 1. Advise how to prevent, detect, and correct fraud, waste, and abuse.
 - 2. Provide litigation support for fraud cases.
- D. Business Counselor.
 - 1. Ensure the commander and contracting officer exercise sound business judgment.
 - 2. Provide opinions on the exercise of sound business practices.
 - 3. Counsel is part of the contracting officer's team. RFO FAR 1.102,. Army policy requires counsel to participate fully in the entire acquisition process, from acquisition planning through contract completion or termination and close out. Army Federal Acquisition Regulation Supplement (AFARS) 5101.602-2.

V. CONTINUING EDUCATION FOR CONTRACT LAW PROFESSIONALS

- A. Basic Courses.
 - 1. Contract Attorneys Course (CAC).
 - a. Provides instruction on basic legal concepts pertaining to government contract law.
 - b. The course is offered annually and lasts two weeks.

2. Fiscal Law Course.
 - a. Provides training on the statutory and regulatory limitations governing the obligation and expenditure of appropriated funds, and an insight into current fiscal law issues within Department of War and other federal agencies.
 - b. The course is offered annually and lasts 4.5 days.
3. Enabling Innovation in Contract and Fiscal Law (Virtual).
 - a. This serial course provides operational and tactical legal practitioners with the knowledge, frameworks, and tools necessary in contract and fiscal law to foster, manage, and implement innovation within their respective organization, in alignment with Department of the Army modernization priorities. This course instructs on the foundational concepts of tactical innovation, including operational, fiscal, and legal frameworks; analyze issues surrounding the use and acquisition of software, intellectual property, and data rights at the unit level; introduce concepts for ethical and effective engagement with industry partners to solve tactical problems; explore the establishment and operation of tactical innovation labs, including partnership agreements and digital manufacturing; familiarize students with regulations and policies governing modern technologies.
 - b. This course is offered annually and virtually.
4. Comptroller's Accreditation Course (Online).
 - a. The course consists of Fiscal Law Foundations and Electives. The seven-credit Fiscal Law Foundations block of instruction consists of three lessons covering the fiscal law principles of Purpose, Time, and Amount. Each lesson consists of text and learning exercises designed to familiarize the student with these areas of appropriations law. After successfully completing the Fiscal Law Foundations block of instruction, students will be given access to five two-hour elective lessons. Each credit hour represents approximately one hour of student work. Completion of the Fiscal Law Foundations lessons (seven credit hours) plus one elective lesson (two credit hours) is estimated to take a typical student about nine hours of work.
 - b. This course is offered online.

B. Advanced Courses.

1. Advanced Appropriations and Acquisitions (AAA).
 - a. Provides intermediate level instruction on legal concepts pertaining to appropriations law and government contract law.
 - b. The course is offered every year and lasts 3.5 days.
 - c. Course attendance is limited to intermediate-level appropriations law and acquisitions law attorneys with 2-5 years of recent contract experience.
2. AAA-Governmental Rights in Intellectual Property (GRIP).
 - a. This iteration of the portfolio of Advanced Topics in Acquisitions and Appropriations Law courses, titled Governmental Rights in Intellectual Property (GRIP), provides a strong foundation in intellectual property law and policy, focusing on its relevance to the Department of the War/Defense, and its priority focus on equipping warfighters with innovation solutions. It begins by introducing the basics of Intellectual Property Law generally, and then narrows its focus on issues relevant to operational contracting. It seeks to “operationalize intellectual property” by focusing on topics relevant to judge advocates advising warfighters. Upon completion, practitioners will understand IP rights, IP rights’ application, best practices, and negotiation of IP rights in operational contracts, as well as implement IP licenses for full-spectrum operations.
 - b. The course is offered every year and lasts 3.5 days.
3. Government Contract and Fiscal Law New Developments Course.
 - a. This course covers significant Government procurement law developments in legislation, case law, and policy, and provides advanced instruction on selected topics.
 - b. The course is offered annually and lasts 3.5 days.
 - c. Course attendance is limited to senior-level fiscal and contract law attorneys.

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CHAPTER

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CHAPTER 2

CONTRACT FORMAT AND THE FAR

I. INTRODUCTION TO CONTRACT REVIEW

- A. The key to successful contract review is to integrate yourself into the acquisition from the very beginning (proactive vs. reactive lawyering).
- B. Every acquisition starts with *Acquisition Planning*. See Revolutionary Federal Acquisition Regulation Overhaul (RFO) Federal Acquisition Regulation (FAR) Part 7; RFO Defense Federal Acquisition Regulation Supplement (DFARS) Part 207. Be a part of the **Acquisition Planning Team**. Establish a rapport with your supported contracting office / program office/ resource management office. The FAR, DFARS, Army, Navy, Air Force, Marine, and other agencies' supplemental regulations can be found at www.acquisition.gov/far-overhaul/.
- C. Checklists
 - 1. You will find contract review checklists to be very helpful when you first start reviewing contracts. If your office does not already have checklists contact another office and/or create a checklist.
 - 2. A basic contract review checklist is at Attachment 1.
- D. Legal Reviews
 - 1. Contracting officers should obtain legal advice during all phases of acquisitions. Legal counsel shall review proposed contracting actions in "accordance with locally established procedures and as otherwise required by law, regulation, or policy." Army Federal Acquisition Regulation Supplement (AFARS) 5101.602-2-90. While AFARS 5101.602-2-90 does not include a list of actions requiring legal review, Department of the Air Force Federal Acquisition Regulation Supplement (DAFFARS) 5301.602-2 does include a list of contracting actions where Air Force contracting officers must obtain legal advice. This list can be used for all services as a good reference for the types of matters about which a contracting officer must obtain legal advice, coordination, and review, regardless of dollar amount:
 - (a) When there is doubt or controversy about the interpretation or application of statutes, directives, and regulations;
 - (b) When using or applying unique or unusual contract provisions;

- (c) When actions are likely to be subject to public scrutiny or receive higher-level agency attention;
- (d) When a protest or claim is likely;
- (e) When contemplating the use of alternative dispute resolution;
- (f) Use of liquidated damages provisions in contracts for other than construction;
- (g) Award fee or award term plans;
- (h) Source selection decisions and supporting documentation for actions accomplished pursuant to the requirements of MP5315.3;
- (i) Issues dealing with licensing, technical data rights and patents;
- (j) Mistakes in bid (See RFO FAR 14.304);
- (k) Protests before and after award;
- (l) Ratifications;
- (m) Disputes;
- (n) Contractor claims;
- (o) Termination for default/cause;
- (p) Terminations for convenience, except cancellations or terminations of purchase orders;
- (q) Debarment or suspension actions;
- (r) Individual or class deviations; and,
- (s) Any other legal issue at the discretion of the Contracting Officer or supporting legal office.
- (t) All Justification and Approval (J&A) requests for actions expected to exceed \$750,000 (now \$900,000 specified by RFO FAR 6.304, though increase in threshold not reflected in DAFFARS).

2. In addition to the general conditions identified in DAFFARS 5301.602-2(c)(i)(A), above, contracting officers must obtain legal review on Operational contract actions based on the dollar figure.

II. CONTRACT FORMAT

- A. Uniform Contract Format. Standard Form 33 (SF 33, General Services Administration (GSA)) “Solicitation, Offer and Award,” can be found at <http://www.gsa.gov/portal/forms/type/SF>.
1. Divided into Four Parts.
 - a. Part I – The Schedule: Sections A-H.
 - b. Part II – Contract Clauses: Section I.
 - c. Part III – List of Documents, Exhibits and other Attachments: Section J.
 - d. Part IV – Representations and Instructions: Sections K-M.
 2. Section A: Solicitation/Contract Form (SF 33).
Contains administrative information pertinent to the solicitation (i.e., solicitation number, proposal due date, government points of contact, table of contents, etc.).
 3. Section B: Supplies or Services and Prices/Costs.
Contains a brief description of the supplies and services and quantities required, the unit prices, and total prices. This description of supplies, services, quantities, and associated pricing is referred to and identified with a specific contract line item number (CLIN or CLINs).
 4. Section C: Description/Specifications/Statement of Work.
Contains a more elaborate description of the items contained in Section B and describes what the government’s substantive requirements are and what the contractor is to accomplish/deliver.
 5. Section D: Packaging and Marking (Only for Supplies).
Contains specific information on requirements for packaging and marking of items to be delivered.
 6. Section E: Inspection and Acceptance (IAW).
Contains information on how the government will inspect and conditions for acceptance of items and services to be delivered under the contract.
 7. Section F: Deliveries or Performance.
Specifies the requirement for time, place, and method of delivery or performance for items and services to be delivered under the contract.
 8. Section G: Contract Administration Data.
Contains accounting and appropriation data and required contract administration information and instructions.

9. Section H: Special Contract Requirements.
Contains contractual requirements that are not included in other parts of the contract, including special clauses that only pertain to that particular acquisition.
10. Section I: Contract Clauses.
Contains all clauses required by law or regulation. They are commonly referred to as “boilerplate” clauses because they are normally inserted into most contracts.
11. Section J: List of Attachments.
Contains or lists documents, attachments, or exhibits that are a material part of the contract. Some examples of these documents are the specifications, the contract data requirements list (CDRL), and/or checklists of mandatory minimum requirements.
12. Section K: Representations, Certifications, and Other Statements of Offerors.
Contains representations, certifications, and other information required from each contractor. Some examples are: Procurement Integrity Certification, Small Business Certification, Place of Performance, and Ownership.
13. Section L: Instructions, Conditions and Notices to Offerors.
Tells the offerors what is to be provided in their proposal and how it should be formatted. It guides offerors in preparing their proposals, outlines what the government plans to buy, and emphasizes any government special interest items or constraints.
14. Section M: Evaluation Factors for Award.
Forms the basis for evaluating each offeror’s proposal. It informs offerors of the relative order of importance of assigned criteria so that an integrated assessment can be made of each offeror’s proposal.

III. FEDERAL ACQUISITION REGULATION (FAR) SYSTEM

- A. Federal Acquisition Regulation (FAR) and the Revolutionary FAR Overhaul.¹

¹ “Under the President’s Executive Order, Restoring Common Sense to Federal Procurement, the Federal government is undertaking the first-ever comprehensive overhaul of the FAR. Led by the Office of Federal Procurement Policy (OFPP) and the Federal Acquisition Regulatory Council (FAR Council), this initiative will return the FAR to its statutory roots, rewritten in plain language, and remove most non-statutory rules. In addition, non-regulatory buying guides will provide common sense thought, but will remain outside the FAR.” Revolutionary FAR Overhaul, <https://www.acquisition.gov/content/revolutionary-far-overhaul>; see also The Acquisition.gov Revolutionary FAR Overhaul Page at <https://www.acquisition.gov/far-overhaul>.

1. The FAR became effective on 1 April 1984. The FAR replaced the Defense Acquisition Regulation (DAR), the Federal Procurement Regulation (FPR), and the NASA Procurement Regulation (NASAPR).
2. The General Services Administration (GSA) is tasked with the responsibility for publishing the FAR and any updates to it. FAR 1.201-2.
3. Under the EO “Restoring Common Sense to Federal Procurement,” the Federal government overhauled the FAR, resulting in the publication of the Revolutionary FAR Overhaul (RFO), which became effective for the DoW between 1 February 2026 and 20 April 2026, depending on the publication of the DoW agency deviation.
4. Locating the FAR and RFO FAR.
 - a. The Government Printing Office (GPO) previously printed periodic updates to the FAR in the form of Federal Acquisition Circulars (FAC). Effective 31 December 2000, the GPO no longer produces printed copies of the FAR. *See* 65 Fed. Reg. 56,452 (18 September 2000).
 - b. Currently only electronic versions of the FAR are available. The FAR is found at Chapter 1 of Title 48 of the Code of Federal Regulations (C.F.R.). Proposed and final changes to the FAR are published electronically in the Federal Register.
 - c. The official electronic version of the FAR (maintained by GSA) is available at <http://www.acquisition.gov/far/>.
 - d. The official electronic version of the FAR RFO and agency deviations are available at <http://www.acquisition.gov/far-overhaul/>.

B. Departmental and Agency Supplemental Regulations. RFO FAR Subpart 1.3.

1. Agencies are permitted to issue regulations that implement or supplement the FAR.
2. Most agencies have some form of supplemental regulation. The FAR requires these supplements to be published in Title 48 of the C.F.R. The current agency supplements are published as agency deviations on the FAR Overhaul website.
3. The Department of the Army no longer maintains its agency supplement on <http://www.acquisition.gov>. Practitioners should access the current Department of the Army agency supplement through the following link: <https://armyeitaas.sharepoint-mil.us/sites/ASA-ALT-PAM-PP/SitePages/AFARS.aspx>

C. Layout of the RFO FAR.

1. The RFO FAR is divided into 8 subchapters and 53 parts. Parts are further divided into subparts, sections, and subsections. This organizational system applies to the RFO FAR and all agency supplements.

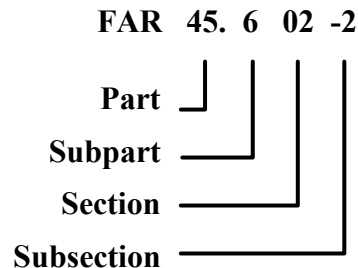
Subchapter A: General	
Part 1:	Federal Acquisition Regulation System
Part 2:	Definitions of Words and Terms
Part 3:	Improper Business Practices and Personal Conflicts of Interest
Part 4:	Administrative and Information Matters
Subchapter B: Acquisition Planning	
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Part 9:	Contractor Qualifications
Part 10:	Market Research
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Part 12:	Acquisition of Commercial Products and Commercial Services
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Part 15:	Contracting by Negotiation
Part 16:	Types of Contracts
Part 17:	Special Contracting Methods
Part 18:	Emergency Acquisitions
Subchapter D: Socioeconomic Programs	
Part 19:	Small Business Programs
Part 20:	[Reserved]
Part 21:	[Reserved]
Part 22:	Application of Labor Laws to Government Acquisitions
Part 23:	Sustainable Acquisition, Material Safety, and Pollution Prevention
Part 24:	Protection of Privacy and Freedom of Information
Part 25:	Foreign Acquisition

Part 26:	Other Socioeconomic Programs
	Subchapter E: General Contracting Requirements
Part 27:	Patents, Data, and Copyrights
Part 28:	Bonds and Insurance
Part 29:	Taxes
Part 30:	Cost Accounting Standards Administration
Part 31:	Contract Cost Principles and Procedures
Part 32:	Contract Financing
Part 33:	Protests, Disputes, and Appeals
	Subchapter F: Special Categories of Contracting
Part 34:	Major System Acquisition
Part 35:	Research and Development Contracting
Part 36:	Construction and Architect-Engineer Contracts
Part 37:	Service Contracting
Part 38:	[Reserved]
Part 39:	Acquisition of Information and Communication Technology
Part 40:	Information Security and Supply Chain Security
Part 41:	Acquisition of Utility Services
	Subchapter G: Contract Management
Part 42:	Contract Administration and Audit Services
Part 43:	Contract Modifications
Part 44:	Subcontracting Policies and Procedures
Part 45:	Government Property
Part 46:	Quality Assurance
Part 47:	Transportation
Part 48:	Value Engineering
Part 49:	Termination of Contracts
Part 50:	Extraordinary Contractual Actions and the SAFETY Act
Part 51:	[Reserved]
	Subchapter H: Clauses and Forms
Part 52:	Solicitation Provisions and Contract Clauses
Part 53:	Forms

2. Arrangement. The digits to the left of the decimal point represent the Part number. The digits to the right of the decimal point AND to the left of the dash represent the Subpart and Section. The digits to the right of the dash

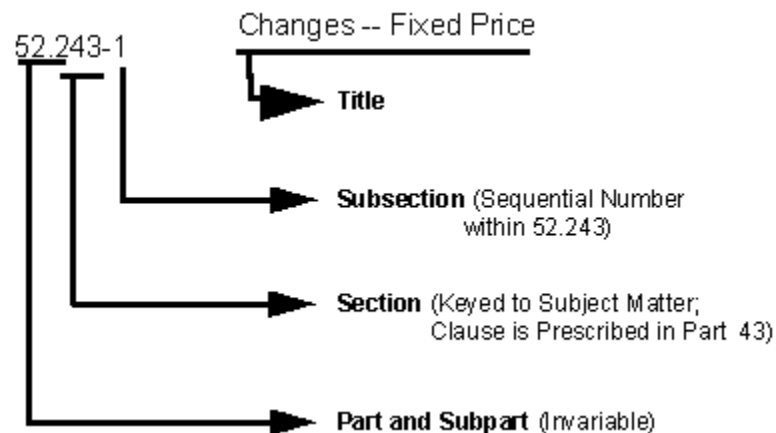
represent the Subsection..

Example: RFO FAR 45.602-2. We are dealing with FAR Part 45. The Subpart is 45.6. The Section is 45.602 and the subsection is 45.602-2.



3. Correlation Between FAR Parts and Clauses/Provisions. All RFO FAR clauses and provisions are found in Subpart 52.2. As a result, they each begin with “52.2.” The next two digits in each clause or provision corresponds to the FAR Part in which that particular clause or provision is discussed and prescribed. The clause or provision is then completed by a hyphen and a sequential number assigned within each section of Subpart 52.2. See RFO FAR 52.101(b).

Example: RFO FAR 52.243-1. This is a clause (as shown by the “52.2”) that deals with Government Property (as shown by the “45,” indicating that it is prescribed in RFO FAR Part 45). The “-2” is simply the sequential number of the clause within Section 52.243, and does not correlate to any other portion of the FAR.



4. How to Determine if a Clause or Provision Should Be Included in the Contract. Each clause or provision listed in the RFO FAR cross-references a FAR Section that prescribes when it should or may be included into a contract. The “FAR Smart Matrix” summarizes these prescriptions. It is

found at: <https://www.acquisition.gov/far-smart-matrix>. As of 13 May 2026, the RFO Smart Matrix is pending. RFO FAR 52.3.

ATTACHMENT 1: SAMPLE CONTRACT REVIEW CHECKLIST

SOLICITATION/CONTRACT AWARD CHECKLIST

NOTE: The following checklist is a “broad brush” tool designed to GENERALLY assist you in conducting solicitation and contract award reviews. DO NOT use this checklist as a substitute for examining the relevant statutes and regulations.

Section I--Solicitation Documentation

1. Purchase Request.

- _____ a. Is it in the file?
- _____ b. Is the desired delivery or start date consistent with the date stated in the IFB/RFP/RFQ?
- _____ c. Does the description of the desired supplies or services correspond to that of the IFB/RFP/RFQ?
- _____ d. Does the purchase request contain a proper fund citation?
- _____ e. Are funds properly certified as available for obligation?
- _____ f. Are the funds cited proper as to purpose? 31 U.S.C. § 1301.
- _____ g. Are the funds cited current and within their period of availability? 31 U.S.C. § 1552.
- _____ h. Are the funds cited of sufficient amount to avoid Antideficiency Act issues?
31 U.S.C. §§ 1341, 1511-1517.
- _____ i. Is the procurement a severable services contract to which the provisions of 10 U.S.C. § 2410a apply?
- _____ j. If appropriate, does the solicitation contain either the Availability of Funds clause at RFO FAR 52.232-18 or the Availability of Funds for the Next Fiscal Year at RFO FAR 52.232-19 (one-year indefinite quantity contracts)?

2. Method of Acquisition.

- _____ a. What is the proposed method of acquisition?
- _____ b. Is the “sealed bidding” method required? RFO FAR 6.101(b)(1).
- _____ c. Has the activity excluded sources? If so, have applicable competition requirements been met? RFO FAR 6.102.
- _____ d. Has the activity proposed meeting its requirements without obtaining full and open competition? RFO FAR 6.103.
- _____ e. Does a statutory exception permit other than full and open competition? RFO FAR 6.103.
- _____ f. If other than full and open competition is proposed, has the contracting officer prepared the required justification and include all required information? RFO FAR 6.104. Does it make sense?
- _____ g. Have the appropriate officials reviewed and approved the justification? RFO FAR 6.104-2.
- _____ h. Is this a contract for supplies, services, or construction amounting to \$350,000 or less (\$1,000,000 in a domestic contingency and \$2,000,000 in an overseas contingency; \$650,000 for contracts in support of overseas humanitarian and peacekeeping operations), triggering the simplified acquisition procedures? RFO FAR 2.101.
- _____ i. May the activity meet its needs via the required source priorities listed in RFO FAR Part 8?

3. Publicizing the Solicitation.

- _____ a. Has the contracting officer published the solicitation as required by RFO FAR 5.2?
- _____ b. Has the activity allowed adequate time for publication? RFO FAR 5.201(d).
- _____ c. If acquiring commercial products or commercial services, does the combined synopsis/solicitation procedure apply? RFO FAR 12.202.

4. Solicitation Instructions.

- _____ a. Does the solicitation state the date, time, and place for submitting offers? Is the notation on the cover sheet consistent with the SF 33?

- _____ b. Is the time for submitting bids adequate? RFO FAR 14.210.
- _____ c. Are the required clauses listed in RFO FAR 14.208 (for IFBs) or RFO FAR 15.110 (for RFPs) and the matrix at FAR 52 included in the solicitation (RFO FAR Matrix still pending as of 14 May 2026)?
- _____ d. If a construction contract, have the special requirements and procedures of RFO FAR Part 36 been followed?

5. Evaluation Factors.

- _____ a. Does the solicitation state the evaluation factors that will be used to determine award? RFO FAR 14.306 (for IFBs); RFO FAR 15.104 (for RFPs).
- _____ b. Are the evaluation factors clear, reasonable, and not unduly restrictive?
- _____ c. In competitive and noncompetitive acquisitions, are all evaluation factors identified, including cost or price and any significant sub-factors that will be considered? Is the relative importance of each disclosed? RFO FAR 15.104.
- _____ d. If past performance is required as an evaluation factor, has it been included? RFO FAR 15.104(b)(3)

6. Pricing.

- _____ a. Is the method of pricing clear?
- _____ b. Are appropriate audit clauses included in the solicitation? RFO FAR 14.208; RFO FAR 15.110.
- _____ c. Does the Truth in Negotiations Act apply to this solicitation or request? RFO FAR 14.403-2(c)(3).
- _____ d. If the Truth in Negotiations Act applies, does the solicitation contain the required clauses? RFO FAR 15.110.

7. Contract Type.

- _____ a. Is the proposed type of contract appropriate? RFO FAR 6.101(b); RFO FAR 16.102.
- _____ b. If the proposed contract is for personal services, has the determination concerning personal services been executed? RFO FAR 7.5. Does a statutory exception permit the use of a personal services contract? RFO FAR 37.2; 5 U.S.C. § 3109 and 10 U.S.C. § 129b.

_____ c. If the proposed contract is a requirements contract, is the estimated total quantity stated? Is the estimate reasonable? If feasible, does the solicitation also state the maximum quantity? RFO FAR 16.503. Is appropriate ordering and delivery information set out? RFO FAR 16.503-4. Are required clauses included in the solicitation? RFO FAR 16.505.

_____ d. If the proposed contract is an indefinite quantity type contract, are the minimum and maximum quantities stated and reasonable? RFO FAR 16.504. Is appropriate ordering and delivery information set out? RFO FAR 16.504-5. Are required clauses included in the solicitation? RFO FAR 16.505.

_____ e. Does the preference for multiple awards apply? RFO FAR 16.504-3.

8. Purchase Description or Specifications.

_____ a. Are the purchase descriptions or specifications adequate and unambiguous?
RFO FAR 11.102.

_____ b. If a brand name or equal specification is used, is it properly used? RFO FAR 11.204.

_____ c. Are the provisions required by RFO FAR 11.302 included in the solicitation?

9. Descriptive Data and Samples.

_____ a. Will bidders be required to submit descriptive data or bid samples with their bids?

_____ b. If so, have the requirements of RFO FAR 14.205 and RFO FAR 14.206 been met?

10. Packing, Inspection, and Delivery.

_____ a. Is there an F.O.B. point? RFO FAR 46.505.

_____ b. Are appropriate quality control requirements identified? RFO FAR 46.202.

_____ c. Is there a point of quality assurance / inspection at the source? RFO FAR 46.402.

_____ d. Is there a point of quality assurance / inspection at the destination? RFO FAR 46.403.

_____ e. Have the place of acceptance and the activity or individual to make acceptance been specified? RFO FAR 46.502; RFO FAR 46.503.

_____ f. Is the delivery schedule reasonable? RFO FAR 11.401.

11. Bonds and Liquidated Damages.

_____ a. Are bonds required? RFO FAR Part 28.

_____ b. If so, are the requirements clearly stated in the specification?

_____ c. Is there a liquidated damages clause? Does it conform to the requirements of RFO FAR 11.402. Is the amount reasonable? Are required clauses incorporated? RFO FAR 11.403.

12. Government-Furnished Property.

_____ a. Will the government furnish any type of property, real or personal, in the performance of the contract?

_____ b. If so, is the property clearly identified in the schedule or specifications? Is the date of delivery clearly specified?

_____ c. Has the contractor's property accountability system been reviewed and found adequate? RFO FAR 45.105.

_____ d. Are the contractor's and the government's responsibilities and liabilities stated clearly? RFO FAR 52.245-2.

_____ e. Have applicable requirements of RFO FAR Part 45 been met? Are required clauses present?

13. Small Business Issues.

_____ a. Is the procurement one that has been set-aside for small businesses? RFO FAR 19.5. If so, is the procurement a total set-aside pursuant to RFO FAR 19.104-1 or a partial set-aside pursuant to RFO FAR 19.104-2?

_____ b. Is the procurement appropriate for a "small disadvantaged business" participating as part of the Small Business Administration's "8(a) Program"? RFO FAR Subpart 19.108. If so, does the entity meet the eligibility criteria for 8(a) participation?

- _____ c. If the solicitation contains bundled requirements, has the activity satisfied the requirements of RFO FAR 7.107, RFO FAR 10.001, and RFO FAR 19.102, RFO 19.112?
- _____ d. Does the solicitation contain the small business certification? RFO FAR 19.103.
- _____ e. Does the solicitation contain the proper Standard Industrial Classification code or North American Industry Classification System code? RFO FAR 19.108-3.

14. Environmental Issues.

- _____ a. Has the government considered energy efficiency and conservation in drafting its specifications and statement of work? RFO FAR 23.202.
- _____ b. Has the government considered procuring environmentally preferable and energy-efficient products and services? FAR 23.700.
- _____ c. Do the contract specifications require the use of an ozone-depleting substance? RFO FAR 23.108; DFARS 207.105.

15. Labor Standards.

- _____ a. Does the Construction Wage Rate Requirements Statute or the Service Contract Labor Standards apply to this acquisition? RFO FAR Subparts 22.4 and 22.10.
- _____ b. If so, have the proper clauses and wage rate determinations been incorporated into the solicitation?

16. Clarity and Completeness.

- _____ a. Have you read the entire solicitation?
- _____ b. Do you understand it?
- _____ c. Are there any ambiguities?
- _____ d. Is it complete?
- _____ e. Are the provisions, requirements, clauses, etc. consistent?
- _____ f. Are there any unusual provisions or clauses in the solicitation? Do you understand them? Do they apply?

Section II--Contract Award Checklist

1. Sealed Bid Contracts.

- _____ a. Review the previous legal review of the solicitation. Has the contracting activity made all required or recommended corrections?
- _____ b. Did the contracting officer amend the solicitation? If so, did the contracting officer distribute amendments properly? RFO FAR 14.209.
- _____ c. Has a bid abstract been prepared? RFO FAR 14.303. Is it complete? Does it disclose any problems?
- _____ d. Is the lowest bid responsive? RFO FAR 14.306. Are there any apparent irregularities?
- _____ e. Is there reason to believe that the low bidder made a mistake? RFO FAR 14.304. Has the contracting officer verified the bid?
- _____ f. Has the contracting officer properly determined the low bidder? RFO FAR 14.306-1.
- _____ g. Is the price fair and reasonable? RFO FAR 14.306-2.
- _____ h. Has the contracting officer properly determined the low bidder to be responsible? RFO FAR 14.306-2; RFO FAR 9.1.
- _____ i. If the low bidder is a small business that the contracting officer has found non-responsive, has the contracting officer referred the matter to the SBA? RFO FAR 19.201-2. If so, has the SBA issued or denied a Certificate of Competency to the offeror? RFO FAR 19.204.
- _____ j. Did the contracting officer address any late or improperly submitted bids? RFO FAR 14.301. Did the contracting officer address any unreadable electronic bids? RFO FAR 14.302.
- _____ k. Are sufficient and proper funds cited?
- _____ l. Has the activity incorporated all required clauses and any applicable special clauses?
- _____ m. Is the proposed contract clear and unambiguous? Does it accurately reflect the requiring activity's needs?

_____ n. If a construction contract, have RFO FAR Part 36 requirements been satisfied?

_____ o. If the acquisition required a synopsis in <https://sam.gov/>, is there evidence of that synopsis in the file? Was the synopsis proper?

2. Negotiated Contracts.

_____ a. Review the previous legal review of the RFP. Have all required or recommended corrections been made?

_____ b. Were any amendments made to the RFP? If so, were they prepared and distributed properly? RFO FAR 15.106.

_____ c. Was any early exchanges with industry / conferences conducted properly? See RFO FAR Part 3 and Part 15.101(a).

_____ d. Did the contracting officer address any late or improperly submitted proposals? RFO FAR 15.107. Did the contracting officer address any unreadable electronically submitted proposals? RFO FAR 15.108.

_____ e. Has an abstract of proposals been prepared? Is it complete? Does it reveal any problems?

_____ f. Is a pre-negotiation Business Clearance Memorandum (BCM) required? Is it complete? Does it reveal any problems?

_____ g. Were negotiations conducted? RFO FAR 15.204. If not, did the solicitation contain a clause notifying offerors that the government intended to award without negotiation? RFO FAR 15.203. If so, were negotiations held with all offerors in the properly determined competitive range? RFO FAR 15.204-2.

_____ h. **Were proposals evaluated in accordance with the factors set forth in the request for proposals? RFO FAR 15.202.**

_____ i. Did the contracting officer properly address any changes to the government's requirements? RFO FAR 15.106.

_____ j. Were applicable source selection procedures followed and documented? RFO FAR 15.103; RFO FAR 15.201.

_____ k. If the Truth in Negotiations Act applies, has the contractor submitted a proper certification? Is it complete and signed? RFO FAR 15.403-2.

_____ l. Is a post-negotiation Business Clearance Memorandum (BCM) required? Is it complete? Does it reveal any problems?

- _____ m. Are all negotiated prices set forth in the contract?
- _____ n. Has the contracting officer incorporated required and special clauses in the proposed contract?
- _____ o. Is the proposed price fair and reasonable?
- _____ p. **Are sufficient and proper funds cited?**
- _____ q. Is the proposed contract clear and unambiguous? Does it make sense? Does it reflect the requiring activity's needs?
- _____ r. If a construction contract, has the contracting officer satisfied the requirements of RFO FAR Part 36 (and supplements)?

ATTACHMENT 2: SAMPLE SOLICITATION

SOLICITATION, OFFER AND AWARD			1. THIS CONTRACT IS A RATED ORDER UNDER DPAS (15 CFR 700)		RATING	PAGE 1 OF 57 PAGES
2. CONTRACT NUMBER		3. SOLICITATION NUMBER HQ00034-07-R-1058		4. TYPE OF SOLICITATION ☐ SEALED BID (IFB) ☒ NEGOTIATED (RFP)	5. DATE ISSUED 12/21/2007	6. REQUISITION/PURCHASE NUMBER KRS1017071323
7. ISSUED BY WHSACQUISITION & PROCUREMENT OFFICE 1777 NORTH KENT ST, SUITE 12063, ARLINGTON, VA 22209				8. ADDRESS OFFER TO (If other than item 7) See Item 7		
NOTE: In sealed bid solicitations "offer" and "offeror" mean "bid" and "bidder".						
SOLICITATION						
9. Sealed offers in original and _____ copies for furnishings the supplies or services in the Schedule will be received at the place specified in item 8, or if hand carried, in the depository located in <u>See Solicitation Section L</u> until <u>2:30 PM</u> local time <u>2/6/2008</u>						
CAUTION - LATE Submissions, Modifications, and Withdrawals: See Section L, Provision No. 52.214-7 or 52.215-1. All offers are subject to all terms and conditions contained in this solicitation.						
10. FOR INFORMATION CALL:		A. NAME KORTNEE STEWART		B. TELEPHONE (NO COLLECT CALLS) AREA CODE 703 NUMBER 6963858 EXTENSION		C. E-MAIL ADDRESS kortnee.stewart.ctr@whs.mil
11. TABLE OF CONTENTS						
(X)	SEC.	DESCRIPTION	PAGE(S)	(X)	SEC.	DESCRIPTION
PART I - THE SCHEDULE				PART II - CONTRACT CLAUSES		
X	A	SOLICITATION/CONTRACT FORM	1	X	I	CONTRACT CLAUSES
X	B	SUPPLIES OR SERVICES AND PRICES/COSTS	2-3	PART III - LIST OF DOCUMENTS, EXHIBITS AND OTHER ATTACH.		
X	C	DESCRIPTION/SPECS./WORK STATEMENT	4-21	X	J	LIST OF ATTACHMENTS
X	D	PACKAGING AND MARKING		PART IV - REPRESENTATIONS AND INSTRUCTIONS		
X	E	INSPECTION AND ACCEPTANCE	22-23	X	K	REPRESENTATIONS, CERTIFICATIONS AND OTHER STATEMENTS OF OFFERORS
X	F	DELIVERIES OR PERFORMANCE	24	X	L	INSTRUCTIONS, CONDITIONS, AND NOTICES TO OFFERORS
X	G	CONTRACT ADMINISTRATION DATA	25-27	X	M	EVALUATION FACTORS FOR AWARD
X	H	SPECIAL CONTRACT REQUIREMENTS	28-31			
OFFER (Must be fully completed by offeror)						
NOTE: Item 12 does not apply if the solicitation includes the provisions at 52.214-16, Minimum Bid Acceptance Period.						
12. In compliance with the above, the undersigned agrees, if this offer is accepted within _____ calendar days (60 calendar days unless a different period is inserted by the offeror) from the date for receipt of offers specified above, to furnish any or all items upon which prices are offered at the set opposite each item, delivered at the designated point(s), within the time specified in the schedule.						
13. DISCOUNT FOR PROMPT PAYMENT (See Section I, Clause No. 52.232-8)			10 CALENDAR DAYS (%)	20 CALENDAR DAYS (%)	30 CALENDAR DAYS (%)	CALENDAR DAYS(%)
14. ACKNOWLEDGMENT OF AMENDMENTS (The offeror acknowledges receipt of amendments to the SOLICITATION for offerors and related documents numbered and dated):			AMENDMENT NO.	DATE	AMENDMENT NO.	DATE
15A. NAME AND ADDRESS OF OFFEROR		CODE	FACILITY	16. NAME AND THE TITLE OF PERSON AUTHORIZED TO SIGN OFFER (Type or print)		
15B. TELEPHONE NUMBER AREA CODE NUMBER EXTENSION		☐ 15C. CHECK IF REMITTANCE ADDRESS IS DIFFERENT FROM ABOVE - ENTER SUCH ADDRESS IN SCHEDULE.		17. SIGNATURE		18. OFFER DATE
AWARD (To be completed by Government)						
19. ACCEPTED AS TO ITEMS NUMBERED			20. AMOUNT		21. ACCOUNTING AND APPROPRIATION	
22. AUTHORITY FOR USING OTHER THAN FULL OPEN COMPETITION: ☐ 10 U.S.C. 2304 (c) ☐ 41 U.S.C. 3304(a) ()			23. SUBMIT INVOICES TO ADDRESS SHOWN IN (4 copies unless otherwise specified)			ITEM
24. ADMINISTERED BY (If other than Item 7)			25. PAYMENT WILL BE MADE BY CODE			
26. NAME OF CONTRACTING OFFICER (Type or print)			27. UNITED STATES OF AMERICA (Signature of Contracting Officer)			28. AWARD DATE
IMPORTANT - Award will be made on this Form, or on Standard Form 26, or by other authorized official written notice.						
AUTHORIZED FOR LOCAL REPRODUCTION Previous edition is unusable				STANDARD FORM 33 (REV. 6/2014) Prescribed by GSA - FAR (48 CFR) 53.214 (c)		

Section B - Supplies or Services and Prices

ITEM NO	SUPPLIES/SERVI CES	QUANTITY	UNIT	UNIT PRICE	AMOUNT
0001		12	Months		
	Pentagon Custodial - Base Year				
	FFP				
	Period of Performance: Base Year 1 Sept 2014 – 30 Aug 2015.				
	PURCHASE REQUEST NUMBER: KRS1017071323				

NET AMT

ITEM NO	SUPPLIES/SERVI CES	QUANTITY	UNIT	UNIT PRICE	AMOUNT
0002		12	Months		
	Pentagon Custodial - Option Year One				
	FFP				
	Period of Performance: Option Year One 1 Sep 2015 – 30 Aug 2016.				
	PURCHASE REQUEST NUMBER: KRS1017071323				

NET AMT

ITEM NO	SUPPLIES/SERVI CES	QUANTITY	UNIT	UNIT PRICE	AMOUNT
0003		12	Months		
	Pentagon Custodial - Option Year Two				
	FFP				
	Period of Performance: Option Year Two 1 Sep 2016 – 30 Aug 2017.				
	PURCHASE REQUEST NUMBER: KRS1017071323				

NET AMT

ITEM NO	SUPPLIES/SERVI CES	QUANTITY	UNIT	UNIT PRICE	AMOUNT
0004		12	Months		
	Pentagon Custodial - Option Year Three				
	FFP				
	Period of Performance: Option Year Three 1 Sep 2017 – 30 Aug 2018				
	PURCHASE REQUEST NUMBER: KRS1017071323				

NET AMT

ITEM NO	SUPPLIES/SERVI CES	QUANTITY	UNIT	UNIT PRICE	AMOUNT
0005		12	Months		
	Pentagon Custodial - Option Year Four				
	FFP				
	Period of Performance: Option Year Four 1 Sep 2018 – 30 Aug 2019.				
	PURCHASE REQUEST NUMBER: KRS1017071323				

NET AMT

Section C - Descriptions and Specifications

PERFORMANCE WORK STATEMENT

Section C: Performance Work Statement

December 5, 2007

Part 1: General Information

1.1 Introduction

The purpose of this contract is to fulfill a need of the Pentagon for custodial services. The Pentagon is the headquarters of the United States Department of Defense (DoD) and the world's largest low-rise office building. It is at once a building, an institution, and a national symbol.

1.2 Background

This contract follows the fifth year of a five-year contract. This contract is offered as a one-year contract with a possible additional four option years depending on the Contractor's performance and/or other factors. This is a firm-fixed-price contract with line items for additional work such as additional carpet cleaning. Existing problems include the large number of people that work in the Pentagon, the sheer size of the Pentagon, and the high level of Pentagon security.

Historically, the following performance issues characterize contracts of this type:

- Excessive noise generated by trash removal
- Lack of contractor coordination when servicing secure areas
- Inadequate supervision
- Mishandling of recyclable materials
- Response to government requests for unscheduled cleaning
- Inadequate contractor quality control

In providing the required end results for this contract, the Government will use CPARS to assess performance and reward the contractor for meeting contract requirements and avoiding the historic non-performance issues noted above. In order to earn the highest ratings, the contractor must have "substantially exceeded the contract performance requirements without commensurate additional costs to the Government." This principle should guide the contractor's efforts to achieve the standards of this contract.

1.3 Objectives

The objective of this contract is to provide the Pentagon with high quality, timely, proactive and responsive custodial services.

1.4 Scope

The Pentagon presently houses approximately 26,000 military and civilian employees and about 3,000 non-defense support personnel dedicated to protecting our national interests. The Pentagon sits on 34 acres of land including the five-acre center court, making a footprint large

enough to accommodate five Capitol buildings. In spite of the Pentagon's tremendous size, it takes only seven minutes to walk between any two points of the building because of its unique design.

There are approximately 6,600,000 gross square feet of space, 280 restrooms, 7,750 windows, 130 stairways, 40 escalators, elevators, 17.5 miles of corridors, and 700 water fountains. These figures are approximate and are subject to change as the renovation is completed.

The Pentagon custodial requirements will be met by two contracts; this contract and a NISH contract, with which coordination will often be required. This contract will be responsible for providing service for the 2nd floor of the Pentagon, the Metro Entrance, the outside trash removal, and the PENREN trailers not housed in the PENREN Compound. Attachment J-C1 details the specific area responsibilities covered by this contract. This contract has four major functional areas to be performed:

- Interior cleaning
- Exterior cleaning including parking lots and sidewalks
- Trash/Recyclable Material Management
- Miscellaneous services

The following types of cleaning are required:

Basic cleaning service: Basic cleaning services require cleaning of an area only when the appearance of that particular area falls below the stated standard specified in the Performance Matrix.

Scheduled cleaning service: Service performed on a contractor determined schedule.

Continuous cleaning service: Custodial services on a continuous process due to the large volume of traffic or high profile of occupants.

Spot cleaning: Localized cleaning in response to a customer service request or Contractor identified requirement.

The contractor may employ any cost-effective, flexible combination of cleaning types so long as the areas are maintained in accordance with the contract standards. The Pentagon is not a typical commercial office building requiring only scheduled custodial services. The occupants of the Pentagon demand a high standard of cleaning that may require an aggressive contractor inspection system that quickly identifies areas that fall below required standards. Some areas may necessitate continuous cleaning in order to maintain the standards. The contract requires close monitoring of all areas, especially when weather or other circumstances cause areas to repeatedly fall below standards. The use of scheduled services alone may not be sufficient to maintain areas in a consistently clean state, especially high use, public areas.

The Government intends to aggressively assess the effectiveness of the Contractor's continuous inspection system required by FAR 52.246-4 Inspection of Services Fixed Price to detect and correct instances of failing to meet contract standards.

A “reasonable person” standard will be used in assessing the contractor’s ability to ensure the areas present the appearance one would expect in a high-profile environment. The Government does not desire surfaces or containers to be cleaned unnecessarily. By the same token, the Government does not believe that merely vacuuming or sweeping once a day meets the required standard of a clean and neat appearance if area’s appearance declines.

The Pentagon has been identified as the “Energy Efficient and Environmentally Sensitive Showcase Building” for the Department of Defense (DoD) worldwide. The Pentagon is one of the most visible elements of this showcase designation for the general public, national, and international dignitaries alike. Custodial services are a major factor in maintaining this standing.

The contractor is expected to use green cleaning as a holistic approach to janitorial services, taking into account:

- (1) the health, safety, and environmental risks of products and processes associated with cleaning;
- (2) the mission and use of the facility to be cleaned and the behavior of facility occupants; and
- (3) the cleaning, maintenance, and sanitation needs of the facility.

The government desires the process of cleaning that involves alternative products, applying those products in different ways, and evaluating and/or changing behaviors associated with how buildings are used to reduce risks while maintaining a satisfactory level of cleanliness and disinfection.

When blocks of space totaling 10,000 square feet or more are expected to remain unoccupied for 30 calendar days or longer, deductions will be made from the monthly payment due the Contractor. The Contracting Officer (CO) will give the Contractor a written notice of the effective date the areas are to be dropped from or returned to the normal cleaning schedule at least three full working days in advance of this date.

The period of deducting for unoccupied space will begin on the effective date as stipulated in writing by the CO and will continue until the effective date on which the cleaning is resumed. The 10,000 square feet may be made up of small blocks of non-contiguous space. Subsequent blocks of space less than 10,000 square feet in the same vicinity may be added after the initial 10,000 square-feet threshold is met.

When adding or deducting space the Government will utilize the square foot unit price for General, Executive, restrooms and other areas to accomplish additions/deductions for the base and each option year. Unit prices are specified in Section B, Attachment J-B1 – J-B6.

The Pentagon Reservation is undergoing extensive renovation. As a consequence, the workload in terms of square footage and equipment type and number may significantly change during the contract period.

The performance of the contract requires TOP SECRET FACILITY CLEARANCE with selected contractor personnel requiring TOP SECRET clearances (see Attachment J-C2, “Contract Security Classification Specification”).

1.5 Applicable Documents

Publications	Title
Federal Hazard Communication Program (29 CFR 1910.1200)	http://www.ilpi.com/msds/osha/1910_1200.html
Hazardous waste operations and emergency response. - 1910.120	http://www.osha.gov/pls/oshaweb/owadisp.show_document?p_table=STANDARDS&p_id=9765
Contractor Performance Assessment Report System (CPARS)	https://www.cpars.gov/
Green Seal Product Standards	GS-37: GS Environmental Standard for General Purpose, Bathroom, and Glass Cleaners Used for Industrial and Institutional GS-40: Floor Care Products GS-08 Household Cleaners

Part 2: Definitions

After hours: The hours of the day following the normal working hours of 7:00AM to 4:30PM, Monday through Friday

Basic cleaning services: Requires cleaning only when dirt, debris, etc., are visible.

Carpet: Includes wall-to-wall, carpet tile, room-size rugs, area rugs, elevator and entrance floor mats.

Clean window: Includes washing interior and exterior glass, and all window surfaces including head, sash, sills, sun and insect screens (where applicable), and removal of all grit, dust, dirt, stains, insects, finger marks, streaks, spots, cloudy film and graffiti.

Clean: Free of dirt, film, graffiti, smudges, spots, streaks, debris, stains, dust, soil, gum, cobwebs, other foreign matter, excessive moisture, mold, and mildew; and is odor-free.

Clinical cleaning services: Requires cleaning to remove all soil, including bacteria.

Disinfect: The process of cleaning to remove germs and/or cause of infection.

Damaged: Operation of device mechanically impaired or otherwise diminished from original state in a noticeable way to include, but not limited to, unsecured, sharp edges, cracks, or noticeably marred.

Disinfect: Clean so as to destroy disease carrying microorganisms and prevent infection.

Emergency Condition: A situation calling for immediate response to address a critical situation.

Executive Office Areas Space: These areas require regularly scheduled cleaning of surfaces regardless of whether dirt is visible.

Exterior cleaning: The cleaning of surfaces outside of the building to include hard surfaces such as parking lots, bus shelters, taxi stands, guard booths, walkways, stairways, elevators, entrances, doors, glass and windows, smoker ash urns, and trash pickup

Green Cleaning: A comprehensive approach to cleaning designed to reduce the impacts on the health of a building's occupants and workers, and reducing the environmental impact from the products selected for and used in the cleaning process.

Interior cleaning: The cleaning of surfaces inside of the building to include hard surfaces in restrooms, sink rooms, kitchenettes, stairways, elevators, escalators, entrances, and drinking fountains.

Quiet: Non-audible to occupants of adjacent offices.

Regular hours: Monday – Friday, 0700 to 1700 hours, excluding Federal Holidays and weekends.

Scheduled cleaning services: Requires service on a regular schedule whether dirt is visible or not.

Secured Space: Areas requiring secret or higher clearances for access.

Spot Cleaning: Perform the standard cleaning functions not specifically listed but necessary to maintain the satisfactory level of cleanliness, to perform standard cleaning functions more often than planned frequency due to outside conditions.

Surfaces: In addition to walls, floors, and ceilings, surfaces include area rugs, carpets, restroom stall partitions, doors, windows, window frames, sills, air-returns, vents, corners, furniture, glass, glass desktops partitions, computer centers, pictures, blinds, bookcases, stairs, and recycle and trash receptacles.

Part 3: Government Furnished

The Government will provide limited storage space within the building for the contractor. The space is subject to change in both location and square footage.

Any existing equipment within the space assigned to the Contractor such as clothes lockers, tables, benches, chairs, etc., placed in the building by the Government may be used by the Contractor during the term of the contract provided written authorization is received in advance from the Contracting Officer Representative (COR). The Contractor shall maintain Government provided space in a neat, clean, and orderly fashion, and return the space to the Government at the expiration of the contract in the same condition as at the beginning of its use. The Government will not be responsible for any damage or loss to the Contractor's stored supplies, materials, or equipment.

The Government will provide access to sink rooms (with utility sinks), where available, at various points throughout the building. The Contractor shall keep sink rooms clean and orderly and shall not use these rooms as employee break rooms or for storing equipment including mops, brooms, dust cloths, and other custodial items. The Contractor shall keep sink room doors closed and the light(s) and water turned off when not in use.

The Government will provide hot and cold water as necessary for the Contractor to perform the requirements herein and limited to the normal water supply provided in the building.

The Government will provide space in the building, furniture, and furnishings (to include a telephone and one computer for restricted use) for a Project Manager/Supervisor's office to be used for official business in the performance of this contract. The computer and telephones supplied by the Government are to be used only for work related activities and communications within or between the buildings. The Contractor or its employees shall not use the computer or telephones in any manner for personal advantage, business gain, or other personal endeavor. The Contractor shall arrange with the telephone company for the installation of private business telephone line(s) for its personal or business use and shall pay all costs for the installation and maintenance of it.

The Government will furnish office desktop and public recycling containers. The Contractor shall distribute containers as needed to the appropriate locations as directed by the COR or the Recycling Program Manager.

The Government will provide ice melt for snow and ice removal.

Part 4: Contractor Furnished

Unless otherwise specified, the Contractor shall furnish all supplies, materials, and equipment necessary for the performance of work under this contract. All supplies and materials shall be of a type and quality that conform to applicable Federal specifications and standards and, to the extent feasible and reasonable, include the exclusive use of bio-based products. All dispensers/receptacles shall be considered, as is condition upon start date of the contract. All dispensers and receptacles are defined as, but not limited to sanitary napkin receptacles, toilet seat cover dispensers, toilet paper dispensers, paper towel dispensers and soap dispensers. The contractor shall buy and replace broken or damaged items for the remainder of the contract. All supplies, materials, and equipment to be used in the work described herein are subject to the approval of the COR.

The Contractor shall submit to the COR a list indicating the name of the manufacturer, the brand name, and the intended use of each of the materials, proposed for use in the performance of its work. The Contractor shall not use any materials, chemicals, or compounds which the COR determines would be unsuitable for the intended purpose or harmful to the surfaces to which applied or, as might be the case for such items as paper or soap products, unsatisfactory for use by occupants. The Contractor shall utilize products and material made from bio-based materials (e.g., bio-based cleaners, bio-based degreasers, bio-based laundry detergent) to the maximum extent possible without jeopardizing the intended end use or detracting from the overall quality delivered to the end user. For the bio-based content products evaluation, all non-chemical products proposed for use under this contract must conform to the Department of Agriculture (USDA) Designated Bio-based Products List (DBPL) whenever practicable. Contractors should provide data for their bio-based solvents and cleaners to document bio-based content, and source of bio-based material (i.e. particular crop or livestock).

Any material which the COR suspects does not meet Federal specifications or standards shall be tested at the Contractor's expense by an independent testing laboratory qualified to perform such tests as are required. A copy of the laboratory report giving the results of the test and a sample of each product, if requested, shall be submitted to the COR. These products shall meet the requirements established by applicable Federal specifications and standards or be considered unacceptable for use.

Material Safety Data Sheets (MSDS). The Contractor shall comply with all applicable provisions of the Federal Hazard Communication Program (29 CFR 1910.1200). The Contractor shall provide the COR with a MSDS for each material in use or stored on the Pentagon Reservation. In addition, within 30 days of contract award, the Contractor shall provide the COR with the approximate quantities (i.e., $\pm$ ten percent) and the location(s) of all materials requiring an MSDS stored by the Contractor on the Pentagon Reservation. The Contractor shall update this information at least once each quarter or more frequently when quantities for any material change by more than ten percent for any single product. The Pentagon Building Manager or CO reserves the right to disapprove of any materials, chemicals or degreasers.

Restroom Soap: The Contractor shall provide a restroom soap that is green seal approved. Antimicrobial institutional hand cleanser may be provided only upon approval of the COR.

Environmentally Preferred Products (EPP): The Contractor shall meet or exceed the mandatory environmental preferable criteria and required consistencies and incorporated in the Contractor's Stewardship Plan as specified in paragraph C-6.9.1 for all of the chemical cleaning-products used during the performance of the contract.

Cleaning Equipment: The Contractor shall furnish all necessary cleaning equipment. The Contractor shall use only vacuums equipped with HEPA filters for work performed under this contract. The Contractor shall not use equipment powered by combustion engines (e.g., gasoline, propane, CNG, diesel) for use or storage in areas other than locations approved, in advance, by the COR.

The Contractor shall furnish carts and containers constructed from noncombustible or flame-resistant products that fall within established guidelines for the collection and/or storage of waste materials and recyclables.

Uniforms: The Contractor shall require its employees, supervisors and sub-contractors to wear distinctive uniform clothing and shall assure that every employee is in uniform upon contract start date. Employees shall wear uniforms consisting of shirts and trousers, coveralls, or smocks for men, and dresses, and blouses with skirts or slacks, or smocks, as appropriate, for women. The uniform shall have the Contractor's name, easily identifiable, permanently attached above the waist. The color or color combination of the Contractor's uniforms worn on the Pentagon Reservation shall be approved, in advance, by the COR. Unless the performance of a particular task requires otherwise, the Contractor's employees shall maintain an appearance that is neat and clean and reflects favorably upon both the Contractor and the Department of Defense.

Equipment Markings: All contractor equipment to include vacuums, trash carts, mop ringers, etc. shall be professionally and permanently stenciled. Handwritten company names, individual worker's name, etc. will not be permitted and will require the subject item to be removed from service.

Part 5: Specific Requirements

The Contractor shall provide custodial services that result in a building appearance and sanitation level consistent with show casing the Pentagon as a building, institution, and national defense symbol for the general public, and national and international dignitaries.

The contractor shall meet or exceed all performance-based requirements detailed in the Performance-based Matrix at C.5.5. Each requirement has associated measurable performance standards.

5.1 Interior Cleaning. The Contractor shall clean, to include spot cleaning, the interior spaces consistent with standards in the Performance Based Matrix at C.5.5. Areas requiring cleaning are listed below.

5.1.1 Restrooms. The Contractor shall clean all restroom, showers, kitchenettes surfaces.

5.1.2 Office and Conference Spaces. The Contractor shall clean all general, Executive, and Secure Office and Conference Space surfaces.

The Contractor shall submit to the COR a schedule to shampoo all carpet in renovated space every two years. The Contractor shall report all worn out carpet to the COR. Upon space renovation, additional carpet cleaning requirements may be added to the contract.

5.1.3 Entrances/Lobbies, and Corridors. The Contractor shall clean entrances, lobbies, and corridors. SECDEF Corridor at the River and Mall Entrances and their lobbies and joining corridors are high profile areas.

5.1.4 Stairways/Stairwells. The Contractor shall clean all stairwells and stairs, landings, railings, ledges, and grille surfaces.

5.1.5 Loading Areas (including platforms and docks). The Contractor shall clean all surfaces.

5.1.6 Elevators (passenger and freight) and Escalators. The Contractor shall clean interior elevators and escalators.

5.1.7 Vending Areas. The Contractor shall clean all floor and wall surfaces. While vending machine equipment sanitation is the responsibility of the vending machine supplier, the Contractor shall clean vending areas.

5.1.8 Drinking Fountains. The Contractor shall clean all surfaces.

5.1.9 Grease Traps. The Contractor shall pump, pressure wash and clean grease traps with the result(s) described in the Performance-based Matrix.

The Contractor shall dispose of all material/waste in accordance with applicable Federal, Commonwealth of Virginia, and local rules/regulations. Copies of all waste manifests for Pentagon solid wastes will be provided to the COR.

The Contractor shall provide the COR all required information to gain access to the Pentagon Reservation no less than 48 hours prior to start of work during normal duty hours. Any delay or non-performance due to the contractor failing to coordinate with the COR shall be at no cost to the Government.

The Contractor shall perform this requirement each alternate Saturday for the duration of this contract between the hours of 7:00AM and 4:30PM unless otherwise requested by the CO or COR. The Contractor shall shift the hours of performance to meet the needs of the Government upon receiving a 24 hour notification at no additional cost to the Government. The Contractor shall sign in/out with the COR.

The Contractor shall inform the COR if more frequent cleaning is required to allow for proper scheduling.

The Contractor shall only use electrical portable pump and pressure-washing equipment.

Grease trap locations are indicated in the list below:

Equipment Location List	Number of Grease Traps
G2-1 Food Service Loading Dock	1
G2-2 PLC2 Kitchen	1
G2-3 Corridor 3&4 Elevator Bank	1
G2-4 Corridor 5, D Ring	1
G2-5 Corridor 7&8 Elevator Bank	1
G2-6 Corridor 7, E Ring	1
G2-7 Corridor 8, Basement	1
G2-8 Corridor 8, C Ring Mechanical Room	TBD

5.2 Exterior Cleaning. The Contractor shall clean the exterior spaces identified below.

5.2.1 Elevators. The Contractor shall clean all exterior passenger elevators.

5.2.2 Windows (interior and exterior). The Contractor shall clean all interior windows on the 2nd Floor, and all exterior window sides of the entire building to include glass, frames, and ledges. The Contractor shall clean the ten (10) METRO awnings after hours.

The Contractor shall submit a detailed work schedule to the COR no less than fourteen (14) calendar days before the start of work.

The Contractor shall adhere to the following minimum window washing schedule requirements:

April 15 – May 30	Clean all windows + 5100 SF of additional glass
July 1 – July 25	Clean 350 windows (obstructed windows, bus stops, taxi stands, kiss & drop shelters, and Metro awnings)
Aug 1 – Aug 15	Clean 350 windows (obstructed windows, bus stops, taxi stands, kiss & drop shelters, and Metro awnings)
Sept 15 – Oct 30	Clean all windows + 5100 SF of additional glass
Within 48 hours	Clean up to 25 windows and/or 1000 SF of glass (2X/YR)

5.2.3 Guard Booths, Trailers, Outbuildings and Bus Shelters. The Contractor shall clean all surfaces.

5.2.4 Loading Areas. The Contractor shall clean all surfaces. The Contractor shall not store products or equipment on the loading areas.

5.2.5 Exterior Surfaces. Contractor shall clean center courtyard, steps, walk-off mats, landings, parking lots, pavement, concrete drive surfaces, and sidewalks.

5.2.6 Smoker Ash Urns. Contractor shall clean smoker ash urns.

5.3 Trash/Recyclable Material Management. The Contractor shall collect trash and recyclables, and service recycling bins. The Contractor shall supply additional trash containers for special bulk-trash requests and special events. The Contractor shall not dispose of recycled material as refuse. The Contractor shall remove obvious contaminants when emptying recycle bins.

5.4 Miscellaneous Services.

5.4.1 Emergency Service. In the event the Project Manager or Designated Representative is notified that an emergency condition exists, the Contractor shall position appropriate resources at the site of the emergency within 15 minutes during normal work hours and within 90 minutes after normal working hours.

5.4.2 Customer Service Requests. The Contractor shall have customer service requests corrected within 45 minutes or sooner of notification during normal working hours. The

Pentagon Building Management Office (PBMO) will receive service call requests from building occupants and notify the Contractor of the work required. Historically, tasks included providing appropriate waste and recycling receptacles for special tasks, servicing restrooms, cleaning, waste removal, emptying recycling containers, and other miscellaneous requests for janitorial services.

5.4.3 Response to Occupant Complaints.

The COR, the PBMO, or the Building Operations Command Center (BOCC) will report all complaints to the Contractor. The Contractor shall respond within 15 minutes to complaints and resolve problem within 30 minutes. The Contractor shall submit written documentation of service follow-up and response time to the COR within 24 hours of service completion.

5.4.4 Special Events. The Contractor shall provide and monitor portable restroom facilities as well as cleaning and servicing. The contractor shall also provide and monitor trash receptacles to prevent overflowing in the designated areas. The Contractor shall monitor and clean designated areas specified prior to, during, and at the completion of the event

5.4.5 Snow and Ice Removal. During regular hours, the Contractor shall clear entranceways, stairs, sidewalks, bus and shuttle shelters, pedestrian bridges of snow and ice. Contractor shall clear and de-ice passageways and steps for modular buildings and trailers.

Performance-Based Matrix				
Desired End Result(s)	Feature(s) of end result to be surveyed.	The required performance level for each feature. “What success looks like”	Quality Assurance Inspection Method	Incentive
The Contractor shall provide custodial services that result in a building appearance and sanitation level consistent with show casing the Pentagon as a building, institution, and national defense symbol for the general public, and national and international dignitaries. Contractor Inspection System required by 52.246-4 achieves performance standards. 7.11	De-icing and snow removal 5.4.5	All surfaces continually free of ice and snow. Contractor provides appropriate snow removal equipment and in sufficient quantities to ensure snow does not accumulate.	Methods include but are not limited to 100% inspection, random sampling, planned sampling, incidental inspections and validated customer complaints.	Payment of contract price if performance meets requirements. Final and interim CPARS performance evaluations for use in future Government source selections.
	Floors 5.1.1 5.1.2 5.1.3 5.1.4 5.1.5 5.1.6 5.1.7 5.2.1 5.2.3 5.2.4	Floors are clean and appear uniform, and/or sanitation-related safety hazards. Baseboards are free of floor cleaning residues or marks. All items moved during cleaning are in their original position. Terrazzo floors are clean and have high luster. Elevator floors have high luster. Elevator pit not used for floor sweepings or drains.		
	Re-waxed floors 5.1.2 5.1.3 5.1.7	Stripped floor: Floor is ready for the reapplication of sealer and floor finish, i.e., free of dirt, stains, deposits, wax, finish, water, and cleaning solutions. Sealed floor: Uniform appearance, with all evidence of splashing on baseboards and furniture/fixtures completely removed. Re-waxed floor: Floors have a uniform high gloss shine. All moved items during stripping, sealing, and waxing are in their original position. Floors meet or exceed 0.5 – 0.6 slip/trip/fall coefficient.		

	Walls/Ceiling 5.1.1 5.1.2 5.1.3 5.1.4 5.1.5 5.1.6 5.1.7 5.2.1 5.2.3 5.2.4	All surfaces are clean. Surfaces are not damaged during cleaning operations.		
	Doors 5.1.1 5.1.2 5.1.3 5.1.4 5.1.5 5.1.6 5.1.7 5.2.1 5.2.3 5.2.4	All door surfaces are clean. Door handles and plates are free of tarnish, streaks, stains, and hand marks. Elevator door tracks clean.		
	Drinking Fountains 5.1.3 5.1.8	All surfaces, including orifices, bubblers, and drains are clean and disinfected.		
	Glass to include mirror and Plexiglas, and plain glass 5.1.1 5.1.3 5.1.4 5.1.6 5.2.2 5.2.3	All surfaces are clean.		
	Walk-off mats 5.2.5	Walk-off mats are appropriately placed and clean, with no moisture or grit underneath.		

	Restrooms, showers, kitchenettes 5.1.1	All surfaces fixtures are clean. Metal surfaces polished. All product dispensers are functional and not damaged. Paper and soap products are stocked so that supplies do not run out before the next service. COR notified whenever graffiti cannot be removed. Restroom floors are clean but not waxed.		
	Trash Containers 5.1.1 5.1.2 5.1.3 5.1.4 5.1.5 5.1.7 5.2.3 5.2.5 5.3	No trash containers, including sanitary-napkin receptacle, overflow. The area surrounding the container is clean. The container is clean. All trash that falls while removing collected trash is removed. Plastic trashcan liners are replaced as necessary. Trash containers are in original locations after emptied. Items near trash receptacles marked “TRASH” are removed. Trash is not transferred from cart to cart in Corridor space. All collected trash is placed a Government compacter located outside on the RDF loading dock. The area surrounding compacter is clean. Wheels are quiet.		

	Recycle Bins 5.1.3 5.1.7 5.2.5	No recycle bin is full. The bin exterior and interior are clean. The area surrounding the bin is clean and clear of recyclables. Bins in need of repair or missing are reported to the COR within 24 hours. Recyclables are not disposed of as trash. All recyclables that fall during removal are retrieved and properly handled. The plastic recycle bin liner is replaced as necessary. The recycle bin is in its original location after emptied. Recyclables are not transferred from cart to cart in Corridor space. All collected recyclables are placed and contained in the nearest Government provided designated container located outside the building. The area surrounding each container is clean.		
	Trash/Recycle Carts 5.3	Carts are clearly labeled. Carts are clean and in good repair. Cart wheels are quiet. No carts are parked in Corridors full or unattended. Carts are not loaded to obstruct vision of operator. Trash/Recyclables are not staged in Corridors. Wheels are quiet.		
	Loading Areas 5.1.5 5.2.4	Loading areas are kept clean.		
	Interior walk-off mats 5.1.3	Mats are placed in original position. Mats are clean.		
	Windows 5.2.2	Cleaning scheduled between 7:30 A.M. to 8:30 P.M., Monday through Friday, excluding Government holidays unless COR approval obtained. Cleaning schedule is coordinated with tenants. Interior and exterior window sides are clean.		

	Carpet surface 5.1.2 5.1.3	Carpet is clean per Original Equipment Manufacturer (OEM). Carpet is clean and free of excess moisture, after shampooing. There are no soap residues on any surfaces. "Caution – Wet Floor" signs posted while carpet is wet. Damaged carpet or un-removable stains are reported to the COR within twenty-four (24) hours.		
	Escalator steps 5.1.6	Steps cleaned in accordance with Original Equipment Manufacturer (OEM) requirements.		
	Pavement/Concrete Drive surfaces 5.2.5	Surfaces are clean and power/pressure washed as necessary. K9 checkpoint clean and free of accumulated petroleum products. All debris is picked up and removed. No debris is put in the planting beds. No debris/trash is transported through the building from the outside en-route to the RDF.		
	Entrance surfaces 5.1.4 5.2.3 5.2.5	During regular hours, entrances are clean. Metal doorknobs, push bars, kick plates, railings, and other metal surfaces are clean and polished. Wood surfaces are clean and polished. Surfaces are clear of snow/ice.		
	Smoker Ash Urns 5.2.6	100 percent of all butts are removed. Cinders are dry and surface level.		
	Grease Traps 5.1.9	Grease Traps are free of grease, liquids, and/or solid materials. All spills are properly managed. The trap area and spill areas are sanitized. Each trap is in proper working order at work completion. No overflows are caused by lack of cleaning.		

	Business Relationship	100 percent of the time, the Contractor cooperative, committed to customer satisfaction, and has a business-like concern for the interest of the customer.		
	Safety 7.7	Emergency assistance numbers and instructions are conspicuously posted. An effective and active safety, first aid, hazardous material handling, blood-borne pathogen, and asbestos awareness training schedule is performed. Contractor employees are familiar with all building fire alarm messages. All accidents reported, OSHA supplemental form 101 submitted, and full cooperation given to the COR. All oil or hazardous substance spills are reported to the COR and or the Building Manager. All personnel use the proper Personal Protective Equipment for the task at hand. All PPE meets NIOSH, MSHA, and ANSI requirements. All PPE is maintained and clean. Employees, occupants, and visitors protected from injury using OSHA standards.		

	Plan	95 percent plan requirements were followed.		
	Report accuracy	100 percent of all reports accurately reflect task performance		
	Cause of breach	Actual cause of performance problem correctly identified 95% of the time.		
	Corrective Action	Corrective actions implemented in a timely manner and satisfactory resolve performance problem		
	Trends	Performance trends accurately identified and appropriately acted upon		
	Independent audit	Inspection system independently audited to ensure validity of results.		

Part 6: Administrative Requirements

6.1 Clearances. The Contractor shall provide employees with a Top Secret Clearance for service in secured spaces.

6.2 Suitability Check. The Contractor shall provide NCIC cleared personnel.

6.3 Personnel. When contract work is in progress, the Contractor PM or alternate shall be available at all times during normal hours of operation to receive notices, reports, or requests from the COR or his authorized representative. All Contractor personnel shall have the ability to speak, read and understand English to successfully perform the task(s).

6.3.1 Project Manager. The PM shall have the ability to speak and understand English clearly.

6.3.3 Supervisors. All supervisors shall have the ability to speak and understand English clearly. At least one supervisor shall be present at the work site at all times when contract work is in progress and shall have the authority to act for the Contractor on a day-to-day basis and to sign inspection reports and all other correspondence on behalf of the Contractor.

6.4 Emergency Procedures.

Contractor shall coordinate with the PBMO to develop procedures for the Contractor's role in the event of an emergency evacuation of one or all buildings. Contractor shall ensure all employees are organized, trained, and participate in building fire and civil defense drills. Contractor shall ensure that all employees report fire, hazardous conditions, maintenance deficiencies, graffiti, and evidence of pests.

6.5 Energy Conservation. Contractor shall fully support and participate in the energy-conservation program within the facilities. Ensure contractor personnel use lights or other energy-consuming equipment only in areas where and when work is actually being performed, and that lights are turned off, and equipment secured when not in use or needed. Fully support and participate in the recycling program within the Pentagon.

6.6 Contractor Employee Training. Contractor shall provide at contract start for COR acceptance with a comprehensive employee training plan that ensures all employees are aware of appropriate behavior while working on a Government facility. Suggested topics:

- Emergency Awareness
- Health and Safety
- Do not adjust mechanical equipment controls for heating, ventilation, and air-conditioning systems.
- Turn off water faucets and valves when not needed.
- Close windows and turn off lights and fans when not in use.
- Turn in found articles to the COR.
- Notify security personnel on duty when an unauthorized or suspicious person is seen on the premises.
- Report safety hazards immediately and maintenance deficiencies promptly.
- Report immediately conditions or circumstances that prevent the accomplishment of assigned work.
- First Aid
- Blood-borne Pathogen
- Asbestos-Awareness.
- Use, handling, and storage of hazardous materials according to the Hazard Communication Standard (29 CFR 1910.1200)
- First Responder Awareness training (29 CFR 1910.120 (q))

6.7 Meetings. The Contractor shall notify the COR at least three days in advance of all safety meetings. The Contractor shall review the effectiveness of the safety effort, resolve current health and safety problems, provide a forum for planning safe operations and activities, and update the accident prevention program.

6.8 Damage to Government Property. The Contractor shall immediately report any damage of Government Property to the COR. The Contractor shall be responsible for any damage caused by Contractor operations.

6.9 Quality Control (QC). The Contractor shall institute a complete QC Program to ensure that the requirements of this contract are fulfilled as specified. At minimum, the Contractor shall include the following elements in the program:

- A comprehensive inspection system of all the scheduled and unscheduled services required in this document.
- The name(s) and contact information of the designated QC Inspector(s) and their backups who will be performing the inspections.

- A proactive methodology to identify and correct problems before the COR and/or other PBMO personnel identify or are made aware of such problems.
- An organized, current file of all Contractor conducted inspections, corrective actions taken, and follow-up inspections.
- Government receipt of all QC reports same day generated.

6.10 Environmental Management. In order to comply with federally mandated environmental preference programs and Department of Defense (DOD) “Green Procurement Program” (GPP) policy, the Government requires the use of environmentally preferable products and services. These program elements include: recovered material products, energy and water efficient products, alternative fuels and fuel efficiency, bio-based products, non-ozone depleting substances, priority chemicals, and environmentally preferable products. These program elements are described on the Office of the Federal Environment Executive website (<http://www.ofee.gov>).

Products and Materials. Custodial cleaning products required in the performance of this SOW shall meet as a minimum, Green Seal Product Standards (<http://www.greenseal.org/findaproduct/index.cfm>). If it is determined that a product does not meet Government performance requirements, the contractor shall submit a proposed alternative that would meet the performance requirements with the lowest environmental impact for evaluation and acceptance. Products that fall under the Environmental Protection Agency (EPA) Comprehensive Procurement Guidelines (CPG) (<http://www.epa.gov/cpg>) shall meet the minimum recovered (recycled) content. Bio-based products shall be used upon issuance of the bio-based product listing from the United States Department of Agriculture (USDA) (<http://www.usda.gov>). The contractor shall purchase and use Energy Star or other energy efficient items listed on the Department of Energy’s Federal Energy Management Program (FEMP) Product Energy Efficiency Recommendations product list. Supplements or amendments to listed publications from any organizational level may be issued during the life of the contract. Before implementing any change that will result in a change to the contract price, the contractor shall submit to the Contracting Officer a price proposal within 30 calendar days following receipt of the change. An equitable adjustment (increase or decrease) will be negotiated, if applicable, under the “Changes” clause of the contract.

7.0 Required Submittals and Reports.

7.1 Management and Environmental Stewardship Plan (MESP). Within 10 days after contract award the Contractor shall submit a MESP for approval by the CO. The Contractor shall make such revisions to the MESP as are deemed necessary by the CO. The MESP will be reviewed and updated annually, and as required by the Contracting Officer. The Contractor shall include in the MESP:

- Their written policy stating its commitment to environmental management, employee health and safety, and the use of environmentally preferable products.
- The establishment and facilitation of a Stewardship Task Force to be composed of Contractor and Government representatives to convene quarterly at minimum, to review all aspects of performance involving specific undertakings of this MESP

- A comprehensive list of materials, their associated label and MSDS, and the intended purpose of each material to be used on this contract. Once this materials list is approved by the CO, the Contractor shall only use materials from this list in the building. Any alternative material must be approved in writing by the CO.
- A plan of how it will keep abreast of the development and increasing availability of EPP and how EPP products will be incorporated into contract performance.
- A plan of how it will conform to the Comprehensive Procurement Guidelines (CPG) published by EPA with respect to recovered material products. The Contractor shall update its MESP to accommodate CPG revisions. The Contractor shall estimate the quantities of recycled-content and EPP that shall be purchased during the term of this Contract.
- Name of individual identified as Stewardship Coordinator who will serve as the point person for all environmental performance issues and participate in the Government's Stewardship Task Force Committee. ((ASTM Standard (Stewardship in the Cleaning of Commercial and Institutional Buildings))

7.2 Waste Minimization and Recycling Program (WMRP). The Contractor shall implement a WMRP designed to minimize the Contractor's on-site generation of non-recyclable waste generated during contract performance within 30 days of contract award. The Contractor shall use the recycling plan developed by the Government as a guide in defining their program. The Contractor shall also include in the WMRP enhancement of the separation of recyclable materials from non-recyclable waste generated by the building, detailing collection-point- and/or post-collection-point-separation of recyclable materials. The Contractor shall:

- Monitor the volume of waste managed and recyclables recovered
- Determine the rate(s) of participation in offices throughout the buildings
- Define activities to promote occupant participation and discourage contamination of recovered materials
- Ensure that the Contractor's personnel observe and promote the WMRP
- Establish procedures to recover and recycle the following materials; at a minimum: aluminum containers (e.g., beverage cans), containers of Polyethylene Terephthalate (PETE-1) or High Density Polyethylene (HDPE-2) plastic (e.g., drink bottles), clear, green and brown glass bottles and jars, white and mixed office paper, newspaper, cardboard, telephone and other books, toner/ink cartridges, and scrap metal, including steel containers.

7.3 Hazardous Material Storage. The Contractor shall define and submit a plan for hazardous material storage in conformance with good housekeeping practices, the National Fire Prevention Association (NFPA) Code, and applicable federal and municipal regulations.

7.4 Hazardous Waste Disposal. The Contractor's Plan shall define and submit proper hazardous waste identification and disposal procedures in accordance with federal Resource Conservation and Recovery Act (RCRA) regulations and the Virginia Department of Environmental Quality (VDEQ).

7.5 Communication Policies. The Contractor shall define and submit strategies to receive feedback from building occupants on operations and complaints, and to give self-help guidance

to building occupants. The Contractor shall first have these strategies and communications approved by the Stewardship Task Force or the CO.

7.6 Inclement Weather. The Contractor shall submit contingency plans for inclement weather.

7.7 Health and Safety Plan. Within 10 days after contract award the Contractor shall submit a Health and Safety Plan for approval by the CO. The Contractor's Health and Safety Plan shall ensure a safe environment is provided for all Contractor personnel, building occupants, and visitors. The CO will review the proposed program for compliance with OSHA and contract requirements. The Contractor shall include:

- A schedule of safety meetings
- First-aid procedures
- An outline of each work phase, the hazards associated with each phase, and the methods proposed to ensure property protection, and public, building occupant, and Contractor employee safety.
- A comprehensive training schedule, both initial and continuing.
- An emergency situation plan for events such as such as employee strikes, floods, fires, explosions, power outages, spills, and wind storms. The Contractor shall take into consideration existing government emergency plans, the nature of activities, site conditions, and degree of exposure of persons and property.

7.8 Staffing Plan. Within 10 days after contract award the Contractor shall submit a staffing plan to the CO that identifies all personnel expected to be employed in the performance of this contract. Additionally, the plan shall identify key personnel including the roles and responsibilities of the staff.

7.9 Cleaning Schedule. The Contractor shall detail and submit a schedule of all daily cleaning.

7.10 Trash/Recyclable Materials Removal Plan. The Contractor shall provide a plan for trash and recyclable materials removal. The Contractor shall include in this plan the schedule, transportation process, and the number of carts to be used for each type of waste.

7.11 Quality Control (QC) Plan. Within 10 days after contract award the Contractor shall submit a QC Plan for CO review and approval.

7.12 Daily Report. The Contractor shall personally submit daily QC reports to the COR within 24 hours of all work performed. The Contractor shall notify the COR of deficiencies and problems such as, but not limited to plumbing, leaks, lighting replacement, elevator and escalator malfunctions, damaged, missing, or required recycling containers, sanitary dispensers, safety hazards, health hazards, fire hazards, non-removable stains and methods used to accomplish resolution immediately.

7.13 Monthly Report. The Contractor shall electronically submit a monthly report to the COR by the tenth (10th) calendar day of the following month detailing the performance of the Contractor. The Contractor shall include, but is not limited to the following information

- A general performance overview of the month
- Updates/progress reports of any pertinent schedules
- Accurate amounts of each cleaning product used
- Accurate amounts of all restroom supplies used
- A calendar of events, plans, meetings, and/or special situations for the next 60 days
- Special activities accomplished, e.g., safety training
- Volume of waste managed and recyclables recovered
- Condition of each grease trap, a list of discrepancies found during each performance period, and an accurate amount of waste removed from each trap.
- If applicable, proof of proper disposal of hazardous waste(s) manifest(s).
- Documentation (to include list of attendees) of any training required by law

7.14 Coordination With Other Custodial Contractors. The Contractor shall coordinate as required with the AbilityOne (NISH) Contractor performing custodial services in the Pentagon.

7.15 Ordering Additional Services. Using the unit prices in Section B, “Schedule of Prices”, the Government may modify this contract to add additional custodial services such as additional carpet cleaning, additional support of special events or additional custodial services required in the event of an emergency. Additional custodial services may be required anywhere in the Pentagon. Additional services may be required on a short or long term basis.

Section E - Inspection and Acceptance

INSPECTION AND ACCEPTANCE TERMS

Supplies/services will be inspected/accepted at:

CLIN	INSPECT AT	INSPECT BY	ACCEPT AT	ACCEPT BY
0001	Destination	Government	Destination	Government
0002	Destination	Government	Destination	Government
0003	Destination	Government	Destination	Government
0004	Destination	Government	Destination	Government
0005	Destination	Government	Destination	Government

CLAUSES INCORPORATED BY REFERENCE

52.246-16	Responsibility For Supplies	APR 1984
252.246-7000	Material Inspection And Receiving Report	MAR 2003

CLAUSES INCORPORATED BY FULL TEXT

52.246-4 INSPECTION OF SERVICES--FIXED-PRICE (AUG 1996)

(a) Definitions. "Services," as used in this clause, includes services performed, workmanship, and material furnished or utilized in the performance of services.

(b) The Contractor shall provide and maintain an inspection system acceptable to the Government covering the services under this contract. Complete records of all inspection work performed by the Contractor shall be maintained and made available to the Government during contract performance and for as long afterwards as the contract requires.

(c) The Government has the right to inspect and test all services called for by the contract, to the extent practicable at all times and places during the term of the contract. The Government shall perform inspections and tests in a manner that will not unduly delay the work.

(d) If the Government performs inspections or tests on the premises of the Contractor or a subcontractor, the Contractor shall furnish, and shall require subcontractors to furnish, at no increase in contract price, all reasonable facilities and assistance for the safe and convenient performance of these duties.

(e) If any of the services do not conform with contract requirements, the Government may require the Contractor to perform the services again in conformity with contract requirements, at no increase in contract amount. When the defects in services cannot be corrected by reperformance, the Government may (1) require the Contractor to take necessary action to ensure that future performance conforms to contract requirements and (2) reduce the contract price to reflect the reduced value of the services performed.

(f) If the Contractor fails to promptly perform the services again or to take the necessary action to ensure future performance in conformity with contract requirements, the Government may (1) by contract or otherwise, perform the services and charge to the Contractor any cost incurred by the Government that is directly related to the performance of such service or (2) terminate the contract for default.

(End of clause)

FAILURE TO PERFORM SERVICES

E-1 CONSEQUENCES OF CONTRACTOR'S FAILURE TO PERFORM SERVICES

The Contractor shall perform all of the contract requirements. The Contractor is responsible for maintaining an effective Quality Control Program during the course of the contract. Failure to maintain adequate quality control may result in Termination for Default. The Government may apply one or more surveillance methods to determine Contractor compliance and may deduct an amount from the Contractor's invoice or otherwise withhold payment for unsatisfactory or nonperformed work. Surveillance methods include, but are not limited to, 100% inspection, random sampling, planned sampling, incidental inspections and validated customer complaints. The Government reserves the right to change surveillance methods at any time during the contract without notice to the Contractor. In the case of unsatisfactory or nonperformed work, the Government:

- i. may give the Contractor written notice of observed deficiencies prior to deducting for unsatisfactory or nonperformed work and/or assessing other damages. Such written notice shall not be a prerequisite for withholding payment for nonperformed work.
- ii. may, at its option, allow the Contractor an opportunity to reperform the unsatisfactory or nonperformed work, at no additional cost to the Government. In the case of daily work, corrective action must be completed within 30 minutes following notice to the Contractor by the Government. In the case of other work, corrective action must be completed within twenty-four hours of notice. Reperformance by the Contractor does not waive the Government's right to terminate for nonperformance in accordance with FAR clause 52.249-8, "Default (Fixed-Price Supply and Service)" of Section I and all other remedies for default as may be provided by law.
- iii. Shall deduct from the Contractor's monthly invoice all amounts associated with the unsatisfactory or nonperformed work at the prices set out in the Schedule and any accompanying exhibits or provided by other provisions of this contract, unless the Contractor is required to reperform and satisfactorily completes the work. In addition to deducting for unsatisfactory or nonperformed work the Government will total the square footage of all interior space where

service has been unsatisfactory or service has not been performed, compare it to the Assignable Square Footage (Attachment J-C1) and deduct, as liquidated damages, an additional 5% of the Contractor's monthly invoice amount if the total square footage of unsatisfactory or nonperformed work exceeds 5% of the Assignable Square Footage.

iv. may, at its option, perform the work by Government personnel or by other means. The Government will reduce the amount of payment to the Contractor, by the amount paid to any Government personnel (based on wages, retirement and fringe benefits) plus material, or by the actual costs incurred to accomplish the work by other means. If the actual costs cannot be readily determined, the prices set out in the Schedule and any accompanying exhibits will be used as the basis for the deduction.

Section F - Deliveries or Performance

DELIVERY INFORMATION

CLIN	DELIVERY DATE	QUANTITY	SHIP TO ADDRESS	UIC
0001	POP 01-SEP 14 TO 30-AUG-2015	N/A	FEDERAL FACILITIES DIVISION DAVID BROWN REMOTE DELIVERY FACILITY 100 WASHINGTON BLVD. ARLINGTON VA 22201 703-697-7351 FOB: Destination	HQ0015
0002	POP 01-SEP 15 TO 30-AUG-2016	N/A	(SAME AS PREVIOUS LOCATION) FOB: Destination	HQ0015
0003	POP 01-SEP 16 TO 30-AUG-2017	N/A	(SAME AS PREVIOUS LOCATION) FOB: Destination	HQ0015
0004	POP 01-SEP 17 TO 30-AUG-2018	N/A	(SAME AS PREVIOUS LOCATION) FOB: Destination	HQ0015
0005	POP 01-SEP 18 TO 30-AUG-2019	N/A	(SAME AS PREVIOUS LOCATION) FOB: Destination	HQ0015

CLAUSES INCORPORATED BY REFERENCE

52.242-15	Stop-Work Order	AUG 1989
52.242-17	Government Delay Of Work	APR 1984

Section G - Contract Administration Data

CLAUSES INCORPORATED BY FULL TEXT

252.201-7000 CONTRACTING OFFICER'S REPRESENTATIVE (DEC 1991)

(a) "Definition. Contracting officer's representative" means an individual designated in accordance with subsection 201.602-2 of the Defense Federal Acquisition Regulation Supplement and authorized in writing by the contracting officer to perform specific technical or administrative functions.

(b) If the Contracting Officer designates a contracting officer's representative (COR), the Contractor will receive a copy of the written designation. It will specify the extent of the COR's authority to act on behalf of the contracting officer. The COR is not authorized to make any commitments or changes that will affect price, quality, quantity, delivery, or any other term or condition of the contract.

(End of clause)

CONTRACTING OFFICER'S REPRESENTATIVE (COR)

The COR is a representative for the Government with limited authority who has been designated in writing by the Contracting Officer to provide technical direction, clarification, and guidance with respect to existing specifications and statement of work (SOW)/statement of objectives (SOO) as established in the contract. The COR also monitors the progress and quality of the Contractor's performance for payment purposes. The COR shall promptly report Contractor performance discrepancies and suggested corrective actions to the Contracting Officer for resolution.

The COR is NOT authorized to take any direct or indirect actions or make any commitments that will result in changes to price, quantity, quality, schedule, place of performance, delivery or any other terms or conditions of the written contract.

The Contractor is responsible for promptly providing written notification to the Contracting Officer if it believes the COR has requested or directed any change to the existing contract (or task/delivery order). No action shall be taken by the Contractor for any proposed change to the contract until the Contracting Officer has issued a written directive or written modification to the contract (or task/delivery order). The Government will not accept and is not liable for any alleged change to the contract unless the change is included in a written contract modification or directive signed by the Contracting Officer.

If the Contracting Officer has designated an Alternate COR (ACOR), the ACOR may act only in the absence of the COR (due to such reasons as leave, official travel, or other reasons for which the COR is expected to be gone and not readily accessible for the day).

COR authority IS NOT delegable.

INVOICING INSTRUCTIONS (WHS, A&PO Mar 2007)

In compliance with DFARS 252.232-7003, "Electronic Submission of Payment Request (March 2003)", Washington Headquarters Services, Acquisition & Procurement Office (WHS, A&PO) utilizes WAWF-RA to electronically process vendor request for payment. The web-based system is located at <https://wawf.eb.mil>, which provides the technology for government contractors and authorized Department of Defense (DOD) personnel to generate, capture and process receipt and payment-related documentation in a paperless environment. The contractor is required to utilize this system when submitting invoices and receiving reports under this contract. Submission of hard copy DD250/Invoice/Public Vouchers (SF1034) will no longer be accepted for payment.

The contractor shall (i) ensure an Electronic Business Point of Contract is designated in Central Contractor Registration at <http://www.ccr.gov/> and (ii) register to use WAWF-RA at <https://wawf.eb.mil>

within ten (10) days after award of the contract or modification incorporating WAWF-RA into the contract. The designated CCR EB point of contact is responsible for activating the company's CAGE code on WAWF by calling 1-866-618-5988. Once the company CCR EB is activated, the CCR EB will self-register on the WAWF and follow the instructions for a group administrator. Step by step instructions to register are available at <http://wawf.eb.mil>.

The contractor is directed to select either "Invoice as 2-in-1" for services only or "Invoice and Receiving Report (Combo)" for supplies or any combination of goods and services. Both types of invoices fulfill the requirement for submission of the Material Inspection and Receiving Report, DD Form 250.

Back up documentation may be attached to the invoice in WAWF under the "Misc Info" tab. Fill in all applicable information under each tab.

The following required information should automatically pre-populate in WAWF; if it does not populate, or does not populate correctly, enter the following information:

"Issue by DoDAAC" field enter **HQ0034**

"Admin DoDAAC" field enter **HQ0034**

"Payment DoDAAC" field enter **To Be Determined**

"Service Acceptor/Extension" or "Ship to/ Extension" field enter **HQ0015**

"Inspect By DoDAAC/ EXT" fields **Leave Blank**

"LPO DoDAAC/ EXT" fields **Leave Blank**

Contractor shall verify that the DoDAACs automatically populated by the WAWF-RA system match the above information. If these DoDAACs do not match, then the contractor shall correct the field(s) and notify the contracting officer of the discrepancy (ies).

Take special care when entering Line Item information. The Line Item tab is where you will detail your request for payment and material/services that were provided based upon the contract. Be sure to fill in the following items exactly as they appear in the contract:

- ☐ Item Number: If the contract schedule has more than one ACRN listed as sub items under the applicable Contract Line Item Number (CLIN), use the 6 character, separately identified Sub Line Item Number (SLIN) (e.g. – 0001AA) or Informational SLIN (e.g. – 000101), otherwise use the 4 character CLIN (e.g. – 0001).
- ☐ ACRN: Fill-in the applicable 2 alpha character ACRN that is associated with the CLIN or SLIN.

Note – DO NOT INVOICE FOR MORE THAN IS STILL AVAILABLE UNDER ANY CLIN/SLIN/ ACRN.

- ☐ Unit Price
- ☐ Unit of Measure

Shipment numbers must be formatted as follows:

Three (3) alpha characters followed by four (4) numeric characters.

For Services, enter ‘SER’ followed by the last 4 digits of the invoice number.

For Construction, enter ‘CON’ followed by the last 4 digits of the invoice number.

For Supplies, enter ‘SUP’ followed by the last 4 digits of the invoice number.

If the invoice number is less than 4 digits, enter leading zeros.

Before closing out of an invoice session in WAWF-RA but after submitting your document or documents, the contractor will be prompted to send additional email notifications. Contractor shall click on “Send More Email Notification” on the page that appears. Add the following email address joe.snuffy.mil@mail.mil in the first email address block and add any other additional email addresses desired in the following blocks. This additional notification to the government is important to ensure that all appropriate persons are aware that the invoice documents have been submitted into the WAWF-RA system.

If you have any questions regarding WAWF, please contact the WAWF Help Desk at 1-866-618-5988.

Section G - Contract Administration

G-1 DESIGNATION OF PRINCIPAL CONTRACTING OFFICER

The Principal Contracting Officer for this contract is:

Supervisory Contracting Officer,
Facilities Support Services Team
WHS Acquisition and Procurement Office
1777 North Kent St.
Arlington, VA 22209

Section H - Special Contract Requirements

CLAUSES INCORPORATED BY REFERENCE

252.247-7006 Removal of Contractor's Employees

DEC 1991

SPECIAL CONTRACT REQUIREMENTS

H-1 SECURITY REQUIREMENTS

a. Security Classification Guidance

All Security Classification Guidance is provided on DD Form 254, Department of Defense Contract Security Classification Specification (hereafter referred to as the DD 254) at Attachment J-C2. Any changes or additional security classification guidance shall be provided to the Contractor in writing, through updates and modifications to the DD 254. At no time will the Government issue classification guidance in any other form (verbal, e-mail, etc.).

b. Facility Security Clearance (FCL)

Performance of this contract requires a TOP SECRET facility clearance. The Contractor's Facility Security Officer (FSO) shall report, in writing, to the Contracting Officer any changes in the Contractor's security status throughout the contract period of performance.

c. Personnel Security Clearance (PCL)

Contractor employees assigned to this project require a PCL at the level (Confidential, Secret or Top Secret) identified in block 1.a of the DD Form 254. Prior to assignment of Contractor employees to this project, the Contractor's FSO shall submit PCL validation through use of a Visit Authorization Request (VAR) for each employee, in accordance with DoD 5220.22-M, National Industrial Security Program Operating Manual (NISPOM) to the designated security representative.

Changes in PCL status of Contractor employees shall be forwarded in writing to the Contracting Officer and the designated security representative.

d. Sub-Contractors

Subcontractors shall comply with the same security requirements as the Contractor. The Contractor shall issue DD 254s to each subcontractor reflecting the same security requirements applicable to the prime contract. The contractor shall also sponsor subcontractor(s) for an FCL and associated PCL(s) required in accordance with the DD 254.

H-2 DoD BUILDING PASS ISSUANCE

a. All personnel employed by a civilian commercial firm to perform work whose activity at any time requires passage into Government-occupied portions of the Pentagon or any other DoD facility on or off the Pentagon Reservation, shall be required to obtain a Temporary Department of Defense (DoD) Building Pass/Access Card.

b. The Contractor shall be responsible for having each employee requiring a Temporary DoD Building Pass/Access Card prepare the necessary applications, advising personnel of their obligations, filing the applications with the Contracting Officer, maintaining personnel files and re-filing applications for personnel in the event that clearances must later be extended. Personnel requiring a Temporary DOD Building Pass/Access Card must be either a citizen of the United States of America (USA) or a foreign national authorized to work in the USA under federal immigration and naturalization laws.

c. The Government will issue DoD building passes to eligible persons upon the completion of a National Criminal Information Check (NCIC) or National Agency Check (NAC). This is a search of the nationwide computerized information system established as a service to all criminal justice agencies. Processing of completed applications for initial pass issuance or renewal of existing passes will require three to five working days.

H-3 LOCAL INSURANCE

a. In accordance with the contract clause entitled "Insurance—Work on a Government Installation", FAR 52.228-5, the Contractor shall procure and maintain during the entire period of its performance under this contract, as a minimum, the following insurance:

<u>Type</u>	<u>Amount</u>
<i>Comprehensive General Liability:</i>	
Bodily Injury or Death	\$500,000 per occurrence
<i>Motor Vehicle Liability (for each vehicle):</i>	
Bodily Injury or Death	\$200,000 per person
	\$500,000 per occurrence
Property Damage	\$20,000 per occurrence
Workers' Compensation & Employer's Liability	\$100,000 per person *

*Worker's Compensation and Employer's Liability: Contractors are required to comply with applicable Federal and State workers' compensation and occupational disease statutes. If occupational diseases are not compensable under those statutes, they shall be covered under the employer's liability section of the insurance policy, except when contract operations are so co-mingled with a contractor's commercial operations that it would not be practical to require this coverage. Employer's liability coverage of at least \$100,000 shall be required, except in States with exclusive or monopolistic funds that do not permit workers' compensation to be written by private carriers.

b. Prior to the commencement of work hereunder, the Contractor shall furnish to the Contracting Officer a certificate of written statement of the above required insurance. The policies evidencing required insurance shall contain an endorsement to the effect that cancellation, or any material change in policies adversely affecting the interests of the Government in such insurance,

shall not be effective for such period as may be prescribed by the laws of the State in which this contract is to be performed and in no event less than thirty (30) days after written notice thereof to the Contracting Officer.

c. The Contractor agrees to insert the substance of this clause, including this paragraph, in all subcontracts hereunder.

H-4 COMPLIANCE WITH PENTAGON REGULATIONS

The site of the work is on a Federal Reservation Complex and the Contractor shall observe rules and regulations issued by the Director, Washington Headquarters Service (WHS) covering general safety, security, sanitary requirements, pollution and noise control, traffic regulations and parking. Information regarding requirements may be obtained by contacting the Contracting Officer, who will provide such information or assist in obtaining it from the appropriate authorities.

H-5 UTILITY SERVICES

a. Utility Services furnished to the Contractor by the Government from the Government's existing system outlets and/or supplies will be at no cost to the contractor. (See FAR Clause 52-236-14, Availability and Use of Utility Services.)

b. The Contractor shall make his/her own arrangements for services and coordinate with the Inspector any requirements that would cause a disruption in the electrical or water supply. NOTE: all disruption of services concerning electrical, or water supply must be coordinated with the inspector and scheduled by the inspector prior to disconnection.

H-6 IDENTIFICATION OF EMPLOYEES

All Contractor and subcontractor personnel attending meetings, answering Government telephones, and working in other situations where their contractor status is not obvious to third parties are required to identify themselves as such to avoid creating an impression that they are Government officials. All documents or reports produced by the Contractor shall be marked as contractor products or otherwise indicate that contractor participation is disclosed.

H-7 SUBSTITUTION OF KEY PERSONNEL

a. A requirement of this contract is to maintain stability of personnel proposed in order to provide quality services. The contractor agrees to assign only those key personnel whose resumes were submitted and approved and who are necessary to fulfill the requirements of the contract. No changes in key personnel, including but not limited to the substitution or addition of key personnel, shall be made except in accordance with this clause.

b. If key personnel become unavailable for work under the contract for whatever reason for a continuous period exceeding thirty (30) working days or are expected to devote substantially less

effort to the work than indicated in the proposal, the contractor shall propose a substitution for such personnel in accordance with paragraph (d) below.

c. The contractor agrees that changes in key personnel will not be made unless necessitated by compelling reasons. Compelling reasons include, but are not limited to, serious illness, death, termination of employment, declination of an offer of employment (for those individuals proposed as contingent hires), and family friendly / maternity leave. When the contractor determines that compelling reason to change key personnel exists, the contractor shall submit a request in accordance with subparagraph (d) below to the Contracting Officer and obtain Contracting Officer approval prior to changing key personnel.

d. All proposals to change or add key personnel shall be submitted, in writing, to the Contracting Officer not less than fifteen (15) days prior to the date of the proposed substitution/addition. In those situations where a security clearance is required, the request must be submitted not less than thirty (30) days prior to the date of the proposed substitution/addition. Each proposal or request shall provide a detailed explanation of the circumstances necessitating the proposed change, the resume of the individual proposed for substitution or addition, information regarding the financial impact of the change, and any other relevant information. All proposed substitutes (no matter when they are proposed during the performance period) shall have qualifications that are equal to or higher than the qualifications of the person being replaced.

e. The Contracting Officer shall evaluate requests to change or add key personnel and will approve/disapprove the request in writing and so notify the contractor.

f. If the Contracting Officer determines that the suitable and timely replacement of personnel who have been reassigned, terminated, or have otherwise become unavailable to perform under the contract is not reasonably forthcoming, or that the resultant reduction of productive effort would impair the successful completion of the contract, the contract may be terminated for default or for the convenience of the Government, as appropriate. Alternatively, at the Contracting Officer's discretion, if the Contracting Officer finds the Contractor to be at fault for the condition, the Contracting Officer may adjust the contract price or fixed fee downward to compensate the Government for any delay, loss, or damage as a result of the Contractor's action.

g. Noncompliance with the provisions of this clause will be considered a material breach of the terms and conditions of this contract for which the Government may seek any and all appropriate remedies including Termination for Default pursuant to FAR Clause 52.249-8, "Default (Fixed-Price Supply and Service)."

H-8 WORK STOPPAGES FOR OFFICIAL CEREMONIES

The Contractor shall provide for work stoppages as required for official ceremonies in the facility. A schedule of known ceremonies can be obtained from the Contracting Officer. The Contractor shall provide for a total of 4 days of work stoppages due to this requirement

H-9 DELIVERIES

a. All deliveries shall be processed through the Pentagon Remote Delivery Facility (RDF) site. The following information must be submitted to the COR or designated security representative 24 hours prior to scheduled delivery

- (1) Name of driver & passenger (if any)
- (2) Name of company
- (3) State of vehicle registration and license number
- (4) Contents of delivery

b. Security personnel staff the RDF from 4:30 AM until 5:30 PM (M-F) and 6:30 AM until 1:30 PM (Sat only). Arrangements can be made for deliveries outside of the hours by coordinating with the COR.

H-10 WORK BY OTHER CONTRACTORS

The Government has awarded and will award other contracts for similar and specialized work, which is outside the scope of this contract or outside the scope of the awarded options. These contracts will involve additional work at or near the site of the work under this contract. The contractor shall fully coordinate its work with the work of other Government contractors (hereafter called OGCs) and with the Contracting Officer. The Contractor shall carefully adapt its schedule and performance of the work under this contract to accommodate the work of the OGCs, and shall take coordination direction from the Contracting Officer. The OGCs will be placed under similar contracting conditions regarding coordination. The Contractor shall make every reasonable effort to avoid interference with the performance of work by the OGCs, as scheduled by the OGCs or by the Government.

Section I - Contract Clauses

CLAUSES INCORPORATED BY REFERENCE

52.202-1	Definitions	JUN 2020
52.203-3	Gratuities	APR 1984
52.203-5	Covenant Against Contingent Fees	MAY 2014
52.203-6	Restrictions On Subcontractor Sales To The Government	JUN 2020
52.203-7	Anti-Kickback Procedures	JUN 2020
52.203-8	Cancellation, Rescission, and Recovery of Funds for Illegal or Improper Activity	MAY 2014
52.203-10	Price Or Fee Adjustment For Illegal Or Improper Activity	MAY 2014
52.203-12	Limitation On Payments To Influence Certain Federal Transactions	JUN 2020
52.204-4	Printed or Copied Double-Sided on Postconsumer Fiber Content Paper	MAY 2011
52.204-7	System for Award Management	OCT 2018
52.204-9	Personal Identity Verification of Contractor Personnel	NOV 2006
52.209-6	Protecting the Government's Interest When Subcontracting With Contractors Debarred, Suspended, or Proposed for Debarment	SEP 2006
52.211-5	Material Requirements	AUG 2000
52.215-2	Audit and Records--Negotiation	JUN 1999
52.215-8	Order of Precedence--Uniform Contract Format	OCT 1997
52.215-19	Notification of Ownership Changes	OCT 1997
52.219-6	Notice Of Total Small Business Set-Aside	JUN 2003
52.219-8	Utilization of Small Business Concerns	MAY 2004
52.219-9	Small Business Subcontracting Plan	SEP 2007
52.222-3	Convict Labor	JUN 2003
52.222-4	Contract Work Hours and Safety Standards Act - Overtime Compensation	JUL 2005
52.222-21	Prohibition Of Segregated Facilities	FEB 1999
52.222-26	Equal Opportunity	MAR 2007
52.222-35	Equal Opportunity For Special Disabled Veterans, Veterans of the Vietnam Era, and Other Eligible Veterans	SEP 2006
52.222-36	Affirmative Action For Workers With Disabilities	JUN 1998
52.222-37	Employment Reports On Special Disabled Veterans, Veterans Of The Vietnam Era, and Other Eligible Veterans	SEP 2006
52.222-39	Notification of Employee Rights Concerning Payment of Union Dues or Fees	DEC 2004
52.222-41	Service Contract Act Of 1965, As Amended	JUL 2005

52.222-43	Fair Labor Standards Act And Service Contract Act	NOV 2006
	- Price Adjustment (Multiple Year And Option)	
52.223-5	Pollution Prevention and Right-to-Know Information	AUG 2003
52.223-6	Drug-Free Workplace	MAY 2001
52.223-10	Waste Reduction Program	AUG 2000
52.223-13	Certification of Toxic Chemical Release Reporting	AUG 2003
52.223-14	Toxic Chemical Release Reporting	AUG 2003
52.225-13	Restrictions on Certain Foreign Purchases	FEB 2006
52.226-1	Utilization Of Indian Organizations And Indian-Owned Economic Enterprises	JUN 2000
52.227-1	Authorization and Consent	JUL 1995
52.228-5	Insurance - Work On A Government Installation	JAN 1997
52.229-3	Federal, State And Local Taxes	APR 2003
52.232-1	Payments	APR 1984
52.232-8	Discounts For Prompt Payment	FEB 2002
52.232-9	Limitation On Withholding Of Payments	APR 1984
52.232-11	Extras	APR 1984
52.232-17	Interest	JUN 1996
52.232-18	Availability Of Funds	APR 1984
52.232-23	Assignment Of Claims	JAN 1986
52.232-25	Prompt Payment	OCT 2003
52.232-33	Payment by Electronic Funds Transfer--Central Contractor Registration	OCT 2003
52.232-35	Designation of Office for Government Receipt of Electronic Funds Transfer Information	MAY 1999
52.233-1	Disputes	JUL 2002
52.233-3	Protest After Award	AUG 1996
52.233-4	Applicable Law for Breach of Contract Claim	OCT 2004
52.237-2	Protection Of Government Buildings, Equipment, And Vegetation	APR 1984
52.237-3	Continuity Of Services	JAN 1991
52.242-13	Bankruptcy	JUL 1995
52.243-1	Changes--Fixed Price	AUG 1987
52.243-1 Alt II	Changes--Fixed-Price (Aug 1987) - Alternate II	APR 1984
52.244-5	Competition In Subcontracting	DEC 1996
52.244-6	Subcontracts for Commercial Products and Commercial Services.	JUN 2003
52.246-25	Limitation Of Liability--Services	FEB 1997
52.248-1	Value Engineering	FEB 2000
52.249-2 Alt II	Termination For Convenience Of The Government (Fixed Price) (May 2004) - Alternate II	SEP 1996
52.249-8	Default (Fixed-Price Supply & Service)	APR 1984
52.253-1	Computer Generated Forms	JAN 1991

252.204-7000	Disclosure Of Information	DEC 1991
252.204-7003	Control Of Government Personnel Work Product	APR 1992
252.204-7004	Central Contractor Registration (52.204-7)	NOV 2003
Alt A	Alternate A	
252.205-7000	Provision Of Information To Cooperative Agreement Holders	DEC 1991
252.209-7001	Disclosure of Ownership or Control by the Government of a Terrorist Country	OCT 2006
252.209-7002	Disclosure Of Ownership Or Control By A Foreign Government	JUN 2005
252.209-7004	Subcontracting With Firms That Are Owned or Controlled By The Government of a Terrorist Country	DEC 2006
252.215-7000	Pricing Adjustments	DEC 1991
252.219-7003	Small Business Subcontracting Plan (DOD Contracts)	APR 2007
252.223-7006	Prohibition On Storage And Disposal Of Toxic And Hazardous Materials	APR 1993
252.225-7002	Qualifying Country Sources As Subcontractors	APR 2003
252.225-7012	Preference For Certain Domestic Commodities	JAN 2007
252.225-7031	Secondary Arab Boycott Of Israel	JUN 2005
252.226-7001	Utilization of Indian Organizations and Indian-Owned Economic Enterprises, and Native Hawaiian Small Business Concerns	SEP 2004
252.232-7003	Electronic Submission of Payment Requests	MAR 2007
252.232-7010	Levies on Contract Payments	DEC 2006
252.241-7001	Government Access	DEC 1991
252.243-7001	Pricing Of Contract Modifications	DEC 1991
252.243-7002	Requests for Equitable Adjustment	MAR 1998
252.244-7000	Subcontracts for Commercial Products or Commercial Services	JAN 2023
252.247-7023	Transportation of Supplies by Sea	JAN 2023

CLAUSES INCORPORATED BY FULL TEXT

52.217-8 OPTION TO EXTEND SERVICES (NOV 1999)

The Government may require continued performance of any services within the limits and at the rates specified in the contract. These rates may be adjusted only as a result of revisions to prevailing labor rates provided by the Secretary of Labor. The option provision may be exercised more than once, but the total extension of performance hereunder shall not exceed 6 months. The Contracting Officer may exercise the option by written notice to the Contractor within the current Period of Performance.

(End of Clause)

52.217-9 OPTION TO EXTEND THE TERM OF THE CONTRACT (MAR 2000)

- (a) The Government may extend the term of this contract by written notice to the Contractor within the current Period of Performance; provided that the Government gives the Contractor a preliminary written notice of its intent to extend before the contract expires. The preliminary notice does not commit the Government to an extension.
 - (b) If the Government exercises this option, the extended contract shall be considered to include this option clause.
 - (c) The total duration of this contract, including the exercise of any options under this clause, shall not exceed 60 months (not including any extension authorized under FAR clause 52.217-8).
- (End of Clause)

52.245-2 GOVERNMENT PROPERTY INSTALLATION OPERATION SERVICES (JUNE 2007)

- (a) This Government Property listed in paragraph (e) of this clause is furnished to the Contractor in an "as-is, where is" condition. The Government makes no warranty regarding the suitability for use of the Government property specified in this contract. The Contractor shall be afforded the opportunity to inspect the Government property as specified in the solicitation.
- (b) The Government bears no responsibility for repair or replacement of any lost, damaged or destroyed Government property. If any or all of the Government property is lost, damaged or destroyed or becomes no longer usable, the Contractor shall be responsible for replacement of the property at Contractor expense. The Contractor shall have title to all replacement property and shall continue to be responsible for contract performance.
- (c) Unless the Contracting Officer determines otherwise, the Government abandons all rights and title to unserviceable and scrap property resulting from contract performance. Upon notification to the Contracting Officer, the Contractor shall remove such property from the Government premises and dispose of it at Contractor expense.
- (d) Except as provided in this clause, Government property furnished under this contract shall be governed by the Government Property clause of this contract.
- (e) Government property provided under this clause:

Performance Work Statement C-1 Section 3.
(End of clause)

52.252-2 CLAUSES INCORPORATED BY REFERENCE (FEB 1998)

This contract incorporates one or more clauses by reference, with the same force and effect as if they were given in full text. Upon request, the Contracting Officer will make their full text available. Also, the full text of a clause may be accessed electronically at this/these address(es): <http://acquisition.gov/far/index.html> - or - <http://farsite.hill.af.mil/VFDFARA.HTM>

(End of clause)

52.252-6 AUTHORIZED DEVIATIONS IN CLAUSES (APR 1984)

(a) The use in this solicitation or contract of any Federal Acquisition Regulation (48 CFR Chapter 1) clause with an authorized deviation is indicated by the addition of "(DEVIATION)" after the date of the clause.

(b) The use in this solicitation or contract of any other (48 CFR) clause with an authorized deviation is indicated by the addition of "(DEVIATION)" after the name of the regulation.

(End of clause)

252.204-7001 COMMERCIAL AND GOVERNMENT ENTITY (CAGE) CODE REPORTING (AUG 1999)

(a) The offeror is requested to enter its CAGE code on its offer in the block with its name and address. The CAGE code entered must be for that name and address. Enter "CAGE" before the number.

(b) If the offeror does not have a CAGE code, it may ask the Contracting Officer to request one from the Defense Logistics Information Service (DLIS). The Contracting Officer will--

(1) Ask the Contractor to complete section B of a DD Form 2051, Request for Assignment of a Commercial and Government Entity (CAGE) Code;

(2) Complete section A and forward the form to DLIS; and

(3) Notify the Contractor of its assigned CAGE code.

(c) Do not delay submission of the offer pending receipt of a CAGE code.

(End of provision)

Section J - List of Documents, Exhibits and Other Attachments

J-B1 - J-B5 ATTACHMENTS

Attachment J-B1 - Schedule of Prices/Deductions

Base Performance Period

Area	Estimated Quantity	Unit	Unit Price	Total
Pentagon				
Restrooms	51,192	sq ft		
Corridors	83,517	sq ft		
Stairwells	11,164	sq ft		
Escalators	1,547	sq ft		
Elevators	4,439	sq ft		
Metro Entrance 1st Floor	20,926	sq ft		
Senior Executive Offices	36,188	sq ft		
Executive Offices	36,959	sq ft		
General Offices	506,059	sq ft		
Conference Rooms/Class Rooms/Training Rooms	17,972	sq ft		
Laboratories	736	sq ft		
Structurally Changed Spaces	7,112	sq ft		
Communication Rooms	34,338	sq ft		
Butler Building	22,621	sq ft		
Total Interior	834,770	sq ft		
Exterior Grounds	6,098,400	sq ft		
Window Cleaning	1,240	ea		
*Total	7,767,940	sq ft		
*The contractor's total price must match the total price for the CLINS in Section B.				
Unit Price for Additional Carpet Cleaning	1	sq yd		

Attachment J-B2 - Schedule of Prices/Deductions

Option Period One Performance Period

Area	Estimated Quantity	Unit	Unit Price	Total
Pentagon				
Restrooms	51,192	sq ft		
Corridors	83,517	sq ft		
Stairwells	11,164	sq ft		
Escalators	1,547	sq ft		
Elevators	4,439	sq ft		
Metro Entrance 1st Floor	20,926	sq ft		
Senior Executive Offices	36,188	sq ft		
Executive Offices	36,959	sq ft		
General Offices	506,059	sq ft		

Conference Rooms/Class Rooms/Training Rooms	17,972	sq ft		
Laboratories	736	sq ft		
Structurally Changed Spaces	7,112	sq ft		
Communication Rooms	34,338	sq ft		
Butler Building	22,621	sq ft		
Total Interior	834,770	sq ft		
Exterior Grounds	6,098,400	sq ft		
Window Cleaning	1,240	ea		
*Total	7,767,940	sq ft		
*The contractor's total price must match the total price for the CLINS in Section B.				
Unit Price for Additional Carpet Cleaning	1	sq yd		

Attachment J-B3 - Schedule of Prices/Deductions

Option Period Two Performance Period

Area	Estimated Quantity	Unit	Unit Price	Total
Pentagon				
Restrooms	51,192	sq ft		
Corridors	83,517	sq ft		
Stairwells	11,164	sq ft		
Escalators	1,547	sq ft		
Elevators	4,439	sq ft		
Metro Entrance 1st Floor	20,926	sq ft		
Senior Executive Offices	36,188	sq ft		
Executive Offices	36,959	sq ft		
General Offices	506,059	sq ft		
Conference Rooms/Class Rooms/Training Rooms	17,972	sq ft		
Laboratories	736	sq ft		
Structurally Changed Spaces	7,112	sq ft		
Communication Rooms	34,338	sq ft		
Butler Building	22,621	sq ft		
Total Interior	834,770	sq ft		
Exterior Grounds	6,098,400	sq ft		
Window Cleaning	1,240	ea		
*Total	7,767,940	sq ft		
*The contractor's total price must match the total price for the CLINS in Section B.				
Unit Price for Additional Carpet Cleaning	1	sq yd		

Attachment J-B4 - Schedule of Prices/Deductions

Option Period Three Performance Period

Area	Estimated Quantity	Unit	Unit Price	Total
Pentagon				
Restrooms	51,192	sq ft		
Corridors	83,517	sq ft		
Stairwells	11,164	sq ft		
Escalators	1,547	sq ft		
Elevators	4,439	sq ft		
Metro Entrance 1st Floor	20,926	sq ft		
Senior Executive Offices	36,188	sq ft		
Executive Offices	36,959	sq ft		
General Offices	506,059	sq ft		
Conference Rooms/Class Rooms/Training Rooms	17,972	sq ft		
Laboratories	736	sq ft		
Structurally Changed Spaces	7,112	sq ft		
Communication Rooms	34,338	sq ft		
Butler Building	22,621	sq ft		
Total Interior	834,770	sq ft		
Exterior Grounds	6,098,400	sq ft		
Window Cleaning	1,240	ea		
*Total	7,767,940	sq ft		
*The contractor's total price must match the total price for the CLINS in Section B.				
Unit Price for Additional Carpet Cleaning	1	sq yd		

Attachment J-B5 - Schedule of Prices/Deductions
Option Period Four Performance Period

Area	Estimated Quantity	Unit	Unit Price	Total
Pentagon				
Restrooms	51,192	sq ft		
Corridors	83,517	sq ft		
Stairwells	11,164	sq ft		
Escalators	1,547	sq ft		
Elevators	4,439	sq ft		
Metro Entrance 1st Floor	20,926	sq ft		
Senior Executive Offices	36,188	sq ft		
Executive Offices	36,959	sq ft		
General Offices	506,059	sq ft		
Conference Rooms/Class Rooms/Training Rooms	17,972	sq ft		
Laboratories	736	sq ft		
Structurally Changed Spaces	7,112	sq ft		
Communication Rooms	34,338	sq ft		

Butler Building	22,621	sq ft		
Total Interior	834,770	sq ft		
Exterior Grounds	6,098,400	sq ft		
Window Cleaning	1,240	ea		
*Total	7,767,940	sq ft		
*The contractor's total price must match the total price for the CLINS in Section B.				
Unit Price for Additional Carpet Cleaning	1	sq yd		

NOTICE OF WAGE DETERMINATION

Any contract awarded as a result of this solicitation will be subject to Wage Determination CBA-2014-0091.

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ATTACHMENT 3: J-C1

ESTIMATED BUILDING AREA MEASUREMENTS*

Internal Assignable Square Footage on 04/01/14 (2nd Floor)	931,881
External Square Footage	5,100,000
Pentagon Estimated Square Footages (2nd Floor)	
Restrooms	51,192
Corridors	83,517
Stairwells	11,164
Escalators	1,547
Elevators	4,439
Metro Entrance 1 st Floor	20,926
Senior Executive Offices	36,188
Executive Offices	36,959
General Offices	506,059
Conference Rooms/Class Rooms/ Training Rooms	17,972
Laboratories	736
Structurally Changed Spaces	7,112
Communications	34,338
Estimated Carpeted Area	
Pentagon (2 nd Floor)	639,364 (71,040 SY)
Floor Mats	5,000 (556 SY)
Estimated Window Count	
Interior Window Sides	540
Exterior Window Sides	6,925
Additional Glass SF	5,500

*All estimates are based on the renovation schedule and square footage estimates provided by PENREN and/or reported on FIMS. PENREN estimates Corridors 9 to 1 to be closed for renovation on 04/01/2014.

J-L1 ATTACHMENT

Past Performance Data Sheet

**See Separate Attachment.

J-L2 ATTACHMENT

Past Performance Questionnaire

**See Separate Attachment.

J-C2 ATTACHMENT

Contract Security Classification – DD254

**See Separate Attachment.

Section K - Representations, Certifications and Other Statements of Offerors

CLAUSES INCORPORATED BY REFERENCE

52.203-11	Certification And Disclosure Regarding Payments To Influence Certain Federal Transactions	SEP 2005
252.209-7001	Disclosure of Ownership or Control by the Government of a Terrorist Country	OCT 2006
252.209-7002	Disclosure Of Ownership Or Control By A Foreign Government	JUN 2005

CLAUSES INCORPORATED BY FULL TEXT

52.203-2 CERTIFICATE OF INDEPENDENT PRICE DETERMINATION (APR 1985)

(a) The offeror certifies that --

(1) The prices in this offer have been arrived at independently, without, for the purpose of restricting competition, any consultation, communication, or agreement with any other offeror or competitor relating to --

(i) Those prices,

(ii) The intention to submit an offer, or

(iii) The methods of factors used to calculate the prices offered:

(2) The prices in this offer have not been and will not be knowingly disclosed by the offeror, directly or indirectly, to any other offeror or competitor before bid opening (in the case of a sealed bid solicitation) or contract award (in the case of a negotiated solicitation) unless otherwise required by law; and

(3) No attempt has been made or will be made by the offeror to induce any other concern to submit or not to submit an offer for the purpose of restricting competition.

(b) Each signature on the offer is considered to be a certification by the signatory that the signatory --

(1) Is the person in the offeror's organization responsible for determining the prices offered in this bid or proposal, and that the signatory has not participated and will not participate in any action contrary to subparagraphs (a)(1) through (a)(3) of this provision; or

(2) (i) Has been authorized, in writing, to act as agent for the following principals in certifying that those principals have not participated, and will not participate in any action contrary to subparagraphs (a)(1) through (a)(3) of this provision

_____ (insert full name of person(s))

in the offeror's organization responsible for determining the prices offered in this bid or proposal, and the title of his or her position in the offeror's organization);

(ii) As an authorized agent, does certify that the principals named in subdivision (b)(2)(i) above have not participated, and will not participate, in any action contrary to subparagraphs (a)(1) through (a)(3) above; and

(iii) As an agent, has not personally participated, and will not participate, in any action contrary to subparagraphs (a)(1) through (a)(3) of this provision.

(c) If the offeror deletes or modifies subparagraph (a)(2) of this provision, the offeror must furnish with its offer a signed statement setting forth in detail the circumstances of the disclosure. (End of clause)

52.204-8 ANNUAL REPRESENTATIONS AND CERTIFICATIONS (JAN 2006)

(a)(1) The North American Industry Classification System (NAICS) code for this acquisition is 561720.

(2) The small business size standard is \$15 Million.

(3) The small business size standard for a concern which submits an offer in its own name, other than on a construction or service contract, but which proposes to furnish a product which it did not itself manufacture, is 500 employees.

(b)(1) If the clause at 52.204-7, Central Contractor Registration, is included in this solicitation, paragraph (c) of this provision applies.

(2) If the clause at 52.204-7 is not included in this solicitation, and the offeror is currently registered in CCR, and has completed the ORCA electronically, the offeror may choose to use paragraph (b) of this provision instead of completing the corresponding individual representations and certifications in the solicitation. The offeror shall indicate which option applies by checking one of the following boxes:

☒ **Paragraph (c) applies.**

☐ Paragraph (c) does not apply and the offeror has completed the individual representations and certifications in the solicitation.

(c) The offeror has completed the annual representations and certifications electronically via the Online Representations and Certifications Application (ORCA) website at <http://orca.bpn.gov>. After reviewing the ORCA database information, the offeror verifies by submission of the offer that the representations and certifications currently posted electronically have been entered or updated within the last 12 months, are current, accurate, complete, and applicable to this solicitation (including the business size standard applicable to the NAICS code referenced for

this solicitation), as of the date of this offer and are incorporated in this offer by reference (see FAR 4.1201); except for the changes identified below [offeror to insert changes, identifying change by clause number, title, date]. These amended representation(s) and/or certification(s) are also incorporated in this offer and are current, accurate, and complete as of the date of this offer.

FAR Clause	Title	Date	Change
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Any changes provided by the offeror are applicable to this solicitation only, and do not result in an update to the representations and certifications posted on ORCA.
(End of Provision)

52.222-22 PREVIOUS CONTRACTS AND COMPLIANCE REPORTS (FEB 1999)

The offeror represents that --

- (a) () It has, () has not participated in a previous contract or subcontract subject to the Equal Opportunity clause of this solicitation;
- (b) () It has, () has not, filed all required compliance reports; and
- (c) Representations indicating submission of required compliance reports, signed by proposed subcontractors, will be obtained before subcontract awards.

(End of provision)

REPS & CERTS

K-1 AUTHORIZED NEGOTIATORS

The offeror or quoter represents that the following persons are authorized to negotiate on its behalf with the Government in connection with this request for proposals or quotations: (List names, titles, and telephone numbers of the authorized negotiators).

K-2 PERIOD OF ACCEPTANCE FOR OFFERS

In compliance with the solicitation, the offeror agrees, if this offer is accepted within 90 calendar days from the date specified in the solicitation for receipt of offers, to furnish any or all items on which prices are offered at the price set opposite each item, delivered at the designated point(s), within the time specified in the Schedule.

Section L - Instructions, Conditions and Notices to Bidders

CLAUSES INCORPORATED BY REFERENCE

52.204-6	Data Universal Numbering System (DUNS) Number	OCT 2003
52.222-24	Preaward On-Site Equal Opportunity Compliance Evaluation	FEB 1999
52.237-1	Site Visit	APR 1984

CLAUSES INCORPORATED BY FULL TEXT

52.215-1 INSTRUCTIONS TO OFFERORS--COMPETITIVE ACQUISITION (JAN 2004)

(a) Definitions. As used in this provision--

“Discussions” are negotiations that occur after establishment of the competitive range that may, at the Contracting Officer's discretion, result in the offeror being allowed to revise its proposal.

“In writing or written” means any worded or numbered expression which can be read, reproduced, and later communicated, and includes electronically transmitted and stored information.

“Proposal modification” is a change made to a proposal before the solicitation's closing date and time, or made in response to an amendment, or made to correct a mistake at any time before award.

“Proposal revision” is a change to a proposal made after the solicitation closing date, at the request of or as allowed by a Contracting Officer as the result of negotiations.

“Time”, if stated as a number of days, is calculated using calendar days, unless otherwise specified, and will include Saturdays, Sundays, and legal holidays. However, if the last day falls on a Saturday, Sunday, or legal holiday, then the period shall include the next working day.

(b) Amendments to solicitations. If this solicitation is amended, all terms and conditions that are not amended remain unchanged. Offerors shall acknowledge receipt of any amendment to this solicitation by the date and time specified in the amendment(s).

(c) Submission, modification, revision, and withdrawal of proposals. (1) Unless other methods (e.g., electronic commerce or facsimile) are permitted in the solicitation, proposals and modifications to proposals shall be submitted in paper media in sealed envelopes or packages (i) addressed to the office specified in the solicitation, and (ii) showing the time and date specified for receipt, the solicitation number, and the name and address of the offeror. Offerors using

commercial carriers should ensure that the proposal is marked on the outermost wrapper with the information in paragraphs (c)(1)(i) and (c)(1)(ii) of this provision.

(2) The first page of the proposal must show--

(i) The solicitation number;

(ii) The name, address, and telephone and facsimile numbers of the offeror (and electronic address if available);

(iii) A statement specifying the extent of agreement with all terms, conditions, and provisions included in the solicitation and agreement to furnish any or all items upon which prices are offered at the price set opposite each item;

(iv) Names, titles, and telephone and facsimile numbers (and electronic addresses if available) of persons authorized to negotiate on the offeror's behalf with the Government in connection with this solicitation; and

(v) Name, title, and signature of person authorized to sign the proposal. Proposals signed by an agent shall be accompanied by evidence of that agent's authority, unless that evidence has been previously furnished to the issuing office.

(3) Submission, modification, or revision, of proposals.

(i) Offerors are responsible for submitting proposals, and any modifications, or revisions, so as to reach the Government office designated in the solicitation by the time specified in the solicitation. If no time is specified in the solicitation, the time for receipt is 4:30 p.m., local time, for the designated Government office on the date that proposal or revision is due.

(ii)(A) Any proposal, modification, or revision received at the Government office designated in the solicitation after the exact time specified for receipt of offers is "late" and will not be considered unless it is received before award is made, the Contracting Officer determines that accepting the late offer would not unduly delay the acquisition; and--

(1) If it was transmitted through an electronic commerce method authorized by the solicitation, it was received at the initial point of entry to the Government infrastructure not later than 5:00 p.m. one working day prior to the date specified for receipt of proposals; or

(2) There is acceptable evidence to establish that it was received at the Government installation designated for receipt of offers and was under the Government's control prior to the time set for receipt of offers; or

(3) It is the only proposal received.

(B) However, a late modification of an otherwise successful proposal that makes its terms more favorable to the Government, will be considered at any time it is received and may be accepted.

(iii) Acceptable evidence to establish the time of receipt at the Government installation includes the time/date stamp of that installation on the proposal wrapper, other documentary evidence of receipt maintained by the installation, or oral testimony or statements of Government personnel.

(iv) If an emergency or unanticipated event interrupts normal Government processes so that proposals cannot be received at the office designated for receipt of proposals by the exact time specified in the solicitation, and urgent Government requirements preclude amendment of the solicitation, the time specified for receipt of proposals will be deemed to be extended to the same time of day specified in the solicitation on the first work day on which normal Government processes resume.

(v) Proposals may be withdrawn by written notice received at any time before award. Oral proposals in response to oral solicitations may be withdrawn orally. If the solicitation authorizes facsimile proposals, proposals may be withdrawn via facsimile received at any time before award, subject to the conditions specified in the provision at 52.215-5, Facsimile Proposals. Proposals may be withdrawn in person by an offeror or an authorized representative, if the identity of the person requesting withdrawal is established and the person signs a receipt for the proposal before award.

(4) Unless otherwise specified in the solicitation, the offeror may propose to provide any item or combination of items.

(5) Offerors shall submit proposals in response to this solicitation in English, unless otherwise permitted by the solicitation, and in U.S. dollars, unless the provision at FAR 52.225-17, Evaluation of Foreign Currency Offers, is included in the solicitation.

(6) Offerors may submit modifications to their proposals at any time before the solicitation closing date and time, and may submit modifications in response to an amendment, or to correct a mistake at any time before award.

(7) Offerors may submit revised proposals only if requested or allowed by the Contracting Officer.

(8) Proposals may be withdrawn at any time before award. Withdrawals are effective upon receipt of notice by the Contracting Officer.

(d) Offer expiration date. Proposals in response to this solicitation will be valid for the number of days specified on the solicitation cover sheet (unless a different period is proposed by the offeror).

(e) Restriction on disclosure and use of data. Offerors that include in their proposals data that they do not want disclosed to the public for any purpose, or used by the Government except for evaluation purposes, shall--

(1) Mark the title page with the following legend: This proposal includes data that shall not be

disclosed outside the Government and shall not be duplicated, used, or disclosed--in whole or in part--for any purpose other than to evaluate this proposal. If, however, a contract is awarded to this offeror as a result of--or in connection with-- the submission of this data, the Government shall have the right to duplicate, use, or disclose the data to the extent provided in the resulting contract. This restriction does not limit the Government's right to use information contained in this data if it is obtained from another source without restriction. The data subject to this restriction are contained in sheets [insert numbers or other identification of sheets]; and

(2) Mark each sheet of data it wishes to restrict with the following legend: Use or disclosure of data contained on this sheet is subject to the restriction on the title page of this proposal.

(f) Contract award. (1) The Government intends to award a contract or contracts resulting from this solicitation to the responsible offeror(s) whose proposal(s) represents the best value after evaluation in accordance with the factors and subfactors in the solicitation.

(2) The Government may reject any or all proposals if such action is in the Government's interest.

(3) The Government may waive informalities and minor irregularities in proposals received.

(4) The Government intends to evaluate proposals and award a contract without discussions with offerors (except clarifications as described in FAR 15.306(a)). Therefore, the offeror's initial proposal should contain the offeror's best terms from a cost or price and technical standpoint. The Government reserves the right to conduct discussions if the Contracting Officer later determines them to be necessary. If the Contracting Officer determines that the number of proposals that would otherwise be in the competitive range exceeds the number at which an efficient competition can be conducted, the Contracting Officer may limit the number of proposals in the competitive range to the greatest number that will permit an efficient competition among the most highly rated proposals.

(5) The Government reserves the right to make an award on any item for a quantity less than the quantity offered, at the unit cost or prices offered, unless the offeror specifies otherwise in the proposal.

(6) The Government reserves the right to make multiple awards if, after considering the additional administrative costs, it is in the Government's best interest to do so.

(7) Exchanges with offerors after receipt of a proposal do not constitute a rejection or counteroffer by the Government.

(8) The Government may determine that a proposal is unacceptable if the prices proposed are materially unbalanced between line items or subline items. Unbalanced pricing exists when, despite an acceptable total evaluated price, the price of one or more contract line items is significantly overstated or understated as indicated by the application of cost or price analysis techniques. A proposal may be rejected if the Contracting Officer determines that the lack of balance poses an unacceptable risk to the Government.

(9) If a cost realism analysis is performed, cost realism may be considered by the source selection authority in evaluating performance or schedule risk.

(10) A written award or acceptance of proposal mailed or otherwise furnished to the successful offeror within the time specified in the proposal shall result in a binding contract without further action by either party.

(11) If a post-award debriefing is given to requesting offerors, the Government shall disclose the following information, if applicable:

(i) The agency's evaluation of the significant weak or deficient factors in the debriefed offeror's offer.

(ii) The overall evaluated cost or price and technical rating of the successful and the debriefed offeror and past performance information on the debriefed offeror.

(iii) The overall ranking of all offerors, when any ranking was developed by the agency during source selection.

(iv) A summary of the rationale for award.

(v) For acquisitions of commercial products, the make and model of the item to be delivered by the successful offeror.

(vi) Reasonable responses to relevant questions posed by the debriefed offeror as to whether source-selection procedures set forth in the solicitation, applicable regulations, and other applicable authorities were followed by the agency.

(End of provision)

52.215-20 REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR PRICING DATA (NOV 2021)

(a) Exceptions from certified cost or pricing data. (1) In lieu of submitting certified cost or pricing data, offerors may submit a written request for exception by submitting the information described in the following paragraphs. The Contracting Officer may require additional supporting information, but only to the extent necessary to determine whether an exception should be granted, and whether the price is fair and reasonable.

(i) Identification of the law or regulation establishing the price offered. If the price is controlled under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of the controlling document, unless it was previously submitted to the contracting office.

(ii) Commercial product and commercial service exception. For a commercial product and commercial service exception, the offeror shall submit, at a minimum, information on prices at

which the same item or similar items have previously been sold in the commercial market that is adequate for evaluating the reasonableness of the price for this acquisition. Such information may include-

(A) For catalog items, a copy of or identification of the catalog and its date, or the appropriate pages for the offered items, or a statement that the catalog is on file in the buying office to which the proposal is being submitted. Provide a copy or describe current discount policies and price lists (published or unpublished), e.g., wholesale, original equipment manufacturer, or reseller. Also explain the basis of each offered price and its relationship to the established catalog price, including how the proposed price relates to the price of recent sales in quantities similar to the proposed quantities;

(B) For market-priced items, the source and date or period of the market quotation or other basis for market price, the base amount, and applicable discounts. In addition, describe the nature of the market;

(C) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an exception has been granted for the schedule item.

(2) The offeror grants the Contracting Officer or an authorized representative the right to examine, at any time before award, books, records, documents, or other directly pertinent records to verify any request for an exception under this provision, and the reasonableness of price. For items priced using catalog or market prices, or law or regulation, access does not extend to cost or profit information or other data relevant solely to the offeror's determination of the prices to be offered in the catalog or marketplace.

(b) Requirements for certified cost or pricing data. If the offeror is not granted an exception from the requirement to submit certified cost or pricing data, the following applies:

(1) The offeror shall prepare and submit certified cost or pricing data, data other than certified cost or pricing data, and supporting attachments in accordance with the instructions contained in Table 15-2 of FAR 15.408, which is incorporated by reference with the same force and effect as though it were inserted here in full text. The instructions in Table 15-2 are incorporated as a mandatory format to be used in this contract, unless the Contracting Officer and the Contractor agree to a different format and change this clause to use Alternate I.

(2) As soon as practicable after agreement on price, but before contract award (except for unpriced actions such as letter contracts), the offeror shall submit a Certificate of Current Cost or Pricing Data, as prescribed by FAR 15.406-2.

(End of provision)

52.215-20 REQUIREMENTS FOR COST OR PRICING DATA OR INFORMATION
OTHER THAN COST OR PRICING DATA (OCT 1997)—ALTERNATE IV (OCT 1997)

(a) Submission of cost or pricing data is not required.

(b) Provide Schedule of Prices/Deductions (see J-B1 – J-B5 Attachments).

(End of provision)

52.216-1 TYPE OF CONTRACT (APR 1984)

The Government contemplates award of a Firm Fixed Price contract resulting from this solicitation.

(End of provision)

52.233-2 SERVICE OF PROTEST (SEP 2006)

(a) Protests, as defined in section 33.101 of the Federal Acquisition Regulation, that are filed directly with an agency, and copies of any protests that are filed with the Government Accountability Office (GAO), shall be served on the Contracting Officer (addressed as follows) by obtaining written and dated acknowledgment of receipt from

Washington Headquarters Services / Acquisition & Procurement Office
Contracting Officer: Mr. David Julian
1777 North Kent Street, Suite 12063
Arlington, VA 22201

(b) The copy of any protest shall be received in the office designated above within one day of filing a protest with the GAO.

(End of provision)

52.252-1 SOLICITATION PROVISIONS INCORPORATED BY REFERENCE (FEB 1998)

This solicitation incorporates one or more solicitation provisions by reference, with the same force and effect as if they were given in full text. Upon request, the Contracting Officer will make their full text available. The offeror is cautioned that the listed provisions may include blocks that must be completed by the offeror and submitted with its quotation or offer. In lieu of submitting the full text of those provisions, the offeror may identify the provision by paragraph identifier and provide the appropriate information with its quotation or offer. Also, the full text of a solicitation provision may be accessed electronically at this/these address(es):

<http://acquisition.gov/far/index.html> - or - <http://farsite.hill.af.mil/VFDFARA.HTM>

(End of provision)

52.252-5 AUTHORIZED DEVIATIONS IN PROVISIONS (APR 1984)

(a) The use in this solicitation of any Federal Acquisition Regulation (48 CFR Chapter 1) provision with an authorized deviation is indicated by the addition of "(DEVIATION)" after the date of the provision.

(b) The use in this solicitation of any Federal Acquisition Regulation (48 CFR Chapter 1-2) provision with an authorized deviation is indicated by the addition of "(DEVIATION)" after the name of the regulation.

(End of provision)

INSTRUCTIONS TO OFFERORS

L-1 PRE-AWARD SURVEY

A pre-award survey may be conducted when the Contracting Officer determines it to be in the Government's interest.

L-2 DEADLINE FOR RECEIPT OF QUESTIONS FROM PROSPECTIVE OFFERORS

Potential offerors may submit questions in writing, regarding the performance work statement and the terms and conditions of this solicitation, by mail, courier, email or fax, but questions must be received in the office designated below **no later than 4:00 PM local time on 16 July 2014.**

Submit questions to:

PV1 Joe Snuffy, Contract Specialist
WHS Acquisition and Procurement Office
1777 North Kent St.
Suite 12063
Arlington, VA 22209
FAX: 703-696-4164
Email: joe.snuffy.mil@mail.mil

L-3 ADDRESS AND OFFER DUE DATE

Proposals, in the quantities specified, shall be received at:

WHS Acquisition & Procurement Office
Attn: PV1 Joe Snuffy

1777 North Kent St.
Arlington, VA 22209

Offers shall be received in the office identified above by 2:30 PM local time on 06 August 2014.

Late submissions will not be accepted.

L-4 SITE VISIT AND PRE-PROPOSAL CONFERENCE

Offerors are urged and expected to inspect the site where services are to be performed and to satisfy themselves regarding all general and local conditions that may affect the cost of contract performance, to the extent that the information is reasonably obtainable. A site visit and pre-proposal conference is scheduled for **10:00 AM on 10 July 2014**. Details regarding the location and procedures for access will be issued by amendment.

L-5 PROPOSAL PREPARATION

Offerors must submit offers using the following submission guidance and information. Failure of an offeror to address any items listed may make the offer unacceptable and may result in its not being considered for award.

- a. Offer shall remain firm for at least 90 calendar days (offeror shall enter 90 in Block 12 of the SF33) and can be submitted via FEDEX, United States Postal Service (USPS), U.S. Mail, or another commercial carrier; however, the use of USPS is not recommended as the single method of submission. Offers shall be submitted to the address in paragraph L-3 above.
- b. Neither telegraphic nor facsimile offers will be considered; however, offers may be modified by written, telegraphic, or facsimile notice, if that notice is received by the time specified for receipt of offers.
- c. Offerors must submit one original and three (3) copies of their technical (Volume I), one original and one copy of their price proposal, past performance and business information (Volume II), including all attachments, on separate CD-ROMs using Microsoft Office 2000 or 2003 compatible format.

L-6 GENERAL PROPOSAL REQUIREMENTS

- a. All proposals must clearly and convincingly demonstrate that the offeror has a thorough understanding of the requirements and associated risks, and is able, willing, and competent to devote the resources necessary to meet or exceed the requirements.
- b. Should any aspect of the Contractor's proposal change after submission but prior to award, the Contractor shall promptly notify the Contracting Officer of the change. Note that substantial changes may require dismissal of the proposal from consideration.
- c. Offer's outside wrapper shall clearly indicate that it is a submission under this solicitation.

L-7 GENERAL PROPOSAL CONTENT

Each proposal shall contain the following:

- i. Standard Form 33, or equivalent. Failure to do so may lead to rejection of the offer.
- ii. Cover Letter. All offerors shall submit a cover letter including a concise statement of what is being proposed. The statement should be complete, not more than two pages, and should clearly indicate reasons why a contract should be awarded to the offeror, with appropriate summary of highlights and references to the body of the proposal. This letter shall outline and explain any deviations, exceptions, or conditional assumptions taken to the requirements of this solicitation. Further, sufficient amplification and justification to permit evaluation must support any deviations, exceptions, or conditional assumptions. To the extent that there is any inconsistency between the terms and conditions of the solicitation and those proposed by the offeror, which inconsistency has not been clearly disclosed to the Government by the offeror, the Government's terms and conditions shall control in the event that a contract is awarded.
- iii. Technical Proposal – Volume I (provide one original and 3 copies).
- iv. Price Proposal, Past Performance Data and Business Information – Volume II (provide one original and one copy).

L-8 TECHNICAL PROPOSAL – VOLUME I

a. Proposal Contents. The technical proposal must demonstrate an ability to comply with all requirements in the solicitation. General statements that the Offeror can or will comply with the requirements, that standard procedures will be used, that well known techniques will be used, or paraphrases of the RFP's Statement of Work/Specification in whole or in part, **will not** constitute compliance. Failure to conform to any of the requirements of the RFP may form the basis for rejection of the proposal.

b. Proposal Length. The Technical Proposal must not exceed 75 pages, single-sided; including the original technical proposal and additional or change pages submitted with an offeror's final proposal revision, excluding foldouts, blank pages, title pages, tab indices and table of contents. Changed pages shall be clearly identified as such and should be provided on colored paper with the revisions clearly marked. If the offeror elects to submit a complete revised technical proposal, revisions must be clearly identified. Each page shall be 8 ½ x 11 inches, doubled-spaced, 12-point font, with one-inch margins. This limit extends to all introductory comments, overviews, text, illustrations, graphics, appendices and other pertinent information. Graphics and appendices must be single-spaced. Graphics are exempt from the 12-point font and one-inch margin requirements. Plans and Drawings are not included in the 75-page limit. The Technical Proposal must be bound separately in a binder and all foldouts must be in sleeves and placed in the binder. Claims as to proprietary data must specifically identify page(s), paragraph(s), sentence(s), and must not be generalized. Pages shall be numbered and paragraphs identified by a commonly used and consistent system to assist in referencing specific areas of the proposal. Pages shall also have a header or footer that contains at a minimum, contractor name and solicitation number. Enclosures must be identified on all pages.

c. Technical Information. Offeror shall address their technical capability to adequately perform the requirements set forth in Section C. At a minimum, the proposal shall provide information supporting the Contractor's ability to meet contract requirements in the areas listed below (keyed to the Evaluation Factors in Section M).

Factor	Subfactor	Specific Instructions
(1) Technical Requirements	Subfactor a. “Possession of a Top Secret Facility Clearance (Evaluated on a Pass/Fail Basis)”	Provide a copy of the offerors Defense Security Service Facility Clearance letter documenting possession of a Top Secret Facility Clearance.
(1) Technical Requirements	Subfactor b. “Adequacy, Feasibility and Technical Merit”	Provide an overview of the offerors method and approach for delivering quality custodial services to the Pentagon.
(1) Technical Requirements	Subfactor c. “Proposed Methodology”	Provide an overview of the offeror’s and any major subcontractors proposed method for meeting the performance requirements including capabilities and skills. Provide an overview of the offeror’s plans for addressing the general historic performance issues identified in Section C, paragraph 1.2.
(1) Technical Requirements	Subfactor d. “Technical Experience and Capability”	Summarize the offeror’s and any major subcontractors experience and qualifications in providing custodial services of a similar type and magnitude.

Factor	Subfactor	Specific Instructions
(2) Management	Subfactor a. “Key Personnel and Organizational Structure”	Describe the offerors organizational structure proposed for managing this contract. Provide organizational charts and resumes of key personnel.
(2) Management	Subfactor b. “Quality System”	Provide a draft Quality Control Plan.
(2) Management	Subfactor c. “Management and Environmental Stewardship”	Provide a draft Management and Environmental Stewardship Plan
(2) Management	Subfactor d. “Health and Safety”	Provide a draft Health and Safety Plan
(2) Management	Subfactor e.”Ability of Organization to Respond to Problems”	Summarize the ability of the offerors organizational structure to respond to problems, mitigate risk and maintain performance.
(3) Past Performance		See paragraph L-9 below.

Factor	Subfactor	Specific Instructions
(4) Participation of Small Businesses, HUBZone Small Businesses, Small Disadvantaged Businesses and Women-Owned Small Business Concerns		Outline plan to award subcontracts to small business, veteran-owned small business, service-disabled veteran-owned small business, HUBZone small business, small disadvantaged business, and women-owned small business concerns in performance of the contract.

L-9 PAST PERFORMANCE PROPOSAL – VOLUME II

a. The Offeror past performance proposal must address corporate past performance in performing projects similar in size and scope to the effort required by Section C. The Contractor's relevant Past Performance will be evaluated to assess the extent of its ability to perform the contract successfully (quality of product or service, accuracy and completeness, timeliness of delivery/work, business relations, customer satisfaction, key personnel and staffing (including subcontractors/partners)).

b. Offeror shall submit a Past Performance Data Sheet, Section J, Attachment J-L1, for three (3) Government or commercial contracts for services directly related or similar to the services required in Section C. Information for contracts or subcontracts shall be for relevant contracts and subcontracts currently in process or completed within the past five (5) years. Specifically address the following items:

- i. The nature of the effort
- ii. The tasks performed, including the deliverables, as they relate to Section C
- iii. Timeliness of deliveries
- iv. The extent of involvement (as a prime versus a subcontractor)
- v. The period of performance
- vi. The utilization of subcontractor technical support versus in-house technical support
- vii. Remote site management experience
- viii. Point of contact, phone and fax number for each contact listed

c. The Offeror shall complete the top portion of page 1, Section J, Attachment J-L2, Past Performance Questionnaire, and send it to each of the three (3) customers for the contracts identified above on Attachment J-L1. As stated in Attachment J-L2, the reference will complete this form and return it directly to the Government by the solicitation closing date.

d. In accordance with FAR 15.305(a)(2)(iv), an Offeror without a record of relevant past performance or for whom information on past performance is not available will not be evaluated favorably or unfavorably on past performance (neutral evaluation).

e. The Government will consider past or current contracts (including Federal, State and local government and private) for efforts similar to the Government requirement. The Government will consider information provided on problems encountered on the identified contracts and associated corrective actions. Contractors with a negative past performance rating will be afforded an opportunity to address alleged deficiencies. The Government may also consider information obtained from any other sources when evaluating past performance. Failure of a contractor to disclose a relevant Government contract with poor past performance may affect the contractor's past performance rating.

f. The Government may consider past performance information regarding predecessor companies, key personnel who have relevant experience or subcontractors that will perform major or critical aspects of the requirement when such information is relevant.

g. Evaluation of past performance will include an evaluation of the contractor's past performance in complying with the requirements of FAR clauses 52.219-8, and DFARS 252.219-7003, as applicable.

L-10 PRICE PROPOSAL – VOLUME II

Proposal Contents: The price proposal shall consist of the following:

- i. Completed SF33
- ii. Completed Section B
- iii. Completed Attachment, Schedule of Prices/Deductions, J-B1 – J-B5
- iv. Completed Section K (Representations and Certifications)

L-11 SECURITY

This procurement is restricted to offerors with an active TOP SECRET facility clearance granted by a Military Department. Offers received from firms that do not have an active TOP SECRET FACILITY clearance will not be considered.

L-12 SPECIAL NOTICE TO OFFERORS

a. Failure to submit any of the information requested by this solicitation may be cause for unfavorable consideration.

b. Upon receipt, all proposals become Government property.

c. After award, the Government reserves the right to publish any and/or all technical and cost related submissions provided by the successful Offeror (s) in any Government database or publication.

L-13 CONFIDENTIAL INFORMATION

The Freedom of Information Act (FOIA) and its amendments have resulted in an increasing number of requests from outside the Government for copies of contract qualifications and proposals submitted to federal agencies. If an offeror's submissions contain information that he/she believes should be withheld from such requestors under FOIA on the grounds that they contain "trade secrets and commercial or financial information" [5 USC§552(b)(4)], the offeror should mark its submissions in the following manner: i. The following notice should be placed on the title page: "Some parts of this document, as identified on individual pages, are considered by the submitter to be privileged or confidential trade secrets or commercial or financial information not subject to mandatory disclosure under the Freedom of Information Act. Material considered privileged or confidential on such grounds is contained on page(s) _____". ii. Each individual item considered privileged or confidential under FOIA should be marked with the following notice: "The data or information is considered confidential or privileged, and is not subject to mandatory disclosure under the Freedom of Information Act"

Section M - Evaluation Factors for Award

CLAUSES INCORPORATED BY REFERENCE

52.217-5	Evaluation Of Options	JUL 1990
52.232-15	Progress Payments Not Included	APR 1984

EVALUATION FACTORS

M-1 BASIS FOR AWARD

Award will be made to the responsible offeror whose offer, conforming to the solicitation, represents the best overall value to the Government, given the outcome of the Government's evaluation of each offeror's technical proposal, socioeconomic program utilization proposal, past performance and price proposal. In selecting the best overall offer for award, the Government will consider the quality offered, which includes all non-price factors, for the evaluated price. The relative quality of offers will be based upon the Government's evaluation of the offeror's ability to exceed the minimum performance requirements of this solicitation and the risk of nonperformance, defective performance or late performance under the resulting contract. The quality of offers will be compared to the differences in the overall price to the Government. The Government may award on the basis of a proposal with superior ratings even though it may result in a higher price to the Government. No award will be made to an offeror who has received a marginal or unsatisfactory rating in any factor or subfactor.

M-2 EVALUATION FACTORS

The offer must be realistic in both technical approach and total price. Offers that are unrealistic in terms of technical approach or unrealistically low in price will be considered indicative of a lack of understanding of the complexity and risk in the contract requirements. Unrealistic offers will not be considered for award.

The ability of the offeror to perform all aspects of the anticipated contract from inception to completion will be considered as part of the overall “realism” evaluation. Pursuant to FAR 52.215-1(f), Instructions to Offerors-Competitive Acquisition (JAN 2004), the Government may evaluate offers and award contract(s) without discussions with offerors. The Government reserves the right to conduct discussions if the Contracting Officer later determines them to be necessary.

To arrive at the best value decision, the Technical Evaluation Committee (TEC) will evaluate the technical factors and the Source Selection Authority (SSA) will base the source selection decision on an integrated assessment of the submitted proposals in accordance with the evaluation factors and sub-factors established within the solicitation. The SSA may select a higher-priced offeror if that offeror is evaluated to have a superior technical and management approach, and a demonstrated past performance record that outweighs the benefits of any price difference.

In selecting the best overall offer, the following factors will be considered: (1) technical, (2) management, (3) past performance, (4) Participation of Small Businesses, HUBZone Small Businesses, Small Disadvantaged Businesses and Women-Owned Small Business Concerns and (5) price to the Government. All factors and sub-factors are listed in descending order of importance. When combined, the non-price factors are slightly more important than price. Price will become increasingly important as the non-price evaluation factors become increasingly equal. Price will not be a numerically weighted factor in the evaluation of proposals and the importance of price does not bear a linear relationship to the importance of the technical proposal and past performance. The importance of price in the evaluation for award will depend upon the differences in evaluated technical quality and in past performance among offerors and, as stated above, will increase as the differences decrease. The following evaluation factors will be used for this source selection:

(1) Technical Requirements:

- a. Possession of a Top Secret Facility Clearance (Evaluated on a Pass/Fail Basis)
- b. Adequacy, Feasibility and Technical Merit
- c. Proposed Methodology
- d. Technical Experience and Capability

(2) Management:

- a. Key Personnel and Organizational Structure
- b. Quality System
- c. Management and Environmental Stewardship
- d. Health and Safety
- e. Ability of Organization to Respond to Problems

(3) Past Performance

(4) Participation of Small Businesses, HUBZone Small Businesses, Small Disadvantaged Businesses and Women-Owned Small Business Concerns

(5) Price

Proposals will be evaluated and ranked considering the following:

(1) Technical:

a. Security Clearance. This evaluation subfactor will consider if the offeror has an active Top Secret Facility Clearance as evidenced by a copy of its Defense Security Facility Clearance (DSSFC) letter provided with their proposal. This subfactor will be evaluated on a pass/fail basis. **Offerors not having an active Top Secret Facility Clearance will not be evaluated for award.**

b. Adequacy, Feasibility and Technical Merit. This technical evaluation subfactor will consider the adequacy, feasibility and technical merit of the Contractor's method and approach for delivering quality custodial services to the Pentagon including the Contractor's understanding of and approach to meeting overall requirements as described in Section C.

c. Proposed Methodology. This technical evaluation subfactor will consider the offeror's proposed methodology for meeting the performance requirements including the offeror's and any major subcontractor's capabilities and skills. Evaluation of this subfactor will also consider the offerors methodology for addressing the general historic performance issues identified in Section C, paragraph 1.2.

d. Technical Experience and Capability. This technical subfactor will consider the offeror's and major subcontractor's depth of experience and qualifications in delivering quality custodial services similar in scope and type as those specified in Section C.

(2) Management:

a. Key Personnel and Organizational Structure. This management subfactor will consider the relevant experience and ability of the current corporate management structure and organization, including key personnel and changes to the organization, proposed for managing performance of the contract. Evaluation will consider the ability of the company to establish organizational controls and procedures to ensure a safe and hazard free work environment. Evaluation of this subfactor will also include an evaluation of major subcontractors' management structure and their relevant experience and ability to perform the requirements of the proposed contract as well as the plan for obtaining and retaining key staff.

b. Quality System: This subfactor will consider the proposed quality system that will be used in the performance of this contract and how well the offeror demonstrates that it will meet the requirements of Section C. Consideration shall be given to whether the offeror has achieved

certification or whether it is pursuing certification to an internationally accepted and certified quality system and when certification to that system is anticipated.

c. Management and Environmental Stewardship: This subfactor will consider the offerors commitment to environmental management, employee health and safety, and the use of environmentally preferable products.

d. Health and Safety: This subfactor will consider the offerors commitment to a safe environment for Contractor personnel, building occupants and visitors.

e. Ability of Organization to Respond to Problems: Organizational structure's ability to respond to rapidly emerging problems to include how the organization will evaluate problems and coordinate implementation of risk mitigation strategies to maintain performance, quality, and schedule.

(3) Past Performance. Each offeror's past performance will be evaluated as part of the Government's overall evaluation of best value. At a minimum, this evaluation will take into account past performance information submitted as a part of each offeror's proposal including information regarding predecessor companies, key personnel who have relevant experience and subcontractors that will perform major or critical aspects of the requirement. For those offerors without a record of relevant past performance or for whom information on past performance is not available, the offeror will receive a neutral past performance rating. Offerors with a negative past performance rating will be afforded an opportunity to address alleged deficiencies.

(4) Participation of Small Businesses. The offeror will be evaluated on the extent to which it plans to participate, through joint ventures, teaming arrangements, and subcontracts, with small businesses (SB), HUBZone small businesses (HUBZone), small disadvantaged businesses (SDB), women-owned small businesses (WOSB), and service disabled veteran-owned small businesses (SDVOSB) in the performance of the contract.

(5) Price

General. Price will not be a numerically weighted factor in the evaluation of proposals; neither will importance of price bear a linear relationship to technical proposals. The Government's decision as to which individual offer(s) represents the best value will be made after considering the overall cost to the Government and comparing the other evaluation factors addressed in each proposal. The Government may make an award to an offeror with a proposal that contains superior technical features even if such a decision results in additional price to the Government. Pricing will also be evaluated to determine whether it is materially unbalanced. As the difference in the evaluated quality among the offers with the highest rated combination of technical and past performance decreases, the importance of price as an evaluation factor shall increase, and may become the determinative factor for making award. Pursuant to FAR 52.215-1(f)(4), Instructions to Offerors-Competitive Acquisition (JAN 2004), the Government may evaluate offers and award contract(s) without discussions with offerors. The offeror's Fixed Price CLINs shall be evaluated by summing the total Firm Fixed Price line item for each year of the contract (base plus options). Fixed price proposals will be reviewed for reasonableness,

affordability, and realism to determine whether they reflect an understanding of the requirements or contain apparent mistakes. The offeror's proposed approach must be consistent with the cost/price proposal. As part of the cost/price evaluation, proposals may be reviewed to identify any significant unbalanced pricing including unbalancing in the Schedule of Prices. In accordance with FAR 15.404-1(g), Unbalanced Pricing, a proposal may be rejected if the Contracting Officer determines the lack of balance poses an unacceptable risk to the Government. If applicable, the cost/price proposals will also be evaluated to ensure they comply with the standards set for non-exempt employees established by the Department of Labor (DOL) through the Services Contract Act, 41 USC 351 et seq.; its implementing regulations; and the appropriate wage determination issued by the DOL. These standards include, but are not limited to, minimum direct labor rates, minimum health and welfare benefits per hour, and minimum vacation and holiday hours. Cost may play an additional role since considerations of cost in terms of best value and affordability may be controlling in circumstances where two or more proposals are otherwise adjudged equal or when a technically superior proposal is at a cost that the Government cannot afford.

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ATTACHMENT 4: J-L1

PAST PERFORMANCE DATA

1. Complete Name of Reference (Government agency, commercial firm, or other organization)	
2. Complete Address of Reference	
3. Contract Number or other control number	4. Date of contract
5. Date work was begun	6. Date work was completed
7. Contract type, initial contract price, estimated cost and fee, or target cost and profit or fee	8. Final amount invoiced or amount invoiced to date
9a. Reference/Technical point of contact (name, title, address, telephone no. and email address)	9b. Reference/Contracting point of contact (name, title, address, telephone no. and email address)
10. Location of work (country, state or province, county, city)	
11. Current status of contract (choose one): ☐ Ongoing ☐ Complete ☐ Terminated for Convenience ☐ Terminated for Default ☐ Other (explain)	
12. Provide brief information describing the contract and the relevancy of the effort to be performed in accordance with the SOW and requirements of the solicitation. Provide an estimated % of relevancy of the referenced contract to the requirements set forth in this solicitation. Relevance shall address the following areas: Provision of layberth facility and associated services. Relevance can be discussed in further detail on the attached summary description as set forth in block 14 below.	
13a. Did this contract require a Small Business Subcontracting Plan pursuant to FAR 52.219-9? Yes ____, No ____. 13b. If "Yes" to 13a, have you regularly submitted SF 294/295 reports on time? 13c. Attach a copy of your most recently submitted SF 294.	
14. Provide a summary description of contract work, not to exceed two pages in length. Describe the nature and scope of work, its relevancy to this contract, and a description of any problems encountered and your corrective actions. Attach the explanation to this form.	

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ATTACHMENT 5: J-L2

PAST PERFORMANCE QUESTIONNAIRE

Source Selection Sensitive

See FAR 2.101 and 3.104

TO: _____ FACSIMILE: _____

PHONE: _____ EMAIL: _____

Information Request

Washington Headquarters Services is currently in the process of soliciting offers for a contract for the provision of Custodial Services. [CONTRACTOR NAME] provided your name and organization as a reference regarding [CONTRACT DESCRIPTION] past performance under [CONTRACT NO.]. Specifically, we are looking for past performance information in the following areas:

- a.) Quality of Service
- b.) Timeliness or Scheduling of Service
- c.) Business Relations/Customer Satisfaction
- d.) Key Personnel and Staffing (Including Subcontractors)

In order for our team to compile its evaluation, we request that you complete the attached survey form and email it, and any other pertinent information by [SOLICITATION CLOSING DATE] to Joe Snuffy
joe.snuffy,mil@mail,mil

Information can also be sent via facsimile to the attention of Joe Snuffy at FAX: (703) 696-4164.

For your convenience, a cover sheet for use in mailing/faxing is provided below.

Washington Headquarters Services, Acquisition and	Attn: Joe Snuffy
Procurement Office	1777 North Kent At.
	Suite 12063
	Arlington, VA 22209

From: (Name and Address of Firm) _____

(Point of Contact Name)

(Facsimile/Phone Number)

(E-mail Address)

To	(Point of Contact Name)	Joe Snuffy
	(Facsimile/Phone Number)	(703) 696-3858 FAX: (703) 696-4164
	(E-mail Address)	joe.snuffy.mil@mail.mil

PAST PERFORMANCE QUESTIONNAIRE

SOURCE SELECTION SENSITIVE

See FAR 2.101 and 3.104

CONTRACTOR PERFORMANCE EVALUATION SURVEY

CONTRACTOR NAME: _____ CONTRACT NUMBER: _____
 EVALUATION PERIOD: _____ CONTRACT VALUE: \$ _____

1. Please describe the service/supply provided by the Contractor for your firm.
2. Please provide ratings and comments regarding the Contractor's performance in each area below using the following ratings: Exceptional (E), Very Good (VG), Satisfactory (S), Marginal (M), or Unsatisfactory (U). See next page for definition of ratings. **For all ratings EXCEPT "Satisfactory," please provide a brief explanation.**

	Exceptional	Very Good	Satisfactory	Marginal	Unsatisfactory
OVERALL PAST PERFORMANCE RATING Please provide an overall rating of the contractor's past performance for the referenced contract/delivery order.					
a.) Quality of Service:					
Conformance to contract requirements, appropriateness of personnel, accuracy of reports, and technical excellence.					
b.) Timeliness or Scheduling of Service/Deliveries:					
Timeliness of performance, met interim milestones, reliable, responsive to technical and contractual direction as to scheduling.					
c.) Business Relations/Customer Satisfaction					
Effective management, prompt notification of problems, reasonable/cooperative behavior, proactive, timely award and management of subcontracts, effective small business/small disadvantaged business					
d.) Key Personnel and Staffing (Including Subcontractors)					
Quality of key personnel and how well key personnel managed their portion of the contract.					

3. Would you hire this contractor to provide services for your organization in the future?
 _____ Please provide comments using additional pages, if desired.

Signed: _____
 Print Name: _____

PAST PERFORMANCE DEFINITIONS

The following definitions are to be used when assessing past performance:

EXCEPTIONAL/VERY LOW PERFORMANCE RISK (E)

No doubt exists that the offeror will successfully perform the required effort.

VERY GOOD/LOW PERFORMANCE RISK (VG)

Little doubt exists that the offeror will successfully perform the required effort.

SATISFACTORY/MODERATE PERFORMANCE RISK (S)

Some doubt exists that the offeror will successfully perform the required effort.

MARGINAL/HIGH PERFORMANCE RISK (M)

Substantial doubt exists that the offeror will successfully perform the required effort.

UNSATISFACTORY/VERY HIGH PERFORMANCE RISK (U)

Extreme doubt exists that the offeror will successfully perform the required effort.

NEUTRAL (N)

The offeror, its subcontractors or team members and/or its key personnel have no significant performance record relevant or identifiable to the services to be performed.

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ATTACHMENT 6: J-C2

CLASSIFICATION (When filled in): 		DEPARTMENT OF DEFENSE CONTRACT SECURITY CLASSIFICATION SPECIFICATION (Please read instructions BEFORE completing this application.) (The requirements of the National Industrial Security Program (NISP) apply to all security aspects of this effort involving classified information.)		OMB No. 0704-0567 OMB approval expires October 31, 2020	
The public reporting burden for this collection of information, 0704-0567, is estimated to average 75 minutes per response, including the time for reviewing instructions, searching existing data sources, gathering and maintaining the data needed, and completing and reviewing the collection of information. Send comments regarding this burden estimate or any other aspect of this collection of information, including suggestions for reducing the burden, to the Department of Defense, Washington Headquarters Services, Directorate for Information Operations and Reports, 1215 Jefferson Davis Highway, Suite 1204, Arlington, VA 22202-4302, and to the Office of Management and Budget, Paperwork Project Director (0704-0187), Washington, DC 20503. Respondents should be aware that notwithstanding any other provision of law, no person shall be subject to any penalty for failing to comply with a collection of information if it does not display a currently valid OMB control number.					
RETURN COMPLETED FORM AS DIRECTED IN THE INSTRUCTIONS.					
1. CLEARANCE AND SAFEGUARDING					
a. LEVEL OF FACILITY SECURITY CLEARANCE (FCL) REQUIRED (See instructions.)			b. LEVEL OF SAFEGUARDING FOR CLASSIFIED INFORMATION/MATERIAL REQUIRED AT CONTRACTOR FACILITY		
Top Secret			None (See instructions)		
2. THIS SPECIFICATION IS FOR: (X and complete as applicable.)					
a. PRIME CONTRACT NUMBER (See instructions.)			3. THIS SPECIFICATION IS: (X and complete as applicable.)		
b. SUBCONTRACT NUMBER			X a. ORIGINAL (Complete date in all cases.)		DATE (YYYYMMDD)
c. SOLICITATION OR OTHER NUMBER			b. REVISED (Supersedes all previous specifications.)		DATE (YYYYMMDD)
HQ00034-07-R-1058			c. FINAL (Complete item 5 in all cases.)		DATE (YYYYMMDD)
DUE DATE (YYYYMMDD)			20080206		
4. IS THIS A FOLLOW-ON CONTRACT? ☐ NO ☒ YES. If Yes, complete the following: Classified material received or generated under MDA946-03-C-0001 (Preceding Contract Number) is transferred to this follow-on contract.					
5. IS THIS A FINAL DD FORM 254? ☒ NO ☐ YES. If Yes, complete the following: In response to the contractor's request dated retention of the classified material is authorized for the period of 					
6. CONTRACTOR (Include Commercial and Government Entity (CAGE) Code)					
a. NAME, ADDRESS, AND ZIP CODE		b. CAGE CODE		c. COGNIZANT SECURITY OFFICE (CSO) (Name, Address, ZIP Code, Telephone)	
7. SUBCONTRACTOR(S) (Click button to add more subcontractors.) Add More Items					
a. NAME, ADDRESS, AND ZIP CODE		b. CAGE CODE		c. COGNIZANT SECURITY OFFICE(S) (CSOs) (Name, Address, ZIP Code, Telephone)	
8. ACTUAL PERFORMANCE (Click button to add more locations.) Add More Items					
a. LOCATION(S) (For actual performance, see instructions.)		b. CAGE CODE (If applicable, see instructions.)		c. COGNIZANT SECURITY OFFICE(S) (CSOs) (Name, Address, ZIP Code, Telephone) (If applicable, see instructions.)	
9. GENERAL UNCLASSIFIED DESCRIPTION OF THIS PROCUREMENT (Click here if more space is needed.) Add Page					
10. CONTRACTOR WILL REQUIRE ACCESS TO: (X all that apply. Provide details in Blocks 13 or 14 as set forth in the instructions.)					
a. COMMUNICATIONS SECURITY (COMSEC) INFORMATION			f. SPECIAL ACCESS PROGRAM (SAP) INFORMATION		
b. RESTRICTED DATA			g. NORTH ATLANTIC TREATY ORGANIZATION (NATO) INFORMATION		
c. CRITICAL NUCLEAR WEAPON DESIGN INFORMATION (CNWDI) (If CNWDI applies, RESTRICTED DATA must also be marked.)			h. FOREIGN GOVERNMENT INFORMATION		
d. FORMERLY RESTRICTED DATA			i. ALTERNATIVE COMPENSATORY CONTROL MEASURES (ACCM) INFORMATION		
e. NATIONAL INTELLIGENCE INFORMATION			j. CONTROLLED UNCLASSIFIED INFORMATION (CUI) (See instructions.)		
(1) Sensitive Compartmented Information (SCI)			X k. OTHER (Specify) (See instructions.)		
(2) Non-SCI					

DD FORM 254, NOV 2017

PREVIOUS EDITION IS OBSOLETE.

Adobe LiveCycle Designer ES4

CLASSIFICATION (When filled in):

CLASSIFICATION (When filled in): _____

11. IN PERFORMING THIS CONTRACT, THE CONTRACTOR WILL: (X at that apply. See instructions. Provide details in Blocks 13 or 14 as set forth in the instructions.)			
☒ a. HAVE ACCESS TO CLASSIFIED INFORMATION ONLY AT ANOTHER CONTRACTOR'S FACILITY OR A GOVERNMENT ACTIVITY (Applicable only if there is no access or storage required at contractor facility. See instructions.)	☐ b. REQUIRE A COMSEC ACCOUNT		
☐ c. RECEIVE AND STORE CLASSIFIED DOCUMENTS ONLY	☐ i. HAVE A TEMPEST REQUIREMENT		
☐ d. RECEIVE, STORE, AND GENERATE CLASSIFIED INFORMATION OR MATERIAL	☐ j. HAVE OPERATIONS SECURITY (OPSEC) REQUIREMENTS		
☐ e. FABRICATE, MODIFY, OR STORE CLASSIFIED HARDWARE	☐ k. BE AUTHORIZED TO USE THE DEFENSE COURIER SERVICE (DCS)		
☒ f. PERFORM SERVICES ONLY	☐ l. RECEIVE, STORE, OR GENERATE CONTROLLED UNCLASSIFIED INFORMATION (CUI). (DoD Components: refer to DoDM 5300.01, Volume 4 only for specific CUI protection requirements. Non-DoD Components: see instructions.)		
☐ g. HAVE ACCESS TO U.S. CLASSIFIED INFORMATION OUTSIDE THE U.S., PUERTO RICO, U.S. POSSESSIONS AND TRUST TERRITORIES	☒ m. OTHER (Specify) (See instructions)		
☐ h. BE AUTHORIZED TO USE THE SERVICES OF DEFENSE TECHNICAL INFORMATION CENTER (DTIC) OR OTHER SECONDARY DISTRIBUTION CENTER			
12. PUBLIC RELEASE. Any information (classified or unclassified) pertaining to this contract shall not be released for public dissemination except as provided by the National Industrial Security Program Operating Manual (NISPOM) or unless it has been approved for public release by appropriate U.S. Government authority. Proposed public releases shall be submitted for review and approval prior to release to the appropriate government approval authority identified here with at least office and phone contact information and if available, an e-mail address. (See instructions.)			
☐ DIRECT ☒ THROUGH (Specify)		PUBLIC RELEASE AUTHORITY:	
Directorate Freedom of Information and Security Review 1155 Defense Pentagon, RM 2C757 Washington, DC 20301-1155			
13. SECURITY GUIDANCE. The security classification guidance for classified information needed for this effort is identified below. If any difficulty is encountered in applying this guidance or if any other contributing factor indicates a need for changes in this guidance, the contractor is authorized and encouraged to provide recommended changes, to challenge the guidance or the classification assigned to any information or material furnished or generated under this contract, and to submit any questions for interpretation of this guidance to the official identified below. Pending final decision, the information involved shall be handled and protected at the highest level of classification assigned or recommended. (If) it is as appropriate for the classified effort, Attach, or forward under separate correspondence, any documents/guides/lectures referenced herein. Click button to add additional pages as needed to provide complete guidance.) Add Page			
a. The solicitation is for a follow-on to contract MDA946-03-C-0001. Contract MDA946-03-C-0001 required a TOP SECRET facility clearance. However, no classified material was received or generated under this contract. b. The contractor will be required to enter secure spaces to perform custodial tasks such as trash removal, vacuuming, dusting, window washing, carpet cleaning, etc. 1a. Due to the nature of the service, the contractor will enter secure spaces to provide information of high-ranking officials visiting the Pentagon. 1b. The contractor will enter secure spaces to provide services to the Pentagon's needs.			
14. ADDITIONAL SECURITY REQUIREMENTS. Requirements, in addition to NISPOM requirements for classified information, are established for this contract.			
☒ No ☐ Yes (If Yes, identify the pertinent contractual clauses in the contract document itself, or provide an appropriate statement which identifies the additional requirements. Provide a copy of the requirements to the CSO. Use item 13 or click button if additional space is needed.) Add Page			
15. INSPECTIONS. Elements of this contract are outside the inspection responsibility of the CSO. Add Page ☒ No ☐ Yes (If Yes, explain and identify specific areas and government activity responsible for inspections. Click button or use item 13 if additional space is needed.)			
16. GOVERNMENT CONTRACTING ACTIVITY (GCA) AND POINT OF CONTACT (POC)			
a. GCA NAME	b. ACTIVITY ADDRESS CODE (AAC) OF THE CONTRACTING OFFICE (See instructions.)	c. ADDRESS (Include ZIP Code)	
d. POC NAME (See instructions.)	e. POC TELEPHONE (Include Area Code)	f. EMAIL ADDRESS (See instructions.)	
17. CERTIFICATION AND SIGNATURES. Security requirements stated herein are complete and adequate for safeguarding the classified information to be released or generated under this classified effort. All questions shall be referred to the official named below.			
a. TYPED NAME OF CERTIFYING OFFICIAL (Last, First, Middle initial) (See instructions.)	b. TITLE Security Manager	c. ADDRESS (Include ZIP Code)	
d. AAC OF THE CONTRACTING OFFICE (See instructions.)	e. CAGE CODE OF THE PRIME CONTRACTOR (See instructions.)		
f. TELEPHONE (Include Area Code)	g. EMAIL ADDRESS (See instructions.)	h. DATE	i. SIGNATURE SIGN HERE
18. REQUIRED DISTRIBUTION BY THE CERTIFYING OFFICIAL			
☒ a. CONTRACTOR ☒ f. OTHERS AS NECESSARY (If more room is needed, continue in item 13 or on additional page if necessary.)			
☐ b. SUBCONTRACTOR			
☒ c. COMBANT SECURITY OFFICE FOR PRIME AND SUBCONTRACTOR			
☐ d. U.S. ACTIVITY RESPONSIBLE FOR OVERSEAS SECURITY ADMINISTRATION			
☒ e. ADMINISTRATIVE CONTRACTING OFFICER			

DD FORM 254 (BACK), NOV 2017

CLASSIFICATION (When filled in): _____

AMENDMENT OF SOLICITATION/MODIFICATION OF CONTRACT		1. CONTRACT ID CODE J	PAGE 1	OF PAGES 2
2. AMENDMENT/MODIFICATION NUMBER 0001	3. EFFECTIVE DATE 01/03/2008	4. REQUISITION/PURCHASE REQUISITION NUMBER KRS1017071323	5. PROJECT NUMBER (if applicable)	
6. ISSUED BY WHS ACQUISITION & PROCUREMENT OFFICE 1777 NORTH KENT ST SUITE 12063 ARLINGTON, VA 22209		7. ADMINISTERED BY (if other than item 6) See Item 6		
8. NAME AND ADDRESS OF CONTRACTOR (Number, street, county, State and ZIP Code)		9A. AMENDMENT OF SOLICITATION NUMBER ☒ HQ0034-07-R-1058 9B. DATED (SEE ITEM 11) 12/21/2007 10A. MODIFICATION OF CONTRACT/ORDER NUMBER ☐ 10B. DATED (SEE ITEM 13)		
CODE	FACILITY CODE			

11. THIS ITEM ONLY APPLIES TO AMENDMENTS OF SOLICITATIONS

☒ The above numbered solicitation is amended as set forth in item 14. The hour and date specified for receipt of Offers ☐ is extended. ☒ is not extended.

Offers must acknowledge receipt of this amendment prior to the hour and date specified in the solicitation or as amended, by one of the following methods:
 (a) By completing items 8 and 15, and returning 1 copies of the amendment; (b) By acknowledging receipt of this amendment on each copy of the offer submitted;
 or (c) By separate letter or electronic communication which includes a reference to the solicitation and amendment numbers. FAILURE OF YOUR ACKNOWLEDGMENT TO BE RECEIVED AT THE PLACE DESIGNATED FOR THE RECEIPT OF OFFERS PRIOR TO THE HOUR AND DATE SPECIFIED MAY RESULT IN REJECTION OF YOUR OFFER. If by virtue of this amendment you desire to change an offer already submitted, such change may be made by letter or electronic communication, provided each letter or electronic communication makes reference to the solicitation and this amendment, and is received prior to the opening hour and date specified.

12. ACCOUNTING AND APPROPRIATION DATA (if required)

**13. THIS ITEM APPLIES ONLY TO MODIFICATIONS OF CONTRACTS/ORDERS.
IT MODIFIES THE CONTRACT/ORDER NUMBER AS DESCRIBED IN ITEM 14.**

CHECK ONE	A. THIS CHANGE ORDER IS ISSUED PURSUANT TO: (Specify authority) THE CHANGES SET FORTH IN ITEM 14 ARE MADE IN THE CONTRACT ORDER NUMBER IN ITEM 10A.
☐	
☐	B. THE ABOVE NUMBERED CONTRACT/ORDER IS MODIFIED TO REFLECT THE ADMINISTRATIVE CHANGES (such as changes in paying office, appropriation data, etc.) SET FORTH IN ITEM 14, PURSUANT TO THE AUTHORITY OF FAR 43.103(b).
☐	C. THIS SUPPLEMENTAL AGREEMENT IS ENTERED INTO PURSUANT TO AUTHORITY OF:
☐	D. OTHER (Specify type of modification and authority)

E. IMPORTANT: Contractor ☐ is not ☐ is required to sign this document and return _____ copies to the issuing office.

14. DESCRIPTION OF AMENDMENT/MODIFICATION (Organized by UCF section headings, including solicitation/contract subject matter where feasible.)

The purpose of this Amendment is to provide details for the scheduled site visit 10 January 2008 - 10:00 AM and incorporate Attachment J-C2.

See Continuation Sheet

Except as provided herein, all terms and conditions of the document referenced in item 9A or 10A, as heretofore changed, remains unchanged and in full force and effect.

15A. NAME AND TITLE OF SIGNER (Type or print)		16A. NAME AND TITLE OF CONTRACTING OFFICER (Type or print)	
15B. CONTRACTOR/OFFEROR		16B. UNITED STATES OF AMERICA	
15C. DATE SIGNED		16C. DATE SIGNED	
(Signature of person authorized to sign)		(Signature of Contracting Officer)	
		1/3/2008	

Previous edition unusable

STANDARD FORM 30 (REV. 11/2016)
Prescribed by GSA FAR (48 CFR) 53.243

INSTRUCTIONS (Back Page):

Instructions for items other than those that are self-explanatory, are as follows:

- (a) Item 1 (Contract ID Code). Insert the contract type identification code that appears in the title block of the contract being modified.
- (b) Item 3 (Effective date).
- (1) For a solicitation amendment, change order, or administrative change, the effective date shall be the issue date of the amendment, change order, or administrative change.
- (2) For a supplemental agreement, the effective date shall be the date agreed to by the contracting parties.
- (3) For a modification issued as an initial or confirming notice of termination for the convenience of the Government, the effective date and the modification number of the confirming notice shall be the same as the effective date and modification number of the initial notice.
- (4) For a modification converting a termination for default to a termination for the convenience of the Government, the effective date shall be the same as the effective date of the termination for default.
- (5) For a modification confirming the contracting officer's determination of the amount due in settlement of a contract termination, the effective date shall be the same as the effective date of the initial decision.
- (c) Item 6 (Issued By). Insert the name and address of the issuing office. If applicable, insert the appropriate issuing office code in the code block.
- (d) Item 8 (Name and Address of Contractor). For modifications to a contract or order, enter the contractor's name, address, and code as shown in the original contract or order, unless changed by this or a previous modification.
- (e) Items 9, (Amendment of Solicitation Number - Dated), and 10, (Modification of Contract/Order Number - Dated). Check the appropriate box and in the corresponding blanks insert the number and date of the original solicitation, contract, or order.
- (f) Item 12 (Accounting and Appropriation Data). When appropriate, indicate the impact of the modification on each affected accounting classification by inserting one of the following entries:
- (1) Accounting classification _____
Net increase \$ _____
- (2) Accounting classification _____
Net decrease \$ _____
- NOTE: If there are changes to multiple accounting classifications that cannot be placed in block 12, insert an asterisk and the words "See continuation sheet".
- (g) Item 13. Check the appropriate box to indicate the type of modification. Insert in the corresponding blank the authority under which the modification is issued. Check whether or not contractor must sign this document. (See FAR 43.103.)
- (h) Item 14 (Description of Amendment/Modification).
- (1) Organize amendments or modifications under the appropriate Uniform Contract Format (UCF) section headings from the applicable solicitation or contract. The UCF table of contents, however, shall not be set forth in this document.
- (2) Indicate the impact of the modification on the overall total contract price by inserting one of the following entries:
- (i) Total contract price increased by \$ _____
- (ii) Total contract price decreased by \$ _____
- (iii) Total contract price unchanged.
- (3) State reason for modification.
- (4) When removing, reinstating, or adding funds, identify the contract items and accounting classifications.
- (5) When the SF 30 is used to reflect a determination by the contracting officer of the amount due in settlement of a contract terminated for the convenience of the Government, the entry in Item 14 of the modification may be limited to --
- (i) A reference to the letter determination; and
- (ii) A statement of the net amount determined to be due in settlement of the contract.
- (6) Include subject matter or short title of solicitation/contract where feasible.
- (i) Item 16B. The contracting officer's signature is not required on solicitation amendments. The contracting officer's signature is normally affixed last on supplemental agreements.

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SECTION SF 30 BLOCK 14 CONTINUATION PAGE

SUMMARY OF CHANGES

SECTION L - INSTRUCTIONS, CONDITIONS AND NOTICES TO BIDDERS

The following have been added by full text:

SITE VISIT INFORMATION

A site visit has been scheduled for January 10, 2008 @ 10:00 A.M. The site visit will be followed by a brief pre-proposal conference. All contractors are strongly suggested to attend the site visit. Each contractor is allowed only two individuals for attendance. All attendees are required to meet at the Pentagon Metro entrance (outside) at least 15 minutes prior to the scheduled start of the site visit. Attendees shall submit company name, individuals name, a valid driver's license number including state of issue, and Social Security number in advance for access to the building unless they currently have a Pentagon access badge. Two forms of picture identification shall be required to be shown upon arrival. All required information will need to be forwarded to Mr. Tom Boardman at tom.boardman@whs.mil by 12:00 P.M. on 8 January 2008.

(End of Summary of Changes)

CHAPTER 3

CONTRACT FORMAT AND THE FAR

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CHAPTER 3

CONTRACT FORMAT AND THE FAR

I. INTRODUCTION TO CONTRACT REVIEW

- A. The key to successful contract review is to integrate yourself into the acquisition from the very beginning (proactive vs. reactive lawyering).
- B. Every acquisition starts with *Acquisition Planning*. See Revolutionary Federal Acquisition Regulation Overhaul (RFO) Federal Acquisition Regulation (FAR) Part 7; RFO Defense Federal Acquisition Regulation Supplement (DFARS) Part 207. Be a part of the **Acquisition Planning Team**. Establish a rapport with your supported contracting office / program office/ resource management office. The FAR, DFARS, Army, Navy, Air Force, Marine, and other agencies' supplemental regulations can be found at www.acquisition.gov/far-overhaul/.
- C. Checklists
 - 1. You will find contract review checklists to be very helpful when you first start reviewing contracts. If your office does not already have checklists contact another office and/or create a checklist.
 - 2. A basic contract review checklist is at Attachment 1.
- D. Legal Reviews
 - 1. Contracting officers should obtain legal advice during all phases of acquisitions. Legal counsel shall review proposed contracting actions in "accordance with locally established procedures and as otherwise required by law, regulation, or policy." Army Federal Acquisition Regulation Supplement (AFARS) 5101.602-2-90. While AFARS 5101.602-2-90 does not include a list of actions requiring legal review, Department of the Air Force Federal Acquisition Regulation Supplement (DAFFARS) 5301.602-2 does include a list of contracting actions where Air Force contracting officers must obtain legal advice. This list can be used for all services as a good reference for the types of matters about which a contracting officer must obtain legal advice, coordination, and review, regardless of dollar amount:
 - (a) When there is doubt or controversy about the interpretation or application of statutes, directives, and regulations;
 - (b) When using or applying unique or unusual contract provisions;

- (c) When actions are likely to be subject to public scrutiny or receive higher-level agency attention;
- (d) When a protest or claim is likely;
- (e) When contemplating the use of alternative dispute resolution;
- (f) Use of liquidated damages provisions in contracts for other than construction;
- (g) Award fee or award term plans;
- (h) Source selection decisions and supporting documentation for actions accomplished pursuant to the requirements of MP5315.3;
- (i) Issues dealing with licensing, technical data rights and patents;
- (j) Mistakes in bid (See RFO FAR 14.304);
- (k) Protests before and after award;
- (l) Ratifications;
- (m) Disputes;
- (n) Contractor claims;
- (o) Termination for default/cause;
- (p) Terminations for convenience, except cancellations or terminations of purchase orders;
- (q) Debarment or suspension actions;
- (r) Individual or class deviations; and,
- (s) Any other legal issue at the discretion of the Contracting Officer or supporting legal office.
- (t) All Justification and Approval (J&A) requests for actions expected to exceed \$750,000 (now \$900,000 specified by RFO FAR 6.304, though increase in threshold not reflected in DAFFARS).

2. In addition to the general conditions identified in DAFFARS 5301.602-2(c)(i)(A), above, contracting officers must obtain legal review on Operational contract actions based on the dollar figure.

II. CONTRACT FORMAT

- A. Uniform Contract Format. Standard Form 33 (SF 33, General Services Administration (GSA)) “Solicitation, Offer and Award,” can be found at <http://www.gsa.gov/portal/forms/type/SF>.
1. Divided into Four Parts.
 - a. Part I – The Schedule: Sections A-H.
 - b. Part II – Contract Clauses: Section I.
 - c. Part III – List of Documents, Exhibits and other Attachments: Section J.
 - d. Part IV – Representations and Instructions: Sections K-M.
 2. Section A: Solicitation/Contract Form (SF 33).
Contains administrative information pertinent to the solicitation (i.e., solicitation number, proposal due date, government points of contact, table of contents, etc.).
 3. Section B: Supplies or Services and Prices/Costs.
Contains a brief description of the supplies and services and quantities required, the unit prices, and total prices. This description of supplies, services, quantities, and associated pricing is referred to and identified with a specific contract line item number (CLIN or CLINs).
 4. Section C: Description/Specifications/Statement of Work.
Contains a more elaborate description of the items contained in Section B and describes what the government’s substantive requirements are and what the contractor is to accomplish/deliver.
 5. Section D: Packaging and Marking (Only for Supplies).
Contains specific information on requirements for packaging and marking of items to be delivered.
 6. Section E: Inspection and Acceptance (IAW).
Contains information on how the government will inspect and conditions for acceptance of items and services to be delivered under the contract.
 7. Section F: Deliveries or Performance.
Specifies the requirement for time, place, and method of delivery or performance for items and services to be delivered under the contract.

8. Section G: Contract Administration Data.
Contains accounting and appropriation data and required contract administration information and instructions.
9. Section H: Special Contract Requirements.
Contains contractual requirements that are not included in other parts of the contract, including special clauses that only pertain to that particular acquisition.
10. Section I: Contract Clauses.
Contains all clauses required by law or regulation. They are commonly referred to as “boilerplate” clauses because they are normally inserted into most contracts.
11. Section J: List of Attachments.
Contains or lists documents, attachments, or exhibits that are a material part of the contract. Some examples of these documents are the specifications, the contract data requirements list (CDRL), and/or checklists of mandatory minimum requirements.
12. Section K: Representations, Certifications, and Other Statements of Offerors.
Contains representations, certifications, and other information required from each contractor. Some examples are: Procurement Integrity Certification, Small Business Certification, Place of Performance, and Ownership.
13. Section L: Instructions, Conditions and Notices to Offerors.
Tells the offerors what is to be provided in their proposal and how it should be formatted. It guides offerors in preparing their proposals, outlines what the government plans to buy, and emphasizes any government special interest items or constraints.
14. Section M: Evaluation Factors for Award.
Forms the basis for evaluating each offeror’s proposal. It informs offerors of the relative order of importance of assigned criteria so that an integrated assessment can be made of each offeror’s proposal.

III. FEDERAL ACQUISITION REGULATION (FAR) SYSTEM

A. Federal Acquisition Regulation (FAR) and the Revolutionary FAR Overhaul.¹

¹“Under the President’s Executive Order, Restoring Common Sense to Federal Procurement, the Federal government is undertaking the first-ever comprehensive overhaul of the FAR. Led by the Office of Federal Procurement Policy (OFPP) and the Federal Acquisition Regulatory Council (FAR Council), this initiative will return the FAR to its statutory roots, rewritten in plain language, and remove most non-statutory rules. In addition,

1. The FAR became effective on 1 April 1984. The FAR replaced the Defense Acquisition Regulation (DAR), the Federal Procurement Regulation (FPR), and the NASA Procurement Regulation (NASAPR).
 2. The General Services Administration (GSA) is tasked with the responsibility for publishing the FAR and any updates to it. FAR 1.201-2.
 3. Under the EO “Restoring Common Sense to Federal Procurement,” the Federal government overhauled the FAR, resulting in the publication of the Revolutionary FAR Overhaul (RFO), which became effective for the DoW between 1 February 2026 and 20 April 2026, depending on the publication of the DoW agency deviation.
 4. Locating the FAR and RFO FAR.
 - a. The Government Printing Office (GPO) previously printed periodic updates to the FAR in the form of Federal Acquisition Circulars (FAC). Effective 31 December 2000, the GPO no longer produces printed copies of the FAR. *See* 65 Fed. Reg. 56,452 (18 September 2000).
 - b. Currently only electronic versions of the FAR are available. The FAR is found at Chapter 1 of Title 48 of the Code of Federal Regulations (C.F.R.). Proposed and final changes to the FAR are published electronically in the Federal Register.
 - c. The official electronic version of the FAR (maintained by GSA) is available at <http://www.acquisition.gov/far/>.
 - d. The official electronic version of the FAR RFO and agency deviations are available at <http://www.acquisition.gov/far-overhaul/>.
- B. Departmental and Agency Supplemental Regulations. RFO FAR Subpart 1.3.
1. Agencies are permitted to issue regulations that implement or supplement the FAR.
 2. Most agencies have some form of supplemental regulation. The FAR requires these supplements to be published in Title 48 of the C.F.R. The current agency supplements are published as agency deviations on the FAR Overhaul website.

non-regulatory buying guides will provide common sense thought, but will remain outside the FAR.” Revolutionary FAR Overhaul, <https://www.acquisition.gov/content/revolutionary-far-overhaul>; *see also* The Acquisition.gov Revolutionary FAR Overhaul Page at <https://www.acquisition.gov/far-overhaul>.

3. The Department of the Army no longer maintains its agency supplement on <http://www.acquisition.gov>. Practitioners should access the current Department of the Army agency supplement through the following link: <https://armyeitaas.sharepoint-mil.us/sites/ASA-ALT-PAM-PP/SitePages/AFARS.aspx>

C. Layout of the RFO FAR.

1. The RFO FAR is divided into 8 subchapters and 53 parts. Parts are further divided into subparts, sections, and subsections. This organizational system applies to the RFO FAR and all agency supplements.

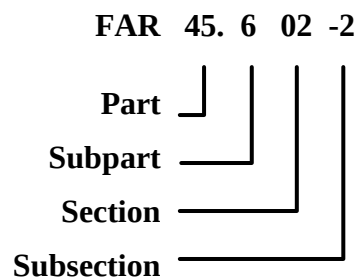
Subchapter A: General	
Part 1:	Federal Acquisition Regulation System
Part 2:	Definitions of Words and Terms
Part 3:	Improper Business Practices and Personal Conflicts of Interest
Part 4:	Administrative and Information Matters
Subchapter B: Acquisition Planning	
Part 5:	Publicizing Contract Actions
Part 6:	Competition Requirements
Part 7:	Acquisition Planning
Part 8:	Required Sources of Supplies and Services
Part 9:	Contractor Qualifications
Part 10:	Market Research
Part 11:	Describing Agency Needs
Part 12:	Acquisition of Commercial Products and Commercial Services
Subchapter C: Contracting Methods and Contract Types	
Part 13:	Simplified Procedures for Noncommercial Acquisitions
Part 14:	Sealed Bidding
Part 15:	Contracting by Negotiation
Part 16:	Types of Contracts
Part 17:	Special Contracting Methods
Part 18:	Emergency Acquisitions
Subchapter D: Socioeconomic Programs	
Part 19:	Small Business Programs
Part 20:	[Reserved]

Part 21:	[Reserved]
Part 22:	Application of Labor Laws to Government Acquisitions
Part 23:	Sustainable Acquisition, Material Safety, and Pollution Prevention
Part 24:	Protection of Privacy and Freedom of Information
Part 25:	Foreign Acquisition
Part 26:	Other Socioeconomic Programs
Subchapter E: General Contracting Requirements	
Part 27:	Patents, Data, and Copyrights
Part 28:	Bonds and Insurance
Part 29:	Taxes
Part 30:	Cost Accounting Standards Administration
Part 31:	Contract Cost Principles and Procedures
Part 32:	Contract Financing
Part 33:	Protests, Disputes, and Appeals
Subchapter F: Special Categories of Contracting	
Part 34:	Major System Acquisition
Part 35:	Research and Development Contracting
Part 36:	Construction and Architect-Engineer Contracts
Part 37:	Service Contracting
Part 38:	[Reserved]
Part 39:	Acquisition of Information and Communication Technology
Part 40:	Information Security and Supply Chain Security
Part 41:	Acquisition of Utility Services
Subchapter G: Contract Management	
Part 42:	Contract Administration and Audit Services
Part 43:	Contract Modifications
Part 44:	Subcontracting Policies and Procedures
Part 45:	Government Property
Part 46:	Quality Assurance
Part 47:	Transportation
Part 48:	Value Engineering
Part 49:	Termination of Contracts
Part 50:	Extraordinary Contractual Actions and the SAFETY Act
Part 51:	[Reserved]

Subchapter H: Clauses and Forms	
Part 52:	Solicitation Provisions and Contract Clauses
Part 53:	Forms

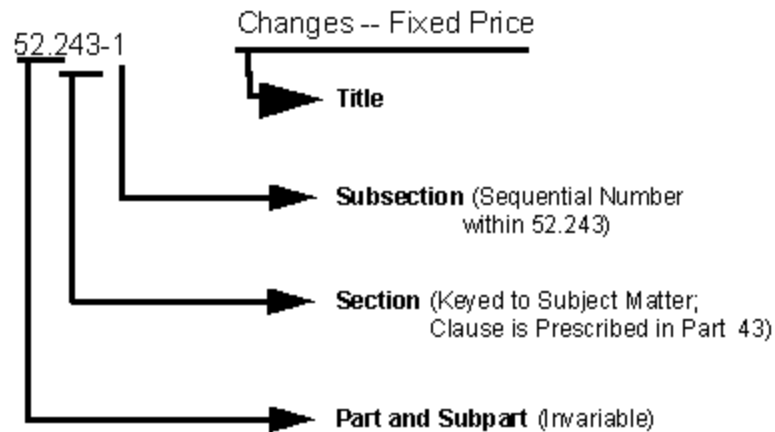
2. Arrangement. The digits to the left of the decimal point represent the Part number. The digits to the right of the decimal point AND to the left of the dash represent the Subpart and Section. The digits to the right of the dash represent the Subsection..

Example: RFO FAR 45.602-2. We are dealing with FAR Part 45. The Subpart is 45.6. The Section is 45.602 and the subsection is 45.602-2.



3. Correlation Between FAR Parts and Clauses/Provisions. All RFO FAR clauses and provisions are found in Subpart 52.2. As a result, they each begin with “52.2.” The next two digits in each clause or provision corresponds to the FAR Part in which that particular clause or provision is discussed and prescribed. The clause or provision is then completed by a hyphen and a sequential number assigned within each section of Subpart 52.2. See RFO FAR 52.101(b).

Example: RFO FAR 52.245-2. This is a clause (as shown by the “52.2”) that deals with Government Property (as shown by the “45,” indicating that it is prescribed in RFO FAR Part 45). The “-2” is simply the sequential number of the clause within Section 52.245, and does not correlate to any other portion of the FAR.



4. How to Determine if a Clause or Provision Should Be Included in the Contract. Each clause or provision listed in the RFO FAR cross-references a FAR Section that prescribes when it should or may be included into a contract. The “FAR Smart Matrix” summarizes these prescriptions. It is found at: <https://www.acquisition.gov/far-smart-matrix>. As of 13 May 2026, the RFO Smart Matrix is pending. RFO FAR 52.3.

ATTACHMENT 1: SAMPLE CONTRACT REVIEW CHECKLIST

SOLICITATION/CONTRACT AWARD CHECKLIST

NOTE: The following checklist is a “broad brush” tool designed to GENERALLY assist you in conducting solicitation and contract award reviews. DO NOT use this checklist as a substitute for examining the relevant statutes and regulations.

Section I--Solicitation Documentation

1. Purchase Request.

- _____ a. Is it in the file?
- _____ b. Is the desired delivery or start date consistent with the date stated in the IFB/RFP/RFQ?
- _____ c. Does the description of the desired supplies or services correspond to that of the IFB/RFP/RFQ?
- _____ d. Does the purchase request contain a proper fund citation?
- _____ e. Are funds properly certified as available for obligation?
- _____ f. Are the funds cited proper as to purpose? 31 U.S.C. § 1301.

- _____ g. Are the funds cited current and within their period of availability? 31 U.S.C. § 1552.
- _____ h. Are the funds cited of sufficient amount to avoid Antideficiency Act issues? 31 U.S.C. §§ 1341, 1511-1517.
- _____ i. Is the procurement a severable services contract to which the provisions of 10 U.S.C. § 2410a apply?
- _____ j. If appropriate, does the solicitation contain either the Availability of Funds clause at RFO FAR 52.232-18 or the Availability of Funds for the Next Fiscal Year at RFO FAR 52.232-19 (one-year indefinite quantity contracts)?

2. Method of Acquisition.

- _____ a. What is the proposed method of acquisition?
- _____ b. Is the “sealed bidding” method required? RFO FAR 6.101(b)(1).
- _____ c. Has the activity excluded sources? If so, have applicable competition requirements been met? RFO FAR 6.102.
- _____ d. Has the activity proposed meeting its requirements without obtaining full and open competition? RFO FAR 6.103.
- _____ e. Does a statutory exception permit other than full and open competition? RFO FAR 6.103.
- _____ f. If other than full and open competition is proposed, has the contracting officer prepared the required justification and include all required information? RFO FAR 6.104. Does it make sense?
- _____ g. Have the appropriate officials reviewed and approved the justification? RFO FAR 6.104-2.
- _____ h. Is this a contract for supplies, services, or construction amounting to \$350,000 or less (\$1,000,000 in a domestic contingency and \$2,000,000 in an overseas contingency; \$650,000 for contracts in support of overseas humanitarian and peacekeeping operations), triggering the simplified acquisition procedures? RFO FAR 2.101.
- _____ i. May the activity meet its needs via the required source priorities listed in RFO FAR Part 8?

3. Publicizing the Solicitation.

- _____ a. Has the contracting officer published the solicitation as required by RFO FAR 5.2?
- _____ b. Has the activity allowed adequate time for publication? RFO FAR 5.201(d).
- _____ c. If acquiring commercial products or commercial services, does the combined synopsis/solicitation procedure apply? RFO FAR 12.202.

4. Solicitation Instructions.

- _____ a. Does the solicitation state the date, time, and place for submitting offers? Is the notation on the cover sheet consistent with the SF 33?
- _____ b. Is the time for submitting bids adequate? RFO FAR 14.210.
- _____ c. Are the required clauses listed in RFO FAR 14.208 (for IFBs) or RFO FAR 15.110 (for RFPs) and the matrix at FAR 52 included in the solicitation (RFO FAR Matrix still pending as of 14 May 2026)?
- _____ d. If a construction contract, have the special requirements and procedures of RFO FAR Part 36 been followed?

5. Evaluation Factors.

- _____ a. Does the solicitation state the evaluation factors that will be used to determine award? RFO FAR 14.306 (for IFBs); RFO FAR 15.104 (for RFPs).
- _____ b. Are the evaluation factors clear, reasonable, and not unduly restrictive?
- _____ c. In competitive and noncompetitive acquisitions, are all evaluation factors identified, including cost or price and any significant sub-factors that will be considered? Is the relative importance of each disclosed? RFO FAR 15.104.
- _____ d. If past performance is required as an evaluation factor, has it been included? RFO FAR 15.104(b)(3)

6. Pricing.

- _____ a. Is the method of pricing clear?
- _____ b. Are appropriate audit clauses included in the solicitation? RFO FAR 14.208; RFO FAR 15.110.

- _____ c. Does the Truth in Negotiations Act apply to this solicitation or request?
RFO FAR 14.403-2(c)(3).
- _____ d. If the Truth in Negotiations Act applies, does the solicitation contain the required
clauses? RFO FAR 15.110.

7. Contract Type.

- _____ a. Is the proposed type of contract appropriate? RFO FAR 6.101(b); RFO FAR
16.102.
- _____ b. If the proposed contract is for personal services, has the determination concerning
personal services been executed? RFO FAR 7.5. Does a statutory exception
permit the use of a personal services contract? RFO FAR 37.2; 5 U.S.C. § 3109
and 10 U.S.C. § 129b.
- _____ c. If the proposed contract is a requirements contract, is the estimated total quantity
stated? Is the estimate reasonable? If feasible, does the solicitation also state the
maximum quantity? RFO FAR 16.503. Is appropriate ordering and delivery
information set out? RFO FAR 16.503-4. Are required clauses included in the
solicitation? RFO FAR 16.505.
- _____ d. If the proposed contract is an indefinite quantity type contract, are the minimum
and maximum quantities stated and reasonable? RFO FAR 16.504. Is appropriate
ordering and delivery information set out? RFO FAR 16.504-5. Are required
clauses included in the solicitation? RFO FAR 16.505.
- _____ e. Does the preference for multiple awards apply? RFO FAR 16.504-3.

8. Purchase Description or Specifications.

- _____ a. Are the purchase descriptions or specifications adequate and unambiguous?
RFO FAR 11.102.
- _____ b. If a brand name or equal specification is used, is it properly used? RFO FAR
11.204.
- _____ c. Are the provisions required by RFO FAR 11.302 included in the solicitation?

9. Descriptive Data and Samples.

- _____ a. Will bidders be required to submit descriptive data or bid samples with their bids?
- _____ b. If so, have the requirements of RFO FAR 14.205 and RFO FAR 14.206 been met?

10. Packing, Inspection, and Delivery.

- _____ a. Is there an F.O.B. point? RFO FAR 46.505.
- _____ b. Are appropriate quality control requirements identified? RFO FAR 46.202.
- _____ c. Is there a point of quality assurance / inspection at the source? RFO FAR 46.402.
- _____ d. Is there a point of quality assurance / inspection at the destination? RFO FAR 46.403.
- _____ e. Have the place of acceptance and the activity or individual to make acceptance been specified? RFO FAR 46.502; RFO FAR 46.503.
- _____ f. Is the delivery schedule reasonable? RFO FAR 11.401.

11. Bonds and Liquidated Damages.

- _____ a. Are bonds required? RFO FAR Part 28.
- _____ b. If so, are the requirements clearly stated in the specification?
- _____ c. Is there a liquidated damages clause? Does it conform to the requirements of RFO FAR 11.402. Is the amount reasonable? Are required clauses incorporated? RFO FAR 11.403.

12. Government-Furnished Property.

- _____ a. Will the government furnish any type of property, real or personal, in the performance of the contract?
- _____ b. If so, is the property clearly identified in the schedule or specifications? Is the date of delivery clearly specified?
- _____ c. Has the contractor's property accountability system been reviewed and found adequate? RFO FAR 45.105.
- _____ d. Are the contractor's and the government's responsibilities and liabilities stated clearly? RFO FAR 52.245-2.
- _____ e. Have applicable requirements of RFO FAR Part 45 been met? Are required clauses present?

13. Small Business Issues.

- _____ a. Is the procurement one that has been set-aside for small businesses? RFO FAR 19.5. If so, is the procurement a total set-aside pursuant to RFO FAR 19.104-1 or a partial set-aside pursuant to RFO FAR 19.104-2?
- _____ b. Is the procurement appropriate for a “small disadvantaged business” participating as part of the Small Business Administration’s “8(a) Program”? RFO FAR Subpart 19.108. If so, does the entity meet the eligibility criteria for 8(a) participation?
- _____ c. If the solicitation contains bundled requirements, has the activity satisfied the requirements of RFO FAR 7.107, RFO FAR 10.001, and RFO FAR 19.102, RFO 19.112?
- _____ d. Does the solicitation contain the small business certification? RFO FAR 19.103.
- _____ e. Does the solicitation contain the proper Standard Industrial Classification code or North American Industry Classification System code? RFO FAR 19.108-3.

14. Environmental Issues.

- _____ a. Has the government considered energy efficiency and conservation in drafting its specifications and statement of work? RFO FAR 23.202.
- _____ b. Has the government considered procuring environmentally preferable and energy-efficient products and services? FAR 23.700.
- _____ c. Do the contract specifications require the use of an ozone-depleting substance? RFO FAR 23.108; DFARS 207.105.

15. Labor Standards.

- _____ a. Does the Construction Wage Rate Requirements Statute or the Service Contract Labor Standards apply to this acquisition? RFO FAR Subparts 22.4 and 22.10.
- _____ b. If so, have the proper clauses and wage rate determinations been incorporated into the solicitation?

16. Clarity and Completeness.

- _____ a. Have you read the entire solicitation?
- _____ b. Do you understand it?
- _____ c. Are there any ambiguities?

- _____ d. Is it complete?
- _____ e. Are the provisions, requirements, clauses, etc. consistent?
- _____ f. Are there any unusual provisions or clauses in the solicitation? Do you understand them? Do they apply?

Section II--Contract Award Checklist

1. Sealed Bid Contracts.

- _____ a. Review the previous legal review of the solicitation. Has the contracting activity made all required or recommended corrections?
- _____ b. Did the contracting officer amend the solicitation? If so, did the contracting officer distribute amendments properly? RFO FAR 14.209.
- _____ c. Has a bid abstract been prepared? RFO FAR 14.303. Is it complete? Does it disclose any problems?
- _____ d. Is the lowest bid responsive? RFO FAR 14.306. Are there any apparent irregularities?
- _____ e. Is there reason to believe that the low bidder made a mistake? RFO FAR 14.304. Has the contracting officer verified the bid?
- _____ f. Has the contracting officer properly determined the low bidder? RFO FAR 14.306-1.
- _____ g. Is the price fair and reasonable? RFO FAR 14.306-2.
- _____ h. Has the contracting officer properly determined the low bidder to be responsible? RFO FAR 14.306-2; RFO FAR 9.1.
- _____ i. If the low bidder is a small business that the contracting officer has found non-responsible, has the contracting officer referred the matter to the SBA? RFO FAR 19.201-2. If so, has the SBA issued or denied a Certificate of Competency to the offeror? RFO FAR 19.204.
- _____ j. Did the contracting officer address any late or improperly submitted bids? RFO FAR 14.301. Did the contracting officer address any unreadable electronic bids? RFO FAR 14.302.
- _____ k. Are sufficient and proper funds cited?

- _____ l. Has the activity incorporated all required clauses and any applicable special clauses?
- _____ m. Is the proposed contract clear and unambiguous? Does it accurately reflect the requiring activity's needs?
- _____ n. If a construction contract, have RFO FAR Part 36 requirements been satisfied?
- _____ o. If the acquisition required a synopsis in <https://sam.gov/>, is there evidence of that synopsis in the file? Was the synopsis proper?

2. Negotiated Contracts.

- _____ a. Review the previous legal review of the RFP. Have all required or recommended corrections been made?
- _____ b. Were any amendments made to the RFP? If so, were they prepared and distributed properly? RFO FAR 15.106.
- _____ c. Was any early exchanges with industry / conferences conducted properly? See RFO FAR Part 3 and Part 15.101(a).
- _____ d. Did the contracting officer address any late or improperly submitted proposals? RFO FAR 15.107. Did the contracting officer address any unreadable electronically submitted proposals? RFO FAR 15.108.
- _____ e. Has an abstract of proposals been prepared? Is it complete? Does it reveal any problems?
- _____ f. Is a pre-negotiation Business Clearance Memorandum (BCM) required? Is it complete? Does it reveal any problems?
- _____ g. Were negotiations conducted? RFO FAR 15.204. If not, did the solicitation contain a clause notifying offerors that the government intended to award without negotiation? RFO FAR 15.203. If so, were negotiations held with all offerors in the properly determined competitive range? RFO FAR 15.204-2.
- _____ h. **Were proposals evaluated in accordance with the factors set forth in the request for proposals? RFO FAR 15.202.**
- _____ i. Did the contracting officer properly address any changes to the government's requirements? RFO FAR 15.106.

- _____ j. Were applicable source selection procedures followed and documented?
RFO FAR 15.103; RFO FAR 15.201.
- _____ k. If the Truth in Negotiations Act applies, has the contractor submitted a proper certification? Is it complete and signed? RFO FAR 15.403-2.
- _____ l. Is a post-negotiation Business Clearance Memorandum (BCM) required? Is it complete? Does it reveal any problems?
- _____ m. Are all negotiated prices set forth in the contract?
- _____ n. Has the contracting officer incorporated required and special clauses in the proposed contract?
- _____ o. Is the proposed price fair and reasonable?
- _____ p. **Are sufficient and proper funds cited?**
- _____ q. Is the proposed contract clear and unambiguous? Does it make sense? Does it reflect the requiring activity's needs?
- _____ r. If a construction contract, has the contracting officer satisfied the requirements of RFO FAR Part 36 (and supplements)?

ATTACHMENT 2: SAMPLE SOLICITATION

SOLICITATION, OFFER AND AWARD			1. THIS CONTRACT IS A RATED ORDER UNDER DPAS (15 CFR 700)		RATING	PAGE 1 OF 57	
2. CONTRACT NUMBER		3. SOLICITATION NUMBER HQ00034-07-R-1058		4. TYPE OF SOLICITATION ☐ SEALED BID (IFB) ☒ NEGOTIATED (RFP)		5. DATE ISSUED 12/21/2007	
6. REQUISITION/PURCHASE NUMBER KRS1017071323		7. ISSUED BY WHSACQUISITION & PROCUREMENT OFFICE 1777 NORTH KENT ST, SUITE 12063, ARLINGTON, VA 22209		8. ADDRESS OFFER TO (If other than item 7) See Item 7			
NOTE: In sealed bid solicitations "offer" and "offeror" mean "bid" and "bidder".							
SOLICITATION							
9. Sealed offers in original and _____ copies for furnishings the supplies or services in the Schedule will be received at the place specified in item 8, or if hand carried, in the depository located in See Solicitation Section L until 2:30 PM local time 2/6/2008							
CAUTION - LATE Submissions, Modifications, and Withdrawals: See Section L, Provision No. 52.214-7 or 52.215-1. All offers are subject to all terms and conditions contained in this solicitation.							
10. FOR INFORMATION CALL:		A. NAME KORTNEE STEWART		B. TELEPHONE (NO COLLECT CALLS) AREA CODE 703 NUMBER 6963858 EXTENSION		C. E-MAIL ADDRESS kortnee.stewart.ctr@whs.mil	
11. TABLE OF CONTENTS							
(X)	SEC.	DESCRIPTION	PAGE(S)	(X)	SEC.	DESCRIPTION	PAGE(S)
PART I - THE SCHEDULE				PART II - CONTRACT CLAUSES			
X	A	SOLICITATION/CONTRACT FORM	1	X	I	CONTRACT CLAUSES	32-35
X	B	SUPPLIES OR SERVICES AND PRICES/COSTS	2-3	PART III - LIST OF DOCUMENTS, EXHIBITS AND OTHER ATTACH.			
X	C	DESCRIPTION/SPECS./WORK STATEMENT	4-21	X	J	LIST OF ATTACHMENTS	36-40
	D	PACKAGING AND MARKING		PART IV - REPRESENTATIONS AND INSTRUCTIONS			
X	E	INSPECTION AND ACCEPTANCE	22-23	X	K	REPRESENTATIONS, CERTIFICATIONS AND OTHER STATEMENTS OF OFFERORS	41-43
X	F	DELIVERIES OR PERFORMANCE	24	X	L	INSTRUCTIONS, CONDITIONS, AND NOTICES TO OFFERORS	44-54
X	G	CONTRACT ADMINISTRATION DATA	25-27	X	M	EVALUATION FACTORS FOR AWARD	55-57
X	H	SPECIAL CONTRACT REQUIREMENTS	28-31				
OFFER (Must be fully completed by offeror)							
NOTE: Item 12 does not apply if the solicitation includes the provisions at 52.214-16, Minimum Bid Acceptance Period.							
12. In compliance with the above, the undersigned agrees, if this offer is accepted within _____ calendar days (60 calendar days unless a different period is inserted by the offeror) from the date for receipt of offers specified above, to furnish any or all items upon which prices are offered at the set opposite each item, delivered at the designated point(s), within the time specified in the schedule.							
13. DISCOUNT FOR PROMPT PAYMENT (See Section I, Clause No. 52.232-8)		10 CALENDAR DAYS (%)		20 CALENDAR DAYS (%)		30 CALENDAR DAYS (%)	
14. ACKNOWLEDGMENT OF AMENDMENTS (The offeror acknowledges receipt of amendments to the SOLICITATION for offerors and related documents numbered and dated):		AMENDMENT NO.		DATE		AMENDMENT NO.	
15A. NAME AND ADDRESS OF OFFEROR		CODE		FACILITY		16. NAME AND THE TITLE OF PERSON AUTHORIZED TO SIGN OFFER (Type or print)	
15B. TELEPHONE NUMBER AREA CODE NUMBER EXTENSION		☐ 15C. CHECK IF REMITTANCE ADDRESS IS DIFFERENT FROM ABOVE - ENTER SUCH ADDRESS IN SCHEDULE.		17. SIGNATURE		18. OFFER DATE	
AWARD (To be completed by Government)							
19. ACCEPTED AS TO ITEMS NUMBERED		20. AMOUNT		21. ACCOUNTING AND APPROPRIATION			
22. AUTHORITY FOR USING OTHER THAN FULL OPEN COMPETITION: ☐ 10 U.S.C. 2304 (c) ☐ 41 U.S.C. 3304(a) ()		23. SUBMIT INVOICES TO ADDRESS SHOWN IN (4 copies unless otherwise specified)		ITEM			
24. ADMINISTERED BY (If other than Item 7)		25. PAYMENT WILL BE MADE BY		CODE			
26. NAME OF CONTRACTING OFFICER (Type or print)		27. UNITED STATES OF AMERICA (Signature of Contracting Officer)		28. AWARD DATE			
IMPORTANT - Award will be made on this Form, or on Standard Form 26, or by other authorized official written notice.							
AUTHORIZED FOR LOCAL REPRODUCTION Previous edition is unusable				STANDARD FORM 33 (REV. 6/2014) Prescribed by GSA - FAR (48 CFR) 53.214 (c)			

Section B - Supplies or Services and Prices

ITEM NO	SUPPLIES/SERVICES	QUANTITY	UNIT	UNIT PRICE	AMOUNT
0001	Pentagon Custodial - Base Year FFP	12	Months		
	Period of Performance: Base Year 1 Sept 2014 – 30 Aug 2015. PURCHASE REQUEST NUMBER: KRS1017071323				

NET AMT

ITEM NO	SUPPLIES/SERVICES	QUANTITY	UNIT	UNIT PRICE	AMOUNT
0002	Pentagon Custodial - Option Year One FFP	12	Months		
	Period of Performance: Option Year One 1 Sep 2015 – 30 Aug 2016. PURCHASE REQUEST NUMBER: KRS1017071323				

NET AMT

ITEM NO	SUPPLIES/SERVICES	QUANTITY	UNIT	UNIT PRICE	AMOUNT
0003	Pentagon Custodial - Option Year Two FFP	12	Months		
	Period of Performance: Option Year Two 1 Sep 2016 – 30 Aug 2017. PURCHASE REQUEST NUMBER: KRS1017071323				

NET AMT

ITEM NO	SUPPLIES/SERVICES	QUANTITY	UNIT	UNIT PRICE	AMOUNT
0004	Pentagon Custodial - Option Year Three FFP Period of Performance: Option Year Three 1 Sep 2017 – 30 Aug 2018 PURCHASE REQUEST NUMBER: KRS1017071323	12	Months		

NET AMT

ITEM NO	SUPPLIES/SERVICES	QUANTITY	UNIT	UNIT PRICE	AMOUNT
0005	Pentagon Custodial - Option Year Four FFP Period of Performance: Option Year Four 1 Sep 2018 – 30 Aug 2019. PURCHASE REQUEST NUMBER: KRS1017071323	12	Months		

NET AMT

Section C - Descriptions and Specifications

PERFORMANCE WORK STATEMENT

Section C: Performance Work Statement

December 5, 2007

Part 1: General Information

1.1 Introduction

The purpose of this contract is to fulfill a need of the Pentagon for custodial services. The Pentagon is the headquarters of the United States Department of Defense (DoD) and the world's largest low-rise office building. It is at once a building, an institution, and a national symbol.

1.2 Background

This contract follows the fifth year of a five-year contract. This contract is offered as a one-year contract with a possible additional four option years depending on the Contractor's performance and/or other factors. This is a firm-fixed-price contract with line items for additional work such as additional carpet cleaning. Existing problems include the large number of people that work in the Pentagon, the sheer size of the Pentagon, and the high level of Pentagon security.

Historically, the following performance issues characterize contracts of this type:

- Excessive noise generated by trash removal
- Lack of contractor coordination when servicing secure areas
- Inadequate supervision
- Mishandling of recyclable materials
- Response to government requests for unscheduled cleaning
- Inadequate contractor quality control

In providing the required end results for this contract, the Government will use CPARS to assess performance and reward the contractor for meeting contract requirements and avoiding the historic non-performance issues noted above. In order to earn the highest ratings, the contractor must have "substantially exceeded the contract performance requirements without commensurate additional costs to the Government." This principle should guide the contractor's efforts to achieve the standards of this contract.

1.3 Objectives

The objective of this contract is to provide the Pentagon with high quality, timely, proactive and responsive custodial services.

1.4 Scope

The Pentagon presently houses approximately 26,000 military and civilian employees and about 3,000 non-defense support personnel dedicated to protecting our national interests. The

Pentagon sits on 34 acres of land including the five-acre center court, making a footprint large enough to accommodate five Capitol buildings. In spite of the Pentagon's tremendous size, it takes only seven minutes to walk between any two points of the building because of its unique design.

There are approximately 6,600,000 gross square feet of space, 280 restrooms, 7,750 windows, 130 stairways, 40 escalators, elevators, 17.5 miles of corridors, and 700 water fountains. These figures are approximate and are subject to change as the renovation is completed.

The Pentagon custodial requirements will be met by two contracts; this contract and a NISH contract, with which coordination will often be required. This contract will be responsible for providing service for the 2nd floor of the Pentagon, the Metro Entrance, the outside trash removal, and the PENREN trailers not housed in the PENREN Compound. Attachment J-C1 details the specific area responsibilities covered by this contract. This contract has four major functional areas to be performed:

- Interior cleaning
- Exterior cleaning including parking lots and sidewalks
- Trash/Recyclable Material Management
- Miscellaneous services

The following types of cleaning are required:

Basic cleaning service: Basic cleaning services require cleaning of an area only when the appearance of that particular area falls below the stated standard specified in the Performance Matrix.

Scheduled cleaning service: Service performed on a contractor determined schedule.

Continuous cleaning service: Custodial services on a continuous process due to the large volume of traffic or high profile of occupants.

Spot cleaning: Localized cleaning in response to a customer service request or Contractor identified requirement.

The contractor may employ any cost-effective, flexible combination of cleaning types so long as the areas are maintained in accordance with the contract standards. The Pentagon is not a typical commercial office building requiring only scheduled custodial services. The occupants of the Pentagon demand a high standard of cleaning that may require an aggressive contractor inspection system that quickly identifies areas that fall below required standards. Some areas may necessitate continuous cleaning in order to maintain the standards. The contract requires close monitoring of all areas, especially when weather or other circumstances cause areas to repeatedly fall below standards. The use of scheduled services alone may not be sufficient to maintain areas in a consistently clean state, especially high use, public areas.

The Government intends to aggressively assess the effectiveness of the Contractor's continuous inspection system required by FAR 52.246-4 Inspection of Services Fixed Price to detect and correct instances of failing to meet contract standards.

A "reasonable person" standard will be used in assessing the contractor's ability to ensure the areas present the appearance one would expect in a high-profile environment. The Government does not desire surfaces or containers to be cleaned unnecessarily. By the same token, the Government does not believe that merely vacuuming or sweeping once a day meets the required standard of a clean and neat appearance if area's appearance declines.

The Pentagon has been identified as the "Energy Efficient and Environmentally Sensitive Showcase Building" for the Department of Defense (DoD) worldwide. The Pentagon is one of the most visible elements of this showcase designation for the general public, national, and international dignitaries alike. Custodial services are a major factor in maintaining this standing.

The contractor is expected to use green cleaning as a holistic approach to janitorial services, taking into account:

- (1) the health, safety, and environmental risks of products and processes associated with cleaning;
- (2) the mission and use of the facility to be cleaned and the behavior of facility occupants; and
- (3) the cleaning, maintenance, and sanitation needs of the facility.

The government desires the process of cleaning that involves alternative products, applying those products in different ways, and evaluating and/or changing behaviors associated with how buildings are used to reduce risks while maintaining a satisfactory level of cleanliness and disinfection.

When blocks of space totaling 10,000 square feet or more are expected to remain unoccupied for 30 calendar days or longer, deductions will be made from the monthly payment due the Contractor. The Contracting Officer (CO) will give the Contractor a written notice of the effective date the areas are to be dropped from or returned to the normal cleaning schedule at least three full working days in advance of this date.

The period of deducting for unoccupied space will begin on the effective date as stipulated in writing by the CO and will continue until the effective date on which the cleaning is resumed. The 10,000 square feet may be made up of small blocks of non-contiguous space. Subsequent blocks of space less than 10,000 square feet in the same vicinity may be added after the initial 10,000 square-feet threshold is met.

When adding or deducting space the Government will utilize the square foot unit price for General, Executive, restrooms and other areas to accomplish additions/deductions for the base and each option year. Unit prices are specified in Section B, Attachment J-B1 – J-B6.

The Pentagon Reservation is undergoing extensive renovation. As a consequence, the workload in terms of square footage and equipment type and number may significantly change during the contract period.

The performance of the contract requires TOP SECRET FACILITY CLEARANCE with selected contractor personnel requiring TOP SECRET clearances (see Attachment J-C2, “Contract Security Classification Specification”).

1.5 Applicable Documents

Publications	Title
Federal Hazard Communication Program (29 CFR 1910.1200)	http://www.ilpi.com/msds/osha/1910_1200.html
Hazardous waste operations and emergency response. - 1910.120	http://www.osha.gov/pls/oshaweb/owadisp.show_document?p_table=STANDARDS&p_id=9765
Contractor Performance Assessment Report System (CPARS)	https://www.cpars.gov/
Green Seal Product Standards	GS-37: GS Environmental Standard for General Purpose, Bathroom, and Glass Cleaners Used for Industrial and Institutional GS-40: Floor Care Products GS-08 Household Cleaners

Part 2: Definitions

After hours: The hours of the day following the normal working hours of 7:00AM to 4:30PM, Monday through Friday

Basic cleaning services: Requires cleaning only when dirt, debris, etc., are visible.

Carpet: Includes wall-to-wall, carpet tile, room-size rugs, area rugs, elevator and entrance floor mats.

Clean window: Includes washing interior and exterior glass, and all window surfaces including head, sash, sills, sun and insect screens (where applicable), and removal of all grit, dust, dirt, stains, insects, finger marks, streaks, spots, cloudy film and graffiti.

Clean: Free of dirt, film, graffiti, smudges, spots, streaks, debris, stains, dust, soil, gum, cobwebs, other foreign matter, excessive moisture, mold, and mildew; and is odor-free.

Clinical cleaning services: Requires cleaning to remove all soil, including bacteria.

Disinfect: The process of cleaning to remove germs and/or cause of infection.

Damaged: Operation of device mechanically impaired or otherwise diminished from original state in a noticeable way to include, but not limited to, unsecured, sharp edges, cracks, or noticeably marred.

Disinfect: Clean so as to destroy disease carrying microorganisms and prevent infection.

Emergency Condition: A situation calling for immediate response to address a critical situation.

Executive Office Areas Space: These areas require regularly scheduled cleaning of surfaces regardless of whether dirt is visible.

Exterior cleaning: The cleaning of surfaces outside of the building to include hard surfaces such as parking lots, bus shelters, taxi stands, guard booths, walkways, stairways, elevators, entrances, doors, glass and windows, smoker ash urns, and trash pickup

Green Cleaning: A comprehensive approach to cleaning designed to reduce the impacts on the health of a building's occupants and workers, and reducing the environmental impact from the products selected for and used in the cleaning process.

Interior cleaning: The cleaning of surfaces inside of the building to include hard surfaces in restrooms, sink rooms, kitchenettes, stairways, elevators, escalators, entrances, and drinking fountains.

Quiet: Non-audible to occupants of adjacent offices.

Regular hours: Monday – Friday, 0700 to 1700 hours, excluding Federal Holidays and weekends.

Scheduled cleaning services: Requires service on a regular schedule whether dirt is visible or not.

Secured Space: Areas requiring secret or higher clearances for access.

Spot Cleaning: Perform the standard cleaning functions not specifically listed but necessary to maintain the satisfactory level of cleanliness, to perform standard cleaning functions more often than planned frequency due to outside conditions.

Surfaces: In addition to walls, floors, and ceilings, surfaces include area rugs, carpets, restroom stall partitions, doors, windows, window frames, sills, air-returns, vents, corners, furniture, glass, glass desktops partitions, computer centers, pictures, blinds, bookcases, stairs, and recycle and trash receptacles.

Part 3: Government Furnished

The Government will provide limited storage space within the building for the contractor. The space is subject to change in both location and square footage.

Any existing equipment within the space assigned to the Contractor such as clothes lockers, tables, benches, chairs, etc., placed in the building by the Government may be used by the Contractor during the term of the contract provided written authorization is received in advance from the Contracting Officer Representative (COR). The Contractor shall maintain Government provided space in a neat, clean, and orderly fashion, and return the space to the Government at the expiration of the contract in the same condition as at the beginning of its use. The Government will not be responsible for any damage or loss to the Contractor's stored supplies, materials, or equipment.

The Government will provide access to sink rooms (with utility sinks), where available, at various points throughout the building. The Contractor shall keep sink rooms clean and orderly and shall not use these rooms as employee break rooms or for storing equipment including mops, brooms, dust cloths, and other custodial items. The Contractor shall keep sink room doors closed and the light(s) and water turned off when not in use.

The Government will provide hot and cold water as necessary for the Contractor to perform the requirements herein and limited to the normal water supply provided in the building.

The Government will provide space in the building, furniture, and furnishings (to include a telephone and one computer for restricted use) for a Project Manager/Supervisor's office to be used for official business in the performance of this contract. The computer and telephones supplied by the Government are to be used only for work related activities and communications within or between the buildings. The Contractor or its employees shall not use the computer or telephones in any manner for personal advantage, business gain, or other personal endeavor. The Contractor shall arrange with the telephone company for the installation of private business telephone line(s) for its personal or business use and shall pay all costs for the installation and maintenance of it.

The Government will furnish office desktop and public recycling containers. The Contractor shall distribute containers as needed to the appropriate locations as directed by the COR or the Recycling Program Manager.

The Government will provide ice melt for snow and ice removal.

Part 4: Contractor Furnished

Unless otherwise specified, the Contractor shall furnish all supplies, materials, and equipment necessary for the performance of work under this contract. All supplies and materials shall be of a type and quality that conform to applicable Federal specifications and standards and, to the extent feasible and reasonable, include the exclusive use of bio-based products. All dispensers/receptacles shall be considered, as is condition upon start date of the contract. All dispensers and receptacles are defined as, but not limited to sanitary napkin receptacles, toilet seat cover dispensers, toilet paper dispensers, paper towel dispensers and soap dispensers. The contractor shall buy and replace broken or damaged items for the remainder of the contract. All supplies, materials, and equipment to be used in the work described herein are subject to the approval of the COR.

The Contractor shall submit to the COR a list indicating the name of the manufacturer, the brand name, and the intended use of each of the materials, proposed for use in the performance of its work. The Contractor shall not use any materials, chemicals, or compounds which the COR determines would be unsuitable for the intended purpose or harmful to the surfaces to which applied or, as might be the case for such items as paper or soap products, unsatisfactory for use by occupants. The Contractor shall utilize products and material made from bio-based materials (e.g., bio-based cleaners, bio-based degreasers, bio-based laundry detergent) to the maximum

extent possible without jeopardizing the intended end use or detracting from the overall quality delivered to the end user. For the bio-based content products evaluation, all non-chemical products proposed for use under this contract must conform to the Department of Agriculture (USDA) Designated Bio-based Products List (DBPL) whenever practicable. Contractors should provide data for their bio-based solvents and cleaners to document bio-based content, and source of bio-based material (i.e. particular crop or livestock).

Any material which the COR suspects does not meet Federal specifications or standards shall be tested at the Contractor's expense by an independent testing laboratory qualified to perform such tests as are required. A copy of the laboratory report giving the results of the test and a sample of each product, if requested, shall be submitted to the COR. These products shall meet the requirements established by applicable Federal specifications and standards or be considered unacceptable for use.

Material Safety Data Sheets (MSDS). The Contractor shall comply with all applicable provisions of the Federal Hazard Communication Program (29 CFR 1910.1200). The Contractor shall provide the COR with a MSDS for each material in use or stored on the Pentagon Reservation. In addition, within 30 days of contract award, the Contractor shall provide the COR with the approximate quantities (i.e., $\pm$ ten percent) and the location(s) of all materials requiring an MSDS stored by the Contractor on the Pentagon Reservation. The Contractor shall update this information at least once each quarter or more frequently when quantities for any material change by more than ten percent for any single product. The Pentagon Building Manager or CO reserves the right to disapprove of any materials, chemicals or degreasers.

Restroom Soap: The Contractor shall provide a restroom soap that is green seal approved. Antimicrobial institutional hand cleanser may be provided only upon approval of the COR.

Environmentally Preferred Products (EPP): The Contractor shall meet or exceed the mandatory environmental preferable criteria and required consistencies and incorporated in the Contractor's Stewardship Plan as specified in paragraph C-6.9.1 for all of the chemical cleaning-products used during the performance of the contract.

Cleaning Equipment: The Contractor shall furnish all necessary cleaning equipment. The Contractor shall use only vacuums equipped with HEPA filters for work performed under this contract. The Contractor shall not use equipment powered by combustion engines (e.g., gasoline, propane, CNG, diesel) for use or storage in areas other than locations approved, in advance, by the COR.

The Contractor shall furnish carts and containers constructed from noncombustible or flame-resistant products that fall within established guidelines for the collection and/or storage of waste materials and recyclables.

Uniforms: The Contractor shall require its employees, supervisors and sub-contractors to wear distinctive uniform clothing and shall assure that every employee is in uniform upon contract start date. Employees shall wear uniforms consisting of shirts and trousers, coveralls, or smocks

for men, and dresses, and blouses with skirts or slacks, or smocks, as appropriate, for women. The uniform shall have the Contractor's name, easily identifiable, permanently attached above the waist. The color or color combination of the Contractor's uniforms worn on the Pentagon Reservation shall be approved, in advance, by the COR. Unless the performance of a particular task requires otherwise, the Contractor's employees shall maintain an appearance that is neat and clean and reflects favorably upon both the Contractor and the Department of Defense.

Equipment Markings: All contractor equipment to include vacuums, trash carts, mop ringers, etc. shall be professionally and permanently stenciled. Handwritten company names, individual worker's name, etc. will not be permitted and will require the subject item to be removed from service.

Part 5: Specific Requirements

The Contractor shall provide custodial services that result in a building appearance and sanitation level consistent with show casing the Pentagon as a building, institution, and national defense symbol for the general public, and national and international dignitaries.

The contractor shall meet or exceed all performance-based requirements detailed in the Performance-based Matrix at C.5.5. Each requirement has associated measurable performance standards.

5.1 Interior Cleaning. The Contractor shall clean, to include spot cleaning, the interior spaces consistent with standards in the Performance Based Matrix at C.5.5. Areas requiring cleaning are listed below.

5.1.1 Restrooms. The Contractor shall clean all restroom, showers, kitchenettes surfaces.

5.1.2 Office and Conference Spaces. The Contractor shall clean all general, Executive, and Secure Office and Conference Space surfaces.

The Contractor shall submit to the COR a schedule to shampoo all carpet in renovated space every two years. The Contractor shall report all worn out carpet to the COR. Upon space renovation, additional carpet cleaning requirements may be added to the contract.

5.1.3 Entrances/Lobbies, and Corridors. The Contractor shall clean entrances, lobbies, and corridors. SECDEF Corridor at the River and Mall Entrances and their lobbies and joining corridors are high profile areas.

5.1.4 Stairways/Stairwells. The Contractor shall clean all stairwells and stairs, landings, railings, ledges, and grille surfaces.

5.1.5 Loading Areas (including platforms and docks). The Contractor shall clean all surfaces.

5.1.6 Elevators (passenger and freight) and Escalators. The Contractor shall clean interior elevators and escalators.

5.1.7 Vending Areas. The Contractor shall clean all floor and wall surfaces. While vending machine equipment sanitation is the responsibility of the vending machine supplier, the Contractor shall clean vending areas.

5.1.8 Drinking Fountains. The Contractor shall clean all surfaces.

5.1.9 Grease Traps. The Contractor shall pump, pressure wash and clean grease traps with the result(s) described in the Performance-based Matrix.

The Contractor shall dispose of all material/waste in accordance with applicable Federal, Commonwealth of Virginia, and local rules/regulations. Copies of all waste manifests for Pentagon solid wastes will be provided to the COR.

The Contractor shall provide the COR all required information to gain access to the Pentagon Reservation no less than 48 hours prior to start of work during normal duty hours. Any delay or non-performance due to the contractor failing to coordinate with the COR shall be at no cost to the Government.

The Contractor shall perform this requirement each alternate Saturday for the duration of this contract between the hours of 7:00AM and 4:30PM unless otherwise requested by the CO or COR. The Contractor shall shift the hours of performance to meet the needs of the Government upon receiving a 24 hour notification at no additional cost to the Government. The Contractor shall sign in/out with the COR.

The Contractor shall inform the COR if more frequent cleaning is required to allow for proper scheduling.

The Contractor shall only use electrical portable pump and pressure-washing equipment.

Grease trap locations are indicated in the list below:

Equipment Location List	Number of Grease Traps
G2-1 Food Service Loading Dock	1
G2-2 PLC2 Kitchen	1
G2-3 Corridor 3&4 Elevator Bank	1
G2-4 Corridor 5, D Ring	1
G2-5 Corridor 7&8 Elevator Bank	1
G2-6 Corridor 7, E Ring	1
G2-7 Corridor 8, Basement	1
G2-8 Corridor 8, C Ring Mechanical Room	TBD

5.2 Exterior Cleaning. The Contractor shall clean the exterior spaces identified below.

5.2.1 Elevators. The Contractor shall clean all exterior passenger elevators.

5.2.2 Windows (interior and exterior). The Contractor shall clean all interior windows on the 2nd Floor, and all exterior window sides of the entire building to include glass, frames, and ledges. The Contractor shall clean the ten (10) METRO awnings after hours. The Contractor shall submit a detailed work schedule to the COR no less than fourteen (14) calendar days before the start of work.

The Contractor shall adhere to the following minimum window washing schedule requirements:

April 15 – May 30	Clean all windows + 5100 SF of additional glass
July 1 – July 25	Clean 350 windows (obstructed windows, bus stops, taxi stands, kiss & drop shelters, and Metro awnings)
Aug 1 – Aug 15	Clean 350 windows (obstructed windows, bus stops, taxi stands, kiss & drop shelters, and Metro awnings)
Sept 15 – Oct 30	Clean all windows + 5100 SF of additional glass
Within 48 hours	Clean up to 25 windows and/or 1000 SF of glass (2X/YR)

5.2.3 Guard Booths, Trailers, Outbuildings and Bus Shelters. The Contractor shall clean all surfaces.

5.2.4 Loading Areas. The Contractor shall clean all surfaces. The Contractor shall not store products or equipment on the loading areas.

5.2.5 Exterior Surfaces. Contractor shall clean center courtyard, steps, walk-off mats, landings, parking lots, pavement, concrete drive surfaces, and sidewalks.

5.2.6 Smoker Ash Urns. Contractor shall clean smoker ash urns.

5.3 Trash/Recyclable Material Management. The Contractor shall collect trash and recyclables, and service recycling bins. The Contractor shall supply additional trash containers for special bulk-trash requests and special events. The Contractor shall not dispose of recycled material as refuse. The Contractor shall remove obvious contaminants when emptying recycle bins.

5.4 Miscellaneous Services.

5.4.1 Emergency Service. In the event the Project Manager or Designated Representative is notified that an emergency condition exists, the Contractor shall position appropriate resources at the site of the emergency within 15 minutes during normal work hours and within 90 minutes after normal working hours.

5.4.2 Customer Service Requests. The Contractor shall have customer service requests corrected within 45 minutes or sooner of notification during normal working hours. The Pentagon Building Management Office (PBMO) will receive service call requests from building occupants and notify the Contractor of the work required. Historically, tasks included providing appropriate waste and recycling receptacles for special tasks, servicing restrooms, cleaning, waste removal, emptying recycling containers, and other miscellaneous requests for janitorial services.

5.4.3 Response to Occupant Complaints.

The COR, the PBMO, or the Building Operations Command Center (BOCC) will report all complaints to the Contractor. The Contractor shall respond within 15 minutes to complaints and resolve problem within 30 minutes. The Contractor shall submit written documentation of service follow-up and response time to the COR within 24 hours of service completion.

5.4.4 Special Events. The Contractor shall provide and monitor portable restroom facilities as well as cleaning and servicing. The contractor shall also provide and monitor trash receptacles to prevent overflowing in the designated areas. The Contractor shall monitor and clean designated areas specified prior to, during, and at the completion of the event

5.4.5 Snow and Ice Removal. During regular hours, the Contractor shall clear entranceways, stairs, sidewalks, bus and shuttle shelters, pedestrian bridges of snow and ice. Contractor shall clear and de-ice passageways and steps for modular buildings and trailers.

Performance-Based Matrix				
Desired End Result(s)	Feature(s) of end result to be surveyed.	The required performance level for each feature. “What success looks like”	Quality Assurance Inspection Method	Incentive
The Contractor shall provide custodial services that result in a building appearance and sanitation level consistent with show casing the Pentagon as a building, institution, and national defense symbol for the general public, and national and international dignitaries. Contractor Inspection System	De-icing and snow removal 5.4.5	All surfaces continually free of ice and snow. Contractor provides appropriate snow removal equipment and in sufficient quantities to ensure snow does not accumulate.	Methods include but are not limited to 100% inspection, random sampling, planned sampling, incidental inspections and validated customer complaints.	Payment of contract price if performance meets requirements. Final and interim CPARS performance evaluations for use in future Government source selections.
	Floors 5.1.1 5.1.2 5.1.3 5.1.4 5.1.5 5.1.6 5.1.7 5.2.1 5.2.3 5.2.4	Floors are clean and appear uniform, and/or sanitation-related safety hazards. Baseboards are free of floor cleaning residues or marks. All items moved during cleaning are in their original position. Terrazzo floors are clean and have high luster. Elevator floors have high luster. Elevator pit not used for floor sweepings or drains.		
	Re-waxed floors 5.1.2 5.1.3 5.1.7	Stripped floor: Floor is ready for the reapplication of sealer and floor finish, i.e., free of dirt, stains, deposits, wax, finish, water, and cleaning solutions. Sealed floor: Uniform appearance, with all evidence of splashing on baseboards and furniture/fixtures completely removed.		

required by 52.246-4 achieves performance standards. 7.11		Re-waxed floor: Floors have a uniform high gloss shine. All moved items during stripping, sealing, and waxing are in their original position. Floors meet or exceed 0.5 – 0.6 slip/trip/fall coefficient.		
	Walls/Ceiling 5.1.1 5.1.2 5.1.3 5.1.4 5.1.5 5.1.6 5.1.7 5.2.1 5.2.3 5.2.4	All surfaces are clean. Surfaces are not damaged during cleaning operations.		
	Doors 5.1.1 5.1.2 5.1.3 5.1.4 5.1.5 5.1.6 5.1.7 5.2.1 5.2.3 5.2.4	All door surfaces are clean. Door handles and plates are free of tarnish, streaks, stains, and hand marks. Elevator door tracks clean.		
	Drinking Fountains 5.1.3 5.1.8	All surfaces, including orifices, bubblers, and drains are clean and disinfected.		
	Glass to include mirror and Plexiglas, and plain glass 5.1.1 5.1.3 5.1.4 5.1.6	All surfaces are clean.		

	5.2.2 5.2.3			
	Walk-off mats 5.2.5	Walk-off mats are appropriately placed and clean, with no moisture or grit underneath.		
	Restrooms, showers, kitchenettes 5.1.1	All surfaces fixtures are clean. Metal surfaces polished. All product dispensers are functional and not damaged. Paper and soap products are stocked so that supplies do not run out before the next service. COR notified whenever graffiti cannot be removed. Restroom floors are clean but not waxed.		
	Trash Containers 5.1.1 5.1.2 5.1.3 5.1.4 5.1.5 5.1.7 5.2.3 5.2.5 5.3	No trash containers, including sanitary-napkin receptacle, overflow. The area surrounding the container is clean. The container is clean. All trash that falls while removing collected trash is removed. Plastic trashcan liners are replaced as necessary. Trash containers are in original locations after emptied. Items near trash receptacles marked “TRASH” are removed. Trash is not transferred from cart to cart in Corridor space. All collected trash is placed a Government compacter located outside on the RDF loading dock. The area surrounding compacter is clean. Wheels are quiet.		

	Recycle Bins 5.1.3 5.1.7 5.2.5	No recycle bin is full. The bin exterior and interior are clean. The area surrounding the bin is clean and clear of recyclables. Bins in need of repair or missing are reported to the COR within 24 hours. Recyclables are not disposed of as trash. All recyclables that fall during removal are retrieved and properly handled. The plastic recycle bin liner is replaced as necessary. The recycle bin is in its original location after emptied. Recyclables are not transferred from cart to cart in Corridor space. All collected recyclables are placed and contained in the nearest Government provided designated container located outside the building. The area surrounding each container is clean.		
	Trash/Recycle Carts 5.3	Carts are clearly labeled. Carts are clean and in good repair. Cart wheels are quiet. No carts are parked in Corridors full or unattended. Carts are not loaded to obstruct vision of operator. Trash/Recyclables are not staged in Corridors. Wheels are quiet.		
	Loading Areas 5.1.5 5.2.4	Loading areas are kept clean.		
	Interior walk-off mats 5.1.3	Mats are placed in original position. Mats are clean.		
	Windows 5.2.2	Cleaning scheduled between 7:30 A.M. to 8:30 P.M., Monday through Friday, excluding Government holidays unless COR approval obtained. Cleaning schedule is coordinated with tenants. Interior and exterior window sides are clean.		

	Carpet surface 5.1.2 5.1.3	Carpet is clean per Original Equipment Manufacturer (OEM). Carpet is clean and free of excess moisture, after shampooing. There are no soap residues on any surfaces. “Caution – Wet Floor” signs posted while carpet is wet. Damaged carpet or un-removable stains are reported to the COR within twenty-four (24) hours.		
	Escalator steps 5.1.6	Steps cleaned in accordance with Original Equipment Manufacturer (OEM) requirements.		
	Pavement/ Concrete Drive surfaces 5.2.5	Surfaces are clean and power/pressure washed as necessary. K9 checkpoint clean and free of accumulated petroleum products. All debris is picked up and removed. No debris is put in the planting beds. No debris/trash is transported through the building from the outside en-route to the RDF.		
	Entrance surfaces 5.1.4 5.2.3 5.2.5	During regular hours, entrances are clean. Metal doorknobs, push bars, kick plates, railings, and other metal surfaces are clean and polished. Wood surfaces are clean and polished. Surfaces are clear of snow/ice.		
	Smoker Ash Urns 5.2.6	100 percent of all butts are removed. Cinders are dry and surface level.		
	Grease Traps 5.1.9	Grease Traps are free of grease, liquids, and/or solid materials. All spills are properly managed. The trap area and spill areas are sanitized. Each trap is in proper working order at work completion. No overflows are caused by lack of cleaning.		

	Business Relationship	100 percent of the time, the Contractor cooperative, committed to customer satisfaction, and has a business-like concern for the interest of the customer.		
	Safety 7.7	Emergency assistance numbers and instructions are conspicuously posted. An effective and active safety, first aid, hazardous material handling, blood-borne pathogen, and asbestos awareness training schedule is performed. Contractor employees are familiar with all building fire alarm messages. All accidents reported, OSHA supplemental form 101 submitted, and full cooperation given to the COR. All oil or hazardous substance spills are reported to the COR and or the Building Manager. All personnel use the proper Personal Protective Equipment for the task at hand. All PPE meets NIOSH, MSHA, and ANSI requirements. All PPE is maintained and clean. Employees, occupants, and visitors protected from injury using OSHA standards.		

	Plan	95 percent plan requirements were followed.		
	Report accuracy	100 percent of all reports accurately reflect task performance		
	Cause of breach	Actual cause of performance problem correctly identified 95% of the time.		
	Corrective Action	Corrective actions implemented in a timely manner and satisfactory resolve performance problem		
	Trends	Performance trends accurately identified and appropriately acted upon		
	Independent audit	Inspection system independently audited to ensure validity of results.		

Part 6: Administrative Requirements

6.1 Clearances. The Contractor shall provide employees with a Top Secret Clearance for service in secured spaces.

6.2 Suitability Check. The Contractor shall provide NCIC cleared personnel.

6.3 Personnel. When contract work is in progress, the Contractor PM or alternate shall be available at all times during normal hours of operation to receive notices, reports, or requests from the COR or his authorized representative. All Contractor personnel shall have the ability to speak, read and understand English to successfully perform the task(s).

6.3.1 Project Manager. The PM shall have the ability to speak and understand English clearly.

6.3.3 Supervisors. All supervisors shall have the ability to speak and understand English clearly. At least one supervisor shall be present at the work site at all times when contract work is in progress and shall have the authority to act for the Contractor on a day-to-day basis and to sign inspection reports and all other correspondence on behalf of the Contractor.

6.4 Emergency Procedures.

Contractor shall coordinate with the PBMO to develop procedures for the Contractor's role in the event of an emergency evacuation of one or all buildings. Contractor shall ensure all employees are organized, trained, and participate in building fire and civil defense drills. Contractor shall

ensure that all employees report fire, hazardous conditions, maintenance deficiencies, graffiti, and evidence of pests.

6.5 Energy Conservation. Contractor shall fully support and participate in the energy-conservation program within the facilities. Ensure contractor personnel use lights or other energy-consuming equipment only in areas where and when work is actually being performed, and that lights are turned off, and equipment secured when not in use or needed. Fully support and participate in the recycling program within the Pentagon.

6.6 Contractor Employee Training. Contractor shall provide at contract start for COR acceptance with a comprehensive employee training plan that ensures all employees are aware of appropriate behavior while working on a Government facility. Suggested topics:

- Emergency Awareness
- Health and Safety
- Do not adjust mechanical equipment controls for heating, ventilation, and air-conditioning systems.
- Turn off water faucets and valves when not needed.
- Close windows and turn off lights and fans when not in use.
- Turn in found articles to the COR.
- Notify security personnel on duty when an unauthorized or suspicious person is seen on the premises.
- Report safety hazards immediately and maintenance deficiencies promptly.
- Report immediately conditions or circumstances that prevent the accomplishment of assigned work.
- First Aid
- Blood-borne Pathogen
- Asbestos-Awareness.
- Use, handling, and storage of hazardous materials according to the Hazard Communication Standard (29 CFR 1910.1200)
- First Responder Awareness training (29 CFR 1910.120 (q))

6.7 Meetings. The Contractor shall notify the COR at least three days in advance of all safety meetings. The Contractor shall review the effectiveness of the safety effort, resolve current health and safety problems, provide a forum for planning safe operations and activities, and update the accident prevention program.

6.8 Damage to Government Property. The Contractor shall immediately report any damage of Government Property to the COR. The Contractor shall be responsible for any damage caused by Contractor operations.

6.9 Quality Control (QC). The Contractor shall institute a complete QC Program to ensure that the requirements of this contract are fulfilled as specified. At minimum, the Contractor shall include the following elements in the program:

- A comprehensive inspection system of all the scheduled and unscheduled services required in this document.
- The name(s) and contact information of the designated QC Inspector(s) and their backups who will be performing the inspections.
- A proactive methodology to identify and correct problems before the COR and/or other PBMO personnel identify or are made aware of such problems.
- An organized, current file of all Contractor conducted inspections, corrective actions taken, and follow-up inspections.
- Government receipt of all QC reports same day generated.

6.10 Environmental Management. In order to comply with federally mandated environmental preference programs and Department of Defense (DOD) “Green Procurement Program” (GPP) policy, the Government requires the use of environmentally preferable products and services. These program elements include: recovered material products, energy and water efficient products, alternative fuels and fuel efficiency, bio-based products, non-ozone depleting substances, priority chemicals, and environmentally preferable products. These program elements are described on the Office of the Federal Environment Executive website (<http://www.ofee.gov>).

Products and Materials. Custodial cleaning products required in the performance of this SOW shall meet as a minimum, Green Seal Product Standards (<http://www.greenseal.org/findaproduct/index.cfm>). If it is determined that a product does not meet Government performance requirements, the contractor shall submit a proposed alternative that would meet the performance requirements with the lowest environmental impact for evaluation and acceptance. Products that fall under the Environmental Protection Agency (EPA) Comprehensive Procurement Guidelines (CPG) (<http://www.epa.gov/cpg>) shall meet the minimum recovered (recycled) content. Bio-based products shall be used upon issuance of the bio-based product listing from the United States Department of Agriculture (USDA) (<http://www.usda.gov>). The contractor shall purchase and use Energy Star or other energy efficient items listed on the Department of Energy’s Federal Energy Management Program (FEMP) Product Energy Efficiency Recommendations product list. Supplements or amendments to listed publications from any organizational level may be issued during the life of the contract. Before implementing any change that will result in a change to the contract price, the contractor shall submit to the Contracting Officer a price proposal within 30 calendar days following receipt of the change. An equitable adjustment (increase or decrease) will be negotiated, if applicable, under the “Changes” clause of the contract.

7.0 Required Submittals and Reports.

7.1 Management and Environmental Stewardship Plan (MESP). Within 10 days after contract award the Contractor shall submit a MESP for approval by the CO. The Contractor shall make such revisions to the MESP as are deemed necessary by the CO. The MESP will be reviewed and updated annually, and as required by the Contracting Officer. The Contractor shall include in the MESP:

- Their written policy stating its commitment to environmental management, employee health and safety, and the use of environmentally preferable products.
- The establishment and facilitation of a Stewardship Task Force to be composed of Contractor and Government representatives to convene quarterly at minimum, to review all aspects of performance involving specific undertakings of this MESP
- A comprehensive list of materials, their associated label and MSDS, and the intended purpose of each material to be used on this contract. Once this materials list is approved by the CO, the Contractor shall only use materials from this list in the building. Any alternative material must be approved in writing by the CO.
- A plan of how it will keep abreast of the development and increasing availability of EPP and how EPP products will be incorporated into contract performance.
- A plan of how it will conform to the Comprehensive Procurement Guidelines (CPG) published by EPA with respect to recovered material products. The Contractor shall update its MESP to accommodate CPG revisions. The Contractor shall estimate the quantities of recycled-content and EPP that shall be purchased during the term of this Contract.
- Name of individual identified as Stewardship Coordinator who will serve as the point person for all environmental performance issues and participate in the Government's Stewardship Task Force Committee. ((ASTM Standard (Stewardship in the Cleaning of Commercial and Institutional Buildings))

7.2 Waste Minimization and Recycling Program (WMRP). The Contractor shall implement a WMRP designed to minimize the Contractor's on-site generation of non-recyclable waste generated during contract performance within 30 days of contract award. The Contractor shall use the recycling plan developed by the Government as a guide in defining their program. The Contractor shall also include in the WMRP enhancement of the separation of recyclable materials from non-recyclable waste generated by the building, detailing collection-point- and/or post-collection-point-separation of recyclable materials. The Contractor shall:

- Monitor the volume of waste managed and recyclables recovered
- Determine the rate(s) of participation in offices throughout the buildings
- Define activities to promote occupant participation and discourage contamination of recovered materials
- Ensure that the Contractor's personnel observe and promote the WMRP
- Establish procedures to recover and recycle the following materials; at a minimum: aluminum containers (e.g., beverage cans), containers of Polyethylene Terephthalate (PETE-1) or High Density Polyethylene (HDPE-2) plastic (e.g., drink bottles), clear, green and brown glass bottles and jars, white and mixed office paper, newspaper, cardboard, telephone and other books, toner/ink cartridges, and scrap metal, including steel containers.

7.3 Hazardous Material Storage. The Contractor shall define and submit a plan for hazardous material storage in conformance with good housekeeping practices, the National Fire Prevention Association (NFPA) Code, and applicable federal and municipal regulations.

7.4 Hazardous Waste Disposal. The Contractor's Plan shall define and submit proper hazardous waste identification and disposal procedures in accordance with federal Resource Conservation and Recovery Act (RCRA) regulations and the Virginia Department of Environmental Quality (VDEQ).

7.5 Communication Policies. The Contractor shall define and submit strategies to receive feedback from building occupants on operations and complaints, and to give self-help guidance to building occupants. The Contractor shall first have these strategies and communications approved by the Stewardship Task Force or the CO.

7.6 Inclement Weather. The Contractor shall submit contingency plans for inclement weather.

7.7 Health and Safety Plan. Within 10 days after contract award the Contractor shall submit a Health and Safety Plan for approval by the CO. The Contractor's Health and Safety Plan shall ensure a safe environment is provided for all Contractor personnel, building occupants, and visitors. The CO will review the proposed program for compliance with OSHA and contract requirements. The Contractor shall include:

- A schedule of safety meetings
- First-aid procedures
- An outline of each work phase, the hazards associated with each phase, and the methods proposed to ensure property protection, and public, building occupant, and Contractor employee safety.
- A comprehensive training schedule, both initial and continuing.
- An emergency situation plan for events such as such as employee strikes, floods, fires, explosions, power outages, spills, and wind storms. The Contractor shall take into consideration existing government emergency plans, the nature of activities, site conditions, and degree of exposure of persons and property.

7.8 Staffing Plan. Within 10 days after contract award the Contractor shall submit a staffing plan to the CO that identifies all personnel expected to be employed in the performance of this contract. Additionally, the plan shall identify key personnel including the roles and responsibilities of the staff.

7.9 Cleaning Schedule. The Contractor shall detail and submit a schedule of all daily cleaning.

7.10 Trash/Recyclable Materials Removal Plan. The Contractor shall provide a plan for trash and recyclable materials removal. The Contractor shall include in this plan the schedule, transportation process, and the number of carts to be used for each type of waste.

7.11 Quality Control (QC) Plan. Within 10 days after contract award the Contractor shall submit a QC Plan for CO review and approval.

7.12 Daily Report. The Contractor shall personally submit daily QC reports to the COR within 24 hours of all work performed. The Contractor shall notify the COR of deficiencies and

problems such as, but not limited to plumbing, leaks, lighting replacement, elevator and escalator malfunctions, damaged, missing, or required recycling containers, sanitary dispensers, safety hazards, health hazards, fire hazards, non-removable stains and methods used to accomplish resolution immediately.

7.13 Monthly Report. The Contractor shall electronically submit a monthly report to the COR by the tenth (10th) calendar day of the following month detailing the performance of the Contractor. The Contractor shall include, but is not limited to the following information

- A general performance overview of the month
- Updates/progress reports of any pertinent schedules
- Accurate amounts of each cleaning product used
- Accurate amounts of all restroom supplies used
- A calendar of events, plans, meetings, and/or special situations for the next 60 days
- Special activities accomplished, e.g., safety training
- Volume of waste managed and recyclables recovered
- Condition of each grease trap, a list of discrepancies found during each performance period, and an accurate amount of waste removed from each trap.
- If applicable, proof of proper disposal of hazardous waste(s) manifest(s).
- Documentation (to include list of attendees) of any training required by law

7.14 Coordination With Other Custodial Contractors. The Contractor shall coordinate as required with the AbilityOne (NISH) Contractor performing custodial services in the Pentagon.

7.15 Ordering Additional Services. Using the unit prices in Section B, “Schedule of Prices”, the Government may modify this contract to add additional custodial services such as additional carpet cleaning, additional support of special events or additional custodial services required in the event of an emergency. Additional custodial services may be required anywhere in the Pentagon. Additional services may be required on a short or long term basis.

Section E - Inspection and Acceptance

INSPECTION AND ACCEPTANCE TERMS

Supplies/services will be inspected/accepted at:

CLIN	INSPECT AT	INSPECT BY	ACCEPT AT	ACCEPT BY
0001	Destination	Government	Destination	Government
0002	Destination	Government	Destination	Government
0003	Destination	Government	Destination	Government
0004	Destination	Government	Destination	Government
0005	Destination	Government	Destination	Government

CLAUSES INCORPORATED BY REFERENCE

52.246-16	Responsibility For Supplies	APR 1984
252.246-7000	Material Inspection And Receiving Report	MAR 2003

CLAUSES INCORPORATED BY FULL TEXT

52.246-4 INSPECTION OF SERVICES--FIXED-PRICE (AUG 1996)

(a) Definitions. "Services," as used in this clause, includes services performed, workmanship, and material furnished or utilized in the performance of services.

(b) The Contractor shall provide and maintain an inspection system acceptable to the Government covering the services under this contract. Complete records of all inspection work performed by the Contractor shall be maintained and made available to the Government during contract performance and for as long afterwards as the contract requires.

(c) The Government has the right to inspect and test all services called for by the contract, to the extent practicable at all times and places during the term of the contract. The Government shall perform inspections and tests in a manner that will not unduly delay the work.

(d) If the Government performs inspections or tests on the premises of the Contractor or a subcontractor, the Contractor shall furnish, and shall require subcontractors to furnish, at no increase in contract price, all reasonable facilities and assistance for the safe and convenient performance of these duties.

(e) If any of the services do not conform with contract requirements, the Government may require the Contractor to perform the services again in conformity with contract requirements, at no increase in contract amount. When the defects in services cannot be corrected by reperformance, the Government may (1) require the Contractor to take necessary action to ensure that future performance conforms to contract requirements and (2) reduce the contract price to reflect the reduced value of the services performed.

(f) If the Contractor fails to promptly perform the services again or to take the necessary action to ensure future performance in conformity with contract requirements, the Government may (1) by contract or otherwise, perform the services and charge to the Contractor any cost incurred by the Government that is directly related to the performance of such service or (2) terminate the contract for default.

(End of clause)

FAILURE TO PERFORM SERVICES

E-1 CONSEQUENCES OF CONTRACTOR'S FAILURE TO PERFORM SERVICES

The Contractor shall perform all of the contract requirements. The Contractor is responsible for maintaining an effective Quality Control Program during the course of the contract. Failure to maintain adequate quality control may result in Termination for Default. The Government may apply one or more surveillance methods to determine Contractor compliance and may deduct an amount from the Contractor's invoice or otherwise withhold payment for unsatisfactory or nonperformed work. Surveillance methods include, but are not limited to, 100% inspection, random sampling, planned sampling, incidental inspections and validated customer complaints. The Government reserves the right to change surveillance methods at any time during the contract without notice to the Contractor. In the case of unsatisfactory or nonperformed work, the Government:

- i. may give the Contractor written notice of observed deficiencies prior to deducting for unsatisfactory or nonperformed work and/or assessing other damages. Such written notice shall not be a prerequisite for withholding payment for nonperformed work.
- ii. may, at its option, allow the Contractor an opportunity to reperform the unsatisfactory or nonperformed work, at no additional cost to the Government. In the case of daily work, corrective action must be completed within 30 minutes following notice to the Contractor by the Government. In the case of other work, corrective action must be completed within twenty-four hours of notice. Reperformance by the Contractor does not waive the Government's right to terminate for nonperformance in accordance with FAR clause 52.249-8, "Default (Fixed-Price Supply and Service)" of Section I and all other remedies for default as may be provided by law.
- iii. Shall deduct from the Contractor's monthly invoice all amounts associated with the unsatisfactory or nonperformed work at the prices set out in the Schedule and any accompanying exhibits or provided by other provisions of this contract, unless the Contractor is required to

reperform and satisfactorily completes the work. In addition to deducting for unsatisfactory or nonperformed work the Government will total the square footage of all interior space where service has been unsatisfactory or service has not been performed, compare it to the Assignable Square Footage (Attachment J-C1) and deduct, as liquidated damages, an additional 5% of the Contractor's monthly invoice amount if the total square footage of unsatisfactory or nonperformed work exceeds 5% of the Assignable Square Footage.

iv. may, at its option, perform the work by Government personnel or by other means. The Government will reduce the amount of payment to the Contractor, by the amount paid to any Government personnel (based on wages, retirement and fringe benefits) plus material, or by the actual costs incurred to accomplish the work by other means. If the actual costs cannot be readily determined, the prices set out in the Schedule and any accompanying exhibits will be used as the basis for the deduction.

Section F - Deliveries or Performance

DELIVERY INFORMATION

CLIN	DELIVERY DATE	QUANTITY	SHIP TO ADDRESS	UIC
0001	POP 01-SEP 14 TO 30-AUG-2015	N/A	FEDERAL FACILITIES DIVISION DAVID BROWN REMOTE DELIVERY FACILITY 100 WASHINGTON BLVD. ARLINGTON VA 22201 703-697-7351 FOB: Destination	HQ0015
0002	POP 01-SEP 15 TO 30-AUG-2016	N/A	(SAME AS PREVIOUS LOCATION) FOB: Destination	HQ0015
0003	POP 01-SEP 16 TO 30-AUG-2017	N/A	(SAME AS PREVIOUS LOCATION) FOB: Destination	HQ0015
0004	POP 01-SEP 17 TO 30-AUG-2018	N/A	(SAME AS PREVIOUS LOCATION) FOB: Destination	HQ0015
0005	POP 01-SEP 18 TO 30-AUG-2019	N/A	(SAME AS PREVIOUS LOCATION) FOB: Destination	HQ0015

CLAUSES INCORPORATED BY REFERENCE

52.242-15	Stop-Work Order	AUG 1989
52.242-17	Government Delay Of Work	APR 1984

Section G - Contract Administration Data

CLAUSES INCORPORATED BY FULL TEXT

252.201-7000 CONTRACTING OFFICER'S REPRESENTATIVE (DEC 1991)

(a) "Definition. Contracting officer's representative" means an individual designated in accordance with subsection 201.602-2 of the Defense Federal Acquisition Regulation Supplement and authorized in writing by the contracting officer to perform specific technical or administrative functions.

(b) If the Contracting Officer designates a contracting officer's representative (COR), the Contractor will receive a copy of the written designation. It will specify the extent of the COR's authority to act on behalf of the contracting officer. The COR is not authorized to make any commitments or changes that will affect price, quality, quantity, delivery, or any other term or condition of the contract.

(End of clause)

CONTRACTING OFFICER'S REPRESENTATIVE (COR)

The COR is a representative for the Government with limited authority who has been designated in writing by the Contracting Officer to provide technical direction, clarification, and guidance with respect to existing specifications and statement of work (SOW)/statement of objectives (SOO) as established in the contract. The COR also monitors the progress and quality of the Contractor's performance for payment purposes. The COR shall promptly report Contractor performance discrepancies and suggested corrective actions to the Contracting Officer for resolution.

The COR is NOT authorized to take any direct or indirect actions or make any commitments that will result in changes to price, quantity, quality, schedule, place of performance, delivery or any other terms or conditions of the written contract.

The Contractor is responsible for promptly providing written notification to the Contracting Officer if it believes the COR has requested or directed any change to the existing contract (or task/delivery order). No action shall be taken by the Contractor for any proposed change to the contract until the Contracting Officer has issued a written directive or written modification to the contract (or task/delivery order). The Government will not accept and is not liable for any alleged change to the contract unless the change is included in a written contract modification or directive signed by the Contracting Officer.

If the Contracting Officer has designated an Alternate COR (ACOR), the ACOR may act only in the absence of the COR (due to such reasons as leave, official travel, or other reasons for which the COR is expected to be gone and not readily accessible for the day).

COR authority IS NOT delegable.

INVOICING INSTRUCTIONS (WHS, A&PO Mar 2007)

In compliance with DFARS 252.232-7003, "Electronic Submission of Payment Request (March 2003)", Washington Headquarters Services, Acquisition & Procurement Office (WHS, A&PO) utilizes WAWF-RA to electronically process vendor request for payment. The web-based system is located at <https://wawf.eb.mil>, which provides the technology for government contractors and authorized Department of Defense (DOD) personnel to generate, capture and process receipt and payment-related documentation in a paperless environment. The contractor is required to utilize this system when submitting invoices and receiving reports under this contract. Submission of hard copy DD250/Invoice/Public Vouchers (SF1034) will no longer be accepted for payment.

The contractor shall (i) ensure an Electronic Business Point of Contract is designated in Central Contractor Registration at <http://www.ccr.gov/> and (ii) register to use WAWF-RA at <https://wawf.eb.mil>

within ten (10) days after award of the contract or modification incorporating WAWF-RA into the contract. The designated CCR EB point of contact is responsible for activating the company's CAGE code on WAWF by calling 1-866-618-5988. Once the company CCR EB is activated, the CCR EB will self-register on the WAWF and follow the instructions for a group administrator. Step by step instructions to register are available at <http://wawf.eb.mil>.

The contractor is directed to select either “Invoice as 2-in-1” for services only or “Invoice and Receiving Report (Combo)” for supplies or any combination of goods and services.

Both types of invoices fulfill the requirement for submission of the Material Inspection and Receiving Report, DD Form 250.

Back up documentation may be attached to the invoice in WAWF under the “Misc Info” tab. Fill in all applicable information under each tab.

The following required information should automatically pre-populate in WAWF; if it does not populate, or does not populate correctly, enter the following information:

“Issue by DoDAAC” field enter **HQ0034**

“Admin DoDAAC” field enter **HQ0034**

“Payment DoDAAC” field enter **To Be Determined**

“Service Acceptor/Extension” or “Ship to/ Extension” field enter **HQ0015**

“Inspect By DoDAAC/ EXT” fields **Leave Blank**

“LPO DoDAAC/ EXT” fields **Leave Blank**

Contractor shall verify that the DoDAACs automatically populated by the WAWF-RA system match the above information. If these DoDAACs do not match, then the contractor shall correct the field(s) and notify the contracting officer of the discrepancy (ies).

Take special care when entering Line Item information. The Line Item tab is where you will detail your request for payment and material/services that were provided based upon the contract. Be sure to fill in the following items exactly as they appear in the contract:

- ☐ Item Number: If the contract schedule has more than one ACRN listed as sub items under the applicable Contract Line Item Number (CLIN), use the 6 character, separately identified Sub Line Item Number (SLIN) (e.g. – 0001AA) or Informational SLIN (e.g. – 000101), otherwise use the 4 character CLIN (e.g. – 0001).
- ☐ ACRN: Fill-in the applicable 2 alpha character ACRN that is associated with the CLIN or SLIN.

Note – DO NOT INVOICE FOR MORE THAN IS STILL AVAILABLE UNDER ANY CLIN/SLIN/ ACRN.

- ☐ Unit Price
- ☐ Unit of Measure

Shipment numbers must be formatted as follows:

Three (3) alpha characters followed by four (4) numeric characters.

For Services, enter ‘SER’ followed by the last 4 digits of the invoice number.

For Construction, enter ‘CON’ followed by the last 4 digits of the invoice number.

For Supplies, enter ‘SUP’ followed by the last 4 digits of the invoice number.

If the invoice number is less than 4 digits, enter leading zeros.

Before closing out of an invoice session in WAWF-RA but after submitting your document or documents, the contractor will be prompted to send additional email notifications. Contractor shall click on “Send More Email Notification” on the page that appears. Add the following email address joe.snuffy.mil@mail.mil in the first email address block and add any other additional email addresses desired in the following blocks. This additional notification to the government is important to ensure that all appropriate persons are aware that the invoice documents have been submitted into the WAWF-RA system.

If you have any questions regarding WAWF, please contact the WAWF Help Desk at 1-866-618-5988.

Section G - Contract Administration

G-1 DESIGNATION OF PRINCIPAL CONTRACTING OFFICER

The Principal Contracting Officer for this contract is:

Supervisory Contracting Officer,
Facilities Support Services Team
WHS Acquisition and Procurement Office
1777 North Kent St.
Arlington, VA 22209

Section H - Special Contract Requirements

CLAUSES INCORPORATED BY REFERENCE

252.247-7006 Removal of Contractor's Employees DEC 1991

SPECIAL CONTRACT REQUIREMENTS

H-1 SECURITY REQUIREMENTS

a. Security Classification Guidance

All Security Classification Guidance is provided on DD Form 254, Department of Defense Contract Security Classification Specification (hereafter referred to as the DD 254) at Attachment J-C2. Any changes or additional security classification guidance shall be provided to the Contractor in writing, through updates and modifications to the DD 254. At no time will the Government issue classification guidance in any other form (verbal, e-mail, etc.).

b. Facility Security Clearance (FCL)

Performance of this contract requires a TOP SECRET facility clearance. The Contractor's Facility Security Officer (FSO) shall report, in writing, to the Contracting Officer any changes in the Contractor's security status throughout the contract period of performance.

c. Personnel Security Clearance (PCL)

Contractor employees assigned to this project require a PCL at the level (Confidential, Secret or Top Secret) identified in block 1.a of the DD Form 254. Prior to assignment of Contractor employees to this project, the Contractor's FSO shall submit PCL validation through use of a Visit Authorization Request (VAR) for each employee, in accordance with DoD 5220.22-M, National Industrial Security Program Operating Manual (NISPOM) to the designated security representative.

Changes in PCL status of Contractor employees shall be forwarded in writing to the Contracting Officer and the designated security representative.

d. Sub-Contractors

Subcontractors shall comply with the same security requirements as the Contractor. The Contractor shall issue DD 254s to each subcontractor reflecting the same security requirements applicable to the prime contract. The contractor shall also sponsor subcontractor(s) for an FCL and associated PCL(s) required in accordance with the DD 254.

H-2 DoD BUILDING PASS ISSUANCE

- a. All personnel employed by a civilian commercial firm to perform work whose activity at any time requires passage into Government-occupied portions of the Pentagon or any other DoD facility on or off the Pentagon Reservation, shall be required to obtain a Temporary Department of Defense (DoD) Building Pass/Access Card.
- b. The Contractor shall be responsible for having each employee requiring a Temporary DoD Building Pass/Access Card prepare the necessary applications, advising personnel of their obligations, filing the applications with the Contracting Officer, maintaining personnel files and re-filing applications for personnel in the event that clearances must later be extended. Personnel requiring a Temporary DOD Building Pass/Access Card must be either a citizen of the United States of America (USA) or a foreign national authorized to work in the USA under federal immigration and naturalization laws.
- c. The Government will issue DoD building passes to eligible persons upon the completion of a National Criminal Information Check (NCIC) or National Agency Check (NAC). This is a search of the nationwide computerized information system established as a service to all criminal justice agencies. Processing of completed applications for initial pass issuance or renewal of existing passes will require three to five working days.

H-3 LOCAL INSURANCE

- a. In accordance with the contract clause entitled "Insurance—Work on a Government Installation", FAR 52.228-5, the Contractor shall procure and maintain during the entire period of its performance under this contract, as a minimum, the following insurance:

<u>Type</u>	<u>Amount</u>
<i>Comprehensive General Liability:</i>	
Bodily Injury or Death	\$500,000 per occurrence
<i>Motor Vehicle Liability (for each vehicle):</i>	
Bodily Injury or Death	\$200,000 per person
	\$500,000 per occurrence
Property Damage	\$20,000 per occurrence
Workers' Compensation & Employer's Liability	\$100,000 per person *

*Worker's Compensation and Employer's Liability: Contractors are required to comply with applicable Federal and State workers' compensation and occupational disease statutes. If occupational diseases are not compensable under those statutes, they shall be covered under the employer's liability section of the insurance policy, except when contract operations are so co-mingled with a contractor's commercial operations that it would not be practical to require this coverage. Employer's liability coverage of at least \$100,000 shall be required, except in States with exclusive or monopolistic funds that do not permit workers' compensation to be written by private carriers.

b. Prior to the commencement of work hereunder, the Contractor shall furnish to the Contracting Officer a certificate of written statement of the above required insurance. The policies evidencing required insurance shall contain an endorsement to the effect that cancellation, or any material change in policies adversely affecting the interests of the Government in such insurance, shall not be effective for such period as may be prescribed by the laws of the State in which this contract is to be performed and in no event less than thirty (30) days after written notice thereof to the Contracting Officer.

c. The Contractor agrees to insert the substance of this clause, including this paragraph, in all subcontracts hereunder.

H-4 COMPLIANCE WITH PENTAGON REGULATIONS

The site of the work is on a Federal Reservation Complex and the Contractor shall observe rules and regulations issued by the Director, Washington Headquarters Service (WHS) covering general safety, security, sanitary requirements, pollution and noise control, traffic regulations and parking. Information regarding requirements may be obtained by contacting the Contracting Officer, who will provide such information or assist in obtaining it from the appropriate authorities.

H-5 UTILITY SERVICES

a. Utility Services furnished to the Contractor by the Government from the Government's existing system outlets and/or supplies will be at no cost to the contractor. (See FAR Clause 52-236-14, Availability and Use of Utility Services.)

b. The Contractor shall make his/her own arrangements for services and coordinate with the Inspector any requirements that would cause a disruption in the electrical or water supply. NOTE: all disruption of services concerning electrical, or water supply must be coordinated with the inspector and scheduled by the inspector prior to disconnection.

H-6 IDENTIFICATION OF EMPLOYEES

All Contractor and subcontractor personnel attending meetings, answering Government telephones, and working in other situations where their contractor status is not obvious to third parties are required to identify themselves as such to avoid creating an impression that they are Government officials. All documents or reports produced by the Contractor shall be marked as contractor products or otherwise indicate that contractor participation is disclosed.

H-7 SUBSTITUTION OF KEY PERSONNEL

a. A requirement of this contract is to maintain stability of personnel proposed in order to provide quality services. The contractor agrees to assign only those key personnel whose resumes were submitted and approved and who are necessary to fulfill the requirements of the contract. No

changes in key personnel, including but not limited to the substitution or addition of key personnel, shall be made except in accordance with this clause.

b. If key personnel become unavailable for work under the contract for whatever reason for a continuous period exceeding thirty (30) working days or are expected to devote substantially less effort to the work than indicated in the proposal, the contractor shall propose a substitution for such personnel in accordance with paragraph (d) below.

c. The contractor agrees that changes in key personnel will not be made unless necessitated by compelling reasons. Compelling reasons include, but are not limited to, serious illness, death, termination of employment, declination of an offer of employment (for those individuals proposed as contingent hires), and family friendly / maternity leave. When the contractor determines that compelling reason to change key personnel exists, the contractor shall submit a request in accordance with subparagraph (d) below to the Contracting Officer and obtain Contracting Officer approval prior to changing key personnel.

d. All proposals to change or add key personnel shall be submitted, in writing, to the Contracting Officer not less than fifteen (15) days prior to the date of the proposed substitution/addition. In those situations where a security clearance is required, the request must be submitted not less than thirty (30) days prior to the date of the proposed substitution/addition. Each proposal or request shall provide a detailed explanation of the circumstances necessitating the proposed change, the resume of the individual proposed for substitution or addition, information regarding the financial impact of the change, and any other relevant information. All proposed substitutes (no matter when they are proposed during the performance period) shall have qualifications that are equal to or higher than the qualifications of the person being replaced.

e. The Contracting Officer shall evaluate requests to change or add key personnel and will approve/disapprove the request in writing and so notify the contractor.

f. If the Contracting Officer determines that the suitable and timely replacement of personnel who have been reassigned, terminated, or have otherwise become unavailable to perform under the contract is not reasonably forthcoming, or that the resultant reduction of productive effort would impair the successful completion of the contract, the contract may be terminated for default or for the convenience of the Government, as appropriate. Alternatively, at the Contracting Officer's discretion, if the Contracting Officer finds the Contractor to be at fault for the condition, the Contracting Officer may adjust the contract price or fixed fee downward to compensate the Government for any delay, loss, or damage as a result of the Contractor's action.

g. Noncompliance with the provisions of this clause will be considered a material breach of the terms and conditions of this contract for which the Government may seek any and all appropriate remedies including Termination for Default pursuant to FAR Clause 52.249-8, "Default (Fixed-Price Supply and Service)."

H-8 WORK STOPPAGES FOR OFFICIAL CEREMONIES

The Contractor shall provide for work stoppages as required for official ceremonies in the facility. A schedule of known ceremonies can be obtained from the Contracting Officer. The Contractor shall provide for a total of 4 days of work stoppages due to this requirement

H-9 DELIVERIES

a. All deliveries shall be processed through the Pentagon Remote Delivery Facility (RDF) site. The following information must be submitted to the COR or designated security representative 24 hours prior to scheduled delivery

- (1) Name of driver & passenger (if any)
- (2) Name of company
- (3) State of vehicle registration and license number
- (4) Contents of delivery

b. Security personnel staff the RDF from 4:30 AM until 5:30 PM (M-F) and 6:30 AM until 1:30 PM (Sat only). Arrangements can be made for deliveries outside of the hours by coordinating with the COR.

H-10 WORK BY OTHER CONTRACTORS

The Government has awarded and will award other contracts for similar and specialized work, which is outside the scope of this contract or outside the scope of the awarded options. These contracts will involve additional work at or near the site of the work under this contract. The contractor shall fully coordinate its work with the work of other Government contractors (hereafter called OGCs) and with the Contracting Officer. The Contractor shall carefully adapt its schedule and performance of the work under this contract to accommodate the work of the OGCs, and shall take coordination direction from the Contracting Officer. The OGCs will be placed under similar contracting conditions regarding coordination. The Contractor shall make every reasonable effort to avoid interference with the performance of work by the OGCs, as scheduled by the OGCs or by the Government.

Section I - Contract Clauses

CLAUSES INCORPORATED BY REFERENCE

52.202-1	Definitions	JUN 2020
52.203-3	Gratuities	APR 1984
52.203-5	Covenant Against Contingent Fees	MAY 2014
52.203-6	Restrictions On Subcontractor Sales To The Government	JUN 2020
52.203-7	Anti-Kickback Procedures	JUN 2020
52.203-8	Cancellation, Rescission, and Recovery of Funds for Illegal or Improper Activity	MAY 2014
52.203-10	Price Or Fee Adjustment For Illegal Or Improper Activity	MAY 2014
52.203-12	Limitation On Payments To Influence Certain Federal Transactions	JUN 2020
52.204-4	Printed or Copied Double-Sided on Postconsumer Fiber Content Paper	MAY 2011
52.204-7	System for Award Management	OCT 2018
52.204-9	Personal Identity Verification of Contractor Personnel	NOV 2006
52.209-6	Protecting the Government's Interest When Subcontracting With Contractors Debarred, Suspended, or Proposed for Debarment	SEP 2006
52.211-5	Material Requirements	AUG 2000
52.215-2	Audit and Records--Negotiation	JUN 1999
52.215-8	Order of Precedence--Uniform Contract Format	OCT 1997
52.215-19	Notification of Ownership Changes	OCT 1997
52.219-6	Notice Of Total Small Business Set-Aside	JUN 2003
52.219-8	Utilization of Small Business Concerns	MAY 2004
52.219-9	Small Business Subcontracting Plan	SEP 2007
52.222-3	Convict Labor	JUN 2003
52.222-4	Contract Work Hours and Safety Standards Act - Overtime Compensation	JUL 2005
52.222-21	Prohibition Of Segregated Facilities	FEB 1999
52.222-26	Equal Opportunity	MAR 2007
52.222-35	Equal Opportunity For Special Disabled Veterans, Veterans of the Vietnam Era, and Other Eligible Veterans	SEP 2006
52.222-36	Affirmative Action For Workers With Disabilities	JUN 1998
52.222-37	Employment Reports On Special Disabled Veterans, Veterans Of The Vietnam Era, and Other Eligible Veterans	SEP 2006
52.222-39	Notification of Employee Rights Concerning Payment of Union Dues or Fees	DEC 2004

52.222-41	Service Contract Act Of 1965, As Amended	JUL 2005
52.222-43	Fair Labor Standards Act And Service Contract Act	NOV 2006
	- Price Adjustment (Multiple Year And Option)	
52.223-5	Pollution Prevention and Right-to-Know Information	AUG 2003
52.223-6	Drug-Free Workplace	MAY 2001
52.223-10	Waste Reduction Program	AUG 2000
52.223-13	Certification of Toxic Chemical Release Reporting	AUG 2003
52.223-14	Toxic Chemical Release Reporting	AUG 2003
52.225-13	Restrictions on Certain Foreign Purchases	FEB 2006
52.226-1	Utilization Of Indian Organizations And Indian-Owned Economic Enterprises	JUN 2000
52.227-1	Authorization and Consent	JUL 1995
52.228-5	Insurance - Work On A Government Installation	JAN 1997
52.229-3	Federal, State And Local Taxes	APR 2003
52.232-1	Payments	APR 1984
52.232-8	Discounts For Prompt Payment	FEB 2002
52.232-9	Limitation On Withholding Of Payments	APR 1984
52.232-11	Extras	APR 1984
52.232-17	Interest	JUN 1996
52.232-18	Availability Of Funds	APR 1984
52.232-23	Assignment Of Claims	JAN 1986
52.232-25	Prompt Payment	OCT 2003
52.232-33	Payment by Electronic Funds Transfer--Central Contractor Registration	OCT 2003
52.232-35	Designation of Office for Government Receipt of Electronic Funds Transfer Information	MAY 1999
52.233-1	Disputes	JUL 2002
52.233-3	Protest After Award	AUG 1996
52.233-4	Applicable Law for Breach of Contract Claim	OCT 2004
52.237-2	Protection Of Government Buildings, Equipment, And Vegetation	APR 1984
52.237-3	Continuity Of Services	JAN 1991
52.242-13	Bankruptcy	JUL 1995
52.243-1	Changes--Fixed Price	AUG 1987
52.243-1 Alt II	Changes--Fixed-Price (Aug 1987) - Alternate II	APR 1984
52.244-5	Competition In Subcontracting	DEC 1996
52.244-6	Subcontracts for Commercial Products and Commercial Services.	JUN 2023
52.246-25	Limitation Of Liability--Services	FEB 1997
52.248-1	Value Engineering	FEB 2000
52.249-2 Alt II	Termination For Convenience Of The Government (Fixed Price) (May 2004) - Alternate II	SEP 1996
52.249-8	Default (Fixed-Price Supply & Service)	APR 1984
52.253-1	Computer Generated Forms	JAN 1991

252.204-7000	Disclosure Of Information	DEC 1991
252.204-7003	Control Of Government Personnel Work Product	APR 1992
252.204-7004	Central Contractor Registration (52.204-7)	NOV 2003
Alt A	Alternate A	
252.205-7000	Provision Of Information To Cooperative Agreement Holders	DEC 1991
252.209-7001	Disclosure of Ownership or Control by the Government of a Terrorist Country	OCT 2006
252.209-7002	Disclosure Of Ownership Or Control By A Foreign Government	JUN 2005
252.209-7004	Subcontracting With Firms That Are Owned or Controlled By The Government of a Terrorist Country	DEC 2006
252.215-7000	Pricing Adjustments	DEC 1991
252.219-7003	Small Business Subcontracting Plan (DOD Contracts)	APR 2007
252.223-7006	Prohibition On Storage And Disposal Of Toxic And Hazardous Materials	APR 1993
252.225-7002	Qualifying Country Sources As Subcontractors	APR 2003
252.225-7012	Preference For Certain Domestic Commodities	JAN 2007
252.225-7031	Secondary Arab Boycott Of Israel	JUN 2005
252.226-7001	Utilization of Indian Organizations and Indian-Owned Economic Enterprises, and Native Hawaiian Small Business Concerns	SEP 2004
252.232-7003	Electronic Submission of Payment Requests	MAR 2007
252.232-7010	Levies on Contract Payments	DEC 2006
252.241-7001	Government Access	DEC 1991
252.243-7001	Pricing Of Contract Modifications	DEC 1991
252.243-7002	Requests for Equitable Adjustment	MAR 1998
252.244-7000	Subcontracts for Commercial Products or Commercial Services	JAN 2023
252.247-7023	Transportation of Supplies by Sea	JAN 2023

CLAUSES INCORPORATED BY FULL TEXT

52.217-8 OPTION TO EXTEND SERVICES (NOV 1999)

The Government may require continued performance of any services within the limits and at the rates specified in the contract. These rates may be adjusted only as a result of revisions to prevailing labor rates provided by the Secretary of Labor. The option provision may be exercised more than once, but the total extension of performance hereunder shall not exceed 6 months. The Contracting Officer may exercise the option by written notice to the Contractor within the current Period of Performance.

(End of Clause)

52.217-9 OPTION TO EXTEND THE TERM OF THE CONTRACT (MAR 2000)

- (a) The Government may extend the term of this contract by written notice to the Contractor within the current Period of Performance; provided that the Government gives the Contractor a preliminary written notice of its intent to extend before the contract expires. The preliminary notice does not commit the Government to an extension.
- (b) If the Government exercises this option, the extended contract shall be considered to include this option clause.
- (c) The total duration of this contract, including the exercise of any options under this clause, shall not exceed 60 months (not including any extension authorized under FAR clause 52.217-8).

(End of Clause)

52.245-2 GOVERNMENT PROPERTY INSTALLATION OPERATION SERVICES (JUNE 2007)

- (a) This Government Property listed in paragraph (e) of this clause is furnished to the Contractor in an "as-is, where is" condition. The Government makes no warranty regarding the suitability for use of the Government property specified in this contract. The Contractor shall be afforded the opportunity to inspect the Government property as specified in the solicitation.
- (b) The Government bears no responsibility for repair or replacement of any lost, damaged or destroyed Government property. If any or all of the Government property is lost, damaged or destroyed or becomes no longer usable, the Contractor shall be responsible for replacement of the property at Contractor expense. The Contractor shall have title to all replacement property and shall continue to be responsible for contract performance.
- (c) Unless the Contracting Officer determines otherwise, the Government abandons all rights and title to unserviceable and scrap property resulting from contract performance. Upon notification to the Contracting Officer, the Contractor shall remove such property from the Government premises and dispose of it at Contractor expense.
- (d) Except as provided in this clause, Government property furnished under this contract shall be governed by the Government Property clause of this contract.
- (e) Government property provided under this clause:

Performance Work Statement C-1 Section 3.

(End of clause)

52.252-2 CLAUSES INCORPORATED BY REFERENCE (FEB 1998)

This contract incorporates one or more clauses by reference, with the same force and effect as if they were given in full text. Upon request, the Contracting Officer will make their full text available. Also, the full text of a clause may be accessed electronically at this/these address(es): <http://acquisition.gov/far/index.html> - or - <http://farsite.hill.af.mil/VFDFARA.HTM>

(End of clause)

52.252-6 AUTHORIZED DEVIATIONS IN CLAUSES (APR 1984)

(a) The use in this solicitation or contract of any Federal Acquisition Regulation (48 CFR Chapter 1) clause with an authorized deviation is indicated by the addition of "(DEVIATION)" after the date of the clause.

(b) The use in this solicitation or contract of any other (48 CFR) clause with an authorized deviation is indicated by the addition of "(DEVIATION)" after the name of the regulation.

(End of clause)

252.204-7001 COMMERCIAL AND GOVERNMENT ENTITY (CAGE) CODE REPORTING (AUG 1999)

(a) The offeror is requested to enter its CAGE code on its offer in the block with its name and address. The CAGE code entered must be for that name and address. Enter "CAGE" before the number.

(b) If the offeror does not have a CAGE code, it may ask the Contracting Officer to request one from the Defense Logistics Information Service (DLIS). The Contracting Officer will--

(1) Ask the Contractor to complete section B of a DD Form 2051, Request for Assignment of a Commercial and Government Entity (CAGE) Code;

(2) Complete section A and forward the form to DLIS; and

(3) Notify the Contractor of its assigned CAGE code.

(c) Do not delay submission of the offer pending receipt of a CAGE code.

(End of provision)

Section J - List of Documents, Exhibits and Other Attachments

J-B1 - J-B5 ATTACHMENTS

Attachment J-B1 - Schedule of Prices/Deductions

Base Performance Period

Area	Estimated Quantity	Unit	Unit Price	Total
Pentagon				
Restrooms	51,192	sq ft		
Corridors	83,517	sq ft		
Stairwells	11,164	sq ft		
Escalators	1,547	sq ft		
Elevators	4,439	sq ft		
Metro Entrance 1st Floor	20,926	sq ft		
Senior Executive Offices	36,188	sq ft		
Executive Offices	36,959	sq ft		
General Offices	506,059	sq ft		
Conference Rooms/Class Rooms/Training Rooms	17,972	sq ft		
Laboratories	736	sq ft		
Structurally Changed Spaces	7,112	sq ft		
Communication Rooms	34,338	sq ft		
Butler Building	22,621	sq ft		
Total Interior	834,770	sq ft		
Exterior Grounds	6,098,400	sq ft		
Window Cleaning	1,240	ea		
*Total	7,767,940	sq ft		
*The contractor's total price must match the total price for the CLINS in Section B.				
Unit Price for Additional Carpet Cleaning	1	sq yd		

Attachment J-B2 - Schedule of Prices/Deductions

Option Period One Performance Period

Area	Estimated Quantity	Unit	Unit Price	Total
Pentagon				
Restrooms	51,192	sq ft		
Corridors	83,517	sq ft		
Stairwells	11,164	sq ft		
Escalators	1,547	sq ft		
Elevators	4,439	sq ft		
Metro Entrance 1st Floor	20,926	sq ft		
Senior Executive Offices	36,188	sq ft		
Executive Offices	36,959	sq ft		

General Offices	506,059	sq ft		
Conference Rooms/Class Rooms/Training Rooms	17,972	sq ft		
Laboratories	736	sq ft		
Structurally Changed Spaces	7,112	sq ft		
Communication Rooms	34,338	sq ft		
Butler Building	22,621	sq ft		
Total Interior	834,770	sq ft		
Exterior Grounds	6,098,400	sq ft		
Window Cleaning	1,240	ea		
*Total	7,767,940	sq ft		
*The contractor's total price must match the total price for the CLINS in Section B.				
Unit Price for Additional Carpet Cleaning	1	sq yd		

Attachment J-B3 - Schedule of Prices/Deductions

Option Period Two Performance Period

Area	Estimated Quantity	Unit	Unit Price	Total
Pentagon				
Restrooms	51,192	sq ft		
Corridors	83,517	sq ft		
Stairwells	11,164	sq ft		
Escalators	1,547	sq ft		
Elevators	4,439	sq ft		
Metro Entrance 1st Floor	20,926	sq ft		
Senior Executive Offices	36,188	sq ft		
Executive Offices	36,959	sq ft		
General Offices	506,059	sq ft		
Conference Rooms/Class Rooms/Training Rooms	17,972	sq ft		
Laboratories	736	sq ft		
Structurally Changed Spaces	7,112	sq ft		
Communication Rooms	34,338	sq ft		
Butler Building	22,621	sq ft		
Total Interior	834,770	sq ft		
Exterior Grounds	6,098,400	sq ft		
Window Cleaning	1,240	ea		
*Total	7,767,940	sq ft		
*The contractor's total price must match the total price for the CLINS in Section B.				
Unit Price for Additional Carpet Cleaning	1	sq yd		

Attachment J-B4 - Schedule of Prices/Deductions

Option Period Three Performance Period

Area	Estimated Quantity	Unit	Unit Price	Total
Pentagon				
Restrooms	51,192	sq ft		
Corridors	83,517	sq ft		
Stairwells	11,164	sq ft		
Escalators	1,547	sq ft		
Elevators	4,439	sq ft		
Metro Entrance 1st Floor	20,926	sq ft		
Senior Executive Offices	36,188	sq ft		
Executive Offices	36,959	sq ft		
General Offices	506,059	sq ft		
Conference Rooms/Class Rooms/Training Rooms	17,972	sq ft		
Laboratories	736	sq ft		
Structurally Changed Spaces	7,112	sq ft		
Communication Rooms	34,338	sq ft		
Butler Building	22,621	sq ft		
Total Interior	834,770	sq ft		
Exterior Grounds	6,098,400	sq ft		
Window Cleaning	1,240	ea		
*Total	7,767,940	sq ft		
*The contractor's total price must match the total price for the CLINS in Section B.				
Unit Price for Additional Carpet Cleaning	1	sq yd		

Attachment J-B5 - Schedule of Prices/Deductions

Option Period Four Performance Period

Area	Estimated Quantity	Unit	Unit Price	Total
Pentagon				
Restrooms	51,192	sq ft		
Corridors	83,517	sq ft		
Stairwells	11,164	sq ft		
Escalators	1,547	sq ft		
Elevators	4,439	sq ft		
Metro Entrance 1st Floor	20,926	sq ft		
Senior Executive Offices	36,188	sq ft		
Executive Offices	36,959	sq ft		
General Offices	506,059	sq ft		
Conference Rooms/Class Rooms/Training Rooms	17,972	sq ft		
Laboratories	736	sq ft		

Structurally Changed Spaces	7,112	sq ft		
Communication Rooms	34,338	sq ft		
Butler Building	22,621	sq ft		
Total Interior	834,770	sq ft		
Exterior Grounds	6,098,400	sq ft		
Window Cleaning	1,240	ea		
*Total	7,767,940	sq ft		
*The contractor's total price must match the total price for the CLINS in Section B.				
Unit Price for Additional Carpet Cleaning	1	sq yd		

NOTICE OF WAGE DETERMINATION

Any contract awarded as a result of this solicitation will be subject to Wage Determination CBA-2014-0091.

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ATTACHMENT 3: J-C1

ESTIMATED BUILDING AREA MEASUREMENTS*

Internal Assignable Square Footage on 04/01/14 (2nd Floor)	931,881
External Square Footage	5,100,000
Pentagon Estimated Square Footages (2nd Floor)	
Restrooms	51,192
Corridors	83,517
Stairwells	11,164
Escalators	1,547
Elevators	4,439
Metro Entrance 1 st Floor	20,926
Senior Executive Offices	36,188
Executive Offices	36,959
General Offices	506,059
Conference Rooms/Class Rooms/ Training Rooms	17,972
Laboratories	736
Structurally Changed Spaces	7,112
Communications	34,338
Estimated Carpeted Area	
Pentagon (2 nd Floor)	639,364 (71,040 SY)
Floor Mats	5,000 (556 SY)
Estimated Window Count	
Interior Window Sides	540
Exterior Window Sides	6,925
Additional Glass SF	5,500

*All estimates are based on the renovation schedule and square footage estimates provided by PENREN and/or reported on FIMS. PENREN estimates Corridors 9 to 1 to be closed for renovation on 04/01/2014.

J-L1 ATTACHMENT

Past Performance Data Sheet

**See Separate Attachment.

J-L2 ATTACHMENT

Past Performance Questionnaire

**See Separate Attachment.

J-C2 ATTACHMENT

Contract Security Classification – DD254

**See Separate Attachment.

Section K - Representations, Certifications and Other Statements of Offerors

CLAUSES INCORPORATED BY REFERENCE

52.203-11	Certification And Disclosure Regarding Payments To Influence Certain Federal Transactions	SEP 2005
252.209-7001	Disclosure of Ownership or Control by the Government of a Terrorist Country	OCT 2006
252.209-7002	Disclosure Of Ownership Or Control By A Foreign Government	JUN 2005

CLAUSES INCORPORATED BY FULL TEXT

52.203-2 CERTIFICATE OF INDEPENDENT PRICE DETERMINATION (APR 1985)

(a) The offeror certifies that --

(1) The prices in this offer have been arrived at independently, without, for the purpose of restricting competition, any consultation, communication, or agreement with any other offeror or competitor relating to –

(i) Those prices,

(ii) The intention to submit an offer, or

(iii) The methods of factors used to calculate the prices offered:

(2) The prices in this offer have not been and will not be knowingly disclosed by the offeror, directly or indirectly, to any other offeror or competitor before bid opening (in the case of a sealed bid solicitation) or contract award (in the case of a negotiated solicitation) unless otherwise required by law; and

(3) No attempt has been made or will be made by the offeror to induce any other concern to submit or not to submit an offer for the purpose of restricting competition.

(b) Each signature on the offer is considered to be a certification by the signatory that the signatory --

(1) Is the person in the offeror's organization responsible for determining the prices offered in this bid or proposal, and that the signatory has not participated and will not participate in any action contrary to subparagraphs (a)(1) through (a)(3) of this provision; or

(2) (i) Has been authorized, in writing, to act as agent for the following principals in certifying that those principals have not participated, and will not participate in any action contrary to subparagraphs (a)(1) through (a)(3) of this provision

_____ (insert full name of person(s)
in the offeror's organization responsible for determining the prices offered in this bid or proposal,
and the title of his or her position in the offeror's organization);

(ii) As an authorized agent, does certify that the principals named in subdivision (b)(2)(i) above
have not participated, and will not participate, in any action contrary to subparagraphs (a)(1)
through (a)(3) above; and

(iii) As an agent, has not personally participated, and will not participate, in any action contrary
to subparagraphs (a)(1) through (a)(3) of this provision.

(c) If the offeror deletes or modifies subparagraph (a)(2) of this provision, the offeror must
furnish with its offer a signed statement setting forth in detail the circumstances of the disclosure.
(End of clause)

52.204-8 ANNUAL REPRESENTATIONS AND CERTIFICATIONS (JAN 2006)

(a)(1) The North American Industry Classification System (NAICS) code for this acquisition is
561720.

(2) The small business size standard is \$15 Million.

(3) The small business size standard for a concern which submits an offer in its own name, other
than on a construction or service contract, but which proposes to furnish a product which it did
not itself manufacture, is 500 employees.

(b)(1) If the clause at 52.204-7, Central Contractor Registration, is included in this solicitation,
paragraph (c) of this provision applies.

(2) If the clause at 52.204-7 is not included in this solicitation, and the offeror is currently
registered in CCR, and has completed the ORCA electronically, the offeror may choose to use
paragraph (b) of this provision instead of completing the corresponding individual
representations and certifications in the solicitation. The offeror shall indicate which option
applies by checking one of the following boxes:

(☒) Paragraph (c) applies.

(☐) Paragraph (c) does not apply and the offeror has completed the individual representations
and certifications in the solicitation.

(c) The offeror has completed the annual representations and certifications electronically via the
Online Representations and Certifications Application (ORCA) website at <http://orca.bpn.gov>.
After reviewing the ORCA database information, the offeror verifies by submission of the offer
that the representations and certifications currently posted electronically have been entered or

updated within the last 12 months, are current, accurate, complete, and applicable to this solicitation (including the business size standard applicable to the NAICS code referenced for this solicitation), as of the date of this offer and are incorporated in this offer by reference (see FAR 4.1201); except for the changes identified below [offeror to insert changes, identifying change by clause number, title, date]. These amended representation(s) and/or certification(s) are also incorporated in this offer and are current, accurate, and complete as of the date of this offer.

FAR Clause	Title	Date	Change
-----	-----	-----	-----
-----	-----	-----	-----

Any changes provided by the offeror are applicable to this solicitation only, and do not result in an update to the representations and certifications posted on ORCA.
(End of Provision)

52.222-22 PREVIOUS CONTRACTS AND COMPLIANCE REPORTS (FEB 1999)

The offeror represents that --

(a) () It has, () has not participated in a previous contract or subcontract subject to the Equal Opportunity clause of this solicitation;

(b) () It has, () has not, filed all required compliance reports; and

(c) Representations indicating submission of required compliance reports, signed by proposed subcontractors, will be obtained before subcontract awards.

(End of provision)

REPS & CERTS

K-1 AUTHORIZED NEGOTIATORS

The offeror or quoter represents that the following persons are authorized to negotiate on its behalf with the Government in connection with this request for proposals or quotations: (List names, titles, and telephone numbers of the authorized negotiators).

K-2 PERIOD OF ACCEPTANCE FOR OFFERS

In compliance with the solicitation, the offeror agrees, if this offer is accepted within 90 calendar days from the date specified in the solicitation for receipt of offers, to furnish any or all items on which prices are offered at the price set opposite each item, delivered at the designated point(s), within the time specified in the Schedule.

Section L - Instructions, Conditions and Notices to Bidders

CLAUSES INCORPORATED BY REFERENCE

52.204-6	Data Universal Numbering System (DUNS) Number	OCT 2003
52.222-24	Preaward On-Site Equal Opportunity Compliance Evaluation	FEB 1999
52.237-1	Site Visit	APR 1984

CLAUSES INCORPORATED BY FULL TEXT

52.215-1 INSTRUCTIONS TO OFFERORS--COMPETITIVE ACQUISITION (JAN 2004)

(a) Definitions. As used in this provision--

“Discussions” are negotiations that occur after establishment of the competitive range that may, at the Contracting Officer's discretion, result in the offeror being allowed to revise its proposal.

“In writing or written” means any worded or numbered expression which can be read, reproduced, and later communicated, and includes electronically transmitted and stored information.

“Proposal modification” is a change made to a proposal before the solicitation's closing date and time, or made in response to an amendment, or made to correct a mistake at any time before award.

“Proposal revision” is a change to a proposal made after the solicitation closing date, at the request of or as allowed by a Contracting Officer as the result of negotiations.

“Time”, if stated as a number of days, is calculated using calendar days, unless otherwise specified, and will include Saturdays, Sundays, and legal holidays. However, if the last day falls on a Saturday, Sunday, or legal holiday, then the period shall include the next working day.

(b) Amendments to solicitations. If this solicitation is amended, all terms and conditions that are not amended remain unchanged. Offerors shall acknowledge receipt of any amendment to this solicitation by the date and time specified in the amendment(s).

(c) Submission, modification, revision, and withdrawal of proposals. (1) Unless other methods (e.g., electronic commerce or facsimile) are permitted in the solicitation, proposals and modifications to proposals shall be submitted in paper media in sealed envelopes or packages (i) addressed to the office specified in the solicitation, and (ii) showing the time and date specified

for receipt, the solicitation number, and the name and address of the offeror. Offerors using commercial carriers should ensure that the proposal is marked on the outermost wrapper with the information in paragraphs (c)(1)(i) and (c)(1)(ii) of this provision.

(2) The first page of the proposal must show--

(i) The solicitation number;

(ii) The name, address, and telephone and facsimile numbers of the offeror (and electronic address if available);

(iii) A statement specifying the extent of agreement with all terms, conditions, and provisions included in the solicitation and agreement to furnish any or all items upon which prices are offered at the price set opposite each item;

(iv) Names, titles, and telephone and facsimile numbers (and electronic addresses if available) of persons authorized to negotiate on the offeror's behalf with the Government in connection with this solicitation; and

(v) Name, title, and signature of person authorized to sign the proposal. Proposals signed by an agent shall be accompanied by evidence of that agent's authority, unless that evidence has been previously furnished to the issuing office.

(3) Submission, modification, or revision, of proposals.

(i) Offerors are responsible for submitting proposals, and any modifications, or revisions, so as to reach the Government office designated in the solicitation by the time specified in the solicitation. If no time is specified in the solicitation, the time for receipt is 4:30 p.m., local time, for the designated Government office on the date that proposal or revision is due.

(ii)(A) Any proposal, modification, or revision received at the Government office designated in the solicitation after the exact time specified for receipt of offers is "late" and will not be considered unless it is received before award is made, the Contracting Officer determines that accepting the late offer would not unduly delay the acquisition; and--

(1) If it was transmitted through an electronic commerce method authorized by the solicitation, it was received at the initial point of entry to the Government infrastructure not later than 5:00 p.m. one working day prior to the date specified for receipt of proposals; or

(2) There is acceptable evidence to establish that it was received at the Government installation designated for receipt of offers and was under the Government's control prior to the time set for receipt of offers; or

(3) It is the only proposal received.

(B) However, a late modification of an otherwise successful proposal that makes its terms more favorable to the Government, will be considered at any time it is received and may be accepted.

(iii) Acceptable evidence to establish the time of receipt at the Government installation includes the time/date stamp of that installation on the proposal wrapper, other documentary evidence of receipt maintained by the installation, or oral testimony or statements of Government personnel.

(iv) If an emergency or unanticipated event interrupts normal Government processes so that proposals cannot be received at the office designated for receipt of proposals by the exact time specified in the solicitation, and urgent Government requirements preclude amendment of the solicitation, the time specified for receipt of proposals will be deemed to be extended to the same time of day specified in the solicitation on the first work day on which normal Government processes resume.

(v) Proposals may be withdrawn by written notice received at any time before award. Oral proposals in response to oral solicitations may be withdrawn orally. If the solicitation authorizes facsimile proposals, proposals may be withdrawn via facsimile received at any time before award, subject to the conditions specified in the provision at 52.215-5, Facsimile Proposals. Proposals may be withdrawn in person by an offeror or an authorized representative, if the identity of the person requesting withdrawal is established and the person signs a receipt for the proposal before award.

(4) Unless otherwise specified in the solicitation, the offeror may propose to provide any item or combination of items.

(5) Offerors shall submit proposals in response to this solicitation in English, unless otherwise permitted by the solicitation, and in U.S. dollars, unless the provision at FAR 52.225-17, Evaluation of Foreign Currency Offers, is included in the solicitation.

(6) Offerors may submit modifications to their proposals at any time before the solicitation closing date and time, and may submit modifications in response to an amendment, or to correct a mistake at any time before award.

(7) Offerors may submit revised proposals only if requested or allowed by the Contracting Officer.

(8) Proposals may be withdrawn at any time before award. Withdrawals are effective upon receipt of notice by the Contracting Officer.

(d) Offer expiration date. Proposals in response to this solicitation will be valid for the number of days specified on the solicitation cover sheet (unless a different period is proposed by the offeror).

(e) Restriction on disclosure and use of data. Offerors that include in their proposals data that they do not want disclosed to the public for any purpose, or used by the Government except for

evaluation purposes, shall--

(1) Mark the title page with the following legend: This proposal includes data that shall not be disclosed outside the Government and shall not be duplicated, used, or disclosed--in whole or in part--for any purpose other than to evaluate this proposal. If, however, a contract is awarded to this offeror as a result of--or in connection with-- the submission of this data, the Government shall have the right to duplicate, use, or disclose the data to the extent provided in the resulting contract. This restriction does not limit the Government's right to use information contained in this data if it is obtained from another source without restriction. The data subject to this restriction are contained in sheets [insert numbers or other identification of sheets]; and

(2) Mark each sheet of data it wishes to restrict with the following legend: Use or disclosure of data contained on this sheet is subject to the restriction on the title page of this proposal.

(f) Contract award. (1) The Government intends to award a contract or contracts resulting from this solicitation to the responsible offeror(s) whose proposal(s) represents the best value after evaluation in accordance with the factors and subfactors in the solicitation.

(2) The Government may reject any or all proposals if such action is in the Government's interest.

(3) The Government may waive informalities and minor irregularities in proposals received.

(4) The Government intends to evaluate proposals and award a contract without discussions with offerors (except clarifications as described in FAR 15.306(a)). Therefore, the offeror's initial proposal should contain the offeror's best terms from a cost or price and technical standpoint. The Government reserves the right to conduct discussions if the Contracting Officer later determines them to be necessary. If the Contracting Officer determines that the number of proposals that would otherwise be in the competitive range exceeds the number at which an efficient competition can be conducted, the Contracting Officer may limit the number of proposals in the competitive range to the greatest number that will permit an efficient competition among the most highly rated proposals.

(5) The Government reserves the right to make an award on any item for a quantity less than the quantity offered, at the unit cost or prices offered, unless the offeror specifies otherwise in the proposal.

(6) The Government reserves the right to make multiple awards if, after considering the additional administrative costs, it is in the Government's best interest to do so.

(7) Exchanges with offerors after receipt of a proposal do not constitute a rejection or counteroffer by the Government.

(8) The Government may determine that a proposal is unacceptable if the prices proposed are materially unbalanced between line items or subline items. Unbalanced pricing exists when, despite an acceptable total evaluated price, the price of one or more contract line items is

significantly overstated or understated as indicated by the application of cost or price analysis techniques. A proposal may be rejected if the Contracting Officer determines that the lack of balance poses an unacceptable risk to the Government.

(9) If a cost realism analysis is performed, cost realism may be considered by the source selection authority in evaluating performance or schedule risk.

(10) A written award or acceptance of proposal mailed or otherwise furnished to the successful offeror within the time specified in the proposal shall result in a binding contract without further action by either party.

(11) If a post-award debriefing is given to requesting offerors, the Government shall disclose the following information, if applicable:

(i) The agency's evaluation of the significant weak or deficient factors in the debriefed offeror's offer.

(ii) The overall evaluated cost or price and technical rating of the successful and the debriefed offeror and past performance information on the debriefed offeror.

(iii) The overall ranking of all offerors, when any ranking was developed by the agency during source selection.

(iv) A summary of the rationale for award.

(v) For acquisitions of commercial products, the make and model of the item to be delivered by the successful offeror.

(vi) Reasonable responses to relevant questions posed by the debriefed offeror as to whether source-selection procedures set forth in the solicitation, applicable regulations, and other applicable authorities were followed by the agency.

(End of provision)

52.215-20 REQUIREMENTS FOR CERTIFIED COST OR PRICING DATA AND DATA OTHER THAN CERTIFIED COST OR PRICING DATA (NOV 2021)

(a) Exceptions from certified cost or pricing data. (1) In lieu of submitting certified cost or pricing data, offerors may submit a written request for exception by submitting the information described in the following paragraphs. The Contracting Officer may require additional supporting information, but only to the extent necessary to determine whether an exception should be granted, and whether the price is fair and reasonable.

(i) Identification of the law or regulation establishing the price offered. If the price is controlled

under law by periodic rulings, reviews, or similar actions of a governmental body, attach a copy of the controlling document, unless it was previously submitted to the contracting office.

(ii) Commercial product and commercial service exception. For a commercial product and commercial service exception, the offeror shall submit, at a minimum, information on prices at which the same item or similar items have previously been sold in the commercial market that is adequate for evaluating the reasonableness of the price for this acquisition. Such information may include-

(A) For catalog items, a copy of or identification of the catalog and its date, or the appropriate pages for the offered items, or a statement that the catalog is on file in the buying office to which the proposal is being submitted. Provide a copy or describe current discount policies and price lists (published or unpublished), e.g., wholesale, original equipment manufacturer, or reseller. Also explain the basis of each offered price and its relationship to the established catalog price, including how the proposed price relates to the price of recent sales in quantities similar to the proposed quantities;

(B) For market-priced items, the source and date or period of the market quotation or other basis for market price, the base amount, and applicable discounts. In addition, describe the nature of the market;

(C) For items included on an active Federal Supply Service Multiple Award Schedule contract, proof that an exception has been granted for the schedule item.

(2) The offeror grants the Contracting Officer or an authorized representative the right to examine, at any time before award, books, records, documents, or other directly pertinent records to verify any request for an exception under this provision, and the reasonableness of price. For items priced using catalog or market prices, or law or regulation, access does not extend to cost or profit information or other data relevant solely to the offeror's determination of the prices to be offered in the catalog or marketplace.

(b) Requirements for certified cost or pricing data. If the offeror is not granted an exception from the requirement to submit certified cost or pricing data, the following applies:

(1) The offeror shall prepare and submit certified cost or pricing data, data other than certified cost or pricing data, and supporting attachments in accordance with the instructions contained in Table 15-2 of FAR 15.408, which is incorporated by reference with the same force and effect as though it were inserted here in full text. The instructions in Table 15-2 are incorporated as a mandatory format to be used in this contract, unless the Contracting Officer and the Contractor agree to a different format and change this clause to use Alternate I.

(2) As soon as practicable after agreement on price, but before contract award (except for unpriced actions such as letter contracts), the offeror shall submit a Certificate of Current Cost or Pricing Data, as prescribed by FAR 15.406-2.

(End of provision)

52.215-20 REQUIREMENTS FOR COST OR PRICING DATA OR INFORMATION
OTHER THAN COST OR PRICING DATA (OCT 1997)—ALTERNATE IV (OCT 1997)

(a) Submission of cost or pricing data is not required.

(b) Provide Schedule of Prices/Deductions (see J-B1 – J-B5 Attachments).

(End of provision)

52.216-1 TYPE OF CONTRACT (APR 1984)

The Government contemplates award of a Firm Fixed Price contract resulting from this solicitation.

(End of provision)

52.233-2 SERVICE OF PROTEST (SEP 2006)

(a) Protests, as defined in section 33.101 of the Federal Acquisition Regulation, that are filed directly with an agency, and copies of any protests that are filed with the Government Accountability Office (GAO), shall be served on the Contracting Officer (addressed as follows) by obtaining written and dated acknowledgment of receipt from

Washington Headquarters Services / Acquisition & Procurement Office
Contracting Officer: Mr. David Julian
1777 North Kent Street, Suite 12063
Arlington, VA 22201

(b) The copy of any protest shall be received in the office designated above within one day of filing a protest with the GAO.

(End of provision)

52.252-1 SOLICITATION PROVISIONS INCORPORATED BY REFERENCE (FEB 1998)

This solicitation incorporates one or more solicitation provisions by reference, with the same force and effect as if they were given in full text. Upon request, the Contracting Officer will

make their full text available. The offeror is cautioned that the listed provisions may include blocks that must be completed by the offeror and submitted with its quotation or offer. In lieu of submitting the full text of those provisions, the offeror may identify the provision by paragraph identifier and provide the appropriate information with its quotation or offer. Also, the full text of a solicitation provision may be accessed electronically at this/these address(es):

<http://acquisition.gov/far/index.html> - or - <http://farsite.hill.af.mil/VFDFARA.HTM>

(End of provision)

52.252-5 AUTHORIZED DEVIATIONS IN PROVISIONS (APR 1984)

(a)The use in this solicitation of any Federal Acquisition Regulation (48 CFR Chapter 1) provision with an authorized deviation is indicated by the addition of "(DEVIATION)" after the date of the provision.

(b)The use in this solicitation of any Federal Acquisition Regulation (48 CFR Chapter 1-2) provision with an authorized deviation is indicated by the addition of "(DEVIATION)" after the name of the regulation.

(End of provision)

INSTRUCTIONS TO OFFERORS

L-1 PRE-AWARD SURVEY

A pre-award survey may be conducted when the Contracting Officer determines it to be in the Government's interest.

L-2 DEADLINE FOR RECEIPT OF QUESTIONS FROM PROSPECTIVE OFFERORS

Potential offerors may submit questions in writing, regarding the performance work statement and the terms and conditions of this solicitation, by mail, courier, email or fax, but questions must be received in the office designated below **no later than 4:00 PM local time on 16 July 2014.**

Submit questions to:

PV1 Joe Snuffy, Contract Specialist
WHS Acquisition and Procurement Office
1777 North Kent St.
Suite 12063
Arlington, VA 22209
FAX: 703-696-4164
Email: joe.snuffy.mil@mail.mil

L-3 ADDRESS AND OFFER DUE DATE

Proposals, in the quantities specified, shall be received at:

WHS Acquisition & Procurement Office
Attn: PV1 Joe Snuffy
1777 North Kent St.
Arlington, VA 22209

Offers shall be received in the office identified above by 2:30 PM local time on 06 August 2014.

Late submissions will not be accepted.

L-4 SITE VISIT AND PRE-PROPOSAL CONFERENCE

Offerors are urged and expected to inspect the site where services are to be performed and to satisfy themselves regarding all general and local conditions that may affect the cost of contract performance, to the extent that the information is reasonably obtainable. A site visit and pre-proposal conference is scheduled for **10:00 AM on 10 July 2014**. Details regarding the location and procedures for access will be issued by amendment.

L-5 PROPOSAL PREPARATION

Offerors must submit offers using the following submission guidance and information. Failure of an offeror to address any items listed may make the offer unacceptable and may result in its not being considered for award.

a. Offer shall remain firm for at least 90 calendar days (offeror shall enter 90 in Block 12 of the SF33) and can be submitted via FEDEX, United States Postal Service (USPS), U.S. Mail, or another commercial carrier; however, the use of USPS is not recommended as the single method of submission. Offers shall be submitted to the address in paragraph L-3 above.

b. Neither telegraphic nor facsimile offers will be considered; however, offers may be modified by written, telegraphic, or facsimile notice, if that notice is received by the time specified for receipt of offers.

c. Offerors must submit one original and three (3) copies of their technical (Volume I), one original and one copy of their price proposal, past performance and business information (Volume II), including all attachments, on separate CD-ROMs using Microsoft Office 2000 or 2003 compatible format.

L-6 GENERAL PROPOSAL REQUIREMENTS

- a. All proposals must clearly and convincingly demonstrate that the offeror has a thorough understanding of the requirements and associated risks, and is able, willing, and competent to devote the resources necessary to meet or exceed the requirements.
- b. Should any aspect of the Contractor's proposal change after submission but prior to award, the Contractor shall promptly notify the Contracting Officer of the change. Note that substantial changes may require dismissal of the proposal from consideration.
- c. Offer's outside wrapper shall clearly indicate that it is a submission under this solicitation.

L-7 GENERAL PROPOSAL CONTENT

Each proposal shall contain the following:

- i. Standard Form 33, or equivalent. Failure to do so may lead to rejection of the offer.
- ii. Cover Letter. All offerors shall submit a cover letter including a concise statement of what is being proposed. The statement should be complete, not more than two pages, and should clearly indicate reasons why a contract should be awarded to the offeror, with appropriate summary of highlights and references to the body of the proposal. This letter shall outline and explain any deviations, exceptions, or conditional assumptions taken to the requirements of this solicitation. Further, sufficient amplification and justification to permit evaluation must support any deviations, exceptions, or conditional assumptions. To the extent that there is any inconsistency between the terms and conditions of the solicitation and those proposed by the offeror, which inconsistency has not been clearly disclosed to the Government by the offeror, the Government's terms and conditions shall control in the event that a contract is awarded.
- iii. Technical Proposal – Volume I (provide one original and 3 copies).
- iv. Price Proposal, Past Performance Data and Business Information – Volume II (provide one original and one copy).

L-8 TECHNICAL PROPOSAL – VOLUME I

- a. Proposal Contents. The technical proposal must demonstrate an ability to comply with all requirements in the solicitation. General statements that the Offeror can or will comply with the requirements, that standard procedures will be used, that well known techniques will be used, or paraphrases of the RFP's Statement of Work/Specification in whole or in part, **will not** constitute compliance. Failure to conform to any of the requirements of the RFP may form the basis for rejection of the proposal.
- b. Proposal Length. The Technical Proposal must not exceed 75 pages, single-sided; including the original technical proposal and additional or change pages submitted with an offeror's final proposal revision, excluding foldouts, blank pages, title pages, tab indices and table of contents. Changed pages shall be clearly identified as such and should be provided on colored paper with the revisions clearly marked. If the offeror elects to submit a complete revised technical proposal, revisions must be clearly identified. Each page shall be 8 ½ x 11 inches, doubled-spaced, 12-point font, with one-inch margins. This limit extends to all introductory comments,

overviews, text, illustrations, graphics, appendices and other pertinent information. Graphics and appendices must be single-spaced. Graphics are exempt from the 12-point font and one-inch margin requirements. Plans and Drawings are not included in the 75-page limit. The Technical Proposal must be bound separately in a binder and all foldouts must be in sleeves and placed in the binder. Claims as to proprietary data must specifically identify page(s), paragraph(s), sentence(s), and must not be generalized. Pages shall be numbered and paragraphs identified by a commonly used and consistent system to assist in referencing specific areas of the proposal. Pages shall also have a header or footer that contains at a minimum, contractor name and solicitation number. Enclosures must be identified on all pages.

c. Technical Information. Offeror shall address their technical capability to adequately perform the requirements set forth in Section C. At a minimum, the proposal shall provide information supporting the Contractor's ability to meet contract requirements in the areas listed below (keyed to the Evaluation Factors in Section M).

Factor	Subfactor	Specific Instructions
(1) Technical Requirements	Subfactor a. “Possession of a Top Secret Facility Clearance (Evaluated on a Pass/Fail Basis)	Provide a copy of the offerors Defense Security Service Facility Clearance letter documenting possession of a Top Secret Facility Clearance.
(1) Technical Requirements	Subfactor b. “Adequacy, Feasibility and Technical Merit”	Provide an overview of the offerors method and approach for delivering quality custodial services to the Pentagon.
(1) Technical Requirements	Subfactor c. “Proposed Methodology”	Provide an overview of the offeror’s and any major subcontractors proposed method for meeting the performance requirements including capabilities and skills. Provide an overview of the offeror’s plans for addressing the general historic performance issues identified in Section C, paragraph 1.2.

Factor	Subfactor	Specific Instructions
(1) Technical Requirements	Subfactor d. “Technical Experience and Capability”	Summarize the offeror’s and any major subcontractors experience and qualifications in providing custodial services of a similar type and magnitude.
(2) Management	Subfactor a. “Key Personnel and Organizational Structure”	Describe the offerors organizational structure proposed for managing this contract. Provide organizational charts and resumes of key personnel.
(2) Management	Subfactor b. “Quality System”	Provide a draft Quality Control Plan.
(2) Management	Subfactor c. “Management and Environmental Stewardship”	Provide a draft Management and Environmental Stewardship Plan
(2) Management	Subfactor d. “Health and Safety”	Provide a draft Health and Safety Plan
(2) Management	Subfactor e.”Ability of Organization to Respond to Problems”	Summarize the ability of the offerors organizational structure to respond to problems, mitigate risk and maintain performance.

Factor	Subfactor	Specific Instructions
(3) Past Performance		See paragraph L-9 below.
(4) Participation of Small Businesses, HUBZone Small Businesses, Small Disadvantaged Businesses and Women-Owned Small Business Concerns		Outline plan to award subcontracts to small business, veteran-owned small business, service-disabled veteran-owned small business, HUBZone small business, small disadvantaged business, and women-owned small business concerns in performance of the contract.

L-9 PAST PERFORMANCE PROPOSAL – VOLUME II

a. The Offeror past performance proposal must address corporate past performance in performing projects similar in size and scope to the effort required by Section C. The Contractor's relevant Past Performance will be evaluated to assess the extent of its ability to perform the contract successfully (quality of product or service, accuracy and completeness, timeliness of delivery/work, business relations, customer satisfaction, key personnel and staffing (including subcontractors/partners)).

b. Offeror shall submit a Past Performance Data Sheet, Section J, Attachment J-L1, for three (3) Government or commercial contracts for services directly related or similar to the services required in Section C. Information for contracts or subcontracts shall be for relevant contracts and subcontracts currently in process or completed within the past five (5) years. Specifically address the following items:

- i. The nature of the effort
- ii. The tasks performed, including the deliverables, as they relate to Section C
- iii. Timeliness of deliveries
- iv. The extent of involvement (as a prime versus a subcontractor)
- v. The period of performance
- vi. The utilization of subcontractor technical support versus in-house technical support
- vii. Remote site management experience
- viii. Point of contact, phone and fax number for each contact listed

c. The Offeror shall complete the top portion of page 1, Section J, Attachment J-L2, Past Performance Questionnaire, and send it to each of the three (3) customers for the contracts

identified above on Attachment J-L1. As stated in Attachment J-L2, the reference will complete this form and return it directly to the Government by the solicitation closing date.

d. In accordance with FAR 15.305(a)(2)(iv), an Offeror without a record of relevant past performance or for whom information on past performance is not available will not be evaluated favorably or unfavorably on past performance (neutral evaluation).

e. The Government will consider past or current contracts (including Federal, State and local government and private) for efforts similar to the Government requirement. The Government will consider information provided on problems encountered on the identified contracts and associated corrective actions. Contractors with a negative past performance rating will be afforded an opportunity to address alleged deficiencies. The Government may also consider information obtained from any other sources when evaluating past performance. Failure of a contractor to disclose a relevant Government contract with poor past performance may affect the contractor's past performance rating.

f. The Government may consider past performance information regarding predecessor companies, key personnel who have relevant experience or subcontractors that will perform major or critical aspects of the requirement when such information is relevant.

g. Evaluation of past performance will include an evaluation of the contractor's past performance in complying with the requirements of FAR clauses 52.219-8, and DFARS 252.219-7003, as applicable.

L-10 PRICE PROPOSAL – VOLUME II

Proposal Contents: The price proposal shall consist of the following:

- i. Completed SF33
- ii. Completed Section B
- iii. Completed Attachment, Schedule of Prices/Deductions, J-B1 – J-B5
- iv. Completed Section K (Representations and Certifications)

L-11 SECURITY

This procurement is restricted to offerors with an active TOP SECRET facility clearance granted by a Military Department. Offers received from firms that do not have an active TOP SECRET FACILITY clearance will not be considered.

L-12 SPECIAL NOTICE TO OFFERORS

- a. Failure to submit any of the information requested by this solicitation may be cause for unfavorable consideration.
- b. Upon receipt, all proposals become Government property.

c. After award, the Government reserves the right to publish any and/or all technical and cost related submissions provided by the successful Offeror (s) in any Government database or publication.

L-13 CONFIDENTIAL INFORMATION

The Freedom of Information Act (FOIA) and its amendments have resulted in an increasing number of requests from outside the Government for copies of contract qualifications and proposals submitted to federal agencies. If an offeror's submissions contain information that he/she believes should be withheld from such requestors under FOIA on the grounds that they contain "trade secrets and commercial or financial information" [5 USC§552(b)(4)], the offeror should mark its submissions in the following manner: i. The following notice should be placed on the title page: "Some parts of this document, as identified on individual pages, are considered by the submitter to be privileged or confidential trade secrets or commercial or financial information not subject to mandatory disclosure under the Freedom of Information Act. Material considered privileged or confidential on such grounds is contained on page(s) _____". ii. Each individual item considered privileged or confidential under FOIA should be marked with the following notice: "The data or information is considered confidential or privileged, and is not subject to mandatory disclosure under the Freedom of Information Act"

Section M - Evaluation Factors for Award

CLAUSES INCORPORATED BY REFERENCE

52.217-5	Evaluation Of Options	JUL 1990
52.232-15	Progress Payments Not Included	APR 1984

EVALUATION FACTORS

M-1 BASIS FOR AWARD

Award will be made to the responsible offeror whose offer, conforming to the solicitation, represents the best overall value to the Government, given the outcome of the Government's evaluation of each offeror's technical proposal, socioeconomic program utilization proposal, past performance and price proposal. In selecting the best overall offer for award, the Government will consider the quality offered, which includes all non-price factors, for the evaluated price. The relative quality of offers will be based upon the Government's evaluation of the offeror's ability to exceed the minimum performance requirements of this solicitation and the risk of nonperformance, defective performance or late performance under the resulting contract. The quality of offers will be compared to the differences in the overall price to the Government. The Government may award on the basis of a proposal with superior ratings even though it may result

in a higher price to the Government. No award will be made to an offeror who has received a marginal or unsatisfactory rating in any factor or subfactor.

M-2 EVALUATION FACTORS

The offer must be realistic in both technical approach and total price. Offers that are unrealistic in terms of technical approach or unrealistically low in price will be considered indicative of a lack of understanding of the complexity and risk in the contract requirements. Unrealistic offers will not be considered for award.

The ability of the offeror to perform all aspects of the anticipated contract from inception to completion will be considered as part of the overall “realism” evaluation. Pursuant to FAR 52.215-1(f), Instructions to Offerors-Competitive Acquisition (JAN 2004), the Government may evaluate offers and award contract(s) without discussions with offerors. The Government reserves the right to conduct discussions if the Contracting Officer later determines them to be necessary.

To arrive at the best value decision, the Technical Evaluation Committee (TEC) will evaluate the technical factors and the Source Selection Authority (SSA) will base the source selection decision on an integrated assessment of the submitted proposals in accordance with the evaluation factors and sub-factors established within the solicitation. The SSA may select a higher-priced offeror if that offeror is evaluated to have a superior technical and management approach, and a demonstrated past performance record that outweighs the benefits of any price difference.

In selecting the best overall offer, the following factors will be considered: (1) technical, (2) management, (3) past performance, (4) Participation of Small Businesses, HUBZone Small Businesses, Small Disadvantaged Businesses and Women-Owned Small Business Concerns and (5) price to the Government. All factors and sub-factors are listed in descending order of importance. When combined, the non-price factors are slightly more important than price. Price will become increasingly important as the non-price evaluation factors become increasingly equal. Price will not be a numerically weighted factor in the evaluation of proposals and the importance of price does not bear a linear relationship to the importance of the technical proposal and past performance. The importance of price in the evaluation for award will depend upon the differences in evaluated technical quality and in past performance among offerors and, as stated above, will increase as the differences decrease. The following evaluation factors will be used for this source selection:

(1) Technical Requirements:

- a. Possession of a Top Secret Facility Clearance (Evaluated on a Pass/Fail Basis)
- b. Adequacy, Feasibility and Technical Merit
- c. Proposed Methodology
- d. Technical Experience and Capability

(2) Management:

- a. Key Personnel and Organizational Structure

- b. Quality System
- c. Management and Environmental Stewardship
- d. Health and Safety
- e. Ability of Organization to Respond to Problems

(3) Past Performance

(4) Participation of Small Businesses, HUBZone Small Businesses, Small Disadvantaged Businesses and Women-Owned Small Business Concerns

(5) Price

Proposals will be evaluated and ranked considering the following:

(1) Technical:

a. Security Clearance. This evaluation subfactor will consider if the offeror has an active Top Secret Facility Clearance as evidenced by a copy of its Defense Security Facility Clearance (DSSFC) letter provided with their proposal. This subfactor will be evaluated on a pass/fail basis. **Offerors not having an active Top Secret Facility Clearance will not be evaluated for award.**

b. Adequacy, Feasibility and Technical Merit. This technical evaluation subfactor will consider the adequacy, feasibility and technical merit of the Contractor's method and approach for delivering quality custodial services to the Pentagon including the Contractor's understanding of and approach to meeting overall requirements as described in Section C.

c. Proposed Methodology. This technical evaluation subfactor will consider the offeror's proposed methodology for meeting the performance requirements including the offeror's and any major subcontractor's capabilities and skills. Evaluation of this subfactor will also consider the offerors methodology for addressing the general historic performance issues identified in Section C, paragraph 1.2.

d. Technical Experience and Capability. This technical subfactor will consider the offeror's and major subcontractor's depth of experience and qualifications in delivering quality custodial services similar in scope and type as those specified in Section C.

(2) Management:

a. Key Personnel and Organizational Structure. This management subfactor will consider the relevant experience and ability of the current corporate management structure and organization, including key personnel and changes to the organization, proposed for managing performance of the contract. Evaluation will consider the ability of the company to establish organizational controls and procedures to ensure a safe and hazard free work environment. Evaluation of this subfactor will also include an evaluation of major subcontractors' management structure and

their relevant experience and ability to perform the requirements of the proposed contract as well as the plan for obtaining and retaining key staff.

b. Quality System: This subfactor will consider the proposed quality system that will be used in the performance of this contract and how well the offeror demonstrates that it will meet the requirements of Section C. Consideration shall be given to whether the offeror has achieved certification or whether it is pursuing certification to an internationally accepted and certified quality system and when certification to that system is anticipated.

c. Management and Environmental Stewardship: This subfactor will consider the offerors commitment to environmental management, employee health and safety, and the use of environmentally preferable products.

d. Health and Safety: This subfactor will consider the offerors commitment to a safe environment for Contractor personnel, building occupants and visitors.

e. Ability of Organization to Respond to Problems: Organizational structure's ability to respond to rapidly emerging problems to include how the organization will evaluate problems and coordinate implementation of risk mitigation strategies to maintain performance, quality, and schedule.

(3) Past Performance. Each offeror's past performance will be evaluated as part of the Government's overall evaluation of best value. At a minimum, this evaluation will take into account past performance information submitted as a part of each offeror's proposal including information regarding predecessor companies, key personnel who have relevant experience and subcontractors that will perform major or critical aspects of the requirement. For those offerors without a record of relevant past performance or for whom information on past performance is not available, the offeror will receive a neutral past performance rating. Offerors with a negative past performance rating will be afforded an opportunity to address alleged deficiencies.

(4) Participation of Small Businesses. The offeror will be evaluated on the extent to which it plans to participate, through joint ventures, teaming arrangements, and subcontracts, with small businesses (SB), HUBZone small businesses (HUBZone), small disadvantaged businesses (SDB), women-owned small businesses (WOSB), and service disabled veteran-owned small businesses (SDVOSB) in the performance of the contract.

(5) Price

General. Price will not be a numerically weighted factor in the evaluation of proposals; neither will importance of price bear a linear relationship to technical proposals. The Government's decision as to which individual offer(s) represents the best value will be made after considering the overall cost to the Government and comparing the other evaluation factors addressed in each proposal. The Government may make an award to an offeror with a proposal that contains superior technical features even if such a decision results in additional price to the Government. Pricing will also be evaluated to determine whether it is materially unbalanced. As the difference

in the evaluated quality among the offers with the highest rated combination of technical and past performance decreases, the importance of price as an evaluation factor shall increase, and may become the determinative factor for making award. Pursuant to FAR 52.215-1(f)(4), Instructions to Offerors-Competitive Acquisition (JAN 2004), the Government may evaluate offers and award contract(s) without discussions with offerors. The offeror's Fixed Price CLINs shall be evaluated by summing the total Firm Fixed Price line item for each year of the contract (base plus options). Fixed price proposals will be reviewed for reasonableness, affordability, and realism to determine whether they reflect an understanding of the requirements or contain apparent mistakes. The offeror's proposed approach must be consistent with the cost/price proposal. As part of the cost/price evaluation, proposals may be reviewed to identify any significant unbalanced pricing including unbalancing in the Schedule of Prices. In accordance with FAR 15.404-1(g), Unbalanced Pricing, a proposal may be rejected if the Contracting Officer determines the lack of balance poses an unacceptable risk to the Government. If applicable, the cost/price proposals will also be evaluated to ensure they comply with the standards set for non-exempt employees established by the Department of Labor (DOL) through the Services Contract Act, 41 USC 351 et seq.; its implementing regulations; and the appropriate wage determination issued by the DOL. These standards include, but are not limited to, minimum direct labor rates, minimum health and welfare benefits per hour, and minimum vacation and holiday hours. Cost may play an additional role since considerations of cost in terms of best value and affordability may be controlling in circumstances where two or more proposals are otherwise adjudged equal or when a technically superior proposal is at a cost that the Government cannot afford.

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ATTACHMENT 4: J-L1

PAST PERFORMANCE DATA

1. Complete Name of Reference (Government agency, commercial firm, or other organization)	
2. Complete Address of Reference	
3. Contract Number or other control number	4. Date of contract
5. Date work was begun	6. Date work was completed
7. Contract type, initial contract price, estimated cost and fee, or target cost and profit or fee	8. Final amount invoiced or amount invoiced to date
9a. Reference/Technical point of contact (name, title, address, telephone no. and email address)	9b. Reference/Contracting point of contact (name, title, address, telephone no. and email address)
10. Location of work (country, state or province, county, city)	
11. Current status of contract (choose one): ☐ Ongoing ☐ Complete ☐ Terminated for Convenience ☐ Terminated for Default ☐ Other (explain)	
12. Provide brief information describing the contract and the relevancy of the effort to be performed in accordance with the SOW and requirements of the solicitation. Provide an estimated % of relevancy of the referenced contract to the requirements set forth in this solicitation. Relevance shall address the following areas: Provision of layberth facility and associated services. Relevance can be discussed in further detail on the attached summary description as set forth in block 14 below.	
13a. Did this contract require a Small Business Subcontracting Plan pursuant to FAR 52.219-9? Yes ____, No ____. 13b. If "Yes" to 13a, have you regularly submitted SF 294/295 reports on time? 13c. Attach a copy of your most recently submitted SF 294.	
14. Provide a summary description of contract work, not to exceed two pages in length. Describe the nature and scope of work, its relevancy to this contract, and a description of any problems encountered and your corrective actions. Attach the explanation to this form.	

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ATTACHMENT 5: J-L2

PAST PERFORMANCE QUESTIONNAIRE

Source Selection Sensitive

See FAR 2.101 and 3.104

TO: _____ FACSIMILE: _____

PHONE: _____ EMAIL: _____

Information Request

Washington Headquarters Services is currently in the process of soliciting offers for a contract for the provision of Custodial Services. [CONTRACTOR NAME] provided your name and organization as a reference regarding [CONTRACT DESCRIPTION] past performance under [CONTRACT NO.]. Specifically, we are looking for past performance information in the following areas:

- a.) Quality of Service
- b.) Timeliness or Scheduling of Service
- c.) Business Relations/Customer Satisfaction
- d.) Key Personnel and Staffing (Including Subcontractors)

In order for our team to compile its evaluation, we request that you complete the attached survey form and email it, and any other pertinent information by [SOLICITATION CLOSING DATE] to Joe Snuffy joe.snuffy.mil@mail.mil

Information can also be sent via facsimile to the attention of Joe Snuffy at FAX: (703) 696-4164.

For your convenience, a cover sheet for use in mailing/faxing is provided below.

Washington Headquarters Services, Acquisition and Procurement Office Attn: Joe Snuffy
1777 North Kent At.
Suite 12063
Arlington, VA 22209

From: (Name and Address of Firm) _____

(Point of Contact Name)

(Facsimile/Phone Number)

(E-mail Address)

To (Point of Contact Name) Joe Snuffy
(Facsimile/Phone Number) (703) 696-3858 FAX: (703) 696-4164
(E-mail Address) joe.snuffy.mil@mail.mil

PAST PERFORMANCE QUESTIONNAIRE

SOURCE SELECTION SENSITIVE

See FAR 2.101 and 3.104

CONTRACTOR PERFORMANCE EVALUATION SURVEY

CONTRACTOR NAME: _____ CONTRACT NUMBER: _____
 EVALUATION PERIOD: _____ CONTRACT VALUE: \$ _____

1. Please describe the service/supply provided by the Contractor for your firm.
2. Please provide ratings and comments regarding the Contractor's performance in each area below using the following ratings: Exceptional (E), Very Good (VG), Satisfactory (S), Marginal (M), or Unsatisfactory (U). See next page for definition of ratings. **For all ratings EXCEPT "Satisfactory," please provide a brief explanation.**

	Exceptional	Very Good	Satisfactory	Marginal	Unsatisfactory
OVERALL PAST PERFORMANCE RATING Please provide an overall rating of the contractor's past performance for the referenced contract/delivery order.					
a.) Quality of Service:					
Conformance to contract requirements, appropriateness of personnel, accuracy of reports, and technical excellence.					
b.) Timeliness or Scheduling of Service/Deliveries:					
Timeliness of performance, met interim milestones, reliable, responsive to technical and contractual direction as to scheduling.					
c.) Business Relations/Customer Satisfaction					
Effective management, prompt notification of problems, reasonable/cooperative behavior, proactive, timely award and management of subcontracts, effective small business/small disadvantaged business					
d.) Key Personnel and Staffing (Including Subcontractors)					
Quality of key personnel and how well key personnel managed their portion of the contract.					

3. Would you hire this contractor to provide services for your organization in the future?
 _____ Please provide comments using additional pages, if desired.

Signed: _____
 Print Name: _____

PAST PERFORMANCE DEFINITIONS

The following definitions are to be used when assessing past performance:

EXCEPTIONAL/VERY LOW PERFORMANCE RISK (E)

No doubt exists that the offeror will successfully perform the required effort.

VERY GOOD/LOW PERFORMANCE RISK (VG)

Little doubt exists that the offeror will successfully perform the required effort.

SATISFACTORY/MODERATE PERFORMANCE RISK (S)

Some doubt exists that the offeror will successfully perform the required effort.

MARGINAL/HIGH PERFORMANCE RISK (M)

Substantial doubt exists that the offeror will successfully perform the required effort.

UNSATISFACTORY/VERY HIGH PERFORMANCE RISK (U)

Extreme doubt exists that the offeror will successfully perform the required effort.

NEUTRAL (N)

The offeror, its subcontractors or team members and/or its key personnel have no significant performance record relevant or identifiable to the services to be performed.

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ATTACHMENT 6: J-C2

CLASSIFICATION (When filled in): 			
DEPARTMENT OF DEFENSE CONTRACT SECURITY CLASSIFICATION SPECIFICATION <i>(Please read instructions BEFORE completing this application.) (The requirements of the National Industrial Security Program (NISP) apply to all security aspects of this effort involving classified information.)</i>			OMB No. 0704-0567 OMB approval expires October 31, 2020
The public reporting burden for this collection of information, 0704-0567, is estimated to average 70 minutes per response, including the time for reviewing instructions, searching existing data sources, gathering and maintaining the data needed, and completing and reviewing the collection of information. Send comments regarding this burden estimate or any other aspect of this collection of information, including suggestions for reducing the burden, to the Department of Defense, Washington Headquarters Services, Directorate for Information Operations and Reports, 1215 Jefferson Davis Highway, Suite 1204, Arlington, VA 22202-4302, and to the Office of Management and Budget, Paperwork Project Director (0704-0187), Washington, DC 20503. Respondents should be aware that notwithstanding any other provision of law, no person shall be subject to any penalty for failing to comply with a collection of information if it does not display a currently valid OMB control number.			
RETURN COMPLETED FORM AS DIRECTED IN THE INSTRUCTIONS.			
1. CLEARANCE AND SAFEGUARDING			
a. LEVEL OF FACILITY SECURITY CLEARANCE (FCL) REQUIRED <i>(See instructions.)</i> Top Secret		b. LEVEL OF SAFEGUARDING FOR CLASSIFIED INFORMATION/MATERIAL REQUIRED AT CONTRACTOR FACILITY None (See instructions)	
2. THIS SPECIFICATION IS FOR: <i>(X and complete as applicable.)</i>			
a. PRIME CONTRACT NUMBER <i>(See instructions.)</i> 		3. THIS SPECIFICATION IS: <i>(X and complete as applicable.)</i> ☒ a. ORIGINAL <i>(Complete date in all cases.)</i> DATE (YYYYMMDD) 20071218	
b. SUBCONTRACT NUMBER 		☐ b. REVISED <i>(Supersedes all previous specifications.)</i> REVISION NO. DATE (YYYYMMDD) 	
☒ c. SOLICITATION OR OTHER NUMBER HQ00034-07-R-1058	DUE DATE (YYYYMMDD) 20080206	☐ c. FINAL <i>(Complete item 5 in all cases.)</i> DATE (YYYYMMDD) 	
4. IS THIS A FOLLOW-ON CONTRACT? ☐ NO ☒ YES. If Yes, complete the following: Classified material received or generated under MDA946-03-C-0001 <i>(Preceding Contract Number)</i> is transferred to this follow-on contract.			
5. IS THIS A FINAL DD FORM 254? ☒ NO ☐ YES. If Yes, complete the following: In response to the contractor's request dated , retention of the classified material is authorized for the period of: 			
6. CONTRACTOR <i>(Include Commercial and Government Entity (CAGE) Code)</i>			
a. NAME, ADDRESS, AND ZIP CODE 		b. CAGE CODE 	
c. COGNIZANT SECURITY OFFICE (CSO) (Name, Address, ZIP Code, Telephone) 		 	
7. SUBCONTRACTOR(S) <i>(Click button to add more subcontractors.)</i> Add More Items			
a. NAME, ADDRESS, AND ZIP CODE 		b. CAGE CODE 	
c. COGNIZANT SECURITY OFFICE(S) (CSOs) (Name, Address, ZIP Code, Telephone) 		 	
8. ACTUAL PERFORMANCE <i>(Click button to add more locations.)</i> Add More Items			
a. LOCATION(S) (For actual performance, see instructions.) 		b. CAGE CODE <i>(If applicable, see instructions.)</i> 	
c. COGNIZANT SECURITY OFFICE(S) (CSOs) (Name, Address, ZIP Code, Telephone) <i>(If applicable, see instructions.)</i> 		 	
9. GENERAL UNCLASSIFIED DESCRIPTION OF THIS PROCUREMENT <i>(Click here if more space is needed.)</i> Add Page 			
10. CONTRACTOR WILL REQUIRE ACCESS TO: <i>(X all that apply. Provide details in Blocks 13 or 14 as set forth in the instructions.)</i>			
☐ a. COMMUNICATIONS SECURITY (COMSEC) INFORMATION		☐ f. SPECIAL ACCESS PROGRAM (SAP) INFORMATION	
☐ b. RESTRICTED DATA		☐ g. NORTH ATLANTIC TREATY ORGANIZATION (NATO) INFORMATION	
☐ c. CRITICAL NUCLEAR WEAPON DESIGN INFORMATION (CNWDI) <i>(If CNWDI applies, RESTRICTED DATA must also be marked.)</i>		☐ h. FOREIGN GOVERNMENT INFORMATION	
☐ d. FORMERLY RESTRICTED DATA		☐ i. ALTERNATIVE COMPENSATORY CONTROL MEASURES (ACCM) INFORMATION	
☐ e. NATIONAL INTELLIGENCE INFORMATION		☐ j. CONTROLLED UNCLASSIFIED INFORMATION (CUI) <i>(See instructions.)</i>	
☐ (1) Sensitive Compartmented Information (SCI)		☒ k. OTHER <i>(Specify) (See instructions.)</i> 	
☐ (2) Non-SCI		 	

DD FORM 254, NOV 2017

PREVIOUS EDITION IS OBSOLETE.

Adobe LiveCycle Designer 6.5.4

CLASSIFICATION (When filled in):

CLASSIFICATION (When filled in): _____

11. IN PERFORMING THIS CONTRACT, THE CONTRACTOR WILL: (X at that apply. See instructions. Provide details in Blocks 13 or 14 as set forth in the instructions.)			
☒ a. HAVE ACCESS TO CLASSIFIED INFORMATION ONLY AT ANOTHER CONTRACTOR'S FACILITY OR A GOVERNMENT ACTIVITY (Applicable only if there is no access or storage required at contractor facility. See instructions.)	☐ b. REQUIRE A COMSEC ACCOUNT		
☐ c. RECEIVE AND STORE CLASSIFIED DOCUMENTS ONLY	☐ i. HAVE A TEMPEST REQUIREMENT		
☐ d. RECEIVE, STORE, AND GENERATE CLASSIFIED INFORMATION OR MATERIAL	☐ j. HAVE OPERATIONS SECURITY (OPSEC) REQUIREMENTS		
☐ e. FABRICATE, MODIFY, OR STORE CLASSIFIED HARDWARE	☐ k. BE AUTHORIZED TO USE THE DEFENSE COURIER SERVICE (DCS)		
☒ f. PERFORM SERVICES ONLY	☐ l. RECEIVE, STORE, OR GENERATE CONTROLLED UNCLASSIFIED INFORMATION (CUI). (DoD Components: refer to DoDM 5300.01, Volume 4 only for specific CUI protection requirements. Non-DoD Components: see instructions.)		
☐ g. HAVE ACCESS TO U.S. CLASSIFIED INFORMATION OUTSIDE THE U.S., PUERTO RICO, U.S. POSSESSIONS AND TRUST TERRITORIES	☒ m. OTHER (Specify) (See instructions)		
12. PUBLIC RELEASE. Any information (classified or unclassified) pertaining to this contract shall not be released for public dissemination except as provided by the National Industrial Security Program Operating Manual (NISPOM) or unless it has been approved for public release by appropriate U.S. Government authority. Proposed public releases shall be submitted for review and approval prior to release to the appropriate government approval authority identified here with at least office and phone contact information and if available, an e-mail address. (See instructions.)			
☐ DIRECT ☒ THROUGH (Specify)		PUBLIC RELEASE AUTHORITY:	
Directorate Freedom of Information and Security Review 1155 Defense Pentagon, RM 2C757 Washington, DC 20301-1155			
13. SECURITY GUIDANCE. The security classification guidance for classified information needed for this effort is identified below. If any difficulty is encountered in applying this guidance or if any other contributing factor indicates a need for changes in this guidance, the contractor is authorized and encouraged to provide recommended changes, to challenge the guidance or the classification assigned to any information or material furnished or generated under this contract, and to submit any questions for interpretation of this guidance to the official identified below. Pending final decision, the information involved shall be handled and protected at the highest level of classification assigned or recommended. (If) it is as appropriate for the classified effort. Attach, or forward under separate correspondence, any documents/guides/instructions referenced herein. Click button to add additional pages as needed to provide complete guidance. Add Page			
a. The solicitation is for a follow-on to contract MDA946-03-C-0001. Contract MDA946-03-C-0001 required a TOP SECRET facility clearance. However, no classified material was received or generated under this contract. b. The contractor will be required to enter secure spaces to perform custodial tasks such as trash removal, vacuuming, dusting, window washing, carpet cleaning, etc. 1a. Due to the nature of the service, the contractor will be required to enter secure spaces to perform custodial tasks such as trash removal, vacuuming, dusting, window washing, carpet cleaning, etc. 1b. The contractor will enter secure spaces to perform custodial tasks such as trash removal, vacuuming, dusting, window washing, carpet cleaning, etc. 13. Security guidance. Providing information of high-ranking officials visiting the Pentagon. al services to the Pentagon's needs.			
14. ADDITIONAL SECURITY REQUIREMENTS. Requirements, in addition to NISPOM requirements for classified information, are established for this contract.			
☒ No ☐ Yes (If Yes, identify the pertinent contractual clauses in the contract document itself, or provide an appropriate statement which identifies the additional requirements. Provide a copy of the requirements to the CSO. Use item 13 or click button if additional space is needed.) Add Page			
15. INSPECTIONS. Elements of this contract are outside the inspection responsibility of the CSO. Add Page ☒ No ☐ Yes (If Yes, explain and identify specific areas and government activity responsible for inspections. Click button or use item 13 if additional space is needed.)			
16. GOVERNMENT CONTRACTING ACTIVITY (GCA) AND POINT OF CONTACT (POC)			
a. GCA NAME	b. ACTIVITY ADDRESS CODE (AAC) OF THE CONTRACTING OFFICE (See instructions.)	c. ADDRESS (Include ZIP Code)	
d. POC NAME (See instructions.)	e. POC TELEPHONE (Include Area Code)	f. EMAIL ADDRESS (See instructions.)	
17. CERTIFICATION AND SIGNATURES. Security requirements stated herein are complete and adequate for safeguarding the classified information to be released or generated under this classified effort. All questions shall be referred to the official named below.			
a. TYPED NAME OF CERTIFYING OFFICIAL (Last, First, Middle Initial) (See instructions.)	b. TITLE Security Manager	c. ADDRESS (Include ZIP Code)	
d. AAC OF THE CONTRACTING OFFICE (See instructions.)	e. CAGE CODE OF THE PRIME CONTRACTOR (See instructions.)		
f. TELEPHONE (Include Area Code)	g. EMAIL ADDRESS (See instructions.)	h. DATE	i. SIGNATURE SIGN HERE
18. REQUIRED DISTRIBUTION BY THE CERTIFYING OFFICIAL			
☒ a. CONTRACTOR ☒ f. OTHERS AS NECESSARY (If more room is needed, continue in item 13 or on additional page if necessary.)			
☐ b. SUBCONTRACTOR			
☒ c. COMUSCANT SECURITY OFFICE FOR PRIME AND SUBCONTRACTOR			
☐ d. U.S. ACTIVITY RESPONSIBLE FOR OVERSEAS SECURITY ADMINISTRATION			
☒ e. ADMINISTRATIVE CONTRACTING OFFICER			

DD FORM 254 (BACK), NOV 2017

CLASSIFICATION (When filled in): _____

AMENDMENT OF SOLICITATION/MODIFICATION OF CONTRACT				1. CONTRACT ID CODE J		PAGE OF PAGES 1 2											
2. AMENDMENT/MODIFICATION NUMBER 0001		3. EFFECTIVE DATE 01/03/2008		4. REQUISITION/PURCHASE REQUISITION NUMBER KRS1017071323		5. PROJECT NUMBER (if applicable)											
6. ISSUED BY WHS ACQUISITION & PROCUREMENT OFFICE 1777 NORTH KENT ST SUITE 12063 ARLINGTON, VA 22209		CODE		7. ADMINISTERED BY (if other than item 6) See Item 6		CODE											
8. NAME AND ADDRESS OF CONTRACTOR (Number, street, county, State and ZIP Code)				(X)		9A. AMENDMENT OF SOLICITATION NUMBER											
				☒		HQ0034-07-R-1058											
				☐		9B. DATED (SEE ITEM 11) 12/21/2007											
				☐		10A. MODIFICATION OF CONTRACT/ORDER NUMBER											
CODE				FACILITY CODE		10B. DATED (SEE ITEM 13)											
11. THIS ITEM ONLY APPLIES TO AMENDMENTS OF SOLICITATIONS																	
☒ The above numbered solicitation is amended as set forth in Item 14. The hour and date specified for receipt of Offers ☐ is extended. ☒ is not extended. Offers must acknowledge receipt of this amendment prior to the hour and date specified in the solicitation or as amended, by one of the following methods: (a) By completing Items 8 and 15, and returning <u>1</u> copies of the amendment; (b) By acknowledging receipt of this amendment on each copy of the offer submitted; or (c) By separate letter or electronic communication which includes a reference to the solicitation and amendment numbers. FAILURE OF YOUR ACKNOWLEDGMENT TO BE RECEIVED AT THE PLACE DESIGNATED FOR THE RECEIPT OF OFFERS PRIOR TO THE HOUR AND DATE SPECIFIED MAY RESULT IN REJECTION OF YOUR OFFER. If by virtue of this amendment you desire to change an offer already submitted, such change may be made by letter or electronic communication, provided each letter or electronic communication makes reference to the solicitation and this amendment, and is received prior to the opening hour and date specified.																	
12. ACCOUNTING AND APPROPRIATION DATA (if required)																	
13. THIS ITEM APPLIES ONLY TO MODIFICATIONS OF CONTRACTS/ORDERS. IT MODIFIES THE CONTRACT/ORDER NUMBER AS DESCRIBED IN ITEM 14.																	
<table border="1" style="width: 100%; border-collapse: collapse;"> <tr> <td style="width: 10%;">CHECK ONE</td> <td style="width: 90%;">A. THIS CHANGE ORDER IS ISSUED PURSUANT TO: (Specify authority) THE CHANGES SET FORTH IN ITEM 14 ARE MADE IN THE CONTRACT ORDER NUMBER IN ITEM 10A.</td> </tr> <tr> <td style="text-align: center;">☐</td> <td></td> </tr> <tr> <td style="text-align: center;">☐</td> <td>B. THE ABOVE NUMBERED CONTRACT/ORDER IS MODIFIED TO REFLECT THE ADMINISTRATIVE CHANGES (such as changes in paying office, appropriation data, etc.) SET FORTH IN ITEM 14, PURSUANT TO THE AUTHORITY OF FAR 43.103(b).</td> </tr> <tr> <td style="text-align: center;">☐</td> <td>C. THIS SUPPLEMENTAL AGREEMENT IS ENTERED INTO PURSUANT TO AUTHORITY OF:</td> </tr> <tr> <td style="text-align: center;">☐</td> <td>D. OTHER (Specify type of modification and authority)</td> </tr> </table>								CHECK ONE	A. THIS CHANGE ORDER IS ISSUED PURSUANT TO: (Specify authority) THE CHANGES SET FORTH IN ITEM 14 ARE MADE IN THE CONTRACT ORDER NUMBER IN ITEM 10A.	☐		☐	B. THE ABOVE NUMBERED CONTRACT/ORDER IS MODIFIED TO REFLECT THE ADMINISTRATIVE CHANGES (such as changes in paying office, appropriation data, etc.) SET FORTH IN ITEM 14, PURSUANT TO THE AUTHORITY OF FAR 43.103(b).	☐	C. THIS SUPPLEMENTAL AGREEMENT IS ENTERED INTO PURSUANT TO AUTHORITY OF:	☐	D. OTHER (Specify type of modification and authority)
CHECK ONE	A. THIS CHANGE ORDER IS ISSUED PURSUANT TO: (Specify authority) THE CHANGES SET FORTH IN ITEM 14 ARE MADE IN THE CONTRACT ORDER NUMBER IN ITEM 10A.																
☐																	
☐	B. THE ABOVE NUMBERED CONTRACT/ORDER IS MODIFIED TO REFLECT THE ADMINISTRATIVE CHANGES (such as changes in paying office, appropriation data, etc.) SET FORTH IN ITEM 14, PURSUANT TO THE AUTHORITY OF FAR 43.103(b).																
☐	C. THIS SUPPLEMENTAL AGREEMENT IS ENTERED INTO PURSUANT TO AUTHORITY OF:																
☐	D. OTHER (Specify type of modification and authority)																
E. IMPORTANT: Contractor ☐ is not ☐ is required to sign this document and return _____ copies to the issuing office.																	
14. DESCRIPTION OF AMENDMENT/MODIFICATION (Organized by UCF section headings, including solicitation/contract subject matter where feasible.)																	
The purpose of this Amendment is to provide details for the scheduled site visit 10 January 2008 - 10:00 AM and incorporate Attachment J-C2. See Continuation Sheet																	
Except as provided herein, all terms and conditions of the document referenced in Item 9A or 10A, as heretofore changed, remains unchanged and in full force and effect.																	
15A. NAME AND TITLE OF SIGNER (Type or print)				16A. NAME AND TITLE OF CONTRACTING OFFICER (Type or print)													
15B. CONTRACTOR/OFFEROR		15C. DATE SIGNED		16B. UNITED STATES OF AMERICA		16C. DATE SIGNED											
(Signature of person authorized to sign)				(Signature of Contracting Officer)		1/3/2008											

STANDARD FORM 30 (REV. 11/2016)
Prescribed by GSA FAR (48 CFR) 53.243

INSTRUCTIONS (Back Page):

Instructions for items other than those that are self-explanatory, are as follows:

- (a) Item 1 (Contract ID Code). Insert the contract type identification code that appears in the title block of the contract being modified.
- (b) Item 3 (Effective date).
- (1) For a solicitation amendment, change order, or administrative change, the effective date shall be the issue date of the amendment, change order, or administrative change.
- (2) For a supplemental agreement, the effective date shall be the date agreed to by the contracting parties.
- (3) For a modification issued as an initial or confirming notice of termination for the convenience of the Government, the effective date and the modification number of the confirming notice shall be the same as the effective date and modification number of the initial notice.
- (4) For a modification converting a termination for default to a termination for the convenience of the Government, the effective date shall be the same as the effective date of the termination for default.
- (5) For a modification confirming the contracting officer's determination of the amount due in settlement of a contract termination, the effective date shall be the same as the effective date of the initial decision.
- (c) Item 6 (Issued By). Insert the name and address of the issuing office. If applicable, insert the appropriate issuing office code in the code block.
- (d) Item 8 (Name and Address of Contractor). For modifications to a contract or order, enter the contractor's name, address, and code as shown in the original contract or order, unless changed by this or a previous modification.
- (e) Items 9. (Amendment of Solicitation Number - Dated), and 10. (Modification of Contract/Order Number - Dated). Check the appropriate box and in the corresponding blanks insert the number and date of the original solicitation, contract, or order.
- (f) Item 12 (Accounting and Appropriation Data). When appropriate, indicate the impact of the modification on each affected accounting classification by inserting one of the following entries:
- (1) Accounting classification _____
Net increase \$ _____
- (2) Accounting classification _____
Net decrease \$ _____
- NOTE: If there are changes to multiple accounting classifications that cannot be placed in block 12, insert an asterisk and the words "See continuation sheet".
- (g) Item 13. Check the appropriate box to indicate the type of modification. Insert in the corresponding blank the authority under which the modification is issued. Check whether or not contractor must sign this document. (See FAR 43.103.)
- (h) Item 14 (Description of Amendment/Modification).
- (1) Organize amendments or modifications under the appropriate Uniform Contract Format (UCF) section headings from the applicable solicitation or contract. The UCF table of contents, however, shall not be set forth in this document.
- (2) Indicate the impact of the modification on the overall total contract price by inserting one of the following entries:
- (i) Total contract price increased by \$ _____
- (ii) Total contract price decreased by \$ _____
- (iii) Total contract price unchanged.
- (3) State reason for modification.
- (4) When removing, reinstating, or adding funds, identify the contract items and accounting classifications.
- (5) When the SF 30 is used to reflect a determination by the contracting officer of the amount due in settlement of a contract terminated for the convenience of the Government, the entry in Item 14 of the modification may be limited to --
- (i) A reference to the letter determination; and
- (ii) A statement of the net amount determined to be due in settlement of the contract.
- (6) Include subject matter or short title of solicitation/contract where feasible.
- (i) Item 16B. The contracting officer's signature is not required on solicitation amendments. The contracting officer's signature is normally affixed last on supplemental agreements.

STANDARD FORM 30 (REV. 11/2016) BACK

SECTION SF 30 BLOCK 14 CONTINUATION PAGE

SUMMARY OF CHANGES

SECTION L - INSTRUCTIONS, CONDITIONS AND NOTICES TO BIDDERS

The following have been added by full text:

SITE VISIT INFORMATION

A site visit has been scheduled for January 10, 2008 @ 10:00 A.M. The site visit will be followed by a brief pre-proposal conference. All contractors are strongly suggested to attend the site visit. Each contractor is allowed only two individuals for attendance. All attendees are required to meet at the Pentagon Metro entrance (outside) at least 15 minutes prior to the scheduled start of the site visit. Attendees shall submit company name, individuals name, a valid driver's license number including state of issue, and Social Security number in advance for access to the building unless they currently have a Pentagon access badge. Two forms of picture identification shall be required to be shown upon arrival. All required information will need to be forwarded to Mr. Tom Boardman at tom.boardman@whs.mil by 12:00 P.M. on 8 January 2008.

(End of Summary of Changes)

CHAPTER 4

AUTHORITY TO CONTRACT

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CHAPTER 4

AUTHORITY TO CONTRACT

I. INTRODUCTION

“The United States Government employs over 3 million civilian employees. Clearly, federal expenditures would be wholly uncontrollable if Government employees could, of their own volition, enter into contracts obligating the United States.” City of El Centro v. U.S., 922 F.2d 816, 820 (Fed. Cir. 1990).

II. OBJECTIVES

Following this block of instruction, readers should:

- A. Understand the elements of a contract and the different ways that a contract can be formed.
- B. Understand the constitutional, statutory, and regulatory bases that permit federal executive agencies to contract using appropriated funds (APFs).
- C. Understand how individuals acquire the power to contract on behalf of the government.
- D. Understand the different theories that bind the government in contract.
- E. Understand what constitutes an “unauthorized commitment” and be able to describe how, and by whom, unauthorized commitments may be ratified.

III. METHODS OF CONTRACT FORMATION

- A. FAR Definition of a Contract: A contract is a mutually binding legal relationship obligating the seller to furnish supplies or services (including construction) and the buyer to pay for them. It includes all types of commitments obligating the government to expend appropriated funds and, except as otherwise authorized, are in writing. In addition to bilateral instruments, contracts include (but are not limited to) awards and notices of awards; job orders or task letters issued under basic ordering agreements; letter contracts; orders, such as purchase orders, under which the contract becomes effective by written acceptance or performance; and

bilateral contract modifications. Contracts do not include grants and cooperative agreements covered by 31 U.S.C. § 6301, *et seq.* See FAR 2.101

B. Express Contract.

1. An express contract is a contract whose terms the parties have explicitly set out. BLACK'S LAW DICTIONARY (11th ed. 2019).
2. The required elements to form a government contract are:
 - a. mutual intent to contract (meeting of the minds);
 - b. offer and acceptance;
 - c. consideration; and
 - d. conduct by an officer having the actual authority to bind the government in contracts.

Allen Orchards v. United States, 749 F. 2d 1571, 1575 (Fed. Cir. 1984); OAQ Corp. v. United States, 17 Cl. Ct. 91 (1989); Nascent Group, J.V. v. United States, 103 Fed. Cl. 338 (2012).

3. Requirement for contract to be in writing. See FAR 2.101 definition of contract, supra.
 - a. Oral contracts are generally not enforceable against the government unless supported by documentary evidence. See 31 U.S.C. § 1501(a)(1) (an amount shall be recorded as an obligation of the United States Government only when supported by documentary evidence of a binding agreement between an agency and another person that is in writing, in a way and form, and for a purpose authorized by law).
 - b. The predecessor provision to 31 U.S.C. § 1501(a)(1) was construed as requiring a written contract to obtain court enforcement of an agreement. United States v. American Renaissance Lines, Inc., 494 F.2d 1059 (D.C. Cir. 1974), cert. denied, 419 U.S. 1020 (1974) (Government unable to obtain damages for an unperformed oral contract for carriage.)
 - c. The Court of Claims has held that failure to reduce a contract to writing under 31 U.S.C. 1501(a)(1) should not preclude recovery. Rather, a party can prevail if it introduces additional facts from

which a court can infer a meeting of the minds. Narva Harris Construction Corp. v. United States, 574 F.2d 508 (1978).

- d. The Ninth Circuit Court of Appeals has held that FAR 2.101 does not prevent a court from finding an implied-in-fact contract. PACORD, Inc. v. United States, 139 F.3d 1320, 1323 (9th Cir. 1998).
- e. The Armed Services Board of Contract Appeals (ASBCA) has followed the Narva Harris position. Various correspondence between parties can be sufficient “additional facts” and “totality of circumstances” to avoid the statutory prohibition in 31 U.S.C. § 1501(a)(1) against purely oral contracts. Essex Electro Engineers, Inc., ASBCA Nos. 30118, 30119, 88-1 BCA ¶ 20,440; Vec-Tor, Inc., ASBCA Nos. 25807 and 26128, 84-1 BCA ¶ 17,145.
- f. The ASBCA has found a binding oral contract existed where the Army placed an order against a GSA requirements contract. C-MOR Co., ASBCA Nos. 30479, 31789, 87-2 BCA ¶ 19,682 (however, the Army placed a written delivery order following a telephone conversation between the contract specialist and C-MOR). But see RMTC Sys., AGBCA No. 88-198-1, 91-2 BCA ¶ 23,873 (shipment in response to phone order by employee without contract authority did not create a contract).

C. Implied Contracts

1. Implied-in-Fact Contract.

- a. Where there is no written contract, contractors often attempt to recover by alleging the existence of a contract “implied-in-fact.”
- b. An implied-in-fact contract is “founded upon a meeting of the minds, which, although not embodied in an express contract, is inferred, as a fact, from conduct of the parties showing, in the light of the surrounding circumstances, their tacit understanding.” Baltimore & Ohio R.R. Co. v. United States, 261 U.S. 592, 597 (1923).
- c. The requirements for an implied-in-fact contract are the same as for an express contract; only the nature of the evidence differs. OAo Corp. v. United States, 17 Cl. Ct. 91 (1989) (finding implied-in-fact contract for start-up costs for AF early warning system). See, generally, Willard L. Boyd III, Implied-in-Fact Contract: Contractual Recovery against the Government without an Express Agreement, 21 Pub. Cont. L. J. 84-128 (Fall 1991).

2. Implied-in-Law Contract.

- a. An implied-in-law contract is not a true agreement to contract. It is a “fiction of law” where “a promise is imputed to perform a legal duty, as to repay money obtained by fraud or duress.” Baltimore & Ohio R.R. Co. v. United States, 261 U.S. 592, 597 (1923).
- b. When a contractor seeks recovery under an implied-in-law theory, the government should file a motion to dismiss for lack of jurisdiction. Neither the Contract Disputes Act (CDA) nor the Tucker Act grants jurisdiction to courts and boards to hear cases involving implied-in-law contracts. 41 U.S.C. §§ 601-613; 28 U.S.C. §§ 1346 and 1491. See Hercules, Inc. v. United States, 516 U.S. 417 (1996); Amplitronics, Inc., ASBCA No. 44119, 94-1 BCA ¶ 26,520

IV. AUTHORITY OF AGENCIES

- A. Constitutional. As a sovereign entity, the United States has inherent authority to contract in order to discharge governmental duties. United States v. Tingey, 30 U.S. (5 Pet.) 115 (1831). This authority to contract, however, is limited. Specifically, a government contract must:
 1. Not be prohibited by law; and
 2. Be an appropriate exercise of governmental powers and duties.
- B. Statutory. Congress has enacted various statutes regulating the acquisition of goods and services by the government. These include the:
 1. Federal Property and Administrative Services Act of 1949 (FPASA), 41 U.S.C. §§ 251-260. FPASA was repealed and now has provisions contained in Revised Titles, see 40 U.S.C.S. §§ 101-2, 111-13, 121-26, 301-4, 311-13, 321-23, 501-29, 541-59, 571-74, 581-93, 601-11, 701-5, 901-5, 1101-4; 41 U.S.C.S. §§ 102-3, 105-16, 151-53, 3101-6, 3301, 3303-11, 3501-8, 3701-8, 3901-3, 3905, 4101, 4103, 4105, 4106, 4301-10, 4501-6, 4709. The FPASA governs the acquisition of all property and services by all executive agencies except DoW, Coast Guard, NASA, and any agency specifically exempted by law.
 2. Office of Federal Procurement Policy Act (OFPPA), 41 U.S.C. § 401 et. seq. OFPPA was repealed and now has provisions contained in a Revised Title, see 41 U.S.C.S. §§ 102-5, 107-16, 131-34, 1101-2, 1121-22, 1124-27, 1130-31, 1301-4, 1311-12, 1501-6, 1701-3, 1705, 1707-12,

1901-3, 1905-8, 2101-7, 2301-2, 2305-10, 2312, 7105. This legislation applies to all executive branch agencies and created the Office of Federal Procurement Policy (OFPP) within the Office of Management and Budget. The Administrator of the OFPP is given responsibility to “provide overall direction of procurement policy and leadership in the development of procurement systems of the executive agencies.” 41 U.S.C. § 1121(a).

3. Competition in Contracting Act of 1984 (CICA), 10 U.S.C. § 2304.
 - a. CICA amended the ASPA and the FPASA to make them identical. Because of subsequent legislative action, they are now different in some significant respects.
 - b. CICA mandates full and open competition for many, but not all, purchases of goods and services.
4. The Federal Acquisition Streamlining Act of 1994 (FASA), Pub. L. No. 103-355, 108 Stat. 3243. FASA amended various sections of the statutes described above.
5. Clinger-Cohen Act, Pub. L. No. 104-106, Division E, § 5101, 110 Stat. 680 (1996) (previously known as the Information Technology Management Reform Act (ITMRA)). This statute governs the acquisition of information technology by federal agencies. It repealed the Brooks Automatic Data Processing Act, 40 U.S.C. § 759.
6. Annual DoW Authorization and Appropriation Acts.

C. Regulatory

1. Federal Acquisition Regulation (FAR), codified at 48 C.F.R. Chapter 1.
 - a. The FAR is the principal regulation governing federal executive agencies in the use of appropriated funds to acquire supplies and services. Under Executive Order 14275, the FAR underwent the most significant update to its federal purchasing rules in 40 years. The updates focus primarily on streamlining and modernizing federal acquisition.
 - b. The DoW, NASA, and the General Services Administration (GSA) issue the FAR jointly.
 - c. These agencies publish proposed, interim, and final changes to the FAR in the Federal Register (<https://www.federalregister.gov/>). They issue changes to the FAR in Federal Acquisition Circulars (FACs).

2. Agency regulations. The FAR system consists of the FAR and the agency regulations that implement or supplement it. The following regulations supplement the FAR. (The FAR and its supplements are available at <https://www.acquisition.gov/browse/index/far>).
 - a. Defense Federal Acquisition Regulation Supplement (DFARS), codified at 48 C.F.R. chapter 2. The Defense Acquisition Regulation (DAR) Council publishes DFARS changes/proposed changes in the Federal Register, and issues them as Defense Acquisition Circulars (DACs).
 - b. Army Federal Acquisition Regulation Supplement (AFARS).
 - c. Air Force Federal Acquisition Regulation Supplement (AFFARS).
 - d. Navy Marine Corps Acquisition Regulation Supplement (NMCARS).
 - e. The AFARS, AFFARS, and NMCARS are not codified in the C.F.R. The military departments do not publish changes to these regulations in the Federal Register but, instead, issue them pursuant to departmental procedures.
3. Major command and local command regulations.

V. AUTHORITY OF PERSONNEL

A. Contracting Authority

1. Agency Head

- a. The FAR vests contracting authority in the head of the agency. FAR RFO 1.401. Within DoW, the heads of the agencies are the Secretaries of Defense, the Army, the Navy, and the Air Force. DFARS 202.101.
- b. In turn, the head of the agency may establish subordinate contracting activities and delegate broad contracting authority to the heads of the subordinate activities. FAR RFO 1.406.
- c. For non-FAR-based agreements, those who seek to bind the government in contract must have been properly appointed by an agency head possessing authority, or their delegate. For example, Agreements Officers (AOs) using Other Transaction (OT) Authority under 10 U.S.C. § 4021. Some statutory authorities are

only available to certain agencies. *See, e.g.*, 15 U.S.C. § 3710a, Cooperative Research and Development Agreements (for federal labs). For more information on AOs and OTs, see Chapter 35, Other Transactions, and the DoD Other Transactions Guide (Jul. 2023).

2. Heads of Contracting Activities (HCAs)

- a. HCAs have overall responsibility for managing all contracting actions within their activities.
- b. There are over 60 DoW contracting activities, plus others who possess contracting authority delegated by the heads of the various defense agencies. Examples of DoW contracting activities include U.S. Army Intelligence and Security Command, Naval Air Systems Command, and Air Force Materiel Command. DFARS 202.101.
- c. HCAs are contracting officers by virtue of their position. See FAR RFO 1.401; FAR 2.101.
- d. HCAs may delegate some of their contracting authority to deputies.
 - (1) In the Army, HCAs appoint a Senior Contracting Official (SCO), formerly called a Principal Assistant Responsible for Contracting (PARC), as the senior staff official of the contracting function within the contracting activity. The SCO has direct access to the HCA and should be one organizational level above the contracting office(s) within the HCA's command. AFARS 5101.693.
 - (2) The Air Force and the Navy also permit delegation of contracting authority to certain deputies. AFFARS 5301.601; NMCARS 5201.601-90.

3. Contracting officers

- a. Agency heads or their designees select and appoint contracting officers. Appointments are made in writing using the SF 1402, Certificate of Appointment. Delegation of micro-purchase authority shall be in writing but need not be on a SF 1402. FAR RFO 1.403-2.
- b. Contracting officers may bind the government only to the extent of the authority delegated to them on the SF 1402. Information on a

contracting officer's authority shall be readily available to the public and agency personnel. FAR RFO 1.403.

4. Contracting Officer Representatives (COR).
 - a. Contracting officers may authorize selected individuals to perform specific technical or administrative functions relating to the contract. A COR may also be referred to as a Contracting Officer's Technical Representative (COTR) or Quality Assurance Representative (QAR).
 - b. Typical COR designations do not authorize CORs to take any action, such as modification of the contract that obligates the payment of money. See AFARS 5153.303-1, Sample COR designation.

B. Actual Authority

1. The government is bound only by government agents acting within the actual scope of their authority to contract. Federal Crop Ins. Corp. v. Merrill, 332 U.S. 380 (1947) (government agent lacked authority to bind government to wheat insurance contract not authorized under Wheat Crop Insurance Regulations); Hawkins & Powers Aviation, Inc. v. United States, 46 Fed. Cl. 238 (2000) (assistant director of Forest Service lacked authority to modify aircraft contract); Schism v. United States, 316 F.3d 1259 (Fed. Cir. 2002) (military recruiters lacked the authority to bind the government to promises of free lifetime medical care).
2. Actual authority can usually be determined by viewing a contracting officer's warrant or a COR's letter of appointment. See Farr Bros., Inc., ASBCA No. 42658, 92-2 BCA ¶ 24,991 (COR's authority to order suspension of work not specifically prohibited by appointment letter).
3. The acts of government agents which exceed their contracting authority do not bind the government. See HTC Indus., Inc., ASBCA No. 40562, 93-1 BCA ¶ 25,560 (contractor denied recovery although contracting officer's technical representative encouraged continued performance despite cost overrun on the cost plus fixed-fee contract); Johnson Management Group CFC v. Martinez, 308 F.3d. 1245 (Fed. Cir. 2002) (contracting officer was without authority to waive a government lien on equipment purchased with government funds).

C. Apparent Authority

1. Definition. Authority that a third party reasonably believes an agent has, based on the third party's dealings with the principal, even though the principal did not confer or intend to confer the authority. BLACK'S LAW DICTIONARY (11th ed. 2019).
2. The government is not bound by actions of one who has apparent authority to act for the government. Liberty Ammunition v. U.S., 835 F.3d 1388 (2014); Federal Crop Ins. Corp. v. Merrill, 332 U.S. 380 (1947); Sam Gray Enterprises, Inc. v. United States, 43 Fed. Cl. 596 (1999) (embassy *chargé d'affaires* lacked authority to bind government); Mark L. McAfee v. United States, 46 Fed. Cl. 428 (2000) (Assistant U.S. Attorney lacked authority to forgive plaintiff's farm loan in exchange for cooperation in foreclosure action); Austin v. United States, 51 Fed.Cl. 718 (2002) (employees of the U.S. Marshall Service possessed no authority to bind the government to pay informant in witness protection program a stipend or damages resulting from the informant's move).
3. In contrast, contractors are bound by apparent authority. American Anchor & Chain Corp. v. United States, 331 F.2d 860 (Ct. Cl. 1964) (government justified in assuming that contractor's plant manager acted with authority); *but see* Appeals of Seven Seas Shipchandlers, LLC, ASBCA Nos. 57875, 57876, 57877, 57878, 57879, 13-1 BCA ¶ 35,193 (where the Government did not follow its own payment processes, it could not show that it paid the contractor based on the theory that a non-employee of the contractor who collected payment had apparent authority).

VI. THEORIES THAT BIND THE GOVERNMENT

The following are often used in combination to support a contractor's claim of a binding contract action.

A. Implied authority

1. Use of this theory requires that the government employee have some actual authority.
2. Courts and boards may find implied authority to contract if the questionable acts, orders, or commitments of a government employee are an integral or inherent part of that person's assigned duties. *See* H. Landau & Co. v. United States, 886 F.2d 322, 324 (Fed. Cir. 1989); Confidential Informant v. United States, 46 Fed. Cl. 1 (2000) (even though FBI agents lacked actual authority to contract for rewards, government

may be liable under theory of “implied actual authority”); Sigma Constr. Co., ASBCA No. 37040, 91-2 BCA ¶ 23,926 (contract administrator at work site had implied authority to issue change orders issued under exigent circumstance [drying cement]); Switlik Parachute Co., ASBCA No. 17920, 74-2 BCA ¶ 10,970 (quality assurance representative had implied authority to order 100% testing of inflatable rafts).

3. Contracting authority is integral to an employee’s duties when:
 - a. The employee cannot perform his assigned tasks without such authority, and
 - b. The relevant agency’s regulations do not grant the authority to other agency employees. SGS-92-X003 v. United States, 74 Fed. Cl. 637 (2006).
4. However, contract changes cannot be an “integral part” of an employee’s duties if the contract explicitly reserves or prohibits that authority. Winter v. Cath-dr/Balti Joint Venture, 497 F.3d 1339 (Fed. Cir. 2007) (despite his assigned responsibilities and the Navy’s indications that he had authority to make contract changes, Program Manager did not have express or implied authority where the contract’s clauses explicitly granted to the contracting officer the exclusive authority to modify the contract); Aero-Abre, Inc., v. United States, 39 Fed. Cl. 654 (1997) (no implied actual authority where a regulation, contract, or letter expressly prohibits an employee from possessing actual authority).

B. Ratification.

1. Formal or Express. FAR RFO 1.405 provides the contracting officer with authority to ratify certain unauthorized commitments. See section VII, *infra*. Henke v. United States, 43 Fed. Cl. 15 (1999); Khairallah v. United States, 43 Fed. Cl. 57 (1999) (no ratification of unauthorized commitments by DEA agents); Strickland v. U.S., 382 F. Supp. 2d 1334 (2005) (official had no authority, and no evidence presented of ratification).
2. Implied (adoption). A court or board may find ratification by implication where a contracting officer has actual or constructive knowledge of the unauthorized commitment and adopts the act as his own. The contracting officer’s failure to process a claim under the procedures of FAR 1.602-3 does not preclude ratification by implication. Reliable Disposal Co., ASBCA No. 40100, 91-2 BCA ¶ 23,895 (KO ratified unauthorized commitment by requesting payment of the contractor’s invoice); Tripod, Inc., ASBCA No. 25104, 89-1 BCA ¶ 21,305 (KO’s knowledge of contractor’s complaints and review of inspection reports evidenced

implicit ratification); Digicon Corp. v. United States, 56 Fed. Cl. 425 (2003) (COFC found “institutional ratification” where Air Force issued task orders and accepted products and services from appellant over a sixteen month period).

C. Imputed Knowledge.

1. This theory is sometimes used when the contractor fails to meet the contractual obligation to give written notice to the contracting officer of, for example, a differing site condition. Williams v. United States, 127 F. Supp. 617 (Ct. Cl. 1955) (contracting officer deemed to have knowledge of road paving agreement on Air Force base).
2. When the relationship between two persons creates a presumption that one would have informed the contracting officer of certain events, the boards may impute the knowledge of the person making the unauthorized commitment to the contracting officer. Sociometrics, Inc., ASBCA No. 51620, 00-1 BCA ¶ 30,620 (“While the [contract] option was not formally exercised, the parties conducted themselves as if it was”); Leiden Corp., ASBCA No. 26136, 83-2 BCA ¶ 16,612 (“It would be inane indeed to suppose that [the government inspector] was at the site for no purpose”).

D. Equitable Estoppel

1. A contractor’s reasonable, detrimental reliance on statements, actions, or inactions by a government employee may estop the government from denying liability for the actions of that employee. Lockheed Shipbldg. & Constr. Co., ASBCA No. 18460, 75-1 BCA ¶ 11,246 (government estopped by Dep. Secretary of Defense’s consent to settlement agreement).
2. To prove estoppel in a government contract case, the party must establish:
 - a. Knowledge of the facts by the party to be estopped;
 - b. Intent, by the estopped party, that his conduct shall be acted upon, or actions such that the party asserting estoppel has a right to believe it is so intended;
 - c. Ignorance of the true facts by the party asserting estoppel; and
 - d. Detrimental reliance. Emeco Industries, Inc. v. United States, 485 F.2d 652, at 657 (Ct. Cl. 1973).
3. If asserted against the government, appellant must demonstrate government affirmative misconduct as a prerequisite for invoking

equitable estoppel. Zacharin v. United States, (213 F.3d 1366) (Fed. Cir. 2001); Rumsfeld v. United Technologies Corp., 315 F. 3d 1361 (Fed. Cir. 2003); Lua v. U.S., 843 F.3d 950 (2016); Appeal of SplashNote Systems, Inc., 12-1 BCA ¶ 34,899, Nov. 29, 2011; and Appeal of F Unitech Services Group, Inc., 16 ASBCA No. 56482, May 22, 2012.

4. However, see Mabus v. General Dynamics C4 Systems, Inc., 633 F.3d 1356 (Fed. Cir. Feb. 4, 2011), which, citing A.C. Aukerman Co. v. R.L. Chaides Construction Co., 960 F.2d 1020 (Fed. Cir. 1992), replaced the four-part estoppel test with a three-part test requiring proof of:
 - a. Misleading conduct, which may include not only statements and actions but silence and inaction, leading another to reasonably infer that rights will not be asserted against it;
 - b. Reliance upon this conduct; and
 - c. Due to this reliance, material prejudice if the delayed assertion of such rights is permitted.

VII. UNAUTHORIZED COMMITMENTS

- A. Definition. An unauthorized commitment is an agreement that is nonbinding solely because the government representative who made it lacked the authority to enter into that agreement. FAR RFO 1.405.
- B. Ratification.
 1. Ratification is the act of approving an unauthorized commitment, by an official who has the authority to do so, for the purpose of paying for supplies or services provided to the government as a result of an unauthorized commitment. FAR RFO 1.405.
 2. The government may ratify unauthorized commitments if:
 - a. The government has received and accepted supplies or services, or the government has obtained or will obtain a benefit from the contractor's performance of an unauthorized commitment.
 - b. At the time the unauthorized commitment occurred, the ratifying official could have entered into or could have granted authority to another to enter into, a contractual commitment which the official still has authority to exercise.

- c. The resulting contract otherwise would have been proper if made by an appropriate contracting officer.
 - d. The price is fair and reasonable.
 - e. The contracting officer recommends payment and legal counsel concurs, unless agency procedures expressly do not require such concurrence.
 - f. Funds are available and were available when the unauthorized commitment occurred.
 - g. Ratification is within limitations prescribed by the agency.
 - 3. Army HCAs may delegate the authority to approve ratification actions, without the authority to redelegate, to the following individuals.
 - a. SCO/PARC (for amounts of \$100,000 or less) (AFARS 5101.602-3(b)(3), see exceptions in Appendix GG); and
 - b. Chiefs of Contracting Offices (for amounts of \$10,000 or less) (AFARS 5101.602-3(b)(3), see exceptions in Appendix GG).
 - 4. The Air Force and the Navy also permit ratification of unauthorized commitments, but their limitations are different than those of the Army. See AFFARS 5301.602-3; NMCARS 5201.602-3.
- C. Alternatives to Ratification. If the agency refuses to ratify an unauthorized commitment, a binding contract does not arise. A contractor can pursue one of the following options:
- 1. Requests for extraordinary contractual relief.
 - a. Contractors may request extraordinary contractual relief in the interest of national defense. FAR Part 50.
 - b. FAR 50.103-2(c) authorizes, under certain circumstances, informal commitments to be formalized for payment where, for example, the contractor, in good faith reliance on a government employee's apparent authority, furnishes supplies or services to the agency. Radio Corporation of America, ACAB No. 1224, 4 ECR ¶ 28 (1982) (contractor granted \$648,747 in relief for providing, under an informal commitment with the Army, maintenance, repair, and support services for electronic weapon system test stations).

- c. Operational urgency may be grounds for formalization of informal commitments under P.L. 85-804. Vec-Tor, Inc., ASBCA Nos. 25807, 26128, 85-1 BCA ¶ 17,755.

2. Doubtful Claims

- a. Prior to 1995-1996, the Comptroller General had authority under 31 U.S.C. § 3702 to authorize reimbursement on a quantum meruit or quantum valebant basis to a firm that performed work for the government without a valid written contract.
- b. Under quantum meruit, the government pays the reasonable value of services it actually received on an implied, quasi-contractual basis. Maintenance Svc. & Sales Corp., B-242019, 70 Comp. Gen. 664 (1991).
- c. The GAO used the following criteria to determine justification for payment:
 - (1) The goods or services for which the payment is sought would have been a permissible procurement had proper procedures been followed;
 - (2) The government received and accepted a benefit;
 - (3) The firm acted in good faith; and
 - (4) The amount to be paid did not exceed the reasonable value of the benefit received. Maintenance Svc. & Sales Corp., B-242019, 70 Comp. Gen. 664, *6 (1991).
- d. Congress transferred the claims settlement functions of the GAO to the Office of Management and Budget, which further delegated the authority. See The Legislative Branch Appropriations Act, 1996, Pub. L. 104-53, 109 Stat. 514, 535 (1995); 31 U.S.C. 3702.
- e. The Claims Division at the Defense Office of Hearings and Appeals (DOHA) settles claims under 31 U.S.C. 3702 for the Department of Defense.

- 3. Contract Disputes Act (CDA) claims. If the contractor believes it can meet its burden in proving an implied-in-fact contract, it can appeal a contracting officer's final decision to the United States Court of Federal Claims or the cognizant board of contract appeals. 41 U.S.C. §§ 7101-7109; FAR Subpart 33.2.

VIII. CONCLUSION

Contract authority is a foundational element of the government acquisitions process. Contract Attorneys should be prepared to educate and train members of their organization on the importance of ensuring that all commitments on behalf of the government originate from an individual who has appropriate authority and comply with all regulatory requirements.

CHAPTER 5

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CHAPTER 5

FUNDING AND FUND LIMITATIONS

I. INTRODUCTION

- A. Source of Funding and Fund Limitations. The U.S. Constitution gives Congress the authority to raise revenue, borrow funds, and appropriate the proceeds for federal agencies. This Constitutional “power of the purse” includes the power to establish restrictions and conditions on the use of funds appropriated by Congress. Congress has also enacted additional fiscal controls through statute.
 - 1. U.S. Constitution, Art. I, § 8, grants to Congress the power to “lay and collect Taxes, Duties, Imposts and Excises, to pay the Debts and provide for the common Defence and general Welfare of the United States . . .”
 - 2. U.S. Constitution, Art. I, § 9, provides that “No Money shall be drawn from the Treasury, but in Consequence of Appropriations made by Law. . .”
 - 3. The “Purpose Statute,” 31 U.S.C. § 1301. The Purpose Statute provides that agencies shall apply appropriations only to the objects for which the appropriations were made, except as otherwise provided by law.
 - 4. The Antideficiency Act (ADA), 31 U.S.C. §§ 1341, 1342, 1350, 1351, and 1511-1519, consists of several statutes that authorize administrative and criminal sanctions for the unlawful obligation and expenditure of appropriated funds.
 - 5. Congress and the Department of Defense (DoD) have agreed informally to additional restrictions. The DoD refrains from taking certain actions without first giving prior notice to, and receiving consent from, Congress. These restraints are embodied in regulation, normally the DoD FMR.
- B. The Basic Fiscal Limitations.
 - 1. An agency may obligate and expend appropriations only for a proper **purpose**;
 - 2. An agency may obligate only within the **time** limits applicable to the appropriation (e.g., Operation & Maintenance funds are available for obligation for one fiscal year); and
 - 3. An agency may not obligate more than the **amount** appropriated by Congress and formally distributed to or by the agency.
- C. The Supreme Court’s Fiscal Law Philosophy: “The established rule is that the expenditure of public funds is proper only when authorized by Congress, not that

public funds may be expended unless prohibited by Congress.” *United States v. MacCollom*, 426 U.S. 317 (1976).

II. KEY TERMINOLOGY

- A. Fiscal Year (FY). Generally, a fiscal year is any yearly accounting period. The federal government’s fiscal year begins on 1 October and ends on 30 September.
- B. Obligation. An obligation is any act that legally binds the government to make payment. Obligations are amounts representing orders placed, contracts awarded, services received, and similar transactions during an accounting period that will require payment during the same or a future period. This includes payments for which obligations previously have not been recorded and adjustments for differences between obligations previously recorded and actual payments to liquidate (i.e., pay) those obligations. The amount of obligations incurred is segregated into undelivered orders paid, unpaid, or advanced, and accrued expenditures unpaid or paid. For purposes of matching a disbursement to its proper obligation, the term obligation refers to each separate obligation amount identified by a separate line of accounting. For definitions of obligation see: DoD DoD 7000.14-R, Financial Management Regulation (DoD FMR), Glossary, pg. G-24 (January 2024); DOD FMR, vol. 3, ch. 8, para. 3.1 (August 2023); [Glossary of Terms Used in the Federal Budget](#), GAO-05-734SP (Sep. 2005)
- C. Period of Availability. Most appropriations are available for obligation for a limited period of time. The Period of Availability is this limited period of time in which budget authority is available for original obligation. Funds that are not legally obligated before their period of availability expires are no longer available for new obligations. **The period of availability applies to the obligation of funds, not the liquidation of the obligation by disbursement of payment.** DoD FMR, Glossary, pg. G-26 (January 2024); DOD FMR, vol. 3, ch. 8, para. 3.1 (August 2023); [GAO Principles of Federal Appropriations Law](#) (also known as The GAO Red Book), 4th ed., Ch. 2, pg. 2-66.
- D. Budget Authority. Budget authority means “the authority provided by Federal law to incur financial obligations . . .” 2 U.S.C. § 622(2). It is the authority provided by law to enter into obligations that will result in immediate or future outlays involving federal government funds. The basic forms of budget authority are appropriations authority to spend, borrow, and contract. DoD FMR, Glossary, pg. G-7 (January 2024).
- E. Contract Authority. Contract Authority is a statutory authority to incur obligations but with liquidation of obligations dependent upon future actions of the Congress. This authority permits agencies to obligate funds in advance of appropriations, but not to pay or disburse those funds absent some additional appropriations authority. DoD FMR, Glossary, p. G-11 (January 2024); DoD FMR, vol. 3, ch. 19, para. 2.5.4. (Aug. 2015). *See, e.g.,* 41 U.S.C. § 11 (Feed and Forage Act).

- F. Authorization Act. An authorization act (called authorizing legislation in the GAO budget glossary) is a statute, typically passed annually by Congress, that authorizes the appropriation of funds for programs and activities. An authorization act *does not* provide budget authority. That authority stems from the appropriations act. Authorization acts frequently contain restrictions or limitations on the obligation of appropriated funds. [*A Glossary of Terms Used in the Federal Budget*](#), GAO-05-734SP (Sep. 2005); The GAO Red Book, 4th ed., Ch. 2, pgs, 2-54 - 2-56.
- G. Appropriations Act. An appropriation is a statutory authorization to “incur obligations and make payments out of the U.S. Treasury for specified purposes.” An appropriations act is the most common form of budget authority. [*A Glossary of Terms Used in the Federal Budget*](#), GAO-05-734SP (Sep. 2005).
1. The Army receives the bulk of its funds from two annual Appropriations Acts: (1) the Department of Defense Appropriations Act; and (2) the Military Construction Appropriations Act. The DoD appropriations may be included in a consolidated appropriation act, as it was in FY23 and FY24; *See Consolidated Appropriations Act, 2023*, Pub. L. No. 117-328; *Further Consolidated Appropriations Act, 2024*, Pub. L. No. 118-47.
 2. The making of an appropriation must be stated expressly. An appropriation may not be inferred or made by implication. The GAO Red Book, 4th ed., Ch. 2, p. 2-23.
- H. Comptroller General and Government Accountability Office (GAO).

The Comptroller General of the United States heads the GAO, an investigative arm of Congress charged with examining all matters relating to the receipt and disbursement of public funds. *See* <http://www.gao.gov/about/index.html> The GAO was established by the Budget and Accounting Act of 1921 (31 U.S.C. § 702) to audit government agencies. The GAO issues opinions and reports to federal agencies concerning the propriety of appropriated fund obligations or expenditures. Comptroller General decisions and opinions are identified by a B-number and date (e.g., [B-324214, January 27, 2014](#)). Some decisions predating 1995 were published in *Decisions of the Comptroller General of the United States*. Those decisions have B-numbers but are generally identified by volume, page number, and the year the decision was issued (e.g., [73 Comp. Gen. 77 \(1994\)](#)).

- I. Accounting Classifications. Accounting classifications are codes used to manage appropriations. They are used to implement the administrative fund control system and to ensure that funds are used correctly. An accounting classification is commonly referred to as a **fund cite**. DFAS-IN Manual 37-100-XX, [*The Army Mgmt. Structure*](#), provides a detailed breakdown of Army accounting classifications. Practitioners may encounter two types of fund cites/lines of accounting. There are legacy fund cites, and the current General Fund Enterprise

Business System (GFEBS) fund cites. The following is an example of a legacy fund cite:

21 1 2020 6H-6H03 131034.W0 21T2 QDOC F3173 GRE12340109003 AMPK W6QL1A S44008
--

DATA ELEMENT	CODE	EXPLANATION OF CODE	REFERENCE
Treasury Symbol:			
Department Code	21	Department of Army	Chapter 21-DPT
Period of Availability (FY)	1	Fiscal Year 2011	Chapter 22-FY
Basic Symbol	2020	Operations and Maintenance, Army	Chapter 23-BS
Operating Agency	6H	Army Contracting Command	Chapter 26-OA
Allotment Serial Number	6H03	Locally Assigned	Chapter 27-ASN
AMSCO/Project Account	131034.W0	Command Support, Contracting Operations	Chapter A9-BSSPT
Element of Resource	21T2	Other TDY Charges	Chapter 2B-EOR(nonPay)
MDEP/SODP	QDOC	Directorate of Contracting/Contracting Division	Chapter 2C-MDEP2
Functional Cost Account	F3173	Typhoon Megi Response (Direct Cost)	Chapter 2D-FCA
Standard Document Number	GRE12340109003	Locally Assigned	Chapter 2F-SDN
Account Processing Code (APC) and DPI or Job Order Number	AMPK	Locally Assigned	Chapter 2G-APC
Unit Identification Code	W6QL1A		Chapter 2H-UIC
Fiscal Station Number	S44008	DFAS Rome (DAO Ft Belvoir)	Chapter 2J-FSN

1. The first two digits represent the military department. For example, “21” denotes the Department of the Army. For the Air Force, these two digits will be 57; for the Navy, 17; and for the Department of Defense, 97.
2. The third digit shows the fiscal year/period of availability of the appropriation. The “1” in the example shown indicates FY 2021 funds (but could also indicate 2011 funds). Other fiscal year designators encountered less frequently include:
 - a. Third Digit = X = No year appropriation. This appropriation is available for obligation indefinitely.
 - b. Third Digit = “8/1” = Multi-year appropriation (in this case of “8/1”, a 3 year appropriation, appropriated in FY 2018 and remaining available through FY 2021.
3. The next four digits reveal the type of the appropriation. The following designators are used within DoD fund citations:

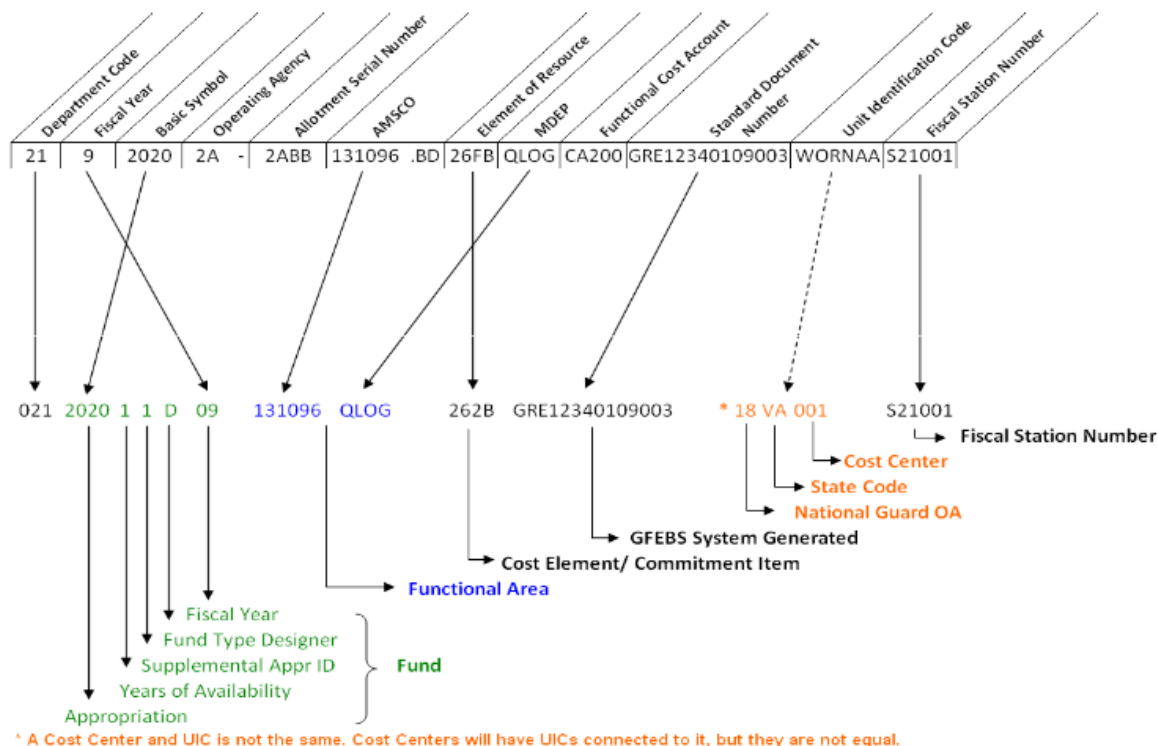
Appropriation Type	Army	Navy	Marine Corps	Air Force	OSD
Military Personnel	21*2010	17*1453	17*1105	57*3500	N/A
Reserve Personnel	21*2070	17*1405	17*1108	57*3700	N/A
National Guard Personnel	21*2060	N/A	N/A	57*3850	N/A
Operations & Maintenance	21*2020	17*1804	17*1106	57*3400	97*0100
Operations & Maintenance, Reserve	21*2080	17*1806	17*1107	57*3740	N/A
Operations & Maintenance, National Guard	21*2065	N/A	N/A	57*3840	N/A
Procurement, Aircraft	21*2031	17*1506		57*3010	N/A
Procurement, Missiles	21*2032	17*1507 (not separate – the combined appropriation is entitled Weapons Procurement)	17*1109	57*3020	N/A
Procurement, Weapons & Tracked Vehicles	21*2033			N/A	N/A
Procurement, Other	21*2035			17*1810	57*3080
Procurement, Ammunition	21*2034	17*1508		57*3011	N/A
Shipbuilding & Conversion	N/A	17*1611		N/A	N/A
Res., Develop., Test, & Eval.7	21*2040	17*1319		57*3600	97*0400
Military Construction	21*2050	17*1205		57*3300	97*0500
Family Housing Construction	21*0702	17*0703		57*0704	97*0706
Reserve Construction	21*2086	17*1235		57*3730	N/A
National Guard Construction	21*2085	N/A	N/A	57*3830	N/A

* The asterisk in the third digit is replaced with the last number in the relevant fiscal year. For example, Operations & Maintenance, Army funds for FY2020 would be depicted as 2102020.

**A listing of these and other fund account symbols and titles assigned by the Department of the Treasury are contained in *Federal Account Symbols and Titles: The FAST Book*, which is a supplement of the Treasury Financial Manual. The FAST Book is available online at <https://fiscal.treasury.gov/reference-guidance/fast-book/>

General Fund Enterprise Business System (GFEBS). The Army transitioned to GFEBS, which modifies the way information is captured, summarized, reviewed and presented. Among the changes is a new line of accounting (LOA) format. Information on the new GFEBS LOA format

can be found in the [FY2022 Army Management Structure](#) (formerly the Army Funds Management Data Reference Guide). Below is a comparison of the new LOA with the legacy LOA.



III. AVAILABILITY AS TO PURPOSE

- A. The “Purpose Statute” requires agencies to apply appropriations only to the objects for which the appropriations were made, except as otherwise provided by law. 31 U.S.C. § 1301(a).
 1. The Purpose Statute does not require Congress to specify every item of expenditure in an appropriation act (although Congress does specify many expenditures that agencies must make). Rather, agencies have reasonable discretion to determine how to accomplish the purpose of an appropriation. Internal Revenue Serv. Fed. Credit Union—Provision of Automatic Teller Mach., B-226065, 66 Comp. Gen. 356 (1987).
 2. An appropriation for a *specific purpose* is available to pay expenses *necessarily incident* to accomplishing that purpose. Secretary of State, B-150074, 42 Comp. Gen. 226, 228 (1962); Major General Anton Stephan, A-17673, 6 Comp. Gen. 619 (1927).
- B. The “Necessary Expense” Doctrine (the 3-part test for a proper purpose). Where a particular expenditure is not specifically provided for in the appropriation act, the GAO applies a three-part test to determine whether an expenditure is a “necessary expense” of a particular appropriation. An appropriation is available

for a particular purpose if the obligation or expenditure (1) bears a logical relationship to the appropriation charged, (2) is not otherwise prohibited by law, and (3) is not otherwise provided for.

1. The expenditure must bear a **logical relationship** to the appropriation sought to be charged. In other words, it must make a **direct contribution** to carry out either a specific appropriation or an authorized agency function for which more general appropriations are available.
2. The expenditure must **not be prohibited by law**.
3. The expenditure must **not be otherwise provided for**; that is, it must not be an item that falls within the scope of some other appropriation or statutory funding scheme.

The GAO Red Book, 4th ed, ch. 3, 3-14 – 3-23. *See also* U.S. Consumer Prod. Safety Comm'n-Use of Am. Rescue Plan Act Appropriation for Activities of the Inspector Gen., B-334321 (Feb. 8, 2023)

C. Application of the Necessary Expense Test.

1. The first prong of the “necessary expense” test has been articulated in some other, slightly different ways as well. *See e.g.*, Internal Revenue Serv. Fed. Credit Union—Provision of Automatic Teller Machine, B-226065, 66 Comp. Gen. 356, 359 (1987) (“an expenditure is permissible if it is *reasonably necessary in carrying out an authorized function* or will *contribute materially to the effective accomplishment of that function*”); Army—Availability of Army Procurement Appropriation for Logistical Support Contractors, B-303170, 2005 U.S. Comp. Gen. LEXIS 71 (Apr. 22, 2005) (“the expenditure must be reasonably related to the purposes that Congress intended the appropriation to fulfill”). However, the basic concept has remained the same: the important thing is the relationship between the expenditure to the appropriation sought to be charged.
2. The concept of “necessary expense” is relative, and necessary expense determinations are fact/agency/purpose/appropriation specific. *See* Federal Executive Board – Appropriations – Employee Tax Returns – Electronic Filing, B-259947, Nov. 28, 1995, 96-1 CPD ¶ 129; Use of Appropriated Funds for an Employee Electronic Tax Return Program, B-239510, 71 Comp. Gen. 28 (1991).
3. A necessary expense does not have to be the only way, or even the best way, to accomplish the object of an appropriation. Secretary of the Interior, B-123514, 34 Comp. Gen. 599 (1955). However, a necessary expense must be more than merely desirable. Utility Costs under Work-at-Home Programs, B-225159, 68 Comp. Gen. 505 (1989).

4. Agencies have reasonable discretion to determine how to accomplish the purposes of appropriations. See Customs and Border Protection—Relocation Expenses, B-306748, 2006 U.S. Comp. Gen. LEXIS 134 (July 6, 2006). An agency’s determination that a given item is reasonably necessary to accomplishing an authorized purpose is given considerable deference. In reviewing an expenditure, the GAO looks at “whether the expenditure falls within the agency’s legitimate range of discretion, or whether its relationship to an authorized purpose is so attenuated as to take it beyond that range.” See Implementation of Army Safety Program, B-223608 1988 U.S. Comp. Gen. LEXIS 1582 (Dec. 19, 1988). See also Dep’t of the Interior-Obligation of Amounts for the 2019 Fourth of July Events on the Nat’l Mall, B-332322 (Oct. 19, 2021).

D. Determining the Purpose of a Specific Appropriation.

1. Appropriations Acts.

- a. An appropriation is a statutory authorization to incur obligations and make payments out of the Treasury for specified purposes.¹ Aside from any emergency supplemental appropriations, Congress generally enacts twelve appropriations acts annually, two of which are devoted specifically to DoD: The Department of Defense Appropriations Act (DODAA), and the Military Construction Appropriations Act.² Within these two acts, the DoD has nearly 100 separate appropriations available to for different purposes.
- b. Appropriations may be differentiated by military service (e.g., Army, Navy), by component within a service (e.g., Active Army and Army Reserve), and/or for different purposes (e.g., Procurement, Research and Development, etc.).
- c. The major DoD appropriations provided in the annual Appropriations Act are:
 - (1) Operation & Maintenance (O&M) – used for the day-to-day expenses of training exercises, deployments, operating and maintaining installations, etc.;

¹ See “A Glossary of Terms Used in the Federal Budget Process”, pp.13-14, GAO-05-734SP (September 2005).

² As of late, Congress has relied upon Omnibus, Continuing Resolutions, or Consolidated Appropriations Acts. *See e.g.*, Further Consolidated Appropriations Act, 2024, Pub. L. No. 118-47 (2024 Further CAA); Consolidated Appropriations Act, 2022, Pub. L. No. 117-103 (sometimes “2022 CAA” or “FY22 Appropriations Act”); Consolidated Appropriations Act, 2020, Pub. L. 116-93,; Department of Defense and Labor, Health and Human Services, and Education Appropriations Act, 2019, Pub. L. 115-245 (hereinafter, “FY19 Appropriations Act”); Consolidated Appropriations Act, 2018, Pub. L. 115-141, 132 Stat. 348 (hereinafter, “FY18 Appropriations Act”).

- (2) Personnel – used for pay and allowances of uniformed personnel, permanent change of station travel, etc.;
 - (3) Research, Development, Test and Evaluation (RDT&E) – used for expenses necessary for basic and applied scientific research, development, test, and evaluation, including maintenance and operation of facilities and equipment;
 - (4) Procurement (various) – used for production and modification of aircraft, missiles, weapons, tracked vehicles, ammunition, shipbuilding and conversion, and “other procurement.”
- d. By regulation, the DoD has assigned many types of expenditures to a specific appropriation. *See* DFAS-IN Manual 37-100-XX. The manual is reissued every FY. [XX = appropriate FY].
 - e. The text of appropriations acts may be found at www.congress.gov.

2. Authorization Act.

- a. Annual authorization acts generally precede DoD’s appropriations acts. There is no general requirement – other than House and Senate internal rules – to have an authorization in order for an appropriation to occur. By statute, Congress has created certain situations in which it *must* pass an authorization as well as an appropriation. For example, 10 U.S.C. § 114(a) states that “No funds may be appropriated for any fiscal year” for certain purposes, including procurement, military construction, and RDT&E “unless funds therefore have been specifically authorized by law.” However, there are no practical consequences if Congress appropriates funds without an authorization, as such a statute is “essentially a congressional mandate to itself.” The GAO Red Book, vol. I (4th ed.) p. 2-56, GAO-16-464SP (March 10, 2016).
- b. The authorization act may clarify the intended purpose of a specific appropriation, or contain restrictions on using appropriated funds. **An authorization act does not provide budget authority.** (Budget authority is the authority to obligate money and disburse funds from the treasury.) Only an appropriations act provides budget authority.

3. Organic Legislation. Organic legislation is legislation that creates a new agency or establishes a program or function within an existing agency. The GAO Red Book, ch. 2, 2-54, GAO-16-463SP (4th ed. 2016). While organic legislation provides the agency with authority to conduct a program, function,

or mission and to utilize appropriated funds to do so, it rarely provides any money for the agency, program, or activity it establishes.

4. **Miscellaneous Statutory Provisions.** Congress often enacts statutes that expressly allow, prohibit, or place restrictions upon the usage of appropriated funds. For example, 10 U.S.C. § 2491a *prohibits* DoD from using its appropriated funds to operate or maintain a golf course except in foreign countries or isolated installations within the United States. As another example, 10 U.S.C. § 2261 *allows* DoD to use its appropriated funds “to procure recognition items of nominal or modest value for the recruitment or retention purposes.”
5. **Legislative History.** Legislative history is any Congressionally-generated document related to a bill, from the time the bill is introduced to the time it is passed. This includes the text of the bill itself, conference and committee reports, floor debates, and hearings.
 - a. Legislative history may be useful for resolving ambiguities or confirming the intent of Congress. However, Congress's “authoritative statement is the statutory text, not the legislative history.” Exxon Mobil Corp. v. Allapattah Services, Inc., 545 U.S. 546, 568 (2005).
 - b. If the underlying statute clearly conveys Congress’s intent, however, agencies will not be further restricted by what is included in legislative history. Intertribal Bison Cooperative, B-288658, 2001 U.S. Comp. Gen. LEXIS 174 (Nov. 30, 2001); ANGUS Chem. Co., B-227033, Aug. 4, 1987, 87-2 CPD ¶ 127 (stating “there is a distinction to be made between utilizing legislative history for the purpose of illuminating the intent underlying language used in a statute and resorting to that history for the purpose of writing into law that which is not there”); Navy – Re-enlistment Gifts, 2006 U.S. Comp. Gen. LEXIS 165 (use of legislative history to “illuminate intent,” as opposed to “writing into the law that which is not there.”); SeaBeam Instruments, Inc., B-247853.2, July 20, 1992, 92-2 CPD ¶ 30 (indicating if Congress provides a lump sum appropriation without statutorily restricting what can be done with the funds, a clear inference is that it did not intend to impose legally binding restrictions); LTV Aerospace Corp., B-183851, Oct. 1, 1975, 55 Comp. Gen. 307, 75-2 CPD ¶ 203 (indicating the Navy was not bound by a provision within the conference report accompanying the 1975 Defense Appropriations Act stipulating that adaptation of the Air Force’s F-16 to enable it to be capable of carrier operations was the prerequisite for the Navy’s use of \$20 million in funds provided for a Navy fighter). *See also* Arlington Central School District Board of Education v. Murphy, 548 U.S. 291 (2006) (rejecting

claims for expert fees that were based solely on legislative history and not mentioned in the statute under which the claims were brought).

- c. Legislative history also may not support an otherwise improper expenditure. Alberto Mora, Gen. Counsel, U.S. Info. Agency, B-248284.2, Sept. 1, 1992, 1992 U.S. Comp. Gen. LEXIS 1104 (agency violated the purpose statute when it utilized construction funds to host an overseas exhibit that should have been funded with salaries and expenses funds where the agency had only received informal written approval from the Chairmen of the House and Senate Subcommittees to reprogram the construction funds into salaries and expenses funds).

6. Budget Request Documentation.

- a. Agencies are required to justify their budget requests. Volumes 2A and 2B of the DoD FMR provide guidance on the documentation that must be generated to support defense budget requests. These documents are typically referred to as Justification Books, with a book generated for each appropriation.
- b. These justification documents contain a description of the proposed purpose for the requested appropriations. An agency may reasonably assume appropriations are available for the specific purposes requested, unless otherwise prohibited.
- c. Agencies generally place their past and current year budget submissions on the web. The Defense-wide budget materials can be found at <https://comptroller.war.gov/Budget-Materials/>. The Army's budget materials can be found at <https://www.asafm.army.mil/Budget-Materials/>

7. Agency Regulations.

- a. When Congress enacts organic legislation, it rarely prescribes exactly how the agency is to carry out that new mission. Instead, Congress leaves it up to the agency to implement the authority in agency-level regulations.
- b. If the agency, in creating a regulation, interprets its own organic statute(s), that interpretation is granted a great deal of deference. Thus, if an agency regulation determines appropriated funds may be used for a particular purpose, that agency-level determination will normally not be overturned unless it is clearly erroneous. Intertribal Bison Cooperative, B-288658, 2001 U.S. Comp. Gen. LEXIS 174 (Nov. 30, 2001).

- c. Agency-level regulations may also place restrictions on the use of appropriated funds. For example, although the GAO sanctioned the use of appropriated funds to purchase commercially-produced business cards for agency employees, the military departments have nonetheless implemented policies that permit only certain categories of persons (for example, recruiters and criminal investigators) to purchase them. Everyone else must produce their business cards in-house, using their own card stock and printers.

8. “Case Law.”

- a. Comptroller General opinions (not “cases”) are a valuable source of guidance as to the propriety of appropriated fund obligations or expenditures for particular purposes. While not technically binding on the Executive Branch, these opinions are generally impartial, respected, and reliable. Opinions are available at <https://www.gao.gov/legal/appropriations-law-decisions/search>.
- b. U.S. Department of Justice OLC opinions, which are binding on the executive branch, are available at <https://www.justice.gov/olc/opinions>

E. Election Doctrine. What if you have two equally available appropriations to fund an acquisition and neither appropriation is more specific? The GAO’s Election Doctrine states that if two or more appropriations are equally available, then the agency may choose which appropriation to use. However, once the agency chooses a certain appropriation for that type of acquisition, the agency must continue to use the same appropriation for all acquisitions of that type, unless the agency informs Congress of its intent to change for the next fiscal year. In other words, once the agency makes its choice of appropriation, it is bound by that choice.

F. Expense/Investment Threshold (applicable to DoD entities only).

- 1. Expenses are costs of resources consumed in operating and maintaining DoD, and are normally financed with O&M appropriations. (*See* DoD FMR, vol. 2A, ch. 1, para. 2.1.2, October 2008). Common examples of expenses include civilian employee labor, rental charges for equipment and facilities, fuel, maintenance and repair of equipment, utilities, office supplies, and various services.³
- 2. Investments are “costs to acquire capital assets,” or assets which will benefit both current and future periods and generally have a long-life span.

³ Although there is no bright-line rule, a two-year lifespan/use period may be a useful rule to communicate the expense-investment distinction to clients.

DoD FMR, vol. 2A, ch. 1, para. 2.1.2, October 2008. Investments are normally financed with procurement appropriations.

3. Exception Permitting Purchase of Investments with O&M Funds. In each year's Appropriations Act, Congress has permitted DoD to utilize its O&M appropriations to purchase certain investment items having a unit cost that is less than a congressionally-established threshold. The current⁴ threshold is **\$350,000**.⁵ See e.g., §8039, Consolidated Appropriations Act, 2023. See also DoD FMR, vol. 2A, ch. 1, para. 2.1.4.2.2., October 2008, providing additional guidance on centrally managed items, and which still has the old \$250,000 threshold, but see footnote).⁶
4. Systems. Various audits have revealed that DoD organizations sometimes use O&M appropriations to acquire computer systems, security systems, video telecommunication systems, and other systems costing more than the investment/expense threshold. This mistaken use of O&M appropriations may constitute a violation of the Purpose Statute and result in a violation of the Antideficiency Act.
 - a. Agencies must consider the "system" concept when evaluating the procurement of items. Generally, all items in a system are considered a single unit, and their cost aggregated. The determination of what constitutes a "system" must be based on the **primary function** of the items to be acquired, as stated in the approved requirements document. DOD FMR, vol. 2A, ch. 1, para. 2.1.4.1.6.
 - b. A system exists if a number of components are designed primarily to function within the context of a whole and will be interconnected to satisfy an approved requirement.

⁴ [Consolidated Appropriations Act, 2026](#), Pub. L. No. 119-75, at Div. A, Title VIII, § 8039.

⁵ Since 2008, Congress has also permitted an increase to \$500,000 for Combatant Commanders engaged in contingency operations overseas upon SECDEF approval. USCENTCOM has historically received approval to use the \$500,000 threshold in support of contingency operations. However, this increased threshold requires a determination by SECDEF each fiscal year and the determination does not always happen contemporaneously with the passage of the Appropriations Act. Attorneys must verify that SECDEF has made the determination before advising that the increased threshold is in effect.

⁶ Although Congress increased the expense/investment threshold to \$350,000 in the 2023 Consolidated Appropriations Act, the FMR has not yet received an accompanying update reflecting the increased investment and expense threshold. Accordingly, OUSD(C) released interim guidance regarding the Department's authorization to utilize the increased threshold, effective until such time as the FMR is amended. See [Memorandum, OUSD\(C\) Interim Guidance Regarding Increased Threshold for Determination of Expense and Investment Costs](#), 2 March 2023.

- c. Agencies may purchase multiple end items of equipment (e.g., computers), and treat each end item as a separate “system” for funding purposes, only if the primary function of the end item is to operate independently.
- d. Agencies may not fragment or piecemeal the acquisition of an interrelated system of equipment merely to avoid exceeding the O&M threshold.
- e. The Systems concept does not apply to the purchase of expense items that are purchased with O&M regardless of cost.
- f. Example: A DoD agency is acquiring 200 stand-alone computers and the cost for each is \$2200 (total \$440k). Computers are considered investment items, but the appropriate pot of money depends on how the computers will be used. If they are to be used independently from one another, or even if they will be networked, but primarily used independently from one another, then they are not part of a system, and the cost is not aggregated. O&M funds may be used because each \$2200 purchase falls below the \$350k expense/investment threshold. If the primary purpose is for the computers to be interdependent and used all together, then they are considered a system and the total cost must be aggregated. That means the total cost is \$440k, which exceeds the \$350k expense/investment threshold. Procurement funds must be used.

IV. AVAILABILITY AS TO TIME

- A. The Time Rule. 31 U.S.C. §§ 1502(a), 1552. An appropriation is typically available for obligation for a definite period of time. An agency must incur a legal obligation to pay money within an appropriation’s period of availability. If an agency fails to obligate funds before they expire, those funds are no longer available for new obligations.
 - 1. Expired funds retain their “fiscal year identity” for five years after the end of the period of availability. During this time, the funds are available to adjust existing obligations, or to liquidate (that is, disburse funds for) prior valid obligations, but not to incur new obligations.
 - 2. There are some important exceptions to the general prohibition against obligating funds after the period of availability.
 - a. **Bid Protests.** Funds available for obligation at the time a protest is filed remain available for obligation for 100 calendar days after the date on which the final ruling is made on the protest. This authority applies to protests filed with the agency, at the Government Accountability Office, or in the Court of Federal

Claims. *See* 31 U.S.C. § 1558; FAR 33.102(c); DOD FMR, vol. 3, ch. 8, para. 13.3 (August 2023).

- b. **Terminations for Default.** If a contract or order is terminated for default, and the bona fide need still exists, then the originally obligated funds remain available for obligation for a timely re-procurement of similar size and scope, even if the funds otherwise would have expired. *See* DoD FMR, vol. 3, ch. 10, para. 3.8 (Replacement Contracts, October 2023); *See also* The GAO Red Book, Vol I, 5-29, 5-30 (3d ed. 2004). What constitutes a “reprocurement” is also discussed in the Termination for Default chapter of this Deskbook. If a re-procurement will result in an obligation that exceeds the unliquidated balance of the original contract by \$4 million, then the action must first be submitted to USD(C) for approval. *See* DOD FMR, vol. 3, ch. 10, para. 3.8.5. and 3.8.6.
- c. **Terminations for Convenience.**
 - (1) When a contract is terminated for the convenience of the government, the contractor may be entitled to a settlement that typically includes payment for costs incurred, reasonable profit, and reasonable costs of settlement of the terminated work. *See e.g.*, FAR 52.249-2. Such settlement costs incurred under a termination for convenience are generally chargeable to the appropriation originally obligated for the contract. The GAO Red Book, Vol I, 5-35, FN21 (3d ed. 2004).
 - (2) Generally, a termination for convenience of the government extinguishes the availability of prior-year funds remaining on the contract, but such funds may be used in certain instances. Navy, Replacement Contract, B-238548, Feb. 5, 1991, 91-1 CPD ¶ 117; Matter of Replacement Contracts, B-232616, 68 Comp. Gen. 158 (1988). Again, note that certain limitations may apply. *See* DoD FMR, vol. 3, ch. 10, para. 3.8 (Replacement Contracts, October 2023) and the Termination for Convenience chapter of this Deskbook for a discussion of when expired funds may remain available after a Termination for Convenience. Note: If the termination for convenience occurs during the fund’s period of availability, the funds are available for obligation without the need to apply any T4C exception (if they are still within their period of availability).

B. The “*Bona Fide* Needs” Rule.

1. As a general principle, government agencies may not purchase goods or services they do not *currently* require. Because appropriations are generally only available for limited periods of time, it is important to understand *when* an agency actually requires a good or service. *See* 31 U.S.C. § 1552. Until that requirement (need) accrues, no authorization exists to obligate appropriated funds. Once the need accrues, an agency may only obligate appropriated funds that are current at that time.
2. The “Bona Fide Needs” rule is a timing rule that requires **both the timing of the obligation and the bona fide need to be within the fund’s period of availability**. *See* DoD FMR, Vol. 3, Ch. 8, para. 3.4.1 (August 2023).
3. The term bona fide need has a specific meaning in the context of a fiscal law analysis. A bona fide needs analysis is separate and distinct from any analysis of contract specifications and whether they are a legitimate expression of the government's requirements. For example, it would be inaccurate and confusing to say, “The Army has a bona fide need for a tank that goes 70 mph.”

C. *Bona Fide* Needs Rule Applied to Supply Contracts.

1. Generally, the *bona fide* need for a supply is determined by when the government will actually use or consume the supplies being acquired. Accordingly, agencies generally must **obligate funds from the fiscal year in which the supplies will be used**. Maintenance Serv. and Sales Corp., B-242019, 70 Comp. Gen. 664 (1991); 64 Comp. Gen. 359 (1985).
2. Exceptions. Supply needs of a future fiscal year are the bona fide needs of the subsequent fiscal year, unless an exception applies. Two GAO-recognized exceptions are the **stock-level exception** and the **lead-time exception**. DoD FMR, vol. 3, ch. 8, para. 3.4.1.
 - a. **Stock-Level Exception.** The stock level exception permits agencies to purchase sufficient readily available common-use/standard-type supplies to maintain adequate and normal (reasonable) stock levels. The government may use current-year funds to replace stock consumed in the current fiscal year, even though the government will not use the replacement stock until the following fiscal year. The purpose of this exception is to prevent interruption of on-going operations between the fiscal years. *See To Betty F. Leatherman, Dep’t of Commerce*, B-156161, 44 Comp. Gen. 695 (1965); DoD FMR, vol. 3, ch. 8, para. 3.4.1. However, fiscal year-end stockpiling of supplies in excess of normal usage requirements is prohibited.

- b. **Lead-Time Exceptions.** These exceptions recognizes that agencies may need, and contract for, an item in a current FY, but cannot physically obtain the item in the current FY due to the lead-time necessary to produce or deliver it. There are two variants of lead-time exceptions.
 - (1) **Delivery Lead-Time.** If an agency cannot obtain materials in the same FY in which they are needed and contracted for, delivery in the next FY does not violate the “Bona Fide Needs” rule as long as the time between contracting and delivery is not excessive and the procurement is not for standard, commercial items readily available from other sources. DoD FMR vol. 3, ch. 8, para. 3.4.1 (August 2023); Administrator, General Services Agency, B-138574, 38 Comp. Gen. 628, 630 (1959).
 - (2) **Production Lead-Time.** This exception permits the agency to consider the normal production lead-time in determining the bona fide needs for an acquisition. Under the production lead-time exception, agencies may use current year money to procure supplies that will not be used during the current fiscal year when, in order to use the supply when required, the agency must fund production now. For the production lead-time exception, the procurement must not be for standard, commercial items readily available from other sources. Chairman, United States Atomic Energy Commission, B-130815, 37 Comp. Gen. 155 (1957); DoD FMR vol. 3, ch. 8, para. 3.4.1 (August 2023).
- c. **Electronic Subscriptions.** Subscriptions (e.g., Westlaw, LexisNexis, Dun & Bradstreet, PubKLaw, Law360, etc.) require a case-by-case analysis and may have characteristics of both goods and non-severable services. For a discussion of the application of the *Bona Fide Needs Rule* to subscriptions, see Nat'l Lab. Rels. Bd.--Funding of Subscription Confs., B-309530 (Sept. 17, 2007). See also GSA memo, [Guidance on Payment for Software Licenses Delivered via SaaS](#), March 15, 2024 (while subscriptions are something different than SaaS, the memo's discussion of access-contemporaneous-with-payment as not being a prohibited advance payment is relevant to the analysis of most subscriptions).

D. *Bona Fide Needs Rule Applied to Service Contracts.*

- 1. **General Rule.** Services are generally the bona fide need of the fiscal year in which they are performed. Theodor Arndt GmbH & Co., B-237180, Jan. 17, 1990, 90-1 CPD ¶ 64; EPA Level of Effort Contracts, B-214597,

65 Comp. Gen. 154 (1985); DoD FMR vol. 3, ch. 8, para. 3.4.2. (August 2023). Thus, in general, services must be funded with funds current as of the date the service is performed. However, the bona fide needs rule applies differently depending on the nature of the service, as either severable or non-severable.

2. Severable services.

- a. A service is severable if it can be separated into components that independently meet a separate need of the government. The services are continuing or recurring in nature. DoD FMR vol. 3, ch. 8, para. 3.4.2. (August 2023). Examples include grounds and facilities maintenance, dining facility services, and transportation services.
- b. Absent an exception, the default rule for severable services is to fund them with current-year funds (that is, funds still in their period of availability) from the date of award through the end of the fiscal year.
- c. Statutory Exception for Severable Services. 10 U.S.C. § 3133 (formerly 10 U.S.C. § 2410a) permits DoD agencies to award severable service contracts for a period not to exceed 12 months at any time during the fiscal year, funded completely with current appropriations. Non-DoD agencies have similar authority. *See* 41 U.S.C. § 3902. This statutory exception provides flexibility to annual funds so that all contracts do not have to end on 30 September, but it only applies to annual year funds. It cannot be used to extend the period of availability of an expiring multiple year appropriation. Severable Services Contract, B-317636, 2009 CPD ¶ 89 (Apr. 21, 2009) (“The reference in subsection [10 U.S.C. § 3133](b) to ‘[f]unds made available for a fiscal year’ as the kind of funds that may be so obligated clearly indicates that the sections cover contracts funded by annual funds.”); FAR 37.106.

3. Non-severable Services. If the services are non-severable (i.e., a contract that seeks a single or unified outcome, product, or report), agencies must obligate funds for the entire undertaking at contract award, even if performance will cross fiscal years. *See* Incremental Funding of U.S. Fish & Wildlife Serv. Research Work Orders, B-240264, 73 Comp. Gen. 77 (1994) (work on an environmental impact statement properly crossed fiscal years); Proper Fiscal Year Appropriation to Charge for Contract and Contract Increase, B-219829, 65 Comp. Gen. 741 (1986) (contract for study and report on psychological problems among Vietnam veterans was

non-severable). *But see* DFARS 232.703-1 regarding when fixed-price R&D contracts may be incrementally funded.

V. LIMITATIONS BASED UPON AMOUNT

A. The Antideficiency Act (ADA) , 31 U.S.C. §§ 1341-42, 1511-17, prohibits:

1. Making or authorizing an expenditure or obligation in excess of the amount available in an appropriation. 31 U.S.C. § 1341(a)(1)(A).
2. Making or authorizing expenditures or incurring obligations in excess of an apportionment or a formal subdivision of funds. 31 U.S.C. § 1517(a).
 - a. Apportionment. The Office of Management and Budget (OMB) apportions funds over their period of availability to agencies for obligation. 31 U.S.C. § 1512. This means that OMB divides the funds up into quarterly installments, to prevent agencies from obligating the entire fiscal year's appropriations too quickly and needing supplemental appropriations.
 - b. Formal Administrative Subdivisions ("Allotments"). The ADA also requires agencies to establish certain administrative controls of apportioned funds. 31 U.S.C. § 1514. These formal limits are referred to as allocations and allotments. In the Army, the Operating Agency/Army Command (ACOM) generally is the lowest command level at which the formal administrative subdivisions of funds are maintained for O&M appropriations.
 - c. Informal Administrative Subdivisions ("Allowances"). Agencies may further subdivide funds at lower levels (e.g., within an installation). These subdivisions are generally informal targets or allowances. These are not formal subdivisions of funds, and obligating in excess of these limits does not, in itself, violate the ADA.
3. Incurring an obligation in advance of an appropriation, unless authorized by law. 31 U.S.C. § 1341(a)(1)(B).
4. Accepting voluntary services, unless otherwise authorized by law. *See* 31 U.S.C. § 1342. However, an agency may accept "gratuitous" services under certain circumstances. *See* Section E below, and the TJAGLCS Fiscal Law Deskbook for more information.
5. The ADA imposes prohibitions (or fiscal controls) at three levels: (1) at the **appropriations** level, (2) at the **apportionment** level, and (3) at the **formal subdivision** level. The fiscal controls at the appropriations level are derived from 31 U.S.C. § 1341(a)(1)(A) and (B). The fiscal controls at

the apportionment level and at the formal subdivision level are derived from 31 U.S.C. § 1517(a). Thus, if an officer or employee of the United States violates the prohibitions (or fiscal controls) at any of these three levels, that officer thereby violates the ADA.

B. Board Application of ADA. Application of the ADA is very broad:

1. The ADA applies to “any officer or employee of the United States Government” and thus, it applies to all branches of the federal government—executive, legislative, and judicial. The GAO Red Book, vol. II, 6-37. Nevertheless, whether a federal judge is an “officer or employee” of the U.S. Government remains an open question, in some cases. *See* The GAO Red Book, vol. II, 6-39.
2. By its own terms, 31 U.S.C. § 1341 applies to any officer or employee who makes or authorizes an expenditure or obligation. Additionally, the DoD applies the ADA by regulation to Service members and DoD Civilian employees. *See* DoD FMR, vol. 14, ch. 2, para. 1.1 (May 2023; “Any military member or Department of Defense (DoD) employee who violates any provision or limitation imposed by any law may violate the ADA and be subject to discipline and/or criminal penalties.”)

C. “Correcting” a Potential ADA Purpose Violation. Despite violating the Purpose Statute, officials can avoid an ADA violation if *all three* of the following conditions are met:

1. **Proper funds** (the proper appropriation, the proper year, the proper amount) **were available at the time of the erroneous obligation;**
2. **Proper funds were available during the entire period from the time of obligation until the time of correction;** and
3. **Proper funds were available** (the proper appropriation, the proper year, the proper amount) **at the time of correction.**

See DoD FMR vol. 14, ch. 2, paragraph 1.2.3.1. (May 2023); To the Hon. Bill Alexander, B-213137, 63 Comp. Gen. 422 (1984); Interagency Agreements—Obligation of Funds under an Indefinite Delivery, Indefinite Quantity Contract, B-308969 (May 31, 2007); Principles of Fed. Appropriations Law, vol. II, ch. 6, pages 6-79 to 6-80, GAO-06-382SP (3d ed. 2006) (discussing the correction of a violation by making an appropriate adjustment of accounts).

D. Investigating and Reporting Violations. If an Antideficiency Act violation is suspected, the agency must investigate to identify the responsible individual.

1. The DoD FMR (Volume 12, Chapters 2 and 3) contains the primary DoD guidance regarding investigation and reporting of ADA violations. Of

significance, there are **initial reporting requirements within 2 weeks of initial discovery of a potential ADA violation**. See [DoD FMR](#) and TJAGLCS Fiscal Law Desk Book for additional information.

2. The GAO maintains an online database of all reported ADA violations. See <https://www.gao.gov/legal/appropriations-law-decisions/resources#reports>.

E. Augmentation of Appropriations & Miscellaneous Receipts.

1. General rule: Augmentation of appropriations is not permitted.
 - a. Augmentation is action by an agency that increases the effective amount of funds available in an agency's appropriation. This generally results in expenditures by the agency in excess of the amount originally appropriated by Congress.
 - b. Basis for the Augmentation Rule. An augmentation normally violates one or more of the following provisions:
 - (1) U.S. Constitution, Article I, section 9, clause 7: "No Money shall be drawn from the Treasury, but in Consequence of Appropriations made by Law."
 - (2) 31 U.S.C. § 1301(a) (Purpose Statute): "Appropriations shall be applied only to the objects for which the appropriations were made except as otherwise provided by law."
 - (3) 31 U.S.C. § 3302(b) (Miscellaneous Receipts Statute): "Except as [otherwise provided], an official or agent of the Government receiving money for the Government from any source shall deposit the money in the Treasury as soon as practicable without any deduction for any charge or claim."

2. Types of Augmentation.

- a. Augmenting by using one appropriation to pay costs associated with the purposes of another appropriation. This violates the Purpose Statute, 31 U.S.C. § 1301(a). U.S. Equal Employment Opportunity Comm'n – Reimbursement of Registration Fees for Fed. Executive Board Training Seminar, B-245330, 71 Comp. Gen. 120 (1991); Nonreimbursable Transfer of Admin. Law Judges, B-221585, 65 Comp. Gen. 635 (1986); Department of Health and Human Servs. – Detail of Office of Cmty. Servs. Employees, B-211373, 64 Comp. Gen. 370 (1985).

- (1) Example: If the Air Force were to buy air-to-air missiles using its “Procurement, Ammunition, Air Force” appropriation instead of its more specific “Procurement, Missiles, Air Force” appropriation, this would enable it to purchase a greater overall quantity of missiles (some using the missile appropriation and some using the ammunition appropriation) than Congress desired.
- b. Augmenting an appropriation by retaining funds the government has received from another source.
 - (1) This violates the Miscellaneous Receipts Statute, 31 U.S.C. § 3302(b). *See* Scheduled Airlines Traffic Offices, Inc. v. Dep’t. of Def., 87 F.3d 1356 (D.C. Cir. 1996) (indicating that a contract for official and unofficial travel, which provided for concession fees to be paid to the local morale, welfare, and recreation account, violates Miscellaneous Receipts Statute; note, however, that Congress has subsequently enacted statutory language – found at 10 U.S.C. § 2646 – that permits commissions or fees in travel contracts to be paid to morale, welfare, and recreation accounts); Interest Earned on Unauthorized Loans of Fed. Grant Funds, B-246502, 71 Comp. Gen. 387 (1992); But see Bureau of Alcohol, Tobacco, and Firearms – Augmentation of Appropriations – Replacement of Autos by Negligent Third Parties, B-226004, 67 Comp. Gen. 510 (1988) (noting that 31 U.S.C. § 3302 *only applies to monies received*, not to other property or services).
 - (2) Expending the retained funds generally violates the constitutional requirement for an appropriation. *See* Use of Appropriated Funds by Air Force to Provide Support for Child Care Ctrs. for Children of Civilian Employees, B-222989, 67 Comp. Gen. 443 (1988).
3. Statutory Exceptions to the Miscellaneous Receipts Statute. Some examples of the statutes Congress has enacted which expressly authorize agencies to retain funds received from a non-Congressional source include:
 - a. Economy Act. 31 U.S.C. § 1535 authorizes interagency orders. The ordering agency must reimburse the performing agency for the costs of supplying the goods or services. 31 U.S.C. § 1536 specifically indicates that the servicing agency should credit monies received from the ordering agency to the “appropriation or fund against which charges were made to fill the order.” *See also* 41 U.S.C. § 6307 (providing similar intra-DoD project order

authority. *See also* DoD FMR, Vol. 11A, Ch. 3 (policies and procedures for Economy Act orders) and DoD FMR, Vol. 11A, Ch. 2 (policies and procedures applicable to Project orders).

- b. Foreign Assistance Act. 22 U.S.C. § 2392 authorizes the President to transfer State Department funds to other agencies, including DoD, to carry out the purpose of the Foreign Assistance Act.
- c. Revolving Funds. Revolving funds are management tools that provide working capital for the operation of certain activities. The receiving activity must reimburse the funds for the costs of goods or services when provided. *See* 10 U.S.C. § 2208; National Technical Info. Serv., B-243710, 71 Comp. Gen. 224 (1992); Administrator, Veterans Admin., B-116651, 40 Comp. Gen. 356 (1960).
- d. Proceeds received from bond forfeitures, but only to the extent necessary to cover the costs of the United States. 16 U.S.C. § 579c; USDA Forest Serv. – Auth. to Reimburse Gen. Appropriations with the Proceeds of Forfeited Performance Bond Guarantees, B-226132, 67 Comp. Gen. 276 (1988); National Park Serv. – Disposition of Performance Bond Forfeited to Gov’t by Defaulting Contractor, B-216688, 64 Comp. Gen. 625 (1985) (forfeited bond proceeds to fund replacement contract).
- e. Defense Gifts. 10 U.S.C. § 2608. The Secretary of Defense may accept monetary gifts and intangible personal property for defense purposes. However, these defense gifts may not be expended until appropriated by Congress. (Additional gift authorities found at 10 U.S.C. § 2601(a) and § 2601(b), are implemented in DoD FMR, Vol. 12, Ch. 30).
- f. Health Care Recoveries. 10 U.S.C. § 1095(g). Amounts collected from third-party payers for health care services provided by a military medical facility may be credited to the appropriation supporting the maintenance and operation of the facility.
- g. Recovery of Military Pay and Allowances. Statutory authority allows the government to collect damages from third parties to compensate for the pay and allowances of soldiers who are unable to perform military duties as a result of injury or illness resulting from a tort. These amounts “shall be credited to the appropriation that supports the operation of the command, activity, or other unit to which the member was assigned.” 42 U.S.C. § 2651. The U.S. Army Claims Service takes the position that such recoveries should be credited to the installation’s O&M account. *See*

Affirmative Claims Note, *Lost Wages under the Federal Medical Care Recovery Act*, ARMY LAW., Dec, 1996, at 38.

- h. Military Leases of Real or Personal Property. 10 U.S.C. § 2667(e). Rentals received pursuant to leases entered into by a military department may be deposited in special accounts for the military department and used for facility maintenance, repair, or environmental restoration.
 - i. Damage to Real Property. 10 U.S.C. § 2782. Amounts recovered for damage to real property may be credited to the account available for repair or replacement of the real property at the time of recovery.
 - j. Proceeds from the sale of lost, abandoned, or unclaimed personal property found on an installation. 10 U.S.C. § 2575. Proceeds are credited to the operation and maintenance account and used to pay for collecting, storing, and disposing of the property. Remaining funds may be used for morale, welfare, and recreation activities.
 - k. Host nation contributions to relocate armed forces within a host country. 10 U.S.C. § 2350k.
 - l. Government Credit Card and Travel Refunds. Section 8067 of the FY 2008 Defense Appropriations Act (Pub. Law 110-116) granted permanent authority (“in the current fiscal year and hereafter . . .) to credit refunds attributable to the use of the Government Travel Card, the Government Purchase Card, and government travel arranged by Government Contracted Travel Management Centers, to the O&M and RDT&E accounts of the Department of Defense “which are current when the refunds are received.” See DoD FMR, Vol. 10, Ch. 2, para. 3.2 (February 2023) for additional policies and procedures.
 - m. Conference Fees. 10 U.S.C. § 2262. Congress authorized the Department of Defense to collect fees from conference participants and to use those collected fees to pay the costs of the conference. Any amounts collected in excess of the actual costs of the conference must still be deposited into the Treasury as miscellaneous receipts. DoD FMR vol. 12 ch. 32 (July 2025).
4. GAO Sanctioned **Exceptions to the Miscellaneous Receipts Statute**. In addition to the statutory authorities detailed above, the GAO recognizes other exceptions to the Miscellaneous Receipts Statute, including:
- a. **Replacement Contracts**. An agency may retain **recovered excess re-procurement costs** to fund replacement contracts. See DoD FMR, vol. 3, ch. 10, para. 3.8 (Replacement Contracts, October

2023) (Replacement Contracts); Bureau of Prisons – Disposition of Funds Paid in Settlement of Breach of Contract Action, B-210160, 62 Comp. Gen. 678 (1983).

- (1) This rule applies regardless of whether the government terminates for default or simply claims for damages due to defective workmanship.
- (2) The replacement contract must be coextensive with the original contract, i.e., the agency may re-procure only those goods and services that would have been provided under the original contract.
- (3) Amounts recovered that exceed the actual costs of the replacement contract must be deposited as miscellaneous receipts.
- (4) The replacement contract is executed without undue delay. See Navy, Replacement Contract, B-238548, Feb. 5, 1991, 70 Comp. Gen. 230, 91-1 CPD ¶ 117 (holding that funds are available after contracting officer's determination that original award was improper); Funding of Replacement Contracts, B-198074, July 15, 1981, 60 Comp. Gen. 591, 81-2 CPD ¶ 33.

b. Refunds.

- (1) Refunds for erroneous payments, overpayments, or advance payments may be credited to agency appropriations. Department of Justice – Deposit of Amounts Received from Third Parties, B-205508, 61 Comp. Gen. 537 (1982) (agency may retain funds received from carriers/insurers for damage to employee's property for which agency has paid employee's claim); International Natural Rubber Org. – Return of United States Contribution, B-207994, 62 Comp. Gen. 70 (1982).
- (2) Amounts that exceed the actual refund must be deposited as miscellaneous receipts. Federal Emergency Mgmt. Agency – Disposition of Monetary Award Under False Claims Act, B-230250, 69 Comp. Gen. 260 (1990) (agency may retain reimbursement for false claims, interest, and administrative expenses in revolving fund; treble damages and penalties must be deposited as miscellaneous receipts).
- (3) Funds recovered by an agency for damage to government property, unrelated to performance required by the contract, must be deposited as miscellaneous receipts. Defense

Logistics Agency – Disposition of Funds Paid in Settlement of Contract Action, B-226553, 67 Comp. Gen. 129 (1987) (negligent installation of power supply system caused damage to computer software and equipment; insurance company payment to settle government’s claim for damages must be deposited as miscellaneous receipts).

- (4) Refunds must be credited to the appropriation charged initially with the related expenditure, whether current or expired. Accounting for Rebates from Travel Mgmt. Ctr. Contractors, B-217913.3, 73 Comp. Gen. 210 (1994); This rule applies to refunds in the form of a credit. *See* The GAO Red Book, vol. II, ch. 6, 6-174, GAO-06-382SP (3d ed. 2006); Appropriation Accounting —Refunds and Uncollectibles, B-257905, Dec. 26, 1995, 96-1 CPD ¶ 130 (recoveries under fraudulent contracts are refunds, which should be credited to the original appropriation, unless the account is closed).
- c. Receipt of property other than cash. When the government receives a replacement for property damaged by a third party in lieu of cash, the agency may retain the property. Bureau of Alcohol, Tobacco, and Firearms—Augmentation of Appropriations —Replacement of Autos by Negligent Third Parties, B-226004, 67 Comp. Gen. 510 (1988) (replacement by repair of damaged vehicles).
- d. Funds held in trust for third parties. When the government receives custody of cash or negotiable instruments that it intends to deliver to the rightful owner, it need not deposit the funds into the treasury as a miscellaneous receipt. The Honorable John D. Dingell, B-200170, 60 Comp. Gen. 15 (1980) (money received by Department of Energy for oil company overcharges to their customers may be held in trust for specific victims).
- e. Non-reimbursable Details. The Comptroller General has held that non-reimbursable agency details of personnel to other agencies are generally unallowable. Department of Health and Human Servs. — Detail of Office of Cmty. Servs. Employees, B-211373, 64 Comp. Gen. 370 (1985); The Hon. Robert W. Houk, B-247348, 1992 U.S. Comp. Gen. LEXIS 837 (Jun. 22, 1992). However, as exceptions to this rule, non-reimbursable details are permitted under the following circumstances:
 - (1) A law authorizes non-reimbursable details. *See, e.g.*, 3 U.S.C. § 112 (non-reimbursable details to White House); The Honorable William D. Ford, Chairman, Comm. on

Post Office and Civil Serv., House of Representatives, B-224033, 1987 U.S. Comp. Gen. LEXIS 1695.

- (2) The detail involves a matter similar or related to matters ordinarily handled by the detailing agency and will aid the detailing agency's mission. Details to Congressional Comm'ns., B-230960, 1988 U.S. Comp. Gen. LEXIS 334.
- (3) The detail is for a brief period, entails minimal cost, and the agency cannot obtain the service by other means. Dept. of Health and Human Servs. Detail of Office of Cmty. Servs. Employees, B-211373, 64 Comp. Gen. 370 (1985).

VI. TYPICAL QUESTIONABLE EXPENSES AND COMMON PROBLEMS

- A. Agency Guidance. Agencies may have specific guidance about "questionable" expenditures. *See, e.g.*, AFMAN 65-605, Vol. 1 Budget Guidance and Technical Procedures (31 March 2021).
- B. Clothing/Apparel. Buying clothing for individual employees generally does not materially contribute to an agency's mission performance. Therefore, clothing is generally considered a personal expense unless a statute provides to the contrary. *See* IRS Purchase of T-Shirts, B-240001, 70 Comp. Gen. 248 (1991) (Combined Federal Campaign T-shirts for employees who donated five dollars or more per pay period not authorized).
 1. Statutorily-Created Exceptions. *See e.g.*, 5 U.S.C. § 7903 (authorizing purchase of special clothing, for personnel, which protects them against hazards in the performance of their duties); 10 U.S.C. § 1593 (authorizing DoD to pay an allowance or provide a uniform to a civilian employee who is required by law or regulation to wear a prescribed uniform while performing official duties); and 29 U.S.C. § 668 (requiring federal agencies to provide certain protective equipment and clothing pursuant to OSHA). *See also* Purchase of Insulated Coveralls, Vicksburg, Mississippi, B-288828, Oct. 3, 2002 (discussing the rules for purchasing clothing); Purchase of Cold Weather Clothing, Rock Island District, U.S. Army Corps of Eng's, B-289683, Oct. 7, 2002 (unpub.) (discussing all three authorities).
 2. Opinions and Regulations On-point. *See also* White House Communications Agency—Purchase or Rental of Formal Wear, B-247683, 71 Comp. Gen. 447 (1992) (authorizing tuxedo rental or purchase); Internal Revenue Serv.—Purchase of Safety Shoes, B-229085, 67 Comp. Gen. 104 (1987) (authorizing safety shoes); DoD FMR vol. 10, ch. 12, para. 3.5, August 2023 (Civilian Uniform Allowances); AR 670-

10, Furnishing Uniforms, or Paying Uniform allowances, to Civilian Employees, (9 July 2021).

- C. Food. Buying food for individual employees – at least those who are not away from their official duty station on travel status – generally does not materially contribute to an agency’s mission performance. *See* 31 U.S.C. § 1345 stating that except as provided by law, an appropriation may not be used for subsistence expenses at a meeting, but that this prohibition does not apply to expenses of an employee of the government carrying out an official duty. As a result, food is generally considered a personal expense. *See* Department of The Army—Claim of the Hyatt Regency Hotel, B-230382, Dec. 22, 1989 (unpub.) (determining coffee and donuts to be an unauthorized entertainment expense).
1. Non-severable cost of food. GAO-sanctioned an exception where food is included as part of a facility rental cost. GAO has indicated that it is permissible for agencies to pay a facility rental fee that includes the cost of food if the fee is all-inclusive, non-negotiable, and competitively priced to the fees of other facilities that do not include food as part of their rental fee. *See* Payment of a Non-Negotiable, Non-Separable Facility Rental Fee that Covered the Cost of Food Service at NRC Workshops, B-281063, 1999 U.S. Comp. Gen. LEXIS 249 (Dec. 1, 1999).
 2. “Light Refreshments” Exception.
 - a. In a 2003 opinion, the GAO all but eliminated the “Light Refreshment” exception by prohibiting agencies from paying for refreshments given to any personnel *NOT* on travel status. *See* Use of Appropriated Funds to Purchase Light Refreshments at Conferences, B-288266, 2003 U.S. Comp. Gen. LEXIS 224, (Jan. 27, 2003).
 - b. This decision was somewhat reversed two years later in National Institutes of Health - Food at Government-Sponsored Conferences, B-300826, 2005 U.S. Comp. Gen. LEXIS 42 (Mar. 03, 2005) (“NIH opinion”). In that case, the GAO authorized the use of appropriated funds for light refreshments, even for individuals *NOT* in travel status, under certain criteria:
 - (1) The meals are incidental to the conference or meeting;
 - (2) Attendance of the employees at the meals is necessary for full participation in the conference or meeting; and
 - (3) The conference or meeting includes not only the functions (speeches, lectures, or other business) taking place when the meals are served, but also includes substantial functions taking place separately from the meal-time portion of the meeting/conference.

- c. The Department of Justice, Office of Legal Counsel (OLC) prohibited the executive branch from following the NIH opinion. OLC opined that “meetings” as used in 31 U.S.C. § 1345 included formal conferences sponsored by government agencies and that “subsistence expenses” included meals and light refreshments.⁷ Therefore the 31 U.S.C. § 1345 prohibits conference attendees, who are from the local PDS area, from utilizing “light refreshment exception.” The **OLC opinion controls** the activities of Executive Branch even though it is more restrictive than the opinions given by the GAO.

3. Statutory-based Exceptions.

- a. Basic Allowance for Subsistence. Under 37 U.S.C. § 402, DoD may pay service members a basic allowance for subsistence.
- b. Meetings and Conferences. Under the Government Employees Training Act, 5 U.S.C. § 4110 (which applies to civilian employees, not military members), there is authority for the government to pay for “expenses of attendance at meetings which are concerned with the functions or activities for which the appropriation is made or which will contribute to improved conduct, supervision, or management of the functions or activities.”
 - (1) Conference Sponsored by Non-Federal Entities. Costs associated with meals included in a conference fee can be considered legitimate expenses of attendance under this statute if: 1) the meals are incidental to the conference or meeting; 2) attendance of the employees at the meals is necessary for full participation in the conference or meeting; and 3) the conference or meeting includes not only the functions (speeches, lectures, or other business) taking place when the meals are served, but also includes substantial functions taking place separately from the meal-time portion of the meeting/conference. See National Institutes of Health – Food at Government-Sponsored Conferences, B-300826, 2005 U.S. Comp. Gen. LEXIS 42 (Mar. 3, 2005).
 - (a) For purposes of this exception, the conference or meeting **must not be purely internal government business meetings/conferences**. National Institutes of Health – Food at Government-Sponsored

⁷ [Use of Appropriated Funds to Provide Light Refreshments to Non-Federal Participants at EPA Conferences](#), 32 Op. Off. Legal Counsel 1, 5 (2007).

Conferences, B-300826, 2005 U.S. Comp. Gen. LEXIS 42 (Mar. 3, 2005). Moreover, luncheons disguised as meetings or conferences cannot utilize 5 U.S.C. § 4110. *See* B-21570, Mar. 22, 1985, 64 Comp. Gen. 406, 408. This authority does not specifically authorize agencies to pay the expenses, including food, of non-governmental employees.

- (b) As this authority is based on 5 U.S.C. § 4110, it does not apply to military members (it applies only to civilian employees). *But see* Joint Travel Regulation (JTR) ch. 2, para. 020305, which authorizes military members to be reimbursed for occasional meals when TDY within the local area of their Permanent Duty Station (PDS) when the military member is required to procure meals at personal expense outside the physical limits of the PDS.
- (2) Government Sponsored Conference. As part of the NIH opinion, the GAO authorized agencies to pay for the expenses, including food, of conference attendees from other agencies, and even *non-governmental organizations*, at “formal conferences.” National Institutes of Health – Food at Government-Sponsored Conferences, B-300826, 2005 U.S. Comp. Gen. LEXIS 42 (Mar. 3, 2005).
- (a) As part of the decision, the GAO applied the same 5 U.S.C. § 4110 criteria⁸ to “formal conferences,” but also required sufficient indicia of formality (including, among other things, registration, a published substantive agenda, and scheduled speakers), and stated that the conference must involve **topical matters of interest to (and the participation of) multiple agencies and/or nongovernmental participants**.
 - (b) The OLC opinion may impact the ability of an agency to utilize this authority. *See* Section IX.C.2.c. above.
- (3) Army Guidance. Army Regulation 1-50, The Army Conference Policy (25 November 2024) provides detailed guidance on meals and refreshments at conferences.

⁸ *See* Section IX.C.3.b.

- c. Training. Under 5 U.S.C. § 4109 (applicable to civilian employees) and 10 U.S.C. § 4301 and 10 U.S.C. § 9301 (applicable to service members), the government may provide meals when it is “necessary to achieve the objectives of a training program.” See U.S. Army Garrison Ansbach - Use of Appropriated Funds to Purchase Food for Participants in Anti-Terrorism Exercises, B-317423 (May 9, 2009), Coast Guard—Meals at Training Conference, B-244473, 1992 U.S. Comp. Gen. LEXIS 740 (Jan. 13, 1992); Use of Appropriated Funds to Purchase Light Refreshments at Conferences, B-288266, Jan. 27, 2003, 2003 U.S. Comp. Gen. LEXIS 224 (including a discussion of providing food, in general, where it furthers the needs of the training program).
- (1) This generally requires a determination that attendance during the meals is necessary in order for the attendees to obtain the full benefit of the training. See Coast Guard – Coffee Break Refreshments at Training Exercise – Non-Federal Personnel, B-247966, 1993 U.S. Comp. Gen. LEXIS 639 (Jun. 16, 1993). See also Pension Benefit Guar. Corp. – Provision of Food to Employees, B-270199, 1996 U.S. Comp. Gen. LEXIS 402 (Aug. 6, 1996) (food was not needed for employee to obtain the full benefit of training because it was provided during an ice-breaker rather than during actual training). In many GAO opinions, the application of this rule appears to be indistinguishable from the 3-part test for Formal Conferences and Meetings under 5 U.S.C. § 4110.
 - (2) This exception may even apply to non-federal employees if they are necessary to the training and taking a lunch break separately from the government employees would hurt the training. See U.S. Army Garrison Ansbach- Use of Appropriated Funds to Purchase Food for Participants in Anti-Terrorism Exercises, B-317423 (May 9, 2009) (stating that there was no objection if the Garrison Commander involved in an anti-terrorism training exercise determined that the provision of food to nonfederal participants, including host national first responders, allowed federal and nonfederal personnel to train to work in a coordinated fashion without separating for food breaks, as, most likely, they would in an actual antiterrorism response).
 - (3) The Training exception requires that the event be genuine “training,” rather than merely a meeting or conference. The GAO and other auditors will not merely defer to an agency’s characterization of a meeting as “training.”

Instead, they will closely scrutinize the event to ensure it was a valid program of instruction as opposed to an internal business meeting. *See* Corps of Eng'rs – Use of Appropriated Funds to Pay for Meals, B-249795, 72 Comp. Gen. 178 (1993) (determining that quarterly managers meetings of the Corps did not constitute “training”).

- (4) This exception is often utilized to provide small "samples" of ethnic foods during an ethnic or cultural awareness program. *See* Army – Food Served at Cultural Awareness Celebration, B-199387, 1982 U.S. Comp. Gen. LEXIS 1284 (Mar. 23, 1982). *See also* U.S. Army Corps of Engineers, North Atlantic Division – Food for a Cultural Awareness Program, B-301184 (January 15, 2004) (“samplings” of food cannot amount to a full buffet lunch and must be related to the culture being celebrated).
- d. Food at Civilian Award Ceremonies. Under 5 U.S.C. §§ 4503-4505 (civilian employees incentive awards), federal agencies may “incur necessary expenses” including purchasing food to honor an individual who is given an incentive award.
- (1) Relevant GAO Opinions. Defense Reutilization and Mktg. Serv. Award Ceremonies, B-270327, 1997 U.S. Comp. Gen. LEXIS 104 (Mar. 12, 1997) (authorizing the agency expending \$20.00 per attendee for a luncheon given to honor awardees under the Government Employees Incentive Awards Act); Refreshments at Awards Ceremony, B-223319, 65 Comp. Gen. 738 (1986) (agencies may use appropriated funds to pay for refreshments incident to employee awards ceremonies under 5 U.S.C. § 4503, which expressly permits agency to “incur necessary expense for the honorary recognition . . .”).
 - (2) Relevant Regulations. Awards to civilian employees must be made in accordance with 5 C.F.R. Part 451. Awards to DoD civilians must also be done in accordance with DoDI 1400.25, Volume 451 as well as DoD FMR, vol. 8, ch. 3, para. 0311 (Oct. 2020). For Army civilians, the award must also be made in accordance with AR 672-20, Incentive Awards (17 September 2020).
- e. Food at Military Award Ceremonies. Typical military awards, such as medals, badges, trophies, etc., are governed by 10 U.S.C. § 1125 which **does not** have the express “incur necessary expenses” language, meaning food may not be provided as part of a military awards ceremony. However, in the unlikely event of a ceremony

honoring military recipients of **cash awards** under 10 U.S.C. §1124 (Military Cash Awards), food may be provided because § 1124 does contain the “incur necessary expenses” language. However, military cash awards are very rare. Therefore, for the vast majority of military awards ceremonies food may **not** be purchased with appropriated funds.

- f. Food paid for with “Emergency and Extraordinary Expense” funds. Agencies that are authorized emergency and extraordinary expense or similar funds may also use these funds to pay for receptions for distinguished visitors. *See* Chapter 1 of [TJAGLCS Fiscal Law Deskbook](#).

D. Bottled Water. Bottled water generally does not materially contribute to an agency’s mission accomplishment. It is therefore generally a personal expense. Common exceptions include:

1. **Exception Where Water is Unpotable.** Agencies may use appropriated funds to buy bottled water where a building's water supply is unwholesome or unpotable. *See* United States Agency for Int'l Dev. – Purchase of Bottled Drinking Water, B-247871, 1992 U.S. Comp. Gen. LEXIS 1170 (Apr. 10, 1992) (problems with water supply system caused lead content to exceed "maximum contaminant level" and justified purchase of bottled water until problems with system could be resolved).
2. **Exception Where Duty is in Remote Area With No Access to Potable Water.** Agencies have the discretion to decide between providing water in coolers or jugs for transport or by providing bottled water at remote sites without access to potable water. The agency must administratively determine that the best way to provide the water is by using bottled water. Dept. of the Army – Use of Appropriations for Bottled Water, B-310502, Feb. 4, 2008, 2008 U.S. Comp. Gen. LEXIS 38. *See also* Dept. of the Army, Military Surface Deployment and Distribution Command – Use of Appropriations for Bottled Water, B-318588, Sept. 29, 2009 (allowing purchase of bottled water for use at temporary work sites where potable water is not available).
3. **Bottled Water as a Condition of Employment – not an exception.** Even if providing bottled water to union employees had become a condition of employment, once drinking water is potable, the agency *does not* have the authority to continue to provide bottled water. An agency cannot bargain over a matter that is inconsistent with federal law. United States Department Of The Navy, Naval Undersea Warfare Center Division Newport, Rhode Island v. Federal Labor Relations Authority, 665 F.3d 1339, 1347 (D.C. Cir. 2012).

4. **Exception in Response to Legitimately Anticipated Emergencies.** Aberdeen Proving Ground received permission from GAO to use appropriated funds to purchase bottled water for stockpiling in anticipation of interruptions to water service due to explosions and a water main break. Dept. of the Army – Use of Appropriated Funds for Bottled Water, B-324781 (Dec 17, 2013).
 5. **Relevant Regulations.** *See also* DoD FMR, vol. 10, ch. 12, para. 3.20 (August 2023; permitting the purchase of drinking water under four circumstances); AFMAN 65-605, vol. 1, para. 5.41 (discussing the same); AR 30-22, para. 5-19 (discussing purchasing bottled water in the context of a deployment/contingency operation).
 6. **Water Coolers (are not Bottled Water).** As distinguished from the water itself, which must be purchased with personal funds unless the building has no potable water, agencies *may use appropriated funds to purchase water coolers as “Food Storage Equipment”* (see discussion in next paragraph below), but only under limited circumstances. There is arguably no valid purpose for water coolers in buildings that are already equipped with chilled water fountains or with refrigerators that dispense chilled water or ice. Where the facility is not so equipped, water coolers may be purchased with appropriated funds so long as the primary benefit of its use accrues to the organization. Under those circumstances, the government-purchased water cooler must be available for use by all employees.
- E. Workplace Food Storage and Preparation Equipment (i.e. microwave ovens; refrigerators; coffee pots).
1. In June 2004 the GAO reversed its own precedent⁹ and held that food storage/preparation equipment reasonably relates to the efficient performance of agency activities, and thus appropriated funds could be spent for these items regardless of the availability of commercial eating facilities. *See Use of Appropriated Funds to Purchase Kitchen Appliances*, B-302993 (June 25, 2004). The Comptroller General observed that food storage/preparation equipment provided a benefit to the agency holding that they “increased employee productivity, health, and morale, that when viewed together, justify the use of appropriated funds to acquire the equipment.” Further, the opinion noted that such equipment “is one of many small but important factors that can assist federal agencies

⁹ *See e.g., Central Intelligence Agency – Availability of Appropriations to Purchase Refrigerators for Placement in the Workplace*, B-276601, 97-1 CPD ¶ 230 (commercial facilities were not proximately available when the nearest one was a 15-minute commute from the federal workplace); *Purchase of Microwave Oven*, B-210433, 1983 U.S. Comp. Gen. LEXIS 1307 (Apr. 15, 1983) (commercial facilities unavailable when employees worked 24 hours a day, seven days a week and restaurants were not open during much of this time).

in recruiting and retaining the best workforce and supporting valuable human capital policies.”

2. Bottom line: Food preparation and storage equipment may be purchased with appropriated funds, so long as the primary benefit of its use accrues to the agency and the equipment is placed in common areas where it is available for use by all personnel. (Note: agency regulations and policies should be consulted prior to applying this decision.)

F. Personal Office Furniture and Equipment. Ordinary office equipment is reasonably necessary to carry out an agency’s mission, so appropriated funds may be used to purchase such items, so long as they serve the needs of the majority of that agency’s employees. If the equipment serves the needs of only a single individual or a specific group of individuals, then it is considered a personal expense rather than a “necessary expense” of the agency. This is true even if the equipment is essential for a particular employee to perform his or her job. Under such a scenario, it is the needs of that particular individual that causes the item to be necessary. The item is not “essential to the transaction of official business from the Government’s standpoint.” Internal Revenue Service – Purchase of Air Purifier with Imprest Funds, B-203553, 61 Comp. Gen. 634 (1982) (disapproving reimbursement for air purifier to be used in the office of an employee suffering from allergies); *See also* Roy C. Brooks – Cost of special equipment-automobile and sacro-ease positioner, B-187246, 1977 U.S. Comp. Gen. LEXIS 221 (Jun. 15, 1977) (disapproving reimbursement of special car and chair for employee with a non-job related back injury); *Cf.* Office of Personnel Mgt. – Purchase of Air Purifiers, B-215108, July 23, 1984, 84-2 CPD ¶ 194 (allowing reimbursement for air purifiers to be used in common areas, thus benefiting the needs of all building occupants).

1. Federal Supply Schedule Exception. If the desired equipment is available on the Federal Supply Schedule, the agency may use appropriated funds to purchase it even if the chair does not serve the needs of the majority of workers. *See* Purchase of Heavy Duty Office Chair, B-215640, 1985 U.S. Comp. Gen. LEXIS 1805 (Jan. 14, 1985) (allowing reimbursement for a heavy-duty office chair normally used only by air traffic controllers since the chair was available on FSS, and the large employee had broken approximately 15 “normal” chairs).
2. Exception Based Upon Statutory Authority. The Rehabilitation Act of 1973, 29 U.S.C. § 701 et seq., requires federal agencies to implement programs to expand employment opportunities for handicapped individuals. The regulations implementing this Act require agencies to make “reasonable accommodations” to include purchasing special equipment or devices in order to carry out these programs. *See* 29 C.F.R. 32.3 (“Definitions”). Thus, agencies may purchase equipment for employees with a disability as a reasonable accommodation. *See* Use of Appropriated Funds to Purchase a Motorized Wheelchair for a Disabled

Employee, B-240271, 1990 U.S. Comp. Gen. LEXIS 1128 (Oct. 15, 1990) (authorizing purchase); *see also* Equal Employment Opportunity Commission – Special Equipment for Handicapped Employees, B-203553, 63 Comp. Gen. 115 (1983) (agency could not purchase air purifier for person with allergies because the person did not meet the regulatory definition of a handicapped individual).

- G. Entertainment. Entertaining people generally does not materially contribute to an agency's mission performance. As a result, entertainment expenses are generally considered to be a personal expense. *See* HUD Gifts, Meals, and Entm't Expenses, B-231627, 68 Comp. Gen. 226 (1989); Navy Fireworks Display, B-205292, Jun. 2, 1982, 82-2 CPD ¶ 1 (determining fireworks to be unauthorized entertainment); Liability of Alexander Tripp, B-304233, Aug. 8, 2005, 2005 U.S. Comp. Gen. LEXIS 158 (Sunset dinner cruise in conjunction with staff retreat a "personal expense"; official held not personally liable where he was not properly designated by the agency as a certifying officer).
1. Statutory-based Exceptions. Congress does occasionally provide authority to entertain. *See* Claim of Karl Pusch, B-182357, 1975 U.S. Comp. Gen. LEXIS 1463 (Dec. 9, 1975) (Foreign Assistance Act authorized reimbursement of expenses incurred by Navy escort who took foreign naval officers to Boston Playboy Club -- twice); Golden Spike Nat'l Historic Site, B-234298, 68 Comp. Gen. 544 (1989) (discussing authority to conduct "interpretive demonstrations" at the 1988 Annual Golden Spike Railroader's Festival).
 2. Agencies may use appropriated funds to pay for entertainment (including food) in furtherance of equal opportunity training programs. Internal Revenue Serv. – Live Entm't and Lunch Expense of Nat'l Black History Month, B-200017, 60 Comp. Gen. 303 (1981) (determining a live African dance troupe performance conducted as part of an Equal Employment Opportunity (EEO) program was a legitimate part of employee training); U.S. International Trade Commission – Cultural Awareness, B-278805, Jul. 1999, 1999 U.S. Comp. Gen. LEXIS 211 (Int'l Trade Comm'n funds were available to pay for musical performance at cultural awareness event, subject to time limits on reimbursement.).
 3. Agencies that are authorized emergency and extraordinary expense or similar funds may also use these funds to entertain distinguished visitors to the agency. *See* To The Honorable Michael Rhode, Jr., B-250884, 1993 U.S. Comp. Gen. LEXIS 481 (March 18, 1993) (interagency working meetings, even if held at restaurants, are not automatically social or quasi-social events chargeable to the official reception and representation funds).
- H. Decorations. Under a "necessary expense" analysis, GAO has sanctioned the use of appropriated funds to purchase decorations so long as they are modestly priced and consistent with work-related objectives rather than for personal convenience.

See Department of State & Gen. Serv. Admin – Seasonal Decorations, B-226011, 67 Comp. Gen. 87 (1987) (authorizing purchase of decorations); Purchase of Decorative Items for Individual Offices at the United States Tax Court, B-217869, 64 Comp. Gen. 796 (1985) (modest expenditure on art work consistent with work-related objectives and not primarily for the personal convenience or personal satisfaction of a government employee proper); *But see The Honorable Fortney H. Stark*, B-217555, 64 Comp. Gen. 382 (1985) (determining that Christmas cards and holiday greetings letters were not a proper expenditure because they were for personal convenience). *See also* AFMAN 65-605, vol. 1, paras. 5.18 and 5.37. 41 C.F.R. § 101.26.103-2 (2003) governs the purchase decorative items for federal buildings. Note: Practitioners should consider also the constitutional issues involved in using federal funds to purchase and display religious decorations (e.g., Christmas decorations that are associated with a particular religion, versus more generic seasonal decorations).

- I. Business Cards. Under a “necessary expense” analysis, the GAO has sanctioned the purchase of business cards for agency employees. *See* Letter to Mr. Jerome J. Markiewicz, Fort Sam Houston, B-280759, Nov. 5, 1998 (purchase of business cards with appropriated funds *for government employees who regularly deal with public or outside organizations* is a proper “necessary expense”). There often are more restrictive agency regulations on purchasing business cards.
- J. Telephone Installation and Expenses. Even though telephones might ordinarily be considered a “necessary expense,” appropriated funds may not generally be used to install telephones in private residences or to pay the utility or other costs of maintaining a telephone in a private residence. Congress decided to prohibit government phones in personal residences because their use was subject to great abuse. *See* 31 U.S.C. § 1348; *see also* Centers for Disease Control and Prevention – Use of Appropriated Funds to Install Tel. Lines in Private Residence, B-262013, Apr. 8, 1996, 96-1 CPD ¶ 180 (appropriated funds may not be used to install telephone lines in Director’s residence); Use of Appropriated Funds to Pay Long Distance Tel. Charges Incurred by a Computer Hacker, B-240276, 70 Comp. Gen. 643 (1991) (agency may not use appropriated funds to pay the phone charges, but may use appropriated funds to investigate).
 1. Exceptions for DoD and State Department. The above prohibition does not apply to the installation, repair, or maintenance of telephone lines in residences owned or leased by the U.S. Government. It also does not apply to telephones in private residences if the SECDEF determines they are necessary for national defense purposes. *See* 31 U.S.C. § 1348(a)(2) and (c). *See also* Timothy R. Manns – Installation of Tel. Equip. in Employee Residence, B-227727, 68 Comp. Gen. 307 (1989) (telephone in temporary quarters of National Park Service employee allowed, using same rationale). DoD may install telephone lines in the residences of certain volunteers who provide services that support service members and their families, including those who provide medical, dental, nursing, or

other health-care related services as well as services for museum or natural resources programs. *See* 10 U.S.C. § 1588(f).

2. Exception for Data Transmission Lines. If the phone will be used to transmit data, the above prohibition does not apply. *See* Federal Commc'ns Comm'n – Installation of Integrated Servs. Digital Network, B-280698, Jan. 12, 1999 (unpub.) (agency may use appropriated funds to pay for installation of dedicated Integrated Services Digital Network (ISDN) lines to transmit data from computers in private residences of agency's commissioners to agency's local area network).
 3. Cell Phones. The prohibition on installing telephones in a personal residence does not prevent an agency from purchasing cell phones for its employees, if they are otherwise determined to be a necessary expense. The primary way agencies provide cell phones is for the government to purchase cell phones and then allow its employees to make business-related calls, in which case the agency should adopt a cell phone usage policy. However, agencies may also reimburse their employees for the costs associated with any official government usage of personal cell phones, but such reimbursement must cover the actual costs – not the estimated costs – of the employee. *See* Reimbursing Employees' Government Use of Private Cellular Phones at a Flat Rate, B-287524, 2001 U.S. Comp. Gen. LEXIS 202 (Oct. 22, 2001) (agency may not pay the employees a flat amount each month – in lieu of actual costs – even if the calculation of that flat amount is made using historical data); *see also* Nuclear Regulatory Commission: Reimbursing Employees for Official Usage of Personal Cell Phones, B-291076, 2003 U.S. Comp. Gen. LEXIS 240 (March 6, 2003).
 4. Exception for Teleworking. In 1995, Congress authorized federal agencies to install telephones and other *necessary equipment* in personal residences for purposes of teleworking. *See* Pub. L. No. 104-52, § 620 (Codified at 31 U.S.C., § 1348). Congress also required the Office of Personnel Management (OPM) to develop guidance on teleworking that would be applicable to all federal agencies. That guidance may be found at: <http://www.telework.gov/>.
- K. Fines and Penalties. The payment of a fine or penalty generally does not materially contribute towards an agency's mission accomplishment. Therefore, fines and penalties imposed on government employees and service members are generally considered to be their own personal expense and not payable using appropriated funds. Alan Pacanowski - Reimbursement of Fines for Traffic Violations, B-231981, 1989 U.S. Comp. Gen. LEXIS 635 (May 19, 1989); To the Honorable Ralph Regula, B-250880, Nov. 3, 1992, 1992 U.S. Comp. Gen. LEXIS 1279 (Fines imposed on government employees driving government vehicles also a personal expense). Where the fine itself is not reimbursable, related legal fees

are similarly nonreimbursable. In the Matter of Attorney's Fees in Traffic Offense, B-186857, Feb. 9, 1978, 57 Comp. Gen. 270.

1. Exception Based Upon "Necessary Expense" Rule. If, in carrying out its mission, an agency forces one of its employees to take a certain action which incurs a fine or penalty, that fine or penalty may be considered a "necessary expense" and payable using appropriated funds. Compare To The Honorable Ralph Regula, B-250880, 1992 U.S. Comp. Gen. LEXIS 1279 (Nov. 3, 1992) (military recruiter is personally liable for fines imposed for parking meter violations because he had the ability to decide where to park and when to feed the meter); with To The Acting Attorney Gen., B-147769, 44 Comp. Gen. 313 (1964) (payment of contempt fine proper when incurred by employee forced to act pursuant to agency regulations and instructions).
 2. Agencies may also pay fines imposed upon the agency itself if Congress waives sovereign immunity. *See, e.g.*, 10 U.S.C. § 2703(f) (Defense Environmental Restoration Account); 31 U.S.C. § 3902 (interest penalty).
- L. Licenses and Certificates. Employees are expected to show up to work prepared to carry out their assigned duties. As a result, fees that employees incur to obtain licenses or certificates enabling them to carry out their duties are considered a personal expense rather than a "necessary expense" of the government. *See A. N. Ross, Federal Trade Commission*, B-29948, 22 Comp. Gen. 460 (1942) (fee for admission to Court of Appeals not payable); Colonel Dempsey, B-277033, Jun. 27, 1997, 1997 U.S. Comp. Gen. LEXIS 410 (Fee for state physician's license, DEA certifications not payable, even where advantageous for the government). *But see* AFMAN 65-605, vol. 1, para. 5.42 (Payment for *certain* licenses and certificates, where not used to qualify individuals for employment, allowed).
1. GAO Sanctioned Exception—When the license is primarily for the benefit of the government and not to qualify the employee for his position. National Sec. Agency – Request for Advance Decision, B-257895, 1994 U.S. Comp. Gen. LEXIS 844 (Oct. 28, 1994) (allowing drivers' licenses for scientists and engineers to perform security testing at remote sites); Air Force—Appropriations – Reimbursement for Costs of Licenses or Certificates, B-252467, 73 Comp. Gen. 171 (1994) (approving payment of licenses necessary to comply with state-established environmental standards); Dept. of the Army – Availability of Funds for Security Clearance Expenses, B-307316, Sep. 7, 2006, 2006 U.S. Comp. Gen. LEXIS 144 (agreeing that costs associated with service-member renouncing foreign citizenship in order to obtain security clearance payable are allowable).
 2. Professional Credentials. In 2001, Congress enacted legislation permitting agencies to use appropriations for "expenses for employees to obtain professional credentials, including expenses for professional

accreditation, State-imposed and professional licenses, and professional certification; and examinations to obtain such credentials.” Pub. L. No. 107-107, § 1112(a), 115 Stat. 1238 (Apr. 12, 2001), codified at 5 U.S.C. § 5757. The statutory language does not create an entitlement; instead, it authorizes agencies to consider such expenses as payable from agency appropriations if the agency chooses to cover them. *See* AFMAN 65-605, vol. 1, para. 5.42.2. *But see* Scope of Professional Credentials Statute, B-302548, 2004 U.S. Comp. Gen. LEXIS 176 (prohibiting payment for an employee’s membership in a professional association not required for licensing). In 2006, the military received similar authority, codified at: 10 U.S.C. § 2015. However, this authority may not be used to pay the expenses of a member to obtain professional credentials that are a prerequisite for appointment in the armed forces.

- M. Awards (Including Unit or Regimental Coins and Similar Devices). Agencies generally may not use their appropriated funds to purchase “mementos” or personal gifts. *See* EPA Purchase of Buttons and Magnets, B-247686, 72 Comp. Gen. 73 (1992) (requiring a direct link between the distribution of the gift or memento and the purpose of the appropriation in order to purchase the item with appropriated funds); *see also* Purchase of Baseball Caps by Dept. of Energy, B-260260, Dec. 28, 1995, 96-2 Com. Gen. Proc. Dec. ¶ 131 (disallowing the purchase of baseball caps where there was no direct link to the purpose of the appropriation established). Congress has enacted various statutory schemes permitting agencies to give awards, however. These include:
 - 1. Awards for Servicemembers. Congress has provided specific authority for the SECDEF to “award medals, trophies, badges, and similar devices” for “excellence in accomplishments or competitions.” 10 U.S.C. § 1125.
 - a. The Army has implemented this statute in AR 600-8-22, Military Awards (19 January 2024). The bulk of this regulation deals with the typical medals and ribbons issued to service members (i.e. the Army Achievement Medal, the Meritorious Service Medal, etc).
 - b. Chapter 11 of the regulation allows the presentation of other nontraditional awards for “excellence in accomplishments or competitions which clearly contribute to the increased effectiveness or efficiency of the military unit, for example, tank gunnery, weapons competition, and military aerial competition.” *See* AR 600-8-22, para. 11-1a.
 - c. While the regulation discusses contests and events of a continuing nature, awards “may be made on a one-time basis where the achievement is unique and clearly contributes to increased effectiveness.” *See* AR 600-8-22, para. 11-2b.

- d. Theoretically, these awards could be made in the form of a coin, a trophy, a plaque, or a variety of other “similar devices.” However, the ACOM/ASCC commander or head of the principal HQDA agency, or delegee, must approve the trophies and similar devices to be awarded within their command or agency. *See* AR 600-8-22, para. 1-8d. *See also* Air Force Purchase of Belt Buckles as Awards for Participants in a Competition, B-247687, 71 Comp. Gen. 346 (1992) (belt buckles may be purchased as awards for the annual “Peacekeeper Challenge”).
 - e. Specific Issues Concerning Unit or Regimental Coins. For a detailed discussion of the issues related to commanders’ coins, *see* Major Kathryn R. Sommercamp, *Commanders’ Coins: Worth Their Weight in Gold?*, Army Law., Nov. 1997, at 6.
 - f. The Air Force and Navy/Marine Corps have similar awards guidance. *See generally* AFPD 36-28, Awards and Decorations Programs, (27 Jun 2018); SECNAVINST 3590.4A, Award of Trophies and Similar Devices in Recognition of Accomplishments (28 Jan. 1975). *See also* AFMAN 65-605, vol. 1, para. 5.21.
2. Awards For Civilian Employees. Congress has provided agencies with various authorities to pay awards to their employees. *See* Chapter 45 of Title 5 of the U.S. Code. The most often utilized authority used as a basis to issue an award to a civilian employee is that found at 5 U.S.C. § 4503.
 - a. Regulatory Implementation of this Authority. Awards to civilian employees must be made in accordance with 5 C.F.R. Part 451. Awards to DoD civilians must also be done in accordance with DoD 1400.25, Volume 451 as well as DoD FMR, vol. 8, ch. 3. Para 0311 (May 2020) For Army civilians, the award must also be made in accordance with AR 672-20, Incentive Awards (17 Sept. 2020).
 - b. Non-Cash Awards. The statute states that the “head of an agency may pay a cash award to, *and incur necessary expense for the honorary recognition of*” agency employees. The GAO Redbook and agency regulations expressly permit non-cash awards (such as plaques and coins) for civilian employees. The GAO Red Book, 4th ed., Chapter 3, page 3-158 (“Cash and non-cash awards are permissible.”); *see also* Awarding of Desk Medallion by Naval Sea Sys. Command, B-184306, 1980 U.S. Comp. Gen. LEXIS (Aug. 27, 1980) (stating that desk medallions may be given to both civilian and military as awards for suggestions, inventions, or improvements); Nat’l Security Agency – Availability of Appropriations to Purchase Food as a Non-Monetary Award, B-271511, Mar. 4, 1997, 1997 U.S. Comp. Gen. LEXIS 105

(deciding that food vouchers may be given to civilian employees as awards). As discussed *supra*, the GAO has also sanctioned the purchase of food as one of the expenses that it deems could be necessary to honor the awardees accomplishments under 5 U.S.C. § 4503. In such circumstances, the award is generally not the food; the food is an incidental expense incurred to honor the awardee.

3. Agencies that are authorized emergency and extraordinary expense or similar funds may also use these funds to purchase mementoes for their distinguished visitors.
- N. Use of Office Equipment. Governed by the Joint Ethics Regulation, DoD 5500.07-R (May 15, 2024), Standards of Conduct, DoD Directive 5500.07 (May 15, 2024), 5 C.F.R. § 2635, and 5. C.F.R. Part 3601. The use of government property by Civilian employees to respond to National Guard, Reserve matters is authorized, within certain restrictions. Lorraine Lewis, Esq., B-277678, 1999 U.S. Comp. Gen. LEXIS 104 (Jan. 4, 1999) (agency may authorize use of office equipment to respond to reserve unit recall notification as all government agencies have some interest in furthering the governmental purpose of, and national interest in, the Guard and Reserves). *See* 5 C.F.R. § 251.202; *see also* Office of Personnel Management memorandum, Subject: Use of Official Time and Agency Resources by Federal Employees Who Are Members of the National Guard or Armed Forces Reserves (3 June 1999), which provides general guidance to assist federal agencies in determining under what circumstances employee time and agency equipment may be used to carry out limited National Guard or Reserve functions. *See also* CAPT Samuel F. Wright, *Use of Federal Government Equipment and Time for Reserve Unit Activities*, Reserve Officers Ass'n L. Rev., May 2001 (providing a good overview of this authority).
- O. Expenditures for New or Additional Duties.
1. If during the middle of a fiscal year, legislation or an executive order imposes new or additional duties upon an agency and Congress does not provide that agency with a supplemental appropriation specifically covering that new function, may current appropriations be charged?
 2. Test: Are the new duties sufficiently related to the purpose of a previously enacted appropriation? The Honorable Bill Alexander, B-213137, 63 Comp. Gen. 422 (1984); Director, Nat'l Sci. Found., B-158371, 46 Comp. Gen. 604 (1967).

VII. MILITARY CONSTRUCTION

See 2026 [TJAGLCS Fiscal Law Desk Book](#) (Chapter 8, Construction Funding) for a comprehensive treatment of military construction (MILCON) funding.

VIII. EMERGENCY AND EXTRAORDINARY EXPENSE FUNDS (INCLUDING OFFICIAL REPRESENTATION FUNDS)

- A. Definition. Emergency and extraordinary (E&E) expense funds are appropriations that an agency has much broader discretion to use for "emergency and extraordinary expenses." Expenditures made using these funds need not satisfy the normal purpose rules.
- B. Historical Background. Congress has provided such discretionary funds throughout our history for use by the President and other senior agency officials. *See* Act of March 3, 1795, 1 Stat. 438.
- C. Appropriations Language.
 - 1. For DoD, Congress provides emergency and extraordinary funds as a separate item in the applicable operation and maintenance appropriation. For example, in FY 2023, Congress provided the following O&M to the Army: "For expenses, not otherwise provided for, necessary for the operation and maintenance of the Army, as authorized by law, \$58,604,854,000: Provided, That not to exceed \$12,478,000 can be used for emergencies and extraordinary expenses, to be expended on the approval or authority of the Secretary of the Army, and payments may be made on his certificate of necessity for confidential military purposes." (emphasis added). In the FY18 NDAA, Congress severely limited this authority for intelligence and counter-intelligence activities. *See* § 1041 of the FY18 NDAA; 10 U.S.C. §127(c)(4).
 - 2. Not all agencies receive emergency and extraordinary funds. If Congress does not specifically grant an agency emergency and extraordinary funds, that agency may not use other appropriations for such purposes. *See* HUD Gifts, Meals, and Entm't Expenses, B-231627, 68 Comp. Gen. 226 (1989).
- D. Statutory Background.
 - 1. To the extent Congress appropriates emergency and extraordinary funds, the Department of Defense's use of such funds is governed by 10 U.S.C. § 127. This code section:
 - a. Authorizes the Secretary of Defense and the Secretary of a military department to spend emergency and extraordinary expenses funds for "any purpose he determines to be proper, and such a determination is final and conclusive."
 - b. Requires a quarterly report of such expenditures to the Congress.
 - c. Congressional notice requirement. In response to a \$5 million payment to North Korea in the mid-90s using DoD emergency and

extraordinary expense funds, Congress amended 10 U.S.C. § 127, imposing the following additional restrictions on our use of these funds:

- (1) If the amount to be expended exceeds \$1 million: the Secretary of the Service involved must provide Congress with notice of the intent to make such expenditure and then wait 15 days.
 - (2) If the amount exceeds \$500,000 (but is less than \$1,000,000), the Secretary of the Service involved must provide Congress with notice of the intent to make such expenditure and then wait 5 days.
 2. Other executive agencies may have similar authority. *See, e.g.,* 22 U.S.C. § 2671 (authorizing the State Department to pay for "unforeseen emergencies").
- E. Regulatory Controls. Emergency and extraordinary expense funds have strict regulatory controls because of their limited availability and potential for abuse. The uses DoD makes of these funds and the corresponding regulation(s) dealing with such usage are as follows:
1. Official Representation (Protocol). This subset of emergency and extraordinary expense funds are available to extend official courtesies to authorized guests, including dignitaries and officials of foreign governments, senior U.S. Government officials, senior officials of state and local governments, and certain other distinguished and prominent citizens.
 - a. DoD Regulations: DoD Instruction 7250.13, Official Representation Funds (22 May 2023); DoD FMR, vol. 10, ch. 12, para. 3.19.
 - b. Army Regulation: AR 37-47, Representation Funds of the Secretary of the Army (17 November 2023).
 - c. Air Force Instruction: AFI 65-603, Emergency and Extraordinary Expense Authority (29 April 2020).
 - d. Navy Regulation: SECNAV 7042.7L, Use of Official Representation Funds (30 June 2020).
 2. Criminal Investigation Activities. This subset of emergency and extraordinary expense funds are available for unusual expenditures incurred during criminal investigations or crime prevention.

- a. Army Regulation: AR 195-4, Use of Contingency Limitation .0015 Funds For Criminal Investigative Activities (30 Mar 2020).
 - b. Air Force Instruction: AFI 71-101, vol. 1, Criminal Investigations Program, para. 2.4 (1 July 2019).
 - 3. Intelligence Activities. This subset of emergency and extraordinary expense funds are available for unusual expenditures incurred during intelligence investigations.
 - a. Army Regulation: AR 381-141, Intelligence Contingency Funds (29 June 2020).
 - b. Air Force Instruction: AFI 71-101, vol. 1, Criminal Investigations Program, para. 2.4 (1 July 2019).
 - 4. Other Miscellaneous Expenses (other than official representation). This subset of emergency and extraordinary expense funds are available for such uses as Armed Services Board of Contract Appeals witness fees and settlements of claims. Other examples include:
- F. Use of Official Representation Funds.
- 1. Official courtesies. Official representation funds are primarily used for extending official courtesies to authorized guests. *See* DoD Directive 7250.13, Enc. 3; AR 37-47, para. 2-1. Official courtesies are subject to required ratios of authorized guests to DoD personnel. *See, e.g.,* DoD Instruction 7250.13, Encl 3, para. 4.b.; AR 37-47, para. 2-5.
 - 2. Gifts. Official representation funds may be used to purchase, gifts, mementos, or tokens for authorized guests.
 - a. Gifts to non-DoD authorized guests may cost no more than **\$525** (last updated April 2026). *See* DoD Instruction 7250.13, Encl. 3 (which cross references 22 U.S.C. § 2694, which in turn cross references 5 U.S.C. § 7342; the amount established in the latter statute is revised by GSA). *See* <https://www.gsa.gov/policy-regulations/policy/personal-property-management-policy/foreign-gifts>
 - b. If the authorized guest is from within DoD and is one of the specified individuals listed in Enclosure 2 to DoD Instruction 7250.13, then the command may present him or her with a memento valued at less than **\$100.00**. DoDI 7250.13, para. 3.4a(2)(j).

3. Community Relations and Public Affairs Funds. AR 360-1, Ch. 3 and Ch. 5. Do not use public affairs funds to supplement official representation funds for non-PA purposes. Doing so may violate 31 U.S.C. § 1301.

CHAPTER 6

COMPETITION

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CHAPTER 6

COMPETITION

I. INTRODUCTION

- A. Competition Promotes the Public Interest. “As every individual, therefore, endeavors as much he can both to employ his capital in the support of domestic industry, and so to direct that industry that its produce may be of the greatest value; every individual necessarily labors to render the annual revenue of the society as great as he can. He generally, indeed, neither intends to promote the public interest, nor knows how much he is promoting it. By preferring the support of domestic to that of foreign industry, he intends only his own security; and by directing that industry in such a manner as its produce may be of the greatest value, he intends only his own gain, and he is in this, as in many other cases, led by an invisible hand to promote an end which was no part of his intention.” Adam Smith, *The Wealth of Nations*, (ed. Edwin Canaan, University of Chicago Press, 1976) pp. 477.
- B. Competition Yields Value. A competitive procurement process produces the best value for the government – it enables agencies to acquire high quality goods and services with the most favorable contract terms for the best possible price. *See generally* Professor Steven L. Schooner, *Desiderata: Objectives for a System of Government Contract Law*, 11 PUBLIC PROCUREMENT LAW REVIEW 103 (2002) (discussing competition as one of several overarching principles of government procurement that sometimes are in tension with each other).

II. STANDARD COMPETITIVE PROCEDURES FOR PROCUREMENT CONTRACTS

- A. Procurement Contract. An executive agency *shall* use a procurement contract as the legal instrument between the United States Government and a State, local government, or other recipient, when the principal purpose of the instrument is to acquire by purchase, lease, or barter property or services *for the direct benefit or use of the United States Government*, or whenever the agency otherwise deems appropriate. 31 U.S.C. § 6303.
- B. The Competition in Contracting Act of 1984. Pub. L. No. 98-369, Division B, Title VII, §§ 2701-2753, 98 Stat. 1175 (July 18, 1984) [hereinafter CICA].
 - 1. In 1983, Congress began to look for ways to increase the use of competition in government contracting. This led to Congress’ passage of CICA in 1984, which increased competition in government contracting and imposed more stringent restrictions on the award of noncompetitive–sole-source–contracts. While the Senate originally proposed a marketplace standard of “effective competition” (whereby two or more

contractors acting independent of each other, and the Government, submit bids or proposals), Congress ultimately adopted the more stringent “full and open competition” requirement. H.R. Rep. No. 98-369, at 1421, reprinted in 1984 U.S.C.C.A.N. (98 Stat.) 2109-2110. Ultimately, Congress decided to promote economy, efficiency, and effectiveness in the procurement of supplies and services by requiring agencies to conduct acquisitions on the basis of full and open competition *to the maximum extent practicable*.

2. The Competition Pendulum. Following CICA, Congress periodically revisited the amount of competition applicable to government contracting to strike a balance between efficient, commercial-like contracting procedures and maximizing the use of full and open competition. In the 1990s, Congress passed the Federal Acquisition Streamlining Act of 1994, Pub. L. No. 103-355, 108 Stat. 3243 (1994) [hereinafter FASA] and the Federal Acquisition Reform (Clinger-Cohen) Act of 1996, Pub. L. No. 104-106, §§ 4001-4402, 110 Stat. 186,642-79 (1996) [hereinafter FARA], which significantly reduced the competition requirements for certain acquisition methods and contract types, to include simplified acquisitions, commercial items, and indefinite delivery contracts. Due in part to perceived excesses resulting from certain provisions of the FASA and FARA, Congress reinvigorated competition, particularly in indefinite delivery contracting. *See, e.g.*, National Defense Authorization Act for Fiscal Year 2008, Pub. L. No. 110-181, § 843, 122 Stat. 3,236-39 (2008); Memorandum from Shay Assad, Director, Defense Procurement and Acquisition Policy, Improving Competition in Defense Procurements – Amplifying Guidance (Apr. 27, 2011), <https://www.acq.osd.mil/dpap/policy/policyvault/USA002080-11-DPAP.pdf>; Memorandum from Richard Ginman, Director, Defense Procurement and Acquisition Policy, Contingency Competition Goals and Competition Reviews of Certain Omnibus Contracts, (Feb. 17, 2012), <https://www.acq.osd.mil/dpap/policy/policyvault/USA000907-12-DPAP.pdf>; Under Secretary of Defense for Acquisition, Technology and Logistics, Defense Procurement and Acquisition Policy, Guidelines for Creating and Maintaining a Competitive Environment for Supplies and Services in the Department of Defense, (Dec. 2014), [https://www.acq.osd.mil/dpap/cpic/cp/docs/BBP_2-0_Comp_Guidelines_Update_\(3_Dec_2014\).pdf](https://www.acq.osd.mil/dpap/cpic/cp/docs/BBP_2-0_Comp_Guidelines_Update_(3_Dec_2014).pdf). Notwithstanding these pendulum swings, the fundamental, general rule of CICA has remained unchanged: **Agencies must conduct acquisitions on the basis of full and open competition to the maximum extent practicable.**
3. CICA, as amended by the FASA, FARA and other acts, is located in several titles of the United States Code, including the following:
 - a. Title 10 U.S.C. §§ 3201, 3203-3205, detailing the competition requirements that apply to the Department of War (DoW), the

individual military departments (i.e., Departments of Army, Air Force, and Navy), the Department of Homeland Security (DHS) (i.e., the Coast Guard), and the National Aeronautics and Space Administration (NASA).

- b. Title 41 U.S.C. §§ 1101-1102, 1121-1131, 1301-1304, 1311-1312, 1701-1713, 3101-3106, 3301-3311, addressing the competition requirements for executive agencies other than DoW.
 - (1) 41 U.S.C. § 1101 establishes the Office of Federal Procurement Policy (OFPP) within the Office of Management and Budget to provide leadership and guidance in the development of procurement policies and systems.
 - (2) 41 U.S.C. § 1708 requires agencies to publicize procurement actions by publishing or posting procurement notices.
 - (3) 41 U.S.C. § 1705 requires agencies to appoint advocates for competition.
- 4. Congress regularly works through the annual National Defense Authorization Act (NDAA) to streamline the acquisition process. These efforts are typically, though not always, found in Title VIII of the act (section 800, et seq.). Practitioners should review the annual NDAA as well as the activities of the Defense Acquisition Regulations Council and Federal Acquisition Regulatory Council as they work to implement the NDAA's provisions.
- 5. Because implementing statutory changes to the competition requirements can be time-consuming, the Defense Pricing and Contracting Office issues guidance and class deviations that implement statutory changes ahead of formal regulatory changes. These deviations are available at https://www.acq.osd.mil/dpap/dars/class_deviations.html

C. Application.

- 1. Except as otherwise provided and except in the case of procurement procedures *otherwise expressly authorized by statute*, an executive agency using a procurement contract shall obtain full and open competition (41 U.S.C. § 107) through the use of competitive procedures. 41 U.S.C. § 3301 and 41 U.S.C. §§ 152.
- 2. The standard competitive procedures are sealed bidding and contracting by negotiation. 41 U.S.C. § 3301(b) and 10 U.S.C. § 3201(b).

3. For competitive procedures, the RFO FAR provides for three possible levels of competition:
 - a. Full and Open Competition. RFO FAR 6.101.
 - b. Full and Open Competition After Exclusion of Sources. RFO FAR 6.102.
 - c. Other Than Full and Open Competition. RFO FAR 6.103.
 4. Within each of these three levels of competition, agencies must achieve full and open competition to the maximum extent practicable.
- D. Full and Open Competition. 10 U.S.C. § 3201(a)(1); 41 U.S.C. § 3301(a)(1); RFO FAR 6.101.
1. Definition. 41 U.S.C. § 107 and RFO FAR 2.101.
 - a. “Full and open competition” refers to a contract action in which all responsible sources are permitted to submit sealed bids or competitive proposals on the procurement. 41 U.S.C. § 113 defines responsible sources.
 - b. Full and open competition does not require agencies to achieve actual competition. The standard is that interested parties are afforded the opportunity to submit bids or proposals – agencies are not required to receive more than one bid or proposal.
 2. Policy. RFO FAR 6.101.
 - a. Contracting officers shall provide for full and open competition by using competitive procedures to solicit offers and award contracts unless they can justify using full and open competition after exclusion of sources (RFO FAR 6.102), or other than full and open competition (RFO FAR 6.103).
 - b. Contracting officers must use the competitive procedure that is best suited to the particular contract action, consistent with the need to fulfill the Government’s requirements efficiently. *See Nat’l Gov’t Servs., Inc. v. United States*, 923 F.3d 977, 983 (Fed. Cir. 2019) (quoting FAR 6.101).
 3. Examples of competitive procedures that promote full and open competition include (RFO FAR 6.101):
 - a. Sealed bids. RFO FAR Part 14.
 - b. Competitive proposals (i.e., negotiation). RFO FAR Part 15.

- c. Combination of competitive procedures (e.g., two-step sealed bidding).
 - d. Other competitive procedures (e.g, the Federal Supply Schedule, Broad Agency Announcements, Commercial Solutions Opening, Prize Competitions).
 - 4. Unfair Competitive Advantage. Competition must be conducted on an equal basis. AlliantCorps, LLC, B-417126, et al., Feb. 27, 2019 (stating a fundamental principle of government procurement is that competitions are held on an equal basis – meaning offerors are treated equally and are provided a common basis to prepare proposals). An “unfair competitive advantage” or organizational conflict of interest, can arise in a variety of different factual contexts. *See* Chapter on Responsibility, Timeliness, and Organizational Conflicts of Interest for more information. But, “a competitive advantage of an incumbent contractor, which was gained by virtue of that contractor’s performing the incumbent contract, is not an unfair or improper competitive advantage, and an agency is not required to attempt to equalize competition to compensate for that advantage unless there is evidence of preferential treatment or other improper action.” Assured Performance Sys. Inc., B-418233.2 (Mar. 10, 2020, 2020 CPD ¶ 101 at 5).
- E. Full and Open Competition After Exclusion of Sources. 10 U.S.C. § 3203; 41 U.S.C. § 3303; RFO FAR 6.102; RFO DFARS 206.102.
- 1. In CICA, Congress recognized that there were certain situations where the field of competition should be limited to certain groups.
 - a. CICA allows an agency to “provide for the procurement of property or services covered by this section using competitive procedures but excluding a particular source in order to establish or maintain any alternative source or sources of supply for that property or service” as long as the agency head made the determination. CICA, codified at 10 U.S.C. § 3203 and 41 U.S.C. § 3303.
 - b. Congress also recognized that an agency may limit competition in order to fulfill the statutory requirements relating to small business concerns and socially and economically disadvantaged small business concerns. CICA, codified at 10 U.S.C. § 3203(b) and 41 U.S.C. § 3303(b).
 - 2. This policy of full and open competition after excluding one or more source enacted through RFO FAR 6.102 and RFO DFARS 206.102.

- a. The policy allows contracting officers, under *limited* circumstances, to exclude one or more source from a particular contract action.
 - b. After excluding these sources, a contracting officer must use competitive procedures (e.g. sealed bids, competitive proposals, or combination of competitive procedures) to promote full and open competition among non-excluded offerors.
3. A contracting officer may generally exclude one or more sources under two circumstances.
- a. Establishing or maintaining alternative sources. RFO FAR 6.102-1(a); RFO DFARS 206.102-1. RFO DFARS PGI 206.102-1.
 - (1) The agency head must determine that the exclusion of one or more sources will serve one of six purposes:
 - (a) Increase or maintain competition and likely result in reduced overall costs for the acquisition, or anticipated acquisition, of the services or supplies;
 - (b) Serve the interests of national defense in having facilities, producers, manufacturers, or other suppliers available to furnish necessary supplies and services in the event of a national emergency or industrial mobilization; Hawker Eternacell, Inc., Comp. Gen. B-283586, 1999 U.S. Comp. Gen. LEXIS 202 (Nov. 23, 1999); Martin Elecs. Inc., Comp. Gen. B-219803, Nov. 1, 1985, 85-2 CPD ¶ 504
 - (c) Serve the interests of national defense in establishing or maintaining an essential engineering, research, or development capability to be provided by an educational or nonprofit institution, or federally funded research and development center;
 - (d) Ensure the continuous availability of a reliable source of supplies or services. E.g. PWC Logistics Servs. Corp., B-400660, Jan. 6, 2009, 2009 CPD ¶ 167 (rejecting a challenge to a DoW decision to split the logistics support contract for the Iraq AOR into two contracts and reserve the right under RFO FAR 6.202(a) to deny both contracts to a single contractor);

- (e) Satisfy projected needs based on history of high demand; or
 - (f) Satisfy a critical need for medical, safety, or emergency supplies.
 - (2) The agency head must support the decision to exclude one or more sources with written determinations and findings (D&F). RFO FAR 6.102(b)(1). The D&F is a special form of written approval by an authorized official that is required by statute or regulation as a prerequisite to taking certain governmental action. It consists of a determination (a conclusion) that is supported by the findings (statements of fact or rationale). *See* RFO FAR Subpart 1.5; *see also* RFO DFARS 206.102(b); RFO DFARS PGI 206.102-1(b) (providing sample format and listing required contents).
 - (a) The agency head or his designee must sign the D&F.
 - (b) The agency head cannot create a blanket D&F for similar classes of procurements.
 - (3) In DoW, agencies may use this exception to totally or partially exclude a particular source from a contract action. RFO DFARS 206.201(a).
- b. Set-asides for small business concerns. RFO FAR 6.102-2.
- (1) A contracting officer may limit competition to small business concerns to satisfy statutory or regulatory requirements. A “set aside for small business” is the reserving of an acquisition exclusively for participation by small business concerns. *See* RFO FAR 19.5.
 - (2) The contracting officer is not required to support the determination to set aside a contract action with a separate written justification or D&F.
 - (3) Competition under RFO FAR 6.102-2 cannot be restricted to only *certain* small businesses. Department of the Army Request for Modification of Recommendation, Comp. Gen. B-290682.2, Jan. 9, 2003, 2003 CPD ¶ 23 (stating that while CICA allows for the exclusion of non-small business concerns to further the Small Business Act, it still requires “full and open competition among eligible small business concerns.” Such procedures must allow all responsible

eligible business concerns [i.e., small business concerns] to submit offers.).

(4) RFO FAR 19 contains set-aside guidance.

c. Set asides for local firms during a major disaster or emergency.
RFO FAR 6.102-3. 42 U.S.C. § 5150.

F. Other Than Full and Open Competition. 10 U.S.C. § 3204; 41 U.S.C. § 3304;
RFO FAR 6.103; RFO DFARS 206.103.

1. Policy. RFO FAR 6.103.

a. Executive agencies cannot contract without providing for full and open competition unless one of the statutory exceptions listed in RFO FAR 6.103 applies.

b. A contract awarded without full and open competition must reference the applicable statutory exception.

c. Agencies cannot justify non-competitive procurements based on:

(1) A lack of advance planning. 10 U.S.C. § 3204(e)(5)(A);
RFO FAR 6.103(b)(1).

(a) Noncompetitive procedures may not be justified on an agency's failure to conduct advanced planning. RBC Bearings, Inc., Comp. Gen. B-401661, Oct. 27, 2009, 2009 CPD ¶ 207 (finding Army's failure to qualify a source for 10 years amply established a failure to conduct adequate and reasonable advanced planning); VSE Corp., B-290452.3, May 23, 2005, 2005 CPD ¶ 103 (disapproving award of sole source bridge contract in part due to agency's failure to conduct advanced planning); Worldwide Language Resources, Inc., B-296984, Nov. 14, 2005, 2005 CPD ¶ 206 (determining that a justification and approval for sole source award of bilingual-bicultural advisors contract revealed lack of advance planning and not unusual and compelling circumstances).

(b) Advanced planning must be reasonable, not completely error free. Trailboss Enterprises, Inc., B-415970, et al., May 7, 2018, 2018 CPD ¶ 171 (upholding sole source award based on unusual and compelling urgency notwithstanding the agency's failure to anticipate the time necessary to resolve

protests and complete corrective action); Bannum, Inc., B-289707, Mar. 14, 2002, 2002 CPD ¶ 61 (finding that while the agency's planning ultimately was unsuccessful, this was due to unanticipated events, not a lack of planning); Diversified Tech. & Servs. of Virginia, Inc., B-282497, July 19, 1999, 99-2 CPD ¶ 16 (refusing to fault the Department of Agriculture where the procurement was delayed by the agency's efforts to implement a long-term acquisition plan).

- (c) To avoid a finding of "lack of advance planning" agencies must make reasonable efforts to obtain competition. eFedbudget Corp., B-298627, Nov. 15, 2006, 2006 CPD ¶ 159 (sustaining protest where the agency failed to show how it planned to avoid being in a sole source situation in view of the limited license the agency had in certain computer software); Heros, Inc., B-292043, June 9, 2003, 2003 CPD ¶ 111 (stating agencies "must act affirmatively to obtain and safeguard competition; they cannot take a passive approach and remain in a sole source situation when they could reasonably take steps to enhance competition."); Raytheon Co. - Integrated Defense Sys., B-400610, Dec. 22, 2008, 2009 CPD ¶ 8 (finding Navy's follow-on, sole source award of three contracts to modernize automated portions of the Aegis Combat System and make the software commercial-off-the-shelf (COTS) compatible promoted competition and did not constitute a lack of advanced planning).
- (2) Concerns related to the amount of funds. 10 U.S.C. § 3204(e)(5)(A); RFO FAR 6.103(b)(2). Cf. AAI ACL Tech., Inc., B-258679.4, Nov. 28, 1995, 95-2 CPD ¶ 243 (distinguishing the expiration of funds from the unavailability of funds).
- (3) The contracting officer must solicit offers from as many potential sources as is practicable under the circumstances. RFO FAR 6.103(c); Bausch & Lomb, Inc., B-298444, Sept. 21, 2006, 2006 CPD ¶ 135 (rejecting sole source award despite presence of unusual and compelling urgency where agency failed to consider other available sources that expressed an interest); Innovation Dev. Enterprises of Am., Inc. v. United States, 108 Fed. Cl. 711, 732 (2013) (sustaining protest of a sole source award where the agency

“neglected to post a synopsis which might have produced expressions of interest from competitors ...; and performed only the most cursory searches for contractors capable of fulfilling the ... bridge contract.”).

2. There are seven statutory exceptions to the requirement to provide for full and open competition.
 - a. Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements. 10 U.S.C. § 3204(a)(1); 41 U.S.C. § 3304(a)(1); RFO FAR 6.103-1; RFO DFARS 206.103-170.
 - (1) DoW, NASA, and the Coast Guard.
 - (a) The agency is not required to provide for full and open competition if there is only one or a *limited* number of responsible sources that can satisfy the agency’s requirements **and** no other type of supplies or services will satisfy agency requirements.
 - (b) Smith and Wesson, Inc., B-400479, Nov., 20, 2008, 2008 CPD ¶ 215 (upholding the rationality of the agency’s decision to purchase Glock firearms for the Pakistani military as the Pakistanis already had a logistics system to support the weapons and supporting a new firearm would be overly burdensome); Cubic Defense Sys., Inc. v. United States, 45 Fed. Cl. 239 (1999); Metric Sys. Corp. v. United States, 42 Fed. Cl. 306 (1998); Datacom, Inc., Comp. Gen. B-274175., Nov. 25, 1996, 96-2 CPD ¶ 199; *But see* Lockheed Martin Sys. Integration—Owego, Comp. Gen. B-287190.2, May 25, 2001, 2001 CPD ¶ 110 (when an agency relies on this exception, the agency must give other sources “notice of its intentions, and an opportunity to respond to the agency’s requirements.” The agency must “adequately apprise” prospective sources of its needs so that those sources have a “meaningful opportunity to demonstrate their ability” to satisfy the agency’s needs. When the agency gave “misleading guidance” which prejudiced the protestor, GAO invalidated the sole source award); National Aerospace Group, Inc., Comp. Gen. B-282843, Aug. 30, 1999, 99-2 CPD ¶ 43 (sustaining protest where the Defense Logistics

Agency's documentation failed to show that only the specific product would satisfy the agency's need).

(2) Other Agencies.

(a) The agency is not required to provide for full and open competition if:

(i) There is only *one* responsible source (as opposed to "a limited number"); and

(ii) No other supplies or services will satisfy the agency's requirements.

(3) Unsolicited, unique, and innovative proposals may form the basis for a sole source award. *See* RFO FAR 6.103-1(c)(1).

(4) Follow-On Contracts. Supplies (and highly specialized services for the DoW, NASA, and Coast Guard, RFO FAR 6.103-1(c)(2) may be deemed available only from the original source in follow-on contracts for the continued development or production of a major weapon system or highly specialized equipment, including major components thereof, when it is likely that award to any other source would result in:

(a) Substantial duplication of cost to the Government that is not expected to be recovered through competition, or

(b) Unacceptable delays in fulfilling agency requirements. RFO FAR 6.103-1(c)(2)(ii); Raytheon Co. - Integrated Defense Sys., Comp. Gen. B-400610, Dec. 22, 2008, 2009 CPD ¶ 8 (upholding follow-on sole source award to incumbent contractor of Aegis Combat System because award to any other offeror would lead to unacceptable delay).

(5) Limitations. RFO FAR 6.103(d)(2).

(a) Must be supported by a written justification and approval (J&A). J&A must be posted on fbo.gov, along with a synopsis (if required), within 14 days after award, and remain up for 30 days. McAfee, Inc. v. United States, 111 Fed. Cl. 696 (2013) (sustaining protest where the Air Force's discrete

procurement actions consisting of in-scope modifications and brand name solicitations implemented a broader scheme of standardization that evidenced a predicate decision to adopt a sole source system *without* the required J&A).

- (b) Must publish noticed required by RFO FAR 6.104 and consider any bids, proposals, quotations, or capability statements received. Career Sys. Dev. Corp., B-411346.11, et al., May 18, 2018, 2018 CPD ¶ 176 (sustaining protest where the agency failed to meaningfully consider the capability statement received).
 - (c) DFARS 206.103-170(d). When utilizing RFO FAR 6.103-1, the contracting officer shall post the source sought notice and include the results of this inquiry in the justification required. *See also* RFO DFARS PGI 206.103-170.
- (6) But, “CICA and the FAR do not contemplate that an agency may only find supplies to be available from one responsible source in the specific circumstances identified in sub-subparagraphs 6.302–1(a)(2)(i)–(iii). Rather, those circumstances are non-exhaustive examples of scenarios in which an agency may reasonably find that only one responsible source exists.” PTC Inc., B-416863, Dec. 20, 2018, 2019 CPD ¶ 48 at 8.
- (7) *See below* regarding Brand Name Justifications. *See also* RFO FAR 6.103-1(d).
- b. Unusual or Compelling Urgency. 10 U.S.C. § 3204(a)(2); 41 U.S.C. § 3304(a)(2); RFO FAR 6.103-2; RFO DFARS 206.103-270. *See SSI Technology, Inc. v. United States* --- Fed.Cl. ---- 2020 WL 2464801 5/12/2020 Fed.Cl. (denying protest where the agency’s unusual and compelling urgency for the item it was procuring forced it to seek to contract with only offerors that already had first article testing approval). Contracting officers will frequently use this exception applying the naming convention of a “bridge contract.”
 - (1) An agency is not required to provide for full and open competition if:
 - (a) Its needs are of unusual and compelling urgency; and

- (b) The government will be seriously injured, financially or otherwise, unless the agency can limit the number of sources from which it solicits offers.
- (2) The RFO DFARS Procedures, Guidance, and Information (PGI) 206.103-170 provide circumstances under which unusual and compelling urgency may be appropriate. They include, but are not limited to:
 - (a) Supplies, services or construction needed at once because of fire, flood, explosion, or other disaster.
 - (b) Essential equipment or repair needed at once to—
 - (i) Comply with orders for a ship;
 - (ii) Perform the operational mission of an aircraft, or
 - (iii) Preclude impairment of launch capabilities or mission performance of missiles or missile support equipment.
 - (c) Construction needed at once to preserve a structure or its contents from damage.
 - (d) Purchase requests citing an issue priority designator under DOW 4140.1-R, DOW Materiel Management Regulation, of 4 or higher, or citing “Electronic Warfare QRC Priority.”
- (3) Limitations.
 - (a) Must be supported by a J&A which may be made and approved after contract award. The J&A must be published to fbo.gov within 30 days of contract award, and remain posted for 30 days. RFO FAR 6.301(b) and 6.301(c).
 - (b) Agencies must request offers from as many sources as practicable under the circumstances. RFO FAR 6.103(c); Pegasus Global Strategic Solutions, Inc., B-400422.3, Mar. 24, 2009, 2009 CPD ¶ 73 (holding that although the agency must request offers from as many as sources as practicable, the agency may properly not consider offers from those firms that it reasonably believes cannot perform the work in a combat environment); Bausch & Lomb,

Inc., B-298444, Sept. 21, 2006, 2006 CPD ¶ 135 (sustaining protest where the agency could not explain why there was not time to open the competition to a limited number of offerors on an expedited basis).

- (c) Period of Performance. RFO FAR 6.103-2(c). For acquisitions greater than the simplified acquisition threshold, the period of performance:
 - (i) May not exceed the time necessary:
 - a. To meet the unusual and compelling requirements of the work to be performed under the contract; and
 - b. For the agency to enter into another contract for the required goods and services through the use of competitive procedures.
 - (ii) May not exceed one year unless the head of an agency entering into the contract determines that exceptional circumstances apply. This is a separate Justification and Approval.
- (4) Common situations. Camden Shipping Corp., B-406171, B-406323, Feb. 27, 2012, 2012 CPD ¶ 76 (allowing a “bridge contract” where only the incumbent could ensure uninterrupted operation of the vessel); Pegasus Global Strategic Solutions, LLC, B 400422.3, Mar. 24, 2009, 2009 CPD ¶ 73 (upholding out-of-scope modification of counter improvised explosive device electronic warfare system contract on the basis of an unusual and compelling urgency); T-L-C Sys., B-400369, Oct. 23, 2008, 2008 CPD ¶ 195 (finding that failure of fire alarm system justified sole source award of contract limited to only those fire alarms which malfunctioned); J&J Colombia Serv., B-299595.3, June 26, 2007, 2007 CPD ¶ 126 (upholding award of sole-source bridge contract where award of a long-term contract was delayed by litigation and agency reasonably determined that only the incumbent contractor could perform the urgently required services).
- (5) Common Problems. RBC Bearings, Inc., B-401661, Oct. 27, 2009, 2009 CPD ¶ 207 (disapproving agency’s actions

where an agency failure to approve an alternative source caused the lack of advanced planning and created the unusual and compelling urgency); Major Contracting Services, Inc., B-401472, Sept. 14, 2009, 2009 CPD ¶ 170 (sustaining protest where agency extended a contract on a sole-source basis where it did not establish that only the incumbent could provide the services and the agency could have avoided the urgency that ultimately led to the sole-source award through advance procurement planning.) Bausch & Lomb, Inc., B-298444, Sept. 21, 2006, 2006 CPD ¶ 135 (sustaining protest where the agency could not explain why there was not time to open the competition to a *limited number of offerors* on an expedited basis); Signals and Sys., Inc., B-288107, Sept., 21, 2001, 2001 CPD ¶ 168 (stating that an “urgency justification cannot support the procurement of more than the minimum quantity needed to satisfy the immediate urgent requirement.” Since the Army did not know how many items it needed to replace, the Army also could not know what “minimum quantity” it needed. Further, the Army made no reasonable effort to discover how many items would have to be replaced. Therefore, GAO sustained the protest that the Army purchased more units than were necessary); National Aerospace Group, Inc., B-282843, Aug. 30, 1999, 99-2 CPD ¶ 43 (finding that agency documentation failed to show that need was of an unusual and compelling urgency).

- c. Industrial Mobilization; Engineering, Developmental, or Research Capability; or Expert Services. 10 U.S.C. § 3204(a)(3); 41 U.S.C. § 3304(a)(3); RFO FAR 6.103-3; RFO DFARS 206.103-370.
 - (1) An agency is not required to provide for full and open competition if it must limit competition in order to:
 - (a) Maintain facilities, producers, manufacturers, or suppliers to furnish supplies or services in the event of a national emergency or industrial mobilization. Ridgeline Ind., Inc., B-402105, Jan. 7, 2010, 2010 CPD ¶ 22 (approving of DLA’s use of RFO FAR 6.302-3 to purchase tents from one vendor, who was one of only seven military specification tent vendors in the nation, to ensure the companies continued viability); Coulson Aviation (USA) Inc., B-409356.2-6, Mar. 31, 2014 (finding that a sole source award for industrial mobilization lacked adequate justification when the J&A was devoid of

evidence that the awardee required a contract to remain a viable source of supply);

- (b) Establish or maintain an essential engineering, research or development capability to be provided by an educational institution, nonprofit institution, or federally funded research and development center, or
 - (c) Acquire the services of an expert or neutral person for any current or anticipated litigation or dispute. *See SEMCOR, Inc.*, B-279794, July 23, 1998, 98-2 CPD ¶ 43 (defining “expert”).
 - (2) Limitations. Must be supported by a written J&A posted to beta.SAM.gov within 14 days of the award, and remain for 30 days. RFO FAR 6.301.
- d. International Agreement. 10 U.S.C. § 3204(a)(4); 41 U.S.C. § 3304(a)(4); RFO FAR 6.103-4; RFO DFARS 206.103-4.
- (1) An agency is not required to provide for full and open competition if it is precluded by:
 - (a) An international agreement or treaty (e.g., a status of forces agreement (SOFA)); or
 - (b) The written direction of a foreign government that will reimburse the agency for its acquisition costs (e.g., pursuant to a Foreign Military Sales agreement). *See Electro Design Mfg., Inc.*, B-280953, Dec. 11, 1998, 98-2 CPD ¶ 142 (upholding agency’s decision to combine system requirements into single procurement at foreign customer’s request); *Goddard Indus., Inc.*, B-275643, Mar. 11, 1997, 97-1 CPD ¶ 104 (involving the purchase for spare parts at the direction of the Republic of the Philippines); *Pilkington Aerospace, Inc.*, B-260397, June 19, 1995, 95-2 CPD ¶ 122.
 - (2) Limitations. Except for DoW, NASA, and the Coast Guard, must be supported by a written J&A posted to the GPE for 30 days. RFO FAR 6.103-4. For DoW, the head of the contracting activity must prepare a document describing the terms of an agreement, treaty, or written directions, such as a Letter of Offer and Acceptance in a Foreign Military Sales case, that have the effect of requiring the use of other than competitive procedures. RFO DFARS 206.103-4.

- e. Authorized or required by statute. 10 U.S.C. § 3204(a)(5); 41 U.S.C. § 3304(a)(5); RFO FAR 6.103-5; RFO DFARS 206.103-5.
 - (1) An agency is not required to provide for full and open competition if:
 - (a) A statute authorizes or requires the agency to procure the supplies or services from another agency or a specified source¹ OR
 - (i) Federal Prison Industries 18 U.S.C. § 4124;
 - (ii) Qualified Non-profit Agencies for the Blind or other severely disabled. 41 U.S.C. §§ 8501-8506;
 - (iii) Government Printing and Binding. 44 U.S.C. §§ 501-504;
 - (iv) Sole source awards under Section 8(a). 15 U.S.C. § 637;
 - (v) Sole source awards under the HUBZone Act. 15 U.S.C. § 657a;
 - (vi) Sole source awards under the Veterans Benefits Act of 2003;
 - (vii) Sole source awards under the Woman Owned Small Business Program. 15 U.S.C. § 637(m).
 - (b) The agency needs a brand name commercial item for authorized resale by a commissary or similar facilities. RFO FAR 6.103-5(b)(2).
 - (2) Limitations: Except sole source 8(a) contracts over \$30 million (\$100 million for the DoW *See* RFO DFARS 206.104-70), contracts awarded using this authority do not need a J&A.

¹ RFO DFARS 206.103-5 generally permits agencies to use this authority to acquire: (1) supplies and services from military exchange stores outside the United States for use by Armed Forces stationed outside the United States pursuant to 10 U.S.C. § 2424(a) but subject to the limitations of 10 U.S.C. § 2424(b); and (2) police, fire protection, airfield operation, or other community services from local governments at certain military installations that are being closed. However, RFO DFARS 206.103-5 also limits the ability of agencies to use this authority to award certain research and development contracts to colleges and universities.

- f. National Security. 10 U.S.C. § 3204(a)(6); 41 U.S.C. § 3304(a)(6); RFO FAR 6.103-6. An agency is not required to provide for full and open competition if disclosure of the government's needs would compromise national security (e.g., would violate security requirements). However, the mere fact that an acquisition is classified, or requires contractors to access classified data to submit offers or perform the contract, does not justify limiting competition. Contracts awarded under this exception require a written Justification and Approval as described in subpart 6.104. Agencies are still required to request offers from as many potential sources as practicable under the circumstances.
- g. Public Interest. 10 U.S.C. § 3204(a)(7); 41 U.S.C. § 3304(a)(7); RFO FAR 6.103-7; RFO DFARS 206.103-7. An agency is not required to provide for full and open competition if the agency head determines that full and open competition is not in the public interest.
 - (1) The agency head must support the determination to use this authority with a written D&F. The D&F must be made on an individual basis, not a class basis. RFO FAR 6.103-7(c).
 - (2) The agency must notify Congress at least 30 days before contract award. Northrop Grumman Corp. v. United States, 46 Fed. Cl. 622 (2000) (holding that NASA's use of the public interest exception required Congressional *notice*, and not Congressional *consent*). *See also Spherix, Inc. v. United States*, 58 Fed. Cl. 351 (2003).
 - (3) Application with other exceptions. *But see, Sikorsky Aircraft Corp.*, B-403471.3, Nov. 5, 2010, 2010 CPD ¶ 271 (finding agency decision to purchase M-17 aircraft for the Afghani Army using RFO FAR 6.302-7 over 6.302-1 reasonable and therefore unobjectionable).
3. Justification and Approval. The use of Other than Full and Open Competition requires written documentation to explicitly state why one of the exceptions applies, exception 6.103-5 and 6.103-7. RFO FAR 6.104, RFO FAR 6.103(d)(2), RFO DFARS 206.104-70. Exception seven (i.e. 6.103-7) (public interest) requires a determination and finding as previously described above. GAO's review of a decision to use other than full and open competition "focuses on the adequacy of the rationale and conclusions set forth in the written justification." CWIS, LLC, B-416530, Sept. 14, 2018, 2018 CPD ¶ 321 at 4.
 - a. Basic Requirements. The contracting officer must prepare a written justification, certify its accuracy and completeness, and

obtain all required approvals before negotiating or awarding a contract using other than full and open competitive procedures. RFO FAR 6.104.

- (1) Individual v. Class Justification. RFO FAR 6.104(c).
- (2) Ex Post Facto Justification. RFO FAR 6.103-2(d). The contracting officer may prepare the written justification within a reasonable time after contract award if:
 - (a) The contract is awarded pursuant to the “unusual and compelling urgency” exception (RFO FAR 6.103-2); and
 - (b) Preparing the written justification before award would unreasonably delay the acquisition.

b. Contents. RFO FAR 6.104-1; RFO DFARS 206.303-2.

- (1) The J&A should be a stand-alone document. RFO FAR 6.104; Sabreliner Corp., B-288030, Sep. 13, 2001, 2001 CPD ¶ 170 (holding that inaccuracies and inconsistencies in the J&A and between the J&A and other documentation invalidated the sole source award). *But see*, Argon ST, Inc., B-402908.2, Aug. 11, 2010, 2011 CPD ¶ 4 (rejecting a challenge to a J&A despite a clear error of fact, as the rest of the J&A supports the use of 6.302-2).
 - (a) Each justification must contain sufficient information to justify the use of the cited exception. RFO FAR 6.104.
 - (b) The J&A must document and adequately address all relevant issues.
- (2) At a minimum, under RFO FAR 6.104-1, the justification must:
 - (a) Identify the agency, contracting activity, and document;
 - (b) Describe the action being approved;
 - (c) Describe the required supplies or services and state their estimated value;
 - (d) Identify the applicable statutory exception;

- (e) Demonstrate why the proposed contractor's unique qualifications and/or the nature of the acquisition requires the use of the cited exception;
- (f) Describe the efforts made to solicit offers from as many potential sources as practicable, including whether a notice was or will be published as required by RFO FAR 5;
- (g) Include a contracting officer's determination that the anticipated cost to the government will be fair and reasonable;
- (h) Describe any market research conducted (*see* RFO FAR Part 10), or state why no market research was conducted;
- (i) Include any other facts that justify the use of other than full and open competitive procedures, such as:
 - (i) An estimate of any duplicative cost to the government and how the estimate was derived if the cited exception is the "sole source" follow-on contract exception (RFO FAR 6.103-1(c)(2));
 - (ii) Data, estimated costs, or other rationale to explain the nature and extent of the potential injury to the government if the cited exception is the "unusual and compelling urgency" exception (RFO FAR 6.103-2).
- (j) List any sources that expressed an interest in the acquisition in writing;
- (k) State any actions the agency may take to remove or overcome barriers to competition for future acquisitions; and
- (l) Include a certification that the justification is accurate and complete to the best of the contracting officer's knowledge and belief. RFO FAR 6.104-1.

c. Approval. RFO FAR 6.104-2; RFO DFARS 206.104-72.

- (1) The appropriate official must approve the justification in writing.

- (2) Approving officials.
 - (a) The approval official for proposed contract actions not exceeding \$900,000 (DoW is \$10,000,000) is the contracting officer.
 - (b) The approval official for proposed contract actions greater than \$900,000 (DoW is \$10,000,000), but not exceeding \$20,000,000 (DoW is \$100,000,000), is normally the advocate for competition.
 - (c) The approval official for proposed contract actions greater than \$20,000,000 (DoW is \$100,000,000), but not exceeding \$90,000,000 (DoW is \$500,000,000) is the head of the contracting activity or his designee.²
 - (d) The approval official for proposed contract actions greater than \$90,000,000 (DoW is \$500,000,000) is the agency's senior procurement executive.³
- (3) The agency must determine the appropriate approval official for a class justification based on the total estimated value of the class. RFO FAR 6.104-2(b).
- (4) The agency must include the estimated dollar value of all options in determining the appropriate approval level. RFO FAR 6.104-2(c).
- d. Requirement to Amend the Justification. Prior to contract award, the contracting officer must prepare an amended J&A if:
 - (1) An increase in the estimated dollar value of the contract causes the agency to exceed the approval authority of the previous approval official;
 - (2) A change in the agency's competitive strategy further reduces competition; or
 - (3) A change in the agency's requirements affects the basis for the justification.

² The designee must be a general officer, a flag officer, or in a grade above GS15.

³ "Senior Procurement Executive" means: Under Secretary of Defense (Acquisition, Technology, and Logistics); *See* RFO DFARS 206.104-72.

- e. Availability of Justification. RFO FAR 6.301. Justification shall be made available on the government point of entry for a minimum of 30 days. *See also* RFO DFARS 206.301 and PGI 206.301.

III. OTHER SPECIFIC COMPETITIVE PROCEDURES FOR PROCUREMENT CONTRACTS

A. Broad Agency Announcements (BAAs). BAAs are “used to obtain proposals for basic and applied research and development to advance or evaluate cutting edge technologies, not related to a specific system or hardware requirement.”⁴ BAAs encourage innovation through exploration of multiple scientific approaches such as research and development (R&D) studies, prototypes, small business innovation research (SBIR) efforts, science and technology (S&T) initiatives, and technology maturation.⁵ Use of BAA procedures is not limited to awarding contracts and may be used to award Other Transaction agreements (see also 10 U.S.C. §§ 4021, 4022).

1. BAA Resources.

- a. RFO FAR 35.016. Broad agency announcement.
- b. RFO DFARS 235.016. Broad agency announcement.
- c. 10 U.S.C. § 3012(2). Competitive procedures.
- d. 10 U.S.C. 4004. Contract authority for development and demonstration of initial or additional prototype units.
- e. RFO FAR 6.101(b)(3)(ii). Use of competitive procedures.
- f. DARPA Guide to Broad Agency Announcements and Research Announcements (December 2023).

2. Statutory and Regulatory Authority.

- a. Both federal statute and the FAR consider BAAs to satisfy the CICA requirement for full and open competition as an “other competitive procedure.” RFO FAR 6.101(b)(3)(ii); RFO DFARS 235.172, 10 U.S.C. §3012(2). Competitive selection of basic and applied research and that part of development not related to the development of a specific system or hardware procurement is a

⁴ Defense Acquisition University, *Broad Agency Announcement (FAR 35.016)*, CONTRACTING CONE, <https://aaf.dau.edu/aaf/contracting-cone/baa> (last accessed Jan. 11, 2026).

⁵ *See Id.*

competitive procedure if award results from... [a] broad agency announcement that is general in nature identifying areas of research interest, including criteria for selecting proposals, and soliciting the participation of all offerors capable of satisfying the Government's needs.

- b. The DoW has expanded authority to contract for “the development and demonstration or initial production of technology developed under the [BAA] contract” or “the delivery of initial or additional items if the item or a prototype thereof is created as the result of work performed under the [BAA] contract.” 10 U.S.C. 4004(a).

3. BAA Limitations.

- a. A BAA “shall only be used when meaningful proposals with varying technical/scientific approaches can be reasonably anticipated.” RFO FAR 35.102(a).
- b. Proposals received as a result of the BAA shall be evaluated in accordance with evaluation criteria specified therein through a peer or scientific review process. RFO FAR 35.102(d). “Peer or scientific review” is a “process of proposal review that utilizes a group of experts in the field represented by the proposal to evaluate the proposal merit.”⁶ Such review can be accomplished “by government or outside scientists” and can be performed “by assembling panels of scientists, by receiving evaluations by mail, or by hiring a contractor to evaluate all proposals.”⁷
- c. Contracts or agreements for research, development, and prototypes which result from a BAA must be funded using RDT&E funds.⁸ RFO DFARS 235.102.
- d. If the DoW uses its expanded authority under 10 U.S.C. § 4004(a), such additional contractual line items or options “shall require the delivery of the minimal amount of initial or additional items to allow for the timely competitive solicitation and award of a follow-on development or production contract for those items.” 10 U.S.C. § 4004(b)(1). Such a contract line item or option “shall be for a term of not more than 2 years (10 U.S.C. § 4004(b)(2)) and “may

⁶ JOHN CIBINIC ET AL., FORMATION OF GOVERNMENT CONTRACTS § 10.03[D][2] (5th ed. 2023).

⁷ *Id.*

⁸ Defense Acquisition University, *Broad Agency Announcement (FAR 35.016)*, CONTRACTING CONE, <https://aaf.dau.edu/aaf/contracting-cone/baa> (last accessed Jan. 11, 2026).

not exceed \$100,000,000, in fiscal year 2017 constant dollars” (10 U.S.C. § 4004(b)(3)). *See* RFO DFARS 234.7202(e).

4. RFO FAR Requirements and BAA Procedures.

- a. A BAA must still adequately “describe the agency’s research interest, either for an individual program requirement or for broadly defined areas of interest covering the full range of the agency’s requirements.” RFO FAR 35.102(b). It must also “[d]escribe the criteria for selecting proposals, their relative importance, and the method of evaluation,” “[s]pecify the period of time during which proposals submitted in response to the BAA will be accepted,” and “[c]ontain instructions for the preparation and submission of proposals.” RFO FAR 35.102(b).
- b. The contracting officer must publicize the availability of the BAA through the Governmentwide point of entry (GPE) and, if authorized pursuant to RFO FAR 5.5, may also be published in noted scientific, technical, or engineering periodicals. RFO FAR 35.102(c). This notice satisfies the synopsis requirement of RFO FAR subpart 5.2 and an additional synopsis is not required. RFO FAR 35.102(g).
- c. While proposals received as a result of the BAA “shall be evaluated in accordance with the evaluation criteria specified therein through a peer or scientific review process,” the proposals “need not be evaluated against each other since they are not submitted in accordance with a common work statement.” RFO FAR 35.102(d).
- d. When awarding a follow-on contract or Other Transaction agreement based on a BAA, the primary basis for selecting proposals for acceptance shall be technical, importance to agency programs, and fund availability. RFO FAR 35.102(e). “Cost realism and reasonableness shall also be considered to the extent appropriate.” *Id.*

5. BAA Practical Issues and Challenges.

- a. The debriefing exception to GAO’s timeliness rules (4 C.F.R. § 21.2(a)(2)) does not apply to BAAs because they are not conducted on the basis of competitive proposals. *See Millennium Space Sys., Inc.*, B-406771, 2012 CPD ¶ 237 (Comp. Gen. Aug. 17, 2012).
- b. Agency-specific supplements can restrict foreign participation in funded research, requiring special international agreements. E.g., “NASA does not normally fund foreign research proposals or foreign research efforts that are part of U.S. research proposals.

Rather, cooperative research efforts are implemented via international agreements between NASA and the sponsoring foreign agency or funding/sponsoring institution under which the parties agree to each bear the cost of discharging their respective responsibilities.” NASA FAR Supplement 1835.016-70.

- c. The term “best value” in a BAA is not automatically equivalent to the structured best value tradeoff process under RFO FAR Part 15. The meaning depends on what the BAA says, how it defines or uses “best value,” and whether the evaluation criteria and processes align with what was promised in the BAA. If “best value” is used loosely, but the BAA does not require formal tradeoffs, the agency may rely more heavily on technical merit, programmatic importance, etc., over price or cost. *See Tetracore, Inc.*, B-412535, 2016 CPD ¶ 27 (Comp. Gen. Jan. 29, 2016).
- d. BAAs are not governed by RFO FAR Part 15 and therefore formal Part 15 requirements such as amendments, discussions, and equal treatment may not apply unless specifically incorporated into the BAA. A protester must show that required notice or amendments should have been made under the BAA’s terms—not import Part 15 mandates. *Blue Origin Federation, LLC v. United States*, 157 Fed. Cl. 74, 109-115 (2021).

- 6. Conclusion. BAAs provide streamlined solicitation procedures for engaging in research and development to advance cutting edge technologies or to improve an agency’s understanding in a certain area of interest. These announcements can lead to follow-on contracts or OT agreements, using technical evaluations, importance to the agency, and fund availability as evaluation factors. As with CSOs, agencies should keep in mind the burden of negotiating data rights and licenses in anticipation of the BAA leading to new developments breakthroughs in the field. There are also limitations on the use of a BAA-based contract or agreement itself, funded with RDT&E, to acquire follow-on products or services. A new acquisition vehicle may be required if the BAA-based research proves fruitful.

- B. Commercial Solutions Opening (CSO). The CSO is a competitive acquisition procedure designed to increase the federal government's access to commercial products, services, and nondevelopmental items, particularly from non-traditional government contractors.⁹ “CSO procedures are similar to those for Broad Agency Announcements (BAAs), with the exception that a CSO can be used to acquire commercial items, technologies, or services that directly meet program

⁹ GSA CSO Guide 2024, p4. *See also* National Defense Authorization Act for Fiscal Year 2026, Pub. L. No. 119-60, § 1823 (2025) (removing term “innovative commercial product or commercial service” from CSO statutory authority).

requirements, whereas BAAs are restricted to basic and applied research.”¹⁰ Use of CSO procedures is not limited to awarding contracts and may be used to award Other Transaction agreements.

1. CSO Resources.

- a. 10 U.S.C. §3458. Authority to acquire commercial products, commercial services, or nondevelopmental items using general solicitation competitive procedures.
- b. RFO DFARS 212.70. Defense Commercial Solutions Opening.
- c. GSA Commercial Solutions Opening (CSO) Guide (September 17, 2024).

2. Statutory and Regulatory Authority.

- a. The CSO concept was originally authorized as a pilot under section 879 of the National Defense Authorization Act (NDAA) for FY 2017 (Pub. L. 114-328).
- b. In FY 2022, Congress made CSOs a permanent acquisition authority for DoW via section 803 of the NDAA for FY 2022, codified at 10 U.S.C. § 3458. “The Secretary of Defense and the Secretaries of the military departments may acquire innovative commercial products and commercial services through a competitive selection of proposals resulting from a general solicitation and the peer review of such proposals.” 10 U.S.C. §3458(a).
 - (1) Use of CSO procedures “shall be considered to be use of competitive procedures for purposes of chapter 221 of [Title 10].” 10 U.S.C. §3458(b).
 - (2) “[P]roducts and services acquired using [CSO authority] shall be treated as commercial products and commercial services.” 10 U.S.C. §3458(c)(3). *See also* RFO DFARS 212.7002(c).
- c. “Contracting officers may only use a CSO – (1) To obtain innovative solutions or potential capabilities that fulfill requirements; (2) To close capability gaps, or provide potential innovative technological advancements; and (3) When meaningful

¹⁰ *Id.*

proposals with varying technical or scientific approaches can be reasonably anticipated.” RFO DFARS 212.7002(a).

- d. In FY 2026, Congress struck the term “innovative commercial product or commercial service” and replaced it with “commercial product, commercial service, or nondevelopmental item” throughout 10 U.S.C. §3458. Additionally, Congress provided for follow-on production agreements for any product, service, or item acquired through the competitive procedures authorized by 10 U.S.C. §3458. *See* National Defense Authorization Act for Fiscal Year 2026, Pub. L. No. 119-60, § 1823 (2025).

3. CSO Limitations.

- a. Contracting officers “shall follow the procedures at PGI 212.7003 to obtain senior procurement executive approval to award a contract in excess of \$100 million resulting from a CSO.” RFO DFARS 212.7003.
- b. When using CSO authority, contracts or agreements “shall be fixed-price, including fixed-price incentive contracts.” 10 U.S.C. §3458(c)(2). Contracting officers “shall use fixed-price type contracts, including fixed-price incentive contracts, for awards resulting from a CSO.” RFO DFARS 212.7002(b). Refer to RFO FAR 12 and 16 for additional requirements regarding fixed-price incentive contracts.
- c. “When using a CSO to acquire research and development, contracting officers shall use the procedures of this subpart in conjunction with RFO FAR part 35 and part 235. A CSO is not subject to the limitations at 235.016 and may be used to fulfill requirements for research and development, ranging from advanced component development through operational systems development.” RFO DFARS 212.7002(d).
- d. Congressional notification may be required for contracts valued at more than \$100 million awarded pursuant to a CSO (see PGI 212.7005). RFO DFARS 212.7005; *see also* 10 U.S.C. §3458(d).

4. Procedures.

- a. A CSO requires adequate description of the agency’s interest “for an individual program requirement or for broadly defined areas of interest,” including “the technical data required that may be necessary to meet DoW’s minimum requirements,” “the evaluation factors for selecting proposals,” “the period of time during which proposals submitted in response to the CSO will be accepted,” and “instructions for the preparation and submission of proposals.”

RFO DFARS 212.7004(a). Unlike a traditional solicitation, a CSO will likely emphasize the need for solutions to an agency problem or “area of interest” and will encourage creative and open-ended approaches from industry.¹¹

- b. The evaluation factors for selecting proposals will include, but are not limited to the following as listed in RFO DFARS 212.7004(1)(3):
 - (1) Technical and importance to agency programs as the primary evaluation factors;
 - (2) Price to the extent appropriate, but at a minimum to determine that the price is fair and reasonable; and
 - (3) Relative importance of the factors, and the method of evaluation.
- c. The contracting officer “shall publicize the CSO through the Governmentwide point of entry.” RFO DFARS 212.7004(b). This notice satisfies the synopsis requirement of RFO FAR subpart 5.2 and an additional synopsis is not required. RFO DFARS 212.7004(d).
- d. CSOs can be structured flexibly depending on the complexity and urgency of the requirement.¹² For instance, an agency may use a phased approach, starting with a white paper or solution brief evaluation, followed by full proposals.
- e. While proposals received in response to the CSO “shall be evaluated in accordance with the evaluation factors specified therein,” the proposals “need not be evaluated against each other since they are not submitted in response to a common performance work statement or statement of work.” RFO DFARS 212.7004(c).
- f. The contracting officer “shall document the decision that the requirements of [RFO DFARS subpart 212.70 have been met and include documentation in the contract file.” RFO DFARS 212.7004(f).

5. CSO Practical Issues and Challenges.

¹¹ U.S. Dep't of Def., Commercial Solutions Opening (CSO), DEFENSE ACQUISITION UNIVERSITY, <https://www.dau.edu/acquipedia-article/commercial-solutions-opening-cso> (last visited Jan. 8, 2026); *see also* Defense Innovation Unit, CSO Guidance, HQ0845-20-S-C001, https://s3.us-gov-west-1.amazonaws.com/publicdocs.diu.mil/DIU_CSQ_HQ0845-20-S-C001.pdf (last visited Jan. 8, 2026).

¹² U.S. Dep't of Def., Commercial Solutions Opening (CSO), DEFENSE ACQUISITION UNIVERSITY, <https://www.dau.edu/acquipedia-article/commercial-solutions-opening-cso> (last visited Jan. 8, 2026).

- a. Agencies are not required to establish a competitive range or conduct discussions unless desired. *See PavCon, LLC*, B-420640, 2022 CPD ¶ 173 (Comp. Gen. Jul. 5, 2022). However, where an agency as part of a CSO procurement avails itself of negotiated procurement procedures, the agency should treat firms fairly and reasonably in the conduct of those procedures. *Id.*
 - b. An agency's consideration of the "importance to agency programs" is reasonable and consistent with the RFO FAR and RFO DFARS requirements for CSOs. *See EH Group, Inc.*, B-419946.2, 2022 CPD ¶ 91 (Comp. Gen. Mar. 25, 2022) (protester arguing that "important to agency programs" and "fund availability" were unstated evaluation criteria).
 - c. Agencies should keep in mind the burden of negotiating data rights and licenses of innovative commercial technologies. The Contracting Officer may be able to negotiate terms and conditions different from those typically used in procurement contracts. GSA CSO Guide 2024, p9.
 - d. Department of Defense should see an increase in the use of CSOs. *See* National Defense Authorization Act for Fiscal Year 2024, Pub. L. No. 118-31, § 813, 138 Stat. 326 (2024). (requiring DoW to issue at least four CSOs per year); *see* U.S. Dep't of Def., Directing Modern Software Acquisition to Maximize Lethality, <https://media.defense.gov/2025/Mar/07/2003662943/-1/-1/1/DIRECTING-MODERN-SOFTWARE-ACQUISITION-TO-MAXIMIZE-LETHALITY.PDF> (last visited Jan. 8, 2026) (directing the use of CSOs and OT Agreements as the default solicitation and award approaches for acquiring capabilities under the Software Acquisition Pathway).
6. Conclusion. CSOs provide streamlined solicitation procedures for acquiring commercial technologies through either contract or OT agreement. Advantages of CSOs may include streamlined solicitation process and selection timelines, and simplified administration procedures. When used correctly, CSOs encourage participation by nontraditional vendors and reduce administrative burden in acquiring innovation. However, the success of CSOs depends on thoughtful planning, consistent application of evaluation procedures, and proper documentation.
- C. Simplified Acquisitions. *See* specific chapter on Simplified Acquisitions. 10 U.S.C. § 3205; 41 U.S.C. § 1901.
1. Competition should occur to the maximum extent practicable. Acquisitions made using simplified acquisition procedures are exempt from the competition requirements of RFO FAR Part 6. 10 U.S.C. § 3205;

41 U.S.C. § 1901; RFO FAR 6.001(a); RFO FAR Part 13. RFO FAR Part 13 details the reduced competition requirements applicable to simplified acquisitions, to include the limited determinations the contracting officer must make to solicit from a single source. RFO FAR 13.101(b).

2. An agency may neither improperly fragment its requirements in order to use simplified acquisition procedures nor may it use simplified acquisition procedures for requirements that should reasonably be valued above the simplified acquisition threshold to avoid the requirement for full and open competition. Critical Process Filtration, Inc., B-400750, Jan. 22, 2009, 2009 CPD 25. 41 U.S.C. § 1901(b); 10 U.S.C. § 3205(b).
 3. Contracts using this competitive procure are subject to several of the provisions indicated in the previous section, such as justifications to deviate from competitive procedures. *See* 41 U.S.C. § 1901(e).
 4. Competition for purchases below the micro-purchase threshold is to ensure the price is reasonable and to equitably distribute purchases amongst qualified supplies. *See* 41 U.S.C. § 1902(d) and (e).
- D. Personal Service Contracts. Personal service contracts for health care, as authorized by 10 U.S.C. § 1091, fall within this exception. *See* RFO DFARS 206.001(b) and 237.201-170(b).
- E. Prize Competitions. 10 U.S.C. § 4025(f). *See* RFO DFARS PGI 206.101-70 for approval authority of prize competitions in excess of \$10,000.
- F. Architectural or Engineering Services. 40 U.S.C. § 1102. *See* specific chapter on Military Construction Contracting. *See also* RFO FAR 36.6.
- G. Nonprofit Agencies Employing Blind or Severely Disabled. 41 U.S.C. § 8504, 41 U.S.C. § 48. *See* RFO FAR 8.2.
- H. Federal Prison Industries. 18 U.S.C. § 4124(a), 10 U.S.C. § 3905. *See* RFO FAR 8.3
- I. General Services Administration Multiple Awards Schedule Program. *See* specific chapter on Federal Supply Schedule. 41 U.S.C. § 152(3)(A), 41 U.S.C. § 259(b)(3). *See* RFO FAR 8.4.
- J. Small Business Act Procurements. *See* specific chapter on Socioeconomic Policies. 15 U.S.C. § 644. *See* RFO FAR 19.

IV. OTHER COMPETITION CONSIDERATIONS FOR PROCUREMENT CONTRACTS

- A. In-Scope Modifications. Contract Modifications within the scope and under the terms of an existing contract, to include the exercise of priced options that were evaluated as part of the initial competition. RFO FAR 6.001(c). *See* specific chapter on Changes.
1. Rationale. The existing contract against which a modification is made was awarded in accordance with RFO FAR Part 6. Since an in-scope modification lies within the scope and terms of the existing contract, it is not again subject to RFO FAR Part 6. Overseas Lease Group, Inc., B-402111, Jan. 19, 2010, 2010 CPD ¶ 34 (finding that a lease for non-tactical and up-armored vehicles included within its terms unarmored vehicles and stating that contract modifications are beyond GAO's bid protest jurisdiction unless the modification is outside the scope of the original contract). *See* AT&T Communications, Inc. v. Wiltel, Inc., 1 F.3d 1201 (Fed. Cir. 1993) (asking "whether the changed contract is materially different from the competed contract?" and holding that a modification adding T3 circuits was within the scope of a comprehensive contract for telecommunication services). *See also* Ceradyne, Inc. v. United States, 103 Fed. Cl. 1, 2 (Fed. Cl. 2012).
 2. Out-of-Scope Modifications. Contract modifications beyond the scope of an existing contract must be awarded in accordance with RFO FAR Part 6. Pegasus Global Strategic Solutions, Inc., B-400422.3, Mar. 24, 2009, 2009 CPD ¶ 73 (approving FAR Part 6 sole source, out-of-scope modification to an existing contract on the basis of an unusual and compelling urgency following agency's prior failed attempt to characterize the modification as an in-scope change to the existing contract).
 3. Options. To fall within this exception to RFO FAR Part 6, options must have been evaluated as part of the initial competition and be exercisable at an amount specified in or reasonably determinable from the terms of the basic contract. RFO FAR 6.001(c); *see* Magnum Opus Techs., Inc. v. United States, 94 Fed.Cl. 512 (2010) (enjoining Air Force from exercising future options under multiple award ID/IQ contract and directing a future competition under FAR Part 6 where "not to exceed pricing" was removed from options after contract award resulting in an undeterminable price for the options in violation of RFO FAR 17.207(f)). If the option was not evaluated as part of the initial competition, to include an option to extend services under RFO FAR Clause 52.217-8, then exercise of the option is subject to the competition requirements of RFO FAR Part 6. *See* Major Contracting Serv., Inc., B-401472.2, Dec. 7, 2009, 2009 CPD ¶ 250 (determining that an unpriced option to extend services under RFO FAR Clause 52.217-8 was not evaluated as part of the initial competition and therefore was subject to the competition requirements of RFO FAR Part 6. For a discussion of the determinations required before exercise of a

properly evaluated option, *see* RFO FAR 17; Nutriom, LLC, B-402511, May 11, 2010, 2010 WL 1915264.

- B. Orders placed under requirements, definite-quantity contracts, and indefinite quantity contracts, and orders placed against task order and delivery order contracts entered into pursuant to RFO FAR 16. The rationale is that the initial contract was awarded under full and open competition, so subsequent orders are not. *See* specific chapter on Contract Types.
1. Requirement and definite quantity contracts. RFO FAR 6.001(d); RFO FAR 16.
 2. Orders placed under indefinite quantity contracts that were entered into pursuant to RFO FAR Part 6 when the contract was awarded under RFO FAR 6.101 (Full and Open Competition) or 6.102 (Full and Open Competition After Exclusion of Sources) and all responsible sources were realistically permitted to compete for the requirements contained in the order; or The contract was awarded under RFO FAR 6.103 (Other than Full and Open Competition) and the required justification adequately covers the requirements contained in the order. RFO FAR 6.001(e).
 3. Orders placed against task order and delivery order contracts entered into pursuant to RFO FAR 16. Note that while not subject to RFO FAR Part 6, orders placed under multiple award contracts (or MACs) pursuant to RFO FAR Subpart 16 have some competition-like requirements based upon the dollar amount of the order. These competition-like requirements are referred to as a “fair opportunity to be considered.”
 - (1) Orders over the micro-purchase threshold up to the (simplified acquisition threshold) require the contracting officer to provide each awardee a relatively minimal “fair opportunity to be considered.” *See* RFO FAR 16.507-2(a).
 - (2) Fair opportunity procedures for orders exceeding the simplified acquisition threshold up to \$7.5 million placed by or on behalf of DoW require the placement of orders on a competitive basis. RFO FAR 16.507-4. This means that the contracting officer shall provide fair notice of intent to make the purchase, including a description of the supplies or services and the basis on which the contracting officer will make the selection, and afford all contractors responding to the notice a fair opportunity to submit an offer and have that offer fairly considered. RFO FAR 16.507-4; RFO DFARS 216.505-70.
 - (3) Fair Opportunity procedures for orders exceeding \$7,500,000 under RFO FAR 16.507-5:

- (a) A notice of the task or delivery order that includes a clear statement of the agency's requirement;
 - (b) A reasonable response period;
 - (c) Disclosure of the significant factors and subfactors, including cost and price, that the agency expects to consider in evaluating proposals and their relative importance;
 - (d) In the case of an award that is to be made on a best value basis, a written statement documenting the basis for the award and the relative importance of quality and price or cost factors; and
 - (e) An opportunity for a post-award debriefing. RFO FAR 16.507-5(c).
4. Rationale. The overarching contract against which the task or delivery order is placed was subject to a RFO FAR Part 6 competition. Since the future issuance of a task and delivery order was necessarily evaluated as part of the original competition, the issuance is not subject to a second round of competition (except as noted above for MACs).
- (1) If an order increases the scope, period, or maximum value of the contract under which the order is issued, then the order is subject to RFO FAR Part 6. *See* RFO FAR 16.505a(10)(i)(A); Datamill, Inc. v. United States, 91 Fed. Cl. 740 (Mar. 23, 2010); DynCorp Int'l, LLC, B-402349, Mar. 15, 2010, 2010 CPD ¶ 39 (holding task order for general law enforcement and counter insurgency training improperly exceeded the scope of a counter drug task order contract).
 - (2) Note that GAO now has protest jurisdiction over any order valued in excess of \$35 million placed against a contract, in addition to the scope-based jurisdiction referenced in subparagraph (1) immediately above. *See* Ike Skelton National Defense Authorization Act for Fiscal Year 2011, Pub. L. No. 111-383 § 825; RFO FAR 16.505(a)(10)(i)(B), National Defense Authorization Act for Fiscal Year 2012, Pub. L. No. 112-81 § 813; National Defense Authorization Act for Fiscal Year 2012, Pub. L. No. 112-239, § 830, 126 Stat. 1632 (Repealing sunset of jurisdiction)(Codified at 10 U.S.C. § 3204). *See also* EA Engineering, Science & Technology Inc., B-411967, April 5, 2016, 2016 CPD ¶ 106, (GAO determined it retained jurisdiction over the

procurement even though the value of the task order dropped below \$10 million as a result of agency corrective action.) Of note, this ruling occurred when the GAO threshold was \$10 million.

- (3) Further note that the Court of Federal Claims lacks jurisdiction to hear protests “in connection with the issuance or proposed issuance of a task or delivery order except for ... a protest on the ground that the order increases the scope, period, or maximum value of the contract under which the order is issued.” 41 U.S.C. § 4106(f)(1); 10 U.S.C. § 3204; *see also Akira Technologies, Inc. v. United States et al.*, 145 Fed.Cl. 101 (2019) (holding that modifications to existing task orders are “in connection with” the issuance of such task orders and, thus, protests of such modifications are barred by FASA).

C. Reprocurement Contracts. RFO FAR 49.402-6. *See* specific chapter on Terminations.

1. When supplies or services are still required after termination, the contracting officer shall repurchase the same or similar supplies or services at a reasonable price and against the contractor’s account as soon as practicable.
2. If the repurchase quantity is less than or equal to the terminated quantity, the contracting officer can use any acquisition method the contracting officer deems appropriate; however, the contracting officer must obtain competition to the maximum extent practicable.
 - a. The GAO will review the reasonableness of an agency’s acquisition method against the standard specified in FAR 49.402-6(b). *See Derm-Buro, Inc.*, B- 400558, Dec. 11, 2008, 2008 CPD ¶ 226 (“[T]he statutes and regulations governing federal procurements are not strictly applicable to reprocurements of defaulted requirements.”).
 - b. If there is a relatively short period of time between the original competition and the termination for default, it is reasonable to award the subsequent contract to the second or third lowest offeror of the original solicitation at its original price. *Maersk Line, Ltd.*, B-410445, Dec. 29, 2014, 2014 CPD ¶ 16; *Bud Mahas Constr.*, B-235261, Aug 21, 1989, 89-2 CPD ¶ 160 (allowing the agency, on reprocurement after T4D to change from a small business set aside to unrestricted).

3. If the repurchase quantity is greater than the terminated quantity, the contracting officer must treat the entire quantity as a new acquisition subject to the normal competition requirements.
4. Contracting officers may, but are not required to, solicit the defaulted contractor. Colonial Press Int'l, Inc., B-403632, Oct. 18, 2010, 2010 CPD ¶ 241 (holding that the agency may properly exclude a defaulted contractor from a repurchase regardless of whether the T4D is under challenge).

V. IMPLEMENTATION OF COMPETITIVE PROCEDURES FOR PROCUREMENT CONTRACTS

- A. Advocate for Competition. 41 U.S.C. § 1705; RFO FAR Subpart 6.003; U.S. Dep't of Army, Reg. 715-31, Army Competition Advocacy Program (28 November 2016) [hereinafter AR 715-31].
 1. Requirement. RFO FAR 6.003. The head of each executive agency shall designate an advocate for competition for the agency and for each procuring activity of the agency. The advocates for competition shall:
 - a. Be in positions other than that of the agency senior procurement executive;
 - b. Not be assigned any duties or responsibilities that are inconsistent with 6.003; and
 - c. Be provided with staff or assistance (*e.g.*, specialists in engineering, technical operations, contract administration, financial management, supply management, and utilization of small business concerns), as may be necessary to carry out the advocate's duties and responsibilities.
 2. Duties and Responsibilities. Agency and procuring activity advocates for competition are responsible for promoting the acquisition of commercial items, promoting full and open competition, challenging requirements that are not stated in terms of functions to be performed, performance required or essential physical characteristics, and challenging barriers to the acquisition of commercial items and full and open competition such as unnecessarily restrictive statements of work, unnecessarily detailed specifications, and unnecessarily burdensome contract clauses.
 - a. Agency advocates for competition. Agency advocates for competition shall:

- (1) Review the contracting operations of the agency and identify and report to the agency senior procurement executive and the chief acquisition officer. Such as: opportunities and actions taken to acquire commercial items to meet the needs of the agency; opportunities and actions taken to achieve full and open competition in the contracting operations of the agency; actions taken to challenge requirements that are not stated in terms of functions to be performed, performance required or essential physical characteristics; and any condition or action that has the effect of unnecessarily restricting the acquisition of commercial items or competition in the contract actions of the agency.
 - (2) Prepare and submit an annual report to the agency senior procurement executive and the chief acquisition officer in accordance with agency procedures; and
 - (3) Recommend goals and plans for increasing competition on a fiscal year basis to the agency senior procurement executive and the chief acquisition officer.
 - (4) Recommend to the agency senior procurement executive and the chief acquisition officer a system of personal and organizational accountability for competition, which may include the use of recognition and awards to motivate program managers, contracting officers, and others in authority to promote competition in acquisition.
- b. Special Competition Advocates. AFARS 5106.502; AR 715-31, para. 1-13. The ASA(ALT) appoints the Army Advocate for Competition (AAFC). The Deputy Assistant Secretary of the Army for Procurement as the AAFC. The AAFC has delegated to HCAs the authority to appoint a command advocate for competition (CAFC) at Army procuring activities and their alternates. This authority shall not be redelegated. Designation of competition advocates at contracting offices subordinate to contracting activities must depend on the nature of the contracting mission of the office, the volume of significant contracting actions, the complexity of acquisition planning and other responsibilities of such local advocates. Competition advocates may be appointed on a part-time basis. Their duties include, but are not necessarily limited to, the duties set forth in 41 U.S.C. 1705.
- c. Local advocates for competition. *See* AR 715-31, para. 1-14.

3. An advocate for competition's (previously called "competition advocate") "review" of an agency's procurement is not a substitute for normal bid protest procedures. *See Allied-Signal, Inc.*, B-243555, May 14, 1991, 91-1 CPD ¶ 468 (holding that a contractor's decision to pursue its protest with the agency's competition advocate did not toll the bid protest timeliness requirements). *But see Liebert Corp.*, Comp. Gen. B-232234.5, Apr. 29, 1991, 91-1 CPD ¶ 413 (holding that a contractor's reasonable reliance on the competition advocate's representations may extend the time for filing a bid protest).
- B. Acquisition Planning. 10 U.S.C. § 3206; 10 U.S.C. § 3453(a)-(d); 41 U.S.C. § 3306; 41 U.S.C. § 3307; RFO FAR Part 7; RFO DFARS Part 207.
1. "Acquisition planning" means the process by which the efforts of all personnel responsible for an acquisition are coordinated and integrated through a comprehensive plan for fulfilling the agency need in a timely manner and at a reasonable cost. It includes developing the overall strategy for managing the acquisition. RFO FAR 2.101.
 2. Proper acquisition planning should include communications with industry. *See, e.g., Memorandum from Office of Federal Procurement Policy, "Myth-Busting #4": Strengthening Engagement with Industry Partners through Innovative Business Practices, (April 30, 2019) at 9 (Misconception #4).*
 3. In accordance with RFO FAR 7.102(a), agencies must perform acquisition planning and conduct market research (*see* RFO FAR Part 10) for all acquisitions to promote and provide for:
 - a. The acquisition of commercial or nondevelopmental items to the maximum extent practicable (10 U.S.C. § 3453; 41 U.S.C. § 3307(d)); and
 - b. Full and open competition (or competition to the maximum extent practicable). 10 U.S.C. § 3201; 41 U.S.C. § 3306(a)(1)); 41 U.S.C. § 3307(b).
 - c. Selection of appropriate contract type to fulfill agency needs; and
 - d. Appropriate consideration of the use of pre-existing contracts, including interagency and intra-agency contracts to fulfill requirements before awarding new contracts.
 4. Agencies must integrate the efforts of all personnel for significant aspects of the procurement in order to meet the Government's needs in the most effective, economical, and timely manner. RFO FAR 7.102(b).

5. Acquisition planning should begin as soon as the agency identifies its needs. Wherever possible, agency personnel should avoid issuing requirements on an urgent basis, or with unrealistic delivery or performance schedules, as these generally restrict competition and increase prices. RFO FAR 7.104(a).
 6. Written acquisition plans are not required for every acquisition. RFO FAR 7.102(d). However, RFO DFARS 207.103-70 requires a written acquisition plan for the following:
 - a. Development acquisitions (as defined in RFO FAR 35.001— Research and Development Contracting) when the total cost of all contracts for the acquisition program is estimated at \$10 million or more;
 - b. Production and service acquisitions when the total cost of all contracts for the acquisition program will be \$50 million or more for all years or \$25 million or more for any fiscal year; and
 - c. Other acquisitions that the agency considers appropriate.
 - d. The specific contents of a written acquisition plan will vary; however, it must identify decision milestones and address all the technical, business, management, and other significant considerations that will control the acquisition. RFO FAR 7.106; RFO DFARS 207.104-70. In general, it addresses the acquisition background (statement of need) and the plan of action, among other things.
 7. Contents of Written Acquisition Plans. RFO FAR 7.105; RFO DFARS 207.105.
 8. Approval of Written Acquisitions Plans. FAR 7.103(b)(9).
 9. Considerations of Lease v. Purchase (RFO FAR 7.4); Prohibition on Inherently Governmental (RFO FAR 7.5); and Implications of Contract Consolidation and Bundling (RFO FAR 7.107).
- C. Market Research. 10 U.S.C. § 3453; 41 U.S.C. § 3306; 41 U.S.C. § 3307; RFO FAR Part 10.
1. “Market research” refers to the process of collecting and analyzing information about the capabilities within the market to satisfy agency needs. RFO FAR 2.101.
 2. The process begins with a description of the Government’s needs stated in terms sufficient to allow contracting personnel to conduct market research.

3. When conducting market research, agencies should not request potential sources to submit more than the minimum information necessary. RFO FAR 10.001(d).
4. Policy. Agencies must conduct market research “appropriate to the circumstances” before:
 - a. Developing new requirements documents by the agency;
 - b. Soliciting offers for acquisitions with an estimated value that exceeds the simplified acquisition threshold;
 - c. Awarding a task or delivery order under an indefinite-delivery/indefinite-quantity (ID/IQ) contract (*e.g.*, GWACs, MACs) in excess of the simplified acquisition threshold.
5. Procedures. The extent of market research will vary. Using the results of market research, agencies will determine, in the following order of priority whether:
 - a. A commercial product or commercial service on an existing governmentwide contract can meet the agency’s requirements;
 - b. The requirements could be modified so the agency could use an existing governmentwide contract;
 - c. A commercial product or commercial service is available from another source;
 - d. A commercial product or commercial service could be modified to meet the agency’s requirements; or
 - e. The requirement can only be satisfied by a nondevelopment item.
6. Market research techniques include:
 - a. Contacting knowledgeable government and/or industry personnel;
 - b. Reviewing the results of market research for the same or similar supplies or services;
 - c. Publishing formal requests for information;
 - d. Querying government data bases;
 - e. Participating in interactive, on-line communications with government and/or industry personnel;

- f. Obtaining source lists from other sources (e.g., contracting activities, trade associations, etc.);
 - g. Reviewing catalogs and other product literature;
 - h. Conducting interchange meetings; and/or
 - i. Holding pre-solicitation conferences with potential offerors.
- 7. Contract File Documents. *See* RFO DFARS 210.001 and PGI 210-070.
- D. Describing Agency Needs. 10 U.S.C. § 3206(a), 41 U.S.C. § 3306(a); RFO FAR Part 11; RFO DFARS Part 211.
 - 1. Types of Specifications.
 - a. Design specifications. Specifications that set forth precise measurements, tolerances, materials, in-process and finished product tests, quality control measures, inspection requirements, and other specific information. Ralph C. Nash et al., *The Government Contracts Reference Book* 196 (3d Ed. 2007).
 - b. Performance specifications. Technical requirements that set forth the operational characteristics of an item. They indicate what the final product must be capable of accomplishing rather than how the product is to be built or what its measurements, tolerances, or other design characteristics must be. Ralph C. Nash et al., *The Government Contracts Reference Book* 432 (3d Ed. 2007).
 - c. Purchase descriptions. A description of the essential physical characteristics and functions required to meet the government's requirements. Ralph C. Nash et al., *The Government Contracts Reference Book* 468 (3d Ed. 2007). E.g., Brand Name or Equal Purchase Description identifies a product by its brand name and model or part number or other appropriate nomenclature by which it is offered for sale and permits offers on products essentially equal to the specified brand name product.
 - d. Mixed specifications.
 - 2. Policy. RFO FAR 11.102(a) requires agencies to develop specifications that:
 - a. Promote full and open competition or maximum practicable competition;
 - b. State the agency's needs;

- c. Only include restrictive provisions or conditions to the extent they satisfy the agency's needs or are authorized by law. *See* 10 USC § 3241. *See, e.g., Cryo Technologies*, B-406003, Jan. 18, 2012, 2012 CPD ¶ 29 (holding the solicitation requirement to be reasonably necessary to meet the agency's needs); *CESC Skyline, LLC*, Comp. Gen. B-402520, May 3, 2010, 2010 CPD ¶ 101 (rejecting protestor's contention that accelerated occupancy deadlines for leased space in a solicitation was unduly restrictive of competition); and
 - d. To the maximum extent practicable, acquisition officials shall:
 - (1) State requirements for supplies and services in terms of functions to be performed, performance required; or essential physical characteristics; and
 - (2) Define requirements in terms that encourage offerors to supply commercial and non-developmental items.
3. Compliance with statutory and regulatory competition policy.
- a. Specifications must provide a common basis for competition. *PMSI, LLC d/b/a Optum Workers' Comp. Servs. of Fla.*, B-417237.2, et al., Jan. 29, 2020, 2020 CPD ¶ 63 at 7 ("A solicitation that contains a latent ambiguity (that is, one where the terms of the RFP are susceptible to two or more reasonable interpretations) fails to provide a common basis for competition.")
 - b. Competitors must be able to price the same requirement. *See Deknatel Div., Pfizer Hosp. Prod. Grp., Inc.*, Comp. Gen. B-243408, July 29, 1991, 91-2 CPD ¶ 97 (finding that the agency violated the RFO FAR by failing to provide the same specification to all offerors); *see also Valenzuela Eng'g, Inc.*, Comp. Gen. B-277979, Jan. 26, 1998, 98-1 CPD ¶ 51 (chastising the Army because its "impermissibly broad" statement of work failed to give potential offerors reasonable notice of the scope of the proposed contract).
4. Common Pre-Award Problems Relating to Specifications.
- a. Brand Name or Equal Purchase Descriptions.
 - (1) While the use of performance specifications is preferred to encourage offerors to propose innovative solutions, the use of brand name or equal purchase descriptions may be advantageous under certain circumstances.

- (2) Brand name or equal purchase descriptions must include, in addition to the brand name, a general description of those ***salient*** physical, functional, or performance characteristics of the brand name item that an "equal" item must meet to be acceptable for award. Use brand name or equal descriptions when the salient characteristics are firm requirements.
- (3) Failure of a solicitation to list an item's salient characteristics improperly restricts competition by precluding potential offerors of equal products from determining what characteristics are considered essential for its item to be accepted, and cancellation of the solicitation is required. California Industrial Facilities Resources, Inc., d/b/a CAMSS Shelters, B-403397.3, Mar., 21, 2011, 2011 CPD ¶ 71; Critical Process Filtration, Inc., B-400750, Jan. 22, 2009, 2009 CPD ¶ 25; *But see* MediaNow., Inc., B-405067, Jun. 28, 2011, 2011 CPD ¶ 133 (upholding a rejection of "equal" products when their "equal" did not meet all of the salient characteristics); Glem Gas S.p.A., B-414179; Feb. 23, 2017, 2017 CPD ¶ 60 at 4. (denying protest where the protester failed to demonstrate competitive prejudice by the agency's waiver of the solicitation's salient characteristics and selection of awardee's similar product).
- (4) Although a justification and approval is not required under RFO FAR 11.204, a justification and approval is required to use brand name or equal under the RFO DFARS. RFO DFARS 211.204. RFO DFARS 206.103-170(c).

b. Items Peculiar to one Manufacturer / Brand Name. RFO FAR 6.103-1. Per RFO FAR 6.103-1, a justification and approval is required. Agency requirements shall not be written so as to require a particular brand-name, product, or a feature of a product, peculiar to one manufacturer, thereby precluding consideration of a product manufactured by another company, unless --

- (1) The particular brand name, product, or feature is essential to the Government's requirements, and market research indicates other companies' similar products, or products lacking the particular feature, do not meet, or cannot be modified to meet, the agency's needs;

- (2) The authority to contract without providing for full and open competition is supported by the required justifications and approvals; and
- (3) The basis for not providing for maximum practicable competition is documented in the file when the acquisition is awarded using simplified acquisition procedures. RFO FAR 11.204.

c. Unduly Restrictive Specifications.

- (1) Specifications must promote full and open competition. Agencies may only include restrictive provisions to meet their minimum needs. 10 U.S.C § 3206(a)(2); 41 U.S.C. § 3306(a)(2)(B). *See* Bristol Group, Inc.-Union Station Venture, B-298110, Jun. 2, 2006, 2006 CPD ¶ 89 (finding a requirement that office space be within 2500 walkable linear feet of amenities was reasonable given the employees only had 30 minutes for lunch); Paramount Group, Inc., B-298082, Jun. 15, 2006, 2006 CPD ¶ 98 (requirement for preexisting individual offices to be torn down to create a large open spaced office for the agency to configure its offices reasonable given that it provided the agency flexibility and it allowed the agency to more easily compare the offers); and Northwest Airport Management, LP, B-404098.2, Jan. 5, 2011, 2011 CPD ¶ 1 (finding the restrictive specifications concerning “unique and special lease requirements” reasonably relate to the agency’s need).
- (2) Common examples of restrictive specifications:
 - (a) Specifications written around a specific product. MadahCom, Inc., B-298277, Aug. 7, 2006, 2006 CPD ¶ 119 (declaring a requirement for APCO 25 standard for radio transmissions as unduly restrictive for a mass notification system since the agency was unable to articulate how the requirement was reasonably related to the system); Ressler Assoc., B-244110, Sept. 9, 1991, 91-2 CPD ¶ 230; and Desktop Alert, Inc., B-408196, Jul., 22, 2013 (finding a requirement for AtHoc software as unduly restrictive for a mass notification system since the agency was unable to articulate how the requirement was reasonably related to the system).
 - (b) Geographical restrictions that limit competition to a single source and do not further a federal policy.

But see, e.g., Marlen C. Robb & Son Boatyard & Marina, Inc., Comp. Gen. B-256316, June 6, 1994, 94-1 CPD ¶ 351 (denying the protest and providing “an agency properly may restrict a procurement to offerors within a specified area if the restriction is reasonably necessary for the agency to meet its needs. The determination of the proper scope of a geographic restriction is a matter of the agency’s judgment which we will review in order to assure that it has a reasonable basis.”); *But see*, AshBritt Inc., B-297889, et al., Mar. 20, 2006, 2006 CPD ¶ 48 (denying protest alleging that the Army Corps of Engineers improperly limited competition to Mississippi firms).

- (c) Specifications that exceed the agency’s minimum needs. Total Health Resources, B-403209, Oct. 4, 2010, 2010 CPD ¶ 226 (finding a requirement for the prime contractor, and not a subcontractor, to possess the requisite counseling experience as unduly restrictive); Iyabak Construction, LLC, B-409196, Feb. 6, 2014 (finding the refusal to consider affiliate experience, even when offerors demonstrate the affiliate will participate meaningfully, unduly restrictive when the agency fails to provide a reasonable basis); *but see* Emax Financial, B-408260, Jul. 25, 2013, (denying a protest where the Navy more favorably rated offerors with program specific experience because the restrictive specification reasonable related to the agency’s need).
- (d) Requiring approval by a testing laboratory (e.g., Underwriters Laboratory (UL)) without recognizing equivalents. HazStor Co., B-251248, Mar. 18, 1993, 93-1 CPD ¶ 242. *But see* G.H. Harlow Co., B-254839, Jan 21, 1994, 94-1 CPD ¶ 29 (upholding requirement for approval by testing laboratory for fire alarm and computer-aided dispatch system).
- (e) Improperly bundled specifications. Vantex Serv. Corp., B-290415, Aug. 15, 2002, 2002 CPD ¶ 131; EDP Enterprises, Inc., B-284533.6, May 19, 2003, 2003 CPD ¶ 93 (bundling food services, with the “unrelated base, vehicle and aircraft maintenance services,” restricted competition; because the agency bundled the requirements for administrative

convenience, the specification violated CICA). *But see* AirTrak Travel, B-292101, June 30, 2003, 2003 CPD ¶ 117 (denying allegations that bundled specifications violated CICA, because the agencies convinced GAO that mission-related reasons justified bundling requirements); FMS Inv. Corp. v. United States, 144 Fed. Cl. 140, 145-47 (2019) (denying protest contesting bundling of the agency's requirements and explaining why the decision to consolidate was rational).

d. Ambiguous Specifications.

- (1) Specifications or purchase descriptions that are subject to two or more reasonable interpretations are ambiguous and require the amendment or cancellation of the solicitation. K-Con, Inc. v. Secretary of Army, 908 F.3d 719, 722 (Fed. Cir. 2018) (“A patent ambiguity is present when the contract contains facially inconsistent provisions that would place a reasonable contractor on notice.”); Guzar Mirbachakot Transportation v. US, No. 11-519C (COFC) Mar. 29, 2012 (holding that the solicitation that required the documents to be turned in as MS Word files, or Adobe PDF files was ambiguous as to whether a zipped file of MS Word and Adobe PDF files was acceptable); CWTSato Travel, B-404479.2, Apr. 22, 2011, 2011 CPD ¶ 87 (stating a contracting agency must provide offerors with sufficient detail in a solicitation to enable them to compete intelligently and on a relatively equal basis); and Aurora Group, Inc., Comp. Gen. B-288127, Sep. 14, 2001, 2001 CPD ¶ 154. There is no requirement that a competition be based on specifications drafted in such detail as to eliminate completely any risk or remove every uncertainty from the mind of every prospective offeror. PMSI, LLC d/b/a Optum Workers' Comp. Servs. of Fla., B-417237.2, et al., Jan. 29, 2020, 2020 CPD ¶ 63.
- (2) Issues raised by ambiguous (defective) specifications:
 - (a) Adequacy of competition.
 - (b) Contract interpretation.
 - (c) Constructive change.

E. Publicizing Contract Actions. 41 U.S.C. § 1708; RFO FAR Part 5; RFO DFARS Subpart 205. For commercial products and services under the Simplified

Acquisition Threshold, combine the presolicitation notice and solicitation. RFO FAR 12.202.

1. Policy. RFO FAR 5.002. Publicizing contract actions increases competition. RFO FAR 5.002(a). *But see Aluminum Specialties, Inc. t/a Hercules Fence Co.*, B-281024, Nov. 20, 1998, 98-2 CPD ¶ 116 (holding that there was no requirement for the agency to exceed publicizing requirements, even if it had done so in the past).
2. Contracting Officers must publicize contract actions in order to increase competition, broaden industry participation, and assist in socioeconomic policies. RFO FAR 5.002.
3. Solicitation Timing Requirements. RFO FAR 5.201(d).

Value	Description	Not subject to WTO GPA or FTA	Subject to WTO GPA or FTA, but included in annual forecast	Subject to WTO GPA or FTA, but not included in annual forecast
≥\$15K to ≤SAT	Any acquisition	None, allow a reasonable opportunity to respond	10 days from presolicitation notice or solicitation, as applicable	40 days from presolicitation notice or solicitation, as applicable
>SAT	Acquisition of commercial products or commercial services	None, allow a reasonable opportunity to respond	10 days from combined synopsis/solicitation	40 days from combined synopsis/solicitation
	Research and Development (R&D) acquisitions	45 days from presolicitation notice	N/A	N/A
	Orders under a Basic Ordering Agreement (BOA) or similar (non-R&D)	30 days from presolicitation notice	30 days from presolicitation notice (reducible to 10 days, if warranted)	40 days from presolicitation notice
	All other non-commercial acquisitions	30 days from solicitation	30 days from solicitation (reducible to 10 days, if warranted)	30 days from solicitation

4. Award Timing Requirements.

Value	Description	Timing
>\$25K	Likely to result in subcontracting opportunities	As soon as possible after award to promote industry and small business participation
	Not likely to result in subcontracting opportunities, but subject to WTO GPA or FTA	Within 60 days of award

VI. COMPETITION FOR NON-PROCUREMENT CONTRACTS

- A. Other Transactions. 10 U.S.C. §§ 4021-4022 *See* specific chapter on Other Transactions. To the maximum extent practicable, use competitive procedures.
- B. Cooperative Agreements. 31 U.S.C. §§ 6301(3), 6305 and Department of Defense Grant and Agreement Regulations (DoDGAR) 32 C.F.R. § 22.305. Encouraging competition.
- C. Grants. 10 U.S.C. §§ 2358, 4001, 31 U.S.C. §§ 6301(3), 6304 and Department of Defense Grant and Agreement Regulations (DoDGAR) 32 C.F.R. § 22.305. 10 U.S.C. § 2374(a) stating that any new grant for research, development, test, or evaluation be awarded through merit-based selection procedures.
- D. Technology Transfer.
 - 1. Test Services Agreements. 10 U.S.C. §§ 4175, 4892.
 - 2. Cooperative Research and Development Agreements. 10 U.S.C. § 4026, 15 U.S.C. § 3710a. Since no funds can flow from the Government to a non-federal partnership, there are not governed by the RFO FAR's competition requirements.
 - 3. Partnership Intermediary Agreements. 10 U.S.C. § 4124(f), 15 U.S.C. § 3715, 2 C.F.R. Part 200.
 - 4. Educational Partnership Agreements. 10 U.S.C. § 2194.
 - 5. Patent License Agreements. 15 U.S.C. § 3710a
 - 6. Public Private Partnerships. 10 U.S.C. § 2474.
 - 7. Technology Investment Agreements. 10 U.S.C. §§ 4001. 32 C.F.R. Part 37.
- E. No-Cost Contracts. Statutory requirements for competition, such as the Competition in Contracting Act apply to procurements by federal agencies for property or services. 10 U.S.C. § 2303; 41 U.S.C. § 253. Thus, as a threshold matter, to be subject to these requirements, the agency must be acquiring property or services. Determining whether competition requirements apply to a particular procurement for a no-cost contract for property or services will depend on the agency involved. **CICA does not apply to no-cost contracts of military agencies**, see 10 U.S.C. § 2303; Century 21—AAIM Realty, Inc., B-246760, Apr. 3, 1992, 92-1 CPD 345; Gino Morena Enterprises, B-224235, Feb. 5, 1987, 87-1 CPD 121, but it does apply to no-cost contracts of civilian agencies. See 41 U.S.C. § 253; Gourmet Distributors, B-259083, Mar. 6, 1995, 95-1 CPD 130. Federal Acquisition Regulation requirements apply only to acquisitions by the government of supplies or services with appropriated funds. Fidelity and Casualty

Co. of New York, B-281281, Jan. 21, 1999, 99-1 CPD 16; FAR, 48 C.F.R. §§ 1.104, 2.101. Consequently, **the FAR does not apply to no-cost procurements conducted by either a defense or civilian agency.**

CHAPTER 7

TYPES OF CONTRACTS

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CHAPTER 7

TYPES OF CONTRACTS

I. GENERAL INFORMATION

- A. The FAR describes a number of contract types, but unless prohibited by statute or regulation, “contract types that promote the best interest of the Government...are permitted for use in accordance with agency procedures.” RFO FAR 16.101.” “A wide selection of contract types is available to the Government and contractors in order to provide needed flexibility in acquiring the large variety and volume of supplies and services required by agencies.” RFO FAR Companion (FC) 16.101(a). Contract types vary according to:
 - 1. The degree and timing of the responsibility assumed by the contractor for the costs of performance; RFO FC 16.101(a), and
 - 2. The amount and nature of the profit incentive offered to the contractor for achieving or exceeding specified standards or goals. RFO FC 16.101.
- B. Types by Price and Types by Structure.
 - 1. Price Arrangement. The FAR Companion states that there are two broad categories of contract types based on the price arrangement (e.g., fixed-price contracts and cost-reimbursement contracts) and in between “incentive contracts,” which permit the tailoring of the price arrangement. RFO FC 16.101(a). The selection of a contract price arrangement will allocate risk to either the Government or to the contractor. For example, firm-fixed-price provides the contractor with full responsibility for the performance costs and resulting profit (or loss) and cost-plus-fixed-fee places the contractor with minimal responsibility for the performance costs and the negotiated fee (profit) is fixed. For more discussion, see figure 10 on page 7-49 and the discussion on selection of contract types
 - 2. Structure. Types of contracts categorized by structure: Basic contracts with or without option years (discussed in RFO FAR 17), and:
 - a. Indefinite delivery contract structures,
 - b. Time and Materials, Labor Hours, and Letter contracts, and
 - c. Basic ordering agreements.
- C. Disputes about what type of contract was used. Courts “must look beyond the first page of the contract to determine what were the legal rights for which the

parties bargained, and only then characterize the contract.” *Crown Laundry & Dry Cleaners, Inc. v. United States*, 29 Fed. Cl. 506, 515 (1993).

II. CONTRACT TYPES – CATEGORIZED BY STRUCTURE.

A. Base Contract + Option Periods.



1. Base Contract and options. Most contracts are awarded with a base contract period and one or more option periods. A common structure is one year base contract with four one -year options, although less-than-twelve-month option periods are also available.¹
2. Definition of an Option. FAR 2.201. A unilateral right in a contract by which, for a specified time, the Government may elect to purchase additional supplies or services called for by the contract, or may elect to extend the term of the contract.
3. Total Contract Period. When structuring option provisions, the contract’s overall duration and quantity requirements are key considerations. “The specific circumstances of the contract will dictate the appropriate duration.” RFO FC 17.201-1.² For service contracts, the period in which an option may be exercised may extend beyond the contract completion date to accommodate situations where exercising the option would obligate funds not available in the fiscal year of contract completion.” RFO FC 17.201-1. Multi-year contracting is distinct from the “base plus option periods” structure and is addressed in RFO FAR 17.1.
4. Pre-Solicitation. RFO FAR 17.201.
 - a. The contract shall state the period within which the option may be exercised, specify limits on the purchase of additional supplies or services, and the overall duration of the term of the contract. RFO FAR 17.201-2(a) and (b).

¹ Variable option periods do not restrict competition. *Madison Servs., Inc.*, B-278962, Apr. 17, 1998, 98-1 CPD ¶ 113 (Navy’s option clause that allowed the Navy to vary the length of the option period from one to twelve months did not unduly restrict competition).“

² “The duration of the basis and option periods can vary; but ensure you follow any statutory limitations on contract duration (for instance, under the Service Contract Labor Standards statute - see FAR part 22).” RFO FC 17.201. RFO FAR 22.1002-2(a)(2) states, “Under 41 U.S.C. 6707(d), service contracts may not exceed 5 years.”

- b. Use of Options. FAR 17.201. A contracting officer may add options to contracts awarded under sealed bidding and negotiated procedures when it is in beneficial to the government. RFO FAR 17.201-1(a). RFO FAR 17.201-1(b) and (c), provide circumstances where options are either normally not beneficial to the government and where options must not be used. E.g., Government benefit does not occur where delivery needs are far enough in the future to permit a competitive contract,³ and where price or availability of material or labor is not normally foreseeable.⁴
- 5. Evaluation and Award. RFO FAR 17.202. Prior to award, “the contracting officer must evaluate offers for option quantities or periods included in the solicitation.” RFO FAR 17.202(a). However, the contracting officer may skip this evaluation in rare circumstances where the evaluation does not benefit the Government; but the decision must be in writing, approved at least one level above the contracting officer, and included in the contract file. RFO 17.202(b). Last, for contracts which include an economic price adjustment clause in an option, and the contractor requests price revision, “ the contracting officer must determine how the adjustment affects option prices before exercising the option.” RFO FAR 17.204-1.
- 6. Solicitation provisions and extensions.
 - a. RFO FAR Part 17.203 provides instructions for provisions and clauses to effectuate options. RFO FAR 17.203(g) specifically provides appropriate circumstances for clause 52.217-9, or one substantially the same, for an “Option to Extend the Term of the Contract.” This clause, and options in general, are sometimes referred to as contract extensions.
 - b. Contract extensions beyond the scope of the original contract constitute a new procurement subject to CICA’s competition requirements. *Major Contracting Services, Inc.*, Comp. Gen. B-401472, Sept. 14, 2009. Sometimes colloquially referred to as “Bridge Contracts,” these separate contracts involve performance for a period of time while a follow-on contract is being competed and are subject to CICA’s competition requirements and its exceptions.
 - c. However, Bridge Contracts should be contrasted to extensions for services under clauses which were part of an initial competition (e.g., FAR Clause 52.217-8, and 52.217-9). RFO

³ This circumstance is not normally beneficial to the Government. RFO FAR 17.201-1(b)(2)

⁴ This circumstance prohibits the contracting officer from using options. RFO FAR 17.201-1(c)(1).

FAR 17.203(f) and (g).⁵ Failure to adequately plan for a procurement in advance is not a proper justification for a competition exception. 41 USC § 3304(e)(5)(A)(i); *VSE Corp.; Johnson Controls World Serv., Inc.*, B-290452.3; B-290452.4; B-290452.5, May 23, 2005; *Techno-Sciences, Inc.*, B-257686, Oct. 31, 1994; *Laidlaw Environmental Services (GS)*, B-249452, Nov. 23, 1992.

7. Exercising Options.

- a. Exception from competition. The exercise of an option permits an agency to satisfy current needs for goods and services without going back through full competitive procedures. *Banknote Corp. of America, Inc.*, Comp. Gen B-250151, Dec. 14, 1992. Thus, the Government must comply with applicable statutes and regulations before exercising an option. *Golden West Ref. Co.*, EBCA No. C-9208134, 94-3 BCA ¶ 27,184 (option exercise invalid because statute required award to bidder under a new procurement); *New England Tank Indus. of N.H., Inc.*, ASBCA No. 26474, 90-2 BCA ¶ 22,892 (option exercise invalid because of agency's failure to follow DOD regulation by improperly obligating stock funds).
- b. Per RFO FAR 17.204-1(b), the Contracting Officer may exercise an option only after:
 - (1) Providing written notice within the time specified in the contract;⁶
 - (2) Confirming funds are available;⁷ and
 - (3) Determining that—
 - i. The requirement fills an existing Government need;

⁵ *But see*, *Major Contracting Serv., Inc.*, B-401472.2, Dec. 7, 2009, 2009 CPD ¶ 250 (determining that an unpriced option to extend services under FAR Clause 52.217-8 was not evaluated as part of the initial competition and therefore was subject to the competition requirements of FAR Part 6).

⁶ *See also*, *InGenesis, Inc.*, B-412101.2, Mar. 28, 2016 (denying protest for the exercising of an option where the contracting officer found the decision to exercise was in part based on the short timeframe between award and exercise of the option in accordance with FAR 17.207(d)(3)).

⁷ Failure to determine that funds are available does not render an option exercise ineffective, because it relates to an internal matter and does not create rights for contractors. *See United Food Servs., Inc.*, ASBCA No. 43711, 93-1 BCA ¶ 25,462 (holding valid the exercise of a one-year option subject to availability of funds).

- ii. The option was synopsized in accordance with Part 5 unless exempted under that Part (i.e. Option was part of the original solicitation that was competed under CICA)
 - iii. The contractor does not have an active exclusion record in the System for Award Management (see RFO FAR 9);
 - iv. The contractor's performance on this contract has been acceptable (satisfactory ratings);
 - v. After reviewing price and other factors, the option price is fair and reasonable based on current market conditions and exercise of the option is in the Government's best interest;⁸ and
 - vi. The option exercise complies with the requirements of part 6 for full and open competition, i.e., the option was evaluated as part of the initial competition and is exercisable at an amount specified in or reasonably determinable from the terms of the contract.
- (4) In addition to the requirements above, DoW contracting officers may only exercise an option after ensuring the contractor is in compliance with an active System for Award Management database record; and verifying in the Supplier Performance Risk System that the contractor is in compliance with CMMC certification and NIST DoD assessment requirements. RFO DFARS 217.204.170.

- i.
- c. The Government may not include new terms in the option without meeting CICA requirements. *See 4737 Connor Co., L.L.C. v. United States*, 65 Fed. Appx. 274 (Fed. Cir. 2003) (option exercise was invalid where the Government added a termination provision not present in the base period of the

⁸ RFO FC 17.204-1 provides further guidance to contracting officers for this determination and finding: "When exercising an option, it's essential to determine that the option price is fair and reasonable based on current market conditions and that exercise of the option is in the best interest of the government. To make this determination, consider various factors, such as whether a new solicitation would produce a better price or more advantageous offer. If a new solicitation is unlikely to yield a better result, it may be reasonable to exercise the option. Other factors to consider include informal market analysis, the time elapsed since contract award, and market stability. Additionally, take into account the government's need for operational continuity and potential disruption costs, as well as the potential impact on small businesses."

contract); *Varo, Inc.*, ASBCA No. 47945, 47946, 96-1 BCA ¶ 28,161 (inclusion of eight additional contract clauses in option exercise invalidated the option).

- d. The Government must follow the option mechanics in the contract to include timing of notice. *See Lockheed Martin Corp. v. Walker*, 149 F.3d 1377 (Fed. Cir. 1998) (Government wrongfully exercised options out of sequence); *The Boeing Co.*, ASBCA No. 37579, 90-3 BCA ¶ 23,202 (Navy failed to exercise the option within the 60 days allowed in the contract and the board invalidated the option); *White Sands Construction, Inc.*, ASBCA Nos. 51875, 54029 (Apr. 16, 2004) (Exercise improper when preliminary notice of intent to exercise mailed on last day available and contractor received it after the deadline). *See also, The Cessna Aircraft Co. v. Dalton*, 126 F.3d 1442 (Fed. Cir. 1997) (exercise of option on “not later than” date proper).
- e. If a contractor contends that an option was exercised improperly, and performs, it may be entitled to an equitable adjustment. *See Lockheed Martin IR Imaging Sys., Inc. v. West*, 108 F.3d 319 (1997) (partial exercise of an option was held to be a constructive change to the contract).
- f. The Government has the discretion to decide whether to exercise an option.⁹
 - (1) The decision not to exercise an option is generally not a protestable issue since it involves a matter of contract administration. *See Young-Robinson Assoc., Inc.*, B-242229, Mar. 22, 1991, 91-1 CPD ¶ 319 (contractor cannot protest agency’s failure to exercise an option because it is a matter of contract administration); *but see Mine Safety Appliances Co.*, B-238597.2, July 5, 1990, 69 Comp. Gen. 562, 90-2 CPD ¶ 11 (GAO reviewed option exercise which was, in effect, a source selection between parallel development contracts).
 - (2) A contractor may file a claim under the Disputes clause, but must establish that the Government abused its discretion or acted in bad faith. *See Kirk/Marsland Adver., Inc.*, ASBCA No. 51075, 99-2 ¶ 30,439 (summary judgment to

⁹ The decision to exercise an option is subject to protest. *See Alice Roofing & Sheet Metal Works, Inc.*, B-283153, Oct. 13, 1999, 99-2 CPD ¶ 70 (protest denied where agency reasonably determined that option exercise was most advantageous means of satisfying needs).

Government); *Pennyrile Plumbing, Inc.*, ASBCA Nos. 44555, 47086, 96-1 BCA ¶ 28,044 (no bad faith or abuse of discretion).

B. Indefinite Delivery Type Contracts. RFO FAR 16.5

1. Types of ID Contracts. RFO FAR 16.501-2(a) recognizes three types of indefinite delivery contracts: definite-quantity contracts, requirements contracts, and indefinite-quantity/indefinite delivery contracts (ID/IQ). These indefinite-delivery contracts “may be used to acquire supplies/and or services when the exact times and/or exact quantities of future deliveries are not known at the time of contract award.” RFO FAR 16.501-2(a). All three types therefore permit Government stocks to be maintained at minimum levels, and permit direct shipment to users.
2. Basic Policy. ID contracts may include cost and pricing arrangements for an the estimated quantity, but under 10 U.S.C. 3206(c), contracting officers belonging to the Department of War, NASA, and the Coast Guard, may choose not to in specific circumstances. RFO FAR 16.501-2(b)(2). Task and Delivery orders must have an ordering period, including a period of performance effective for each specific task or delivery order’s scope of work. Certain orders are subject to limitation on ordering periods, including a limitation for the DoW, NASA, and the Coast Guard which may not exceed 10 years unless exceptional circumstances apply. RFO FAR 16.501-2(c)(1).
3. **Terminology.** RFO FAR 16.501-1:
 - a. Delivery order contract. “[A] contract for property [supplies] that does not procure or specify a firm quantity of supplies (other than a minimum or maximum quantity) and that provides for the issuance of orders for the delivery of supplies during the period of the contract.” *See also*, 10 U.S.C. 3401.
 - b. Task order contract. “[A] contract for services that does not procure or specify a firm quantity of services (other than a minimum or maximum quantity) and that provides for the issuance of orders for the performance of tasks during the period of the contract.” *See also*, 10 U.S.C. 3401.
4. **Definite-Quantity/Indefinite-Delivery Contracts.** RFO FAR 16.502. DQ/IQ contracts have the quantity and price specified for a fixed period. The Government issues delivery orders that specify the delivery date and location.

5. **Requirements Contracts.** A requirements contract provides the Government with the ability to purchase all of its requirements during a specific period exclusively from one contractor. RFO FAR 16.503.
- a. The Government promises to order all of its requirements, if any, from the contractor, and the contractor promises to fill all requirements. *See Sea-Land Serv., Inc.*, B-266238, Feb. 8, 1996, 96-1 CPD ¶ 49 (solicitation for requirements contract which contained a “Limitation of Government Liability” clause purporting to allow the Government to order services elsewhere rendered requirements contract illusory for lack of consideration).
 - b. The Government breaches the contract when it purchases its requirements from another source. *Datalect Computer Servs. Inc. v. United States*, 56 Fed. Cl. 178 (2003) (finding agency breached its requirements contract covering computer maintenance services where agency later obtained extended warranty from equipment manufacturer covering same items); *Torncello v. United States*, 681 F.2d 756 (Ct. Cl. 1982) (Navy diverted rodent pest control services); *T&M Distributors, Inc.*, ASBCA No. 51279, 01-2 BCA ¶ 31,442 (finding that Ft. Carson breached its requirements contract covering the operation of an auto parts store when certain tenant units elected to order their parts from cheaper suppliers).
 - c. The Government may also breach the contract if it performs the contracted-for work in-house. *C&S Park Serv., Inc.*, ENGBCA Nos. 3624, 3625, 78-1 BCA ¶ 13,134 (failure to order mowing services in a timely fashion combined with use of Government employees to perform mowing services entitled contractor to equitable adjustment under changes clause). The Government deferral or backlogging of its orders such that it does not order its actual requirements from a contractor is also a breach of a requirements contract. *R&W Flammann GmbH*, ASBCA Nos. 53204, 53205, 02-2 BCA ¶ 32,044.
 - d. Contractors may receive lost profits as a measure of damages when the Government purchases supplies or services from an outside source. *See T&M Distributors, Inc.*, ASBCA No. 51279, 01-2 BCA ¶ 31,442; *Carroll Auto.*, ASBCA No. 50993, 98-2 BCA ¶ 29,864.
 - e. The Government cannot escape liability for the breach of a requirements contract by retroactively asserting constructive termination for convenience. *T&M Distributors, Inc.*, ASBCA No. 51279, 01-2 BCA ¶ 31,442; *Carroll Auto.*, ASBCA No.

50993, 98-2 BCA ¶ 29,864 (Government invoked constructive Termination for Convenience (T4C) theory two years after contract performance); *Torncello v. United States*, 231 Ct. Cl. 20, 681 F.2d 756 (Ct. Cl. 1982). Please note that the holding in *Torncello* is limited to “the unremarkable proposition that when the government contracts with a party knowing full well that it will not honor the contract, it cannot avoid a breach claim by advertizing to the convenience termination clause” and courts have rejected broader interpretations of the plurality opinion. *Salsbury Indus. v. United States*, 905 F.2d 1518, 1521 (Fed. Cir. 1990)

- f. The Contracting Officer shall state a realistic estimated total quantity in the solicitation and resulting contract. The estimate is not a representation to an offeror or contractor that the estimated quantity will be required or ordered, or that conditions affecting requirements will be stable or normal. The estimate may be obtained from records of previous requirements and consumption, or by other means, and should be based on the most current information available. FAR 16.503(a)(1). The estimate is not a guarantee or a warranty of a specific quantity. *Shader Contractors, Inc. v. United States*, 149 Ct. Cl. 535, 276 F.2d 1, 7 (Ct. Cl. 1960).
- g. There is no need to create or search for additional information. *Medart v. Austin*, 967 F.2d 579 (Fed. Cir. 1992) (court refused to impose a higher standard than imposed by regulations in finding reasonable the use of prior year’s requirements as estimate). The standard is for the Government to base its estimates on “all relevant information that is reasonably available to it.” *Womack v. United States*, 182 Ct. Cl. 399, 401, 389 F.2d 793, 801 (1968).
 - (1) The estimates can be based on personal experience as long as it is reasonable. *National Salvage & Service Corp.*, ASBCA No. 53750 (Jun. 18, 2004).
 - (2) The GAO will sustain a protest if a solicitation contains flawed estimates. *Beldon Roofing & Remodeling Co.*, B-277651, Nov. 7, 1997, CPD 97-2 ¶ 131 (recommending cancellation of invitation for bids (IFB) where solicitation failed to provide realistic quantity estimates).
 - (3) Failure to use available data or calculate the estimates with due care may also entitle the contractor to additional compensation. *See Hi-*

Shear Tech. Corp. v. United States, 53 Fed. Cl. 420 (2002) (noting that the Government “is not free to carelessly guess at its needs” and that it must calculate its estimates based upon “all relevant information that is reasonably available to it.”); *S.P.L. Spare Parts Logistics, Inc.*, ASBCA Nos. 51118, 51384, 02-2 BCA ¶ 31,982; *Crown Laundry & Dry Cleaners v. United States*, 29 Fed. Cl. 506 (1993) (finding the Government was negligent where estimates were exaggerated and not based on historical data); and *Contract Mgmt., Inc.*, ASBCA No. 44885, 95-2 BCA ¶ 27,886 (granting relief under the Changes clause where Government failed to revise estimates between solicitation and award to reflect funding shortfalls).

- (4) Contractors are generally not entitled to lost profits for negligent estimates. Recovery is generally limited to reliance damages and a price adjustment. *See Rumsfeld v. Applied Companies, Inc.*, 325 F.3d 1329 (Fed. Cir. 2003), and *Everett Plywood v. United States*, 190 Ct. Cl. 80, 419 F.2d 425 (Ct. Cl. 1969)

h. The only limitation on the Government’s freedom to vary its requirements after contract award is that it be done in good faith. *See Padilla v. United States*, 58 Fed. Cl. 585, 589 (2003) (highlighting the three basic obligations of the government to act in good faith).

- (1) The Government acts in good faith if it has a valid business reason for varying its requirements, other than dissatisfaction with the contract. *Technical Assistance Int’l, Inc. v. United States*, 150 F.3d 1369; *Shear Tech. Corp. v. United States*, 53 Fed. Cl. 420 (2002); *Maggie’s Landscaping, Inc.*, ASBCA Nos. 52462, 52463 (June 2, 2004) (Government had valid reasons to reduce orders, to include dry and wet conditions).
- (2) “Bad faith” includes actions “motivated solely by a reassessment of the balance of the advantages and disadvantages under the contract” such that the buyer decreases its requirements to avoid its obligations under the contract. *Technical Assistance Int’l, Inc. v. United States*, 150 F.3d 1369, 1372 (Fed. Cir. 1998) (citing *Empire Gas*

Corp. v. Am. Bakeries Co., 840 F. 2d 1333, 1341 (7th Cir. 1988)).

- i. The Government is not liable for acts of God that cause a reduction in requirements. *Sentinel Protective Servs., Inc.*, ASBCA No. 23560, 81-2 BCA ¶ 15,194 (drought reduced need for grass cutting).
- j. Limitations.
 - (1) Requirements contracts in an amount estimated to exceed \$150 million (including all options) may not be awarded to a single source unless a determination is executed IAW RFO FAR 16.504-3(a)(4).
 - (2) Limits on use of Requirements Contracts for Advisory and Assistance Services (CAAS).¹⁰ RFO FAR 16.503-3(b); *see also* 10 U.S.C. § 3405. Activities may not issue solicitations for requirements contracts for advisory and assistance services in excess of three years and \$20 million, including all options, unless the contracting officer or designated official determines in writing that the services required are so unique or highly specialized that it is not practicable to make multiple awards using the procedures in RFO FAR 16.504-3.

6. **Indefinite-Quantity/Indefinite-Delivery Contracts (also called ID/IQ or Minimum Quantity Contracts).** RFO FAR 16.504.

- a. Generally.
 - (1) Indefinite or variable quantity contracts permit flexibility in both quantities and delivery schedules.
 - (2) These contracts permit ordering of supplies or services as requirements materialize.

¹⁰ “‘Advisory and assistance services’ means those services provided under contract by nongovernmental sources to support or improve: organizational policy development; decision making; management and administration; program and/or program management and administration; or R&D activities. It can also mean the furnishing of professional advice or assistance rendered to improve the effectiveness of Federal management processes or procedures (including those of an engineering or technical nature). All advisory and assistance services are classified” as: Management and professional support services; Studies, analyses and evaluations; or Engineering and technical services. FAR 2.101.

- (3) An indefinite quantity contract must be either a requirements or an ID/IQ contract. *See Satellite Servs., Inc.*, B-280945, B-280945.2, B-280945.3, Dec. 4, 1998, 98-2 CPD ¶ 125 (solicitation flawed where it neither guaranteed a minimum quantity nor operated as a requirements contract).
- b. An ID/IQ contract shall require the Government to order and the contractor to furnish at least a stated minimum quantity of supplies or services. In addition, if ordered, the contractor shall furnish any additional quantities, not to exceed the stated maximum. RFO FAR 16.504-1(a) and (b).
- c. Application. “Contracting officers may use an indefinite-quantity contract when the Government knows what kind of supplies or services it needs and a certain minimum amount that will be needed, but does not know exactly how much will be needed or when during the effective period. The contracting officer should use an indefinite-quantity contract only when the government expects to have ongoing, repeated needs for the supplies or services.” RFO FAR 16.504-2.
- d. In order for the contract to be binding, the minimum quantity in the contract must be more than a nominal quantity. RFO FAR 16.504-1(b). *See CW Government Travel, Inc.*, B-295530 (\$2500 minimum adequate when it represented several hundred transactions in travel services); *Howell, v. United States*, 51 Fed. Cl. 516 (2002); *Aalco Forwarding, Inc., et al.*, B-277241.15, Mar. 11, 1998, 98-1 CPD ¶ 87; *Sea-Land Serv. Inc.*, B-278404.2 Feb. 9, 1998, 98-1 CPD ¶ 47 (after considering the acquisition as a whole, found guarantee of one “FEU”¹¹ per contract carrier was adequate consideration to bind the parties). If the contract contains option year(s), only the base period of performance must contain a non-nominal minimum to constitute adequate consideration. *Varilease Tech. Group, Inc. v. United States*, 289 F.3d 795 (Fed. Cir. 2002).
- e. The contractor is entitled to receive only the guaranteed minimum. *Travel Centre v. Barram*, 236 F.3d 1316 (Fed. Cir. 2001) (holding that agency met contract minimum so “it’s less than ideal contracting tactics fail to constitute a breach”); *Crown Laundry & Dry Cleaners, Inc.*, ASBCA No. 39982, 90-

¹¹ Meaning Forty-Foot Equivalent Unit, an FEU is an industry term for cargo volumes measuring 8 feet high, 8 feet wide, and 40 feet deep.

3 BCA ¶ 22,993; *but see Community Consulting Int'l.*, ASBCA No. 53489, 02-2 BCA ¶31,940 (granting summary judgment on a breach of contract claim despite the Government satisfying the minimum requirement); *see also Vanquish Worldwide, LLC v. United States*, 147 Fed. Cl. 390, 400 (2020) (stating that the courts have not suggested that “once the minimum quantity requirement has been met under an IDIQ contract, the government may ignore independent contractual requirements that are intended to ensure fairness in the assignment of task orders among multiple contractors”). The corrected quantum must account for the amount the contractor would have spent to perform the unordered work. *Bannum, Inc.*, DOTBCA 4452, 06-1 BCA ¶ 33,228.

- f. The Government may not retroactively use the Termination for Convenience clause to avoid damages for its failure to order the minimum quantity. *Compare Maxima Corp. v. United States*, 847 F.2d 1549 (Fed. Cir. 1988) (termination many months after contract completion where minimum not ordered was invalid), *and PHP Healthcare Corp.*, ASBCA No. 39207, 91-1 BCA ¶ 23,647, *with Hermes Consolidated, Inc. d/b/a Wyoming Refining Co.*, ASBCA Nos. 52308, 52309, 2002 ASBCA LEXIS 11 (partial T4C with eight days left in ordering period proper) *and Montana Ref. Co.*, ASBCA No. 50515, 00-1 BCA ¶ 30,694 (partial T4C proper when Government reduced quantity estimate for jet fuel eight months into a twelve-month contract).
- g. The contractor must prove the damages suffered when the Government fails to order the minimum quantity. The standard rule of damages is to place the contractor in as good a position as it would have been had it performed the contract. *White v. Delta Contr. Int'l., Inc.*, 285 F.3d 1040, 43 (Fed. Cir. 2002); *PHP Healthcare Corp.*, ASBCA No. 39207, 91-1 BCA ¶ 23,647 (holding the contractor was not entitled to receive the difference between the guaranteed minimum and requiring the parties to determine an appropriate quantum); *AJT Assocs., Inc.*, ASBCA No. 50240, 97-1 BCA ¶ 28,823.
- h. The contract statement of work cannot be so broad as to be inconsistent with statutory authority for task order contracts and the requirements of the Competition in Contracting Act. *See Valenzuela Eng'g., Inc.*, B-277979, Jan. 26, 1998, 98-1 CPD ¶ 51 (statement of work for operation and maintenance services at any Government facility in the world deemed impermissibly broad).

- i. Policy Preference for Multiple-Award ID/IQs: A contracting officer must, to the maximum extent possible, give preference to multiple awards for ID/IQs, for similar supplies or services.¹² RFO FAR 16.504-3(a)(1). The contracting officer must document the decision whether or not to make multiple awards in the acquisition plan or contract file.
 - (1) RFO FAR 16.504-3(a)(2) lists a few reasons a contracting officer may find multiple awards are not in the best interest of the Government, “including, but not limited to-”
 - i. Only one contractor is capable of providing performance at the level of quality required because the supplies or services are unique or highly specialized;
 - ii. Based on the contracting officer’s knowledge of the market, more favorable terms and conditions, including pricing, will be provided if a single award is made;
 - iii. The expected cost of administration of multiple contracts outweighs the expected benefits of making multiple awards;
 - iv. The projected orders are so integrally related that only a single contractor can reasonably perform the work;
 - v. The total estimated value of the contract is at or below the SAT.
 - (2) Task or delivery order contracts in an amount estimated to exceed \$150 million (including all options) may not be awarded to a single source unless the head of the agency determines in writing the factors listed in RFO FAR 16.504-3(a)(4)(i); congressional notification is provided; includes the applicable requirements of RFO FAR 6, and is not applicable for architect-engineer services pursuant to RFO FAR 36. RFO FAR 16.504-3(a)(4).¹³

¹² RFO FAR 16.504-3(b) provides the requirements and preference for CAAS multiple award ID/IQs.

¹³ RFO DFARS 216.504-3 states that the “senior procurement executive has the authority to make the determination authorized in FAR 16.504-3(a)(4)(i). (A) In accordance with 10 U.S.C. 3403(d)(3), when making the determination at FAR 16.504-3(a)(4)(i)(A), the senior procurement executive must determine that the task

- j. On-ramps and off-ramps. “To maintain a current, competitive, and innovative pool of vendors on a multiple-award contract,” contracting officers may include in the ID/IQ solicitation provisions to permit adding a new contractor (on-ramp) and increasing the maximum quantity “during open seasons.” Additionally, the provisions may permit the removal of a contractor (off-ramp) for “underperforming, failure to actively participate in order competitions, or if requested by the awardee.” RFO FAR 16.504-4. “The government has discretion of how and when to open a multiple-award contract for an onramp or an off-ramp. These processes do not need to occur at the same time.” RFO FC 16.504-4. “When considering methods to assess the multiple-award vendor pool for purposes of offramping, past performance on earlier orders under the contract should be given priority consideration (see FAR 16.507-2(c)(2)).” RFO FAR 16.504-4. Example procedures can be found in the [Periodic Table of Acquisitions](#).
- k. Placing Orders. RFO FAR 16.506.
- (1) RFO FAR 16.506 sets out the general requirements for orders under delivery or task order contracts. A separate synopsis under RFO FAR 5 is not required for orders
 - (2) Orders under multiple award contracts require additional requirements under RFO FAR 16.507 for fair opportunity to be considered. RFO FC 16.507 stresses efficient streamlined ordering procedures by considering minimizing redundant information, leveraging previous evaluations, and harnessing innovative techniques. Contracting officers have broad discretion to develop ordering procedures, and are encouraged to utilize procedures found in the [Periodic Table of Acquisition Innovation](#). “Further guidance on best practices and consideration, specifically those to avoid unnecessarily extending the protest window can be found in RFO FC 16.507-2(c)(3); and 507-5(c). See 215.103-270 for the limitations and prohibitions on the use of the lowest price technically acceptable source selection process,

or delivery orders expected under the contract are so integrally related that only a single source can ‘efficiently perform the work,’ instead of ‘reasonably perform the work’ as required by the FAR. (a)(4)(ii) The congressional notification requirement at FAR 16.504- 3(a)(4)(ii) does not apply to DoD. (a)(4)(iii) In accordance with 10 U.S.C. 3403(d)(3), the determination at FAR 16.504-3(a)(4)(iii) is not required if a justification has been executed, in accordance with FAR 6.104 and section 206.104.”

which are applicable to orders placed against multiple award indefinite delivery contracts.” RFO DFARS 216.507-2.

- i. Fair Opportunity to be Considered. Each awardee must be given a “fair opportunity to be considered for each order or B[lanket] P[urchase] A[greement] valued above the micro-purchase threshold...” unless a sole source order or BPA is justified and approved according to RFO FAR 16.507-6. RFO FAR 16.507-2(a)(1). *See also Nations, Inc.*, B-272455, Nov. 5, 1996, 96-2 CPD ¶ 170.
- ii. Fair Opportunity to be Considered for ID/IQ Orders between the micro-purchase threshold and the simplified acquisition threshold (SAT). Contracting officers must fairly consider all contractors offering supplies or services, and if there is sufficient information for each to be fairly considered, a solicitation to all or any is not required, but the contract file must document to the extent necessary to support the award decision, such as demonstrating that each contractor was fairly considered. RFO FAR 16.507-3
- iii. Fair Opportunity to be Considered for ID/IQ Orders Exceeding SAT but not above \$7.5 million. The contracting officer must provide fair notice of intent to place an order to all contractors offering products or service by issuing a solicitation or notice of intent requiring contractors to respond to receive the solicitation. Additionally, the contracting officer must “[d]ocument the file to the extent necessary to support the award decision.” RFO FAR 16.507-4.
- iv. Fair Opportunity to be Considered for ID/IQ Orders exceeding \$7.5 million. In addition to the requirements of 16.507-4, the fair notice and documentation must include certain information, disclosure of certain consideration factors, and provide post award notices and debriefings according to part 15. RFO FAR 16.507-5. For DoW contracting officers, “...Post award notices and debriefing. In addition to the notice required by FAR part 15 and 16.507-5(c), a written or oral post award debriefing of successful and unsuccessful awardees is required for task orders and delivery

orders valued at \$10 million or more (section 818 of the National Defense Authorization Act for Fiscal Year 2018 (Pub. L. 115-91))[].” Contracting officers must follow the procedures of DFARS 215.301-1 and 215.301-270 when providing post award debriefings in these cases. RFO DFARS 216.507-5.

- (3) Exceptions to the Requirement to provide a Fair Opportunity to be Considered. Under multiple-award contracts, orders and BPAs are exempt from the competition requirements of part 6; however, for those valued above the micro-purchase threshold, they must comply with RFO FAR 16.507-6. Certain applicable exceptions, small business considerations under part 19 and 15 U.S.C. 644(r), justification and approval, and posting requirements are detailed in RFO FAR 16.507-6. In the DoW, for orders exceeding the SAT, “that is a follow-on to an order previously issued for the same supply or service based on a on a justification for an exception to fair opportunity citing the authority at FAR 16.5076(b)(2) or (3), follow the procedures at PGI 216.507-6(b).” RFO DFARS 216.507-6. “If only one offer is received in response to an order exceeding the simplified acquisition threshold that is placed on a competitive basis, the contracting officer must follow the procedures at 215.271-6.” RFO DFARS 216.507-70.

1. Protests concerning task orders. The issuance of a task or delivery order is generally not protestable.¹⁴ Exceptions include:

- (1) Protests on the ground that the order increases the scope, period, or maximum value of the contract under which the order is issued. 10 U.S.C. §

¹⁴ “A protest is not authorized in connection with the issuance or proposed issuance of a task or delivery order except for—(A) a protest on the ground that the order increases the scope, period, or maximum value of the contract under which the order issued; or (B) a protest of an order valued in excess of \$25,000,000.” 10 U.S.C. § 3406. *See also* 4 C.F.R. § 21.5(a) (providing that the administration of an existing contract is within the purview of the contracting agency, and is an invalid basis for a GAO protest). *But see Grp. Seven Assocs., LLC v. United States*, 68 Fed. Cl. 28, 32 (2005) (looking at the merits and denying the protest, although noting that jurisdiction was “doubtful.”)

3406(f)(1)(A); *see also* 41 U.S.C. § 4106(f)(1)(A). *See also Anteon Corp.*, B-293523, B-293523.2, Mar. 29, 2004, 2004 CPD ¶ 51; *Symplcity Corp.*, B-291902, Apr. 29, 2003; *Makro Janitorial Servs., Inc.*, B-282690, Aug. 18, 1999, 99-2 CPD ¶ 39.

- (2) Task orders whose value exceeds \$35,000,000. *See* 10 U.S.C. § 3406(f)(1)(B). *But see* 41 U.S.C. § 4106(f)(1)(B) (permitting bid protests for orders in excess of \$10,000,000 for all other Federal task orders).
- (3) Where an agency conducts a down-selection (selection of one of multiple contractors for continued performance). *See Electro-Voice, Inc.*, B-278319, B-278319.2, Jan. 15, 1998, 98-1 CPD ¶ 23.
- (4) Where an agency conducts a competition among ID/IQ contractors and arrives at its source selection using negotiated procurement procedures. *CourtSmart Digital Sys., Inc.*, B-292995.2, B-292995.3, Feb. 13, 2004; *COMARK Fed. Sys.*, B-278343, B-178343.2, Jan. 20, 1998.
- (5) A competition is held between an ID/IQ contractor (or BPA holder) and another vendor. *AudioCARE Sys.*, B-283985, Jan. 31, 2000, 2000 CPD ¶ 24.
- (6) The protest challenges the transfer to an ID/IQ contract the acquisition of services that had been previously set aside for small businesses. *LBM, Inc.*, B-290682, Sep. 18, 2002, 2002 CPD ¶ 157.
- (7) The FAR requires the head of an agency to designate a Task and Delivery Order Ombudsman to review complaints from contractors and ensure they are afforded a fair opportunity to be considered for orders. The ombudsman must be a senior agency official independent of the contracting officer and may be the agency's competition advocate. RFO FAR 16.507-2(b).

7. **Letter Contracts.** RFO FAR 16.603. "A letter contract is a written preliminary contractual instrument that authorizes the contractor to begin immediately manufacturing supplies or performing services." RFO FAR 16-603-1.

- a. Use. Letter contracts “may be used when (1) the Government’s interests demand that the contractor be given a binding commitment so that work can start immediately, and (2) negotiating a definitive contract is not possible in sufficient time to meet the requirement. However, a letter contract should be as complete and definite as feasible under the circumstances.” RFO FAR 16.603-2(a). Letter contracts are also known as *Undefinitized Contract Actions* (UCA).
- b. Approval for Use. The head of the contracting activity (HCA) or designee must determine in writing that no other contract is suitable. RFO FAR 16.603-3. Approved letter contracts must include a not-to-exceed (NTE) price.
- c. Definitization. The parties must definitize the contract (agree upon contractual terms, specifications, and price) by the earlier of the end of the 180 day period after the date of the letter contract, or the date on which the amount of funds obligated under the contractual action is equal to more than 50 percent of the negotiated overall ceiling price for the contractual action.¹⁵ 10 U.S.C. § 3372.
- d. The maximum liability of the Government shall be the estimated amount necessary to cover the contractor’s requirements for funds before definitization, but shall not exceed 50 percent of the estimated cost of the definitive contract unless approved in advance by the official who authorized the letter contract. 10 U.S.C. § 3372(a)(2); [RFO FAR 16.603-2\(d\)](#); RFO DFARS 217.604-2 and 217.7404-3(a).
- e. Restrictions: Letter contracts shall not
 - (1) Commit the Government to a definitive contract in excess of funds available at the time of contract.
 - (2) Be entered into without competition when required.
 - (3) Be amended to satisfy a new requirement unless that requirement is inseparable from the existing letter contract. RFO FAR 16-603-3.
- f. Liability for failure to definitize? *See Sys. Mgmt. Am. Corp.*, ASBCA Nos. 45704, 49607, 52644, 00-2 BCA ¶ 31,112 (finding the Assistant Secretary of the Navy unreasonably

¹⁵ RFO FAR 16.603-2(c) provides for definitization within 180 days after date of the letter contract or before completion of 40 percent of the work to be performed, whichever occurs first.

refused to approve a proposed definitization of option prices for a small disadvantaged business's supply contract).

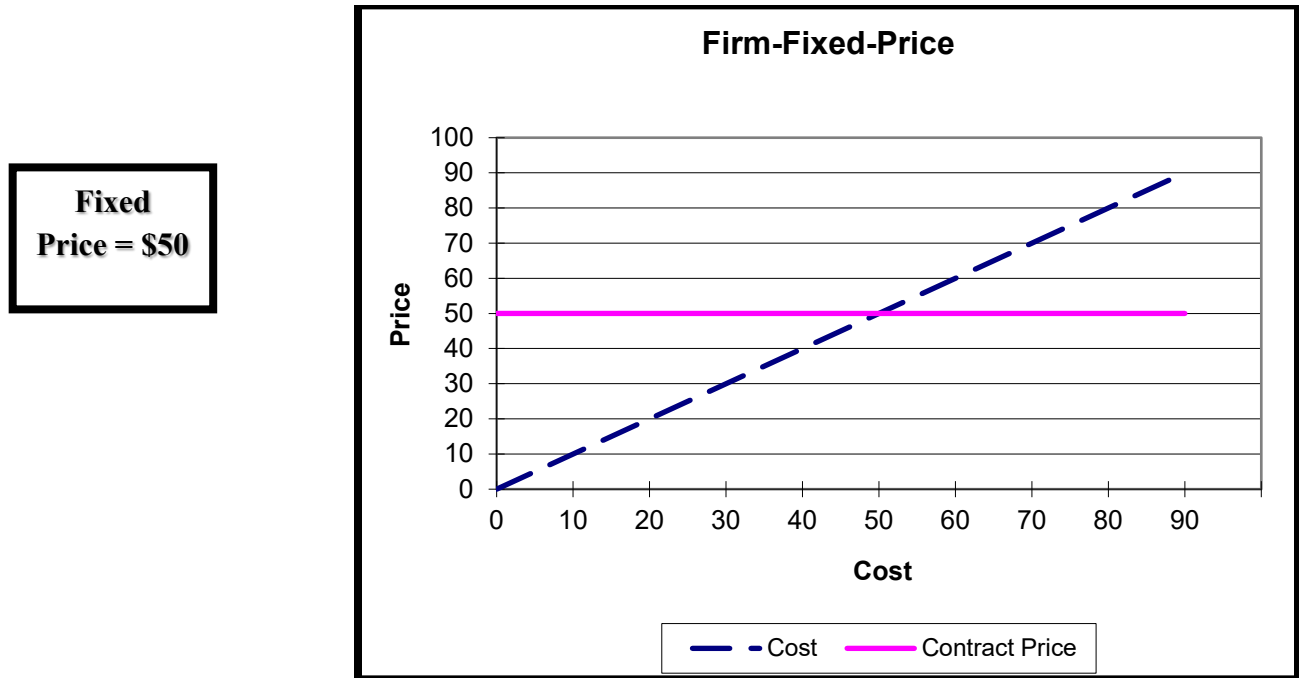
III. CONTRACT TYPES – CATEGORIZED BY PRICE

A. **Fixed-Price Contracts.** RFO FAR Subpart 16.2.

1. General. “Fixed Price contracts provide for a firm price, or in appropriate cases, an adjustable price. Fixed-price with adjustable prices may include a ceiling price, a target price (including target cost), or both.” RFO FAR 16.201(a). The most common types of fixed price contracts include: Firm, Fixed Price (FFP), Fixed Price with Economic Price Adjustment (EPA), Fixed Price with Award Fee, and Fixed Price Incentive Fee (FPIF) contracts.
2. Use. Use of a FP contract for other than major defense acquisition programs research and development contracts in the DoW are restricted to the procedures in RFO DFARS 235.170.
3. **Firm-Fixed-Price Contracts (FFP).** RFO FAR 16.202.
 - a. “A firm-fixed-price contract provides for a price that is not subject to any adjustment on the basis of the contractor’s experience in performing the contract. The contracting officer may use a firm-fixed-price contract in conjunction with an award-fee incentive (see 16.402) and performance or delivery incentives (see 16.403 and 16.404) when the award fee or incentive is based solely on factors other than cost. The contract type remains firm-fixed-price when used with these incentives.” RFO FAR 16.202-1. (See Figure 1, page 7-21). The contractor promises to perform at a fixed-price, and bears the responsibility for increased costs of performance. “It provides maximum incentive for the contractor to control costs and perform effectively and imposes a minimum administrative burden upon the contracting parties.” RFO FC 16.202. *See also Appeals of New Era Contract Sales, Inc.*, ASBCA Nos. 56661, 56662, 56663, April 4, 2011 (failure of subcontractor to honor previously quoted prices does not excuse prime contractor); *Chevron U.S.A., Inc.*, ASBCA No. 32323, 90-1 BCA ¶ 22,602 (the risk of increased performance costs in a fixed-price contract is on the contractor absent a clause stating otherwise). The contractor also accepts the benefit of decreased costs associated with the items to be delivered under the contract.
 - b. A FFP contract “is suitable for acquiring supplies or services on the basis of clearly defined functional or detailed specifications (see part 11) when the contracting officer can

establish fair and reasonable prices at the outset.” RFO FAR 16.202-2.

Figure 1.



If in performing the contract, the contractor incurs costs of:	Then the contractor is entitled to the following amount of money:
\$50	\$50
\$40	\$50
\$80	\$50
\$10	\$50

4. **Fixed-Price Contracts with Economic Price Adjustment (FP w/ EPA).** RFO FAR 16.203.
 - a. Provides for upward and downward revision of the stated contract price when specific events occur. RFO FAR 16.203-1. *See Transportes Especiales de Automoviles, S.A.*, ASBCA No. 43851, 93-2 B.C.A. 25,745 (stating that “EPA provisions in Government contracts serve an important purpose, protecting both parties from certain specified contingencies.”). A contracting officer may use a FP-EPA contract “in conjunction with an award-fee incentive (see 16.402) and performance or delivery incentives (see 16.403 and 16.404). This combination

is appropriate when the award fee or incentive is based solely on factors other than cost. The contract type remains fixed-price with economic price adjustment when used with these incentives.” RFO FAR 16.203-1(b).

- b. Methods of adjustment for economic price adjustment clauses. RFO FAR 16.203-1(a)(1-3).
 - (1) Adjustments based on established prices. *See* FAR 52.216-2 (standard supplies) and FAR 52.216-3 (semi standard supplies); CAFC held that market-based EPA clauses are permitted under the FAR. *Tesoro Hawaii Corp., et al. v. United States*, 405 F.3d 1339 (Fed. Cir. 2005).
 - (2) Adjustments based on actual costs of labor or material (see Figure 2, 6-23). Price adjustments should be limited to contingencies beyond the contractor’s control. FAR 52.216-4(c)(2). The aggregate of the increases in any contract unit price made under the clause shall not exceed 10 percent of the original unit price; there is no limitation on the amount of decreases. FAR 52.216-4(c)(4).
 - (3) Adjustments based on cost indexes of labor or material. The standards or indexes are specifically identified in the contract. There is no standard FAR clause prescribed when using this method. The DFARS provides extensive guidelines for use of indexes. *See* RFO DFARS 216.203-470.
 - (4) EPA clauses must be constructed to provide the contractor with the protection envisioned by regulation. Courts and boards may reform EPA clauses to conform to regulations. *See Beta Sys. v. United States*, 838 F.2d 1179 (Fed. Cir. 1988) (reformation appropriate where chosen index failed to achieve purpose of EPA clause); *Craft Mach. Works, Inc.*, ASBCA No. 35167, 90-3 BCA ¶ 23,095 (EPA clause did not provide contractor with inflationary adjustment from a base period paralleling the beginning of the contract, as contemplated by regulations).
 - (5) Alternatively, a party may be entitled to fair market value, or *quantum valebant* recovery. *Gold Line Ref., Ltd. v. United States*, 54 Fed. Cl. 285

(2002) (a contractor may be entitled *quantum valebant* relief or reformation of the EPA clause to further the parties' intent "to adjust prices in accordance with the FAR"); *Barrett Ref. Corp. v. United States*, 242 F.3d 1055 (Fed. Cir. 2001).

- (6) A contractor may waive its entitlement to an adjustment by not submitting its request within the time specified in the contract. *Bataco Indus.*, 29 Fed. Cl. 318 (1993).

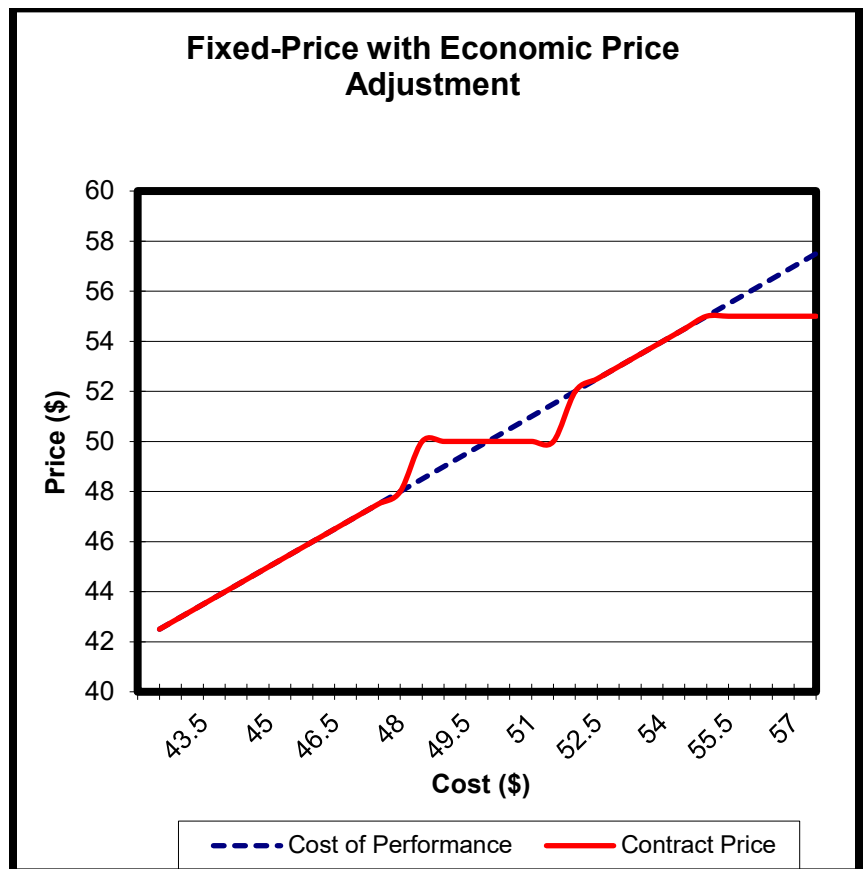
Figure 2

Fixed Price = \$50

An EPA will be made if qualifying costs vary (increase or decrease) 3% of the contract price.

By contract clause, the maximum *upward* adjustment is capped at 10% of the contract price.

A downward EPA will be made if costs are 3% to 100% lower than the contract price. There is no cap on downward EPA.



If due to price fluctuations recognized by the EPA clause, the contractor incurs costs of:	Then the contractor (Ktr) is entitled to the following amount of money:	Explanation
\$43	$\$50 - \text{EPA } \$7 = \$43.00$	There is no cap on economic price adjustments that <i>reduce</i> the contract price. Here, the reduced cost of performance qualifies for an adjustment and the Government should pay the Ktr only \$43.00.
\$47	$\$50 - \text{EPA } \$3 = \$47.00$	Ktr receives less than the full fixed price because the reduction in costs has exceeded 3% of the contract price. Here, 3% of \$50.00 is \$1.50. The cost of performance is less than \$48.50, so this contract qualifies for a \$3 contract adjustment. The Government should pay the Ktr only \$47.00.
\$49	\$50	Ktr receives the full Fixed Price because the variation in costs has not exceeded 3% of the contract price. Here, 3% of \$50.00 is \$1.50, so the cost of performance must be below \$48.50 to qualify for an adjustment.
\$50	\$50	Ktr receives the Fixed Price but has not qualified for any adjustment because there is no variation in cost.
\$51	\$50	Ktr receives the Fixed Price with no Adjustment because the variation in costs has not exceeded 3% of the contract price. Here, 3% of \$50.00 is \$1.50, so the increase in cost must exceed \$51.50 before an adjustment is made to the contract price.
\$53	$\$50 + \text{EPA } \$3 = \$53.00$	Ktr receives an Adjustment because the variation in costs has exceeded 3% of the contract price. The Ktr receives an additional \$3.00 as an Economic Price Adjustment (EPA).
\$55	$\$50 + \text{EPA } \$5 = \$55.00$	Costs have exceeded 3% of the contract price but have not exceeded the ceiling price on the contract (10%), so the Ktr receives an EPA for the full amount of its costs.
\$56	$\$50 + \text{EPA Ceiling } \$5 = \$55$	Costs have exceeded 3% of the contract price and the 10% contract ceiling price of \$55.00. Ktr is limited to an EPA of \$5.00 because that is the K ceiling.

5. Fixed-price contracts with prospective price redetermination: this arrangement provides for a FFP “for an initial period” and a prospective redetermination at a specified time or times for subsequent periods of

performance. RFO FAR 16.204. “If the contract provides for a ceiling price based on evaluation of uncertainties involved in performance and their possible cost impact, the ceiling price should provide for assumption of a reasonable proportion of the risk by the contractor and, once established, may be adjusted only by operation of contract clauses providing for equitable adjustment or other revision of the contract price under stated circumstances.” RFO FC 16.204. Limitations and clauses are provided in RFO FAR 16.204-3/4.

6. Fixed-ceiling-price contracts with retroactive price redetermination contracts are “A fixed-ceiling-price contract with retroactive price redetermination [which] provides for (a) a fixed ceiling price and (b) retroactive price redetermination within the ceiling after completion of the contract.” RFO FAR 16.205-1. “A fixed-ceiling-price contract with retroactive price redetermination is appropriate when it is established at the outset that a fair and reasonable firm-fixed-price cannot be negotiated, and that the amount involved and short performance period make the use of any other fixed-price contract type impracticable.” RFO FAR 16.205-2. “Since this contract type provides the contractor no cost control incentive except the ceiling price, the contracting officer should make clear to the contractor during discussion before award that the contractor’s management effectiveness and ingenuity will be considered in retroactively redetermining the price.” RFO FC 16.205.
7. Firm-Fixed-Unit-Price (FFUP). These contracts establish “a fixed-price(s) for supplies or services but does not establish the quantity, except for a guaranteed minimum and a ceiling. Volume discounts and equitable adjustments to the unit price based on actual usage do not render the contract other than a firm-fixed-unit-price contract. A FFUP contract is suitable when the government needs supplies or services but is unsure of the exact quantity. The contract specifies units of supply or service, estimated quantities, and unit prices, and may include a clause for price adjustment based on actual usage (e.g., volume discount or other economies of scale).” RFO FC 16.2.

B. Cost-Reimbursement Contracts. RFO FAR Subpart 16.3.

1. “Cost-reimbursement contracts allow for the reimbursement of allowable incurred costs. These contracts establish an estimate of total cost for the purpose of obligating funds and establishing a ceiling value that the contractor may not exceed (except at its own risk) without the approval of the contracting officer.” RFO FAR 16.301-1.
 - a. Application. Contracting officers may only use cost-reimbursement contracts when (1) “[t]he requirements cannot be sufficiently defined to allow for a fixed-price type contract (see part 7); or (2) Uncertainties involved in contract

performance do not permit costs to be estimated with sufficient accuracy to use any type of fixed-price contract.” RFO FAR 16.301-2(a). The reasoning for selecting this contract type must be documented in the acquisition plan and approved and signed at least one level above the contracting officer. RFO FAR 16.301(b).

- b. The Government pays the contractor’s allowable costs plus a fee (often erroneously called profit) as prescribed in the contract.
- c. To be allowable, a cost must be reasonable, allocable, properly accounted for, and not specifically disallowed. RFO FAR 31.201-2.
- d. Using a cost-type contract is within the contracting officer’s discretion. *Crimson Enters.*, B-243193, June 10, 1991, 91-1 CPD ¶ 557 (decision to use cost-type contract reasonable considering uncertainty over requirements causing multiple changes).
- e. The Government bears that majority of cost or performance risk. In a cost-reimbursement type contract, a contractor is only required to use its “best efforts” to perform. A contractor will be reimbursed its allowable costs, regardless of how well it performs the contract. *General Dynamics Corp. v. United States*, 671 F.2d 474, 480-81 (Ct. Cl. 1982) (stating that “[i]f, despite its best efforts, the contractor cannot meet the contractual requirements, the government has obtained precisely what it bargained for, namely, the contractor’s best efforts”); *McDonnell Douglas Corp. v. United States*, 37 Fed. Cl. 295, 299 (1997) (noting that “the focus of a cost-reimbursement contract is contractor input, not output.”)
- f. Limitations on Cost-Type Contracts. FAR 16.301-3.
 - (1) A written acquisition plan has been approved.
 - (2) The contractor must have an adequate cost accounting system. RFO FAR 16.301-3(a)(2). *See CrystaComm, Inc.*, ASBCA No. 37177, 90-2 BCA ¶ 22,692 (contractor failed to establish required cost accounting system).
 - (3) “Before award of the contract or order, sufficient Government resources are available to award and manage a contract other than firm-fixed-priced (see part 7). This includes designating a contracting

officer's representative to monitor contractor performance and cost controls (see part 1).” RFO FAR 16.301-3(a)(3).

- (4) May not be used for acquisition of commercial products or services. FAR 16.301-3(b).

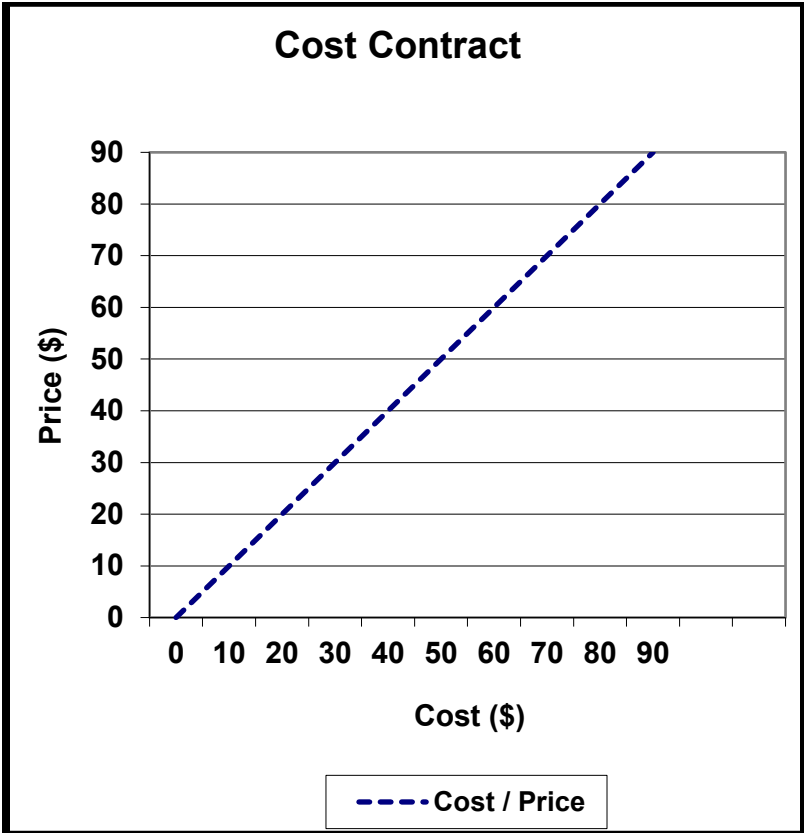
2. Statutory Prohibition against Cost-Plus-Percentage-of-Cost (CPPC) Contracts.

- a. The cost-plus-percentage-of-cost system of contracting is prohibited. 10 U.S.C. § 3322(a); 41 U.S.C. § 3905(a); RFO FAR 16.101(b).
- b. Identifying cost-plus-percentage-of-cost. In general, any contractual provision is prohibited that assures the Contractor of greater profits if it incurs greater costs. The criteria used to identify a proscribed CPPC system, as enumerated by the court in *Urban Data Sys., Inc. v. United States*, 699 F.2d 1147 (Fed. Cir. 1983) (adopting criteria developed by the Comptroller General at 55 Comp. Gen. 554, 562 (1975)), are:
 - (1) Payment is on a predetermined percentage rate;
 - (2) The percentage rate is applied to actual performance costs (as opposed to estimated or target performance costs determined at the outset);
 - (3) The Contractor's entitlement is uncertain at the time of award; and
 - (4) The Contractor's entitlement increases commensurately with increased performance costs. *See also Alisa Corp.*, AGBCA No. 84-193-1, 94-2 BCA ¶ 26,952 (finding contractor was entitled to *quantum valebant* basis of recovery where contract was determined to be an illegal CPPC contract).
- c. *Compare In re Dep't of Labor-Request for Advance Decision*, B-211213, Apr. 21, 1983, 62 Comp. Gen. 337, 83-1 CPD ¶ 429 (finding the contract was a prohibited CPPC) *with Tero Tek Int'l, Inc.*, B-228548, Feb. 10, 1988, 88-1 CPD ¶ 132 (determining the travel entitlement was not uncertain so therefore CPPC was not present).
- d. Contract modifications. If the Government directs the contractor to perform additional work not covered within the scope of the original contract, the contractor is entitled to

additional fee. This scenario does not fall within the statutory prohibition on CPPC contracts. *Digicon Corp.*, GSBGA No. 14257-COM, 98-2 BCA ¶ 29,988.

3. **Cost Contracts.** RFO FAR 16.302. The contractor receives its allowable costs but no fee (see Figure 3, page 7-28). This contract type may be appropriate for research and development work, particularly with nonprofit educational institutions or other nonprofit organizations, and for facilities contracts. RFO FC 16.302.

Figure 3



If in performing the contract, the contractor incurs costs of:	Then the contractor is entitled to the following amount of money:
\$50	\$50
\$60	\$60
\$30	\$30
\$100	\$100

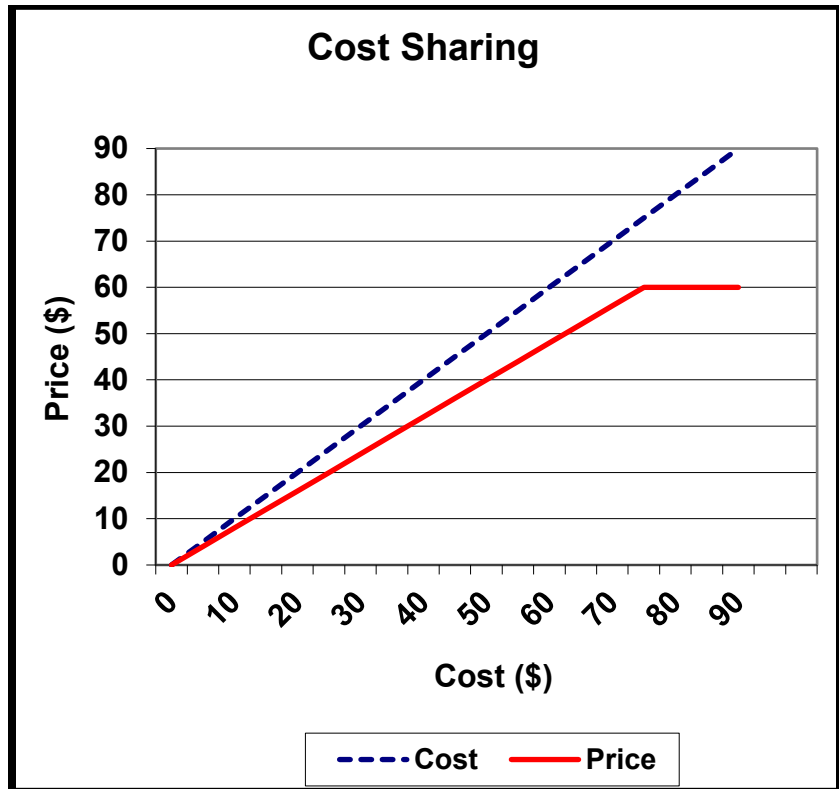
Cost-Sharing Contracts. RFO FAR 16.303.

- a. “A cost-sharing contract is a cost-reimbursement contract that does not include fee, and the Government reimburses only a portion of the allowable costs. The contracting officer must state in the contract the agreed upon portion or percentage of allowable costs that will be reimbursed.” (see Figure 4, below).
- b. Normally used where the contractor will receive substantial benefit from the effort. RFO FC 16.303.

FIGURE 4.

**Contractor is paid
80% of negotiated
costs.**

Cost Ceiling = \$60

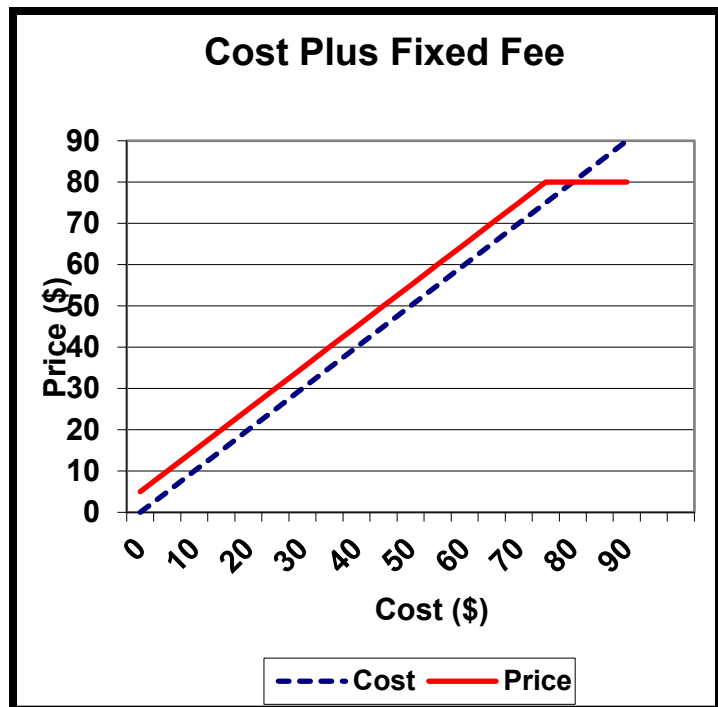


If in performing the contract, the contractor incurs costs of:	Then the contractor is entitled to the following amount of money:
\$50	\$40
\$60	\$48
\$70	\$56
\$80	\$60 (cost ceiling)

4. **Cost-Plus-Fixed-Fee (CPFF) Contracts** (see Figure 5, page 7-31). RFO FAR 16.304.
- a. Definition. “A cost-plus-fixed-fee contract is a cost-reimbursement contract that includes payment of an agreed upon fixed-fee. The fixed fee does not change with actual cost but may be adjusted as a result of changes in the work to be performed under the contract.” RFO FAR 16.304-1.
 - b. Use. “This contract type permits contracting for efforts that might otherwise present too great a risk to contractors, but it provides the contractor only a minimum incentive to control costs.” RFO FC 16.304. Often used for research or preliminary exploration or study when the level of effort is unknown or for development and test contracts where it is impractical to use a cost-plus-incentive-fee contract.
 - c. Limitation on Maximum Fee for CPFF contracts. 10 U.S.C. § 3322; 41 U.S.C. § 3905; “A cost-plus-fixed-fee contract must not be awarded unless the contracting officer complies with all limitations in part 15.” RFO FAR 16.304-2.
 - d. Forms. A CPFF contract may take one of two forms: Completion or Term. RFO FAR 16.304-3.
 - (1) The completion form describes the scope of work by stating a definite goal or target with a specific end product. The fixed fee is payable upon completion and delivery of the specified end product.
 - (2) The term form describes the scope of work in general terms and obligates the contractor to devote a specified level of effort for a stated time period.

Figure 5

Contractor incurred costs:	Contractor is entitled to:
\$50	$\$50 + \5 Fixed Fee = \$55
\$40	$\$40 + \5 Fixed Fee = \$45
\$70	$\$70 + \5 Fixed Fee = \$75
\$80	\$75 cost ceiling + \$5 Fixed Fee = \$80
\$90	\$75 cost ceiling + \$5 Fixed Fee = \$80



**Estimated Cost @
Time of Award =
\$50**

Fixed Fee = \$5

Cost Ceiling = \$75

C. Time-and-Materials and Labor-Hour Contracts. RFO FAR Subpart 16.6.

1. Application. “A time-and-materials contract may be used only when it is not possible at the time of placing the contract to estimate accurately the extent or duration of the work or to anticipate costs with any reasonable degree of confidence.” RFO FAR 16.601-2.
2. Type. T&M and LH contracts are neither fixed-price contracts nor cost-reimbursement contracts, but they constitute their own unique contract type. RFO FAR 16.600; *see also* FAR 52.232-7 (related to reimbursement for T&M and LH contracts).
3. Government Surveillance. “ A time-and-materials contract provides no positive profit incentive to the contractor for cost control or labor efficiency. Therefore, appropriate Government surveillance of contractor performance is required to give reasonable assurance that efficient methods and effective cost controls are being used.” RFO FAR 16.601-2(a); *CACI, Inc. v. General Services Administration*, GSBICA No. 15588, 03-1 BCA ¶ 32,106 (2002).
4. Limitation on use. The contracting officer must execute a D&F that no other contract type is suitable, include a contract price ceiling, and it must be approved by the head of the contracting activity prior to the execution of the base period. RFO FAR 16.601-3.
5. Types.
 - a. Time-and-materials (T&M) contracts. Provide for acquiring supplies or services on the basis of:
 - (1) Direct labor hours at specified fixed hourly rates that include wages, overhead, general and administrative expenses, and profit RFO FAR 16.601-2(b); and
 - b. Materials at cost, including, if appropriate, material handling costs as part of material costs. RFO FAR 16.601-2(c).
 - (1) Labor-hour contracts. Differs from T&M contracts only in that the contractor does not supply the materials. RFO FAR 16.602.

D. Incentive Contracts RFO FAR 16.4.

1. Description.

- a. “Incentive contracts are designed to obtain specific acquisition objectives by-(1) Establishing realistic and achievable targets that are clearly communicated to the contractor; and (2) including appropriate incentive arrangements designed to- (i) Motivate contractor efforts that might not otherwise be emphasized and(ii) Discourage contractor inefficiency and waste.” RFO FAR 16.401-2(a). See RFO DFARS PGI 216.401-1(c) for information on incentive contracts.
 - b. For predetermined, formula-type incentives on technical performance or delivery, the profit or fee increases are only earned when performance exceeds the targets. “Decreases apply when contractors fail to meet these targets. These incentive increases or decreases relate only to performance targets, not minimum performance requirements.” RFO FAR 16.401-1(b)
 - c. There are two basic categories of incentive contracts: fixed-price incentives and cost-reimbursement incentives.¹⁶
2. Limitations. “A determination and findings, signed by the head of the contracting activity, must be completed for all incentive- and award-fee contracts justifying that the use of this type of contract is in the best interest of the Government. This determination must be documented in the contract file. The determination for award-fee contracts must address all of the suitability items in 16.402-1.” RFO FAR 16.401-2. RFO DFARS 214.401-2 requires the D&F to be signed by specific levels of contracting officers.
3. **Award Fee.** RFO FAR 16.402. This type of contract should be used when the Government wants to motivate a contractor and other incentives cannot be used because the contractor’s performance cannot be measured objectively.
 - a. Award Fee contracts are a type of incentive contract suitable for use when
 - (1) the performance is too complex or uncertain to set “predetermined objective incentive targets applicable to cost, schedule, and technical performance.” RFO 16.402-1(a).
 - (2) “The likelihood of meeting acquisition objectives will be increased by using a contract that effectively motivates the contractor toward

¹⁶ The RFO moved the FP and CR incentive contract subparts under 16.4 and removed them for the respective subparts of 16.2 and 16.3.

exceptional performance and provides the Government with the flexibility to evaluate both actual performance and the circumstances under which work was achieved;" RFO FAR 16.402-1(b) and

- (3) "Any additional administrative effort and cost required to monitor and evaluate performance are justified by the expected benefits as documented by a risk and cost benefit analysis to be included in the determination and findings referenced in 16.401-2." RFO FAR 16.402-1(c).

b. Limitations. Award-fee contracts require an award fee-plan described in RFO FAR 16.402-2(c).

- (1) Award-fee amount and Determination and Finding (D&F). The amount must be in line with overall cost, schedule, and technical performance as outlined in the award-fee plan. The basis of the amount requires a documented determination, "that overall cost, schedule and technical performance in the aggregate is or is not at a satisfactory level. This determination and the approach for determining the award fee are unilateral decisions made solely at the discretion of the Government." RFO FAR 16.402-2(b)
- (2) Award-fee plan. Award-fee plans must create criteria and process for an award-fee board to complete the evaluation, which must be approved by the fee-determining official. The plan must describe how performance will be evaluated against the criteria and use the adjectival rate and associated descriptions, and award-fee pool earned percentages found in Table 16-1, RFO FAR 16.402-2(c)¹⁷:

<u>Award-Fee Adjectival Rating</u>	<u>Award Fee Pool Available To Be Earned</u>	<u>Description</u>
Excellent	91%-100%	Contractor has exceeded almost all

¹⁷RFO DFARS PGI 216.402-2(c) provides required procedures when planning award-fee plans.

		of the significant award-fee criteria and has met overall cost, schedule, and technical performance requirements of the contract in the aggregate as defined and evaluated against the criteria in the award-fee plan for the award-fee evaluation period.
Very Good	76%-90%	Contractor has exceeded many of the significant award-fee criteria and has met overall cost, schedule, and technical performance requirements of the contract in the aggregate as defined and evaluated against the criteria in the award-fee plan for the award-fee evaluation period.
Good	51% - 75%	Good 51%-75% Contractor has exceeded some of the significant award-fee criteria and has met overall cost, schedule, and technical performance requirements of the contract in the

		aggregate as defined and evaluated against the criteria in the award-fee plan for the award-fee evaluation period.
Satisfactory	No Greater Than 50%	Contractor has met overall cost, schedule, and technical performance requirements of the contract in the aggregate as defined and evaluated against the criteria in the award-fee plan for the award-fee evaluation period.
Unsatisfactory	0%	Contractor has failed to meet overall cost, schedule, and technical performance requirements of the contract in the aggregate as defined and evaluated against the criteria in the award-fee plan for the award-fee evaluation period.

- (3) Fixed-price contracts with award fees. RFO FAR 16.402-3. "Award-fee provisions may be used in fixed-price contracts when the Government wishes to motivate a contractor and other incentives cannot be used because contractor performance cannot be measured objectively. Such contracts must establish a fixed-price (including normal profit) for the work, which will be paid for satisfactory contract performance. Any award fee earned will be paid in addition to that fixed-price." See Figure 6, 7-37.

Figure 6

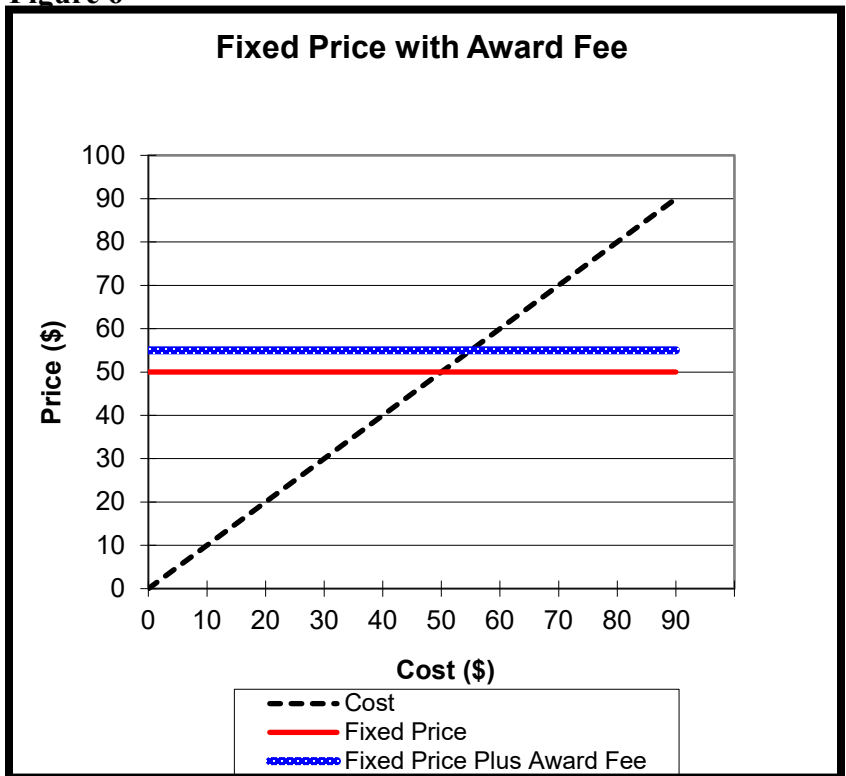
Fixed Price = \$50

Potential Award Fee = \$5

Total Price for this contract will be between \$50 and \$55.

The Maximum that the Ktr can earn is \$55.00. (\$50.00 Fixed Price plus 100% of the \$5 Award Fee).

The Minimum the Ktr can earn is \$50.00, which is the fixed price of the K.

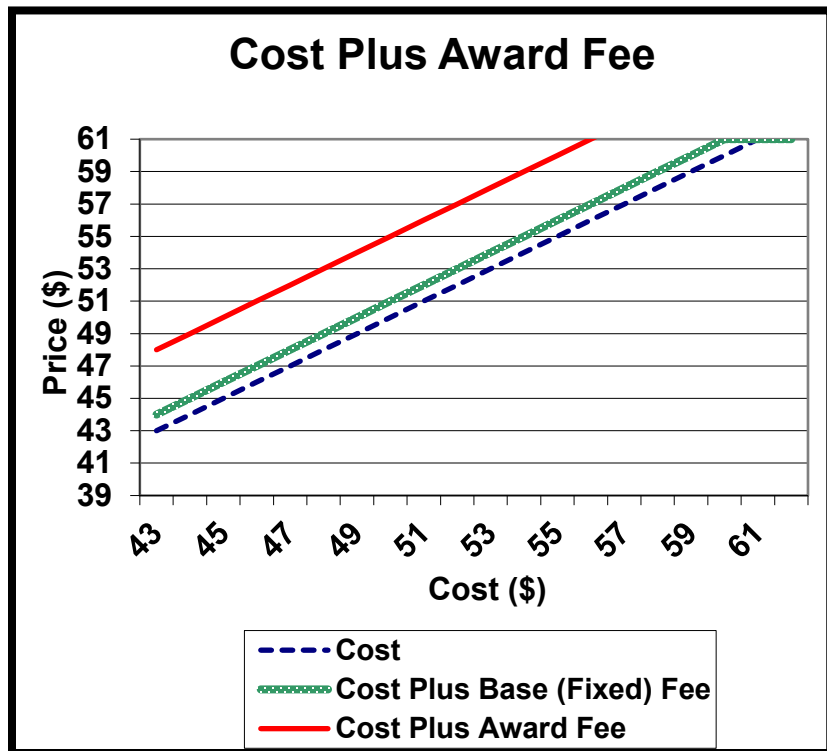


If in performing the contract, the contractor incurs costs of:	Then the contractor is entitled to the following amount of money:
\$50	\$50 plus % of the award fee
\$40	\$50 plus % of the award fee
\$80	\$50 plus % of the award fee

If in performing the contract, the contractor performs:	Then the contractor is entitled to the following amount of money:
Excellent (90-100% of the \$5 Award Fee)	\$54.50 - \$55.00
Very Good (76-90% of the \$5 Award Fee)	\$53.75 - \$54.50
Good (51-75% of the \$5 Award Fee)	\$52.50 - \$53.75
Satisfactory (No greater than 50% of the \$5 Award Fee)	\$50 - \$52.50
Unsatisfactory (0% of the \$5 Award Fee)	\$50

- (4) Cost-plus-award-fee contracts. RFO FAR 16.402-4. “A cost-plus-award-fee contract is a cost-reimbursement contract that provides a fee consisting of (1) a base amount fixed at inception of the contract, if applicable and at the discretion of the contracting officer, and (2) an award fee that the contractor may earn in whole or in part to provide motivation for excellence in the areas of cost, schedule, and technical performance.” (see below and Figure 7, 7-39).
- i. RFO DFARS 216.402-4 sets specific criteria for award-fee pools in CPAF contracts, including a required analysis on minimum availability, evaluation and payments, and specific limitations. “The contracting officer must perform an analysis of appropriate fee distribution to ensure at least 40 percent of the award fee is available for the final evaluation so that the award fee is appropriately distributed over all evaluation periods to incentivize the contractor throughout performance of the contract.” “Award-fee payments other than payments resulting from the evaluation at the end of an award-fee period are prohibited.”

Figure 7



If in performing the contract, the contractor incurs costs of:	Then the contractor is entitled to up to the following amount of money:	Notes
\$50	\$50 + \$1 base fee + up to \$4 of award fee = \$55	
\$55	\$55 + \$1 base fee + up to \$4 of award fee = \$60	
\$57	\$57 + \$1 base fee + up to \$4 of award fee = \$62	While \$60 is the cost ceiling, in cost contracts the cost ceiling is typically exclusive of any fee. (See FAR 52.232-20).
\$60	\$60 + \$1 base fee + up to \$4 of the award fee = \$65	\$60 is the cost ceiling. See comment above.
\$68	\$60 + \$1 base fee + up to \$4 of the award fee = \$65	

If in performing the contract at \$50 in cost, the contractor performs:	Then the contractor is entitled to the following amount of money:	
Outstanding (90-100%)	\$54.60-\$55	\$1 Base Fee + 90-100% of the \$4 Award Fee
Excellent (75-90%)	\$54-\$54.60	\$1 Base Fee + 75-90% of the \$4 Award Fee
Good (50-75%)	\$53-\$54	\$1 Base Fee + 50-75% of the \$4 Award Fee
Satisfactory (No greater than 50%)	\$51-\$53	\$1 Base Fee + no more than 50% of the \$4 Award Fee
Unsatisfactory (0%)	\$51	\$1 Base Fee + None of the \$4 Award Fee

4. Predetermined, formula-type incentives.
 - a. Cost incentives. “Cost incentives take the form of a profit or fee adjustment formula and are intended to motivate the contractor to effectively manage costs. No incentive contract may provide for other incentives without also providing a cost incentive (or constraint).” RFO FAR 16.403-1(a).
 - b. With the exception of award-fee contracts, these contracts include “a target cost, a target profit or fee, and a profit or fee adjustment formula that (within the constraints of a price ceiling or minimum and maximum fee) provides that
 - (1) If actual costs equal the target cost, the contractor will earn the target profit or fee;
 - (2) If actual costs exceed the target cost, the contractor’s earned profit or fee will be lower than the target profit or fee; and
 - (3) If actual costs are below the target cost, the contractor’s earned profit or fee will be higher than the target profit or fee.” 16.403-1(b).
 - c. Performance incentives. “Performance incentives may be considered in connection with specific product characteristics (e.g., a missile range, an aircraft speed, an engine thrust, or a vehicle maneuverability) or other specific areas of the

contractor's performance. Incentives should be linked to the contractor's profit or fee based on how their actual performance compares to the set targets." RFO FAR 16.403-2(a).

- (1) To the maximum extent practicable, positive and negative performance incentives for objectively measured tasks should be considered when the quality of performance is critical, and incentives are likely to motivate the contractor." RFO FAR 16.403-2(b).
 - (2) Guidance. "Performance incentives may involve a variety of specific characteristics that contribute to the overall performance. Accordingly, balance the incentives on individual technical characteristics so that no one of them is exaggerated to the detriment of the overall performance." RFO FC 16.403-2.
 - (3) Changes. "Because performance incentives present complex considerations in contract administration, it is a best practice to negotiate them in full coordination with government engineering and pricing specialists. And it is extremely useful if the government and contractor agree explicitly on the effect that contract changes (e.g., pursuant to the Changes clause) will have on performance incentives." RFO FC 16.403-2.
- d. Delivery incentives. "Delivery incentives should be considered when improvement from a required delivery schedule is important to the Government." RFO FAR 16.403-3. These incentives should include reward-penalty for Government-caused delays or delays outside of the contractors control. RFO FAR 16-403-3(b).
- e. **Fixed-Price Incentive (FPI) Contracts** (see Figure 8, page 7-44). RFO FAR 16.404. "A fixed-price incentive contract is a fixed-price contract that uses an established formula to adjust profit upward or downward and establishes the final contract price. Two forms of fixed-price incentive contracts, firm target and successive targets, are further described in 16.404-1 and 16.404-2." The contractor must complete a specified amount of work for a fixed-price. The contractor can increase its profit through cost-reduction measures.

- (1) Application. FPI contracts should be used when a FFP is not suitable, the contractor's acceptance of cost responsibility "will provide a positive profit incentive to control costs and increase performance" and if there is also technical, performance, or delivery incentives, those incentives will also provide opportunities to motivate and improve the management of the work." RFO 16.404(b).
- (2) Billing prices. The Government and the contractor agree in advance on a firm target cost, target profit, and profit adjustment formula. Interim billing prices are established and may later be adjusted within the ceiling if it is apparent by any party that the final price will be substantially different from the target price. RFO 16.404(c).
- (3) FPI (firm target) specifies a target cost, a target profit, a price ceiling (but not a profit ceiling or floor), and a profit adjustment formula. RFO FAR 16.404-1. This contract type may be used only with the contractor's accounting system is deemed adequate, and adequate cost or pricing information is available during initial negotiation. RFO FAR 16.404-1(b).
 - i. "A fixed-price incentive (firm target) contract is appropriate when the parties can negotiate at the outset a firm target cost, target profit, and profit adjustment formula that will provide a fair and reasonable incentive and a ceiling that provides for the contractor to assume an appropriate share of the risk." RFO FC 16.404-1.
 - ii. Terms of Art with Firm Target Incentive Contracts: The following elements are negotiated at the outset.
 - (i) Target Cost: The parties negotiate at the outset a firm target cost of performance for the acquisition that is fair and reasonable.
 - (ii) Target Profit: The parties negotiate at the outset a firm target profit for the acquisition that is fair and reasonable.

- (iii) Profit Adjustment Formula: A formula, established at the outset, will provide a fair and reasonable incentive for the contractor to assume an appropriate share of the risk. “When the contractor completes performance, the parties negotiate the final cost, and the final price is established by applying the formula. Because the profit varies inversely with the cost, this contract type provides a positive, calculable profit incentive for the contractor to control costs.” RFO FC 16.404-1. “When the final cost is less than the target cost, application of the formula results in a final profit greater than the target profit; conversely, when final cost is more than target cost, application of the formula results in a final profit less than the target profit, or even a net loss. If the final negotiated cost exceeds the price ceiling, the contractor absorbs the difference as a loss.” RFO FAR 16.404-1(a).
- (iv) Price Ceiling (but not a profit ceiling or floor): The Ceiling Price is established at the outset, and it combines both cost and profit. It is the maximum price that the Government may pay to the contractor, except for any adjustment under other contract clauses (like the changes clause). If the final negotiated cost exceeds the price ceiling, the contractor absorbs the difference as a loss. RFO FAR 16.404-1(a). Because this is a hard figure, the FPIC should be used when the parties can accurately estimate the cost of performance. Generally negotiated as a percentage of target costs, normal ceiling prices range from 115 to 135% of Target Cost. If ceiling prices are as high as 150% of the target cost, then a Cost-Plus-Incentive-Fee contract may be more appropriate. *See Formation of Government Contracts*, 5th Edition, John Cibinic, Ralph Nash,

and Christopher Yukins, Nathaniel E. Castellano, p. 12-82, 2023.

- (4) FPI (successive targets) specifies an initial target cost, an initial target profit, an initial profit adjustment formula, the production point at which the firm target cost and profit will be negotiated, and a ceiling price. RFO FAR 16.404-2(a). Similarly to FPI firm-target contracts, it may be used only with the contractor's accounting system is deemed adequate, and adequate cost or pricing information is available during initial negotiation. RFO FAR 16.404-2(b). "When the production point specified in the contract is reached, the parties negotiate the firm target cost, giving consideration to cost experience under the contract and other pertinent factors. The firm target profit is established by the formula. At this point, the parties have two alternatives, ..." 1) negotiate a FFP using the firm target cost plus the firm target profit as a guide, or 2) if that is inappropriate, negotiate a formula similar to the FPI contract. RFO FC 16.402-2.

Figure 8

Target Cost (TC) = \$45

Target Profit (TP) = \$ 5

Target Price = \$50

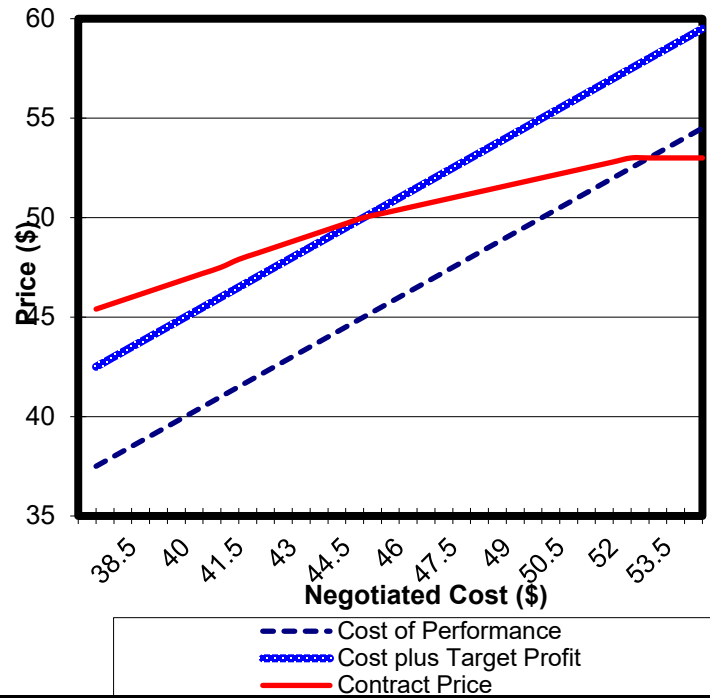
Ceiling Price (CP) = \$53

Price Adj (PA) Formula: 60/40 split

Cost Overrun: The Ktr is paid for only 60% of its actual costs (AC) that exceed the target cost (Ktr is not reimbursed for the other 40%), capped at \$53.

Cost Underrun: If Ktr costs are less than the target cost, the difference is computed. The Ktr receives 40% of the difference, plus the target profit.

Fixed-Price Incentive



If in performing the contract, the Ktr incurs costs:	Then the Ktr is entitled to the following amount of money:	Explanation
\$45.00	\$50.00	Ktr TC \$45 + \$5 TP = \$50
\$47.50	\$51.50	60% of the \$2.50 AC overrun = \$1.50 \$45 TC + 1.5 Ktr share = 46.5 + \$5 TP = \$51.50
\$50.00	\$52.00	60% PA of the \$5 cost overrun = \$3.00 \$45 TC + \$3 Ktr share = \$48 + \$5 TP = \$52.00
\$52.50	\$53.00	60% PA of the \$7.5 cost overrun = \$4.50 \$45 TC + \$4.5 Ktr share = \$49.5 + \$5 TP = \$54.50 but Ktr only receives the \$53.00 ceiling price.
\$55.00	\$53.00	Ktr costs exceed ceiling price, which is the max the Ktr can receive. Ktr is operating at a loss.
\$42.50	\$48.50	\$45.00 TC - \$42.50 AC = \$2.50 X 40% PA = \$1.00 Ktr receives \$42.50 + \$1 PA = \$43.50 + \$5TP = \$48.50
\$40.00	\$47	\$45 TC - \$40 AC = \$5 X 40% PA = \$2 Ktr receives \$40 AC + \$2 PA = \$42 + \$5 TP = \$47
\$37.50	\$45.50	\$45 TC - \$37.5AC = \$7.5 X 40% PA = 3 Ktr receives \$37.5 AC + \$3 PA = \$40.5 + \$5 TP = \$45.50

f. Cost-Plus-Incentive-Fee (CPIF) Contracts. RFO FAR 16.405. Figure 9. “The cost-plus-incentive-fee contract is a cost-reimbursement contract that adjusts the initially negotiated fee based on a formula comparing total allowable costs to total target costs. This contract type includes a target cost, target fee, minimum and maximum fees, and a fee adjustment formula. After contract performance, the contractor’s fee is determined using the specified fee formula. The formula allows for fee increases above the target fee when total allowable costs are less than target costs, and fee decreases below the target fee when total allowable costs exceed target costs, creating an incentive for effective contract management. When total allowable costs fall outside the range of the fee formula, the contractor receives total allowable costs plus either the minimum or maximum fee.”

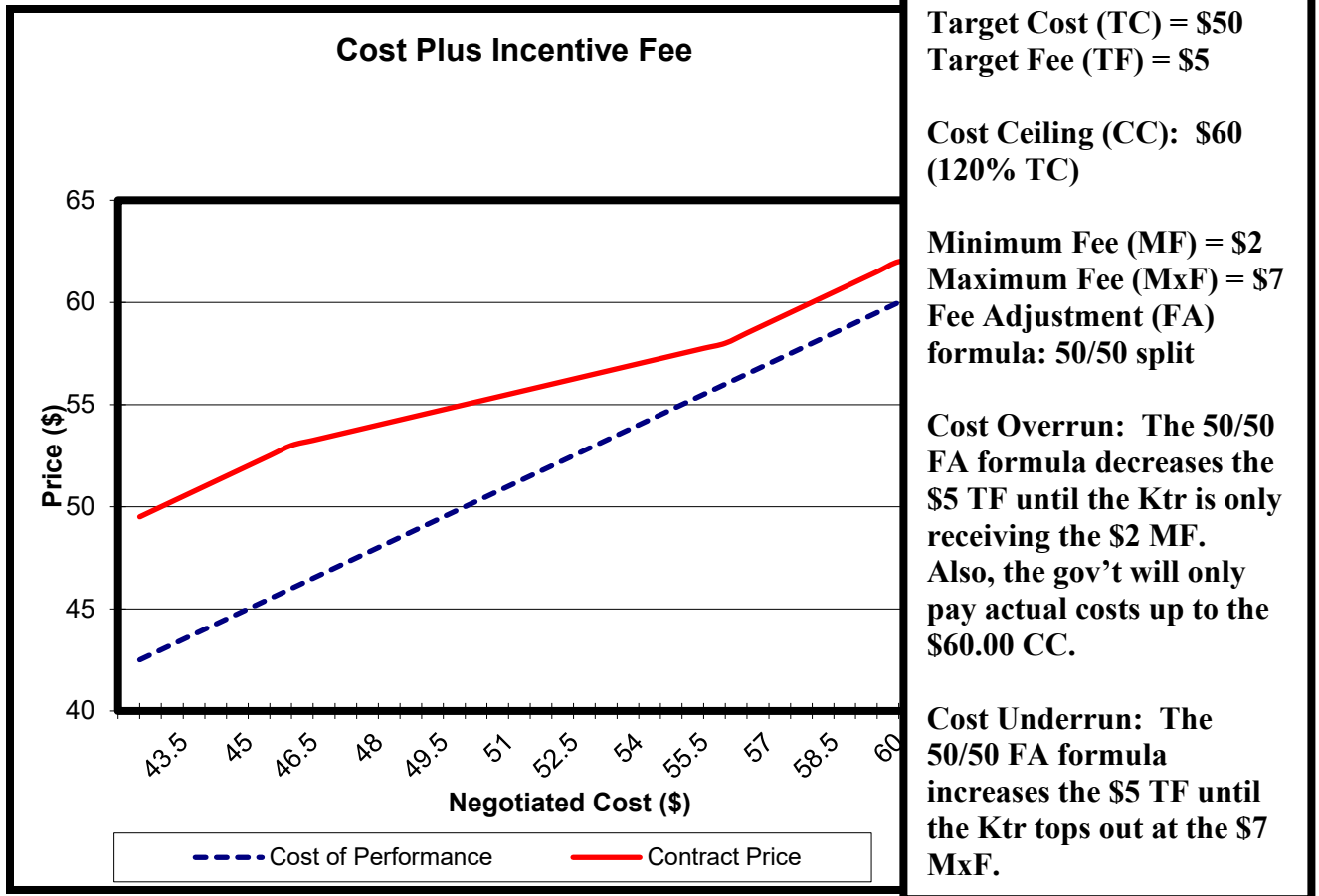
- (1) “A cost-plus-incentive-fee contract may be appropriate for services or development and test programs when a cost-reimbursement contract is necessary; and a target cost and a fee adjustment formula can be negotiated that are likely to motivate the contractor to manage effectively.” RFO FC 16.405. *Northrop Grumman Corp. v. United States*, 41 Fed. Cl. 645 (1998).
- (2) “Incentives should be tied to established technical performance objectives. This approach also may apply to other acquisitions, if the use of both cost and technical performance incentives is desirable and administratively practical.” RFO FC 16.405.
- (3) Fee adjustment. “The fee adjustment formula should provide an incentive that will be effective over the full range of reasonably foreseeable variations from target cost. If a high maximum fee is negotiated, the contract should also provide for a low minimum fee that may be a zero fee or, in rare cases, a negative fee.” RFO FC 16.405.

If a contractor meets the contract criteria for achieving the maximum fee, the Government must pay that fee despite minor problems with the contract. *North American Rockwell Corp.*, ASBCA No. 14329, 72-1 BCA ¶ 9207 (1971) (Government could not award a zero fee due to minor discrepancies when contractor met the target

weight for a fuel-tank, which was the sole incentive criteria).

8

Figure 9



If in performing the contract, the contractor incurs costs of:	Then the contractor is entitled to the following amount of money:	Notes/Explanation:
\$50.00	\$55.00	TC \$50 + TF \$5 = \$55.00
\$55.00	\$57.50	50% of \$5 cost overrun = \$2.50 FA to TF Actual Costs (AC) \$55 + TF \$5 - FA\$2.50 = \$57.50
\$57.50	\$59.50	50% of the \$7.50 cost overrun = \$3.75 TF \$5 – FA \$3.75 = \$1.25 which is lower than MF \$2 AC \$57.50 + MF \$2 = \$59.50
\$60.00	\$62.00	50% of the \$10 cost overrun = \$5 FA so Ktr = MF \$2 AC \$60 + MF \$2 = \$62
\$62.00	\$62.00	50% of the \$12 cost overrun = \$6 FA, so Ktr = \$2 MF AC exceed Cost Ceiling (CC) so costs are limited to \$60 CC \$60 + MF \$2 = \$62

\$47.50	\$55.75	50% of the \$2.5 cost underrun = \$1.25 FA AC \$47.50 + FA \$1.25 + TF \$ 5= \$53.75
\$45.00	\$52.50	50% of the \$5 cost underrun = \$2.50 FA which would push the fee over the MxF \$7. So Ktr gets MxF \$7.00 AC \$45 + MxF \$7 = \$52.00

IV. SELECTION OF CONTRACT TYPE

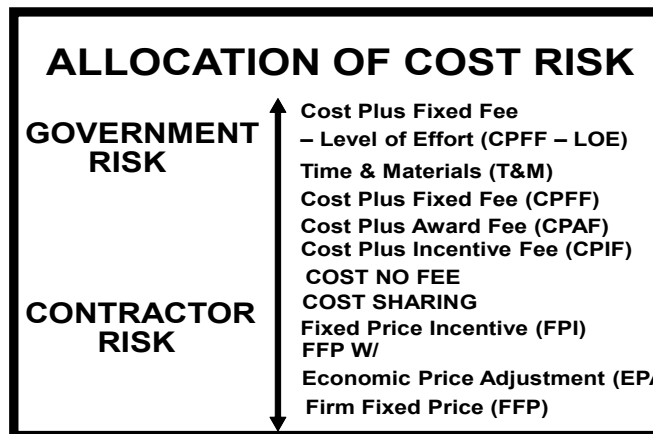
A. Factors to Consider.

1. Innovative Contract Types. “In line with 1.102, Guiding principles for the System, agencies are encouraged to use innovative contracting types and approaches to the maximum extent practicable to (1) achieve mission outcomes; (2) promote efficiency and economy in contracting; (3) avoid unnecessary burdens for agencies and contractors; and (4) align with commercial practices. The objective is to select a contract type and pricing structure (or estimated cost and fee) that are most appropriate to the circumstances of the acquisition. Factors to consider may include reasonable contractor risk and providing the contractor with incentives for efficient, cost-effective, and quality performance.” RFO RC 16.101(a).
2. FAR RC 16.102 lists a number of factors a contracting officer may consider when selecting the contract type, but are not limited to these factors.
3. Regulatory Limitations.
 - a. Sealed Bid Procedures. Only firm-fixed-price contracts or fixed-price contracts with economic price adjustment may be used under sealed bid procedures. RFO FAR 14.1(c).
 - b. Commercial items. Agencies “must use firm-fixed-price contracts or fixed-price contracts with economic price adjustment when acquiring commercial products and services, except as provided in FAR 12.104(a).” RFO FAR 16.201.
 - c. “ A firm-fixed-price contract, which best uses the basic profit motive of business enterprise, must be used when the risk involved is minimal or can be predicted with an acceptable degree of certainty. However, when a reasonable basis for firm pricing does not exist, other contract types should be considered, and negotiations should be directed toward selecting a contract type (or combination of types) that will

appropriately tie profit to contractor performance.” RFO FAR 16.102(c).

4. **Negotiation.** “Selecting the contract type is generally a matter for negotiation and requires the exercise of sound judgment. When selecting and negotiating the contract type, the contracting officer must consider contract terms, risks (e.g., technical, performance, delivery), and pricing. Contracting officers may instruct offerors in the solicitation to propose an alternative contract type within their proposals.” RFO FAR 16.102. (See Figure 9, page 49).
5. **Allocation of Risk.** Certain contract types distribute the risk of a contract cost overrun differently. For example, a firm fixed price contract places the risk of a cost overrun solely on the contractor. While the level of effort contract type places more of the risk of a cost overrun on the Government.
6. **Documenting Contract Type.** With the exception of fixed-price acquisitions under simplified acquisition procedures, FFP contracts other than major systems or R&D; and awards on the set-aside of a sealed bid for small business, contracting officers must document in the acquisition plan or file: why the type was selected, the risk and burdens associated with the type selected; resources to plan, award, administer the contract type, and additional analysis for other than FFP contracts. RFO FAR 16.103.

Figure 10



7. Discretion. Selection of a contract type is ultimately left to the reasonable discretion of the contracting officer. *Diversified Tech. & Servs. of Virginia, Inc.*, B-282497, July 19, 1999, 99-2 CPD ¶ 16 (change from cost-reimbursement to fixed-price found reasonable).
8. “In the course of an acquisition program, a series of contracts, or a single long-term contract, changing circumstances may necessitate different contract types than those used initially. Contracting officers should avoid extended use of a cost-reimbursement or time-and-materials contract after experience provides a basis for firmer pricing.” RFO FAR 16.102(c).

CHAPTER 8

SEALED BIDDING

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CHAPTER 8

SEALED BIDDING

I. INTRODUCTION

“The purpose of these statutes and regulations is to give all persons equal right to compete for government contracts; to prevent unjust favoritism, or collusion or fraud in the letting of contracts for the purchase of supplies; and thus to secure for the Government the benefits which arise from competition. In furtherance of such purpose, invitations and specifications must be such as to permit competitors to compete on a common basis.”

United States v. Brookridge Farm, Inc., 111 F.2d 461, 463 (10th Cir. 1940).

II. THREE CONTRACT METHODS

- A. Sealed Bidding. RFO FAR Part 14.
- B. Contracting by Negotiation. RFO FAR Part 15.
- C. Simplified Procedures for Noncommercial Acquisitions. RFO FAR Part 13.

III. FRAMEWORK OF THE SEALED BIDDING PROCESS

- A. Overview:
 - 1. Sealed bidding is the oldest method of contracting in the United States. For many years, it was the contracting method of choice. Today, it is the least used method but it remains foundational to an adequate understanding of government contract law in the United States. For an excellent history of sealed bidding in government contracting, see, *A History of Government Contracting* by James F. Nagle. *See also* 2 Stat. 536 (Strong v. US); 6 Ops. Atty. Gen. 99, 1853 WL 2170 (Case of Spratt’s Hemp Contract); 2 Ops. Atty. Gen. 257, 1829 WL 449 (Contracts and Purchases for the Navy).
 - 2. Sealed bidding is a method of contracting where contracts are awarded to:
 - a. The RESPONSIBLE BIDDER;
 - b. Whose bid CONFORMS to the invitation for bid; and

- c. Most advantageous to the Government, considering ONLY PRICEE and PRICE RELATED factors included in the invitation. RFO FAR 14.307(a)(3).
 - 3. Contract Types: Firm Fixed Price (FFP) contracts or, when some flexibility is necessary and feasible, Firm Fixed Price with Economic Price Adjustment (FFP w/EPA). RFO FAR 14.1(c).
- B. Current Statutes
 - 1. DoD, Coast Guard, and NASA: 10 U.S.C. §§ 3001 *et seq.*
 - 2. Other federal agencies: 41 U.S.C. §§ 3301(b) *et seq.*
- C. Current Regulations
 - 1. RFO FAR Part 14 – Sealed Bidding.
 - 2. DoW and agency regulations:
 - a. RFO Defense FAR Supplement (DFARS), Part 214 – Sealed Bidding.
 - b. RFO DFARS Procedures, Guidance, and Information (PGI) 214 – Sealed Bidding.
- D. Mandatory Use of Sealed Bidding
 - 1. Agencies are **required** to use sealed bidding where all elements enumerated in these parallel statutory structures for the use of sealed bidding procedures are present. 41 U.S.C. § 3301(b)(1); RFO FAR 6.101(b); *see Racal Filter Technologies, Inc.*, B-240579, 90-2 CPD ¶ 453 (Comp. Gen. Dec. 4, 1990) (sealed bidding required when all elements enumerated in the Competition in Contracting Act (CICA) are present—agencies may not use negotiated procedures); *see also UBX Int'l, Inc.*, B-241028, 91-1 CPD ¶ 45 (Comp. Gen. Jan. 16, 1991) (use of sealed bidding procedures for ordnance site survey was proper).
 - 2. **The Racal Factors** – The head of an agency **shall** solicit sealed bids if—
 - a. Time permits the solicitation, submission, and evaluation of sealed bids;
 - b. The award will be made on the basis of price and other price-related factors [*see* RFO FAR 14.307(a)(3)];

- c. It is not necessary to conduct discussions with the responding sources about their bids; and
 - d. There is a reasonable expectation of receiving more than one sealed bid.
- 3. The determination as to whether circumstances support the use of negotiated procedures is largely a discretionary matter within the purview of the contracting officer.
 - a. While the decision to employ negotiated procedures involves the exercise of a business judgment, such decisions must still be reasonable. *Essex Electro Eng'rs, Inc.*, B-221114, 86-1 CPD ¶ 92 (Comp. Gen. Jan. 27, 1986). An agency must reasonably conclude that the conditions requiring use of sealed bidding are not present. *F&H Mfg. Corp.*, B-244997, 91-2 CPD ¶ 520 (Comp. Gen. Dec. 6, 1991).
 - b. If the contracting officer decides that negotiated procurement is necessary, the contracting officer must explain briefly which of the four requirements for sealed bidding is not met. *I.T.S. Corp.*, B-243223, 91-2 CPD ¶ 55 (Comp. Gen. July 15, 1991).

The fact that the requirement was previously procured through sealed bidding procedures is not material to whether the contracting officer's decision was reasonable. *Id.*; see also *Victor Graphics, Inc.*, B-238290, 90-1 CPD ¶ 407 (Comp. Gen. Apr. 20, 1990) (agency's past practice is not a basis for questioning its application of otherwise correct procurement procedures); see also *Zegler, LLC*, B-410877, 2015 CPD ¶ 168 (Comp. Gen. Mar. 4, 2015) (agency's corrective action to terminate a contract awarded under negotiated procurement procedures and resolicit agency requirements using sealed bid procedures was reasonable).

4. Case Study

Facts. Offeror A protested the use of negotiated procedures by the agency, arguing that the agency was required to use sealed bidding procedures under CICA. The solicitation called for construction of an intake canal as part of a flood control project. *All previous canal construction projects were awarded using price or price-related factors only.* This time, the agency chose negotiated procedures because it decided to consider six non-price related factors as equal to the price factor. The non-price related factors were past performance, technical approach, duration, personnel experience, project management, and small business subcontracting plan. The agency was also using a compressed schedule because of the urgency of improving flood control in a hurricane-stricken area. The solicitation also stated the agency could elect to hold discussions. In considering Offeror A's protest, GAO evaluated the reasonableness of the agency's decision to use negotiated procedures. What should the result be?

Negotiated Procurement OK. GAO held that the agency reasonably concluded the procurement required the use of negotiated procedures. The use of the new non-price factors was warranted because of the need to move quickly to restore flood control capabilities to the region. *Ceres Environmental Services, Inc.*, B-310902, 2008 CPD ¶ 48, (Comp. Gen. Mar. 3, 2008) (agency properly used negotiated procedures where compressed time schedule increased the complexity of a project normally awarded by sealed bidding); *see Comfort Inn South*, B-270819.2, 96-1 CPD ¶ 225 (Comp. Gen. May 14, 1996) (negotiated procedures okay where, after 10 years of using sealed bidding, agency changed to the use of negotiated procedures to consider past performance as a non-price factor in selection of a contractor to provide accommodations for military applicants); *TLT Constr. Corp.*, B-286226, 2000 CPD ¶ 179 (Comp. Gen. Nov. 7, 2000) (complex coordination and scheduling requirements provided reasonable support for negotiated procurement); *W.B. Jolley*, B-234490, 89-1 CPD ¶ 512 (Comp. Gen. May 26, 1989) (decision to consolidate numerous, diverse services into one contract created a complex procurement justifying use of negotiated procurement procedures).

E. Overview of Sealed Bidding Process: The Five Phases.

1. Preparation of the Invitation for Bids
2. Publicizing the IFB
3. Submission of bids
4. Evaluation of bids
5. Contract award

IV. PREPARATION OF INVITATION FOR BIDS

A. Format of the IFB:

1. Uniform Contract Format (UCF). Contracting officers will use the UCF to the maximum practicable extent. RFO FAR 14.201-1.
2. Standard Form 33. Solicitation, Offer and Award; Standard Form 26, Award/Contract; or Standard Form 1447, Solicitation/Contract.
3. Standard Form 30 - Amendment of Solicitation/ Modification of Contract.

B. Specifications

1. Clear, complete, and definite
2. Minimum needs of the Government (“no gold plating”)
3. Preference for commercial items. RFO FAR 12.101.

- C. Definition. “Offer” means “bid” in sealed bidding. FAR 2.101.
- D. Contract Type: Contracting officers may use only **firm fixed-price** and **fixed-price with economic price adjustment** contracts in sealed bidding acquisitions. RFO FAR 14.1(c).

V. PUBLICIZING THE INVITATION FOR BIDS

- A. Policy on Publicizing Contract Actions. RFO FAR 5.2. Prior to awarding government contracts, agencies must comply with the publicizing requirements of RFO FAR Part 5. Publicizing contract actions increases competition, broadens industry participation, and assists small business concerns in obtaining contracts and subcontracts.

Late receipt of IFB. Failure of a potential bidder to receive an IFB in time to submit a bid, or to receive a requested solicitation at all, does not require postponement of bid opening **unless** adequate competition is not obtained. *See Family Carpet Serv. Inc.*, B-243942.3, 92-1 CPD ¶ 255 (Comp. Gen. Mar. 3, 1992); *see also Educational Planning & Advice*, B-274513, 96-2 CPD ¶ 173 (Comp. Gen. Nov. 5, 1996) (refusal to postpone bid opening during a hurricane was not an abuse of discretion where adequate competition was achieved and agency remained open for business); *Lewis Jamison Inc. & Assocs.*, B-252198, 93-1 CPD ¶ 433 (Comp. Gen. June 4, 1993) (GAO denies protest where contractor had “last clear opportunity” to avoid being precluded from competing). *But see Applied Constr. Technology*, B-251762, 93-1 CPD ¶ 365 (Comp. Gen. May 4, 1993) (although agency received 10 bids in response to IFB, GAO sustained protest where agency failed to solicit contractor it had advised would be included on its bidder’s mailing list).

- B. Failure to Provide Actual Notice to a Bidder (including the incumbent)
 - 1. Historical. At one time (**but no longer**), the FAR required that “bids shall be solicited from . . . the previously successful bidder.” *See* superseded FAR §§ 14.205-4 and 15.403. During that time, failure to give notice of a solicitation/IFB for supplies or services to a contractor currently providing such supplies or services (i.e., the incumbent) had occasionally been fatal to the solicitation, unless the agency:
 - a. Made a diligent, good-faith effort to comply with statutory and regulatory requirements regarding notice of the acquisition and distribution of solicitation materials; and
 - b. Obtained reasonable prices (competition). *Transwestern Helicopters, Inc.*, B-235187, 89-2 CPD ¶ 95 (Comp. Gen. July 28, 1989) (although the agency failed inadvertently to solicit incumbent contractor, the agency made reasonable efforts to publicize the

solicitation, which resulted in 25 bids); *but see Professional Ambulance, Inc.*, B-248474, 92-2 CPD ¶ 145 (Comp. Gen. Sep. 1, 1992) (agency failed to solicit the incumbent and received only three proposals; GAO recommended resolicitation).

2. Current. If the solicitation is posted on SAM.gov (the current Government Point of Entry (GPE)), then the agency has fulfilled any obligation it might have to solicit the incumbent contractor.

- a. The FAR provides guidance on notification procedures. *See* FAR Part 5. However, beyond the notification procedures, the current FAR does **not** require actual notice to incumbent contractors.
 - (1) The agency has an affirmative obligation to use reasonable methods to publicize its procurement needs and to timely disseminate solicitation documents to those entitled to receive them. *Optelec U.S., Inc.*, B-400349, 2008 CPD ¶ 192 (Comp. Gen. Oct. 16, 2008) (publicizing on the GPE generally meets this affirmative obligation).
 - (2) Concurrent with the agency's obligations, prospective contractors must avail themselves of every reasonable opportunity to obtain the solicitation document. *See id.*; *see also* *Laboratory Sys. Servs., Inc.*, B-258883, 95-1 CPD ¶ 90 (Comp. Gen. Feb. 15, 1995).
 - (3) In protests, GAO will consider whether the agency or the protester had the last clear opportunity to avoid the protester's being precluded from competing. *Optelec U.S., Inc.*, B-400349, 2008 CPD ¶ 192 (Comp. Gen. Oct. 16, 2008) (once advised the solicitation would be posted on FedBizOpps (the previous GPE), it was the protester's responsibility to take whatever steps were necessary to obtain it); *Wind Gap Knitwear, Inc.*, B-276669, 97-2 CPD ¶ 14 (Comp. Gen. July 10, 1997) (although protester had not received the actual notice of the solicitation, it was aware of the estimated agency closing date for offers and so it was unreasonable for the protester to delay contacting the agency about its nonreceipt of the solicitation until after the actual closing date).
 - (4) *DBI Waste Systems, Inc.*, B-400687, 2009 CPD ¶ 15 (Comp. Gen. Jan. 12, 2009) (protest that notice of solicitation on the GPE was inadequate because incumbent

protester was not notified and lacked internet access was denied).

- b. If agency posts solicitation on the GPE, contractor is on constructive notice of the RFP, even if contractor never received actual notice.
 - (1) *PR Newswire Association, LLC*, B-400430, 2008 CPD ¶ 178 (Comp. Gen. Sep. 26, 2008) (GAO held the agency's posting on FedBizOpps put PR Newswire on constructive notice even though a competitor received actual notice because of a prior bid protest agreement. Actual notice of solicitation to incumbent, PR Newswire was not required; posting of solicitation on GPE provided constructive notice).
 - (2) *CBMC, Inc.*, B-295586, 2005 CPD ¶ 2 (Comp. Gen. Jan. 6, 2005) (FedBizOpps website places prospective contractors on constructive notice of contract awards); *Aluminum Specialties, Inc. t/a Hercules Fence Co.*, B-281024, 98-2 CPD ¶ 116 (Comp. Gen. Nov. 20, 1998) (notice in Commerce Business Daily – formerly the official public medium for identifying proposed contract actions and now replaced by FedBizOpps – provides constructive notice of solicitation and contents).
- c. Once an agency posts a solicitation on the GPE, it is solely the incumbent contractor's responsibility to take whatever steps are necessary to obtain the solicitation.
- d. **Case Study:**

Facts. A prospective bidder requests that the agency provide it with a copy of the IFB. The agency tells the bidder to register on SAM.gov for information on the procurement. The bidder registers and also signs up on SAM.gov to receive an email notice when the solicitation was posted. However, SAM.gov discontinues its email notification feature and the bidder does not receive notice when the solicitation is posted. The bidder receives actual notice of the solicitation on the day proposals are due. As a result, its bid is late and the agency rejects the bid. The bidder requests that GAO recommend that its offer be considered because the bidder did not receive actual notice of the solicitation until the day that proposals were due. Should the bidder's late bid be considered?

No. Once the agency posts the solicitation on SAM.gov, it becomes the contractor's sole responsibility to monitor the website for the posting of the solicitation. A bidder's decision to use any e-mail notification function on SAM.gov was at the bidder's own risk. It did not operate to shift responsibility from the contractor to the agency. *Optelec U.S., Inc.*, B-400349, 2008 CPD ¶ 192 (Comp. Gen. Oct. 16, 2008).

VI. SUBMISSION OF BIDS

A. Safeguarding Bids. RFO FAR Part 14.303.

1. Bids (including bid modifications) received before the time set for bid opening must be kept secure in a locked bid box, a safe, or in a secured, restricted-access electronic bid box. RFO FAR 14.303(a).
2. A bidder generally is not entitled to relief if the agency negligently loses its bid. *Vereinigte Gebäudereinigungsgesellschaft*, B-252546, 93-1 CPD ¶ 454 (Comp. Gen. June 11, 1993).

B. Responsiveness. To be considered for award, a bid must be **RESPONSIVE to the solicitation, *i.e.*, comply in all material respects with the IFB, to include method, time and place of submission. RFO FAR 14.306-1. Reasons for specific requirements.**

C. Method of Submission. RFO FAR 14.301.

1. To be considered for award, a bid must be **RESPONSIVE** to the solicitation, *i.e.*, comply in all material respects with the IFB, to include the method of submission. RFO FAR 14.306-1. This enables bidders to stand on an equal footing and maintain the integrity of the sealed bidding system. *LORS Medical Corp.*, B-259829.2, 95-1 CPD ¶ 222 (Comp. Gen. Apr. 25, 1995) (bidder's failure to return two pages of IFB does not render bid nonresponsive; submission of signed SF 33 incorporates all pertinent provisions).
 - a. General Rule – Bidders may submit their bids by any written means permitted by the solicitation.
 - b. Bids submitted by electronic commerce may be considered only if the electronic commerce method was specifically stipulated or permitted by the IFB. RFO FAR 14.306-1(c); *Richcon Fed. Contractors, Inc.*, B-403223, 2010 CPB ¶ 192 (Comp. Gen. Aug. 12, 2010) (agency properly rejected quote that was submitted by facsimile because the request for quotations contained a clause prohibiting this method of submission); *but see Brazos Roofing, Inc.*, B-275113, 97-1 CPD ¶ 43 (Comp. Gen. Jan. 23, 1997) (bidder not penalized for agency's inoperable FAX machine); *PBM*

Constr. Inc., B-271344, 96-1 CPD ¶ 216 (Comp. Gen. May 8, 1996) (ineffective faxed modification had no effect on the original bid, which remained available for acceptance).

- c. **Government failure to follow solicitation provisions.** If an agency exercises discretion to waive solicitation requirements *informally*, does it put itself at risk of a sustained protest for manipulating the competitive process?
- d. Case Study

Facts: Solicitation for food distribution services with three offerors competing. Solicitation did not allow proposals to be submitted by email. It did allow faxes, hand-deliver, and mail. However, the agency informally accepted email submissions from all three offerors at one time. Offeror A sent its final revised proposal by email about 2 ½ hours late. Agency excluded Offeror A because it used email and because it was late. Offeror A protested to GAO. What result?

GAO denied. The protest was late. *LaBatt Food Service, Inc.*, B-310939.6, 2008 CPD ¶ 162, (Comp. Gen. Aug. 19, 2008). Offeror A protests to COFC. What result?

COFC sustained. FAR 15.208(a) provides offerors may use any transmission method authorized by the solicitation. Email was not authorized. If the agency had followed the FAR, the agency would have had to disqualify all three offerors. Thus, the contract would have had to be recompeted. Offeror A was significantly prejudiced and so had standing to challenge the award of the contract to Offeror B. COFC found the agency abused their discretion. COFC wrote, “There is a public interest in saluting the language of solicitations. If the agency wants to change the language, use a formal amendment . . . agency discretion to waive solicitation requirements, at different times in the same procurement, and perhaps toward one offeror and not another, renders the procurement process subject to manipulation and unfair competitive advantage.” *LaBatt Food Service, Inc. v. U.S.*, 84 Fed. Cl. 50, 65 (2008). The Government appeals to CAFC. What result?

CAFC reversed. Holding that Offeror A did not have standing to challenge the award to Offeror B because Offeror A was not prejudiced by the agency’s error of informally allowing email proposals. In order for Offeror A to be prejudiced, it must be harmed by the government error and the informal acceptance of email proposals. While an error, there was no harm to Offeror A. One or more of all the offerors were retained in the competition because the agency informally allowed email submissions. The fact that Offeror A’s submission was late is an independent free standing ground to eliminate Offeror A from the competition. *LaBatt Food Service v. U.S.*, 577 F.3d 1375 (Fed. Cir. 2009).

D. Time and Place of Submission. FAR 14.302.

- 1. Bids shall be submitted so that they will be received in the office designated in the IFB **not later than** the exact time set for opening of bids. RFO FAR 14.301.

2. Place of submission = as specified in the IFB. RFO FAR 14.210.
 - a. FAR 14.302; *see Rodale Electr. Corp.*, B-221727, 86-1 CPD ¶ 342 (Comp. Gen. Apr. 7, 1986) (an offer is later if it does not arrive at the place designated in the solicitation for the receipt of proposals by the designated time.); *J.E. Steigerwald Co., Inc.*, B-218536, 85-1 CPD ¶ 453 (Comp. Gen. Apr. 19, 1985) (receipt at other places within the agency, such as the mailroom, is not sufficient); *CSLA, Inc.*, B-255177, 94-1 CPD ¶ 63 (Comp. Gen. Jan. 10, 1994) (hand-carried proposal was “late” where it was delivered via commercial carrier to the *mailing* address rather than the address for *hand-carried* proposals and was received by the contracting officer after the closing time for receipt of proposals); *Carolina Archaeological Serv.*, B-224818, 86-2 CPD ¶ 662 (Comp. Gen. Dec. 9, 1986).
3. Time of submission = as specified in the IFB. RFO FAR 14.301(a).
 - a. The official designated as the bid opening officer must inform those present at the public bid opening that the time set for the opening of bids has arrived. RFO FAR 14.303; *Action Serv. Corp.*, B-254861, 94-1 CPD ¶ 33 (Comp. Gen. Jan. 24, 1994) (the bid opening officer is authorized to decide when the time set for opening has arrived by informing those present of that decision; the officer’s declaration of the bid opening time is determinative unless it is shown to be unreasonable); *J. C. Kimberly Co.*, B-255018.2, 94-1 CPD ¶ 79 (Comp. Gen. Feb. 8, 1994); *Chattanooga Office Supply Co.*, B-228062, 87-2 CPD ¶ 221 (Comp. Gen. Sept. 3, 1987) (bid delivered 30 seconds after bid opening officer declared the arrival of the bid opening time is late);
 - b. The bid opening officer’s declaration of the bid opening time is determinative unless it is shown to be unreasonable. *U.S. Aerospace, Inc.*, B-403464, B-403464.2, 2010 CPD ¶ 255 (Comp. Gen. Oct. 2, 2010) (the official time maintained by the agency is controlling absent a showing that it was unreasonable); Lani Eko & Company, CPAs, PLLC, B-404863, 2008 CPD ¶ 118 (Comp. Gen. June 6, 2011) (nothing inherently unreasonable with the agency’s use of a security guard desk phone clock to determine the solicitation’s closing time; no requirement for the time maintained by the agency to be synchronized with protester’s personal cell phone or any other phone); *General Eng’g Corp.*, B-245476, 92-1 CPD ¶ 45 (Comp. Gen. Jan. 9, 1992) (may reasonably rely on the bid opening room clock when declaring bid opening time).
 - c. If the bid opening officer has not declared bid opening time, a bid is timely if delivered by the end of the minute specified for bid

opening. *Amfel Constr., Inc.*, B-233493.2, 89-1 CPD ¶ 477 (Comp. Gen. May 18, 1989) (bid delivered within 20-50 seconds after bid opening clock “clicked” to the bid opening time was timely where bid opening officer had not declared bid submission period ended); *Reliable Builders, Inc.*, B-249908.2, 93-1 CPD ¶ 116 (Comp. Gen. Feb. 9, 1993) (bid which was time/date stamped one minute past time set for bid opening was timely since bidder relinquished control of bid at the exact time set for bid opening).

- d. Arbitrary early or late bid opening is improper. *Chestnut Hill Constr. Inc.*, B-216891, 85-1 CPD ¶ 443 (Comp. Gen. Apr. 18, 1985) (importance of maintaining the integrity of the competitive bidding system outweighs any monetary savings that would be obtained by considering a late bid); *William F. Wilke, Inc.*, B-185544, 77-1 CPD ¶ 197 (Comp. Gen. Mar. 18, 1977).

4. Postponement of bid opening. RFO FAR 14.303(d).

- a. The contracting officer may postpone bid opening **before** the scheduled bid opening time by issuing an amendment to the IFB. RFO FAR 14.209(d).
- b. The contracting officer may postpone bid opening even **after** the time scheduled for bid opening if:
 - (1) Important segments of bidders have been delayed in the mails;
 - (2) There are delays in the communications systems specified for transmission of bids, e.g. electronic mail or file drop service;
 - (3) That circumstances beyond the control of the bidders have delayed their timely submission (flood, strikes, accident); or.
 - (4) Emergency or unanticipated events interrupt normal governmental processes so that the conduct of bid opening as scheduled is impractical. RFO FAR 14.303(d); *see Ling Dynamic Sys., Inc.*, B-252091, 93-1 CPD ¶ 407 (Comp. Gen. May 24, 1993). The contracting officer publicly must announce postponement of bid opening and issue an amendment. RFO FAR 14.303(e). . If urgent requirements preclude amendment of the solicitation:

- (a) the time for bid opening is deemed extended until the same time of day specified on the IFB on the first normal work day on which Government processes resume; and
- (b) the time of actual bid opening is the cutoff time for determining late bids. RFO FAR 14.303(f).
- (c) *Hunter Contracting Co.*, B-402575, 2010 CPD ¶ 93 (Comp. Gen. Mar. 31, 2010) (exception does not apply to a mailed proposal that was not delivered due to a snow storm because the government office was open and receiving proposals at the time proposals were due).
- (d) *Conscoop—Consozia v. US*, 62 Fed. Cl. 219 (2004) (exception applied if normal government processes were interrupted); *but see Watterson Constr. Co. v US*, 98 Fed.Cl. 84, 2011 WL 1137330 (Fed. Cl. Mar. 29, 2011) (recognizing no disruption in government processes but holding that the e-mail “storm” causing delay of delivery of e-mails constituted an “unanticipated event”).
- (e) Case Study:

Facts: Proposals were due by 2 p.m. on the designated day. Severe snowstorms closed the Government in Washington D.C. on a day when proposals were scheduled to be received. The agency received proposals on the next day that the Government was open and resumed its normal processes. The agency continued to receive proposals until the designated time (*i.e.*, 2 p.m.) even though there was an authorized two-hour delayed arrival/unscheduled leave policy for government employees that day. Protester submitted its bid at 2:24 p.m. Is the bid late?

Yes. Held that the agency acted reasonably as authorized by FAR § 52.212-1(f)(4) (Instructions to Offerors--Commercial Items (June 2008)); the fact that a two hour delayed arrival/unscheduled leave policy for government employees was authorized for that day did not mean normal government processes had not resumed. *CFS-INC, JV*, B-401809.2, 2010 CPD ¶ 85 (Comp. Gen. Mar. 31, 2010).

E. Amendment of IFB

1. The Government must be published in the Government Point of Entry (GPE) if the IFB was published in the GPE, and if applicable display amendments in the bid room. Additionally the Government must provide

all prospective bidders equal access to the amendment and require acknowledgment of each amendment within each bidder's bid. RFO FAR 14.209.

2. Before amending an IFB, the period of time remaining until bid opening and the need to extend this period shall be considered. FAR 14.209(d)(2).

F. The Firm Bid Rule

1. Distinguished from common law rule, which allows an offeror to withdraw an offer any time prior to acceptance. *See* Restatement (Second) of Contracts § 42 (1981).
2. Firm Bid Rule:
 - a. After bid opening, bidders may not withdraw their bids during the period specified in the IFB, but must hold their bids open for government acceptance during the stated acceptance period. RFO FAR 14.303; RFO FAR 14.304-3 & 52.214-16.
 - b. If the solicitation requires a minimum bid acceptance period, a bid that offers a shorter acceptance period than the minimum is nonresponsive. *See Banknote Corp. of America, Inc.*, B-278514, 98-1 CPD ¶ 41 (Comp. Gen. Feb. 4, 1998) (bidder offered 60-day bid acceptance period when solicitation required 180 days and solicitation advised bidders to disregard 60-day bid acceptance period provision contained elsewhere in the solicitation); *see also Hyman Brickle & Son, Inc.*, B-245646, 91-2 CPD ¶ 264 (Comp. Gen. Sept. 20, 1991) (30-day acceptance period offered instead of the required 120 days).
 - c. The bid acceptance period is a material solicitation requirement. The Government may not waive the bid acceptance period because it affects the bidder's price. *Valley Constr. Co.*, B-243811, 91-2 CPD ¶ 138 (Comp. Gen. Aug. 7, 1991) (60-day period required, 30-day period offered).
 - d. A bid that fails to offer an unequivocal minimum bid acceptance period is ambiguous and nonresponsive. *See John P. Ingram Jr. & Assoc.*, B-250548, 93-1 CPD ¶ 117 (Comp. Gen. Feb. 9, 1993) (bid ambiguous even where bidder acknowledged amendment which changed minimum bid acceptance period); *but see Connecticut Laminating Company, Inc.*, B-274949.2, 99-2 CPD ¶ 108 (Comp. Gen. Dec. 13, 1999) (bid without bid acceptance period is construed as open for a reasonable period of time and is acceptable where solicitation did not require any minimum bid acceptance period).

e. Exceptions

- (1) The Government may accept a solitary bid that offers less than the minimum acceptance period. *Professional Materials Handling Co., -- Recon .*, B- 205969 (Comp. Gen. May 28, 1982).
- (2) After the bid acceptance period expires, the bidder may extend the acceptance period only where the bidder would not obtain an advantage over other bidders. FAR 14-404-1(d). *See Capital Hill Reporting, Inc.*, B-254011.4, 94-1 CPD ¶ 232 (Comp. Gen. Mar. 17, 1994) (agency may properly request bidders to extend acceptance period, even where acceptance period has expired thus reviving expired bids, where such action does not compromise the integrity of the bidding system); *see also NECCO, Inc.*, B-258131, 94-2 CPD ¶ 218 (Comp. Gen. Nov. 30, 1994) (bidder ineligible for award where bid expired due to bidder's offering a shorter extension period than requested by the agency and award was not made until a subsequent date, despite bidder's subsequent unilateral extension at the expiration of its first extension period).

G. Treatment of Late Bids, Bid Modifications, and Bid Withdrawals. FAR 14.304. "The Late Bid Rule."

1. Definition of "late" –

- a. A "late" bid, bid modification, or bid withdrawal is one that is received in the office designated in the IFB **after** the exact time set for bid opening. FAR 14.301(f)(1).
- b. If the IFB does not specify a time, the time for receipt is 4:30 P.M., local time, for the designated government office. FAR 14.301(a).

2. Timeliness of Bids. Failure to submit either before the time specified in the solicitation may make the bid "late" and therefore not eligible for award. More in-depth discussion of timeliness and exception to the "late is late" rule can be found in Chapter 34 of this Deskbook.

H. Modifications and Withdrawals of Bids.

1. When may offerors modify their bids?

- a. Before bid opening: Bidders may modify their bids at any time before bid opening. RFO FAR 14.301; RFO FAR 52.214-7.

- b. After bid opening: Bidders may modify their bids only if:
 - (1) One of the exceptions to the Late Bid Rule applies to the modification. RFO FAR 14.301(f)(1); RFO FAR 52.214-7(b). Government Frustration Rule. *I & E Constr. Co.*, B-186766, 76-2 CPD ¶ 139 (Comp. Gen. Aug. 9, 1976).
 - (2) The Government may also accept a late modification to an otherwise successful bid if it is more favorable to the Government. RFO FAR 14.301(f)(2); *Environmental Tectonics Corp.*, B-225474, 87-1 CPD ¶ 175 (Comp. Gen. Feb. 17, 1987).
- 2. When may offerors withdraw their bids?
 - a. Before bid opening: Bidders may withdraw their bids at any time before bid opening. FAR 14.303 and 14.304(e); RFO FAR 52.214-7.
 - b. After bid opening. Because of the Firm Bid Rule, bidders generally may withdraw their bids **only if** one of the exceptions to the Late Bid Rule applies. RFO FAR 14.301(f).
- 3. Transmission of modifications or withdrawals of bids.
 - a. Offerors may modify or withdraw their bids by any method authorized by the solicitation, which must be received in the office designated in the invitation for bids before the exact time set for bid opening. RFO FAR 14.301. *See R.F. Lusa & Sons Sheetmetal, Inc.*, B-281180.2, 98-2 CPD ¶ 157 Comp. Gen. Dec. 29, 1998) (unsigned/uninitiated inscription on outside envelope of bid not an effective bid modification because method was not authorized by the solicitation).
 - b. Bids may be withdrawn in person by a bidder or authorized representative, before the exact time set for receipt of bids, when the identity is confirmed and the person signs a receipt for the bid. RFO FAR 52.214.7(e).

VII. EVALUATION OF BIDS.

- A. Evaluation of **PRICE** – Lowest Priced Bid
 - 1. Award made on basis of lowest price offered.
 - 2. Contracting officer evaluates price and price-related factors. RFO FAR 14.307(a)(3).

3. The bidder must conform their pricing with the terms of the IFB. RFO FAR 14.1.
4. Evaluating Bids with Options. Evaluate bid prices by adding the total price of the options to the price of the basic requirement, unless such an evaluation “would not benefit the Government.” RFO FAR 17.202. *Kruger Construction Inc.*, Comp. Gen. B-286960, 2001 CPD ¶ 43 (Comp. Gen. Mar. 15, 2001) (not in the Government’s best interests to add two option prices when options were alternative). *See also, TNT Industrial Contractors, Inc.*, B-288331, 2001 CPD ¶ 155 (Comp. Gen. Sep. 25, 2001). *See also, Glen Mar Construction Inc.*, B-410603, 2015 CPD ¶ 40 (Comp. Gen. Jan. 14, 2015) (Protest sustained where agency knew with reasonable certainty it lacked sufficient funds to purchase all of the additive option items and did not have a reasonable basis for using base construction price, and bid price for options. The agency should have selected a bidder for award based on the base price and options it knew with reasonable certainty it would exercise.)
5. Check for Unbalanced Pricing. A materially unbalanced bid contains inflated prices for some contract line items and below-cost prices for other line items, and gives rise to a reasonable doubt that award will result in the lowest overall cost to the Government. RFO FAR 14.306-2; *LBCO, Inc.*, B-254995, 94-1 CPD ¶ 57 (Comp. Gen. Feb. 1, 1994) (inflated first article prices); *Semont Travel, Inc.*, B-291179, 2002 CPD ¶ 200 (Comp. Gen. Nov. 20, 2002). The Government may reject a materially unbalanced bid if the bid poses an unreasonable risk to the Government. RFO FAR 14.306-3(g). A materially unbalanced bid may be unreasonable if it will result in unreasonably high prices for contract performance. *Serco, Inc.*, B-406683, B-406683.2, 2012 CPD ¶ 216 at 10 (Comp. Gen. Aug. 3, 2012) (noting that, where an unbalanced offer is received, agencies are not required to reject it, but should consider the risk to the Government of unreasonably high prices for contract performance); FAR 14.404-2(f); *Cherokee Painting, LLC*, B-311020.3, 2009 CPD ¶ 18 (Comp. Gen. January 14, 2009); *Accumark Inc.*, B-310814, 2008 CPD ¶ 68 (Comp. Gen. Feb. 13, 2008). *See also, Ultimate Concrete, L.L.C.*, B-412255.2, 2016 CPD ¶ 20 (Comp. Gen. Jan. 13, 2016) (agency reasonably determined that awardee’s bid was not materially unbalanced and did not present an unacceptable risk to the Government. However, the agency improperly allowed bidder to reallocate its bid.)
6. Unreasonably Low Pricing. The contracting officer must always determine that the prices offered are reasonable in light of all prevailing circumstances before awarding a contract. RFO Part 14.306-3(i).
 - a. If a price appears unreasonably low, it could indicate an error. The contracting officer should immediately request the bidder verify

the bid. The bidder should be advised, as appropriate, that its bid is so much lower than the other bids or the Government's estimate as to indicate a possibility of error. RFO FAR 14.304-3(g).

- b. Unreasonably low prices can pose a serious risk to the Government if the contractor does not understand the work, cuts corners on product quality or defaults on the work part way through performance. An unreasonably low price may render the bidder non-responsible in some instances. *See Atlantic Maint., Inc.*, B-239621.2, 90-1 CPD ¶ 523 (Comp. Gen. Jun. 1, 1990) (an unreasonably low price may render bidder non-responsible); *but see The Galveston Aviation Weather Partnership*, B-252014.2, 93-1 CPD ¶ 370 (Comp. Gen. May 5, 1993) (below-cost bid not legally objectionable, even when offering labor rates lower than those required by the Service Contract Act.) *See also JCMCS*, B-409407, 2014 CPD ¶ 125 (Comp. Gen. Apr. 8, 2014) (below cost bid not improper and provides no basis for challenging award; whether a bidder can perform, even where the bid price is below cost, involves an affirmative agency responsibility determination). For a further discussion of how responsibility determinations are made, see below.
- c. The Contracting officer has the option of rejecting a bid if he determines, in writing, that the price is unreasonable. He may consider not only the total price of the bid, but also the prices for individual line items. RFO FAR 14.306-3)f).
- d. If the contracting officer rejects the bid and the firm protests, GAO considers the determination of price reasonableness to be within the agency's discretion and it will not be disturbed unless the determination is unreasonable or the record shows that it is the result of fraud or bad faith on the part of the contracting officials. *See G. Marine Diesel Corp.*, B-238703, B-238704, 90-1 CPD ¶ 515 (Comp. Gen. May 31, 1990); *Joint Venture Penauille/BMAR & Associates, LLC*, B-311200, B-311200.2, 2008 CPD ¶ 118 (Comp. Gen. May 12, 2008) (protest sustained where agency concluded, without explanation, that a low price suggested a lack of understanding of the requirements).

B. Evaluation of **RESPONSIVENESS** of Bids.

- 1. Rule. The Government may accept only a responsive bid.
 - a. The Government must reject any bid that fails to conform to the essential requirements of the IFB. RFO FAR 14.306

- b. The Government may not accept a nonresponsive bid even though it would result in monetary savings to the Government since acceptance would compromise the integrity of the bidding system. *MIBO Constr. Co.*, B-224744, 86-2 CPD ¶ 678 (Comp. Gen. Dec. 17, 1986).
- 2. When is responsiveness determined?
 - a. The contracting officer determines the responsiveness of each bid at the time of bid opening by ascertaining whether the bid meets all of the IFB's essential requirements. *See Gelco Payment Sys., Inc.*, B-234957, 89-2 CPD ¶ 27 (Comp. Gen. July 10, 1989). *See also Stanger Indus. Inc.*, B-279380, 98-1 CPD ¶ 157 (Comp. Gen. June 4, 1998) (agency improperly rejected low bid that used unamended bid schedule that had been corrected by amendment where bidder acknowledged amendments and bid itself committed bidder to perform in accordance with IFB requirements).
- 2. What is a responsive bid?
 - b. A bid is "responsive" if it unequivocally offers to provide the requested supplies or services in accordance with the terms and conditions outlined in the IFB.
 - c. A bid is "responsive" unless something on the face of the bid limits, reduces, or modifies the obligation to perform in accordance with the terms of the invitation.
- 3. Essential requirements of responsiveness. RFO FAR 14.306-1.
 - a. **Price.** The bidder must offer a firm, fixed price, including all fees and taxes. RFO FAR 14.306-3(a). *United States Coast Guard—Advance Decision*, B-252396, 93-1 CPD ¶ 286 (Comp. Gen. Mar. 31, 1993) (bid nonresponsive where price included fee of \$1,000 per hour for "additional unscheduled testing" by Government); *J & W Welding & Fabrication*, B-209430, 83-1 CPD ¶ 92 (Comp. Gen. Jan. 25, 1983) (bid was nonresponsive where bid price included a term stating "plus 5% sales tax if applicable").
 - b. **Quantity.** The bidder must offer the quantity required in the IFB. RFO FAR 14.306-3(a). *Inscom Elec. Corp.*, B-225221, 87-1 CPD ¶ 116 (Comp. Gen. Feb. 4, 1987) (bid limited Government's right to reduce quantity under the IFB); *Pluribus Prod., Inc.*, B-224435, 86-2 CPD ¶ 536 (Comp. Gen. Nov. 7, 1986).
 - c. **Quality.** The bidder must agree to meet the quality requirements of the IFB, no more – no less. FAR 14.404-2(b); *Dow Electr. Inc. v.*

US, 98 Fed. Cl. 688 (2011) (because agency was not obligated to participate in any discussions once bids were submitted, agency properly rejected bid where bidder proposed electrical panels that it argues were equivalent to those required in the IFB); *Reliable Mechanical, Inc.; Way Eng'g Co.*, B-258231, 94-2 CPD ¶ 263 (Comp. Gen. Dec. 29, 1994) (bidder offered chiller system which did not meet specifications); *Wyoming Weavers, Inc.*, B-229669.3, 88-1 CPD ¶ 519 (Comp. Gen. June 2, 1988).

- d. **Delivery.** The bidder must agree to the delivery schedule. RFO FAR 14.306-3(c); *Valley Forge Flag Company, Inc.*, B-283130, 99-2 CPD ¶54 (Comp. Gen. Sept. 22, 1999) (bid nonresponsive where bidder inserts delivery schedule in bid that differs from that requested in the IFB); *Viereck Co.*, B-256175, 94-1 CPD ¶ 310 (Comp. Gen. May 16, 1994) (bid nonresponsive where bidder agreed to 60-day delivery date only if the cover page of the contract were faxed on the day of contract award). *But see Image Contracting*, B-253038, 93-2 CPD ¶ 95 (Comp. Gen. Aug. 11, 1993) (bidder's failure to designate which of two locations it intended to deliver did not render bid nonresponsive where IFB permitted delivery to either location).

4. Other bases for rejection of bids for being nonresponsive.

a. Signature on bid.

- (1) General rule: Failure to sign the bid is not a minor irregularity, and the Government must reject the unsigned bid. *See Firth Constr. Co. v. United States*, 36 Fed. Cl. 268 (1996) (no signature on SF 1442); *Power Master Elec. Co.*, B-223995, 86-2 CPD ¶ 615 (Comp. Gen. Nov. 26, 1986) (typewritten name); *Valencia Technical Serv., Inc.*, B-223288, 86-2 CPD ¶ 40 (Comp. Gen. July 7, 1986) ("Blank" signature block); *but see PCI/RCI v. United States*, 36 Fed. Cl. 761 (1996) (one partner may bind a joint venture).
- (2) Exception. If the bidder has manifested an intent to be bound by the bid, the failure to sign is a minor irregularity. RFO FAR 14.306-7(c).
 - (a) Adopted alternative. *A & E Indus.*, B-239846, 90-1 CPD ¶ 527 (Comp. Gen. May 31, 1990) (bid signed with a rubber stamp signature must be accompanied by evidence authorizing use of the rubber stamp signature).

- (b) Other signed materials included in bid. *Johnny F. Smith Truck & Dragline Serv., Inc.*, B-252136, 93-1 CPD ¶ 427 (Comp. Gen. June 3, 1993) (signed certificate of procurement integrity); *Tilley Constructors & Eng'rs, Inc.*, B-251335.2, 93-1 CPD ¶ 289 (Comp. Gen. Apr. 2, 1993); *Cable Consultants, Inc.*, B-215138, 84-2 CPD ¶ 127 (Comp. Gen. July 30, 1984).
- b. Failure to acknowledge amendment of IFB. RFO FAR 14.306-7(d).
 - (1) General rule: Failure to acknowledge a material amendment renders the bid nonresponsive. *MG Mako, Inc.*, B-404758, 2011 CPD ¶ 88 (Comp. Gen. Apr. 28, 2011).
 - (2) Exception: An amendment that is nonessential or trivial need not be acknowledged. FAR 14.405(d); *Lumus Construction, Inc.*, B-287480, 2001 CPD ¶ 108 (Comp. Gen. June 25, 2001) (Where an “amendment does not impose any legal obligations on the bidder different from those imposed by the original solicitation,” the amendment is not material); *Jackson Enterprises*, B-286688, 2001 CPD ¶ 25 (Comp. Gen. Feb. 5, 2001); *L&R Rail Serv.*, B-256341, 94-1 CPD ¶ 356 (Comp. Gen. June 10, 1994) (amendment decreasing cost of performance not material); *Day & Night Janitorial & Maid Serv., Inc.*, B-240881, 91-1 CPD ¶ 1 (Comp. Gen. Jan. 2, 1991) (negligible effect on price, quantity, quality, or delivery).
 - (3) Materiality. An amendment is material if it imposes legal obligations on a party that are different from those contained in the original solicitation, or if it would have more than a negligible impact on price, quantity, quality, or delivery. *ECI Defense Group*, B-400177; B-400177.2, 2008 CPD ¶ 141 (Comp. Gen. July 25, 2008) (finding a material amendment where the amendment changed the guaranteed minimum quantity for the base year of a contract from 25 percent to 99 percent of the total estimated quantity under the contract).
 - (4) See *Christolow Fire Protection Sys.*, B-286585, 2001 CPD ¶ 13 (Comp. Gen. Jan. 12, 2001) (Amendments “clarifying matters that could otherwise engender disputes during contract performance are generally material and must be acknowledged.” Amendment revising inaccurate

information in bid schedule regarding number, types of, and response times applicable to service calls was material.); *Environmediation Srvcs., LLC*, B-280643, 98-2 CPD ¶ 103 (Comp. Gen. Nov. 2, 1998); *see also Logistics & Computer Consultants Inc.*, B-253949, 93-2 CPD ¶ 250 (Comp. Gen. Oct. 26, 1993) (amendment placing additional obligations on contractor under a management contract); *Safe-T-Play, Inc.*, B-250682.2, 93-1 CPD ¶ 292 (Comp. Gen. Apr. 5, 1993) (amendment classifying workers under Davis-Bacon Act).

- (5) Even if an amendment has no clear effect on the contract price, it is material if it changes the legal relationship of the parties. *Specialty Contractors, Inc.*, B-258451, 95-1 CPD ¶ 38 (Comp. Gen. Jan. 24, 1995) (amendment changing color of roofing panels was material); *Anacomp, Inc.*, B-256788, 94-2 CPD ¶ 44 (Comp. Gen. July 27, 1994) (amendment requiring contractor to pickup computer tapes on “next business day” when regular pickup day was a federal holiday); *Favino Mechanical Constr., Ltd.*, B-237511, 90-1 CPD ¶ 174 (Comp. Gen. Feb. 9, 1990) (amendment incorporating Order of Precedence clause).

- (6) How does a bidder acknowledge an amendment?

- (a) In writing only. Oral acknowledgement of an amendment is insufficient. *Alcon, Inc.*, B-228409, 88-1 CPD ¶ 114 (Comp. Gen. Feb. 5, 1988).
- (b) Formal acknowledgement.
 - (i) Sign and return a copy of the amendment to the contracting officer.
 - (ii) Standard Form 33, Block 14.
 - (iii) Notify the Government by letter or by telegram of receipt of the amendment.
- (c) Constructive acknowledgement. The contracting officer may accept a bid that clearly indicates that the bidder received the amendment. *C Constr. Co.*, B-228038, 87-2 CPD ¶ 534 (Comp. Gen. Dec. 2, 1987).

- c. Failure to strictly follow the IFB instructions. *ATR Logistics Co. LLC*, B-402606, 2010 CPD ¶ 140 (Comp. Gen. June 15, 2010) (bid

failed to comply in all material respects with IFB where IFB required unit prices for each CLIN; amendment added a sub-CLIN to each CLIN; bidder acknowledged amendment but did not revise bidding schedule); *SNAP, Inc.*, B-402746, 2010 CPD ¶ 165 (Comp. Gen. July 16, 2010) (agency properly rejected proposal where proposals did not redact all identifying information as required by the solicitation).

- d. Ambiguous, indefinite, or uncertain bids. *Dow Electr. Inc. v. US*, 98 Fed. Cl. 688 (2011) (properly rejected bid where discussions would have been necessary to determine whether proposed electrical panels were equivalent to those required in the IFB); *Trade-Winds Env'tl. Restoration, Inc.*, B-259091, 95-1 CPD ¶ 127 (Comp. Gen. Mar. 3, 1995) (bid contained inconsistent prices); *Caldwell & Santmyer, Inc.*, B-260628, 95-2 CPD ¶ 1 (Comp. Gen. July 3, 1995) (uncertainty as to identity of bidder); *Reid & Gary Strickland Co.*, B-239700, 90-2 CPD ¶ 222 (Comp. Gen. Sept. 17, 1990) (notation in bid ambiguous); *New Shawmut Timber Co.*, B-286881, 2001 CPD ¶ 42 (Comp. Gen. Feb. 26, 2001) (bid was nonresponsive where blank line item “rendered the bid equivocal regarding whether [protestor] intended to obligate itself to perform that element of the requirement”).
- e. Variation of acceptance period. *John's Janitorial Serv.*, B-219194, 85-2 CPD ¶ 20 (Comp. Gen. July 2, 1985).
- f. Placing a “confidential” stamp on bid. *Concept Automation, Inc. v. General Accounting Office*, GSBCA No. 11688-P, Mar. 31, 1992, 92-2 BCA ¶ 24,937. *But see North Am. Resource Recovery Corp.*, B-254485, 93-2 CPD ¶ 327 (Comp. Gen. Dec. 17, 1993) (“proprietary data” notation on cover of bid did not restrict public disclosure of the bid where no pages of the bid were marked as proprietary).
- g. Bid conditioned on receipt of local license. *National Ambulance Co.*, B-184439, 75-2 CPD ¶ 413 (Comp. Gen. Dec. 29, 1975).
- h. Requiring Government to make progress payments. *Vertiflite, Inc.*, B-256366, 94-1 CPD ¶ 304 (Comp. Gen. May 12, 1994).
- i. Receipt of an unreadable electronic bid. If a bid is received by the Government and is unreadable with respect to the material elements of the IFB, the contracting officer must immediately notify the bidder that the bid will be rejected unless the bidder provides clear and convincing evidence of (1) the content of the bid originally submitted; and (2) that the unreadable condition was

caused by Government software or hardware error, malfunction, or other mishandling on the Government's behalf. RFO FAR 14.302.

- j. Failure to furnish required or adequate bid guarantee.
- (1) Bid Guarantee. A form of security ensuring that a bidder will (1) not withdraw a bid within the period specified for acceptance, and (2) if required, execute a written contract and furnish payment and performance bonds within the time period specified in the solicitation. RFO FAR 28.
 - (2) A bid guarantee is also available to offset the cost of procurement of the goods and services. Where the guarantee is in the form of a bid bond, it secures the liability of the surety to the Government if the holder of the bond fails to fulfill these obligations. The surety for a bid bond can be either an individual surety or a corporate surety, although there are different requirements for each. *Paradise Constr. Co.*, B-289144, 2001 CPD ¶ 192 (Comp. Gen. Nov. 26, 2001). *See generally* FAR Part 28.
 - (3) Policy. Where a solicitation requires a bidder to submit a bid guarantee with the bid, and the bidder fails to do so (and no exception applies), the bid must be rejected. Affording a bidder the opportunity to supply its bid guarantee later provides the bidder the option of accepting or rejecting the award by either correcting or not correcting a deficiency after award, which would be inconsistent with the sealed bidding system. *Simont S.p.A.*, B-400481, 2008 CPD ¶ 179 (Comp. Gen. Oct. 1, 2008) (agency properly found bidder non-responsive for failing to submit a bid guarantee notwithstanding a patent error to a mislabeled IFB amendment stated a bid guarantee was being deleted). *See also, Hamilton Pacific Chamberlain, LLC*, B-409795, 2014 CPD ¶ 227 (Comp. Gen. Aug. 11, 2014) (awardee's failure to submit an original bid guarantee at bid opening when the IFB require submission of a bid guarantee could not be waived and rendered the bid nonresponsive).
 - (4) *Interstate Rock Products, Inc. v. United States*, 50 Fed. Cl. 349 (2001) (COFC seconded a long line of GAO decisions holding that "the penal sum [of a bid bond] is a material term of the contract (the bid bond) and therefore its omission is a material defect rendering the bid nonresponsive); *Schrepfer Industries, Inc.*, B-286825, 2001 CPD ¶ 23 (Comp. Gen. Feb. 12, 2001) (photocopied power

of attorney unacceptable); *Quantum Constr., Inc.*, B-255049, 93-2 CPD ¶ 304 (Comp. Gen. Dec. 1, 1993) (defective power of attorney submitted with bid bond); *Kinetic Builders, Inc.*, B-223594, 86-2 CPD ¶ 342 (Comp. Gen. Sept. 24, 1986) (bond referenced another solicitation number); *Clyde McHenry, Inc.*, B-224169, 86-2 CPD ¶ 352 (Comp. Gen. Sept. 25, 1986) (surety's obligation under bond unclear). *But see*, FAR 28.101-4(c) (setting forth eight exceptions to the FAR's general requirement to reject bids with noncompliant bid guarantees); *South Atlantic Construction Company, LLC.*, B-286592.2, 2001 CPD ¶ 63 (Comp. Gen. Apr. 13, 2001); *Hostetter, Keach & Cassada Constr., LLC*, B-403329, 2010 CPB ¶ 246 (Comp. Gen. Oct. 15, 2010) (responsive despite discrepancy in the names of the bidder and bid bond principal where the record shows that the two are the same entity so that it is certain that the surety would be liable to the Government).

- (5) *All Seasons Construction, Inc. v. United States*, 55 Fed. Cl. 175 (2003) (all documents accompanying a bid bond, including the power of attorney appointing the attorney-in-fact, must unequivocally establish, at bid opening, that the bond is enforceable against the surety).
- (6) Example: An individual surety with assets described as an "allocated portion of \$191,350,000.00 of previously mined, extracted, stockpiled and marketable coal, located on property X" is not a valid bid bond because the assets are not able to be placed in an escrow account. The Government's interest in a security asset in escrow must be made perfect through filing, rather than by taking possession. *Tip Top Construction Corporation*, B-311305, 2008 CPD ¶ 91 (Comp. Gen. May 2, 2008). RFO FAR 28.102-1.
- (7) Example: Bidder's pledge of allocated portion of previously mined, extracted, stockpiled, and marketable coal located on surety's property was not acceptable asset under FAR 28.203-1 because coal was a speculative asset with value highly dependent upon variables such as type, quality, and provenance of coal proffered, rather than assert that was readily marketable with identifiable value and liquidity. *Tip Top Constr. Corp. v. United States*, 563 F.3d 1338 (2009).

- k. Exception to liquidated damages. *Dubie-Clark Co.*, B-186918, 76-2 CPD ¶ 194 (Comp. Gen. Aug. 26, 1976).
- l. Solicitation requires free on board (F.O.B.) *destination* (contractor responsible for shipping costs and liability); bid states F.O.B. *origin* (Government responsible for shipping costs and liability). *Taylor-Forge Eng'd Sys., Inc.*, B-236408, 89-2 CPD ¶ 421 (Comp. Gen. Nov. 3, 1989).
- m. Descriptive Literature. Contracting officers must not require bidders to furnish descriptive literature unless it is needed before award to determine whether the products offered meet the specifications and to establish exactly what the bidder proposes to furnish. *See* RFO FAR 14.206 and RFO FAR 52.214-21. *Adrian Supply Co.*, B-250767, 93-1 CPD ¶ 131 (Comp. Gen. Feb. 12, 1993). **NOTE:** The contracting officer generally should disregard unsolicited descriptive literature. However, if the unsolicited literature raises questions reasonably as to whether the offered product complies with a material requirement of the IFB, the bid should be rejected as nonresponsive. FAR 14.202-5(e); FAR 14.202-4(f); *Delta Chem. Corp.*, B-255543, 94-1 CPD ¶ 175 (Comp. Gen.) Mar. 4, 1994); *Amjay Chems.*, B-252502, 93-1 CPD ¶ 426 (Comp. Gen. May 28, 1993).
- n. Conditional terms. *Tel-Instrument Electronics Corp.* 56 Fed. Cl. 174 (2003) (a bid conditioned on the use of equipment not included in the solicitation, requiring special payment terms, or limiting its warranty obligation modifies a material requirement and is nonresponsive); *New Dimension Masonry, Inc.*, B-258876, 95-1 CPD ¶ 102 (Comp. Gen. Feb. 21, 1995) (statements in cover letter limiting rights of the Government expressly reserved in the solicitation conditioned the bid).
- o. Objection to indemnification requirements changed legal relationship anticipated in IFB. *Metric Sys. Corp.*, B-256343, 94-1 CPD ¶ 360 (Comp. Gen. June 10, 1994) (bidder's exception to IFB indemnification requirements changed legal relationship between parties).

C. Minor Informalities or Irregularities in Bids. RFO FAR 14.306-7.

- 1. Rule. Discretionary decision—the contracting officer shall give the bidder an opportunity to cure any deficiency resulting from a minor informality or irregularity in a bid or waive the deficiency, whichever is to the Government's advantage. RFO FAR 14.306-7; *Excavation Constr. Inc. v. US*, 494 F.2d 1289 (Ct. Cl. 1974).

2. What is a minor irregularity?

- a. A minor informality or irregularity is merely a matter of form, not of substance. The defect or variation is immaterial when the effect on price, quantity, quality, or delivery is negligible when contrasted with the total cost or scope of supplies or services acquired. RFO FAR 14.306-7.
- b. To determine whether a defect or variation is immaterial, review the facts of the case with the following considerations:
 - (1) whether item is divisible from solicitation requirements;
 - (2) whether cost of item is *de minimis* as to contractor's total cost; and
 - (3) whether waiver or correction clearly would not affect competitive standing of bidders.

Red John's Stone Inc., B-280974, 98-2 CPD ¶ 135 (Comp. Gen. Dec. 14, 1998).

- c. Examples of minor irregularities.
 - (1) Failure to return the number of copies of signed bids required by the IFB. RFO FAR 14.306-7(a).
 - (2) Failure to furnish required information concerning the number of an employer's employees. RFO FAR 14.306-7(b)
 - (3) Failure to sign the bid if it is accompanied by other material indicating the bidder's intention to be bound by the unsigned bid; or the firm submitting a bid has formally adopted or authorized, before date of bid opening, the execution of documents by typewritten, printed, or stamped signature, submitted evidence of the authorization and the bid carries such a signature. RFO FAR 14.306-7(c).
 - (4) Failure to acknowledge receipt of an amendment to an IFB but only if the bid clearly indicates the bidder received the amendment; or the amendment involves only a matter of form or has no or negligible effect on price, quantity, quality, or delivery of the item bid upon. RFO FAR 14.306-7(d).

- (5) Execute representations with respect to Equal Opportunity or Affirmative Action Programs. RFO FAR 14.306-7(e)
- (6) Failure to submit employer identification number. *Dyneteria, Inc.*, B-186823, 76-2 CPD ¶ 338 (Comp. Gen. Oct. 18, 1976).
- (7) Mere discrepancy in the names of the bidder and bid bond principal is a minor informality where the record shows that the two are the same entity so that it is certain that the surety would be liable to the Government. *Hostetter, Keach & Cassada Constr., LLC*, B-403329, 2010 CPB ¶ 246 (Comp. Gen. Oct. 15, 2010).
- (8) Use of abbreviated corporate name if the bid otherwise establishes the identity of the party to be bound by contract award. *Americorp*, B-232688, 88-2 CPD ¶ 515 (Comp. Gen. Nov. 23, 1988) (bid also gave Federal Employee Identification Number).
- (9) Failure to certify as a small business on a small business set-aside. *See J. Morris & Assocs.*, B-259767, 95-1 CPD ¶ 213 (Comp. Gen. Apr. 25, 1995) (bidder may correct erroneous certification after bid opening where a bidder's actual status is clear).
- (10) Failure of initial bid correction. *Durden & Fulton, Inc.*, B-192203, 78-2 CPD ¶ 172 (Comp. Gen. Sept. 5, 1978).
- (11) Failure to price individually each line item on a contract to be awarded on an "all or none" basis. *See Seaward Corp.*, B-237107.2, 90-1 CPD ¶ 552 (Comp. Gen. June 13, 1990); *see also Vista Contracting, Inc.*, B-255267, Jan. 7, 1994, 94-1 CPD ¶ 61 (failure to indicate cumulative bid price where bid pricing schedule is complete and bidder's total price offer is easily determined on face of bid documents).
- (12) Failure to furnish information with bid, if the information is not necessary to evaluate bid and bidder is bound to perform in accordance with the IFB. *W.M. Schlosser Co.*, B-258284, 94-2 CPD ¶ 234 (Comp. Gen. Dec. 12, 1994) (equipment history not submitted); *but see Booth & Assocs., Inc. - - Advisory Opinion*, B-277477.2, 98-1 CPD ¶ 104 (Comp. Gen. Mar. 27, 1998) (agency properly reinstated bid previously rejected as non-responsive where bidder failed to include completed supplemental schedule

of hourly rates but schedule was not used in the bid price evaluation and omission did not affect the bidder's promise to perform as specified).

- (13) Negligible variation in quantity. *Alco Envtl. Servs., Inc.*, ASBCA No. 43183, 94-1 BCA ¶ 26,261 (variation in IFB quantity of .27 percent).
- (14) Failure to acknowledge amendment of the solicitation if the bid is clearly based on the IFB as amended, or the amendment is a matter of form or has a negligible impact on the cost of contract performance. *See* FAR 14.405(d).
- (15) Submission of prices for work to be deleted rather than prices for work remaining was a waivable minor informality as the remaining work could easily be ascertained from the face of the contractor's bid. *JOCH Construction*, B-410980, B-410980.2, 2015 CPD ¶ 126 (Comp. Gen. Apr 7, 2015).
- (16) Errors in line numbering on second page of bid schedule was found to be minor informality and immaterial, thus waived by the contracting officer. *Rush Constr., Inc. v. United States*, 117 Fed. Cl. 85 (2014) (finding GAO to be irrational); *but see* Matter of: *C&D Constr., Inc.*, B-408930.2, 2014 CPD ¶ 69 (Comp. Gen. Feb. 14, 2014). (finding the contracting officer improperly waived bidder's mistake).

3. Statutory/Regulatory Compliance.

a. Licenses and permits.

- (1) When a solicitation contains a general condition that the contractor comply with state and local licensing requirements, the contracting officer need not inquire into what those requirements may be or whether the bidder will comply. *James C. Bateman Petroleum Serv., Inc.*, B-232325, 88-2 CPD ¶ 170 (Comp. Gen. Aug. 22, 1988); *but see International Serv. Assocs.*, B-253050, 93-2 CPD ¶ 82 (Comp. Gen. Aug. 4, 1993) (where agency determines that small business will not meet licensing requirement, referral to SBA required).

- (2) On the other hand, when a solicitation requires specific compliance with state and local regulations, compliance with such regulations is a pre-requisite to award. *Washington Petrol Serv., Inc.*, B-195900, 80-2 CPD ¶ 132 (Comp. Gen. Aug. 19, 1980); *James C. Bateman Petroleum Serv., Inc.*, B-232325, 88-2 CPD ¶ 170 (Comp. Gen. Aug. 22, 1988).

b. Statutory certification requirements.

- (1) Small business concerns. The contractor must certify its status as a small business to be eligible for award as a small business. RFO FAR 19.204.
- (2) Equal opportunity compliance. Contractors must certify that they will comply with “equal opportunity” statutory requirements. In addition, contracting officers must obtain pre-award clearances from the Department of Labor for equal opportunity compliance before awarding any contract (excluding construction) exceeding \$10 million. FAR 22.8. Solicitations may require the contractor to develop and file an affirmative action plan. RFO FAR 52.222-22 and RFO FAR 52.222-25; *Westinghouse Elec. Corp.*, B-228140, 88-1 CPD ¶ 6 (Comp. Gen. Jan. 6, 1988). *But see* RFO FAR 14.306-7 (listing lack of certification as a minor informality or irregularity).
- (3) Submission of lobby certification. *Tennier Indus.*, B-239025, 90-2 CPD ¶ 25 (Comp. Gen. July 16, 1990).

c. Organizational conflicts of interest. RFO FAR 9.5. Government policy precludes award of a contract, without some restriction on future activities, if the contractor would have an actual or potential unfair competitive advantage, or if the contractor would be biased in making judgments in performance of the work. Necessary restrictions on future activities of a contractor are incorporated in the contract in one or more organizational conflict of interest clauses. RFP FAR 9.505; *The Analytic Sciences Corp.*, B-218074, 85-1 CPD ¶ 464 (Comp. Gen. Apr. 23, 1985). For more information see Chapter 34.

D. Mistakes in Bids Asserted Before Award. FAR 14.407-1.

1. General rule.

- a. A bidder bears the consequences of a mistake in its bid unless the contracting officer has actual or constructive notice of the mistake

prior to award. *Advanced Images, Inc.*, B-209438.2, 83-1 CPD ¶ 495 (Comp. Gen. May 10, 1983).

- b. After bid opening, the Government may permit the bidder to remedy certain substantive mistakes affecting price and price-related factors by correction or withdrawal of the bid.

2. Mistakes in bid that are correctable.

- a. A clerical or arithmetic error apparent on its face in the bid normally is correctable or may be a basis for withdrawal. RFO FAR 14.304-2.
- b. FAR examples: obvious misplacement of a decimal point; obviously incorrect discounts; obvious reversal of the price F.O.B. destination and price F.O.B. origin; and obvious mistake in designation of unit. RFO FAR 14.304-2(a-d)
- c. *United Digital Networks, Inc.*, B-222422, 86-2 CPD ¶ 79 (Comp. Gen. July 17, 1986) (multiplication error); *but see Virginia Beach Air Conditioning Corp.*, B-237172, 90-1 CPD ¶ 78 (Comp. Gen. Jan. 19, 1990) (bid susceptible to two interpretations—correction improper).

3. Mistakes in bid that are not correctable.

- a. Errors in judgment. *R.P. Richards Constr. Co.*, B-274859.2, 97-1 CPD ¶ 39 (Comp. Gen. Jan. 22, 1997) (bidder's misreading of a subcontractor quote and reliance on its own extremely low estimate for certain work were mistakes in judgment); *Central Builders, Inc.*, B-229744, 88-1 CPD ¶ 195 (Comp. Gen. Feb. 25, 1988) (bid may not be corrected after bid opening where the bid submitted was the bid intended, even though it was later discovered that the bid was revised lower based upon an erroneous interpretation of the specifications); *but see, Ultimate Concrete, L.L.C.*, B-412255.2, 2016 CPD ¶ 20 (Comp. Gen. Jan. 13, 2016) (agency improperly allowed bidder to reallocate prices among contract line item numbers after bid submission without clear and convincing evidence of awardee's intended allocation of contract line item number prices).
- b. Omission of items from the bid. *McGhee Constr., Inc.*, B-255863, 94-1 CPD ¶ 254 (Comp. Gen. Apr. 13, 1994) (bid may not be corrected after bid opening where the bidder did not intend to include in its bid any additional amounts for the work involved); *but see Pacific Components, Inc.*, B-252585, 93-1 CPD ¶ 478 (Comp. Gen. June 21, 1993) (bid correction permitted to revise bid

upwards for mistake due to omissions from subcontractor quotation).

- c. Nonresponsive bid. RFO FAR 14.304-1(b). *Temp Air Co., Inc.*, B-279837, 98-2 CPD ¶ 1 (Comp. Gen. Jul. 2, 1998) (bid could not be made responsive by post-bid opening explanation or correction).
 - d. *Virginia Beach Air Conditioning Corp.*, B-237172, 90-1 CPD ¶ 78 (Comp. Gen. Jan. 19, 1990) (bid susceptible to two interpretations—correction improper).
4. Only the Government and the bidder responsible for the alleged mistake have standing to raise the issue of a mistake. *Reliable Trash Serv., Inc.*, B-258208, 94-2 CPD ¶ 252 (Comp. Gen. Dec. 20, 1994).
5. Contracting Officer's responsibilities.
- a. **Examine each bid for mistakes.** RFO FAR 14.304-1(a); *Andy Elec. Co.—Recon.*, B-194610.2, 81-2 CPD ¶ 111 (Comp. Gen. Aug. 10, 1981).
 - (1) **Actual** notice of mistake in a bid. RFO FAR 14.304-1(d).
 - (2) **Constructive** notice of mistake in a bid, *e.g.*, price disparity among bids or comparison with government estimate. *R.J. Sanders, Inc. v. United States*, 24 Cl. Ct. 288 (1991) (bid 32% below Government estimate insufficient to place contracting officer on notice of mistake in bid); *Central Mechanical, Inc.*, B-206250, 82-2 CPD ¶ 547 (Comp. Gen. Dec. 20, 1982) (allocation of price out of proportion to other bidders).
 - b. Verify bid if reason to believe it contains a mistake. RFO FAR 14.304-1(c).
 - (1) When does the duty arise? *CTA Inc. v. U.S.* 44 Fed.Cl. 684, 694 (Fed. Cl. 1999) (Government's duty to warn arises only when the Government either knew or should have known that a bid contains a mathematical or typographical error or is based on a misreading of the contract specifications).
 - (2) How does the contracting officer put the bidder on notice? To ensure that the bidder is put on notice of the suspected mistake, the contracting officer must advise the bidder of all disclosable information that leads the contracting officer

to believe that there is a mistake in the bid. *Liebherr Crane Corp.*, ASBCA No. 24707, 85-3 BCA ¶ 18,353, *aff'd* 810 F.2d 1153 (Fed. Cir. 1987) (procedure inadequate); *but see Foley Co.*, B-258659, 95-1 CPD ¶ 58 (Comp. Gen. Feb. 8, 1995) (bidder should be allowed an opportunity to explain its bid); *DWS, Inc.*, ASBCA No. 29743, 93-1 BCA ¶ 25,404 (particular price need not be mentioned in bid verification notice).

- (3) What is the effect of bidder verification? Verification generally binds the contractor unless the discrepancy is so great that acceptance of the bid would be unfair to the submitter or to other bidders. *Trataros Constr., Inc.*, B-254600, 94-1 CPD ¶ 1 (Comp. Gen. Jan. 4, 1994) (contracting officer properly rejected verified bid that was far out of line with other bids and the government estimate); *but see Foley Co.*, B-258659, 95-1 CPD ¶ 58 (Comp. Gen. Feb. 8, 1995) (Government improperly rejected low bid where there was no evidence of mistake); *Aztech Elec., Inc. and Rod's Elec., Inc.*, B-223630, 86-2 CPD ¶ 368 (Comp. Gen. Sept. 30, 1986) (below-cost bid is a matter of business judgment, not an obvious error requiring rejection).
- (4) What if the contracting officer fails to obtain adequate verification? If the contracting officer fails to obtain adequate verification of a bid for which the Government has actual or constructive notice of a mistake, the contractor may seek additional compensation or rescission of the contract. *See, e.g., Solar Foam Insulation*, ASBCA No. 46921, 94-2 BCA ¶ 26,901.

- c. The contracting officer may not award a contract to a bidder when the contracting officer has actual or constructive notice of a mistake in the bid, unless the mistake is waived or the bid is properly corrected in accordance with agency procedures. *Sealtite Corp.*, ASBCA No. 25805, 83-1 BCA ¶ 16,243.

6. Correcting mistakes prior to award..

- a. The bidder alleging the mistake has the burden of proof. *VA—Advance Decision*, B-225815.2, 87-2 CPD ¶ 362 (Comp. Gen. Oct. 15, 1987).
- b. Apparent clerical mistakes. RFO FAR 14.304-2.

- (1) General Rule: Before award, a contracting officer may correct any clerical mistake apparent on the face of the bid only after obtaining verification of the apparent mistake from the bidder. RFO FAR 14.304-2.
- (2) *Brazos Roofing, Inc.*, B-275319, 97-1 CPD ¶ 66 (Comp. Gen. Feb. 7, 1997) (incorrect entry of base price used in calculation of option year prices was an obvious transcription error); *Action Serv. Corp.*, B-254861, 94-1 CPD ¶ 33 (Comp. Gen. Jan. 24, 1994) (additional zero); *Sovran Constr. Co.*, B-242104, 91-1 CPD ¶ 295 (Comp. Gen. Mar. 18, 1991) (cumulative pricing); *Engle Acoustic & Tile, Inc.*, B-190467, 78-1 CPD ¶ 72 (Comp. Gen. Jan. 27, 1978) (misplaced decimal point); *Dependable Janitorial Serv. & Supply Co.*, B-188812, 77-2 CPD ¶ 20 (Comp. Gen. July 13, 1977) (discrepancy between unit and total prices); *B&P Printing, Inc.*, B-188511, 77-1 CPD ¶ 387 (Comp. Gen. June 2, 1977) (comma rather than period making bid reasonably subject to two interpretations only one of which was low bid, bidder may not explain mistake).

c. Other mistakes disclosed before award. RFO FAR 14.304-3.

- (1) Correction by bidder that does not displace lower bids.
 - (a) Burden of proof: The bidder must show by clear and convincing evidence: (i) the existence of a mistake in its bid; and (ii) the bid actually intended. RFO FAR 14.304-3(a)(1)
 - (b) Permissible evidence: Bidder can refer to such things as: (i) bidder's file copy of the bid; (ii) original work papers; (iii) a subcontractor's or supplier's quotes; or (iv) published price lists. RFO FAR 14.304-3(g)(6).
 - (c) Example: *Shoemaker & Alexander, Inc.*, B-241066, 91-1 CPD ¶ 41 (Comp. Gen. Jan. 15, 1991) (upward correction of a mistake in bid resulting from alleged failure to include proper subcontractor costs is permissible where evidence consisting of the bidder's worksheets, the subcontractor's quotations, and an adding machine tape clearly and convincingly demonstrate both the existence of a mistake and the intended bid, and the bid as

corrected remained below the next low bid by approximately 3 percent).

- (d) Other examples: *Three O Constr., S.E.*, B-255749, 94-1 CPD ¶ 216 (Comp. Gen. Mar. 28, 1994) (no clear and convincing evidence where bidder gave conflicting explanations for mistake); *Will H. Hall and Son, Inc. v. United States*, 54 Fed. Cl. 436 (2002), (contractor's "careless" reliance on a subcontractor's quote that excluded a price for a portion of the work solicited is a correctable mistake); *Circle, Inc.*, B-279896, 98-2 CPD ¶ 67 (Comp. Gen. July 29, 1998) (correction not permitted where agency reasonably found that discrepancies in the worksheets, as well as other evidence provided, did not establish intended bid).
- (2) Correction of a bid that displaces a lower bidder. NOTE: Head of agency determination required to accept bid.
 - (a) Burden of proof: Bidder must show by clear and convincing evidence: (a) the existence of a mistake; and (b) the bid actually intended. RFO FAR 14.304(a)(2); *J & J Maint., Inc.*, B-251355, 93-1 CPD ¶ 187 (Comp. Gen. Mar. 1, 1993) (correction permitted where unit price clearly is out of line with both the government estimate and the prices offered by the other bidders, and only the extended price reasonably can be regarded as having been the intended bid); *Virginia Beach Air Conditioning Corp.*, B-237172, 90-1 CPD ¶ 78 (Comp. Gen. Jan. 19, 1990); *Eagle Elec.*, B-228500, 88-1 CPD ¶ 116 (Comp. Gen. Feb. 5, 1988).
 - (b) Limitation on proof: The head of the agency may make a determination to permit the correction ONLY IF the mistake and intended bid are obvious from the final bid documents. FAR RFO 14.304-3(a)(2). Bidder can prove a mistake only from the solicitation and the bid submitted, not from any other sources. *Bay Pacific Pipelines, Inc.*, B-265659, 95-2 CPD ¶ 272 (Comp. Gen. Dec. 18, 1995).

Example: The Navy issued an IFB for dredging services at a submarine base. The IFB required bidders to supply both unit prices and extended prices for 10 line items with a total of the extended prices for lines. Bidders had to submit an original and one copy of their bids. At bid opening, there were two bidders. Bidder A showed a “lump sum” mobilization line item as \$425,000 per item and an extended price of \$1,425,000. (Lump sum meant the unit price and extended price should have been identical.) Bidder A’s total price reflected that the mobilization line item price should have been \$1,425,000. Bidder A’s handwritten copy of its bid reflected \$1,425,000 in both the unit and the extended line item blocks. However, the IFB stated “in the event there is a difference between a unit price and the extended total, the unit price will be held to be the intended bid.” Bidder B protests that the Navy should reject Bidder A’s bid. Can Bidder A correct its line item price to \$1,425,000?

Yes. There is considerable evidence from the bid itself that Bidder A made a clerical mistake by mistakenly omitting the digit “1” from its mobilization unit price on the “original” bid. The intended bid was readily discernable. Notwithstanding solicitation provisions that give precedence to unit prices, an obviously erroneous unit price can be corrected to correspond to an extended total price where the corrected unit price is the only reasonable interpretation of the bid. *Cashman Dredging and Marine Contracting Co. LLP*, B-401547, 2009 CPD ¶ 179 (Comp. Gen. Aug. 31, 2009).

- d. Action permitted when a bidder presents clear and convincing evidence of a mistake, but not as to the bid intended; or evidence that reasonably supports the existence of a mistake, but is not clear and convincing. *Advanced Images, Inc.*, B-209438.2, 83-1 CPD ¶ 495 (Comp. Gen. May 10, 1983).
 - (1) The bidder may withdraw the bid, IAW RFO FAR 14.304.
 - (2) The bidder may correct the bid where it is clear the intended bid would fall within a narrow range of uncertainty and remain the low bid. *Conner Bros. Constr. Co.*, B-228232.2, 88-1 CPD ¶ 103 (Comp. Gen. Feb. 3, 1988); *Department of the Interior—Mistake in Bid Claim*, B-222681, 86-2 CPD ¶ 98 (Comp. Gen. July 23, 1986).
 - (3) The bidder may waive the bid mistake if it is clear that the intended bid would remain low. *William G. Tadlock Constr.*, B-251996, 93-1 CPD ¶ 382 (Comp. Gen. May 13, 1993) (waiver not permitted where insufficient evidence of intended bid price and that it would remain the low bid); *Hercules Demolition Corp. of Virginia*, B-223583, 86-2 CPD ¶ 292 (Comp. Gen. Sep. 12, 1986); *LABCO Constr., Inc.*, B-219437, 85-2 CPD ¶ 240 (Comp. Gen. Aug. 28, 1985).

- e. Once a bidder asserts a mistake, the agency head or designee may disallow withdrawal or correction of the bid if the bidder fails to prove the mistake. RFO FAR 14.304-3(d); *Duro Paper Bag Mfg. Co.*, B-217227, 86-1 CPD ¶ 6 (Comp. Gen. Jan. 3, 1986).
 - f. Approval levels for corrections or withdrawals of bids.
 - (1) Apparent clerical errors: The contracting officer. RFO FAR 14.304-2
 - (2) Withdrawal of a bid after bid opening on clear and convincing evidence of a mistake, but not of the intended bid: An official above the contracting officer. RFO FAR 14.304-3(c).
 - (3) Correction of a bid on clear and convincing evidence both of the mistake and of the bid intended IF the bid does not displace a lower bidder: The contracting officer. RFO FAR 14.304-3(a)(1).
 - (4) If correction of a bid would displace a lower bid, the Government shall not permit the correction unless the mistake and the intended bid are obvious from the final bid documents: The head of agency. RFO FAR 14.304-3(a)(2).
 - (5) Withdrawal rather than correction of a low bidder's bid: If (a) a bidder requests permission to withdraw a bid rather than correct it, (b) the evidence is clear and convincing both as to the mistake in the bid and the bid intended, and (c) the bid, both as uncorrected and as corrected, is the lowest received, the agency head may determine to correct the bid and not permit its withdrawal. RFO FAR 14.304-3(b).
 - (6) Neither correction nor withdrawal. If the evidence does not warrant correction or withdrawal, the agency head or delegee may refuse to permit either withdrawal or correction. RFO FAR 14.304-3(d).
 - (7) Heads of agencies may delegate their authority to correct or permit withdrawal of bids without power of redelegation. RFO FAR 14.304-3(e). This authority has been delegated to specified authorities within Defense Department and Agencies. *See* individual Agency FAR Supplements.
- E. Asserting mistakes after award. RFO FAR 14.401; RFO FAR 33.2 (Disputes and Appeals).

1. If a contractor's discovery and request for correction of a mistake in bid is not made until after the award, it shall be processed under the procedures of RFO FAR 33 and RFO FAR 14.401.
2. The mistake may be corrected by contract modification if:
 - a. Correcting the mistake would be favorable to the Government without changing the essential requirements of the specifications. RFO FAR 14.401(a).
 - b. The contractor demonstrates by clear and convincing evidence that a mistake in bid was made and it must be clear the mistake was mutual or, if unilateral, so apparent as to have charged the contracting officer with notice of the probability of the mistake. RFO FAR 14.401(c); *Government Micro Resources, Inc. v. Department of Treasury*, GSBICA No. 12364-TD, 94-2 BCA ¶ 26,680 (government on constructive notice of mistake where contractor's price exceeded government estimate by 62% and comparison quote by 33%); *Kitco, Inc.*, ASBCA No. 45347, 93-3 BCA ¶ 26,153 (mistake must be clear cut clerical or arithmetical error, or misreading of specifications, not mistake of judgment); *Liebherr Crane Corp.*, 810 F.2d 1153 (Fed. Cir. 1987) (no relief for unilateral errors in business judgment).
3. The contracting officer shall request the contractor to support the alleged mistake by submission of written statements and pertinent evidence. *See Government Micro Resources, Inc. v. Department of Treasury*, GSBICA No. 12364-TD, 94-2 BCA ¶ 26,680 (board awards contractor recovery on *quantum valebant* basis).
4. The Government may (RFO FAR 14.401(b)):
 - a. Rescind the contract.
 - b. Reform (modify) the contract to:
 - (1) Delete the items involved in the mistake; or
 - (2) Increase the price if the contract price, as corrected, does not exceed that of the next lowest acceptable bid under the original IFB.
 - c. Make no change if the evidence does not warrant deleting the items or increasing the price.

- d. Note: The requirement under FAR 14.407-4(c) must be met where the Government intends to rescind or reform the contract pursuant to FAR 14.407-4(b)
 - e. Approval Levels. *See* individual Agency FAR Supplements.
5. Contract Reformation.
- a. To show entitlement to reformation, the contractor must prove (i) a clear agreement between the parties and (ii) an error in reducing the agreement to writing. *Gould, Inc. v. United States*, 19 Cl. Ct. 257, 264 (1990)
 - b. Reformation is a form of equitable relief that applies to mistakes made in reducing the parties' intentions to writing, but not to mistakes that the parties made in forming the agreement. Hence, reformation is not available for contract formation mistakes. *Gould, Inc. v. United States*, 19 Cl. Ct. 257, 269 (1990) (reformation not permitted where plaintiff complains of a mistake in the forming the agreement, not in reducing the parties' agreement to writing).
 - c. The contractor must prove four elements in a claim for reformation based on mutual mistake. *Management & Training Corp. v. General Servs. Admin.*, GSBCA No. 11182, 93-2 BCA ¶ 25,814; *Gould, Inc. v. United States*, 19 Cl. Ct. 257, 269 (1990). These elements are:
 - (1) The parties to the contract were mistaken in their belief regarding a fact. *See Dairyland Power Co-op v. United States*, 16 F.3d 1197 (1994) (mistake must relate to an existing fact, not future events);
 - (2) The mistake involved a basic assumption of the contract;
 - (3) The mistake had a material effect on the bargain; and
 - (4) The contract did not put the risk of mistake on the party seeking reformation.
 - d. The contractor must prove five elements in a claim for reformation based on the unilateral mistake of the bidder. *Red Gold, Inc., Appellant v. Dept. of Agriculture, Respondent*, CBCA 2639, July 06, 2012, 2012 WL 2869697. These elements are:
 - (1) Mistake in fact occurred prior to contract award;

- (2) Mistake was clear cut clerical or mathematical error or misreading of the specifications;
 - (3) Prior to the award, the Government knew or should of known that a mistake had been made;
 - (4) The Government did not request bid verification; and
 - (5) Proof of the intended bid..
- 6. Mistakes alleged after award are subject to the Contract Disputes Act of 1978 and the Disputes and Appeals provisions of the RFO FAR; RFO FAR 33.2; *ABJ Servs.*, B-254155, 93-2 CPD ¶ 53 (Comp. Gen. July 23, 1993) (the GAO will not review a mistake in bid claim alleged by the contractor after award).
 - 7. Extraordinary contractual relief under Public Law No. 85-804. National Defense Contracts Act, 72 Stat. 972; 50 U.S.C. § 1431-1433, 1435; DFARS 250.

F. Rejection of All Bids—Cancellation of the IFB.

- 1. Prior to bid opening, almost any reason will justify cancellation of an invitation for bids if the cancellation is “in the public interest.” RFO FAR 14.209(j). Contracting officer still must furnish a reason. RFO FAR 14.209(k).
- 2. After bid opening, the Government may not cancel an IFB unless there is a compelling reason to reject all bids and cancel the invitation. FAR 14.305; *P. Francini & Co., Inc. v. U.S.*, 2 Cl. Ct. 7, 10 (1983) (*citing Massman Construction Co. v. United States*, 102 Ct. Cl. 699, 719 (1945) (“to have a set of bids discarded after they are opened and each bidder has learned his competitor’s prices is a serious matter, and it should not be permitted except for cogent reasons.”)). Cancellation must be done by agency head or designee.
- 3. Examples of compelling reasons to cancel.
 - a. Violation of statute. *Sunrise International Group*, B-252892.3, 93-2 CPD ¶ 160 (Comp. Gen. Sep. 14, 1993) (agency’s failure to allow 30 days in IFB for submission of bids in violation of CICA was compelling reason to cancel IFB).
 - b. Insufficient funds. *Michelle F. Evans*, B-259165, 95-1 CPD ¶ 139 (Comp. Gen. Mar. 6, 1995) (management of funds is a matter of agency judgment); *Armed Forces Sports Officials, Inc.*, B-251409, 93-1 CPD ¶ 261 (Comp. Gen. Mar. 23, 1993) (no requirement for

agency to seek increase in funds where all bids exceed amount available for procurement).

- c. Requirement disappeared. *Zwick Energy Research Org., Inc.*, B-237520.3, 91-1 CPD ¶ 72 (Comp. Gen. Jan. 25, 1991) (specification required engines driven by gasoline; agency directive required diesel); *Specialized Steel Contractors, Inc.*, B-408022, B-408022.2, 2013 CPD ¶ 122 (Comp. Gen. May 14, 2013) (agency determination that existing levee meets its needs justified cancelling of IFB as the supplies and services were no longer needed).
- d. Specifications are defective and fail to state the Government's minimum needs, or unreasonably exclude potential bidders. *McGhee Constr., Inc.*, B-250073.3, 93-1 CPD ¶ 379 (Comp. Gen. May 13, 1993); *Control Corp.; Control Data Sys., Inc.—Protest and Entitlement to Costs*, B-251224.2, 93-1 CPD ¶ 353 (Comp. Gen. May 3, 1993) (compelling reason to cancel procurement where solicitation overstated service call response time needed); *Digitize, Inc.*, B-235206.3, 90-1 CPD ¶ 403 (Comp. Gen. Oct. 5, 1989) (agency determined Government needs satisfied by products meeting less restrictive specifications and award to protestor would not be fair to competitors); *Chenega Management*, B-290598, 2002 CPD ¶ 143 (Comp. Gen. Aug. 8, 2002) (specifications that are impossible to perform in required time period provide a basis to cancel the IFB after bid opening); *Grot, Inc.*, B-276979.2, 97-2 CPD ¶ 50 (Comp. Gen. Aug. 14, 1997) (cancellation proper where all bids exceeded the "awardable range" and agency concluded that specifications were unclear).
- e. Agency determines to perform the services in-house. *Mastery Learning Sys.*, B-258277.2, 95-1 CPD ¶ 54 (Comp. Gen. Jan. 27, 1995) (agency reasonably determined performing services in-house was in its best interest because it would assure continuity of services).
- f. Time delay of litigation. *P. Francini & Co. v. United States*, 2 Cl. Ct. 7 (1983) (cancellation was justified in light of the delay that would have attended an appeal of the court's preliminary injunction and taken longer to resolve than resoliciting the IFB); *but see Northern Virginia Van Co. Inc. v. U.S.*, 3 Cl. Ct. 237, 242 (1983); *Great Lakes Dredge & Dock Company, LLC*, B-411207, 2015 CPD ¶ 177 (Comp. Gen. Jun. 8, 2015) (condemnation proceedings of an indeterminate duration coupled with unforeseen litigation over the property easements, provided a compelling reason to cancel the solicitation).

- g. All bids unreasonable in price. *California Shorthand Reporting*, B-250302.2, 93-1 CPD ¶ 202 (Comp. Gen. Mar. 4, 1993); *Grot, Inc.*, B-276979.2, 97-2 CPD ¶ 50 (Comp. Gen. Aug. 14, 1997) (cancellation proper where all bids exceeded the “awardable range” and agency concluded that specifications were unclear).
 - h. Eliminate appearance of unfair competitive advantage. *P&C Constr.*, B-251793, 93-1 CPD ¶ 361 (Comp. Gen. Apr. 30, 1993).
 - i. Failure to incorporate wage rate determination. *JC&N Maint., Inc.*, B-253876, 93-2 CPD ¶ 253 (Comp. Gen. Nov. 1, 1993) (wage determination received after bid opening, but prior to award).
 - j. Failure to set aside a procurement for small businesses or small disadvantaged businesses when required. *Baker Support Servs., Inc.; Mgmt. Technical Servs., Inc.*, B-256192.3, 95-1 CPD ¶ 75 (Comp. Gen. Sept. 2, 1994); *Ryon, Inc.*, B-256752.2, 94-2 CPD ¶ 163 (Comp. Gen. Oct. 27, 1994).
 - k. *Site Support Services, Inc.*, B-270229, 96-1 CPD ¶ 74 (Comp. Gen. Feb. 13, 1996) (cancellation proper where IFB contained incorrect government estimate of services needed); *Canadian Commercial Corp./ Ballard Battery Sys. Corp.*, B-255642, Mar. 18, 1994, 94-1 CPD ¶ 202 (no compelling reason to cancel simply because some terms of IFB are somehow deficient when solicitation read as a whole only has one reasonable interpretation); *US Rentals*, B-238090, 90-1 CPD ¶ 367 (Comp. Gen. Apr. 5, 1990) (contracting officer cannot deliberately let bid acceptance period expire as a vehicle for cancellation); *C-Cubed Corporation*, B-289867, 2002 CPD ¶ 72 (Comp. Gen. Apr. 26, 2002) (agency may cancel a solicitation after bid opening if the IFB fails to reflect the agency’s needs).
4. Before canceling the IFB, the contracting officer must consider any prejudice to bidders. If cancellation will affect bidders’ competitive standing, such prejudicial effect on competition may offset the compelling reason for cancellation. *Canadian Commercial Corp./ Ballard Battery Sys. Corp.*, B-255642, Mar. 18, 1994, 94-1 CPD ¶ 202; *Cummins Power Systems, LLC*, B-402079.2, January 7, 2010.
 5. If an agency relies on an improper basis to cancel a solicitation, the cancellation may be upheld if another proper basis for the cancellation exists. *Shields Enters. v. United States*, 28 Fed. Cl. 615 (1993).
 6. Cancellation of the IFB may be post-award. *Control Corp.*, B-251224.2, 93-1 CPD ¶ 353 (Comp. Gen. May 3, 1993).

VIII. AWARD OF THE CONTRACT.

- A. Statutory standard. The contracting officer shall award with reasonable promptness to the responsible bidder whose bid conforms to the solicitation and is most advantageous to the United States, considering only price and other price-related factors included in the solicitation. 41 U.S.C. § 3701; RFO FAR 14.307.
- B. Equal low bids. Contracts shall be awarded in the following order of priority when two or more low bids are equal in all respects: small business concerns that are also labor surplus area concerns; other small business concerns; and other business concerns. RFO FAR 14.307.
- C. Communication of acceptance of the offer and award of the contract. The contracting officer makes award by giving written notice within the specified time for acceptance. RFO FAR 14.308.
- D. Multiple awards. If the IFB does not prohibit partial bids, the Government must make multiple awards when they will result in the lowest cost to the Government. RFO FAR 52.214-22; *WeatherExperts, Inc.*, B-255103, 94-1 CPD ¶ 93 (Comp. Gen. Feb. 9, 1994) (required to make multiple awards, rather than an aggregate award, under an IFB which contains four separate items, each covering a separate location, where the IFB permitted bids on single locations and did not require an aggregate award, and where multiple awards will result in a lower price).
- E. An agency may not award a contract to an entity other than that which submitted a bid. *Gravely & Rodriguez*, B-256506, 94-1 CPD ¶ 234 (Comp. Gen. Mar. 28, 1994) (sole proprietorship submitted bid, partnership sought award).
- F. The “mail box” rule applies to award of federal contracts. Award is effective upon written or electronic notice (or otherwise furnishing the award document) to the successful offeror. RFO FAR 14.307. *Singleton Contracting Corp.*, IBCA 1770-1-84, 86-2 BCA ¶ 18,800 (notice of award and request to withdraw bid mailed on same day; award upheld); *Kleen-Rite Corp.*, B-190160, 78-2 CPD ¶ 2, (Comp. Gen. July 3, 1978).
- G. Economic price adjustment.
 - 1. Bidder proposed adjustment: If the solicitation does not contain an economic price adjustment, the bid will be evaluated based on the price adjustment ceiling. If there is no ceiling proposed, the bid will be rejected unless there is a clear basis for evaluation. RFO FAR 14.306-9(a).
 - 2. Government proposed adjustment: A bidder may only reduce the proposed ceiling, however, the bid will be evaluated at the base price on an equal

basis with other bids. RFO FAR 14.306-9(b). If the bidder raises the ceiling or the floor, the bid will be rejected as nonresponsive.

CHAPTER 9

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CHAPTER 9

NEGOTIATED PROCUREMENTS AND SOURCE SELECTION

I. INTRODUCTION

- A. Assisting at all stages of the procurement process is critical for the contract attorney.
 - 1. Helping prepare acquisition documents is one of the paramount roles of the contract attorney.
 - 2. It is important for the contract attorney to help avoid problems by becoming involved early on during the extensive planning process required when agencies conduct a competitively negotiated procurement.
 - 3. The contract attorney must understand the procedures used to conduct a competitively negotiated source selection.
 - 4. Contract attorneys should look for ways to simplify the process whenever possible.
 - 5. Contract attorneys should help their agencies avoid some of the common problem areas in awarding competitively negotiated procurements.
 - 6. Contract attorneys should help their agencies assert maximum flexibility and not fear subjectivity (a/k/a business judgment); contract attorneys should help their agencies adequately explain and document such judgments thoroughly.
- B. Background.
 - 1. In the past, negotiated procurements were known as “open market purchases.” These procurements were authorized only in emergencies.
 - 2. The Army Air Corps began using negotiated procurements in the 1930s to develop and acquire aircraft.
 - 3. Negotiated procurements became universal during World War II. The Armed Services Procurement Act of 1947 authorized negotiated procurements for peacetime use if one of seventeen exceptions to formal advertising (now Sealed Bidding) applied.
 - 4. In 1962, Congress codified agency regulations that required contractors to submit cost/pricing data for certain procurements to aid in the negotiation process.

5. The Competition in Contracting Act (CICA) of 1984 expanded the use of negotiated procurements by eliminating the traditional preference for formal advertising (now Sealed Bidding).
6. In the early 1990s, Congress: (a) modified the procedures for awarding contracts on initial proposals; (b) expanded debriefings; and (c) made other minor procedural changes in the negotiated procurement process.
7. In 1997, the Federal Acquisition Regulation (FAR) Part 15 rewrite effort resulted in significant changes to the rules regarding: (a) exchanges with industry; (b) the permissible scope of discussions; and (c) the competitive range determination.
8. In 2025, the Revolutionary Far Overhaul rewrite resulted in more significant changes to the rules regarding: (a) Negotiations; (b) Clarifications; and (c) the most Highly Rated Offer- Fair with a Reasonable Price.

II. CHOOSING NEGOTIATIONS.

- A. Sealed Bidding or Competitive Negotiations. CICA eliminated the historical preference for formal advertising (now Sealed Bidding). Statutory criteria now determines which procedure shall be used.
- B. Criteria for Selecting Competitive Negotiations. 10 U.S.C. § 3201(b)(1) and 41 U.S.C. § 3301(b)(1)(A). CICA provides that, in determining the appropriate competitive procedure, agencies:
 1. Shall solicit sealed bids if:
 - a. Time permits the solicitation, submission, and evaluation of sealed bids;
 - b. The award will be made solely on the basis of price and other price-related factors;
 - c. It is unnecessary to conduct discussions with responding sources about their bids; and
 - d. There is a reasonable expectation of receiving more than one sealed bid.
 2. Shall request competitive proposals if sealed bids are not appropriate under B.1, above. *See also* RFO FAR 6.101 (listing these same criteria).
 3. Competitive proposals are the default for contracts awarded and performed outside the United States. *See* RFO FAR 6.101 (directing the

use of competitive proposals for contracts to be made and performed outside the United States and its outlying areas unless discussions are not required and the use of sealed bids are otherwise appropriate).

4. Contracting Officer's Discretion.

- a. The decision to use competitive negotiations under FAR Part 15 is largely a discretionary matter within the purview of the contracting officer's business judgment, which will not be overruled unless it is unreasonable.
- b. For the decision to be considered reasonable, the contracting officer must demonstrate that one or more of the sealed bidding criteria is not present. *See Weeks Marine, Inc. v. United States*, 575 F.3d 1352, 1364 (Fed. Cir. 2009) (reversing the trial court and holding that the contracting officer reasonably included non-price evaluation factors in the Request for Proposal (RFP) and concluded that sealed bidding was not required); *see also Ceres Envtl. Serv., Inc.*, B-310902, Mar. 3, 2008, 2008 CPD ¶ 148 (finding that the Corps of Engineers reasonably concluded it needed to evaluate non-price factors, to include a possible price/technical tradeoff, in a canal construction project despite previous canal construction projects having been awarded under sealed bidding); *Specialized Contract Serv., Inc.*, B-257321, Sept. 2, 1994, 94-2 CPD ¶ 90 (finding that the Army reasonably concluded it needed to evaluate more than price in procuring meal and lodging services). *Compare Racal Corp.*, B-240579, Dec. 4, 1990, 70 Comp. Gen. 127, 90-2 CPD ¶ 453 (finding that the possible need to hold discussions to assess offerors' understanding did not justify the use of negotiated procedures where the Army did not require offerors to submit technical proposal), *with Enviroclean Sys.*, B-278261, Dec. 24, 1997, 97-2 CPD ¶ 172 (finding that the Army reasonably concluded that discussions might be required before award).

5. A Request for Proposals (RFP) by any other name is still a RFP. *Balimoy Mfg. Co. of Venice, Inc.*, B-253287.2, Oct. 5, 1993, 93-2 CPD ¶ 207 (finding that a purported Invitation for Bids (IFB) that calls for the evaluation of factors other than price is not an IFB and is not a proper matter for protest post-award). Any inconsistency between labeling a solicitation an IFB and providing for consideration of non-price factors may only be protested prior to bid opening when the inconsistencies are apparent on the face of the solicitation. *Id.*

C. Comparing the Two Methods.

	<u>Sealed Bidding</u>	<u>Negotiations</u>
<u>Evaluation Criteria</u>	Price and Price-Related Factors	Price and Non-Price Factors
<u>Responsiveness</u>	Determined at Bid Opening	N/A
<u>Responsibility</u>	Based on Pre-Award Survey; SBA May Issue Cert. of Competency (COC)	May be Evaluated Comparatively Based on Disclosed Factors
<u>Contract Type</u>	Firm Fixed Price (FFP) or Fixed Price with Economic Proce Adjustment (FP w/EPA)	Any Type
<u>Discussions</u>	Prohibited	Required (Unless Properly Awarding w/o Discussions)
<u>Right to Withdraw</u>	Firm Bid Rule	No Firm Bid Rule
<u>Public Bid Opening</u>	Yes	No
<u>Flexibility to Use Judgment</u>	None	Much
<u>Late Offer/Modifications</u>	Narrow Exceptions	Narrow Exceptions
<u>Past Performance</u>	Evaluated on a Pass/Fail Basis as Part of the Responsibility Determination	Included as an Evaluation Factor; Comparatively Assessed; Separate from the Responsibility Determination

III. ACQUISITION PLANNING.

A. Key Definitions.

1. Acquisition Planning. The process by which the efforts of all personnel responsible for an acquisition are coordinated and integrated through a comprehensive plan for fulfilling the agency need in a timely manner and at a reasonable cost. It includes developing the overall strategy for managing the acquisition. FAR 2.101.
 2. Market Research. Market research means collecting and analyzing information about capabilities within the market to satisfy agency needs. FAR 2.101; RFO FAR 10.001; RFO DFARS 210.001. *See* section 887 of Public Law 114-92 (41 U.S.C. § 1703 note), 41 U.S.C. § 3306(a)(1), 41 U.S.C. § 3307, and 10 U.S.C. § 3453.
 3. Source Selection Process. The process of soliciting and evaluating proposals for award in a competitively negotiated environment. FAR 2.101; RFO FAR 15.000; RFO DFARS 215.1.
- B. Policy. Agencies shall perform acquisition planning and conduct market research to promote full and open competition, or if full and open competition is not required, to promote competition to the maximum extent practicable. RFO FAR 7.102; *see* 10 U.S.C. § 3206.
- C. General Principles.
1. Begin Planning Early.
 - a. Planning should start before the fiscal year in which the contract will be awarded. However, larger contracts may need to start years before the contract needs to be awarded. Begin planning when the need is identified. RFO FAR 7.104(a).
 - b. A lack of advance planning does not justify using other than competitive acquisition procedures. 10 U.S.C. § 3204(e)(5)(A)(i); *see, e.g., Major Contracting Svcs., Inc.*, B-401472, Sep. 14, 2009, 2009 CPD ¶ 170 (sustaining a protest that the Army improperly extended a contract on a sole source basis due to inadequate advance planning).
- D. Responsibilities.
1. The program manager or other official responsible for the program has overall responsibility for acquisition planning. DFARS PGI 207.104-70.
 2. Agency heads must ensure that an increasing level of formality in the planning process is used as acquisitions become more costly and complex. RFO FAR 7.103(a).
- E. Written Acquisition Plans.

1. A written plan is required for cost reimbursement and other high-risk contracts other than firm-fixed-price contracts. Agencies may require written plans for firm-fixed-price contracts as appropriate. RFO FAR 7.102(d)
2. Written acquisition plans are required for:
 - a. Development acquisitions exceeding \$10 million total cost for the acquisition program. RFO DFARS 207.103-70(a)(1).
 - b. Production or service acquisitions when the total cost of all program contracts will exceed \$50 million for all years, or \$25 million in a single year. RFO DFARS 207.103-70(a)(2).
 - c. Acquisition Planning Resources
 - (1) RFO FAR subpart 7.1 and RFO DFARS subpart 207.1.
 - (2) Department of Defense Source Selection Procedures, August 20, 2022:
<https://www.acq.osd.mil/dpap/policy/policyvault/USA000740-22-DPC.pdf>
 - (3) Army Source Selection Supplement (AS3) to the Department of Defense Source Selection Procedures, August 20, 2022:
<https://www.acquisition.gov/sites/default/files/farhill/afars/Appendix%20AA.pdf>
 - (4) Navy Acquisition Plan Guide:
[https://www.secnave.navy.mil/rda/Policy-OLD/Department%20of%20the%20Navy/donapg0227074.doc#:~:text=Acquisition%20Plan%20Guide%20\(APG\)&text=This%20Acquisition%20Plan%20Guide%20\(APG,the%20Acquisition%20Plan%20\(AP\).](https://www.secnave.navy.mil/rda/Policy-OLD/Department%20of%20the%20Navy/donapg0227074.doc#:~:text=Acquisition%20Plan%20Guide%20(APG)&text=This%20Acquisition%20Plan%20Guide%20(APG,the%20Acquisition%20Plan%20(AP).)
 - (5) See MP5315.3 for required Department of the Air Force Source Selection responsibilities and procedures:
https://www.acquisition.gov/daffars/mp5315-contracting-negotiation#DAFFARS_MP5315_3

- F. Source Selection Plan. Source selection plans are internal agency working documents. An agency's evaluation of proposals must be reasonable and consistent with the solicitation's stated evaluation criteria. An agency's failure to adhere to its source selection plan does not provide a viable basis of protest because offerors have no rights in an agency's source selection plan. *Islandwide Landscaping, Inc.*, B-293018, Dec. 24, 2003, 2004 CPD ¶ 9; *All Star-Cabaco Enter., Joint Venture*, B-290133, B-290133.2, June 25, 2002, 2002 CPD ¶ 127. For a discussion on Source Selection Plans, see Army Federal Acquisition Regulation Supplement (AFARS), Appendix AA, Army Source Selection Manual, Chapter 2.2, Source Selection Plan.

IV. PLANNING CONSIDERATIONS.

- A. Contents of written acquisition plans have been removed by the new RFO. FAR 7.105 is now reserved. While there is no longer a requirement for acquisition plans with specific elements, there should still be forethought in what is being procured. Having a plan is key to ensuring the guiding principles of the acquisition system are met. The more complex the acquisition solution, the more consequential the acquisition planning process becomes.
- B. The acquisition plan provides the opportunity for the contracting officer to determine if what they are buying is commercial or non-commercial in nature, to identify what already existing contract vehicles might meet their needs, and determine if what they are buying is inherently governmental or not.
1. RFO FAR 7.102 establishes the fundamental requirement for acquisition planning in all acquisitions. It mandates that agencies establish procedures for determining when a written or oral plan is needed and lists high-level outcomes that planning must promote:
 - a. Acquisition of commercial products or commercial services
 - b. Full and open competition
 - c. Selection of the appropriate contract type to fulfill the agency's needs
 - d. Use of existing contracts
- C. Additional Requirements.
1. Consolidation. FAR 7.107 and 15 U.S.C. § 657q.

- a. Under 15 U.S.C. § 657q(a)(2) (as implemented by FAR 7.107) the term “consolidation of contract requirements,” with respect to contract requirements of a Federal agency, means a use of a solicitation to obtain offers for a single contract or a multiple award contract (A) to satisfy 2 or more requirements of the Federal agency for goods or services that have been provided to or performed for the Federal agency under 2 or more separate contracts lower in cost than the total cost of the contract for which the offers are solicited; or (B) to satisfy requirements of the Federal agency for construction projects to be performed at 2 or more discrete sites.
- b. Under 15 U.S.C. § 657q(c)(1), the head of a Federal agency may not carry out an acquisition strategy that includes a consolidation of contract requirements of the Federal agency with a total value of more than \$2,000,000, unless the senior procurement executive or Chief Acquisition Officer for the Federal agency, before carrying out the acquisition strategy, has conducted market research, identified alternative approaches, made a written determination that consolidation is necessary and justified, identified any negative impact on small business concerns, and ensure that steps will be taken to include small business concerns in the acquisition strategy.

2. Performance-based service contracts.

- a. In general, agencies must use performance-based acquisition methods to the maximum extent practicable when acquiring services. Exceptions include certain architect-engineer services, construction, utility, and services that are incidental to supply purchases. FAR 37.102(a).
- b. Section 821 of the FY 2001 National Defense Authorization Act established a preference for performance-based service contracts (PBSC). Pub. L. No. 106-398, § 821, 114 Stat. 1654 (2000).
- c. The Government Accountability Office (GAO) concluded that while agencies are utilizing performance-based contracting, more guidance was needed to increase agency understanding of PBSCs and how to best take advantage of the methodology. GEN. ACCT. OFF., REP. NO. GAO-02-1049, *Contract Management: Guidance Needed for Performance-Based Service Contracting* (Sept. 2002).

- d. GAO published *DoD Services Contracts: Actions Needed to Identify Efficiencies and Forecast Budget Needs* (Sept. 2023) highlighting the DoD lacks some data to identify broader efficiencies among service requirements. Navy aggregates and reviews data on services requirements valued at \$10 million or more, however the Army and Air Force have not consistently done so. DoD has recommended the DoD specify data sources and methodologies for forecasting budget needs for service contracts to inform future budget submissions.

3. Contract Funding. (RFO FAR Subpart 32.7)
4. Prohibition on contracts for performance of Inherently Governmental Functions. (RFO FAR Subpart 7.5)
5. When Government-furnished property for performance of contract is appropriate (RFO FAR 45.102)
6. Environmental Considerations (RFO FAR Part 23).
7. General prohibition on personal service contracts (RFO FAR 37.2).

D. Peer Reviews

1. DoW peer reviews will be conducted using the procedures at DFARS PGI 201.170.
2. See AFARS PGI 5101.170-2 for Army peer review procedures and references to recommended forms/templates.

V. PREPARING SOLICITATIONS AND RECEIVING INITIAL PROPOSALS.

- A. Developing a Request for Proposals (RFP). The three major sections of an RFP are: Specifications (Section C), Instructions to Offerors (Section L), and Evaluation Criteria (Section M). *See* RFO FAR 15.109 (briefly describing Sections A through M of an RFP). Contracting activities should develop these three sections simultaneously so that they are tightly integrated.

1. Section B lays out the pricing and contract line item structure of the procurement including quantities. Include brief description of the supplies or services, including any incidentals.
2. Section C describes the required work and is referred to as a Statement of Work (SOW) or Performance Work Statement (PWS).

3. Section D discusses packaging, packing, preservation, and marking requirements, if any.
4. Section E describes inspection, acceptance, quality assurance, and reliability requirements.
5. Section F outlines the time, place, and method of delivery and performance.
6. Section G contains contract administration data, e.g., any required accounting and appropriation data and any required contract administration information or instructions other than those on the solicitation form.
7. Section H contains special contract clauses applicable to the current acquisition (e.g., special warranty requirements, key personnel).
8. Section I contains the contract clauses.
9. Section J contains the list of attachments, if any.
10. Section K includes the solicitation provisions that require representations, certifications, or submission of other information by offerors.
11. Section L describes what information offerors should provide in their proposals and prescribes the format.
 - a. Well written instructions may reduce the need for discussions merely to understand the offerors' proposals.
 - b. Instructions also make the evaluation process more efficient by dictating page limits, paper size, organization, and content.

[NOTE: An offeror ignores these instructions and limitations at its peril. *See Mathews Assocs., Inc.*, B-299305, Mar. 5, 2007, 2007 CPD ¶ 47 (upholding Army's rejection of an electronically submitted proposal where the proposal exceeded the margin limit set forth in the solicitation and concluding there is nothing unfair, or unduly burdensome, about requiring offerors to assume the risks associated with submitting proposals that do not comply with clearly stated solicitation formatting requirements); *Coffman Specialists, Inc.*, B-284546, B-284546.2, May 10, 2000, 2000 CPD ¶ 77 (finding that the agency reasonably downgraded a proposal that failed to comply with solicitation's formatting requirement); *see also U.S. Envtl. & Indus., Inc.*, B-257349, July 28, 1994, 94-2 CPD ¶ 51 (concluding that the agency properly excluded the protester from the competitive range after adjusting its proposal

length for type size smaller than the minimum allowed and refusing to consider the “excess” pages)].

- c. Instructions should avoid requesting surplus information and simply request information that will be evaluated in Section M. Well written proposal instructions and Section M evaluation criteria should be consistent and read well together.

12. Section M describes how the government will evaluate proposals.

- a. The criteria must be detailed enough to address all aspects of the required work, yet not so detailed as to mask differences in proposals. RFO FAR 15.104 discusses evaluation factors and significant subfactors, to include factors that must be considered by the agency and therefore referenced in Section M.
- b. Solicitations must provide offerors enough information to compete equally and intelligently, but they need not give precise details of the government’s evaluation plan. *See QualMed, Inc.*, B-254397.13, July 20, 1994, 94-2 CPD ¶ 33; *Trace Systems, Inc.*, B-422056.9 (Mar. 12, 2025) (Army's evaluation of past performance did not align with the criteria outlined in the solicitation, leading to an improper assessment of the offeror's proposal).
- c. Evaluation scheme must include an adequate basis to determine cost to the government of competing proposals. *S.J. Thomas Co, Inc.*, B-283192, Oct. 20, 1999, 99-2 CPD ¶ 73.

B. Exchanges with Industry Before Receipt of Proposals. The FAR encourages the early exchange of information among all interested parties to improve the understanding of the government’s requirements and industry capabilities, provided the exchanges are consistent with procurement integrity requirements. *See* RFO FAR 15.101. There are many ways an agency may promote the early exchange of information, including:

- 1. Draft RFPs with an invitation to provide comments to the contracting officer;
- 2. Requests for information (RFIs)
- 3. General information on an agency’s current or anticipated needs and requirements;
- 4. Advisory multistep process-which allows agencies to publish a notice that provides a general description of the scope of the acquisition and invites potential offers about their potential to be competitors;

5. Site visits; and
6. Industry day or industry/small business conferences.

C. Drafting Evaluation Criteria.

1. RFO FAR 15.104(a) recommends tailoring the evaluation factors and subfactors to the acquisition that:
 - a. represent the key areas of importance and emphasis to be considered in the source selection decision;¹ and
 - b. support meaningful differentiation between competing proposals.
2. Statutory Requirements.
 - a. 10 U.S.C. § 3206(b)(1) and 41 U.S.C. § 3306(b) require, at a minimum, each solicitation to include a statement regarding:
 - (1) All the significant factors and subfactors the agency reasonably expects to consider in evaluating the proposals (including cost or price, cost-related or price-related factors and subfactors, and non cost-related or non price-related factors and subfactors), and
 - (2) The relative importance of each factor and subfactor.

See RFO FAR 15.104(a), (d).

- b. 10 U.S.C. § 3206(c) and 41 U.S.C. § 3306(c) further require agency heads to:
 - (1) Clearly establish the relative importance of the evaluation factors and subfactors, including the quality factors and subfactors (e.g., technical capability, management capacity, prior experience, and past performance);

¹ It is Army policy to establish the absolute minimum number of factors necessary for evaluation of proposals. Factors and subfactors must be limited to those which (a) are expected to surface real and measurable discriminators between offerors, and (b) have enough value to warrant the payment of a meaningful cost/price premium to obtain the measured discrimination. AFARS 5115.304(b)(2).

- (2) Include cost/price as an evaluation factor; and
- (3) Disclose whether all of the non-cost and non-price factors, when combined, are:
 - (a) Significantly more important than cost/price;
 - (b) Approximately equal in importance to cost/price; or
 - (c) Significantly less important than cost/price.

See RFO FAR 15.104(b), (d).

3. Mandatory Requirements for Evaluation Factors.

- a. Cost or Price. 10 U.S.C. § 3206(c)(1)(B); 41 U.S.C. § 3306(c)(1)(B); RFO FAR 15.104(b)(1). Agencies must evaluate cost/price in every source selection.
 - (1) While cost/price need not be the most important evaluation factor, cost or price must always be a factor. *See Medical Staffing Joint Venture*, B-400705.2, B-400705.3, Mar. 13, 2009, 2009 CPD ¶ 71 (stating that the evaluation criteria must provide for a reasonable assessment of the cost of performance of competing proposals);
 - (2) *But see RTF/TCI/EAI Joint Venture*, B-280422.3, Dec. 29, 1998, 98-2 CPD ¶ 162 (denying a protest alleging failure to consider price because the protestor was unable to show prejudice from Army's error).
 - (3) This requirement extends to the evaluation of Indefinite Delivery / Indefinite Quantity ("ID/IQ") Contracts. *CW Govt. Travel, Inc. – Reconsideration*, B-295530, July 25, 2005, 2005 CPD ¶ 139 (sustaining a protest where the agency's use of a sample task order for evaluation purposes for an ID/IQ did not bind the offers to the prices used in the sample task and therefore did not consider price); accord *S.J. Thomas Co, Inc.*, B-283192, Oct. 20, 1999, 99-2 CPD ¶ 73.

- b. Technical and Management (i.e., Quality) Factors. The government must also consider quality in every source selection. *See* RFO FAR 15.104(b)(2).
 - (1) The term “quality” refers to evaluation factors other than cost/price (e.g., technical capability, management capability, prior experience, and past performance). *See* 10 U.S.C. § 3206(c)(1)(A); 41 U.S.C. § 3306(c)(1)(A); *see also* RFO FAR 15.104(b)(2) (adding personnel qualifications and compliance with solicitation requirements as “quality” evaluation factors).
- c. Past Performance.
 - (1) Statutory Requirements.
 - (a) The Federal Acquisition Streamlining Act of 1994, Pub. L. No. 103-355, § 1091, 108 Stat. 3243, 3272 [hereinafter FASA], expressed Congress’ belief that agencies should use past performance as an evaluation factor because it is an indicator of an offeror’s ability to perform successfully on future contracts.
 - (b) The FASA also directed the Administrator Office of Federal Procurement Policy (OFPP) to provide guidance to executive agencies regarding the use of past performance. 41 U.S.C. § 1126
 - (c) The OFPP in May 2000 published a guide titled Best Practices for Collecting and Using Current and Past Performance Information, available at: https://obamawhitehouse.archives.gov/omb/best_practice_re_past_perf/.²
 - (2) FAR Requirement. RFO FAR 15.104(b)(3); FAR 15.202(c).
 - (a) Agencies must include past performance as an evaluation factor in all RFPs. The SAT threshold

² In July 2003, OFPP published Performance-Based Service Acquisition, Contracting for the Future, however, it is now only available through archives.org.
https://obamawhitehouse.archives.gov/sites/default/files/omb/assets/procurement_guides/0703pbsat.pdf.

has been removed from the RFO. FAR RFO FAR 15.104(b)(3)(i).

(b) For the Department of Defense, past performance is mandatory **only** for the following contracts:

- (i) Systems & operation support over \$5 million.
- (ii) Services, information technology, or science & technology over \$1 million.
- (iii) Ship repair and overhaul over \$500,000

See RFO DFARS 215.104-70(g)

(c) The contracting officer may make a determination that past performance is not an appropriate evaluation factor and must document why past performance is not an appropriate evaluation factor. RFO FAR 15.104(b)(3)(i).

(d) The RFP must:

- (i) Describe how the agency plans to evaluate past performance, including how it will evaluate offerors with no relevant performance history;
- (ii) Provide offerors with an opportunity to identify past or current contracts for similar work; and
- (iii) Provide offerors an opportunity to provide information regarding any problems they encountered on the identified contracts and their corrective actions.

See RFO FAR 15.104(b)(3)(ii)

(e) Contrasted with Past Experience.

- (i) Past Performance is how well the offeror performed on previous efforts.
- (ii) Experience evaluation is what past experience the offeror possesses and brings

to the current procurement. (i.e. asking whether the firm has engaged in a similar contract without analyzing the quality of its work on that project).

- (iii) Example. GAO denied a protest claiming that an agency failed to consider negative information regarding the awardee's past performance where the solicitation specifically provided for evaluation of past experience, *but not* past performance. *Highland Engineering, Inc.*, B-402634, June 8, 2010, 2010 CPD ¶ 137.
- (iv) A cautionary note is warranted to avoid double counting/penalizing an offeror if evaluating both past performance and experience. *See GlassLock, Inc.*, B-299931, Oct. 10, 2007, 2007 CPD ¶ P 216.

d. Small Business Participation. 15 U.S.C. 637(d)(4)(G)

- (1) FAR Requirements. FAR 15.104(c). For solicitations involving bundling that offer a significant opportunity for subcontracting, the contracting officer must include:
 - (a) A factor to evaluate past performance indicating the extent to which the offeror attained applicable goals for small business participation under contracts that required subcontracting plans; and
 - (b) A factor to evaluate the proposed small business subcontracting participation in the subcontracting plan..

But see FAR Part 19 (imposing additional requirements and limitations).

4. Requirement to Disclose Relative Importance. RFO FAR 15.104(d).

- a. Agencies must disclose the relative importance of all significant evaluation factors and subfactors and describe at a minimum whether the non-price factors when combined are:

- (1) Significantly more important than cost/price, OR
 - (2) Significantly less important than cost/price, OR
 - (3) Approximately equal to cost/price. 10 U.S.C. § 3206(c)(1)(C) and 41 U.S.C. § 3306(c)(1)(C).
- b. Agencies should disclose the relative order of importance either by:
- (1) Providing percentages or numerical weights³ in the RFP;
 - (2) Providing an algebraic paragraph;
 - (3) Listing the factors or subfactors in descending order of importance; or
 - (4) Using a narrative statement.
- c. The GAO presumes the listed factors are equal if the RFP does not state their relative order of importance.
- (1) For example, in *Fintrac, Inc.*, B-311462.3, Oct. 14, 2008, 2008 CPD ¶ 191, the RFP listed the major evaluation factors in “descending order of importance” but was silent as to the weight of the subfactors. GAO stated that where a solicitation does not disclose the relative weight of evaluation factors or subfactors in the solicitation, they are presumed approximately equal in importance or weight. *See also Bio-Rad Labs., Inc.*, B-297553, Feb. 15, 2006, 2007 CPD ¶ 58 (finding that where an agency failed to inform offerors it was conducting the procurement as a simplified acquisition and conducted the acquisition in a manner indistinguishable from a negotiated procurement, offerors could reasonably presume listed subfactors were approximately equal in importance).
 - (2) The better practice is to state the relative order of importance expressly.
 - (3) Agencies should rely on the “presumed equal” line of cases only when a RFP inadvertently fails to state the

³ Numerical weighting is no longer an authorized method of expressing the relative importance of factors and subfactors in the Army. Evaluation factors and subfactors must be definable in readily understood qualitative terms (e.g., adjectival, colors, or other indicators, but not numbers) and represent key areas of importance to be considered in the source selection process. *See* AFARS 5115.304(b)(2)(B).

factors' relative order of importance. *See LLH & Assoc., LLC*, B-297804, Mar. 6, 2006, 2006 CPD ¶ 52; *Meridian Corporation*, B-246330, B-246330.3, July 19, 1993, 93-2 CPD ¶ 29 (applying the "equal" presumption).

- d. Agencies need not disclose their specific rating methodology in the RFP. *see D.N. American, Inc.*, B-292557, Sept. 25, 2003, 2003 CPD ¶ 188 (noting that unlike evaluation factors for award, an agency is not required to disclose its specific rating methodology such as the color-coded scheme used to rate offerors' proposals in the case); *ABB Power Generation, Inc.*, B-272681, Oct. 25, 1996, 96-2 CPD ¶ 183.
 - e. GO/NO GO. The FAR does not prohibit a pure pass/fail method. *SOS Int'l, Ltd.*, B-402558.3, B-402558.9, June 3, 2010, 2010 CPD ¶ 131. Because pass/fail criteria imply a minimum acceptable level, these levels should appear in the RFP. *See Nat'l Test Pilot Sch.*, B-237503, Feb. 27, 1990, 90-1 CPD ¶ 238 (holding that award to the low-cost, technically acceptable proposal was inconsistent with the statement that the technical factors were more important than cost); *see also CXR Telecom*, B-249610.5, Apr. 9, 1993, 93-1 CPD ¶ 308 (discouraging benchmarks that lead to the automatic exclusion of otherwise potentially acceptable offerors but noting that benchmarks within the discussion process provide an opportunity to highlight and correct deficiencies).
5. Developing a Competitive Source Selection Approach. RFO FAR 15.103.
- a. Best Value Continuum. An agency may obtain the best value by using any one or a combination of source selection approaches as the relative importance of cost or price may vary in different types of acquisitions. RFO FAR 15.103.
 - b. Agencies may use any one or a combination of source selection approaches, including but not limited to Lowest Price Technically Acceptable (LPTA), Trade-off, Highest Technically Rated with a fair and reasonable price (HTR-FRP), and Phased Approach.
 - (1) The tradeoff process. RFO FAR 15.103-1.
 - (a) Appropriate where it may be in the best interests of the government to consider award to other than the lowest priced offeror or other than the highest technically rated offeror.

- (b) Permits tradeoffs among cost or price and non-cost factors and allows the Government to accept other than the lowest priced proposal.
 - (c) The perceived benefits of the higher priced proposal shall merit the additional cost, and the rationale for tradeoffs must be documented in the file.
- (2) Lowest Price Technically Acceptable (LPTA). RFO FAR 15.103-2. The LPTA process results in award going to the lowest priced, technically acceptable offer. This is different from Sealed Bidding where the agency only considers price and price-related factors, not quality factors such as technical acceptability. Additionally, in an LPTA award scheme, the agency can hold discussions to ensure offerors understand the requirements and to help determine acceptability.
- (a) Used only when requirements are clearly defined and risk of unsuccessful performance is minimal.
 - (b) Technical factors are “Go”/“No Go.” Proposals are rated only for acceptability and are not ranked using the non-cost/price factors. RFO FAR 15.202(b)(1)
 - (c) A cost/technical tradeoff is not permitted; award will go to the lowest price offer which meets or exceeds the minimum technical standards. RFO FAR 15.103-2(b). No additional credit will be awarded.
 - (d) Past performance must only be determined to be technically acceptable (or neutral if no past performance) and not perform a comparative assessment. RFO FAR 15.202(c)(2)
 - (e) Over the last several years, Congress instituted a preference for trade-off methods over LPTA and has even prohibited LPTA use for certain types of acquisition. 2019 NDAA Pub L. 115-232, Section 880 states that “it shall be the policy of the United States Government to avoid using lowest price technically acceptable source selection criteria in circumstances that would deny the Government the benefits of cost and technical tradeoffs in the source selection process.”

- (f) Section 880(c) further provides that “to the maximum extent practicable,” LPTA procedures “shall be avoided” when purchasing “(1) information technology services, cybersecurity services, systems engineering and technical assistance services, advanced electronic testing, audit or audit readiness services, health care services and records, telecommunications devices and services, or other knowledge-based professional services; (2) personal protective equipment; or (3) knowledge-based training or logistics services in contingency operations or other operations outside the United States....”⁴ Congress also prohibited DoD from using LPTA in major defense acquisition programs, for aviation critical safety items, for personal protective equipment, in instances when quality or failure of items could result in combat casualties, and for auditing services. 2018 NDAA secs. 832 & 882; *see also* 10 U.S.C. § 4232; 2017 NDAA secs. 814 & 892; RFO FAR 15.103-2(c); RFO DFARS 215.103-270.
- (g) RFO FAR 15.103-2 paragraph (c) places further restrictions on the use of LPTA. While this language is not applicable to DoD, restrictions on DoD’s use of LPTA can be found in RFO DFARS 215.103-270.
- (3) Highest technically rated with a fair and reasonable price. RFO FAR 15.103-3.
 - (a) HTR-FRP is a source selection approach on the best value continuum where the Government prioritizes high-quality performance and technical merit over cost. It focuses on getting the best technical solution possible, provided the price is not "crazy" and remains within the realm of fairness.
 - (b) It is appropriate when the Government determines in advance that it is not advantageous to consider

⁴ 2017 NDAA, Pub. L. 114-328, sec. 814. It has also limited DoD’s use of LPTA, establishing parameters for its use. *Id.* at sec. 813; 2018 NDAA, Pub. L. 115-91 sec. 822. 2017 NDAA, Pub. L. 114-328 and 2018 NDAA, Pub. L. 115-91 had previously limited DoD’s use of LPTA, establishing parameters for its use. Congress also prohibited DoD from using LPTA in major defense acquisition programs, for aviation critical safety items, for personal protective equipment, in instances when quality or failure of items could result in combat casualties, and for auditing services; *see also* 10 U.S.C. § 4232; 2017 NDAA secs. 814 & 892.

tradeoffs between cost/price and non-cost factors. It is used when an acquisition warrants paying any fair and reasonable price to secure the highest quality performance available. RFO FAR 15.103-3

- (c) While Lowest Price Technically Acceptable (LPTA) prioritizes price among those who meet a minimum standard, HTR-FRP is the opposite, prioritizing the best technical solution.
- (d) Procedures for HTR-FRP
 - (i) The Request for Proposal (RFP) must explicitly advise offerors that:
 - a. The Government will not consider tradeoffs between price and non-price factors.
 - b. The highest technically rated proposal will be selected for award if it offers a fair and reasonable price
 - (ii) Step 1: Technical Evaluation: All proposals are evaluated based strictly on the non-price factors outlined in the solicitation.
 - (iii) Step 2: Ranking: The Source Selection Authority (SSA) determines which proposal is the highest technically rated
 - (iv) Step 3: Initial Price Analysis: The Government evaluates the price of only the top-rated proposal to determine if it is fair and reasonable in accordance with FAR subpart 15.4
 - (v) Step 4: Award iteration: If the price is fair and reasonable, that offeror is selected for award; If the price is not fair and reasonable, the SSA identifies the next highest technically rated proposal and evaluates its price for fairness; This iterative process continues until a contract is awarded to the highest technically rated responsible offeror with a fair and reasonable price.

(e) Limitations

- (i) Strict Non-Tradeoff: This approach prohibits tradeoffs; the Government cannot choose a slightly lower-rated technical proposal just because it has a significantly lower price.
- (ii) Fairness Constraint: The Government cannot pay an unlimited amount; the final price must still be documented as fair and reasonable.
- (iii) Advance Determination: Agencies must decide to use this method in advance of the solicitation rather than deciding after proposals are received.

(4) Phased Approach. RFO FAR 15.103-4.

- (a) Phased acquisitions break down complex or high-risk acquisitions into distinct parts for contract award. Instead of utilizing a single, comprehensive proposal and evaluation process, these acquisitions are structured to make separate awards at distinct phases of the project.
- (b) It is appropriate for acquisitions that carry high risk or are particularly complex, requiring a step-by-step approach. It can be used to reduce overall source selection timeframes. This approach is suitable when the Government needs the ability to adjust requirements between different phases of the acquisition.
- (c) Implementation of the Phased Approach
 - (i) Establishment of Phases: The Request for Proposal (RFP) must clearly establish the specific phases for the acquisition.
 - (ii) Evaluation Clarity: The RFP must describe the exact process that will be used to evaluate proposals at each step.
 - (iii) Progression Criteria: The RFP must explicitly state the criteria that offerors must

meet in order to progress from one phase to the next.

(d) Limitations

- (i) Upfront Disclosure: All phases and progression rules must be established and communicated to offerors within the initial RFP.
- (ii) Structuring Requirements: The acquisition must be of a nature that it can be logically separated into distinct, awardable parts rather than a single unified effort.

6. Problem Issues When Drafting Evaluation Factors.

a. Options.

- (1) The evaluation factors should address all evaluated options clearly. RFO FAR 17.202. A solicitation that fails to state whether the agency will evaluate options may be ambiguous and susceptible to protest. *See generally* FAR Subpart 17.2. *See also Occu-Health, Inc.*, B-270228.3, Apr. 3, 1996, 96-1 CPD ¶ 196 (sustaining a protest where the agency failed to inform offerors that it would not evaluate options due to a change in its requirements).
- (2) Agencies must evaluate options at the time of award; otherwise, they cannot exercise options unless the agency prepares a Justification and Approval (J&A) for the use of other than full and open competition under FAR Part 6. RFO FAR 17.204-1(b)(3)(vi); *see Major Contracting Serv., Inc.*, B-401472, Sept. 14, 2009, 2009 CPD ¶ 170, *aff'd upon reconsideration Dep't of Army—Reconsideration*, B-401472.2, Dec. 7, 2009, 2009 CPD ¶ 250 (determining that an unpriced option to extend services under FAR Clause 52.217-8 was not evaluated as part of the initial competition and therefore was subject to the competition requirements of FAR Part 6).
- (3) If the option quantities/periods change during solicitation, the agency may cancel or amend the solicitation. *Saturn Landscape Plus, Inc.*, B-297450.3, Apr. 18, 2006, 2006 CPD ¶ 70 (finding no basis to question the agency's reasonable decision to cancel the

solicitation and issue a revised solicitation to reflect reduced option periods).

- (4) Variable Option Quantities are problematic because agencies must evaluate option prices at the time of award. Agencies use variable option quantities due to funding uncertainty. Consider averaging all option prices to determine evaluated price.

b. Key Personnel.

- (1) A contractor's personnel are very important in a service contract.
- (2) Evaluation criteria should address:
 - (a) The education, training, and experience of the proposed employee(s);
 - (b) The amount of time the proposed employee(s) will actually perform under the contract;
 - (c) The likelihood that the proposed employee(s) will agree to work for the contractor; and
 - (d) The impact of utilizing the proposed employee(s) on the contractor's other contracts.

See Biospherics, Inc., B-253891.2, Nov. 24, 1993, 93-2 CPD ¶ 333; *cf. ManTech Advanced Sys. Int'l, Inc.*, B-255719.2, May 11, 1994, 94-1 CPD ¶ 326 (finding that the awardee's misrepresentation of the availability of key personnel justified overturning the award). *But see SRS Tech.*, B-258170.3, Feb. 21, 1995, 95-1 CPD ¶ 95 (concluding that it was not improper for an offeror to provide a substitute where it did not propose the key employee knowing that he would be unavailable).

- (3) Agencies should request resumes, hiring or employment agreements, and proposed responsibilities in the RFP.
- (4) To avoid problems during performance, the solicitation should contain a contract clause in Section H providing that key personnel can only be replaced with personnel of equal qualifications after contracting officer approval.

D. Notice of Intent to Hold Negotiations.

1. The term “discussions” has now been replaced with “negotiations.” The change is intended to reflect a shift toward a more robust and meaningful bargaining process rather than a simple exchange of information.
2. 10 U.S.C. § 3206(b)(2)(B)(i) and 41 U.S.C. § 3306(b)(2)(B)(i) require RFPs to contain either:
 - a. “[A] statement that the proposals are intended to be evaluated with, and award made after, discussions with the offerors,” (The clause at RFO FAR 52.215-1 Alternate I (f)(4) satisfies this requirement) *or*
 - b. “[A] statement that the proposals are intended to be evaluated, and award made, without discussions with the offerors (other than discussion conducted for the purpose of minor clarification[s]), unless discussions are determined to be necessary.” (The clause at RFO FAR 52.215-1(f)(4) satisfies this requirement)
3. Statutes and regulations provide no guidance on whether an agency should award with or without negotiations. Contracting officers should consider factors indicating that negotiations may be necessary (e.g., procurement history, competition, contract type, specification clarity, etc.). Negotiations may be as short or as long as required, but offerors must be given an opportunity to revise proposals after negotiations end. RFO FAR 15.204-2(d)
4. The primary objective of negotiations is to meaningfully bargain with offerors in the competitive range to materially enhance their proposals and maximize the government’s ability to obtain the best possible deal and best value based on the requirements and mission needs.
5. For the Department of Defense, the Director, Defense Procurement and Acquisition Policy issued a memorandum on 8 January 2008 directing that awards should be made without discussions (now negotiations) only in limited circumstances generally routine, simple procurements.⁵
6. A protest challenging the failure to include the correct notice (i.e. award a contract without discussions with offerors) in the solicitation is untimely if filed after the date for receipt of initial proposals. *See Warren Pumps, Inc.*, B-248145.2, Sept. 18, 1992, 92-2 CPD ¶ 187.

⁵ <http://www.acq.osd.mil/dpap/policy/policyvault/2007-1480-DPAP.pdf>

7.

E. Receipt of Initial Proposals.

1. Proposal Preparation Time.

a. Agencies must give potential offerors at least 30 days after they issue the solicitation to submit initial proposals for contracts expected to exceed the SAT. 41 U.S.C. § 1708(e); 15 U.S.C. § 637(e)(3); FAR 5.203(c). *But see* RFO FAR Part 1203 and FAR Part 5 for streamlined requirements for commercial items. For research and development contracts, agencies must give potential offerors at least 45 days after the solicitation is issued to submit initial proposals. 41 USC § 1708(e); RFO FAR 5.201 Table 5-3.

b. Amendments.

(1) An agency must amend the RFP if it changes its requirements (or terms and conditions) significantly. FAR 15.206; *see Digital Techs., Inc.*, B-291657.3, Nov. 18, 2004, 2004 CPD ¶ 235 (upholding agency's decision to amend solicitation to account for a 40 percent increase in the amount of equipment to be maintained); *Northrop Grumman Info. Tech., Inc.*, B-295526, *et al.*, Mar. 16, 2005, 2005 CPD ¶ 45 (sustaining a protest when the Government should have amended the solicitation (but did not) to reflect that the agency was unlikely to exercise options).

(2) After amending the RFP, the agency must notify all offerors of the changed requirements and give them an opportunity to respond. *Diebold, Inc.*, B-404823, June 2, 2011, 2011 CPD ¶117.

(3) Timing:

(a) **Before** established time and date for receipt of proposals, amendment goes to all parties receiving the solicitation. RFO FAR 15.106(a)(1).

(b) **After** established time and date for receipt of proposals, amendment goes to all offerors that have not been eliminated from the competition. RFO FAR 15.106(a)(2).

(4) If the change is so substantial that it exceeds what prospective offerors reasonably could have anticipated,

the contracting officer shall cancel the original solicitation and issue a new one, regardless of the stage of the acquisition. RFO FAR 15.106(e). An agency has broad authority to cancel a solicitation and need only establish a reasonable basis for cancellation. *See Trade Links General Trading & Contracting*, B-405182, Sept. 1, 2011, 2011 CPD ¶ 165.

2. Early Proposals.

- a. FAR 2.101 defines “offer” as a “response to a solicitation that, if accepted, would bind the offeror to perform the resultant contract.”
- b. Agencies must evaluate offers that respond to the solicitation, even if the offer pre-dates the solicitation. *STG Inc.*, B-285910, Sept. 20, 2000, 2000 CPD ¶ 155.
- c. If an agency wants to preclude evaluation of proposals received prior to the RFP issue date, it must notify offerors and allow sufficient time to submit new proposals by the closing date. *Id.*

3. Late Proposals. FAR 15.208; RFO FAR 52.215-1.

- a. A proposal is late if the agency does not receive it by the time and date specified in the RFP and will not be considered. RFO FAR 15.107(b); *Haskell Company*, B-292756, Nov. 19, 2003, 2003 CPD ¶ 202 (key is whether the government could verify that a timely proposal was submitted); *Castle-Rose, Inc. v. United States*, 99 Fed. Cl. 517, 526 (2011) (offeror could not provide sufficient evidence to prove that the proposal was received by the government before the specified deadline).
 - (1) If no time is stated, 4:30 p.m. local time is presumed. RFO FAR 15.107(a).
 - (2) Example. Proposal properly rejected as late where the proposal was received by email after the closing time for proposals and no exception permitted evaluation of the late proposal. *Alalamiah Technology Group*, B-402707.2, June 29, 2010, 2010 CPD 148.
- b. However, the Contracting Officer has discretion. RFO FAR 15.107(b). The Contracting Officer determines that accepting the late proposal would not unduly delay the acquisition; and-
 - (1) If it was transmitted through an electronic commerce method authorized by the solicitation, it was received at

the initial point of entry to the Government infrastructure not later than 5:00 p.m. one working day prior to the date specified for receipt of proposals; or

- (2) There is acceptable evidence to establish that it was received at the Government installation designated for receipt of proposals and was under the Government's control prior to the time set for receipt of proposals; or

- (3) It was the only proposal received.

- c. The contracting officer may accept a late modification of an otherwise successful proposal that make its term more favorable to the Government. RFO FAR 15.107(b)(2)
 - c. Both technical and price proposals are due before the closing time. *See Inland Serv. Corp.*, B-252947.4, Nov. 4, 1993, 93-2 CPD ¶ 266.
 - d. The underlying policy of the late proposal rule is to avoid confusion and ensure fair and equal competition. Therefore, a proposal is not late when an agency timely receives at least one complete copy of the proposal prior to closing time. *See Tishman Constr. Corp.*, B-292097, May 29, 2003, 2003 CPD ¶ 94 (finding proposal timely submitted where contractor timely submitted electronic proposal but failed to timely submit identical paper proposal IAW the solicitation).
 - e. Agencies must retain late proposals unopened in the contracting office with documentation indicating if it was considered for award or not. RFO FAR 15.107(b)(5)(ii).
- 4. No "Firm Bid Rule." An offeror may withdraw, by written notice, its proposal at any time before award. RFO FAR 15.107(d), RFO FAR 52.215-1(c)(3)(v). The agency, however, only has a reasonable time in which to accept a proposal. *See Western Roofing Serv.*, B-232666.4, Mar. 5, 1991, 70 Comp. Gen. 324, 91-1 CPD ¶ 242 (holding that 13 months was too long).
 - 5. Lost proposals. The GAO will only recommend reopening a competition if a lost proposal is the result of systemic failure resulting in multiple or repetitive instances of lost information. *Project Res., Inc.*, B-297968, Mar. 31, 2006, 2006 CPD ¶ 58.

6. Oral Presentations. RFO FAR 15.105-1. A solicitation may require or permit, at the agency's discretion, oral presentations as part of the proposal process.
 - a. Offerors may present oral presentations as part of the proposal process. *See NW Ayer, Inc.*, B-248654, Sept. 3, 1992, 92-2 CPD ¶ 154. They may occur at any time in the acquisition process and may be used to substitute for requesting portions for a written proposal. RFO FAR 15.105-1. When oral presentations are required, the solicitation shall provide offerors with sufficient information to prepare them. RFO FAR 15.105-1.
 - b. The method and level of detail of the record of any oral presentation shall be at the discretion of the source selection authority. RFO FAR 15.202(a)(3). While the FAR does not require a particular method of recording what occurred during oral presentations, agencies must maintain a record adequate to permit meaningful review. *See Checchi & Co. Consulting, Inc.*, B-285777, Oct. 10, 2000, 2001 CPD 132. (Practice tip: video recording of oral presentations helps capture both audio and visual portions of the presentation and creates a record that is helpful to refer back to when evaluating proposals and defending any protests.).
 - c. When an oral presentation includes information that will be included in the contract as a material term or condition, the information must be reduced to writing. The oral presentation cannot be incorporated by reference. RFO FAR 15.202(a)(3).
 - d. **Cautionary note:** Agency questions during oral presentations could be interpreted as discussions. In *Global Analytic Info. Tech. Servs., Inc.*, B-298840.2, Feb. 6, 2007, 2007 CPD ¶ 57, GAO held if agency personnel comment on, or raise substantive questions about a proposal during an oral presentation, and afford an opportunity to revise a proposal in light of the agency's comments, then discussions have occurred.
7. Confidentiality
 - a. Prospective offerors may restrict the use and disclosure of information contained in their proposals by marking the proposal with an authorized restrictive legend. FAR 52.215-1(e).

- b. Agencies must safeguard proposals from unauthorized disclosure. FAR 15.108(b).

VI. SOURCE SELECTION: EVALUATION AND AWARD (RFO FAR SUBPART 15.2)

- A. The objective of source selection is to select the proposal that represents the best value to the Government (as defined by the Government). Because the agency's award decision must be consistent with the terms of the solicitation, the agency must ensure that its solicitation fully supports the "best value" objective.
- B. Source Selection Responsibilities. RFO FAR 15.201; Department of Defense Source Selection Procedures, August 20, 2022, Army Source Selection Supplement, November 28, 2017.
- C. Agency heads are responsible for source selection. The contracting officer is normally designated the source selection authority unless the agency head appoints another individual for a particular acquisition or group of acquisitions.
 - 1. RFO FAR 15.201(b). The Source Selection Authority must:
 - a. Establish an evaluation team, tailored for the particular acquisition. The composition of an evaluation team is left to the agency's discretion and the GAO will not review it absent a showing of conflict of interest or bias. *See University Research Corp.*, B-253725.4, Oct. 26, 1993, 93-2 CPD ¶ 259; *Symtech Corp.*, B-285358, Aug. 21, 2000, 2000 CPD ¶ 143; *see also* RFO FAR 15.201 (providing that the source selection authority shall establish an evaluation team, tailored for the particular acquisition, that includes appropriate contracting, legal, logistics, technical, and other expertise to ensure a comprehensive evaluation of offers).
 - b. Approve the acquisition plan and source selection strategy.
 - c. Ensure that proposals are evaluated based solely on the factors and subfactors contained in the solicitation.
 - d. Consider the recommendation of the advisory boards and panels.
 - e. Select the source that provides the best value to the Government.
- D. Proposal Evaluations. RFO FAR 15.202.
 - 1. Evaluators must read and consider the entire proposal. *Intown Properties, Inc.*, B-262236.2, B-262237.1, Jan. 18, 1996, 96-1 CPD ¶ 89 (record failed to demonstrate whether the agency had considered information contained in the offeror's best and final offer).

2. Evaluators must be consistent. If evaluators downgrade an offeror for a deficiency, they must downgrade other offerors for the same deficiency. *See Park Sys. Maint. Co.*, B-252453, June 16, 1993, 93-1 CPD ¶ 466. If evaluators give credit to one offeror, they should give like credit to another offeror for the same provision. *Brican Inc.*, B-402602, June 17, 2010, 2010 CPD ¶ 141 (sustaining protest where the agency evaluated awardee's and the protester's proposals unequally by crediting the awardee for a specialty subcontractor, but not similarly crediting the protester who proposed the same subcontractor).
3. Evaluators must avoid double-scoring or exaggerating the importance of a factor beyond its disclosed weight. *See J.A. Jones Mgmt. Servs.*, B-254941.2, Mar. 16, 1994, 94-1 CPD ¶ 244; *cf. Glasslock, Inc.*, B-299931, B-299931.2, Oct. 10, 2007, 2007 CPD ¶ 216 (reaffirming principle in the context of a RFQ). *Compare Source One Mngt., Inc.*, B-278044, *et al.*, June 12, 1998, 98-2 CPD ¶ 11 (stating that an agency is not precluded from considering an element of a proposal under more than one evaluation criterion where the element is relevant and reasonably related to each criterion under which it is considered.)
4. Evaluators must evaluate compliance with the stated requirements. If an offeror proposes a better—but noncompliant—solution, the agency should amend the RFP and solicit new proposals, provided the agency can do so without disclosing proprietary data. RFO FAR 15.106(e)(1); *see Beta Analytics, Int'l, Inc. v. U.S.*, 44 Fed. Cl. 131 (1999); *GTS Duratek, Inc.*, B-280511.2, B-285011.3, Oct. 19, 1998, 98-2 CPD ¶ 130; *Labat-Anderson Inc.*, B-246071, Feb. 18, 1992, 92-1 CPD ¶ 193; *cf. United Tel. Co. of the Northwest*, B-246977, Apr. 20, 1992, 92-1 CPD ¶ 374 (holding that substantial changes required the agency to cancel and reissue the RFP).
5. Evaluators may consider matters outside the offerors' proposals if their consideration of such matters is not unreasonable or contrary to the stated evaluation criteria. *See Intermagnetics Gen. Corp. Recon.*, B-255741.4, Sept. 27, 1994, 94-2 CPD ¶ 119.
6. Evaluation factors and subfactors represent the key areas of importance and support the evaluators in making meaningful discrimination between and among competing offerors' proposals. Accordingly, the "relative strengths, deficiencies, significant weaknesses, and risks supporting proposal evaluation shall be documented in the contract file." RFO FAR 15.202(b)(2).
7. The agency's evaluation must be reasonable and consistent with the stated evaluation criteria. A common evaluation error occurs when the agency's evaluation is inconsistent with the solicitation's stated

evaluation approach. The failure to use stated evaluation criteria, the use of unstated evaluation criteria, or unstated minimum criteria, in the evaluation of offerors' proposals is generally fatal to an agency's source selection decision. *See, e.g., Y&K Maint., Inc.*, B-405310.6, Feb. 2, 2012, 2012 CPD ¶ 93; *Orion Tech., Inc.; Chenega Integrated Mission Support, LLC*, B-406769 et al., Aug. 22, 2012, 2012 CPD ¶ 268.

- a. While the agency has significant discretion to determine which evaluation factors and subfactors to use, evaluators have **no** discretion to deviate from the solicitation's stated evaluation criteria. *See, e.g., Y & K Maintenance, Inc.*, B-405310.6, Feb 2, 2012, 2012 CPD ¶ 93 (sustaining a protest because the agency failed to evaluate the experience of the awardee's key personnel consistent with the RFP's stated evaluation criteria).
- b. Protest sustained where solicitation provided that the agency would conduct extensive testing on product samples, however, the agency failed to conduct testing on awardee's product and accepted awardee's unsubstantiated representation its product met solicitation's requirements. *Ashbury Intl. Group, Inc.*, B-401123: B-401123.2, June 1, 2009, 2009 CPD ¶ 140.
- c. Protest sustained based on a flawed technical evaluation where the agency considered an undisclosed evaluation criterion--transition risk--in assuming that any non-incumbent contractor would likely cause mistakes in performance that would result in costs for the agency. *Consolidated Eng'g Servs., Inc.*, B-311313, June 10, 2008, 2008 CPD ¶ 146.

8. Unstated Evaluation Factors

- a. Agencies occasionally omit either: (1) significant evaluation factors and subfactors; (2) their relative importance; or (3) both. *See Omniplex World Servs. Corp.*, B-290996.2, Jan. 27, 2003, 2003 CPD ¶ 7 (finding an agency improperly relied on an unstated minimum requirement to exclude an offeror from the competitive range). *But see Stone & Webster Eng'g Corp.*, B-255286.2, Apr. 12, 1994, 94-1 CPD ¶ 306 (finding no prejudice even though the evaluation committee applied different weights to the evaluation factors without disclosing them); *cf. Danville-Findorff, Ltd.*, B-241748, Mar. 1, 1991, 91-1 CPD ¶ 232 (finding no prejudice even though the agency listed the relative importance of an evaluation factor as 60 in the RFP, used 40 as the weight during evaluation, and used the "extra" 20 points for an unannounced evaluation factor). (Note that while the Government prevailed in these cases, it only prevailed because Government counsel clearly

demonstrated to GAO that no prejudice befell the unsuccessful offeror due to these problems.).

- b. While procuring agencies are required to identify the significant evaluation factors and subfactors in a solicitation, they are not required to identify every aspect of each factor that might be taken into account; rather, agencies may take into account considerations, even if unstated, that are reasonably related to or encompassed by the stated evaluation criteria. *SCS Refrigerated Servs. LLC*, B-298790, B-298790.1, B-298790.3, Nov. 29, 2006, 2006 CPD ¶ 186 (finding that the location of an offeror's back-up suppliers and the certainty of its relationships with back-up suppliers were reasonably related to a production capability/distribution plan subfactor which required offerors to provide detailed descriptions of their contingency plans for delays that could impact the delivery of food items to commissaries); *NCLN20, Inc.*, B-287692, July 25, 2001, 2001 CPD ¶ 136 (finding that organizational and start-up plans were logically related to and properly considered under a stated staffing plan factor).
- c. The GAO will generally excuse an agency's failure to specifically identify more than one subfactor **only if** the subfactors are: (1) reasonably related to the stated criteria; and (2) of relatively equal importance. See *Johnson Controls World Servs., Inc.*, B-257431, Oct. 5, 1994, 94-2 CPD ¶ 222 (finding that "efficiency" was reasonably encompassed within the disclosed factors); *AWD Tech., Inc.*, B-250081.2, Feb. 1, 1993, 93-1 CPD ¶ 83 (finding that the agency properly considered work on similar superfund sites under the solicitation's past project experience factor even though the agency did not specifically list it as a subfactor).
- d. The GAO, however, has held that an agency must disclose reasonably related subfactors if the agency gives them significant weight. See *Lloyd H. Kessler, Inc.*, B-284693, May 24, 2000, 2000 CPD ¶ 96 (finding that agency was required to disclose in the solicitation a subfactor to evaluate a particular type of experience under the experience factor where the subfactor constituted 40 percent of the technical evaluation); *Devres, Inc.*, B-224017, 66 Comp. Gen. 121, 86-2 CPD ¶ 652 (1986) (concluding that an agency must disclose subfactors that have a greater weight than reasonably related disclosed factors).
- e. Innovative solutions in satisfying an agency's stated needs are permitted. An agency may properly consider the extent to which "innovative or creative approaches may exceed the solicitation requirements or be otherwise beneficial to the Government." *Tri-*

Starr Management Services, Inc., B-408827.2, Jan. 15, 2015, 2015 CPD ¶ 43; *McConnell Jones Lanier and Murphy, LLP*, B-409691.3 *et al.*, Oct 21, 2015, 2015 CPD ¶ 341.

E. Cost and Price Evaluation. RFO FAR 15.202(d)

1. Price or cost to the Government must be evaluated in every competitive source selection to ensure the final agreed-upon price is fair and reasonable. .
2. The cost to the government, expressed in terms of price or cost, shall be evaluated in every source selection. RFO FAR 15.104(b)(1)(i). An agency's cost or price evaluation is directly related to the financial risk that the government bears because of the contract type it has chosen.
3. Evaluation scheme must be reasonable, and provide reasonable basis for evaluating or comparing the relative costs of proposals. *SmithKline Beecham Corp.*, B-283939, Jan. 27, 2000, 2000 CPD ¶ 19.
4. While cost or price to the Government need not be the most important evaluation factor, cost or price must always be evaluated and taken into account in all award decisions. When using the HTR-FRP approach, the Government does not "score" or "rank" prices against technical merit; instead, it determines the highest technically rated proposal first and then evaluates its price to ensure it is fair and reasonable. RFO FAR 15.103-3(a).
5. Evaluating Firm Fixed-Price Contracts.
 - a. Generally. When an agency contemplates the award of a fixed-price contract, the government's liability is fixed and the contractor bears the risk and responsibility for the actual costs of performance. RFO FAR 16.202-1. As a result, the agency's analysis of price must take into account that the government's liability is contractually limited to the offeror's proposed price.
 - b. Price Reasonableness. A price reasonableness analysis determines whether an offeror's price is fair and reasonable to the government, and focuses on whether the offered price is too high (not too low). *CSE Constr.*, B-291268.2, Dec. 16, 2002, 2002 CPD ¶ 207; *SDV Solutions, Inc.*, B-402309, Feb. 1, 2010, 2010 CPD ¶ 48. The concern that an offeror submitted a price that is "too low" is not a valid part of a price reasonableness evaluation; similarly, the allegation that an awardee submitted an unreasonably low price does not provide a basis upon which to sustain a protest because there is no prohibition against an agency accepting a below-cost

proposal for a fixed-price contract. *See First Enter.*, B-292967, Jan. 7, 2004, 2004 CPD ¶ 11.

- c. Comparing proposed prices usually satisfies the requirement to perform a price analysis because an offeror's proposed price is also its probable price. *See Ball Technical Prods. Group*, B-224394, Oct. 17, 1986, 86-2 CPD ¶ 465. *But see Triple P Servs., Inc.*, B-271629.3, July 22, 1996, 96-2 CPD ¶ 30 (indicating that an agency may evaluate the reasonableness of the offeror's low price to assess its understanding of the solicitation requirements if the RFP permits the agency to evaluate offerors' understanding of requirements as part of technical evaluation).
- d. Indefinite Delivery/Indefinite Quantity (ID/IQ) contracts. Price analysis can be difficult for indefinite quantity contracts. If an agency possesses historical data on billings under prior ID/IQ contracts, the agency may develop estimates based on these and apply it to the price analysis. *R&G Food Serv., Inc., d/b/a Port-A-Pit Catering*, B-296435.4, B-296435.9, Sept. 15, 2005, 2005 CPD ¶ 194. Another method is to construct notional or hypothetical work orders. *Dept. of Agriculture—Reconsideration*, B-296435.12, Nov. 3, 2005, 2005 CPD ¶ 201.
- e. Price Realism. A price realism analysis is not ordinarily part of an agency's price evaluation because of the allocation of risk associated with a fixed-price contract. The analysis is entirely optional unless expressly required by the solicitation. *Milani Constr., LLC*, B-401942, Dec. 22, 2009, 2010 CPD ¶ 87; *Bering Straits Logistics Servs., LLC*, B-403762, 2010 U.S. Comp. Gen. LEXIS 233, *5.
 - (1) The price realism is to be used when, among other things, new requirements may not be fully understood by competing offerors. RFO FAR 15.404-3(c); *Analytic Strategies*, B-404840, May 5, 2011, 2011 CPD ¶ 99 ("An agency may, in its discretion, provide for a price realism analysis for the purpose of assessing whether an offeror's price is so low as to evince a lack of understanding of the contract requirements or for assessing risk inherent in an offeror's approach.").
 - (2) To the extent an agency elects to perform a realism analysis as part of the award of a fixed-price contract, its purpose is not to evaluate an offeror's price, but to measure an offeror's understanding of the solicitation's requirements; further, the offered prices **may not be adjusted** as a result

of the analysis. RFO FAR 15.404-3(c); *IBM Corp.*, B-299504, B-299504.2, June 4, 2007, 2008 CPD ¶ 64 (sustaining protest challenging the agency's evaluation of offerors' price and cost proposals where the agency improperly adjusted upward portions of the protester's fixed-price proposals); *ITT Elec. Sys. Radar Recon. & Acoustic Sys.*, B-405608, Dec. 5, 2011, 2012 CPD ¶ 7 ("Where, as here, an RFP provides for the award of a fixed price contract, the contracting agency may not adjust offerors' prices for purposes of evaluation.").

- (3) Agencies may use a variety of methods to evaluate price realism, including analyzing pricing information proposed by the offeror and comparing proposals received to one another, to previously proposed or historically paid prices, or to an independent government estimate. RFO FAR 15.404-1(b). The nature and extent of an agency's price realism analysis are within the agency's discretion unless the solicitation commits to a particular evaluation method. *Gen. Dynamics*, B-401658, B-401658.2, Oct. 26, 2009, 2009 CPD ¶ 217.
- (4) While it is within an agency's discretion to provide for a price realism analysis in awarding a fixed-price contract to assess understanding or risk, offerors competing for such an award must be given reasonable notice that a business decision to submit low pricing will be considered as reflecting on their understanding or the risk associated with their proposals. *Emergint Techs., Inc.*, B-407006, Oct. 18, 2012, 2012 CPD ¶295 at 5–6.
- (5) Where there is no relevant evaluation criterion pertaining to price realism, a determination that an offeror's price on a fixed-price contract is too low generally concerns the offeror's responsibility, i.e., the offeror's ability and capacity to perform successfully at its offered price. *Flight Safety Servs. Corp.*, B-403831, B-403831.2, Dec. 9, 2010, 2010 CPD ¶294 at 5.
- (6) Absent a solicitation provision for a fixed-priced contract requiring a price realism analysis, no such analysis is required or permitted. *PAE Government Services, Inc.*, B-407818, Mar. 5, 2013, 2013 CPD ¶ 91.

- (7) Agencies must consider whether the proposed awardee's prices were too low to accomplish the work in the proposal and the risk of poor performance. *B&B Medical Services Inc.*, B-409705.4, 2015 CPD ¶ 198.

6. Evaluating Cost Reimbursement Contracts

- a. Cost Analysis. A cost analysis is used to evaluate the reasonableness of individual cost elements when cost or pricing data, or information other than cost or pricing data, are required. RFO FAR 15.404-2As with price analysis, cost analysis is used to determine that the offeror's overall cost is fair and reasonable to the government (*i.e.*, not too high).
- b. Cost Realism Analysis (Generally). When an agency evaluates proposals for the award of a cost-reimbursement contract, an offeror's proposed costs of contract performance are not considered controlling because, regardless of the costs proposed by an offeror, the government is bound to pay the contractor its reasonable, allowable, and allocable costs. RFO FAR 16.301-1; RFO FAR 15.404-3; *Metro Mach. Corp.*, B-295744, B-295744.2, Apr. 21, 2005, 2005 CPD ¶ 112.
- (1) Agencies should perform a cost realism analysis and evaluate an offeror's probable cost of accomplishing the solicited work, rather than its proposed cost.⁶ See RFO FAR 15.404-3(b); *see also Kinton, Inc.*, B-228260.2, Feb. 5, 1988, 67 Comp. Gen. 226, 88-1 CPD ¶ 112 (indicating that it is improper for an agency to award based on probable costs without a detailed cost analysis or discussions with the offeror).
- (2) A cost analysis is used to determine the extent to which an offeror's proposed costs represent what the contract performance should cost, assuming reasonable economy and efficiency. RFO FAR 15.404-3(b); *Magellan Health Servs.*, B-298912, Jan. 5, 2007, 2007 CPD ¶ 81; *The Futures Group Int'l*, B-281274.2, Mar. 3, 1999, 2000 CPD ¶ 147.
- (3) Further, an offeror's proposed costs should be adjusted when appropriate based on the results of the cost realism analysis. RFO FAR 15.404-3(b)(2); *Magellan Health Servs.*, B-298912, Jan. 5, 2007, 2007 CPD ¶ 81

⁶ Probable cost is the proposed cost adjusted for cost realism.

(sustaining protest where, among other things, contracting officer failed to take into account the cost adjustments recommended by the agency's cost evaluation and instead considered only the offeror's proposed cost in the agency's source selection decision).

- (4) If an agency needs to perform a cost realism analysis, the agency should base any adjustments to the offered price on identifiable costs to the government (e.g., in-house costs or life-cycle costs). *See* RFO FAR 15.404-3; *see also Futures Group Int'l*, B-281274.5, Mar. 10, 2000, 134 (2000, 2000 CPD ¶ 148) (cost realism analysis must consider all information reasonably available at the time of evaluation, not just what offeror submits).
- (5) A cost realism analysis is the process of independently reviewing and evaluating specific elements of each offeror's cost estimate to determine whether the estimated proposed cost elements are realistic for the work to be performed, reflect a clear understanding of the requirements, and are consistent with the unique methods of performance and materials described in the offeror's proposal. RFO FAR 15.404-3(a); *Advanced Comm's Sys., Inc.*, B-283650 *et al.*, Dec. 16, 1999, 2000 CPD ¶ 3.
- (6) Agencies should consider all cost elements. It is unreasonable to ignore unpriced "other cost items," even if the exact cost of the items is not known. *See Trandes Corp.*, B-256975.3, Oct. 25, 1994, 94-2 CPD ¶ 221; *cf. Stapp Towing Co.*, ASBCA No. 41584, 94-1 BCA ¶ 26,465.
- (7) Cost realism need not achieve scientific certainty; rather, it must provide some measure of confidence that the conclusions about the most probable costs are reasonable and realistic in view of other cost information reasonably available to the agency at the time of its evaluation. GAO reviews an agency's judgment only to see if the cost realism evaluation was reasonably based, not arbitrary, and adequately documented. *Metro Mach. Corp.*, B-402567, B-402567.2, June 3, 2010, 2010 CPD ¶ 132.

- (8) Agencies should evaluate cost realism consistently from one proposal to the next.
- (9) However, agencies may not apply estimated adjustment factors mechanically. A proper cost realism analysis requires the agency to analyze each offeror's proposal independently based on its particular circumstances, approach, personnel, and other unique factors. *See Honeywell Technology Solutions, Inc.*, B-292354, B-292388, Sept. 2, 2003, 2005 CPD ¶ 107; *Metro Mach. Corp.*, B-297879.2, May 3, 2006, 2006 CPD ¶ 80.
- (10) Agencies should also reconcile differences between the cost realism analysis and the technical evaluation scores. *Information Ventures, Inc.*, B-297276.2 *et al.*, Mar. 1, 2006, 2006 CPD ¶ 45 (agency praised technical proposal's "more than adequate" staffing while lowering hours of program director because of "unrealistic expectations").
- (11) Agencies must document their cost realism analysis. *See KPMG LLP*, B-406409, *et al.*, May 21, 2012, 2012 CPD ¶ 175 (explaining that GAO "will sustain a protest where the cost realism analysis [is] not adequately documented").

F. Scoring Quality Factors (e.g., Technical and Management). *See* FAR 15.202(b).

1. Rating Methods. An agency may adopt any method it desires, provided the method is not arbitrary and does not violate any statutes or regulations. *See BMY v. United States*, 693 F. Supp. 1232 (D.D.C. 1988). At a minimum, an agency must give better proposals higher scores. *See Trijicon, Inc.*, B-244546, Oct. 25, 1991, 71 Comp. Gen. 41, 91-2 CPD ¶ 375 (concluding that the agency failed to rate proposals that exceeded the minimum requirements higher than those offering the minimum). An agency may give higher scores to proposals that exceed the minimum requirements, even if the RFP does not disclose how much extra credit will be given under each subfactor. *See PCB Piezotronics, Inc.*, B-254046, Nov. 17, 1993, 93-2 CPD ¶ 286.
2. Evaluation ratings, whether numeric, color, or adjectival, are but guides to, and not a substitute for, intelligent decision making. *See ABSG Consulting, Inc.*, B-404863.7, June 25, 2014, 2013 CPD ¶ 185; *C & B Constr., Inc.*, B-401988.2, Jan. 6, 2010, 2010 CPD ¶ 1. Evaluation ratings are tools to assist source selection officials in evaluating proposals; they do not mandate automatic selection of a particular

proposal. *Jacobs COGEMA, LLC*, B-290125.2, B-290125.3, Dec. 18, 2002, 2003 CPD ¶ 16. *See also* FAR Companion (FC) 15.202(b).

- a. **Numerical.**⁷ An agency may use point scores to rate individual evaluation factors. *But see C & B Constr., Inc.* B-401988.2, Jan. 6, 2010, 2010 CPD ¶ 1 (sustaining protest where record provided no contemporaneous tradeoff comparing offeror to awardee other than on the basis of point scores); *Shumaker Trucking & Excavating Contractors, Inc.*, B-290732, Sept. 25, 2002, 2002 CPD ¶ 169 (sustaining protest where agency relied on point scores and failed to document in source selection decision any comparison of protester's lower-priced and lower-rated proposal to awardee's higher-priced, higher-rated proposal).
 - b. **Adjectives.** An agency may use adjectives (e.g., excellent, good, satisfactory, marginal, and unsatisfactory)—either alone or in conjunction with other rating methods—to indicate the degree to which an offeror's proposal meets the requisite standards for each evaluation factor. *See Hunt Bldg. Corp.*, B-276370, June 6, 1997, 98-1 CPD ¶ 101 (denying a challenge to the assigned adjectival ratings where the evaluators adequately documented the different features offered by each firm and conveyed the comparative merits of the proposals to the selection official); *see also Biospherics Incorp.*, B-278508.4, et al., Oct 6, 1998, 98-2 CPD ¶ 96 (holding that while adjectival ratings and point scores are useful guides to decision making, they must be supported by documentation of the relative differences between proposals).
 - c. **Colors.** An agency may use colors in lieu of adjectives to indicate the degree to which an offeror's proposal meets the requisite standards for each evaluation factor. *See Ferguson-Williams, Inc.*, B-231827, Oct. 12, 1988, 88-2 CPD ¶ 344.
 - d. **Dollars.** This system translates the technical evaluation factors into dollars that are added or subtracted from the evaluated price to get a final dollar price adjusted for technical quality. *See DynCorp*, B-245289.3, July 30, 1992, 93-1 CPD ¶ 69. Must be described in the solicitation's Section M, award criteria, to be utilized.⁸
3. **But remember:** The focus in the source selection decision should be the underlying bases for the ratings, including a comparison of the advantages and disadvantages associated with the specific content of

⁷ *See supra* note 2 for Army policy regarding use of numerical scoring.

⁸ This method is not frequently used by the Department of War

competing proposals, considered in a fair and equitable manner consistent with the terms of the RFP. *See Gap Solutions, Inc.*, B-310564, Jan. 4, 2008, 2008 CPD ¶ 26; *Mechanical Equipment Company, Inc., et al.*, B-292789.2, *et al.*, Dec. 15, 2003, 2004 CPD ¶ 192.

4. Agencies possess considerable discretion in evaluating proposals, and particularly in making scoring decisions. *See MiTech, Inc.*, B-275078, Jan. 23, 1997, 97-1 CPD ¶ 208 (indicating that the GAO will not rescore proposals; it will only review them to ensure that the agency's evaluation is reasonable and consistent with the stated evaluation criteria); *see also Control Systems Research, Inc.*, B-299546.2, Aug. 31, 2007, 2007 CPD ¶ 193 (stating that GAO will not substitute its judgment for that of the agency in evaluating management and technical areas); *Antarctic Support Associates v. United States*, 46 Fed. Cl. 145 (2000) (citing precedent of requiring "great deference" in judicial review of technical matters).
5. Narrative. When tradeoffs are performed, an agency must provide a narrative to rate the strengths, weaknesses, and risks of each proposal. The narrative provides the basis for the source selection decision; therefore, the narrative should accurately reflect the proposals relative strengths, weaknesses, deficiencies, and importance of these to the evaluation factors. The RFO FAR Part 15 no longer uses "narrative" as the required summary, it still requires a documented evaluation of the relative strengths, deficiencies, significant weaknesses, and risks supporting proposal evaluation. *ABSG Consulting, Inc.*, B-404863.7, June 25, 2014, 2013 CPD ¶ 185.
6. Agencies must reconcile adverse information when performing technical evaluation. *See Maritime Berthing, Inc.*, B-284123.3, Apr. 27, 2000, 2000 CPD ¶ 89; *see also Carson Helicopter Servs., Inc.*, B-299720, B-299720.2, July 30, 2007, 2007 CPD ¶ 142 (stating that an agency may not accept at face value a proposal's promise to meet a material requirement when there is significant countervailing evidence that was, or should have been, reasonably known to the agency evaluators that should have created doubt whether the offeror would or could comply with that requirement).
7. Responsibility Concerns. A responsibility determination is not strictly part of the technical evaluation, but the evaluation process may include consideration of responsibility matters. *See Applied Eng'g Servs., Inc.*, B-256268.5, Feb. 22, 1995, 95-1 CPD ¶ 108. If responsibility matters are considered without a comparative evaluation of offers, however, a small business found technically unacceptable may appeal to the SBA for a Certificate of Competency (COC). *See Docusort, Inc.*, B-254852, Jan. 25, 1994, 94-1 CPD ¶ 38. If evaluators express concern with an

offeror's responsibility, the evaluators should provide input to the contracting officer for use in making a responsibility determination. For a more detailed discussion on evaluating responsibility, *see infra* Subpart VI.P.

8. In the DoW, source selection rating methodology is governed by the DoD Source Selection Procedures and the Army is further governed by the Supplement (AS3) to the DoD Source Selection Procedures.

G. Past Performance Evaluation.

1. Past performance is generally required to be evaluated in all source selections for negotiated competitive acquisitions. *See* RFO FAR 15.104(b)(3).
2. Past Performance Evaluation System. RFO FAR Subpart 42.11.
 - a. Agencies must establish procedures for collecting and maintaining performance information on contractors. RFO FAR 42.1100. These procedures should provide for input from technical offices, contracting offices, and end users. RFO FAR 42.1103(a).
 - b. Agencies must prepare performance evaluation reports for each contract in excess of the SAT, and in excess of other FAR-specified amounts for construction, architect-engineer, and blind/severely disabled agency (FAR Subpart 8.7) contracts. RFO FAR 42.1102.
3. Sources of Past Performance Information.
 - a. Agencies may consider their own past experience with an offeror rather than relying solely on the furnished references. *See Birdwell Bros. Painting and Refinishing*, B-285035, July 5, 2000, 2000 CPD ¶ 129.
 - b. An agency is not limited to considering past performance information provided by an offeror as part of its proposal, but may also consider other sources, such as:
 - (1) Contractor Performance Assessment Reporting System (CPARS) (<https://www.cpars.gov/>); and
 - (2) Past Performance Information Retrieval System (PPIRS) (www.ppirs.gov/).
 - (3) The primary purpose of the CPARS is to ensure that current and accurate data on contractor performance is

available for use in source selections through PPIRS. Agencies use the CPARS database to collect and document contractor performance information consistent with the DoD CPARS Guide and the procedures at RFO FAR 42.1103. Once the CPARS process is complete, it is loaded to PPIRS, which can be accessed by contracting officers and agency officials on source selection boards.

- c. In *KMS Fusion, Inc.*, B-242529, May 8, 1991, 91-1 CPD ¶ 447, an agency properly considered extrinsic past performance evidence when past performance was a disclosed evaluation factor. In fact, ignoring extrinsic evidence may be improper. See *SCIENTECH, Inc.*, B-277805.2, Jan. 20, 1998, 98-1 CPD ¶ 33; cf. *Aviation Constructors, Inc.*, B-244794, Nov. 12, 1991, 91-2 CPD ¶ 448.
- d. Information that is personally known by agency evaluators. Evaluators may consider and rely upon their personal knowledge in the course of evaluating an offeror's past performance. *Del-Jen Int'l Corp.*, B-297960, May 5, 2006, 2006 CPD ¶ 81; *NVT Techs., Inc.*, B-297524, B-297524.2, Feb. 2, 2006, 2006 CPD ¶ 36; see *TPL, Inc.*, B-297136.10, B-297136.11, June 29, 2006, 2006 CPD ¶ 104 (finding that a conflict of interest does not exist where the same contracting agency or contracting agency employees prepare both an offeror's past performance reference and perform the evaluation of offerors' proposals).
- e. "Too close at hand." In fact, GAO has determined that, in certain circumstances, agency evaluators involved in the source selection process **cannot ignore** past performance information of which they are personally aware. *The MIL Corp.*, B-297508, B-297508.2, Jan. 26, 2006, 2006 CPD ¶ 34; *Northeast Military Sales, Inc.*, B-404153, Jan. 2011, 2011 CPD ¶ 2 (sustaining a protest challenging an agency's assessment of the awardee's past performance as exceptional where the agency failed to consider adverse past performance information of which it was aware).
- f. GAO has charged an agency with responsibility for considering such outside information where the record has demonstrated that the information in question was "simply too close at hand to require offerors to shoulder the inequities that spring from an agency's failure to obtain, and consider this information." *International Bus. Sys., Inc.*, B-275554, Mar. 3, 1997, 97-1 CPD ¶ 114; *G. Marine Diesel; Phillyship*, B-232619, Jan. 27, 1989, 89-1 CPD ¶ 90; *GTS Duratek, Inc.*, B-280511.2, B-280511.3, Oct. 19, 1998, 98-2 CPD ¶ 130. The protester, however, must demonstrate

that agency source selection officials ***were aware or should have been aware*** of the adverse information to sustain a protest on this basis. *Carthage Area Hospital, Inc.*, B-402345, Mar. 16, 2010, 2010 CPD ¶ 90.

4. Past Performance Evaluation Considerations. An agency's evaluation of an offeror's past performance must be reasonable and consistent with the stated evaluation criteria. An agency's past performance evaluation should also take into account: (a) the relevance of an offeror's past performance; (b) the quality of an offeror's past performance; and (c) the source objectivity of an offeror's past performance information.
 - a. Relevance of Past Performance. An agency must determine what if any weight to give to an offeror's past performance reference by determining its degree of relevance to the contract requirements.
 - (1) "Same or Similar." When an RFP states the agency will evaluate whether an offeror's past performance reference is "same or similar" as part of determining relevancy, an agency must examine if the reference is same or similar in both size and scope to the awarded contract. *Si-Nor, Inc.*, B-292748.2 *et al.*, Jan. 7, 2004, 2004 CPD ¶ 10 (finding in part a prior contract which represented less than 7 percent of the solicitation requirements was not similar in size, scope, and complexity); *Continental RPIs*, B-292768.2, B-292678.3, Dec. 11, 2003, 2004 CPD ¶ 56 (finding prior contracts no larger than 4 percent of the solicitation requirements were not similar or relevant); *Kamon Dayron, Inc.*, B-292997, Jan. 15, 2004, 2004 CPD ¶ 101; *Entz Aerodyne, Inc.*, B-293531, Mar. 9, 2004, 2004 CPD ¶ 70; *KMR, LLC*, B-292860, Dec. 22, 2003, 2003 CPD ¶ 233.
 - (2) Recency. An agency may consider the recency of an offeror's past performance reference as part of determining its overall relevance. *See Knoll, Inc.*, B-294986.3, B-294986.4, Mar. 18, 2005, 2005 CPD ¶ 63; *FR Countermeasures, Inc.*, B-295375, Feb. 10, 2005, 2005 CPD ¶ 52 (agency was not, per the terms of the RFP, required to consider offeror's past performance performed after solicitation closing date and before contract award).
 - (3) Duration. An agency may consider the duration of an offeror's past performance reference as part of determining its relevance. *Chenega Tech. Prods., LLC.*,

B-295451.5, June 22, 2005, 2005 CPD ¶ 123 (agency properly gave little weight to an offeror's past performance reference that had been performed for only one month); *SWR, Inc.--Protest & Costs*, B-294266.2 *et al.*, Apr. 22, 2005, 2005 CPD ¶ 94; *EastCo Bldg. Servs., Inc.*, B-275334, B-275334.2, Feb. 10, 1997, 97-1 CPD ¶ 83.

- (4) Geographic Location. Geographic location can be considered as part of determining past performance relevance. *Si-Nor, Inc.*, B-292748.2 *et al.*, Jan. 7, 2004, 2004 CPD ¶ 10 (agency properly took into account the different geographic location of the prior worked performed when considering the relevance of the offeror's past performance).
- (5) Different Technical Approach. The fact that an offeror utilized a different technical approach under the prior contract does not affect the relevance of an offeror's past performance. *AC Techs., Inc.*, B-293013, B-293013.2, Jan. 14, 2004, 2004 CPD ¶ 26.
- (6) All References. Unless a solicitation states otherwise, there is generally no requirement that an agency obtain or consider all of an offeror's references in the past performance evaluation. *Dismas Charities*, B-298390, Aug. 21, 2006, 2006 CPD ¶ 131; *BTC Contract Servs., Inc.*, B-295877, May 11, 2005, 2005 CPD ¶ 96 (agency considered the most relevant seven references submitted).

b. Quality of Past Performance. An agency should first determine the relevance of an offeror's past performance reference before considering the quality of performance. In determining past performance quality, factors that may be considered include:

- (1) timeliness of performance;
- (2) cost control;
- (3) customer satisfaction; and
- (4) performance trends. *Yang Enters., Inc.*, B-294605.4 *et al.*, Apr. 1, 2005, 2005 CPD ¶ 65; *Entz Aerodyne, Inc.*, B-293531, Mar. 9, 2004, 2004 CPD ¶ 70.

- c. Source Objectivity of Past Performance Information. An agency should also consider the source of an offeror's past performance information, to determine its objectivity. *See Metro Machine Corp.*, B-295744, B-295744.2, Apr. 21, 2005, 2005 CPD ¶ 112 (agency properly considered the fact that prime contractor had furnished the past performance ratings for its proposed subcontractors); *Hughes Missile Sys. Co.*, B-259255.4, May 12, 1995, 95-1 CPD ¶ 283.
- d. Agencies must make rational—rather than mechanical—comparative past performance evaluations. In *Green Valley Transportation, Inc.*, B-285283, Aug. 9, 2000, 2000 CPD ¶ 133, GAO found unreasonable an agency's use of absolute numbers of performance problems, without considering the "size of the universe of performance" where problems occurred. The GAO also sustained a protest in which the past performance evaluation merely averaged scores derived from the past performance questionnaires without additional analysis of the past performance data. *Clean Harbors Environmental Services, Inc.*, B-296176.2, Dec. 9, 2005, 2005 CPD ¶ 222.
- e. Lack of past performance history should not bar new firms from competing for government contracts. *See Espey Mfg. & Elecs. Corp.*, B-254738, Mar. 8, 1994, 94-1 CPD ¶ 180; *cf. Laidlaw Envtl. Servs., Inc.*, B-256346, June 14, 1994, 94-1 CPD ¶ 365 (permitting the agency to give credit for commercial past performance if it is equivalent to comparable prior government experience). Agencies must give a neutral rating to firms "without a record of relevant past performance." RFO FAR 15.202(c)(1); *see Excalibur Sys., Inc.*, B-272017, July 12, 1996, 96-2 CPD ¶ 13 (stating that while a neutral rating does not preclude award to a higher-priced, higher technically-rated offeror in a best value procurement, an agency may nevertheless award a contract to a lower-priced offeror without a past performance history where the solicitation provides that price alone would be considered in evaluating first time offerors); *see also Blue Rock Structures, Inc.*, B-287960.2, B-287960.3, Oct. 10, 2001, 2001 CPD ¶ 184.
- f. Past Performance Attribution; Using the Experience of Others. In many instances it is necessary for agencies to consider the proper attribution of an offeror's past performance references. As a general rule, the agency's evaluation should carefully examine the role(s) to be performed by the entity in question under the contract being awarded when determining the relevance of the past performance reference. Agencies may attribute the past performance or experience of parents, affiliates, subsidiaries,

officers, and team members, although doing so can be difficult. *See U.S. Textiles, Inc.*, B-289685.3, Dec. 19, 2002, 2002 CPD ¶ 218; *Oklahoma County Newspapers, Inc.*, B-270849, May 6, 1996, 96-1 CPD ¶ 213; *Tuscon Mobilephone, Inc.*, B-258408.3, June 5, 1995, 95-1 CPD ¶ 267.

- (1) Joint Venture (JV) Partners. Evaluations should consider the past performance of a JV, when evaluating an offer from a JV. If the JV does not have any past performance, the past performance for each party in the JV should be considered. RFO FAR 15.202(c)(3)(iv). *See Base Techs., Inc.*, B-293061.2, B-293061.3, Jan. 28, 2004, 2004 CPD ¶ 31 (agency may consider the references of one joint venture partner in evaluating a joint venture offeror's past performance where they are reasonably predictive of performance of the joint venture entity); *JACO & MCC Joint Venture, LLP*, B-293354.2, May 18, 2004, 2004 CPD ¶ 122 (agency may consider the past performance history of individual joint venture partners in evaluating the joint venture's proposal where solicitation does not preclude that and both joint venture partners will be performing work under the contract).
- (2) Subcontractors. Evaluations should consider subcontractors that will perform major or critical aspects of the requirement when such information is relevant to the instant acquisition. RFO FAR 15.202(c)(3)(iii). *AC Techs., Inc.*, B-293013, B-293013.2, Jan. 14, 2004, 2004 CPD ¶ 26 (agency reasonably considered the performance of contracts performed by awardee's subcontractor where nothing in the solicitation prohibited the agency from considering subcontractor's prior contracts). However, solicitation must permit attribution of subcontractor to the prime.
- (3) Individuals to a new company as offeror. RFO FAR 15.202(c)(3)(iii); *United Coatings*, B-291978.2, July 7, 2003, 2003 CPD ¶ 146 (agency properly considered the relevant experience and past performance history of key individuals and predecessor companies in evaluating the past performance of a newly-created company); *see Interstate Gen. Gov't Contractors, Inc.*, B-290137.2, June 21, 2002, 2002 CPD ¶ 105; *SDS Int'l*, B-285822, B-285822.2, Sept. 29, 2000, 2000 CPD ¶ 167.

- (4) Parent companies to a subsidiary as offeror. *Aerosol Monitoring & Analysis, Inc.*, B-296197, June 30, 2005, 2005 CPD ¶ 132 (agency properly may attribute the past performance of a parent or affiliated company to an offeror where the firm's proposal demonstrates that the resources of the parent or affiliated company will affect the performance of the offeror); *Universal Bldg. Maint., Inc.*, B-282456, July 15, 1999, 99-2 CPD ¶ 32 (agency improperly attributed past performance of parent company or its other subsidiaries to awardee where record does not establish that parent company or subsidiaries will be involved in the performance of the protested contract).
- g. Agencies may not downgrade past performance rating based on offeror's history of filing claims. *See AmClyde Engineered Prods. Co., Inc.*, B-282271, June 21, 1999, 99-2 CPD ¶ 5. On 1 April 2002, the Office of Federal Procurement Policy instructed all federal agencies that the "filing of protests, the filing of claims, or the use of Alternative Dispute Resolution, must not be considered by an agency in either past performance or source selection decisions."⁹
 - h. Evaluating Past Performance or Experience. *See John Brown U.S. Servs., Inc.*, B-258158, Dec. 21, 1994, 95-1 CPD ¶ 35 (comparing the evaluation of past performance and past experience).
 - i. Comparative Evaluations of Small Businesses' Past Performance.
 - (1) If an agency comparatively evaluates offerors' past performance, small businesses may not use the SBA's Certificate of Competency (COC) procedures to review the evaluation. *See Nomura Enter., Inc.*, B-277768, Nov. 19, 1997, 97-2 CPD ¶ 148; *Smith of Galetton Gloves, Inc.*, B-271686, July 24, 1996, 96-2 CPD ¶ 36.
 - (2) If an agency fails to state that it will consider responsibility-type factors, small businesses may seek a COC. *See Envirosol, Inc.*, B-254223, Dec. 2, 1993, 93-2

⁹ Memorandum, Angela B. Styles, Administrator, Office of Federal Procurement Policy, to Senior Procurement Executives, subject: Protests, Claims, and Alternative Dispute Resolution (ADR) as Factors in Past Performance and Source Selection Decisions (Apr. 1, 2002), available at <https://obamawhitehouse.archives.gov/sites/default/files/omb/assets/omb/procurement/publications/pastperfmemo.pdf>.

CPD ¶ 295; *Flight Int'l Group, Inc.*, B-238953.4, Sept. 28, 1990, 90-2 CPD ¶ 257.

- (3) If an agency uses pass/fail scoring for a responsibility-type factor, small businesses may seek a COC. *See Clegg Indus., Inc.*, B-242204.3, Aug. 14, 1991, 91-2 CPD ¶ 145; *Meeks Disposal Corp.*, B-299576, B-299576.2, June 28, 2007, 20 07 CPD ¶ 127 (stating in dicta a small business may seek a COC when an agency uses an acceptable/neutral/unacceptable rating scheme to evaluate corporate experience).
 - (4) When using the LPTA source selection approach and a small business would have been in contention for award, but their past performance is determined to be unacceptable, the matter must be referred to the SBA for a Certificate of Competency determination. RFO FAR 15.202(c)(4).
- j. Agencies must clarify adverse past performance information when there is a clear basis to question the past performance information. *See A.G. Cullen Constr., Inc.*, B-284049.2, Feb. 22, 2000, 2000 CPD ¶ 145. Agencies are no longer required by the FAR to clarify adverse past performance with an offer before they are excluded from the competitive range or when an offer has not had the opportunity to respond with the new RFO. Although it is not required, it still may be beneficial to allow them to address adverse past performance.

H. Products of the Evaluation Process.

1. Evaluation Report.

- a. The evaluators must prepare a report of their evaluation. *See Son's Quality Food Co.*, B-244528.2, Nov. 4, 1991, 91-2 CPD ¶ 424; *Amttec Corp.*, B-240647, Dec. 12, 1990, 90-2 CPD ¶ 482. The assessment of the proposals shall include the relative strengths, deficiencies, significant weaknesses, and risk supporting proposal evaluations. RFO FAR 15.202; *see also* RFO FAR 15.205 (establishing a similar requirement for the source selection decision).
- b. The contracting officer should retain all evaluation records. *See* RFO FAR 4.101; RFO FAR 42.1103(d); *Southwest Marine, Inc.*, B-265865.3, Jan. 23, 1996, 96-1 CPD ¶ 56 (stating that where an agency fails to document or retain evaluation materials, it bears the

risk that there is an inadequate supporting rationale in the record for the source selection decision and that GAO will conclude the agency had a reasonable basis for the decision); *see also Technology Concepts Design, Inc.* B-403949.2, March 25, 2011, 2011 CPD ¶ 78 (sustaining a protest where the agency did not provide adequate supporting rationale in the record for GAO to conclude that the agency's evaluation of the protester's proposal was reasonable).

- c. If evaluators use numerical scoring, they should explain the scores. *See J.A. Jones Mgmt Servs, Inc.*, B-276864, Jul. 24, 1997, 97-2 CPD ¶ 47; *TFA, Inc.*, B-243875, Sept. 11, 1991, 91-2 CPD ¶ 239; *S-Cubed*, B-242871, June 17, 1991, 91-1 CPD ¶ 571.
- d. Evaluators should ensure that their evaluations are reasonable. *See DNL Properties, Inc.*, B-253614.2, Oct. 12, 1993, 93-2 CPD ¶ 301.

- 2. Deficiencies. The initial evaluation must identify all parts of the proposals that fail to meet the government's minimum requirements. *Deficiency* is any part of an offer that does not conform to a material requirement of a RFP. A material requirement is one that affects price, quantity, quality, or delivery, or that the RFP requires to be met at the time of proposal submission. RFO FAR 15.001.
- 3. Advantages and Disadvantages. The initial evaluation should identify the positive and negative aspects of acceptable proposals.
- 4. Questions and Items for Negotiation. The initial evaluation should identify areas where discussions are necessary/desirable.

I. Award Without Negotiations, 10 U.S.C. § 3303(a)(2); 41 U.S.C. § 3306(b)(2)(B)(i); FAR 15.306(a)(3).

- 1. An agency may not award on initial proposals if it:
 - a. States its intent to hold negotiations in the solicitation; or
 - b. Fails to state its intent to award without negotiations in the solicitation.
- 2. A proper award on initial proposals need not result in the lowest overall cost to the government (depending on the stated evaluation criteria).
- 3. To award without negotiations, an agency must:
 - a. Give notice in the solicitation that it intends to award without negotiations;

- b. Select a proposal for award which complies with all of the material requirements of the solicitation;
- c. Properly evaluate the selected proposal in accordance with the evaluation factors and subfactors set forth in the solicitation;
- d. Not have a contracting officer determination that negotiations are necessary; and
- e. Not conduct negotiations with any offeror, other than for the purpose of minor clarifications.

See TRI-COR Indus., B-252366.3, Aug. 25, 1993, 93-2 CPD ¶ 137.

4. Negotiations v. Clarifications. RFO FAR 15.202; RFO FAR 15.204-2.

- a. Negotiations are exchanges between the contracting officer and each offeror in the competitive range that provide the opportunity for each offeror to materially enhance its proposal's potential for award. RFO FAR 15.204-2. Contracting officers may exercise their judgment to conduct additional, tailored negotiations with specific offerors to materially enhance their award potential without being obligated to hold similar sessions with other competitors. These exchanges can focus on increasing performance or suggesting the removal of non-essential technical excesses to lower costs, although the Government is not required to negotiate every area where a proposal could be improved. RFO FAR 15.204-2.

(1) An agency may not award on initial proposals if it conducts [negotiations] with any offeror. *See To the Sec'y of the Navy*, B-170751, 50 Comp. Gen. 202 (1970); *see also Strategic Analysis, Inc.*, 939 F. Supp. 18 (D.D.C. 1996) (concluding that communications with one offeror concerning the employment status of its proposed key personnel were negotiations). *But see Data General Corp. v. Johnson*, 78 F.3d 1556 (Fed. Cir. 1996) (refusing to sustain a protest because the protester could not show that there was a "reasonable likelihood" that it would have been awarded the contract in the absence of the improper negotiations).

(a) The COFC has found "mutual exchange" a key element in defining [negotiations]. *See Cubic Defense Sys., Inc. v. United States*, 45 Fed. Cl. 450 (2000) (finding that an offeror's submission of data that had been previously addressed and anticipated

by an agency, without requests for further clarification by the agency, lacks the element of mutual exchange that is explicit in the FAR's treatment of [negotiations]).

- (b) The GAO has focused on “opportunity to revise” as the key element distinguishing negotiations from clarifications. *See MG Indus.*, B-283010.3, Jan. 24, 2000, 2000 CPD ¶ 17.

(2) Mandatory requirements for Negotiations: RFO FAR 15.204-2

- (a) MUST negotiate with each responsible offeror within the competitive range.
- (b) MUST tailor the negotiation to each offeror's proposal.
- (c) MUST, at a minimum, indicate to or negotiate with each offeror any deficiencies or significant weaknesses in the proposal.

- b. Clarifications are exchanges between the Government and offerors where offerors are given the opportunity to resolve minor or clerical errors or clarify certain aspects of their proposal. RFO FAR 15.202(a)(2)(i).

(1) Clarifications include:

- (a) The opportunity to clarify—rather than revise—certain aspects of an offeror's proposal (e.g., the relevance of past performance information to which the offeror has not previously had an opportunity to respond); and
- (b) The opportunity to resolve minor irregularities, informalities, or clerical errors.
- (c) The parties' actions control the determination of whether [negotiations] have been held and not the characterization by the agency. *See Priority One Servs., Inc.*, B-288836, B-288836.2, Dec. 17, 2001, 2002 CPD ¶ 79 (finding [negotiations] occurred where awardee was allowed to revise its technical proposal, even though the source selection

document characterized the communication as a “clarification”).

(2) Clarifications can occur any time after receipt of proposals through contract award. If clarifications occur with one offeror, it does not require clarification with others.

(3) Clarifications: RFO FAR 15.202(a)(2)

- (d) Do NOT permit offerors to revise material aspects of their proposals.
- (e) Cannot cure proposal deficiencies or material omissions.
- (f) Cannot materially alter technical or cost elements.
- (g) Can request additional information/documentation IF cost/price or other material elements remain unchanged.

c. Examples.

(1) The following are “negotiations:”

- (a) The substitution of resumes for key personnel. *See University of S.C.*, B-240208, Sept. 21, 1990, 90-2 CPD ¶ 249; *Allied Mgmt. of Texas, Inc.*, B-232736.2, May 22, 1989, 89-1 CPD ¶ 485. *But see SRS Tech.*, B-258170.3, Feb. 21, 1995, 95-1 CPD ¶ 95; *Park Tower Mgmt. v. United States*, 67 Fed. Cl. 548 (2005) (holding that where agency contacted offeror to “clarify” whether it still intended to hire incumbent personnel, offeror’s provision of additional information regarding its staffing and management plan did not transform the agency request into a discussion because the agency did not intend for the offeror to modify its proposal when it contacted the offeror).
- (b) Allowing an offeror to explain a warranty provision that results in a revision of its proposal. *See Cylink Corp.*, B-242304, Apr. 18, 1991, 91-1 CPD ¶ 384.

(2) The following were not “negotiations:”

- (c) Audits. *See Data Mgmt. Servs., Inc.*, B-237009, Jan. 12, 1990, 69 Comp. Gen. 112, 90-1 CPD ¶ 51; *see also SecureNet Co. Ltd. v. United States*, 72 Fed. Cl. 800 (2006) (holding that agency's request of offeror's labor rates were clarifications because the agency did not intend for the offeror to modify its proposal as a result of the contact).
- (d) Allowing an offeror to correct a minor math error, correct a certification, or acknowledge a non-material amendment. *See E. Frye Enters., Inc.*, B-258699, Feb. 13, 1995, 95-1 CPD ¶ 64; *cf. Telos Field Eng'g*, B-253492.2, Nov. 16, 1993, 93-2 CPD ¶ 275.
- (e) A request to extend the proposal acceptance period. *See GPSI-Tidewater, Inc.*, B-247342, May 6, 1992, 92-1 CDP ¶ 425.
- (f) An inquiry as to whether figures in a proposal were stated on an annual or monthly basis that did not provide the offeror an opportunity to alter its proposal. *Int'l Res. Recovery, Inc., v. United States*, 64 Fed. Cl. 150 (2005).
- (g) Responsibility inquiries. *Gen. Dynamics—Ordnance & Tactical Sys.*, B-295987, B-295987.2, May 20, 2005, 2005 CPD ¶ 114 (holding that requests for information relating to an offeror's responsibility, rather than proposal evaluation, does not constitute discussions); *see also Computer Sciences Corp.*, B-298494.2, *et al.*, May 10, 2007, 2007 CPD ¶ 103 (stating that exchanges concerning an offeror's small business subcontracting plan are not discussions when they are evaluated as part of an agency's responsibility determination, but that such exchanges constitute discussions when incorporated into an agency's technical evaluation plan); *Overlook Sys. Techs., Inc.*, B-298099.4, B-298099.5, Nov. 28, 2006, 2006 CPD ¶ 185 (analogizing pre-award exchanges reference the adequacy of an offeror's mitigation plan to a responsibility determination, which does not constitute discussions).

(h) *See DynCorp Int'l LLC v. United States*, 76. Cl. 528 (2007) (providing a lengthy discussion on the differences between clarifications and discussions to conclude that three evaluation notices requesting information related to mission capability were not discussions).

d. Minor clerical errors should be readily apparent to both parties. If the agency needs an answer before award, the question probably rises to the level of negotiations. *See CIGNA Gov't Servs., LLC*, B-297915.2, May 4, 2006, 2006 CPD ¶ 73 (finding that request to confirm hours in level of effort template that results in an offeror stating the hours were “grossly overstated” and the provision of corrections constituted discussions); *University of Dayton Research Inst.*, B-296946.6, June 15, 2006, 2006 CPD ¶ 102 (finding that the correction of evaluation rates and reconciliation of printed and electronic versions of subcontractor rates are not clarifications where several offerors thereby make dozens of changes to the rates initially proposed).

J. Determination to Conduct Negotiations.

1. To conduct negotiations with one or more offerors after stating an intent to award without negotiations, the contracting officer must find that negotiations are necessary and document this conclusion in writing. 10 U.S.C. § 3303; 41 U.S.C. § 3306(b)(2)(B)(i); RFO FAR 15.203
2. Statutes and implementing regulations provide little guidance for making this determination. A contracting officer should consider factors such as favorable but noncompliant proposals, unclear proposals, incomplete proposals, unreasonable costs/prices, suspected mistakes, and changes/ clarifications to specifications. *See Milcom Sys. Corp.*, B-255448.2, May 3, 1994, 94-1 CPD ¶ 339.
3. The agency has wide discretion in deciding not to hold negotiations, and an agency's decision to **not** hold negotiations is generally not a matter that GAO will review. *Booz Allen Hamilton, Inc.*, B-405993, B-40599.2, Jan 19, 2012, 2012 CPD ¶ 30.¹⁰

K. The RFO eliminated the terms “communications” and emphasizes clarifications are exchanges that can occur anytime throughout the source selection process.

¹⁰ But see the DoD DPAP memorandum dated 8 January 2008 directing that awards should be made without discussions only in limited circumstances, generally routine, simple procurements. *See* <http://www.acq.osd.mil/dpap/policy/policyvault/2007-1480-DPAP.pdf>

L. Establishing the Competitive Range. FAR 15.204-1.

1. A competitive range is the group of evaluated proposals that the contracting officer determines are best suited for further negotiation. Contracting officers must establish a competitive range if negotiations will occur after evaluating competitive proposals.
2. The contracting officer (or SSA) may establish the competitive range any time after the initial evaluation of proposals. *See SMB, Inc.*, B-252575.2, July 30, 1993, 93-2 CPD ¶ 72.
3. The contracting officer must consider all of the evaluation factors (including cost/price) in making the competitive range determination. *See Kathpal Techs., Inc.*, B-283137.3 *et al.*, Dec. 30, 1999, 2000 CPD ¶ 6; *Arc-Tech, Inc.*, B-400325.3, Feb. 19, 2009, 2009 CPD ¶ 53.
 - a. The contracting officer may exclude a proposal from the competitive range despite its lower cost or the weight accorded cost in the RFP if the proposal is technically unacceptable. *See Crown Logistics Servs.*, B-253740, Oct. 19, 1993, 93-2 CPD ¶ 228.
 - b. The contracting officer may exclude an unacceptable proposal that requires major revisions to become acceptable if including the proposal in the competitive range would be tantamount to allowing the offeror to submit a new proposal. *See Harris Data Commc'ns v. United States*, 2 Cl. Ct. 229 (1983), *aff'd*, 723 F.2d 69 (Fed. Cir. 1983); *see also Strategic Sciences and Tech., Inc.*, B-257980, 94-2 CPD ¶ 194 (holding that it was reasonable for the agency to exclude from the competitive range an offeror who proposed inexperienced key personnel—which was the most important criteria); *InterAmerica Research Assocs., Inc.*, B-253698.2, Nov. 19, 1993, 93-2 CPD ¶ 288 (holding that it was proper for the agency to exclude an offeror that merely repeated back language from solicitation and failed to provide required information).
 - c. The GAO ordinarily gives great deference to the agency. To prevail, a protester must show that the decision to exclude it was: (1) clearly unreasonable; or (2) inconsistent with the stated evaluation factors. *See Mainstream Eng'g Corp.*, B-251444, Apr. 8, 1993, 93-1 CPD ¶ 307; *cf. Intertec Aviation*, B-239672, Sept. 19, 1990, 69 Comp. Gen. 717, 90-2 CPD ¶ 232 (holding that the agency improperly excluded an offeror from the competitive range where its alleged technical deficiencies were minor, its cost was competitive, and the agency's action seriously reduced available competition).

4. The contracting officer may limit the competitive range for efficiency. The contracting officer may limit to greatest number permitting efficient competition among most highly evaluated proposals. RFO FAR 15.204-1(b).
5. The contracting officer may eliminate a proposal from the competitive range at any time upon concluding that the offeror is unlikely to receive an award. The Contracting officer is not required to have an additional negotiation with an offeror prior to elimination. The excluded offeror will not receive an opportunity to submit a proposal revision. FAR 15.204-2(c).
6. Competitive range of one.
 - a. Reducing competitive range to one proposal.
 - (1) A competitive range of one is not *per se* illegal or improper. *See Clean Servs. Co.*, B-281141.3, Feb. 16, 1999, 99-1 CPD ¶ 36; *SDS Petroleum Prods.*, B-280430, Sept. 1, 1998, 98-2 CPD ¶ 59 (concluding that the new standard for establishing the competitive range does not preclude a range of one *per se*).
 - (2) However, a contracting officer's decision to reduce a competitive range to one offeror will receive "close scrutiny." *See L-3 Commc 'ns EOTech., Inc.*, 83 Fed. Cl. 643 (2008); *Dynamic Mktg. Servs.*, B-279697, July 13, 1998, 98-2 CPD ¶ 84.
 - (3) Under RFO FAR 52.215-20 agencies may be required to request certified cost and pricing data from the lone offeror in certain circumstances.
7. Common Errors
 - a. Eliminating a technically acceptable proposal from the competitive range without taking into account or evaluating cost or price. *See Kathpal Techs., Inc.*, B-283137.3 *et al.*, Dec. 30, 1999, 2000 CPD ¶ 6; *SCIEN TECH, Inc.*, B-277805.2, Jan. 20, 1998, 98-1 CPD ¶ 33.
 - b. Excluding an offeror from the competitive range for omissions that the offeror could easily correct during discussions. *See Dynalantic Corp.*, B-274944.2, Feb. 25, 1997, 97-1 CPD ¶ 101.
 - c. Using predetermined cutoff scores. *See DOT Sys., Inc.*, B-186192, July 1, 1976, 76-2 CPD ¶ 3.

- d. Excluding an offeror from the competitive range for “nonresponsiveness.”
 - (4) An offeror may cure a material defect in its initial offer during negotiations; therefore, material defects do not necessarily require exclusion from the competitive range. *See ManTech Telecomm & Info. Sys. Corp.*, 49 Fed. Cl. 57 (2001).
 - (5) The concept of “responsiveness” is incompatible with the concept of a competitive range. *See Consolidated Controls Corp.*, B-185979, Sept. 21, 1976, 76-2 CPD ¶ 261.

M. Conducting Negotiations. FAR 15.306(d).

- 1. The scope and extent of negotiations are a matter of contracting officer judgment. RFO FAR 15.204-2(a). The contracting officer must negotiate with each responsible offeror within the competitive range. FAR 15.204-2(b)(1)(i).
 - a. The contracting officer may not hold negotiations with only one offeror. *See Computer Sciences Corp.*, B-298494.2, *et al.*, May 10, 2007, 2007 CPD ¶ 103 (finding that when an agency conducts discussions with one offeror, it must conduct negotiations with all other offerors whose proposals are in the competitive range, and those negotiations must be meaningful; that is, the negotiations must identify deficiencies and significant weaknesses in each offeror’s proposal); *Raytheon Co.*, B-261959.3, Jan. 23, 1996, 96-1 CPD ¶ 37 (stating that the “acid test” of whether [negotiations] have been held is whether an offeror was provided the opportunity to modify/revise its proposal).
 - b. The contracting officer may hold face-to-face negotiations with some—but not all—offerors, provided the offerors with whom the contracting officer did not hold face-to-face negotiations are not prejudiced. *See Data Sys. Analysts, Inc.*, B-255684, Mar. 22, 1994, 94-1 CPD ¶ 209.
 - c. In a lowest-priced, technically acceptable solicitation, an agency is not required to conduct discussions with an offeror already determined technically acceptable, provided that the offeror is given the opportunity to submit a revised proposal. *Commercial Design Grp., Inc.*, B-400923.4, Aug. 6, 2009, 2009 CPD ¶ 157 (finding there was no prejudice where agency held negotiations

with deficient offerors but not technically acceptable protestor in a LPTA acquisition).

2. The contracting officer determines the scope and extent of the negotiations; however, it is a fundamental precept of negotiated procurements that negotiations, when conducted, must be meaningful, equitable, and not misleading. *See The Boeing Co.*, B-311344 *et al.*, June 18, 2008, 2008 CPD ¶ 114 at 49; *Biospherics, Inc. v. United States*, 48 Fed. Cl. 1 (2000); *Multimax, Inc. et al.*, B-298249.6 *et al.*, Oct. 24, 2006, 2006 CPD ¶ 165 (“mechanistic” application of formula); *AT&T Corp.*, B-299542.2, B-299542.4, Nov. 16, 2007, 2007 CPD ¶ (concluding negotiations not reasonable where agency determines protester’s staffing is unreasonable but fails to identify the scope of the agency’s concerns in negotiations).
- a. The contracting officer must discuss any matter that the RFP states the agency will discuss. *See Daun-Ray Casuals, Inc.*, B-255217.3, 94-2 CPD ¶ 42 (holding that the agency’s failure to provide an offeror with an opportunity to discuss adverse past performance information was improper—even though the offeror received a satisfactory rating—because the RFP indicated that offerors would be allowed to address unfavorable reports).
- b. The contracting officer must tailor negotiations to the offeror’s proposal. FAR 15.204-2(b)(1)(ii); *see Metropolitan Interpreters and Translators, Inc.*, B-403912.4, May 31, 2011, 2012 CPD ¶ 130 (“Although discussions may not be conducted in a manner that favors one offeror over another, discussions need not be identical among offerors; rather, discussions are to be tailored to each offeror’s proposal.”).
- c. The contracting officer at a minimum must negotiate with each offeror any deficiencies or significant weaknesses in the proposal. FAR 15.204-2(b)(1)(ii). An agency failed to conduct meaningful negotiations when negotiations were limited to cost proposals and the negotiations failed to identify significant weaknesses or deficiencies identified in the protester’s technical proposal. *Burchick Constr. Co.*, B-400342, Oct. 6, 2008, 2009 CPD ¶ 203. *But see* FAR 15.306(d)(5) (indicating that the contracting officer may eliminate an offeror’s proposal from the competitive range after negotiations have begun, even if the contracting officer has not discussed all material aspects of the offeror’s proposal or given the offeror an opportunity to revise it).

(1) Deficiencies.

- (a) The FAR defines a “deficiency” as “any part of an offer that does not conform to a material requirement of a RFP. A material requirement is one that affects price, quantity, quality, or delivery, or that the RFP requires to be met at the time of proposal submission.” FAR 15.001.
- (b) The contracting officer must conduct meaningful negotiations; NOT required to negotiate every area where the proposal could be improved. . *See Du & Assocs., Inc.*, B-280283.3, Dec. 22, 1998, 98-2 CPD ¶ 156; *Arctic Slope World Servs., Inc.*, B-284481, B-284481.2, Apr. 27, 2000, 2000 CPD ¶ 75. An agency’s failure to advise an offeror, in some way, of material proposal deficiencies vitiates the meaningfulness of the discussions. There is, however, no requirement that all areas of a proposal which could have a competitive impact be addressed in discussions. *Dynacs Eng’g Co., Inc. v. United States*, 48 Fed. Cl. 124 (2000); *see Info. Sys. Tech. Corp.*, B-289313, Feb. 5, 2002, 2002 CPD ¶ 36 (stating that agencies need not conduct all-encompassing discussions, or discuss every element of a proposal receiving less than a maximum rating).
- (c) The contracting officer does **not** have to point out a deficiency if discussions cannot improve it. *See Specialized Tech. Servs., Inc.*, B-247489, B-247489.2, June 11, 1992, 92-1 CPD ¶ 510; *Eng’g Inc.*, B-257822, B-257822.5, Aug. 18, 1995, 95-2 CPD ¶ 130 (business experience).
- (d) The contracting officer does **not** have to inquire into omissions or business decisions on matters clearly addressed in the solicitation. *See Wade Perrow Constr.*, B-255332.2, Apr. 19, 1994, 94-1 CPD ¶ 266; *Nat’l Projects, Inc.*, B-283887, Jan. 19, 2000, 2000 CPD ¶ 16.
- (e) The contracting officer does **not** have to actually “bargain” with an offeror. *See Northwest Reg’l Educ. Lab.*, B-222591.3, Jan. 21, 1987, 87-1 CPD ¶ 74. *But cf.* FAR 15.306(d) (indicating that negotiations may include bargaining).

(2) Significant Weaknesses.

- (f) “Weakness” means a flaw in the proposal that increases the risk of unsuccessful contract performance. A “significant weakness” in the proposal is a flaw that appreciably increases the risk of unsuccessful contract performance FAR 15.001. Examples include:
 - (i) Flaws that cause the agency to rate a factor as marginal or poor;
 - (ii) Flaws that cause the agency to rate the risk of unsuccessful contract performance as moderate to high; and
 - (iii) Relatively minor flaws that have a significant cumulative impact (e.g., minor flaws in several areas that impact the overall rating).
- (g) The contracting officer does **not** have to identify every aspect of an offeror’s technically acceptable proposal that received less than a maximum score. *See Robbins-Gioia, Inc.*, B-274318, Dec. 4, 1996, 96-2 CPD ¶ 222; *SeaSpace Corp.*, B-252476.2, June 14, 1993, 93-1 CPD ¶ 462, *recon. denied*, B-252476.3, Oct. 27, 1993, 93-2 CPD ¶ 251.
- (h) In addition, the contracting officer does **not** have to advise an offeror of a minor weakness that the agency does not consider significant, even if it subsequently becomes a determinative factor between two closely ranked proposals. *See Brown & Root, Inc. & Perini Corp., A Joint Venture*, B-270505.2, Sept. 12, 1996, 96-2 CPD ¶ 143; *cf. Prof’l Servs. Grp.*, B-274289.2, Dec. 19, 1996, 97-1 CPD ¶ 54 (holding that the discussions were inadequate where “deficient” staffing was not revealed because the agency perceived it to be a mere “weakness”).
- (i) The contracting officer does **not** have to inform offeror that its cost/price is too high where the agency does not consider the price unreasonable or a significant weakness or deficiency. *See JWK Int’l*

Corp. v. United States, 279 F.3d 985 (Fed. Cir. 2002); *SOS Interpreting, Ltd.*, B-287477.2, May 16, 2001, 2001 CPD ¶ 84.

- (3) Other Aspects of an Offeror's Proposal. Contracting officers may negotiate other aspects of the proposal that could be altered or explained to enhance materially the proposal's potential for award. RFO FAR 15.204-2(b)(3). Contracting officers may have further negotiations with particular offerors without obligation to have further negotiations with other offerors. RFO FAR 15.204-2(b)(2)
 - d. Since the primary objective of negotiations is to maximize the agency's ability to obtain the best value, the contracting officer should do more than the minimum necessary to satisfy the requirement for meaningful negotiations.
 - e. To satisfy the requirement for meaningful negotiations, an agency need only lead an offeror into the areas of its proposal requiring amplification or revision; all-encompassing negotiations are not required, nor is the agency obligated to "spoon-feed" an offeror as to each and every item that could be revised to improve its proposal. *L-3 Commc'ns Corp., BT Fuze Prods. Div.*, B-299227, B-299227.2, Mar. 14, 2007, 2007 CPD ¶ 83 at 19; *Robbins-Gioia, LLC*, B-402199 *et al.*, Feb. 3, 2010, 2010 CPD ¶ 67 n.5; *Labarge Elecs.*, B-266210, Feb. 9, 1996, 96-1 CPD ¶ 58 at 6 ("While agencies generally are required to conduct meaningful discussions by leading offerors into the areas of their proposals requiring amplification, this does not mean that an agency must 'spoon-feed' an offeror as to each and every item that must be revised, added, deleted, or otherwise addressed to improve a proposal.").
3. Limitations on Exchanges.
- a. FAR Limitations. RFO FAR 15.201(d).
 - (1) The agency may not favor one offeror over another.
 - (2) The agency may not disclose an offeror's technical solution to another offeror.¹¹

¹¹ This prohibition includes any information that would compromise an offeror's intellectual property (e.g., an offeror's unique technology or an offeror's innovative or unique use of a commercial item). RFO FAR 15.201(d)(2)).

- (3) The agency may not reveal an offeror's prices without the offeror's permission.
 - (4) The agency may not reveal the names of individuals who provided past performance information.
 - (5) The agency may not knowingly furnish source selection information in violation of the Procurement Integrity Act (41 U.S.C. § 2101-07).
- b. Other Prohibitions. The FAR no longer includes specific prohibitions on technical leveling, technical transfusion, and auctioning; however, the Procurement Integrity Act and the Trade Secrets Act still apply.
- (1) Technical leveling involves helping an offeror bring its proposal up to the level of other proposals through successive rounds of negotiation. *See Creative Mgmt. Tech., Inc.*, B-266299, Feb. 9, 1996, 96-1 CPD ¶ 61.
 - (2) Technical Transfusion. Technical transfusion involves the government disclosure of one offeror's proposal to another to help that offeror improve its proposal.
 - (3) Auctioning.
 - (a) Auctioning involves the practice of promoting price bidding between offerors by indicating the price offerors must beat, obtaining multiple proposal revisions, disclosing other offerors' prices, etc.
 - (b) Auctioning is not inherently illegal. *See Nick Chorak Mowing*, B-280011.2, Oct. 1, 1998, 98-2 CPD ¶ 82. Moreover, the GAO usually finds that preserving the integrity of the competitive process outweighs the risks posed by an auction. *See Navcom Defense Elecs., Inc.*, B-276163.3, Oct. 31, 1997, 97-2 CPD ¶ 126; *Baytex Marine Commc'n, Inc.*, B-237183, Feb. 8, 1990, 90-1 CPD ¶ 164.
 - (c) The government's estimated price will not be disclosed in the RFP.¹² RFO FAR 15.201(d)(3).

¹² In the area of construction contracting the FAR requires disclosure of the magnitude of the project in terms of physical characteristics and estimated price range, but not a precise dollar amount (e.g., a range of \$100,000 to \$250,000). *See* RFO FAR Part 36.

c. Fairness Considerations.

- (1) Negotiations, when conducted, must be meaningful and must not prejudicially mislead offerors. *See Metro Mach. Corp.*, B-281872.2, Apr. 22, 1999, 99-1 CPD ¶ 101 (finding that a question about a proposal that did not reasonably put the offeror on notice of agency's actual concern was not adequate discussions); *see also Velos, Inc.*, B-400500 *et al.*, Nov. 28, 2008, 2010 CPD ¶ 3 (Agency agreed software license was acceptable, then rejected the protester's revised proposal because the agency, after final proposal submission, determined same license was unacceptable); *SRS Tech.*, B-254425.2, Sept. 14, 1994, 94-2 CPD ¶ 125 (concluding that the Navy misled the offeror by telling it that its prices were too low when all it needed was better support for its offered prices); *Ranor, Inc.*, B-255904, Apr. 14, 1994, 94-1 CPD ¶ 258 (concluding that the agency misled the offeror and caused it to raise its price by telling it that its price was below the government estimate); *DTH Mgmt. Grp.*, B-252879.2, Oct. 15, 1993, 93-2 CPD ¶ 227 (concluding that the agency misled an offeror by telling it that its price was below the government estimate when it knew that the government estimate was faulty); *Creative Info. Techs.*, B-293073.10, Mar. 16, 2005, 2005 CPD ¶ 110 (holding that discussions must deal with the underlying cause and that notifying an offeror that its price was overstated was insufficient).
- (2) The contracting officer must provide similar information to all of the offerors. *See Securiguard, Inc.*, B-249939, Dec. 21, 1992, 93-1 CPD ¶ 362; *SeaSpace Corp.*, B-241564, Feb. 15, 1991, 70 Comp. Gen. 268, 91-1 CPD ¶ 179.
- (3) All offerors must be given the opportunity to revise their proposals following discussions. *Raytheon Co.*, B-404998, July 25, 2011, 2011 CPD ¶ 232 (sustaining a protest where discussions were conducted but the protester was never provided with an opportunity to address and revise a significant weakness identified in its proposal, even though an awardee had been given the opportunity to revise its proposal).

N. Final Proposal Revisions (FPR). RFO FAR 15.204-2(d).

1. When negotiations with an offeror are finished (and not eliminated from the competitive range):
 - a. MUST provide the offeror with an opportunity to submit a proposal revision;
 - b. MUST provide written notice stating that the Government intends to make award without obtaining further revisions;
 - c. MUST give each offeror with a proposal still within the competitive range an equal amount of time to submit their proposal revision;
2. Agencies do not have to reopen negotiations to address deficiencies introduced in the final proposal revision. *Sabre Systems, Inc.*, B-402040.2, B-402040.3, June 1, 2010, 2010 CPD ¶ 128; *Smith Detection, Inc.*, B-298838, B-298838.2, Dec. 22, 2006, 2007 CPD ¶ 5; *Ouachita Mowing, Inc.*, B-276075, May 8, 1997, 97-1 CPD ¶ 167.
 - a. Agencies, however, must reopen negotiations in appropriate cases. *See Al Long Ford*, B-297807, Apr. 12, 2006, 2006 CPD ¶ 67 (finding that an agency must reopen discussion if it realizes, while reviewing an offeror's final proposal revision, that a problem in the initial proposal was vital to the source selection decision but not raised with the offeror during discussion); *TRW, Inc.*, B-254045.2, Jan. 10, 1994, 94-1 CPD ¶ 18 (holding that the agency erred in not conducting additional discussions where there were significant inconsistencies between technical and cost proposals that required resolution); *cf. Dairy Maid Dairy, Inc.*, B-251758.3, May 24, 1993, 93-1 CPD ¶ 404 (holding that a post-FPR amendment that changed the contract type from a requirements contract to a definite quantity contract was a material change that required a second round of FPRs); *Harris Corp.*, B-237320, Feb. 14, 1990, 90-1 CPD ¶ 276 (holding that the contracting officer properly requested additional BAFOs after amending the RFP).
 - b. Agencies may request additional FPRs even if the offerors' prices were disclosed through an earlier protest if additional FPRs are necessary to protect the integrity of the competitive process. *BNF Tech., Inc.*, B-254953.4, Dec. 22, 1994, 94-2 CPD ¶ 258.
3. Having further negotiations with a particular offeror does not obligate contracting officers to have further negotiations with any other offerors.

RFO FAR 15.204(b)(2). However, GAO has held in the past that is if the agency reopens discussions with one offeror, the agency must reopen discussions with all of the remaining offerors. *See Lockheed Martin*, B-292836.8 *et al.*, Nov. 24, 2004, 2005 CPD ¶ 27; *Int'l Res. Grp.*, B-286663, Jan. 31, 2001, 2001 CPD ¶ 35.

O. Source Selection Decision. RFO FAR 15.205.

1. Agencies must evaluate final proposals using the evaluation factors set forth in the solicitation.
 - a. Bias in the selection decision is improper. *See Latecoere Int'l v. United States*, 19 F.3d 1342 (11th Cir. 1994) (stating that bias against a French firm “infected the decision not to award it the contract”).
 - b. There is no requirement that the same evaluators who evaluated the initial proposals also evaluate the final proposals. *See Med. Serv. Corp. Int'l*, B-255205.2, Apr. 4, 1994, 94-1 CPD ¶ 305.
2. The source selection decision should be based on the solicitation's evaluation factors and significant subfactors that were previously tailored to the current acquisition. The solicitation must have already notified offerors in the solicitation whether award will be made on any one or combination of source selection approaches, but not limited to the ones describes in RFO FAR 15.103. While agencies have broad discretion in making source selection decisions, their decisions must be rational and consistent with the evaluation criteria in the RFP. *See Liberty Power Corp.*, B-295502, Mar. 14, 2005, 2005 CPD ¶ 61 (stating that agencies may not announce one basis for evaluation and award in the RFP and then evaluate proposals and make award on a different basis); *Marquette Med. Sys. Inc.*, B-277827.5, B-277827.7, Apr. 29, 1999, 99-1 CPD ¶ 90; *Found. Health Fed. Servs., Inc.*, B-254397.4, Dec. 20, 1993, 94-1 CPD ¶ 3; *see also* FAR 15.305(a).
3. A proposal that fails to conform to a material solicitation requirement is technically unacceptable and cannot form the basis of award. *Stewart Distribs.*, B-298975, Jan. 17, 2007, 2007 CPD ¶ 27; *Farmland Nat'l Beef*, B-286607, B-286607.2, Jan. 24, 2001, 2001 CPD ¶ 31. If the agency wants to accept an offer that does not comply with the material solicitation requirements, the agency must issue a written amendment and give all of the remaining offerors an opportunity to submit revised proposals. RFO FAR 15.106(e)(1); *see Beta Analytics Int'l, Inc. v. U.S.*, 44 Fed. Cl. 131 (1999); *4th Dimension Software, Inc.*, B-251936, May 13, 1993, 93-1 CPD ¶ 420.

4. The source selection process is inherently subjective.
 - a. The fact that an agency reasonably might have made another selection does not mean that the selection made was unreasonable. *See Red R. Serv. Corp.*, B-253671.4, Apr. 22, 1994, 94-1 CPD ¶ 385. However, the decision must be based on accurate information. *See CRA Associated, Inc.*, B-282075.2, B-282075.3, Mar. 15, 2000, 2000 CPD ¶ 63.
 - b. Point scoring techniques do not make the evaluation process objective. *See VSE Corp.*, B-224397, Oct. 3, 1986, 86-2 CPD ¶ 392. Therefore, the RFP should not state that award will be made based on the proposal receiving the most points. *See Harrison Sys. Ltd.*, B-212675, May 25, 1984, 84-1 CPD ¶ 572. *See also* DOD Source Selection Procedures, pg. 20, which prohibits using numerical weighting of factors and subfactors. <https://www.acq.osd.mil/dpap/policy/policyvault/USA000740-22-DPC.pdf>
5. A cost/technical trade-off analysis is essential to any source selection decision using a trade-off (rather than an LPTA) basis of award. *See Special Operations Grp., Inc.*, B-287013; B-287013.2, Mar. 30, 2001, 2001 CPD ¶ 73.
 - a. Agencies should make the cost/technical tradeoff decision after receiving final proposals if final proposals were requested. *See Halter Marine, Inc.*, B-255429, Mar. 1, 1994, 94-1 CPD ¶ 161.
 - b. A cost/technical trade-off evaluation requires evaluation of differences in technical merit beyond the RFP's minimum requirements. *See Johnson Controls World Servs., Inc.*, B-281287.5 *et al.*, June 21, 1999, 2001 CPD ¶ 3.
6. Agencies have broad discretion in the source selection process, but the source selection decision must be adequately documented, and it must be consistent with the evaluation criteria and applied consistently to each offeror's proposal.
 - a. Agencies have broad discretion in making cost/technical tradeoffs, so long as they are rational and consistent with the stated evaluation criteria and adequately documented. *See Chenega Tech. Prods., LLC*, B-295451.5, June 22, 2005, 2005 CPD ¶ 123; *Leach Mgmt. Consulting Corp.*, B-292493.2, Oct. 3, 2003, 2003 CPD ¶ 175.
 - b. The source selection decision document should also demonstrate that the evaluation criteria were applied equally to all offerors. *See*

Brican Inc., B-402602, June 17, 2010, 2010 CPD ¶ 141 (sustaining a protest when the agency evaluated the awardee's and the protestor's proposals unequally by crediting the awardee for the experience and past performance of a subcontractor but not similarly crediting the protester, who had proposed the same subcontractor).

- c. In the cost/technical trade off, the extent to which one is sacrificed for the other is tested for rationality and consistency with the stated evaluation factors. *See Tenderfoot Sock Co., Inc.*, B-293088.2, July 30, 2004, 2004 CPD ¶ 147; *see also Synectic Solutions, Inc.*, B-299086, Feb. 7, 2007, 2007 CPD ¶ 36 (stating that an agency retains the discretion to select a higher priced, higher technically rated proposal if doing so is reasonably found to be in the government's best interests and is consistent with the solicitation's stated evaluation scheme); *Widnall v. B3H Corp.*, 75 F. 3d 1577 (Fed. Cir. 1996) (stating that "review of a best value agency procurement is limited to independently determining if the agency's decision was grounded in reason").
- d. More than a mere conclusion, however, is required to support the analysis. *See Shumaker Trucking and Excavating Contractors*, B-290732, Sept. 25, 2002, 2002 CPD ¶ 169 (finding award decision unreasonable where the "agency mechanically applied the solicitation's evaluation method" and provided no analysis of the advantages to the awardee's proposal); *Technology Concepts Design, Inc.* B-403949.2, March 25, 2011, 2011 CPD ¶ 78 (sustaining a protest where the agency did not provide adequate supporting rationale in the record for GAO to conclude that the agency's evaluation of the protester's proposal was reasonable); *Beacon Auto Parts*, B-287483, June 13, 2001, 2001 CPD ¶ 116 (finding that a determination that a price is "fair and reasonable" doesn't equal a best-value determination); *ITT Fed. Sys. Int'l Corp.*, B-283307, B-283307.2, Nov. 3, 1999, 99-2 CPD ¶ 76; *Redstone Tech. Servs.*, B-259222, Mar. 17, 1995, 95-1 CPD ¶ 181.
- e. Beware of tradeoff techniques that distort the relative importance of the various evaluation criteria (e.g., "Dollars per Point"). *See Billy G. Bassett*, B-237331, Feb. 20, 1990, 90-1 CPD ¶ 195; *T. H. Taylor, Inc.*, B-227143, Sept. 15, 1987, 87-2 CPD ¶ 252.
- f. A cost/technical tradeoff analysis may consider relevant matters not disclosed in the RFP as tools to assist in making the tradeoff. *See Sys. Research and Applications Corp.*, B-257939, Feb. 28, 1995, 95-1 CPD ¶ 214; *Advanced Mgmt., Inc.*, B-251273.2, Apr. 2, 1993, 93-1 CPD ¶ 288 (holding that it is permissible to consider

that loss of efficiency in awarding to a new contractor would reduce effective price difference between the contractor and the incumbent).

7. The source selection authority's (SSA) decision shall be based on a comparative assessment of proposals against all source selection criteria in the solicitation. The decision must be the SSA's ***independent judgment***. RFO FAR 15.205. However, the SSA need not personally write the source selection decision memorandum. *See Latecoere Int'l Ltd.*, B-239113.3, Jan. 15, 1992, 92-1 CPD ¶ 70.
 - a. While the related FAR provisions suggest the source selection decision is made by a single person, some noted government contract experts "believe the source selection decision is a team decision, and . . . that is as it should be." Ralph C. Nash & John Cibinic, *The Source Selection Decision: Who Makes It?*, 16 NASH & CIBINIC REP. 5 (2002).
 - b. Source selection officials have considerable discretion in making the selection decision, including tradeoffs: The selection decision is subject to review only for rationality and consistency with the stated evaluation criteria. *See KPMG Consulting LPP*, B-290716, B-290716.2, Sept. 23, 2002, 2002 CPD ¶ 196; *Johnson Controls World Servs., Inc.*, B-289942; B-289942.2, May 24, 2002, 2002 CPD ¶ 88;
 - c. The SSA can disagree with the majority of the evaluators and accept one of the minority's recommendations for award. GAO upheld the SSA's selection for award where the SSA reached a reasoned conclusion, supported by the record, that the awardee's lower-priced, lower-rated proposal deserved a higher technical rating than was assigned by the majority and that proposal represented the best value to the government. *TruLogic, Inc.*, B-297252.3, Jan. 30, 2006, 2006 CPD ¶ 29.
 - d. An agency's source selection decision cannot be based on a mechanical comparison of the offerors' technical scores or ratings *per se*, but must rest upon a qualitative assessment of the underlying technical differences among the competing proposals (i.e., "look behind the ratings"). *C&B Constr., Inc.*, B-401988.2, Jan. 6, 2010, 2010 CPD ¶ 1; *Metro Machine Corp.*, B-295744, B-295744.2, Apr. 21, 2005, 2005 CPD ¶ 112; *The MIL Corp.*, B-294836, Dec.30, 2004, 2005 CPD ¶ 29.
8. A well-written source selection memorandum should contain:

- a. A summary of the evaluation criteria and their relative importance;
- b. A statement of the decision maker's own evaluation of each of the proposals: (1) adopting recommendations of others or stating a personal evaluation; and (2) identifying major advantages and disadvantages of each proposal (*see J&J Maintenance Inc.*, B-284708.2, B-284708.3, June 5, 2000, 2000 CPD ¶ 106); **and**
- c. A description of the reasons for choosing the successful offeror, comparing differences in cost with differences in technical factors.
 - (1) The source selection decision memorandum must include the rationale for any trade-off made, "including benefits associated with additional costs." RFO FAR 15.205; *Midland Supply, Inc.*, B-298720, B-298720.2, Nov. 29, 2006, 2007 CPD ¶ 2 (finding an agency's award unreasonable where it mechanically compares total point scores and provides no documentation or explanation to support the cost/technical tradeoff); *Opti-Lite Optical*, B-281693, Mar. 22, 1999, 99-1 CPD ¶ 61 (finding it improper to rely on a purely mathematical price/technical tradeoff methodology).
 - (2) This explanation of any tradeoffs made, including the benefits associated with additional costs can be given by the SSA in the source selection decision, or it can be evidenced from the documents on which the source selection decision is based. *TRW, Inc.*, B-260788.2, Aug. 2, 1995, 96-1 CPD ¶ 11. The source selection decision memorandum should indicate what evaluation documents it relies upon.

P. GAO Review. In reviewing protests against allegedly improper evaluations, the GAO will examine the record to determine whether the agency's evaluation was reasonable and in accordance with the solicitation's stated evaluation criteria. *FP-FFA Seattle, LLC*, B411-544, B-411544.2, Aug. 26, 2015 CPD ¶ 274 at 7.

1. Reasonable and in Accordance with Evaluation Criteria.

- a. In reviewing an agency's evaluation, GAO will not reevaluate the proposals. Rather, it will only consider whether the agency's evaluation was reasonable and in accord with the evaluation criteria listed in the solicitation and applicable procurement laws and regulation. *Id.*; *Advanced Techs. & Labs. Int'l, Inc.*, B-411658 *et al.*, Sept. 21, 2015, 2015 CPD ¶ 301 at 5. An offeror's mere disagreement with the agency's evaluation is not sufficient to

render the evaluation unreasonable. *Ben-Mar Enters., Inc.*, B-295781, Apr. 7, 2005, 2005 CPD ¶ 68; *C. Lawrence Constr. Co.*, B-287066, Mar. 30, 2001, 2001 CPD.

- b. In a negotiated procurement for award on a trade-off basis, which provided for the evaluation of the degree to which offerors' proposals met or exceeded requirements, protest was sustained where the agency failed to qualitatively assess the merits of the offerors' differing approaches. *Sys. Research and Applications Corp.*, B-299818 *et al.*, Sept. 6, 2007, 2008 CPD ¶ 28.
- c. Reliance on the scores of evaluators alone, without looking at strengths and weaknesses of each proposal, may be unreasonable. *See Midland Supply, Inc.*, B-298720, B-298720.2, Nov. 29, 2006, 2007 CPD ¶ 2; *SDA, Inc.*, B-248528.2, Apr. 14, 1993, 93-1 CPD ¶ 320.
- d. The source selection authority need not accept the findings and conclusions of the agency evaluators, so long as the SSA's reason for doing so is reasonable, consistent with the stated evaluation criteria, and sufficiently documented. *SAMS El Segundo, LLC*, B-291620, B-291620.2, Feb. 3, 2003, 2003 CPD ¶ 44; *Earl Indus.*, B-309996, B-309996.4, Nov. 5, 2007, 2007 CPD ¶ 203; *DynCorp Int'l LLC*, B-289863.2, May 13, 2002, 2002 CPD ¶ 83 (finding no support in the record for the SSA to question the weaknesses in the awardee's proposal as identified by the evaluation teams).
 - (1) The SSA may consider proposals to be technically equivalent, notwithstanding different evaluation ratings, and award to the lower-cost offeror. *See Camber Corp.*, B-293930; B-293930.2, July 7, 2004, 2004 CPD ¶ 144; *PharmChem, Inc.*, B-291725.3 *et al.*, July 22, 2003, 2003 CPD 148
 - (2) Conversely, the SSA may reasonably consider one proposal to be technically superior to another notwithstanding equivalent evaluation ratings. *See Vantage Assocs., Inc.*, B-290802.2, Feb. 3, 2003, 2003 CPD ¶ 32; *Science & Eng'g Servs., Inc.*, B-276620, July 3, 1997, 97-2 CPD ¶ 43.
- e. *Gen. Dynamics One Source, LLC*, B-400340.5, B-400340.6, Jan. 20, 2010, 2010 CPD ¶ 45. The agency failed to evaluate disparity between staffing offered in awardee's technical proposal and its price proposal, as well as failed to evaluate awardee's ability to hire incumbent's employees (as it proposed) at the low labor rates

in its price proposal. GAO sustained the protest and found unreasonable the agency's failure to consider this price realism concern in both the price and technical evaluations.

- f. *Ahtna Support and Training. Servs.*, B-400947.2, May 15, 2009, 2009 CPD ¶ 119 (sustaining protest where the agency evaluated the awardee and the protester unequally by crediting the awardee with the experience of its subcontractor, but not similarly crediting the protester with the experience of its subcontractor, even though the agency viewed both subcontractors as having relevant experience).

2. Adequacy of Supporting Documentation.

- a. *Apptis, Inc.*, B-299457 *et al.*, May 23, 2007, 2008 CPD ¶ 49 (sustaining protest that the agency's evaluation and source selection decision were unreasonable where the agency described the protester's demonstration as "problem plagued," but the agency's record lacked adequate documentation to support its findings and, as a result, GAO could not determine if the agency's evaluation was reasonable).
- b. *AT&T Corp.*, B-299542.3, B-299542.4, Nov. 16, 2007, 2007 CPD ¶ 65 (finding SSA's evaluation of offeror's management approach unreasonable where the agency reached a conclusion regarding the offeror's staffing plan that was inconsistent with the underlying evaluation findings and provided no explanation for this inconsistency, and then relied on this conclusion as a material part of its best value tradeoff determination); *Cortland Mem'l Hosp.*, B-286890, Mar. 5, 2001, 2001 CPD ¶ 48; *Wackenhut Servs., Inc.*, B-286037; B-286037.2, Nov. 14, 2000, 2001 CPD ¶ 114 (emphasizing the importance of contemporaneous documentation).
- c. *C&B Constr., Inc.*, B-401988.2, Jan. 6, 2010, 2010 CPD ¶ 1 (protest challenging award to the higher priced, higher technically-rated vendor sustained where the contemporaneous evaluation record consists of numerical scores assigned to each vendor's quotation, and lacks any information to show a basis for those scores, or a reasoned basis for any tradeoff judgments made in the source selection).
- d. In one case, the SSA's source selection decision to award to a substantially lower scored offeror, whose cost was only slightly lower, was not adequately justified. *TRW, Inc.*, B-234558, June 21, 1989, 68 Comp. Gen. 512, 89-1 CPD ¶ 584. However, after the SSA's reconsideration, the same outcome was adequately

supported. *TRW, Inc.*, B-234558.2, Dec. 18, 1989, 89-2 CPD ¶ 560.

- e. *Honeywell Tech. Solutions, Inc.*, B-400771; B-400771.2, Jan. 27, 2009, 2009 CPD ¶ 49. Having decided to consider a particular contract performed by the awardee, the agency was required to evaluate the relevance of that contract consistent with the evaluation criteria in the RFP, i.e., the degree of similarity in size, content, and complexity between an offeror's past performance information and the RFP requirements. Here, there was nothing in the contemporaneous record to suggest that the agency engaged in such an analysis.
- 3. The standard of review for the Court of Federal Claims is whether the agency's decision is "arbitrary, capricious, an abuse of discretion, or otherwise not in accordance with law." 5 U.S.C. § 706(2)(A); *Cubic Applications, Inc. v. U.S.*, 37 Fed. Cl. 339, 342 (1997).

Q. Responsibility Determination.

- 1. A contract may only be awarded to a responsible prospective contractor. RFO FAR 9.103(a). No award can be made unless the contracting officer makes an affirmative determination of responsibility; in the absence of information clearly indicating that the prospective contractor is responsible, the contracting officer is required to make a determination of non-responsibility. RFO FAR 9.103(b). A finding of responsibility requires, among other things, that the potential contractor have adequate financial resources, a satisfactory record of performance, integrity, and business ethics, and the necessary organization, experience and technical skills to perform the contract. RFO FAR 9.104-1.
- 2. "Negative" vs. "Affirmative" Responsibility Determinations.
 - a. Negative Responsibility Determinations.
 - (1) Since the agency must bear the brunt of any difficulties experienced in obtaining the required performance, contracting officers have broad discretion and business judgment in reaching non-responsibility determinations, and GAO will not question such a determination unless a protester can establish that the determination lacked any reasonable basis. See *XO Commc'ns, Inc.*, B-290981, Oct. 22, 2002, 2002 CPD ¶ 179; *Global Crossing Telecomms., Inc.*, B-288413.6, B-288413.10, June 17, 2002, 2002 CPD ¶ 102.

- (2) Small Business Responsibility. If the contracting officer determines that a small business lacks certain elements of responsibility, under RFO FAR 9.105-2 (a)(2) the contracting officer must comply with RFO FAR Part 19 and refer the determination to the Small Business Administration (SBA).

b. Affirmative Responsibility Determinations

- (1) Pre-*Garufi*. Although the FAR requires the contracting officer to make an affirmative determination of responsibility before contract award, prior to 2001 a disappointed offeror challenging such a determination found the contracting officer's decision nearly unassailable.
 - (a) Previously, the GAO quickly disposed of such challenges (*see e.g., Sato Travel*, B-287655, July 5, 2001, 2001 CPD ¶ 111) by simply referencing its Bid Protest Regulations, which provided that: because the determination that a bidder or offeror is capable of performing a contract is based in large measure on subjective judgments which generally are not readily susceptible of reasoned review, an affirmative determination of responsibility will not be reviewed absent a showing of possible bad faith on the part of the government officials. 4 C.F.R. § 21.5 (2002).
 - (b) Similarly, the COFC had been equally inhospitable to affirmative responsibility challengers. *See, e.g., Trilon Educ. Corp. v. United States*, 578 F. 2d 1356 (Cl. Ct. 1978); *News Printing Co., Inc. v. United States*, 46 Fed. Cl. 740 (2000).
- (2) *Impresa Costruzioni Geom. Domenico Garufi v. United States* (Garufi), 238 F.3d 1324 (Fed. Cir. 2001).
 - (c) In *Garufi*, the CAFC stated the standard of review in cases challenging agency affirmative responsibility determinations should be whether “there has been a violation of a statute or regulation, or alternatively, if the agency determination lacked a rational basis.”

- (d) Applying this standard to the facts of the case, however, CAFC found it could not assess the reasonableness of the contracting officer's determination "because the contracting officer's reasoning supporting that determination is not apparent from the record." *Garufi*, 238 F.3d at 1337.
 - (e) On remand, the COFC sustained the protest, having determined the "contracting officer, based on his deposition testimony, . . . failed to conduct an independent and informed responsibility determination." *Impresa Construzioni Geom. Domenico Garufi*, 52 Fed. Cl. 421, 427 (2002).
- (3) Post-*Garufi*.
- (f) As the standard set forth by CAFC in *Garufi* conflicted with the GAO's Bid Protest Regulation addressing affirmative responsibility determinations, the GAO changed its rule. Applicable to all bid protests filed after 1 January 2003, the final rule permits GAO review of such challenges "that identify evidence raising serious concerns that, in reaching a particular responsibility determination, the contracting officer unreasonably failed to consider available relevant information or otherwise violated statute or regulation." 4 C.F.R. § 21(c)
 - (g) In *Southwestern Bell Tel. Co.*, B-292476, Oct. 1, 2003, 2003 CPD ¶ 177, the GAO relied on the new exception to entertain and sustain the protestor's challenge to a contracting officer's affirmative responsibility determination. The GAO noted that, while contracting officers need not explain the basis for responsibility determinations, "documents and reports supporting a determination of responsibility and nonresponsibility . . . must be included in the contracting file."
 - (h) Compare the result in *Marinette Marine Corp.*, B-400697 *et al.*, Jan. 12, 2009, 2009 CPD ¶ 16 (citing evaluation of awardee's past performance, the agency was aware of and considered awardee's failed performance on another program, as well as

Justice Department investigation into that program. GAO's review could not conclude that the agency failed to consider all relevant information when making a responsibility determination). *See also FN Mfg., Inc.*, B-297172, B-297182.2, Dec. 1, 2005, 2005 CPD ¶ 212.

VII. DEBRIEFINGS

A. Purpose

1. 10 U.S.C. § 3305; RFO FAR 15.206-2; RFO FAR 15.301.
2. Inform the offeror of its significant weaknesses and deficiencies, and
3. Provide essential information in a post-award debriefing on the rationale for the source selection decision.

B. Preaward Debriefings. FAR 15.206-2.

1. An offeror excluded from the competitive range (or otherwise eliminated from consideration for award) may request a preaward debriefing before award.
2. An offeror must submit a written request for a debriefing within three (3) days after receipt of the notice of exclusion from the competition.
3. The contracting officer must "make every effort" to conduct the preaward debriefing as soon as practicable.
4. The contracting officer may delay the debriefing until after contract award if the contracting officer concludes that delaying the debriefing is in the best interests of the government. *See Global Eng'g. & Const. Joint Venture*, B-275999, Feb. 19, 1997, 97-1 CPD ¶ 77 (declining to review the contracting officer's determination). The rationale for delaying the debriefing must be documented in the contract file and the debriefing must be provided no later than the time postaward debriefings are provided. RFO FAR 15.206-2(e).
5. At a minimum, preaward debriefings must include:
 - a. The agency's evaluation of significant elements of the offeror's proposal;
 - b. A summary of the agency's rationale for excluding the offeror; and
 - c. Reasonable responses to relevant questions.

6. Preaward debriefings must not include:
 - a. The number of offerors;
 - b. The identity of other offerors;
 - c. The content of other offerors' proposals;
 - d. The ranking of other offerors;
 - e. The evaluation of other offerors; or
 - f. Any of the information prohibited in FAR 15.301-1(d).

C. Postaward Debriefings. FAR 15.301.

1. An unsuccessful offeror may request a postaward debriefing.
 - a. An offeror must submit a written request for a debriefing within three (3) days of the date it receives notification of contract award.
 - b. The agency may accommodate untimely requests; however, the agency decision to do so does not extend the deadlines for filing protests.
2. "To the maximum extent practicable," the contracting officer must conduct the postaward debriefing within five (5) days of the date the agency receives a timely request.
3. At a minimum, postaward debriefings must include:
 - a. The agency's evaluation of the deficiencies and significant weaknesses in the offeror's proposal;
 - b. The overall ratings of the debriefed offeror and the successful offeror;
 - c. The overall rankings of all of the offerors;
 - d. A summary of the rationale for the award decision;
 - e. The make and model number of any commercial item(s) the successful offeror will deliver; and
 - f. Reasonable responses to relevant questions.

4. Postaward debriefings must not include:
 - a. A point-by-point comparison of the debriefed offeror's proposal with other offerors' proposal; or
 - b. Any information prohibited from disclosure under RFO FAR 24 or exempt from release under the Freedom of Information Act, including the names of individuals providing reference information about an offeror's past performance.
5. Enhanced Post-Award Debriefing Rights
 - a. Agencies are required to disclose their written source selection document to both unsuccessful and winning offerors where award value exceeds \$150 million. Unsuccessful and winning small business or non-traditional contractor offerors have the option to request disclosure of the source selection document where award value is between \$15 million and \$150 million. RFO FAR 15.15.301-1(c)(1)(vii)-(viii); RFO DFARS 215.301-170(b); *see also* 2018 NDAA, sec. 818.
 - b. Agencies are required to provide written or oral debriefings for all contract awards or task or delivery orders valued at \$15 million or more. RFO DFARS 215.301-170(a).
 - c. Disappointed offerors may submit additional questions related to the debriefing up to two (2) business days after receiving the debriefing and the agency must respond within five (5) business days. 10 U.S.C. § 3304; RFO DFARS 215.301-270.
 - (1) The agency should not consider the debriefing to be concluded until it delivers the written responses to the disappointed offeror or if additional written questions related to the debriefing are timely received, the date the agency delivers its written responses.
 - (2) For DoD component procurements, the five-day clock for a disappointed offeror to file a protest does not commence until the day the Government delivers the written responses to the additional questions. 31 U.S.C. § 3553 (d)(4)(B).
6. General Considerations:
 - a. The contracting officer must chair any debriefing session held. RFO FAR 15.301-1.

- b. Debriefings may be done orally, in writing, or by any other method acceptable to the contracting officer.
- c. Tailor debriefings to emphasize the fairness of the source selection procedures.
- d. Point out deficiencies that the contracting officer discussed but the offeror failed to correct.
- e. Documentation. An official summary of all preaward and postaward debriefings shall be included in the contract file. RFO FAR 15.206-2(c)(2), 15.301-1(c)(2).
- f. Point out areas for improvement of future proposals.
- g. Statements made by the agency at a debriefing that are inaccurate (*i.e.*, inconsistent with the contemporaneous evaluation documents) may give rise to a bid protest challenging the agency's evaluation of proposals, but do not provide a basis for sustaining such a protest. GAO looks to see whether the agency's evaluation of proposals, as evidenced by the contemporaneous evaluation documents, was reasonable and consistent with the stated evaluation criteria. Debriefing misstatements do not invalidate the contemporaneous evaluation documents.
- h. Agencies should look to debriefings as a means to prevent bid protests. A well-conducted debriefing can head off many protests. GAO dismisses protests where the protestor alleges that a debriefing was inadequate because a debriefing is a procedural matter which does not involve the award's validity. *Raydar & Associates, Inc.*, B-401447, Sept. 1, 2009, 2009 CPD ¶ 180.

CHAPTER 10

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CHAPTER 10

SIMPLIFIED PROCEDURES FOR NON-COMMERCIAL ACQUISITIONS

I. INTRODUCTION

Following this block of instruction, students should:

- A. Understand how Simplified Acquisitions streamline the acquisition process and can result in substantial savings of time and money for the Government.
- B. Understand how Simplified Acquisitions differ from the Sealed Bidding and Negotiated Procurement methods of acquisitions.
- C. Understand when you can use Simplified Acquisitions and the different competition requirements and thresholds that apply to different Simplified Acquisition procedures.
- D. Understand the various simplified acquisitions procedures and the situations when each procedure should be used.

II. REFERENCES

- A. Federal Acquisition Streamlining Act of 1994, Pub. L. No. 103-355, 108 Stat. 3243 (1994) (hereinafter FASA).
- B. Revolutionary Federal Acquisition Regulation Overhaul (RFO FAR) Part 13, Simplified Procedures for Non-Commercial Acquisitions
- C. RFO FAR Part 8, Required Sources of Supplies and Services.
- D. RFO FAR Part 5, Publicizing Contract Actions.
- E. FAR Part 2, Definitions of Words and Terms.
- F. RFO Defense Federal Acquisition Regulation Supplement (DFARS) Part 213, Simplified Acquisitions Procedures.
- G. DOD Financial Management Regulation (FMR), Volume 5, Chapter 2, Section 9, Imprest Funds (June 2025).
- H. DOD FMR, Volume 10, Chapter 23, Purchase Card Payments (April 2023).

III. OVERVIEW

- A. What is a Simplified Acquisition? To streamline the federal procurement process, in 1994, Congress authorized the use of a simplified acquisition process for purchases of supplies and services under certain thresholds. The goal was to allow agency officials to expedite the evaluation and selection processes and keep documentation to a minimum.¹
- B. Simplified acquisition procedures are those procedures prescribed in Part 13 of the RFO FAR, RFO Part 213 of the DFARS, and agency FAR supplements for making simplified acquisitions. The simplified acquisition procedures include the use of Standard Form (SF) 1449 (Solicitation / Contract / Order for Commercial Products and Commercial Services), SF 18 (Request for Quotation), purchase orders, blanket purchase agreements (BPAs), imprest funds, and government purchase cards (GPCs are basically government credit cards).
- C. Purpose. RFO FAR 13. Simplified acquisition procedures are used to:
 - 1. Reduce administrative costs;
 - 2. Improve opportunities for small disadvantaged, women-owned, veteran-owned, HUBZone, and service-disabled veteran-owned small business concerns to obtain a fair proportion of Government contracts;
 - 3. Promote efficiency and economy in contracting; and
 - 4. Avoid unnecessary burdens for agencies and contractors.
- D. Policy. RFO FAR 13.001(b). Agencies may use simplified procedures to the maximum extent practicable for all purchases of supplies or services not exceeding the simplified acquisitions threshold, unless the services or supply are available from:
 - 1. A required sources of supply listed in RFO FAR Part 8 (e.g., Federal Prison Industries, Committee for Purchase from People Who are Blind or Severely Disabled, and Federal Supply Schedule contracts);
 - 2. An existing indefinite delivery/indefinite quantity contract; or
 - 3. Another previously established contract.
- E. Simplified Acquisition Thresholds (SAT). There are four categories of purchases authorized to use some form of simplified acquisition procedures.

¹ GAO Report to Congressional Committees, September 2003, Contract Management, No Reliable Data to Measure Benefits of the Simplified Acquisition Test Program, GAO-03-1068, p. 2.

Three of the four categories are primarily defined by thresholds, while the fourth does not have a threshold. The following chart summarizes the thresholds:

Purchase Type	Normal Threshold	Purchase made (or awarded & performed) <i>inside</i> the U.S.: 1) In support of a <u>contingency operation</u>; 2) To facilitate the defense against or recovery from cyber, nuclear, biological, chemical, or radiological (CNBCR) attack; 3) In support of a request from the Secretary or State or USAID to facilitate international disaster assistance; or 4) In support of an emergency or major disaster.	Purchase made (or awarded & performed) <i>outside</i> the U.S. (Same four categories as <i>inside</i> the U.S.)
Micro-Purchase	\$15,000	\$25,000	\$40,000
Standard Simplified Acquisition	\$350,000/\$500,000	\$1,000,000	\$2,000,000
Commercial Products and Commercial Services	\$9,000,000	\$15,000,000	\$15,000,000
Personal Services	None	None	None

1. Micro-Purchase Threshold (MPT). Acquisition of supplies or services, the aggregate amount of which does not exceed \$15,000, are called micro purchases. In the case of construction, the limit is \$2,000, in the case of acquisitions subject to the Service Contract Labor Standards the limit is \$2,500, and in the case of acquisitions from institutions of higher education or related nonprofit entities, or nonprofit or independent research entities the limit is in excess of \$15,000 if determined appropriate by the head of agency. FAR 2.101.
 - a. If the head of the agency (delegated to head of contracting activity for DOD) determines the acquisitions of supplies or services is in support of a contingency operation or to facilitate defense against or recovery from cyber, nuclear, biological, chemical or radiological attack; to support a request from the Secretary of State or Administrator of the United States Agency for International Development (USAID) to facilitate provision of international disaster assistance pursuant to chapter 9 of part I of the Foreign Assistance Act of 1961, or in support of an emergency or major disaster (as those terms are defined in section 102 of the Robert T. Stafford Disaster Relief

and Emergency Assistance Act (42 U.S.C. 5122)), the micro-purchase threshold increases to \$25,000 for any contract to be awarded and performed, or purchase to be made inside the U.S. FAR 2.101, MPT(3)(i).

- b. If the head of the agency (delegated to head of contracting activity for DOD) determines the acquisitions of supplies or services is in support of a contingency operation or to facilitate defense against or recovery from cyber, nuclear, biological, chemical or radiological (CNBCR) attack; to support a request from the Secretary of State or Administrator of the United States Agency for International Development to facilitate provision of international disaster assistance pursuant to chapter 9 of part I of the Foreign Assistance Act of 1961, or in support of an emergency or major disaster (as those terms are defined in section 102 of the Robert T. Stafford Disaster Relief and Emergency Assistance Act (42 U.S.C. 5122)), the micro-purchase threshold increases to \$40,000 for any contract to be awarded and performed, or purchase to be made outside the U.S. FAR 2.101, MPT(3)(ii), *see* AFARS Appendix GG for further delegations.

- (1) Purchases using this authority must have a clear and direct relationship to the support of a contingency operation or the defense against or recovery from CNBCR attack.
- (2) The government-wide commercial purchase card (GPC) is the preferred method of making micro-purchases, although any of the contract vehicles may be used if agency procedures allow it. RFO FAR 12.403. DoD requires the use of the GPC for all purchases at or below the micro-purchase threshold, with limited exceptions. RFO DFARS 213.270; *see* AFARS 5113.270-90 (for Army-specific requirements for the GPC program).
- (3) No provisions or clauses are required for micro-purchases, but they may be used. RFO FAR Part 8 DOES apply to micro-purchases. RFO FAR 13.401.
- (4) Competition is not required if the authorized individual considers the price reasonable. To the extent practicable, micro-purchases shall be distributed equitably among qualified suppliers. RFO FAR 13.401(b).

2. Simplified Acquisition Threshold (SAT). Acquisitions of supplies or services in the amount of \$350,000 or less are called simplified acquisitions. They may use the simplified acquisition procedures listed in RFO FAR Part 13.
 - a. The SAT increases to \$1,000,000 for contract awards and purchases inside the U.S. if the head of the agency (delegated to head of contracting activity for DOD) determines the acquisition of supplies or services is to be used to in support of a *contingency operation*, to facilitate defense against or recovery from CNBCR attack, in support of a request from the Secretary of State or the USAID Administrator to facilitate the provision of international disaster assistance pursuant to chapter 9 of part I of the Foreign Assistance Act of 1961, or in support of an emergency or major disaster (as those terms are defined in section 102 of the Robert T. Stafford Disaster Relief and Emergency Assistance Act (42 U.S.C. 5122)). FAR 2.101.
 - b. The SAT increases to \$650,000 for contract awards and purchases outside the U.S. if the head of the agency (delegated to the head of contracting activity for DOD) determines the acquisition of supplies or services is to be used to in support of a *humanitarian or peacekeeping operation*, as defined in FAR 2.101.
 - c. The SAT increases to \$2 million for contract awards and purchases outside the U.S. if the head of the agency determines the acquisition of supplies or services is to be used to in support of a contingency operation or to facilitate defense against or recovery from CNBCR attack, in support of a request from the Secretary of State or the USAID Administrator to facilitate the provision of international disaster assistance pursuant to chapter 9 of part I of the Foreign Assistance Act of 1961, or in support of an emergency or major disaster (as those terms are defined in section 102 of the Robert T. Stafford Disaster Relief and Emergency Assistance Act (42 U.S.C. 5122)).
3. Commercial Products and Commercial Services Threshold. Simplified procedures for commercial products and commercial services are authorized for the acquisition of those items, as defined in FAR 2.101, for amounts up to \$9 million. RFO FAR 12.001; see Acquisition Attorneys Deskbook Chapter 11.

- a. For a contingency operation or to facilitate the defense against or recovery from CNBCR attack against the United States, the \$9 million commercial item threshold increases to \$15 million. *See* RFO FAR 12.001(c); *See* AFARS 5113.500(c)(1) and Appendix GG (Delegable within the Army to the Head of the Contracting Activity).
 - b. Congress created the commercial product and service authority to promote efficiency and economy in contracting and to avoid unnecessary burdens for agencies and contractors. 10 U.S.C. § 3205. Therefore, agencies should take advantage of the simplified acquisition method of acquisitions whenever possible in conjunction with the commercial product and service authority. *See East West Research, Inc.*, B-239516, Aug. 29, 1990, 90-2 CPD ¶ 178 (In keeping with their purpose promoting efficiency and economy in contracting small purchase procedures are specifically excepted from the full and open competition requirements of the Competition in Contracting Act of 1984 and the mandatory use of commercial item descriptions); *see also American Eurocopter Corporation*, B-283700, Dec. 16, 1999, 99-2 CPD ¶ 110 (agency used authority of FAR 13.5 to purchase a Bell Helicopter).
4. Personal Services. Agencies must not contract for personal services unless specifically authorized by statute (e.g., 5 U.S.C. 3109). RFO FAR 37.201-1.

IV. DEFINITIONS

- A. Authorized Individual. A person who has been granted authority under agency procedures to acquire supplies and services in accordance with the simplified acquisition procedures of RFO FAR Part 13.
- B. Commercial Service and Commercial Product. *See* FAR 2.101 (but updated in the RFO FAR 2.101) and Chapter 11 of the Acquisition Attorneys Deskbook.
- C. Contingency Operation. For purposes of determining the applicable SAT, a contingency operation is a military operation that is designated by the Secretary of War as an operation in which members of the armed forces are or may become involved in military actions, operation, or hostilities against an enemy of the United States or against an opposing military force; or a military operation that results in the call or order to, or retention on, active duty of members of the uniformed services under section 688, 12301(a), 12302, 12304, 12305, or 12406 of chapter 15 of title 10, United States Code, or any other provision of law during a war or national emergency declared by the President or Congress. FAR 2.101 and 10 U.S.C. § 101(a)(13).

- D. Governmentwide Commercial Purchase Card. A purchase card, similar in nature to a commercial credit card, issued to authorized agency personnel to use to acquire and to pay for supplies and services. RFO FAR 12.403(a)(1).
- E. “In support of.” For purposes of determining applicable SAT, the determination as to whether the supplies or services are to be used in support of such a contingency operation is to be made by the head of the agency, which for the Army is the Assistant Secretary of the Army (Acquisition, Logistics and Technology) (ASA (ALT)). FAR 2.101. See AFARS Appendix GG for further delegations under the micro-purchase threshold.
- F. Imprest Fund. A cash fund of a fixed amount established by an advance of funds, without charge to an appropriation, from an agency finance or disbursing officer to a duly appointed cashier, for disbursement as needed from time to time in making payment in cash for relatively small amounts. DoD FMR 7000.14-R, Vol. 5, Definitions.
- G. Humanitarian or Peacekeeping Operation. A military operation in support of the provision of humanitarian or foreign disaster assistance or in support of a peacekeeping operation under chapter VI or VII of the Charter of the United Nations. The term does not include routine training, force rotation, or stationing (10 U.S.C. § 3015(2) and 41 U.S.C § 153(2)). FAR 2.101.
- H. Purchase Order. A government offer to buy certain supplies or services, including construction and research and development, upon specified terms and conditions, using simplified acquisition procedures. FAR 2.101 and RFO FAR 12.201-1.
- I. Request for Quotations (RFQ). When a Contracting Officer solicits vendors to fill an agency need while using simplified acquisitions procedures, the solicitation is called a Request for Quotations. Vendors’ responses to fill the agency needs are called “quotations.” A quotation is not an offer, and consequently, cannot be accepted by the government to form a binding contract. The order by the government is the offer. When the contractor accepts the government’s order, a legal contract is formed. RFO FAR 12.201-1.

V. POLICY PRE-REQUISITES

- A. General Rule: RFO FAR 13.000 implements simplified procedures for the acquisition of noncommercial products and services valued at or below the simplified acquisition threshold (SAT) in accordance with 41 U.S.C. 1901-1903, 1905, and 3305.
- B. Overview of Pre-Requisites. There are pre-requisites to using SAP.
 - 1. The procedures in RFO FAR 13 may be used only if -

- a. (a)(1) There are no commercial products or commercial services that can satisfy the agency's needs; and
 - b. (a)(2) The supplies or services are not available from a required source.
- 2. Follow the procedures in RFO FAR 13.001(b) when procuring non-commercial products and services valued at greater than the MPT but at or below the SAT, except
 - a. (b)(1) When procuring architect-engineering services, follow the short selection process at RFO FAR 36.202-4;
 - b. (b)(2) When procuring construction as a noncommercial service, comply with the requirements in RFO FAR part 36 for construction contracts and RFO FAR 36.301(c) on labor standards for contracts involving construction; and
 - c. (b)(3) When procuring research and development, use the procedures in this part in conjunction with the procedures in RFO FAR part 35, as appropriate.
 - d. Do not divide requirements, the aggregate value of which exceeds the SAT, merely to permit use of the procedures in this part. RFO FAR 13.001(c).
 - e. *But see* Petchem, Inc. v. United States, 99 F. Supp.2d 50 (D.D.C. 2000) (Navy did not violate CICA by purchasing tugboat services on a piecemeal basis when it used an ID/IQ contract, even though total value of the services were expected to exceed SAT, because actual requirement was indeterminate and a prior competitive solicitation did not result in reasonable offers); Mas-Hamilton Group, Inc., B-249049, Oct. 20, 1992, 72 Comp. Gen. 6, 92-2 CPD ¶ 259 (Where an agency was not in a position to proceed with fully competitive award for critical items, agency's utilization of small purchase procedures to make interim, emergency filler buys on an as-needed, urgent basis was not improper).
- 3. Required Source of Supply or Service: If the agency's requirement can be met by using a required source of supply or a required source of services under RFO FAR Part 8, then the agency must acquire the item in that manner. RFO FAR 13.001(a)(2); *see* RFO FAR 8.101.
- 4. Small Business Set-Aside. All acquisitions exceeding the micro-purchase threshold but under the SAT are reserved exclusively for small business concerns and shall be set aside for small business concerns. RFO FAR 13.102.

- a. Exceptions. In general, the small business set-aside requirement above does not apply to:
 - (1) Purchases at or below the micro-purchase threshold, or purchases from required sources of supply under RFO FAR Part 8. RFO FAR 19.104-1(c).
 - (2) Purchases occur outside the United States or its outlying areas. RFO FAR 19.000(b).
 - (3) There is no reasonable expectation of obtaining quotations from two or more responsible small business concerns that are competitive in terms of market prices, quality, or delivery. This is called the Rule of Two. RFO FAR 19.112(a)(1). However, there are small business programs that permit or require awards to small business even where the Rule of Two is not met.
- b. For a more complete discussion of small business set-asides, please refer to Chapter 14.

VI. COMPETITION REQUIREMENTS

- A. General Rules. RFO FAR 13.101.
 - 1. The Competition in Contracting Act of 1984 (CICA) exempts simplified acquisition procedures from the requirement that agencies obtain full and open competition. 10 U.S.C. § 3205; 41 U.S.C. § 3305.
 - 2. For simplified acquisitions, CICA requires only that agencies obtain competition to the “**maximum extent practicable**” to obtain supplies and services from the source whose offer is the most advantageous to the government, considering the administrative cost of the purchase. 10 U.S.C. § 3205(c); 41 U.S.C. § 3305(d); RFO FAR 13.101.
- B. Defining “maximum extent practicable.”
 - 1. Agencies must make reasonable efforts, consistent with efficiency and economy, to give responsible sources the opportunity to compete.
 - a. RFO FAR 12.201-1(c)(2). To promote competition, for acquisitions at or below the SAT, the KO may choose to solicit quotations directly from suppliers. When soliciting directly –
 - (1) Post a pre-solicitation notice in the GPE;
 - (2) Solicit quotations from at least three sources; and

- (3) Whenever practicable, solicit quotations from two sources not included in the previous solicitation.
- b. Contracting Officers may solicit from a single source based on a determination and findings that only one source is reasonably available (e.g., urgency, exclusive licensing agreements, brand-name or industrial mobilization). RFO FAR 13.101(b).
- (1) PR Newswire Assn, LLC, B-400430, Sept. 26, 2008 (despite incumbent's lack of actual notice, agency's posting on FEDBIZOPPS (previous government-wide point of entry) sufficed for constructive notice); Optelec U.S. Inc., B-400349, B400349.2, 16 Oct. 2008 (Optelec found solicitation one day before proposals due; GAO held once advised solicitation would be posted on FEDBIZOPPS, it was Optelec's responsibility to obtain it).
 - (2) Gateway Cable Co., B-223157, Sep. 22, 1986, 65 Comp. Gen. 854, 86-2 CPD ¶ 333 (agency failed to satisfy competition to the maximum extent practicable when it failed to solicit the protesting vendor, who called the Contracting Officer 19 times in regards to an acquisition requirement).
 - (3) While the "maximum extent practicable" standard can generally be met through the solicitation of at least three sources, an agency may not deliberately fail to solicit a responsible source that has expressed interest in competing without a reasonable basis for questioning the source's ability to meet the agency's needs. Solutions Lucid Group, LLC, B-400967, Comp. Gen., Apr. 2, 2009 (vendor exclusion for use of non-domestic products on prior purchase order unreasonable when domestic requirement no longer applied to current purchase); Military Agency Servs. Pty., Ltd., B-290414 et al., Aug. 1, 2002, 2002 CPD ¶ 130 (deliberate vendor exclusion from competition for a BPA order not decided by GAO because vendor unable to show it would have had a substantial chance of award, but for the agency's actions); Bosco Contracting, Inc., B-270366, Mar. 4, 1996, 96-1 CPD ¶ 140 (deliberate exclusion of incumbent from solicitation for two-month interim services contract unreasonable where incumbent asked to compete and incumbent's alleged poor past performance was unsupported by the record).

- c. Contracting Officers should generally solicit the incumbent.
 - (1) An agency's failure to solicit an incumbent, however, is not an automatic violation of the requirement to promote competition to the maximum extent practicable.
 - (2) Rather, the determinative question is whether an agency that deliberately excluded a firm that expressed an interest in competing acted reasonably. PR Newswire Assn, LLC, B-400430, 26 Sept. 2008, 2008 CPD ¶ 178 (incumbent claimed no actual notice, but GAO held that post on FEDBIZOPPS put it on constructive notice).

C. Considerations for soliciting competition.

- 1. An agency should not include restrictive provisions, such as specifying a particular manufacturer's product, unless it is absolutely necessary to satisfy the agency's needs. *See* American Eurocopter Corporation, B-283700, Dec. 16, 1999, 99-2 CPD ¶ 110 (finding reasonable the solicitation for a Bell Helicopter model 407); *But see* Delta International, Inc., B-284364.2, May 11, 2000, 2000-1 CPD ¶ 78 (agency could not justify how only one type of x-ray system would meet its needs). *See also* RFO FAR 11.102(a)(1).
- 2. Sole Source Acquisitions.
 - a. For items under the SAT, an agency may limit requesting quotations or offers to a single source ONLY IF the contacting officer has determined that only one source is reasonably available (e.g., urgency, exclusive licensing agreements, brand name, or industrial mobilization). RFO FAR 13.101(b).
 - b. For acquisitions valued at or below the SAT, document the decision that only one source is available and the basis for the decision. RFO FAR 12.102(a) and 41 U.S.C. 1901.
 - c. For commercial products and commercial services in excess of the SAT, a formal J&A is required pursuant to the requirements listed in RFO FAR 12.102(b) and Table 12-1; 41 U.S.C. 1901 and 1903.
 - d. Agencies must provide potential offerors a reasonable opportunity to respond to the agency's notice of intent to award on a sole source basis. *See* Jack Faucett Associates, Inc., B-279347, June 3, 1998, 98-1 CPD ¶ 155 (unreasonable to issue purchase order one day after providing notice of intent to sole-source award); Information Ventures, Inc., B-293541, Apr. 9,

2004, 2004 CPD ¶ 81 (1 1/2 business days does not provide potential sources with a reasonable opportunity to respond, particularly where the record does not show a need for the short response period and the agency knew of the requirement well in advance of issuing the notice). Similarly, RFO FAR 5.201(c)(3) requires publication of a brand name justification.

3. Micro-purchases & Competition. RFO FAR 13.401 and 13.101.
 - a. Competition is not required for a micro-purchase if the Contracting Officer or the individual appointed in accordance with RFO FAR 1.403-2 determines that the price is reasonable. RFO FAR 13.203(a); Michael Ritschard, B-276820, Jul. 28, 1997, 97-2 CPD ¶ 32 (Contracting Officer properly sought quotes from two of five known sources and made award).
 - b. To the extent practicable, micro-purchases shall be distributed equitably among qualified suppliers. RFO FAR 12.402(a); *See Grimm's Orthopedic Supply & Repair*, B-231578, Sept. 19, 1988, 88-2 CPD ¶ 258 (agency properly distributed orthopedic business based on a rotation list).

VII. SIMPLIFIED ACQUISITION METHOD OF CONTRACTING

- A. Policy. Follow the simplified procedures at RFO FAR 12.201-1 for issuing requests for quotations (RFQs). Agencies are encouraged to use additional innovative approaches and may leverage the other flexibilities identified in that section; however, if using blanket purchase agreements (BPAs), the maximum value of each individual purchase under a BPA may not exceed the SAT. RFO FAR 13.201.
- B. Request for Quotations – Legal Formation of the Contract.
 1. The government may request submission of either quotations or offers when using RFO FAR Part 12 and Part 13 procedures. A quotation is not an offer and cannot be accepted by the government to form a binding contract. RFO FAR 12.201-1(b); *see also Eastman Kodak Co.*, B-271009, May 8, 1996, 96-1 CPD ¶ 215 (DOT properly cancelled the RFQ after determining that (1) the solicitation did not meet its minimum needs, and (2) more relaxed specifications would result in more savings and competition).
 2. Offer. After considering the quotations, if the government is interested, it submits an order, which is a legal offer to buy supplies or services under specified terms and conditions. A supplier creates a contract when it accepts the government's order. RFO FAR 12.201-1(b). C&M Mach. Prods., Inc., ASBCA No. 39635, 90-2 BCA ¶ 22,787 (Apr.

4,1990) (vendor's response to purchase order proposing a new price was a counteroffer that the government could accept or reject); *see also* Kingdomware Technologies, B-407628, Jan. 9, 2013, 2013 CPD ¶ 27 (agency not required to remove all uncertainty from the mind of every prospective vendor).

3. Acceptance. RFO FAR 12.201-1(b). A Contractor may accept a government order by:
 - a. Notifying the government, preferably in writing;
 - b. Furnishing the supplies or services; or
 - c. Proceeding with work to the point where substantial performance has occurred.
 - (1) When does substantial performance occur?² *See* the case study following "Cancellation of an RFQ" below.
 - (2) Sunshine Cordage Corp., ASBCA 38904, 90-1 BCA 22,382 at 112,471 (Oct. 18, 1989) (citing Klass Engineering, Inc., ASBCA 22052, 78-2 BCA 13,236, at 64,716, modified and aff'd on recon., 78-2 BCA 13,463. *See also*, Tefft, Kelly and Motley, Inc., GSBCA 6562, 83-1 BCA 16,177, at 80,388 (Dec 13, 1982) (teaching contractor entitled to compensation for preparation expense incurred before government terminated contract).
4. Cancellation of an RFQ. A contracting agency needs a reasonable basis to support a decision to cancel an RFQ and issue a new solicitation. Deva & Assoc. PC, B-309972.3, Apr. 29, 2008, 2008 CPD ¶ 89 at. 3.
 - a. A reasonable basis to cancel exists when, for example, an agency determines that a solicitation does not accurately reflect its needs, or where there is a material increase in the services needed to satisfy the agency's requirements. Logistics Solutions Group, Inc., B-294604.7, July 28, 2005, 2005 CPD ¶ 141 at 3. *See also* Monbo Grp. Int'l, B-420925.2, November 21, 2022, 2022 CPD ¶ 288 (it was within the agency's discretion to cancel the procurement based on its concern that

² "Substantial performance" is performance short of full performance, but nevertheless good faith performance in compliance with the contract except for minor and relatively unimportant deviations. RALPH C. NASH, ET AL., THE GOVERNMENT CONTRACTS REFERENCE BOOK, at 611-12 (4th ed. 2013).

the procurement process was compromised by errors inherent in the solicitation.)

- b. A solicitation may be cancelled where, during the course of the procurement, the item or services involved are discovered to be on, or have been added to, a required source list. Best Foam Fabricators, Inc., B-259905.3, Jun. 16, 1995, 95-1 CPD ¶ 275 at 2 (item added to the list on 9 January during the procurement and agency properly canceled the procurement on 30 January when original awardee could not perform). *But see* OSC Solutions, Inc., B-401498, Sept. 14, 2009, 2009 CPD ¶ 185 (RFQ may not be cancelled and a BPA sole-sourced to the Industries of the Blind under the authority of the Javits-Wagner-O'Day (JWOD) Act when an item is not yet added to the JWOD procurement list).
- c. Cancellation versus Termination. If acceptance of an order has occurred in writing, the agency must terminate the contract rather than cancel it. Termination normally involves a monetary settlement for the vendor. RFO FAR 13.302.

Case Study: GSA solicited quotes for instructors to teach a four-week acquisition course in Arlington, Virginia. GI, who was one of several vendors, sent a quote for \$6,800. GSA issued the purchase order to GI on April 21. On May 11, GSA gave GI the course materials and GI began reviewing them immediately. On May 18, a losing vendor filed a protest with GAO protesting the award to GI. On May 27, GSA canceled the purchase order with GI. GAO dismissed the protest on 2 June after GSA stated it canceled the order due to the use of “defective evaluation criteria” in the selection of instructors. GI filed a T4C settlement proposal to recover \$3,849.20, based on an hourly teaching rate of \$50.00 per hour. GI stated he incurred 61 hours of preparation time plus overhead expenses. GSA paid GI a total settlement of \$425.00. GI appealed to the GSBCA.

Question: Did GI accept the government’s purchase order by substantial performance such that there was a binding contract?

Answer: The government requested dismissal, arguing that GI had not “accepted” the government’s purchase order, so no legally binding contract existed. However, the GSBCA stated “so long as the contractor does not ask to change the terms of the contract after issuance of a purchase order, acceptance of an offer occurs once the contractor commences ‘substantial performance’ of the order, which in turn creates a binding contract.” In this case, the GSBCA found that acceptance had occurred by examining the actions of both parties. The GSBCA stated that when the government provided GI the course materials and they received and began reviewing them, acceptance had occurred. The GSBCA also noted that by paying \$425.00, the Contracting Officer had correctly decided a binding contract existed (there could be no settlement if there was no contract). The GSBCA ultimately awarded GI a termination settlement of \$2,236.92. Giancola & Associates vs. GSA, GSBCA 12128, Feb. 5, 1993.

C. Authority to Combine Methods of Contracting.

1. For acquisitions under the SAT for other than commercial products or commercial services, authorized individuals may use any appropriate combination of the procedures in RFO FAR Part 13 (simplified acquisitions for Non-Commercial Acquisitions), RFO FAR Part 14 (sealed bidding), RFO FAR Part 15 (contracting by negotiation), RFO FAR Part 35 (research and development contracting), or RFO FAR Part 36 (construction and architect-engineer contracts). RFO FAR Part 13.001.
2. For acquisitions of commercial products or commercial services valued at greater than \$9 million, use the procedures in this subpart in conjunction with the procedures in RFO FAR part 15 for requests for proposals (RFP) or RFO FAR part 14 for invitations for bids, as appropriate. Use of an RFP is the preferred method because it includes consideration of part performance when evaluating offers. RFO FAR 12.201-2 and RFO FAR 12.203(a)(2).

D. Evaluation Procedures & Criteria.

1. Evaluations must be conducted fairly and in accordance with the terms of the solicitation. Kathryn Huddleston & Assocs., Ltd., B-289453, Mar. 11, 2002, 2002 CPD ¶ 57; Finlen Complex Inc., B-288280, Oct. 10, 2001, 2001 CPD ¶ 167; Diebold, Inc., B-404823, Jun 2, 2011 (“It is a fundamental principle of government procurement that competition must be conducted on an equal basis, that is, offerors must be treated equally and be provided with a common basis for the preparation of their proposals.”). When using simplified acquisitions, agencies must still follow stated evaluation criteria. Low & Associates, Inc., B-297444.2, Apr. 13, 2006, 2006 CPD ¶ 76 (LAI successfully

protested Nat'l Science Foundation award claiming agency waived material solicitation requirements).

- a. Sea Box, Inc., B-405711.2, Mar. 19, 2012, 2012 CPD ¶ 116 (GAO will review allegations of improper agency actions in conducting simplified acquisitions to ensure that the procurements are conducted consistent with a concern for fair and equitable competition and with the terms of the solicitation); *see also* Novex Enterprises, B-407914, April 5, 2013, 2013 CPD ¶ 97 (protester's argument that it was improper to consider awardee's shorter delivery schedule has no merit because the solicitation specifically provided for the consideration of both price and non-price factors in the award decision, and also stated that one of the non-price factors was offered delivery).
- b. Agency unreasonably evaluated the protester's bid of an equal product under a brand name or equal solicitation conducted under simplified acquisition procedures where the solicitation lacked salient characteristics and the equal product was not shown to be significantly different from the brand name product. *See* Veterans Healthcare Supply Solutions, Inc., B-407223.2, Dec. 13, 2012, 2013 CPD ¶ 3.

2. Evaluation Procedures. The Contracting Officer has broad discretion in creating suitable evaluation criteria. RFO FAR 12.203. The procedures in RFO FAR Part 14 (Sealed Bidding) and RFO FAR Part 15 (Contracting by Negotiation) are NOT mandatory. At the Contracting Officer's discretion, one or more, but not necessarily all, of the evaluation procedures in RFO FAR Part 14 or 15 may be used. RFO FAR 12.203(c). *See* Cromartie and Breakfield, B-279859, Jul. 27, 1998, 98-2 CPD ¶ 32 (upholding rejection of quote using Part 14 procedures for suspected mistake). When the Contracting Officer uses procedures outlined in RFO FAR Parts 14 or 15, GAO will evaluate the government's conduct in light of the standards outlined in those Parts. *See* ERIE Strayer Company, B-406131, Feb. 21, 2012 ("Although an agency is not required to conduct discussions under simplified acquisition procedures, where an agency avails itself of negotiated procurement procedures, the agency should fairly and reasonably treat offerors in the conduct of those procedures."). *See* Tipton Textile Rental, Inc., B-406372, May 9, 2012, 2012 CPD ¶ 156 (GAO sustained the protest because the agency opened discussions, but then failed to consider protestor's responses); *see also* Acad. Leadership, LLC, B-419705.2, Sept. 30, 2021, 2021 CPD ¶ 333 (GAO sustained a protest where the agency's conduct of discussion in a simplified acquisition was not fair or equitable, rendering it meaningless.)

3. Contracting Officers shall consider all quotations or offers that are timely received. RFO FAR 12.203(c)(1).
 - a. The Government can solicit and receive new quotations any time before contract formation, unless a request for quotations establishes a firm closing date. Technology Advancement Group, B-238273, May 1, 1990, 90-1 CPD ¶ 439; ATF Constr. Co., Inc., B-260829, July 18, 1995, 95-2 CPD ¶ 29.
 - b. When a purchase order has been issued prior to receipt of a quote, the agency's decision not to consider the quote is unobjectionable. Comspace Corp. B-274037, Nov. 14, 1996, 96-2 CPD ¶ 186.
 - c. Agency was not obligated to consider vendor's quote where the record shows that the agency did not receive written verification of information related to the quote and the vendor was advised that failure to respond would constitute withdrawal of quote. B&S Transport, Inc., B-407589, Dec. 27 2012, 2012 CPD ¶ 354.
4. If a solicitation contains no evaluation factors other than price, price is the sole evaluation criterion. AMBAC International, B-234281, May 23, 1989, 89-1 CPD ¶ 492 (price was the only term solicited from each participating contractor).
5. If using price and other factors, ensure quotations can be evaluated in an efficient and minimally burdensome fashion. Formal evaluation plans, discussions, and scoring of quotations are not required. Contracting Officers may conduct comparative evaluations of offers. RFO FAR 12.203(c); *see* United Marine International LLC, B-281512, Feb. 22, 1999, 99-1 CPD ¶ 44 (discussions not required).
6. Evaluation of other factors, such as past performance:
 - a. Does not require the creation or existence of a formal database; and
 - b. May be based on information such as the Contracting Officer's knowledge of, and previous experience with, the supply or service being acquired, customer surveys, or other reasonable basis. RFO FAR 12.203(c); *See* MAC's General Contractor, B-276755, July 24, 1997, 97-2 CPD ¶ 29 (reasonable to use protester's default termination under a prior contract as basis for selecting a higher quote for award, even if protestor is appealing the T4D); Environmental Tectonics Corp., B-280573.2, Dec. 1, 1998, 98-2 CPD ¶ 140 (Navy properly

considered evidence of past performance from sources not listed in vendor's quotation).

E. Award and Documentation. RFO FAR 13.203 and RFO FAR 12.204.

1. Basis of Award. RFO FAR 12.203(b). When soliciting quotes or offers, the Contracting Officer shall notify potential quoters or vendors of the basis on which award will be made (price alone or price and other factors, e.g., past performance and quality). Notice and a brief explanation of the basis for the contract award decision to unsuccessful vendors shall be provided if requested. RFO FAR 13.301.
2. Price Reasonableness. The Contracting Officer must determine that a price is fair and reasonable before making a contract award. RFO FAR 13.203(a); *see Preferred Systems Solutions, Inc.*, B-407234, B-407234.2, Nov. 30, 2012 (protest challenging agency's price realism evaluation denied where agency compared quotes to IGE and to each other and considered awardee's labor hours, mix, and rates).
3. Documentation.
 - a. Include in the contract file a written description of the procedures used in awarding the purchase order and the number of quotations received. RFO FAR 13.203(b).
 - b. When using simplified procedures (RFO FAR 12.201-1), include in the contract file a written description of the procedures used in awarding the contract and the number of quotations received. RFO FAR 12.204(b).
 - c. The Contracting Officer **must** include a statement in the contract file supporting the award decision if other than price-related factors were considered in selecting the supplier. Universal Building Maintenance, Inc., B-282456, Jul. 15, 1999, 99-2 CPD ¶ 32 (protest sustained because Contracting Officer failed to document award selection, and RFO FAR Parts 12 and 13 required some explanation of the award decision). *See also Resource Dimensions, LLC*, B-404536, Feb. 24, 2011, 2011 CPD ¶ 50 (“[E]ven for procurements under simplified acquisition procedures, it is a fundamental principle of government accountability that an agency be able to produce a sufficient record to allow for a meaningful review where its procurement actions are challenged...Where an agency fails to adequately document its actions, it bears the risk that there may not be adequate supporting rationale in the record for us to conclude that the agency had a reasonable basis for the source selection decision.”).

- F. Authority to Innovate. Agencies are encouraged to use additional innovative approaches and may leverage the other flexibilities identified in that section. However, if using blanket purchase agreements (BPA), the maximum value of each individual purchase under a BPA may not exceed the SAT. RFO FAR 13.201.
1. Example of an Innovative Approach: Reverse Auctions. Prospective contractors bid down the price to compete to provide the product sought by the government. *See* Thomas F. Burke, *Online Reverse Auctions*, West Group Briefing Papers (Oct. 2000).
 - a. An increasing number of GAO cases deal directly with reverse auctions. *See, e.g.,* Native American Construction Services, LLC, B-415386, B-415386.2, Jan. 2, 2018; Royal Hawaiian Movers, B-288653, Oct. 31, 2001, 2001 CPD ¶ 182; Pacific Island Movers, B-287643.2, July 19, 2001, 2001 CPD ¶ 126. The GAO has also issued a report with 21 recommendations regarding the proper and effective use of reverse auctions. U.S. Government Accountability Office, GAO-18-446, *Reverse Auctions: Additional Guidance Could Help Increase Benefits and Reduce Fees* (July 2018), <https://www.gao.gov/products/GAO-18-446>.
 - b. In general, the use of reverse auctions has been sustained by GAO. *See* MTB Group, B-295463, Feb. 23, 2005 (concluding that procurement using reverse auction format is permissible because agency is conducting reverse auction under simplified acquisition procedures which encourage use of innovative procedures). There has been some recent criticism of reverse auctions, including that they typically require contractors to disclose their prices to each other (contractors are informed whether they are the current low bidder, but don't see the name of the low-bidding contractor or the actual bid price until close of the auction); the pricing competition saves money for the government but reduces prices to levels that small business cannot afford; the reverse auction websites sometimes have confusing default language for evaluation criteria; reverse auction platforms often require fees which are not always understood by contracting professionals and requiring activities; and reverse auctions fail to take into account past performance and other non-price factors that help the government achieve the best value on a specific procurement.
 - c. For DoD, RFO DFARS 217.7801 prohibits the use of reverse auctions when procuring items designated by the requiring activity as personal protective equipment or an aviation critical safety item, when the requiring activity advises the Contracting

Officer that the level of quality or failure of the equipment or item could result in combat casualties.

VIII. PUBLICIZING AGENCY CONTRACT ACTIONS

- A. Policy. Prior to awarding government contracts, agencies must comply with the publicizing requirements of RFO FAR Part 5.
- B. Exception for contract actions outside the United States. The Contracting Officer need not submit a notice to the governmentwide point of entry (GPE) if the proposed contract action is by a defense agency and the proposed contract action will be made and performed outside the United States and its outlying areas, and only local sources will be solicited. This exception does NOT apply to proposed contract actions covered by the World Trade Organization Government Procurement Agreement or a Free Trade Agreement. RFO FAR 5.301 and 5.302 and Table 5-4.
- C. Definitions.
 - 1. Publicizing means to disseminate information in a public forum so that potential vendors are informed of the agency's need and the agency's proposed contract action. As the value of the anticipated acquisition increases, agencies have to meet more stringent requirements to ensure the proposed contract action is disseminated to the public.
 - 2. Posting is a limited form of publicizing where a Contracting Officer informs the public of a proposed contract action by displaying a summary of the anticipated solicitation (a pre-solicitation), or displaying the actual solicitation, in a public place (usually a "contract action display board" outside the contracting office), or by an equivalent electronic means (usually a contracting office webpage).
 - 3. A pre-solicitation is a notice to the public that summarizes the anticipated solicitation. At a minimum, a pre-solicitation must include a clear and concise description of the supplies or services that the agency needs. The description must not be unnecessarily restrictive of competition and should allow prospective offerors to make an informed business judgment as to whether they should seek more information (a copy of the solicitation) and/or offer to fulfill the agency need. RFO FAR 5.201, Table 5-2 and Table 5-3.
 - 4. A solicitation means any request to submit offers or quotations to the Government. Solicitations under sealed bidding procedures are called "invitations for bids" or IFB. Solicitations under negotiated procedures are called "requests for proposals" or RFP. Solicitations under simplified acquisition procedures may require submission of either a

quotation or an offer (FAR 2.101), but most frequently take the form of a “request for quotation” or RFQ.

D. Publicizing Requirements. Contracting Officers must publicize proposed contract actions as follows:

1. For proposed contract actions less than \$15,000, there are no required publicizing requirements. *See* RFO FAR 5.201 and Table 5-3.
2. For proposed contract actions expected to exceed \$25,000 but less than the Simplified Acquisitions Threshold (SAT), agencies must synopsise on the Government-wide Point of Entry (GPE)³ for at least **15 days**, and then issue a solicitation and allow a “reasonable opportunity to respond.” RFO FAR 5.101 and Table 5-1.
3. When acquiring commercial products or commercial services whose value exceeds the SAT, the Contracting Officer may publicize the agency need, at his/her discretion, in one of two ways:
 - a. Combined Pre-solicitation/Solicitation: Agencies may issue a combined pre-solicitation/solicitation on the GPE in accordance with the procedures detailed at RFO FAR 5.201. The agency issues a combined pre-solicitation/solicitation and then provides a “reasonable opportunity to respond.” *See* RFO FAR 5.201; RFO FAR 12.202(b)(2).
 - b. Shortened Pre-solicitation/Solicitation: Agencies may issue a separate pre-solicitation and solicitation on the GPE. The pre-solicitation must remain on the GPE for a “reasonable opportunity to respond,” *which may be less than 15 days*. The agency should then issue the solicitation on the GPE, providing potential vendors a “reasonable opportunity to respond” to the solicitation, *which may be less than 30 days*. RFO FAR 5.201 and Table 5-3.
 - c. Reasonable Response Time. Contracting Officers shall establish deadlines for the submission of responses to solicitations that afford suppliers a reasonable opportunity to respond. RFO FAR 5.201 and Table 5-3. *See* American Artisan Productions, Inc., B-281409, Dec. 21, 1998, 98-2 CPD ¶ 155 (finding fifteen-day response period reasonable); Military Agency Services Pty., Ltd., B-290414 et al., Aug. 1, 2002 (finding near immediate response period (24 hours) reasonable where publication requirements did not apply overseas; only prices were requested; all requested sources timely submitted quotes; and due to security concerns, agency routinely received

³ The GPE is available online at the System for Award Management website, *available at* <https://sam.gov/>.

and filled requests for picket boat services within a 72-hour period). *Cf. KPMG Consulting*, B-290716, B-290716.2, Sept. 23, 2002, 2002 CPD ¶ 196 (agency may, if not prohibited by solicitation, consider a late quote if acceptance will not prejudice the other competitors).

4. Pre-solicitation requirements. RFO FAR 5.101; RFO FAR 5.201; and RFO FAR 5.301.

- a. The pre-solicitation must include a statement that all responsible sources may submit a quotation, bid, or proposal, as appropriate, which will be considered by the agency. RFO FAR 5.101(c)(4)(vi).
- b. The pre-solicitation must be posted not later than the date the solicitation is issued and must remain posted for at least 10 days or until after quotations have been opened, whichever is later. RFO FAR 5.101, Table 5-2.
- c. If solicitations are posted instead of a pre-solicitation, the Contracting Officer may employ various methods of satisfying the description of supplies or services required by RFO FAR 5.201(c) and (d).
- d. Exception to Posting Requirement. Per RFO FAR 5.101(b)(1)(i), a pre-solicitation notice is not required if the solicitation will be posted in the GPE and allow for electronic submission of offers.

E. Methods of soliciting quotes.

- 1. Simplified Procedures: Quotations. RFO FAR 12.201-1(b).
 - a. For acquisitions valued up to \$9 million, issue a request for quotations (RFQ) followed by a purchase order.
 - b. Neither a quotation nor the purchase order issued by the Government in response to a quotation form a binding contract. The purchase order is the Government's offer to a supplier to buy certain products or services upon specified terms and conditions. RFO FAR 12.201-1(b)(1).
 - c. A binding contract is formed when the supplier accepts the Government's offer, either by written acceptance of the purchase order or substantial performance of the purchase order. The Contracting Officer may request the contractor provide written acceptance of the order. RFO FAR 12.201-1(b)(2).

2. Simplified Procedures: Method. RFO FAR 12.201-1(c).
 - a. To promote competition to the maximum extent practicable—
 - (1) Normally, post RFQs in the Governmentwide Point of Entry (GPE). Use the Standard Form (SF) SF 1449, Solicitation/Contract/Order for Commercial Products and Commercial Services; or SF 18, Request for Quotations; or similar agency form or automated format. For acquisitions greater than the SAT, combine the pre-solicitation notice and the RFQ according to RFO FAR 12.202(b).
 - (2) For acquisitions at or below the SAT, the Contracting Officer may choose to solicit quotations directly from suppliers. When soliciting directly-
 - (a) (i) Post a pre-solicitation notice in the GPE according to subpart 5.1, unless an exception in RFO FAR 5.101(b) applies;
 - (b) (ii) Solicit quotations from at least three sources; and
 - (c) (iii) Whenever practicable, solicit quotations from two sources not included in the previous solicitation.
 - b. This is an exploding growth area involving numerous “e-government” initiatives.
 - (1) In December 2002, the President established an e-government office within the White House Office of Management and Budget. E-Government Act of 2002, Pub. L. No. 107-347.
 - (2) On May 12, 2004, the Office of Federal Procurement Policy issued a memorandum on the subject of “Utilization of Commercially Available Online Procurement Services,” which encouraged agencies to take advantage of these services for the acquisition of commercial items, including goods and services.
 - (3) Electronic Signatures in federal procurement. 65 Fed. Reg. 65,698 (Nov. 1, 2000) (*see* FAR 2.101 and RFO FAR 4.002).

- (4) From 2001 until 2019, the mandatory single point of electronic access to government-wide procurement opportunities was www.fbo.gov. On 12 November 2019, the GSA announced that FBO.gov [Federal Business Opportunities] is retired, and beta.SAM.gov became the authoritative location for finding contract opportunities and the official U.S. government website for people who make, receive, and manage federal awards. Now, beta.sam.gov has been replaced by <https://sam.gov/>.
 - (5) Section 508 of the Rehabilitation Act of 1973. As of June 25, 2001, government contracts awarded for electronic and information technology (EIT) must contain technology that is accessible to disabled federal employees and disabled members of the public (“508 Compliant”). 66 Fed. Reg. 20,894 (Apr. 25, 2001); *see also* RFO FAR 39.104.
- 3. Innovation. RFO FAR 12.201-1(d).
 - a. In line with RFO FAR 1.102, Guiding principles for the System, agencies are encouraged to use additional innovative approaches to the maximum extent practicable when soliciting quotations and issuing purchase orders to—
 - (1) Reduce administrative costs and lead time;
 - (2) Improve opportunities for small business concerns;
 - (3) Promote efficiency and economy in contracting; and
 - (4) Avoid unnecessary burdens for agencies and contractors.

IX. PURCHASING TECHNIQUES

- A. General. There are several simplified acquisition options for procuring items: Unpriced Purchase Orders (RFO FAR 12.201-1(e)(2)); Blanket Purchase Agreements (RFO FAR 12.201-1(e)(3)); Imprest Funds (RFO FAR 12.403(c)); and Governmentwide Commercial Purchase Card (GPC) (RFO FAR 12.403(a)(1)).
- B. Unpriced Purchase Orders. RFO FAR 12.201-1(e)(2).
 - 1. Definition. An unpriced purchase order is an order for supplies or services, the price of which is not established at the time of issuance of the order. An unpriced purchase order may be used only when it is

impractical to obtain pricing in advance of issuance of the purchase order. A purchase order is different than a delivery or task order, which is placed against an established contract (*e.g.*, a delivery order for supplies might be placed against an existing indefinite delivery type contract; a task order is used to order services from an indefinite delivery contract).

2. Examples of such situations include:
 - a. Repairs to equipment requiring disassembly to determine the nature and extent of repairs;
 - b. Material available from only one source and for which cost cannot readily be established; or
 - c. Supplies or services for which prices are known to be competitive, but exact prices are not known (*e.g.*, miscellaneous repair parts, maintenance agreements).
3. When issuing an unpriced purchase order, include-
 - a. A realistic monetary limitation (either for each line item or for the total order) that is an obligation subject to adjustment once a firm price is established; and
 - b. The following statement: This is a firm order ONLY if your price does not exceed the maximum line item or total price in the Schedule. Submit invoices to the Contracting Officer. If you cannot perform in exact accordance with this order, Withhold Performance, and notify the Contracting Officer immediately, giving your quotation.
 - c. Follow up on each order to ensure timely pricing. Review the invoice price and, if the price is reasonable (see RFO FAR 12.204(a)), process the invoice for payment.
4. Forms and Format. RFO FAR 12.204(c).
 - a. SF 1449, Solicitation/Contract/Order.
 - (1) The SF 1449 is a multipurpose form used for negotiated purchases of supplies or services, delivery or task orders, inspection and receiving reports, and invoices.
 - (2) Contracting Officers use this form for purchases of commercial items. Per RFO DFARS 213.307, if SF 1449 is not used, DD Form 1155 (Order for Supplies or Services) should be used. *See also* RFO FAR 12.204(c).

- (3) Except when quotations are solicited electronically or orally, the SF 1449, SF 18, or an agency automated form is used to request quotations.
 - b. SF 44 Purchase Order – Invoice Voucher. This is a multipurpose pocket-size purchase order form designed primarily for on-the-spot, over-the-counter purchase of supplies and nonpersonal services while away from the purchasing office or at isolated activities. RFO FAR 12.403. Due to the increased use and acceptance of the GPC, the use of the SF44 within DoD is typically limited to purchases of overseas transactions in support of a contingency environment, and purchases in support of certain intelligence activities. U.S. Government fuel cards may be used in lieu of a SF 44 for fuel, oil, and authorized refueling-related items. RFO DFARS 213.306(a)(1).
 - (1) Because the SF 44 is used only for on-the-spot purchases of supplies or services that are immediately available, no clauses are used with this form. Properly authorized field ordering officers may also use the SF44, but only up to the micro-purchase threshold.
 - (2) Contracting Officers may use it in limited circumstances and only when advantageous to the Government if all of the following conditions are satisfied:
 - (a) The amount of the purchase is at or below the micro-purchase threshold or higher dollar thresholds established by an agency for purchases made under unusual and compelling urgency or in support of contingency operations.
 - (b) The supplies or services are immediately available, and one delivery and one payment will be made.
 - (c) Its use is determined to be more economical and efficient than use of the Governmentwide commercial purchase card. RFO FAR 12.403(b)(4).
5. Termination or cancellation of purchase orders. RFO FAR 13.302.
- a. The Government may withdraw, amend, or cancel purchase orders by written notice to the supplier at any time before acceptance of the order occurs (see RFO FAR 12.303). See

Alsace Industrial, Inc., ASBCA No. 51708, 99-1 BCA ¶ 30,220 (holding that the government's offer under the unilateral purchase order lapsed by its own terms when Alsace failed to deliver on time); Master Research & Mfg., Inc., ASBCA No. 46341, 94-2 BCA ¶ 26,747 ("By failing to deliver the specified item on time, the offer lapsed and consequently its cancellation by the Government was valid.").

- b. If the supplier did not accept the purchase order in writing, request that the supplier provide written acceptance of the cancellation.
 - (1) Cancel the purchase order, if the contractor accepts the cancellation; or
 - (2) Process the termination action if the contractor does not accept the cancellation or claims that it incurred costs as a result of beginning performance. RFO FAR 12.303 and RFO FAR 13.302. *But see* Rex Sys., Inc., ASBCA No. 45301, 93-3 BCA ¶ 26,065 (contractor's substantial performance only required government to keep its unilateral purchase order offer open until the delivery date, after which the government could cancel when goods were not timely delivered).
- c. If the contractor does not accept the cancellation or claims that costs were incurred as a result of the contractor beginning performance under the purchase order, follow the procedures in RFO FAR part 49 or RFO FAR 52.213-4 to terminate the purchase order.

C. Blanket Purchase Agreements (BPA). RFO FAR 12.201-1(e)(3).

- 1. Definition. A blanket purchase agreement (BPA) is a method of filling anticipated repetitive needs for supplies or services by establishing "charge accounts" with qualified sources of supply. The Government is only obligated to the extent that authorized orders are placed under BPAs.
 - a. A BPA is **not** a contract. The actual contract is not formed until an order is issued or the basic agreement is incorporated into a new contract by reference. Zhengxing v. U.S., 71 Fed. Cl. 732, 738 (2006) (COFC lacks Contract Disputes Act jurisdiction over BPA because it is not a contract); Modern Systems Technology Corp. v. United States, 24 Cl.Ct. 360, 363 (1991) (BPA is a "mere framework for future contracts"); Envirosolve, LLC, B-294974.4, June 8, 2005, 2005 CPD ¶ 106

(summarizing the law surrounding BPAs and sustaining a protest involving BPAs for failing to comply with competition requirements); Prod. Packaging, ASBCA No. 53662, 03-2 BCA ¶ 32,388 (ASBCA 2003) (stating “it is well established that a BPA is not a contract. Rather, a BPA is nothing more than an agreement of terms by which the government could purchase.”).

- b. BPAs may be established with-
 - (1) More than one supplier for supplies or services of the same type to provide maximum practicable competition; or
 - (2) A single firm from which numerous individual purchases at or below the simplified acquisition threshold will likely be made in a given period.
- c. If, for a particular purchase greater than the micro-purchase threshold, there is an insufficient number of BPAs to ensure maximum practicable competition, the Contracting Officer shall-
 - (1) Solicit quotations from other sources and make the purchase as appropriate; and
 - (2) If practical, establish additional BPAs to facilitate future purchases if recurring requirements for the same or similar supplies or services seem likely and qualified sources are willing to accept BPAs.
- d. The existence of a BPA does not justify soliciting from only one source or avoiding small business set-asides. The requirements in RFO FAR 12.201-1(e)(3)(i),(ii), and (iii) apply to each order under the BPA.
- e. Since a BPA is not a contract, there is no established jurisdiction under the Contract Disputes Act (CDA). Zhengxing v. U.S., 71 Fed. Cl. 732, 739 (2006); Julian Freeman, ASBCA No. 46675, Oct. 27, 1994, 94-3 BCA ¶ 135,906.

2. The BPA must include-

- a. A statement that the supplier will furnish supplies or services, described in general terms, if and when requested by authorized individuals during a specified period and within a stipulated aggregate amount, if any.

- b. A statement that the Government is obligated only to the extent of authorized purchases actually made under the BPA.
 - c. The dollar limitation for each individual purchase under the BPA, which may not exceed the threshold for use of simplified procedures at RFO FAR 12.201-1(e)(3)(iv).
 - d. A list of individuals authorized to place orders or make purchases under the BPA.
 - e. Information that must be included in delivery or shipment documentation.
 - f. Instructions for proper invoicing under the BPA (e.g., process for periodic billings).
 - g. Any clauses that may be applicable to purchases under the BPA (see RFO FAR 12.205(b)).
3. Review BPAs at least annually to ensure that authorized procedures are being followed. Maintain awareness of changes in market conditions, sources of supply, and other pertinent factors that may warrant making new agreements with different suppliers or modifying existing agreements.
4. The FAR authorizes the creation of BPAs under the Federal Supply Schedule (FSS) “if not inconsistent with the terms of the applicable schedule contract.” RFO FAR 8.104.
- a. When a commercial product or commercial service meets an agency’s needs and is available on an existing contract or Blanket Purchase Agreement awarded for Governmentwide use (such as the Federal Supply Schedule, Governmentwide Acquisition Contract, or other Indefinite-Delivery, Indefinite-Quantity contracts), the agency –
 - (1) Must use the existing government-wide contract or blanket purchase agreement to buy the supply or service if the contract has been designated by the Office of Federal Procurement Policy a “required use” contract, unless the head of the contracting activity provides an exception (e.g., because the contract’s terms and conditions, scope, or performance period do not meet the agency’s needs); and
 - (2) Should consider use of other existing government-wide contracts or blanket purchase agreements if there is not

a suitable “required use” contract to meet the agency’s needs.

D. Imprest Funds. RFO FAR 12.403(c); RFO DFARS 213.305.

1. Use imprest funds as one of the following methods as a primary means of making micro-purchases.
 - a. Imprest funds and third-party drafts may be used to acquire supplies or services if an agency receives authorization from the Department of Treasury to use these methods and the purchases are made in accordance with Part IV of the Treasury Financial Manual for Guidance of Departments and Agencies.
 - b. An imprest fund transaction shall not exceed \$500 or such other limits as have been approved by the agency head. A third-party draft transaction shall not exceed \$2,500, unless authorized at a higher level in accordance with Treasury restrictions.
2. DOD Policy. DOD generally does not support the use of cash payments from imprest funds, with limited exceptions for contingency and classified operations. This policy is based, in part, on the mandatory electronic funds transfer requirements of the Debt Collection Improvement Act of 1996 (Pub. L. 104-134).
3. DOD Use.
 - a. Use of imprest funds must comply with the conditions stated in the DOD Financial Management Regulation (FMR) 7000.14-R, Volume 5, Chapter 2, Section 9, Imprest Funds (June 2025); Treasury Financial Manual (TFM), Vol.1, Part 4A, Chapter 3000, section 30165 and RFO DFARS 213.305.
 - b. On a very limited basis, installation commanders and commanders of other activities with contracting authority may be granted authority to establish imprest funds. RFO DFARS 213.305-3(d)(i). Approval is required from the Director for Financial Commerce, Office of the Deputy Chief Financial Officer, Office of the Under Secretary of Defense (Comptroller), except in the case of contingency operations and classified transactions. RFO DFARS 213.305-3(d)(ii).
 - c. The DoD FMR explains, “Imprest funds are generally not authorized for DoD activities. Exceptions are allowed for contingency and classified operations. Submit specific requests for exception in accordance with Chapter 1 [of DoD FMR, Vol. 5]. Include adequate justification and demonstrate that the use

of a government purchase card, third party draft, purchase card convenience check, government travel card, or other reasonable alternatives are not feasible for the specific situation.” DoD FMR Vol. 5, Chapter 2, para. 9.1.

- d. RFO DFARS 213.305-3(d)(iii) provides that imprest funds can be used without further approval for:
 - (1) Overseas transactions at or below the micro-purchase threshold in support of a contingency operation as defined in 10 U.S.C. § 101(a)(13) or a humanitarian or peacekeeping operation as defined in 10 U.S.C. § 3015(2); and
 - (2) Classified transactions.
- e. The DoD FMR provides additional limitations on the use and safeguarding of imprest funds on the rare occasions that they are authorized. *See* DoD FMR Vol. 5, Chapter 2, para. 9.2.
- f. The use of imprest funds has been largely displaced by the use of Government-wide Commercial Purchase cards.

E. Governmentwide Commercial Purchase Card. RFO FAR 12.403; RFO DFARS 213.270; RFO DFARS 213.301.

- 1. Use the government purchase card as one of the following methods as a primary means of making micro-purchases.
- 2. The Governmentwide commercial purchase card is authorized for use in making purchases of supplies, services, or construction. Contracting Officers and other individuals designated according to part 1 may use the Governmentwide commercial purchase card. The card may be used only for purchases authorized by law or regulation.
- 3. The GPC is authorized for use in making and/or paying for purchases of supplies, services, or construction.⁴ DOD Contracting Officers must use the card for all acquisitions at or below the micro-purchase card threshold unless a specific exception applies. RFO DFARS 213.270.
- 4. Implementation.
 - a. Currently, the General Services Administration (GSA) runs this initiative through the SmartPay purchase charge card program.

⁴ DOD’s purchase card limit is \$25,000 if the criteria in RFO DFARS 213.301(2) are met. RFO DFARS 213.301(3) permits a Contracting Officer supporting a contingency, humanitarian, or peacekeeping operation to make purchases that exceed the micro-purchase threshold but do not exceed the SAT so long as other stated criteria are met.

Information on this program can be found at <https://smartpay.gsa.gov>.

- b. Procedures and purchasing authority differ among agencies. *See, e.g.*, AFARS 5113.202-90, 5113.270-90, & Appendix EE (Army); DAFI 64-117, 19 May 2022 (Air Force). Policies applicable to the DoD can be found on the Defense Procurement Acquisition Policy Website at <https://www.acq.osd.mil/asda/dpc/ce/pc/docs-guides.html>.
 - a. Agencies must have effective training programs in place to avoid card abuses. The Army GPC SOP is located in the AFARS as Appendix EE. Training Requirements are established in Section 4.
5. Required Sources. GPC Cardholders must still abide by the FAR's provisions for required sources of supply and services. For example, cardholders must utilize required sources of supply. *See* Memorandum, Administrator of the Office of Federal Procurement Policy, to Agency Senior Procurement executives, subject: Applicability of the Javits-Wagner-O'Day Program for Micro purchases (Feb. 16, 1999).
6. Restrictions.
- a. Agency-specific policies may restrict what GPC holders can purchase.⁵ Most agencies will restrict cash advances.
 - b. The GPC may not be used to purchase long-term rental or lease of land or buildings.
 - c. The GPC may not be used for travel or travel-related expenses. *See* AFARS, Appendix EE, Appendix C for exceptions.
 - d. When using the Governmentwide commercial purchase card as a method of payment, orders at or below the micro-purchase threshold are exempt from verification in the System for Award Management as to whether the contractor has a delinquent debt subject to collection under the Treasury Offset Program. RFO FAR 16.506(e).
- (1) Contracting Officers must check the System for Award Management (SAM) database when the contract or

⁵ *See, e.g.*, AFARS, Appendix EE, Appendix C: Prohibited Purchases. For example, ASA(ALT) memo of 31 Oct 2011, "Mandatory Use of Blanket Purchase Agreements (BPAs) for Office Supplies," requires cardholders to use established Army-wide BPAs to fill needs for office supplies, absent one of several listed exceptions. Memo available at <http://acc.army.mil/contractingcenters/acc-nj/CreditCard/PolicyAndSOP/Mandatory%20Use%20of%20BPA%20for%20Supplies.pdf>

order is over the micro-purchase threshold, even if purchasing from GSA. GPC holders are exempt as long as the purchase is under the micro-purchase threshold.

- (2) Contracting Officers must not use the presence of the SAM debt flag indicator to exclude a contractor from receipt of the contract award or issuance or placement of an order. RFO FAR 32.1108(b)(2)(iii).
- (3) The Contracting Officer may take steps to authorize payment by Governmentwide commercial purchase card when a contractor alerts the Contracting Officer that the SAM debt flag indicator has been changed to no longer show a delinquent debt. RFO FAR 32.1108(b)(2)(iv).

7. Uses.

- a. To make micro-purchases.
- b. To place task or delivery orders (if authorized in the basic contract, basic ordering agreement, or BPA).
- c. To make payments when the contractor agrees to accept payment by the GPC card.
- d. Additional uses and guidance for DoD are described above and are included in DFARS 213.301.
- e. As a general rule, **DO NOT ISSUE THE GPC TO CONTRACTORS!** *But see* AFARS, Appendix EE, para. 1-5, GPC Authority, providing that certain contractors working under cost type contracts may request a GPC, as well as additional exceptions.
- f. Department of the Air Force Instruction (DAFI) 64-117, Government Purchase Card Program (19 May 2022).

8. “Control Weaknesses.” Several GAO reports and a DOD IG Audit Report have identified control weaknesses that leave agencies vulnerable to fraud and abuse. DOD IG Audit Report, Controls Over the DoD Purchase Card Program, Rept. No. D-2002-075, 29 March 2002; GAO Rept. No. 02-676T, Government Purchase Cards: Control Weaknesses Expose Agencies to Fraud and Abuse, (May 1, 2002); GAO Rept. No. 02-506T, Governmentwide Purchase Cards: Actions Needed to Strengthen Internal Controls to Reduce Fraudulent, Improper, and Abusive Purchases, March, 2008; GAO Rept. No. 17-276, Government Purchase Cards: Little Evidence of Potential Fraud

Found in Small Purchases, but Documentation Issues Exist, Feb. 2017.
Problem areas include:

- a. Lack of Training for both GPC cardholders and issuing/approving officials.
- b. Selecting Cardholders and Assigning Approving Officials. Cardholders should be mature, responsible individuals. Approving Officials should be individuals with some supervisory responsibility over individual cardholders.
- c. Inadequate Internal Controls. Poor review and approval procedures lead to fraudulent transactions and mistakes. Internal controls must also account for the management and accounting of personal property after purchase to ensure that an otherwise legitimate purchase is not converted to personal use.
- d. Splitting purchases. Splitting a known requirement into multiple smaller procurements to avoid formal contracting procedures, competition requirements, or to keep spending limitations under the micro-purchase threshold is an impermissible, but tempting, pitfall for cardholders and commands.
- e. Insufficient documentation. Failure to obtain and retain complete documentation of micro purchases. This makes it difficult for GAO and other auditors to verify whether transactions followed the appropriate approval processes and increases the risk that fraud, GPC misuse, and other abusive activity could occur without detection.

9. Practical Pointers

- a. Training. Army Training requirements can be found at AFARS, Appendix EE, Section 4, Training Requirements. The training must be completed prior to issuance of appointment letters and/or establishment of GPC accounts. Online training is available from the GSA SmartPay website at <https://training.smartpay.gsa.gov>.
- b. Issue cards only to GOVERNMENT employees (NOT contractors) who are authorized and trained to use the GPC.
- c. Authorizing officials should be responsible for no more than 5-7 cardholders. Authorizing officials should have some supervisory responsibility over their cardholders.
- d. Authorizing officials should not also be a cardholder.

- e. Scrutinize single purchases and monthly spending limits.
- f. Closely monitor the use of convenience checks.
- g. The DoD has issued an extensive Guidebook related to establishing and maintaining Purchase, Travel, and Fuel Card programs. The guidebook was last released on 3 June 2020 https://www.acq.osd.mil/asda/dpc/ce/pc/docs/guides-docs/DoD_Govt_Charge_Card_Guide_06_03_20.pdf.

X. FEDERAL SUPPLY SCHEDULE

A. Background.

1. The General Services Administration (GSA), under the General Services Administration Acquisition Manual (GSAM/R) Part 538, manages the Federal Supply Schedule (FSS) program pursuant to Section 201 of the Federal Property Administrative Services Act of 1949. Pursuant to 41 U.S.C. § 152(3), RFO FAR Part 8 prescribes the policies and procedures that GSA must follow in managing the Schedule program. Additionally, the GSAM/R prescribes GSA's acquisition policies and practices.⁶
2. The purpose of the FSS program, also known as a Multiple Award Schedule (MAS), is to provide federal, state, and local government buyers⁷ with a simplified process for obtaining commonly used commercial supplies and services at prices associated with volume buying. To that end, the FSS program currently provides over eleven million commercial products and services, at established prices, for given periods of time.
3. In essence, FSS contracts are long-term indefinite delivery, indefinite-quantity (IDIQ) multiple award contracts awarded by GSA to commercial vendors.⁸ Government agencies place orders or establish

⁶ Under delegated authority by GSA, the Department of Veterans Affairs (VA) manages multiple award contracts for medical equipment, pharmaceutical, and service Schedule programs. The VA Schedule contracts function GSA Schedule contracts in support of the VA and other Federal agencies, but there are differences (e.g., the industrial funding fee rates for VA Schedule contracts are different than the rate for GSA Schedule contracts). For more information, *see* "VA Federal Supply Schedule Service," <https://www.fss.va.gov/> (last visited 18 June 2024).

⁷ Under 40 U.S.C. § 502, the Administrator of General Services may provide for use of the FSS by state and local governments to purchase certain categories of goods and services or purchase goods and services to recover from major disasters. *See* Congressional Research Service, "GSA's Federal Supply Schedule: Programs for State and Local Governments," (6 April 2020), at: <https://crsreports.congress.gov/product/pdf/IN/IN11312> (last visited 18 June 2024).

⁸ A MAS contract's period of performance normally consists of a 5-year base ordering period and three 5-year optional ordering periods.

Blanket Purchase Agreements (BPA) against a FSS pursuant to the procedures in RFO FAR 8.104.

4. Historically, GSA maintained 24 Schedules. Examples include:
 - Schedule 36 – Office, Imaging and Document Solution;
 - Schedule 66 – Scientific Equipment and Services;
 - Schedule 70 – General Purpose Commercial Information Technology Equipment, Software, and Services;
 - Schedule 00CORP – Professional Services; and
 - Schedule 03FAC – Facilities Maintenance and Management.
5. While these legacy FSS contracts still exist, in Fiscal Year 2020, GSA began transitioning to a single consolidated FSS contract, the Consolidated Multiple Award Schedule (CMAS). One goal of this consolidation was to make it easier for ordering agencies to find and obtain total solutions under one contract vehicle. Consistent with that goal, GSA organized and consolidated the FSS's goods and services into 12 large categories. Examples of these categories include: Office Management; Furniture and Furnishings; Human Capital; Information Technology; Security and Protection; Transportation and Logistics; and Professional Services. Once an ordering agency identifies the desired category of goods or services, it selects the appropriate subcategory, and then, the specific good or service, which is identified by a Special Item Number (SIN). For instance, the Office Management category contains a Document Services subcategory, which contains SIN 51821DC, Document Conversion Services.

B. Determining Whether to Use the FSS.

1. According to GSAM/R 538.000, GSA may delegate certain responsibilities for other agency acquisition programs as they relate to the establishment of individual federal supply schedules.
2. The authority of other agencies to award FSS contracts can ONLY be accomplished through delegation from GSA. An agency delegated authority by GSA to award contracts under the FSS program is responsible for complying with GSA regulations and policies that apply to the FSS program, unless an exception is approved by GSA. See GSAM/R 538.001
3. According to RFO FAR 8.104, when supplies or services are unavailable from the mandatory sources listed above, agencies should procure commercial products and commercial services, including those

that can be modified to fill agencies' needs, to the maximum extent possible, in accordance with the policy of Executive Order 14271, Ensuring Commercial, Cost-Effective Solutions in Federal Contracts.

4. Acquisition planning (RFO FAR Part 7) and market research (RFO FAR Part 10) will help to guide an agency's decision about how to fulfill a requirement and may indicate that use of the FSS is the best procurement approach.
5. Whether the agency satisfies a requirement through an order placed against a MAS contract/BPA or through an open market purchase from commercial sources is a matter of business judgment that the GAO will not question unless there is a clear abuse of discretion. AMRAY, Inc., B-210490, Feb. 7, 1983, 83-1 CPD ¶ 135.
6. For Department of Defense (DoD), in accordance with RFO DFARS 208.404(a)(ii), for direct or assisted acquisitions exceeding the Simplified Acquisition Threshold (SAT), DoD agencies may not use the FSS for an order or a BPA without making the determinations found at RFO DFARS 217.7.⁹
 - a. Determinations.¹⁰ As implemented at AFARS 5117.770, an official assigned to the Requiring Activity (RA), in a grade not lower than O-6 or GS-15, must approve the following determinations found at RFO DFARS 217.770(a)-(c):
 - (1) Use of the non-DoD contract (e.g., FSS) is in the best interest of the DoD considering satisfaction of the customer requirements, schedule, cost effectiveness¹¹ (taking into account discounts and fees),^{21F}¹² and contract administration;
 - Fees. All MAS contract holders must report their FSS sales and remit to GSA an Industrial Funding Fee (IFF) based upon a percentage of those sales. *See* GSAM/R 552.238-80. Since

⁹ RFO DFARS 217.7, Interagency Acquisitions: Acquisitions by Non-Defense Agencies on Behalf of the Department of Defense, implements section 854 of the National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2005 (Pub. L. 108-375), section 801 of the NDAA for FY 2008 (Pub. L. 110-181), and section 806 of the NDAA for FY 2010 (Pub. L. 111-84), and it prescribes policy for the acquisition of supplies and services through the use of contracts or orders issued by non-DoD agencies.

¹⁰ On the PROCUREMENT.ARMY.MIL (PAM) website, a template for this determination, dated January 2022, can be found at: [https://spcs3.kc.army.mil/asaalt/procurement/Compass/Templates/Non-DoD%20Contract%20Approval%20\(JAN%202022\).pdf?web=0](https://spcs3.kc.army.mil/asaalt/procurement/Compass/Templates/Non-DoD%20Contract%20Approval%20(JAN%202022).pdf?web=0) (last visited 18 June 2024).

¹¹ An agency may consider administrative costs in deciding whether to proceed with a MAS order, even though it knows it can satisfy requirements at a lower cost through a competitive procurement. Precise Copier Services, B-232660, Jan. 10, 1989, 89-1 CPD ¶ 25.

¹² *See* DFARS PGI 217.770(a)(3) (establishing additional procedures for assessing the total cost of any fees).

January 1, 2004, the IFF has been .075 percent. This fee funds GSA's costs associated with running the FSS program, and MAS contract holders generally pass the IFF along to ordering agencies by building it into the price of the goods and services offered on the FSS.

- (2) Tasks to be accomplished or supplies to be provided are within the scope of the contract to be used;¹³ and
 - (3) The acquisition will use the proper funds in accordance with the appropriation's limitations.¹⁴
- b. Concurrence. In addition to the RA's approval of the determinations, its responsible contracting office must concur with the use of the non-DoD contract. AFARS 5117.770(1). AFARS 5117.770(2) identifies the approval levels for the concurrence with further delegations at AFARS Appendix GG.
7. For orders over \$750,000, additional requirements from RFO FAR 17.500(c)(2) also apply when applicable.¹⁵
8. FSS contract must be valid at the time of award. DRS Precision Echo, Inc., B-284080; B-284080.2, Feb. 14, 2000, 2000 CPD ¶ 26 (order placed against an expired FSS contract constitutes an improper sole-source award); NCS Techs., Inc., B-417956; B-417956.2, Dec. 13, 2019, 2019 CPD ¶ 427 (FSS schedule contract's period of performance must be sufficient to cover the potential duration of the anticipated BPA).

C. Use of the FSS.

- 1. Applicable RFO FAR Parts.
 - a. RFO FAR Subpart 8.4, Federal Supplies Schedules, sets forth the procedures for placing orders or establishing Blanket Purchase Agreements against the FSS.
 - b. Other applicable FAR Parts and Subparts include:
 - c. RFO FAR Part 7, Acquisition Planning;

¹³ See Scope, *infra* Para. I(1).

¹⁴ See Acquisition Attorneys Deskbook Chapter 5, Funding and Fund Limitations.

¹⁵ See generally Acquisition Attorneys Deskbook Chapter 32, Interagency Acquisitions; see also Defense Pricing and Contracting (DPC) website, Contract Policy on Interagency Acquisition at: <https://www.acq.osd.mil/asda/dpc/cp/policy/interagency-acquisition.html> (last visited 18 June 2024).

- RFO FAR Part 10, Market Research;
- RFO FAR Part 12, Acquisition of Commercial Products and Commercial Services;
- RFO FAR Subpart 17.5, Interagency Acquisitions;
- RFO FAR Subpart 17.7, Interagency Acquisitions by Nondefense Agencies on Behalf of the DoD;¹⁶
- RFO FAR Subpart 33.1, Protests; and
- RFO FAR Part 39, Acquisition of Information Technology.¹⁷

D. Procedures for Placing Orders and Establishing BPAs against FSS Contracts.

1. Acquisitions valued at or below the MPT.
 - a. Place order or establish BPA with any FSS contractor that can meet the need.
 - b. Although not required to solicit from a specific number of FSS contractors, ordering activities should attempt to distribute orders among FSS contractors.
2. Acquisitions valued above the MPT, but not above the SAT.
 - a. When the product, service, or solution is clearly defined and is available for purchase at a fixed-price (e.g., capability-as-a-service, subscription, training) place the order after—
 - (1) Considering reasonably available information about the product, service, or solution by surveying three or more FSS contractors on GSA Advantage;
 - (2) Considering reasonably available information about the product, service, or solution by reviewing the FSS contract catalogs of three or more FSS contractors;

¹⁶ See also the requirements of RFO DFARS 217.701 (Discussed *supra* at Para. B(3)).

¹⁷ See RFO DFARS 208.405(1) discussing the need for a supply chain risk (see DFARS subfactor 239.73) evaluation factor when acquiring information technology supplies or services involving a covered system. See generally GSA Office of the Inspector General report, “Multiple Award Schedule Contracts Offered Prohibited Items, Putting Customers at Risk of Unauthorized Surveillance by Foreign Adversaries,” (10 July 2023), at: <https://www.gsaig.gov/content/multiple-award-schedule-contracts-offered-prohibited-items-putting-customers-risk> (last visited 18 June 2024).

- (3) Publishing an RFQ on GSA's eBuy; or
 - (4) Issuing an RFQ to three or more FSS contractors.
 - b. When the product, service, or solution is not clearly defined, involves OLMs, requires a statement of objectives, statement of work, or performance work statement, or is not available for purchase at a fixed-price—
 - (1) Publish an RFQ on GSA's eBuy; or
 - (2) Issue an RFQ to three or more FSS contractors.
 - c. When the product, service, or solution is to be procured on a sole source basis, execute a justification in accordance with GSAM/R 538.7104-3(a).
- 3. Acquisitions above the SAT
 - a. Unless a justification is executed and approved in accordance with GSAM/R 538.7104-3(b)—
 - (1) Publish an RFQ on GSA's eBuy; or
 - (2) Issue an RFQ to as many FSS contractors offering the product, service, or solution as practicable, to reasonably ensure that quotations will be received from at least three FSS contractors. If fewer than three quotations are received, document the file by describing how no additional FSS contractors capable of meeting the need could be identified despite reasonable efforts taken.
 - b. RFQs must describe the work to be performed and the basis on which selection will be made.
 - c. Fairly consider all quotations received by evaluating and making award according to the basis described in the RFQ.
- 4. Content requirements. FSS BPAs must, at a minimum, include—
 - a. Sufficient detail about the need, such as scope of work;
 - b. An ordering period, inclusive of any options or award terms;
 - c. Ordering activity requirements (e.g., invoicing, delivery, and discounts/other concessions) that are not otherwise included in the FSS contract; and

- d. Ordering procedures that—
 - (1) Identify the customers/individuals authorized to place orders and any limitations surrounding the placement of orders;
 - (2) For multiple-award BPAs, ensure that orders above the SAT are solicited from—
 - (a) All BPA holders; or
 - (b) As many BPA holders as practicable and document when three qualified BPA holders were not solicited.
 - 5. Duration. FSS BPAs may be established with an ordering period that extends beyond the current term of a contractor's FSS contract, so long as there are option periods in the contractor's FSS contract that, if exercised by the FSS Contracting Officer, will cover the FSS BPA's ordering period, including options and award terms.
 - 6. Review. On an annual basis or prior to exercise of an option or award of an award term, FSS BPAs must be reviewed and a written determination made as to whether—
 - a. The BPA still represents the best value;
 - b. Estimated quantities/amounts have been reached or exceeded;
 - c. The BPA ordering procedures are being followed;
 - d. Additional price discounts or other concessions can be obtained; and
 - e. The FSS contract, against which the BPA is established, is still in effect.
 - 7. Ordering. When placing orders against multiple-award FSS BPAs, follow the ordering procedures established by the FSS BPA.
- E. Issuing a Request for Quotations (RFQ). GSAM/R 538.7102-2.
- 1. To solicit quotations for orders and BPAs against FSS contracts, issue a Request for Quotation (RFQ). A quotation is not an offer. Consequently, the procedures described in this subpart are not considered negotiations or source selection. Ordering activities are not required to have evaluation plans, score quotations, or establish a competitive range before communicating with quoters or soliciting

revised quotations. To maximize efficiency, ordering activities are encouraged to use innovative RFQ approaches when placing orders and establishing FSS BPAs.

a. Ordering activities MUST —

- (1) Follow RFO FAR parts 4, 7, 10, and 11, to the extent necessary, for purposes of planning, conducting market research, and defining their needs. For example, ordering activities may use FSS e-tools (e.g., GSA Advantage) to search for and compare products, services, and solutions offered under the FSS program.
- (2) Comply with the requirements of RFO FAR 12.1 when placing an order, including orders under FSS BPAs, using a contract type other than fixed-price.
- (3) Check the System for Award Management (SAM.gov) for active contractor exclusion records prior to award.
- (4) Award the FSS order to (or establish the FSS BPA with) the FSS contractor that represents the best value (as defined by FAR 2.101) and notify any unsuccessful quoters.
- (5) Document the file to the extent necessary to support the award decision, such as demonstrating that each quotation submitted by an FSS contractor in response to an RFQ was fairly considered. See GSAM/R 538.7104-3 for additional documentation requirements when the order is to be placed, or FSS BPA established, on a sole source basis.
- (6) If an unsuccessful quoter requests information on an award within 3 days after the date on which that quoter received notification of contract award, provide a brief explanation of the award decision that explains why the unsuccessful quoter was not selected.

b. Ordering activities MAY —

- (1) Set aside, reserve or otherwise place orders or establish FSS BPAs with small business concerns identified in RFO FAR part 19.
- (2) Seek further price discounts or other concessions before placing an order or establishing an FSS BPA.

- (3) Place orders orally when using the procedures in GSAM/R 538.7103-1 or 538.7103-2(a).

c. Ordering activities are not required to—

- (1) Determine contractor responsibility at the order level or BPA level as contractor responsibility has been determined at the FSS contract level.
- (2) Make a fair and reasonable price determination for FSS products, services, or solutions at the order level or BPA level as FSS contract pricing has been determined fair and reasonable.

F. Evaluating Vendor Quotes in Response to RFQs for FSS Orders or BPAs.

1. Best Value. In considering quotes in response to an RFQ for an FSS order or the establishment of a BPA, an ordering activity must determine which FSS vendor represents the best value and “result[ing] in the lowest overall cost alternative (considering price, special features, administrative costs, etc.) to meet the Government’s needs.” RFO FAR 8.401. Savantage Financial Servs., Inc., B-292046.1, B-292046.2, June 11, 2003, 2003 CPD ¶ 113 at 6.
2. Basis of Award.
 - a. The agency can establish the best value through the use of a lowest-price, technically acceptable (LPTA) basis of award, or a tradeoff methodology, in which the agency may make award to a more advantageous quotation at a higher price. Noble Supply & Logistics, Inc., B-418141, Jan. 16, 2020, 2020 CPD ¶ 32 at 7.
 - b. **For DoD**, when seeking to use an LPTA source selection process, Contracting Officers must follow the procedures at RFO DFARS 215.101-2-70, which places limitations and prohibitions on its use. RFO DFARS 208.405-6.
3. Price.
 - a. “Price is the one factor that, at a minimum, must always be considered when determining best value for purposes of establishing a BPA under the FSS.” Cyberdata Technologies, Inc., B-406692, Aug. 8, 2012, 2012 CPD ¶ 230 at 4; TtEC-Tesoro, JV, B-405313, B-405313.3, Oct 7, 2011, 2012 CPD ¶ 2 at 9.

- b. An agency must consider cost or price to the Government in making a source selection decision. Glotech, Inc., B-406761.1, B-406761.2, Aug. 21, 2012, 2012 CPD ¶ 248 at 7; Aerospace & Techs. Corp., B-402148, Jan. 25, 2010, 2010 CPD ¶ 37 at 4.
- c. “It is evident from the statutory and regulatory framework that consideration of lowest cost to the government is an imperative when using the FSS.” Noble Supply & Logistics, Inc., B-418141, Jan. 16, 2020, 2020 CPD ¶ 32 at 7.
- d. Consequently, using a source selection methodology in a FSS acquisition that does not meaningfully consider price in determining the best value will result in a sustained protest. *See* Noble Supply & Logistics, Inc., B-418141, Jan. 16, 2020, 2020 CPD ¶ 32 (determining that agency’s use of a highest-technically rated reasonably-priced (HTRRP) selection methodology violated 41 U.S.C. § 152(3)(B); Glotech, Inc., B-406761.1, B-406761.2, Aug. 21, 2012, 2012 CPD ¶ 248.

4. Price Reasonableness.

- a. The FSS lists supplies at fixed prices and services at hourly rates or at a fixed price for performance of a specific task. RFO FAR 15.402; GSAM/R 538.271.
- b. GSA has determined the prices in the Schedule to be fair and reasonable. GSAM/R 538.271(b).
- c. Therefore, ordering activities are not required to make a separate determination of fair and reasonable pricing. Detica, B-400523, B-400523.2, Dec. 2, 2008, 2008 CPD ¶ 217, at 16.
- d. **For DoD**, Class Deviation 2014-O0011 provides that GSA’s price reasonableness determination does not relieve the ordering activity Contracting Officer from the responsibility of making a determination of fair reasonable pricing for individual FSS orders, BPAs, and orders under BPAs, using the proposal analysis techniques at RFO FAR 15.404; RFO DFARS 208.404.
- e. Discounts.
 - (1) At the time of FSS contract award, GSA seeks to obtain the contractor’s “most favored customer” pricing. GSAM/R 538.270.
 - (2) During the FSS contract, a general price reduction to a vendor’s MAS contract is required only under the

circumstances described at GSAM/R 538.272 and its prescribed clauses GSAM/R 552.238-81 and GSAM/R 552.238-81, Alternate I.

G. FSS Contract Awards.

1. FSS awards will be for commercial products and commercial services. Negotiate contracts as a discount from established catalog prices.
2. Before awarding any FSS contracts, determine that the offered prices are fair and reasonable. Document the negotiation.

H. Competition.

1. Under the Competition in Contracting Act (CICA), when conducting procurements for property or services, agencies, within certain specified exceptions, must obtain full and open competition through the use of competitive procedures. 41 U.S.C. § 3301(a)(1).
2. Congress has determined that use of the FSS program satisfies CICA's requirement for full and open competition when participation in the program has been open to all responsible sources, and orders and contracts under the FSS procedures "result in the lowest overall cost alternative to meet the needs of the Federal Government." 41 U.S.C. § 152(3)(B); RFO FAR 8.401.
3. The following procedures are also considered competitive procedures (see 41 U.S.C. § 152): Use of procedures established by the Administrator of General Services for the multiple award schedule program of the General Services Administration. RFO FAR 6.101(b)(3)(iii).
4. Restricting Competition.
 - a. General Rule. For actions exceeding the micro-purchase threshold, if an ordering activity seeks to restrict competition within a FSS order, during the establishment of a FSS BPA, or for orders issued against a multiple-award FSS BPA, the ordering activity must justify the restriction on competition in accordance with RFO FAR 8.101, Mandatory Sources for Specific Supplies and Services.
 - b. Unless otherwise required by law or RFO FAR 8.101, agencies must procure services that are on the Procurement List maintained by the Committee, from AbilityOne Participating Nonprofit Agencies in accordance with RFO FAR 8.2. Other sources may be used as prescribed in 41 CFR 101-26.301, and

in an unusual and compelling urgency as prescribed in RFO FAR 6.302-2 and in 41 CFR 101-25.101-5. RFO FAR 8.102.

- (1) Sole Sources Justifications. RFO FAR 8.104 and GSAM/R 538.7104-3. Orders placed or BPAs established against FSS contracts are exempt from the requirements in RFO FAR part 6.
 - (2) However, an ordering activity must justify its action when awarding on a sole source basis in accordance with this subsection.
5. Exceeding MPT, but not exceeding the SAT. The ordering activity Contracting Officer must determine in writing that the circumstances of the acquisition deems only one source reasonably capable of providing the products, services, or solutions (e.g., urgency, exclusive licensing agreements, items particular to one manufacturer).
6. Exceeding the SAT. (1) Statutory exceptions. The statutory exceptions supporting the placement of an order or establishment of a FSS BPA that exceeds the SAT on a sole source basis are:
 - a. The need is of such unusual urgency that following the procedures would result in unacceptable delays in fulfilling that need;
 - b. Only one source is capable of providing the products, services, or solution required at the level of quality required because the products, services, or solutions are unique or highly specialized;
 - c. The order should be issued on a sole source basis in the interest of economy and efficiency because it is a logical follow-on to an FSS order already issued on a competitive basis;
 - d. It is necessary to place the order with a particular FSS contractor to satisfy a minimum guarantee established in the FSS BPA; or
 - e. A law expressly authorizes or requires that the purchase be made from a specified source.
7. Content requirements. Justifications must be in writing and include sufficient detail and supporting rationale to support the exception used.
8. Publication requirements. (i) Justifications must be made publicly available within 14 days after award, except—

- a. For justifications made under paragraph (b)(1)(i) of this subsection, which must be posted within 30 days after contract award; and
 - b. When publication is not required. Publication is not required in the event of extraordinary circumstances or where publication would compromise national security (e.g., would result in disclosure of classified information or create other security risks).
- 9. Justifications must be made publicly available—
 - a. At the Government-wide Point of Entry (GPE); or
 - b. On the website of the ordering activity, which may provide access to the justifications by linking to the GPE; and
 - c. For a minimum of 30 days.
- 10. Before publication, justifications must be carefully screened—
 - a. To identify and remove any contractor proprietary data, including references and citations as are necessary to protect such proprietary data.
 - b. To determine whether the justification, or portions of the justification, are exempt from publication under any of the exemptions to disclosure of information contained in the Freedom of Information Act (5 U.S.C. 552) and the prohibitions against disclosure contained in RFO FAR part 24.
 - c. When a commercial product or commercial service meets an agency's needs and is available on an existing contract or Blanket Purchase Agreement awarded for Governmentwide use (such as the Federal Supply Schedule, Governmentwide Acquisition Contract, or other Indefinite-Delivery, Indefinite-Quantity contracts), the agency –
 - (1) Must use the existing government-wide contract or blanket purchase agreement to buy the supply or service if the contract has been designated by the Office of Federal Procurement Policy a “required use” contract, unless the head of the contracting activity provides an exception (e.g., because the contract's terms and conditions, scope, or performance period do not meet the agency's needs); and

- (2) Should consider use of other existing government-wide contracts or blanket purchase agreements if there is not a suitable “required use” contract to meet the agency’s needs.
- 11. Agencies should also consider the use of shared services to fulfill requirements. A shared service is a business or mission function provided by one agency for consumption by multiple other agencies, either within or between federal agencies.
- 12. FAR Companion 8.401(b). When developing a sole source justification required under GSAM/R 538.7104-3(b)(2), the level of detail and content will vary depending on the specifics of the procurement. A justification may include the following information, as applicable:
 - a. Identification of the agency and the contracting activity, and specific identification of the document as an "FSS Sole Source Justification."
 - b. Nature and/or description of the action, including a description of the supplies or services required to meet the agency’s needs and the estimated value.
 - c. The authority and supporting rationale (see GSAM/R 538.7104-3(b)(1)) and, if applicable, a demonstration of the proposed contractor’s unique qualifications to provide the required supply or service.
 - d. A determination by the ordering activity Contracting Officer that the order represents a fair and reasonable price consistent with GSAM/R 538.7102-2(d)(2) and 538.7104-2(a)(3).
 - e. A description of the market research conducted among schedule holders and the results or a statement of the reason market research was not conducted.
 - f. Any other facts supporting the justification.
 - g. A statement of the actions, if any, the agency may take to remove or overcome any barriers that led to the restricted consideration before any subsequent acquisition for the supplies or services is made.
 - h. The ordering activity Contracting Officer’s certification that the justification is accurate and complete to the best of the Contracting Officer’s knowledge and belief.

13. Back-to-Back Restrictions.

a. For DoD:

- (1) RFO DFARS 208.405-6 provides that follow-on sole source orders or BPAs, exceeding the SAT, for the same supply or service previously procured on a limited sources justification citing one responsible source or logical follow-on (RFO FAR 8.405-6(a)(1)(i)(B) or (C)) shall follow the procedures at DFARS PGI 208.405-6.
- (2) Under DFARS PGI 208.405-6, if the activity did not take planned actions to reduce competitive barriers during the first procurement, then the follow-on restriction on competition must be approved at the next higher level. DFARS PGI 208.405-6(2).

14. Brand Name Restrictions. RFO FAR Companion 11.204.

- a. While using vendor or product-neutral performance requirements is preferred to encourage offerors to propose innovative solutions, using brand name or equal purchase descriptions may help under certain circumstances, such as when a certain brand product is currently being used but you are open to considering comparable products.
- b. Brand name or equal purchase descriptions should include, in addition to the brand name, a general description of those key salient physical, functional, or performance characteristics of the brand name item that an “equal” item must meet to be acceptable for award.
- c. Under RFO FAR 6.103-1(d), use of brand-name descriptions, or specification of attributes peculiar to one manufacturer, prevents full and open competition and should only be used when justified and approved according to 6.104. This does not apply to “brand name or equal” descriptions as they provide for full and open competition.

15. Justification Approvals. Approval levels for orders and BPAs are determined based upon dollar value. *See* AFARS 5108.405-6; AFARS Appendix GG.

16. Contract Type. RFO FAR 12.104.

- a. *Preference for fixed-price contracts.* To the maximum extent practicable, use firm-fixed-price or fixed-price with economic

price adjustment contract types to procure commercial products or commercial services. RFO FAR 12.104(a).

- b. *Time-and-materials or labor-hour contracts.* RFO FAR 12.104(b). A time-and-materials or labor-hour contract may be used for commercial services that are procured on a competitive basis, if the services are commonly sold to the general public using these types of contracts:
 - (1) To use this contract type, the Contracting Officer must—
 - (a) Execute a determination and findings (D&F) that a firm-fixed-price or fixed-price with economic price adjustment is not suitable; and
 - (b) Include in the contract a ceiling price that the contractor exceeds at its own risk.
 - (2) Any increase to the ceiling price must be supported by a determination that doing so is in the best interest of the procuring agency.
- c. Indefinite-delivery contracts may be used when—
 - (1) Prices are established based on a firm-fixed-price or fixed-price with economic price adjustment; or
 - (2) Rates are established for commercial services acquired on a time-and-materials or labor-hour basis.
- d. An FSS order's period of performance, including options, may not exceed 3 years without proper approval. AFARS 5108.404(h)(3)(ii)(C).
- e. *Prohibition on use of cost-reimbursement contracts.* Do not use any cost-reimbursement contract type to procure commercial products or commercial services.

I. Protests.

- 1. The Federal Acquisition Streamlining Act (FASA) of 1994 included a provision that limited protest of IDIQ task and delivery orders to allegations that an order increased the scope, period, or maximum value of the contract.¹⁸

¹⁸ 41 U.S.C. § 253j(d) (2000).

2. However, the General Accountability Office (GAO) and the Court of Federal Claims have determined that FASA's protest limitations do not apply to FSS orders and or BPAs. Severn Cos., Inc., B-275717, B-275717.2, Apr. 28, 1997, 97-1 CPD ¶ 181 (finding FASA's legislative history does not support restricting FSS protests); Labat-Anderson v. United States, 50 Fed. Cl. 99, 104-05 (2001) (finding the award of a BPA is not a task order and no evidence FASA was intended to preclude the placement of FSS orders); Data Mgmt. Servs. Joint Venture v. United States, 78 Fed. Cl. 366, 371, n.4 (2007) (FASA's restrictions do not apply to orders placed under GSA FSS contracts).
3. Similarly, the GAO task and delivery order protest authority found in 41 U.S.C. § 4106(f)(3) (establishing GAO protest jurisdiction for civilian agency task orders valued in excess of \$10M) and in 10 U.S.C § 2304c(e)46F¹⁹ (establishing GAO protest jurisdiction for DoD, NASA, and the Coast Guard task orders valued in excess of \$25M)47F²⁰ does not apply to FSS orders or BPAs. *See* Analytic Strategies LLC, B-413758.2, Nov. 28, 2016, 2016 CPD ¶ 340 (explaining that the jurisdictional bar for task orders, as established by FASA, is inapplicable to FSS orders).48F²¹
4. The ordering activity is responsible for defending all protests at the order level. However, pursuant to 4 C.F.R § 21.3(j), the GAO may invite GSA to participate in protests. *See e.g.*, NCS Technologies, Inc., B-417956, B-417956.2, Dec. 13, 2019, 2019 CPD ¶ 427.

J. Disputes.

1. *Disputes pertaining to the performance of orders under a schedule contract.* GSAM/R 538.7105.
 - a. Under the Disputes clause of the FSS contract, the ordering activity Contracting Officer must—
 - (1) Consult with the FSS Contracting Officer prior to resolving a dispute arising under or relating to an FSS order that requires interpretation of material FSS contract terms or involves a significant FSS contract administration issue.

¹⁹ The opinion cites 10 U.S.C § 2304c(e), which has since been renumbered as 10 U.S.C § 3406.

²⁰ These authorities are implemented at FAR 16.505(a)(10)(i)(B).

²¹ While not applicable to FSS orders, DoD practitioners are warned that the lower \$10M threshold applies to DoD orders placed against civilian agency Government-wide Acquisition Contracts (GWACs) (e.g., GSA's One Acquisition Solution for Integrated Services (OASIS)). *See* Analytic Strategies LLC, B-413758.2, Nov. 28, 2016, 2016 CPD ¶ 340; HP Enterprise Servs., LLC, B-413382.2, Nov. 30, 2016, 2016 CPD ¶ 343.

- (2) Issue any final decision on a dispute arising under or relating to an FSS order, unless the FSS Contracting Officer agrees, after consultation with the ordering activity Contracting Officer, to issue the final decision.
- b. Appeals. Contractors may appeal final decisions to either the Board of Contract Appeals servicing the agency that issued the final decision or the U.S. Court of Federal Claims.
- c. Alternative dispute resolution. The ordering activity Contracting Officer should use the alternative dispute resolution (ADR) procedures, to the maximum extent practicable.

K. Special Areas of Interest.

1. Scope.

- a. If an agency places an order against an FSS contract, then all items ordered must be covered by the vendor's FSS contract (no "off the schedule buys").
- b. That requirement applies for supplies. Science Appl. Int'l Corp., B-401773, Nov. 10, 2009, 2009 CPD ¶ 229 (holding agencies could not submit purchase order to FSS vendor when two of six items were not on the FSS contract at the time of the order but were added prior to the delivery date); Savannah Cleaning Sys., Inc., B-415817, Apr. 23, 2018, 2018 CPD ¶ 119 (an offeror cannot offer products not listed on its Schedule, even if it has a related similar item on its contract); KEI Pearson, Inc., B-294226.3, B-294226.3, Jan. 10, 2005, 2005 CPD ¶ 12 (quotation cannot include products outside of the vendor's FSS contract).
- c. It also applies to services. Symplicity Corp., B-291902, Apr. 29, 2003, 2003 CPD ¶ 89 (Agency cannot award to a vendor whose labor categories are outside the scope of its FSS contract); Omniplex World Servs., Corp., B-291105, Nov. 6, 2002, 2002 CPD ¶ 199 (BPA improper when the services are not within the scope of the offeror's FSS contract); U.S. Investigations Servs., Prof'l Servs. Div., Inc., B-410454.2, Jan. 15, 2015, 2015 CPD ¶ 44 (awardee's offered FSS contract labor categories offered in response to the RFQ failed to encompass the requirements); American Sys. Consulting, Inc., B-294644, Dec. 13, 2004, 2004 CPD ¶ 247 (labor categories offered to schedule customer must match precisely the labor categories listed on the Schedule); AllWorld Language

Consultants, Inc., B-411481.3, Jan. 6, 2016, 2016 CPD ¶ 12, 2016 (proposed labor categories, which were fixed in the underlying FSS contract, must align precisely with work to be performed in the order); Deloitte Consulting, LLP, B-419508; B-419508.2, Apr. 15, 2021 (labor categories in the FSS contract could not be reasonably interpreted to include the services quoted by the awardee and required by the agency); Spatial Front, Inc., B-420921.2, B-420921.3, Dec. 21, 2022, 2022 CPD ¶ 7 (agency unreasonably determined that the services (labor categories) quoted by the firm to perform the requirements of the solicitation were within the scope of the awardee's FSS contract).

2. Open Market Items, Order-Level Materials, Ancillary Supplies & Services, and Contractor Teaming Arrangements.

a. History.

- (1) Prior to 1999, the GAO allowed incidental purchases of non-schedule items in appropriate circumstances. ViON Corp., B-275063.2, Feb. 4, 1997, 97-1 CPD ¶ 53 (authorizing purchase of various cables, clamps, and controller cards necessary for the operation of CPUs ordered from the schedule).
- (2) In ATA Defense Industries, Inc., 38 Fed. Cl. 489 (1997), the Court of Federal Claims ruled that “bundling” non-schedule products with schedule products violated the Competition in Contracting Act. The contract in question involved the upgrade of two target ranges at Fort Stewart, Georgia. The non-schedule items amounted to thirty-five percent of the contract value.
- (3) In light of the COFC’s analysis in ATA, the GAO has concluded that there is no statutory basis for the incidental test it enunciated in ViON. Agencies must comply with regulations governing purchases of non-FSS items, such as those concerning competition requirements, to justify including those items on a FSS delivery order. Pyxis Corp., B-282469, B-282469.2, July 15, 1999, 99-2 CPD ¶ 18.
- (4) Consequently, there are four ways for an ordering activity to obtain products and/or services that are ancillary to the primary purpose of the order or BPA, but necessary for its accomplishment (e.g., other direct

costs). They are Open Market Items; Order-Level Materials; Ancillary Supplies & Services; and Contractor Teaming Arrangements.

b. Order-Level Materials (OLMs).

- (1) Acknowledging the difficulty for ordering activities to add open market items to their FSS orders and wanting to achieve parity between the FSS programs and other IDIQs, GSA used its authority under 41 U.S.C. § 152(3) to create OLMs.²²
- (2) OLMs are not Open Market Items and shall not be the primary purpose of the order. GSAM/R 538.7200; GSAM/R 552.238-115(a) & (d)(3).
- (3) OLMs are defined as supplies and/or services acquired in direct support of an individual FSS order or BPA, are not known at the time of Schedule contract or FSS BPA award. GSAM/R 538.7200; GSAM/R 552.238-115(a).
- (4) OLM limitations:
 - (a) OLMs are not available on every Schedule, and if available, the FSS vendor's contract must offer the OLM SIN.²³ GSAM/R 552.238-115(d)(5).
 - (b) OLMs are authorized for inclusion in a FSS order or BPA only under a T&M or LH Contract Line Item Number (CLIN),²⁴ subject to a not-to-exceed price ceiling.
 - (c) The value of order-level materials in a task or delivery order, or the cumulative value of order-level materials in orders against an FSS BPA awarded under a FSS Contract shall not exceed 33.33%. GSAM/R 552.238-115(d)(4).²⁵

²² See 83 Fed. Reg. 3275 (Jan. 24, 2018), creating GSAM/R 538.72 and GSAM/R 552.238-82.

²³ A list the authorized Schedules is available at www.gsa.gov/olm (last visited 18 June 2024). GSAM/R 538.7201(b)

²⁴ Consequently, the ordering activity must obtain approval for that type of CLIN. GSAM/R 552.238-115(d)(6); see also *supra* Para. C(4)(b), discussing the requirements of FAR 8.404(h). The order must also contain RFO FAR clause 52.212-4, Alt I, and the ordering Contracting Officer must complete the clause's fill-in at subparagraph (i)(1)(ii)(D)(2). See GSAM/R/R 538.7204.

²⁵ Concerning the application of the 33.33% limitation to BPAs, GSA maintains:

(5) OLM Pricing.

(a) Price Reasonableness.

- (i) OLM pricing is not established in the Schedule contract or BPA, but at the order level.
- (ii) The ordering activity's Contracting Officer must determine OLM prices fair and reasonable. GSAM/R 552.238-115(d)(7)(ii).
- (iii) For each OLM exceeding the SAT, the contractor shall obtain three quotes or maintain documentation as to why three quotes could not be obtained.²⁶ GSAM/R 552.238-115(d)(7)(i).

(b) Indirect Costs. GSAM/R 552.238-115(d)(7)(iii).

- (i) OLMs are to be included in orders at actual cost. The addition of profit or fee is not allowed. Contractors are, however, allowed to propose indirect costs as an OLM.²⁷
- (ii) The ordering activity's Contracting Officer must determine whether to allow indirect costs on OLMs.
- (iii) If indirect costs are approved, the ordering activity's Contracting Officer must find them fair and reasonable.

OLM special ordering procedures make it clear that the 33.33% limitation applies not on an individual-order basis, but to the cumulative value of OLMs across all orders placed against the BPA. . . . Ordering activities must ensure sufficient tracking processes are in place to track the costs at the BPA level. This could be problematic for BPAs with decentralized ordering.

GSA, "Order-Level Materials (OLM) Ordering Guide," ver. 1.0, Spring 2022, p.19, *available at* https://cmls.gsa.gov/s/viewpdf?language=en_US&Id=069t000000ZlwTPAAZ&recordId=a12t00000024uKSAAY&pdfdownload=Order-Level%20Materials%20%28OLMs%29%20Ordering%20Guide (last visited 18 June 2024).

²⁶ A contractor with an approved purchasing system per FAR 44.3 is exempt from this requirement. GSAM/R 552.238-115(d)(7)(ii)(C).

²⁷ GSA, "Order-Level Materials (OLM) Ordering Guide," *supra*, at 7.

- (iv) Proposed indirect costs must be inclusive of the IFF.

(6) Travel.

- (a) Travel is not considered OLM and is not subject to OLM procedures. Travel may be authorized in accordance with Schedule clause C-FSS-370, Contractor Tasks/Special Requirements, paragraph (b).²⁸
- (b) Travel costs are governed by RFO FAR 31.205-46. The ordering activity's CO must establish a separate CLIN for travel. The travel CLIN may be established as direct-reimbursable or priced on a firm-fixed-price (FFP) basis. Travel costs are not subject to the 33.33% limitation on OLMs. *See* General Services Administration Acquisition Regulation (GSAM/R/R), "Order Level Material Clarifications," dated 2 March 2022.²⁹

c. Ancillary Supplies & Services.³⁰

- (1) Contractors that routinely provide ancillary products and/or services to support total customer solutions may offer these items on their Schedule contracts under a dedicated Ancillary Supplies & Services SIN.
- (2) Ancillary Supplies & Services SINs are reserved for routinely provided, known that can be priced up-front and awarded at the Schedule contract level.

²⁸ Schedule clause C-FSS-370, Contractor Tasks/Special Requirements, paragraph (b): "Travel: The Contractor may be required to travel in performance of orders issued under this contract. Allowable travel and per diem charges are governed by Pub .L. 99-234 and FAR Part 31, and are reimbursable by the ordering agency or can be priced as a fixed price item on orders placed under the Multiple Award Schedule. Travel in performance of a task order will only be reimbursable to the extent authorized by the ordering agency. The Industrial Funding Fee does NOT apply to travel and per diem charges."

²⁹ *See* <https://www.federalregister.gov/documents/2022/03/02/2022-04287/general-services-administration-acquisition-regulation-GSAM/R/R-order-level-material-clarifications> (last visited 82 June 2024). GSAM/R/R clause 552.238-115, Special Ordering Procedures for the Acquisition of Order-Level Materials prescribes procedures for including OLMs when placing an order against an FSS contract or FSS BPA and previously referenced travel. The reference to travel in the clause, implying that it is an OLM, caused confusion for Contracting Officers, according to the final rule. To simplify acquisition procedures, the final rule removed travel from the OLM clause to allow ordering activities and contractors to include travel at the order level in accordance with FAR Part 31 and may also include requirements from the Federal Travel Regulations (FTR).

³⁰ <https://www.gsa.gov/system/files/Revised%20Summary%20of%20Schedule%20Support%20Items%20-%20April%202022.pdf> (last visited 18 June 2024).

- (3) When placing an order or establishing a BPA with an Ancillary Service and/or Supply SIN, the ordering activity should:
 - (a) Confirm the vendor's Schedule contract contains the relevant Ancillary Supply or Service SIN(s); and
 - (b) Confirm the proposed pricing does not exceed the awarded Schedule pricing.
- (4) Ancillary Services & Supplies SINs are not OLMs.
 - (a) They are defined, priced, and awarded at the FSS contract level, whereas OLMs are unknown before the placement of an order.
 - (b) The Schedule Contracting Officer has evaluated and awarded the ancillary supplies and services in accordance with GSAM/R/R 538.270 and 538.271 (e.g., the schedule Contracting Officer has determined the prices to be reasonable).
 - (c) They may be FFP and are not subject to a 33% limitation, although they cannot be the primary purpose of the ordered work.

d. Contractor Team Arrangement (CTA).

- (1) A CTA is an arrangement in which two or more Schedule contractors team together to provide a total solution to meet an agency's needs. In so doing, they may compete for which they may not qualify independently (e.g., orders that are outside of the scope of their individual FSS contracts).³¹
- (2) In a CTA, each team member must have a MAS contract, is responsible for the duties identified in the CTA document, and had privity with the ordering activity. It is not a prime-subcontractor relationship (e.g., each team member is operating as a "prime" for its portion of the work). See Veterans Healthcare Supply Sols., Inc., B-409888, Sep. 5, 2014, 2014 CPD ¶ 269 at 5 (discussing the FSS CTAs).

³¹ See <https://www.gsa.gov/buying-selling/purchasing-programs/gsa-multiple-award-schedule/schedule-features/contractor-team-arrangements> (last visited 18 June 2024).

- (3) Any CTA member may file a protest. Sirius Fed. v. United States, 2021 U.S. Claims LEXIS 603, Mar. 29, 2021; reissued Apr. 14, 2021 (within a CTA terms like “Team Leader” or “Team Member” are meaningless in that all members are co-primes enjoying privity of contract with the Government).

3. Periods of Performance: Orders.

- a. FSS orders may include a base period of performance and options.
- b. In AllWorld Language Consultants, Inc., B-411481.3, Jan. 6, 2016, 2016 CPD ¶ 12, the GAO found that an agency could not exercise options included in an FSS order after the underlying FSS contract’s ordering period had expired, even if the FSS order containing the option was issued during the FSS contract’s ordering period.
- c. In response to this decision, the GSA amended its ordering instructions to provide:³²
 - (1) Options may be included on orders placed against Schedule contracts, provided that the options are clearly stated in the requirement and are evaluated as part of the ordering activity’s “best value” determination.
 - (2) Options on orders are not exercised beyond the ordering period of the Schedule contract, including Schedule contract option year periods, unless the Schedule contracts includes clause RFO FAR 52.216-22, which provides in the fill-in for orders to extend up to 60 months beyond contract expiration.
 - (3) Before placing an order, verify that the FSS Schedule contract has RFO FAR 52.216-22 to allow for the exercise of options on orders beyond the contract period. However, no orders or options on orders may extend more than 60 months after the expiration of the FSS Schedule contract.

³² See <https://www.gsa.gov/buying-selling/purchasing-programs/gsa-schedule/schedule-buyers/contracting-officer-guidance-schedule-ordering-procedures> (last visited 18 June 2024); GSA Multiple Award Desk Reference, Winter 2019, at 32-33, 55-56, available at <https://www.gsa.gov/system/files/MAS%20Desk%20Reference%20Guide%20-%20Winter%2019.pdf>. (last visited 19 June 2024).

4. Small Business.

- a. The preference programs in RFO FAR Part 19 are not mandatory for FSS orders and BPAs. *See* Global Analytic Information Technology Services, Inc., B-297200.3, Mar. 21, 2006, 2006 CPD ¶ 53 (Small business set-aside requirements in RFO FAR Part 19 do not apply to FSS Schedules).
- b. Therefore, ordering activities may choose to set aside orders or BPAs for the small business concerns. GSAM/R 538.7102-2(c)(1); RFO FAR 19.000(a)(3).
 - (1) *Limited the Department of Veterans Affairs (VA) Discretion.* In Kingdomware v. U.S., 136 S. Ct. 1969 (2016), the Supreme Court found the Veterans Benefits, Health Care, and Information Technology Act of 2006 (2006 VBA Act) at 38 U.S.C. § 8127(d) required the VA to restrict competition to veteran owned or controlled small businesses when under certain conditions (e.g., “Rule of Two”) and that the 2006 VA Act’s requirements applied even to FSS orders.³³
 - (2) *Discretion of Other Agencies Unaffected by Kingdomware.* In American Relocation Connections, LLC, B-416035, May 18, 2018, 2018 CPD ¶ 134, the protester alleged that the Department of Homeland Security, Customs and Border Protection (CBP) had to set aside an FSS RFQ for small business. In its decision, the GAO provided a detailed historical account of the applicability of the Small Business Act to the FSS. *Id.* at 3-5. The GAO concluded that the CPB Contracting Officer had discretionary authority to set-aside an order against the FSS, but was not required to do so. *Id.* at 6. Further, the GAO found that the Supreme Court’s ruling in Kingdomware was limited to the VA, and therefore, had no applicability to other agencies. *Id.* at 5.
- c. When the product, service, or solution is clearly defined and is available for purchase at a fixed-price (e.g., capability-as-a-service, subscription, training) place the order after—

³³ *But see* Cross & Company, LLC, B-417971, Dec. 20, 2019, 2019 CPD ¶ 429 (finding Kingdomware inapplicable because the “Rule of Two” does not apply when GSA conducts a leasehold acquisition on behalf of the VA since the 2006 VBA Act only requires other agencies to set aside procurement for “goods and services” and leasehold interests are neither goods nor services).

- (1) Considering reasonably available information about the product, service, or solution by surveying three or more FSS contractors on GSA Advantage;
 - (2) Considering reasonably available information about the product, service, or solution by reviewing the FSS contract catalogs of three or more FSS contractors;
 - (3) Publishing an RFQ on GSA's eBuy; or
 - (4) Issuing an RFQ to three or more FSS contractors.
- d. Ordering activities may rely on the small business representations made by the FSS contractors at the MAS contract level. However, an agency may require recertification at the order level. See CMS Information Services, Inc., B-290541, Aug. 7, 2002, 2002 CPD ¶ 132; InuTeq, LLC, B-411781, Oct. 21, 2015, 2015 CPD ¶ 324.
- e. When setting aside an order on e-Buy the following language is automatically inserted into the RFQ:

This is a notice that this [insert either "order" or "Blanket Purchase Agreement"] is a total set aside for [insert either "small business concerns" or specify a type of small business concern]. Only quotes submitted by [insert either "small business concerns" or specify a type of small business concern] will be accepted by the Government. Any quote that is submitted by a contractor that is not [insert either "a small business concern" or specify a type of small business concern] will not be considered for award.

5. Responsibility.

- a. A separate responsibility determination is not required for FSS orders. See Advance Tech. Sys., Inc., B-296493.6, Oct. 6, 2006, 2006 CPD ¶ 151 (an ordering agency is not required to make a responsibility determination each time it places a task or delivery order).
- b. However, an agency is not precluded from doing so. Dehler Manufacturing Company, Inc., B-416819; B-416819.2, Dec. 19, 2018, 2019 CPD ¶ 45.

CHAPTER 11

COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES

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CHAPTER 11

COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES

I. INTRODUCTION

Access to the innovations and efficiencies of the commercial marketplace is a cornerstone of the United States' strategy to maintain its technological and battlefield superiority. Recognizing that burdensome and government-unique compliance obligations can deter commercial entities, especially those not traditionally reliant on government sales, a specialized framework for acquiring commercial products and services has been established. This framework, primarily rooted in Federal Acquisition Regulation (FAR) Part 12, is designed to streamline the acquisition process by emulating the practices of the commercial marketplace to the maximum extent practicable.

A significant evolution in this area is the "Revolutionary FAR Overhaul" of Part 12, implemented via a Department of Defense (DoD) class deviation effective February 1, 2026. This overhaul stems from executive orders aimed at restoring common sense to federal procurement and modernizing defense acquisitions to spur innovation. A key objective of these reforms is to remove unnecessary regulatory barriers, making the government a more agile and attractive business partner.

To effectively harness the critical technologies and solutions the commercial sector offers, contracting officers must not only understand the rules but also fully and properly exercise the discretion granted to them. This includes leveraging the streamlined procedures of FAR Part 12 and adapting acquisition strategies to align with commercial norms, thereby ensuring the government can efficiently access the most advanced products and services available. The major changes are:

- A. **Definitional Clarification:** The Treatment of "Construction" One of the most significant changes is the explicit inclusion of "construction" within the definition of a commercial service, a direct reversal of long-standing guidance.¹
 - 1. The revised definition of "Commercial service" now explicitly includes construction services that are offered and sold competitively in the commercial marketplace based on established market prices.
 - 2. Previously, guidance documents like the 2003 OFPP Memo strongly discouraged using FAR Part 12 for new construction, directing contracting officers to FAR Part 36. The RFO now formally permits acquiring construction as a commercial service, provided it meets the market-based criteria.

¹ *RFO FAR 2.101*, definition of "Commercial service," paragraph (2).

- B. **Commerciality Determination Procedures:** The RFO introduces a more rigid and streamlined process for how DoD contracting officers make and use commercial product and service determinations.²
1. A prior commerciality determination made by any DoD component must be presumed valid and serve as the determination for subsequent procurements of that item. Overturning this presumption is a significant action that requires a formal review and written determination by the Head of the Contracting Activity (HCA).
 2. This creates a strong presumption in favor of previously determined commercial items, preventing repetitive and time-consuming re-evaluations by different contracting offices. It is designed to promote consistency and speed.
- C. **Competition and Evaluation Procedures:** The RFO codifies several critical procedures that directly impact how competitive commercial acquisitions are conducted within the DoD.
1. Handling of a Single Offer: If only one offer is received in response to a competitive commercial solicitation, the contracting officer is now explicitly required to follow the more stringent procedures for handling sole offers.³
 2. Restrictions on Lowest Price Technically Acceptable (LPTA): The regulations clarify that the prohibitions and limitations on using LPTA source selection strategies apply to commercial acquisitions.⁴
 3. Mandatory Supply Chain Risk Evaluation: For all acquisitions of information technology (whether as a product or a service), contracting officers must include an evaluation factor specifically addressing supply chain risk.⁵
- D. **Contract Types for Commercial Services:** The RFO streamlines the rules for using Time-and-Materials (T&M) and Labor-Hour (LH) contracts by removing a layer of DoD-specific restrictions.⁶
1. The previous, more restrictive DoD-specific limitations on the use of T&M/LH contracts for commercial services have been removed from the DFARS.

² *RFO DFARS 212.001-70(b)*.

³ *RFO DFARS 212.102-71*.

⁴ *RFO DFARS 212.173(a)*.

⁵ *RFO DFARS 212.203(a)(1)(i)*.

⁶ The change is noted by the absence of the previous restrictions in *RFO DFARS Part 212* when compared to the previous version. The governing rule is now solely *RFO FAR 12.207(b)*.

2. DoD contracting officers will now follow the single, government-wide set of rules for using T&M/LH contracts found in the FAR. This simplifies the process, though it still requires a robust Determination and Findings (D&F) justifying that no other contract type is suitable.
- E. **Clause Management and Application:** The RFO DFARS organizes the numerous DoD-specific clauses into a more structured and accessible format.⁷
1. The RFO DFARS consolidates all required provisions and clauses for commercial acquisitions into a series of clear tables (Table 212.2, 212.3, and 212.4). It also references a separate DoD Class Deviation that enables an automated, omnibus clause selection tool within the DoD's standard contract writing system.
 2. This new structure simplifies the process for contracting officers to identify and include the correct clauses, reducing the risk of non-compliance and administrative error.

II. REFERENCES

A. Statutes

1. Federal Acquisition Streamlining Act of 1994 (FASA), Pub. L. No. 103-355, 108 Stat. 3243 (codified, as amended, in scattered sections of titles 10 and 41 of the U.S. Code).
2. Federal Acquisition Reform Act (Clinger-Cohen Act) of 1996, Pub. L. No. 104-106, §§ 4001-4402, 110 Stat. 186, 642-79.
3. John S. McCain National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2019, Pub. L. 115-232, § 836 (revising the definition of "commercial item").
4. National Defense Authorization Act for FY 2016, Pub. L. 114-92, § 809 (establishing the "Section 809 Panel").

B. Executive Orders

1. E.O. 14275, Restoring Common Sense to Federal Procurement.
2. E.O. 14265, Modernizing Defense Acquisitions and Spurring Innovation in the Defense Industrial Base.

C. Regulations

1. Federal Acquisition Regulation (FAR):

⁷ RFO DFARS 212.205.

- Part 2, Definitions of Words and Terms.
 - Part 8, Required Sources of Supplies and Services.
 - Part 12, Acquisition of Commercial Products and Commercial Services (including the revised Part 12 per DARS Tracking Number 2026-00028, effective February 1, 2026).
 - Part 13, Simplified Acquisition Procedures.
 - Part 14, Sealed Bidding.
 - Part 15, Contracting by Negotiation.
 - Part 16, Types of Contracts.
2. Defense Federal Acquisition Regulation Supplement (DFARS):
 - Part 212, Acquisition of Commercial Products and Commercial Services (including the revised Part 212 per Attachment A1 to DARS Tracking Number 2026-00028).
 - DFARS Procedures, Guidance, and Information (PGI) Part 212 (including the revised PGI 212 per Attachment A2 to DARS Tracking Number 2026-00028).
 3. Army Federal Acquisition Regulation Supplement (AFARS), Part 5112, Acquisition of Commercial Items.

D. Agency Guidance and Memoranda

1. Office of the Assistant Secretary of War, Memorandum, DARS Tracking Number: 2026-00028, "Class Deviation—Revolutionary Federal Acquisition Regulation (FAR) Overhaul Part 12, Defense FAR Supplement (DFARS) Part 212" (effective February 1, 2026).
2. Office of Management and Budget, Memorandum M-25-26, "Overhauling the Federal Acquisition Regulation" (May 2, 2025).
3. DoD Guidebook for Acquiring Commercial Items, Part A: Commercial Item Determination, January 2018 (Revised July 2019).
4. DoD Guidebook for Acquiring Commercial Items, Part B: Commercial Item Pricing, January 2018 (Revised January 2019).
5. Under Secretary of Defense (Acquisition, Technology & Logistics), GUIDANCE ON COMMERCIAL ITEM DETERMINATIONS AND THE DETERMINATION OF PRICE REASONABLENESS FOR COMMERCIAL ITEMS (September 2, 2016).

E. Treatises

1. *Formation of Government Contracts*, Nash, Jr., Cibinic, Jr., Yukins and Castellano, Fifth Edition (relevant sections from Chapter 9, "COMMERCIAL PRODUCTS AND SERVICES").

III. DEFINITIONS

The acquisition of commercial products and services is governed by a specific set of definitions established in FAR 2.101. These definitions were significantly restructured by Section 836 of the John S. McCain National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2019, which split the historical term "commercial item" into two distinct categories: "commercial product" and "commercial service." This change, recommended by the Section 809 Panel, was made to better reflect the distinct nature and significant role of services in modern Department of Defense (DoD) procurement. The "Revolutionary FAR Overhaul" (RFO), effective February 1, 2026, maintains this structure and further clarifies the role of construction within the commercial framework.⁸

- A. **Commercial Product.** Defined in FAR 2.101, a commercial product is any product, **other than real property**. This exclusion is critical, as it means that a finished construction project, which becomes real property, cannot be acquired as a commercial product. The definition further specifies a commercial product is one that:
 1. Has been sold, leased, or licensed to the general public; or has been offered for sale, lease, or license to the general public;⁹
 2. Evolved from a product described above through advances in technology or performance and is not yet available in the commercial marketplace, but will be available in time to satisfy the government's delivery requirements;
 3. Would satisfy one of the criteria above but for:
 - a. Modifications of a type customarily available in the commercial marketplace;¹⁰ or
 - b. Minor modifications of a type not customarily available in the commercial marketplace made to meet Federal Government requirements.

⁸ RFO FAR 2.101

⁹ See Coherent, Inc., B-270998, 96-1 CPD ¶ 214 (Comp. Gen. May 7, 1996) (actual sale or license to general public not required for commercial item classification; determination of commercial item status is discretionary agency decision); see also Precision Lift, Inc., B-310540.4, 2008 CPD ¶ 166 (Comp. Gen. June 26, 2008) (contractor failed to demonstrate agency commercial item determination was unreasonable).

¹⁰ See NABCO, Inc., B-293027, B-293027.2, 2004 CPD ¶ 15 (Comp. Gen. Jan. 15, 2004) (protest denied where solicitation required door modification on proposed commercial item explosive ordinance disposal containment vessel was made previously available to awardee's other commercial customers, therefore meeting the definition's "of a type" requirement).

- (1) “Minor” modifications are modifications that do not significantly alter the non-governmental function or essential physical characteristics of an item or component, or change the purpose of a process.¹¹
 - (2) Factors to be considered in determining whether a modification is minor include the value and size of the modification, and the comparative value and size of the final product. Dollar values and percentages may be used as guideposts, but are not conclusive evidence that a modification is minor.¹²
4. Any combination of products meeting the requirements of (1), (2), or (3) of the definition above that are of a type customarily combined and sold in combination to the general public.
5. A product, or combination of products, referred to in paragraphs (1) through (4) above, even though the product, or combination of products, is transferred between or among separate divisions, subsidiaries, or affiliates of a contractor; or.
6. A nondevelopmental item (NDI), if the procuring agency determines it was developed exclusively at private expense and sold in substantial quantities, on a competitive basis, to multiple state and local governments or to multiple foreign governments. Nondevelopmental items include:
 - a. Any previously developed item of supply used exclusively for governmental purposes by a federal agency, a state or local government, or a foreign government with which the United States has a mutual defense cooperation agreement.¹³
 - b. Any item described in paragraph (a) above that requires only minor modification or modifications of a type customarily available in the commercial marketplace in order to meet the requirements of the procuring department or agency.¹⁴ or

¹¹ Canberra Indus., Inc., B-271016, 96-1 CPD ¶ 269 (Comp. Gen. Jun. 5, 1996) (combining commercial hardware with commercial software in new configuration, never before offered, did not alter “non-governmental function or essential physical characteristics”).

¹² See, e.g., DoD IG Report D-2004-064, Acquisition of the Boeing KC-767A Tanker Aircraft, Mar. 29, 2004, for an example of the analysis and potential controversy that may arise as a result of classifying a modification as a “minor modification of a type not customarily available in the commercial marketplace” (available at <https://media.defense.gov/2004/Mar/29/2001712733/-1/-1/1/04-064.pdf>), last visited 14 May 2026.

¹³ See Avtron Manufacturing, Inc., B-280758, 98-2 CPD ¶ 148 (Comp. Gen. Nov. 16, 1998) (protest denied where awardees proposed test stand was found to be a “commercial NDI” because it in fact existed as a commercial item needing only minor modification).

¹⁴ See Lucent Technologies World Services Inc., B-295462, 2005 CPD ¶ 55 (Comp. Gen. Mar. 2, 2005)

- c. Any item of supply being produced that does not meet the requirements of paragraph a. or b. above solely because the item is not yet in use.¹⁵

B. Commercial Service. As defined in *RFO FAR 2.101*, this includes:

- 7. Installation, maintenance, repair, and training services procured for support of a commercial product.
 - a. Those services are procured for support of a commercial product. It does not matter whether the services are provided by the same source or at the same time as the item; and
 - b. The source of such services provides similar services contemporaneously to the general public under terms and conditions similar to those offered to the federal government.¹⁶
- 8. Services, **including construction**,¹⁷ of a type offered and sold competitively in substantial quantities in the commercial marketplace based on established catalog or market prices for specific tasks performed or specific outcomes to be achieved and under standard commercial terms and conditions.¹⁸
 - a. “Catalog price” means a price included in a catalog, price list, schedule, or other form that is regularly maintained by the manufacturer or vendor, is either published or otherwise available for inspection by customers, and states prices at which sales are currently, or were last, made to a significant number of buyers constituting the general public.
 - b. “Market prices” means current prices that are established in the course of ordinary trade between buyers and sellers free to bargain and that can be substantiated through competition or from sources independent of the offerors.

¹⁵ See *Trimble Navigation, Ltd.*, B-271882, 96-2 CPD ¶ 102 (Comp. Gen. Aug. 26, 1996) (award improper where awardee offered a GPS receiver that required major design and development work to meet a material requirement of the solicitation that the receiver be a NDI).

¹⁶ See *Sletager, Inc.*, B-237676, 90-1 CPD ¶ 298 at 3, (Comp. Gen. Mar. 15, 1990) (finding painting and surface preparation services can be a commercial item because they are sold to the general public in the course of normal business operations based on market prices).

¹⁷ This represents a significant clarification. While previous guidance, such as the 2003 OFPP Memo, strongly discouraged the use of FAR Part 12 for new construction, the revised FAR definition explicitly allows for construction to be treated as a commercial service if it meets the necessary market-based criteria. This requires a contracting officer to determine that the specific type of construction service is sold competitively, in substantial quantities, and based on established market pricing.

¹⁸ RFO FAR 2.101

- c. Market Research. The revised DFARS 212.070, implemented by class deviation, provides a specialized definition for DoD. It defines market research as: A review of existing systems, subsystems, capabilities, and technologies that are available or could be made available to meet the needs of DoD in whole or in part. The review must include, at a minimum, contacting knowledgeable individuals in Government and industry regarding existing market capabilities and pricing information...
- B. C. Commercially Available Off-the-Shelf (COTS) Item. A COTS item is a specific subset of commercial products. While a construction project itself is not a commercial product, the materials used can be. The definition of a COTS item in FAR 2.101 includes any item of supply (which can include construction material) that is:
 - 1. A commercial product (as defined in paragraph (1) of that definition);
 - 2. Sold in substantial quantities in the commercial marketplace; and
 - 3. Offered to the Government, without modification, in the same form in which it is sold in the commercial marketplace.¹⁹

IV. GENERAL RULES

- A. Mandatory Use of FAR Part 12. Agencies must use the procedures outlined in FAR Part 12 if a supply or service meets the definition of a “commercial product” or “commercial service.”²⁰ This requirement applies unless the purchase is:
 - 1. At or below the Micro-Purchase Threshold (see FAR Part 13);
 - 2. Completed using Standard Form 44 (see FAR 13.306);
 - 3. Completed using imprest funds (see FAR 13.305);
 - 4. Completed using a Governmentwide commercial purchase card as the method of purchase (see FAR 13.301); or
 - 5. Acquired directly from another Federal Agency. (*RFO FAR 12.102(e)*).

¹⁹ See Chant Engineering Co., Inc., B-281521, 99-1 CPD ¶ 45 (Comp. Gen. Feb. 22, 1999) (“[n]ew equipment like Chant’s proposed test station, which may only become commercially available as a result of the instant procurement, clearly does not satisfy the RFP requirement for commercial-off-the-shelf (existing) equipment.”).

²⁰ FAR 12.102; see also Palantir USG, Inc. v. United States, 904 F.3d 980 (Fed Cir. 2018).

- B. Required Sources. Before executing a commercial acquisition, agencies must first attempt to meet their needs through the Required Sources of Supplies and Services listed in FAR Part 8.²¹
- C. Primacy of FAR Part 12. Contracts for commercial products or services are subject to policies in other parts of the FAR. However, if a policy in another part is inconsistent with a policy in FAR Part 12, then Part 12 shall take precedence.²²
- D. Market Research. Market research is essential to determine whether commercial products or services are available to meet agency needs and to inform the overall acquisition strategy.²³ The contracting officer must document the results of the market research in a manner appropriate to the size and complexity of the acquisition.²⁴
- E. Commerciality Determinations (DoD). For DoD acquisitions exceeding the simplified acquisition threshold (SAT), the following rules apply for determining commerciality:²⁵
 - 1. Prior Determination Presumption: A contracting officer must presume that a prior DoD commercial product or service determination applies to subsequent procurements of the same item. This presumption is documented in the contract file. Overturning this presumption requires the Head of the Contracting Activity (HCA) to issue a determination that the prior use of FAR Part 12 was improper or is no longer appropriate.²⁶
 - 2. Written Determination: If no prior determination exists, the contracting officer must determine in writing that the acquisition meets the definition of a commercial product or service. This written determination must be included in the contract file.²⁷
 - 3. Higher-Level Approval: Approval is required one level above the contracting officer when a commercial determination relies on specific paragraphs of the "commercial product" or "commercial service" definitions (e.g., items that have evolved but are not yet on the market, minor modifications, or services based on market prices).²⁸
 - 4. Database Requirement: Within 30 days of award, the contracting officer must upload the signed commercial determination to the DoD

²¹ RFO FAR 12.101(c).

²² RFO FAR 12.102(c).

²³ RFO FAR 12.101(a).

²⁴ RFO FAR 10.002(e).

²⁵ RFO DFARS 212.001-70.

²⁶ RFO DFARS 212.001-70(b).

²⁷ RFO DFARS 212.001-70(c).

²⁸ RFO DFARS 212.001-70(c)(3).

Commercial Item Database. Contracting officers are required to search this database before making a new determination.²⁹

- F. Information Technology. A contracting officer may not contract for information technology (IT) products or services above the SAT that are not commercial unless the HCA determines in writing that no commercial products or services are suitable to meet the agency's needs.³⁰
- G. Prime Contractor Responsibility. The Government shall require prime contractors and subcontractors to incorporate, to the maximum extent practicable, commercial products, commercial services, or non-developmental items as components of items supplied to the agency.³¹

V. CONTRACT TYPES

- A. Preferred Contract Types. Agencies shall use firm-fixed-price (FFP) contracts or fixed-price contracts with economic price adjustments (FP/EPA) for the acquisition of commercial products and commercial services. This reflects the commercial marketplace's standard practice of pricing based on defined deliverables.³²
- B. Use of Time-and-Materials (T&M) and Labor-Hour (LH) Contracts. Under specific, limited circumstances, a T&M or LH contract may be used for the acquisition of commercial services. This is only permissible when the contracting officer executes a Determination and Findings (D&F) concluding that no other contract type is suitable.³³ The D&F must, at a minimum:
 - 1. Describe the market research conducted;
 - 2. Establish that it is not possible at the time of award to accurately estimate the extent or duration of the work with any reasonable degree of confidence;
 - 3. Establish that the requirement has been structured to maximize the use of FFP or FP/EPA contracts (e.g., by establishing fixed prices for discrete portions of the work); and

²⁹ RFO DFARS PGI 212.001-70(C)

³⁰ RFO DFARS 212.172(a).

³¹ RFO FAR 12.101(c).

³² RFO FAR 12.207(a). See Northrop Grumman Technical Services, Inc., B-406523, 2012 CPD ¶ 197 (Comp. Gen. Jun. 22, 2012) (GAO denied protest arguing that the solicitation was unduly restrictive of competition and deviated from customary commercial practices by requiring a 90-day transition period and fixed-price CLINs, while excluding an economic price adjustment clause.).

³³ RFO FAR 12.207(b). Notably, the revised RFO DFARS Part 212 no longer contains the additional, more restrictive limitations on the use of T&M and LH contracts that were previously codified at DFARS 212.207(b). Instead, DoD contracting officers now follow the government-wide guidance prescribed in FAR 12.207.

4. Describe actions planned to maximize the use of FFP or FP/EPA contracts on future acquisitions for the same or similar requirements.
- C. Other Allowable Contract Approaches.
1. Indefinite-Delivery Contracts: Indefinite-delivery contracts (see FAR Subpart 16.5) are permitted for commercial acquisitions, provided that any orders placed are priced on a firm-fixed-price, fixed-price with economic price adjustment, or, for services, a time-and-materials/labor-hour basis.³⁴
 2. Incentives: Contracts may include award fees or performance/delivery incentives. However, these incentives must be based on factors other than cost (e.g., quality, timeliness, or technical ingenuity).³⁵

VI. COMPETITION PROCEDURES

FAR Part 12 provides for streamlined procedures to expedite the solicitation and evaluation process when acquiring commercial products and services. While these streamlined methods are preferred, acquisitions must still adhere to the overarching principles of fair competition.

- A. Streamlined Solicitation Procedures. Contracting officers may use a combined synopsis/solicitation to reduce the time required to award a contract.³⁶ This procedure consolidates the synopsis required by FAR 5.203 and the solicitation into a single document.
1. When using this procedure, Standard Form (SF) 1449 is not used for the solicitation itself. Instead, the synopsis is prepared as described in FAR 5.207 but includes additional information and a specific statement informing potential offerors that it is the only solicitation.
 2. Contracting officers must establish a response time that affords offerors a reasonable opportunity to respond. This should be based on the complexity, urgency, and commerciality of the requirement. The standard 15-day pre-solicitation synopsis period is not required when using this combined method.³⁷
- B. Streamlined Evaluation of Offers.³⁸ When using streamlined procedures, the evaluation of offers is simplified.

³⁴ RFO FAR 12.207(c).

³⁵ RFO FAR 12.207(d).

³⁶ FAR 12.603.

³⁷ RFO FAR 12.603.

³⁸ FAR 12.602

1. For many commercial acquisitions, the evaluation criteria need not be more detailed than technical capability, price, and past performance. Technical capability can be evaluated by how well the proposed item meets the government's need, rather than against predetermined subfactors. The standard provision for this is FAR 52.212-2, Evaluation—Commercial Products and Commercial Services.
 2. Cost or Pricing Data: Commercial product and service acquisitions are exempt from the requirement to obtain certified cost or pricing data. However, the contracting officer is still required to determine the price to be fair and reasonable and may request data other than certified cost or pricing data to support this determination.³⁹
 3. Past Performance: Past performance shall be evaluated in accordance with the procedures in FAR 13.106 or Subpart 15.3, as applicable.
- C. Additional DoD Competition and Evaluation Requirements. The revised DFARS, effective February 1, 2026, introduces several additional procedural requirements for DoD commercial acquisitions:
1. Supply Chain Risk: When acquiring information technology (whether as a product or service), the contracting officer must include an evaluation factor for supply chain risk.⁴⁰
 2. Lowest Price Technically Acceptable (LPTA): The limitations and prohibitions on the use of LPTA source selection procedures, as detailed in DFARS 215.101-2-70, are applicable to the acquisition of commercial products and services.⁴¹
 3. Only One Offer: If only one offer is received in response to a competitive commercial solicitation, the contracting officer must follow the procedures for handling sole offers outlined at DFARS 215.371.⁴²
 4. Price Reasonableness: In accordance with 10 U.S.C. 3453(d), agencies must use market research to support the price reasonableness determination. If market research is insufficient, the contracting officer must consider recent purchase prices paid by the government and commercial customers. If that information is also insufficient, the offeror may be required to submit other relevant information, including uncertified cost data such as labor and material costs.⁴³

³⁹ RFO FAR 15.403-1(b)(3).

⁴⁰ RFO DFARS 212.203(a)

⁴¹ RFO DFARS 212.173(a).

⁴² RFO DFARS 212.102-71

⁴³ RFO DFARS 212.204(a)

5. Award Documentation: The rationale for selecting the successful offeror must be fully documented in the contract file, including a discussion of any price/technical trade-offs considered.⁴⁴

VII. SOLICITATION PROVISIONS AND CONTRACT CLAUSES

In accordance with 41 U.S.C. § 3307 and FAR 12.301, contracts for commercial products and services shall, to the maximum extent practicable, include only those clauses required to implement law or executive orders or those determined to be consistent with customary commercial practice. When acquiring commercial products or services, contracting officers are required to use only the provisions and clauses prescribed in FAR Part 12, as supplemented by agency regulations.

- A. Standard FAR Provisions and Clauses. The FAR prescribes a core set of provisions and clauses for all commercial acquisitions:
 1. FAR 52.212-1, Instructions to Offerors—Commercial Products and Commercial Services: Provides a single, streamlined set of instructions for preparing offers. It is incorporated by reference in the solicitation.
 2. FAR 52.212-2, Evaluation—Commercial Products and Commercial Services: Used when evaluation factors are appropriate. The provision is tailored to the specific acquisition to describe the evaluation factors and their relative importance.
 3. FAR 52.212-3, Offeror Representations and Certifications—Commercial Products and Commercial Services: Provides a single, consolidated list of required representations and certifications for offerors to complete.
 4. FAR 52.212-4, Contract Terms and Conditions—Commercial Products and Commercial Services: Includes the standard terms and conditions that are, to the maximum extent practicable, consistent with customary commercial practice (e.g., inspection, acceptance, termination, and warranties).
 5. FAR 52.212-5, Contract Terms and Conditions Required to Implement Statutes or Executive Orders—Commercial Products and Commercial Services: This is a critical "pass-down" clause that incorporates by reference only those additional clauses required to implement law or Executive Orders applicable to the specific acquisition.
- B. Required DoD Provisions and Clauses. The RFO DFARS Part 212, effective February 1, 2026, consolidates the required provisions and clauses for DoD

⁴⁴ RFO FAR 12.602(c).

commercial acquisitions into a series of tables. Contracting officers must refer to these tables to ensure solicitations and contracts are compliant.⁴⁵

1. Required Provisions: This table lists mandatory provisions to be included in solicitations. Examples include:⁴⁶
 - a. 252.204-7019, Notice of NIST SP 800-171 DoD Assessment Requirements
 - b. 252.209-7021, Prohibition Relating to Conflicts of Interest in Consulting Services—Certification
 - c. 252.215-7008, Only One Offer
 - d. 252.225-7000, Buy American—Balance of Payments Program Certificate
 2. Required Clauses: This table lists mandatory clauses to be included in all contracts for commercial products and services. Examples include:⁴⁷
 - a. 252.203-7002, Requirement to Inform Employees of Whistleblower Rights
 - b. 252.204-7021, Cybersecurity Maturity Model Certification Requirements
 - c. 252.225-7001, Buy American and Balance of Payments Program
 - d. 252.244-7000, Subcontracts for Commercial Products and Commercial Services
 3. Clauses for Limited Categories: This table lists clauses required only for specific categories of contracts, such as those involving classified systems, litigation support, or specialty metals.⁴⁸
- C. DoD Omnibus Clause Deviation. See DoD Class Deviation 2023-00008, which allows contracting officers using the Procurement Desktop-Defense (PD2) system to use an omnibus clause capability. This function automatically selects and incorporates the applicable deviation clauses for commercial

⁴⁵ RFO DFARS 212.205.

⁴⁶ RFO DFARS Table 212.2.

⁴⁷ RFO DFARS Table 212.3.

⁴⁸ RFO DFARS Table 212.4.

acquisitions, fulfilling statutory requirements on auditing and subcontracting. Contracting officers must ensure this deviation is incorporated.⁴⁹

VIII. TAILORING PROVISIONS AND CLAUSES

The provisions and clauses prescribed in FAR Part 12 are designed to address, to the maximum extent practicable, the commercial market practices for a wide range of acquisitions. However, recognizing that "one size does not fit all," the FAR provides flexibility. After conducting appropriate market research, contracting officers may tailor FAR 52.212-1 (Instructions to Offerors) and FAR 52.212-4 (Contract Terms and Conditions) to address the specific commercial practices of a particular market.⁵⁰

- A. Limitations on Tailoring. This flexibility is not without limits. The ability to tailor is constrained by statute and the overarching policy of adhering to commercial practice.
 - 1. Statutory Requirements: The following paragraphs of FAR 52.212-4 implement statutory requirements and shall not be tailored: (a) Assignments, (b) Disputes, (c) Payment (except as provided in FAR Subpart 32.11), (d) Invoice, (h) Other compliances, (i) Compliance with laws unique to Government contracts, (j) Unauthorized Obligations.⁵¹
 - 2. Inconsistency with Commercial Practice: A contracting officer shall not tailor a clause or include any additional term or condition that is inconsistent with customary commercial practice unless a waiver is approved in accordance with agency procedures. The waiver request must:
 - a. Describe the customary commercial practice;
 - b. Support the need to include the inconsistent term or condition; and
 - c. Include a determination that using the customary commercial practice is inconsistent with the Government's needs.⁵²

⁴⁹ RFO DFARS 212.205.

⁵⁰ RFO FAR 12.302(a).

⁵¹ RFO FAR 12.302(b).

⁵² RFO FAR 12.302(c).

3. Waiver Authority (DoD): For the Department of Defense, the Head of the Contracting Activity (HCA) is the approval authority for waivers requested under FAR 12.302(c).⁵³
- B. Common Areas for Tailoring (by Addenda).⁵⁴ Tailoring must be executed by creating an addendum to the solicitation and contract. Common areas where tailoring may be appropriate include:
1. Acceptance: While the Government typically relies on the contractor's assurance of conformity, acquisitions of complex or critical commercial products may necessitate alternative inspection procedures. These procedures should be included in an addendum and must adequately protect the Government's interests.⁵⁵
 2. Termination: FAR 52.212-4 permits termination for convenience or for cause. While FAR Part 49 (Termination of Contracts) does not directly apply, it may be used as guidance to the extent it does not conflict with FAR Part 12 and the clause language.⁵⁶
 3. Warranties: Contracting officers must take advantage of commercial warranties. This includes both implied warranties (merchantability and fitness for a particular purpose) and express warranties. Solicitations should require offerors to provide, at a minimum, the same warranty terms offered to the general public. These terms must be analyzed for adequacy and cost-effectiveness.⁵⁷
 4. Technical Data and Computer Software: The Government's policy is to acquire only the technical data and rights customarily provided to the public. Commercial computer software should be acquired under licenses customarily provided to the public, to the extent such licenses are consistent with Federal law and satisfy the Government's needs. Any specific rights or license terms must be included in an addendum to the contract.⁵⁸

IX. SECTION 809 PANEL

The "Section 809 Panel" was a temporary, independent body established by Congress in the FY16 National Defense Authorization Act (NDAA) to develop recommendations for streamlining and improving the defense acquisition system. Operating from 2016 to 2019, the

⁵³ RFO DFARS 212.302(c); RFO AFARS 5112.302.

⁵⁴ See RFO FAR 12.302(d)

⁵⁵ RFO FAR 12.402.

⁵⁶ RFO FAR 12.403.

⁵⁷ RFO FAR 12.404.

⁵⁸ RFO FAR 12.211, 12.212.

panel produced a series of influential reports containing 98 recommendations aimed at creating a more agile, flexible, and responsive procurement system.

A central theme of the panel's work was the need to lower barriers for commercial companies and make the Department of Defense (DoD) a more attractive business partner. Many of its recommendations focused on drastically reforming the acquisition of commercial products and services, including the foundational recommendation to split the definition of "commercial item" into "commercial product" and "commercial service" to provide greater clarity.

While the panel's charter has concluded, its work served as a primary catalyst for the most significant acquisition reforms in a generation. The forward-looking discussion of "potential changes" has now become a reality.

The "Revolutionary FAR Overhaul" (RFO), implemented for DoD via class deviation DARS Tracking Number 2026-00028, is the direct legislative and regulatory fulfillment of the 809 Panel's vision. This overhaul, driven by executive orders to modernize procurement, implements many of the panel's core recommendations for commercial acquisitions. The changes discussed throughout this chapter—from the refined definitions and streamlined procedures to the updated contract clauses—are the tangible results of this multi-year reform effort.

Therefore, an understanding of the Section 809 Panel's findings is no longer about staying apprised of potential changes; it is about understanding the foundational principles that now govern the modern commercial acquisition system. The panel's legacy is the reformed, more commercially-aligned framework that contracting officers use today.

CHAPTER 12

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CHAPTER 12

RESPONSIBILITY, TIMELINESS, AND ORGANIZATIONAL CONFLICTS OF INTEREST (OCIs)

I. INTRODUCTION

Responsibility, timeliness, and OCIs are great examples of government contract concepts that apply to multiple procurement methods. Specifically, these concepts are applicable in FAR Part 14 and 15 procurements (Sealed Bidding and Contracting by Negotiation). As a result, understanding these concepts and their applicability to each procurement method is necessary for a comprehensive understanding of government contracting.

II. RESPONSIBILITY

A. Overview:

1. Chief concern: Does the company have the **ability** and **capacity** to perform the contract? (Responsibility differs from “responsiveness” as discussed in the Sealed Bidding Outline. Responsiveness concerns whether the bid conforms to the essential, material requirements of the IFB, whereas responsibility describes the contractor’s capacity to perform.)
2. Government acquisition policy requires that the contracting officer make an affirmative determination of responsibility prior to award. FAR 9.103.
3. General rule. The contracting officer may award only to a responsible bidder. FAR 9.103(a); Theodor Arndt GmbH & Co., B-237180, Jan. 17, 1990 (responsibility requirement implied); Atlantic Maint., Inc., B-239621.2, June 1, 1990 (an unreasonably low price may render bidder nonresponsible); *but see* The Galveston Aviation Weather Partnership, B-252014.2, May 5, 1993 (below-cost bid not legally objectionable, even when offering labor rates lower than those required by the Service Contract Act).
4. Note about Applicability. FAR Subpart 9.1 does not apply to contracts with foreign, state, or local governments; other U.S. government agencies or their instrumentalities; or “agencies for the blind or other severely handicapped.” FAR 9.102.

B. Definition.

1. Responsibility refers to an offeror's apparent **ability** and **capacity** to perform. To be responsible, a prospective contractor must meet the standards of responsibility set forth at FAR 9.104. SRS Critical Infrastructure Sec., LLC, B-418510.9, May 9, 2023.
2. Responsibility is determined at any time prior to award. Therefore, the bidder may provide responsibility information to the contracting officer at any time before award. FAR 9.103; FAR 9.105-1; ADC Ltd., B-254495, Dec. 23, 1993 (bidder's failure to submit security clearance documentation with its bid is not a basis for rejection of bid); Cam Indus., B-230597, May 6, 1988.

C. Types of Responsibility.

1. **General** standards of responsibility. FAR 9.104-1.
 - a. Definition. Minimum contractor qualification standards. To be determined responsible, prospective contractors must meet "general standards" set forth at FAR 9.104-1.
 - b. The general standards apply to all procurement contracts, even if they are not incorporated into the solicitation (and they normally are not stated in the solicitation). There are seven general standards (paraphrased here):
 - (1) adequate financial resources;
 - (2) ability to comply with the delivery or performance schedule;
 - (3) satisfactory performance record;
 - (4) satisfactory record of integrity and business ethics;
 - (5) necessary organization and experience;
 - (6) necessary equipment and facilities; and
 - (7) otherwise qualified and eligible. (This seventh criterion encompasses collateral requirements, or other provisions of law specifying when contractors are disqualified from or ineligible for awards.)

- c. Financial resources. The contractor must demonstrate that it has adequate financial resources to perform the contract or that it has the ability to obtain such resources. FAR 9.104-1(a). In assessing this criterion, contracting officers normally consider the factors generally used to assess businesses' financial health: ratio of assets to liabilities, working capital, cash flow projections, credit ratings, profitability, liquidity of assets, etc.; E. Shipbuilding Grp., Inc. v. United States, 168 Fed. Cl. 559 (2023)(Contracting Officer's review of audited financial statements and Duns and Bradstreet was sufficient to satisfy FAR 9.104-1(a)); Am. Energy Logistics Sols. LLC, B-417844.3, July 23, 2020 (determination of nonresponsibility for lack of financial resources reasonable).
- (1) Bankruptcy. Nonresponsibility determinations based solely on a bankruptcy petition violate 11 U.S.C. § 525. This statute prohibits a governmental unit from denying, revoking, suspending, or refusing to renew a license, permit, charter, franchise, or other similar grant to, or deny employment to, terminate employment of, or discriminate with respect to employment against, a person that is or has been a debtor under 11 U.S.C. § 525, solely because such person has been a debtor under that title. Bender Shipbuilding & Repair Co. v. United States, 297 F.3d 1358 (Fed. Cir. 2002) (upholding contracting officer's determination that awardee was responsible even though awardee filed for Chapter 11 Bankruptcy reorganization); Global Crossing Telecomms., Inc., B-288413.6, B-288413.10, June 17, 2002, (upholding contracting officer's determination that a prospective contractor who filed for Chapter 11 was not responsible where the pre-award survey included a detailed financial analysis and the contracting officer reasonably concluded that the firm's poor financial condition made the firm a high financial risk).
- (2) A determination of responsibility should not be negative **solely** because of a prospective contractor's bankruptcy. The contracting officer should focus on the contractor's ability to perform the contract, and justify a nonresponsibility determination of a bankrupt contractor accordingly. Rotech Healthcare, Inc., B-409020, B-409020.2, Jan. 10, 2014; Harvard Interiors Mfg. Co., B-247400, May 1, 1992 (Chapter 11

firm found nonresponsible based on lack of financial ability); Sam Gonzales, Inc.—Recon., B-225542.2, Mar. 18, 1987.

- d. Delivery or performance schedule: The contractor must establish its ability to comply with the delivery or performance schedule. FAR 9.104-1(b). Any circumstances suggesting that a contractor might not comply with the contract's schedule for delivery or performance could form the basis for an unfavorable finding on this criterion. Such circumstances may include recent relocation, labor disputes, delivery problems under prior contracts, and inability to demonstrate that suppliers or subcontractors are committed to delivering necessary items or equipment. Afghan Am. Army Servs. Corp. v. United States, 106 Fed. Cl. 714, 2012 (Contracting Officer properly considered offeror's history of failing to meet delivery requirements on prior contracts; these prior performance shortcomings could also have been considered under FAR 9.104-1(c)); Sys. Dev. Corp., B-212624, Dec. 5, 1983.
- e. Performance record: The contractor must have a satisfactory performance record. FAR 9.104-1(c). Performance deficiencies considered by the Contracting Officer might include delinquent performance, delivery of nonconforming items, failure to adhere to contract specifications, late deliveries, poor management or technical judgment, failure to correct production problems, failure to perform safely, and inadequate supervision of subcontractors. DynCorp Int'l LLC, B-411126.4 et al., Dec. 20, 2016; Info. Resources, Inc., B-271767, July 24, 1996; Saft Am., B-270111, Feb. 7, 1996; North Am. Constr. Corp., B-270085, Feb. 6, 1996; Mine Safety Appliances, Co., B-266025, Jan. 17, 1996.
 - (1) The contracting officer **shall presume** that a contractor seriously deficient in recent contract performance is nonresponsible. FAR 9.104-3(b). However, Contracting officers should consider the circumstances surrounding any deficient performance when making determinations.
 - (2) See Schenker Panamericana (Panama) S.A., B-253029, Aug. 2, 1993 (agency justified in nonresponsibility determination where moving contractor had previously failed to conduct pre-move surveys, failed to provide adequate packing materials, failed to keep appointments

or complete work on time, dumped household goods into large containers, stacked unprotected furniture onto trucks, dragged unprotected furniture through hallways, and wrapped fragile goods in a single sheet of paper; termination for default on prior contract not required). *See also Pac. Photocopy & Research Servs.*, B-281127, Dec. 29, 1998 (contracting officer properly determined that bidder had inadequate performance record on similar work based upon consistently high volume of unresolved customer complaints).

- (3) *See Ettefaq-Meliat-Hai-Afghan Consulting, Inc. v. United States*, 106 Fed. Cl. 429 (2012) (Contracting Officer's decision to find contractor nonresponsible based upon an intelligence report that stated contractor submitted fraudulent statements and credentials, failed to meet delivery requirements on a previous contract, was reasonable).

- f. Business ethics: The contractor must have a satisfactory record of business ethics. FAR 9.104-1(d). In evaluating this criterion, contracting officers may consider convictions or indictments of corporate officers, integrity offenses constituting grounds for suspension under the FAR, repeated violations of state law, or pending debarments. A lack of integrity on the part of entities with which the contractor has close relationships may also be considered. *FCi Fed., Inc.*, B-408558.4 *et al.*, Oct. 20, 2014; *Interstate Equip. Sales*, B-225701, Apr. 20, 1987. *See Ettefaq-Meliat-Hai-Afghan Consulting, Inc. v. United States*, 106 Fed. Cl. 429 (2012) (Contracting Officer's decision to find a contractor nonresponsible must be rational and reasonable; given issues with the contractor's performance in previous contracts and submission of fraudulent statements, credentialing, and non-compliance, a Contracting Officer does not need to look at each instance to determine if the instance supports nonresponsibility, but at the totality of circumstances to find nonresponsibility.)
- g. Management/technical capability: The contractor must display adequate management and technical capability to perform the contract satisfactorily. FAR 9.104-1(e); *Gaver Indus., Inc., d/b/a Barker & Barker Paving*, B-412428, Feb. 9, 2016; *TAAS-Israel Indus.*, B-251789.3, Jan. 14, 1994 (contractor lacked

design skills and knowledge to produce advanced missile launcher power supply).

- h. Equipment/facilities/production capacity: The contractor must maintain or have access to sufficient equipment, facilities, and production capacity to accomplish the work required by the contract. FAR 9.104-1(f); IPI Graphics, B-286830, B-286838, Jan. 9, 2001 (contractor lacked adequate production controls and quality assurance methods). A contractor's *ability to obtain* the necessary resources in the future is acceptable to satisfy this criterion. FAR 9.104-1(e); McLaughlin Res. Corp., B-247118, May 5, 1992 ("Intent to Lease Agreement" showing likely ability to use warehouse in the future).
- i. Be otherwise qualified and eligible to receive an award under applicable laws and regulations. FAR 9.104-1(g). This seventh and final criterion—"otherwise qualified and eligible"—encompasses other provisions of law or regulation specifying when contractors are disqualified from or ineligible for awards. There is no exhaustive list because disqualifying provisions may be found in agency-specific laws and regulations. Several common exclusions are listed below.
 - (1) Unpaid Tax Liability: Appropriated funds may not be used to enter into a contract with a corporation that has unpaid federal tax liability (after exhaustion of remedies) or was convicted of a felony criminal violation in the preceding 24 months, unless the agency considered suspension or debarment and decided this action was not necessary to protect the interests of the government. FAR 52.209-11.
 - (2) Adequate Accounting System: For cost-reimbursement or incentive-type contracts, or contracts that provide for progress payments based on costs or on a percentage or stage of completion, the prospective contractor's accounting system and related internal controls must provide reasonable assurance across a variety of areas, to include data reliability, invoicing procedures, and regulatory compliance. DFARS 209.104-1(e).
 - (3) Acceptable Non-Foreign Ownership: FAR 9.108; DFARS 209.104-1(g). Active Deployment Sys., Inc., B-404875, May 25, 2011; Bilfinger Berger AG Sede Secondaria Italiana, B-402496, May 13, 2010. Here,

remember to consider whether the firm is an inverted domestic corporation or whether it is owned or controlled by the government of a country when that government is a state sponsor of terrorism or when access to proscribed information is required to perform the contract.

- (4) Federal Employees. In accordance with FAR 3.601, procurement contracts generally may not be awarded to Federal employees or a business concern or other organization owned or substantially owned or controlled by one or more Federal employees. Metro Offs., Inc., B-408477, Sept. 27, 2013(GAO finds no violation of FAR 3.601 because the contracting officer was unaware that a government employee owned the awardee company).

2. **Special** or definitive standards of responsibility. FAR 9.104-2(a) was reserved in it's entirety in the Revolutionary FAR Overhaul (RFO) and moved to the FAR Companion Guide (FCG).

- a. Definition: Specific and objective standard established by a contracting agency in a solicitation to measure an offeror's ability to perform a given contract. They are normally used when unusual expertise, special facilities, or specific experience or equipment are necessary to ensure that the government's needs are satisfied. They may be qualitative or quantitative. Reyna-Capital Joint Venture, B-408541, Nov. 1, 2013; D.H. Kim Enters., B-255124, Feb. 8, 1994.
- b. Special standards must be expressly included in a solicitation. That is, the solicitation must reasonably inform offerors that they must demonstrate compliance with the standard as a precondition to receiving the award. Public Facility Consortium I, LLC; JDL Castle Corp., B-295911, B-295911.2, May 4, 2005.
- c. Evaluations using definitive responsibility criteria, including, but not limited to, capability, competency, capacity, credit, integrity, perseverance, tenacity, and limitations on subcontracting are generally subject to review by the Small Business Administration (SBA) through its Certificate of Competency process. RFO FAR 19.204; J.E. McAmis, Inc. v. United States, 164 Fed. Cl. 650 (2023)

d. Examples:

- (1) Requiring that a prospective contractor have a specified number of years of **experience** performing the same or similar work is a definitive responsibility standard. J2A2JV, LLC, B-401663.4, Apr. 19, 2010 (did not meet definitive responsibility criterion requiring at least 5 years of experience and solicitation language may not reasonably be interpreted as permitting use of a subcontractor's experience); M & M Welding & Fabricators, Inc., B-271750, July 24, 1996, (IFB requirement to show documentation of at least three previously completed projects of similar scope); D.H. Kim Enters., B-255124, Feb. 8, 1994 (IFB requirements for 10 years of general contracting experience in projects of similar size and nature and for successful completion of a minimum of two contracts of the same or similar scope within the past two years, on systems of a similar size, quantity and type as present project); Roth Brothers, Inc., B-235539, Aug. 2, 1989 (IFB requirement to provide documentation of at least three previously completed projects of similar scope); J.A. Jones Constr. Co., B-219632, Dec. 9, 1985 (IFB requirement that bidder have performed similar construction services within the United States for three prior years); Hardie-Tynes Mfg. Co., B-237938, Apr. 2, 1990 (agency properly considered manufacturing experience of parent corporation in finding bidder met the definitive responsibility criterion of five years manufacturing experience); BBC Brown Boveri, Inc., B-227903, Sep. 28, 1987 (IFB required five years of experience in transformer design, manufacture, and service - GAO held that this definitive responsibility criterion was satisfied by a subcontractor).
- (2) Requirement for an offeror to demonstrate in its proposal the capability to pass an audit by completing and submitting prescreening audit forms is **not** a definitive responsibility standard because it did not contain a specific and objective standard. It relates only to the general responsibility of the awardee, that is its ability to perform the contract-specific with all legal requirements. T.F. Boyle Transp., Inc., B-310708; B-310708.2, Jan. 29, 2008.

- (3) Requirement for an offeror to “specify up to three contracts of comparable magnitude and similar in nature to the work required and performed within the last three years,” was **not** a definitive responsibility criterion, but an informational requirement. Nilson Van & Storage, Inc., B-310485, Dec. 10, 2007. Compare Charter Envtl., Inc., B-297219, Dec. 5, 2005 (standard was definitive responsibility criterion where it required the offeror to have successfully completed at least three projects that included certain described work and at least three projects of comparable size and scope).

D. **Subcontractor** responsibility issues.

1. Overview

- a. A prospective contractor must affirmatively demonstrate its responsibility, including, when necessary, the responsibility of its proposed subcontractors. FAR 9.103(c); FAR 9.104-4; *See* Adrian Supply Co., B-237531, Feb. 12, 1990.
- b. The agency may directly review and determine a subcontractor responsibility. FAR 9.104-4(b).
- c. Determinations of prospective subcontractor responsibility may affect the government’s determination of the prospective prime contractor's responsibility. FAR 9.104-4. *See* Leidos Innovations, B-414289.2, Jun. 6, 2017 (proposed subcontractor’s ineligibility to access the place of performance rendered it nonresponsible, which in turn, caused the government to find the prime contractor nonresponsible).
- d. Subcontractor responsibility **is determined in the same fashion as** the responsibility of the prime contractor. FAR 9.104-4(b).

2. Statutory/Regulatory Compliance.

a. Licenses and permits.

- (1) When a solicitation contains a **general** condition that the contractor comply with state and local licensing requirements, the contracting officer *need not* inquire into what those requirements may be or whether the bidder will comply. James C. Bateman Petroleum Serv., Inc., B-232325, Aug. 22, 1988; *but see*

International Serv. Assocs., B-253050, Aug. 4, 1993, (where agency determines that small business will not meet licensing requirement, referral to SBA required).

- (2) On the other hand, when a solicitation requires **specific** compliance with regulations and licensing requirements, the contracting officer *may* inquire into the offeror's ability to comply with the regulations in determining the offeror's responsibility. Intera Technologies, Inc., B-228467, Feb. 3, 1988.

b. Statutory certification requirements.

- (1) Small business concerns. The contractor must certify its status as a small business to be eligible for award as a small business. RFO 19.201-1.
- (2) Equal opportunity compliance (generally removed in the Revolutionary FAR Overhaul). Contractors must certify that they will comply with "equal opportunity" statutory requirements. In addition, contracting officers must obtain pre-award clearances from the Department of Labor for equal opportunity compliance before awarding any contract (excluding construction) exceeding \$10 million. FAR 22.805 (removed and marked as Reserved in RFO). Solicitations may require the contractor to develop and file an affirmative action plan. FAR 52.222-23 (removed and reserved in RFO) and FAR 52.222-25 (removed and reserved in RFO); Westinghouse Elec. Corp., B-228140, Jan. 6, 1988.
- (3) RFO 22.2202 - Addressing DEI Discrimination by Federal Contractors Executive Order 14398 requires measures to prevent contractors from engaging in any racially discriminatory DEI activities and replaces requirements in FAR 22.805.

E. Responsibility Determination Procedures.

1. Sources of information. The contracting officer must obtain sufficient information to determine responsibility. FAR 9.105-1.
2. Contracting officers may use pre-award surveys. FAR 9.105-1(b); FAR 9.106; DFARS 209.106; Accurate Indus., B-232962, Jan. 23, 1989.

3. Contracting officer must check the list entitled “Federal Awardee Performance and Integrity Information System,” along with other sources. FAR 9.105-1(c) (removed in RFO and moved to FCG); DFARS 209.105-1. *But see R.J. Crowley, Inc.*, B-253783, Oct. 22, 1993 (agency improperly relied on non-current list of ineligible contractors as basis for rejecting bid; agency should have consulted electronic update).
4. Army contracting officers must use the Determination of Responsibility Assistant (DORA) Contractor Responsibility bot to assist them in determining prospective contractor responsibility. AFARS 5109.103. The bot pulls information from SAM and FAPIIS creating a summary report while populating a memorandum template. AFARS PGI 5109.103(b)-1.
5. Contracting and audit agency records and data pertaining to a contractor’s prior contracts are valuable sources of information. FAR 9.105-1(c)(2) (Removed and relocated to FCG).
6. Contracting officers also may request and use contractor-furnished information. FAR 9.105-1(c)(2) (Removed and relocated to FCG). *Int’l Shipbuilding, Inc.*, B-257071.2, Dec. 16, 1994 (agency need not delay award indefinitely until the offeror cures the causes of its nonresponsibility).

F. Documenting and Reporting Nonresponsibility Determinations

1. Contracting officers shall place a nonresponsibility determination in the contract file when an offer on which an award would otherwise be made is rejected because the prospective contractor is found to be nonresponsible. FAR 9.105-2(a)(1) (Removed and relocated to FCG).
2. In cases of a small business, contracting officers must first send the nonresponsibility determination to the SBA. If the SBA issues a Certificate of Competency for the small business concern, the contracting officer shall accept it and make award to the concern. FAR 9.105-2(a)(2) (Removed and relocated to FCG.); FAR Subpart 19.6. *But see* FN1.¹

¹ The contracting officer may appeal a decision to issue a COC if the contracting officer and the SBA disagree regarding a small business concern’s ability to perform. For COCs valued between \$100,000 and \$25,000,000, the SBA Associate Administrator for Government Contracting will make the final determination on whether to issue a COC. For COCs valued over \$25,000,000, the SBA Headquarters will make the final determination. *See* FAR 19.602-3; AFARS 5119.602-3; *Holiday Inn-Laurel—Protest and Request for Costs*, B-270860.3, B-270860.4, May 30, 1996.

3. Pursuant to FAR 9.105-2, within three days of making a nonresponsibility determination, a contracting officer shall document the finding FAPIIS if:
 - a. The contract is more than the SAT;
 - b. The determination of nonresponsibility is based on lack of satisfactory performance record or satisfactory record of integrity and business ethics; and
 - c. The SBA Administration does not issue a Certificate of Competency.
 4. DoD contracting officers shall submit a copy of the determination of nonresponsibility to the appropriate suspension and debarment official listed in DFARS 209.403. DFARS 209.109-2.
 5. Army contracting officers shall submit a copy of the determination of nonresponsibility to the cognizant suspension and debarment official listed at AFARS 5109.403. AFARS 5109.105-2. (These requirements were removed from AFARS and moved to the Army FAR Companion Guide.)
- G. GAO review of responsibility determinations.
1. Nonresponsibility Determinations.
 - a. GAO **will** review nonresponsibility determinations for **reasonableness**. Am. Energy Logistics Sols. LLC, B-417844.3, July 23, 2020 (determination of nonresponsibility for lack of financial resources reasonable). Schwender/Riteway Joint Venture, B-250865.2, Mar. 4, 1993 (determination of nonresponsibility unreasonable when based on inaccurate or incomplete information).
 2. Affirmative Responsibility Determinations.
 - a. As a general matter the GAO **does not** review an affirmative determination of responsibility. 4 C.F.R. § 21.5(c); SRS Critical Infrastructure Sec., LLC, B-418510.9, May 9, 2023.
 - b. However, there are **two exceptions**, where the GAO will review an affirmative determination of responsibility:

- (1) GAO Exception 1: **Definitive** responsibility criteria in the solicitation that are not met, as opposed to general responsibility criteria. 4 C.F.R. § 21.5(c); Active Development Sys., Inc., B-404875, May 25, 2011; T.F. Boyle Transp., Inc., B-310708, B-310708.2, Jan. 29, 2008.
- (2) GAO Exception 2: Evidence is identified that raises serious concerns that, in reaching a particular responsibility determination, the contracting officer **unreasonably failed to consider available relevant information or otherwise violated statute or regulation**. 4 C.F.R. § 21.5(c); Sierra7, Inc.; V3gate, LLC, B-421109, Jan. 4, 2023 (with GAO clarifies this exception only applies to overlooked information about “very serious matters, for example, potential criminal activity or massive public scandal” that has “a strong bearing on whether the awardee should be found responsible); Southwestern Bell Tel. Co., B-292476, Oct. 1, 2003, (GAO reviewed allegation where evidence was presented that the contracting officer failed to consider serious, credible information regarding awardee’s record of integrity and business ethics); FCi Federal, Inc., B-408558.5, B-408558.6, Oct. 20, 2014 (GAO sustained protest challenging contracting officer’s affirmative responsibility determination where contracting officer failed to consider specific allegations of fraud and awardee’s affiliation with its parent company).

3. SBA Certificate of Competency Determinations.

- a. General Rule. In general, the GAO will not review the SBA’s issuance or, or refusal to issue, a certificate of competency for a small business concern. 4 C.F.R. § 21.5(b)(2). *See* WesternWorld Servs., Inc., d/b/a The Video Tape Co., B-243808.3, Aug. 12, 1991 (recognizing that by law the SBA, not the GAO, has conclusive statutory authority to determine the responsibility of a small business); Lawson Envtl. Servs. LLC, B-416892, Jan. 8, 2019 (dismissing protest where allegations did not fall within the exceptions for the GAO to review a COC protest).
- b. There are three narrowly interpreted **exceptions** to the general GAO rule:

- (1) Exception 1: Allegations of possible bad faith on the part of government officials. 4 C.F.R. § 21.5(b)(2). *See* Traffic Moving Sys., Inc., B-248572, Sep. 3, 1992, (finding that in order to establish bad faith, a protester must present evidence showing that agency officials acted intentionally to injure the protester); Interstate Equip. Sales, B-225701, Apr. 20, 1987 (the agency's communication with the SBA during the COC review does not constitute evidence of bad faith).
- (2) Exception 2: Allegations that the SBA failed to follow its own published regulations. 4 C.F.R. § 21.5(b)(2); All Phase Solutions, LLC, B-420376, Jan. 31, 2022.
- (3) Exception 3: Allegations that SBA failed to consider vital information because of how information was presented to, or withheld from, the SBA by the procuring agency. 4 C.F.R. § 21.5(b)(2). MPC Containment Sys., LLC, B-416188.2, July 23, 2018 (the protester did not identify any information that was wrongfully withheld from SBA, nor any information that was presented in a misleading or inaccurate way by the agency). Note: GAO generally only applies this exception to definitive responsibility criteria. *See* MPC Containment Sys., B-416188.2.

H. Court of Federal Claims review of responsibility determinations.

1. The COFC may review a contracting officer's responsibility decision, whether affirmative or negative, as well as any SBA's COC determination.
2. During such a review, COFC will examine the determination to see if it lacks a rational basis or if there was a clear and prejudicial violation of applicable statutes or regulations. *See* Impresa Construzioni Geom. Domenico Garufi v. United States, 238 F.3d 1324 (Fed. Cir. 2001)(finding the contracting officer failed to conduct an independent and informed responsibility determination); Konecranes Nuclear Equip. & Servs., LLC v. United States, 165 Fed. Cl. 421, 432 (2023); Remington Arms Co., LLC v. United States, 126 Fed. Cl. 218 (2016).

III. TIMELINESS

- A. Overview. This timeliness section discusses two areas of government contracting that are most affected by timing requirements: first, how long **contract actions must be publicized**, and second, bids and proposals must be **submitted on time**.
- B. Publicizing Contract Actions. Prior to awarding government contracts, agencies must comply with the publicizing requirements of RFO Part 5. Besides being required by statute, publicizing contract actions increases competition, broadens industry participation, and assists small business concerns in obtaining contracts and subcontracts. RFO 5.002.
 - 1. Definitions:
 - a. Presolicitation Notice: A notice used to notify industry and the public that the Government intends to release a solicitation in the near future.
 - b. Publicizing: Disseminating information in a public forum (normally SAM.gov) so that potential vendors are informed of the agency's need, and the agency's proposed contract action.
 - c. Posting: A limited form of publicizing where a contracting officer informs the public of a proposed contract action by displaying a synopsis or solicitation in a public place (usually a "contract action display board" outside the contracting office), or by an equivalent electronic means (usually a contracting office webpage).
 - d. Synopsis: A notice to the public that summarizes the anticipated solicitation.
 - e. Solicitation: A request for vendors to fulfill an agency need via a government contract.
 - 2. Presolicitation. A presolicitation notice must be posted to the government-wide point of entry (GPE)² to notify industry and the public that the government intends to release a solicitation in the near future and is required for all contract actions greater than \$20,000. RFO 5.101. There are also situations when an exception to publicizing a requirement is permitted. RFO 5.101. In preparing the presolicitation

² The GPE is available online at the System for Award Management (SAM) website – <https://sam.gov/>.

notice, a determination must be made whether the acquisition will be subject to the World Trade Organization Government Procurement Agreement (WTO GPA) and/or a Free Trade Agreement (FTA). RFO 5.101(c).

a. Minimum Timeframes for posting presolicitation notices. RFO 5.101(d).

- (1) >\$20K to \$25K. Any acquisition must be posted for 10 days.
- (2) >\$25K to SAT. Any Acquisition must be posted for 15 days before solicitation issuance.
- (3) Acquisition of commercial products or commercial services greater than SAT are to be combined with the solicitation.
- (4) Noncommercial acquisitions must be posted for 15 days before solicitation issuance.

3. Solicitation notice. A contracting officer must post the solicitation in the GPE. The minimum timeframes for the receipt of quotations or offers depends on the value of the acquisition and whether it is subject to the WTO GPA or an FTA. RFO 5.201(d).

a. **Any acquisition greater than \$15,000 and less than SAT:**

- (1) Not subject to WTO GPA or FTA – Allow a reasonable opportunity to respond.
- (2) Subject to WTO GPA or FTA but included in annual forecast – 10 days from presolicitation notice or solicitation, as applicable.
- (3) Subject to WTO GPA or FTA but *not* included in annual forecast – 40 days from presolicitation notice or solicitation, as applicable.

b. **Acquisition of commercial products or services above SAT:**

- (1) Not subject to WTO GPA or FTA – Allow a reasonable opportunity to respond.
- (2) Subject to WTO GPA or FTA but included in annual forecast – 10 days from combined synopsis/solicitation.

- (3) Subject to WTO GPA or FTA but *not* included in annual forecast – 40 days from combined synopsis/solicitation.

c. Research and Development (R&D) acquisitions above SAT:

- (1) Not subject to WTO GPA or FTA – 45 days from presolicitation notice.

d. Orders under a basic ordering agreement or similar (non-R&D):

- (1) Not subject to WTO GPA or FTA – 30 days from presolicitation notice.
- (2) Subject to WTO GPA or FTA but included in annual forecast – 30 days from presolicitation notice (reducible to 10 days, if warranted).
- (3) Subject to WTO GPA or FTA but *not* included in annual forecast – 40 days from presolicitation notice.

e. All other noncommercial acquisitions:

- (1) Not subject to WTO GPA or FTA – 30 days from solicitation.
- (2) Subject to WTO GPA or FTA but included in annual forecast – 30 days from solicitation (reducible to 10 days, if warranted).
- (3) Subject to WTO GPA or FTA but *not* included in annual forecast – 30 days from solicitation.

4. Synopses of Contract Awards. Contracting officers must post an award notice to the GPE for contract actions greater than \$25K that are either covered by the WTO GPA or FTA; or likely to result in subcontract awards. RFO 5.301.

- a. Exemptions. An award notice is not required if an exemption at 5.101(b)(1) to the presolicitation notice requirements applied to the contract action. RFO 5.301(b).
- b. Content. The synopsis must include a description of the supplies or services, the contracting office and address, the

contractor receiving the award, the dollar amount of the contract /, and the contract award date.

c. Timing. RFO 5.301(d).

- (1) For contracts likely to result in subcontracting opportunities, the synopsis must be posted as soon as possible after award to promote industry and small business participation.
- (2) For contracts not likely to result in subcontracting opportunities, but are subject to a WTO GPA or the FTA, the synopsis must be posted within 60 days of the award.

5. Public announcement. Subject to the exemptions in RFO 5.302(b), contracting officers must make information available on awards of contract actions over \$5.5 million in sufficient time for the agency concerned to publicly announce it by 5 p.m., Eastern Time (ET), on the day of award. Agencies shall not release information on awards before the public release time of 5 p.m., ET. This public announcement is a separate requirement from the award notice requirements of RFO 5.301.

C. Late Bids and Proposals.

1. Definition of “late.”

- a. A “late” bid/proposal, modification, or withdrawal is one that is received in the office designated in the IFB or RFP **after** the exact time set for the receipt of bids. FAR 14.304(b)(1) (moved to RFO 14.301(f)(1))
- b. If the IFB or RFP does not specify a time, the time for receipt is 4:30 P.M., local time, for the designated government office. FAR 14.304(a) (moved to RFO FAR 14.301(a)).

2. General rule → **LATE IS LATE**; FAR 14.304(b) (moved to RFO 14.301(f)(1). Labatt Food Serv., Inc. v. United States, 577 F.3d 1375 (Fed. Cir. 2009)(“a late proposal is tantamount to no proposal at all”); eSimplicity, Inc. v. United States, 162 Fed. Cl. 372, 377 (2022)(“Under the ‘late is late’ rule, submissions received even moments after the deadline are disqualified unless they meet certain limited exceptions.”)

- a. It is an offeror's responsibility to deliver its proposal to the place designated in the solicitation by the time specified, and late receipt generally requires rejection of the proposal. Guidehouse Inc., B-422115.2, Jan. 19, 2024 (An RFQ decision; "it is a vendor's responsibility to deliver its quotation to the proper place at the proper time, and the protester has the burden to show that it timely delivered its quotation to the agency at the specified address"); Lani Eko & Company, CPAs, PLLC, B-404863, June 6, 2011.
- b. That responsibility is not relieved if the late proposal results from the action or inaction of a subcontractor. Kratos Def. & Rocket Support Servs., Inc., B-418172.2, Jan. 26, 2021.
- c. There are **exceptions** to the late-is-late rule. The exceptions listed below fall into two categories: regulatory exceptions and judiciary-created exceptions.

3. **Regulatory Exceptions to the Late Bid/Proposal Rule.**

- a. FAR 14.304 (RFO 14.301) and 15.208 (RFO 15.107) discuss the timeliness rules and their exceptions. In turn, Contracting Officers identify the applicable rules to interested vendors by including applicable provisions in Requests for Proposals (RFP) or Invitations for Bids (IFB). *See* FAR 52.212-1; 52.214-7; 52.214-23; and 52.215-1.
- b. RFO 15.107(b)(2) makes an exception for a late modification of an otherwise successful proposal, that makes its terms more favorable to the Government. It will be considered at any time it is received and may be accepted by the contracting officer.
- c. For contracts based on the pre-RFO rules, there are generally three regulatory exceptions for when the government may accept a late submission. For each of these exceptions, the Contracting Officer must first make two affirmative determinations. *See* FAR 14.304(b); 15.208(b). The Contracting Officer must find – as a threshold matter before using the below-listed Exceptions 1-3 –
 - (1) The government received the late submission prior to award; and
 - (2) Accepting the late submission would not unduly delay the acquisition.

- d. If the Contracting Officer makes those two qualifying determinations, then the Contracting Officer can examine whether an exception applies.

(1) **Regulatory Exception 1: Electronic Commerce.**

- (a) A bid or proposal may be considered if it was transmitted through an electronic commerce method authorized by the solicitation and was received at the initial point of entry to the government infrastructure by the government not later than 5:00 P.M. one working day prior to the date specified for the receipt of bids/proposal. FAR 14.304(b)(1)(i); 15.208(b)(1)(i). *See* Peer Health, B-413557.3, Mar. 16, 2017; GSA Construction Corp., Inc., B-418967, Oct. 28, 2020 (applying the e-commerce exception to the submission of proposals through the Department of Defense secure access exchange (DOD SAFE)).
- (b) Both the GAO and the COFC will consider the e-commerce exception to “late is late” rule. If the government did not receive the submission at the initial point of entry to the government infrastructure by the government not later than 5:00 P.M. one working day prior to the date specified for the receipt of bids/proposal, the GAO will find the bid/proposal late. *The COFC will similarly find the e-commerce exception inapplicable, but it may go on to consider whether the Government Control exception (discussed below) applies* (COFC and GAO case law differ on this issue). *See* Watterson Constr. Co. v United States, 98 Fed. Cl. 84 (Fed. Cl. 2012) at 95-97 (finding the FAR’s retention of the e-commerce exception should not be construed as removing e-mailed proposals from the protection of the Government Control exception); *see also* Federal Acquisition Servs. Team, LLC v. United States, 124 Fed. Cl. 690 (Fed. Cl. 2016).

(2) **Regulatory Exception 2: Government Control.**

- (a) A bid or proposal may be considered if there is acceptable evidence to establish that it was received at the government installation designated for receipt of bids/proposals and was under the government's control prior to the time set for receipt of bids/proposals. FAR 14.304(b)(1)(ii); FAR 15.208(b)(1)(ii).
- (b) In order to establish government control, it must be clear that the offeror has, at a minimum, relinquished physical custody of the proposal. *See United States Aerospace, Inc.*, B-403464; B-403464.2, Oct. 6, 2010, at 8 (proposal was not relinquished until messenger handed it to the contracting officer's representative). This requirement is necessary to preclude any potential that the offeror could alter, revise, or otherwise modify its proposal after the submission date. *See People, Tech. and Processes, LLC*, B-419385, B419385.2, Feb. 2, 2021, at 4-5 (finding attachments merely uploaded to an electronic portal are not relinquished until submitted).
- (c) Again, please note that *the GAO does not apply the government control exception to proposals submitted via electronic means*. *Guidehouse Inc.*, B-422115.2, Jan. 19, 2024 (declining to overturn GAO prior decisions finding the Government Control exception does not apply to proposals submitted electronically); *Versa Integrated Sols., Inc.*, B-420530, Apr. 13, 2022; *Sea Box, Inc.*, B-291056, Oct. 31, 2002; *Peers Health*, B-413557.3, Mar. 16, 2007.
- (d) For a comparison of GAO and COFC case law related to the Government Control exception in the context of electronic proposals, *compare eSimplicity, Inc. v. United States*, No. 22-543C (Fed. Cl. Oct. 13, 2022), *with Guidehouse Inc.*, B-422115.2, Jan. 19, 2024 and *Versa Integrated Sols., Inc.*, B-420530, Apr. 13, 2022. COFC's interpretation of the government control exception is more contractor-friendly and

attempts to reconcile the intent of the FAR provisions with modern technology.

(e) Examples:

- (i) J. L. Malone & Assocs., B-290282, July 2, 2002 (receipt of a bid by a contractor, at the direction of the contracting officer, satisfied receipt and control by the government).
- (ii) Insight Sys. Corp., and Centerscope Techs., Inc., 110 Fed. Cl. 564, 2013 WL 1875987 (Fed. Cl. 2013) (wherein the Court found that a proposal transmitted and received by the government email server prior to the deadline, but not forwarded to the next server in the government email system was covered under the Government Control exception).
- (iii) Federal Acquisition Servs. Team, LLC v. United States, 124 Fed. Cl. 690 (Fed. Cl. 2016) (reaffirming the government control exception to the “late is late” rule applies to electronic submissions; and discussing DISA-to-Agency email transmission).

(3) **Regulatory Exception 3: Only One Proposal.**

- (a) This exception is not available for IFBs. However, if the solicitation is an RFP and the late proposal is the only proposal received, then the Contracting Officer may accept it.
- (b) An offeror’s allegation that other timely submitted proposals are nonconforming or technically unacceptable does not render its late proposal the “only proposal received.” *See Argencord Mach. & Equip. v. United States*, 68 Fed. Cl. 167 (2005).

4. **Judicially-Created Exceptions to the Late Bid/Proposal Rule.**

a. **Non-regulatory Exception 1: Government Frustration.**

- (1) **General rule:** If timely delivery of a bid or proposal, modification, or withdrawal that is hand-carried by the offeror (or commercial carrier) is frustrated by the government such that the government is the **paramount cause** of the late delivery, and if the consideration of the bid would not compromise the integrity of the competitive procurement system the then the bid is timely. United States Aerospace, Inc., B-403464, B-403464.2, Oct. 6, 2010 (a late hand-carried offer may be considered for award if the government's misdirection or improper action was the paramount cause of the late delivery and consideration would not compromise the integrity of the competitive process).
- (2) Examples:
 - (a) Lani Eko & Co., CPAs, PLLC, B-404863, June 6, 2011 (citing Caddell Constr. Co., Inc., B-280405, Aug. 24, 1998 (improper government action is "affirmative action that makes it impossible for the offeror to deliver the proposal on time")).
 - (b) Computer Literacy World, Inc., GSBICA 11767-P, May 22, 1992, 92-3 BCA ¶ 25,112 (government employee gave unwise instructions, which caused the delay); Kelton Contracting, Inc., B-262255, Dec 12, 1995, (Federal Express Package misdirected by agency); AABLE Tank Services, Inc., B-273010, Nov. 12, 1996 (bid should be considered when its arrival at erroneous location was due to agency's affirmative misdirection)
 - (c) Palomar Grading & Paving, Inc., B-274885, Jan. 10, 1997 (late proposal should be considered where lateness was due to government misdirection and bid had been relinquished to UPS); Select, Inc., B-245820.2, Jan. 3, 1992, (bidder relinquished control of bid by giving it to UPS).

- (d) The government may consider commercial carrier records to establish time of delivery to the agency, if corroborated by relevant government evidence. Power Connector, Inc., B-256362, June 15, 1994 (agency properly considered Federal Express tracking sheet, agency mail log, and statements of agency personnel in determining time of receipt of bid).
- (3) If the government is not the **paramount cause** of the late delivery of the hand-carried bid/proposal, then the general rule applies—late is late.
- (a) United States Aerospace, Inc., B-403464, B-403464.2, Oct. 6, 2010 (even in cases where the late receipt may have been caused, in part, by erroneous government action, a later proposal should not be considered if the offeror significantly contributed to the late receipt by not doing all it could or should have done to fulfill its responsibility.).
 - (b) Lani Eko & Co., CPAs, PLLC, B-404863, Jun. 6, 2011 (paramount cause of late delivery stemmed from the fact that courier arrived at the designated building with one minute to spare; assumed risk that any number of events might intervene to prevent the timely submission of the proposals); Pat Mathis Constr. Co., Inc., B-248979, Oct. 9, 1992,.
 - (c) B&S Transport, Inc., B-404648.3, Apr. 8, 2011 (despite government misdirection to the wrong bid opening room, protester's actions were paramount cause for the late delivery; record shows courier was not entered in the visitor system prior to arrival, did not have appropriate contact information to obtain a sponsor for entry, arrived less than 10 min before proposal receipt deadline).
 - (d) ALJUCAR, LLC, B-401148, Jun. 8, 2009 (a protester contributed significantly to a delay where it fails to provide sufficient time for delivery at a secure government facility).

- (e) Selrico Services, Inc., B-259709.2, May 1, 1995 (erroneous confirmation by agency of receipt of bid).
 - (f) O.S. Sys., Inc., B-292827, Nov. 17, 2003 (while agency may have complicated delivery by not including more explicit instructions in the RFP and by designating a location with restricted access, the main reason that the proposal was late was because the delivery driver was unfamiliar with the exact address, decided to make another delivery first, and attempted to find the filing location and the contracting officer unaided, rather than seeking advice concerning the address and location of the contracting officer immediately upon entering the facility).
- (4) The bidder must not have contributed substantially to the late receipt of the bid; it must act reasonably to fulfill its responsibility to deliver the bid to the proper place by the proper time. Bergen Expo Sys., Inc., B-236970, Dec. 11, 1989 (Federal Express courier refused access by guards, but courier departed); Monthei Mech., Inc., B-216624, Dec. 17, 1984 (bid box moved, but bidder arrived only 30 seconds before bid opening); Boines Constr. & Equip. Co., Inc., B-279575, Jun. 29, 1998 (bidder's failure to properly mark its bid envelop was the paramount cause of the lateness rather than government mishandling).
- (5) **Non-regulatory Exception 2: Systemic Failure (sometimes called Mishandling).**
- (a) Akin to the Government Frustration exception, a late proposal may be determined timely if a systemic failure or mishandling by the government prevented the proposal's receipt or consideration. Unlike Exception 1 above, which applies prior to the receipt of proposals, this Exception 2 applies after the receipt of the proposal and occurs when the agency loses, misplaces, misroutes, etc., the otherwise timely offer. *See, e.g.,* S.D.M. Supply, Inc., B-271492, Jun. 26, 1996 (protest sustained due to the

agency's failure to maintain adequate procedures for receiving quotations through proposal submission system, leading to a loss of all of quotations submitted in response to the solicitation at issue through proposal submission system, despite a previously identified systemic problem with the system); East West Research Inc., B-239565, B-239566, Aug. 21, 1990 (protest sustained because an agency could not adequately explain why protester's proposals were repeatedly lost); cf. Blue Glacier Mgmt. Group, Inc., B-412897, Jun. 30, 2016, (finding no evidence of systemic failure that frustrated protester's ability to submit quotation where a normally functioning system blocked emails that were “suspect” and where five other vendors successfully transmitted timely quotations).

- (b) The systemic failure exception stems from “the agency’s obligation to have procedures in place to reasonably safeguard proposals or quotations actually received and to give them fair consideration.” KGL Food Servs. v. United States, 153 Fed. Cl. 497, 508 (2021).
- (c) A systemic failure requires more than “the occasional negligent loss” of a proposal. Attainx, Inc., B-420313, Jan. 31, 2022, (quarantined email that never reached Government personnel was not the result of a systemic failure); People, Tech. & Processes, LLC, B-419385.2, Feb. 2, 2021, (systemic failure of an online government portal requires more than occasional malfunctioning of the system).

D. Extension of Deadlines to Prevent “Late” Proposals

1. **Automatic Regulatory Extension due to an Emergency or Unanticipated Event (A Fourth Regulatory Exception, sort of)**

- a. If an emergency or unanticipated event interrupts normal government processes so that proposals cannot be received at the government office designated for receipt of proposals by

the exact time specified in the solicitation, and urgent government requirements preclude amendment of the solicitation closing date, the time specified for receipt of proposals will be deemed to be extended to the same time of day specified in the solicitation on the first work day on which normal government processes resume.

b. Examples:

- (1) Watterson Const. Co. v. United States, 98 Fed. Cl. 84 (2011). In a detailed examination of the exception, the Court made three findings:
 - (a) An “email storm” that delayed the government’s receipt of email by several hours constituted an “unanticipated event [that] interrupt[ed] normal government processes so that proposals cannot be received at the office designated for receipt of proposals by the exact time specified in the solicitation;”
 - (b) The phrase “proposals cannot be received” may not necessarily be construed to mean that it must be impossible for the government to receive proposals, before the “emergency” or “unanticipated event” exception applies; and
 - (c) The “first work day on which normal government processes resume” is the day following the emergency event, even if the event subsides on the day proposals are due; however, specific facts may make this interpretation a closer call.
- (2) Conscoop–Consorzia, 62 Fed. Cl. 219 (2004), aff’d sub nom., 159 F. App’x 184 (Fed. Cir. 2005) (holding that the “emergency” or “unanticipated event” exception would apply if the administrative record established that “normal government processes” were interrupted).
- (3) Hunter Contracting Co., B-402575, Mar. 31 2010 (emergency or unanticipated event exception did not apply to a mailed proposal that was not delivered due to a snow storm, since the government office was open

and receiving proposals at the time the proposals were due).

- (4) CFS, JV, B-401809.2, 31 Mar, 2010 (agency correctly gave only a one-day extension due to snowstorms, because normal government activity resumed the following day).
- (5) Educ. Planning & Advice, Inc., B-274513, Nov. 5, 1996, (concluding that emergency or unanticipated event exception did not apply even though State required business to close at noon due to a hurricane, because four bidders successfully submitted bids and the Army was able to proceed with bid opening).
- (6) Unitron Eng'g Co. Inc., B-194707, Aug. 27, 1979 (emergency exception did not apply to a late delivery, even when a common carrier closed offices due to "an emergency at nearby nuclear electric generating plant," because mail delivery was normal, other offerors submitted bids, and the agency's workday was not affected).

2. **Unilateral Contracting Officer Extension of Deadline Prior to the Close of the Solicitation**

- a. An agency may extend a **closing date** for receipt of proposals in order to **enhance competition prior to the solicitation's closing date, even if benefits only a single offeror**. See generally Fort Biscuit Co., B-247319, May 12, 1992; Edmac Assocs., Inc., B-194680, Aug. 30, 1979.
- b. Conversely, the GAO will object to an agency's determination not to extend the closing date for receipt of proposals only if it is shown to be unreasonable or in violation of law or regulation. See Systems 4, Inc., B-270543, Dec. 21, 1995; Massa Prods. Corp., B-236892, Jan. 9, 1990; Teledyne Indus., Inc., CME/MEC Divs., B-231020, Jul. 8, 1988; Control Data Corp., B-235737, Oct. 4, 1989.

3. **Unilateral Contracting Officer Extension of Deadline After to the Close of the Solicitation**

- a. Historically, even if the deadline for proposals had passed, GAO allowed contracting officers to extend the closing time for receipt of proposals if they did so to **enhance competition**.

The contracting officer simply issued an amendment to the solicitation extending the deadline. GAO permitted this to happen up to five days after the deadline, in some cases. (See below for examples). GAO saw this as a way to enhance competition under the Competition in Contracting Act (CICA). **GAO created this post-hoc, “enhance competition” exception** to the “Late is Late” Rule that the COFC does not recognize.

- (1) Geo-Seis Helicopters, Inc. (Geo-Seis I), B-299175, B-299175.2, Mar. 5, 1997 (holding an agency may amend a solicitation to extend closing after the expiration of the original closing time in order to enhance competition); *but see* Chestnut Hill Constr. Inc., B-216891, Apr. 18, 1985 (importance of maintaining the integrity of the competitive bidding system outweighs any monetary savings that would be obtained by considering a late bid).
- (2) Varicon Int’l, Inc.; MVM, Inc., B-255808, B-255808.2, Apr. 6, 1994 (it was not improper for agency to amend a solicitation to extend the closing time for receipt of proposals five days after the initial proposal due date passed because the agency extended the date to enhance competition and allow two other offerors to submit proposals),
- (3) Institute for Advanced Safety Studies -- Recon., B-221330.2, July 25, 1986, at 2 (it was not improper for agency to issue an amendment extending the closing time 3 days after expiration of the original closing time).
- (4) Fort Biscuit Co., B-247319, May 12, 1992, at 4 (it was not improper for agency to extend closing time to permit one of four offerors more time to submit its best and final offer).
- (5) Nat’l Disability Rights Network, Inc., B-413528, Nov. 16, 2016 (maintaining there is no prohibition against a procuring agency issuing an amendment to extend the closing time for receipt of proposals, where the motivation for the extension is enhanced competition).

- b. Currently, COFC does not recognize GAO's exception as valid. There is no CAFC decision reconciling GAO and COFC. COFC's analysis is that the GAO exception is not listed in the FAR. The FAR councils considered an amendment identical to the GAO exception in 1997 and rejected it after public comment.
- (1) Geo-Seis Helicopters v. United States (Geo-Seis II), 77 Fed. Cl. 633 (2007). COFC rejected the agency's reliance on the GAO exception, and granted the protestor fees under the Equal Access to Justice Act (EAJA), 79 Fed. Cl. 74 (2007), because COFC found that the government was "not substantially justified" in believing the GAO "ipse dixit" exception was valid law. "GAO precedent could not excuse deviation from explicit, unambiguous regulations that directly contradict that position." 79 Fed. Cl. at 70 (*quoting Filtration Dev. Co. v. United States*, 63 Fed. Cl. 612, 621 (2005)).
- (2) Syncon, LLC v. United States, 154 Fed. Cl. 442 (2021). The COFC affirmed the decision in Geo-Seis II and expressly rejected the GAO's position in Geo-Seis I and in Nat'l Disability Rights Network. The COFC concluded that the issuance of such a *post hoc* amendment renders the "late is late" rule a nullity. It went on to state, "While contracting officers are properly afforded considerable discretion, 'that discretion does not extend to violating the FAR,' nor does an agency have 'discretion regarding whether or not to follow applicable law and regulations.'" *Id.* at 453 (*internal citation omitted*).

IV. ORGANIZATIONAL CONFLICTS OF INTEREST (OCI)

- A. Overview. An organizational conflict of interest means that "because of other activities or relationships with other persons, a person is unable or potentially unable to render impartial assistance or advice to the government, or the person's objectivity in performing the contract work is or might be otherwise impaired, or a person has an unfair competitive advantage." FAR 2.101 (*emphasis added*).

1. The contracting agency is responsible for determining whether an actual or apparent conflict of interest will arise, and whether and to what extent the firm should be excluded from the competition. FAR 9.504 & 9.505.
 2. An OCI may exist with respect to an existing procurement, or with respect to a future acquisition. FAR 9.502(c).
- B. The three (classic) types of OCIs
1. **Unequal Access to Non-Public Information.** This type of OCI is also often referred to as an **Unfair Competitive Advantage** OCI. It OCI occurs when, as part of its performance of a government contract, a firm has access to non-public information (including proprietary information and non-public source selection information) that may provide the firm with a competitive advantage in a competition for a different government contract. FAR 9.505(b), 9.505-4. Aetna Gov't Health Plans, Inc., B-254397.15, Jul. 27, 1995. To constitute an OCI, it is sufficient that the offeror has access to the information. Actual use does not have to be shown.
 - a. GAO sustained a finding of an OCI where the awardee employed in its proposal preparation a former high-ranking official of the procuring agency who had participated in planning procurement and had access to non-public competitor and source selection information, and contracting officer was not informed of and therefore did not consider the matter. Health Net Fed. Servs., LLC, B-401652.3 et al, Nov. 4, 2009. (Note: Recent GAO and COFC cases, generally post 2020, now characterize conflicts involving former government employees are FAR Part 3 conflicts).
 - b. Johnson Controls World Serv., B-286714.2, Feb. 13, 2001 (OCI found in the award of a logistics support contract where the awardee's subcontractor, under separate contract, had access to a competitively beneficial but non-public database of maintenance activities that was beyond what would be available to a typical incumbent installation logistics support contractor).
 - c. Kellogg, Brown, & Root Serv., Inc., B-400787.2, Feb. 23, 2009 (upholding the contracting officer's decision to disqualify KBR from competing for two task orders under the LOGCAP IV contract because the KBR program manager improperly accessed rival propriety information erroneously forwarded to

the program manager by the contracting officer. The GAO stated, “[W]herever an offeror has improperly obtained proprietary proposal information during the course of a procurement, the integrity of the procurement is at risk, and an agency’s decision to disqualify the firm is generally reasonable, absent unusual circumstances.”).

- d. For there to be an unequal access OCI, the information received must be real, substantial, competitively useful, and non-public.
 - (1) When a government employee participates in the drafting of a SOW, this does not necessarily demonstrate that the employee’s post-government work for an offeror created an OCI, where the employee’s work was later released to the public as part of the solicitation. Further, where the contracting officer could neither “conclusively establish, nor rule out the possibility” that the former government employee had access to competitively useful source selection information, determination that appearance of impropriety had been created by the protester’s hiring of a former government employee was unreasonable, because determination was based on assumptions rather than hard facts. VSE Corp., B-404833.4, Nov. 21, 2011.
 - (2) Raytheon Technical Servs. Co. LLC, B-404655, Oct. 11, 2011 (unequal access to information” protest denied where allegations were based upon suspicion rather than “hard facts,” and contracting officer conducted reasonable investigation and concluded that awardee did not have access to competitively useful non-public information).
 - (3) CACI Inc., Fed., B-403064.2, Jan. 28, 2011 (holding no unequal access to information OCI resulted from access to protester’s information, where information had been furnished to the government without restriction as to its use).
 - (4) ITT Corp. – Elec. Sys., B-402808, Aug. 6, 2010 (no OCI where the awardee had access to information that the protestor had provided to the government under a Government Purpose Rights license, since the protester

had access to same information and government had the legal right to provide it to the awardee).

- (5) Dayton T. Brown, Inc., B-402256, Feb. 24, 2010 (finding where protocols were provided to all offerors, awardee with access to protocols did not have unfair access to information OCI).
 - (6) C2C Innovative Solutions, Inc., B-416289, B-416289.2, July 30, 2018 (information need not be proprietary to create an unequal access OCI; information need only be competitively useful, non-public information about the competitor). *See also* Dell Servs. Fed. Gov't, B-414461.3, June 19, 2018 (unequal access to non-public information about a competitor, regardless of whether the information is proprietary, may nevertheless create an unequal access OCI).
- e. The “natural advantage of incumbency” will not create an OCI by itself.
- (1) Crowley Gov't Servs., Inc. v. United States, 158 Fed. Cl. 358 (2022) (finding the agency appropriately credited the awardee for its incumbent advantages, which were illustrated in its proposal).
 - (2) Qineti North America, Inc., B-405008, Jul. 27, 2011 (holding that an offeror may possess unique information, advantages and capabilities due to its prior experience under a government contract – either as an incumbent contractor or otherwise; the government is not necessarily required to equalize the competition to compensate for such an advantage, unless there is evidence of preferential treatment or other improper action).
 - (3) PAI Corp. v. United States, 2009 WL 3049213 (Fed. Cl. 2009), 2009 U.S. Claims LEXIS 320 (2009) (stating that any competitive advantage was result of natural advantage of incumbency rather than access to nonpublic information which had no competitive value; since contracting officer found that no significant OCI existed, she was not required to prepare written analysis), aff'd, 614 F3d. 1347 (Fed. Cir. 2010).

- (4) ARINC Eng'g Servs., LLC v. United States, 77 Fed. Cl. 196 (2007) (prejudice is presumed when offeror has non-public information that is competitively useful and unavailable to protester, but in order to prevail the protestor must show that contractor had more than just the normal advantages of incumbency – *e.g.* that awardee was “so embedded in the agency as to provide it with insight into the agency’s operations beyond that which would be expected of a typical government contractor.”)
- f. The actions or knowledge of a subcontractor or other team member can create an OCI.
- (1) Awardee had unequal access to information when a subcontractor that it ultimately acquired following contract award had access to competitively useful, non-public information. B.L. Harbert-Brasfield & Gorie, B-402229, Feb. 16, 2010.
 - (2) Maden Techs., B-298543.2, Oct. 30, 2006 (potential OCI from awardee’s use of subcontractor that had served as evaluator for agency in previous procurement was mitigated where subcontractor had signed nondisclosure agreement and did not aid awardee in preparing proposal).
 - (3) Mech. Equip. Co., Inc., et al., B-292789.2, Dec. 15, 2003 (no unequal access OCI where awardee’s subcontractor was long-time incumbent services provider but there was no evidence it had advance access to procurement information).
- g. An unequal access to information OCI will not result from information that is not obtained by a government contract. CapRock Govt. Solutions, Inc., B-402490, May 11, 2010 (no unequal access to information OCI where information in dispute was not obtained as part of performance of government contract). There may be other causes of action related to information inappropriately obtained from other sources, for example, a Procurement Integrity Act violation, or a misappropriation of trade secrets action.

- h. Information from a former government employee.
- (1) The standard for evaluating whether a firm has an unfair competitive advantage under FAR subpart 3.1 stemming from its hiring of a former government employee is virtually indistinguishable from the standard for evaluating whether a firm has an unfair competitive advantage arising from its unequal access to information as a result of an organizational conflict of interest under FAR subpart 9.5. It is important to understand that a conflict created by a firm hiring a former government employee is a FAR 3.1 conflict, as opposed to a FAR 9.5 conflict. That is a significant distinction because FAR 3.1 does not have a waiver provision as does FAR 9.5.
 - (2) For 2020-2024, there were severable noteworthy decisions on this type of conflict involving former Government employees:
 - (a) Raytheon Co. v. United States, 170 Fed. Cl. 561 (2024); Raytheon Intel. & Space, Elec. Warfare Self Protect Sys., B-421672.1, Aug. 2023 (a double-bite protest with the Navy prevailing at GAO and COFC; Raytheon was properly excluded from the competition after hiring a former Navy employee to assist with a proposal on a program the former employee previously supported.)
 - (b) CACI v. United States, COFC No. 23-324C, (2023 WL 4624485), Jul. 2023; CACI Federal, B-421224, Jan. 2023, (A double-bite protest with the Army prevailing at COFC and GAO; both fora finding the Army properly excluded CACI after CACI hired a former Army employee with competitively useful information about General Dynamics based on a predecessor contract.)
 - (c) Pueo Business Solutions, LLC, B-422105 (Jan. 2024) (Dept. of Veterans Affairs adequately investigated and reasonably concluded that the awardee did not gain an unfair advantage by hiring a former VA director of network

security). Science Applications, B-419961.3 (Feb. 10, 2022); Northrop, B-419560.3, Aug. 18, 2021; Teledyne, B-418835, Sep. 25, 2020.

- (3) Where non-public information is obtained from a former government employee, the issue will be treated as if the information had been obtained under a government contract. GAO generally will not presume access to non-public, competitively sensitive information, but will presume prejudicial use of such information once access is shown. TeleCommunication Sys. Inc., B-404496.3, Oct. 26, 2011; Unisys Corp., B-403054.2, Feb. 8, 2011; Chenega Fed. Sys., B-299310.2, Sept. 28, 2007.
- (4) Government agencies are to avoid even the appearance of impropriety in government procurements. Where a firm may have gained an unfair competitive advantage through its hiring of a former government official, the firm can be disqualified from a competition based on the appearance of impropriety that results. This is true even if no actual impropriety can be shown, so long as the determination of an unfair competitive advantage is based on hard facts and not mere innuendo or suspicion. Raytheon Co. v. United States, 170 Fed. Cl. 561 (2024); Sci. Applications Int'l Corp., B-419961.3, B-419961.4, Feb. 10, 2022.
- (5) When the agency cannot avoid an actual conflict of interest or the appearance of one, it risks an adverse decision concerning the award determination. For example, in Serco, Inc., B-419617.2, B-419617.3, Dec. 6, 2021, the GAO found that the awardee had gained an unfair competitive advantage in preparing its proposal by using information provided by former high-level agency officials. As a result, when the agency is aware of a potential conflict of interest, it must investigate and take measures to mitigate or avoid it. If it cannot be avoided, then the Contracting Officer must decide whether the conflict warrants disqualifying the affected company.
- (6) Generally, such an investigation examines whether the individual had access to non-public information; whether the individual shared the non-public

information with the new employer; whether that new employer used the non-public information in drafting its proposal; and whether the non-public information was competitively useful. Sigmatech, Inc., B-415028.3, B-415028.4, Sep. 11, 2018, at 9.

2. **Impaired Objectivity OCI.** Occurs when the nature of a contractor's work under one contract could give it the opportunity to benefit on other contracts. If the contractor is using subjective judgment or giving advice, and its other business interests could be affected by that judgment or advice, its objectivity may be impaired. An example would be if it were to have the opportunity to evaluate itself, an affiliate, or a competitor, either through an assessment of its performance under another contract or through an evaluation of its own proposal. The issue is not whether biased advice was actually given but whether a reasonable person would find that the contractor's objectivity could have been impaired. Note that a biased ground rules OCI may also involve impaired objectivity. FAR 9.505-3. Aetna Gov't Health Plans, Inc., B-254397.15, Jul. 27, 1995. See Cahaba Safeguard Adm'r, LLC, B-401842.2, Jan. 25, 2010 (discussing agency's handling of an impaired objectivity conflict of interest); L-3 Serv., Inc., B-400134.11, Sept. 3, 2009.
 - a. A protest was sustained where a contractor was retained to make process recommendations to an agency, and then would be responsible and compensated for executing the recommendations it made. Steel Point Sols., LLC, B-419709, Jul. 7, 2021.
 - b. A protest was sustained where the awardee of a contract for advisory and assistance services and technical analysis sold related products and services and could provide information that might influence acquisition decisions concerning those products. The Analysis Group, LLC, B-401726.2, Nov. 13, 2009; The Analysis Group, LLC, B-401726.3, Apr. 18, 2011 (protest denied where agency conducted its own investigation and thoroughly analyzed potential OCI, concluding that risk of potential OCI remained but was outweighed by benefit to government, and properly executed waiver).
 - c. Nortel Govt. Solutions, B-299522.5, B-299522.6, Dec. 30, 2008 (protest sustained where agency did not give meaningful consideration to a potential impaired objectivity OCI, also noted: firewall is "virtually irrelevant to an OCI involving

potentially impaired objectivity,” because the OCI involves the entire organization, not just certain individuals).

- d. C2C Innovative Solutions, Inc., B-416289, B-416289.2, Jul. 30, 2018 (protest sustained where agency failed to meaningfully consider whether an impaired objectivity OCI could result from an awardee’s wholly-owned subsidiary reviewing decisions on appeal from the parent company’s own claims decisions).
 - e. Remote relationships. Some relationships are too “remote” to create an impaired objectivity OCI risk, and some activities are too “ministerial” to give the contractor an opportunity to act in other than the government’s interest.
 - (1) Valdez Int’l Corp., B-402256.3, Dec. 29, 2010 (affirming contracting officer decision, after comprehensive and well documented review, that impaired objectivity OCI was minimal because standardized protocols and processes limited the amount of independent judgment required).
 - (2) Marinette Marine Corp., B-400697 et al., Jan. 12, 2009 (holding no impaired objectivity OCI where entity that helped agency in proposal evaluation provided advice to both awardee and protester, without any contractual or financial arrangement).
 - (3) Leader Comm’ns, Inc., B-298734, Dec. 7, 2006 (finding that awardee did not have impaired objectivity OCI as a result of its performance of separate contract because any services that overlapped would be administrative only).
 - f. The fact that the agency retains final approval or decision-making authority does not absolve the agency of assessing whether a conflict can arise; in this regard, the FAR requires the agency to consider whether a contractor’s advice to the government might be tainted by conflicting interests or obligations. Inquiries, Inc., B-4174152.6, Dec. 30, 2019.
3. **Biased Ground Rules OCI.** Occurs when, as part of its performance on a government contract, a firm has helped (or is in a position to help) set the ground rules for procurement of another government contract, for example, by writing the statement of work or the specifications, or

establishing source selection criteria. The primary concern is that the firm could skew the competition in its own favor, either intentionally or not. FAR 9.505-1 and 9.505-2. Systems Made Simple, Inc., B-412948.2, July 20, 2016; Cyberdata Techs., Inc., B-411070 et al., May 1, 2015.

- a. The FAR considers whether the contractor prepares, or assists in preparing, a work statement to be used in competitively acquiring a system or services – or provides material leading directly, predictably, and without delay to such a work statement. FAR 9.505-2(b).
- b. Examples
 - (1) GAO upheld a protestor’s exclusion on the basis of “biased ground rules” OCI. The protestor prepared a report that the agency used to draft the statement of work. Despite awardee’s expectation that the report would be used only as part of a sole source procurement, rather than a competitive procurement, the protestor was properly excluded. There is no “foreseeability” caveat to the rule. Energy Sys. Group, B-402324, Feb. 26, 2010.
 - (2) The GAO has held that the relevant concern is not whether a firm drafted specifications that were adopted into the solicitation, but whether the firm was in a position to affect the competition, intentionally or not, in favor of itself. Also, it was unreasonable for the agency to rely on a mitigation plan that was undisclosed to, unevaluated by, and unmonitored by the agency. L-3 Servs., Inc., B-400134.11, Sept. 3, 2009.
 - (3) Celadon Labs., Inc., B-298533, Nov. 1, 2006 (sustaining a protest where outside evaluators, retained to review proposals involving two different, competing technologies, were all employed by firms that promoted the technology challenged by protestor’s proposal).
 - (4) Filtration Dev. Co. LLC, 60 Fed. Cl. 371 (2004) (Systems engineering and technical assistance (SETA) contractor, which was in a position to favor its own products, was precluded from supplying components even though the agency claimed the contractor had not provided services in connection with those products;

court held that the OCI had to be evaluated when the contractor became contractually obligated to perform SETA services, regardless of whether it actually performed them).

- c. No OCI is created where the contractor has overall systems responsibility, or where input is provided by a developmental contractor or industry representative. Lockheed Martin Sys. Integration – Owego, B-287190.2, May 25, 2001; Vantage Assoc., Inc. v. United States, 59 Fed. Cl. 1 (2003).

C. Examples. Subpart 9.5, especially section 9.508, of the FAR describes several situations that illustrate real or potential OCIs:

1. Providing systems engineering and technical assistance (SETA) for a system but not having overall contractual responsibility for its development or for its integration, assembly and checkout, or its production, the government's concern is that a contractor performing these activities "occupies a highly influential and responsible position in determining a system's basic concepts and supervising their execution by other contractors," and "should not be in a position to make decisions favoring its own products or capabilities." FAR 9.505-1(a); CACI, Inc.-Fed. v. United States, 158 Fed. Cl. 1 (2021), *aff'd in part, vacated in part*, 67 F.4th 1145 (Fed. Cir. 2023)(The COFC-level decision contains a good analysis of a SETA-related conflict; COFC was, however, reversed for conducting a de novo conflict analysis.)
2. Preparing and furnishing complete specifications covering non-developmental items – the government's concern is that the "contractor could draft specifications favoring its own products or capabilities," which might not provide the government with unbiased advice. This rule does not apply to:
 - a. Contractors who furnish specifications regarding a product they provide (e.g., where the government purchases a data package from the original manufacturer, to use for future competitions);
 - b. Situations where contractors act as industry representatives and are supervised and controlled by government representatives (e.g., when the government issues a Request For Information (RFI) to potential offerors); or

- c. Development contractors (where experienced contractors will have an unavoidable competitive advantage which will improve the time and quality of production).
- 3. Where a contractor prepares a work statement to be used in a competitive acquisition – “or provides material leading directly, predictably, and without delay to such a work statement” – the government’s concern is that the contractor might favor its own products or capabilities. FAR 9.505-2(b). Accordingly, the contractor may not supply the system or services unless:
 - a. It is the sole source;
 - b. It participated in the development and design work (where experienced contractors will have an unavoidable competitive advantage which will improve the time and quality of production); or
 - c. More than one contractor helped prepare the work statement.
- 4. A contractor should not be awarded a contract to evaluate its own (or a competitor’s) offers for products or services, without “proper safeguards to ensure objectivity.” FAR 9.505-3.
- 5. If a contractor requires proprietary information from others to perform a contract, it must agree to protect the information from unauthorized use or disclosure and to refrain from using the information for any other purpose. FAR 9.505-4.
 - a. The contracting officer is directed to obtain copies of the required confidentiality agreements.
 - b. These restrictions also apply to proprietary and source selection information obtained from “marketing consultants,” who are defined (in FAR 9.501) as independent contractors who provide “advice, information, direction or assistance” in connection with an offer, not including legal, accounting, training, routine technical services, or “advisory and assistance services” (as defined in Subpart 37.2).
- D. Contractor Responsibilities. FAR Subpart 9.5 is directed principally at the government. Taking the government’s responsibilities into account, however, contractors should do the following:
 - 1. Identify actual and potential OCIs, both proactively and in response to inquiries from the contracting officer.

2. Actively communicate with the contracting officer to agree upon ways to avoid or mitigate potential OCIs.
 3. Execute appropriate confidentiality agreements when proprietary information from third parties will be needed to perform a contract.
 4. Make necessary inquiries of marketing consultants to ensure that they do not provide an unfair competitive advantage.
- E. Government Considerations Related to OCIs.
1. Obligation for oversight
 - a. Contracting Officers (and other contracting officials) must identify and evaluate potential OCIs as early in the contracting process as possible. FAR 9.504(a)(1). Each individual contracting situation should be examined on the basis of its particular facts and the nature of the proposed contract. QinetiQ North America, Inc., B-405008, B405008.2, Jul. 27, 2011. Because conflicts of interest may arise in situations not specifically addressed in FAR Subpart 9.5, individuals need to use common sense, good judgment, and sound discretion when determining whether a potential conflict exists. FAR 9.505. See L-3 Serv., Inc., B-400134.11, Sept. 3, 2009.
 - b. Contracting Officers must avoid, neutralize or mitigate potential significant conflicts of interest so as to prevent unfair competitive advantages or the existence of conflicting roles that might impair a contractor's objectivity. FAR 9.504(a)(2); Energy Sys. Group, B-402324, Feb. 26, 2010.
 - c. The GAO review found the contracting officer failed to adequately analyze whether a biased ground rules OCI existed, and that there were no hard facts to show that awardee's work had put it in a position to materially affect the competition. To succeed the protester must also demonstrate that contracting officer's failure could have materially affected the outcome of the competition. QinetiQ North America, Inc., B-405008, B-405008.2, July 27, 2011.
 - d. The responsibility for determining whether an actual or apparent conflict of interest will arise, and to what extent the firm should be excluded from the competition, rests with the contracting agency. The GAO will not overturn an agency's determination unless a protestor can show, based upon "hard facts," that the agency's OCI determination is arbitrary and

capricious. QinetiQ North America, Inc., B-405008, B-405008.2, Jul. 27, 2011.

2. Reasonable consideration of offeror's mitigation plan. The contracting officer must reasonably consider a potentially excludable offeror's OCI mitigation plan.
 - a. The GAO sustained a protest where the agency excluded the protestor from a competition because of a possible impaired objectivity OCI, but the agency failed to give the contractor the opportunity to avoid or mitigate the OCI, and had not given the protestor an opportunity to respond to the agency's concerns. AT&T Gov't Solutions, Inc., B-400216, Aug. 28, 2008.
 - b. Evaluating proposals evenly (agency improperly downgraded score of protester, based on OCI risk, while failing to evaluate potential OCI of awardees on equal basis). Research Analysis & Maint., Inc., Westar Aerospace & Def. Group, Inc., B-292587.4 et al., Nov. 17, 2003.
3. Apparent OCI. The contracting officer may exclude an offeror based on an "apparent" OCI, even if there is no evidence of an actual impact.
 - a. An appearance of an unfair competitive advantage based upon hiring of a government employee, without proof of an actual impropriety, is enough to exclude an offeror if the determination of unfair competitive advantage is based upon facts and not on mere innuendo. Health Net Fed. Servs., LLC, B-401652.3, B-401652.5, Nov. 4, 2009, at 28; *see* NKF Eng'g, Inc., v. US, 805 F.2d 372 (Fed. Cir 1986) (overturning lower court's holding that appearance of impropriety, alone, is not a sufficient basis to disqualify an offeror could be enough, and finding that the agency reasonably disqualified the offeror based upon the appearance of impropriety.)
 - b. VRC, Inc., B-310100, Nov. 2, 2007 (contracting officer properly excluded offeror because there was an appearance of a conflict, where an employee of a company with ownership ties to the offeror worked in the agency's contracting division and had direct access to source selection information).
 - c. Lucent Tech. World Servs. Inc., B-295462, Mar. 2, 2005 (protest challenging exclusion from the procurement denied where the contracting officer reasonably determined that the protester had an OCI arising from its preparation of technical

specification used by agency in solicitation (although Army was kept apprised of Lucent's progress in drafting specifications, it did not exercise supervision and control, the Army's modification was not a major revision, and vast majority of technical specifications remained unchanged).

F. Adequate Investigation.

1. The contracting officer must adequately investigate the conflict.
2. For complex or high-dollar procurements, what constitutes an adequate investigation that will survive COFC or GAO review is likely beyond what a typical contracting professional or requiring activity may contemplate. The following two cases provide some guideposts for what bid protest tribunals are growing accustomed to reviewing:
 - a. CACI v. United States, COFC No. 23-324C, (2023 WL 4624485, Jul. 2023) (CO's investigation was appropriate...In sum, the [contracting officer] collected and reviewed *442 pages of interviews, emails, letters, declarations, meeting minutes, and memoranda between February and August 2023.*)
 - b. Raytheon Intel. & Space, Elec. Warfare Self Protect Sys., B-421672.1 (Aug. 2023)(The contracting officer conducted a substantial and thorough investigation that involved *written communications and interviews with multiple personnel*, consideration of *input from multiple sources* including the Offeror's responses to requests for information, analysis and *further investigation based on the information received and statements taken*, and documentation of the contracting officer's findings and determination.)

G. Waiver. The government has the right to waive an OCI that arises under FAR 9.5. See FAR 9.503 (but remember, conflicts involving former government employees arise under FAR 3.1 and are not waivable).

1. The Analysis Group, LLC, B-401726.3, Apr. 18, 2011 (protest denied where the agency conducted its own investigation and thoroughly analyzed potential OCI, concluded that risk of potential OCI remained but was outweighed by the benefit to government, and properly executed waiver).
2. Cigna Govt. Servs., LLC, B-401068.4, Sept. 9, 2010 (denying protest challenging agency's waiver of OCI where, in compliance with FAR requirements, waiver request detailed extent of the conflict and

authorized agency official determined that waiver was in government's interest).

3. MCR Fed., LLC, B-401954.2, Aug. 17, 2010 (the agency met waiver requirements where, in compliance with FAR 9.504, the agency's properly approved waiver described the OCI concerns; the potential effect if not avoided, neutralized, or mitigated; and the government's interest in allowing the offerors to compete for the award notwithstanding the OCI concerns.)

H. Mitigating the risk of OCIs. In most cases it is not possible to mitigate an OCI after the fact, so mitigation must address prospective OCIs. In general, the GAO will give substantial deference to a mitigation plan, as long as the agency has investigated and dealt with the conflict issues and the plan is tailored to the specific situation. In contrast to an internal government mitigation plan, in circumstances where the contracting officer and contractor have jointly agreed on a plan to mitigate an OCI, it is often a good practice to incorporate that mitigation plan into the contract.

1. Unequal access OCIs

- a. Establish a firewall, or a combination of procedures and security measures that block the flow of information between contractor personnel who have access to non-public competitive information and other contractor employees who are preparing the proposal. The potential competitive advantage resulting from the unequal access will be nullified if the information cannot cross the firewall to be used in a competitive procurement. Enterprise Info. Servs., B-405152, Sep. 2, 2011 ; LEADS Corp., B-292465, Sep. 26, 2003.
- b. Disclose sensitive information to all offerors. Johnson Controls World Servs., Inc., B-286714.3, Aug. 20, 2001; Sierra Military Health Servs., Inc. v. United States, 58 Fed. Cl. 573 (2003) (sharing information with competing offerors could adequately mitigate the OCI).
- c. Former Government Employees – Post-Government Employment (PGE) Letters.
 - (1) In allegations of a potential conflict of interest, investigating contracting officers often consider PGE letters, and the GAO frequently discusses them in its decisions. See Science Applications Int'l Corp., B-419961.3, B-419961.4, Feb. 10, 2022, at 7. The GAO

will not review whether an employee has violated the criminal PGE provisions of Title 18 of the U.S. Code. *See Dewberry Crawford Group, B-415940.11 et al.*, Jul. 2, 2018. However, it will examine facts related to a potentially criminal PGE violation provided the challenge is phrased as an unfair competitive advantage under FAR Subpart 3.1.

- (2) While the PGE letter can play a role in these decisions, its true importance is the role it plays in: Advising the employee of the non-public information restrictions; and directing the employees to discuss potential problems with the supporting ethics counsellor before they occur.
- (3) In line with those ideas, the GAO has expressed that PGE letters should encourage the recipient to raise these sorts of issues early in the process to the contracting officer because “[s]uch action would afford the contracting officer an opportunity to address any problems before they arise, when it is still possible to avoid or mitigate even the appearance of impropriety.” *Health Net Fed. Servs., LCC, B-401652.3 et al.*, Nov. 4, 2009, at 17.
- (4) Appropriate PGE letter notification language might read:

Use of Non-Public Information. You are reminded that you are precluded from using information gained while employed by [AGENCY] or any other federal agency that is generally not available to the public, (for example, proprietary or source selection information) if the use of that “inside” information would give you or anyone else an unfair financial or commercial advantage. Additionally, 18 U.S.C. §§ 793, 794, 1831 and 1832 protect and prohibit the use or disclosure of trade secrets, confidential business information, and classified information. Further restrictions are imposed by 10 U.S.C. § 130.

Also, if you participate in preparing a competitive proposal on behalf of an employer or client, and the participation requires that you share information gained during your employment as a federal employee,

you should inform your employer/client of this fact and encourage that entity to communicate with the Contracting Officer in accordance with FAR Subparts 3.104 and 9.505. You may not use non-public information derived from your federal service to benefit private interests. Use of non-public information derived from your federal service that provides or appears to provide your employer or a client a competitive advantage in a federal procurement may not only violate law and regulation, but result in the Contracting Officer's exclusion of your client or employer from the procurement or result in bid protest litigation before courts or the Government Accountability Office.

2. Impaired objectivity OCIs

- a. Can be mitigated by excluding from work, or even removing, a conflicted subcontractor. Karrar Sys. Corp., B-310661, Jan. 3, 2008; Business Consulting Assocs., LLC, B-299758.2, Aug. 1, 2007.
- b. In some cases an impaired objectivity OCI can be mitigated by having work performed by a firewalled subcontractor, or even by the agency itself. Cahaba Safeguard Adm'rs, LLC, B-401842.2, Jan. 25, 2010; C2C Solution, Inc., B-401106.5, Jan. 25, 2010 ; Alion Sci. & Tech. Corp., B-297022.4, Sept. 26, 2006 (Alion II) (GAO upheld the agency's analysis and approval of ITT's firewalled subcontractor plan even though one-third of the work would be done by a subcontractor, because the conflicted work could easily be segregated and assigned to the subcontractor).
- c. Increased oversight of work.
 - (1) Valdez Int'l Corp., B-402256.3, Dec. 29, 2010 (affirming contracting officer decision, after comprehensive and well documented review that impaired objectivity OCI was minimal because standardized protocols and processes limited the amount of independent judgment required, and analysis would be done by subcontractors).
 - (2) Wyle Labs., Inc., B-288892.2, Dec. 19, 2001 (deciding that where government personnel, rather than contractor

personnel, would be measuring contractor performance, no OCI was created by the award of multiple contracts to the contractor).

- (3) Deutsche Bank, B-289111, Dec. 12, 2001 (finding dispositive that the firewalled subcontractor reported directly to the agency).

3. Biased ground rules OCIs. These are difficult to mitigate, because once a party has influenced the specifications the harm has already been done. If the government is not able to obtain input from multiple potential contractors, the best mitigation strategy looking forward may be for the potential contractor to avoid tasks that will create an OCI – either by refraining from submitting a proposal, or by entering into a contract that allows it to recuse itself from work that might create a future conflict. *But see Oracle America, Inc.*, B-416657 et al., Nov. 14, 2018, where GAO determined that even if it concluded that a former government employee meaningfully participated in the agency’s determinations of RFP requirements, it would be improper to recommend the agency proceed with its procurement in a manner that was inconsistent with meeting its actual needs.

I. Defense FAR Supplement (DFARS) for Major Defense Acquisition Programs

1. Background. The DFARS addresses the mandate contained in Section 207 of the Weapons System Acquisition Reform Act of 2009 (WSARA) which required the Department of Defense “to revise the Defense Supplement to the Federal Acquisition Regulation to provide uniform guidance and tighten existing requirements for organizational conflicts of interest by contractors in **major defense acquisition programs (MDAP)**.”³ The DFARS Rule supplements the existing FAR Rule. 10 U.S.C. § 4292; DFARS 209.570, 209.571. In this area, the DFARS takes precedence to the extent that the FAR rules are inconsistent. DFARS 209.571-2(b)
2. Applicability
 - a. The 10 U.S.C. § 4292 limitation implemented by DFARS applies only to programs which are MDAPs or have the

³ WSARA was enacted in response to a report issued by the Defense Science board Task Force on Defense Industrial Structure for Transformation, which expressed concern regarding the acquisition of numerous systems engineering firms by large defense contractors.

potential to become MDAPs (“Pre-MDAPs”). DFARS 209.571-1 and -3.

- b. MDAPs are defined in 10 U.S.C. §§ 4201-4203 as DoD acquisition programs (excluding highly classified programs) that are so designated by the Secretary of Defense or that are estimated to require an eventual total expenditure for R&D, test, and evaluation of more than \$300 Million or total expenditure for procurement of more than \$1.8 Billion, based on FY 1990 dollars.
 - c. Pre-MDAPs are defined as programs that are in the Materiel Solution Analysis or Technology Development Phases preceding Milestone B of the Defense Acquisition System, and have been identified as having the potential to become MDAPs.
- 3. Mitigating OCIs (DFARS 209.571-4)
 - a. Where the contracting officer and contractor have agreed to mitigate an OCI, a government-approved OCI Mitigation Plan should be incorporated into the contract. This incorporation has several benefits. It facilitates enforcement and predictability. Both the contractor and the government (as well as subsequent contracting officers) will be bound by the plan.
 - b. Where the contracting officer (after consulting with legal counsel) determines that an otherwise successful offeror is unable to effectively mitigate an OCI, the contracting officer shall use another approach to resolve the OCI, select another offeror, or request a waiver (in accordance with the procedure set forth in the FAR).
- 4. Restrictions on SETA (systems engineering and technical assistance) contractors.
 - a. The DFARS Final Rule requires that DoD obtain advice on SETA contractors with respect to MDAPs or Pre-MDAPs from sources that are objective and unbiased, such as Federally Funded Research and Development Centers (FFRDCs)⁴ or

⁴ Federally Funded Research and Development Centers (FFRDCs) are defined in FAR 2.101 as activities that are sponsored under a broad charter by a Government agency (or agencies) for the purpose of performing, analyzing, integrating, supporting, and/or managing basic or applied research and/or development, and that receive 70 percent or more of their financial support from the Government.

other sources that are independent of major defense contractors. DFARS 209.571-7(a).

- (1) “Systems engineering” is defined as “an interdisciplinary technical effort to evolve and verify an integrated and total life cycle balanced set of system, people, and process solutions that satisfy customer needs.”
- (2) “Technical assistance” is defined as “the acquisition support, program management support, analyses, and other activities involved in the management and execution of an acquisition program.”
- (3) “Systems engineering and technical assistance” is defined as “a combination of activities related to the development of technical information to support various acquisition processes.”
- (4) SETA does not include “design and development work of design and development contractors.”

- b. Contracts for SETA services for MDAPs or Pre-MDAPs shall prohibit the contractor (or any affiliate) from participating as contractor or Major Subcontractor⁵ in the development or construction of a weapon system under such program. DFARS 209.571-7(b)(1).
- c. This prohibition may not be waived. It does not apply, however, if the head of the contracting activity determines that “an exception is necessary because DoD needs the domain experience and expertise of the highly qualified, apparently successful offeror,” and that the apparently successful offeror will be able to provide objective and unbiased advice without a limitation of future participation. DFARS 209.571-7(c).

- J. Venue. The Court of Federal Claims (COFC) and the GAO have independent protest jurisdiction. As a result, disappointed offerors sometimes seek “two bites at the apple” and file a protest at the COFC after losing at the GAO. While GAO decisions are accorded weight and credibility by the COFC, they are not binding on it, especially as to questions of law. Grunley-Walsh Int’l LLC vs. United States, 78 Fed. Cl. 35 (2007). This can lead to a time-consuming and convoluted OCI process, as an offeror can fully litigate an

⁵ A “Major Subcontractor” is defined in DFARS 252.209-7009 as one who is awarded a subcontract that exceeds both the cost and pricing data threshold and 10% of the contract value, or \$55 Million.

OCI issue at the GAO and then fully litigate that same matter again at the COFC.

CHAPTER 13

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CHAPTER 13

CONTRACT PRICING

I. INTRODUCTION

Like private consumers, the government seeks to ensure that the prices it pays for goods and services reflect the fair value for their nature and quality. However, in paying for goods and services, the government has many constraints that private consumers do not, such as an obligation to safeguard taxpayer funds and statutory requirements to promote competition. Despite these constraints, contracting officers are responsible for ensuring that the prices the government pays to procure goods and services are fair and reasonable. This chapter addresses the various legal and regulatory considerations that impact contract pricing and provides relevant information which is useful in advising procurement professionals.

A. References.

1. The Truthful Cost or Pricing Data statute, commonly referred to by its former name, the Truth in Negotiations Act or “TINA,” 10 U.S.C. §§ 3701-08 [formerly codified in Title 10 at 10 U.S.C. § 2306a]. (Also found at 41 U.S.C. Chapter 35 – Truthful Cost or Pricing Data [formerly codified in Title 41 at §§ 254b(a) – 254b(h)]. The language of 41 U.S.C. Chapter 35 essentially mirrors 10 U.S.C. §§ 3701-08 with minor modifications.)
2. Federal Acquisition Regulation (FAR) Subpart 15.4—Contract Pricing. (Post Revolutionary FAR Overhaul (RFO) changes cited as “RFO FAR”).
3. Department of Defense FAR Supplement (DFARS) Subpart 215.4, Contract Pricing; DFARS Procedures, Guidance, and Information (PGI) 215.4, Contract Pricing. (Post-RFO changes cited as “RFO DFARS”).
4. Army Federal Acquisition Regulation Supplement (AFARS) Subpart 5115.4, Contract Pricing. (Post-RFO changes cited as “RFO AFARS”).
5. John Edward Murphy, Guide to Contract Pricing: Cost and Price Analysis for Contractors, Subcontractors, and Government Agencies (Management Concepts, 5th ed. 2009).
6. John Cibinic, Jr. et al., Formation of Government Contracts, Chapter 13 (Wolters Kluwer 5th ed. 2023).
7. John Cibinic, Jr. et al., Administration of Government Contracts, Chapter 8 (Wolters Kluwer 5th ed. 2016).

8. Karen L. Manos, Government Contract Costs and Pricing (Thomson Reuters 2025-2026 ed.)
9. DoD Contract Pricing Reference Guides, a five-volume set of contract pricing reference guides developed jointly by the Federal Acquisition Institute and the Air Force Institute of Technology, available at <https://www.acq.osd.mil/asda/dpc/cp/index.html>. These guides do not represent directives and are informational only.
10. Defense Contract Audit Agency (DCAA) Manual 7640.1 provides technical audit guidance and techniques, audit standards, and technical policies and procedures followed by DCAA personnel in the execution of a contract audit. The Manual's material is instructive for some aspects of contract pricing. Many practitioners refer to the Manual as "CAM." The most updated version of the Manual is available at <https://www.dcaa.mil/Guidance/CAM-Contract-Audit-Manual/>.

II. OBJECTIVES

A. The learning objectives of this chapter are:

1. Understand contract pricing terms, policies, and concepts; understand the concept of "fair and reasonable" price under the FAR; understand pricing implications of various contract types and methods.
2. Understand price analysis and the methods by which the government determines price reasonableness.
3. Develop a basic understanding of cost-type contract pricing concepts such as cost accounting, allowability, and profit/fee. Understand common categories of costs which may arise under cost-type contracts.
4. Understand the process by which the government obtains information to inform price analysis, including certified cost or pricing data under Truthful Cost or Pricing Data statute.
5. Understand what defective pricing is and the remedies available to the government when defective pricing occurs.
6. Understand how contract pricing concepts apply to contract administration issues, such as pricing of contract adjustments.

III. TERMS AND DEFINITIONS

Contract pricing involves many similar, inter-related terms – such as “cost” or “price” – which have specific meaning in the context of government contracts. It is important for practitioners to understand the differences between seemingly similar terms, as these terms fit within specific contracting and legal frameworks. Misidentifying a “cost” issue as a “price” issue, for example, could result in inaccurate legal analysis.

A. Key Contract Pricing Terms.

1. **“Cost”** consists of the expenses a contractor will incur performing the contracted work. Examples include material costs and labor costs.
2. **“Profit”** consists of the funds remaining after a contractor’s cost of performing the contract work are paid. In the context of government contracting, “profit” is generally a consideration reserved for fixed-price type contracts. RFO FAR 15.404-9.
3. **“Fee”** represents an amount, established by contract, that the contractor receives in addition to costs on a cost reimbursable contract. “Fee” is typically considered the contractor’s profit for completing the contracted work but may not necessarily represent the amount of *actual* net profit a contractor receives. RFO FAR 15.404-9.
4. **“Price”** means cost plus any fee or profit applicable to the contract type. Price can be thought of as the total amount the government will pay for the contracted work. RFO FAR 15.401.
5. **“Pricing”** is the process of establishing a reasonable amount or amounts to be paid for supplies or services. RFO FAR 2.101
6. **“Price Analysis”** occurs when the government conducts an analysis to determine whether an offeror’s price is fair and reasonable. Price analysis is the process of examining and evaluating a proposed price *without* evaluating its separate cost elements and proposed profit. RFO FAR 15.404-1.
7. **“Cost Analysis”** is the review and evaluation of any separate cost elements and profit or fee in an offeror’s or contractor’s proposal. Cost analysis may be used to support a fair and reasonable price determination, determine cost realism, and to determine how well the proposed costs represent what the contract cost should be. RFO FAR 15.404-2(a).
8. **“Cost Reasonableness”** is a component of determining whether a given cost is allowable (and therefore reimbursable) under a cost reimbursement contract. A cost is reasonable if, in its nature and amount, it does not exceed that which would be incurred by a prudent person in the conduct of competitive business. RFO FAR 31.201-3.

9. **“Price Reasonableness”** is a determination as to whether an offeror’s price is fair and reasonable. Price reasonableness looks to the overall proposed price rather than separate cost elements. *See generally* RFO FAR 15.404-1.
10. **“Cost Realism”** is the required analysis of an offeror’s proposed cost estimates for a cost-reimbursement contract in order to determine whether those estimates are realistic for the work to be performed; reflect a clear understanding of the requirements; and are consistent with the unique methods of performance and materials described in the offeror’s technical proposal. RFO FAR 15.404-3.
11. **“Price Realism”** is an analysis as to whether or not the overall proposed price in a fixed-price contract is unrealistically low, indicating potential performance risk. Unlike a cost realism analysis, a price realism analysis is not required and may only be conducted when specified by the solicitation. RFO FAR 15.404-3(c).
12. **“Cost or Pricing Data”** provides the government with detail on how an offeror developed their proposed price.¹ RFO FAR 2.101 defines “cost or pricing data” as “all facts that, as of the date of price agreement, or, if applicable, an earlier date agreed upon between the parties that is as close as practicable to the date of agreement on price, prudent buyers and sellers would reasonably expect to affect price negotiations significantly.” It is also defined in the FAR’s definitions section, 2.101. Cost or pricing data are:
 - a. Factual, not judgmental; and verifiable.
 - b. All the facts that can be reasonably expected to contribute to the soundness of estimates of future costs and to the validity of determinations of costs already incurred.
13. **“Certified Cost or Pricing Data”** as defined at RFO FAR 2.101 means “cost or pricing data” that were required to be submitted in accordance with RFO FAR 15.403-3 and have been certified, or are required to be certified, in accordance with RFO FAR 15.403-4. This certification states that, to the best of the person’s knowledge and belief, the cost or pricing data are accurate, complete, and current as of a date certain before contract award. Cost or pricing data are required to be certified in certain procurements (10 U.S.C. §§ 3701-08 and 41 U.S.C. Chapter 35).

¹ The FAR definitions for cost or pricing data, certified cost or pricing data, and data other than certified cost and pricing data were redefined in August 2010 in order to clarify the existing authority. Court cases prior to this time may refer to only two categories: “Cost or Pricing Data” and “Information Other Than Cost or Pricing Data.” *See* FAC 2005-45; FAR Case 2005-036; Fed. Reg. Vol 75, No. 167, 53135 – 53153.

- a. When “cost or pricing data” is required, contractors must certify such data. The certificate of current cost or pricing data is found at FAR 15.403-4.
 - b. When certified cost or pricing data is required, the contracting officer will always do a cost analysis, and sometimes will also perform a price analysis to determine if the price is fair and reasonable, based on market research or comparison of proposed prices received in response to a solicitation.
14. **Data Other Than Certified Cost or Pricing Data (DOTCCPD)** means pricing data, cost data, and judgmental information necessary for the contracting officer to determine a fair and reasonable price or to determine cost realism. Such data may include the identical types of data as certified cost or pricing data, consistent with Table 15-1 of RFO FAR 15.408-2, but without the certification. The data may also include, for example, sales data and any information reasonably required to explain the offeror’s estimation process, including, but not limited to: (1) the judgmental factors applied and the mathematical or other methods used in the estimate, including those used in projecting from known data; and (2) the nature and amount of any contingencies included in the proposed prices. *See* RFO FAR 2.101.
- a. This type of data is never required to be certified.
 - b. When this type of data is requested, if the Contractor fails to provide the data, it is generally ineligible for award. RFO FAR 15.403-1(d).
 - c. Note that this data can include information that has been excluded from “cost and pricing data” by definition or by court ruling. For example, judgmental information may be requested as DOTCCPD.

IV. PRICE ANALYSIS

A. Introduction.

- 1. **Price analysis** is the process by which the government examines an offeror’s price in order to determine if it is fair and reasonable. Some form of price analysis is required for *all* government contracts in order to determine that the government procures supplies and services at fair and reasonable prices. *See e.g.* RFO FAR 14.306-2 and RFO FAR 15.404-1(b).
- 2. RFO FAR 15.402 establishes the following significant policy objectives for contracting pricing:

- a. The government purchases supplies and services at fair and reasonable prices.
- b. The government will not obtain any more data than necessary in order to determine a fair and reasonable price.
- c. The government will price each contract separately and independently. It may not, for example, consider losses or profits which are realized or anticipated under other contracts.

B. Fair and Reasonable Pricing.

- 1. Contracting officers are responsible for ensuring that supplies and services are purchased from responsible sources at **fair and reasonable** prices.² RFO FAR 15.202(d) & 15.404(a)(1). This “fair and reasonable” determination is required for almost all contract actions. The FAR does not define the term “fair and reasonable” – this determination relies upon the judgement of the contracting officer.
 - a. The contracting officer’s primary concern is the overall price the government will actually pay. The contracting officer’s objective is to negotiate a contract of a type and with a price providing the contractor with the greatest incentive for efficient and economical performance. RFO FAR 15.407(b).
 - b. Contract type and price are related and should be considered together with the issues of risk allocation and uncertainty to the contractor and the government. The contracting officer should not become preoccupied with any single element and should balance the contract type, cost, and profit or fee negotiated to achieve a total result – a price that is fair and reasonable to both the Government and the contractor.
- 2. Fair and reasonable prices are typically established through five means, each of which is supported by government price analysis techniques established under RFO FAR 15.404, 15.404-1, 15.404-2:
 - a. Competitive offers – where the forces of a competitive procurement drive offerors to propose a fair and reasonable price.
 - b. Established catalog prices – where an offeror establishes set prices for goods and services which are available to all potential customers.

² Note that the government should also consider whether a price is unreasonably low. An unreasonably low price may be an indicator of a mistake in the offer, contractor responsibility concerns, lack of understanding of the requirement, or increased performance risk. This involves a price or cost realism analysis, discussed in detail later in this chapter.

- c. Established market prices – where prices are established by the normal course of trade and market forces.
- d. Established by law and regulation – where prices are subject to regulation which is presumed to establish a fair and reasonable price.
- e. Cost-based prices – where the offeror discloses cost and pricing data to the government for analysis to determine fairness and reasonableness.

C. Price Analysis Process.

- 1. Price analysis is used in some capacity throughout the procurement process. Price analysis informs acquisition planning, evaluation of bids, proposals, and quotes, negotiations and discussions, and the ultimate selection of an awardee. Price analysis also informs contract modifications and may impact other contract administration considerations.
- 2. Price Analysis Data.
 - a. Contracting officers are required to utilize objective data in conducting price analysis. However, the form of that data may vary depending on the nature of the acquisition, and contracting officers are prohibited from obtaining more data than is necessary to establish a fair and reasonable price. RFO FAR 15.402(b).
 - b. Contracting officers generally rely upon two broad categories of data when conducting price analysis, both are covered in much greater detail later in this chapter: (Note that the data discussed below relates to the means by which fair and reasonable prices are established discussed earlier in this section.)
 - (1) **Certified cost or pricing data** obtained pursuant to the Truthful Cost or Pricing Data statute (“TINA”) as implemented by RFO FAR 15.403-3.
 - (a) Assuming an exception does not apply, certified cost and pricing data is required prior to the award of prime contracts, subcontracts (when submission was required by higher-tier subcontractors and the prime contractor), and contract modifications which equal or exceed **\$2.5 million or \$10 million for contracts entered into after 30 June 2026**.
 - (b) Both TINA and the FAR limit when contracting officers may require certified cost or pricing data. RFO

FAR 15.403-2 prohibits a contracting officer from obtaining such data when:

- (i) The price is based on adequate price competition.
- (ii) Prices are set by law or regulation.
- (iii) When acquiring, or modifying a contract for, commercial products or services.
- (iv) When an HCA waiver is granted under RFO FAR 15.403-2(c)(4).

(2) **Data other than certified cost or pricing data.**

- (a) May consist of many different types of data, including listings of historical prices, published, price lists, catalogs, or market prices, independent government cost estimates, sales information, etc.
- (b) However, there is a preference for using information from sources other than the offeror (such as the government or other secondary sources) before requiring offeror submission of data other than certified cost or pricing data.

c. **Order of Preference for Price Analysis Data.** To the extent certified cost or pricing data is not required by TINA, the contracting officer should generally use the following order of preference when requesting information to determine price reasonableness. RFO FAR 15.403-1(a):

- (1) First, request no additional information if the agreed upon price is based upon **adequate price competition**, except as provided by 15.403-2. FAR 15.403(a)(1).
- (2) Second, if adequate price competition among competing offerors is not present, the contracting officer must obtain additional information from sources other than the offeror(s), to the maximum extent practicable. RFO FAR 15.403(a)(2). This can include, but is not limited to:
 - (a) Information available within the government, such as independent government cost estimates,

- (b) Information obtained from sources other than the offeror,
 - (c) Established catalog or market prices or relevant historical contract prices.
- (3) Third, request other than certified cost or pricing data needed to determine fair and reasonable price. RFO FAR 15.403(a)(3).
- (4) Fourth, request certified cost or pricing data if the acquisition is above the simplified acquisition threshold and authorized by the HCA pursuant to RFO FAR 15.403-4(a)(2).

3. Price Analysis Techniques.

- a. Contracting officers may use various price analysis techniques and procedures to ensure a fair and reasonable price. Though not all-inclusive, RFO FAR 15.404-1(b) provides the following methods for conducting a price analysis:
 - (1) Comparison of proposed prices received in response to the solicitation. Adequate price competition generally establishes a fair and reasonable price. RFO FAR 15.404-1(b)(1). However, some additional analysis may be required in some circumstances:
 - (a) When comparing proposed prices, proposal prices which are generally close to one another is an indicator of adequate price competition.
 - (b) Be wary of prices which are much lower than others, as this may indicate a mistake or misunderstanding of the requirement.
 - (c) While this method requires two offers, a small pool of offerors may weaken the effectiveness of this method in determining price reasonableness.
 - (2) Comparison of prior proposed prices to historical prices paid for the same or similar items, where the comparison is valid and the past price was reasonable. *See* RFO FAR 15.404-1(b)(2).

- (a) Contracting officers should closely consider the circumstances of the past buy being used for comparison. For example, a price obtained under urgency may have been higher than would be reasonable for the current acquisition or the current price may warrant bulk pricing that a past lower quantity purchase did not.
- (3) Use of “rough yardstick” (such as “dollars per pound” or “price per square foot”) to highlight significant inconsistencies in pricing. RFO FAR 15.404-1(b)(3).
- (4) Comparison with competitive published price lists, published market prices of commodities, similar indexes, and discount or rebate arrangements. RFO FAR 15.404-1(b)(4).
- (5) Comparison of proposed prices with independent government costs estimates (IGCEs). RFO FAR 15.404-1(b)(5).
 - (a) Independent government cost estimates are often prepared during acquisition planning and, if prepared reliably, can serve as a point of comparison for determining a fair and reasonable price. Contracting officers should understand the basis and methodology for the estimate and what information was considered in forming it, as well as the experience of the estimators.
 - (b) The FAR only *requires* completion of an IGCE for architect and engineering (A&E) and construction contracts. *See* RFO FAR 36.101-5 and 36.102-3.
 - (c) Many federal agencies require IGCE’s for other procurements. However, an IGCE may not be available for all acquisitions.
- (6) Comparison of proposed prices with prices obtained through market research for the same or similar items. RFO FAR 15.404-1(b)(6).
- (7) Analysis of data other than certified cost or pricing data provided by the offeror. RFO FAR 15.404-1(b)(7). *See also DynCorp Int’l, LLC v. United States*, 10 F.4th 1300, 1314–15 (Fed. Cir. 2021) (rejecting argument that it was improper for the Contracting Officer to use this non-preferred technique in a

“complicated procurement in which each offeror proposed a different technical approach”).

- b. Of the techniques listed above, the first two are the preferred techniques. However, if the contracting officer determines that information on competitive proposed prices or previous contract prices is not available or is insufficient to determine that the price is fair and reasonable, the contracting officer may use any of the remaining techniques as appropriate to the circumstances applicable to the acquisition. RFO FAR 15.404-1(c).
 - c. To support a price analysis, contracting officers may also conduct a **“value analysis,”** which is intended to give insight into the relative worth of a product. RFO FAR 15.404-1(d). *See* John Edward Murphy, Guide to Contract Pricing: Cost and Price Analysis for Contractors, Subcontractors, and Government Agencies, 42 (Management Concepts, 5th ed. 2009) for additional details on conducting a value analysis.
4. Documentation of Price Analysis/Reasonableness.
- a. Contracting officers are required to document the principal elements of a negotiated agreement. This is found in the **price negotiation memorandum** or “PNM.” RFO FAR 15.408-2(a).
 - b. The price negotiation memorandum includes, among other details: (1) a description of the acquisition; (2) details regarding certified cost and pricing data such as if it was required, the extent to which it was relied upon, and actions taken regarding any identified defective data; (3) details on cost or price analysis conducted; (4) details on profit or fee; and (5) the contracting officer’s ultimate determination of fair and reasonable pricing. *See* RFO FAR 15.408-2(a).
5. Other Analysis Types.
- a. A **“cost analysis”** is an analysis by the contracting officer that reviews and evaluates separate cost elements and profit or fee within a proposal to determine a fair and reasonable price or to determine cost realism. RFO FAR 15.404-2. Cost analysis is discussed in more detail in Section V of this chapter.
 - b. A **“cost realism analysis”** is conducted to determine the probable cost of performance for each offeror in order to ensure the final price is fair and reasonable. RFO FAR 15.404-3. Cost realism is discussed in more detail in Section V of this chapter.

- c. A “**price realism analysis**” *may* be conducted in awarding a fixed-price contract in order to assess whether an offeror’s low price reflects a lack of technical understanding or risk. *See* RFO FAR 15.404-3(c). However, offerors *must* be advised that the agency will conduct a price realism analysis; absent a solicitation provision providing for a price realism evaluation, agencies are neither required nor permitted to conduct one in awarding a fixed price contract. RFO FAR 15.404-3(c); *see also DynCorp*, B-407762.3, Jun. 7, 2013, 2013 CPD ¶160 at 9 (denying protest arguing that the agency should have conducted a price realism analysis where the request for proposals did not state that the agency would do so).
- d. A “**technical analysis**” is a proposal analysis technique used by the contracting officer when personnel with specialized knowledge, skills, experience or capability in engineering, science, or management are needed to assist the contracting officer in determining the need for and reasonableness of the resources proposed for use by a contractor, assuming reasonable economy and efficiency. RFO FAR 15.404-4.
 - (1) At a minimum, the analysis includes:
 - (a) The types and quantities of material proposed;
 - (b) The need for the types and quantities of labor hours the contractor is proposing to use, and the labor mix; and
 - (c) Any other data that may be pertinent to an assessment of the offeror's ability to accomplish the technical requirements or to the cost or price analysis of the service or product being proposed should also be included in the analysis. RFO FAR 15.404-4(a).
 - (2) The contracting officer should request technical price evaluative assistance in evaluating items that are “similar to” items to be purchased, or commercial products or commercial services that are “of a type” as those to be procured, or requiring minor modifications for commercial products. RFO FAR 15.404-4(b).

V. PRICING CONSIDERATIONS FOR COST-REIMBURSEMENT CONTRACTS

Cost-reimbursement contracts present a challenge when determining whether the contract’s price is fair and reasonable because – by their nature – they are based off of a changing, estimated

amount rather than a firmly established, set price. RFO FAR 16.301-1. Due to this more loosely defined price structure, and the government's assumed risk on cost-reimbursement contracts, many special contract pricing considerations apply to cost-type contracts.

A. Composition of a Contract's Total Cost.

1. The total cost of a cost-reimbursement contract is the sum of allocable direct and indirect costs, incurred or to be incurred, plus any allocable cost of money pursuant to RFO FAR 31.205-10, minus any allocable credits. RFO FAR 31.201-1(a).³
2. Cost allowability.⁴
 - a. A contractor may only be reimbursed for costs which are allowable. RFO FAR 31.201-1(b).
 - b. To be allowable, a cost must be: (1) reasonable; (2) allocable to the contract; (3) in compliance with any applicable cost accounting standards; (4) in accordance with the terms of the contract; and (5) not subject to a limitation under RFO FAR Subpart 31.2.
 - (1) Cost reasonableness. A cost is reasonable if, in its nature and amount, it does not exceed that which would be incurred by a prudent person in the conduct of competitive business. RFO FAR 31.201-3.
 - (2) Cost allocability. A cost is allocable if it is assignable or chargeable to one or more cost objectives of the contract. RFO FAR 31.201-4. A cost is generally allocable to a contract if it is incurred specifically for that contract, benefits the contract and other work, or is necessary for the overall operation of the business (e.g. overhead costs). *Id.*
 - (3) CAS Compliance. Costs arising from contractor accounting practices that are inconsistent with applicable CAS standards or other accounting standards established by RFO FAR Subpart 31.2 are unallowable.
 - c. Certain costs may also be expressly unallowable where such cost is prohibited by law, regulation, or the terms of the contract itself. These costs must be excluded from any billing, claim, or proposal on a government contract. Additionally, any cost which would not have

³ Note: This is the total cost, not price. Total price would include applicable profit/fee.

⁴ See Section IX of this chapter for discussion of cost allowability in the context of contract pricing adjustments.

been incurred but for an unallowable cost is also unallowable. RFO FAR 31.201-6.

3. Direct Costs.

- a. Direct costs are those which are identified specifically with a particular final cost objective. They need not be items that are incorporated into the end product as material or labor, but are those identified specifically with a given contract. RFO FAR 2.101.
- b. Direct labor costs.
 - (1) Direct labor costs are costs associated with labor specifically chargeable to a given contract. For example, the costs associated with a contractor employee who operates a lawnmower on a grounds maintenance contract would be a direct labor cost. *See* RFO FAR Table 15-1 (addressing required information for direct labor costs in the context of certified cost or pricing data).
 - (2) Direct labor costs typically consist of a given number of direct labor hours and an hourly rate by employee category. *See* RFO FAR Table 15-1.
- c. Direct material costs. Direct materials costs are those which contribute directly to a contract's scope; typically by becoming part of the finished work or by being consumed in the effort to complete the work. *See e.g.* RFO FAR 52.212-4 (providing definitions of various costs relevant to a commercial contract).
- d. Other direct costs.
 - (1) Other direct costs ("ODCs") are costs other than labor and materials that are incurred specifically for the contract's scope. *See e.g.* RFO FAR 52.212-4.
 - (2) Other direct costs typically consist of charges that are incidental to the contract's effort, but for which there is no associated labor category or material cost. *Id.*
 - (3) Some common examples, of other direct costs include travel expenses, computer usage charges, equipment rental, software licenses, and consultant fees.

4. Indirect Costs.

- a. An indirect cost is any cost not directly identified with a single, final cost objective of the contract, but identified with two or more final cost objectives or with at least one intermediate cost objective. RFO FAR 2.101; 31.203.
 - b. Indirect costs consist of a company's general operating expenses that may not be specifically directed toward a single contract's effort. Indirect costs typically fall within one of two categories: (1) overhead costs; and (2) general and administrative ("G&A") costs. RFO FAR 2.101; 31.203.
 - c. Fringe benefits. A common indirect contract cost is contractor employee fringe benefits – commonly referred to as "fringe." These costs include those which supplement a contractor employee's pay, such as health insurance, retirement, or holiday/leave pay. *See* RFO FAR 31.205-6(l). Fringe benefits are often specifically addressed by the contract but are generally an allowable cost to the extent that they are reasonable. *Id.*
 - d. Some other examples of indirect costs include:
 - (1) Pay for a contractor employee who supervises multiple employees working several different contracts.
 - (2) Costs for utilities and rent for a contractor facility which is used for multiple contract efforts.
 - (3) Costs of contractor administrative staff and executive pay.
 - e. Indirect costs which meet the definition of an "excessive pass-through charge" under RFO FAR 52.215-23 are unallowable. RFO FAR 31.203(i).
5. Other Common Components of Total Cost.
- a. Facilities Capital Cost of Money (FCCOM).
 - (1) Facilities capital cost of money is an amount the government pays to a contractor for the use of their facilities. However, it is *not* an incurred cost. Rather, facilities capital cost of money represents an imputed, theoretical cost representative of a contractor's investment of their capital in a given facility or asset. *See* 48 CFR 9904.414; John Edward Murphy, Guide to Contract Pricing: Cost and Price Analysis for Contractors,

Subcontractors, and Government Agencies, Chapter 9
(Management Concepts, 5th ed. 2009).

- (2) Facilities capital cost of money is an allowable cost, provided (1); it is measured, assigned, and allocated to contracts in accordance with the cost accounting standards of 48 CFR 9904.414 or measured and added to the cost of capital assets under construction in accordance with 48 CFR 9904.417; (2) the requirements of RFO FAR 31.205-52 are followed; and (3) the estimated facilities capital cost of money is specifically identified and proposed by the contractor in their offer. RFO FAR 31.205-10.
- b. Depreciation. Depreciation on a contractor's capital facilities and equipment may be an allowable cost. *See* RFO FAR 31.205-11.
6. Credits. Credits are amounts owed to the government on a cost contract, which may be incurred for a variety of reasons. Credits can be repaid to the government either as a contract cost reduction or by cash refund. RFO FAR 31.201-5.

B. Profit/Fee.

1. Profit/fee are *not* an element of a contract's total cost. Rather, it is an element of the total price of the contract. RFO FAR 15.401.
2. It is in the government's interest to offer contractors opportunities for financial rewards sufficient to stimulate efficient contract performance, attract the best capabilities of qualified large and small business concerns to government contracts, and maintain a viable industrial base. RFO FAR 15.404-9(a)(2).
3. Subject to the requirements of RFO FAR 15.404-9(b), contracting officers have wide latitude in negotiating appropriate profit/fee on cost reimbursement contracts.
4. Contracting officers are not required to conduct a profit analysis when the contract's price negotiation is based on a cost analysis. RFO FAR 15.404-9(c).

5. However, when conducting a profit analysis, contracting officers are generally required to employ a structured approach to analyzing a contractor's proposed profit/fee. *See* RFO FAR 15.404-9(b); *see also* RFO FAR 15.404-9(d) (providing profit analysis factors where a structured approach is not used).
6. Contracting officers are prohibited from negotiating a price or fee that exceeds the statutory limitations imposed by 10 U.S.C. § 3322(b) and 41 U.S.C. § 4905, which includes:
 - a. For experimental, developmental, or research work performed under a cost-plus-fixed-fee contract, the fee shall not exceed 15 percent of the contract's estimated cost, excluding fee.
 - b. For architect-engineer services for public works or utilities, the contract price or the estimated cost and fee for production and delivery of designs, plans, drawings, and specifications shall not exceed 6 percent of the estimated cost of construction of the public work or utility, excluding fees.
 - c. For other cost-plus-fixed-fee contracts, the fee shall not exceed 10 percent of the contract's estimated cost, excluding fee.

C. Cost Analysis.

1. Cost analysis is the review and evaluation of a proposal's separate cost elements and profit or fee in an offeror's or contractor's proposal, as needed to determine a fair and reasonable price, cost realism, or to determine how well the proposed costs represent what the contract cost should be. RFO FAR 15.404-2. Cost analysis is required when a contractor must provide certified cost and pricing data. RFO FAR 15.404-2.
2. Cost analysis may be applied to both certified cost or pricing data and data other than certified cost or pricing data. *See* RFO FAR 15.404-2(b)(1).
3. Contracting officers may use various cost analysis techniques depending on the given circumstances of the acquisition. RFO FAR 15.404-2(b)(1). These include:
 - a. Verification of cost or pricing data and evaluation of cost elements, including:
 - (1) The necessity for, and reasonableness of, proposed costs, including allowances for contingencies;

- (2) Projection of the offeror's cost trends, on the basis of current and historical cost or pricing data;
 - (3) Reasonableness of estimates generated by appropriately calibrated and validated parametric models or cost-estimating relationships; and
 - (4) Application of audited or negotiated indirect cost rates, labor rates, and cost of money or other factors.
- b. Evaluation of the effect of the offeror's current practices upon future costs to ensure the effects of inefficient or uneconomical past practices are not projected into the future. This should include trend analysis of basic labor and material costs when pricing production of recently developed complex equipment. RFO FAR 15.404-2(b)(2).
- c. Comparison of costs proposed by the offeror for individual cost elements with:
 - (1) Actual costs previously incurred by the same offeror;
 - (2) Previous cost estimates from the offeror or from other offerors for the same or similar items;
 - (3) Other cost estimates received in response to the government's request;
 - (4) Independent government cost estimates (IGCE) by technical personnel; and
 - (5) Forecasts of planned expenditures. RFO FAR 15.404-2(b)(3).
- d. Verification that the cost submissions are in accordance with contract cost principles, RFO FAR Part 31, and Cost Accounting Standards (CAS), where applicable. RFO FAR 15.404-2(b)(4); 48 CFR Chapter 99.
- e. Review of whether cost or pricing data necessary to make the proposal suitable for negotiation has been submitted or identified in writing. RFO FAR 15.404-2(b)(5).
- f. To evaluate subcontractor costs, analysis of the results of any "Make-Or-Buy" program reviews, in evaluating subcontract costs. A Make-Or-Buy program review looks at whether a contractor should make a component or subcontract the work. It is generally used only on

contracts over \$13.5 million that also require cost or pricing data.
RFO FAR 15.404-2(b)(6); RFO FAR 15.405-2.

4. “Should-Cost” Reviews. Should-Cost Reviews are a specialized form of cost analysis that evaluate the economy and efficiency of the contractor's existing work force, methods, materials, equipment, real property, operating systems, and management. They differ from traditional evaluation methods because they do not assume a contractor’s historical costs reflect efficient and economical operation. RFO FAR 15.405-4. There are two types of should-cost reviews:
 - a. Program Should-Cost Review. This review is used to evaluate significant elements of direct costs, such as labor and material. It also evaluates indirect costs that are usually associated with the production of major systems. A separate audit report is also required for this review. RFO FAR 15.405-4(b).
 - b. Overhead Should-Cost Review. This review is used to evaluate indirect costs, such as fringe benefits, shipping and receiving, real property and equipment, depreciation, plant maintenance and security, taxes, and general and administrative expenses. A separate audit report is also required for this review. RFO FAR 15.405-4(c).
5. Cost Realism.
 - a. A cost realism analysis is the process of independently reviewing and evaluating specific elements of each offeror’s proposed cost estimate to determine whether the estimated proposed cost elements are realistic for the work to be performed; reflect a clear understanding of the requirements; and are consistent with the unique methods of performance and materials described in the offeror’s technical proposal. RFO FAR 15.404-3(a).
 - b. Per RFO FAR 15.404-3(b), cost realism analyses *must* be performed on cost reimbursement contracts in order to determine the probable cost of performance by the offeror. The probable cost:
 - (1) Is determined by adjusted each offeror’s proposed cost, and fee when appropriate, to reflect any additions or reductions in cost elements to realistic levels based on the results of the cost realism analysis.
 - (2) May differ from the proposed cost and should reflect the government’s best estimate of the cost of any contract that is most likely to result from the offerors proposal.

- (3) Must be used for purposes of evaluation to determine the best value.

- c. Note: The fixed-price “cost realism analysis” discussed in RFO FAR 15.404-3(c) is commonly referred to as “price realism.” This is discussed in Section IV of this chapter.

D. Additional Cost Contract Concepts.

1. **Cost Accounting Standards.** Cost Accounting Standards (“CAS”) are a specific set of rules governing a contractor’s accounting practices of for costs on government contracts. *See* 41 U.S.C. Chapter 15, RFO FAR 30.1. Cost Accounting Standards are covered in more detail in Chapter 23 of this deskbook.
2. **Forward Pricing Rate Agreements.** A forward pricing rate agreement is a written agreement between a contractor and the government to use certain rates for pricing contracts and modifications for specific period of time. These rates represent reasonable projections of specific costs that are not easily estimated for, identified with, or generated by a specific contract, contract end item, or task. These projections may include rates for such things as labor, indirect costs, material obsolescence and usage, spare parts provisioning, and material handling. RFO FAR 2.101.
3. **Earned Value Management System.**
 - a. The Earned Value Management System (EVMS) is a specific project management system which is required for major acquisitions in accordance with OMB Circular A-11. RFO FAR 34.201.
 - b. EVMS involves an initial integrated baseline review (IBR) of a project, which a joint assessment by the government and the contractor intended to verify the technical content and realism of the project’s performance budget, resources, and schedules. *See* RFO FAR 34.202.

VI. OBTAINING COST OR PRICING DATA

Contracting officers are required to utilize objective data to support their price analysis and, ultimately, to determine that a given price is fair and reasonable. RFO FAR 15.402. However, the methods used to obtain such data are subject to the **Truthful Cost or Pricing Data Statutes** (“TINA” – abbreviation explained below) codified within 10 U.S.C. Chapter 271 and 41 U.S.C. Chapter 35 and various provisions of RFO FAR 15.4.

- #### A. History of the Truthful Cost or Pricing Data Statutes (“TINA”).

1. In May of 1959, the Government Accountability Office (GAO) reported a large number of overpricing cases. As a result in October of that year, the DoD revised the Armed Services Procurement Regulation (ASPR), a predecessor to the FAR. The revision required contractors to provide a Certificate of Current Cost or Pricing Data during contract negotiations. In 1961, DoD added a price reduction clause to the ASPR.
2. Congress passed the **Truth in Negotiations Act ("TINA")** in 1962. Pub. L. No. 87-653, 76 Stat. 528 (1962) (formerly codified at 10 U.S.C. § 2306(f), then 10 U.S.C. § 2306(a)). TINA initially applied only to the DoD, the Coast Guard, and NASA. In 1984 (with an effective date in 1985), TINA's requirements were extended to all Executive Branch departments and agencies via Public Law 89-369, 98 Stat. 1181 (1984) which added its requirements to the Federal Property and Administrative Services Act.
3. Significant amendments to TINA occurred in 1986 (Pub. L. No. 99-661, 100 Stat. 3946), 1994 (the Federal Acquisition Streamlining Act of 1994 (FASA)), and 1996 (the Clinger-Cohen Act of 1996, a.k.a. the Federal Acquisition Reform Act of 1996 (FARA)).
4. TINA was later recodified in 10 U.S.C. Chapter 271 and 41 U.S.C. Chapter 35 in 2013 and renamed "Truthful Cost or Pricing Data." Despite the new name, the Act is still commonly referred to by government contracting practitioners as "TINA."
5. TINA's threshold for obtaining cost and pricing data is typically adjusted for inflation and rounded to the nearest \$50,000 every five years. The past threshold was \$750,000 for prime contracts awarded on or after October 1, 2015, and \$700,000 for prime contracts awarded on or after October 1, 2010. Section 811 of the 2018 NDAA increased the TINA threshold to \$2 million for all prime contracts. Section 814 of the 2021 NDAA established a consistent \$2 million TINA threshold for all contract awards and modifications, to include prime contracts and subcontracts at any tier, executed on or after July 1, 2018. This threshold was again increased to \$2.5 million effective October 1, 2025. Most recently, the 2026 NDAA increased the threshold to \$10 million for contracts entered into after June 30, 2026.

B. General.

1. At its core, **TINA is a disclosure statute** which requires contractors, sub-contractors, and prospective contractors to:
 - a. Provide the government with information on the costs (cost or pricing data) of a procurement (10 U.S.C. § 3702(a)(1); 41 U.S.C. § 3502(a)(1)); and

- b. Certify “to the best of [the contractor’s] knowledge and belief, that the cost or pricing data submitted [to the government] are accurate, complete, and current.” 10 U.S.C. § 3702(b); 41 U.S.C. § 3502(b).
2. However, TINA also imposes limitations on when the government may require cost and pricing data. *See* 10 U.S.C. § 3703; 41 U.S.C. § 3503; RFO FAR 15.403-2.
3. If information provided by the contractor is not accurate, complete, and current, the government has the right to certain remedies against the contractor. 10 U.S.C. § 3706(a)(1); 41 U.S.C. § 3506(a)(1). *See also Unisys Corp. v. United States*, 888 F.2d 841, 845 (1989) (“When a contractor has breached its duty to disclose [certified cost and pricing] data . . . the government is entitled to a downward price adjustment in the amount of the overstated costs.”). More detailed defective pricing discussion is included later in this chapter.
4. TINA’s purpose is to level the negotiation playing field by ensuring that government negotiators have access to the same pricing information as the contractor’s negotiators in order to establish a fair and reasonable contract price.⁵
5. TINA is not intended to defect fraud on the part of the contractor (though this may be a result). However, TINA does facilitate a contract price reduction where the government discovers that defective certified cost or pricing data was provided. *See* RFO FAR 15.304.
6. The FAR implements TINA via RFO FAR 15.403-2.

C. Disclosure Requirements.

1. For purposes of TINA, contracting officers must generally determine whether requiring submission of cost in pricing data is **mandatory, non-mandatory, or prohibited**.
2. As of 1 October 2025, the TINA threshold for requiring cost and pricing data is \$2.5 million. However, the FY 2026 NDAA increased this threshold to **\$10 million** for all contracts entered into after 30 June 2026.

⁵ “In enacting the Truth in Negotiations Act, P.L. 87-653, 10 U.S.C. §2306(f), the Congress recognized that in a noncompetitive atmosphere, offerors had little motivation to base their prices on the lowest possible costs.” *See Hardie-Tynes Mfg. Co.*, ASBCA No. 20367, 76-1 B.C.A. para. 11,827, at 56,475, 56,480. TINA was designed to “avoid situations in which inaccurate, incomplete, or noncurrent information is known by the contractor, but withheld from the government to its detriment.” *See Sylvania Elec. Prods., Inc. v. United States*, 479 F.2d 1342, 1346 (Ct. Cl. 1973).

3. TINA applies only to negotiated procurements. *See* 10 U.S.C. § 3702(a)(1); 41 U.S.C. § 3502(a)(1). Thus, no such data is required for sealed bid contracts under RFO FAR Part 14. *Id.* However, TINA may apply to modifications of sealed bid contracts, as these are negotiated procurement actions.
4. Where the contracting officer contemplates that submission of certified cost or pricing data will be required, they must insert the appropriate clause in the solicitation and contract – RFO FAR 52.215-10, Price Reduction for Defective Certified Cost or Pricing Data or RFO FAR 52.215-11, Price Reduction for Defective Certified Cost or Pricing Data-Modifications. These clauses facilitate government recovery where the contractor provides defective certified cost or pricing data.
5. Mandatory disclosure. 10 U.S.C. § 3702; 41 U.S.C. § 3502(a); RFO FAR 15.403-3(a). Unless an exception applies, the contracting officer *must* require the contractor or applicable subcontractor to submit certified cost or pricing data before completing any of the following actions:
 - a. Award of a negotiated contract that exceeds the threshold (except undefinitized actions such as a letter contracts);
 - b. Award of a subcontract at any tier that exceeds the threshold if the government required the prime contractor and each higher-tier subcontractor to submit certified cost or pricing data.⁶
 - c. Contract modifications for:
 - (1) Any sealed bid or negotiated prime contract involving a price adjustment that exceeds the threshold (regardless of whether cost or pricing data was initially required); or
 - (2) Subcontract at any tier involving a price adjustment that exceeds the threshold if the government required the prime contractor and each higher-tier subcontractor to furnish cost or pricing data under the original contract or subcontract.
 - (3) Negotiated final pricing actions such as termination settlements and total final price agreements for fixed-price incentive and

⁶ If the head of contracting activity (HCA) has waived the requirement for submission of certified cost or pricing data (in exceptional cases) for the prime contractor or one of its higher-tier subcontractors, the prime contractor or higher-tier subcontractor is considered to have been required to submit cost or pricing data for the purpose of this rule even data was not actually submitted by the prime contractor or higher-tier subcontractor due to the waiver. Consequently, a lower-tier subcontractor expected to exceed the \$2M threshold must submit cost or pricing data, unless an exception applies, or the waiver specifically includes that lower-tier subcontractor. RFO FAR 15.403-2-1(c)(4).

redeterminable contracts are considered contract modifications requiring cost or pricing data if:

- (a) The total final price agreement for such settlements or agreements exceeds \$2 million; or
 - (b) The partial termination settlement plus the estimate to complete the continued portion of the contract exceeds \$2 million. RFO FAR 15.403-3(b)(3)(ii)(A), (B); *See also* RFO FAR 49.105(c)(15).
- (4) Note that for purposes of determining whether the TINA threshold has been exceeded, contract modifications consider both increases and decreases in contract value. For example, a \$500,000 modification resulting from a reduction of \$1,500,000 and an increase of \$1,000,000 is a \$2,500,000 pricing adjustment. *See* RFO FAR 15.403-3(b)(3)(i).

6. Nonmandatory.

- a. The head of the contracting activity (HCA) can authorize a contracting officer to obtain cost or pricing data for pricing actions expected to cost below the current threshold if the HCA finds that it necessary to determine whether the price is fair and reasonable. 10 U.S.C. § 3704; 41 U.S.C. § 3504(a). The HCA's decision must be documented with a written finding that "certified cost or pricing data are necessary to determine whether the price is fair and reasonable" and include facts supporting that finding. This authority may not be further delegated. RFO FAR 15.403-3(e).
- b. However, the HCA may not authorize a contracting officer to require cost or pricing data under this provision if:
 - (1) The acquisition is at or below the simplified acquisition threshold. RFO FAR 15.403-2(a).
 - (2) One of the exceptions to the requirement to submit cost in pricing data listed at RFO FAR 15.403-2(b) apply. RFO FAR 15.403-3(e). *See also* 10 U.S.C. § 3703; 41 U.S.C. § 3503.

7. Exceptions to the Certified Cost or Pricing Data Requirements. Certified cost and pricing data may not be required if any of the following exceptions apply:

- a. Simplified Acquisitions. A contracting officer may not require a contractor to submit certified cost or pricing data for a procurement

that is at or below the simplified acquisition threshold. RFO FAR 15.403-2(a).

- b. Adequate Price Competition. 10 U.S.C. § 3703(a)(1); 41 U.S.C. § 3503(a)(1)(A); RFO FAR 15.403-2(b)(1) and (c)(1). A contracting officer may not require a contractor to submit cost or pricing data if the agreed upon price is based upon adequate price competition.
 - (1) “Adequate Price Competition” means different things depending on which agency is awarding the contract. For DoD, NASA, and the Coast Guard, definition of adequate price competition if two or more offers are received. RFO FAR 15.403-2(c)(1)(i).
 - (a) Adequate price competition exists if two or more responsible offerors, competing independently, submit priced offers that satisfy the government’s expressed requirement; and
 - (b) The government will award the contract to the offeror whose proposal represented the best value and in which price was a substantial factor in the source selection. RFO FAR 15.403-2(c)(1)(i)(B); and the contracting officer did not find the successful offeror’s price unreasonable. *See Serv-Air, Inc.*, B-189884, Sept. 25, 1978, 78-2 CPD ¶ 223, aff’d on recons., Mar. 29, 1979, 79-1 CPD ¶ 212 (holding that cost or pricing data was not required because there was adequate price competition); cf. *Litton Sys., Inc., Amecom Div.*, ASBCA No. 35914, 96-1 BCA ¶ 28,201 (denying the contractor’s motion for summary judgment because a dispute of fact existed regarding whether there was adequate price competition).
 - (c) For agencies other than DoD, NASA, and the Coast Guard, adequate price competition exists where there is a reasonable expectation that two or more responsible offers would be received even if only one was received, provided:
 - (i) The contracting officer can reasonably conclude that the offer was submitted with the expectation of competition and if the determination of adequate price competition is

approved at a level above the contracting officer; or

- (ii) Price analysis clearly demonstrates that the proposed price is reasonable in comparison with current or recent prices for the same or similar items, adjusted to reflect relevant changes. RFO FAR 15.403-2(c)(1)(ii)(B).
- (2) Requiring a contractor to submit certified cost or pricing data when there is adequate competition may be an abuse of the contracting officer's discretion. *See United Technologies Corp., Pratt & Whitney*, ASBCA No. 51410, 99-2 BCA ¶ 30,444 (rejecting the Air Force's contention that the contracting officer had absolute discretion both to require certified cost or pricing data and to include a price adjustment clause where the price was negotiated based upon adequate price competition).
- c. Prices set by law or regulation. Pronouncements in the form of periodic rulings, reviews, or similar actions of a government body, or embodied in the laws, are sufficient to set a price. RFO FAR 15.403-2(b)(2).
- d. Commercial products and services.
 - (1) Acquisitions of items meeting the definitions of commercial products or commercial services in RFO FAR 2.101 are exempt from the requirement for cost or pricing data. RFO FAR 15.403-2(b)(3).⁷
 - (2) Modifications to commercial products. When minor modifications to commercial products do not make the item "non-commercial," then:
 - (a) If funded by an agency other than DoD, NASA, or Coast Guard, no cost or pricing data is required. RFO FAR 15.403-2(c)(3)(iii)(A).

⁷ This exception may apply for acquisitions of supplies or services that the HCA determines are used to facilitate defense against or recovery from nuclear, biological, chemical, or radiological attack. Under RFO FAR 12.001(b), acquisitions of this nature are treated as commercial will be exempt from certified cost or pricing data. If the contract exceeds \$20 million and is awarded upon a sole source basis, then cost or pricing data requirements apply. However, for purposes of TINA requirements, this presumption of commerciality does *not* apply for acquisitions over the \$25 million which are awarded on a sole source basis. *See* RFO FAR 12.001(b).

- (b) If funded by DoD, NASA, or the Coast Guard, cost or pricing data is only required if the total price of all such modifications under a particular contract action exceed the greater of \$2 million or five percent of the contract's total price. RFO FAR 15.403-2(c)(3)(iii)(C).
- (c) When purchasing services that are not offered and sold competitively in substantial quantities in the commercial marketplace but are of a type offered and sold competitively in substantial quantities in the commercial marketplace, they may be considered commercial services only if the contracting officer determines in writing that the offeror has submitted sufficient information to evaluate, through price analysis, the reasonableness of the price of such services. RFO FAR 15.403-2(c)(3)(ii)(A); Section 868, Duncan Hunter National Defense Authorization Act (NDAA) for Fiscal Year (FY) 2009, Pub. L. No. 110-417, 14 Oct 2008.
 - (i) In order to make this determination, the contracting officer may request that the offeror submit prices paid for the same or similar commercial products or commercial services under comparable terms and conditions by both government and commercial customers; and
 - (ii) If the contracting officer determines that the information described above is not sufficient to determine the reasonableness of price, other relevant information regarding the basis for price or cost, including information on labor costs, material costs and overhead rates may be requested. RFO FAR 15.403-2(c)(3)(ii)(B) & (C).

e. Waivers.

- (1) The HCA, without power of delegation, may waive the requirement for certified cost or pricing data in exceptional cases if the price can be determined to be fair and reasonable without submission of cost or pricing data. This waiver must be in writing with supporting rationale. RFO FAR 15.403-2(b)(4).

- (2) Example: If cost or pricing data were furnished on previous production buys and the contracting officer determines such data are sufficient, when combined with updated information, a waiver may be granted.
- (3) DoD has additional restrictions on waivers. RFO DFARS 215.403-270(b). The HCA may apply the exceptional circumstance waiver authority only after determining that:
 - (a) The property or services cannot reasonably be obtained under the contract, sub-contract, or modification, without the waiver;
 - (b) The price can be determined to be fair and reasonable without the submission of certified cost or pricing data; and
 - (c) There are demonstrated benefits to granting the waiver. PGI 215.403-1 (c)(4)(A) provides specific guidance on waiver determinations and documentation.

f. Other exceptions

- (1) Exercise of an option. The exercise of an option at the price established at contract award or initial negotiation does not require submission of certified cost or pricing data. RFO FAR 15.403-3(b)(3)(iii).
- (2) Proposals used solely for overrun funding or interim billing price adjustments. RFO FAR 15.403-3(b)(3)(iii).

D. Defining Cost or Pricing Data.

- 1. Considerations in defining cost or pricing data often arise in defective pricing cases and involve boards and courts determining whether specific data should have been disclosed to the government under TINA.
- 2. Cost or pricing data are all facts that, as of the date of price agreement, or, if applicable, an earlier date agreed upon between the parties that is as close as practicable to the date of agreement on price, **prudent buyers and sellers would reasonably expect to affect price negotiations significantly.** RFO FAR 2.101. Whether a particular item is cost or pricing data is a factual question. *See Appeal of PAE International*, ASBCA 20595, 76-2 BCA ¶ 12044 (1976).

3. The FAR provides the following examples of cost or pricing data:
 - a. Vendor quotations;
 - b. Nonrecurring costs⁸;
 - c. Information on changes in production methods and in production or purchasing volume;
 - d. Data supporting projections of business prospects and objectives and related operational costs;
 - e. Unit-cost trends such as those associated with labor efficiency;
 - f. Make-or-buy decisions⁹;
 - g. Estimated resources to attain business goals; and
 - h. Information on management decisions that could have a significant bearing upon costs.
4. RFO FAR 2.101 also provides that cost or pricing data must be **factual**, rather than judgmental, and verifiable. Additionally, the FAR provides that cost and pricing data do not indicate the accuracy of the prospective contractor's judgment about estimated future costs or projections, but do include the data forming the basis for that judgment. Cost or pricing data are more than historical accounting data. They are all the facts that can be reasonably expected to contribute to the soundness of estimates of future costs and to the validity of determinations of costs already incurred. RFO FAR 2.101; *see also Appeal of PAE International*, ASBCA 20595, 76-2 BCA ¶ 12044 (1976).
 - a. Factual information is discrete, quantifiable information that can be verified and audited. Estimates and judgments, by their very nature, cannot be verified. *See Litton Sys., Inc., Amecom Div.*, ASBCA No. 36509, 92-2 BCA ¶ 24,842.
 - b. Contractor failure to disclose purely judgmental information will generally not support government action taken on the basis of

⁸ These costs are generally incurred on a one-time basis and include such costs as plant or equipment relocation, plant rearrangement, special tooling and special test equipment, preproduction engineering, initial spoilage and rework, and specialized work force training. Compare to recurring costs, which vary with the quantity being produced (for example labor and materials). *See* RFO FAR 17.102.

⁹ This term refers to the prime contractor's decisions regarding whether to use subcontracting to ensure the lowest overall cost to the government. The term "make item" refers to an item or work effort produced or performed by the prime contractor rather than "buying" the item from a subcontractor. "Make-or-buy program" is defined at RFO FAR 2.101 but is also covered in RFO FAR 15.405-2.

defective pricing. *See generally Lockheed Corp.*, ASBCA 36420, 95-2 BCA ¶ 27,222.

- c. The distinctions between factual data and judgmental information are often difficult to make. Information that mixes fact and judgment may require disclosure because of the underlying factual information. *See, e.g., Texas Instruments, Inc.*, ASBCA No. 23678, 87-3 BCA ¶ 20,195; *cf. Litton Sys., Inc., Amecom Div.*, ASBCA No. 36509, 92-2 BCA ¶ 24,842 (holding that reports regarding estimated labor hours were not required to be disclosed because they were “pure judgment”).
- d. In some instances, cost or pricing data may include information that would be considered judgmental if the facts and data are so intertwined with judgments that the judgments must be also disclosed to make the facts or data meaningful. *See Litton* 92-2 BCA ¶ 24,842.
- e. Management Decisions.
 - (1) Management decisions are generally a conglomeration of facts and judgment. *See, e.g., Lockheed Corp.*, ASBCA No. 36420, 95- 2 BCA ¶ 27,722. For a management decision to be considered cost or pricing data, the decision must: (1) have a substantial relationship to a cost element; and (2) be made by an official with the authority to approve the action under consideration. *Id.*
 - (2) To determine whether management decisions could reasonably be expected to have a significant bearing upon costs and, therefore, be classified as cost or pricing data, consider the following in addition to the *Lockheed* test above:
 - (a) Did management actually make a “decision?”
 - (b) Did the management decision require some sort of “action” affecting the relevant cost element, or was the “decision” more along the lines of preliminary planning for possible future action?
 - (c) Is the management decision the type of decision that prudent buyers and sellers would reasonably expect to affect price negotiations significantly?
 - (3) A management decision to act, which has not been implemented, may be cost or pricing data in certain circumstances. *See Appeals of Lockheed Corporation*, ASBCA

Nos. 36420, 37495 and 39195, 95-2 BCA ¶27,722; H.R. Conf. Rep. No. 100-446, 100th Cong., 1st Sess. 657, reprinted in 1987 U.S. Code Cong. & Admin News 1769; *see also Boeing Co.*, ASBCA No. 33881, 92-1 BCA ¶24,414; *see also Appeal of Millipore Corp.*, GSBCA No. 9453, 91-1 BCA 23,345 (1991) (finding a contractor's imminent plans to revise its dealer discount program to be cost or pricing data).

- (4) Data which is generated as a result of judgmental decisions may be cost or pricing data. For example, a contractor's computer-generated report, used as an estimating tool for system unit costs at a given period of time, was found to be cost or pricing data, even though the selection of that estimating tool at that time was a judgment and the results were estimates. *See Appeal of Texas Instruments, Inc.*, ASBCA 23678, 87-3 BCA 20195 (1987).

f. Cost or pricing data must also be **significant**. Failure to provide insignificant data will generally not support government actions taken on the basis of defective pricing. Generally, contractors must disclose the data if a reasonable person (i.e., a prudent buyer or seller) would expect it to have a significant effect upon price negotiations. *See Plessey Indus., Inc.*, ASBCA No. 16720, 74-1 BCA ¶ 10,603.

- (1) In addressing the significance of data, the ASBCA has held that, "[t]he test is an objective one – in effect the traditional 'reasonable man' test... [W]hat a particular contractor ... in a given case in fact considered or would have considered significant is not controlling..." *United Techs. Corp./Pratt & Whitney*, ASBCA No. 43645, 94-3 BCA ¶ 27,241 (quoting *Plessey Indus.*, ASBCA No. 16720, 74-1 BCA ¶ 10,603 at 50,278).
- (2) The determination of whether data is significant must be made from the perspective of the date of the certificate of cost or pricing data, not with the benefit of hindsight. *See Appeals of Lockheed Corporation*, ASBCA Nos. 36420, 27495 and 39195, 95-2 BCA ¶27,722 at 27,770.
- (3) Prior purchases of similar items may be "significant data." *See Kisco Co.*, ASBCA No. 18432, 76-2 ¶ 12,147; *see also Hardie-Tynes Mfg., Co.*, ASBCA No. 20717, 76-2 BCA ¶ 12,121.
- (4) The duty to disclose extends not only to data that the contractor knows it will use, but also to data that the contractor thinks it

might use. If a reasonable person would consider the data in determining cost or price, the data is significant and the contractor must disclose it. See *Hardie-Tynes Mfg., Co.*, ASBCA No. 20717, 76-2 BCA ¶ 12,121; see also *P.A.L. Sys. Co.*, GSBCA No. 10858, 91-3 BCA ¶ 24,259 (holding that a contractor should have disclosed vendor discounts even though the government was not entitled to them).

- (5) When not readily apparent, contractors may also be required to explain the significance of the cost or pricing data provided to the government. This typically occurs where the data are complex or unusual in nature and when they are submitted to update previously submitted data. See e.g. *Grumman Aerospace Corp.*, ASBCA 35188, 90-2 BCA ¶ 22,842 (finding that a subcontractor's failure to explain the significant of submitted labor-hour data to the prime contractor constituted a failure to establish the relevancy of the data).
- (6) Receipt of additional sealed bids from suppliers was held to be cost and pricing data because knowledge of undisclosed bids clearly was information that a prudent buyer or seller would reasonably expect to affect price negotiations. See *Aerojet Solid Propulsion Co. v. White*, 291 F.3d 1328 (Fed. Cir. 2002).

E. Contractor Submission of Cost and Pricing Data.

1. Procedural requirements.

a. Format. Per RFO FAR 15.105-4(b), contracting officers may:

- (1) Require submission of certified cost and pricing data in the format specified in Table 15-1 of RFO FAR 15.408-1;
- (2) Specify an alternative format; or
- (3) Allow contractors to use their own format.

b. Submitting the certified cost or pricing data.

- (1) Contractors may submit cost or pricing data either through **actual submission** or **specific identification** to the government. See RFO FAR Table 15-1, Note 1. While disclosure need not be a formal, written submission, the submission must be meaningful - resulting in the government

obtaining or having knowledge of the data. *Aerojet Ordnance Tennessee*, ASBCA No. 36089, 95-2 BCA ¶ 27,922.

- (2) However, merely “making available” information without identification is insufficient. RFO FAR Table 15-1, Note 1. For example, giving the government “complete access” large amounts of contractor data does not meet submission requirements. *See e.g. Hughes Aircraft Co.* ASBCA 46321, 97-1 BCA ¶ 28,972 (“The mere availability of current cost ledgers for audit...does not constitute submission of cost or pricing data.”).
 - (3) Prime contractors must ensure they submit the data to the proper government official, generally the contracting officer or the contracting officer’s authorized representative. A subcontractor (or an offeror for a subcontract) must submit the data through the prime contractor. 10 U.S.C. § 3702(c); 41 U.S.C. § 3502(c).
 - (4) The boards often look at whether the person to whom the disclosure was made participated in the negotiation of the contract. *See Singer Co., Librascope Div. v. United States*, 217 Cl. Ct. 225, 576 F.2d 905 (1978) (holding that disclosure to the auditor was not sufficient where the auditor was not involved in the negotiations); *see also Sylvania Elec. Prods., Inc. v. United States*, 479 F.2d 1342 (Ct. Cl. 1973) (holding that disclosure to the ACO was not sufficient where the ACO had no connection with the proposal and the contractor did not ask the ACO to forward the data to the PCO); cf. *Texas Instruments, Inc.*, ASBCA No. 30836, 89-1 BCA ¶ 21,489 (holding that disclosure to the ACO was sufficient where the ACO was involved in the negotiation of the disputed rates and knew that the subject contract was being negotiated); *see also Litton Sys., Inc., Amecom Div.*, ASBCA Nos. 34435, et. al., 93-2 BCA ¶ 25,707 (holding that disclosure of indirect cost actuals to resident auditor based upon established practice was sufficient disclosure though auditor did not participate in negotiations).
- c. Adequate Disclosure. A contractor meets its obligation to provide cost or pricing data if it provides the data physically to the government and discloses the significance of the data to the negotiation process. *See M-R-S Manufacturing Co. v. United States*, 492 F.2d 835 (Ct. Cl. 1974).

- (1) The contractor must advise government representatives of the kind and content of the data and their bearing upon the prospective contractor's proposal. *See Texas Instruments, Inc.*, ASBCA No. 23678, 87-3 BCA ¶ 20,195; *see also Grumman Aerospace Corp.*, ASBCA 35188, 90-2 BCA ¶ 22,842 (addressing the requirement for a contractor to explain the significance of complex data provided to the government).
- (2) Knowledge by a prime contractor of the existence of subcontractor data is no defense to a failure to provide data. *See Grumman Aerospace Corp.*, ASBCA No. 35188, 90-2 BCA ¶ 22,842 (prime contractor's alleged knowledge of subcontractor reports not sufficient because subcontractor was obligated to physically deliver the data).
- (3) Knowledge by the Contracting Officer of unsubmitted information can be a defense where the Contracting Officer elected to use a different basis for negotiating price. *See Alloy Surfaces Co. Inc.*, ASBCA No. 59625, 20-1 B.C.A. ¶ 37574 (omission of work-in-product data for delivery order 13 did not lead to defective pricing where Contracting Officer aware that contractor was using new automated processes on that delivery order and would use these processes on delivery order 14, which the parties were negotiating).

2. Currency of Certified Cost and Pricing Data.

- a. Contractor provided cost and pricing data must be current. *See* 10 U.S.C. § 3702(b); 41 U.S.C. § 3502(b); RFO FAR 15.403-4.
- b. Currency is generally determined by the Certificate of Current Cost or Pricing Data, found at RFO FAR 15.403-4, which instructs that the "as of" date for certification that cost and pricing data is accurate, complete, and current be governed by the date when price negotiations were concluded and price agreement was reached or, if applicable, an earlier date agreed upon between the parties that is as close as practicable to the date of agreement on price. Contracting officers and contractors are encouraged to agree on criteria for establishing closing and cutoff dates. Closing or cutoff dates for cost and pricing data should be included as part of data submitted with a contractor's proposal. RFO FAR 15.403-4.
- c. Before agreement on price, data should be updated by the contractor to the latest closing or cutoff dates for which the data is available. RFO

FAR 15.403-4. This “sweep data” should be submitted with the contractor’s signed Certificate of Current Cost or Pricing Data.

- d. Where an agreement on cutoff dates for cost and pricing data is not reached, board and courts are generally strict regarding what is considered “current” as of the time of price negotiation. *See Sylvania Elec. Prods., Inc. v. U.S.*, 479 F.2d 1342 (Ct. Cl. 1973) (holding that data received one week prior to price negotiations was “current” and must be disclosed); *but see Boeing Co.*, ASBCA 20875, 85 BCA ¶ 18,351 (permitting a three-week “lag” in data which occurred as a result of the contractor’s accounting systems).

3. Certification of the Certified Cost or Pricing Data.

- a. When cost or pricing data is required, the contractor must submit a **Certificate of Current Cost or Pricing Data** using the format found at RFO FAR 15.403-4. 10 U.S.C. § 3702(b) and 41 U.S.C. § 3502(b) (requiring any person who submits cost or pricing data to certify that the data is accurate, complete, and current).
- b. This certificate is due as soon as practicable after the date the parties conclude negotiations and agree to a contract price. RFO FAR 15.403-4. Defense Pricing/Defense Procurement and Acquisition Policy (DP/DPAP) Memorandum, Subj.: Reducing Acquisition Lead Time by Eliminating Inefficiencies Associated with Cost or Pricing Data Submissions After Price Agreement (“Sweep Data”), dated 7 June 2018, requires certification within five days of agreement on price.
- c. A contractor’s failure to certify its cost or pricing data does not relieve it from liability for defective pricing. *See* 10 U.S.C. § 3707(b); 41 U.S.C. § 3507(b); *see also S.T. Research Corp.*, ASBCA No. 29070, 84-3 BCA ¶ 17,568.

F. Data Other Than Certified Cost or Pricing Data.

- 1. Even where obtaining certified cost or pricing data is prohibited, contracting officers are still required to determine that proposed prices are fair and reasonable. When contractor submission of certified cost and pricing data is not required, contracting officers must obtain “data other than certified cost or pricing data” to the extent necessary to determine a fair and reasonable price. 10 U.S.C. § 3705; 41 U.S.C. § 3505; RFO FAR 15.402(a); RFO FAR 15.403-1.

2. **“Data other than cost or pricing data”** is pricing data, cost data, and judgmental information necessary for the contracting officer to determine a fair and reasonable price or to determine cost realism. Such data may include the identical types of data as certified cost or pricing data but without the certification. RFO FAR 2.101.
3. RFO FAR 15.403-1 provides general requirements related to obtaining data other than certified cost or pricing data. These requirements are generally aligned with the pricing policy goals to support the contracting officer’s fair and reasonable determination while obtaining no more data than necessary. *See* RFO FAR 15.402(b). In acquisitions that do not require submission of certified cost or pricing data, the contracting officer shall:
 - a. Prioritize obtaining data which is available to the government or secondary sources other than the offeror. RFO FAR 15.403-1(a)(2)(i);
 - b. If the contracting officer determines that adequate data from sources other than the offeror are not available, require submission of DOTCCPD from the offeror only to the extent necessary to determine a fair and reasonable price.¹⁰ This includes requiring data from an offeror to support a cost realism analysis. RFO FAR 15.403-1(b)(1), (2);
 - c. Consider whether cost data are necessary to determine a fair and reasonable price when there is not adequate price competition RFO FAR 15.403-1(a)(1) (discussed further below);
 - d. Require that the data submitted by the offeror include, at a minimum, appropriate data on the prices at which the same item or similar items have previously been sold, adequate for determining the reasonableness of the price unless an exception under RFO FAR 15.403-2 applies. RFO FAR 15.403-1(b)(1); and
4. Submission Requirements.
 - a. The offeror is not required to certify data other than certified cost or pricing data. *See generally* RFO FAR 15.403-1.
 - b. As a general rule, the contractor’s chosen format should be used in submitted data other than certified cost or pricing data. RFO FAR 15.403-2-3(c)(1). However, the contracting officer may require the use of a specific format for submission if the contracting officer

¹⁰ Note, however, that Section 803 of the FY20 NDAA prohibits contracting officers from determining the price of a contract or subcontract to be fair and reasonable based solely on historical prices paid by the government.

determines that use of a specific format is essential for evaluating and determining that the price is fair and reasonable and the format has been described in the solicitation. RFO FAR 15.105-4(b)(2).

- c. In all cases, the solicitation must specify any requirement for data other than certified cost or pricing data. RFO FAR 15.110(u); *see also* RFO FAR 52.215-20 (Requirements for Certified Cost or Pricing Data or Data Other than Certified Cost or Pricing Data); RFO FAR 52.215-21 (Requirements for Certified Cost or Pricing Data or Data Other than Certified Cost or Pricing Data – Modifications).

5. Adequate price competition.

- a. As a general rule, no additional data – to include data other than certified cost or pricing data, is necessary to determine price reasonableness when there is adequate price competition. RFO FAR 15.403-1(e).
- b. However, if there are unusual circumstances where it is concluded that additional data are necessary in determining price reasonableness, the contracting officer shall, to the maximum extent practicable, obtain the information from sources other than the offeror. RFO FAR 15.403-1(e).
- c. Notwithstanding the above, RFO FAR 15.403-1(e) also provides that the contracting officer may request data other than certified cost or pricing data from the offeror to:
 - (1) Determine the cost realism of competing offers; and/or
 - (2) Evaluate competing approaches.

6. Commercial products and services.

- a. If a contracting officer is unable to determine whether an offered price for a commercial item is fair and reasonable, even after obtaining additional data from sources other than the offeror, they may require the offeror to submit data other than certified cost and pricing data for further analysis. The mere fact that a given price is a commercial catalog price does not, in and of itself, make the price fair and reasonable. RFO FAR 15.403-1(f).
- b. The data required by the contracting officer shall include, at a minimum, appropriate data on the prices at which the same item or similar items have previously been sold. The contracting officer may

require history of sales to nongovernmental and governmental entities, cost data, or any other information the contracting officer requires to determine the price is fair and reasonable. RFO FAR 15.403-1(f).

- c. However, the contracting officer must also limit requests for data other than certified cost or pricing data for commercial items by: (1) limiting requests for sales data for commercial items to same or similar items during a relevant time period; and (2) to the maximum extent practicable, limit the scope of requests for data to the form regularly maintained by the offeror as part of its commercial operation. RFO FAR 15.403-1(f)
 - d. Additionally, the contracting officer must ensure that data obtained which is related to commercial items is not disclosed outside the government except to the extent that disclosure may be required by the Freedom of Information Act (FOIA). RFO FAR 15.403-1(f).
7. An offeror who does not comply with a requirement to submit data other than certified cost or pricing data is ineligible for award. RFO FAR 15.403-1(d). However, the HCA may determine that it is in the best interest of the government to make the award to that offeror after considering:¹¹
- a. The effort made to obtain the data.
 - b. The need for the item or service.
 - c. The increased cost or significant harm to the government if award is not made.

VII. CONTRACT PRICING CONSIDERATIONS BY METHOD AND TYPE

A. Introduction.

- 1. Government contracts can generally be separated into categories based upon the method used by the government for contract formation and the contract's type under RFO FAR Part 16. Special contract pricing considerations may apply based on the contracting method and contract type. Note that contracts

¹¹ Section 803 of the FY20 NDAA amended the relevant statutory authority requiring the HCA to consider additional factors before determining it is in the government's best interest to make an award to an offeror, who failed to make a good faith effort to comply with a reasonable request for DOTCCPD. Additionally, the change directed the Under Secretary of Defense of Acquisition and Sustainment, or a designee, to produce annual reports for HCA waivers-involving offerors that have denied multiple requests for submission of uncertified cost or pricing data over the preceding three-year period but nevertheless received an award. The Secretary of Defense may include a notation on such offerors in their past performance record reflecting non-compliance with requests from the government.

may involve multiple “types” spread across several contract line items (CLINs).

B. Sealed Bidding.

1. Sealed bidding, governed by RFO FAR Part 14, involves solicitation of government requirements via an Invitation for Bids (IFB). Prospective contractors then submit bids, which are kept secure until an established opening time – at which point each bid is made public. Award is generally made to the lowest price, responsive, and responsible bidder. Sealed bidding always results in a fixed-price contract. *See generally* RFO FAR Part 14.
2. In general, contract pricing requirements under RFO FAR Part 15.4 do not apply to acquisitions using sealed bidding. *See* RFO FAR 15.400 (describing the scope of RFO FAR 15.4 as applying only to negotiated contracts). However, contract pricing requirements under RFO FAR 15.4 do apply to *modifications* of contracts awarded by sealed bidding, as these are typically negotiated procurements. *Id.*
3. However, RFO FAR Part 14 provides specific contract pricing considerations for sealed bidding acquisitions, and frequently refers to RFO FAR Part 15.4. Contracting officers should consider whether specific RFO FAR Part 14 provisions require compliance with portions of RFO FAR Part 15.4.
4. In addition to responsibility, the contracting officer must determine that a prospective awardee’s offered price is reasonable. RFO FAR 14.306-2(a).
 - a. The contracting officer may use the price analysis techniques provided in RFO FAR 15.404-1 as guidelines for determining price reasonableness. Price analysis may be especially appropriate where only one bid is received. RFO FAR 14.306-2(a).
 - b. However, the contracting officer must consider whether the bids are unbalanced. RFO FAR 14.306-2(b). Unbalanced pricing exists when, despite an acceptable total evaluated price, the price of one or more Contract Line Item Numbers (CLINs) are significantly over or understated. *See* RFO FAR 15.404-6 (which also provides additional details related to unbalanced pricing). The contracting officer may reject a bid if it is determined that the unbalanced prices pose an unacceptable risk to the government. RFO FAR 15.404-6.
5. Certified cost or pricing data is not required for contracts awarded through sealed bidding – including those where only one bid is received. *See* 10 U.S.C. § 3702(a)(1); 41 U.S.C. § 3502(a)(1); RFO FAR 15.400. However, modifications to contracts awarded by sealed bidding may require cost or

pricing data if they are over the threshold and an exception does not apply. RFO FAR 15.400 ; *see also* RFO FAR 14.208 for discussion of contract clauses addressing submission of certified cost or pricing data in sealed bidding contract modifications.

C. Competitive Negotiations.

1. Competitive negotiations generally involve government issuance of a request for proposals (RFP) or request for quotations (RFQ). Prospective offerors submit proposals or quotes that are then evaluated in accordance with the terms of the solicitation. The evaluation process may involve negotiations which allow for revision of proposals – referred to as “discussions.” Award is subsequently made to the offeror whose proposal or quote best meets the solicitation’s established basis for award. *See generally* RFO FAR Part 15.
2. As a general rule, the contract pricing concepts discussed in this chapter are most applicable to procurements conducted using this method.

D. Simplified Acquisitions.

1. Simplified acquisitions are acquisitions that are conducted at or below the current simplified acquisition threshold. *See* RFO FAR 2.101.
2. Contracting officers are still required to determine price reasonableness for simplified acquisitions. However, whenever possible, contracting officers should base price reasonableness determinations for simplified acquisitions on competitive quotations or offers received. RFO FAR 13.203(a).
3. The contracting officer shall not request certified cost or pricing data for items at or under the simplified acquisition threshold. RFO FAR 15.403-2-(a). Additionally, the HCA may not require otherwise non-mandatory submission of certified cost or pricing data for simplified acquisitions. RFO FAR 15.403-3(e)
4. Micro-purchases. Micro-purchases are specialized simplified acquisitions which occur under the micro-purchase threshold provided by the RFO FAR 2.101 definition. Micro purchases are typically conducted utilizing a government credit card. RFO FAR 13.401. Note: The RFO significantly reduced the amount of FAR-based guidance for micro-purchases. Refer to agency FAR supplements and regulations for additional guidance on micro-purchases and potential pricing implications.

E. Commercial Products and Commercial Services.

1. RFO FAR Part 12 dictates special acquisition considerations for government procurements of supplies or services which meet the definitions of “commercial product” or “commercial service” in RFO FAR 2.101. RFO FAR 12.001.
2. Contracting officers must establish price reasonableness for the acquisition of commercial items. The contracting officer should be aware of customary commercial terms and conditions when pricing commercial products and commercial services. RFO FAR 12.204.
3. At a minimum, the contracting officer must use price analysis to determine whether the price is fair and reasonable. The fact that a price is included in a catalog does not, in and of itself, make it fair and reasonable.¹² RFO FAR 14.306-2.
4. If the contracting officer cannot determine whether an offered price is fair and reasonable, even after obtaining additional information from sources other than the offeror, then the contracting officer must require the offeror to submit data other than certified cost or pricing data for further analysis. RFO FAR 15.403-1(f).
 - a. However, requests for sales data must be limited to sales data relating to commercial products or commercial services to data for the same or similar items during a relevant time period. 10 U.S.C. § 3705(b); 41 U.S.C. § 3505(b); RFO FAR 15.403-1(f)(3).
 - b. To the maximum extent possible, requests for data other than certified cost or pricing data must be limited in scope to include only information that is in the form regularly maintained by the offeror as part of its commercial operations. RFO FAR 15.403-1(f)(4).
5. The contracting officer may generally not request certified cost or pricing data for a commercial product or commercial services. 10 U.S.C. § 3703(a)(2); 41 U.S.C. § 3503(a)(2); RFO FAR 15.403-2(b)(3). However, certified cost or pricing data may be required:

¹² In an evaluation of DoD’s process to determine if an item is available for purchase in the commercial marketplace at a reasonable price, GAO concluded that the ability to obtain and share information about products and their prices is crucial for DoD to obtain the best financial outcome. Government Accountability Office, Defense Contracts: Improved Information Sharing Could Help DoD Determine Whether Items Are Commercial and Reasonably Priced, GAO-18-530 (July 31, 2018); *see also* Government Accountability Office, Contract Management: DoD Pricing of Commercial Items Needs Continued Emphasis, GAO/NSIAD-99-90 (June 24, 1999) (identifying problems with the government’s price analysis).

- a. When a modification changes a commercial product or commercial service to other than commercial. RFO FAR 15.403-2(c)(3).
- b. If the contracting officer determines a claimed commercial product or commercial service is non-commercial, and no other exception or waiver applies, cost or pricing data is required. RFO FAR 15.403-2(c)(3).
- c. If minor modifications to commercial products or commercial services do *not* change the commercial product to other than commercial, then:
 - (1) If funded by an agency other than DoD, NASA, or Coast Guard, no cost or pricing data is required. RFO FAR 15.403-2(c)(3).
 - (2) If funded by DoD, NASA, or the Coast Guard, cost or pricing data is only required if the total price of all such modifications under a particular contract action exceed the greater of the TINA threshold or five percent of the total price of the contract. RFO FAR 15.403-2(c)(3)(iii)(B), (C).
- d. For acquisitions of other than commercial products or services which are treated as commercial in accordance with RFO FAR 12.001(b) (procurements to facilitate defense against or recovery from nuclear, biological, chemical, or radiological attack), certified cost or pricing data is not required unless the contract is a sole source contract for greater than \$20 million. RFO FAR 15.403-2(c)(3)(iv); *see also* 41 U.S.C. § 1903.

F. Sole Source Acquisitions.¹³

- 1. A sole source acquisition occurs where the government awards a contract to a single, specific contractor without using competitive procedures. Sole source acquisitions must be completed pursuant to an affirmative authority under RFO FAR 6.103.
- 2. Sole source acquisitions are considered negotiated acquisitions subject to the requirements of RFO FAR Part 15, including pricing requirements under RFO FAR 15.4. *See* RFO FAR 15.002.

¹³ While this section specifically addresses contract pricing considerations for sole source awards, these considerations may also apply to limited source competitions conducted using other than full and open competition procedures under RFO FAR 6.102. Additionally, awards made using RFO FAR 6.102 procured for full and open competition after exclusion of sources generally include competitive procedures; contract pricing considerations for these procurements will depend on the nature of the competition used. *See* RFO FAR 6.102.

3. The requirements and limitations of TINA also apply to sole source acquisitions. Most importantly, contracting officers may not require submission of certified cost or pricing data simply because an acquisition is sole source; they may only require submission of certified cost or pricing data pursuant to TINA and RFO FAR 15.4. Additionally, contracting officers *may not* require submission of such data when prohibited by TINA and RFO FAR 403-2 (for example a simplified acquisition or acquisition of a commercial item).
4. Since sole source acquisitions involve a lack of competitive procedures, a determination of price reasonableness cannot rely on adequate price competition. However, contracting officers may use the price analysis techniques provided by RFO FAR 15.404-1 and may require data other than certified cost or pricing data in accordance with RFO FAR 15.403-1.

G. Letter Contracts/Unfinalized Contract Actions.

1. A letter contract (also referred to as an “Unfinalized Contract Action” or “UCA”) is a written preliminary contractual instrument that authorizes the contractor to begin immediately manufacturing supplies or performing services. RFO FAR 16.603-1. Letter contracts are typically used when the government seeks to put work on a contract quickly to allow immediate performance and later finalize the contract through a process known as “finalization.” See RFO FAR 16.603-2. Letter contracts therefore involve two significant actions related to price: (1) award; and (2) finalization.
2. Letter contracts are often awarded without an agreement between the government and the contractor as to the total price of the contract but must specify the maximum liability of the government. RFO FAR 16.603-2. This amount is commonly referred to as a “not-to-exceed” or “NTE” amount. While a price reasonableness determination is not required for the at-award NTE amount, contracting officers typically establish the NTE amount using a method of price analysis, such as an independent government cost estimate.
3. A price reasonableness determination is still required for letter contracts. RFO FAR 15.000. However, since a finalized price is often not established until finalization, this determination may occur at finalization rather than award.
4. Certified cost or pricing data is not required before the award of a letter contract. RFO FAR 15.403-3(b)(1). However, the FAR’s contract finalization clause, RFO FAR 52.216.25, allows the contracting officer to require submission of certified cost and pricing data (and data other than certified cost or pricing data) in accordance with RFO FAR 15.408, Table 15-1 during the finalization process. The portion of the clause requiring

submission of certified cost and pricing data may be deleted if, at the time the letter contract is awarded the contracting officer knows that the definitized contract will be based upon adequate price competition or that any of the exceptions in RFO FAR 15.403-2 will apply. RFO FAR 16.603-4(b)(3).

5. Where the contracting officer and contractor cannot negotiate a definitive contract because of failure to reach agreement as to price or fee, the definitization clause at 52.216-25 requires the contractor to proceed with the work and provides that the contracting officer may, with the approval of the head of the contracting activity, determine a reasonable price or fee in accordance with RFO FAR 15.4 and RFO FAR 31, subject to appeal as provided in the Disputes clause. RFO FAR 16.603-2(c).

H. Broad Agency Announcements.

1. A broad agency announcement (BAA) is a method of research and development procurement governed by RFO FAR 35.102. A broad agency announcement is used for the acquisition of basic and applied research not related to a specific system or hardware procurement. RFO FAR 35.102(a). Broad agency announcements typically involve the submission of technical or scientific proposals which are evaluated against agency requirements rather than against each other. RFO AR 35.102(d).
2. Broad agency announcements are competitive procurements. *See* RFO FAR 6.101(b)(3)(ii)(A). Accordingly, resulting procurements are subject to contract pricing considerations of RFO FAR 15.4, including price reasonableness requirements and the requirements/limitations of TINA.
3. Contracting officers must consider cost realism and cost reasonableness to the extent appropriate when awarding contracts resulting from a broad agency announcement. RFO FAR 35.102(f).

I. Other Transaction Agreements.

1. Other transaction agreements (“OTs” or “OTAs”) are not FAR-based contracts. Rather they are specialized agreements available to the DoD for research projects, prototypes, and sometimes follow-on production under 10 U.S.C. § 4021 and § 4022.
2. The requirements of TINA and the FAR, including RFO FAR 15.4, do not apply to other transaction agreements.
3. However, the DoD OT Guide establishes that price reasonableness is a “key consideration” in the award of an OT. *See* 2023 DoD OT Guide 2.0, July 2023, pg. 19. The OT Guide also provides that the government may obtain

relevant pricing data from prospective awardees. *Id.* Additionally, the OT statutes contain various reporting and authority requirements that may be relevant to government consideration of an agreement's price. *See e.g.* 10 U.S.C. § 4022(a)(2).

J. Fixed-Price Contracts.

1. Fixed-price contracts, including firm-fixed-price contracts and the other subtypes discussed in RFO FAR 16.2, generally place cost risk on the contractor by establishing agreed upon contract prices which are generally independent of actual cost incurred. *See generally* RFO FAR 16.2.
2. Contractors whose costs exceed the agreed upon price generally lose profit; contractors whose costs decrease will generally see an associated rise in profit due to the fixed nature of the contract price. However, certain fixed-price contract subtypes do allow for contract price adjustments under specific circumstances. *See e.g.* RFO FAR 16.203 - Fixed-price contracts with economic price adjustment.
3. However, all fixed-price contracts *may* be adjusted where the contractor has provided defective certified cost and pricing data. *See* RFO FAR 15.304.

K. Cost-Reimbursement Contracts.

1. Cost-reimbursement contracts are discussed in RFO FAR 16.3 and generally involve a contracting structure which allows for payment of allowable costs incurred up to an established ceiling. Cost-reimbursement contracts also generally allow for the contractor to receive an amount of profit (or "fee") determined by the contract's subtype. *See generally* RFO FAR 16.3.
2. Cost-reimbursement contracts have many unique pricing considerations which are discussed at length in section V. of this chapter. For example, cost reimbursement contracts may require examination of the allowability of incurred costs, adequacy of cost accounting systems, and knowledge as to the common components of a contractor's total cost incurred. RFO FAR Part 31 addresses specialized principles for cost contracts.
3. Despite being largely cost-based, contracting officers are required to determine price reasonableness for cost-reimbursement contracts. RFO FAR 15.402. Because the total price of a cost-reimbursement contract includes both cost and profit components, analysis of separate cost elements and profit is typically required. *See* RFO FAR 15.404-2.
4. Additionally, contracting officers must conduct a cost realism analysis for cost-reimbursement contracts. RFO FAR 15.404-3.

L. Indefinite-Delivery/Indefinite-Quantity (IDIQ) Contracts.

1. Indefinite-Delivery/Indefinite-Quantity (IDIQ) contracts are those which do not specify quantities of a service or supply in the contract beyond an establish minimum and maximum amount. RFO FAR 16.501-1. Instead, orders are placed on the contract at the time of need to direct performance or delivery. *Id.*
2. Pricing considerations for IDIQ contracts are typically addressed at award of the contract in accordance with the chosen method of procurement and contract pricing type. Price reasonableness need not be revisited at the ordering level unless the contracting officer did not establish a fair and reasonable price for the underlying action at time of contract award. *See* RFO FAR 16.501-2.

M. Time-and-Materials Contracts (T&M).

1. Time-and-materials (and labor-hour) contracts provide for acquiring supplies or services on the basis of direct labor hours or actual cost of materials. RFO FAR 16.6. Therefore, they are a type of cost-reimbursement contract to which related contract pricing principles generally apply. RFO FAR 16.600.
2. T&M contracts include a ceiling price which contractors exceed at their own risk. RFO FAR 16.601-3(b). Prior to any increase in this amount, the contracting officer must conduct a price analysis to determine if such an increase is in the best interests of the government. RFO FAR 16.601-5.

VIII. DEFECTIVE PRICING

A. General.

1. Defective certified cost or pricing data is that data that, as of the date of agreement on the price of the contract (or another date as agreed to), is subsequently discovered to have been inaccurate, incomplete, or noncurrent. 10 U.S.C. § 3706(a)(2); 41 U.S.C. § 3506(a)(2).
2. When the government discovers defective certified cost or pricing data before an agreement on price is reached, the contracting officer must notify the contractor, consider any new data submitted to correct the deficiency, and consider the defective nature of available data when negotiating the contract's price. *See* RFO FAR 15.405-1.
3. When defective certified cost or pricing data is discovered after award, the government is entitled to an adjustment in the contract price, to include profit

or fee, when it relied upon defective certified cost or pricing data. 10 U.S.C. § 3706(a)(1); 41 U.S.C. § 3506(a)(1); RFO FAR 15.304(a)(1).

4. Examples of pricing practices which may lead to defective certified cost or pricing data:
 - a. Inflating materials or labor costs;
 - b. Hiding more recent vendor/subcontractor quotes showing lower prices;
 - c. Hiding normally unallowable costs (i.e. contractor employee personal expenses, entertainment, etc.); or
 - d. Basing pricing on outdated or less efficient methods or practices with higher associated costs while planning to use less costly techniques.

B. Audit Rights.

1. The government has several avenues by which it may conduct an audit of submitted certified cost or pricing data in order to evaluate accuracy, completeness, and currency of the provided data. *See e.g.* 10 U.S.C. § 3708; 41 U.S.C. § 3508.
2. Obstruction of a federal audit may come with criminal penalties. 18 U.S.C. § 1516 makes it a crime for anyone to influence, obstruct, or impede a government auditor (full or part-time government or contractual employee) with the intent to deceive or defraud the government. Criminal penalties include a fine and up to five years imprisonment. 18 U.S.C. § 1516.
3. Contracting agency's audit right.
 - a. For the purpose of evaluating the accuracy, completeness and currency of cost or pricing data, TINA gives the head of an agency, acting through an authorized representative, the right to examine contractor (or subcontractor) records. This right is identical to the rights given to the head of an agency under 10 U.S.C. § 3841(a)(2) and 41 U.S.C. § 4706(b)(2).
 - b. Definitions. 10 U.S.C. § 3841(i); 41 U.S.C. § 4706(a). The term "records" includes "books, documents, accounting procedures and practices, and other data, regardless of type and regardless of whether the items are in written form, in the form of computer data, or in any other form."

- c. Scope of audit. Per 10 U.S.C. § 3841(b)(2) and 41 U.S.C. § 4706(b)(2), the agency has the right to examine all records related to:
 - (1) The proposal for the contract (or subcontract);
 - (2) The discussions conducted on the proposal;
 - (3) The pricing of the contract (or subcontract); or
 - (4) The performance of the contract (or subcontract).
- d. The agency's examination right expires three years after final payment on the contract. 10 U.S.C. § 3841(f); 41 U.S.C. § 4706(f).
- e. The examination right does not apply to contracts (or subcontracts):
 - (1) for utility contracts priced using rates generally available to the public; or (2) that do not exceed the simplified acquisition threshold. 10 U.S.C. § 3841(g); 41 U.S.C. § 4706(g).
- f. Contract clauses. The agency's audit rights are implemented contractually by RFO FAR 52.214-26 (Audit and Records – Sealed Bidding) and RFO FAR 52.215-2 (Audit and Records – Negotiation). Both clauses generally align with 10 U.S.C. § 3841 and 41 U.S.C. § 4706, and state that the contracting officer or an authorized representative of the contracting officer has the right to examine and audit the contractor's records for specific information when certified cost or pricing data has been submitted.
- g. Practical considerations.
 - (1) RFO FAR 15.406 provides that contracting officers may request pricing assistance from appropriate field pricing personnel or, when necessary, an external audit office.
 - (2) Contracting officers have broad discretion in determining whether to conduct audits. *In re Del-Jen Inc.* B-216589, Aug. 1, 1986, 1985 CPD ¶ 111 at 6-7.
 - (3) For DoD contracts, audits are conducted by the Defense Contract Audit Agency (DCAA). Defense Contract Audit Manual (DCAM) 1-102. The DCAA provides accounting and financial advisory services for all DoD procurement and contract administration activities. *Id.* The DCAA may also support other federal agencies upon request. *See* DCAM 1-300.

h. Subpoena power.

- (1) The Director of the DCAA¹⁴ can subpoena any of the records that 10 U.S.C. § 3841(b) gives the HCA the right to examine. 10 U.S.C. § 3841(c)(1). These subpoenas can be enforced by seeking an order from an appropriate U.S. district court. 10 U.S.C. § 3841(c)(2).
- (2) DCAA's subpoena power extends to objective cost information related to government contracts but does not extend to a contractor's internal audit reports. *See United States v. Newport News Shipbldg. and Dry Dock Co.*, 837 F.2d 162, 168-70 (4th Cir. 1988) (Newport News I). Internal audits are not related to a particular contract and contain the subjective evaluations of the contractor's audit staff. *Id.*
- (3) DCAA's subpoena power extends to a contractor's federal income tax returns and other financial data. *See United States v. Newport News Shipbldg. and Dry Dock Co.*, 862 F.2d 464 (4th Cir. 1988) (Newport News II).
- (4) DCAA's subpoena power also extends to a contractor's work papers for its federal income tax returns and financial statements. *See United States v. Newport News Shipbldg. and Dry Dock Co.*, 737 F. Supp. 897 (E.D. Va. 1989) (Newport News III), *aff'd*, 900 F.2d 257 (4th Cir. 1990).

4. Comptroller General's (GAO) audit right.

- a. For contracts awarded using procedures other than sealed bidding, 10 U.S.C. § 3841(d) and 41 U.S.C. § 4706(d) gives the Comptroller General (GAO) the right "to examine records of the contractor, or any of its subcontractors, that directly pertain to, and involve transactions relating to, the contract or subcontract..."
- b. The GAO may also interview current employees regarding transactions being examined during an audit of contracting records. 10 U.S.C. § 3841(d); 41 U.S.C. § 4706(d).

¹⁴ For civilian agencies, this right extends to the Inspector General of an executive agency, or upon the request of the head of an executive agency, the Director of the DCAA or the Inspector General of the General Services Administration. 41 U.S.C. § 4706(c)(1).

- c. The GAO's examination right expires three years after final payment on the contract. 10 U.S.C. § 3841(f); 41 U.S.C. § 4706(f).
- d. The GAO's examination right does not apply to contracts (or subcontracts): (1) for utility contracts priced using rates generally available to the public; or (2) that do not exceed the simplified acquisition threshold. 10 U.S.C. § 3841(g); 41 U.S.C. § 4706(g).
- e. Contract clauses. The GAO's audit rights are implemented contractually by RFO FAR 52.214-26 (Audit and Records – Sealed Bidding) and RFO FAR 52.215-2 (Audit and Records – Negotiation). Both clauses generally align with 10 U.S.C. § 3841 and 41 U.S.C. § 4706, and state that the GAO has the right to examine and audit the contractor's records for specific information when certified cost or pricing data has been submitted.
- f. Subpoena power.
 - (1) The GAO has the power to subpoena the records of a person to whom the Comptroller General has access by law or agreement. 31 U.S.C. § 716(c)(1).
 - (2) The GAO can enforce this subpoena power by seeking an order from an appropriate U.S. district court. 31 U.S.C. § 716(c)(2); *see also United States v. McDonnell-Douglas Corp.*, 751 F.2d 220 (8th Cir. 1984).
- g. Scope of the Comptroller General's examination right.
 - (1) The Comptroller General may examine any record “of the contractor, or any of its subcontractors, that directly pertain[s] to, and involve[s] transactions relating to, the contract or subcontract and to interview any current employee regarding the transactions.” 10 U.S.C. § 3841(d); 41 U.S.C. § 4706(d); *see also* RFO FAR 52.215-2.
 - (2) Courts have broadly construed the Comptroller General's examination rights under the statutes. *See Hewlett-Packard Co. v. United States*, 385 F.2d 1013 (9th Cir. 1967), cert. denied, 390 U.S. 988 (1968) (holding that the term “contract,” as used in the statutes, embraces not only the specific terms and conditions of a contract, but also the general subject matter of that contract). Courts have interpreted this to include records related to items for which the government had not required certified cost and pricing data. *Id.*

- (3) For cost-based contracts, the Comptroller General's examination right is extremely broad. However, for fixed-price contracts, the books or records must bear directly on the question of whether the government paid a fair price for the goods or services. *See Bowsher v. Merck & Co.*, 460 U.S. 824 (1983).

5. Inspector General's audit right.

- a. The Inspector General of an agency has the right "to have access to all records, reports, audits, reviews, documents, papers, recommendations, or other material . . . which relate to programs and operations with respect to which that Inspector General has responsibilities..." 5 U.S.C. App. 3 § 6(a)(1). This statutory right requires no contractual implementation.
- b. Subpoena power. The Inspector General has the power to subpoena all data and documentary evidence necessary to perform the Inspector General's duties. The Inspector General can enforce this subpoena power by seeking an order from an appropriate U.S. district court. 5 U.S.C. App. 3 § 6(a)(4).
- c. Scope of the Inspector General's right. The scope of the Inspector General's right is extremely broad and includes internal audit reports. *See United States v. Westinghouse Elec. Corp.*, 788 F.2d 164 (3d Cir. 1986).

C. Defective Pricing Remedies.

1. Contractual remedies.

- a. Price adjustment. The government can reduce the contract price if the government discovers that a contractor, prospective subcontractor, or actual subcontractor submitted defective certified cost or pricing data. 10 U.S.C. § 3706(a)(1); 41 U.S.C. § 3506(a)(1); and RFO FAR 15.304(a)(1).
 - (1) The government can reduce the contract price to exclude significant amount, including profit or fee, by which the contract price was increased because of the defective certified cost or pricing data. 10 U.S.C. § 3706(a)(1); 41 U.S.C. § 3506(a)(1); RFO FAR 15.304(a)(1); RFO FAR 52.215-10 (Price Reduction for Defective Certified Cost or Pricing Data); RFO FAR 52.215-11 (Price Reduction for Defective Certified Cost or Pricing Data – Modifications); *see also Unisys Corp. v.*

United States, 888 F.2d 841 (Fed. Cir. 1989); *Kaiser Aerospace & Elec. Corp.*, ASBCA No. 32098, 90-1 BCA ¶ 22,489; *Etowah Mfg. Co.*, ASBCA No. 27267, 88-3 BCA ¶ 21,054.

(2) Interest.

(a) The government can also recover interest on any overpayments it made because of the defective cost or pricing data. 10 U.S.C. § 3707; 41 U.S.C. § 3507; RFO FAR 15.304(a)(7); RFO FAR 52.215-10 (Price Reduction for Defective Certified Cost or Pricing Data); RFO FAR 52.215-11 (Price Reduction for Defective Certified Cost or Pricing Data – Modification).

(i) RFO FAR 15.304-1(a)(7) To recover interest, the contracting officer must:

- a. Determine the amount of the overpayments;
- b. Determine the date the overpayment was made;¹⁵ and
- c. Apply the appropriate interest rate.¹⁶

(3) Penalties.

(a) The government can collect penalty amounts where the contractor (or subcontractor) knowingly submitted defective cost or pricing data. 10 U.S.C. § 3707; 41 U.S.C. § 3507; RFO FAR 15.304(a)(7); RFO FAR 52.215-10 (Price Reduction for Defective Certified Cost or Pricing Data); RFO FAR 52.215-11 (Price

¹⁵ For prime contracts, the date of overpayment is the date the government paid for a completed and accepted contract item. For subcontracts, date of overpayment is the date the government paid the prime contractor for progress billings or deliveries that included a completed and accepted subcontract item. RFO FAR 15.304(a)(7).

¹⁶ The Secretary of the Treasury sets interest rates on a quarterly basis. 26 U.S.C. § 6621(a), (b). RFO FAR 52.214-27; RFO FAR 52.215-10; and RFO FAR 52.215-11 requires “interest compounded daily, as required by 26 U.S.C. § 6622” to government overpayments as a result of defective cost or pricing data. This rule replaces the term “simple interest” and aligns with the Court of Appeals for the Federal Circuit decision in *Gates v. Raytheon Co.*, 584 F.3d 1062 (Fed. Cir. 2009).

Reduction for Defective Certified Cost or Pricing Data – Modification).

- (b) RFO FAR 15.304(a)(7)(iii) discusses contracting officer assessment of penalties. It requires that the contracting officer: (1) a penalty amount equal to the amount of the overpayment; and (2) consult an attorney before assessing any penalty.
- (4) Defective subcontractor data.
- (a) The government can reduce the prime contract price if it was significantly increased as a result of defective certified cost or pricing data submitted by a subcontractor. 10 U.S.C. § 3706(a)(1); 41 U.S.C. § 3506(a)(1); RFO FAR 15.304(e). This right exists regardless of whether the defective subcontractor data supported subcontract cost estimates or firm agreements between the subcontractor and the prime. RFO FAR 15.304(e).
 - (b) Where the government intends to make a price adjustment to the prime contract based upon subcontractor defective certified cost or pricing data, it is recommended that the contracting officer provide the prime contractor with reasonable advanced notice to allow for corrective action. RFO FAR 15.304(e).
 - (c) If the prime contractor uses defective subcontractor data, but subcontracts with a lower priced subcontractor (or fails to subcontract at all), the government can only reduce the prime contract price by the difference between the subcontract price and either: (1) the actual subcontract price if the contractor subcontracted with a lower priced subcontractor; or (2) the contractor's actual cost if the contractor failed to subcontract the work. RFO FAR 15.304(e).
 - (d) The government can disallow payments to subcontractors when these payments result from defective cost or pricing data under cost-reimbursement contracts and all fixed-price contracts except firm fixed-price contracts and fixed-price contracts with economic price adjustments (e.g., fixed-price incentive

contracts and fixed-price award fee contracts). RFO FAR 15.304(e).

b. Litigation considerations for defective pricing claims.

- (1) A defective pricing claim is not subject to the normal six-year statute of limitations. *See Radiation Sys., Inc.*, ASBCA No. 41065, 91-2 BCA ¶ 23,971.
- (2) A defective pricing claim cannot be asserted by the government as an affirmative defense to a contractor's money claim. *See Computer Network Sys., Inc.*, GSBCA No. 11368, 93-1 BCA ¶ 25,260.
- (3) If the government fails to include a price reduction clause in the contract, courts and boards will read them in pursuant to the Christian Doctrine. *See University of California, San Francisco*, VABCA No. 4661, 97-1 BCA ¶ 28,642; *see also Palmetto Enterprises, Inc.*, ASBCA No. 22839, 79-1 BCA ¶ 13,736.
- (4) The ASBCA often views defective pricing cases as "too complicated" to resolve by summary judgment. *Grumman Aerospace Corp.*, ASBCA No. 35185, 92-3 BCA ¶ 25,059; *McDonnell Douglas Helicopter Co.*, ASBCA No. 41378, 92-1 BCA ¶ 24,655; *but see Rosemount, Inc.*, ASBCA No. 37520, 95-2 BCA ¶ 27,770 (granting the contractor's motion for summary judgment because the government failed to meet its burden of proof).

c. Government's burden of proof.

- (1) The government bears the burden of proof in a defective pricing case. *Alloy Surfaces Co.*, ASBCA No 59625, 2020-1 BCA ¶ 37,574. To meet its burden, the government must establish three elements¹⁷ by a preponderance of the evidence:

¹⁷ The Defense Contract Audit Agency (DCAA) has established different elements for the purpose of establishing defective pricing in a DCAA audit. Those elements are: (1) the information in question fits the definition of cost or pricing data. (2) accurate, complete, and current data existed and were reasonably available to the contractor before the date of agreement on the price. (3) accurate, complete, and current data were not submitted or disclosed to the

(1) that the information at issue meets the definition of cost or pricing data under TINA; (2) that the cost or pricing data was either not disclosed or not meaningfully disclosed; and (3) detrimental reliance on the defective data. *Id.*

- (2) The government benefits from a presumption that the non-disclosure of data resulted in an overstatement of the price of the contract. *Id.* (citing *Sylvania Elec. Prods., Inc. v. United States*, 479 F.2d 1342, 1349 (Ct. Cl. 1973)).
- (3) However, once the presumption of causation is rebutted, “the government only can prevail ‘upon proof that it relied upon the defective data to its detriment in agreeing to the contract price.’” *Id.* (quoting *Wynne v. United Technologies Corp.*, 463 F.3d 1261, 1263 (Fed. Cir. 2006); see also *Lockheed Martin Aeronautics Co.*, ASBCA No. 56547, 13 BCA ¶ 35,220 at 172,815 (holding that presumption is rebuttable and not a substitute for specific proof establishing the amount of such damages)).

d. Potential contractor defenses to price reductions:

- (1) The information at issue was not cost or pricing data.
 - (a) The information at issue was purely judgmental and therefore not cost or pricing data. See e.g. *Litton Sys. Inc.*, ASBCA 36509, 92-2 BCA ¶ 28,977.
 - (b) The data was not the type that prudent buyers or sellers would have believed to have a significant effect on pricing. *Plessy Industries Inc.*, ASBCA 16720, 74-1 BCA ¶ 10,603 (finding a rejected vendor quote did not qualify as cost or pricing data).
 - (c) The amount of the overpricing is not determinative of whether the information is significant. See *Conrac Corp. v. United States*, 558 F.2d 994 (1977) (addressing the term “significant” under the contract’s defective pricing clause and holding that the government was entitled to a refund totaling one-tenth of one percent of

contracting officer or one of the authorized representatives of the contracting officer and that these individuals did not have actual knowledge of such data or its significance to the proposal. (4) the government relied on the defective data in negotiating with the contractor. (5) the government's reliance on the defective data caused an increase in the contract price. See DCAA Contract Audit Manual (DCAM), 14-102.

the total contract price); *see also Kaiser Aerospace & Elecs. Corp.*, ASBCA No. 32098, 90-1 BCA ¶ 22,489 (holding that the government was entitled to a refund totaling two-tenths of one percent of the total contract price); *but see Boeing Co.*, ASBCA No. 33881, 92-1 BCA ¶ 24,414 (holding that a \$268 overstatement on a \$1.7 billion contract was de minimis).

- (2) The disclosure obligation was satisfied.
 - (a) Disclosure obligations are satisfied if disclosed to government personnel who participated in contract negotiations or where government personnel have actual knowledge of the relevant cost or pricing data. *See Alloy Surfaces Co. Inc.*, ASBCA No. 59625, 2020-1 BCA ¶ 37,574
 - (b) However, merely making information “available” is not meaningful disclosure. *See Hughes Aircraft Co.* ASBCA 46321, 97-1 BCA ¶ 28,972 (“The mere availability of current cost ledgers for audit...does not constitute submission of cost or pricing data.”).
- (3) The government did not rely on the defective data. 10 U.S.C. § 3706(b); 41 U.S.C. § 3506(b).

e. Prohibited contractor defenses to price reductions.

- (1) The contractor (or subcontractor) was a sole source supplier or otherwise was in a superior bargaining position. 10 U.S.C. § 3706(c)(1); 41 U.S.C. § 3506(c)(1); RFO FAR 15.304(a)(3).
- (2) The contracting officer should have known that the cost or pricing data the contractor (or subcontractor) submitted was defective. 10 U.S.C. § 3706(c)(2); 41 U.S.C. § 3506(c)(2); RFO FAR 15.304(a)(3).
- (3) The contract price was based upon total cost and there was no agreement about the cost of each item procured under the contract. 10 U.S.C. § 3706(c)(3); 41 U.S.C. § 3506(c)(3); RFO FAR 15.304(a)(3).
- (4) Certified cost or pricing data was required, but the contractor (or subcontractor) did not submit a Certificate of Current Cost

or Pricing Data. 10 U.S.C. § 3706(c); 41 U.S.C. § 3506(c)(3); RFO FAR 15.304(a)(3)).

f. Offsets.

- (1) The contracting officer must allow an offset – in favor of the contractor – for any understated certified cost or pricing data the contractor (or subcontractor) submitted. The amount of the offset may equal, but not exceed, the amount of the government’s claim for overstated certified cost or pricing data arising out of the same pricing action. 10 U.S.C. § 3706(d); 41 U.S.C. § 3506(d); RFO FAR 15.304(a)(4).
- (2) Offsets are also permitted by contract via the price reduction clauses. RFO FAR 52.215-10 (Price Reduction for Defective Certified Cost or Pricing Data); RFO FAR 52.215-11 (Price Reduction for Defective Certified Cost or Pricing Data – Modification).
- (3) The offset does not have to be in the same cost grouping as the overstated cost or pricing data (e.g., material, direct labor, or indirect costs). RFO FAR 15.304(a)(5).
- (4) To be entitled to an offset, the contractor must:
 - (a) Certify that the contractor is entitled to the offset amount requested to the best of the contractor’s knowledge and belief. RFO FAR 15.304(5).
 - (b) Prove that the certified cost or pricing data were available before the “as of” date specified on the Certificate of Current Cost or Pricing Data and were not submitted. RFO FAR 15.304(5).
- (5) The contractor is not entitled to an offset under two circumstances:
 - (a) The contractor knew that its cost or pricing data was understated before the “as of” date specified on the Certificate of Current Cost or Pricing Data. RFO FAR 15.407-1(a)(5)(i); *see also United Tech. Corp., Pratt & Whitney v. Peters*, No. 98-1400, 1999 U.S. App. LEXIS 15490 (Fed. Cir. July 12, 1999) (affirming in part ASBCA’s denial of offsets for “sweep” data intentionally withheld from government).

- (b) The government proves that submission of the data before the “as of” date specified on the Certificate of Current Cost or Pricing Data would not have increased the contract price in the amount of the proposed offset. RFO FAR 15.304(a)(5), (6).

2. Administrative Remedies

- a. Termination of the contract for convenience or default. *See* RFO FAR Part 49; *see also Joseph Morton Co. v. United States*, 3 Cl. Ct. 120 (1983), *aff’d*, 757 F.2d 1273 (Fed. Cir. 1985) (upholding the government’s default termination of a contract where the contractor provided fraudulent cost data for a contract modification and stating that “[a] contractor which engages in fraud in its dealings with the government on a contract has committed a material breach justifying termination of the entire contract for default).
- b. Suspension and debarment. *See* RFO FAR 9.406-2.
- c. Voiding and rescinding the contract. 18 U.S.C. § 218; RFO FAR Subpart 3.7.
- d. The Program Fraud Civil Remedies Act of 1986, which allows agencies to initiate administrative proceedings on claims of \$150,000 or less when the Department of Justice elects not to pursue False Claims Act remedies. 31 U.S.C. §§ 3801-3812; DoD Dir. 5505.5 (Aug. 30, 1988).

3. Judicial remedies.

- a. Criminal.
 - (1) False Claims Act. The False Claims Act prohibits knowingly making a false, fictitious, or fraudulent claim to the United States. The False Claims Act carries a potential penalty of a fine and up to five years imprisonment. 18 U.S.C. § 287; *see also Communication Equip. and Contracting Co., Inc. v. United States*, 37 CCF ¶ 76,195 (Cl. Ct. 1991) (unpub.) (holding that TINA does not preempt the False Claims Act so as to limit the government’s remedies).
 - (2) False Statement Act. 18 U.S.C. § 1001; *see also United States v. Shah*, 44 F.3d 285 (5th Cir. 1995).
 - (3) The Major Fraud Act. 18 U.S.C. § 1031.

b. Civil.

- (1) False Claims Act. 31 U.S.C. §§ 3729-33. Civil penalties adjust based on inflationary rates under the Federal Civil Penalties Adjustment Act 1990 as amended by the Debt Collection Improvement Act of 1996. As of January 15, 2025, the minimum penalty is \$14,308 and the maximum penalty is \$28,619. 89 Fed. Reg. 106308 (Jan. 15, 2024).

IX. PRICING OF CONTRACT ADJUSTMENTS

Similar to the government's interest in ensuring the prices it pays when a contract is formed reflect the fair value of the underlying goods and services, the government also has an interest in ensuring that prices associated with contract changes which occur after award are reasonable. This involves analysis not only of the price amount associated with changes, but also whether any amount is due at all.

A. Entitlement to an Adjustment.

When analyzing pricing of contract adjustments, it is necessary to first identify what, if anything, created an entitlement to adjustment. This shapes the amounts that may be incorporated into the end price of the adjustment.

1. Equitable Adjustments (EA).

- a. Although the FAR does not define equitable adjustment, it is used frequently throughout the FAR. Equitable adjustments make up the vast majority of contract price adjustments. *See* John Cibinic, Jr. et al., *Administration of Government Contracts*, Chapter 8 (Wolters Kluwer 5th ed. 2016), pg. 593. Equitable adjustments are often the result of a “request for equitable adjustment” (REA).
- b. The goal of an equitable adjustment is to place the parties in the same position – in terms of both cost and profit – as they would have occupied had there been no change to the contract. *Appeal of Massman Construction Co.*, ENG BCA No. 3660, 81-1 BCA ¶ 15,049.
- c. The basic pricing formula for an equitable adjustment is the difference between: (1) what it would have reasonably cost to perform the work as originally required; and (2) what it will reasonably cost to perform the work as changed. *See Modern Foods, Inc.*, ASBCA No. 2090, 567 BCA ¶ 1229. If an addition, deletion, or substitution of work changes the cost of performance, a party to the contract may be entitled to a price adjustment.

- d. Through a request for an equitable adjustment, a contractor may receive additional costs of performance plus a reasonable profit on those costs.
- e. Equitable adjustments are based on numerous contract clauses granting that remedy, including, but not limited to:
 - (1) RFO FAR 52.243-1 thru -7, Changes. Changes clauses give rise to the majority of contract adjustments.
 - (2) RFO FAR 52.245-1, Government Property.
 - (3) RFO FAR 52.248-1 thru -3, Value Engineering.
 - (4) RFO FAR 52.242-15, Stop Work Order.

2. Adjustments.

- a. An adjustment is an alteration of the contract price that entitles the contractor to recover certain additional performance costs, but typically, not profit. The rationale for lack of profit is that, unlike in an equitable adjustment, there is no change in the scope of work and/or risk to the parties. Rather, the change at issue impacts only the underlying contract costs.
- b. There are two types of adjustments:
 - (1) Work stoppage adjustments. These adjustments allow the contractor to recover certain direct and indirect performance costs. Contract clauses providing for such adjustments are:
 - (i) RFO FAR 52.242-14, Suspension of Work. See Thomas J. Papathomas, ASBCA No. 51352, 99-1 BCA ¶ 30,349 (analyzes FAR 52.212-12, Suspension of Work, which after the award of the contract in question was redesignated as FAR 52.242-14, Suspension of Work); see also GASA, Inc. v. United States, 79 Fed. Cl. 325, 347 (2007); Tom Shaw, Inc., ASBCA No. 28596, 95-1 BCA ¶ 27457 (decision adhered to on reconsideration); and
 - (ii) RFO FAR 52.242-17, Government Delay of Work, which also states that the adjustment excludes profit.

- (2) Labor standards adjustment. These adjustments allow the contractor to recover certain costs related to required contract labor.
 - (a) Adjustments under labor standards clauses include only the increased costs of direct labor; they do not include general and administrative costs, overhead, or profit. RFO FAR 52.222-43, Fair Labor Standards Act and Service Contract Act – Price Adjustment (Multiple Year and Option Contracts); RFO FAR 52.222-44, Fair Labor Standards Act and Service Contract Act – Price Adjustment; RFO FAR 52.222-32 Construction Wage Rate Requirements – Price Adjustment (Actual Method); FAR 22.1904, Annual Executive Order Minimum Wage Rate; *see also Stobil Enterprise v. Dep’t of Veterans Affairs*, CBCA No. 5698, 19-1 BCA ¶ 37,428; *All Star/SAB Pacific, J.V.*, ASBCA No. 50856, 98-2 BCA ¶ 29,958; *U.S. Contracting, Inc.*, ASBCA No. 49713, 97-2 BCA ¶ 29,232.
 - (b) If the Government attempts to impose a higher wage determination retroactively that the Government failed to include in the contract at the time of award, Boards have interpreted that adjustment to fall under the Changes Clause instead of under the applicable labor standards clause. Consequently, contractors may recover profit and indirect costs under those circumstances. *See W.G. Yates & Sons, Constr. Co.*, CBCA No. 1495, 11-1 BCA ¶34,638; *BellSouth Communications Sys., Inc.*, ASBCA No. 45955, 94-3 BCA ¶ 27,231; *Prof’al Servs. United, Inc.*, ASBCA 45799, 94-1 BCA ¶ 26,580.

3. Common Law Breach.

- a. Recovery may also occur based upon a common law breach of contract claim.
 - (1) A contractor may not recover under a claim for breach of contract damages when there is a remedy-granting contract clause. *See Info. Sys. & Network Corp.*, ASBCA No. 42659, 99-1 BCA ¶ 30,665 (holding that a claim for breach of damages is barred by the convenience termination clause); *Hill Constr. Corp.*, ASBCA No. 49820, 99-1 BCA ¶ 30,327

(denying a breach claim for lost profits where the underlying changes were within the ambit of the Changes Clause).

- (a) Situations where breach damages may be recovered include:
 - (i) Breach of a requirements contract. *See Bryan D. Highfill*, HUDBCA No. 96-C-118-C7, 99-1 BCA ¶ 30,316; *Rumsfeld v. Applied Cos.*, 325 F.3d 1328 (Fed. Cir.), cert. denied, 540 U.S. 981 (2003); *Hi-Shear Tech. Corp. v. United States*, 356 F.3d 1372 (Fed. Cir. 2004).
 - (ii) Bad faith termination for convenience. *See Praecom, Inc. v. United States*, 78 Fed. Cl. 5, 12 (2007); *Torncello v. United States*, 231 Ct. Cl. 20, 681 F.2d 756 (1982); *but see Custom Printing v. United States*, 51 Fed. Cl. 729, 734 (2002) (questioned the level for standard of review for termination for convenience).
 - (iii) Government's failure to disclose material information. *See Yates-Desbuild Joint Venture v. Department of State*, CBCA No. 3350 et al., 17 -1 BCA ¶ 36,870, recons. denied, CBCA No. 3350-R et al. (noting that "failure to disclose superior knowledge is typically viewed as a constructive change under the Changes Clause" but is sometimes treated as a breach) (citing *American Ship Building Co. v. United States*, 207 Ct. Cl. 1002, 1004 (1975)); *see also ECC Int'l, LLC*, ASBCA 58993, 22-1 BCA ¶ 38,073 (holding that damages caused by the breach of duty to disclose superior knowledge are recoverable).
- (b) Damages are measured under common law principles, although cost principles may apply. *See Chevron, USA, Inc. v. United States*, 71 Fed. Cl. 236 (2006); *AT&T Tech., Inc. v. United States*, 18 Cl. Ct. 315 (1989) (decision later criticized on other, more specific grounds); *Shawn K. Christensen, dba Island Wide Contracting*, AGBCA No. 95-188-R, 95-2 BCA ¶ 27,724.

- (i) Consequential Damages. Generally, consequential damages are not recoverable unless they are foreseeable and caused directly by the government's breach. *Prudential Ins. Co. of Am. v. United States*, 801 F.2d 1295 (Fed. Cir. 1986); *Land Movers Inc. and O.S. Johnson - Dirt Contractor (JV)*, ENG BCA No. 5656, 91-1 BCA ¶ 23,317 (no recovery of lost profits based on loss of bonding capacity; also no recovery related to bankruptcy, emotional distress, loss of business, etc.); *but see Nexagen Networks, Inc.*, ASBCA No. 60641, 19-1 BCA ¶ 37,258 (stating that there is a narrow exception to the rule against recovery of consequential damages in the rare instances where the contractor can carry its "heavy burden" by showing that the Government acted in bad faith).
- (ii) Compensatory Damages. Compensatory damages seek to place a contractor whose contract was breached by the government in as good a position as it would have been if it had completed performance. *See White v. Delta Constr. Int'l, Inc.*, 285 F.3d 1040, 1043 (Fed. Cir. 2002) ("As this court has stated, 'the general rule is that damages for breach of contract shall place the wronged party in as good a position as it would have been in, had the breaching party fully performed its obligation.' ... A corollary of that principle is that the non-breaching party is 'not entitled to be put in a better position by the recovery than if the [other party] had fully performed the contract.'") (citations omitted); *PHP Healthcare Corp.*, ASBCA No. 39207, 91-1 BCA ¶ 23,647 (the measure of damages for failure to order the minimum quantity is not the contract price; the contractor must prove actual damages). Compensatory damages include a reliance component (costs incurred as a consequence of the breach), and an expectancy component (lost profits). *Keith L. Williams*, ASBCA No. 46068, 94-3 BCA ¶ 27,196.

B. Amount of Adjustment (Quantum).

1. **Basic Pricing Formula.** The basic pricing adjustment formula is **the difference between the reasonable cost to perform the work as originally required, and the reasonable cost to perform the work as changed.** *See B.R. Servs., Inc.*, ASBCA Nos. 47673, 48249, 99-2 BCA ¶ 30,397 (holding that the contractor must quantify the cost difference—not merely set forth the costs associated with the changed work); *Buck Indus., Inc.*, ASBCA No. 45321, 94-3 BCA ¶ 27,061.
 - a. Pricing adjustments should not alter the basic profit or loss position of the contractor before the change occurred. “An equitable adjustment may not properly be used as an occasion for reducing or increasing the contractor’s profit or loss...for reasons unrelated to a change.” *See United States. ex rel Bettis v. Odebrecht*, 393 F.3d 1321 (D.C. Cir. 2005); *Pacific Architects and Eng’rs, Inc. v. United States*, 203 Ct. Cl. 499, 508 (1974); *Stewart & Stevenson Servs., Inc.*, ASBCA No. 43631, 97- 2 BCA ¶ 29,252, modified by 98-1 BCA ¶ 29,653 (holding that a contractor is entitled to profit on additional work ordered by the Army even though the original work was bid at a loss).
 - b. Rather, equitable adjustments are corrective measures utilized to keep a contractor whole. *Kellogg Brown & Root Services, Inc.*, ASBCA 57530, 19-1 BCA ¶ 37,205. Accordingly, an equitable adjustment is not based upon market prices, but reasonable incurred costs. *See Software Design, Inc.*, ASBCA Nos. 23616, 24897, 82-2 BCA ¶ 16,073. “This consideration of the particular contractor's actual and probable costs is tied to the overall function meant to be served by equitable adjustments,” which is to keep a contractor whole. *Nager Electric Co. v. United States*, 442 F.2d 936, 946 (Ct. Cl. 1971). An equitable adjustment's use of actual cost data ensures that it does not produce a windfall. *See Propellex Corp. v. Brownlee*, 342 F.3d 1335, 1338 (Fed. Cir. 2003).
2. **Pricing Additional Work.**
 - a. If the parties negotiate the price of the change prior to its execution, the Government and the contractor should agree upon a reasonable price for the work before the work is added to the contract. This agreement controls pricing of the contract as modified. Note that this is a contract modification – not an adjustment. It is more properly analyzed under the general contract pricing framework discussed earlier in this chapter.

- b. If the work occurs outside of a negotiated contract modification, the amount of the adjustment is the difference between the reasonable cost to perform the work as originally required, and the reasonable cost to perform the work as changed. The contractor's entitlement is based upon the reasonable costs actually incurred in performing the new work. *See CEMS, Inc. v. United States*, 59 Fed. Cl. 168 (2003); *Delco Elecs. Corp. v. United States*, 17 Cl. Ct. 302 (1989), *aff'd*, 909 F.2d 1495 (Fed. Cir. 1990).

3. Pricing Deleted Work

- a. Deleted work is priced based on the difference between the “would have” cost to the contractor of performing the work had the Government not directed the change and the actual cost of performing the work as changed. In applying this measure, the amount the contractor's bid/offer allocated to the performance of the deleted or reduced work is irrelevant. *See Knights' Piping, Inc.*, ASBCA No. 46985, 94-3 BCA ¶ 27,026 (citing *S.N. Nielsen Co. v. United States*, 141 Ct. Cl. (1958)); *Anderson/Donald, Inc.*, ASBCA No. 31213, 86-3 BCA ¶ 19,036. This rule ensures that the Government's entitlement is equal to the actual net cost saving to the contractor and not instead tied to the contractor's initial bid/offer.

(1) Example of Correct Pricing of Deleted Work:

- (a) The contract's original agreed-upon price is \$80,000. However, during performance it becomes apparent that performance of the contract would have cost \$100,000 – leaving the contractor with a net loss of \$20,000. The Government removes a portion of the contract's scope via deductive change, leaving a new actual contract cost of \$60,000 after the work is deleted.
- (b) The Government compares the “would have” cost of the original contract (\$100,000) to the actual cost of the contract as modified (\$60,000). The amount of the adjustment is \$40,000 in favor of the Government. Removing the subject scope resulted in a \$40,000 cost savings. As the Government was entitled to the work, it receives the benefit of the cost savings from removing it. This results in a new contract price of \$40,000.
- (c) The contractor is still responsible for \$60,000 in costs on the \$40,000 contract – the contractor still bears the consequences (a \$20,000 net loss) of their original

under-bid rather than gaining a windfall via loss mitigation from removal of the work.

(2) Example of Incorrect Pricing of Deleted Work:

- (a) The contract's original agreed-upon price is \$80,000. However, during performance it becomes apparent that performance of the contract would have cost \$100,000 – leaving the contractor with a net loss of \$20,000. The Government removes a portion of the contract's scope via deductive change, leaving a new actual contract cost of \$60,000 after the work is deleted.
 - (b) Instead of the “would have” cost, the Government compares the price of the original contract (\$80,000) to the actual cost of the contract as modified (\$60,000). The amount of the adjustment is only \$20,000 in favor of the Government. Removing the subject scope resulted in a \$40,000 cost savings, but the Government is only receiving the benefit of \$20,000 – half the cost savings associated with the deleted scope.
 - (c) The contractor is now responsible for \$60,000 in costs on a \$60,000 contract. They have received a windfall of \$20,000 in loss mitigation from the Government's deletion of work. Their financial responsibility for underbidding the initial contract has been deleted along with the scope.
 - (d) Note: In addition to depriving the Government of the savings associated with the deleted work, this practice incentivizes the contractor to intentionally underbid portions of a solicitation which they believe may be later removed from the contract or to encourage deletion of scope on which they anticipate a loss or poor profit.
- b. When the Government partially terminates a contract for convenience, a contractor may still be entitled to an equitable adjustment on the remaining work for increased costs borne by that work as a result of termination. *See Deval Corp.*, ASBCA Nos. 47132, 47133, 99-1 BCA ¶ 30,182; *Cal-Tron Sys., Inc.*, ASBCA Nos. 49279, 50371 97-1 BCA ¶ 28,986; *Wheeler Bros., Inc.*, ASBCA No. 20465, 79-1 BCA ¶ 13,642.

- c. Convenience Termination Settlements. If a contractor would have incurred a loss had the entire contract been completed, the contractor is not entitled to profit as part of a termination for convenience settlement proposal. FAR 49.203. The Government has the burden of proving that the contractor would have incurred a loss at contract completion. *Safeco Ins. Co. of America*, ASBCA No. 52107, 03-2 BCA ¶ 32,341 (citing *R&B Bewachungs, GmbH*, ASBCA No. 42214, 92-3 BCA ¶ 25,105). A contractor is not entitled to anticipatory profits as part of a convenience termination settlement proposal. *See Dairy Sales Corp. v. United States*, 593 F.2d 1002 (Ct. Cl. 1979).
- 4. Recoverable Costs. A contractor may only recover costs which are allowable. The cost principles in RFO FAR Part 31 apply not only to pricing of contracts at award, but to also to pricing considerations for contract modification and adjustments.¹⁸ RFO FAR Part 31.000; 31.001; 31.204. *See also* RFO FAR 31.103; 31. 31.105. The cost principles are a series of regulations that address the allowability of specific costs. They are generally made applicable to a contract via the RFO FAR 52.216-7, Allowable Cost and Payment clause.¹⁹
 - a. Cost allowability. To be allowable, a cost must be: (1) reasonable; (2) allocable to the contract; (3) in compliance with any applicable cost accounting standards; (4) in accordance with the terms of the contract; and (5) not subject to a limitation under RFO FAR Subpart 31.2. *See also supra* V.2.
 - b. Cost reasonableness. A cost is reasonable if, its nature and amount, it does not exceed that which would be incurred by a prudent person in the conduct of competitive business. RFO FAR 31.201-3.
 - (1) Cost reasonableness depends on a variety of considerations and circumstances. RFO FAR 31.201-3(b) provides the following list of possible considerations:

¹⁸ Prior to the RFO, there was lack of clarity regarding whether the cost principles in FAR Part 31 applied to contract adjustments. Some agencies, including the DoD, required contract clauses which stated clearly that the cost principles apply to price adjustments. *See e.g.* DFARS 252.243-7001. However, courts generally used the cost principles to determine which costs were recoverable in contract claims. *See* John Cibinic, Jr. et al., Administration of Government Contracts, Chapter 8, pg. 601 (Wolters Kluwer 5th ed. 2016) (citing various applicable cases). However, the RFO arguably clarifies this issue further, stating broadly that “[t]he cost principles and procedures in [FAR Part 31] apply” to contracts. RFO FAR 31.001. Thus, while the FAR still does not explicitly state that cost principles apply to contract adjustments, they are the framework for assessing cost allowability for adjustment issues.

¹⁹ However, updates to the cost principles do not apply automatically; the contract must be modified before a revision applies. *See also* FAR 52.232-7, Time and Materials Payments (applies cost principles to the “materials” component of expenses in time and materials contracts). *See also* *Tolliver Group, Inc. v. United States*, 140 Fed. Cl. 520, 529 (2018) (the cost principles of FAR Subpart. 31.2 “appear to apply by operation of law under the Christian Doctrine”).

- (a) Whether it is the type of cost generally recognized as ordinary and necessary for the conduct of the contractor's business or the contract performance;
- (b) Generally accepted sound business practices, arm's length bargaining, and Federal and State laws and regulations;
- (c) The contractor's responsibilities to the Government, other customers, the owners of the business, employees, and the public at large; and
- (d) Any significant deviations from the contractor's established practices.
- (e) No presumption of reasonableness is attached to contractor costs. The reasonableness of a cost is a question of fact and must be examined with particular care when the costs incurred may not be subject to effective competitive constraints. RFO FAR 31.201-3(a)(1); *see Kellogg Brown & Root Servs, Inc.*, ASBCA No. 58081, 17-1 BCA ¶ 36,595. If an initial review of the facts causes the Contracting Officer to challenge a specific cost, the burden of proof shifts to the contractor to show that the cost is reasonable. RFO FAR 31.201-3(a)(2); *see also BAE Sys. S.F. Ship Repair*, ASBCA Nos. 58810, 59642, 16-1 BCA ¶ 36,404 (citing *Kellogg Brown & Root Servs, Inc. v. United States*, 728 F.3d 1348, 1363 (Fed. Cir. 2013); *see also Parsons Evergreene, LLC*, ASBCA No. 58634, 18-1 BCA ¶ 37137 (discussing the burden of proof and each party's obligations).²⁰
- (f) Cost may be held unreasonable in amount. *See DynCorp Int'l LLC*, ASBCA No. 61950, 20-1 BCA ¶ 61,950 (although severance payments are not "compensation" under the FAR, the compensation caps of FAR 31.205-6(p) constituted "an appropriate benchmark" for determining reasonableness and

²⁰ Note, however, that the "presumption of reasonableness" language in RFO FAR 31.201-3 – and much of the case law which relies upon this language – may not apply to all contracts. As RFO Subpart 31.2 concerns only contracts with commercial organizations, it does not apply to contracts with other entities, such as non-profit organizations. *See* RFO FAR Subpart 31.7 (citing CFR part 200, subpart E and appendix IV as the applicable cost principles for such contracts).

severance amounts were unreasonable in view of “[t]he contractor’s responsibilities to the Government, other customers, the owners of the business, employees, and the public at large”); *see also Kellogg Brown & Root Servs, Inc. v. United States*, 103 Fed. Cl. 714 (2012), *aff’d* 728 F.3d 1348 (Fed. Cir. 2013) (unreasonable subcontractor costs); *but see Raytheon STX Corp.*, GSBICA No. 14296-COM, 00-1 BCA ¶ 30,632, 1999 GSBICA LEXIS 252 (holding that salaries paid to key employees during a shutdown were reasonable in amount).

- (g) Cost may also be held unreasonable due to the nature of the cost at issue.. *See Lockheed-Georgia Co., Div. of Lockheed Corp.*, ASBCA No. 27660, 90-3 BCA ¶ 22,957 (air travel to the Greenbrier resort for executive physicals unreasonable because competent physicians were available in Atlanta).

c. Cost allocability. A cost is allocable if it is assignable or chargeable to one or more cost objectives of the contract. RFO FAR 31.201-4. A cost is generally allocable to a contract if it is incurred specifically for that contract, benefits the contract and other work, or is necessary for the overall operation of the business (e.g. overhead costs). *Id.*

- (1) “The concept of allocability is addressed to the question of whether a sufficient ‘nexus’ exists between the cost and a government contract.” *Lockheed Aircraft Corp. v. United States*, 179 Ct. Cl. 545, 375 F.2d 786, 794 (1967); *see also Boeing North American, Inc. v. Roche*, 298 F.3d 1274, 1280 (Fed. Cir. 2002).
- (2) “Allocability is an accounting concept involving the relationship between incurred costs and the activities or cost objectives (e.g., contracts) to which those costs are charged. Proper allocation of costs by a contractor is important because it may be necessary for the contractor to allocate costs among several government contracts or between government and non-government activities.” *Boeing North American, Inc. v. Roche*, 298 F.3d 1274, 1280 (Fed. Cir. 2002).
- (3) BA cost can be allocable even if there is no benefit to the Government. A finder-of-fact need not “embark on an amorphous inquiry into whether a particular cost sufficiently

‘benefits’ the Government.” *Boeing North American, Inc. v. Roche*, 298 F.3d 1274, 1284 (Fed. Cir. 2002); *see also Rumsfeld v. United Techs Corp.*, 315 F.3d 1361 (Fed. Cir. 2003); *see also Geren v. Tecom, Inc.*, 566 F.3d 1037 (Fed. Cir. 2009).²¹

- (4) In certain instances (i.e., impact on other work), the contract appeals boards may emphasize equity and not apply rigidly the principle of allocability. *See Clark Concrete Contractors, Inc. v. Gen. Servs. Admin.*, GSBICA No. 14340, 99-1 BCA ¶ 30,280 (holding that costs incurred on an unrelated project were recoverable because they were “equitable and attributable” by-products of agency design changes).
- d. In accordance with applicable accounting standards. When applicable, a contractor must apply the Cost Account Standards (CAS) codified at 48 CFR, Chapter 99. If not applicable, contractors must follow the Generally Accepted Accounting Principles (GAAP).²²
- (1) CAS are administrative cost rules promulgated by the Cost Accounting Standards Board (CASB) within the Office of Federal Procurement Policy (OFPP), which falls under the Office of Management and Budget (OMB). CASB consists of five members from DoD, GSA, industry, and the private sector, and the Administrator of OFPP who serves as the Chairman.
 - (2) The CASB is an independent statutorily established board. 41 U.S.C. § 1502. The Board has exclusive authority to make, promulgate, and amend and interpret the CAS. CASB’s goal is to achieve uniformity and consistency in the cost accounting practices governing the measurement, assignment, and allocation of costs to contracts with the United States.
 - (3) Examples of the nineteen CAS include:

21 Courts and boards previously held that a cost was not allocable to a Government contract if it did not result in any benefit or thing of value to the Government. *See Caldera v. Northrop Worldwide Aircraft Servs., Inc.*, 192 F.3d 962 (Fed. Cir. 1999) (holding that attorneys’ fees incurred unsuccessfully defending wrongful termination actions resulted in no benefit to the contract and were not allocable). This is no longer good law. *See e.g., Boeing North American, Inc. v. Roche*, 298 F.3d 1274, 1284-85 (Fed. Cir. 2002).

22 CAS grew out of criticism of accounting and pricing practices of the defense industry in the 1960s. In turn, Congress called for, and GAO confirmed the feasibility of, applying uniform cost accounting standards to all negotiated prime contract and subcontract defense procurements of \$100,000 or more. In 1988, a more permanent and independent CASB was established within the OFPP. Pub. L. No. 100-679, 102 Stat. 4055 (1988); *see also Boeing North American, Inc. v. Roche*, 298 F.3d 1274, 1282-83 (Fed. Cir. 2002) (detailing some of the history of CASB).

- (a) CAS 401 – Consistency in estimating, accumulating and reporting costs. 48 CFR § 9904.401.
 - (b) CAS 402 – Consistency in allocating costs incurred for the same purpose. 48 CFR § 9904.402.
 - (c) CAS 403 – Allocation of home office expenses to segments. 48 CFR § 9904.403.
 - (d) CAS 404 – Capitalization of tangible assets. 48 § CFR 9904.404.
 - (e) CAS 405 – Accounting for unallowable costs. 48 § CFR 9904.405.
- (4) When applicable, the CAS govern how contractors and subcontractors estimate, accumulate, and report costs in connection with pricing and administration of and settlement of disputes concerning negotiated prime contract and subcontract²³ procurements with the United States.
- (a) For CAS-covered contracts, if there is any conflict between CAS and the FAR as to an issue of allocability, CAS governs. *See United States v. Boeing Co.*, 802 F.2d 1390, 1395 (Fed. Cir. 1986); *see also Rice v. Martin Marietta Corp.*, 13 F.3d 1563, 1565 n.2 (Fed. Cir. 1993).
 - (b) CAS coverage is determined on a contract-by-contract basis. CAS does not apply to the following contracts listed at 48 CFR § 9903.201-1:
 - (i) Sealed bid contracts.
 - (ii) Negotiated contracts and subcontracts not in excess of the Truthful Cost or Pricing Data (TINA) threshold.
 - (iii) Contracts and subcontracts with small businesses.

²³ The term “subcontract” includes a transfer of commercial products or commercial services between divisions, subsidiaries, or affiliates of a contractor or subcontractor. 41 U.S.C. § 1502(b)(1).

- (iv) Contracts and subcontracts with foreign governments or their agents or instrumentalities.
 - (v) Contracts or subcontracts in which the price is set by law or regulation.
 - (vi) Contracts or subcontracts for the acquisition of commercial products or commercial services.
 - (vii) Contracts or subcontracts of less than \$7.5 million, provided that, at the time of award, the business unit of the contractor or subcontractor is not currently performing any CAS-covered contracts or subcontracts valued at \$7.5 million or greater.
 - (viii) Subcontractors under the NATO PHM Ship program to be performed outside the United States by a foreign concern.
 - (ix) Firm, fixed-price contracts or subcontracts awarded on the basis of adequate price competition without submission of certified cost or pricing data.
- (c) Waiver Authority. In certain situations, CAS coverage may be waived. 41 U.S.C. § 1502(b)(2) and (3); RFO FAR 30.202; DFARS 230.201-5:
- (i) The head of an executive agency may waive CAS in writing for contracts less than \$15,000,000 where the contractor primarily sells commercial products or commercial services and has no contracts or subcontracts subject to CAS.
 - (ii) Firm fixed-price contracts or subcontracts awarded on the basis of adequate price competition without submission of certified cost or pricing data.
 - (iii) The head of an executive agency may not delegate this authority to any official in the executive agency below the senior policymaking level in the executive agency.

- (iv) A list of all waivers is forwarded to CASB on an annual basis. 41 U.S.C. § 1502(b)(3)(E).
- e. In accordance with the terms of the contract. A cost is not allowable if it conflicts with the terms of the underlying contract.
 - (1) Advance Agreements. The reasonableness, allocability, and allowability of certain costs may be difficult to determine. Contracting officers and contractors should seek advance agreement on the treatment of special or unusual costs. Advance agreements are not required but may be negotiated before or during a contract as long as the costs involved have not been incurred.
 - (a) A contracting officer may not agree to a treatment of costs inconsistent with RFO FAR Part 31. RFO FAR 31.110(c).
 - (b) Advance agreements must be in writing and include a statement regarding applicability of the agreement and its duration. RFO FAR 31.110(i). Additionally, such agreements must be bilateral and incorporated into the contract. *Id.*
- f. Not subject to limitations set forth in RFO FAR Subpart 31.2. The Government does not pay certain costs even if they are actually incurred, reasonable, allocable, and properly accounted for. FAR Subpart 31.2 sets forth specific costs that are expressly unallowable. Similarly, the parties may specify in the contract that certain costs will not be allowable.
 - (1) The following list of potential unallowable costs are non-exclusive:
 - (a) Bad debts. RFO FAR 31.205-3.
 - (b) Costs related to contingencies are generally unallowable, but some categories are allowable. RFO FAR 31.205-7.
 - (c) Entertainment costs, including amusement, diversions, social activities, gratuities and tickets to sports events. RFO FAR 31.205-14.

- (d) Specific Lobbying and Political Activities. RFO FAR 31.205-22.
 - (e) Losses on other contracts, including the contractor's contributed portion under cost-sharing contracts. RFO FAR 31.205-23.
 - (f) Costs of alcoholic beverages. RFO FAR 31.205-51.
 - (g) Excessive pass-through charges by contractors from sub-contractors, which add no or negligible value, are unallowable. If a contractor subcontracts at least 70 percent of the work, the contracting officer must decide that pass-through charges at the time of award are not excessive and add value. RFO FAR 15.110(v)(2) and RFO FAR 52.215-23.
- (2) In addition to addressing specifically unallowable costs, the cost principles in RFO FAR 31.205 also address the circumstances under which certain other costs are allowable and place limitations on allowability. Examples include the following:
- (a) Independent research and development and bid and proposal Costs. RFO FAR 31.205-18; see also *ATK Thiokol, Inc. v. United States*, 598 F.3d 1329 (2010).
 - (b) Material costs. Material costs are broadly defined and generally allowable, but special considerations exist for intercompany transfers where the transferee and transferor are under common control, with special exceptions noted for established practices of transferring at a particular price and for commercial products or commercial services. RFO FAR 31.205-26; see *A-T Solutions, Inc.*, ASBCA No. 59338, 17-1 BCA ¶ 36,655.
 - (c) Travel costs. Costs for transportation, lodging, meals, and incidental expense incurred by contractor personnel on official company business are allowable, subject to the limitations referenced in FAR 31.205-46. RFO FAR 31.205-46. Compare *Raytheon Co. & Raytheon Missile Sys.*, ASBCA Nos. 59435 et al., 21-1 BCA ¶ 37,796; *Secretary of Defense v. Raytheon Co. & Raytheon*

Missile Sys., 56 F.4th 1337 (2023) (negative treatment of ASBCA's interpretation of allowable costs).

- (3) A cost is unallowable if it is associated with the contractor breaching the Government contract.
 - (a) *Geren v. Tecom, Inc. ("Tecom II")*, 566 F.3d 1037 (Fed. Cir. 2009). This case examined the allowability of legal costs associated with Title VII violations. Rather than conduct a "similar or related" analysis (see discussion above), the court held that if an adverse judgment would cause the contractor to breach its contract with the Government, the cost is unallowable. In this case, the contract contained a clause stating the contractor would not discriminate based on sex, among other factors. The court found that an adverse judgment in a Title VII suit would breach the contract clause, thus any defense costs and judgment costs would be unallowable. *See also NAACP v. Federal Power Commission*, 425 U.S. 662, 668, 96 S. Ct. 1806, 48 L.Ed.2d 284 (1976) (holding that the Federal Power Commission had authority to disallow the costs of unlawful discriminatory employment practices as the costs were unreasonable and contrary to public policy).
 - (b) *Dade Brothers, Inc., v. United States*, 163 Ct. Cl. 485, 325 F.2d 239, 240 (1963). This case holds that costs resulting from a breach of a contractual obligation are not allowable costs under the contract. The case dealt with allowability of the legal cost of defending a union suit and the subsequent cost of satisfying the adverse judgment. Specifically, 54 employees sued the contractor for denying them seniority rights. The court found all the costs unallowable because the contract specifically stated the contractor would abide by the union agreement.
- (4) RFO FAR 31.205 does not cover every element of cost. The omission of item of cost does not imply that it is either allowable or unallowable. In that case, the determination of allowability shall be based on the principles and standards in FAR 31 and the treatment of similar or related selected items. RFO FAR 31.204(d); *see also Boeing N. Am., Inc. v. Roche*, 298 F.3d 1274, 1285 (Fed. Cir. 2002) ("although the FAR

31.205 subsections covering selected costs are extensive,” they do not cover every element of cost, and “[i]n such situations [FAR 31.204(d)] instructs us: ‘The determination of allowability shall be based on the principles and standards in this subpart and the treatment of similar or related selected items.’”); *Raytheon Co. v. Sec’y of Def.*, 940 F.3d 1310 (Fed. Cir. 2019) (addressing compensation costs “associated with” lobbying activities); *see also Secretary of Defense v. Raytheon Co. & Raytheon Missile Sys.*, 56 F.4th 1337 (2023) (reversing and remanding ASBCA’s holding in *Raytheon Co. & Raytheon Missile Sys.*, ASBCA Nos. 59435 et al., 21-1 BCA ¶ 37,796).

- (5) Some cases which analyzing allowability based on whether a particular cost is similar or related to selected items in FAR 31 include:
 - (a) *Boeing North American, Inc. v. Roche*, 298 F.3d 1274, 1285-86 (Fed. Cir. 2002). This case involved a claim for the cost of settling a private shareholder lawsuit against 14 directors of a company (later bought by Boeing). The shareholder suit sought damages for the failure of the company directors to establish internal controls that would have prevented the company from committing fraud against the Government. The fraud led to subsequent convictions, fines and penalties against the company. The court found that the costs of shareholder suits are not “similar” to unallowable fraud-related costs in FAR Subpart 31.205, but that they were “related” to the disallowed costs of defending against Government charges of wrongdoing. Consequently, the court determined that the Government had properly disallowed the cost of defending against the adverse judgment in the shareholder suit.
 - (b) *Southwest Marine, Inc. v. United States*, 535 F.3d 1012 (9th Cir. 2008). The court held that legal costs associated with citizen suits against Southwest Marine under the Clean Water Act were not allowable costs because they were “similar” to costs disallowed in the FAR for third-party claims under the False Claims Act.
 - (c) *Geren v. Tecom, Inc. (“Tecom II”)*, 566 F.3d 1037, (Fed. Cir. 2009). The court stated that when the cost of

an adverse judgment on an underlying suit would be unallowable (and thus in breach of the contract), the settlement of such a private suit is “similar” to the FAR provisions concerning private suits under the False Claims Act. Thus, attorneys’ fees defending against the lawsuit would not be an allowable cost. *See also Bechtel National Inc., v. United States*, 137 Fed. Cl. 423 (2018) (distinguishing Tecom II because the main focus in Tecom II was on whether a contractor's costs of defending against and settling a Title VII sexual harassment lawsuit were allowable under the FAR where the contract incorporated FAR 52.222– 26; the court in Tecom concluded that a violation of Title VII would breach the contract and the government may not be “complicit” in discrimination by subsidizing its costs).

5. Profit and Loss. When allowable, profit is an important part of an equitable adjustment because to deny profit would mean that the contractor was never made whole. *See New York Shipbuilding Co.*, ASBCA 16164, 76-BCA ¶ 11,979. Consequently, an equitable adjustment includes a reasonable and customary allowance for profit. *See United States v. Callahan Walker Constr. Co.*, 317 U.S. 56 (1942); *Rumsfeld v. Applied Companies, Inc.*, 325 F.3d 1328 (Fed. Cir. 2003). However, note that certain price adjustment clauses – separate from equitable adjustments - expressly do not include profit (e.g., RFO FAR 52.242-14, Suspension of Work; RFO FAR 52.242-17, Government Delay of Work).
 - a. When a change or modification involves essentially the same type of work as the basic contract and is of a relatively small dollar value compared to the total contract value, contracting officers may use the basic contract’s profit or fee as the pre-negotiation objective. RFO FAR 15.404-4(c)(5).
 - b. Common profit analysis factors include cost risk, the amount and complexity of the effort required, and the contractor’s contributions to federal socioeconomic programs, cost control, and independent development. RFO FAR 15.404-4(d). Of those factors, risk is critically important in negotiating the profit applicable to a change. For example, when a change required less complex work than the underlying contract, boards have supported lower levels of profit. *See Varo, Inc.*, ASBCA 15000, 72-2 BCA ¶ 9,717. Similarly, boards have approved a lower rate of profit in cases where the contractor had already performed the change because the reduced risk. *See Texas*

Instruments, Inc., ASBCA 27113, 90- 1 BCA ¶ 22,537, *aff'd*, 922 F.2d 810 (1990).

C. Proving the Amount of the Adjustment

1. Burden of Proof.

- a. The burden of proof is on the party claiming the benefit of the adjustment. *See Wilner v. United States*, 24 F.3d 1397 (Fed. Cir. 1994); *see also Lisbon Contractors, Inc. v. United States*, 828 F.2d 759, 767 (Fed. Cir. 1987) (moving party “bears the burden of proving the amount of loss with sufficient certainty so that the determination of the amount of damages will be more than mere speculation”); *see also B&W Forest Prod.*, AGBCA Nos. 96-180, 96-198-1, 98-1 BCA ¶ 29,354.
- b. The party must prove:
 - (1) Entitlement (Liability) – the Government did something that changed the contractor’s costs, for which the Government is legally liable. *See T.L. James & Co.*, ENG BCA No. 5328, 89-2 BCA ¶ 21,643.
 - (2) Causation – there must be a causal nexus between the basis for liability and the claimed increase (or decrease) in cost. *See Hensel Phelps Constr. Co.*, ASBCA No. 49270, 99-2 BCA ¶ 30,531; *see also Stewart & Stevenson Servs., Inc.*, ASBCA No. 43631, 98-1 BCA ¶ 29,653, modifying 97-2 BCA ¶ 29,252; *see also Oak Adec, Inc. v. United States*, 24 Cl. Ct. 502 (1991).
 - (3) Resultant Injury – there is an actual injury or increased cost to the moving party. *See Parsons Evergreene, LLC v. Sec’y of Air Force*, 968 F.3d 1359, 1368 (Fed. Cir. 2020) (citing *Wunderlich Contracting Co. v. United States*, 351 F.2d 956, 969 (Ct. Cl. 1965) for the proposition that “[t]he contractor has the ‘obligation ... to provide a basis for making a reasonably correct approximation of the damages’ for which the Government is liable.”); *see also Servidone Constr. Corp. v. United States*, 931 F.2d 860 (Fed. Cir. 1991); *see also Cascade Gen., Inc.*, ASBCA No. 47754, 00-2 BCA ¶ 31,093, 2000 ASBCA LEXIS 138 (holding that a contractor claim was deficient when it failed to substantiate what specific work and/or delays resulted from the defective Government specifications).

2. Methods and Techniques of Proof.

a. Actual Cost Method. Actual costs are amounts determined on the basis of costs incurred, as distinguished from forecasted costs. Actual costs include standard costs properly adjusted for applicable variances. FAR 31.001. The actual cost method is the preferred method for proving costs after the work has been performed for an equitable adjustment. *See North Star Alaska Hous. Corp. v. United States*, 76 Fed. Cl. 158 (2007).

- (1) A contractor must prove its costs using the best evidence available under the circumstances. The preferred method is actual cost data. *See Cen-Vi-Ro of Texas, Inc. v. United States*, 210 Ct. Cl. 684, (1976); *Deval Corp.*, ASBCA Nos. 47132, 47133, 99-1 BCA ¶ 30,182.
- (2) The contracting officer may also include RFO FAR 52.243-6, Change Order Accounting, in a contract. *See* RFO FAR 43.305(f). This clause permits the contracting officer to order the accumulation of actual costs. A contractor must indicate in its proposal which proposed costs are actual and which are estimates.
- (3) For contracts subject to the Cost Account Standards (CAS), CAS 405 requires the “costs of any work project not contractually authorized, whether or not related to performance of a proposed or existing contract, shall be accounted for, to the extent appropriate, in a manner which permits ready separation from the costs of authorized work projects.” 48 CFR § 9904.405-40(d).
- (4) Failure to accumulate actual cost data may result in either a substantial reduction or total disallowance of the claimed costs. *See Delco Elecs. Corp. v. United States*, 17 Cl. Ct. 302 (1989), *aff’d*, 909 F.2d 1495 (Fed. Cir. 1990) (recovery reduced for unexcused failure to segregate); *Togaroli Corp.*, ASBCA No. 32995, 89-2 BCA ¶ 21,864 (costs not segregated despite the auditor’s repeated recommendation to do so; no recovery beyond final decision); *Assurance Co.*, ASBCA No. 30116, 86-1 BCA ¶ 18,737 (lack of cost data prevented reasonable approximation of damages for jury verdict, therefore, the appellant recovered less than the amount allowed in the final decision).

b. Estimated Cost Method.

- (1) Good faith estimates are preferred when actual costs are not available. *See Lorentz Bruun Co.*, GSBCA No. 8505, 88-2 BCA ¶ 20,719 (estimates of labor hours and rates admissible). Estimates are generally required when negotiating the cost of a change in advance of performing the work. Estimates are an acceptable method of proving costs where they are supported by detailed substantiating data or are reasonably based on verifiable cost experience. *J.M.T. Mach. Co.*, ASBCA No. 23928, 85-1 BCA ¶ 17,820 (1984), *aff'd* on other grounds, 826 F.2d 1042 (Fed. Cir. 1987).
- (2) If the contractor uses detailed estimates based on analyses of qualified personnel, the Government will not be able to allege successfully that the contractor used the disfavored total cost method of adjustment pricing. *See Illinois Constructors Corp.*, ENG BCA No. 5827, 94-1 BCA ¶ 26,470.
- (3) Estimates based on the Means Guide must be disregarded where actual costs are known and reasonable. *See Anderson/Donald, Inc.*, ASBCA No. 31213, 86-3 BCA ¶ 19,036.

c. Jury Verdicts.

- (1) Jury verdicts are not necessarily a method of proof, but a technique and means of resolving disputed and conflicting evidence, supported by consideration of the entire record. *See Northrop Grumman Corp. v. United States*, 47 Fed. Cl. 20 (2000); *Delco Elecs. Corp. v. United States*, 17 Cl. Ct. 302 (1989), *aff'd*, 909 F.2d 1495 (Fed. Cir. 1990); *River/Road Constr. Inc.*, ENG BCA No. 6256, 98-1 BCA ¶ 29,334; *Cyrus Contracting Inc.*, IBCA Nos. 3232, 3233, 3895-98, 3897-98, 98-2 BCA ¶ 29,755; *Paragon Energy Corp.*, ENG BCA No. 5302, 88-3 BCA ¶ 20,959.
- (2) Before adopting a jury verdict approach, a court must first determine three things:
 - (a) That clear proof of injury exists;
 - (b) That there is no more reliable method for computing damages. *See Azure v. United States*, 129 F.3d 136 (Table), 1997 WL 665763 (Fed. Cir., Oct. 24, 1997) (actual costs are preferred; where contractor offers no evidence of justifiable inability to provide actual costs,

then it is not entitled to a jury verdict); *Service Eng'g Co.*, ASBCA No. 40274, 93-2 BCA ¶ 25,885; and

- (c) That the evidence is sufficient for a fair and reasonable approximation of the damages. *See Northrop Grumman Corp. v. United States*, 47 Fed. Cl. 20 (2000).

d. Total Cost Method.

- (1) The total cost method is the least preferred method of calculating costs because it does not consider the contractor's responsibility for an increase. This method may only be used when no other method is available. The total cost method calculates the difference between the bid price on the original contract and the actual total cost of performing the contract as changed. As a result, overrun costs fall solely on the Government. *See Servidone v. United States*, 931 F.2d 860 (Fed. Cir. 1991); *Raytheon Co. v. White*, 305 F.3d 1354 (Fed. Cir. 2002); *Stewart & Stevenson Servs., Inc.*, ASBCA No. 43631, 98-1 BCA ¶ 29,653, modifying 97-2 BCA ¶ 29,252; *Santa Fe Eng'rs, Inc.*, ASBCA No. 36682, 96-2 BCA ¶ 28,281; *Concrete Placing Inc. v. United States*, 25 Cl. Ct. 369 (1992).
- (2) To use the total cost method, the contractor must establish four factors:
 - (a) The nature of the particular cost is impossible or highly impracticable to determine with a reasonable degree of certainty;
 - (b) The contractor's bid was realistic;
 - (c) The contractor's actual incurred costs were reasonable; and
 - (d) The contractor was not responsible for any of the added costs. *See Raytheon Co. v. United States*, 305 F.3d 1354 (Fed. Cir. 2002), *WRB Corp. v. United States*, 183 Ct. Cl. 409 (1968).

- e. Modified Total Cost Method. The court or board may allow the contractor to adjust the total cost method to account for other factors, usually because the bid was not realistic or because there were other causes for the extra costs. These adjustments seek to remove any

amounts for which the Government's change is not responsible. *See Olsen v. Espy*, 1994 U.S. App. LEXIS 11840, 26 F.3d 141 (Fed. Cir. 1994); *River/Road Constr. Inc.*, ENG BCA No. 6256, 98-1 BCA ¶ 29,334; *Hardrives, Inc.*, IBCA No. 2319, 94-1 BCA ¶ 26,267; *Servidone Constr. Corp.*, ENG BCA No. 4736, 88-1 BCA ¶ 20,390; *Teledyne McCormick-Selph v. United States*, 218 Ct. Cl. 513 (1978).

D. Special Contract Adjustment Pricing Considerations.

1. Unabsorbed Overhead. A claim for unabsorbed overhead seeks to compensate a contractor for work stoppages, idle facilities, inability to use available manpower, etc., due to Government fault. In such delay situations, fixed overhead costs (*e.g.*, depreciation, plant maintenance, cost of heat, light, etc.) continue to be incurred at the usual rate, but there is less than the usual direct cost base over which to allocate them. *See Therm-Air Mfg. Co.*, ASBCA No. 15842, 74-2 BCA ¶ 10,818.
 - a. Courts and boards have allowed contractors to recover these expenses in order to allow the impacted contract to "absorb" an appropriate share of the indirect costs incurred during the disruption or delay. In this aspect, general and administrative expense stands on the same footing as other overhead expense. *Appeal of Proserv, Inc.*, ASBCA No. 20768, 78-1 BCA ¶ 13,066.
 - b. Most unabsorbed overhead cases deal with recovery of additional overhead costs on construction and manufacturing contracts. The qualitative formula adopted in *Eichleay Corp.*, ASBCA No. 5183, 60-2 BCA ¶ 2688, *aff'd on recons.*, 61-1 BCA ¶ 2894, is the primary method of calculating unabsorbed overhead for both construction contracts and manufacturing contracts. *Wickham Contracting Co. v. Fischer*, 12 F.3d 1574 (Fed. Cir. 1994); *West v. All State Boiler, Inc.*, 146 F.3d 1368 (Fed. Cir. 1998); *Genisco Tech. Corp.*, ASBCA No. 49664, 99-1 BCA ¶ 30,145, *mot. for recons. den.*, 99-1 BCA ¶ 30,324; *Libby Corp.*, ASBCA No. 40765, 96-1 BCA ¶ 28,255.
 - c. Proof Requirements. Recovery of unabsorbed overhead is not automatic. In order to be entitled to unabsorbed overhead recovery the contractor must establish:
 - (1) A Government-caused or Government-imposed delay;
 - (2) That the original time for performance was extended or that the contractor would have completed performance sooner but for the delay; and

- (3) That the contractor was required to be on “standby” during the delay. *Nicon, Inc. v. United States*, 331 F.3d 878 (Fed. Cir. 2003); *Melka Marine, Inc. v. United States*, 187 F.3d 1370 (Fed. Cir. 1999); *West v. All State Boiler*, 146 F.3d 1368 (Fed. Cir. 1998). A contractor is on “standby” if the contracting officer issues a written order that suspends all work on the contract for an indefinite duration and requires the contractor to remain ready to resume work immediately or on short notice, or if the contractor can establish:
- (a) The Government delay was substantial and indefinite;
 - (b) During the delay, the Government required the contractor to be ready to resume work at full speed and immediately; and
 - (c) The Government suspends much, if not all, of the work on the contract. *See P.J. Dick, Inc. v. Principi*, 324 F.3d 1364 (Fed. Cir. 2003); *LCC-MZT Team IV v. United States*, 155 Fed. Cl. 387 (2021).
- (4) A plausible claim for unabsorbed overhead costs can exist even though the contacting officer has not issued a notice to proceed. *See Kudsk Constr., Inc. v. United States*, 144 Fed. Cl. 446, 449 (2019) (“the contractor must prove that while it was on standby, alternative work could not be performed during the delay in performance due to the contractor's commitment to the government to return to the government's project on short notice”).
- (5) If work on the contract continues uninterrupted, albeit in a different order than originally planned, the contractor is not on standby. Further, a definitive delay precludes recovery “because ‘standby’ requires an uncertain delay period where the government can require the contractor to resume full-scale work at any time.” *Melka Marine, Inc. v. United States*, 187 F.3d 1370 (Fed. Cir. 1999); *American Renovation & Constr. Co., Inc. v. United States*, 45 Fed. Cl. 44 (1999).
- (6) The contractor should offer credible proof of increased costs resulting from the Government-imposed delay. *Beaty Elec. Co.*, EBCA No. 403-3-88, 91-2 BCA ¶ 23,687; compare to *Sippial Elec. & Constr. Co. v. Widnall*, 69 F.3d 555 (Fed. Cir. 1995) (allowing recovery without proof of actual damages).

- d. Once the contractor has established the three *Eichleay* elements, it has made a prima facie case that it is entitled to *Eichleay* damages. The burden of proof then shifts to the Government to show that the contractor did not suffer or should not have suffered any loss because it was able to either reduce its overhead or take on other work during the delay. See *Satellite Elec. Co. v. Dalton*, 105 F.3d 1418 (Fed. Cir. 1997); *Mech-Con Corp. v. West*, 61 F.3d 883 (Fed. Cir. 1995).
 - (1) A contractor's ability to take on additional work focuses upon the contractor's ability to take on replacement work during the indefinite standby period. Replacement work must be similar in size and length to the delayed government project and must occur during the same period. *Melka Marine, Inc. v. United States*, 187 F.3d 1370 (Fed. Cir. 1999); *West v. All-State Boiler*, 146 F.3d 1368, 1377 n.2 (Fed. Cir. 1998).
 - (2) When added work causes a delay in project completion, the additional overhead is absorbed by the additional costs and *Eichleay* does not apply. See *Community Heating & Plumbing Co. v. Kelso*, 987 F.2d 1575 (Fed. Cir. 1993) (*Eichleay* recovery denied because overhead was "extended" as opposed to "unabsorbed").
- e. Calculating Amount (Quantum).
 - (1) If the contractor establishes entitlement and the Government cannot demonstrate that it was not impracticable for the contractor to take on replacement work or mitigate its damages, then the court or board will use the *Eichleay* formula to compute the quantum through three steps.
 - (a) Calculate total overhead (OH) allocable to the contract (K): $\text{Total OH during Period} \times (\text{K Billings} \div \text{All Billings during Period})$
 - (b) Calculate overhead (OH) applicable to the contract (K) per day: $\text{Allocable K OH} \div \text{Days of Actual K Performance}$
 - (c) Calculate the unabsorbed overhead (OH): $\text{Daily OH} \times \text{Number of Days of Delay}$
- f. Subcontractor Unabsorbed Overhead. Timely completion by a prime contractor does not preclude a subcontractor's pass-through claim for

unabsorbed overhead. *E.R. Mitchell Constr. Co. v. Danzig*, 175 F.3d 1369 (Fed. Cir. 1999).

- g. Multiple Recovery. A contractor may not recover unabsorbed overhead costs under the *Eichleay* formula where it has already been compensated for the impact of the Government's constructive change on performance time and an award under *Eichleay* would lead to double recovery of overhead. *Keno & Sons Constr. Co.*, ENG BCA No. 5837-Q, 98-1 BCA ¶ 29,336.
- h. Profit. A contractor is not entitled to profit on an unabsorbed overhead claim. *ECC Int'l Corp.*, ASBCA Nos. 45041, 44769, 39044, 94-2 BCA ¶ 26,639; *Tom Shaw, Inc.*, ASBCA No. 28596, 95-1 BCA ¶ 27,457.

2. Subcontractor Claims.

- a. "The government consents generally to be sued only by parties with which it has privity of contract, which it does not have with subcontractors." See *Erickson Air Crane Co. of Wash. v. United States*, 731 F.2d 810, 813 (Fed. Cir. 1984); see also *E.R. Mitchell Constr. Co. v. Danzig*, 175 F.3d 1369 (Fed. Cir. 1999).
- b. Therefore, as a matter of law, a subcontractor may not independently file a claim against the Government, without being in privity. See *Severin v. United States*, 99 Ct. Cl. 435, 442 (1943), cert. denied, 322 U.S. 733 (1944)). However, under the Severin doctrine, a prime contractor could sue the Government on a subcontractor's behalf through a pass-through suit, but only if the prime contractor is liable to the subcontractor for such costs.
- c. Originally, it was the prime contractor's burden to establish its liability to the subcontractor in pass-through claims, but courts have since shifted that burden to the Government. Now, the Government can only use the Severin doctrine to bar a prime contractor's pass-through suit if the Government asserts it as a defense, and then proves that the prime contractor is not liable to the subcontractor for the costs. If the Government fails to raise its immunity defense at trial, then the subcontractor claim is treated as if it were the prime's claim and any further concern about the absence of subcontractor privity with the Government is extinguished. See *E.R. Mitchell Constr. Co. v. Danzig*, 175 F.3d 1369 (Fed. Cir. 1999).
- d. While courts and boards narrowly construe the Severin doctrine (see e.g., *United States v. Johnson Controls, Inc.*, 713 F.2d 1441 (1983)),

one way that the Government can demonstrate that the prime contractor is not liable to the subcontractor is to show that the subcontract contained a clause releasing the prime contractor from liability. *See MW Builders, Inc. v. United States*, 134 Fed. Cl. 469 (Fed. Cl. 2017) (lien waiver containing a general release signed by the subcontractor prevented the pass-through claim).

3. Loss of Efficiency. The disruption caused by Government changes and/or delays may cause a loss of efficiency to the contractor.
 - a. Burden of Proof. A contractor may recover for loss of efficiency if it can establish both that a loss of efficiency has resulted in increased costs and that the loss was caused by factors for which the Government was responsible. *See Luria Bros. & Co. v. United States*, 177 Ct. Cl. 676, 369 F.2d 701 (1966); *see generally* Thomas E. Shea, Proving Productivity Losses in Government Contracts, 18 Pub. Cont. L. J. 414 (March 1989).
 - b. Applicable Situations. Loss of efficiency has been recognized as resulting from various conditions causing lower than normal or expected productivity. Situations include: disruption of the contractor's work sequence (Youngdale & Sons Constr. Co. v. United States, 27 Fed. Cl. 516 1993)); working under less favorable weather conditions (Charles G. Williams Constr., Inc., ASBCA No. 42592, 92-1 BCA ¶ 24,635); the necessity of hiring untrained or less qualified workers (Algernon-Blair, Inc., GSBCA No. 4072, 76-2 BCA ¶ 12,073); and reductions in quantity produced.
4. Impact on Other Work.
 - a. General Rule. A contractor is generally prohibited from recovering costs under the contract in which a Government change, suspension, or breach occurred, when the impact costs are incurred on other contracts. Courts and boards usually consider such damages too remote or speculative, and subject to the rule that consequential damages are not recoverable under Government contracts. *See General Dynamics Corp. v. United States*, 218 Ct. Cl. 40, 585 F.2d 457 (1978); *see also* Defense Sys. Co., ASBCA No. 50918, 2000 ASBCA LEXIS 100, 00-2 BCA ¶ 30,991 (holding the loss of sales on other contracts was too remote and speculative to be recoverable); *see also* Sermor, Inc., ASBCA No. 30576, 94-1 BCA ¶ 26,302; *see also* Ferguson Mgmt. Co., AGBCA No. 83-207-3, 83-2 BCA ¶ 16,819.
 - b. Exceptions. In only exceptional circumstances, especially when the impact costs are definitive in both causation and amount, have

contractors recovered for additional expenses incurred in unrelated contracts. See *Clark Concrete Contractors, Inc. v. Gen. Servs. Admin.*, GSBICA No. 14340, 99-1 BCA ¶ 30,280 (allowing recovery of additional costs incurred on an unrelated project as a result of Government delays and changes).

5. Legal Fees.

- a. Legal Expenses are addressed by two FAR provisions, listed below. Such expenses are commonly an indirect expense in a contractor's G&A expense pool. However, in some situations, legal expenses are specifically incurred for a particular contract and counted as a direct cost.
 - (1) RFO FAR 31.205-33 covers professional and consultant service costs.
 - (2) RFO FAR 31.205-47 discusses costs related to legal and other proceedings. It defines costs as including, but are not limited to, administrative and clerical expenses; the costs of legal services, whether performed by in house or private counsel; the costs of the services of accountants, consultants, or others retained by the contractor to assist it; cost of employees, officers, and directors; and any similar costs incurred before, during, and after commencement of a judicial or administrative proceeding which bears a direct relationship to the proceeding. FAR 31.205-47.
- b. Costs incurred in connection with any proceeding brought by a federal, state, local, or foreign government for violation of, or a failure to comply with, law or regulation by the contractor are unallowable if the result is an adverse judgment. This includes costs involved in a final decision to (a) debar or suspend the contractor, (b) rescind or void the contract, or (c) terminate a contract for default for violation or failure to comply with the law. RFO FAR 31.205-47(b).
- c. Costs incurred in connection with any qui tam proceeding brought against the contractor are unallowable if the result is an adverse judgment. RFO FAR 31.205-47(b); False Claims Act, 31 U.S.C. § 3730.
- d. Costs related to prosecuting and defending claims and appeals against the Federal Government are unallowable. RFO FAR 31.205-47(f)(1); *Stewart & Stevenson Servs., Inc.*, ASBCA No. 43631, 97-2 BCA ¶ 29,252 modified by 98-1 BCA ¶ 29,653 (disallowing claimed legal

expenses related to counsel's preparation of a certified claim); *Marine Hydraulics Int'l, Inc.*, ASBCA No. 46116, 94-3 BCA ¶ 27,057 (finding that legal costs to prepare a request for equitable adjustment were unallowable costs to prepare a claim because the parties were not working together, the contract work had already been performed, and the issues had been in dispute for months); *P&M Indus., Inc.*, ASBCA No. 38759, 93-1 BCA ¶ 25,471 (finding that consultant fees for post termination administration costs were unallowable in the preparation of a claim). This approach is consistent with the general rule that attorneys' fees are not allowed in suits against the United States absent an express statutory provision allowing recovery. *See Piggly Wiggly Corp. v United States*, 112 Ct. Cl. 391, 81 F. Supp. 819 (1949).

- e. The Equal Access to Justice Act, 5 U.S.C. § 504, authorizes courts and boards to award attorneys' fees to qualifying prevailing parties unless the Government can show that its position was "substantially justified." *Midwest Holding Corp.*, ASBCA No. 45222, 94-3 BCA ¶ 27,138.
- f. Costs incurred incident to contract administration, or in furtherance of the negotiation of the parties' disputes, are allowable. RFO FAR 31.205-33 (consultant and professional costs may be allowable if incurred to prepare a demand for payment that does not meet the Contract Disputes Act definition of a "claim").
 - (1) "There must be a 'beneficial nexus' between effort for which the cost is incurred and performance or administration of the contract." *Appeal of Marine Hydraulics Intern., Inc.*, 94-3 BCA ¶ 27057 (1994) ("Contract administration normally involves 'the parties working together.'"); *SAB Constr., Inc. v. United States*, 66 Fed. Cl. 77 (Fed. Dist. 2005) (when the genuine purpose of incurred legal expenses is that of materially furthering a negotiation process, such cost should normally be allowable); *Prairie Wood Products*, AGBCA No. 91-197-1, 94-1 BCA ¶ 26,424 (submission of a proposal in aid of determining how a specification could be met was an allowable cost).
 - (2) Legal fees unrelated to presenting or defending claims against the Government are generally allowable. *Information Sys. & Networks Corp.*, ASBCA No. 42659, 00-1 BCA ¶ 30,665 (holding that legal expenses incurred in lawsuits against third-party vendors were allowable as part of convenience termination settlement); *Bos'n Towing and Salvage Co.*,

ASBCA No. 41357, 92-2 BCA ¶ 24,864 (holding that costs of professional services, including legal fees, are generally allowable, except where specifically disallowed).

- g. Third-Party Settlement Agreements. When a third party has sued a government contractor and the contractor has settled the lawsuit, the question becomes whether the legal costs associated with the settlement agreement are allowable. To determine allowability, courts and boards determine where, if an adverse judgment were reached, the damages, costs, and attorneys' fees would be allowable.

- (1) If yes, the cost of the settlement is allowable.
- (2) If no, then the cost of the settlement is disallowed unless the contractor can prove that the private suit has very little likelihood of success on the merits. *See Bechtel Nat'l, Inc. v. United States*, 929 F.3d 1375 (Fed. Cir. 2019); *Geren v. Tecom, Inc.*, 566 F.3d 1037, 1046 (Fed. Cir. 2009), rehearing and rehearing en banc denied, (Oct. 2, 2009). The rationale behind the "very little likelihood of success" test is two-fold. The FAR's policy is to disallow the cost of settling suits that were likely to have been meritorious and therefore disallowed if not settled. The reason is a policy judgment that assumes that suits brought by government entities are in most situations "likely to be meritorious." However, the same bright line assumption is not appropriate for suits brought by a private party. *Geren v. Tecom, Inc.*, 566 F.3d 1037, 1046 (Fed. Cir. 2009), rehearing and rehearing en banc denied, (Oct. 2, 2009).

6. Interest.

- a. Pre-Claim Interest. Contractors are not entitled to interest on borrowings, however represented, as part of an equitable adjustment. RFO FAR 31.205-20; *Servidone Constr. Corp. v. United States*, 931 F.2d 860 (Fed. Cir. 1991); *D.E.W. & D.E. Wurzbach, A Joint Venture*, ASBCA No. 50796, 98-1 BCA ¶ 29,385; *Superstaff, Inc.*, ASBCA Nos. 48062, et al., 97-1 BCA ¶ 28,845; *Tomahawk Constr. Co.*, ASBCA No. 45071, 94-1 BCA ¶ 26,312. This approach is consistent with the general rule that the United States is immune from interest liability absent an express statutory provision allowing recovery. *Library of Congress v. Shaw*, 478 U.S. 310 (1986).
- b. Lost Opportunity Costs. The damages for the "opportunity cost of money" are unrecoverable as a matter of law. *Adventure Group, Inc.*, ASBCA No. 50188, 97-2 BCA ¶ 29,081; *Environmental Tectonics*

Corp., ASBCA No. 42540, 92-2 BCA ¶ 24,902 (not only interest on actual borrowings, but also the economic equivalent thereof, are unallowable); *Dravo Corp. v. United States*, 219 Ct. Cl. 416, 594 F.2d 842 (1979).

- c. Cost of Money. Contractors may recover facilities capital cost of money (FCCM) (an element of the cost of facilities capital as used in 48 CFR § 9904.414) as part of an equitable adjustment. RFO FAR 31.205-10. Among the various allowability criteria, a contractor must specifically identify FCCM in its bid or proposal relating to the contract under which the FCCM cost is then claimed. RFO FAR 31.205-10(b)(3). *McDonnell Douglas Helicopter Co. d/b/a McDonnell Douglas Helicopter Sys.*, ASBCA No. 50756, 98-1 BCA ¶ 29,546.
- d. Prompt Payment Act Interest. Under the Prompt Payment Act, 31 U.S.C. §§ 3901-3907, the contractor is entitled to interest if the contractor submits a proper voucher, and the Government fails to make payment within 30 days. RFO FAR Subpart 32.9.
- e. Contract Disputes Act (CDA) Interest.
 - (1) Contractors are entitled to interest on claims based upon the rate established by the Secretary of the Treasury, as provided by the Contract Disputes Act, 41 U.S.C. §§ 7101-7109; RFO FAR Subpart 33.2, Disputes and Appeals.
 - (2) Interest begins to run when the contracting officer receives a properly certified claim. *Raytheon Co. v. White*, 305 F.3d 1354 (Fed. Cir. 2002). Interest runs regardless of whether the claimed costs have actually been incurred at the date of submission of a claim. *Servidone Constr. Co. v. United States*, 931 F.2d 860 (Fed. Cir. 1991).
 - (3) Convenience Termination Settlements. A termination for convenience settlement proposal is not initially considered a CDA claim, as it is generally submitted for purposes of negotiation. *James M. Ellett Constr. Co. v. United States*, 93 F.3d 1537 (Fed. Cir. 1996). Accordingly, a contractor is not entitled to interest on the amount due under a settlement agreement or determination. RFO FAR 49.112-2(d); *see also James M. Ellett Constr. Co. v. United States*, 93 F.3d 1537 (Fed. Cir. 1996). If a termination settlement proposal matures into a CDA claim (once settlement negotiations reach an impasse), then a contractor is entitled to interest.

- f. Payment of Interest. When the contracting officer pays a claim, the payment is applied first to accrued interest. Then, the payment is applied to the principal amount due. Any unpaid principal continues to accrue interest. *Paragon Energy Corp.*, ENG BCA No. 5302, 91-3 BCA ¶ 24,349.

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CHAPTER 14

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CHAPTER 14

SOCIOECONOMIC POLICIES

I. INTRODUCTION

- A. Vision of the Acquisition Process
 - 1. Deliver on a timely basis...
 - 2. the best value product or service to the customer,
 - 3. while maintaining the public's trust...
 - 4. and fulfilling **public policy** objectives. FAR 1.102(a) (emphasis added).

II. POLICY AND PROCEDURE IN SUPPORT OF SMALL BUSINESS

- A. **Policy.**¹ 15 U.S.C. §§ 631-650;
 - 1. Place a “fair proportion”² of acquisitions (prime contracts) with small business concerns.
 - 2. Promote maximum subcontracting opportunity for small businesses. FAR 19.702. Prime contractors must agree to provide small businesses the “maximum practicable opportunity to participate in subcontracts.”

¹ Congress declared its policy in promoting small businesses in 15 U.S.C. § 631. “The essence of the American economic system of private enterprise is free competition. Only through full and free competition can free markets, free entry into business, and opportunities for the expression and growth of personal initiative and individual judgment be assured. The preservation and expansion of such competition is basic not only to the economic well-being but to the security of this Nation. *Such security and well-being cannot be realized unless the actual and potential capacity of small business is encouraged and developed.* It is the declared policy of the Congress that the Government should aid, counsel, assist, and protect, insofar as is possible, the interests of small-business concerns in order to preserve free competitive enterprise, to insure that a *fair proportion* of the total purchases and contracts or subcontracts for property and services for the Government (including but not limited to contracts or subcontracts for maintenance, repair, and construction) *be placed with small-business enterprises*, to insure that a fair proportion of the total sales of Government property be made to such enterprises, and to maintain and strengthen the overall economy of the Nation.” (italics added).

² The goal for small businesses is that not less than **23%** of the total value of all government prime contract awards should go to small businesses. 15 U.S.C. § 644(g). The goal for service-disabled veteran-owned small businesses is not less than **5%** of the total value of all government prime contract and subcontract awards. 15 U.S.C. § 644(g). The goal for HUBZone small businesses is not less than **3%** of the total value of all government prime and subcontract contract awards. 15 U.S.C. § 644(g). The goal for women-owned small businesses is not less than **5%** of the total value of all government prime contract and subcontract awards. 15 U.S.C. § 644(g). The goal for socially and economically disadvantaged individual-owned small businesses is not less than **5%** of the total value of all government prime contract and subcontract awards. 15 U.S.C. § 644(g).

3. **Small business defined.** RFO FAR 2.101 and 15 U.S.C. § 632.
 - a. Independently owned and operated;
 - b. Not dominant in its field of operation; and,
 - c. Meets applicable size standards under RFO FAR 19.103.
4. Most Small Business Programs only apply in the United States or its outlying areas (i.e., Puerto Rico, Guam, U.S. Virgin Islands, American Samoa and others listed in RFO FAR 2.101). *See* RFO FAR 19.000(b). Note, however, that FAR Part 19.6 (Certificates of Competency and Determinations of Responsibility) does apply worldwide.

B. Size Standards and Size Determination Procedures

1. The Small Business Administration (SBA) establishes small business size standards on an industry-by-industry basis. RFO FAR 19.102(a); *see also* 13 C.F.R. § 121.
2. Small business size standards are applied by classifying the product or service being acquired in the industry whose definition best describes the principal nature of the product or service being acquired. RFO FAR 19.102(b).
 - a. Depending on the industry, the size standards are based on either annual receipts or number of employees.
 - (1) Size standards based on annual receipts includes all revenue, which factors in total income plus the cost of goods sold within the past year. 13 C.F.R. § 121.104. A firm is small if its average annual receipts do not exceed the specified number of dollars.
 - (2) Size standards based on number of employees includes the average number of all employees for each of the last twelve months. 13 C.F.R. § 121.106. A firm is small if its average number of employees does not exceed the figure associated with the particular NAICS code in question.
3. **NAICS Classification.** To establish the applicable size standard, the contracting officer adopts an appropriate product or service classification called a North American Industry Classification System (NAICS) code and *includes it in the solicitation for all acquisitions exceeding the micropurchase threshold.*³ RFO FAR 19.103. The NAICS Manual which

³ The micropurchase threshold is generally \$10,000 (as of June 2025), but it could increase depending on special circumstances. See Acquisition Attorneys Deskbook, Chapter 10, Simplified Acquisitions.

explains and defines the codes (from 13 C.F.R. § 121.201) is available on the internet at <https://www.census.gov/naics/>.

- a. This NAICS classification establishes the applicable size standard for the acquisition. The contracting officer specifies NAICS size standard classification in the solicitation so offerors can appropriately represent themselves as small or large when responding to the solicitation.
- b. For size standard purposes, a product or service shall be classified in only one NAICS code, whose definition best describes the principal nature of the product or service. RFO FAR 19.103(b)4; *see NAICS Appeal of Technica Corp.*, SBA No. NAICS-5248, June 20, 2011.
- c. **NAICS Code Appeals.** The contracting officer's NAICS code designation is final unless appealed directly to the SBA's Office of Hearings and Appeals (OHA) located in Washington, D.C. Any interested party adversely affected by a NAICS code designation may appeal the contracting officer's NAICS code selection in writing as a matter of right to the SBA's OHA **within 10 calendar days after** the issuance of the initial solicitation; the SBA's OHA will summarily dismiss an untimely appeal. The appellant must exhaust the OHA appeal process before seeking judicial review. 13 C.F.R. § 121.1103, and RFO FAR 19.103.
- d. **Delay of opening offers or contract award pending a NAICS code appeal.** *See Aleman Food Serv., Inc.*, B-216803, 85-1 CPD ¶ 277 (Comp. Gen. Mar. 6, 1985). If the SBA finds the original NAICS code improper, the contracting officer must amend the solicitation to reflect the SBA's decision *only* if the contracting officer receives the SBA determination *before* the date offers are due. If the contracting officer receives the SBA's decision after the date that offers are due, then that decision will apply only to future solicitation of the same products and services. *See* RFO FAR 19.103
- e. The GAO does not review NAICS Code appeals (a.k.a. "classification" protests) as that authority has been granted to the SBA's Office of Hearings and Appeals (15 U.S.C. § 632(a)(9)); *see also A-P-T Research, Inc. Costs*, B-298352.3, 2007 CPD ¶ 60 (Comp. Gen. Sep. 28, 2006) (stating that "our Bid Protest Regulations provide that 'challenges of the selected standard industrial classification may be reviewed *solely* by the Small

⁴ See also RFO FAR 19.103(b)(2)(ii), for discussion of multiple award contracts.

Business Administration”). The GAO regulation is codified at 4 C.F.R. 21.5.

4. **Small business certification.** Representations. RFO FAR 19.201.

- a. Self-certification. “To be eligible for award as a small business, an offeror must represent, in good faith, that it is a small business at the time of the written representation.” RFO FAR 19.201-1(a). *See also Randolph Eng’g Sunglasses*, B-280270, 98-2 CPD ¶ 39 (Comp. Gen. Aug. 10, 1998); *United Power Corp.*, B-239330, 90-1 CPD ¶ 494 (Comp. Gen. May 22, 1990). The “contracting officer shall accept an offeror’s representation . . . that it is a small business unless” another offeror challenges the representation or the contracting officer has reason to question the representation. FAR 19.301-1(b). *AMI Constr.*, B-286351, 2000 CPD ¶ 211 (Comp. Gen. Dec. 27, 2000).
- b. SBA certification. The offeror’s representation that it is a small business is not binding on the SBA. If an offeror’s status as a small business is challenged, then the SBA will evaluate the business’ status and make a determination, which is binding on the contracting officer. RFO FAR 19.201-1. *MTB Investments, Inc.*, B-275696, 97-1 CPD ¶ 112 (Comp. Gen. Mar. 17, 1997); *Olympus Corp.*, B-225875, 87-1 CPD ¶ 407 (Comp. Gen. Apr. 14, 1987).
- c. If an acquisition is set-aside for small business, the failure of the bidder to certify its status **does not**, in and of itself, render the bid nonresponsive. *Last Camp Timber*, B-238250, 90-1 CPD ¶ 461 (Comp. Gen. May 10, 1990); *Concorde Battery Corp.*, B-235119, 89-2 CPD ¶ 17 (Comp. Gen. June 30, 1989).
- d. Neither the FAR nor the SBA regulations require a firm to re-certify size status before an agency exercises an option where the agency awarded the original contract on a set-aside basis. *See Vantex Serv. Corp.*, B-251102, 93-1CPD ¶ 221 (Comp. Gen. Mar. 10, 1993). *But see CMS Info. Servs., Inc.*, B-290541, 2002 CPD ¶ 132 (Comp. Gen. Aug. 7, 2002) (holding that agency may properly require firms to certify their size status as of the time they submit their quotes for an indefinite delivery/indefinite quantity (IDIQ) task order). *But see* 13 C.F.R. § 121.404(g) regarding novations or mergers.
- e. If a contractor misrepresents its status as a small business **intentionally**, the contract is void or voidable. *C&D Constr., Inc.*, ASBCA No. 38661, 90-3 BCA ¶ 23,256 (A.S.B.C.A. Aug. 20, 1990); *J.E.T.S., Inc.*, ASBCA No. 28642, 87-1 BCA ¶ 19,569, *aff’d*, *J.E.T.S., Inc. v. United States*, 838 F.2d 1196 (Fed. Cir.

1988). *Cf. Danac, Inc.*, ASBCA No. 30227, 92-1 BCA ¶ 24,519. Additionally, such a misrepresentation may be a false statement under 18 U.S.C. §1001 and 15 U.S.C. §645.

- f. Self-certification only applies to status as a small business, minority-owned business, woman-owned business, and veteran-owned business. SBA certification and approval are *required* for entrance into the 8(a) business development program, the HUBZone program, and for service-disabled veteran-owned small businesses (SDVOSB).⁵

5. **Size status protests** (a.k.a. protesting representation of being a “small business”). RFO FAR 19.201-2.

- a. Per 19.201-2(a), “an offeror, the contracting officer, SBA, or another interested party may protest the small business representation of an offeror in a specific offer. However, for competitive 8(a) contracts, the filing of a protest is limited to an offeror, the contracting officer, or SBA.”
- b. A protest is “timely” if received by the contracting officer by close of business of the 5th business day either (1) after bid opening in a sealed bid acquisition or (2) after the protester receives notice of the proposed awardee’s identity in a negotiated acquisition. 13 C.F.R. § 121.1004.
- c. A size status protest filed by either the contracting officer or by the SBA is always timely whether filed before or after contract award. 13 C.F.R. § 121.1004(b). *Alliance Detective & Security Service, Inc.*, B-299342, 2007 CPD ¶ 56 (Comp. Gen. Apr. 13, 2007)⁶ *Eagle Design and Mgmt., Inc.*, B-239833, 90-2 CPD ¶ 259 (Comp. Gen. Sept. 28, 1990); *United Power Corp.*, B-239330, 90-1 CPD ¶ 494 (Comp. Gen. May 22, 1990).

- (1) The contracting officer ***must forward the protest*** (whether timely or not) to the SBA Government Contracting Area

⁵ Section 864 of the NDAA for FY 2024 eliminated self-certification for service-disabled veteran-owned small businesses (SDVOSB). The SBA implemented a final rule effective August 5, 2024.

⁶ The GAO reiterated that an SBA protest is always timely. In this case, a Department of Homeland Security (DHS) contracting officer awarded a contract to C&D Security Management, Inc. (C&D) despite pending size status protests. The GAO found timely an SBA size status protest filed over two months after the contracting officer notified the offerors that he intended to award to C&D. Further, because the SBA protest was timely, the GAO found that the SBA’s determination that C&D was not a small business applied to the procurement at issue and so, C&D was not eligible for award. While GAO considered recommending that the contracting officer terminate the contract with C&D, because C&D had already incurred substantial performance costs, GAO recommended that DHS allow C&D to perform during the base performance period, but that it not exercise any of the options available under the contract.

Office for the geographic area where the principal office of the business in question is located and ***must withhold award*** until: (1) the SBA has made a size determination or (2) 15 business days have elapsed since SBA's receipt of the protest, whichever occurs first, absent a finding of urgency; however, award shall not be withheld when the contracting officer determines in writing that an award must be made to protect the public interest. RFO FAR 19.201-2(g)(1). *Alliance Detective & Security Service, Inc.*, B-299342, 2007 CPD ¶ 56 (Comp. Gen. Apr. 13, 2007)⁷; *Aquasis Servs., Inc.*, B-240841.2, 91-1 CPD ¶ 592 (June 24, 1991).

- (2) The SBA Government Contracting Area Office ***must rule within 15 business days*** or the contracting officer may proceed with award, if the contracting officer makes a written determination that there is an immediate need to award and that waiting will be disadvantageous to the Government. RFO FAR 19.201-2 (g)(2). *Systems Research and Application Corp.*, B-270708, 96-1 CPD ¶ 186 (Comp. Gen. Apr. 15, 1996); *International Ordnance, Inc.*, B-240224, 90-2 CPD ¶ 32 (Comp. Gen. Jul. 17, 1990). Even if the 15 days have passed (and whether or not award has been made), if the SBA rules that the awardee is not a small business, the agency should consider that ruling, and award or continue to allow performance at its own peril. *ALATEC*, B-298730, Dec. 4, 2006, 2006 CPD ¶ 191; *Hydroid LLC*, B-299072, Jan. 31, 2007, 2007 CPD ¶ 20.⁸ *TrustComm, Inc.*, 2013 CPD ¶ 237 (Comp. Gen. 2013).⁹
- (3) The SBA Government Contracting Area Office decisions are appealable to the Office of Hearings and Appeals

⁷ In this case, the GAO found that a DHS contracting officer's award of a contract before referring two size status protests to SBA was improper in that he failed to withhold award as required under FAR 19.302.

⁸ These cases stand for the proposition that even where the requirements of 19.302 have been met by the agency, termination may be appropriate where: 1) a timely protest was filed; 2) the area office found the business not small and there was no appeal of the SBA ruling, and; 3) there are no countervailing circumstances that weigh in favor of allowing a "not small" business to continue performance. In short, letting a "known" large business perform a small-business set-aside is going to be frowned upon by GAO.

⁹ The GAO found that the Coast Guard was reasonable in not terminating contract of awardee despite SBA determination (almost 9 months after size status protest) that the awardee is other than small. There were *countervailing circumstances* that weighed against termination. Namely, the delay that would result in going to the next in line offeror would have required repeating extensive first article testing, and the resulting delay to an already delayed program would have resulted in significant costs and adversely affected mission effectiveness of Coast Guard cutters.

within the time limits contained in Subpart C of Part 13 C.F.R. 134 and RFO FAR 19.201-2(h). If a post-award appeal is submitted to OHA within the time limits, the contracting officer shall consider suspending contract performance until an SBA Judge decides the appeal.

- d. SBA's decision, if received before award, will apply to the pending acquisition. If the contracting officer has made a written determination in accordance with RFO FAR 19.201-2(g)(1) or (2), the contract has been awarded, the SBA ruling is received after award, and OHA finds the protested concern to be ineligible for award, the contracting officer shall *terminate* the contract unless termination is not the best interests of the Government, in keeping with the circumstances described in the written determination. However, the contracting officer shall not exercise any options or award further task or delivery orders. RFO FAR 19.201-2(h); *McCaffery & Whitener, Inc.*, B-250843, 93-1 CPD ¶ 168 (Comp. Gen. Feb. 23, 1993); *Verify, Inc.*, B-244401.2, 92-1 CPD ¶ 107 (Comp. Gen. Jan. 24, 1992). *Trident, LLC*, 2012 CPD ¶ 201 (Comp. Gen. Jul. 5, 2012).¹⁰ In negotiated small business set-asides, the agency must inform each unsuccessful offeror prior to award, upon completion of negotiations, determinations of responsibility. The notice shall include: the name and location of the apparent successful offeror; that the Government will not consider subsequent revisions; and that no response is required unless a basis exists to challenge. RFO FAR 15.503(a)(2) and RFO FAR 19.201-2(d)(1); *Resource Applications, Inc.*, B-271079, 96-2 CPD ¶ 61 (Comp. Gen. Aug. 12, 1996); *Phillips Nat'l, Inc.*, B-253875, 93-2 CPD ¶ 252 (Comp. Gen. Nov. 1, 1993).
- e. As discussed above, late size status protests (and timely protests filed after contract award) generally do not apply to the current contract under competition; rather, the protest will be considered for future actions. RFO FAR 19.201-2(i). *See Chapman Law Firm v. United States*, 63 Fed. Cl. 25 (2004). *But see Adams Indus. Servs., Inc.*, B-280186, Aug. 28, 1998, 98-2 CPD ¶ 56 (protester filed protest after award; however, under the circumstances of this procurement, simplified acquisition procedures did not require the agency to issue a pre-award notice to unsuccessful vendors. Since the protest was filed within 5 days after the protester received notice of the issuance of a purchase order to the awardee, the protest was considered timely).

¹⁰ The GAO denied protester's assertion that contract award that was terminated pursuant to negative size status determination should be reinstated following successful appeal to the SBA OHA, because the Navy followed all applicable regulations in terminating the award, and properly solicited revised proposals from all offerors.

- f. The GAO does not review size protests. *McCaffery & Whitener, Inc.*, B-250843, 93-1 CPD ¶ 168 (Comp. Gen. Feb. 23, 1993) (stating that “the Small Business Act . . . gives the SBA, not our Office, the exclusive and conclusive authority to determine matters of small business size status for federal procurement”); *DynaLantic Corp.*, B-402326, 2010 CPD ¶ 103 (Comp. Gen. Mar. 15, 2010); *Hughes Group Sol.*, B-408781.2, 2014 CPD ¶ 91 (Comp. Gen. Mar. 5, 2014).
- g. Courts will not overrule an SBA determination unless it is arbitrary, capricious, an abuse of discretion, or not in accordance with law or regulation. *See Defense Integrated Solutions, LLC v. United States*, Fed. Cl. No. 23-64C (April 5, 2023); *see also STELLACOM, Inc. v. United States*, 24 Cl. Ct. 213 (1991).

C. Responsibility Determinations and Certificates of Competency (COCs).

1. Federal Acquisition Streamlining Act of 1994, Pub. L. No. 103-355, § 7101, 108 Stat. 3243, 3367 [hereinafter FASA] (repealing § 804, National Defense Authorization Act, 1993, Pub. L. No. 102-484), 106 Stat. 2315, 2447 (1992); RFO FAR Subpart 19.2.
2. The contracting officer must determine an offeror’s responsibility. RFO FAR 9.103(b).
3. **Responsibility defined:** Prospective contractors must have adequate resources, be capable of complying with proposed delivery schedules, have a satisfactory performance record; have a satisfactory record of business integrity and ethics; have the necessary organization, experience, accountability measures, etc.; have the necessary production/technical equipment/facilities; and be qualified and eligible to receive award. RFO FAR 9.104-1.
4. **Certificate of Competency Program.** This program empowers the SBA to certify to a contracting officer that a small business is responsible so that it can perform a particular government contract. *If the contracting officer finds a small business nonresponsible, he or she **must** forward the matter to the SBA Government Contracting Area Office immediately and must withhold award* (for 15 business days after receipt by SBA). RFO FAR 19.204. *Latvian Connection, LLC*, B-410947, 2015 CPD ¶117 (Comp. Gen. Mar 31, 2015); *Latvian Connection, LLC*, B-410981, 2015 CPD ¶125 (Comp. Gen. Apr 6, 2015).¹¹ Then the SBA will notify the business of the contracting officer’s determination and offer the business the opportunity to apply for a COC. If the business applies for a COC,

¹¹ Protests were sustained where FedBid, acting as the agent for the contracting agency, excluded the protester, a small business, from the competition based on a perceived lack of business integrity, in effect making a negative responsibility determination, without referring the matter to the SBA under the COC procedures.

then the SBA will either **issue a COC** (if it finds the business responsible) or the SBA will **deny the COC**. RFO FAR 19.204(g).

5. The SBA issues a COC if it finds that the offeror is responsible.
 - a. The burden is on the offeror to apply for a COC. RFO FAR 19.204. *Thomas & Sons Bldg. Contr., Inc.*, B-252970.2, 93-1 CPD ¶ 482 (Comp. Gen. Jun. 22, 1993).
 - b. The contracting officer may appeal a decision to issue a COC if the contracting officer and the SBA disagree regarding a small business concern's ability to perform. For COCs valued between \$100,000 and \$25,000,000, the SBA Associate Administrator for Government Contracting will make the final determination on whether to issue a COC. For COCs valued over \$25,000,000, the SBA Headquarters will make the final determination. See FAR 19.602-3; AFARS 5119.602-3; *Holiday Inn-Laurel—Protest and Request for Costs*, B-270860.3, B-270860.4, 96-2 CPD ¶ 259 (Comp. Gen. May 30, 1996).
6. The contracting officer “shall” award to another offeror if the SBA does not issue a COC within 15 business days of receiving a referral. RFO FAR 19.204(j); *Mid-America Eng'g and Mfg.*, B-247146, 92-1 CPD ¶ 414 (Comp. Gen. Apr. 30, 1992). Cf. *Saco Defense, Inc.*, B-240603, 90-2 CPD ¶ 462 (Comp. Gen. Dec. 6, 1990).
7. If the SBA refuses to issue a COC, the contracting officer need not refer the case back to the SBA upon presentation of new evidence by the contractor. *Discount Mailers, Inc.*, B-259117, 95-1 CPD ¶ 140 (Comp. Gen. Mar. 7, 1995).
8. Once the SBA issues a COC, it is **conclusive** as to all elements of responsibility. So, once the contracting officer receives notice of the COC, the contracting officer **must** award the contract to the small business. FAR 19.204(i). GAO review of the COC process is limited to determining whether government officials acted in bad faith or failed to consider vital information. *The Gerard Co.*, B-274051, 96-2 CPD ¶ 177 (Comp. Gen. Nov. 8, 1996); *UAV Sys., Inc.*, B-255281, 94-1 CPD ¶ 121 (Comp. Gen. Feb. 17, 1994); *J&J Maint., Inc.*, B-251355.2, 93-1 CPD ¶ 373 (Comp. Gen. May 7, 1993).
9. The COC procedure does not apply when an agency declines to exercise an option due to responsibility-type concerns. *E. Huttenbauer & Son, Inc.*, B-258018.3, 95-1 CPD ¶ 148 (Comp. Gen. Mar. 20, 1995).
10. The COC procedure generally does not apply when the contracting officer rejects a technically unacceptable offer. See *Paragon Dynamics, Inc.*, B-251280, 93-1 CPD ¶ 248 (Comp. Gen. Mar. 19, 1993); *Pais Janitorial*

Serv. & Supplies, Inc., B-244157, June 18, 1991, 91-1 CPD ¶ 581;
compare with Fabritech, Inc., B-298247, July 27, 2006.

11. The COC procedure applies when an agency determines that a small business contractor is nonresponsible based solely on a pass/fail evaluation of the firm's past performance. *See Phil Howry Co.*, B-291402.3, B-291402.4, 2003 CPD ¶ 33 (Comp. Gen. Feb. 6, 2003); *In re FitNet Purchasing Alliance*, 2014 CPD ¶ 344 (Comp. Gen. 2014).

D. Regular Small Business Set-Asides

RFO FAR 19.104.

1. The decision to set aside procurement for participation only by small businesses is a business judgment within the discretion of the contracting officer, which will not be disturbed absent a showing that it was unreasonable with that discretion limited by various provisions of law and regulation. The SBA may also *sua sponte* recommend that a certain acquisition be set aside for small businesses. RFO FAR 19.102(f); *Neal R. Gross & Co.*, B-240924.2, 91-1 CPD ¶ 53 (Comp. Gen. Jan. 17, 1991); *Espey Mfg. & Elecs. Corp.*, B-254738.3, 94-1 CPD ¶ 180 (Comp. Gen. Mar. 8, 1994).
2. The agency must exercise its discretion reasonably and in accordance with statutory and regulatory requirements. *DCT Inc.*, B-252479, 93-2 CPD ¶ 1 (Comp. Gen. July 1, 1993); *Neal R. Gross & Co.*, B-240924.2, 91-1 CPD ¶ 53 (Comp. Gen. Jan. 17, 1991); *Quality Hotel Offshore*, B-2900462002 CPD ¶ 91 (Comp. Gen. May 31, 2002).
3. DFARS 219.201 requires small business specialist review of all acquisitions over the micro-purchase threshold, except simplified acquisition threshold contracts that are total small business set asides. *See also* PGI 219.201(c)(10).

4. Types of set-asides:

a. **Total**

- (1) Acquisitions the micro-purchase threshold (\$15,000) and the simplified acquisition threshold (\$350,000). 15 U.S.C. § 644(j), 13 CFR 125.2(f)(1), and RFO FAR 19.104-1(a).
- (2) The contracting officer ***shall*** set aside any acquisition over the SAT for small business participation ***if*** the contracting officer reasonably expects that:
 - (a) Offers will be obtained from at least two responsible small businesses and,

- (b) Award will be made at fair market prices. *Adams & Assoc., v. United States*, 741 F.3D 102, 110 (Fed. Cir. 2014).

(3) Exceptions.

- (i) There is no requirement to set aside if there is no reasonable expectation of receiving offers from two or more responsible small businesses that will be competitive in terms of “market prices, quality, and delivery.”
- (ii) Overseas? In *Latvian Connection, LLC*, B-408633, 2013 CPD ¶ 224 (Comp. Gen. Sept. 18, 2013), GAO found that the Small Business Act did not require agencies to set aside for small businesses located outside the U.S. procurements valued under the simplified acquisition threshold when the SBA is silent and FAR Part 19 is expressly limited to the United States (FAR 19.000(b)). However, in response to GAO’s decision, the SBA amended its regulation to establish worldwide applicability of small business provisions. 13 C.F.R. § 125.2. The FAR still explicitly exempts from FAR Part 19 any contracts to be performed outside the U.S. or its outlying areas, with the exception of the Certificate of Competency Program.

- (4) Is there any real difference? While the language in the FAR is similar, the real difference lies in the interaction with other SBA programs. For acquisitions over the SAT, the contracting officer **MUST** consider the 8(a), HUBZone, WOSB, and SDVOSB programs before using a small business set aside (*See* Parts III and IV).

b. **Partial.** RFO FAR 19.104-2; *Aalco Forwarding, Inc., et. al.*, B-277241.16, 98-1 CPD ¶ 75 (Comp. Gen. Mar. 11, 1998). The contracting officer **may** set aside a portion of an acquisition, except for construction, for exclusive small business participation when:

- (1) A total set-aside is not appropriate;
- (2) The requirement can be divided into distinct portions;

- (3) The acquisition is not subject to simplified acquisition procedures
 - (4) Two or more responsible business concerns are reasonably expected to submit an offer on the set-aside portion or portions of the acquisition that are competitive in terms of fair market prices, quality, and delivery; and
 - (5) The specific program eligibility requirements identified in Part 19 apply.
- 5. Limitations on Subcontracting by Small Businesses. If the agency sets aside an acquisition, certain subcontracting and domestic end item limitations apply to the small business awardee. *See* 15 U.S.C. § 657s, 13 C.F.R. § 125.6 and RFO FAR 52.219-14. *See also Innovative Refrigeration Concepts*, B-258655, 95-1 CPD ¶ 61 (Comp. Gen. Feb. 10, 1995); *Adrian Supply Co.*, B-257261, 95-1 CPD ¶ 21 (Comp. Gen. Sept. 15, 1994); *Kaysam Worldwide, Inc.*, B-247743, 92-1 CPD ¶ 500 (Comp. Gen. June 8, 1992).
 - a. Services and Supplies use the same methodology for applying the limitation on subcontracting rule.
 - (1) The contractor may not expend on subcontractors more than 50% of the amount paid to the concern under the contract based on a percentage of the overall award. 15 U.S.C. 657s(a).
 - (2) Similarly situated entities. A similarly situated entity is defined as a small business subcontractor that is a participant of the same small business program as the prime contractor, and is small for the NAICS code assigned by the prime contractor to the subcontract.
 - (a) 15 U.S.C. 657s(b) provides that work done by a similarly situated entity as subcontractors is not considered in determining if the limitation on subcontracting is violated. *E.g.*, if an 8(a) subcontracts to another 8(a), it is treated for purposes of the threshold as if the prime was doing that work.
 - (b) Only a first-tier subcontractor, however, can be counted as a similarly situated entity, and the first-tier subcontractor must perform the work with its own employees to receive the benefit of the similarly situated entity exemption.

- (3) In the case of a regular dealer in supplies, the dealer must supply the product of a domestic small business, unless waived.
 - b. Construction. The small business contractor cannot pay subcontractors more than 85% of amount they receive from the government.
- 6. Rejecting SBA set-aside recommendations and withdrawal of set-asides. RFO FAR 19.102.
 - a. The contracting officer may reject an SBA recommendation or withdraw a set-aside before award, however, the contracting officer must notify the SBA of the rejection. The SBA may then appeal the rejection to the head of the contracting activity. RFO FAR 19.102(f).
 - b. The FAR sets forth notice and appeal procedures for resolving disagreements between the agency and the SBA. If the contracting agency and the SBA disagree, the contracting agency has the final word on set-aside or withdrawal decisions.
 - c. Potential offerors also may challenge the contracting officer's decision to issue unrestricted solicitations or withdraw set-asides. *DMS Pharmaceutical Group, Inc.*, B-406305, 2012 CPD ¶ 140 (Comp. Gen. Apr. 6, 2012); *Aerostructures, Inc.*, B-280284, 98-2 CPD ¶ 71 (Comp. Gen. Sep. 15, 1998); *American Imaging Servs.*, B-238969, 90-2 CPD ¶ 51 (Comp. Gen. Jul. 19, 1990).
 - d. If the activity receives **no** small business offers or the contracting officer determines that award would be "detrimental to the public interest," the contracting officer may not simply award the contract to a large business but rather, must withdraw the solicitation and resolicit on an unrestricted basis (allowing the potential for both small and large businesses to compete). RFO FAR 19.205(d). *Western Filter Corp.*, B-247212, 92-1 CPD ¶ 436 (Comp. Gen. May 11, 1992); *CompuMed*, B-242118, 91-1 CPD ¶ 19 (Comp. Gen. Jan. 8, 1991); *Ideal Serv., Inc.*, B-238927.2, 90-2 CPD ¶ 335 (Comp. Gen. Oct. 26, 1990).

III. PROGRAMS FOR SMALL DISADVANTAGED BUSINESSES

- A. **Contracting with the SBA's "8(a)" Business Development Program.** 15 U.S.C. § 637(a); 13 C.F.R. Part 124; RFO FAR Subpart 19.108.
 - 1. **Policy.** The primary program in the federal government designed to assist small disadvantaged businesses is commonly referred to as the "8(a)"

program.” The program derives its name from Section 8(a) of the Small Business Act. Section 8(a) authorizes the SBA to enter into contracts with other federal agencies. The SBA then subcontracts with eligible small disadvantaged businesses (SDBs). 15 U.S.C. §637(a). The purpose of the 8(a) program is to “assist eligible small disadvantaged business concerns [to] compete in the American economy through business development.” 13 C.F.R. §124.1.

- a. By Partnership Agreement (PA), between DOD and the SBA, the SBA delegated its authority to DOD to enter into 8(a) prime contracts with 8(a) contractors. Per the PA, the DOD contracting officers can bypass the SBA and contract **directly** with 8(a) SDBs on behalf of the SBA. The DOD contracting officers **only** have the authority to sign contracts on behalf of the SBA. The SBA remains the prime contractor on all 8(a) contracts, continues to determine eligibility of concerns for contract award, and retains appeal rights under RFO FAR 19.108-9. *See* RFO DFARS 219.108.
- b. Either the SBA or the contracting activity may initiate selection of a requirement or a specific contractor for an 8(a) acquisition. RFO FAR 19.108-3; DFARS PGI 219.803
- c. Businesses must meet the criteria set forth in 13 C.F.R. §§ 124.101 - 124.112 to be eligible under the 8(a) program. RFO FAR 19.108-2; *Autek Sys. Corp.*, 835 F. Supp. 13 (D.D.C. 1993), *aff’d*, 43 F.3d 712 (D.C. Cir. 1994).
 - (1) The firm must be “owned and controlled by...socially **and** economically disadvantaged individuals.” 13 C.F.R. § 124.101. The regulations require 51% ownership and control by one or more individuals who are **both** socially **and** economically disadvantaged. 13 C.F.R. § 124.105. *See also Software Sys. Assoc. v. Saiki*, No. 92-1776 (D.D.C. June 24, 1993) 19,932 F.3d 1143; *SRS Technologies v. United States*, No. 95-0801 (D.D.C. July 18, 1995) 894 F.Supp. 8.
 - (a) “**Socially disadvantaged**” individuals are those who have been “subjected to racial or ethnic prejudice or cultural bias within American society because of their identities as members of groups and without regard to their individual qualities. The social disadvantage must stem from circumstances beyond their control.” 13 C.F.R. § 124.103(a).

- (i) Historically, SBA relied on a “rebuttable presumption” that members of the following designated groups are socially disadvantaged: Black Americans, Hispanic Americans, Native Americans (American Indians, Eskimos, Aleuts, or Native Hawaiians), Asian Pacific Americans, among others. 13 C.F.R. § 124.103(b)(1). See (iii) below for current guidance.
- (ii) Individuals who are not members of designated socially disadvantaged groups must establish individual social disadvantage by a “preponderance of the evidence.” 13 C.F.R. § 124.103(c)(1). Previously, individuals not members of designated groups needed to prove social disadvantage by “clear and convincing evidence.”

On July 19, 2023, the U.S. District Court for the Eastern District of Tennessee issued a ruling in *Ultima Servs. Corp. V. Dep’t of Ag.* that barred SBA from using the presumption of social disadvantage to administer the 8(a) Program. Under DOJ guidance regarding the Court’s order, SBA is requiring all 8(a) participants who originally relied upon the presumption of social disadvantage in their application to re-establish their 8(a) Program eligibility by completing a social disadvantage narrative. The SBA website has guidance for entities looking to complete the necessary narrative.

- (b) **“Economically disadvantaged”** individuals are “socially disadvantaged individuals whose ability to compete in the free enterprise system has been impaired due to diminished credit capital and credit opportunities as compared to others in the same or similar line of business who are not socially disadvantaged.” 13 C.F.R. § 124.104(a).
 - (i) In considering diminished capital and credit opportunities, the SBA will consider such factors as:

- a. Personal income for the last three years;
 - b. Personal net worth;
 - c. And the fair market value of all assets.
- (ii) Net Worth. 13 C.F.R. § 124.104(c). For initial 8(a) eligibility, the net worth of an individual claiming disadvantage must be *less than \$850,000*. (Note “net worth” excludes the value of the primary personal residence).
- (2) The firm must possess the “potential for success.” 15 U.S.C. § 637(a)(7) and 13 C.F.R. § 124.107. One aspect of “potential for success” is the requirement that the firm must have been in business for two full years in the industry for which it seeks certification. The SBA is responsible for determining which firms are eligible for the 8(a) program. The SBA has reasonable discretion to deny participation in the 8(a) program to clearly unqualified firms as long as applications receive careful and thorough review. *See Neuma Corp. v. Abdnor*, 713 F. Supp. 1 (D.D.C. 1989).
- d. The firm must have an approved business plan. 15 U.S.C. §636(j)(10)(A)(i).
- e. Generally, per 13 C.F.R. § 124.504, the SBA will not accept a procurement for award as an 8(a) contract if:
 - (1) An activity already has issued a solicitation with the intent to set aside the procurement for small businesses or SDBs prior to offering the requirement to SBA;
 - (2) The procuring activity competed the requirement among participants prior to offering the requirement to SBA and receiving SBA acceptance.
 - (3) The SBA determines that inclusion of a requirement in the 8(a) program will affect a small business or SDB adversely. 13 C.F.R. § 124.504(c)(1)-(3)(2004). *See Designer Assocs.*, B-293226, 2004 CPD ¶114 (Comp. Gen. Feb. 12, 2004); *C. Martin Co., Inc.*, B-292662, 2003 CPD ¶ 207 (Comp. Gen. Nov. 6, 2003); *John Blood*, B-28031898-2 CPD ¶ 58(Comp. Gen. Aug. 31, 1998); *McNeil*

Technologies, Inc., B-254909, 94-1 CPD ¶ 40 (Comp. Gen. Jan. 25, 1994).

2. **Procedures.** 13 C.F.R. §124.

- a. If the activity decides that an 8(a) contract is feasible and desirable, it offers SBA an opportunity to participate. Contracts currently performed by an 8(a) via the 8(a) BD program must remain in the 8(a) BD program unless the SBA allows the requirement to be released. This includes follow on contracts. *See* 13 C.F.R. §124.504.
- b. Contracts may be awarded to the SBA (or directly to the 8(a) contractor for DoD) for performance by eligible 8(a) firms “on either a sole source or competitive basis.” RFO FAR 19.108-1.
- c. If the SBA accepts, the agency or the SBA chooses a contractor, or eligible firms compete for award. *See Defense Logistics Agency and Small Bus. Admin. Contract No. DLA100-78-C-5201*, B-225175, Feb. 4, 1987, 87-1 CPD ¶ 115. Frequently, SBA chooses only one contractor to perform. If so, such a sole-source acquisition is an exception to “full and open competition” authorized under FAR Part 6.2 (referred to as “full and open competition after exclusion of sources”).
- d. Per RFO FAR 19.108-7, activities must generally compete larger 8(a) acquisitions if:
 - (1) The activity expects offers from two eligible, responsible 8(a) firms at a fair market price, *see Horioka Enters.*, B-259483, 94-2 CPD ¶ 255(Comp. Gen. Dec. 20, 1994),;
and
 - (2) The value of the contract is expected to exceed \$8.5 million for actions assigned manufacturing NAICS codes or \$5.5 million for all other codes. *See* 13 C.F.R. § 124.506(a); RFO FAR § 19.108-7(a). The threshold applies to the agency’s estimate of the total value of the contract, including all options.

Where the acquisition exceeds these thresholds, the SBA may still accept the acquisition for sole-source award if there is no reasonable expectation that at least two eligible 8(a) firms will submit fair market offers.
 - (3) The contracting officer must prepare a written Justification & Approval (J&A) to sole source to an 8(a) if an acquisition exceeds \$30 million. RFO FAR 19.208-2; RFO

FAR 6.104. Any sole source to an 8(a) with a value over \$30 million must be approved by an appropriate agency official (as currently defined by RFO FAR 6.104-2) and made public after award. RFO FAR 6.301.

- e. The COC procedures do not apply to sole source 8(a) acquisitions. *DAE Corp. v. SBA*, 958 F.2d 436 (1992); *Action Serv. Corp. v. Garrett*, 797 F. Supp. 82 (D.P.R. 1992); *Joa Quin Mfg. Corp.*, B-255298, Feb. 23, 1994, 94-1 CPD ¶ 140; *Aviation Sys. & Mfg., Inc.*, B-250625.3, 93-1 CPD ¶ 155 (Comp. Gen. Feb. 18, 1993); *Alamo Contracting Enters.*, B-249265.2, 92-2 CPD ¶ 358 (Comp. Gen. Nov. 20, 1992).
- f. Subcontracting limitations apply to competitive 8(a) acquisitions.¹² 13 C.F.R. §124.510; See RFO FAR 52.219-14; *Tonya, Inc. v. United States*, 28 Fed. Cl. 727 (1993); *Jasper Painting Serv., Inc.*, B-251092, 93-1 CPD ¶ 204 (Comp. Gen. Mar. 4, 1993).
- g. Partnership between General Services Administration (GSA) and SBA.¹³
 - (1) SBA agreed to accept all 8(a) firms into GSA's Multiple Award Schedule Program, aka the "MAS 8(a) Pool Program."
 - (2) Agencies that buy from a Federal Supply Schedule 8(a) contractor may count the purchase toward the agency's small business goals.
- h. Graduation from 8(a) program. A firm "graduates" from the 8(a) program when it "completes its nine-year term of participation in the 8(a) business development program." This nine-year term may be shortened by termination, early graduation, or voluntary graduation under 13 C.F.R. § 124.300. See *Gutierrez-Palmenberg, Inc.*, B-255797.3, 94-2 CPD ¶ 158 (Comp. Gen. Aug. 11, 1994).
 - (1) 8(a) time period upheld. *Minority Bus. Legal Defense & Educ. Funds, Inc. v. Small Bus. Admin.*, 557 F. Supp. 37 (D.D.C. 1982). No abuse of discretion by refusing to keep a contractor in 8(a) program beyond nine years. *Woerner v. United States*, 934 F.2d 1277 (App. D.C. 1991).

¹² See Section II.C.5 *supra* for more information of subcontracting limitations.

¹³ The GSA and SBA signed a new agreement in May 2023. A press release highlighting the agreement is available at: <https://www.gsa.gov/about-us/newsroom/news-releases/bidenharris-administration-to-launch-new-initiative-to-increase-federal-contracting-with-small-disadvantaged-businesses-05252023>.

i. GAO Protests

- (1) GAO normally will not review a contracting officer's decision to set aside a procurement under the 8(a) program absent a showing of possible bad faith on the part of the government officials or that regulations may have been violated. 4 C.F.R. § 21.5(b)(3). *See American Consulting Servs., Inc.*, B-276149.2, B-276537.2, 97-2 CPD ¶ 37 (Comp. Gen. Jul. 31, 1997); *Comint Sys. Corp.*, B-274853, B-274853.2, 97-2, CPD ¶ 14 (Comp. Gen. Jan. 8, 1997). *See also, Rothe Computer Solutions*, B-299452, May 9, 2007.
- (2) The GAO will not consider challenges to an award of an 8(a) contract by contractors that are not eligible for the program or particular acquisition. 13 C.F.R. § 124.1002; *CW Constr. Servs. & Materials, Inc.*, B-279724, 98-2 CPD ¶ 20 (Comp. Gen. July 15, 1998) (SBA reasonably determined that protestor was ineligible for award of 8(a) construction contract because it failed to provide sufficient information to show that it established and maintained an office within geographical area specified in solicitation as required by SBA regulations); *AVW Elec. Sys., Inc.*, B-252399, 93-1 CPD ¶ 386 (Comp. Gen. May 17, 1993). Likewise, the GAO will not consider challenges to a SBA decision that an 8(a) contractor is not competent to perform a contract. *L. Washington & Assocs.*, B-255162, 93-2 CPD ¶ 254 (Comp. Gen. Oct. 19, 1993).

3. **Mentor/Protégé Program.** 15 U.S.C. § 657r; 13 C.F.R. § 124.520.

- a. The Mentor/Protégé Program is designed to encourage approved mentors to provide various forms of assistance to eligible 8(a) contractors. The purpose of mentor/protégé relationship is to enhance the capabilities of the protégé and to improve its ability to successfully compete for contracts. (Sec. 1641 of the 2013 NDAA provided a statutory framework for a mentor-protégé program for agencies other than the DOD, which already had a program in place.) This assistance may include:
 - (1) Technical and/or management assistance;
 - (2) Financial assistance in the form of equity investments and/or loans;
 - (3) Subcontracts; and
 - (4) Joint ventures arrangements.

- b. Mentors. Any concern that demonstrates a commitment and the ability to assist an 8(a) contractor may act as a mentor. This includes businesses that have graduated from the 8(a) BD program, firms that are in the transitional stage of program participation, other small businesses, and large businesses. 13 C.F.R. § 124.520(b).
- c. A mentor benefits from the relationship in that it may:
 - (1) Joint venture as a small business for any government procurement;
 - (2) Own an equity interest in the protégé firm up to 40%; and
 - (3) Qualify for other assistance by the SBA.

B. Challenges to the 8(a) Program

1. *Adarand Constructors, Inc. v. Peña*, 515 U.S. 200 (1995). In a five to four holding, the Supreme Court declared that all racial classifications, whether benign or pernicious, must be analyzed by a reviewing court using a “**strict scrutiny**” standard. Thus, only those affirmative action programs that are narrowly tailored to achieve a compelling government interest will pass constitutional muster. *Cf. American Federation of Government Employees (AFL-CIO) v. United States*, 195 F. Supp. 2d 4 (D.D.C. 2002) (holding that the rational basis standard is still applicable to “political” (e.g. Native-American) rather than racial classifications).
2. Post-*Adarand* Reactions and Initiatives. *See* 49 C.F.R. § 26 (current DOT regulations implementing Disadvantaged Business Enterprise program).
3. Post-*Adarand* Cases.¹⁴ *Sherbrooke Turf Inc. v. Minn. Dep’t of Transp.*, 2001 U.S. Dist. LEXIS 19565 (D. Minn. Nov. 14, 2001); *Cache Valley Elec. Co. v. State of Utah*, 149 F.3d 1119 (10th Cir. 1998); *Cortez III Serv. Corp. v. National Aeronautics & Space Admin.*, 950 F. Supp. 357 (D.D.C. 1996); *Ellsworth Associates v. U.S.*, 917 F. Supp. 841 (D.D.C. 1996).
4. *Rothe Development Corporation v. Department of Defense*, 545 F.3d 1023 (Fed. Cir. 2008). In this decision the United States Court of Appeals, Federal Circuit held that 10 U.S.C. § 2323, granting evaluation preferences to small disadvantaged businesses (SDBs), failed to withstand strict scrutiny analysis and violated the equal protection clause. The court found that there was not sufficient evidence to show a national pattern of discrimination in either private or public contracting. This was a fact-

¹⁴ *Adarand* on Remand. *Adarand Constructors, Inc. v. Peña*, 965 F. Supp. 1556 (D. Colo. 1997). *But see Adarand Constructors, Inc. v. Slater*, 169 F.3d 1292 (10th Cir. 1999); *Adarand Constructors, Inc. v. Slater*, 120 S. Ct. 722 (2000). *Adarand Constructors, Inc., v. Slater*, 228 F. 3d 1147 (10th Cir. 2000).

specific case and does not unequivocally rule out any future SDB-like programs. Congress repealed Section 2323 in the NDAA for FY 2019 (Pub. L. 115–232, div. A, title VIII, §812(a)(2)(A), Aug. 13, 2018, 132 Stat. 1846).

5. *Rothe Development, Inc. v. Department of Defense*, 836 F.3d 57 (Fed. Cir. 2016). Rothe challenged the SBA’s 8(a) business development program under the Due Process Clause, claiming their access to business opportunities was impaired due to the program’s racial classification that presumes that certain racial minorities are eligible for the program. The Federal Circuit held the definition of “socially disadvantaged” did not contain a racial classification; the Small Business Act did not create a presumption that all individuals who were members of certain racial groups were socially disadvantaged; the 8(a) program was supported by a rational basis; and Congress did not unconstitutionally delegate legislative power to SBA in the 8(a) program. Rothe later appealed to the Supreme Court but certification was denied.
 6. *Ultima Servs. Corp. V. Dep’t of Ag.* (E.D. Tenn. 2023). The Eastern District of Tennessee enjoined the SBA from determining federal contractor eligibility for its 8(a) Business Development program according to a “rebuttable presumption” that individuals of certain racial groups are socially disadvantaged.
 7. For more reading see Katharine I. Toledo, *After Adarand: Re-Prioritizing Race-Conscious Programs in Federal Procurement*, 53 Pub. Cont. L.J. 377 (2024).
- C. Historically Underutilized Business Zone (HUBZone). HUBZone Act of 1997, Title VI of Public Law 105-135, enacted on December 2, 1997 (111 Stat. 2592). RFO FAR Subpart 19.105.
1. The purpose of the HUBZone program is to provide federal contracting assistance for qualified small business concerns located in historically underutilized business zones in an effort to increase employment opportunities. 13 C.F.R. § 126.100, RFO FAR 19.105.
 2. The program applies to all federal departments and agencies that employ contracting officers. 13 C.F.R. § 126.101.
 3. Benefits to HUBZone Small Business Concerns (SBCs) include price preferences and set asides.
 4. Methods of Acquisition:
 - a. Awards to qualified HUBZone SBCs through full and open competition. For these acquisitions, a price preference of 10% is generally applied in acquisitions expected to exceed the simplified

acquisition threshold against non-HUBZone SBCs or other small-business concerns. The price preference is applied by adding a factor of 10% to all offers except: (1) offers from HUBZone small businesses and (2) otherwise successful offers from other small businesses. RFO FAR 19.110.

b. Set aside awards; RFO FAR 19.105-2.

(1) Order of Precedence. There is no order of precedence among the 8(a) Program (subpart 19.108), HUBZone Program (subpart 19.105), Service-Disabled Veteran-Owned Small Business (SDVOSB) Procurement Program (subpart 19.106), or the Women-Owned Small Business (WOSB) Program (subpart 19.107). RFO FAR 19.104-1(e).

(2) Permissive set-asides. For these acquisitions, a contracting officer **may** set aside an acquisition that exceeds the micro-purchase threshold for competition restricted to HUBZone SBCs if the contracting officer has a reasonable expectation that: (1) he/she will receive offers from two or more HUBZone SBCs and (2) award will be made at fair market price. RFO FAR 19.105-2(a)(1).

c. **Sole source awards** to HUBZone SBCs. RFO FAR 19.105-3. A contracting officer **may** award a contract to a HUBZone SBC on a sole source basis if: (1) the contracting officer does not have a reasonable expectation that offers would be received from two or more HUBZone small business concerns, (2) the anticipated price of the contract (including options) will not exceed \$8.5M for NAICS codes for manufacturing or \$5.5M for any other NAICS codes, (3) the HUBZone SBC has been determined to be a responsible contractor, and (4) award can be made at a fair and reasonable price.

5. Requirements to be a Qualified HUBZone Small Business Concern (SBC). 13 C.F.R. § 126.103 and RFO FAR 19.105-1.

a. The concern must be a HUBZone SBC as defined by 13 C.F.R. § 126.103.

b. At least 35 percent of the concern's employees must reside in a HUBZone, and the HUBZone SBC must certify that it will attempt to maintain this percentage during the performance of any HUBZone contract it receives. 13 C.F.R. § 126.200.

c. If the SBA determines that a concern is a qualified HUBZone SBC, it will issue a certification to that effect and will add the

concern to the List of Qualified HUBZone SBCs. A firm on that list is eligible for HUBZone program preference without regard to the place of performance. The concern must appear on the list to be considered a HUBZone SBC.

- d. A joint venture may be considered a HUBZone SBC if the concern meets the criteria in 13 C.F.R. § 126.616.
 - e. An owner of a HUBZone SBC is a person who owns any legal or equitable interest in the concern. More specifically, SBCs included: corporations, partnerships, sole proprietorships and limited liability companies. 13 C.F.R. § 126.201.
- 6. **Size standards.** 13 C.F.R. § 126.203. At time of application for certification, a HUBZone SBC must meet SBA's size standards for its primary industry classification.
 - 7. **Certification.** 13 C.F.R. § 126.300. An SBC must apply to the SBA for certification to be considered a HUBZone SBC.
 - 8. **Subcontracting Limitations.** *See* section II.D.5. *supra*, for the subcontracting rules that reflect the 2013 NDAA amendments.
 - 9. **Protest Procedures.** RFO FAR 19.201-4; 13 C.F.R. § 126.801.
 - a. Protests based upon type of acquisition. For sole source acquisitions, the SBA or the contracting officer may protest the apparently successful offeror's HUBZone SBC status. For all other acquisitions, an offeror, the SBA, or the contracting officer may protest the apparently successful offeror's HUBZone SBC status.
 - b. Who May Protest and When to Protest. RFO FAR 19.201-4.
 - (1) An offeror must submit its protest in writing to the contracting officer no later than (1) the 5th business day after bid opening or (2) the 5th business day after notification by the contracting officer of the apparently successful offeror. The contracting officer will forward the offeror's protest to the SBA's Director of HUBZone Program for the HUBZone Program for decision. RFO FAR 19.201-4(e). Premature protests will be returned to the protester.
 - (2) Protests submitted by a contracting officer or by the SBA must be submitted in writing to the Director of HUBZone Program for a decision.

- (3) The SBA will determine the HUBZone status of the protested HUBZone small business within 15 business days after receiving the protest. The SBA's decision is final unless overturned on appeal by the SBA's Associate Deputy Administrator for Government Contracting and 8(a) Business Development. If the SBA does not contact the contracting officer with its decision within 15 business days, the contracting officer may award the contract to the apparently successful offeror.

D. Service-Disabled, Veteran-Owned Small Businesses. RFO FAR 19.106; 13 C.F.R. § Part 128¹⁵

1. The purpose of the Service-Disabled Veteran-Owned Small Business (SDVOSB) Program is to provide federal contracting assistance to these businesses. Status as a SDVOSB is determined in accordance with 13 C.F.R. Part 128. RFO FAR 19.106.
2. SDVOSB status protests are handled in accordance with 13 C.F.R. § 128.500.
3. Set-Asides authorized. A contracting officer **may** set aside acquisitions exceeding the micro-purchase threshold for competition restricted to SDVOSB concerns if the contracting officer has a reasonable expectation that: (1) offers will be received from two or more SDVOSBs and (2) award will be made at a fair market price. 13 C.F.R. § 404.
4. Sole Source awards authorized. A contracting officer **may** award contracts to SDVOSBs on a sole source basis if: (1) only one such business can satisfy the requirement, (2) the anticipated award price of the contract (including options) will not exceed \$8.5 million for a requirement with a NAICS code for manufacturing or \$5 million for all other NAICS codes, (3) the SDVOSB has been determined to be responsible, and (4) award can be made at a fair and reasonable price. RFO FAR 19.106-3.
5. Department of Veterans Affairs – Rule of Two: *Kingdomware Technologies, Inc. v. United States*, 136 S. Ct. 1969 (2016)
 - a. In 2006 Congress passed the Veterans Benefits, Health Care, and Information Technology Act of 2006. This Act included a provision requiring the VA to restrict competitions to veteran-owned firms so long as the “rule of two” is satisfied. The VA Act states, at 38 U.S.C. 8127(d):

¹⁵ Section 864 of the NDAA for FY 2024 eliminated self-certification for service-disabled veteran-owned small businesses (SDVOSB). The SBA implemented a final rule effective August 5, 2024.

“(d) Use of Restricted Competition.— Except as provided in subsections (b) and (c), for purposes of meeting the goals under subsection (a), and in accordance with this section, a contracting officer of the Department shall award contracts on the basis of competition restricted to small business concerns owned and controlled by veterans if the contracting officer has a reasonable expectation that two or more small business concerns owned and controlled by veterans will submit offers and that the award can be made at a fair and reasonable price that offers best value to the United States.”

- b. In the Supreme Court’s June 16, 2016 decision, the Court held that the contracting procedures under Section 8127(d) are mandatory and apply to all contracting determinations by the Department of Veterans Affairs. This is the Rule of Two – which provides that a contracting officer award contracts by restricting competition for contracts to veteran-owned small businesses if the officer reasonably expects that at least two such businesses will submit offers and that the award can be made at a fair and reasonable price that offers best value to the U.S.
- c. Note that the GAO has since concluded that the *Kingdomware* holding—that the Rule of Two applies to multiple award contracts or Federal Supply Schedule (FSS) awards—is limited to the Department of Veterans Affairs. *American Relocation Connections, LLC*, B-416035 (May 18, 2018). Thus, all other agencies still have discretion to decide whether to set-aside multiple award contracts or FSS procurements for small businesses.

E. The Women-Owned Small Business (WOSB) Program. 15 U.S.C. §637(m); RFO FAR 19.107

- 1. RFO FAR 19.107 was added to the FAR to address statutory amendments and changes in the SBA’s regulations concerning the women-owned small business program. The Small Business Act previously established a Government-wide goal for participation by women-owned and controlled small business concerns of not less than 5% of the total value of all prime and subcontracts awards each fiscal year.¹⁶
- 2. Status as an economically disadvantaged women-owned small business (EDWOSB) or WOSB concern is determined in accordance with 13 CFR

¹⁶ See 15 U.S.C. § 644(g); see also Executive Order 13157, 65 Fed. Reg. 34,035 (2000), highlighting a commitment to expanding opportunities for Women Owned Small Businesses. The EO sets out several steps Executive Agencies should take to increase contracting opportunities.

Part 127. RFO FAR 19.107-1. EDWOSB and WOSB status protests are handled similar to HUBZone status protests. FAR 19.308.

3. **Set-Asides for EDWOSBs and WOSBs.** The contracting officer may set-aside acquisitions exceeding the micro-purchase threshold for competition restricted to EDWOSB or WOSB concerns eligible under the WOSB Program in those NAICS codes in which SBA has determined that women-owned small business concerns are underrepresented or substantially underrepresented in Federal procurement, as specified on SBA's Web site at <http://www.sba.gov/WOSB>. RFO FAR 19.107-2; 13 C.F.R. Part 127.
 - a. For requirements in NAICS codes designated by SBA as underrepresented, a contracting officer may restrict competition to EDWOSB concerns or qualified WOSBs if the contracting officer has a reasonable expectation that (1) two or more WOSB or EDWOSB concerns will submit offers; and (2) the award will be made at a fair and reasonable price. RFO FAR 19.107-2(b), (c).
 - b. The contracting officer may make an award, if only one acceptable offer is received from a qualified EDWOSB or WOSB concern, but if no acceptable offers are received from an EDWOSB or WOSB concern, the set-aside shall be withdrawn and the requirement, if still valid, must be considered for set aside in accordance with RFO FAR 19.104. RFO FAR 19.107-2(d).
4. **Sole Source Awards.** Contracting officers may make a sole source contract award to an EDWOSB or a WOSB when the anticipated price, including options, does not exceed \$8.5 million for manufacturing NAICS codes, or \$5.5 million for other NAICS codes. This rule is now codified as 15 U.S.C. § 637(m)(7)(B).

IV. CHOOSING THE CORRECT SET-ASIDE

- A. **The order of precedence controversy.** Recent Amendments to the FAR have settled a long-running controversy between all three branches of Government concerning the proper order of precedence for set-asides among small business socioeconomic concerns.
 1. Previously, there was much confusion about the order of precedence among SB programs. This confusion arose out of the statutory language of the HUBZone statute, which provides that "a contract opportunity shall be awarded pursuant to this section on the basis of competition restricted to qualified HUBZone small business concerns if the contracting officer has a reasonable expectation that not less than 2 qualified HUBZone small business concerns will submit offers and that the award can be made at a fair market price." 15 U.S.C. 657a(c)(2)(B).

2. The GAO previously held that, if there was a reasonable expectation that two or more HUBZones would perform the contract at a fair market value, then the HUBZone statute's mandatory language *required* agencies to use a HUBZone set-aside prior to considering a SDVOSB or 8(a) set-aside. *International Program Group, Inc.*, Comp. Gen. B-400278; B-400308, September 19, 2008; *Mission Critical Solutions*, Comp. Gen. B-401057, May 4, 2009.
 3. On July 10, 2009, the Office of Management and Budget issued a memorandum to the heads of all Executive Branch agencies and departments stating that pending a legal analysis of the GAO's basis for its recent decisions, they were to follow the SBA's regulations which call for parity between the HUBZone, 8(a) and SDVOSB programs. OFFICE OF MGMT. & BUDGET, EXECUTIVE OFFICE OF THE PRESIDENT, OMB MEMO. NO. 09-23, MEMORANDUM FOR THE HEADS OF EXECUTIVE DEPARTMENTS AND AGENCIES (2009). On August 21, 2009, the Department of Justice (DOJ) issued a memorandum directing Executive Branch agencies to follow the SBA regulations, finding that they are reasonable and binding, and reminding agencies that GAO decisions are not binding on the Executive Branch. OFFICE OF THE DEPUTY ASSISTANT ATTORNEY GENERAL, OFFICE OF LEGAL COUNSEL, DEPARTMENT OF JUSTICE, MEMORANDUM OPINION FOR SARA LIPSCOMB (2009).
 4. The COFC eventually sided with the GAO holding that the plain language of the HUBZone statute required the use of HUBZone contracting when the requirements were met, and rejected DoJ's (and SBA's) parity arguments. *See Mission Critical Solutions v. United States*, 91 Fed. Cl. 386 (2010) (providing a thorough description of the controversy between the executive, legislative (GAO) and judiciary concerning the order of precedence for set-asides between the various small-business socioeconomic concerns).
- B. **Congress steps in.** On March 16, 2011, the FAR Council issued implementing Section 1347 of the Small Business Jobs Act of 2010 (Pub. L. 111-240), clarifying that there is no order of precedence among the HUBZone, 8(a) and SDVOSB programs.
- C. ***There is no longer any order of precedence.*** After an additional amendment to the FAR to incorporate the WOSB program, FAR 19.203 now states, unequivocally, that "there is no order of precedence among the 8(a) Program (subpart 19.8), HUBZone Program (subpart 19.13), Service-Disabled Veteran-Owned Small Business (SDVOSB) Procurement Program (subpart 19.14), or the Women-Owned Small Business (WOSB) Program (subpart 19.15)." *See* RFO FAR 19.104-1(e).
- D. **Contracting Officer's Discretion.** This change to the FAR allows contracting officers to freely choose among available SB socioeconomic concerns when

determining whether to set-aside an acquisition, provided the relevant criteria is met (as outlined above).

V. COMPETITION ISSUES

A. Contract Bundling. RFO FAR 7.107; DFARS 207.170; 15 U.S.C. §657q; 13 C.F.R. §125.2

1. Contract bundling is the practice of combining two or more procurement requirements, which were previously provided or performed under separate smaller contracts, into a solicitation for a *single contract* that is likely to be unsuitable for award to a small business due to:
 - a. The diversity, size, or specialized nature of the elements of the performance specified;
 - b. The aggregate dollar value of the anticipated award;
 - c. The geographical dispersion of the contract performance sites; or
 - d. Any combination of the factors described above.

15 U.S.C. § 632(o)(2); RFO FAR 2.101; 13 C.F.R. § 125.2(d); *USA Info. Sys., Inc.*, B-291417, 2002 CPD ¶ 224 (Comp. Gen. Dec. 30, 2002).
2. A “separate smaller contract” means a contract that has been performed by one or more small business concerns or that was *suitable for award* to one or more small business concerns. RFO FAR 2.101.
3. The bundling rules apply to multiple awards of IDIQ contracts and to Federal Supply Schedule orders. A “single contract” includes indefinite-quantity contracts and any *order* placed against an indefinite quantity contract. RFO FAR 2.101.
4. Bundling is not *per se* prohibited. In fact, bundling may provide substantial benefits to the Government. However, because of the potential negative impact on small business participation, the “head of the agency *must* conduct market research to determine whether bundling is necessary and justified.” Market research may indicate that bundling is necessary and justified if an agency or the government would derive “measurably substantial benefits.” RFO FAR 7.107-1.
5. For substantial bundling (i.e., \$8 million or more for the DoD), in addition to addressing the requirements for bundling, the agency shall document in its strategy—

- a. The specific benefits anticipated to be derived from substantial bundling;
 - b. An assessment of the specific impediments to participation by small business concerns as contractors that result from substantial bundling;
 - c. Actions designed to maximize small business participation as contractors, including provisions that encourage small business teaming;
 - d. Actions designed to maximize small business participation as subcontractors (including suppliers) at any tier under the contract, or order, that may be awarded to meet the requirements;
 - e. The determination that the anticipated benefits of the proposed bundled contract or order justify its use; and
 - f. Alternative strategies that would reduce or minimize the scope of the bundling, and the rationale for not choosing those alternatives. RFO FAR 7.107-1.
6. In addition, the SBA has tried to reign in bundled contracts. *See* 13 C.F.R. §125.2.
7. Key parts of the rules on contract bundling. 13 C.F.R. §125.2; RFO FAR 7.107; FAR 2.101.
- a. Permits “teaming” among two or more small firms, who may then submit an offer on a bundled contract.
 - b. Requires the agency to submit to the SBA for review any statement of work containing bundled requirements. If the SBA concludes that the bundled requirements are too large, it may appeal to the agency. *See e.g., Phoenix Scientific Corp.*, B-286817, 2001 CPD ¶ 24 (Comp. Gen. Feb. 24, 2001); *Encompass Group*, B-410726, 2015 CPD ¶ 93 (Comp. Gen. 2015).
 - c. In determining “measurably substantial benefits” for the purpose of assessing whether bundling is “necessary and justified,” the agency should look to the following factors: cost savings or price reduction, quality improvements, reduction in the acquisition cycle, better terms or conditions, or other benefits. An agency may find a bundled requirement “necessary and justified” if it will derive more benefit from bundling than from not bundling. *See TRS Research*, B-290644, 2002 CPD ¶ 159 (Comp. Gen. Sept. 13, 2002).

- d. Per RFO FAR 7.107-2, an agency may determine that bundling is “necessary and justified” (i.e., are “measurably substantial”) if, individually, in combination, or in the aggregate the anticipated financial benefits are equivalent to:
 - (1) 10% of the estimated contract or order value (including options), if the value is \$94 million or less; or
 - (2) 5% or \$9.4 million, whichever is greater, if the contract value (including options) exceeds \$94 million.
 - e. Reducing only administrative or personnel costs does not justify bundling unless those costs are expected to be substantial. RFO FAR 7.107-2(d).
 - f. Bundling rules do NOT apply to contracts awarded and performed entirely outside the United States.
8. Notification of bundling of DoD contracts. DFARS 205.205-70
- a. When a proposed acquisition is funded entirely using DoD funds and potentially involves bundling, the contracting officer shall, at least 30 days prior to the release of a solicitation or 30 days prior to placing an order without a solicitation, publish in SAM.gov a notification of the intent to bundle the requirement.
 - b. In addition, if the agency has determined that measurably substantial benefits are expected to be derived as a result of bundling, the notification shall include a brief description of those benefits.
 - c. This requirement is in addition to the notification requirements concerning bundling at RFO FAR 7.107-3.

B. Tiered / Cascading Set-Asides

- 1. “Tiered” or “cascading set-asides” are set-asides where the contracting officer informs prospective offerors that he/she will award the contract to only certain socio-economic status offerors so long as two or more responsible offers are received from such offerors. On the other hand, if two or more such offers are not received, then the contracting officer will then award the contract to the next “tier” of socio-economic status offerors so long as two or more responsible offers are received from such offerors. If no tier has two such offers, then the contracting officer will award the contract on the basis of full and open competition. *Carriage Abstract, Inc.*, B-290676, B-290676.2, 2002 CPD ¶ 148 (Comp. Gen. Aug. 15, 2002).

2. Problems:

- a. Abdicates government's market research responsibilities.
- b. Places too much market research and risk on contractors who may spend bid and proposal preparation cost, and yet never have their offer considered if the competition never makes it to their tier.¹⁷

3. Statutory Solution

- a. Section 816 of the 2006 National Defense Authorization Act (Pub. L. 109-163) provides that:
 - (1) The Secretary of Defense shall prescribe guidance for the military departments and the Defense Agencies on the use of tiered evaluations of offers for contracts and for task or delivery orders under contracts.
 - (2) Elements. The guidance prescribed under subsection (a) shall include a prohibition on the initiation by a contracting officer of a tiered evaluation of an offer for a contract or for a task or delivery order under a contract **unless** the contracting officer—
 - (a) has conducted market research in accordance with part 10 of the Federal Acquisition Regulation in order to determine whether or not a sufficient number of qualified small businesses are available to justify limiting competition for the award of such contract or task or delivery order under applicable law and regulations;
 - (b) is unable, after conducting market research under paragraph (1), to make the determination described in that paragraph; and

¹⁷ Some industry groups say cascading set aside acquisitions are unfair because in such acquisitions, contracting officers may never consider offers from bigger companies. One industry representative explained, "You spend all this bid and proposal money and you thought you had a chance of winning, and, oops, there was a HUBZone," said Cathy Garman, senior vice president of public policy at the Contract Services Association. Ms. Garman said that if she operated a medium or large business, she would not present an offer on a solicitation advertising a cascading set aside. *New Acquisition Strategy Alarms Industry*, June 29, 2005, Government Executive, available at <http://www.govexec.com/federal-news/2005/06/new-acquisition-strategy-alarms-industry/19550/>.

- (c) includes in the contract file a written explanation of why such contracting officer was unable to make such determination.
 - b. DFARS implemented the Act via amendments to DFARS 202.101, 210.001, 213.106-1-70, 215.203-70, and 219.1307. See 71 Fed. Reg. 53042. DFARS 219.1307 instructs a contract officer to “not use the price evaluation preference in acquisitions that use tiered evaluation of offers, until a tier is reached that considers offers from other than small business concerns.”
- C. Multiple Award Contracts.
 - 1. Small business set asides also apply to IDIQ contracts. Regardless of whether the overall contract was restricted, a KO may set aside a task/delivery order for small business concerns. RFO FAR 19.111-2, implementing 15 U.S.C. 644(r).

VI. THE RANDOLPH-SHEPPARD ACT

A. REFERENCES

- 1. The Randolph-Sheppard Act for the Blind (RSA) 20 U.S.C. §§ 107-107f.
- 2. U.S. DEPT. OF DEFENSE, INSTRUCTION 1125.03, VENDING FACILITY PROGRAM FOR THE BLIND ON DoD-CONTROLLED FEDERAL PROPERTY (2009) [hereinafter DODI 1125.03].
- 3. 34 C.F.R. Part 395, Vending Facility Program for the Blind on Federal Property (Department of Education).

B. History of the Randolph-Sheppard Act for the Blind

- 1. The Current RSA—Generally
 - a. Purpose. The purpose of the Randolph-Sheppard Act is to “provide blind persons with remunerative employment, enlarging the economic opportunities of the blind, and stimulating the blind to greater efforts in striving to make themselves self-supporting.” Specifically, under this act, “blind persons [are] licensed ...to operate vending facilities on any Federal property.” 20 U.S.C. § 107(a).
 - b. Preferences for the blind. The statute gives a preference for “blind vendors licensed by a State agency” in the “operation of vending facilities on Federal property...wherever feasible.” 20 U.S.C. § 107(b).

2. Original Act. Act of June 20, 1936, Pub. L. No. 732, 49 Stat. 1559.
 - a. The purpose of the Act was for federal agencies to give blind vendors the authorization to operate in federal buildings.
 - b. The Act gave agency heads the discretion to exclude blind vendors from their building if the vending stands could not be properly and satisfactorily operated by blind persons.
 - c. Location of the stand, type of stand and issuing the license were all subject to approval of the federal agency in charge of the building.
 - d. Office of Education, Department of Interior, was designated to administer the program, and could designate state commissions or agencies to perform licensing functions. Department of Education Regulations appears to take precedence over other agency regulations in the event of a conflict. 61 Fed. Reg. 4,629, February 7, 1996.
3. The 1954 Amendments. Act of Aug. 3, 1954, Pub. L. No. 565m, 68 Stat. 663 (1954).
 - a. The invention of vending machines served as an impetus to re-examine the Act. The amendments also showed concern for expanding the opportunities of the blind.
 - b. The amendments made three main changes to the act:
 - (1) The vending program was changed from federal *buildings* to federal *properties*. “Federal property” was defined as “any building, land, or other real property owned, leased, or occupied by any department, agency or instrumentality of the United States...including the Department of Defense.” This definition is also the current definition. The Act applies to all federal activities—whether appropriated or nonappropriated.
 - (2) Agencies were required to give blind persons a preference, “wherever feasible,” when deciding who could operate vending stands on federal property.
 - (3) This preference was protected by requiring agencies to write regulations assuring the preference.
 - c. The “wherever feasible” language still gave agencies wide discretion in administering the Act, and in reality, fell far short of Congressional intent to expand the blind vending program.

4. The 1974 Amendments. Act of Dec 7, 1974, Pub. L. No. 516, 88 Stat. 1623 (1974).
 - a. Impetus—the proliferation of automatic vending machines and lack of enthusiasm for the Act by federal agencies.
 - b. Comptroller General study showcased the abuses and ineffectiveness of the Act. Review of Vending Operations on Federally Controlled Property, Comp. Gen. Rpt. No. B-176886 (Sept. 27, 1973).

C. Current Act

1. The current RSA imposes several substantive and procedural controls. Key definitions are included in the regulations issued pursuant to the Act.¹⁸ The Act mandated three main substantive provisions:
 - a. Give blind vendors priority on federal property for the operation of “vending facilities” so long as the blind vendor has been issued a “license” by the state licensing agency and in DOD, the blind vendor’s state licensing agency has been issued a “permit” (See definitions in footnote);
 - b. New buildings to include satisfactory sites for blind vendors; and
 - c. Require paying some vending machine income to the blind.
2. Priority Given to Blind Vendors
 - a. In authorizing the operation of vending facilities on Federal property, priority shall be given to blind persons licensed by a State agency. 20 U.S.C. § 107(b).
 - b. The Secretary of Education, the Commissioner of Rehabilitative Services Administration, and the federal agencies shall prescribe regulations which assure priority.

¹⁸ Key Definitions.

- a. Blind person: a person whose central visual acuity does not exceed 20/200 in the better eye with correcting lenses as determined by a physician or optometrist. 20 U.S.C. § 107e.
- b. Blind Licensee: a blind person licensed by the state licensing agency to operate a vending facility on federal property. 34 C.F.R. 395.1.
- c. License: a written instrument issued by the state licensing agency, to a blind person, authorizing that person to operate a vending facility on Federal property. 34 C.F.R. 395.1.
- d. State licensing agency: the state agency designated by the U.S. Secretary of Education to issue licenses to blind persons for the operation of vending facilities on Federal property. 34 C.F.R. 395.1.
- e. Permit: the official written approval to establish and operate a vending facility request by and issued to a state licensing agency by the Head of a DOD Component. DODI 1125.03, encl 1, para.E1.1.11.

- c. “Vending facilities” has a very broad definition and includes automatic vending machines, cafeterias, snack bars, cart services, shelters, counters, and such other appropriate auxiliary equipment...[which is]...necessary for the sale of articles or services...and which may be operated by blind licensees.” 20 U.S.C. § 107e(7).
- (1) Vending facilities typically sell newspapers, periodicals, confections, tobacco products, foods, beverages, and other articles or services dispensed automatically or manually and prepared on or off the premises, and include the vending or exchange of chances for any State lottery. 20 U.S.C. § 107a(a)(5); 32 C.F.R. § 395.1(x). See, e.g., Conduct on the Pentagon Reservation, 32 C.F.R. Part 234, para. 234.16, exempting sale of lottery tickets by Randolph-Sheppard vending facilities from the general prohibition of gambling.
 - (2) Vending machines (a type of “vending facility”) are defined as a “coin or currency operated machine that dispense articles or services, except that machines providing services of a recreational nature (e.g. jukeboxes, pinball machines, electronic game machines, pool tables, shuffle boards, etc.) and telephones are not considered to be vending machines.” DODI 1125.03, encl 1, para E1.1.17.
 - (3) The blind vendor may only receive these preferences under the RSA regarding vending facilities if the State Licensing Agency (SLA) issues the blind vendor a “license.” **Additionally, in DoD, the SLA must seek out and apply for a permit to operate on a DoD installation.** The DOD installation has no affirmative obligation until the DOD Component issues a permit to the SLA. Once issued, the blind vendor has priority unless the interests of the U.S. are adversely affected. DODI 1125.03, encl 2.

D. Arbitration Procedures

1. Arbitration procedures. Two roads to arbitration:
 - a. Grievances of Blind Licensee. A dissatisfied blind licensee may submit a request to the SLA for a full evidentiary hearing on any action arising from the operation or administration of the vending facility program. 20 U.S.C. § 107d-1. If the blind licensee is dissatisfied with the decision made by the SLA, the vendor may file a complaint with the Secretary of Education who shall convene a panel to arbitrate the dispute; this decision is final and binding on

the parties, except that appeal may be made under the Administrative Procedure Act.

- b. Complaints by the SLA. SLA may file a complaint with the Secretary of Education if it determines that the agency is failing to comply with the Randolph-Sheppard Act or its implementing regulations. Upon filing of such a complaint the Secretary convenes a panel to arbitrate. The panel's decision is final and binding on the parties, except that appeal may be made under the Administrative Procedure Act. 20 U.S.C. § 107d-1(b) and 20 U.S.C. § 107d-2(a). **NOTE:** The arbitration procedures do not provide the blind vendors with a cause of action against any agency. The blind vendors have an avenue to complain of wrongs by the SLA. The SLA has a forum to complain against a federal agency, which it believes is in violation of the act.

E. Protests to the Government Accountability Office (GAO)

1. Relationship to the Small Business Act's 8(a) Provisions. The *requirements of the Randolph-Sheppard Act take precedence over the 8(a) program. Triple P. Services, Inc., Recon.*, B-250465.8, 93-2 CPD ¶ 347 (Comp. Gen. Dec. 30, 1993) (denying challenge to agency's decision to withdraw an 8(a) set aside and to proceed under the Randolph-Sheppard Act); *but see Intermark*, B-290925, 2002 CPD ¶180, (Comp. Gen. Oct. 23, 2002) (holding that the Army improperly withdrew a small-business set-aside solicitation for food services at Fort Rucker and reissued a solicitation on a full and open competition basis allowing for RSA businesses to compete. GAO sustained incumbent small business contractor's protest stating there was no proper basis for withdrawing the small business set aside. GAO recommended that the agency's acquisition include both small businesses and the SLA using a "cascading" set of priorities whereby competition is limited to small business concerns and the SLA, with the SLA receiving award if its proposal is found to be within the competitive range); see also *JW Mills Management, LLC*, B-420416 (Mar. 24, 2022).
2. Protest by State Licensing Agency (on behalf of blind vendors). The GAO will not normally consider a protest lodged by an SLA, because binding arbitration is the appropriate statutory remedy for the SLA. *The State of Oklahoma*, B-416851.9, 2020 CPD ¶341 (Comp. Gen. Sept. 22, 2020); *Washington State Department of Services for the Blind*, B-293698.2, 2004 CPD ¶84 (Comp. Gen. Apr. 27, 2004) (dismissing a protest filed by the SLA stating that the RSA "vests exclusive authority with the Secretary [of Education] regarding complaints by SLAs concerning a federal agency's compliance with the Act, including challenges to agency decisions to reject proposals in response to a

solicitation”); *Mississippi State Department of Rehabilitation Services*, B-250783.8, 94-2 CPD ¶ 99 (Comp. Gen. Sept. 7, 1994).

F. Controversial Issues

1. Burger King and McDonald’s restaurants on military installations. 60 Fed. Reg. 4406, January 23, 1995. An arbitration panel convened in 1991 under the RSA decided that AAFES Burger King and the Navy’s McDonald’s franchise agreements violated two provisions of the Randolph-Sheppard Act.
 - a. DoD failed to notify state licensing agencies of its intention to solicit bids for vending facilities (i.e., Burger King and McDonalds), and
 - b. DoD’s solicitation for nationally franchised fast food restaurants constituted a limitation on the placement or operation of a vending facility. DoD violated the Randolph-Sheppard Act by failing to seek the Secretary of Education’s approval for such limitation.
 - c. Arbitration Panel’s remedy:
 - (1) AAFES must contact the SLA in each state with a Burger King facility to establish a procedure acceptable to the SLA for identifying, training, and installing blind vendors as managers of all current and future Burger King operations. Additionally, DoD should give the SLA 120 days written notice of any new Burger King operations.
 - (2) Navy Resale and Services Support Office (NAVRESSO) will provide the appropriate SLA with 120 days notice of any new McDonald’s facility to be established on a Navy installation. The SLA must determine whether it wishes to exercise its priority and to provide funds to build and operate a new McDonald’s facility. See 60 Fed. Reg. 4406, January 23, 1995; *see also Randolph-Sheppard Vendors of America v. Weinberger*, 795 F.2d 90 (Fed. Cir. 1986). SLA sued protesting contracts between AAFES and Burger King, and the Navy Exchange Service and McDonald’s. The court remanded to the District Court with an order to dismiss, because the SLA had failed to exhaust administrative remedies.

G. Applicability to Military Mess Hall Contracts

1. The Government Accountability Office has determined that the Randolph-Sheppard Act applies to military dining facilities. In doing so, the GAO focused on the regulatory definition of “cafeteria.” In addition, the GAO

gave significant weight to the regulatory interpretation of the Department of Education and to interpretations by certain high level officials within DOD. *Department of the Air Force—Reconsideration*, B-250465.6, 93-1 CPD ¶ 431 (Comp. Gen. June 4, 1993). *See also Intermark*, B-290925, 2002 CPD ¶180, (Comp. Gen. Oct. 23, 2002) (GAO sustained protest by offeror in Army dining facility contract where Army applied RSA preference). The applicability of the Randolph-Sheppard Act to mess halls remains a topic of considerable debate.

2. A more recent GAO opinion focused on the meaning of “operation” in 20 U.S.C. § 107(b) (In authorizing the *operation* of vending facilities on Federal property, priority shall be given to blind persons licensed by a State agency as provided in this chapter . . .”) *JW Mills Management, LLC*, B-420416 (Mar. 24, 2022) (emphasis added). This opinion details the history of the RSA and ultimately concludes that Navy’s inclusion of the RSA preference was improper because the its solicitation requirements were not for the “operation” of a cafeteria.
3. In *NISH v. Cohen*, 247 F.3d 197 (4th Cir. 2001), the Fourth Circuit affirmed a District Court holding that the Act applied to military “mess hall services.” Court relied heavily on the DoD position that Randolph-Sheppard applies.
4. In *Automated Comm’n Sys., Inc. v. United States*, 49 Fed. Cl. 570 (2001), the Court of Federal Claims (COFC) refused to hear a challenge to the validity of DOD Directive 1125.03, which mandates the RSA preference for DOD dining facility contracts. COFC concluded that only federal district courts may hear a challenge to the validity of procurement statutes and regulations under their federal question and declaratory judgment authorities. COFC also held that the more specific RSA preference takes precedence over less-specific statutes, specifically, the HUBZone preference.

VII. THE BUY AMERICAN ACT (BAA)

A. Origin and Purpose

41 U.S.C. §§ 8302-8305 (1995); Executive Order 14005 (2021). RFO FAR Part 25. The Act was passed during the Depression of the 1930s and was designed to save and create jobs for American workers.

B. Domestic Preference

Preference for Domestic End Products and Domestic Construction Materials. RFO FAR 25.1 and 25.2.

1. As a general rule, under the BAA, agencies may acquire only domestic end products. Unless another law or regulation prohibits the purchase of

foreign end items, however, the contracting officer may not reject as nonresponsive an offer of such items.

2. Exceptions: The prohibition against the purchase of foreign goods does not apply if:
 - a. the product is not available in sufficient commercial quantities;
 - b. domestic preference would be inconsistent with the public interest;
 - c. the product is for use outside the United States;
 - d. the cost of the domestic product would be unreasonable;
 - e. the product is for commissary resale; or
 - f. the product is information technology that is a commercial item.FAR 25.103
3. Executive Order 14005, January 25, 2021 directs agencies to “maximize the use of goods, products, and materials produced in, and services offered in, the United States” and to “vest waiver issuance authority in senior agency leadership, where appropriate and consistent with applicable law.”
4. The Trade Agreements Act (TAA) and the United States-Mexico-Canada Agreement (USMCA) may also provide exceptions to the Buy American Act.
5. The prohibition also does not apply to contracts procuring supplies where the contract value is under the micro-purchase threshold. RFO FAR 25.100.

C. Definitions and Applicability

1. Domestic end products (RFO FAR 25.003) are those articles, materials, and supplies acquired for public use under the contract that are:
 - a. An ***unmanufactured*** domestic end product must be mined or produced in the United States. RFO FAR 25.003; or
 - b. An end product manufactured¹⁹ in the United States, if:
 - (1) Comprised of “substantially all” domestic components (cost of components mined, produced or manufactured in

¹⁹ *General Kinetics, Inc., Cryptek Div.*, B-242052.2, May 7, 1991, 70 Comp. Gen. 473, 91-1 CPD ¶ 445 (“manufacture” means completion of the article in the form required for use by the government); *A. Hirsh, Inc.*, B 237466, Feb. 28, 1990, 69 Comp. Gen. 307, 90-1 CPD ¶ 247 (manufacturing occurs when material undergoes a substantial change).

the U.S. must exceed 50% of the cost of all components). For DOD, the components may be domestic or *qualifying country* components. See DFARS 252.225-7001. Or

- (2) The end product is a commercial off the shelf (COTS) item.
- c. The nationality of the company that manufactures an end item is irrelevant. *Military Optic, Inc.*, B-245010.3, Jan. 16, 1992, 92-1 CPD ¶ 78. What is relevant under the BAA is whether an item is manufactured, mined or produced in the U.S. RFO FAR 25.001.
2. **Components** are articles, materials and supplies incorporated directly into the end product. RFO FAR 25.003. *Orlite Eng'g Co.*, B-229615, Mar. 23, 1988, 88-1 CPD ¶ 300; *Yohar Supply Co.*, B-225480, 66 Comp. Gen. 251, 87-1 CPD ¶ 152 (Comp. Gen. Feb. 11, 1987).
 - a. Parts are not components, and their origin is not considered in this evaluation. *Hamilton Watch Co.*, B-179939, 74-1 CPD ¶ 306 (Comp. Gen. Jun. 6, 1974).
 - b. A “component” under the BAA is either entirely foreign or entirely domestic. A component is domestic only if it is manufactured in the United States. *Computer Hut Int'l, Inc.*, B-249421, 92-2 CPD ¶ 364 (Comp. Gen. Nov. 23, 1992).
 - c. A foreign-made component may become domestic if it undergoes substantial remanufacturing in the United States. *General Kinetics, Inc, Cryptek Div.*, B-242052.2, 70 Comp. Gen. 473, 91-1 CPD ¶ 445 (Comp. Gen. May 7, 1991).
 - d. **Material** that undergoes manufacturing is not a “component” if the material is so transformed that it loses its original identity. See *Orlite Eng'g Co.*, B-229615, Mar. 23, 1988, 88-1 CPD ¶ 300; *Yohar Supply Co.*, B-225480, 66 Comp. Gen. 251, 87-1 CPD ¶ 152 (Comp. Gen. Feb. 11, 1987).
 - e. The cost of components includes transportation costs to the place of incorporation into the end product, and any applicable duty. RFO FAR 25.101; DFARS 252.225-7001. Component costs do **NOT** include:
 - (1) Packaging costs, *S.F. Durst & Co.*, B-160627, 46 Comp. Gen. 784 (Comp. Gen. May 9, 1967);
 - (2) The cost of testing after manufacture, *Baldt Inc.*, 98-1 CPD. ¶ 36 (Comp. Gen. 1998) *Patterson Pump Co.*, B-200165, 80-2 CPD ¶ 453 (Comp. Gen. Dec. 31, 1980); *Bell*

Helicopter Textron, B-195268, 79 CPD ¶ 431 (Dec. 21, 1979); or

- (3) The cost of combining components into an end product, *To the Secretary of the Interior*, B-123891, 35 Comp. Gen. 7 (1955).

3. Qualifying country end products/components

- a. DoD does not apply the restrictions of the BAA when acquiring equipment or supplies that are mined, produced, or manufactured in “qualifying countries.” Qualifying countries are countries with which we have reciprocal defense agreements. They are enumerated in DFARS 225.872-1(a).
- b. A manufactured, qualifying country end product must contain over 60% (by cost) components mined, produced, or manufactured in the qualifying country or the United States. DFARS 225-101(a)(ii).
- c. Qualifying country items thus receive a “double benefit” under the BAA. First, qualifying country components may be incorporated into a product manufactured in the United States to become a *domestic end product*. Second, products manufactured by a qualifying country are exempt from the BAA.

D. Certification Requirement

1. A contractor certifies by its offer that each end product is domestic and/or indicates which end products are foreign. FAR 52.225-2; DFARS 252.225-7000.
2. The contracting officer may rely on the offeror’s certification that its product is domestic, unless, prior to award, the contracting officer has reason to question the certification. *Simba USA, LLC*, 2009 CPD ¶ 265 (Comp. Gen. Dec. 28, 2009); *New York Elevator Co.*, B-250992, 93-1 CPD ¶ 196 (Comp. Gen. Mar. 3, 1993) (construction materials); *Barcode Indus.*, B-240173, 90-2 CPD ¶ 299 (Comp. Gen. Oct. 16, 1990); *American Instr. Corp.*, B-239997, Oct. 12, 1990, 90-2 CPD ¶ 287. *See also Klinge Corp. v. United States and Sea Box, Inc.*, No. 08-134C, slip op. at 15 (Fed. Cl. June 10, 2008) (applied to TAA certification).

E. Exceptions to the Buy American Act

As a general rule, the Buy American Act does not apply in the following situations:

1. The contract is procuring supplies, where the contract value is under the micro-purchase threshold. RFO FAR 25.100(b)(2).

2. The required products are not available in sufficient commercial quantities. RFO FAR 25.103(b). For a list of items determined to be “unavailable,” *see* RFO FAR 25.104; *see also* *Midwest Dynamometer & Eng’g Co.*, B-252168, 93-1 CPD ¶ 408 (Comp. Gen. May 24, 1993).
3. The agency head (or designee) determines that domestic preference is inconsistent with the public interest. RFO FAR 25.103(a). DoD has determined that it is inconsistent with the public interest to apply the BAA to qualifying countries. *Technical Sys. Inc.*, B-225143, 66 Comp. Gen. 297, 87-1 CPD ¶ 240 (Comp. Gen. Mar. 3, 1987).
4. The Trade Agreements Act (TAA) authorizes the purchase. 19 U.S.C. §§ 2501-2582; RFO FAR 25.4; *Olympic Container Corp.*, B-250403, 93-1 CPD ¶ 89 (Comp. Gen. Jan. 29, 1993); *Becton Dickinson AcuteCare*, B-238942, 90-2 CPD ¶ 55 (Comp. Gen. July 20, 1990); *IBM Corp.*, GSBICA No. 10532-P, 90-2 BCA ¶ 22,824.
 - a. If the TAA applies to the purchase, only domestic products, products from **designated** foreign countries, qualifying country products, and products which, though comprised of over 50% foreign components, are “substantially transformed” in the United States or a designated country, are eligible for award. *See Compuadd Corp. v. Dep’t of the Air Force*, GSBICA No. 12021-P, 93-2 BCA ¶ 25,811 (“manufacturing” standard of the BAA is less stringent than “substantial transformation” required under TAA); *Hung Myung (USA) Ltd.*, B-244686, 91-2 CPD ¶ 434 (Comp. Gen. Nov. 7, 1991); *TLT-Babcock, Inc.*, B-244423, Sept. 13, 1991, 91-2 CPD ¶ 242.
 - (1) To be a substantial transformation there must be a new and different end product. For instance, attaching handles to a pot would not be sufficient. Ralph C. Nash, *INTERPRETING THE TRADE AGREEMENTS ACT: Conflicting Decisions* 22 No. 8 Nash & Cibinic Rep. 45, 2008.
 - b. The TAA applies only if the estimated cost of an acquisition equals or exceeds the threshold set by the U.S. Trade Representative. RFO FAR 25.402(b)
 - c. The TAA does **not** apply to DOD unless the DFARS lists the product, **even** if the threshold is met. *See* DFARS 225.401-70. If the TAA does not apply, the acquisition is subject to the BAA. *See, e.g., Hung Myung (USA) Ltd.*, B-244686, 91-2 CPD ¶ 434 (Comp. Gen. Nov. 7, 1991); *General Kinetics, Inc., Cryptek Div.*, B-242052.2, 91-1 CPD ¶ 445 (Comp. Gen. May 7, 1991).

- d. Because of the component test, the definition of “domestic end product” under the BAA is more restrictive than the definition of “U.S. made end product” under the TAA. Thus, for DoD, if an offeror submits a U.S. made end product, the BAA evaluation factor still may apply.
- 5. United States-Mexico-Canada Agreement Implementation Act (P.L. 116-113) (2020) (19 U.S.C. § 4501 note).
- 6. The Caribbean Basin Economic Recovery Act authorizes the purchase. 19 U.S.C. §§ 2701-05; RFO FAR 25.400.
- 7. The product is for use outside the United States.
 - a. Under the Balance of Payments Program, an agency must buy *domestic* even if the end item is to be used overseas. A number of exceptions allow purchase of foreign products under this program. If both domestic and foreign products are offered, and if the low domestic price exceeds the low foreign price by more than 50%, the contracting officer must buy the foreign item. RFO FAR Subpart 25.3; DFARS Subpart 225.3.
 - b. For Contracts supporting Armed Forces engaged in hostilities and in certain AFRICOM and CENTCOM theaters of operation refer to the most recent guidance on Theater Business Clearance for such contracts.²⁰
- 8. The cost of the domestic product is unreasonable. RFO FAR 25.105; DFARS 225.103(c); DFAR 225.5. Although cost reasonableness normally is a pre-award determination, an agency may also make this determination after award. *John C. Grimberg Co. v. United States*, 869 F.2d 1475 (Fed. Cir. 1989).
 - a. Civilian agencies
 - (1) If an offer of a non-domestic product is low and a large business offers the lowest-priced, domestic product, increase the non-domestic product by 6%.
 - (2) If an offer of a non-domestic product is low and a small business offers the lowest-priced, domestic product, increase the non-domestic product by 12%.
 - b. DoD agencies increase offers of non-domestic, non-qualifying country products by 50%, regardless of the size of the business that offers the lowest-priced, domestic end product. Under the

²⁰ <http://www.acq.osd.mil/dpap/policy/policyvault/USA007256-14-DPAP.pdf>.

DFARS, if application of the differential does not result in award on a domestic product, disregard the differential and evaluate offers at face value. DFARS 225.106.

- c. Do not apply the evaluation factor to post-delivery services such as installation, testing, and training. *Dynatest Consulting, Inc.*, B-257822.4, 95-1 CPD ¶ 167 (Comp. Gen. Mar. 1, 1995).
 - d. In a negotiated procurement, agencies may award to a firm offering a technically superior but higher priced non-domestic, non-qualifying country product. *STD Research Corp.*, B-252073.2, 93-1 CPD ¶ 406 (Comp. Gen. May 24, 1993).
- 9. Resale. The contracting officer may purchase foreign end products specifically for commissary resale. RFO FAR 25.103.
 - 10. Information technology that is a commercial product. The restriction on purchasing foreign end products does not apply to the acquisition of information technology that is a commercial item, when using fiscal year 2004 or subsequent fiscal year funds (Section 535(a) of division F, Title V, Consolidated Appropriations Act, 2004, and similar sections in subsequent appropriations acts). RFO FAR 25.103

F. Construction Materials (41 U.S.C. §8303; RFO FAR Subpart 25.2)

- 1. This portion of the BAA applies to contracts for the construction, alteration, or repair of any public building or public work in the U.S.
- 2. The Act requires construction contractors to use only domestic construction materials for construction contracts performed in the U.S.
- 3. “Construction material” means an article, material, or supply brought to the construction site by a contractor or subcontractor for incorporation into the building or work. The term also includes an item brought to the site preassembled from articles, materials, or supplies. However, emergency life safety systems, such as emergency lighting, fire alarm, and audio evacuation systems, that are discrete systems incorporated into a public building or work and that are produced as complete systems, are evaluated as a single and distinct construction material regardless of when or how the individual parts or components of those systems are delivered to the construction site. Materials purchased directly by the Government are supplies, not construction material. RFO FAR 25.003.
- 4. Exceptions. This restriction does not apply if:
 - a. The head on the contracting activity determines nonavailability;
 - b. The cost would be unreasonable, as determined by the contracting officer;

- c. The agency head (or delegee) determines that use of a particular domestic construction material would be impracticable or inconsistent with public policy; or,
 - d. Information technology that is a commercial item. The restriction on purchasing foreign construction material does not apply to the acquisition of information technology that is a commercial item.
5. Application of the restriction. The restriction applies to the material in the form that the contractor brings it to the construction site. *See S.J. Amoroso Constr. Co. v. United States*, 26 Cl. Ct. 759 (1992), *aff'd*, 12 F.3d 1072 (Fed. Cir. 1993); *Mauldin-Dorfmeier Constr., Inc.*, ASBCA No. 43633, 93-2 BCA ¶ 25,790 (board distinguishes “components” from “construction materials”); *Mid-American Elevator Co.*, B-237282, 90-1 CPD ¶ 125 (Comp. Gen. Jan. 29, 1990).
6. Post-Award Exceptions
- a. Contractors may formally request waiver of the BAA, however, normally, the contractor must request such a waiver prior to contract award. *C. Sanchez & Son v. United States*, 6 F.3d 1539 (Fed. Cir. 1993) (contractor failed to formally request waiver of BAA; claim for equitable adjustment for supplying domestic wire denied).
 - b. Failure to grant a request for waiver may be an abuse of discretion. *John C. Grimberg Co. v. United States*, 869 F.2d 1475 (Fed. Cir. 1989) (contracting officer abused discretion by denying post-award request for waiver of BAA, where price of domestic materials exceeded price of foreign materials plus differential).
7. The DOD qualifying country source provisions do *not* apply to construction materials. DFARS 225.872-2(b).

G. Remedies for Buy American Act Violations

- 1. If the agency head finds a violation of the Buy American Act—Construction Materials, the findings and the name of the contractor are made public. The contracting officer may have contractual actions against the offender, including, but not limited to termination for default and suspension/debarment. RFO FAR 25.206 or 25.607.
- 2. Termination of the contract for default is proper if the contractor’s product does not contain over 50% (by cost) domestic or qualifying country components. *H&R Machinists Co.*, ASBCA No. 38440, 91-1 BCA ¶ 23,373.
- 3. A contractor is not entitled to an equitable adjustment for providing domestic end items if required by the BAA. *Valentec Wells, Inc.*, ASBCA No. 41659, 91-3 BCA ¶ 24,168; *LaCoste Builders, Inc.*, ASBCA No. 29884, 88-1 BCA ¶ 20,360; *C. Sanchez & Son v. United States*, *supra*.

H. The Berry Amendment

10 U.S.C. § 4862. The “Berry Amendment” is an industrial protectionist law that requires DOD to buy certain listed items only from domestic sources. The statute is more draconian in its requirements than the Buy American Act because the Berry Amendment contains fewer exceptions.

1. The Berry Amendment requires DOD to procure the following items that are “grown, reprocessed, reused, or produced” in the U.S.:
 - a. Food; clothing, and material components, thereof, other than sensors, electronics, or other items added to, and not normally associated with, clothing (and the materials and components thereof); tents, tarpaulins or covers; cotton and other natural fiber products, woven silk...canvas, or wool; specialty metals (located at 10 U.S.C. § 4863); and hand and measuring tools.
 - b. American Flags. IAW Section 8037 of the Department of Defense Appropriations Act, 2024 (division A, Pub. L. 118-47), and similar provisions in prior year Acts, “None of the funds made available in this Act [the DoD Appropriations Act, 2024], or any subsequent Act making appropriations for the Department of Defense, may be used for the purchase or manufacture of a flag of the United States unless such flags are treated as covered items under section 4862(b) of title 10, United States Code.” See also DFARS 225-7002-2. This restriction does not apply to the acquisition of any end-items or components related to flying or displaying the flag (e.g., flag poles and accessories). DFARS 225.7002-1(b).
2. The Beret Saga. See 43 The Gov’t Contractor 18 at ¶ 191 (Professor Stephen L. Schooner, George Washington University Law School, and Judge Advocate (USAR retired), discussing the purchase of berets).
3. Result of beret saga: Berry Amendment amended so that only Service Secretaries and the Under Secretary of Defense for Acquisition, Technology, and Logistics have Berry Amendment waiver authority. The Berry Amendment “does not apply to the extent that the Secretary of Defense or the Secretary of the military department covered determines that satisfactory and sufficient quantity of any such article or item...cannot be procured as and when needed at United States market prices.” 10 U.S.C. § 4862(c).

CHAPTER 15A

BID PROTESTS (AGENCY AND GAO)

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CHAPTER 15A

BID PROTESTS (AGENCY AND GAO)

"The laws and regulations that govern contracting with the federal government are designed to ensure that federal procurements are conducted fairly. On occasion, bidders or others interested in government procurements may have reason to believe that a contract has been or is about to be awarded improperly or illegally, or that they have been unfairly denied a contract or an opportunity to compete for a contract."

*OFFICE OF GENERAL COUNSEL, UNITED STATES GOVERNMENT ACCOUNTABILITY OFFICE,
BID PROTESTS AT GAO: A DESCRIPTIVE GUIDE (10th ed. 2018)*

I. REFERENCES

- A.** Competition in Contracting Act (CICA), 31 U.S.C. §§ 3551-3556.
- B.** Tucker Act, 28 U.S.C. § 1491.
- C.** Federal Courts Improvement Act of 1982, Pub. L. No. 97-164, § 133(a), 96 Stat. 25, 40 (1982), 28 U.S.C. § 1491(a)(3).
- D.** Administrative Dispute Resolution Act of 1996, Pub. L. No. 104-320, § 12, 110 Stat. 3870, 3874 (1996), 28 U.S.C. §1491(b)(1).
- E.** Contracts: Competition Requirements, 10 U.S.C. §2304.
- F.** Government Accountability Office (GAO) Protest Regulations, 4 C.F.R. Part 21.
- G.** Federal Acquisition Regulation (FAR), 48 C.F.R. Subpart 33.
- H.** Agency FAR Supplements. See Title 48 of the C.F.R.
- I.** Bid Protests at GAO: A Descriptive Guide (10th ed. 2018), Office of General Counsel, U.S. GAO (GAO-18-510SP). Available at <https://www.gao.gov/legal/bid-protests/reference-materials>.
- J.** Guide to GAO Protective Orders (10th ed. 2019), Office of the General Counsel, U.S. GAO (GAO-18-510SP). Available at <https://www.gao.gov/legal/bid-protests/reference-materials>.

II. INTRODUCTION

- A. A “protest” is a written objection by an “interested party”¹ to a solicitation or other request by an agency for offers for a contract for the procurement of property or services, cancellation of a solicitation or other request, award or proposed award of a contract, or termination or cancellation of an award of a contract if the written objection contains an allegation that the termination or cancellation is based in whole or in part on improprieties concerning the award of the contract. FAR 33.101.
- B. **Background.** Today’s protest system was established by: (1) Exec. Order No. 12,979, 60 Fed. Reg. 55,171 (1995) (agency-level protests); (2) the Competition in Contracting Act of 1984 (CICA), U.S.C. §§3551-3556 (protests before the Government Accountability Office); and (3) the Tucker Act, 28 U.S.C. §1491 (as amended by the Administrative Dispute Resolution Act of 1996, Pub. L. No. 104-320, § 12, 110 Stat. 3870, 3874 (1996)) (protests before the Court of Federal Claims).
- C. **Jurisdiction.** Multiple forums. An interested party may protest to the agency, the Government Accountability Office (GAO), or the United States Court of Federal Claims (COFC).² Regardless of the protest venue, contracting officers **must consider all protests and seek legal advice** regarding all protests. FAR 33.102(a). Section III of this chapter addresses protests filed with the agency, Section IV addresses protests filed at GAO, and Chapter 15B addresses protests filed with the COFC.
- D. **Remedies.**
1. Generally, protest forums can recommend or direct such remedial action as will bring the procurement into compliance with relevant acquisition laws and regulations. Normally, however, neither directed contract award nor lost profits is available. Remedies are discussed further in the respective sections for each protest forum.
 2. Injunctive or Similar Relief. Whether the filing of a protest to challenge a contract solicitation or an award creates an automatic stay or suspension of any work on the procurement is of critical importance and varies from forum to forum. Such relief is discussed in the section for the relevant forum, *infra*.

¹ An “interested party” for the purpose of filing a protest means an actual or prospective offeror whose direct economic interests would be affected by the award of a contract or the failure to award a contract. FAR 33.101.

² While protesters are encouraged to seek resolution at the agency level prior to filing at the GAO they are not required to do so. FAR 33.102(e).

III. AGENCY PROTESTS.

- A. Authority.** Exec. Order No. 12979, 60 Fed. Reg. 55,171 (1995); FAR 33.103 (Revolutionary FAR Overhaul (RFO) FAR 33.104); Agency FAR Supplements.
- B. Background and Policy.** In 1995, President Clinton issued an Executive Order directing all executive agencies to establish alternative disputes resolution (ADR) procedures for bid protests. The order directs agency heads to create systems that, “to the maximum extent possible,” will allow for the “inexpensive, informal, procedurally simple, and expeditious resolution of protests.” Exec. Order No. 12979, 60 Fed. Reg. 55,171 (1995). FAR 33.103 (RFO FAR 33.104) implements this Order.
1. Prior to the submission of an agency protest, all parties shall use “their best efforts” to resolve concerns raised by an interested party at the contracting officer level through open and frank discussions. FAR 33.103(b) (RFO FAR 33.104-4(a)(1)).
 2. Agency protest procedures are established to:
 - a. resolve agency protests effectively;
 - b. build confidence in the Government’s acquisition system; and
 - c. reduce protests outside the agency. FAR 33.103(d) (RFO FAR 33.104-4(a)).
- C. Procedures.**
1. All protests filed with the agency should be addressed to the contracting officer or official designated to receive protests. FAR 33.103(d)(3) (RFO FAR 33.104-4(a)(4)(1)).
 2. Protests must be concise, logically presented, and include the following information:
 - a. Name, address, and fax and telephone numbers of the protester.³
 - b. Solicitation or contract number.
 - c. Detailed statement of the legal and factual grounds for the protest, to include a description of resulting prejudice to the protester.
 - d. Copies of relevant documents.

³ Protester ends with an “er” when practicing before GAO and with an “or” as in “protestor” when practicing in the federal courts, such as before the Court of Federal Claims.

- e. Request for a ruling by the agency.
- f. Statement as to the form of relief requested.
- g. All information establishing that the protester is an interested party for the purpose of filing a protest.
- h. All information establishing the timeliness of the protest. FAR 33.103(d)(1) and (2) (RFO FAR 33.104-4(a)(3)).⁴

3. Timing of Protests.

- a. Protests challenging the terms of a solicitation or alleging improprieties in the solicitation must be filed **prior to bid opening or the closing date for receipt of proposals**. FAR 33.103(e) (RFO FAR 33.104-2(a)).
- b. In all other cases, the protests must be filed with the agency **within 10 days of when the protester knew or should have known of the basis for the protest, whichever is earlier**. The agency, for good cause shown, or where it determines that a protest raises issues significant to the agency's acquisition system, may consider the merits of any protest which is not timely filed. FAR 33.103(e) ((RFO FAR 33.104-2(a))).
- c. In both instances, "filed" means the complete receipt of any document by an agency before its close of business – 4:30 p.m., local time (unless otherwise stated). FAR 33.101 (RFO FAR 33.102).

4. Suspension of Procurement - Regulatory Stay.

- a. Pre-Award Stay. The contracting officer **shall not** make award if an agency protest is filed before award. FAR 33.103(f)(1) (RFO FAR 33.104-2(b)) imposes an administrative stay of the contract award.
 - (1) The agency may override the stay if one of the following applies:
 - (a) contract award is justified in light of "urgent and compelling" reasons; or

⁴ Failure to provide the information contained in paragraphs C(2)(a)-(h) may be grounds for dismissal of the protest. FAR 33.103(d)(1).

- (b) a prompt award is in “the best interests of the Government.”
 - (2) The override decision must be made in writing and then approved by an agency official “at a level above the contracting officer” or another official pursuant to agency procedures. FAR 33.103(f)(1) (The RFO leaves ambiguous the individual who can approve the override - (RFO FAR 33.104-2(b)(1))).
 - (3) If the contracting officer elects to withhold award pending agency resolution of the protest, she must inform all interested parties of that decision. If appropriate, the contracting officer should obtain extensions of bid/proposal acceptance times (proposal validity) from the offerors. If the contracting officer cannot obtain extensions, she should consider an override of the stay and proceed with making contract award. FAR 33.103(f)(2) (RFO FAR 33.104-2(b)(2)).
- b. Post-Award Stay. If the agency receives a protest within 10 calendar days of contract award, or 5 calendar days of a “required” debriefing date offered by the agency ⁵ the contracting officer shall suspend contract performance immediately. FAR 33.103(f)(3) (RFO FAR 33.104-3).
- (1) The agency may override the stay if one of the following applies:
 - (i) contract performance is justified in light of “urgent and compelling” reasons; or
 - (ii) contract performance is in “the best interests of the Government.”
 - (2) The override determination must be made in writing and then approved by an agency official “at a level above the contracting officer” or another official pursuant to agency procedures. FAR 33.103(f)(3) (The RFO leaves ambiguous the individual who can approve the override - (RFO FAR 33.104-2(b)(1))).⁶

⁵ See FAR 15.505, FAR 15.506.

⁶ Note: Consult agency guidance for override procedures specific to your agency.

4. **NOTE:** Pursuing an agency protest does not extend the time for obtaining a CICA stay at GAO. Agencies may include, as part of the agency protest process, a voluntary suspension period when agency protests are denied and the protester subsequently files at GAO. FAR 33.103(f)(4) (RFO FAR 33.104-4(b)(3)).

D. Processing Protests.

1. Protesters generally present protests to the contracting officer, but they may also request an independent review of the protest at a level above the contracting officer, in accordance with agency procedures. Solicitations should advise offerors if this option is available. FAR 33.103(d)(4) (RFO FAR 33.104-4(a)(5)).
 - a. Agency procedures shall inform the protester whether this independent review is an alternative to consideration by the contracting officer or an “appeal” of a contracting officer’s protest decision. FAR 33.103(d)(4) (RFO FAR 33.104-4(a)(5)).
 - b. Agencies shall designate the official who will conduct this independent review. The official need not be in the supervisory chain of the contracting officer. However, “when practicable,” the official designated to conduct the independent review “should not” have previous “personal involvement” in the procurement. FAR 33.104(d)(4) (RFO FAR 33.104-4(a)(5)). Agency supplements often require such review to be done at a level higher than one might suspect. See AFARS 5133.103 (requiring that contracting officers under the jurisdiction of AMC, use its program); but see AFARS App’x GG (fixing the review at the HCA-level, but permitting delegation to “no lower than the Chief of the Contracting Office”) and NMCARS 5233.103 (substantially similar).
 - c. **NOTE:** If this “independent review” is an appeal of the contracting officer’s initial protest decision, it does **NOT** extend GAO’s timeliness requirements. *See infra* paragraph IV.E.
2. Agencies “shall make their best efforts” to resolve agency protests within 35 days of filing. FAR 33.103(g) (RFO FAR 33.104-4(c)).
3. Discovery. To the extent permitted by law and regulation, the agency and the protester may exchange relevant information. FAR 33.103(g) (The RFO requires, for reviews requested to be done by an authority higher than a KO, the KO to provide a redacted source selection decision and permit the protester to file a supplemental response).
4. The agency decision shall be “well-reasoned” and explain the agency position. The agency must provide the protester a written copy of the

decision via a method that provides evidence of receipt. FAR 33.103(h) (RFO FAR 33.104(c)).

E. Remedies.

1. **Failure to Comply with Applicable Law or Regulation.** FAR 33.102(b) (RFO FAR 33.103(b)). If the agency head determines that, as a result of a protest, a solicitation, proposed award, or award does not comply with the requirements of law or regulation, he may:
 - a. take any action that GAO could have “recommended,” had the protest been filed with GAO; and,
 - b. award certain costs to the protester for prosecution of the protest.
2. **Misrepresentation by Awardee.** If, as a result of awardee’s intentional or negligent misstatement, misrepresentation, or miscertification, a post-award protest is sustained, the agency head may require the awardee to reimburse the government’s costs associated with the protest. The government may recover this debt by offsetting the amount against any payment due the awardee under any contract between the awardee and the government.⁷ This provision also applies to GAO protests. FAR 33.102(b)(3) (RFO FAR 33.103(b)).
3. **Follow-On Protest.** If unhappy with the agency decision, the protester may file its protest with either GAO or COFC. If the vendor elects to proceed to GAO, it must file its protest within 10 days of receiving notice of the agency’s **initial adverse action**.⁸ 4 C.F.R. § 21.2(a)(3).

IV. GOVERNMENT ACCOUNTABILITY OFFICE (GAO).

- A. Statutory Authority.** The Competition in Contracting Act of 1984, 31 U.S.C. §§ 3551-56, is the current statutory authority for GAO bid protests of federal agency procurements. 31 U.S.C. § 3555 authorizes GAO to issue implementing regulations.

⁷ In determining the liability of the awardee, the contracting officer shall take into consideration "the amount of the debt, the degree of fault, and the costs of collection." FAR 33.102(b)(3)(ii).

⁸ In its Descriptive Guide, the GAO advises that it applies a "straightforward" interpretation of what constitutes notice of adverse agency action. Specific examples include: bid opening; receipt of proposals; rejection of a bid or proposal; or contract award. Bid Protests at GAO: A Descriptive Guide (10th ed. 2018), Office of General Counsel, U.S. GAO (GAO-18-510SP) at 10-11. The Descriptive Guide contains further helpful explanations on “initial adverse agency action.”

B. Regulatory Authority. GAO's bid protest rules are set forth at 4 C.F.R. Part 21. FAR provisions governing GAO bid protests are at FAR 33.104 (RFO FAR 33.105). In the event guidance concerning GAO procedure in the FAR conflicts with 4 C.F.R. Part 21, 4 C.F.R. Part 21 controls. Agency FAR supplements contain regulatory procedures for managing GAO protests. See generally AFARS 5133.104; AFFARS 5333.104; NMCARS 5233.104; DLAD 33.104. See also Title 48 of the C.F.R. listing all agency FAR supplement protest references.

C. Standing Requirements.

1. 31 U.S.C. § 3551(1) and 4 C.F.R. § 21.1(a) provide that an "interested party" may protest to GAO.
2. An "**interested party**" is "an actual or prospective bidder or offeror whose direct economic interest would be affected by the award of a contract or by the failure to award a contract." 4 C.F.R. § 21.0(a)(1); see also 31 U.S.C § 3551(2).
 - a. **Before** bid opening or proposal submission due date, a protester must be a **prospective bidder or offeror with a direct economic interest**.
 - (1) A prospective bidder or offeror is one who has expressed an interest in competing. See Integral Sys., Inc., B-405303.1, Aug. 16, 2011, 2011 CPD ¶ 161. ITT Elec. Sys., Inc., B-406405, B-406405.2, May 21, 2012, 2012 CPD ¶ 174.
 - (2) If a protester challenges the terms of the solicitation, but it is clear, even if the protest is sustained, that the protester would be ineligible for award under the remaining terms of the solicitation, it is not an interested party. DGCI Corp., B-418494, Apr. 27, 2020, 2020 CPD ¶ 152 at 9, citing RELM Wireless Corp., B-405358, Oct. 7, 2011, 2011 CPD ¶ 211 at 3.
 - b. **After** bid opening or the submission of proposals, a protester must be an **actual bidder or offeror with a direct economic interest**.
 - (1) Next-in-Line. A bidder or offeror who is "**next-in-line**" for award is most likely an interested party. However, if a protester cannot receive award if it prevails on the merits, it is not an interested party. Ogden Support Servs., Inc., B-270354.2, Oct. 29, 1996, 97-1 CPD ¶ 135 (protester not an interested party where an intervening offeror has a higher technical score and a lower cost); International Data Prods., Corp., B-274654, et. al., Dec. 26, 1996, 97-1 CPD ¶ 34 (protesters rated eighth and ninth in overall technical merit

were interested parties because improper technical evaluation alleged and lower-priced than awardee); Aegis Defense Services, LLC, B-412755, March 25, 2016, 2016 CPD ¶ 98 (in a multiple award contract, an awardee is not an interested party to protest another award, irrespective any alleged economic interest).

- (2) A high-priced bidder may be able to demonstrate that all lower-priced bidders would be ineligible for award, thus becoming the next-in-line. Professional Medical Prods., Inc., B-231743, July 1, 1988, 88-2 CPD ¶ 2.
- (3) In a “best value” negotiated procurement, GAO determines whether a protester is an interested party by examining the probable result if the protest is successful. See Government Tech. Servs., Inc., B-258082.2. et. al., Sept. 2, 1994, 94-2 BCA ¶ 93 (protester not an interested party where it failed to challenge higher-ranked intervening offerors); Rome Research Corp., B-245797, Sept. 22, 1992, 92-2 CPD ¶ 194.
- (4) Opportunity to Compete. An actual bidder, not next-in-line for award, is an interested party if it would **regain the opportunity to compete** if GAO sustains its protest. This occurs if GAO could recommend re-solicitation. Teltara, Inc., B-245806, Jan. 30, 1992, 92-1 CPD ¶ 128 (eventual 11th low bidder protested – before bid opening - the adequacy of the solicitation’s provisions concerning a prior collective bargaining agreement; remedy might be re-solicitation); Remtech, Inc., B-240402, Jan. 4, 1991, 91-1 CPD ¶ 35 (protest by nonresponsive second low bidder challenged IFB as unduly restrictive – filed before bid opening; interested party because remedy is re-solicitation).

- 3. **Intervenors.** Immediately after receipt of the protest notice, the agency must notify the awardee (post-award protest) or all offerors who have a “substantial prospect” of receiving award if the protest is denied (pre-award protest). 4 C.F.R. §§ 21.0(b), 21.3(a).⁹ Generally, if award has been made, GAO will only allow the awardee to intervene. If award has not been made, GAO will determine whether to allow a specific company to intervene upon its request. See Bid Protests at GAO: A Descriptive Guide (10th ed. 2018) at 15, Office of General Counsel, U.S. GAO (GAO-18-510SP).

⁹ FAR 33.104(a)(2) directs the Agency, if no award has been made, to notify “all parties who appear to have *reasonable* prospect of receiving award if the protest is denied” (emphasis added) rather than those with a “substantial prospect” – the standard in 4 C.F.R. 21.3(a).

D. GAO's Jurisdiction.

1. The protester must allege a violation of a procurement statute or regulation. 31 U.S.C. § 3552. GAO will also review allegations of unreasonable agency actions. S.D.M. Supply, Inc., B-271492, June 26, 1996, 96-1 CPD ¶ 288 (simplified acquisition using defective FACNET system failed to promote competition “to the maximum extent practicable” in violation of CICA). This includes the termination of a contract where the protest alleges the government’s termination was based upon improprieties associated with contract award (sometimes referred to as a “reverse protest”). 4 C.F.R. § 21.1(a); Severn Cos., B-275717.2, Apr. 28, 1997, 97-1 CPD ¶ 181. GAO’s jurisdiction includes:
 - a. The procurement of property or services by a federal agency. 31 U.S.C. § 3551. New York Tel. Co., B-236023, Nov. 7, 1989, 89-2 CPD ¶ 435 (solicitation to install pay phones is an acquisition of a service). The transaction, however, must relate to the agency’s mission or result in a benefit to the government. Maritime Global Bank Group, B-272552, Aug. 13, 1996, 96-2 CPD ¶ 62 (Navy agreement with a bank to provide on-base banking services not a procurement). See also Starfleet Marine Transportation, Inc., B-290181, July 5, 2002, 2002 CPD ¶ 113 (GAO holding that it had jurisdiction of a mixed transaction involving both the “sale” of a business opportunity and the procurement of services); Government of Harford County, Md., B-283259, B-283259.3, Oct. 28, 1999, 99-2 CPD ¶ 81.
 - b. Protests involving non-federal agencies if:
 - (1) The agency involved has agreed in writing to have the protest decided by GAO. 4 C.F.R. § 21.13.
 - (2) Agency officials were involved to such an extent that it really was a procurement “by” an executive agency. Asiel Enterprises, Inc., B-408315.2, Sept. 5, 2013, 2013 CPD ¶ 205 (considered whether NAFI used as a conduit to circumvent CICA). This includes procurements conducted by federal agencies (i.e., processed by an agency contracting officer) on behalf of a NAFI, even if no appropriated funds are to be obligated. Premier Vending, Inc., B-256560, July 5, 1994, 94-2 CPD ¶ 8; Americable Int’l, Inc., B-251614, Apr. 20, 1993, 93-1 CPD ¶ 336.
 - (3) The protest challenges the terms of solicitation for the award of a lease of federal property where the record shows that the agency will receive benefit in connection with the award of the lease, such that the agency is, in effect,

conducting a procurement for goods and services. Blue Origin LLC, B-408823, Dec. 12, 2013, 2013 CPD ¶ 289.

- c. Sales of government property if the agency involved has agreed in writing to allow GAO to decide the dispute. 4 C.F.R. § 21.13(a); Assets Recovery Sys., Inc., B-275332, Feb. 10, 1997, 97-1 CPD ¶ 67; *see also* Fifeco, B-246925, Dec. 11, 1991, 91-2 CPD ¶ 534 (sale of property by FHA not a procurement of property or services); Columbia Communications Corp., B-236904, Sept. 18, 1989, 89-2 CPD ¶ 242 (GAO declined to review a sale of satellite communications services).
- d. Instances where the agency elected not to issue a solicitation or contract after the Agency held “extensive discussions” with a firm. Health Servs. Mktg. & Dev. Co., B-241830, Mar. 5, 1991, 91-1 CPD ¶ 247. *Accord* RJP Ltd., B-246678, Mar. 27, 1992, 92-1 CPD ¶ 310.
- e. An agency’s decision to use authority to award an Other Transaction (OT) instead of a procurement contract. While GAO will not review protests of the award or solicitations for award of OTs, it will review whether an Agency has failed to comply with the statutory other transaction authority and is improperly using an OT when a procurement contract should be used. Oracle America, Inc., B-416061, May 31, 2018, 18 CPD ¶ 180; MD Helicopters, Inc., B-417379, April 4, 2019, 19 CPD ¶ 120.

2. GAO generally will NOT consider protests on the following matters:

- a. **Contract Administration.** 4 C.F.R. § 21.5(a). ThyssenKrupp Elevator Corp., B-410456, Dec. 30, 2014, 2014 CPD ¶ 18 at 5 (whether a contractor complies with a contract’s license and permit requirements is a matter of contract administration GAO will not review); Discover Technologies, LLC, B-412773, B-412773.2, May 27, 2016, 2016 CPD ¶ 142 (absent evaluation criteria requiring offeror to demonstrate current compliance, offeror’s compliance with federal technology laws and standards is a matter of contract administration); CACI Tech., Inc., B-408858, B-408858.2, Dec. 5, 2013, 2013 CPD ¶ 283 (whether key personnel perform on contract is matter of contract administration, absent “bait and switch.”); *but see* Marvin J. Perry & Assocs., B-277684, Nov. 4, 1997, 97-2 CPD ¶ 128 (GAO asserts jurisdiction over agency acceptance of different quality office furniture that was shipped by mistake); Sippican, Inc., B-257047, Nov. 13, 1995, 95-2 CPD ¶ 220 (GAO will review agency exercise of contract option).

- b. **Small Business Size and Industrial Classification Determinations.** 4 C.F.R. § 21.5(b)(1). Challenges to size or status of small businesses are left to exclusive review by the Small Business Administration. 15 U.S.C. 637(b)(6). Herman Miller, Inc., B-407028, Oct. 19, 2012, 2012 CPD ¶ 296 (no jurisdiction to hear challenge to NAICS code applied to solicitation); Hurricane Consulting, Inc., B-404619, 404619.2, 404619.3, Mar 17, 2011, 2011 CPD ¶ 70 (whether an offeror is an eligible Service Disabled Veteran Owned Small Business is a question reserved to the SBA); Sea Box, Inc., B-408182.5, Jan. 10, 2014, 2014 CPD ¶ 27 (GAO will consider protest challenging agency's decision not to refer matter to SBA, when proposal, on its face, shows offeror is not a small business).

- c. **Small Business Certificate of Competency (COC) Determinations.** 4 C.F.R. § 21.5(b)(2). Issuance of, or refusal to issue, a certificate of competency will generally not be reviewed by GAO. Exceptions, interpreted narrowly in deference to the SBA, are: (1) protests which show bad faith by government officials, (2) protests that allege that the SBA failed to follow its own regulations, or (3) protests that allege that the SBA failed to consider vital information. MPC Containment Systems, LLC, B-416188.2, July 23, 2018, 18 CPD ¶ 251 at 4.

- d. **Procurements Under Section 8(a) of the Small Business Act** (i.e., small, disadvantaged business contracts). 4 C.F.R. § 21.5(b)(3). GAO will review a decision to place a procurement under the 8(a) program only for possible bad faith by agency officials or a violation of applicable law or regulation. See Grace Indus., Inc., B-274378, Nov. 8, 1996, 96-2 CPD ¶ 178. See also Security Consultants Group, Inc., B-276405.2, June 9, 1997, 97-1 CPD ¶ 207 (protest sustained where agency failed to provide complete and accurate information of all vendors eligible for an 8(a) award).

- e. **Affirmative Responsibility Determinations.** 4 C.F.R. § 21.5(c). The determination that a bidder or offeror is capable of performing is largely committed to the contracting officer's discretion. Southwestern Bell Telephone Co., B-292476, Oct. 1, 2003, 2003 CPD ¶ 177. GAO will not review the contracting officer's determination, even for reasonableness, as such a review would accord too little weight to the agency's discretion in this area. SumCo Eco-Contracting LLC, B-409434, B-409434.2, Apr. 15, 2014, 2014 CPD ¶ 129 at 5-6.

- (1) Exception: Where definitive responsibility criteria in the solicitation were not met. Hendry Corp., B-400224.2, Aug. 25, 2008, 2008 CPD ¶164.
 - (2) Exception: Where protester alleges fraud or bad faith. HLJ Management Group, Inc., B-225843, Mar. 24, 1989, 89-1 CPD ¶ 299. But see Impresa Construzione Geom. Domenico Garufi v. U.S., 238 F.3d 1324 (Fed. Cir. 2001) (the CAFC held that the COFC's standard of review for responsibility determinations would be those set forth in the Administrative Procedures Act, i.e., would include one requiring lack of rational basis or a procurement procedure involving a violation of a statute or regulation).
 - (3) Exception: Where there is evidence that the contracting officer failed to consider available relevant information, or otherwise violated a pertinent statute or regulation. PMO Partnership Joint Venture, B-401973.3, B-401973.5, Jan. 14, 2010, 2010 CPD ¶ 29.
- f. **Procurement Integrity Act Violations.** FAR 33.102(f); 4 C.F.R. § 21.5(d); 41 U.S.C. § 2106. The protester must first report information supporting allegations involving violations of the Procurement Integrity Act to the agency within 14 days after the protester first discovered the possible violation. See, e.g., Frank A. Bloomer – Agency Tender Official, B-401482, July 20, 2009, 2009 CPD ¶ 174; Y&K Maint., Inc., B-405310.6, Feb. 2, 2012, 2012 ¶ 93.
- g. **Procurements by Non-Federal Agencies** (e.g., United States Postal Service, Federal Deposit Insurance Corporation (FDIC), nonappropriated fund instrumentalities [NAFIs]). 4 C.F.R. § 21.5(g); A-Z Cleaning Solutions, B-415228, Nov. 6, 2017, 2017 CPD ¶ 343; *but see* Section D(1)(b) above.
- h. **Subcontractor Protests.** GAO will not consider subcontractor protests unless requested to do so by the procuring agency. 4 C.F.R. § 21.5(h). See RGB Display Corporation, B-284699, May 17, 2000, 2000 CPD ¶ 80. GAO will review subcontract procurements where the subcontract is “by” the government. See supra RGB Display Corporation (subcontract procurement is “by” the government where agency handles substantially all the substantive aspects of the procurement and the prime contractor acts merely as a conduit for the government); The Panther Brands, LLC, B-409073, Jan. 17, 2014, 2014 CPD ¶ 54.

- i. **Suspension & Debarment Issues.** 4 C.F.R. §21.5(i). GAO does not review protests that an agency improperly suspended or debarred a contractor. See Shinwha Electronics, B-290603, Sept. 3, 2002, 2002 CPD ¶ 154; Aria Target Logistics Servs., B-408308.14, B-409055.2, Feb. 27, 2014, 2014 CPD ¶ 72.
- j. **Judicial Proceedings.** 4 C.F.R. §21.11. GAO will not hear protests that are the subject of pending federal court litigation unless requested by the court. Oahu Tree Experts, B-282247, Mar. 31, 1999, 99-1 CPD ¶ 69; SRS Techs., B-254425, May 11, 1995, 95-1 CPD ¶ 239. GAO also will not hear a protest that has been finally adjudicated. Jay Hymas, B-414546, May 23, 2017, 2017 CPD ¶ 155.
- k. **Task and Delivery Orders.** 4 C.F.R. §21.5(l). GAO’s jurisdiction over Task and Delivery Orders is limited to: (1) orders which increases the scope, period, or maximum value of the contract under which the order is issued; and (2) orders valued in excess of \$10,000,000 for orders issued by civilian agencies or \$35,000,000 for orders issued by DoD, NASA, and the Coast Guard. FAR 16.505(a)(10) (RFO FAR 16.508); 41 U.S.C. §4106(f); 10 U.S.C. §3406(f); American Systems Group, B-418667, July 23, 2020, 20 CPD ¶ 243 at 2.¹⁰
- l. Procurements subject to the Federal Aviation Administration’s (FAA) Acquisition Management System (AMS) are specifically exempt from GAO jurisdiction. 49 U.S.C. §40110(d)(2)(F). This exemption originally covered only procurements of equipment, supplies, and materials; thus, GAO maintained jurisdiction and decided protests filed concerning the procurement of services. Congress has since extended the exemption to cover services also. Pub. L. No. 109-90, 119 Stat. 2064 *et seq.*, Title V, Sec. 515. Procurements by the Transportation Security Administration (TSA) are covered by the AMS; GAO has no jurisdiction over TSA procurements. Knowledge Connections, Inc., B-298172, Apr. 12, 2006, 2006 CPD ¶ 67 at 1.

E. Timeliness. 4 C.F.R. § 21.2.¹¹

¹⁰ The value of a task or deliver order includes options, to include the option to extend services under FAR 52.217-8, if those options are priced and evaluated as part of the source selection. Adams and Associates, Inc., B-417534, Jun 4, 2019, 2019 WL 2522079.

¹¹ Under the GAO bid protest rules, “days” are calendar days. In computing a period of time for protest purposes, do not count the day on which the period begins. When the last day falls on a weekend day or federal holiday, the period extends to the next working day. 4 C.F.R. § 21.0(d).

1. **Protests Related to Defective Solicitations.** GAO must receive protests based on alleged improprieties or errors in a solicitation that are apparent on the face of the solicitation, i.e., patent ambiguities or defects, **prior to bid opening or the closing date for receipt of initial proposals.** 4 C.F.R. § 21.2(a)(1); DCR Services & Construction, Inc., B-415565.2, Feb. 13, 2018 at 4 (request for clarification indicated a patent ambiguity that should have been challenged prior to the close of the solicitation); Kiewit Louisiana Co., B-403736, Oct. 14, 2010, 2010 CPD ¶ 243 (untimely challenge of agency failure to include mandatory clause indicating whether agency will conduct discussions prior to making award); AKRAY USA, Inc., B-408981.4, Mar. 5, 2014, 2014 CPD ¶ 90 (firm cannot compete under patently ambiguous solicitation and then complain when agency proceeds in a way consistent with one of the possible interpretations). Protests filed prior to bid opening or closing date for receipt of initial proposals are timely even when protester learned the basis of its protest more than ten days prior to protest filing. MadahCom, Inc.--Recon., B-297261.2, Nov. 21, 2005, 2005 CPD ¶ 209.
2. Protesters **challenging a Government-wide point of entry (GPE) notice of intent** to make a sole source award must **first** respond to the notice in a timely manner. See Norden Sys., Inc., B-245684, Jan. 7, 1992, 92-1 CPD ¶ 32 (unless the specification is so restrictive as to preclude a response, the protester must first express interest to the agency); see also PPG Indus., Inc., B-272126, June 24, 1996, 96-1 CPD ¶ 285, fn. 1 (timeliness of protests challenging Commerce Business Daily (CBD) notices discussed). Only publication in the official public medium [formerly Federal Business Opportunities (FedBizOpps), now at [https:// sam.gov](https://sam.gov)] will constitute constructive notice. Worldwide Language Resources, Inc.; SOS Int'l Ltd., B-296993 et al., Nov. 14, 2005, 2005 CPD ¶ 206 (publishing notice of procurement on DefenseLink.mil will NOT provide constructive notice.)¹²
3. When an **amendment to a solicitation** provides the basis for the protest, then the protest must be filed by the next due date for revised proposals. 4 C.F.R. § 21.2(a)(1). This rule applies even with tight timelines. WareOnEarth Commc'ns, Inc., B-298408, Jul. 11, 2006, 2006 CPD ¶ 107 (protest not timely filed when filed after revised due date from amendment despite only four days between solicitation amendment and proposal due date.)
4. **Protests Following a Required Debriefing.** Procurements involving competitive proposals carry with them the obligation to debrief the losing

¹² Where a notice is published is irrelevant if the protestor had actual knowledge of the basis of protest. Latvian Connection, LLC – Reconsideration, B-415043.3, November 29, 2017, 2017 CPD ¶ 354.

offerors if the debriefing is requested in a timely manner. See FAR 15.505 and 15.506 (RFO FAR 15.301). In those cases, the protester must file its protest no later than 10 days “after the date on which the debriefing is held.”¹³ 4 C.F.R. § 21.2(a)(2). Statutorily required debriefings for task and delivery order contracts are within the scope of these timeliness rules. Professional Analysis, Inc., B-410202, Aug. 25, 2014, 2014 CPD ¶ 247.

- a. Premature Protests. Protesters may not file a protest prior to the debriefing date offered by the agency. 4 C.F.R. §21.2(a)(2). Celeris Systems, Inc., B-416890, October 11, 2018, 2018 CPD ¶ 354 (protest filed before enhanced debrief concluded was untimely); Kord Technologies Inc., B-417748.5, Apr. 17, 2020, 2020 CPD ¶ 158 (protest challenging elimination from the competitive range is premature when it was filed prior to the protester receiving the required debriefing).
- b. A debrief provided, but not required, does not trigger this exception, and the general rule that a protest must be filed 10 days from when the protester knew or should have known of the basis of the protest applies. Centerra Integrated Facilities Servs, LLC, B-418628, Mar. 19, 2020, 2020 CPD 155.
- c. DoD Enhanced Post Award Debrief. 31 U.S.C. § 3553(d)(4)(B); 10 U.S.C. § 3304; Section 818 of the 2018 NDAA (Enhanced Post-award Debriefing Rights); DFARS Case 2018-D009 (18 March 2022);¹⁴ DFARS 215.506, 215.506–70, 215.570, 216.505, 216.506, 216.506–70, 212.301(f)(v) and (vi), 233.104, 252.215–7016, 252.216–7010; NIKA Tech., Inc. v. U.S., 987 Fed.3d 1024 (Feb. 4, 2021). The DoD has instituted enhanced postaward debrief procedures which allow the unsuccessful offerors two business days after the debrief to submit written questions and the agency five business days to answer those questions. The debrief is not concluded until the written responses are delivered to the unsuccessful offeror. 10 U.S.C. § 3304. The DoD Enhanced Debriefing Rules, and the underlying statutory basis for them, do not in any way alter or impact the timeliness rules established by GAO’s Bid Protest Regulations. Rather, the Enhanced Debriefing Rules, and the underlying statutory changes to the Competition in Contracting Act, relate solely to the agency’s obligations with respect to complying with the mandatory stay of contract performance or termination of the awarded contract upon the filing

¹³ The protest must be filed within 5 days of a required debrief to trigger an automatic stay of performance under CICA. 31 U.S.C. § 3553(d)(4)(B); FAR 33.104(c)(1). For a full discussion regarding CICA stays, see Sections J (1) and (2) below.

¹⁴ <https://www.federalregister.gov/documents/2022/03/18/2022-05531/defense-federal-acquisition-regulation-supplement-postaward-debriefings-dfars-case-2018-d009>.

of a protest with our Office. State Women Corp., B-416510, Jul. 12, 2018, 2018 CPD ¶ 240. If the unsuccessful offeror chooses not to submit questions, the Court of Appeals for the Federal Circuit has held that the unsuccessful offeror does not get the additional two business days added to the protest period. NIKA Tech., Inc. v. U.S., 987 Fed.3d 1024 (Feb. 4, 2021).

5. Delay of Pre-Award Debriefings.

- a. Government Delay: The agency may delay pre-award debriefings until after award when it is in “the government’s best interests.” FAR 15.505(b) (RFO FAR 15.206-2(e)). If the agency decides to delay a pre-award debriefing that is otherwise timely requested and required, the protester is entitled to a post-award debriefing, and the timeline required to file a protest is thereby extended. Global Eng’g & Constr. Joint Venture, B-275999, Feb. 19, 1997, 97-1 CPD ¶ 77 (protest of exclusion from competitive range).
- b. Offeror Requested Delay: The unsuccessful offeror may request that the pre-award debrief be delayed until after award. FAR 15.505(a)(2) (RFO FAR 15.206-2(a)). When an offeror does so, a subsequent post-award/post-debrief protest challenging exclusion from the competitive range will be untimely. Further, the unsuccessful offeror will not be an interested party for challenges of the award decision or the evaluation of other offerors. VMD Systems Integrators, Inc., B-412729, March 14, 2016, 2016 CPD ¶ 88; Granite State Manufacturing, B-415730, February 23, 2018, 2018 CPD ¶ 98.

6. Protests other than those covered by paragraph 4 C.F.R. § 21.2(a)(1) of this section shall be filed not later than 10 days after the basis of protest is known or should have been known (whichever is earlier). 4 C.F.R. § 21.2(a)(2). Learjet, Inc., B-274385, Dec. 6, 1996, 96-2 CPD ¶ 215 (interpretation of solicitation untimely); L. Washington & Assocs., Inc., B-274749, Nov. 18, 1996, 96-2 CPD ¶ 191 (untimely protest of elimination from competitive range); SNAP, Inc., B-409609, B-409609.3, June 20, 2014, 2014 CPD ¶ 187 (protest untimely when protester should have known basis of protest from debriefing, but waited until comments to file supplemental protest). Noble Supply & Logistics, B-417269, April 30, 2019, 19 CPD ¶ 167 (supplemental protest allegations based on a materially different legal basis than the initial protest allegations must independently satisfy the timeliness requirements).

7. Protests Initially Filed with an Agency:

- a. If the protester previously filed a timely agency-level protest, a subsequent GAO protest must be filed within 10 days of actual or

constructive (whichever is earlier) knowledge of the initial adverse agency decision. 4 C.F.R. § 21.2(a)(3); FAR 33.103(d)(4).

Consolidated Mgt. Servs., Inc.--Recon., B-270696, Feb. 13, 1996, 96-1 CPD ¶ 76 (oral notice of adverse agency action starts protest time period). **Continuing to pursue an agency-level protest after an initial adverse decision does not toll the GAO time limitations.** Telestar Int'l Corp.--Recon., B-247029, Jan. 14, 1992, 92-1 CPD ¶ 69. See also Raith Engineering and Manufacturing Co, W.L.L., B-298333.3, Jan. 9, 2007, 2007 CPD ¶ 9. Adverse agency action includes a determination by the agency that it lacks jurisdiction over the protest issue. Logis-Tech, Inc., B-407687, Jan. 24, 2013, 2013 CPD ¶ 41.

- b. The agency-level protest must generally be filed within the same time restrictions applicable to GAO protests, unless the agency has established more restrictive time frames. 4 C.F.R. § 21.2(a)(3). Vistronix, LLC, B-416916.2, Jul. 29, 2019, 2019 CPD ¶ 268 (protest dismissed as untimely where initial agency-level protest was not filed within 10 days of when protester knew of the basis of protest); Orbit Advanced Techs., Inc., B-275046, Dec. 10, 1996, 96-2 CPD ¶ 228.

- 8. Protesters must use due diligence to obtain the information necessary to pursue the protest. See Automated Medical Prods. Corp., B-275835, Feb. 3, 1997, 97-1 CPD ¶ 52 (protest based on FOIA-disclosed information not timely where protester failed to request debriefing); Products for Industry, B-257463, Oct. 6, 1994, 94-2 CPD ¶ 128 (protest challenging contract award untimely where protester failed to attend bid opening and did not make any post-bid attempt to examine awardee's bid); Adrian Supply Co.--Recon., B-242819, Oct. 9, 1991, 91-2 CPD ¶ 321 (use of FOIA request rather than the more expeditious document production rules of the GAO may result in the dismissal of a protest for lack of due diligence and untimeliness). *But see* Geo-Centers, Inc., B-276033, May 5, 1997, 97-1 CPD ¶ 182 (protest filed three months after contract award and two months after debriefing is **timely** where the information was obtained via a FOIA request that was filed immediately after the debriefing); Motorola Solutions, Inc., B-409148, B-409148.2, Jan. 28, 2014, 2014 CPD ¶ 59 (agency delayed furnishing protester information critical to raising supplemental protest ground, which protester diligently pursued and filed as soon as it received; agency cannot profit from dilatory behavior, protest ground is timely).
- 9. Exceptions for otherwise untimely protests. 4 C.F.R. § 21.2(c).

- a. **Significant Issue Exception:** GAO may consider a late protest if it involves an issue significant to the procurement system. See Celadon Laboratories, Inc., B-298533, Nov. 1, 2006, 2006 CPD ¶

158 (application of conflict of interest rules to peer evaluators in Small Business Innovation and Research (SBIR) procurements); Pyxis Corp., B-282469, B-282469.2, July 15, 1999, 99-2 CPD ¶ 18 (ordering of non-FSS items in connection with an FSS buy); Cyberdata Techs, Inc., B-406692, Aug. 8, 2012, 2012 CPD ¶ 230 (requirement that price/cost be considered before technically acceptable proposal can be excluded from competition for BPAs under FSS).

- (1) Significant issues generally: 1) have not been previously considered; and 2) are of widespread interest to the procurement community. Pyxis Corp., B-282469, B-282469.2, Jul. 15, 1999, 99-2 CPD ¶ 18. Matter of: Tiger Truck, LLC, B-400685, Jan 14, 2009, 2009 CPD ¶ 19.
- (2) This exception is strictly constructed and rarely granted. NPF Services, Inc. – Request for Recon., B-236841, B-246841.2, January 3, 1990, 90-1 CPD ¶ 9; Matter of: U.S. Systems – Request for Recon., B-228245, B-228245.2, October 27, 1987, 87-2 CPD ¶ 402.

- b. **Good Cause Exception:** GAO may consider a protest if there is good cause, beyond the protester’s control, for the lateness. A.R.E. Mfg. Co., B-246161, Feb. 21, 1992, 92-1 CPD ¶ 210; Surface Combustion, Inc.--Recon., B-230112, Mar. 3, 1988, 88-1 CPD ¶ 230.

F. Bid Protest Procedures.

1. All protests, excluding those containing classified materials, must be filed through GAO’s Electronic Bid Protest Filing and Dissemination System (EPDS). 4 C.F.R. § 21.1(b). Filing via EPDS requires the payment of a \$500 filing fee as of 1 October 2024.¹⁵
2. Although GAO does not require formal pleadings submitted in a specific technical format, a protest, at a minimum, shall:
 - a. include the name, address, email, telephone and facsimile (fax) numbers of the protester (or its representative);
 - b. be signed by the protester or its representative;

¹⁵ As of 1 May 2018, all protest related filings must be made through the EPDS, replacing the previous practice of filing documents by email with the GAO. Communications between the parties may be made via EPDS or via email. For detailed information and instructions of the usage of the EPDS system visit: <https://epds.gao.gov/login>.

- c. identify the contracting agency and the solicitation and/or contract number;
 - d. set forth a detailed statement of the legal and factual grounds of protest including copies of relevant documents;
 - e. set forth all information establishing that the protester is an interested party for the purpose of filing a protest;
 - f. set forth all information establishing the timeliness of the protest;
 - g. specifically request a decision by the Comptroller General; and
 - h. state the form of relief requested. 4 C.F.R. § 21.1(c).
3. If appropriate, the protest may also include:
- a. a request for a protective order;
 - b. a request for specific documents, explaining the relevancy of the documents to the protest grounds, and;
 - c. a request for a hearing, explaining the reasons that a hearing is needed to resolve the protest. 4 C.F.R. § 21.1(d).
4. GAO may dismiss a protest which is frivolous, or which, on its face, does not state a valid ground for a protest. 31 U.S.C. ¶ 3554(a)(4); Mare Island Dry Dock, LLC, B-410821, Feb. 26, 2015, 2015 CPD ¶ 100 at 6 (“bare assertions that an award was improper, with neither evidence nor explanation of the protester’s theory regarding the alleged violation, are insufficient”); Med-South, Inc., B-401214, May 20, 2009, 2009 CPD ¶ 112 (allegations on “information and belief” without evidence or explanation, are insufficient to establish a cognizable protest ground); View One, Inc., B-400346, July 30, 2008, 2008 CPD ¶ 142 (protests that lack a detailed statement of legal and factual grounds of protest shall be dismissed).
- a. At a minimum, a protester must make a *prima facie* case asserting improper agency action. Brackett Aircraft Radio, B-244831, Dec. 27, 1991, 91-2 CPD ¶ 585. Protester must present either allegations or evidence sufficient, if uncontradicted, to establish the likelihood of the protester’s claim of improper agency action. Systems Dynamics Int’l, Inc.-Recon., B-253957.4, Apr. 12, 1994, 94-1 CPD ¶ 251.
 - b. Generalized allegations of impropriety are not sufficient to sustain the protester’s burden under GAO’s Bid Protest Rules. See 4

C.F.R. § 21.5(f); Akima Support Operations, LLC, B-415401, B-415401.2, October 30, 2017, 2017 CPD ¶ 341 at 4.

5. The protest must also include sufficient information to demonstrate that it is timely. GAO will not permit protesters to introduce for the first time, in a motion for reconsideration, evidence to demonstrate timeliness. 4 C.F.R. § 21.2(b). Management Eng'g Assoc.--Recon., B-245284, Oct. 1, 1991, 91-2 CPD ¶ 276 at 2.
6. The protester must provide a complete copy of the protest and all attachments to the contracting agency no later than one day after the protest is filed with GAO. 4 C.F.R. § 21.1(e); Rocky Mountain Ventures, B-241870.4, Feb. 13, 1991, 91-1 CPD ¶ 169 at 2 (failure to timely provide contracting agency copy of the protest resulted in dismissal). However, GAO has also held, absent prejudice to the agency, it will not dismiss a protest if the protester fails to timely provide the agency a copy of the protest. Arlington Public Schools, B-228518, Jan. 11, 1988, 88-1 CPD ¶ 16.
7. GAO generally provides immediate notice of a protest to the agency's protest litigation division. 4 C.F.R. § 21.3(a). **It is this notice by GAO that triggers the CICA stay.** With the implantation of the EPDS filing system, once a protest is filed, the system automatically notifies the representative(s) registered in the system as the Agency's point of contact. See Bid Protests at GAO: A Descriptive Guide (10th ed. 2018), Office of General Counsel, U.S. GAO (GAO-18-510SP) at 14.
8. Document Production.¹⁶
 - a. Agency List of Documents. 4 C.F.R. §21.3(c). In response to a protester's request for production of documents, the agency must provide to all interested parties and the GAO **at least five days prior to submission of the agency report** a response to protester's request; this is commonly called the "Five-Day Letter" in practice. This response, at a minimum, must identify whether the requested documents exist, which of the requested documents or portions thereof the agency intends to produce, which of the requested documents or portions thereof the agency intends to withhold, and the basis for not producing any of the requested document or portions thereof.

¹⁶ **PRACTICE TIP:** Keep in mind that the government may also request relevant documents from the protester. See 4 C.F.R. 21.3(d). See also "GAO Orders Protester to Comply with Agency's Document Request," 61 FED. CONT. REP. 409 (1994).

- b. Parties to the protest must then file any objections to the agency list within two days of receipt of the list. 4 C.F.R. §21.3(c)
 - c. Following receipt of the agency report, the protester may request additional documents. Except as otherwise authorized by GAO, all requests for documents must be filed with GAO and the contracting agency no later than two days after their existence or relevance is known or should have been known, whichever is earlier. The agency must either provide the documents (or portions thereof) or explain why production is not appropriate within two days. 4 C.F.R. § 21.3(g).
9. Agency's Report. The agency must **file an agency report within 30 days** of receiving notice from GAO. 4 C.F.R. § 21.3(c); FAR 33.104(a)(3)(i). "Where a protester or intervenor does not have counsel admitted to a protective order and documents are withheld from the protester or intervenor on that basis, the agency shall file redacted documents that adequately inform the protester and/or intervenor of the basis of the agency's arguments in response to the protest. GAO's website [<https://epds.gao.gov/login>] provides guidance regarding filing documents where no protective order is issued or where a protester or intervenor does not have counsel admitted to a protective order." 4 C.F.R. § 21.3(e).
- a. Contents of an agency report, as relevant to the protest grounds alleged. 4 C.F.R. § 21.3(d).
 - (1) The protester's proposal or bid.
 - (2) The successful proposal or bid.
 - (3) The solicitation.
 - (4) The abstract of bids or offers.
 - (5) A statement of facts by the contracting officer.
 - (6) All evaluation documents.
 - (7) All relevant documents.
 - (8) Documents requested by the protester.
 - (9) A memorandum of law.
 - (10) An index of all relevant documents provided under the protest.

- b. Agencies must include all relevant documents in the agency report. See Federal Bureau of Investigation-Recon., B-245551, June 11, 1992, 92-1 CPD ¶ 507 at 3-4 (incomplete report led to GAO's erroneous understanding of what occurred during the procurement).
 - c. Late agency reports. Given the relatively tight time constraints associated with the protest process, the GAO will consider agency requests for extensions of time on a case-by-case basis. 4 C.F.R. § 21.3(f).
10. Protective Orders. Either on its own initiative or at the request of a party to the protest, the GAO may issue a protective order controlling the treatment of protected information. 4 C.F.R. § 21.4.¹⁷
- a. The protective order is designed to limit access to trade secrets, confidential business information, and information that would result in an unfair competitive advantage.
 - b. It is the responsibility of protester's counsel to request the issuance of a protective order and submit timely applications for admission under the order. 4 C.F.R. § 21.4(a).
 - c. Individuals seeking access to protected information may not be involved in the competitive decision-making process of the protester or interested party. 4 C.F.R. § 21.4(d).
- (1) Protesters may retain outside counsel or use in-house counsel, so long as counsel is not involved in the competitive decision-making process. Robbins-Gioia, Inc., B-274318, Dec. 4, 1996, 96-2 CPD ¶ 222 at 9-10 (access to protected material appropriate even though in-house counsel has regular contact with corporate officials involved in competitive decision-making); Mine Safety Appliance Co., B-242379.2, Nov. 27, 1991, 91-2 CPD ¶ 506 at 5-7 (retained counsel). See also Harmonia Holdings Group, LLC, B-417475.3, B-417475.4, September 23, 2019, 2019 CPD ¶ 333 at 7-10 (discussion of criteria for admission of consultants to a protective order).
 - (2) GAO grants access to protected information upon application by an individual. The individual must submit a

¹⁷ GAO guides contain helpful information on protective orders. See Bid Protests at GAO: A Descriptive Guide (10th ed. 2018), Office of General Counsel, U.S. GAO (GAO-18-510SP); Guide to GAO Protective Orders (10th ed. 2019), Office of the General Counsel, U.S. GAO (GAO-18-510SP). Available at <https://www.gao.gov/legal/bid-protests/reference-materials>.

certification of the lack of involvement in the competitive decision-making process and a detailed statement in support of the certification. See 4 C.F.R. 21.4(d); Guide to GAO Protective Orders (10th ed. 2019), Office of the General Counsel, U.S. GAO (GAO-18-510SP) at Appendix D. See also Atlantic Research Corp., B-247650, June 26, 1992, 92-1 CPD ¶ 543 at 4 (GAO denied admission to corporate counsel who was involved in competitive decision making with respect to other business matters, such as mergers and acquisitions, where there was more than a minimal risk of inadvertent disclosure of information from the protest concerning the competitor who was involved in the merger talks.).

- (3) GAO may report violations of the protective order to the appropriate bar association of the attorney who violated the order, and may ban the attorney from GAO practice. 4 C.F.R. § 21.4(e). See also “GAO Sanctions 2 Attorneys for Violating Terms of Protective Order by Releasing Pricing Info,” 65 FED. CONT. REP. 17 (1996). Additionally, a party whose protected information is disclosed improperly retains all of its remedies at law or equity, including breach of contract. Guide to GAO Protective Orders (10th ed. 2019), Office of the General Counsel, U.S. GAO (GAO-18-510SP) at Appendix D. GAO may dismiss protests for violation of the protective order. PWC Logistics Servs Co. KSC(c), B-310559, Jan. 11, 2008, 2008 CPD ¶ 25. Distinguish this from Waterfront Technologies, Inc. B-401948.16, B-401948.18, June 24, 2011 2011 CPD ¶ 123 at 7-10 (GAO did not dismiss the protest because although protective order was violated, there is no indication protester knew that outside counsel improperly released the protected material).
- (4) If no protective order has been issued by GAO, or a protester or intervenor does not have counsel admitted to a protective order, the agency may withhold from the parties those portions of its report that would ordinarily be subject to a protective order, provided that the requirements of § 21.3(e) are met. GAO will review in camera all information not released to the parties. 4 C.F.R. § 21.4(c).

- 11. Unless provided a different deadline by GAO, protester must comment on the agency report within 10 days of receipt.¹⁸ Failure to timely comment

¹⁸ The Intervenor may also submit comments to the Agency Report within 10 days of receipt.

or request a decision on the record will result in dismissal. 4 C.F.R. § 21.3(i). The Continuum Engineering-Recon. B-410298.2, Feb. 12, 2015, 2015 CPD ¶ 79; Piedmont Sys., Inc., B-249801, Oct. 28, 1992, 92-2 CPD ¶ 305 (agency's office sign-in log used to establish date when protester's attorney received agency report); Aeroflex Int'l, Inc., B-243603.3, Oct. 7, 1991, 91-1 CPD ¶ 311 (protester failed to timely notify GAO it did not receive the agency report on the due date and request an extension for its response, subsequently it was held to response deadline).

12. Hearings. On its own initiative or upon the request of the protester, the government, or any interested party, GAO may conduct a hearing in connection with a protest. The request shall set forth the reasons why the requester believes a hearing is necessary. 4 C.F.R. § 21.7(a).

- a. The GAO attorney has the discretion to determine whether or not to hold a hearing and the scope of the hearing.¹⁹ Jack Faucett Assocs.--Recon., B-254421.3, Aug. 11, 1994, 94-2 CPD ¶ 72.

- (1) “As a general rule, [GAO] conduct[s] hearings where there is a factual dispute between the parties which cannot be resolved without oral examination or without assessing witness credibility, or where an issue is so complex that developing the protest record through a hearing is more efficient and less burdensome than proceeding with written pleadings only. Town Dev., Inc., B-257585, Oct. 21, 1994, 94-2 CPD ¶ 155 at 5; see also Southwest Marine, Inc., B-265865, Jan. 23, 1996, 96-1 CPD ¶ 56 (as a result of improper destruction of evaluation documentation by agency, GAO requested hearing to determine the adequacy of an agency's award decision); see also Allied Signal, Inc., B-275032; B-275032.2, Jan. 17, 1997, 97-1 CPD ¶ 136 (protest involving tactical intelligence system required hearing and technical assistance from GAO staff).
 - (2) Absent evidence that a protest record is questionable or incomplete, GAO will not hold a hearing “merely to permit the protester to reiterate its protest allegations orally or otherwise embark on a fishing expedition for additional grounds of protest” since such action would undermine GAO's ability to resolve protests expeditiously and without undue disruption of the procurement process. Town Dev., Inc., B-257585, Oct. 21, 1994, 94-2 CPD ¶ 155 at 5.

¹⁹According to the GAO's procedural rules, hearings are ordinarily conducted in Washington, D.C. The rule further notes that hearings may also be conducted by telephone or other electronic means. 4 C.F.R. § 21.7(c).

- b. GAO may hold pre-hearing conferences to resolve procedural matters such as the procedures to be followed, the issues to be considered, and the witnesses who will testify. 4 C.F.R. § 21.7(b).
 - c. Note that GAO may draw an adverse inference if a witness fails to appear at a hearing or fails to answer a relevant question. This rule applies to the protester, interested parties, and the agency. 4 C.F.R. § 21.7(f).
- 13. Alternative Dispute Resolution. The GAO offers three forms of alternative dispute resolution (ADR) – Negotiation Assistance, Litigation Risk Assessment, and Outcome Prediction. Bid Protests at GAO: A Descriptive Guide (10th ed. 2018), Office of General Counsel, U.S. GAO (GAO-18-510SP) at 6.
 - a. Negotiation Assistance. The GAO attorney offers to assist the parties in reaching agreement on resolution of the matter. This type of ADR occurs usually with protests challenging a solicitation term or a cost claim.
 - b. Litigation Risk Assessment. The GAO attorney gives an informal view of the possible range of outcomes, so that a party may take appropriate action to resolve the protest. Generally, less formal than outcome prediction and can be conducted at an earlier stage in the protest.
 - c. Outcome Prediction. The GAO attorney will inform the parties of the likely outcome based on the record. The “losing” party can then decide whether to withdraw/take corrective action or continue with the protest. Outcome prediction may involve an entire protest or certain issues of a multi-issue protest. The single most important criterion in outcome prediction is the GAO attorney’s confidence in the likely outcome of the protest.
- 14. The GAO must issue a decision within 100 days after the filing of the protest.²⁰ 31 U.S.C. § 3554(a)(1); 4 C.F.R. § 21.9(a).
- 15. Express Option. 31 U.S.C. § 3554(a)(2); 4 C.F.R. § 21.10.
 - a. Decision in 65 days. 4 C.F.R. § 21.9(b); 4 C.F.R. § 21.10(b).
 - b. The protester, agency, or other interested party may request the express option in writing within five days after the protest is filed. 4 C.F.R. § 21.10(a), (c). The GAO has discretion to decide whether

²⁰ **PRACTICE TIP:** Anyone may check on the status of current protests, or view GAO Bid Protest Decisions, using the GAO’s online docket at: <http://www.gao.gov/legal/bid-protests/search>.

to grant the request. 4 C.F.R. § 21.10(b). GAO may also use the express option on its own initiative. 4 C.F.R. § 21.10(a). Generally, GAO reserves the use of this expedited procedure for protests involving relatively straightforward facts and issues.

- c. The following schedule applies under the express option (4 C.F.R. § 21.10(d)):
 - (1) Agency Report due within 20 days after notice from GAO of express option;
 - (2) Protester's comments on Agency Report due within 5 days of receiving Agency Report;
 - (3) GAO may alter the schedule if the case becomes no longer appropriate for the express option.

G. Scope of GAO Review.

- 1. The scope of GAO's review of protests is similar to that of the Administrative Procedures Act. 5 U.S.C. § 706. GAO does not conduct a *de novo* review. Instead, it reviews the agency's actions for reasonableness, consistency with the solicitation, and compliance with applicable procurement statutes or regulations. AAR Airlift Group, Inc., B-412789.2, B-412790.2, Jun. 2, 2016, 2016 CPD ¶ 141 at 5; Analytical Innovative Solutions, LLC, B-408727, Nov. 6, 2013, 2013 CPD ¶ 263 at 3.
- 2. Burden of Proof. The protester generally has the burden of demonstrating the agency's action is unreasonable. EA Engineering, Science, and Technology, Inc., B-411967.2, B-411967.3, B-411967.4, April 5, 2016, 2016 CPD ¶ 106 at 8.
- 3. Agency Record. When conducting its review, GAO will consider the **entire** record surrounding agency conduct, to include statements and arguments made in response to the protest. AT&T Corp., B-260447.4, Mar. 4, 1996, 96-1 CPD ¶ 200 at 9.
 - a. The agency bears the burden of preparing a record sufficient for meaningful review, and when an agency fails to document an aspect of the evaluation or retain evaluation documents, it risks GAO concluding that there is insufficient documentation to support a finding that the evaluation was reasonable. Harmonia Holdings Group, LLC, B-417475.3, B-417475.4, Sept. 23, 2019, 2019 CPD ¶ 333 at 18.
 - b. The agency may not, for the first time in a protest, provide its rationale for the decision in a request for reconsideration.

Department of the Army—Recon., B-240647, Feb. 26, 1991, 91-1 CPD ¶ 211 at 3.

- c. GAO will give little weight to post-protest documents that constitute reevaluations and redeterminations prepared in the heat of an adversarial process.²¹ Boeing Sikorsky Aircraft Support, B-277263.2, B-277263.3, Sept. 29, 1997, 97-2 CPD ¶ 91 at 15. However, GAO will consider post-protest explanations of the record that are credible and consistent with the contemporaneous record and “simply fill in previously unrecorded details.” ENSCO, Inc.; PAE National Security Solutions, LLC, B-414844, B-414844.2, B-414844.3, October 2, 2017, 2017 CPD ¶ 357 at 11; Mgmt Sys. Int’l, Inc., B-409415, B-409415.2, Apr. 10, 2014, 2014 CPD ¶ 117 at 7.
4. Substantive Review. As part of its review, GAO has demonstrated a willingness to probe factual allegations and assumptions underlying agency determinations or award decisions. See, e.g., Redstone Tech. Servs., B-259222, Mar. 17, 1995, 95-1 CPD ¶ 181; Secure Servs. Tech., Inc., B-238059, Apr. 25, 1990, 90-1 CPD ¶ 421 (GAO conducted a comparative analysis of competitors’ proposals and the alleged deficiencies in them and sustained the protest when it determined that the agency had not evaluated the proposals in a consistent manner); Frank E. Basil, Inc., B-238354, May 22, 1990, 90-1 CPD ¶ 492.
5. Bad Faith. Government officials are presumed to act in good faith. Allegations of bias or bad faith must be supported by convincing proof. GAO will not consider allegations based on mere inference, supposition, or unsupported speculation. Career Innovations, LLC, B-404377.4, May 24, 2011, 2011 CPD ¶ 111 at 7-8; Empire Veteran Group, Inc., B-408866.2, B-408866.3, Dec. 17, 2013, 2013 CPD ¶ 294 at 6.
6. Timeliness Issues.
 - a. GAO will generally resolve factual disputes regarding timeliness of protest filing in favor of the protester if there is at least a reasonable degree of evidence to support protester’s version of the facts. Packaging Corp. of America, B-225823, July 20, 1987, 87-2 CPD ¶ 65 (disagreement over when protester knew or should have known of basis for protest).
 - b. The protester is required to include “all the information establishing the timeliness of the protest.” 4 C.F.R. § 21.2(b).

²¹ **PRACTICE TIP:** This one reason it is very important for the Agency to ensure it has a complete record prior to releasing solicitation documents or awarding a contract.

- c. When there is a doubt as to whether a protest is timely, GAO will generally consider the protest. CAD Language Sys., Inc., B-233709, Apr. 3, 1989, 89-1 CPD ¶ 405.
7. Unduly Restrictive Specification or Requirement. Where a protester challenges a specification as unduly restrictive, that is, challenges both the restrictive nature of the specification and the agency's need for the restriction, the agency has the responsibility of establishing that the restrictive specification is reasonably necessary to meet its legitimate needs. J. Squared Inc., d/b/a University Loft Co., B-408388, Aug. 27, 2013, 2013 CPD ¶ 201 at 5. Once the agency establishes support for the challenged solicitation term, the burden shifts to the protester to show that it is clearly unreasonable. Id.
8. Prejudice. To prevail, a protester must demonstrate prejudice. To meet this requirement, a protester must show that but for the agency error, there existed "a substantial chance" that the offeror would have been awarded the contract. Odyssey Marketing Group, Inc., B-412695, B-412695.2, April 21, 2016, 2016 CPD ¶ 109 at 5. See, e.g., Bath Iron Works Corp., B-290470, Aug. 19, 2002, 2002 CPD ¶ 133 (denying protester's proposed use of a decommissioned destroyer for at-sea testing, while at the same time accepting awardee's proposed use constituted unequal treatment, but did not result in competitive prejudice). GAO will not sustain a protest unless the protester demonstrates a reasonable possibility that it was prejudiced by the agency's actions. Blue Origin Federation, LLC; Dynetics, Inc.-A Leidos Company, B-419783, B-419783.2, B-419783.3, B-419783.4, Jul. 30, 2021, 2021 CPD ¶ 265 at 16; A-P-T Research, Inc., B-419459, Mar. 12, 2021, 2021 CPD ¶ 151 at 10 (agency's use of "even if" analysis in Source Selection Decision Document established lack of prejudice). GAO resolves any doubts regarding prejudice in favor of a protester since a reasonable possibility of prejudice is a sufficient basis for sustaining a protest. See Kellogg, Brown & Root Servs., Inc.-Recon., B-309752.8, Dec. 20, 2007, 2008 CPD ¶ 84 at 5; Piquette & Howard Electric Service, Inc., B-408435.3, Dec. 16, 2013, 2014 CPD ¶ 8 at 9.

H. Remedies.

1. GAO decisions are "recommendations" and not binding on the agency. 31 U.S.C. § 3554; The Centech Group, Inc. v. U.S., 78 Fed.Cl. 496 (2007) at 506-507.
2. Agencies that do not implement GAO's recommendations fully within 60 days of a decision must report this fact to GAO. FAR 33.104(g). GAO, in turn, must report all instances of agency refusal to accept its recommendation to Congress. 31 U.S.C. § 3554(e).

3. GAO may recommend that an agency grant the following remedies (4 C.F.R. § 21.8):
 - a. Refrain from exercising options under an existing contract;
 - b. Terminate an existing contract;
 - c. Recompete the contract;
 - d. Issue a new solicitation;
 - e. Award the contract consistent with statute and regulation; or
 - f. Such other recommendation(s) as GAO determines necessary to promote compliance with CICA.
4. Impact of a Recommended Remedy. In determining the appropriate recommendation, GAO will consider all circumstances surrounding the procurement, to include: the seriousness of the deficiency; the degree of prejudice to other parties or the integrity of the procurement process; the good faith of the parties; the extent of contract performance; the cost to the government; the urgency of the procurement; and the impact on the agency's mission. 4 C.F.R. § 21.8(b).
5. CICA Override. However, where the head of the contracting activity decides to continue contract performance because it represents the best interests of the government, GAO "shall" make its recommendation "without regard to any cost or disruption from terminating, recompeting, or reawarding the contract." 4 C.F.R. § 21.8(c). Department of the Navy – Modification of Remedy, B-274944.4, July 15, 1997, 97-2 CPD ¶ 16 at footnote 3 (Navy contends that "it may not be able to afford" costs associated with GAO recommendation).

I. "Appeal" of GAO Decision.

1. Reconsideration of GAO Decisions.
 - a. The request for reconsideration must be submitted to GAO within 10 days of learning of the basis for the request or when such grounds should have been known, whichever is earlier. 4 C.F.R. §21.14(b); DynaLantic Corp. – Recon., B-402326.3, Aug 10, 2010, 2010 CPD ¶ 189 (request for reconsideration untimely where it was filed more than 10 days after protester's counsel received GAO's protected decision). The requester must state the factual and legal grounds upon which it seeks reconsideration and must show that the decision contained an error of fact or law. 4 C.F.R. § 21.14(c). Reiterating previous arguments and expressing

disagreement with the prior decision is not sufficient. Dept. of the Army – Recon., B-401472.2, Dec. 7, 2009, 2009 CPD ¶ 250 at 4.

- b. Requests for reconsideration must be based upon new facts, unavailable at the time of the initial protest. GAO does not allow piecemeal development of protest issues. SCB Solutions, Inc., – Recon., B-410450.2, Aug. 12, 2015, 2015 CPD ¶ 255 at 3-4; JEQ & Co., LLC – Recon., May 9, 2019, 2019 CPD ¶ 175 at 3-5.
- c. GAO will not act on a motion for reconsideration if the underlying procurement is the subject of federal court litigation, unless the court has indicated interest in GAO’s opinion. Department of the Navy – Recon., B-253129.4, Sept. 30, 1993, 96-2 CPD ¶ 175.

2. Judicial Review of Agency Action.

- a. A protester always may seek judicial review of an agency action under the Administrative Procedures Act. Courts may, however, give great deference to GAO in light of its considerable procurement expertise. Shoals American Indus., Inc. v. United States, 877 F.2d 883 (11th Cir. 1989). But see California Marine Cleaning, Inc. v. United States, 42 Fed. Cl. 281 (1998) (COFC overturned GAO decision finding that GAO’s decision was irrational, that GAO misapplied the late bid rule, and that it failed to consider all relevant evidence).
- b. This deference is not absolute. A court may still find an agency decision to lack a rational basis, even if the agency complies with GAO’s recommendations in a bid protest. Firth Constr. Co. v. United States, 36 Fed. Cl. 268, 271-72 (1996); Advanced Distribution Sys., Inc. v. United States, 34 Fed. Cl. 598, 604 n. 7 (1995); see also Mark Dunning Indus. v. Perry, 890 F. Supp. 1504 (M.D. Ala. 1995) (court holds that “uncritical deference” to GAO decisions is inappropriate). But see Honeywell, Inc. v. United States, 870 F.2d 644, 648 (Fed. Cir. 1989) (Federal Circuit notes that “it is the usual policy, if not the obligation, of procuring departments to accommodate themselves to positions formally taken by the Government Accountability Office”).

J. Other Considerations.

- 1. **“The CICA Stay”—Automatic Statutory Stay.** 31 U.S.C. § 3553(c) and (d).
 - a. Pre-award Protests: An agency may not award a contract after receiving notice **from GAO** of a timely-filed protest. 31 U.S.C. § 3553(c); 4 C.F.R. § 21.6; FAR 33.104(b).

- a. Post-award Protests: The contracting officer shall suspend contract performance immediately when the agency receives notice **from GAO** of a protest filed **within 10 days of the date of contract award or within five days AFTER THE DATE OFFERED for the required post-award debriefing**. The CICA stay applies under either deadline, whichever is later. 31 U.S.C. § 3553(d); 4 C.F.R. § 21.6; FAR 33.104(c). For those in DOD review DFARS 233.104. In lieu of the time periods in FAR 33.104(c)(1), contracting officers shall immediately suspend performance or terminate the awarded contract, task order, or delivery order upon notice from GAO of a protest filed within the time periods below, whichever is later except as provided in FAR 33.104(c)(2) and (3).
- (1) Within 10 days after the date of contract award;
 - (2) Within 10 days after the date of a task order or delivery order is issued, where the value exceeds 25 million (10 U.S.C. 3406(f);
 - (3) Within 5 days after a debriefing date offered to the protester under a timely debriefing request in accordance with FAR 15.506 regardless of whether the protester rejected the offered debriefing date, unless an earlier debriefing date is negotiated as a result; or
 - (4) Within 5 days after a post award debriefing under FAR 15.506 is concluded in accordance with 215.506-70(b).
- b. The automatic stay is triggered **only** by notice from GAO. See McDonald Welding v. Webb, 829 F.2d 593 (6th Cir. 1987); Survival Technology Inc. v. Marsh, 719 F. Supp. 18 (D.D.C. 1989). See also Florida Professional Review Org., B-253908.2, Jan. 10, 1994, 94-1 CPD ¶ 17 (no duty to suspend performance where protest filed on eighth day after award [Friday] but GAO notified agency of protest on eleventh day after award [Monday]). **NOTE:** FASA changed the rules, now allowing for a deadline falling on a weekend or holiday to extend to the next business day. Filing in EPDS now provides notice almost immediately to the Agency representatives registered EPDS, essentially eliminating the potential for a delay between filing and notice by GAO to the Agency.
- c. “Proposed Award” Protests: An agency’s decision to cancel a solicitation based upon the determination that the costs associated with contract performance would be cheaper if performed in-house (i.e., by federal employees) may be subject to the CICA stay. See Inter-Con Sec. Sys., Inc. v. Widnall, No. C 94-20442 RMW, 1994

U.S. Dist. LEXIS 10995 (N.D. Cal. July 11, 1994); Aspen Sys. Corp., B-228590, Feb. 18, 1988, 88-1 CPD ¶ 166. In reviewing a protest of an in-house cost comparison, GAO will look to whether the agency complied with applicable procedures in selecting in-house performance over contracting. DynCorp, B-233727.2, June 9, 1989, 89-1 CPD ¶ 543.

2. **“The CICA Override”—Relief from the CICA Stay.** 31 U.S.C. § 3553(c) and (d); FAR 33.104(b) and (c); AFARS 5133.104; AFFARS 5333.104. While paragraphs (1) and (2) below provide the *general* approval authority, the Army requires the override to be approved by the Deputy Assistant Secretary of the Army (Policy and Procurement) or the Head of Contracting Activity for Army Materiel Command (AMC) for contracting offices that report to AMC (after legal review the HQAMC, Office of Command Counsel, will forward the request, with the D&F, in accordance with agency procedures to the HCA). AFARS 5133.104. Make sure you check agency FAR supplements and local policies before proceeding with a CICA stay override.
 - a. Pre-Award Protest Stay: The head of the contracting activity (HCA) may, on a nondelegable basis, authorize the award of a contract:
 - (1) Upon a written finding that urgent and compelling circumstances which significantly affect the interest of the United States will not permit waiting for the decision of the Comptroller General; **AND**
 - (2) The agency is likely to award the contract within 30 days of the written override determination.
 - b. Post-Award Protest Stay: The HCA may, on a nondelegable basis, authorize **continued performance** under a previously awarded contract upon a written finding that:
 - (1) Contract performance will be **in the best interests of the United States**; or
 - (2) Urgent and compelling circumstances that significantly affect the interest of the United States will not permit waiting for the decision of GAO.

NOTE: If a protest is sustained where the agency authorized continued performance under the best interests exception, GAO will make recommendations without regard to any cost or disruption from terminating, recompeting, or re-awarding the contract. 31 U.S.C. § 3554(b)(2).

- c. In either instance, if the agency is going to override the automatic stay, it must notify GAO. 31 U.S.C. 3553(c). See also Banknote Corp. of America, Inc., B-245528, B-245528.2, Jan. 13, 1992, 92-1 CPD ¶ 53 at 7-8 (GAO will not review the override decision).
 - d. Override decisions **are** subject to judicial review at the COFC. See Fisher Sand & Gravel Co. v. U.S., 143 Fed. Cl. 247 (2019); Alion Science and Technology Corp. v. United States, 69 Fed. Cl. 14 (2005) (even when the agency official makes a “best interest” determination). See also Cigna Gov’t Services, LLC v. United States, 70 Fed. Cl. 100 (2006) (finding the override decision was arbitrary and capricious); See also URS Federal Services, Inc. v. United States, 102 Fed. Cl. 664 (2011), where the COFC reviewed an override determination considering four factors: (1) whether significant adverse consequences will necessarily occur if the stay is not overridden, (2) conversely, whether reasonable alternatives to the override exist that would adequately address the circumstances presented, (3) how the potential cost of proceeding with the override, including the costs associated with the potential that GAO might sustain the protest, compare to the benefits associated with the approach being considered for addressing the agency’s needs, and (4) the impact of the override on competition and the integrity of the procurement system, as reflected in the Competition in Contracting Act.
3. **Availability of Funds.** The “end-of-fiscal-year spending spree” results in a large volume of protest action during the August-November time frame. To allay concerns about the loss of funds pending protest resolution, 31 U.S.C. § 1558 provides that funds will not expire for 100 days following resolution of the bid protest.²² FAR 33.102(c).
4. **Protest Costs, Attorneys Fees, and Bid Preparation Costs.**
- a. If GAO determines that a solicitation, proposed award, or award does not comply with statute or regulation, it may recommend that the agency pay the protester the costs of: (1) filing and pursuing the protest, including attorneys’ fees and consultant and expert witness fees; and (2) bid and proposal preparation. 4 C.F.R. § 21.8(d). The recovery of protest costs is neither an “award” to protester nor is it a “penalty” imposed upon the agency, but is “intended to relieve protesters of the financial burden of

²²This authority applies to protests filed with the agency, at GAO, or in a federal court. 31 U.S.C. § 1558. See also OFFICE OF THE GENERAL COUNSEL, UNITED STATES GOVERNMENT ACCOUNTABILITY OFFICE, Principles of Federal Appropriations Law 5-89 (3d ed. 2004).

vindicating the public interest.” Department of Navy-Modification of Remedy, B-284080.3, May 24, 2000, 200- CPD ¶ 99.

- (1) In practice, if the agency takes remedial action promptly, GAO generally will not award fees. See J.A. Jones Management Servs., Inc.-Costs B-284909.4, Jul. 31, 2000, 2000 CPD ¶ 123 (GAO declined to recommend reimbursement of costs where agency took corrective action promptly in response to supplemental protest allegation); Tidewater Marine, Inc.-Costs, B-270602, Aug. 21, 1996, 96-2 CPD ¶ 81 (the determination of when the agency was on notice of error is “critical”); see also LORS Medical Corp., B-270269, Apr. 2, 1996, 96-1 CPD ¶ 171 at 2 (timely agency action measured from filing of initial protest, not time of alleged improper action by agency). GAO has stated that, in general, if the agency takes corrective action by the due date of the agency report, such remedial action is timely. Kertzman Contracting, Inc., B-259461, May 3, 1995, 95-1 CPD ¶ 226 at 4-5 (agency’s decision to take corrective action one day before agency report due was “precisely the kind of prompt reaction” GAO regulations encourage); Holiday Inn - Laurel-Entitlement to Costs, B-265646, Nov. 20, 1995, 95-2 CPD ¶ 233 at 3-4 (Agency took corrective action five days after comments filed by protester. The corrective action decision was related to an issue that was not raised by the protester until its comments).
- (2) If the agency delays taking corrective action unreasonably, however, the GAO may award fees. Griner’s-A-One Pipeline Servs., B-255078, July 22, 1994, 94-2 CPD ¶ 41, (corrective action taken two weeks following filing of agency administrative report and a month after it received the technical advice on which the corrective action was based found untimely).
- (3) The GAO will not award costs unless the protest was clearly meritorious, even if the agency does not take timely corrective action. Professional Security Corporation-Costs, B-407022.5, March 10, 2014, 2014 CPD ¶ 96.
- (4) The GAO may limit recommendation of costs to meritorious protest issues where unsuccessful protest issues are clearly severable from the successful issues as to essentially constitute a separate protest. Carney, Inc.-Costs, B-408176.13, Feb. 14, 2014, 2014 CPD ¶ 82 at 5-6.

- (5) Agency corrective action must result in some competitive benefit to the protester. Tri-Ex Tower Corp., B-245877, Jan. 22, 1992, 92-1 CPD ¶ 100 at 3-4 (protester not entitled to fees and costs where the agency cancels a competitive solicitation and proposes to replace it with a sole source acquisition; no corrective action taken in response to the protest).
 - (6) Protester must file its request for declaration of entitlement to costs with the GAO within 15 days after learning (or when it should have learned, if that is earlier) that GAO has closed the protest based on the agency's decision to take corrective action. 4 C.F.R. § 21.8(e). DevTech Sys., Inc., B-284860.4, Aug. 23, 2002, CPD ¶ 150.
- b. If the GAO determines that the protester is entitled to recover its costs:
- (1) The protester must submit a claim for costs within 60 days of the receipt of the GAO decision. Failure to file within 60 days may result in forfeiture of the right to costs. 4 C.F.R. § 21.8(f). See Aalco Forwarding, Inc., B-277241.30, July 30, 1999, 99-2 CPD ¶ 36 (protesters' failure to file an **adequately** supported initial claim within the 60-day period resulted in forfeiture of right to recover costs). See also Dual Inc. - Costs, B-280719.3, Apr. 28, 2000 (rejecting claim for costs where claim was filed with contracting agency more than 60 days after protester's counsel received a protected copy of protest decision under a protective order).
 - (2) If the agency and protester fail to agree on the amount of costs the agency will pay, the protester may request that GAO recommend an amount. In such cases, GAO may also recommend payment of costs associated with pursuing this GAO amount recommendation. 4 C.F.R. § 21.8(f); DIVERCO, Inc.-Claim for Costs, B-240639.5, May 21, 1992, 92-1 CPD ¶ 460.
 - (3) Interest on costs is not recoverable. Techniarts Eng'g-Claim for Costs, B-234434.2, Aug. 24, 1990, 90-2 CPD ¶ 152 at 7.
 - (4) Amount of attorney's fees and protest costs is determined by reasonableness. See, e.g., JAFIT Enters., Inc. – Claim for Costs, B-266326.2, B-266327.2, Mar. 31, 1997, 97-1 CPD ¶ 125 at 4 (GAO allowed only 15% of protest costs

and fees). Equal Access to Justice Act (EAJA) standards do **not** apply. Attorneys' fees (for other than small business concerns) are limited to not more than \$150 per hour, "unless the agency determines based on the recommendation of the Comptroller General on a case-by-case basis, that an increase in the cost of living or a special factor, such as the limited availability of qualified attorneys for the proceedings involved, justifies a higher fee." 31 U.S.C. § 3554(c)(2)(B). See also Sodexho Mgmt., Inc.-Costs, B-289605.3, Aug. 6, 2003, 2003 CPD ¶ 136. Similarly, fees for experts and consultants are capped at "the highest rate of compensation for expert witness paid by the Federal Government." 31 U.S.C. § 3554(c)(2); FAR 33.104(h).²³ This amount is equal to GS15 Step 10, not the highest amount paid by any federal agency for any expert in any forum at any time. Dept. of the Army; ITT Federal Services Int'l Corp., B-296783.4, B-296783.5, Apr. 26, 2006, 2006 CPD ¶ 72.

- (5) Unlike the EAJA, a protester need not be a "prevailing party" where a "judicial imprimatur" is necessary to cause a change in the legal relationship between the parties. Georgia Power Company, B-289211.5, May 2, 2002, 2002 CPD ¶ 81 (rejecting the agency's argument that the Supreme Court's holding in Buckhannon Bd. and Care Home, Inc., v. W. VA. Dep't of HHR, 532 U.S. 598 (2001) rejecting the "catalyst theory" to fee-shifting statutes, applied to the Competition in Contracting Act).
- (6) As a general rule, a protester is reimbursed costs incurred with respect to all protest issues pursued, not merely those upon which it prevails. AAR Aircraft Servs.-Costs, B-291670.6, May 12, 2003, 2003 CPD ¶ 100 at 9. Department of the Army-Modification of the Remedy, B-292768.5, Mar. 25, 2004, 2004 CPD ¶ 74 at 2. The GAO has limited award of costs to successful protesters where part of their costs is allocable to a protest issue that is so clearly severable as to essentially constitute a separate protest. TRESP Associates, Inc.-Costs, B-258322.8, Nov. 3, 1998, 98-2 CPD ¶ 108 (no need to allocate attorneys' fees between sustained protest and those issues not

²³ The FAR refers to 5 U.S.C. § 3109 and Expert and Consultant Appointments, 60 Fed. Reg. 45649, Sept. 1, 1995, citing 5 C.F.R. § 304.105.

addressed where all issues related to same core allegation that was sustained).

- (7) A protester may recover costs on a sustained protest despite the fact that the protester did not raise the issue that the GAO found to be dispositive. The GAO may award costs even though the protest is sustained on a theory raised by the GAO *sua sponte*. Department of Commerce-Recon., B-238452, Oct. 22, 1990, 90-2 CPD ¶ 322.
- c. The protester must document its claim for attorney's fees. Consolidated Bell, Inc., B-220425, Mar. 25, 1991, 91-1 CPD ¶ 325 (claim for \$376,110 reduced to \$490 because no reliable supporting documentation). See also Galen Medical Associates, Inc., B-288661.6, July 22, 2002, 2002 CPD ¶ 56 (GAO recommending that the agency reimburse the protestor \$110.65 out of the \$159,195.32 claim due to a lack of documentation).
- d. When a claim aggregates allowable and unallowable costs and the GAO cannot determine what portion is allowable, the entire claim is unallowable. System Studies, and Simulation – Costs, B-409375.5, May 8, 2015, 2015 CPD ¶ 155.
- e. Protestor must also diligently pursue its claim for costs. System Studies, and Simulation – Costs, B-409375.5, May 8, 2015, 2015 CPD ¶ 155 (denying claim for \$66,078.62 in attorneys' fees where the agency offered an amount in settlement and protester did not respond and waited over four months to seek GAO recommendation.)
- f. Bid Preparation Costs. 4 C.F.R. § 21.8(d)(2).
 - (1) GAO has awarded bid preparation costs when no other practical relief was feasible. See, e.g., Tri Tool, Inc.-Modification of Remedy, B-265649.3, Oct. 9, 1996, 96-2 CPD ¶ 139.
 - (2) As with claims for legal fees, the protester must document its claim for bid preparation and protest costs. A protester may not recover profit on the labor costs associated with prosecuting a protest or preparing a bid. Innovative Refrigeration Concepts-Claim for Costs, B-258655.2, July 16, 1997, 97-2 CPD ¶ 19 (protester failed to show that claimed rates for employees reflected actual rates of compensation).

- g. **Anticipatory profits are not recoverable.** Keco Indus., Inc. v. United States, 192 Ct. Cl. 773, 784 (1970); DaNeal Constr., Inc., B-208469, Dec. 14, 1983, 83-2 CPD ¶ 682.

CHAPTER 15B

CONTRACT DISPUTES ACT AND BID PROTEST

LITIGATION AT THE COURT OF FEDERAL CLAIMS (COFC)¹

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¹ This document was prepared by Doug Mickle with the assistance of William Rayel and Corinne Niosi, and the information presented in this chapter has not been endorsed by the Department of Justice. This document is current as of July 3, 2025.

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CHAPTER 15B

CONTRACT DISPUTES ACT AND BID PROTEST

LITIGATION AT THE COURT OF FEDERAL CLAIMS (“COFC”)

I. INTRODUCTION.

- A. Court of national jurisdiction, established in 1855 to handle certain types of claims against the United States. Website: <http://www.uscfc.uscourts.gov/>
- B. Jurisdiction – Suits primarily for money, arising out of money-mandating statutes, Constitutional provisions, Executive Orders, Executive agency regulations, and contracts.²
 - 1. Government contracts and bid protests.
 - 2. Civilian and military pay.
 - 3. Tax refunds (concurrent jurisdiction with United States district courts).
 - 4. Fifth Amendment takings, including environmental and natural resource issues.
 - 5. Vaccine compensation claims. 42 U.S.C. § 300aa-12.
 - 6. Miscellaneous.
 - a. Various claims pursuant to statutory loan guarantee or benefit programs, including those brought by states, localities, and foreign governments.
 - b. Congressional reference cases. 28 U.S.C. § 1492.
 - c. Intellectual property claims against the United States (and its contractors). 28 U.S.C. § 1498.
 - d. Indian Tribe claims. 28 U.S.C. § 1505.
- C. Limitation on Remedies

² Most recent available data with a breakdown by case type for Fiscal Year 2025 can be found at: <https://www.uscfc.uscourts.gov/sites/cfc/files/AOstats-2025%20FINAL.pdf>

1. Generally, money damages. However, monetary relief in a bid protest is limited to bid preparation and proposal costs. 28 U.S.C. § 1491(b)(2).
 2. Pursuant to the Tucker Act, the Court may provide limited forms of equitable relief, including:
 - a. Reformation in aid of a monetary judgment, or rescission instead of monetary damages. *John C. Grimberg Co. v. United States*, 702 F.2d 1362 (Fed. Cir. 1983); *Paragon Energy Corp. v. United States*, 645 F.2d 966 (Ct. Cl. 1981); *Rash v. United States*, 360 F.2d 940 (1966).
 - b. To afford relief in such an action, the courts may award any relief that the court considers proper, including declaratory and injunctive relief except that any monetary relief shall be limited to bid preparation and proposal costs.”. 28 U.S.C. § 1491(b)(2).
 - c. Records correction incident to a monetary award, such as correcting military records to reflect a Court finding of unlawful separation. *See* 28 U.S.C. § 1491(a)(2).
 - d. Pursuant to the Contract Disputes Act (“CDA”), the COFC also may entertain certain nonmonetary disputes.
 - e. Pursuant to 28 U.S.C. § 2507, the Court may seek advisory opinions from any agency. (“The United States Court of Federal Claims may call upon any department or agency of the United States or upon any party for any information or papers, not privileged, for purposes of discovery or for use as evidence.”) *See, e.g., Academy Facilities Management v. United States*, 87 Fed. Cl. 441, 455–62 (2009) (analyzing the GAO advisory opinion the Court requested and applying it to the case at the Court). The Court’s rules also allow the Court to remand matters to the agency for it to reconsider matters. RCFC 52.2.
 3. The Court may award attorney fees pursuant to the Equal Access to Justice Act (“EAJA”). 28 U.S.C. § 2412.
- D. Composition. 28 U.S.C. §§ 171-172.
1. Currently composed of 16 active judges, along with 5 senior judges. 28 U.S.C. § 171(a) authorizes the President to appoint 16 active judges.
 2. Chief Judge is Matthew H. Solomson.
 3. President appoints judges for 15-year term with advice and consent of the Senate. President may reappoint after initial term expires.

4. The United States Court of Appeals for the Federal Circuit (“Federal Circuit”) may remove a judge for incompetence, misconduct, neglect of duty, engaging in the practice of law, or physical or mental disability.

E. Location.

1. 717 Madison Place, N.W., Washington, D.C. (across from White House and Treasury).
2. Routinely schedules trials throughout the country, 28 U.S.C. §§ 173 (“times and places of the sessions of the [COFC] shall be prescribed with a view to securing reasonable opportunity to citizens to appear ... with as little inconvenience and expense to citizens as is practicable”), 2503(c) (“[h]earings shall, if convenient, be held in the counties where the witnesses reside”), and 2505 (“[a]ny judge of the [COFC] may sit at any place within the United States to take evidence and enter judgment.”). The Court also conducts telephonic hearings, motions, and status conferences.
3. Unlike the boards of contract appeals (“BCAs”), before 1992, the COFC could not conduct trials in foreign countries. 28 U.S.C. § 2505; *In re United States*, 877 F.2d 1568 (Fed. Cir. 1989). The Federal Courts Administration Act (“FCAA”) of 1992 remedied this. See 28 U.S.C. § 798(b).

F. Caseload.

1. In FY 2024, the COFC disposed of 997 complaints and 1,331 vaccine petitions. Except for a number of these cases in which no given amounts were claimed, the total amount claimed was \$231,610,389,000.00. Of the cases disposed, the court rendered judgments for claimants in the sum of \$579,243,840.38 (annuity amounts are included in this figure if available) of which \$56,879,239.94 carried interest. A number of these judgments were based on settlements between parties. The COFC rendered money judgments for the United States on counterclaims, offsets and/or sanctions in the sum of \$0.00. Under its non-monetary jurisdiction (bid protest jurisdiction), there were 234 cases filed and the court disposed of 247 cases.
2. In FY 2024, the COFC disposed of 886 complaints and 1,491 vaccine petitions. The total amount claimed was \$1,538,609,166,288.00. Of the cases disposed, the court rendered judgments for claimants in the sum of \$1,063,606,739.25. The COFC rendered money judgments for the United States on counterclaims, offsets and/or sanctions in the amount of \$274,205.42. 266 bid protest cases were filed and the court disposed of 188 (some cases that were disposed of were filed in previous years).

3. In FY 2023, the COFC disposed of 785 complaints and 1,287 vaccine petitions. The total amount claimed was \$25,034,990,000.00. Of the cases disposed, the court rendered judgments for claimants in the sum of \$714,148,227.66. The COFC rendered money judgments for the United States on counterclaims, offsets and/or sanctions in the amount of \$44,578,337.78. 169 bid protest cases were filed and the court disposed of 152 (some cases that were disposed of were filed in previous years).

II. HISTORY OF THE COURT.

A. Pre-Civil War.

1. Before 1855, Government contractors had no forum in which to sue the United States.
2. In 1855, the Congress created the Court of Claims as an Article I (legislative) court to consider claims against the United States and recommend private bills to Congress. Act of February 24, 1855, 10 Stat. 612.
3. However, the service secretaries continued to resolve most contract claims. As early as 1861, the Secretary of War appointed a board of three officers to consider and decide specific contract claims. *See Adams v. United States*, 74 U.S. 463 (1868). Upon receipt of an adverse board decision, a contractor's only recourse was to request a private bill from Congress.

B. Civil War Reforms.

1. In 1863, Congress expanded the power of the Court of Claims by authorizing it to enter judgments against the United States. Act of March 3, 1863, 12 Stat. 765.
2. In 1887, Congress passed the Tucker Act to expand and clarify the Court's jurisdiction. Act of March 3, 1887, 24 Stat. 505 (codified at 28 U.S.C. § 1491).
 - a. The Court has jurisdiction "to render judgment upon any claim against the United States founded either upon the Constitution, or any Act of Congress or any regulation of an executive department, or upon any express or implied contract with the United States, or for liquidated or unliquidated damages in cases not sounding in tort." 28 U.S.C. § 1491(a)(1). For the first time, a government contractor could sue the United States as a matter of right.
 - b. Note: district courts have concurrent jurisdiction with COFC to the extent such claims do not exceed \$10,000. 28 U.S.C. § 1346(a)(2) (Little Tucker Act).

C. Agencies Respond.

1. Agencies responded to the Court of Claims' increased oversight by adding clauses to Government contracts that appointed specific agency officials (e.g., the contracting officer or the service secretary) as the final decision-maker for questions of fact.
2. The Supreme Court upheld the finality of these officials' decisions in *Kihlberg v. United States*, 97 U.S. 398 (1878).
3. The tension between the agencies' desire to decide contract disputes without outside interference and the contractors' desire to resolve disputes in the Court of Claims continued until 1978.
4. This tension resulted in considerable litigation and a substantial body of case law.

D. The Supreme Court Weighs In.

1. In a series of cases culminating in *Wunderlich v. United States*, 342 U.S. 98 (1951), the Supreme Court upheld the finality (absent fraud) of factual and legal decisions issued under disputes clauses by agency boards of contract appeals.
2. The Supreme Court further held that the Court of Claims could not review board decisions *de novo*.

E. Congress Reacts.

1. In 1954, Congress passed the Wunderlich Act, 41 U.S.C. §§ 321-322, to reaffirm the Court of Claims' authority to review factual and legal decisions by agency boards of contract appeals.
2. At about the same time, Congress changed the Court of Claims from an Article I (legislative) court to an Article III (judicial) court. Pub. L. No. 83-158, 67 Stat. 226 (1953).

F. The Supreme Court Weighs In Again.

1. In *United States v. Carlo Bianchi & Co*, 373 U.S. 709 (1963), the Supreme Court held that boards of contract appeals were the sole forum for considering *de novo* disputes "arising under" a remedy granting clause in the contract.
2. Three years later, the Supreme Court reaffirmed its conclusion in *Utah Constr. & Min. Co. v. United States*, 384 U.S. 394 (1966).

3. As a result, agency boards of contract appeals began to play a more significant role in the resolution of contract disputes.
- G. The Contract Disputes Act (CDA) of 1978 (see p. 18B-28).
1. Pub. L. No. 95-563, 92 Stat. 2383 (codified, as amended, at 41 U.S.C. § 7101 *et seq.*).
 2. In 1978, Congress passed the CDA to make the claims and disputes process more consistent and efficient.
 3. The CDA replaced the previous disputes resolution system with a comprehensive statutory scheme.
- H. Federal Courts Improvement Act of 1982.
1. Pub. L. No. 97-164, 96 Stat. 25 (codified 28 U.S.C. §§ 171 *et seq.*, 1494-97, 1499-1503).
 2. In 1982, Congress overhauled the Court of Claims and created a new Article I (legislative) court – named the United States Claims Court – from the old Trial Division of the Court of Claims. Congress then merged the old Appellate Division of the Court of Claims with the Court of Customs and Patent Appeals to create the Federal Circuit.
 3. Congress also enlarged the Claims Court’s equitable powers in bid protests. In 1956, the Court of Claims held that a disappointed bidder could file a protest pursuant to 28 U.S.C. § 1491(a)(1), based upon an implied contract to honestly and fairly consider bids. *See Heyer Products Co. v. United States*, 135 Ct. Cl. 63 (1956). Before the Federal Courts Improvement Act, protestors were limited to recovering their bid preparation and proposal costs. *Keco Indus., Inc. v. United States*, 192 Ct. Cl. 773, 784-85 (1970). The Federal Courts Improvement Act added 28 U.S.C. § 1491(a)(3) to the Tucker Act, authorizing the Claims Court to award injunctive relief in pre-award protests. *See United States v. John C. Grimberg Co., Inc.*, 702 F.2d 1362 (Fed. Cir. 1983).
- I. Federal Courts Administration Act of 1992
1. Pub. L. No. 102-572, 106 Stat. 4506. For legislative history, see, *inter alia*, S. Rep. No. 102-342, 102d Cong., 2d Sess. (July 27, 1992); H. Rep. No. 102-1006 (October 3, 1992); Senator Heflin’s remarks, Volume 138 Cong. Rec. No. 144, at S17798-99 (October 8, 1992).
 2. In 1992, Congress changed the name of the Claims Court to the United States Court of Federal Claims.

3. Congress expanded the jurisdiction of the COFC to include the adjudication of nonmonetary CDA disputes.

The COFC has jurisdiction “to render judgment upon any claim by or against, or dispute with, a contractor arising under section 10(a)(1) of the Contract Disputes Act of 1978, including a dispute concerning termination of a contract, rights in tangible or intangible property, compliance with cost accounting standards, and other nonmonetary disputes on which a decision of the contracting officer has been issued under section 6 of that Act.” Federal Courts Administration Act of 1992, Pub. L. No. 102-572, 106 Stat. 4506 (codified at 28 U.S.C. § 1491(a)(2)).

J. The Federal Acquisition Streamlining Act of 1994 (“FASA”)

1. Pub. L. No. 103-355, 108 Stat. 3243 (1994), slightly altered the Court’s jurisdiction.
2. A protest is not authorized “in connection with the issuance or proposed issuance of a task or delivery order except for a protest on the ground that the order increases the scope, period, or maximum value of the contract under which the order is issued.” FASA § 1004(a), creating 10 U.S.C. 2304(d) (now 41 U.S.C. 4106(f)). Since 1994, Congress has amended the FASA task order bar to allow protests in GAO of task orders valued in excess of a certain dollar-value threshold.
3. The COFC may direct that the contracting officer render a decision. Formerly, only the boards of contract appeals (“BCAs”) could do so. FASA § 2351(e), amending 41 U.S.C. § 605(c)(4) (now § 7103).
4. District courts may request advisory opinions from the BCAs. On matters concerning contract interpretation (any issue that could be the proper subject of a contracting officer’s final decision), district courts may request that the appropriate agency BCA provide (in a timely manner) an advisory opinion. FASA § 2354, amending 41 U.S.C. § 609 (now 41 U.S.C. § 7107(f)). FASA does not permit Federal district courts to request an advisory opinion from the COFC.

K. The Administrative Dispute Resolution Act of 1996 (“ADRA”)

1. Pub. L. No. 104-320, § 12 (1996), significantly altered COFC and U.S. District Court “bid protest jurisdiction.” 28 U.S.C. § 1491(b) permits COFC to “render judgment on an action by an interested party objecting to a solicitation by a Federal agency for bids or proposals for a proposed contract or to a proposed award or the award of a contract or any alleged violation of statute or regulation in connection with a procurement or a proposed procurement.”

2. The phrase “in connection with a procurement or proposed procurement,” has been interpreted broadly by this court to “include[] all stages of the process of acquiring property.” *Acetris Health, LLC v. United States*, 949 F.3d 719, 728 (Fed. Cir. 2020); *see also Distributed Sols, Inc. v. United States*, 539 F.3d 1340, 1346 (Fed. Cir. 2008). This also includes such actions as agency stay overrides pursuant to the Competition in Contract Act (“CICA”), 31 U.S.C. § 3553. *RAMCOR Servs Grp, Inc. v. United States*, 185 F.3d 1286, 1289 (Fed.Cir.1999).
3. For all procurement protests, ADRA supersedes the COFC’s jurisdiction to entertain protests under the implied contract to honestly and fairly consider bids pursuant to 28 U.S.C. § 1491(a). *See Resource Conservation Grp., LLC v. United States*, 597 F.3d 1238, 1246 (Fed. Cir. 2010). But the Federal Circuit has held that the COFC continues to have jurisdiction to entertain non-procurement protests under 28 U.S.C. § 1491(a)(1). *Id.* Because 28 U.S.C. § 1491(a)(3) was repealed as part of ADRA, protestors are now limited to bid preparation and proposal costs in non-procurement protests at the COFC. *See also, Safeguard Base Operations, LLC v. United States*, 989 F.3d 1326, 1342 (Fed. Cir. 2021) (finding that the COFC possesses jurisdiction over implied-in-fact contract claims to treat offerors fairly “in the procurement context under § 1491(b)(1), and only § 1491(b)(1).”).
- 4.
5. Statutorily-Prescribed Requirements (“interested party”).
 - a. **OLD LAW:** “Interested party” has the same meaning as in CICA (actual or prospective bidder whose direct economic interest would be affected by an award). *Weeks Marine, Inc. v. United States*, 575 F.3d 1352, 1359 (Fed. Cir. 2009); *AFGE, AFL-CIO v. United States*, 258 F.3d 1294 (2001). Besides demonstrating that it is an “interested party,” a plaintiff must also demonstrate “prejudice.” *Diaz v. United States*, 853 F.3d 1355, 1358-59 (Fed. Cir. 2017); *CliniComp Int’l, Inc. v. United States*, 904 F.3d 1353, 1358 (Fed. Cir. 2018).
 - b. **NEW LAW:** *CACI, Inc.-Federal v. United States*, 67 F.4th 1145 (Fed. Cir. 2023). “Interested Party” is not jurisdictional. In *CACI*, the Federal Circuit deemed that the standing issue presented a question of “statutory standing” and held that the Court of Federal Claims “erred in treating the issue of statutory standing as jurisdictional.” *Id.* at 1151. The Federal Circuit also ruled that its prior caselaw treating the “interested party issue” as jurisdictional is “no longer good law in this respect.” *Id.* The *CACI* Court, however, reiterated that the Court of Federal Claims may make an initial determination of whether a plaintiff is an “interested party,”

and that, in making this determination, the Court is “charged only with making a preliminary determination (‘substantial chance’) with respect to the plaintiff’s chances of securing the contract, rather than a final merits determination.” *Id.* at 1152; *REV LLC v. United States*, 91 F.4th 1156 (Fed. Cir. 2024).

- c. To be an actual bidder, the plaintiff must have submitted a bid. *See CGI Fed. Inc. v. United States*, 779 F.3d 1346, 1348 (Fed. Cir. 2015); *Rex Serv. Corp. v. United States*, 448 F.3d 1305, 1307 (Fed. Cir. 2006). To be a prospective bidder, the plaintiff “must be *expecting* to submit an offer prior to the closing date of the solicitation.” *Rex Serv.*, 448 F.3d at 1308 (citation omitted) (emphasis in original). Accordingly, “the opportunity to qualify either as an actual or a prospective bidder ends when the proposal period ends.” *Id.* (citation omitted). However, if a plaintiff challenges the terms of a solicitation before the agency or GAO prior to the close of bidding, and “thereafter diligently pursued its rights,” it will be considered a prospective bidder at the COFC, even if it has not submitted a timely proposal. *See CGI*, 779 F.3d at 1350-51.
 - d. **NEW LAW:** *Percipient.ai, Inc. v. United States*, 104 F.4th 839 (Fed. Cir.), *reh’g en banc granted, opinion vacated*, 121 F.4th 1311 (Fed. Cir. 2024), and *on reh’g en banc*, 153 F.4th 1226 (Fed. Cir. 2025), *cert. denied*, No. 25-428, 2026 WL 79975 (U.S. Jan. 12, 2026). In *Percipient*, the Federal Circuit sitting *en banc* held that an interested party is an actual or prospective bidder or offeror whose direct economic interest would be affected by the award of the contract or the failure to award the contract, and that this definition applies to all section 1491(b) protests. The court declined to adopt *Percipient*’s argument that the test for standing should vary based on which prong section § 1491(b) the protestor is invoking.
 - e. A protest will, by its nature, dictate the necessary factors for the “direct economic interest” and “prejudice” tests. In post-award protests, the plaintiff must show a “substantial chance” that it would have received the award, but for the errors alleged. *Rex Serv.*, 448 F.3d at 1308. In certain pre-award protests, however, the plaintiff need only show “a non-trivial competitive injury which can be addressed by judicial relief.” *Weeks Marine, Inc.*, 575 F.3d at 1362. (PRACTICE NOTE: We are awaiting an en banc Federal Circuit decision in *Percipient.ai* on the interested party issue)
6. Empowered the Court of Federal Claims to grant declaratory and injunctive relief to fashion a remedy. Monetary relief, however, is limited to bid preparation and proposal costs.

7. Granted same jurisdiction to district courts until January 1, 2001, unless jurisdiction was renewed (to date, it has not been renewed).
8. Administrative Procedures Act (APA) standard of review, *i.e.*, “arbitrary, capricious, an abuse of discretion, or otherwise not in accordance with law.” 5 U.S.C. § 706(2)(A). However, the COFC does not have APA jurisdiction.

III. PRACTICAL EFFECTS ON LITIGATION.

A. The Judge.

1. 28 U.S.C. § 173.
2. One judge presides and decides - NO JURY TRIALS. Rules of the Court of Federal Claims (“RCFC”) 38 & 39.

B. The Plaintiff.

1. RCFC 17.
2. Individuals may represent themselves or members of their immediate family. Any other party must be represented by an attorney who is admitted to practice in the COFC. RCFC 83.1(a)(3).
3. Note: at the ASBCA, an attorney is not required.

C. The Defendant = “The United States.”

1. The Department of Justice (“DOJ”) represents the United States. 28 U.S.C. §§ 516, 518-519. The DOJ has plenary authority to settle cases pending in the COFC. *See* 28 U.S.C. § 516; *see also Executive Business Media v. Dept. of Defense*, 3 F.3d 759 (4th Cir. 1993).
2. The National Courts Section of the Civil Division’s Commercial Litigation Branch, located in Washington, D.C., represents the Government in all contract actions in COFC.
3. Effect of the “United States” as defendant. The DOJ represents the United States, not the individual agencies.

D. Practical Effect Upon Agency Once Case Is Filed.

1. The agency loses authority over the case’s disposition.
2. The contracting officer loses authority to decide or settle claims arising out of the same operative facts. *The Sharman Co., Inc. v. United States*, 2 F.3d 1564 (Fed. Cir. 1993); 28 U.S.C. § 516; The agency counsel,

because there is only one “attorney of record” per party, appears as “of counsel,” and plays a different role than s/he would at the board or even a district court, where Special Assistant U.S. Attorney appointments are commonplace.

E. Applicable Law.

1. Statutes and Federal common law, unless matter controlled by state law, *e.g.*, property rights.
2. *Stare Decisis*.
 - a. Supreme Court.
 - b. United States Court of Appeals for the Federal Circuit.
 - c. United States Court of Claims (dismantled in 1982). *South Corp. v. United States*, 690 F.2d 1368 (Fed. Cir. 1982) (*en banc*).
 - d. Decisions from other COFC judges are persuasive, not binding.
3. Procedural Rules
 - a. The Rules of the Court of Federal Claims, which are based upon the Federal Rules of Civil Procedure, are published as an appendix to Title 28 of the United States Code.
 - b. Special Orders – The old version of RCFC 1 permitted the judges to “regulate the applicable practice in any manner not inconsistent with these rules.” Thus, most judges adopted specialized procedural orders, regulating enlargements of time, dispositive motions in lieu of answers, other dispositive motion requirements, mandatory disclosure, joint preliminary status reports, preliminary status conferences, discovery, experts, and submissions. Although the new rules do not specifically address this practice, some judges still issue special orders.

F. Electronic docket.

1. Public Access to Court Electronic Records (“PACER”) is an electronic public access service that allows users to obtain case and docket information from Federal Appellate, District and Bankruptcy courts, and the U.S. Party/Case Index via the Internet.
2. CM/ECF stands for Case Management / Electronic Case Files. It is a joint project of the Administrative Office of the U.S. Courts and the Federal courts and establishes case management systems. This system offers web

access to the Court's docket 24 hours a day, 7 days a week and to allow electronic document filing in designated cases.

3. Electronic docket basically mandates that the agency have scanning capabilities.
4. Pursuant to a 2026 order of the chief judge, sealed filings are not accessible through CM/ECF by any attorneys.

IV. COFC JURISDICTIONAL ISSUES.

A. Waiver of Sovereign Immunity.

Tucker Act waives sovereign immunity, but the “substantive right” claimed, whether it be the Constitution, an Act of Congress, a mandatory provision of regulatory law, or a contract, must be one which “can fairly be interpreted as mandating compensation by the Federal Government for the damages sustained.” *Eastport S.S. Corp. v. United States*, 372 F.2d 1002, 1007-1009, 178 Ct. Cl. 599, 605-607 (1967); *Holmes v. United States*, 657 F.3d 1303, 1312 (Fed. Cir. 2011).

B. Tucker Act - General.

1. Must be brought within six years of date claim accrues. 28 U.S.C. § 2501; *Soriano v. United States*, 352 U.S. 270, 273 (1957); *Hopland Band of Pomo Indians v. United States*, 855 F.2d 1573 (Fed. Cir. 1988). The six-year statute of limitations under the Tucker Act is jurisdictional. *See John R. Sand & Gravel Co. v. United States*, 552 U.S. 130, 133-34 (2008). The Federal Circuit has held, however, that the CDA's six-year statute of limitations is not jurisdictional, and thus whether a CDA claim is time-barred need not be resolved before a court decides the merits. *See Sikorsky Aircraft Corp. v. United States*, 773 F.3d 1315, 1320-22 (Fed. Cir. 2014).
2. Equitable tolling: Because it is jurisdictional, equitable tolling and estoppel cannot apply to extend the six-year statute of limitations embedded in 28 U.S.C. § 2501. *John R. Sand & Gravel Co. v. United States*, 552 U.S. 130 (2008) *See also Ford Motor Co. v. United States*, 811 F.3d 1371, 1377 (Fed. Cir. 2016).
3. Non-appropriated fund instrumentalities (“NAFIs”):
 - a. The Tucker Act jurisdiction encompasses NAFIs, *see Slattery v. United States*, 635 F.3d 1298 (Fed. Cir. 2011) (*en banc*), which are entities to which Congress has appropriated no funds, and for which it assumes no financial obligation. *See Standard Oil Co. v. Johnson*, 316 U.S. 481, 485 (1942).

- b. NOTE: *Slattery* reversed a long line of cases that held that the COFC's jurisdiction generally must involve an appropriated fund activity. *AINS, Inc. v. United States*, 365 F.3d 1333 (Fed. Cir. 2004); *Furash & Company v. United States*, 252 F.3d 1336 (Fed. Cir. 2001); *El-Sheikh v. United States*, 177 F.3d 1321 (Fed. Cir. 1999) (finding that Tucker Act jurisdiction over NAFIs is limited to claims based upon a contract, but holding that jurisdiction may be supplied through another statute waiving sovereign immunity, such as the FLSA). The jurisdictional criterion for a NAFI is whether that entity was acting on behalf of the government. *Slattery*, 635 F.3d at 1301.
 - c. The Federal Circuit has not yet reached the issue of whether NAFIs are included in the CDA. *The Minesen Co. v. McHugh*, 671 F.3d 1332 (Fed. Cir. 2012).
- 4. Money claimed must be presently due and payable. *United States v. King*, 395 U.S. 1, 3 (1969).
 - 5. Plaintiff may not have a claim pending in any other court at the time of filing suit in the Court of Federal Claims. 28 U.S.C. § 1500; *United States v. Tohono O'Odham Nation*, 131 S.Ct. 1723 (2001).
 - 6. May not grow out of or be dependent upon a treaty with foreign nations. 28 U.S.C. § 1502.
 - 7. May not be brought by a subject of a foreign government unless the foreign government accords to citizens of the United States the right to prosecute claims against that government in its courts. 28 U.S.C. § 2502; *Zalcmanis v. United States*, 146 Ct. Cl. 254 (1959).

C. Tucker Act – Claims Founded Upon Contract.

- 1. Must demonstrate elements necessary to establish the existence of a contract (e.g., offer and acceptance, meeting of minds, consideration). *E.g.*, *Somali Dev. Bank v. United States*, 205 Ct. Cl. 741, 751, 508 F.2d 817, 822 (1974); *Algonac Mfg. Co. v. United States*, 192 Ct. Cl. 649, 673-74, 428 F.2d 1241, 1255 (1970); *ATL, Inc. v. United States*, 4 Cl. Ct. 672, 675 (1984), *aff'd*, 735 F.2d 1343 (Fed. Cir. 1984).
- 2. Must demonstrate that it was entered into by authorized Government official. *E.g.*, *City of El Centro v. United States*, 922 F.2d 816 (Fed. Cir. 1990).
- 3. Must demonstrate “privity of contract.” See *Fairholme Funds, Inc. v. United States*, 26 F.4th 1274, 1294 (Fed. Cir. 2022); *United States v. Johnson Controls, Inc.*, 713 F.2d 1541, 1557 (Fed. Cir. 1983); *Erickson Air Crane Co. v. United States*, 731 F.2d 810, 813 (Fed. Cir. 1984);

Cienega Gardens, et al. v. United States, 162 F.3d 1123, 1129-30 (Fed. Cir. 1998). There are limited exceptions to this general rule, including that “intended third-party beneficiaries may bring suits against the government.” *Fairholme Funds*, 26 F.4th at 1294.

4. If “implied,” must be implied-in-fact, not implied-in-law. *Merritt v. United States*, 267 U.S. 338, 341 (1925); *Tree Farm Dev. Corp. v. United States*, 218 Ct. Cl. 308, 316-17, 585 F.2d 493, 498 (1978); *Algonac Manufacturing Co. v. United States*, 192 Ct. Cl. 649, 674, 428 F.2d 1241, 1256 (1970).
5. Cannot be for the performance of covert or secret services; not all “agreements” fall within Congress’ contemplation of contract claims under the Tucker Act. *Totten v. United States*, 92 U.S. 105 (1875); *Guong v. United States*, 860 F.2d 1063 (Fed. Cir. 1988).
6. “Grants” which create formal obligations have been found sufficient for jurisdiction even though they do not appear to satisfy all elements necessary for a contract; however, the Government is bound only by its express undertakings. *Missouri Health & Med. Org., Inc. v. United States*, 226 Ct. Cl. 274 (1981); *Thermalon Indust., Ltd. v. United States*, 34 Fed. Cl. 411 (1995); *see also, Columbus Reg'l Hosp. v. United States*, 990 F.3d 1330, 1338 (Fed. Cir. 2021) (stating that “In prior cases, we have followed our predecessor court in treating federal grant agreements as contracts when the standard conditions for a contract are satisfied, including that the federal entity agrees to be bound.”).

D. Claims Founded Upon Statute Or Regulation.

1. Civilian personnel pay claims: *e.g.*, Equal Pay Act, 5 U.S.C. § 5101; Federal Employment Pay Act, 5 U.S.C. § 5542 *et seq.*; Fair Labor Standards Act, 29 U.S.C. §§ 201-219.
2. Military personnel pay claims: A service member’s status in the armed forces is defined by the statutes and regulations which form the member’s right to statutory pay and allowances. *Bell v. United States*, 366 U.S. 393 (1961).

E. Claims for Money Unlawfully Exacted Or Retained. Jurisdiction to entertain claim for return of money paid by claimant under protest upon grounds illegally exacted or retained. *Aerolineas Argentinas v. United States*, 77 F.3d 1564 (Fed. Cir. 1996); *Boeing Co. v. United States*, 968 F.3d 1371, 1382 (Fed. Cir. 2020).

F. Constitutional Provisions and Statutes That Do Not Waive Sovereign Immunity

1. 1st, 4th, and 5th Amendments (except Takings Clause).

2. Administrative Procedure Act. *Califano v. Sanders*, 430 U.S. 99, 107 (1977)
3. Declaratory Judgment Act (28 U.S.C. § 2201). *United States v. King*, 395 U.S. 1, 5 (1969).

V. BID PROTESTS AT THE COURT OF FEDERAL CLAIMS.

- A. The COFC’s jurisdiction to entertain a bid protest must be “in connection with a procurement or a proposed procurement.” *Resource Conservation Grp., LLC v. United States*, 597 F.3d 1238, 1243-45 (Fed. Cir. 2010).
 1. The Tucker Act, 28 U.S.C. § 1491(b), as amended by ADRA, Pub. L. No. 104-320 (October 19, 1996), section 12, provides the Court “jurisdiction to render judgment on an action by an interested party objecting to a solicitation by a Federal agency for bids or proposals for a proposed contract or a proposed award or the award of a contract or any alleged violation of statute or regulation in connection with a procurement or a proposed procurement.” The Federal Circuit recently held that the “interested party” status is a statutory standing requirement that is not jurisdictional. *CACI, Inc.-Fed. v. United States*, 67 F.4th 1145, 1151 (Fed. Cir. 2023).
 2. This jurisdictional mandate has been broadly construed by the Federal Circuit. *See Distributed Sols, Inc. v. United States*, 539 F.3d 1340 (Fed. Cir. 2008), *Weeks Marine, Inc. v. United States*, 575 F.3d 1352 (Fed. Cir. 2009), and *Resource Conservation Grp, LLC v. United States*, 597 F.3d 1238 (Fed. Cir. 2010); *but see Hymas v. United States*, 810 F.3d 1312 (Fed. Cir. 2016); *AgustaWestland N. Am., Inc. v. United States*, 880 F.3d 1326, 1332 (Fed. Cir. 2018). However, an alleged violation of a non-procurement statute will not establish bid protest jurisdiction, even if the alleged violation occurs during a procurement. *See Cleveland Assets, LLC v. United States*, 883 F.3d 1378, 1381-82 (Fed. Cir. 2018).
- COFC bid protest jurisdiction includes pre-award and post-award protests. *American Federation of Gov’t Employees v. United States*, 258 F.3d 1294, 1299 (Fed. Cir. 2001). The COFC’s bid protest jurisdiction does not extend to the issuance or proposed issuance of task orders issued under FAR 16. *SRA Int’l, Inc. v. United States*, 766 F.3d 1409, 1413 (Fed. Cir. 2014) (holding that the Federal Acquisition Streamlining Act of 1994 “effectively eliminates all judicial review for protests made in connection with a procurement designated as a task order[.]”); *22nd Century Techs., Inc. v. United States*, 57 F.4th 993, 996 (Fed. Cir. 2023)
- 3.

- a. Pre-award: protests can challenge such things as: an agency's anticipated contract award to an identified low bidder or apparent successful offeror; requirements in a solicitation; alleged de facto sole source specifications; elimination of an offeror from (or improper inclusion of an offeror in) a competitive range; responsiveness and responsibility determinations; any change or amendment to a solicitation that is alleged to prejudice the litigant; or any purported illegality or regulatory violation within the solicitation process.
- b. Post-award: protests generally can challenge the award decision. Be mindful however, that "a party who has the opportunity to object to the terms of a government solicitation containing a patent error and fails to do so prior to the close of the bidding process waives its ability to raise the same objection afterwards in a § 1491(b) action." *Blue & Gold Fleet, L.P. v. United States*, 492 F.3d 1308, 1313 (Fed. Cir. 2007). The "close of the bidding process" means the deadline for submission of protests. See *COMINT Systems Corp. v. United States*, 700 F.3d 1377 (Fed. Cir. 2012); *Northeast Constr., Inc. v. United States*, 119 Fed. Cl. 596, 608-12 (2015); *but see MVL USA, Inc. v. United States*, 174 Fed. Cl. 437, 471-73 (2025) (concluding that "close of the bidding process" means award). The *Blue & Gold* waiver rule has been expanded by the Federal Circuit in *COMINT Sys Corp. v. United States*, 700 F.3d 1377 (Fed. Cir. 2012) (waiver rule applied to post-proposal submission issues) and *Insero Corp. v. United States*, 961 F.3d 1343 (Fed. Cir. 2020) (waiver rule applied to OCI information from a parallel procurement). The Federal Circuit has recently held "that the waiver rule articulated in *Blue & Gold* is nonjurisdictional" and is instead a claim-processing rule that can itself be waived. *M.R. Pittman Grp., LLC v. United States*, 68 F.4th 1275 (Fed. Cir. 2023). Moreover, post-award, the relief available may be limited, as a practical and equitable matter, if a protest is filed long after award. This does not, however, necessarily make the protest untimely.

4. Relief.

- a. COFC injunctive authority allows the Court to issue temporary restraining orders for a maximum of 28 days, and a preliminary or permanent injunction. The Court may also award bid and proposal preparation costs if the plaintiff is successful on the merits. *PGBA, LLC v. United States*, 389 F.3d 1219, 1225-27 (Fed. Cir. 2004). Purely declaratory relief is usually of minimal significance in bid protests. Any coercive order of the court requiring an agency to do, or not do, something in connection with a procurement is

treated as injunctive relief and requires weighing the equities. *PGBA*, 389 F.3d at 1228.

- b. The Court’s grant of relief may include ordering the termination of a contract that has been awarded, but we maintain that the Court cannot order a contract award to a particular bidder. However, a few decisions have seen the Court direct an award when a plaintiff proves that, but for the agency’s illegal behavior, the contract would have been awarded to the party asking the court to order the award. *SAGAM Securite Senegal v. United States*, 154 Fed. Cl. 653, 673-75 (2021), *aff’d*, No. 2021-2279, 2023 WL 6632915, at *10-11 (Fed. Cir. Oct. 12, 2023); *United Int’l Investig. Servs., Inc. v. United States*, 41 Fed. Cl. 312, 323-24 (1998) (citing *Hydro Eng’g, Inc. v. United States*, 37 Fed. Cl. 448, 461 (1997), and *Scanwell Labs., Inc. v. Shaffer*, 424 F.2d 859, 869 (D.C. Cir. 1970)). We disagree with these cases and think a remand is necessary in these rare instances.

Practice Tip: Pursuant to RCFC 65(c) the Court must have plaintiff post a bond if a TRO/PI is issued. However, the Court has discretion on the amount of the bond, so the Government has the burden of establishing the amount of damages that will be incurred during the pendency of the injunction. Plan to have a declaration by the contracting officer addressing the costs, and any other harm the agency will suffer, in the event the procurement is enjoined.

5. Override of the automatic stay in CICA.

- a. The Competition in Contract Act (“CICA”), 31 U.S.C. § 3553, requires the agency to suspend performance of the contract during the pendency of a GAO protest. 31 U.S.C. § 3553(d)(3)(A) and (B). However, CICA permits the agency to override the stay provision if the agency finds in a determination and findings (“D&F”) that continued performance is (1) in the best interests of the United States, or (2) urgent and compelling circumstances that significantly affect the interests of the United States will not permit delay. *Id.* at § 3353(d)(3)(C).
- b. COFC may review. *RAMCOR Servs. Grp, Inc. v. United States*, 185 F.3d 1286, 1291 (Fed. Cir. 1999); *Spherix, Inc. v. United States*, 62 Fed. Cl. 497, 503-04 (2003).
- c. Override decisions are highly scrutinized by the Court. While past COFC judges have required that agencies consider certain factors enunciated in *Reilly’s Wholesale Produce v. United States*, 73 Fed. Cl. 705 (2006), *see, e.g., Supreme Foodservice GmbH v. United States*, 109 Fed. Cl. 369, 384-86 (2013), the Federal Circuit has

recently noted “that the *Reilly*’s factors do not even bind the Claims Court, let alone comprise an indispensable aspect of an agency rational basis.” *Safeguard Base Operations, LLC v. United States*, 792 F. App’x 945, 948-49 (Fed. Cir. 2019) (internal citations omitted). With that guidance in mind, some judges have determined that, despite not being binding on the COFC, the *Reilly*’s factors are a useful analytical tool in reviewing override decisions and their consideration by an agency is relevant. *Comprehensive Health Servs., LLC v. United States*, 151 Fed. Cl. 200, 206 (2020). Other COFC judges have avoided the *Reilly*’s factors altogether, instead using the “arbitrary and capricious” standard articulated by the Supreme Court in *Motor Vehicle Mfrs. Ass’n of U.S., Inc. v. State Farm Mut. Auto. Ins. Co.*, 463 U.S. 29, 43 (1983), to evaluate an override determination. *C&E Servs., Inc. v. United States*, 160 Fed. Cl. 182, 189 (2022).

- d. **PRACTITIONER’S NOTE:** We disagree that *Reilly* properly states the law. The proper test is a rational basis test under the APA. *See Dell Fed. Sys. L.P. v. United States*, 906 F.3d 982, 992 (Fed. Cir. 2018) (confirming that the rational basis test applicable to bid protest cases asks “whether the contracting agency provided a coherent and reasonable explanation of its exercise of discretion.”) As noted above, the Federal Circuit has cast some doubt on the *Reilly* factors. *Safeguard Base*, 792 F. App’x at 948. Previously, for the Army, AFARS 5133.104(b)(1)(A) required the contracting officer to prepare a D&F addressing each of the *Reilly* factors. *See Fisher Sand & Gravel Co. v. United States*, 143 Fed. Cl. 247, 251 (2019). As of September 2025, the AFARS no longer requires the Army to consider the *Reilly* factors.
- e. If your agency is considering an override, contact DOJ **BEFORE** the D&F is finalized.

B. Standard of Review.

1. Limited to Administrative Record.

- a. The scope of review is limited to the administrative record. *See Axiom Resource Management, Inc. v. United States*, 564 F.3d 1374, 1379 (Fed. Cir. 2009) (explaining that review is limited to the administrative record to stop courts from using new evidence to convert the “arbitrary and capricious” standard into *de novo* review); *Safeguard Base Operations, LLC v. United States*, 989 F.3d 1326, 1348 (Fed. Cir. 2021) (“[T]he focal point for judicial review should be the administrative record already in existence, not some new record made initially in the reviewing court.”); *Camp v. Pitts*, 411 U.S. 138, 142-43 (1973) (determining that the

proper focus of the court's scrutiny is the agency's articulated rationale for the decision and the administrative record underlying it); *Cincom Sys., Inc. v. United States*, 37 Fed. Cl. 663, 671 (1997).

- b. RCFC 52.1(b) provides the standard for review of agency action on the basis of the administrative record. *See A & D Fire Protection, Inc. v. United States*, 72 Fed. Cl. 126, 131 (2006).
- c. Pursuant to RCFC 52.1(b), the court decides whether, "given all the disputed and undisputed facts, a party has met its burden of proof based on the evidence in the record." *Id.* (citing *Bannum*, 404 F.3d at 1356).
- d. The plaintiff bears the burden of meeting this standard by a preponderance of the evidence. *Rotech Healthcare, Inc. v. United States*, 71 Fed. Cl. 393, 401 (2006).

2. Administrative Procedure Act Standard of Review

- a. Judicial review of the agency's actions in a bid protest is not a *de novo* proceeding.
- b. In the bid protest context, the Court resolves challenges to agency actions under the standards provided in the Administrative Procedure Act, 5 U.S.C. § 706. *See* 28 U.S.C. § 1491(b)(4) (incorporating by reference Administrative Procedure Act's standard of review); *Bannum*, 404 F.3d at 1351; *Impresa Construzioni Geom. Domenico Garufi v. United States*, 238 F.3d 1324, 1332 (Fed. Cir. 2001).
- c. The Court's standard of review in bid protests is "highly deferential." *Advanced Data Concepts, Inc. v. United States*, 216 F.3d 1054, 1057 (Fed. Cir. 2000).
- d. An agency's contracting decision may be set aside only if it is "arbitrary, capricious, an abuse of discretion, or otherwise not in accordance with law." *Veterans4You LLC v. United States*, 985 F.3d 850, 857 (Fed. Cir. 2021); *The Centech Grp, Inc. v. United States*, 554 F.3d 1029, 1037 (Fed. Cir. 2009); *see also*, *Citizens to Preserve Overton Park, Inc. v. Volpe*, 401 U.S. 402, 416 (1971), *overruled on other grounds by*, *Califano v. Sanders*, 430 U.S. 99 (1977); *The Cube Corp. v. United States*, 46 Fed. Cl. 368, 374 (2000).
- e. Pursuant to this standard, the Court may set aside a procurement decision upon the protester's showing that "(1) the procurement official's decision lacked a rational basis; or (2) the procurement procedure involved a violation of regulation or procedure." *Sys.*

Stud. & Simulation, Inc. v. United States, 22 F.4th 994, 997 (Fed. Cir. 2021) (quoting *Impresa*, 238 F.3d at 1332-33); *Galen Med. Assoc., Inc. v. United States*, 369 F.3d 1324, 1329-31 (Fed. Cir. 2004) (decision set aside only if there has been a “clear and prejudicial” violation of law or the agency’s decision lacks a rational basis).

3. Presumption of Regularity.

- a. In evaluating an agency’s decision, the court entitles the decision to a “presumption of regularity,” *Citizens to Preserve Overton Park, Inc. v. Volpe*, 401 U.S. 402, 415 (1971), and “is not empowered to substitute its judgment for that of the agency.” *Id.* at 416; see also *Weeks Marine*, 575 F.3d at 1371 (quoting *Honeywell, Inc. v. United States*, 870 F.2d 644, 648 (Fed. Cir. 1989)) (“If the court finds a reasonable basis for the agency’s action, the court should stay its hand even though it might, as an original proposition, have reached a different conclusion as to the proper administration and application of the procurement regulations.”)
- b. The disappointed bidder “bears a heavy burden,” *Impresa*, 238 F.3d at 1338, and the procurement officer is “entitled to exercise discretion upon a broad range of issues confronting [her].” *Id.* at 1332.
- c. This burden “is not met by reliance on [the] pleadings alone, or by conclusory allegations and generalities.” *Bromley Contracting Co. v. United States*, 15 Cl. Ct. 100, 105 (1988).

4. Agency Action in Response to GAO Recommendation

- a. Where an agency follows a GAO recommendation, even if the GAO recommendation is different from the initial decision of the contracting officer, the agency’s decision shall be deemed “proper unless the [GAO’s] decision itself was irrational.” *Honeywell*, 870 F.2d at 648; see also *Centech*, 554 F.3d at 1039.
- b. The Court will only “inquire whether the GAO decision was rational and the agency justifiably relied upon it.” *SP Sys., Inc. v. United States*, 86 Fed. Cl. 1, 13 (2009) (citing *Honeywell*, 870 F.2d at 647).
- c. GAO decisions are “traditionally treated with a high degree of deference, especially in bid protest actions.” *Grunley Walsh Int’l LLC v. United States*, 78 Fed. Cl. 35, 39 (2007) (citations omitted).

5. Even upon the demonstration of a significant error, a protester must still establish that it was prejudiced by that error. The test for prejudice is the same at the merits stage as at the standing stage. For post-award protests, the plaintiff must demonstrate a “substantial chance that it would have received the contract award” but for the agency’s error. *Glenn Def. Marine (ASIA), PTE Ltd. v. United States*, 720 F.3d 901, 912 (Fed. Cir. 2013). For certain pre-award protests, the “non-trivial competitive injury” standard applies. *See Weeks Marine*, 575 F.3d at 1359.

C. Standard for Injunctive Relief.

1. Four elements:
 - a. Plaintiff is likely to succeed on the merits;
 - b. Plaintiff will suffer irreparable harm;
 - c. Plaintiff’s harm outweighs the harm to the government; and
 - d. Public interest favors equitable relief.
2. The only difference between a preliminary and permanent injunction is that a plaintiff must show likelihood of success on the merits for a preliminary injunction and actual success on the merits for a permanent injunction.
3. In *Monsanto Co. v. Geertson Seed Farms*, 561 U.S. 139 (2010), the Supreme Court held that the “drastic and extraordinary remedy” of injunctive relief should not be “granted as a matter of course.” *Id.* at 165. Importantly, the Supreme Court further held it “is not enough for a court considering a request for injunctive relief to ask whether there is a good reason why an injunction should *not* issue; rather, a court must determine that an injunction *should* issue under the traditional four-factor test[.]” *Id.* (*emphasis in original*).
4. The statute directs the court to “give due regard to the interests of national defense and national security” in bid protest cases. 28 U.S.C. § 1491(b)(3). The court thus gives particular deference to the interests of national security and national defense, which weigh heavily against an injunction. *Winter v. Nat’l Res. Def. Council, Inc.*, 555 U.S. 7 (2008).

D. The Administrative Record.

1. What is included:
 - a. Appendix C, RCFC, contains the Court’s procedures in bid protest proceedings. Paragraph VII of Appendix C provides a fairly

comprehensive list of the information that may be included in the record.

Practice tip: Be familiar with the requirements of Appendix C. As soon as you think a procurement may result in a COFC protest, begin to compile the material listed in Appendix C for inclusion in the administrative record. The agency is responsible for organizing the documents and providing an index to the Department of Justice.

- b. The agency should compile the full administrative record that was before it at the time it made the decision under review. *James Madison Ltd. v. Ludwig*, 82 F.3d 1085, 1095 (D.C. Cir. 1996).
- c. The Court should generally have before it the same information that was before the agency when it made its decision. *Mike Hooks, Inc. v. United States*, 39 Fed. Cl. 147, 154 (1997).
- d. Thus, the administrative record should consist of the material that the agency developed and considered, directly or indirectly, in making the challenged decision. *Bar MK Ranches v. Yuetter*, 994 F.2d 735, 739 (10th Cir. 1993); *Ad Hoc Metals Coal. v. Whitman*, 227 F. Supp. 2d 134, 139 (D.D.C. 2002); *Nat'l Ass'n of Chain Drug Stores v. U.S. Dep't of Health & Human Servs.*, 631 F. Supp. 2d 23, 26 (D.D.C. 2009) (citing *Pac. Shores Subdiv., Cal. Water Dist. v. U. S. Army Corps of Eng'rs*, 448 F. Supp. 2d 1, 4 (D.D.C. 2006)); *Tafas v. Dudas*, 530 F. Supp. 2d 786, 793 (E.D. Va. 2008).
- e. The agency should include all materials that might have influenced its decision, not just the documents upon which it relied. *Ad Hoc Metals Coal. v. Whitman*, 227 F. Supp. 2d 134, 139 (D.D.C. 2002) (include materials considered or relied upon); *Ctr. for Native Ecosystems v. Salazar*, 711 F. Supp. 2d 1267, 1275-76 (D. Colo. 2010) (if decision based upon the work of subordinates, include the materials considered by the subordinates).
- f. GAO proceedings – In a COFC protest that follows a GAO protest, the entire agency report submitted to the GAO and any decisions of the GAO are required, by statute, to be included in the administrative record. 31 U.S.C. § 3556. Additionally, several judges require that the entire GAO record (*e.g.*, comments, hearing transcripts, *etc.*) be included in the COFC administrative record. *See, e.g., PricewaterhouseCoopers Public Sector, LLP v. United States*, 126 Fed. Cl. 328, 359 (2016); *Holloway & Co., PLLC v. United States*, 87 Fed. Cl. 381, 391-92 (2009). The Government takes the position that in most cases that inclusion of the entire

GAO record is appropriate, but that non-government filings should be afforded limited weight.

- g. An agency may not exclude from the administrative record documents that reflect pertinent but unfavorable information. *Blue Ocean Inst. v. Gutierrez*, 503 F. Supp. 2d 366, 369 (D.D.C. 2007).

However, the administrative record need not include underlying source documents that were not themselves considered by the agency. *Sequoia Forestkeeper v. U. S. Forest Serv.*, No. 09-392, 2010 WL 2464857, at *6 (E.D. Cal. June 12, 2010).

2. What is NOT included:

- a. The administrative record does not include privileged materials, such as documents that fall within the deliberative process privilege, attorney-client privilege, and work product privilege. *Town of Norfolk v. U.S. Army Corps of Eng'rs*, 968 F.2d 1438, 1457-58 (1st Cir. 1992); *Ad Hoc Metals Coal. v. Whitman*, 227 F. Supp. 2d 134, 143 (D.D.C. 2002) (“Judicial review of agency action should be based on an agency’s stated justifications, not the predecisional process that led up to the final, articulated decision.”).
- b. The general rule is that these documents are not logged as withheld because they are not part of the administrative record. *See Amfac Resorts LLC v. Dept. of Interior*, 143 F. Supp. 2d 7, 13 (D.D.C. 2001) (“deliberative intra-agency memoranda and other such records are ordinarily privileged, and need not be included in the record”); *New York v. Salazar*, 701 F. Supp. 2d 224, 236 (N.D.N.Y. 2010) (“as a matter of law, privileged documents are not part of the administrative record”); *Blue Ocean Inst. v. Gutierrez*, 503 F. Supp. 2d 366, 369 (D.D.C. 2007); *but see Ctr. for Native Ecosystems v. Salazar*, 711 F. Supp. 2d 1267, 1275-76, n.10 (D. Colo. 2010) (requiring privilege log); *Miami Nation of Indians of Ind. v. Babbitt*, 979 F. Supp. 771, 778 (N.D. Ind. 1996) (requiring the Government to seek a protective order to assert deliberative process privilege); *Trace Sys. Inc. v. United States*, 160 Fed. Cl. 691, 697 (2022) (stating that “proper course” would be to assert privilege and submit a privilege log).
- c. Internal memoranda (e.g., e-mail messages and draft documents) made during the decisional process are not typically included in a record. *Norris & Hirshberg, Inc. v. SEC*, 163 F.2d 689, 693 (D.C. Cir. 1947); *see Joint Venture of Comint Sys. Corp. v. United States*, 100 Fed. Cl. 159, 169 (2011) (“internal deliberative materials . . . are generally excluded from the record.”); *San Luis Obispo*

Mothers for Peace v. NRC, 789 F.2d 26, 45 (D.C. Cir. 1986) (*en banc*) (“We think the analogy to the deliberative processes of a court is an apt one. Without the assurance of secrecy, the court could not fully perform its functions.”), *cert. denied*, 479 U.S. 923 (1986). There are exceptions to this rule. See *New York v. Salazar*, 701 F. Supp. 2d 224, 238 (N.D.N.Y. 2010) (where decision-making process is itself the subject of the litigation); *In re Subpoena Duces Tecum Served on the Office of the Comptroller*, 156 F.3d 1279, 1280 (D.C. Cir. 1998); see also *National Courier Ass’n v. Bd. of Governors*, 516 F.2d 1229, 1242 (D.C. Cir. 1975).

- d. EXCEPTION: Internal and deliberative memoranda may be required in an administrative record where a protestor makes an initial showing to support an allegation of bad faith; *i.e.*, when the Court has determined the plaintiff has made a well-grounded attack upon the decision-making process itself.

3. Supplementation

a. Definitions.

- (1) Supplement. A protestor seeks to supplement, or go beyond, the record when the protestor moves to include material in the administrative record that was not before the decision maker, *i.e.*, material that does not belong in the record. Supplementing the administrative record with extra-record evidence is different from correcting or completing the administrative record.
- (2) Correct or Amend. A protestor seeks to amend, complete, or correct, the record when the protestor moves to include in the administrative record material that *should have been* included, but was nonetheless omitted. To the extent that the Government determines that it inadvertently omitted material that should have been included, it too can correct the administrative record.

- b. **General Rule:** Courts generally deny requests to supplement the administrative record.

- (1) Supplementation is not permitted because extra-record or *ex-post* facts and opinions are not relevant to the Court’s inquiry. See, e.g., *Emerald Coast Finest Produce Co., v. United States*, 76 Fed. Cl. 445, 448-49 (2007) (refusing to add to the record declarations not considered by the agency when making its award decision); *Florida Power & Light Co. v. Lorion*, 470 U.S. 729, 743-44 (1985) (court

considers only those materials that were “before the decision-making authority at the time of its decision.”); *Axiom*, 564 F.3d at 1379 (judicial review is generally limited to “the administrative record already in existence, not some new record made initially in the reviewing court”); *L-3 Communications EOTech, Inc. v. United States*, 87 Fed. Cl. 656, 672 (2009) (no “unfettered right to submit declarations giving its commentary on every aspect of the ... process, and to have those declarations included in the administrative record[.]”).

- (2) Supplementing the administrative record is “an unusual action that is rarely appropriate.” *Weiss v. Kempthorne*, No. 08-1031, 2009 WL 2095997, at *3 (W.D. Mich. July 13, 2009); *Am. Wildlands v. Kempthorne*, 530 F.3d 991, 1002 (D.C. Cir. 2008); *Medina Cnty. Envtl. Action Ass’n v. Surface Transp. Bd.*, 602 F.3d 687, 706 (5th Cir. 2010).

c. Supplementation Post-Axiom:

- (1) In *Axiom*, the Federal Circuit reiterated the restrictive approach to supplementing the administrative record. 564 F.3d at 1379.
- (2) Supplementation of the administrative record is available only when “the omission of extra-record evidence precludes effective judicial review.” *Id.* (emphasis added); *see also Murakami v. United States*, 46 Fed. Cl. 731, 735 (2000), *aff’d*, 398 F.3d 1342 (Fed. Cir. 2005) (“exceptions to the general rule against extra-record evidence are based on necessity, rather than convenience, and should be triggered only where the omission of extra-record evidence precludes effective judicial review.”).
- (3) Allowing supplementation of the record without first evaluating whether the record is sufficient to permit meaningful review is an abuse of discretion. *Axiom*, 564 F.3d at 1380 (“the trial court abused its discretion in this case” by failing “to make the required threshold determination of whether additional evidence was necessary.”).
- (4) Therefore, before any supplementation is allowed, the Court first makes a threshold determination of “whether supplementation of the record [is] necessary in order not ‘to frustrate effective judicial review.’” *Id.* at 1379 (quoting *Camp v. Pitts*, 411 U.S. 138, 142-43 (1973)).

- (5) Since *Axiom*, the Federal Circuit has continued to reiterate the limited circumstances in which supplementation is appropriate. See, e.g., *Per Aarsleff A/S v. United States*, 829 F.3d 1303, 1310 at fn. 3 (Fed. Cir. 2016) (citing *Axiom* and reiterating that the Federal Circuit “has previously found abuse of discretion where a trial court allowed supplementation of the record without first making the required determination [of ‘whether supplementation of the record was necessary in order not to frustrate effective judicial review.’]”) (internal citations and quotation marks omitted); *AgustaWestland N. Am., Inc. v. United States*, 880 F.3d 1326, 1332 (Fed. Cir. 2018) (determining that the trial court abused its discretion by supplementing the administrative record where the existing administrative record was “sufficient” for the Court “to review the Army’s sole-source procurement award[.]”).

E. What to Expect After Protest is Filed.

1. Process starts with 24-hour advance notice filed by plaintiff.
 - a. Appendix C, ¶ 3, RCFC, requires plaintiff to file a 24-hour notice with DOJ’s National Courts Section that identifies the procuring agency, contact information for the contracting officer and agency counsel, whether plaintiff is seeking a temporary restraining order or preliminary injunction (“TRO/PI”), whether plaintiff has discussed the TRO/PI with DOJ, whether there was a GAO protest, and whether a protective order will be needed.
 - b. Failure to file 24-hour notice is not a jurisdictional defect.
2. Upon receipt of the 24-hour notice, the case is reviewed by a DOJ attorney, who will contact the contracting officer and agency counsel directly. The DOJ attorney will assess the case for assignment to a DOJ trial attorney. The DOJ trial attorney will file a notice of appearance (“NOA”) with COFC.
3. This is a time-sensitive matter and COFC will act with a sense of urgency, often holding an initial status conference within 24 hours after the complaint is filed. Although the initial status conference is typically held by teleconference, in some cases, for example, where all counsel are located in the Washington D.C. area, the Court will conduct the initial status conference in person.
 - a. Agency counsel and, in some cases, the contracting officer, should expect to participate in the initial teleconference.
 - b. Court typically concerned with:

- (1) Addressing TRO/PI if raised by plaintiff (will agency voluntarily stay all or certain aspects of contract performance while protest is being litigated?);
- (2) Status of the procurement (pre- or post- award?);
- (3) Determining if there will be an intervenor;
- (4) Setting a briefing schedule, which includes filing of the administrative record; and
- (5) Did protester initially file at the GAO?

Practice Tip: If there was a GAO protest, please send the legal memorandum and contracting officer statement directly to the assigned trial attorney as soon as possible to expedite the learning curve.

F. Protective Orders:

1. Order limiting the disclosure of source selection, proprietary, and other protected information to those persons admitted to that order. The order also governs how such information is to be identified and disposed of when the case is over. The COFC regularly issues these orders, although in at least one case, the COFC denied the request of the government and the apparent awardee to issue a protective order and ordered the release of the government's evaluation documentation relating to the protester's proposal to the protester. *See Pike's Peak Family Housing, Inc. v. United States*, 40 Fed. Cl. 673 (1998).
2. Once the order is issued, private counsel and experts are admitted to the order by submitting an appropriate application. Form 8 of the RCFC Appendix contains a model protective order, Form 9 of the RCFC Appendix is a model application for access by outside counsel and inside counsel, and Form 10 is a model application for access by outside experts or consultants.
3. Ordinarily, objections must be made within 2 business days of receipt of a given application. If no objections are made within 2 business days, the applicant is automatically admitted to the protective order.
4. The COFC, DOJ, and procuring agency personnel are automatically admitted.
5. Most judges request or accept proposed redactions from court orders and opinions and decide what protected information to redact. *See, e.g., WinStar Communications, Inc. v. United States*, 41 Fed. Cl. 748, 750 n.1 (1998). The COFC has scrutinized proposed redactions closely. *See, e.g.,*

Akal Sec., Inc. v. United States, 87 Fed. Cl. 311, 314 n.1 (2009). In considering whether proposed redactions of protected information are appropriate, the court “begins with the presumption of public access to judicial records.” *Madison Servs., Inc. v. United States*, 92 Fed. Cl. 120, 131 (2010) (citing *Baystate Techs., Inc. v. Bowers*, 283 Fed. Appx. 808, 810 (Fed. Cir. 2008)); *see also Nixon v. Warner Commc’ns, Inc.*, 435 U.S. 589, 597-99 (1978) (recognizing “a general right to inspect and copy public records and documents, including judicial records and documents.”). “Protected information,” as defined by the COFC protective order, is appropriate for redaction. *Def. Tech., Inc. v. United States*, 99 Fed. Cl. 103, 106 * (2011) (citing *Magnum Opus Techs., Inc. v. United States*, 94 Fed. Cl. 512, 519 (2010)). This definition is narrow, and over redaction should be avoided in favor of greater transparency. *See, e.g., In re Violation of Rule 28(D)*, 635 F.3d 1352 (Fed. Cir. 2011). Thus, courts have required that the proponent of the proposed redaction be able to justify how “continuing to conceal that information . . . would safeguard the competitive process.” *Def. Tech.*, 99 Fed. Cl. at 106 * (internal quotations omitted).

6. Unless the standard protective order is altered for your case, at the end of the case, agency personnel will be required to delete and destroy all documents containing protected information received pursuant to the litigation. Accordingly, it is imperative that, throughout the case, agency personnel: a) properly mark protected information in accordance with the protective order; b) limit dissemination of protected information to those with a “need to know”; and c) keep track of who protected information is distributed to.

VI. THE CONTRACT DISPUTES ACT OF 1978. 41 U.S.C. §§ 7101-7109.

A. Applicability.

1. 41 U.S.C. § 7102.
2. The CDA applies to all express or implied contracts an executive agency enters into for:
 - a. The procurement of property, other than real property in being;
 - b. The procurement of services;
 - c. The procurement of construction, alteration, repair or maintenance of real property; or
 - d. The disposal of personal property.
3. It has been the law that the CDA does not normally apply to contracts funded solely with nonappropriated funds (NAFIs), with the exception of

contracts with the exchanges listed in the Tucker Act. 41 U.S.C. § 7102(a); 28 U.S.C. 1491(a)(1). The Federal Circuit has held, *en banc*, that Tucker Act jurisdiction encompasses NAFLs. *See Slattery v. United States*, 635 F.3d 1298 (Fed. Cir. 2011). But it has not yet reached the issue of whether the CDA's scope is similar with respect to NAFLs. *The Mineson Co. v. McHugh*, 671 F.3d 1332 (Fed. Cir. 2012).

B. Jurisdictional prerequisites:

1. Contractor has submitted a proper claim to the contracting officer; or
2. The Government has submitted a proper claim (*e.g.*, termination, liquidated damages ("LDs"), demand for money); and
3. The contracting officer has issued a final decision or is deemed by inaction to have denied the claim. *Tri-Central, Inc. v. United States*, 230 Ct. Cl. 842, 845 (1982); *Paragon Energy Corp. v. United States*, 227 Ct. Cl. 176 (1981); 41 U.S.C. § 7103(f)(5).
4. The COFC considers the case *de novo*. 41 U.S.C. § 7104(b)(4). A contracting officer's findings are not binding on the Court, or the Government, nor are omissions by the contracting officer. *Wilner v. United States*, 24 F.3d 1397, 1401 (Fed. Cir. 1994); *see also Dep't of Transportation v. Eagle Peak Rock & Paving, Inc.*, No. 2021-1837, 2023 WL 3829625, at *4 (Fed. Cir. June 6, 2023). Thus, so long as the information was available at the time, regardless of if the Government was aware of it, the COFC may consider it in reviewing the claim. For example, a termination for default may be sustained at the COFC upon any ground existing at the time of termination, even one not then known to the contracting officer. *See Empire Energy Mgmt. Sys., Inc. v. Roche*, 362 F.3d 1343, 1357 (Fed. Cir. 2004).
5. The CDA is a waiver of sovereign immunity for the payment of interest. Interest accrues from the date the contracting officer receives the claim until the contractor receives its money.
6. Not limited to monetary damages.
 - a. The COFC possesses jurisdiction to render judgments in "a dispute concerning termination of a contract, rights in tangible or intangible property, compliance with cost accounting standards, and other nonmonetary disputes on which a decision of the contracting officer has been issued" pursuant to the CDA. 28 U.S.C.A. § 1491(a)(2); *Alliant Techsys., Inc. v. United States*, 178 F.3d 1260 (Fed. Cir. 1999).

- b. The Federal Circuit has held that the COFC can use this authority to review contractor performance evaluations pursuant to the CDA. *Todd Const. L.P. v. United States*, 656 F.3d 1306 (Fed. Cir. 2011).

7. Subcontractors:

- a. Generally cannot directly bring a CDA challenge, because there is no privity of contract with the United States, unless the prime contractor is a “mere government agent.” *United States v. Johnson Controls, Inc.*, 713 F.2d 1541, 1550-51 (Fed. Cir. 1983); *Ground Improvement Techniques, Inc. v. United States*, 618 F. App’x 1020, 1030 (Fed. Cir. 2015) (“[P]rivacy between a subcontractor and the government may exist if the prime contractor was acting as an agent of the government.”).
- b. While subcontractors that were third-party beneficiaries of the contract between the Government and the prime contractor cannot proceed under the CDA, they may bring a similar claim in the COFC under the Tucker Act. *Winter v. FloorPro, Inc.*, 570 F.3d 1367 (Fed. Cir. 2009).

8. Sureties: CDA or Equitable Subrogation. *Guarantee Co. of N. Am., USA v. Ikhana, LLC*, 941 F.3d 1140 (Fed. Cir. 2019), *rehearing and rehearing en banc denied*, 959 F.3d 1354 (Fed. Cir. 2020); *National Surety Corp. v. United States*, 118 F.3d 1542 (Fed. Cir. 1997); *Fireman’s Fund Ins. Co. v. England*, 313 F.3d 1344 (Fed. Cir. 2002). “Generally, a surety that enters into an indemnity agreement with a contractor is not in privity with the government or considered the contractor in the context of the CDA,” except a surety can assert CDA claims after it executes a takeover agreement with the government to complete a contract. *Guarantee Co. of N. Am.*, 941 F.3d at 1143.

C. Statutes of Limitations.

- 1. For contracts awarded on or after October 1, 1995, a contractor must submit its claim to the contracting office within six years of the date the claim accrues. 41 U.S.C. § 7103(a)(4). This statute of limitations provision does not apply to Government claims based on contractor claims involving fraud.
 - a. The six-year time limit for presentment to the contracting officer is a requirement, but may be subject to equitable tolling. *Al-Juthoor Contracting Co. v. United States*, 129 Fed. Cl. 599 (2016). The CDA’s six-year statute of limitations is not jurisdictional. *Sikorsky*, 773 F.3d at 1320-22. The Federal Circuit has held that the mandatory requirement for a contractor to state a “sum certain” as part of its claim under the Contract Disputes Act does not carry

jurisdictional status. *ECC International Constructors, LLC v. Secretary of the Army*, 79 F.4th 1364 (Fed. Cir. 2023).

2. Complaint filing. The contractor must file its complaint in the COFC within 12 months of the date it received the contracting officer's final decision. 41 U.S.C. § 7104(b)(3). *See Borough of Alpine v. United States*, 923 F.2d 170 (Fed. Cir. 1991).
3. Reconsideration by the Contracting Officer. A timely request made to the contracting officer for reconsideration of a decision that results in an actual reconsideration suspends the "finality" of the decision and provides a new statute of limitations period. *See Bookman v. United States*, 197 Ct. Cl. 108, 112 (1972).
4. "Deemed Denied." No statute of limitations?
 - a. Under the CDA, upon receipt of a written claim from a contractor, a contracting officer must issue a final decision within sixty days. 41 U.S.C. § 7103(f). If the Contracting Officer fails to issue a decision within the requisite time period, the claim may be deemed denied. 41 U.S.C. § 7103(f)(5).
 - b. The Court of Federal Claims has held that, if no decision is issued, the CDA's one-year statute of limitations does not begin to run and the Tucker Act's six-year statute of limitations does not apply, because the claim remains a CDA claim. *See Environmental Safety Consultants, Inc. v. United States*, 95 Fed. Cl. 77 (2010); *System Planning Corp. v. United States*, 95 Fed. Cl. 1 (2010).

D. Consolidation of Suits.

If two or more actions arising from one contract are filed in the COFC and one or more agency boards, for the convenience of parties or witnesses or in the interest of justice, the COFC may order the consolidation of the actions in that court or transfer any actions to or among the agency boards involved. 41 U.S.C. § 7107(d). *Morse Diesel Int'l, Inc. v. United States*, 69 Fed. Cl. 558 (2006) (transferring claims from board to court).

E. Relationship Between the COFC and the Boards

1. 41 U.S.C. §§ 7104(a), (b)(1).
2. The CDA provides alternative forums for challenging a contracting officer's final decision.
3. Once a contractor files its appeal with a particular forum, this election is normally binding and the contractor may no longer pursue its claim in the other forum. *See Bonneville Assocs. v. United States*, 43 F.3d 649 (Fed.

Cir. 1994) (dismissing the contractor's suit because the contractor originally elected to proceed before the GSBCA); *see also Bonneville Assocs. v. General Servs. Admin.*, GSBCA No. 13134, 96-1 BCA ¶ 28,122 (refusing to reinstate the contractor's appeal), *aff'd, Bonneville Assoc. v. United States*, 165 F.3d 1360 (Fed. Cir. 1999).

4. The "election doctrine" does not apply if the forum originally selected lacked subject matter jurisdiction over the appeal. *See Information Sys. & Networks Corp. v. United States*, 17 Cl. Ct. 527 (1989) (holding that the contractor's untimely appeal to the Agriculture Board of Contract Appeals did not preclude it from pursuing a timely suit in the Claims Court).
5. Decisions of the boards of contract appeals are not binding upon the COFC. *See General Electric Co., Aerospace Grp v. United States*, 929 F.2d 679, 682 (Fed. Cir. 1991).

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CHAPTER 16

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CHAPTER 16

INSPECTION, ACCEPTANCE, AND WARRANTY

I. INTRODUCTION.

- A. A fundamental goal of the acquisition process is to obtain quality goods and services. In furtherance of this goal, the government inspects tendered supplies or services to ensure that they conform with contract requirements.
- B. While the right to inspect and test is very broad, it is not without limits. If government inspectors perform unreasonable inspections, the government is liable to the contractor for additional costs. Proper inspections are critical because the government cannot revoke its acceptance, except in narrowly defined circumstances, once we accept a product or service.
- C. Attorneys can contribute to the success of the government procurement process by working with government inspectors and contracting officers to ensure that each of these individuals understand the government's rights and obligations regarding inspection, acceptance, and warranty under government contracts.

II. FUNDAMENTAL CONCEPTS OF INSPECTION AND TESTING.

- A. General.
 - 1. The inspection clauses, which are remedy granting clauses, vest the government with significant rights and remedies. RFO FAR 52.246-2 through 52.246-14.
 - 2. In any dispute, the parties must identify the correct theory of recovery and applicable contractual provisions. The theory of recovery normally flows from a contractual provision. See Morton-Thiokol, Inc., ASBCA No. 32629, 90-3 BCA ¶ 23,207 (government denial of cost reimbursement rejected-board noted government's failure to take action or assert a claim pursuant to Inspection clause).
- B. Origin of the Government's Right to Inspect.
 - 1. The government has the right to inspect to ensure that it receives conforming goods and services. RFO FAR Part 46. The specific inspection clauses contained in a contract, if any, determine the government's right to inspect a contractor's performance.

2. Contract inspections fall into three general categories, depending on the extent of quality assurance needed by the government for the acquisition involved. These include:
 - a. Government reliance on inspection by the contractor (RFO FAR 46.202-2);
 - b. Standard inspection requirements (RFO FAR 46.202-3); and
 - c. Higher-level contract quality requirements (RFO FAR 46.202-4).
3. The RFO FAR contains several different inspection clauses. In determining which clause to use, consider:
 - a. The contract type (e.g., fixed-price, cost-reimbursement, time-and-materials, and labor-hour); and
 - b. The nature of the item procured (e.g., supply, service, construction, transportation, or research and development).
4. Depending upon the specific clauses in the contract, the government has the right to inspect and test supplies, services, materials furnished, work required by the contract, facilities, and equipment at all places and times, and, in any event, before acceptance. See, e.g., RFO FAR 52.246-2 (supplies-fixed-price), 52.246-4 (services-fixed-price), 52.246-5 (services-cost-reimbursement), 52.246-6 (time-and-materials and labor-hour), 52.246-8 (R&D-cost-reimbursement), 52.246-9 (R&D), and 52.246-12 (construction).

C. Operation of the Inspection Clauses.

1. Concepts and Definitions.
 - a. “Government contract quality assurance” is “the various functions, including inspection, performed by the Government to determine whether a contractor has fulfilled the contract obligations pertaining to quality and quantity.” RFO FAR 46.101.
 - b. “Quality Control” refers to the the tasks performed by contractors to ensure the adequacy of their goods or services. See RFO FAR 46.105(c).
 - c. “Testing” is “that element of inspection that determines the properties or elements, including functional operation of supplies or their components, by the application of established scientific principles and procedures.” RFO FAR 46.101.

2. The required RFO FAR clauses generally require a contractor to maintain an inspection system that is adequate to ensure delivery of supplies and services that conform to the requirements of the contract. See RFO FAR 52.246-2(b), 52.246-3(b), 52.246-4(b), 52.246-5(b), 52.246-6(b), 52.246-7(a) David B. Lilly Co., ASBCA No. 34678, 92-2 BCA ¶ 24,973 (government ordered contractor to submit new inspection plan to eliminate systemic shortcomings in the inspection process).
3. Inspection and testing must *reasonably relate* to the determination of whether performance complies with contractual requirements.
 - a. Contractually-specified inspections or tests are presumed reasonable unless they conflict with other contract requirements. General Time Corp., ASBCA No. 22306, 80-1 BCA ¶ 14,393.
 - b. If the contract specifies a test, the government may not require a higher level of performance than measured by the method specified. United Technologies Corp., Sikorsky Aircraft Div. v. United States, 27 Fed. Cl. 393 (1992).
 - c. The government may use tests other than those specified in the contract provided the tests do not impose a more stringent standard of performance. Donald C. Hubbs, Inc., DOT BCA No. 2012, 90-1 BCA ¶ 22,379 (use of rolling straightedge permitted after initial inspection determined that road was substantially nonconforming); Puroflow Corp., ASBCA No. 36058, 93-3 BCA ¶ 26,191 (upholding government's rejection of First Article Test Report for contractor's failure to perform an unspecified test).
 - d. Absent contractually specified tests, the government may use any tests that do not impose different or more stringent standards than those required by the contract. Space Craft, Inc., ASBCA No. 47997, 98-1 BCA ¶ 29,341 (government reasonably measured welds on clamp assemblies); Davey Compressor Co., ASBCA No. 38671, 94-1 BCA ¶ 26,433; Al Johnson Constr. Co., ENG BCA No. 4170, 87-2 BCA ¶ 19,952.
 - e. If the contract does not specify the particular tests to be conducted, consider the following factors in selecting a test or inspection technique:
 - (1) Consider the intended use of the product or service. A-Nam Cong Ty, ASBCA No. 14200, 70-1 BCA ¶ 8,106 (unreasonable to test coastal water barges on the high seas while fully loaded).

- (2) Measure compliance with contractual requirements and inform the contractor of the standards it must meet. Service Eng'g Co., ASBCA No. 40275, 94-1 BCA ¶ 26,382 (board refused to impose a military standard on contract for ship repair, where contract simply required workmanship in accordance with “best commercial marine practice”); Tester Corp., ASBCA No. 21312, 78-2 BCA ¶ 13,373, mot. for recon. denied, 79-1 BCA ¶ 13,725; D. A. Services, Inc., ASBCA No. 32820 (board upheld government’s reinspection standards as “bargained for, objective criteria”).
- (3) Use standard industry tests, if available. DiCecco, Inc., ASBCA No. 11944, 69-2 BCA ¶ 7,821 (use of USDA mushroom standards upheld). But see Chelan Packing Co., ASBCA No. 14419, 72-1 BCA ¶ 9,290 (government inspector failed to apply industry standard properly).
- (4) The government must inspect and test correctly. Baifield Indus., Div. of A-T-O, Inc., ASBCA No. 13418, 77-1 BCA ¶ 12,308 (cartridge cases/rounds fired at excessive pressure).
- (5) Generally, the government is not required to perform inspections. See RFO FAR 52.246-2(c) and (j); Cannon Structures, Inc., AGBCA No. 90-207-1, 93-3 BCA ¶ 26,059.
- (a) The government’s failure to discover defects during inspection does not relieve the contractor of the requirement to tender conforming supplies. RFO FAR 52.246-2(j); George Ledford Constr., Inc., ENGBCA No. 6218, 97-2 BCA ¶ 29,172.
- (b) However, the government may not unreasonably deny a contractor’s request to perform preliminary or additional testing. Alonso & Carus Iron Works, Inc., ASBCA No. 38312, 90-3 BCA ¶ 23,148 (no liability for defective fuel tank because government refused to allow a preliminary water test not prohibited by the contract); Praoil, S.R.L., ASBCA No. 41499, 94-2 BCA ¶ 26,840 (government unreasonably refused contractor’s request, per industry practice, to perform retest of fuel; termination for default overturned).

- (6) Requiring a contractor to perform tests not specified in the contract may entitle the contractor to an equitable adjustment of the contract price. CBI NA-CON, Inc., ASBCA No. 42268, 93-3 BCA ¶ 26,187; see also Switlik Parachute Co., ASBCA No. 17920, 74-2 BCA ¶ 10,970.

4. Costs

- a. The burden of paying for testing depends on the contract type and clause used in the contract.

- (1) For fixed-price supply inspections performed at the contractor's facility, generally the contractor pays for all reasonable facilities and assistance for the safe and convenient performance of Government inspectors. RFO FAR 52.246-2(d).
 - (a) The Government pays for all expenses for inspections or tests at other than the contractor or subcontractor's premises. RFO FAR 52.246-2(d).
 - (b) If supplies are not ready for tests or inspections at the contractor-specified time, the contractor may be charged for the additional costs of re-inspection or tests. RFO FAR 52.246-2(e)(1).
 - (c) The contractor may also be charged for additional costs of inspection following a prior rejection. RFO FAR 52.246-2(e)(2).
- (2) For fixed-price services, the contractor and subcontractors are required to furnish, at no additional costs, reasonable facilities and assistance for the safe and convenient performance of tests or inspections on the premises of the contractor or subcontractor. RFO FAR 52.246-4(d).
- (3) For construction, the contractor shall furnish, at no increase in contract price, all facilities, labor, and material reasonably needed for performing safe and convenient inspection and tests as may be required. RFO FAR 52.246-12(e).
 - (a) If the work is not ready for tests or inspections or following a prior rejection, the contractor may be charged for the additional costs of re-inspection or tests. RFO FAR 52.246-12(e).

- (b) The Government is required to perform tests and inspections in a manner that will not unnecessarily delay the work. RFO FAR 52.246-12(e).
- (c) The Government may engage in destructive testing before acceptance (i.e. examining already completed work by removing it or tearing it out). The contractor must promptly furnish all necessary facilities, labor, or material.
 - (i) If the work is defective, the contractor must defray the expenses of the examination and satisfactory reconstruction.
 - (ii) If the work meets contract requirements, the contractor will receive an equitable adjustment for the additional services involved in the test and reconstruction, to include an extension of time if completion of the work was delayed by the test.

- b. If a test is found to be unreasonable, courts and boards will likely find that the government assumed the risk of loss resulting from an unreasonable test. See Alonso & Carus Iron Works, Inc., ASBCA No. 38312, 90-3 BCA ¶ 23,148.

D. First Article Testing and Approval under RFO FAR Subpart 9.3

1. Introduction

- a. First article means a preproduction model, initial production sample, test sample, first lot, pilot lot, or pilot models. RFO FAR 2.101.
- b. First article testing means testing and evaluating the first article for conformance with specified contract requirements before or in the initial stage of production. RFO FAR 2.101.
- c. First article testing and approval ensures that the contractor can furnish a product that conforms to all contract requirements for acceptance. RFO FAR 9.302.
- d. Testing and approval can be particularly useful when:
 - (1) The contractor has not previously furnished the product to the government;

(2) The contractor previously furnished the product to the Government, but --

- (a) There have been subsequent changes in processes or specifications;
- (b) Production has been discontinued for an extended period of time; or
- (c) The product acquired under a previous contract developed a problem during its life;

(3) The product is described by a performance specification; or

(4) It is essential to have an approved first article to serve as a manufacturing standard. RFO FAR 9.303.

2. Mechanics

- a. Government must provide specific information in the solicitation, including the performance or other characteristics that the first article must meet for approval. RFO FAR 9.306(a)(1) and (b)(1).
- b. The administration of first article testing depends on whether the contractor or government will perform the testing. See RFO FAR 52.209-3 and 52.209-4.

III. GOVERNMENT REMEDIES UNDER THE INSPECTION CLAUSE.

A. Introduction.

- 1. The inspection clauses generally provide the government's remedies. RFO FAR 52.246-2 through 52.246-14.
- 2. The government's remedies under the inspection clauses operate in two phases. Initially, the government may demand correction of deficiencies. If this proves to be unsuccessful, the government may obtain corrective action from other sources.
- 3. Under the inspection clauses, the government's remedies depend upon when the contractor delivers nonconforming goods or services.

B. Defective Performance **BEFORE** the Required Delivery Date.

1. If the contractor delivers defective goods or services before the required delivery date, the government may:
 - a. Reject the tendered product or performance. Andrews, Large & Whidden, Inc. and RFO FARmville Mfg. Corp., ASBCA No. 30060, 88-2 BCA ¶ 20,542 (government demand for replacement of non-conforming windows sustained); but see Centric/Jones Constr., IBCA No. 3139, 94-1 BCA ¶ 26,404 (government failed to prove that rejected work was noncompliant with specifications; contractor entitled to equitable adjustment for performing additional tests to secure government acceptance);
 - b. Require the contractor to correct the nonconforming goods or service, giving the contractor a reasonable opportunity to do so. Premiere Bldg. Servs., Inc., B-255858, Apr. 12, 1994, 94-1 CPD ¶ 252 (government may charge reinspection costs to contractor); or,
 - c. Accept the nonconforming goods or services at a reduced price. Federal Boiler Co., ASBCA No. 40314, 94-1 BCA ¶ 26,381 (change in cost of performance to the contractor, not the damages to the government, is the basis for adjustment); Blount Bros. Corp., ASBCA No. 29862, 88-2 BCA ¶ 20,644 (government entitled to a credit totaling the amount saved by contractor for using nonconforming concrete). See also Valley Asphalt Corp., ASBCA No. 17595, 74-2 BCA ¶ 10,680 (although runway built to wrong elevation, only nominal price reduction allowed because no loss in value to the government).
2. The government generally may not terminate the contract for default based on the tender of nonconforming goods or services before the required delivery date.

C. Defective Performance **ON** the Required Delivery Date.

1. If the contractor delivers nonconforming goods or services on the required delivery date, the government may:
 - a. Reject or require correction of the nonconforming goods or services;
 - b. Reduce the contract price and accept the nonconforming product; or
 - c. In some cases, terminate for default. See RFO FAR 52.249-8. For fixed-price construction and service contracts, the government

must exercise caution if it terminates all work for defective performance after timely delivery, as the doctrine of substantial completion (also referred to as substantial performance) may limit the government's right to terminate due to minor and relatively unimportant deviations. Cibinic, Nash & Nagle, *Administration of Government Contracts*, (5th ed. 2016); for construction, see G.A. Karnavas Painting Co., VACAB 992, 72-1 BCA ¶ 9369; PCL Constr. Servs. Inc. v. United States, 47 Fed. Cl. 745 (2000); for services, see *Reliable Maint. Serv.*, ASBCA 10487, 66-1 BCA ¶ 5331. For fixed-price supply contracts, the doctrine of substantial compliance may limit the government's right to terminate the timely delivery of supplies that have minor defects. *Radiation Tech., Inc. v. United States*, 366 F.2d 1003 (Ct. Cl. 1966).

2. For fixed-price supply contracts, the doctrine of substantial compliance may limit the government's right to terminate the timely delivery of supplies that have minor defects. *Radiation Tech., Inc. v. United States*, 366 F.2d 1003 (Ct. Cl. 1966).

D. Defective Performance **AFTER** the Required Delivery Date.

1. Reject and require correction of the late nonconforming goods or services;
2. Accept the late nonconforming goods or services at a reduced price; or
3. Terminate the contract for default. Note that the fixed-price termination for default clause, RFO FAR 52.249-8, provides the government the right to terminate the contract, at least in part, for supplies and services the contractor fails to deliver within the time specified in the contract. Generally speaking, courts and boards uphold default terminations for late delivery on fixed-price supply contracts where government actions demonstrate time is of the essence. See, *DeVito v. United States*, 413 F.2d 1147 (Ct. Cl. 1969); *National RFO FARm Equip. Co.*, GSBCA 4921, 78-1 BCA ¶13,195; *M.H. Colvin & Co.*, GSBCA 5209, 79-2 BCA ¶13,981; *Fairfield Scientific Corp.*, ASBCA 21152, 78-1 BCA ¶12,869. Because the government rarely terminates contracts for slight delays, there are relatively few decisions in which the government entitled to strict compliance with the delivery schedule. Cibinic, Nash & Nagle, *Administration of Government Contracts* (5th ed. 2016).

E. Remedies if the Contractor Fails to Correct Defective Performance Under Fixed-Price Contracts

1. If the contractor fails to correct defective performance after receiving notice and a reasonable opportunity to correct the work, the government may:
 - a. Contract with a commercial source to correct or replace the defective goods or services (obtaining funding is often difficult and may make this remedy impracticable), George Bernadot Co., ASBCA No. 42943, 94-3 BCA ¶ 27,242; Zimcon Professionals, ASBCA Nos. 49346, 51123, 00-1 BCA ¶ 30,839 (Government may contract with a commercial source to correct or replace the defective goods or services and may charge cost of correction to original contractor);
 - b. Correct or replace the defective goods or services itself;
 - c. Accept the nonconforming goods or services at a reduced price, or;
 - d. Terminate the contract for default. RFO FAR 52.246-4(f); see Firma Tiefbau Meier, ASBCA No. 46951, 95-1 BCA ¶ 27,593.

F. Special Rules for Service Contracts

1. The inspection clause for fixed-price service contracts, RFO FAR 52.246-4, is different than RFO FAR 52.246-2, which pertains to fixed-price supply contracts.
2. The government's remedies under RFO FAR 52.246-4 depend on whether it is possible for the contractor to perform the services correctly.
 - a. Normally, the government should permit the contractor to re-perform the services and correct the deficiencies, if possible, for no additional fee. Pearl Properties, HUDBCA No. 95-C-118-C4, 96-1 BCA ¶ 28,219 (government's failure to give contractor notice and an opportunity to correct deficient performance waived right to reduce payment).
 - b. If the defects cannot be corrected by re-performance, the government may:
 - (1) Require the contractor to take adequate steps to ensure future compliance with the contract requirements; and
 - (2) Reduce the contract price to reflect the reduced value of services received. Teltara, Inc., ASBCA No. 42256, 94-1 BCA ¶ 26,485 (government properly used random

sampling inspections to calculate contract price reductions); Orlando Williams, ASBCA No. 26099, 84-1 BCA ¶ 16,983 (although default termination of janitorial contract was sustained, the government acted unreasonably by withholding maximum payments when some work had been performed satisfactorily).

- c. Authorities disagree about whether the same failure in contract performance can support both a reduction in contract price and a termination for default. Compare W.M. Grace, Inc., ASBCA No. 23076, 80-1 BCA ¶ 14,256 (monthly deductions due to poor performance waived right to T4D during those months) and Wainwright Transfer Co., ASBCA No. 23311, 80-1 BCA ¶ 14,313 (deduction for HHG shipments precluded termination) with Cervetto Bldg. Maint. Co. v. United States, 2 Cl. Ct. 299 (1983) (reduction in contract price and termination are cumulative remedies).

IV. STRICT COMPLIANCE VS. SUBSTANTIAL COMPLIANCE.

A. Strict Compliance.

1. As a general rule, the government is entitled to strict compliance with its specifications. Blake Constr. Co. v. United States, 28 Fed. Cl. 672 (1993); De Narde Construction Co., ASBCA No. 50288, 00-2 BCA ¶ 30,929 (government entitled to type of rebar it ordered, even if contrary to trade practice). See also Cascade Pac. Int'l v. United States, 773 F.2d 287 (Fed. Cir. 1985); Ace Precision Indus., ASBCA No. 40307, 93-2 BCA ¶ 25,629 (government rejection of line block final assemblies that failed to meet contract specifications was proper). But see Zeller Zentralheizungsbau GmbH, ASBCA No. 43109, 94-2 BCA ¶ 26,657 (government improperly rejected contractor's use of "equal" equipment where contract failed to list salient characteristics of brand name equipment).
2. Contractors must comply with specifications even if they vary from standard commercial practice. R.B. Wright Constr. Co. v. United States, 919 F.2d 1569 (Fed. Cir. 1990) (contract required three coats over painted surface although commercial practice was to apply only two); Graham Constr., Inc., ASBCA No. 37641, 91-2 BCA ¶ 23,721 (specification requiring redundant performance sustained).
3. Slight defects are still defects. Mech-Con Corp., GSBCA No. 8415, 88-3 BCA ¶ 20,889 (installation of 2" pipe insulation did not satisfy 1½" requirement).

B. Substantial Compliance.

1. “Substantial compliance” is a judicially created concept to avoid the harsh result of termination for default based upon a minor breach, and to avoid economic waste. The concept originated in construction contracts and has been extended to other types of contracts. See Radiation Tech., Inc. v. United States, 366 F.2d 1003 (Ct. Cl. 1966); Universal Shelters of Am., Inc. v. United States, 87 Fed. Cl. 127, 159-160 (2009) (explaining why contractor failed to demonstrate substantial compliance to the court).
2. Substantial compliance gives the contractor the right to attempt to cure defective performance, even if that requires an extension of time beyond the original delivery date. The elements of substantial compliance are:
 - a. Timely delivery;
 - b. Contractor’s good faith belief that it has complied with the contract’s requirements, See Louisiana Lamps & Shades, ASBCA No. 45294, 95-1 BCA ¶ 27,577 (no substantial compliance because contractor had attempted unsuccessfully to persuade government to permit substitution of American-made sockets for specified German-made sockets);
 - c. Minor defects that can be corrected within a reasonable time;
 - d. Time is not of the essence, i.e. the government does not require strict compliance with the delivery schedule.
3. Generally, the doctrine of substantial compliance does not require the government to accept defective performance by the contractor. Cosmos Eng’rs, Inc., ASBCA No. 19780, 77-2 BCA ¶ 12,713.
4. Except in those rare situations involving economic waste (discussed below), the doctrine of substantial compliance affects only when, not whether, the government may terminate for default. While substantial compliance requires the government to give the contractor a reasonable amount of time to correct the defects, including, if necessary, an extension beyond the original required delivery date, it does not preclude the government from terminating the contract for default if the contractor fails to correct the defects with a reasonable period of time. Firma Tiefbau Meier, ASBCA No. 46951, 95-1 BCA ¶ 27,593 (termination for default justified by contractor’s repeated refusal to correct defective roof panels).

C. Economic Waste.

1. The doctrine of economic waste requires the government to accept noncompliant **construction** if the work, as completed, is suitable for its intended purpose and the cost of correction would RFO FAR exceed the gain that would be realized. Granite Constr. Co. v. United States, 962 F.2d 998 (Fed. Cir. 1992), cert. denied, 113 S. Ct. 965 (1993); A.D. Roe Co., Inc., ASBCA No. 48782, 99-2 BCA ¶ 30,398 (economic waste is exception to general rule that government can insist on strict compliance with contract).
2. To be “suitable for its intended purpose,” the work must substantially comply with the contract. Amtech Reliable Elevator Co. v. General Servs. Admin., GSBCA No. 13184, 95-2 BCA ¶ 27,821 (no economic waste where contractor used conduits for fire alarm wiring which were not as sturdy as required by specifications and lacked sufficient structural integrity); Triple M Contractors, ASBCA No. 42945, 94-3 BCA ¶ 27,003 (no economic waste where placement of reinforcing materials in drainage gutters reduced useful life from 25 to 20 years); Shirley Constr. Corp., ASBCA No. 41908, 93-3 BCA ¶ 26,245 (concrete slab not in substantial compliance even though it could support the design load; without substantial compliance, doctrine of economic waste inapplicable); Valenzuela Engineering, Inc., ASBCA No. 53608, 53936, 04-1 BCA ¶ 32,517 (absent expert testimony, government can demand strict performance for structure designed to contain explosions).

V. PROBLEM AREAS IN TESTING AND INSPECTION.

A. Claims Resulting from Unreasonable Inspections.

1. Government inspections may give rise to equitable adjustment claims if they delay the contractor’s performance or cause additional work. The government:
 - a. Must perform reasonable inspections. RFO FAR 52.246-2. Donald C. Hubbs, Inc., DOTBCA No. 2012, 90-1 BCA ¶ 22,379 (more sophisticated test than specified, rolling straightedge, was reasonable).
 - b. Must avoid overzealous inspections. The government may not inspect to a level beyond that authorized by the contract. Overzealous inspection may impact adversely upon the government’s ability to reject the contractor’s performance, to assess liquidated damages, or to otherwise assert its rights under the contract. See The Libertatia Associates, Inc., 46 Fed. Cl. 702 (2000) (COR told contractor’s employees that he was Jesus Christ and that CO was God); Gary Aircraft Corp., ASBCA No. 21731,

91-3 BCA ¶ 24,122 (“overnight change” in inspection standards was unreasonable); Donohoe Constr. Co., ASBCA No. 47310, 98-2 BCA ¶ 30,076, motion for reconsideration granted in part on other grounds, ASBCA No. 47310, 99-1 BCA ¶ 30,387 (government quality control manager unreasonably rejected proposed schedules, ignored contractor submissions for weeks, and told contractor he would “get even” with him); Lan-Cay, Inc., ASBCA 56140, 2012-1 BCA ¶ 34,935 (contractor affidavits consisting of personal attacks, argument, hearsay and conjecture lack credibility and are insufficient to show overzealous inspection).

- c. Must resolve ambiguities involving inspection requirements in a timely manner. P & M Indus., ASBCA No. 38759, 93-1 BCA ¶ 25,471.
- d. Must exercise reasonable care when performing tests and inspections prior to acceptance of products or services, and may not rely solely on destructive testing of products after acceptance to discover a deficiency it could have discovered before acceptance. Ahern Painting Contractors, Inc., GSBCA No. 7912, 90-1 BCA ¶ 22,291.

2. Improper inspections:

- a. May excuse a contractor’s delay, thereby delaying or preventing termination for default. Puma Chem. Co., GSBCA No. 5254, 81-1 BCA ¶ 14,844 (contractor justified in refusing to proceed when government test procedures subjected contractor to unreasonable risk of rejection).
- b. May justify claims for increased costs of performance under the delay of work or changes clauses in the contract. See, e.g., Hull-Hazard, Inc., ASBCA No. 34645, 90-3 BCA ¶ 23,173 (contract specified joint inspection; however, government conducted multiple inspections and bombarded contractor with “punch lists”); H.G. Reynolds Co., ASBCA No. 42351, 93-2 BCA ¶ 25,797; Harris Sys. Int’l, Inc., ASBCA No. 33280, 88-2 BCA ¶ 20,641 (10% “spot mopping” specified, government demanded 100% for “uniform appearance”). But see Trans Western Polymers, Inc. v. Gen. Servs. Admin., GSBCA No. 12440, 95-1 BCA ¶ 27,381 (government properly performed lot by lot inspection after contractor failed to maintain quality control system); Space Dynamics Corp., ASBCA No. 19118, 78-1 BCA ¶ 12,885 (defects

in aircraft carrier catapult assemblies justified increased government inspection).

- c. May give rise to a claim of government breach of contract. Adams v. United States, 358 F.2d 986 (Ct. Cl. 1966) (government breached contract when inspector disregarded inspection plan, doubled inspection points, complicated construction, delayed work, increased standards, and demanded a higher quality tent pin than specified); Electro-Chem Etch Metal Markings, Inc., GSBCA No. 11785, 93-3 BCA ¶ 26,148. But see Southland Constr. Co., VABCA No. 2217, 89-1 BCA ¶ 21,548 (government engineer's "harsh and vulgar" language, when appellant contributed to the tense atmosphere, did not justify refusal to continue work) Olympia Reinigung GmbH, ASBCA Nos. 50913, 51225, 51258, 02-2 BCA ¶ 32,050 (allegation of aggressive government inspections did not render termination for default arbitrary or capricious).

- 3. It is a constructive change to test a standard commercial item to a higher level of performance than is required in commercial practice. Max Blau & Sons, Inc., GSBCA No. 9827, 91-1 BCA ¶ 23,626 (insistence on extensive deburring and additional paint on a commercial cabinet was a constructive change).
- 4. Government breach of its duty to cooperate with the contractor may shift the cost of damages caused by testing to the government. See Alonso & Carus Iron Works, Inc., ASBCA No. 38312, 90-3 BCA ¶ 23,148 (government refusal to permit reasonable, preliminary test proposed by contractor shifted the risk of loss to the government).

B. Waiver, Prior Course of Dealing, and Other Acts Affecting Testing and Inspection.

- 1. By his actions, an authorized government official may waive contractual requirements if the contractor reasonably believes that a required specification has been suspended or waived. Gresham & Co. v. United States, 470 F.2d 542, 554 (Ct. Cl. 1972), Perkin-Elmer's Corp. v. United States, 47 Fed. Cl. 672 (2000).
- 2. The government may also be estopped from enforcing a contract requirement. The elements of equitable estoppel are:
 - a. Authorized government official;
 - b. Knowledge by government official of true facts;

- c. Ignorance by contractor of true facts; and
 - d. Detrimental reliance by the contractor. Longmire Coal Corp., ASBCA No. 31569, 86-3 BCA ¶ 19,110.
3. Normally, previous government acceptance of similar nonconforming performance is insufficient to demonstrate waiver of specifications.
- a. Government acceptance of nonconforming performance by other contractors normally does not waive contractual requirements. Moore Elec. Co., ASBCA No. 33828, 87-3 BCA ¶ 20,039 (government's allowing deviation to another contractor on prior contract for light pole installation did not constitute waiver, even where both contractors used the same subcontractor).
 - b. Government acceptance of nonconforming performance by the same contractor normally does not waive contractual requirements. Basic Marine, Inc., ENG BCA No. 5299, 87-1 BCA ¶ 19,426. A mere passive acceptance of goods is not sufficient to constitute a waiver; instead, a waiver must be a voluntary, knowing, and intelligent act done with sufficient awareness of the relevant circumstances and likely consequences. Data Computer Corp. of Am. v. United States, 80 Fed. Cl. 606, 612 (2008)
4. However, numerous government acceptances of similar nonconforming performance by the same contractor may waive the requirements of that particular specification. Gresham & Co. v. United States, 470 F.2d 542 (Ct. Cl. 1972) (acceptance of dishwashers without detergent dispensers eventually waived requirement to equip with dispensers); Astro Dynamics, Inc., ASBCA No. 28381, 88-3 BCA ¶ 20,832 (acceptance of seven shipments of rocket tubes with improper dimensions precluded termination for default for same reason on the eighth shipment). But see Kvass Constr. Co., ASBCA No. 45965, 94-1 BCA ¶ 26,513 (Navy's acceptance on four prior construction contracts of "expansion compensation devices" for a heat distribution system did not waive contract requirement for "expansion loops").
5. Generally, an inspector's failure to require correction of defects is insufficient to waive the right to demand correction. Hoboken Shipyards, Inc., DOT BCA No. 1920, 90-2 BCA ¶ 22,752 (government not bound by an inspector's unauthorized agreement to accept improper type of paint if a second coat was applied).

VI. ACCEPTANCE.

A. Acceptance.

Acceptance is the “act of an authorized representative of the Government by which the Government, for itself or as agent of another, assumes ownership of existing identified supplies tendered or approves specific services rendered as partial or complete performance of the contract.” RFO FAR 46.101.

B. General Principles of Acceptance.

1. Acceptance of supplies and services is the responsibility of the contracting officer. When this responsibility is assigned to a cognizant contracting administration office or to another agency (see 42.202(g)), acceptance by that office or agency is binding on the Government. RFO FAR 46.502
 - a. Contracts often identify who is authorized to accept supplies or services on behalf of the Government but the contract should be clear to avoid possible disputes. W.S. Jenks & Son, GSBCA 10513, 92-1 BCA ¶24,502 (inspector not authorized when another entity was listed as acceptance authority in the contract); *Design & Prod., Inc. v. US*, 18 CL. Ct. 168 (1989) (COTR only had authority to notify KO, not accept or reject).
2. For fixed-price contracts, acceptance is conclusive except for latent defects, fraud, gross mistakes amounting to fraud, or as otherwise provided for in the contract, e.g., warranties. RFO FAR 52.246-2(k); Hogan Constr., Inc., ASBCA No. 39014, 95-1 BCA ¶ 27,398 (government improperly terminated contract for default after acceptance).
3. Acceptance entitles the contractor to payment and is the event that marks the passage of title from the contractor to the government.
4. The government generally uses a DD Form 250, Material Inspection and Receiving Report, to expressly accept tendered goods or services. See DRFO FARS Subparts 246.6 and 246.7.
5. The government may impliedly accept goods or services by:
 - a. Making final payment. Norwood Precision Prods., ASBCA No. 24083, 80-1 BCA ¶ 14,405. See also RFO FARruggio Constr. Co., DOTBCA No. 75-2-75-2E, 77-2 BCA ¶ 12,760 (progress payments on wharf sheeting contract did not shift ownership and risk of loss to the government). Note, however, that payment, even if no more monies are due under a contract, does not necessarily

- constitute final acceptance. Spectrum Leasing Corp., GSBCA No. 7347, 90-3 BCA ¶ 22,984 (no acceptance because contract provided that final testing and acceptance would occur after the last payment). See also Ortech, Inc., ASBCA No. 52228, 00-1 BCA ¶ 30,764 (contractor's acceptance of final payment from the government may preclude a later claim by the contractor).
- b. Unreasonably delaying acceptance. See, e.g., Cudahy Packing Co. v. United States, 75 F. Supp. 239 (Ct. Cl. 1948) (government took two months to reject eggs); Mann Chem. Labs, Inc. v. United States, 182 F. Supp. 40 (D. Mass. 1960).
 - c. Using or changing a product. Ateron Corp., ASBCA No. 46,867, 96-1 BCA ¶ 28,165 (government use of products inconsistent with contractor's ownership); The Interlake Cos. v. General Servs. Admin., GSBCA No. 11876, 93-2 BCA ¶ 25,813 (government improperly rejected material handling system after government changes rendered computer's preprogrammed logic useless).
6. Unconditional acceptance of partial deliveries may waive the right to demand that the final product perform satisfactorily. See Infotec Dev., Inc., ASBCA No. 31809, 91-2 BCA ¶ 23,909 (multi-year contract for Minuteman Missile software).
7. As a general rule, under fixed-price contracts contractors bear the risk of loss or damage to the contract work prior to acceptance. See RFO FAR 52.246-16, Responsibility for Supplies (supply); RFO FAR 52.236-7, Permits and Responsibilities (construction). See also Meisel Rohrbau GmbH, ASBCA No. 40012, 92-1 BCA ¶ 24,716 (damage caused by children); DeRalco Corp., ASBCA No. 41063, 91-1 BCA ¶ 23,576 (structure destroyed by 180 MPH hurricane winds although construction was 97% complete and only required to withstand 100 MPH winds); G&C Enterprises, Inc. v. United States, 55 Fed. Cl. 424 (2003) (no formal acceptance where structure destroyed by windstorm after project 99% complete and Army had begun partial occupation).
- a. If the contract transportation specifies f.o.b. destination, the contractor bears the risk of loss during shipment even if the government accepted the supplies prior to shipment. RFO FAR 52.246-16; KAL M.E.I. Mfg. & Trade Ltd., ASBCA No. 44367, 94-1 BCA ¶ 26,582 (contractor liable for full purchase price of cover assemblies lost in transit, even though cover assemblies had only scrap value).

- b. In construction contracts, the government may use and possess the building prior to completion. RFO FAR 52.236-11, Use and Possession Prior to Completion. The contractor is relieved of responsibility for loss of or damage to work resulting from the government's possession or use. See Fraser Eng'g Co., VABCA No. 3265, 91-3 BCA ¶ 24,223 (government responsible for damaged cooling tower when damage occurred while tower was in its sole possession and control). But see Appeals of - Betance Enterprises, Inc., ASBCA No. 63076, 23-1 B.C.A. (CCH) ¶ 38273 (government's use of the buildings during roof repair or replacement did not constitute acceptance of the buildings due to the contract's permits and responsibilities clause).

C. Exceptions to the Finality of Acceptance

- 1. Latent defects may enable the government to avoid the finality of acceptance. To be latent, a defect must have been:
 - a. Unknown to the government. See Gavco Corp., ASBCA No. 29763, 88-3 BCA ¶ 21,095;
 - b. In existence at the time of acceptance. See Santa Barbara Research Ctr., ASBCA No. 27831, 88-3 BCA ¶ 21,098; mot. for recon. denied, 89-3 BCA ¶ 22,020 (failure to prove crystalline growths were in laser diodes at the time of acceptance and not reasonably discoverable); and
 - c. Not discoverable by a reasonable inspection. Munson Hammerhead Boats, ASBCA No. 51377, 00-2 BCA ¶ 31,143 (defects in boat surface, under paint and deck covering, not reasonably discoverable by government until four months later); Stewart & Stevenson Services, Inc., ASBCA No. 52140, 00-2 BCA ¶ 31,041 (government could revoke acceptance even though products passed all tests specified in contract); Wickham Contracting Co., ASBCA No. 32392, 88-2 BCA ¶ 20,559 (failed spliced telephone and power cables were latent defects and not discoverable); Dale Ingram, Inc., ASBCA No. 12152, 74-1 BCA ¶ 10,436 (mahogany plywood was not a latent defect because a visual examination would have disclosed); But see Perkin-Elmer Corp. v. United States., 47 Fed. Cl. 672 (2000) (six years was too long to wait before revoking acceptance based on latent defect).
- 2. Contractor fraud allows the government to avoid the finality of acceptance. See D&H Constr. Co., ASBCA No. 37482, 89-3 BCA ¶ 22,070 (contractors' use of counterfeited National Sanitation Foundation

and Underwriters' Laboratories labels constituted fraud). To establish fraud, the government must prove that:

- a. The contractor intended to deceive the government;
 - b. The contractor misrepresented a material fact; and
 - c. The government relied on the misrepresentation to its detriment. BMY – Combat Sys. Div. Of Harsco Corp., 38 Fed.Cl. 109 (1997) (contractor's knowing misrepresentation of adequate testing was fraud); United States v. Aerodex, Inc., 469 F.2d 1003 (5th Cir. 1972).
3. A gross mistake amounting to fraud may avoid the finality of acceptance. The elements of a gross mistake amounting to fraud are:
- a. A major error causing the government to accept nonconforming performance;
 - b. The contractor's misrepresentation of a fact, Bender GmbH, ASBCA No. 52266, 04-1 BCA ¶ 32,474 (repeated false invoices in "wonton disregard of the facts" allowed government to revoke final acceptance); and
 - c. Detrimental government reliance on the misrepresentation. Z.A.N. Co., ASBCA No. 25488, 86-1 BCA ¶ 18,612 (gross mistake amounting to fraud established where the government relied on Z.A.N. to verify watch caliber and Z.A.N. accepted watches from subcontractor without proof that the caliber was correct);
4. Warranties. Warranties operate to revoke acceptance if the nonconformity is covered by the warranty.
5. Revocation of Acceptance.
- a. Once the government revokes acceptance, its normal rights under the inspection, disputes, and default clauses of the contract are revived. RFO FAR 52.246-2(l) (Inspection-Supply clause expressly revives rights); Spandome Corp. v. United States, 32 Fed. Cl. 626 (1995) (government revoked acceptance, requested contractor to repair structure, and demanded return of purchase price when contractor refused); Jo-Bar Mfg. Corp., ASBCA No. 17774, 73-2 BCA ¶ 10,311 (contractor's failure to heat treat aircraft bolts entitled government to recover purchase price paid). Cf. RFO FAR 52.246-12 (Inspection-Construction clause is silent on reviving rights).

- b. Failure to timely exercise revocation rights may waive the government's contractual right to revoke acceptance. Perkin-Elmer's Corp. v. United States, 47 Fed. Cl. 672 (2000) (Air Force attempted to revoke acceptance of "portable wear metal analyzer" six years after acceptance; Court of Federal Claims held the six-year delay in revoking acceptance was unreasonable, thus prohibiting government recovery on the claim).

VII. WARRANTY.

A. General Principles.

- 1. Warranties may extend the period for conclusive government acceptance. RFO FAR 46.7; DRFO FARS 246.7; AR 700-139, ARMY WARRANTY PROGRAM (2 Feb 2015).
- 2. Normally, warranties are defined by the time and scope of coverage. RFO FAR 46.702(b).
- 3. The use of warranties is not mandatory. RFO FAR 46.703. In determining whether a warranty is appropriate for a specific acquisition, consider:
 - a. Nature and use of the supplies or services;
 - b. Cost;
 - c. Administration and enforcement;
 - d. Trade practice; and
 - e. Reduced quality assurance requirements, if any.

B. Asserting Warranty Claims.

- 1. When asserting a warranty claim, the government must prove:
 - a. That there was a defect when the contractor completed performance. Vistacon Inc. v. General Servs. Admin., GSBCA No. 12580, 94-2 BCA ¶ 26,887;
 - b. That the warranted defect was the most probable cause of the failure. Hogan Constr., Inc., ASBCA No. 38801, 95-1 BCA ¶ 27,396; A.S. McGaughan Co., PSBCA No. 2750, 90-3 BCA ¶ 23,229; R.B. Hazard, Inc., ASBCA No. 41061, 91-2 BCA ¶ 23,709 (government denied recovery under warranty theory because it failed to prove that pump failure was not the result of

government misuse and that defective material or workmanship was the most probable cause of the damage);

- c. That the defect was within the scope of the warranty;
 - d. That the defect arose during the warranty period;
 - e. That the government did not contribute to the failures or defects caused by the breach of warranty. Appeal of Penner, GSBCA No. 4647, 80-2 B.C.A. (CCH) ¶ 14604.
 - f. That the contractor received notice of the defect and its breach of the warranty, Land O’Frost, ASBCA Nos. 55012, 55241, 2003 B.C.A. (CCH) ¶ 32,395 (Army’s warranty claim failed to provide specific notice of a defect covered by the warranty); and
 - g. The cost to repair the defect, if not corrected by the contractor. See Hoboken Shipyards, Inc., DOT BCA No. 1920, 90-2 BCA ¶ 22,752; Globe Corp., ASBCA No. 45131, 93-3 BCA ¶ 25,968 (reducing government’s claim against the contractor because the government inconsistently allocated the cost of repairing defects).
- 2. The government may invalidate a warranty through improper maintenance, operation, or alteration.
 - 3. A difficult problem in administering warranties on government contracts is identifying and reporting defects covered by the warranty.
 - 4. Warranty clauses survive acceptance. RFO FAR 52.246-17(b)(1); Shelby’s Gourmet Foods, ASBCA No. 49883, 01-1 BCA ¶ 31,200 (government entitled to reject defective “quick-cooking rolled oats” under warranty even after initial acceptance).

C. Remedies for Breach of Warranty.

- 1. The RFO FAR provides the basic outline for governmental remedies. See RFO FAR 46.706(b)(2), 52.246-17, and 52.246-18. If the contractor breaches a warranty clause, the government may—
 - a. Order the contractor to repair or replace the defective product; or
 - b. Retain the defective product at a reduced price;
- 2. If the contractor fails to repair or replace the supplies within the time established, or fails to accept return of the nonconforming supplies or fails to make progress in correcting or replacing them, the government may

- a. Correct the defect in-house or by contract and charge the cost to the contractor; or
 - b. Require an equitable adjustment in the contract price; however, the adjustment cannot reduce the price below the scrap value of the product.
- 3. Warranty remedies specified in the clause limit the Government's options to just those stated in the contract. *Kordick & Son, Inc. v. US*, 12 Cl. Ct. 662 (1987).
- 4. Warranty remedies are cumulative with other contractual remedies (i.e. inspection remedies). Charles G. Williams Constr., Inc., ASBCA 24967, 81-1 BCA ¶ 14,893.

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CHAPTER 17

CONTRACT PAYMENT

I. INTRODUCTION.

- A. This Chapter focuses on:
 - 1. The various methods used by the Government to pay contractors.
 - 2. The methods, and order of preference, for financing Government contracts.
 - 3. The application of “The Prompt Payment Act.”
 - 4. The Government’s policies and procedures for identifying and collecting contract debts.
- B. Contract payment in the DoW happens largely through the work of the Contracting Officer, the Contracting Officer’s Representative, and the Comptroller/Budget Office. However, an attorney can greatly aid those parties by remaining aware of the issues that arise around billing and payment.

II. REFERENCES.

- A. 10 U.S.C. §§ 3801-3808, Contract Financing.
- B. 31 U.S.C. §§ 3901-3907, Prompt Payment.
- C. 31 U.S.C. §§ 3701-3702, Claims.
- D. 31 U.S.C. § 3727 and 41 U.S.C. § 6305, Assignment of Claims Act of 1940.
- E. 31 U.S.C. § 3728, Setoff against Judgment.
- F. 41 U.S.C. § 4503, Security for advance payments.
- G. Federal Acquisition Regulation (RFO FAR), Part 32, Contract Financing.
- H. Defense Federal Acquisition Regulation Supplement (DFARS), Part 232, Contract Financing.
- I. Army Federal Acquisition Regulation Supplement (AFARS), Part 5132, Contract Financing.

- J. DoD Financial Management Regulation (FMR) (DoD 7000.14-R), vol. 10, Contract Payment Policy.
- K. DoD Financial Management Regulation (FMR) (DoD 7000.14-R), vol. 16, Department of Defense Debt Management.
- L. 5 CFR Part 1315, Prompt Payment.

III. POLICIES AND PROCEDURES.

- A. RFO FAR Part 32 prescribes policies and procedures for contract financing and other payment matters. It specifically addresses:
 - 1. Payment methods, including partial payments and progress payments based on percentage or stage of completion (RFO FAR Part 32);
 - 2. Loan guarantees (RFO FAR 32.3), advance payments for non-commercial items (RFO FAR 32.4), and progress payments based on costs (RFO FAR 32.5);
 - 3. Administration of debts to the Government arising out of contracts (RFO FAR 32.6);
 - 4. Contract funding, including the use of contract clauses limiting costs or funds (RFO FAR 32.7);
 - 5. Assignment of claims to aid in private financing (32.8);
 - 6. Selected payment clauses (see RFO FAR 52.232-1 through RFO FAR 52.232-40);
 - 7. Commercial Product and Commercial Service Product Financing; (RFO FAR 32.2).
 - 8. Prompt Payment, including responsibilities and interest penalties (RFO FAR 32.9).
 - 9. Performance-based payments (RFO FAR 32.10); and
 - 10. Electronic funds transfer payments (RFO FAR 32.11).
- B. Disbursing Authority.
 - 1. The Bureau of the Fiscal Service (formerly the Financial Management Service), a bureau of the U.S. Department of the Treasury, is the principal disbursing agent of the Federal government, accounting for approximately

85% of all Federal payments. The Bureau of the Fiscal Service website is at: <https://www.fiscal.treasury.gov/>.

2. The Department of War, the United States Marshal's Office, and the Department of Homeland Security (with respect to public money available for the Coast Guard's expenditure when it is not operating as a service in the Navy) have statutory authority to disburse public money. 31 U.S.C. § 3321. The Defense Finance and Accounting Service (DFAS) website is at: <http://www.dfas.mil/>.
- C. Advances. An advance of public money may be made only if authorized by Congress or the President. 31 U.S.C. § 3324(b). Chapter 4 of Volume 10, DoD FMR covers all aspects of the various types of advance payments for DoW.
- D. Invoice Payments vs. Financing Payments. RFO FAR Subparts 32.104 (noncommercial products and noncommercial services); 32.202-1 (commercial products and commercial services).
 1. Invoice payments are payments made upon delivery of goods or performance of services and acceptance by the government. RFO FAR 32.001. Invoice payments include: *See* Ch. 7, Vol. 10 of DoD FMR.
 - a. Final payments of the contract price, costs, or fee in accordance with the contract or as settled by the government and the contractor.
 - b. Payments for partial deliveries or partial performance under fixed-price contracts.
 - c. Progress payments:
 - (1) Construction contracts.
 - (2) Architect/Engineer contracts.
 2. Financing payments are made to a contractor before acceptance of goods or services by the government. Such payments include:
 - a. Advance payments. RFO FAR 32.4 and DFARS 232.4.
 - b. Performance-Based Payments. RFO FAR 32.10 and DFARS 232.10.
 - c. Commercial advance and interim payments. RFO FAR 32.2 and DFARS 232.206.

- d. Progress payments based on costs under the clause at 52.232-16, Progress Payments. RFO FAR 32.5 and DFARS 232.5.
 - e. Progress payments based on a percentage or stage of completion under RFO FAR 52.232-5 or 52.232-10. RFO FAR 32.102.
- 3. Interim payments on cost-type contracts. *See* RFO FAR 32.001. Financing payments DO NOT include invoice payments, payments for partial deliveries or lease and rental payments. RFO FAR 32.001.
- E. Order of Preference. RFO FAR 32.106 provides the following order of preference when a contractor requests contract financing, unless an exception would be in the Government's interest in a specific case:
 - 1. Private financing without Government guarantee (note, however, that the intent is not to require private financing at unreasonable terms or from other agencies);
 - 2. Customary contract financing (*see* RFO FAR 32.113);
 - 3. Loan guarantees;
 - 4. Unusual contract financing (*see* RFO FAR 32.114); and
 - 5. Advance payments (*see* exceptions at RFO FAR 32.402(b)).
- F. Payment Requirements. Payments are based on receipt of a proper invoice or contract financing request, and satisfactory contract performance. RFO FAR 32.905(a); RFO FAR 32.007.
- G. Invoice Payment Due Date. The due date for making an invoice payment is prescribed in RFO FAR 32.906. Government acceptance of supplies or services or receipt by the designated billing office of a proper invoice, whichever is later, triggers the time period for calculation of prompt payment. *See* RFO FAR 32.904(b). Failure of the Government to timely pay the contractor will automatically result in the payment of interest, without request of the contractor, when all of the conditions found in RFO FAR 32.907(a) have been met.
- H. Financing Payment Due Date. The due date for making a contract financing payment is prescribed in RFO FAR 32.007. Generally, the due date for contract financing payments is 30 days from date of receipt by the designated payment office of a proper payment request. Failure of the Government to make a contract financing payment by the due date does not normally entitle the contractor to interest. RFO FAR 32.007. Although late payment can be a defense to a default termination, the contractor will succeed in appealing a default termination of a contract only if the late payment rendered appellant financially incapable of continuing performance, was the primary or controlling cause of the default, or

was a material rather than insubstantial or immaterial breach. *See Jones Oil Company*, ASBCA No. 42651, 98-1 BCA ¶ 29,691; *A-Greater New Jersey Movers, Inc.*, ASBCA No. 54745, 06-1 BCA ¶ 33179.

IV. CONTRACT PAYMENT METHODS.

41 U.S.C. § 4502; 10 U.S.C. §§ 3801-3808; RFO FAR Part 32. RFO FAR Part 32 draws a distinction between contract payments for commercial products and services and noncommercial products and services. Commercial product is defined at RFO FAR 2.101, and includes items or services that have been offered for sale, lease, or license to the general public.¹

- A. Non-Commercial Contract Payments. RFO FAR 32.1. Payment methods for non-commercial products or services include: partial payments, advance payments, progress payments, loan guarantees, provisional delivery payments, and performance-based payments.
 - 1. Partial Payments.
 - a. Partial payments are payments made under fixed-price contracts for supplies or services that are accepted by the government but are only part of the contract requirements. RFO FAR 32.102(d).
 - b. Although partial payments are generally treated as a method of payment and not as a method of contract financing, using partial payments can help contractors participate in government contracts without, or with minimal, contract financing. When appropriate, contract work statements and pricing agreements must permit acceptance and payment of discrete portions of work, as soon as accepted. RFO FAR 32.102(d).
 - c. RFO FAR 52.232-1 provides that unless otherwise specified in the contract, the government must make payment under fixed-price contracts when it accepts partial deliveries if:
 - (1) The amount due on the deliveries warrants it; or
 - (2) The contractor requests payment and the amount due on partial deliveries is at least \$1,000 or 50% of the total contract price.
 - 2. Advance Payments. RFO FAR Subpart 32.4; RFO FAR 52.232-12, Advance Payments.

¹ *See* Contract Attorney's Deskbook, Chapter 11, *Commercial Items*, for more detailed discussion on the definitions of commercial products and commercial services.

- a. Advance payments are advances of money by the government to a prime contractor before, in anticipation of, and for the purpose of complete performance under one or more contracts. They are expected to be liquidated from payments due to the contractor incident to performance of the contract. Advance payments may be made to a prime contractor for the purpose of making advances to subcontractors. RFO FAR 32.102(a).
- b. This is the least preferred method of contract financing. RFO FAR 32.106(e).
- c. Requirements. RFO FAR 32.402(c).
 - (1) The contractor must give adequate security.
 - (2) Advance payments cannot exceed the unpaid contract price.
 - (3) The agency head or designee must determine that advance payment is in the public interest or facilitates the national defense.
- d. According to RFO FAR 32.402(c)(2), the agency head designee findings for advance payment include²:
 - (1) Advance payment will not exceed the contractor's interim cash needs based on:
 - (a) Analysis of the cash flow required for contract performance;
 - (b) Consideration of the reimbursement or other payment cycle; and
 - (c) To the extent possible, employment of the contractor's own working capital.
 - (2) Advance payment is necessary to supplement other funds or credit available to a contractor.

² In the Army, the Assistant Secretary of the Army (Acquisition, Logistics and Technology) is the approval authority on a non-delegable basis. The Secretary of the Army, on a non-delegable basis, shall make the determination that the advance payment facilitates the national defense as described at RFO FAR 32.402(c)(1)(iii)(B). See ARFO FARS 5132.402. In the Air Force, the contracting officer must submit each advance payment request through the MAJCOM to SAF/ACQ for submission to SAF/FMPA for approval. See AFRFO FARS 5332.402.

- (3) The recipient is otherwise qualified as a responsible contractor.
 - (4) The government will benefit or there are other practical advantages.
 - (5) The case fits one or more of the categories described in RFO FAR 32.403.
 - e. Advance payments can be authorized in addition to progress or partial payments on the same contract. RFO FAR 32.402(d).
 - f. Advance payments may be appropriate for the following (RFO FAR 32.403):
 - (1) Contracts for experimental, research, or development projects with nonprofit education or research institutions.
 - (2) Contracts solely for management and operation of Government-owned plants.
 - (3) Contracts for acquisition, at cost, of property for Government ownership.
 - (4) Contracts of such highly classified nature that assignment of claim is undesirable for national security reasons.
 - (5) Contracts with financially weak contractors with essential technical ability. In such a case, contractor performance shall be closely monitored to reduce the Government's financial risk.
 - (6) Contracts for which a loan by a private financial institution is not practicable.
 - (7) Contracts with small business concerns.
 - (8) Contracts where exceptional circumstances make advance payments the most advantageous contract financing method for both the contractor and the Government.
 - g. When advance payments are used, the Advance Payments clause in RFO FAR 52.232-12 is required. RFO FAR 32.412.
- 3. Progress Payments. There are two types of progress payments: those based on costs incurred and those based on the stage of completion of the contracted work.

- a. Costs Incurred. Progress payments can be made on the basis of costs incurred by the contractor as work progresses under the contract. RFO FAR Subpart 32.5; RFO FAR 52.232-16, Progress Payments.
- (1) Unless otherwise provided for in agency regulations, the contracting officer shall not provide for progress payments to a large business if the contract amount is less than \$3.5 million or to a small business if the contract amount is less than the simplified acquisition threshold (currently \$250,000, except in special circumstances such as disaster or humanitarian relief). RFO FAR 32.104(d)(2)-(3).
 - (2) Subject to the dollar thresholds, a contracting officer may provide for progress payments if the contractor must expend money during the predelivery period that will have a “significant impact” on its working capital, and there is a substantial time from contract inception to delivery (six months for a large business and four months for a small business). RFO FAR 32.104(d)(1).
 - (3) As part of a request for progress payments, a contractor may include the full amount of commercial product or commercial service purchase financing payments, performance-based payments, or progress payments due to subcontractors as progress payments, whether paid or unpaid, provided that unpaid amounts are limited to amounts determined due under the contract and subcontracts and that the contractor will pay 1) in accordance with the terms and conditions of the subcontract or invoice; and 2) ordinarily within 30 days of the submission of the contractor’s payment request to the Government. RFO FAR 32.504(b).
 - (4) Progress payments made under indefinite-delivery contracts should be administered under each individual order as if the order constituted a separate contract, unless agency procedures provide otherwise. RFO FAR 32.503-5(c). But see Aydin Corp. v. Widnall, 61 F.3d 1571, 1577-78 (Fed. Cir. 1995)(contractor entitled to administrative and production costs incurred to implement cost segregation requirements imposed by the contracting officer, where DFARS clause provided for progress payments based on cumulative total costs of the contract).

- b. Percentage or Stage of Contract Completion. Progress payments also can be based on a percentage or stage of contract completion, if authorized by agency procedures. RFO FAR 32.102(e)(1) Use of this type of progress payment is subject to the following restrictions:
 - (1) DFARS 232.102 provides that these types of progress payments are only authorized for construction, shipbuilding and ship conversion, alteration, or repair contracts.
 - (2) The agency must ensure that payments are commensurate with the work accomplished. Greenhut Constr. Co., ASBCA No. 41777, 93-1 BCA ¶ 25,374 (after hurricane damaged previously completed construction work, Navy was entitled to review the work and pay only the amount representing satisfactorily completed work).
 - (3) Under undefinitized contract actions, such payments cannot exceed 80% of the eligible costs of work accomplished. RFO FAR 32.501-1(d).
- 4. Customary progress payments. Customary progress payments are those made under the general guidance in this subpart, using the customary progress payment rate, the cost base, and frequency of payment established in the Progress Payments clause, and either the ordinary liquidation method or the alternate method as provided in subsections 32.503-8 and 32.503-9. RFO FAR 32.501; *see also* RFO FAR 32.501-1 and RFO FAR 32.502-1.
 - a. The RFO FAR provides that the customary amount is 80% for large businesses and 85% for small businesses. RFO FAR 32.501-1(a).
 - b. The DFARS currently provides for a customary uniform progress payment rate of 80% for large business, 90% for small business. DFARS 232.501-1(a). *But see* Class Deviation 2020-O0010, Rev. 1, which provides for 90% for large businesses & 95% for small businesses.
 - (1) Unusual progress payments. Unusual progress payments are any payment that does not meet the definition of a “customary progress payment.” RFO FAR 32.501.
 - (a) Contracting officers may provide unusual progress payments only if:

- (i) Contract necessitates pre-delivery expenditures that are large in relation to the contractor's working capital and credit (RFO FAR 32.501-2(a)(1));
 - (ii) Contractor fully documents an actual need to supplement private financing available (RFO FAR 32.501-2(a)(2));
 - (iii) Contractor's request is approved by the head of the contracting activity or designee (RFO FAR 32.501-2(a)(3)); and
 - (iv) Approval is received from the Contract finance office. RFO FAR 32.502-2.
- (b)** DoW requires advance approval of the Director of Defense Procurement & Acquisition Policy, Office of the Under Secretary of Defense (Acquisition, Technology, and Logistics) (OUSD(AT&L)DPAP) for any "unusual" progress payment requests. DFARS 232.501-2; DFARS PGI 232.501-2.
- (c)** In accordance with ARFO FARS 5132.501-2, Unusual Progress Payments, Requests for approval of unusual progress payments must include the following documentation from the contractor:
- (i) Monthly cash flow forecasts for the period, which include the additional financing.
 - (ii) Estimated profit and loss statements and balance sheets for the same period as the cash flow forecast.
 - (iii) The most recent, audited financial statements.
 - (iv) A description of significant events before or after preparation of financial statements that materially affect the financial condition of the company, the operating statement, or the cash flow statement.

5. Loan Guarantees.

- a. *Guaranteed loan* or “V loan” means a loan, revolving credit fund, or other financial arrangement made pursuant to Regulation V of the Federal Reserve Board, under which the guaranteeing agency is obligated, on demand of the lender, to purchase a stated percentage of the loan and to share any losses in the amount of the guaranteed percentage. RFO FAR 32.301.
 - b. RFO FAR Subpart 32.3 prescribes policies and procedures for designated agencies’ guarantees of loans made by private financial institutions to borrowers performing contracts related to national defense.
 - c. While RFO FAR 32.106 states that guaranteed loans are a preferred form of financing over unusual contract financing and advance payments, the use of guaranteed loans requires the availability of certain congressional authority. The DoW has not requested such authority in recent years, and none is now available. DFARS 232.302.
6. Unusual Contract Financing.
- a. Any contract financing arrangement that deviates from this part is unusual contract financing. RFO FAR 32.114.
 - b. The Director, Defense Procurement and Acquisition Policy, on a non-delegable basis, shall approve actions as stated in RFO FAR 32.114 and DFARS 201.402(1)(vi). AFARS 5132.114, Unusual Contract Financing.
7. Provisional Delivery Payments. DFARS 232.102-70.
- a. The contracting officer may establish provisional delivery payments to pay contractors for the costs of supplies and services delivered to and accepted by the government under the following contract actions, if undefinitized:
 - (1) Letter contracts contemplating a fixed-price contract;
 - (2) Orders under basic ordering agreements;
 - (3) Spares provisioning documents annexed to contracts;
 - (4) Unpriced equitable adjustments on fixed-price contracts;
and
 - (5) Orders under indefinite delivery contracts.

- b. Provisional delivery payments shall be: used sparingly, priced conservatively, and reduced by liquidating previous progress payments in accordance with the Progress Payments clause.
 - c. Provisional delivery payments shall not include profit, exceed funds obligated for the undefinitized contract action, or influence the definitized contract price.
- 8. **Performance-Based Payments.**³ **Performance-based payments are the preferred financing method** when the contracting officer finds its use practical and the contractor agrees to its use.⁴ RFO FAR 32.1001(a). However, in 2003, the DoW IG reported that DoW failed to adequately administer performance-based payments on 43 of 67 reviewed contracts. Additionally, the DoW IG found that “\$4.1 billion of the \$5.5 billion in performance-based payments lacked adequate documentation to ensure the payments were for demonstrated performance.”⁵ Again, in 2013 the DoW IG noted necessary improvements in the award and administration of performance based contracts to include: improvements to the evaluation and negotiation of event schedules; better information in contracts (e.g., contracting personnel excluded required administrative information, better quality of event schedules); and contracting personnel should verify whether contractors actually needed financing, which may have resulted in the DoW incurring unnecessary costs and not receiving adequate consideration.⁶
 - a. Performance-based payments may be made either on a whole contract or on a deliverable item basis, unless otherwise prescribed by agency regulations. RFO FAR 32.1004.
 - (1) Financing payments made on a whole contract basis apply to the entire contract.

³ As part of the Better Buying Power initiative, <http://bbp.dau.mil/>, DPAP published a Performance Based Payments Guide in 2014, available at: [https://www.acq.osd.mil/asda/dpc/pcf/docs/resources-training/Performance_Based_Payment_\(PBP\)_Guide.pdf](https://www.acq.osd.mil/asda/dpc/pcf/docs/resources-training/Performance_Based_Payment_(PBP)_Guide.pdf) (last visited 12 July 2025).

⁴ The DoW amended the rules related to performance-based payments under DFARS Case 2019 D001, Federal Register Number 2020-06728 to implement section 831 of the National Defense Authorization Act for Fiscal Year 2017. This change makes performance-based payments the mandatory form of contract financing whenever practicable. As of 14 June 2021, this DFARS Case is still open.

⁵ OFFICE OF THE INSPECTOR GENERAL OF THE DEP’T OF DEFENSE, REP. NO. D-2003-106, *Administration of Performance-Based Payments Made to Defense Contractors*, 25 June 2003, <https://media.defense.gov/2003/Jun/25/2001713235/-1/-1/1/03-106.pdf> (last visited 30 May 2022).

⁶ OFFICE OF THE INSPECTOR GENERAL OF THE DEP’T OF DEFENSE REP. NO. DODIG-2013-063, *Award and Administration of Performance-Based Payments in DoD Contracts*, 8 April 2013, <https://media.defense.gov/2013/Apr/08/2001712821/-1/-1/1/DODIG-2013-063.pdf>.

- (2) Financing payments made on a deliverable item basis apply to a specific deliverable item.
 - b. Performance-based payments may not exceed 90 percent of the contract price if on a whole contract basis, or 90 percent of the delivery item price if on a delivery item basis. RFO FAR 32.1004(b)(2).
 - c. The payments may be made on any of the following bases (RFO FAR 32.1002):
 - (1) Performance measured by objective, quantifiable methods;
 - (2) Accomplishment of defined events; or
 - (3) Other quantifiable measures of results.
 - d. Performance-based payments are contract financing payments and are NOT used as payment for accepted items. RFO FAR 32.1001(b).
 - e. The contracting officer may use performance-based payments only when: the contracting officer and the offeror agree on the performance-based payment terms, the contract is a definitized fixed-price type contract, and the contract does not provide for progress payments. RFO FAR 32.1003.
 - f. RFO FAR 32.1001(e) provides that performance-based payments are not used in the following instances:
 - (1) Payments under cost-reimbursement contracts.
 - (2) Contracts for architect-engineer services or construction, or for shipbuilding or ship conversion, alteration, or repair, when the contracts provide for progress payments based on a percentage or stage of completion.
 - (3) Contracts awarded through sealed bid procedures.
 - g. Contracting officers should review DFARS 232.1004 and 232.1005-70, Solicitation Provisions and Contract Clauses, to include in solicitations and contract that include performance-based payments.
- B. Commercial Products and Commercial Services. 41 U.S.C. § 4505; RFO FAR 32.2.

1. General Rule. Although financing of the contract is normally the contractor's responsibility, in some markets, the provision of financing by the buyer is a commercial practice. The contracting officer may include financing terms in contracts for commercial purchases when such terms are customary in the commercial marketplace and in the best interests of the government. 10 U.S.C. § 3805; 41 U.S.C. § 4505; RFO FAR 32.202-1.
2. Types of Payments. RFO FAR 32.202-2:
 - a. Commercial advance payment.
 - (1) Payments made before any performance of work.
 - (2) Limited to 15% of contract price.
 - (3) Not subject to Prompt Payment Act interest.
 - (4) Not subject to RFO FAR Subpart 32.4, Advance Payments for Other Than Commercial Acquisitions.
 - (5) The contracting officer shall incorporate standard prompt payment terms for commercial items contract financing to indicate payment is made on contract specified date, or 30 days after receipt by the designated billing office of a proper request for payment, whichever is later. DFARS 232.206(f)(i).
 - b. Commercial interim payment. RFO FAR 32.001 (Similar to Progress Payments)
 - (1) Not commercial advance payment or delivery payment.
 - (2) Payments made after some work has been done.
 - (3) Late payment is not subject to Prompt Payment Act interest penalty.
 - (4) The contracting officer shall incorporate standard prompt payment terms for commercial items contract financing to indicate payment is made on entitlement date specified in the contract, or 14 days from the receipt by the designated billing office of a proper request for payment, whichever is later. DFARS 232.206(f)(ii).
 - c. Delivery payment. RFO FAR 32.001
 - (1) Payment for accepted supplies or services.

- (2) Includes partial deliveries.
 - (3) Considered an invoice payment subject to Prompt Payment Act interest.
 - (4) The prompt payment standards for commercial delivery payments are the same as specified in RFO FAR Subpart 32.9.
- d. Installment payment financing for commercial items shall not be used for defense contracts unless market research has established that this form of contract financing is both appropriate and customary in the marketplace. When installment payment financing is used, the contracting officer shall use the ceiling percentage of contract price that is customary in the particular marketplace (not to exceed the maximum rate established in RFO FAR 52.232-30). DFARS 232.206(g).
- 3. Prerequisites. RFO FAR 32.202-1. Commercial item purchase financing, consisting of either interim payments or advance payments, may be made under the following circumstances:
 - a. The item financed is a commercial supply or service;
 - b. The contract price exceeds the simplified acquisition threshold;
 - c. The contracting officer determines that it is appropriate/customary in the commercial marketplace to make financing payments for the item;
 - d. This form of contract financing is in the best interest of the government. To help make this determination, the RFO FAR authorizes agencies to establish standards, such as type of procurement, type of item, or dollar level. RFO FAR 32.202-1(e);
 - e. Adequate security is obtained from the contractor. *See* RFO FAR 32.202-4;
 - (1) Subject to agency regulations, the contracting officer may determine the offeror's financial condition to be adequate security provided the offeror agrees to provide additional security should that financial condition become inadequate as security. DFARS 232.202-4 states that an offeror's financial condition may be sufficient to make the contractor responsible for award purposes, but not be adequate security for commercial contract financing.

- (2) Types of Security.
 - (a) Paramount lien.
 - (b) Irrevocable letters of credit.
 - (c) Surety bond.
 - (d) Guarantee of repayment from a person or corporation of demonstrated liquid net worth connected by significant ownership to the contractor.
 - (e) Title to contractor assets of adequate worth.
 - (f) Other assets as described in RFO FAR 28.203-2, RFO FAR 28.203-3, and RFO FAR 28.204. *See* RFO FAR 32.202-4.
- (3) The value of the security must be at least equal to the maximum unliquidated amount of contract financing payments to be made to the contractor. The value of security may be adjusted during contract performance as long as it is always equal to or greater than the amount of unliquidated financing. RFO FAR 32.202-4(a)(3).
- f. Prior to any performance of work under the contract, the aggregate of payments made prior to the start of contract performance shall not exceed 15% of the contract price.
- g. The contract is awarded on the basis of competitive procedures or, if only one offer is solicited, adequate consideration is obtained if the financing is expected to be substantially more advantageous to the offeror than the offeror's normal method of customer financing; and
- h. The contracting officer obtains concurrence from the payment office concerning liquidation provisions when required by RFO FAR 32.206(e) – if liquidation is on a whole contract basis, and the contracting officer does not use a uniform liquidation percentage as the liquidation method (unless agency regulations provide alternative liquidation methods).
- C. Progress Payments on Construction Contracts. RFO FAR 32.103; RFO FAR 52.232-5; Payments Under Fixed-Price Construction Contracts.

1. When a construction contract provides for progress payments and the contractor fails to achieve satisfactory performance for a period for which a progress payment is to be paid, the government may retain a percentage of the progress payment. This decision must be based upon the contracting officer's assessment of past performance and the likelihood that such performance will continue, and the retainage shall not exceed 10 percent of the progress payment. RFO FAR 32.103.
2. The entitlement to progress payments is not absolute and requires compliance with the contract and relevant regulations. Webb Electric Co. of Florida, Inc., ASBCA No. 40557, 93-2 BCA ¶ 25,715; The Davis Group, Inc., ASBCA No. 48431, 95-2 BCA ¶ 27,702.

V. THE PROMPT PAYMENT ACT.

A. Applicability of the Prompt Payment Act (PPA).

1. Background.
 - a. Prior to enactment of the Prompt Payment Act of 1982 (Pub. Law No. 97-177), the Federal government did not have uniform criteria for establishing due dates for payments to contractors.
 - b. Many invoices were paid too early or too late. The General Accounting Office (GAO) estimated that contractors were losing at least \$150 million annually due to late payments, and the Federal Government could save at least \$900 million annually if payments that had been paid early had instead been paid when due.⁷
 - c. To address these concerns, the PPA and implementing guidance and regulations issued by the Office of Management and Budget (OMB) provided for payment due dates and interest penalties for late payments. 31 U.S.C. §§ 3901-3907; 5 CFR Part 1315.
 - d. The PPA provides that interest shall be paid for the period beginning on the day after the required payment date and ending on the date on which payment is made. 31 U.S.C. § 3902(b); 5 CFR Part 1315.10(a)(1).
2. Coverage.
 - a. The PPA applies to all government contracts except for contracts where payment terms and late payment penalties have been

⁷ Actions to Improve Timeliness of Bill Paying by the Federal Government Could Save Hundreds of Millions of Dollars, (AFMD-82-1, Oct. 1, 1981).

established by other governmental authority (e.g., tariffs). RFO FAR 32.901. See Prompt Payment Act Interest on Utility Bills, B-214479, Sept. 22, 1986, 1986 U.S. Comp. Gen. LEXIS 497. See also National Park Service—Late Payment Charges for Utility Services, B-222944, Oct. 23, 1987, 1987 U.S. Comp. Gen. LEXIS 316 (holding that elements of implied contract governed payment terms with private, unregulated utility company).

- b. The PPA applies to all government agencies.
 - c. RFO FAR 32.901 places no geographical limitations on applicability of the PPA's procedural requirements. Ingenieurgesellschaft Fuer Technische Dienste, ASBCA No. 42029, 42030, 94-1 BCA ¶ 26,569.
 - d. Except for RFO FAR 32.908, RFO FAR subpart 32.9, Prompt Payment, does not apply to the DoW when:
 - (1) There is: (A) An emergency, as defined in the Disaster Relief Act of 1974; (B) A contingency operation (see RFO FAR 2.101(b)); or (C) The release or threatened release of hazardous substances (as defined in 4 U.S.C. 9606, section 106);
 - (2) The head of the contracting activity has made a determination, after consultation with the cognizant comptroller, that conditions exist that limit normal business operations [*See ARFO FARS Appendix GG for further delegation*]; and
 - (3) Payments will be made in the operational area or made contingent upon receiving supporting documentation (i.e., contract, invoice, and receiving report) from the operational area. DFARS 232.901.
3. In analyzing whether the contractor is entitled to PPA interest, the government must determine that:
- a. PPA applies to the payment (*see* 5 CFR Part 1315.1; RFO FAR 32.901),
 - b. Invoice is proper (*see* RFO FAR 32.905(b)(1)),
 - c. Government has accepted the supplies or services (*see* RFO FAR 32.904), and
 - d. Government has paid the invoice late (*see* RFO FAR 32.904).

4. Applicability to Types of Payments. The PPA applies to invoice payments (i.e., payments made for supplies or services accepted by the government). RFO FAR 32.901(a). For purposes of applying the PPA, invoice payments include (RFO FAR 32.001):
 - a. Payment for supplies or services accepted by the Government.
 - b. Payments for partial deliveries accepted by the Government under fixed-price contracts.
 - c. Final cost or fee payments where the Government and the contractor have settled the amounts owed.
 - d. Progress payments under fixed-price architect-engineer contracts. RFO FAR 52.232-10
 - e. Progress payments under fixed-price construction contracts. RFO FAR 52.232-5
 - f. Interim payments on cost-reimbursement service contracts.⁸
 5. The PPA does not apply to contract financing payments. RFO FAR 32.901(b). For purposes of applying the PPA, contract financing payments include (RFO FAR 32.001):
 - a. Advance payments.
 - b. Progress payments based on cost.
 - c. Progress payments based on percentage or stage of completion (except for those made under the fixed-price construction and fixed-price architect-engineer payments clauses noted above).
 6. The PPA does not require payment of interest when payment is not made because of a dispute over the amount of payment due or compliance with the contract. Active Fire Sprinkler Corp. v General Servs. Admin., GSBCA No. 15318, 01-2 BCA ¶ 31521; *see also* RFO FAR 32.907(a).
- B. Invoice Payment Procedures.
1. Proper invoice required. One of the two PPA triggers is receipt of a proper invoice. RFO FAR 32.904(b)(1)(i). Invoice means a contractor's bill or

⁸ RFO FAR 32.907 imposes an interest penalty on interim payments on cost-reimbursement contracts for services, when such payment is made more than 30 days after the designated billing office receives a proper invoice.

written request for payment under the contract for supplies delivered or services performed. RFO FAR 2.101.

- a. Under RFO FAR 32.905(b), a proper invoice must include:
 - (1) Name and address of contractor.
 - (2) Invoice date and invoice number.
 - (3) Contract number or other authorization (e.g., order number or line item number).
 - (4) Description, quantity, unit of measure, unit price, and extended price of supplies delivered or services performed.
 - (5) Shipping and payment terms (e.g., shipping number and date of shipment).
 - (6) Name and address of contractor official to whom payment is to be sent (must be the same as that in the contract or in a proper notice of assignment).
 - (7) Name, title, telephone number, and mailing address of person to notify if the invoice is defective.
 - (8) Taxpayer Identification Number (if required by agency procedures).
 - (9) EFT Information (if required by agency procedures).
 - (10) Any other information or documentation required by the contract, (e.g., evidence of shipment).
- b. Notice of defective invoice. The government must notify the contractor of any defective invoice within 7 days (3 days for meat, meat food products, and fish; 5 days for perishable agricultural commodities, dairy, and edible fats or oils) after receipt of the invoice at the designated payment office. The notice should include a statement identifying the defect in the invoice. RFO FAR 32.905(b)(3).
 - (1) If such notice is not timely, an adjusted due date for purposes of determining an interest penalty will be established in accordance with RFO FAR 32.905(b)(3).
 - (2) DoD FMR, Vol. 10, Ch. 7, 2.3.2.1, "Notice of Improper Invoice," says that if a DoW Component fails to provide

notification of an improper invoice within the prescribed timeframes, the computation of the payment due date will be affected, in that the number of days allowed for payment of the corrected proper invoice will be reduced by the number of days delayed beyond the allowable invoice return notification requirement. For example, a typical invoice payable in 30 days is returned as improper on the 11th day after receipt, minus 7 days allowed, equaling a 4-day delay and reducing the payment due date of the corrected/resubmitted invoice by 4 days. As a result of the 4-day delay, the corrected invoice is now payable in 26 days upon receipt before interest begins to accrue. In accordance with RFO FAR 32.906(b)(4), if a designated activity erroneously rejects a proper invoice, then the original invoice receipt date will be used to compute the payment due date and any interest penalties due.

- (3) The contractor will not be entitled to PPA interest for late payment, despite the agency's failure to notify the contractor of a defective invoice, if the contractor knew that its invoice was defective. Masco, Inc., HUDBCA No. 95-G-147-C16, 96-2 BCA ¶ 28364 (contractor knew that invoiced work had not yet been completed).

c. Authorization to Pay. Supporting documentation is required for authorization of payment. RFO FAR 32.905(c).

- (1) A receiving report or some other government document authorizing payment must support all invoice payments. The receiving report or other documentation authorizing payment must, at a minimum include the following:
 - (a) Contract number of other authorization for the supplies delivered or services performed.
 - (b) Description of supplies delivered or services performed.
 - (c) Quantities of supplies received and accepted or services performed.
 - (d) Date of supplies delivered or serviced performed.
 - (e) Date the designated Government official –
 - (i) Accepted the supplies or services; or

- (ii) Approved the progress payment request, if the request is being made under RFO FAR 52-232-5, Payments Under Fixed-Price Construction Contracts, or RFO FAR 52.232-10, Payments Under Fixed-Price Architect-Engineer Contracts
 - (f) Signature, printed name, title, mailing address, and telephone number of designated Government official responsible for acceptance or approval functions.
 - (2) The designated billing office must immediately annotate the invoice with the actual date it receives the invoice. RFO FAR 32.905(d).
 - (3) The designated payment office will annotate the invoice and receiving report with the actual date it receives the invoice. RFO FAR 32.905(e).
2. Payment due date. RFO FAR 32.904(b) provides the payment due date for invoice payments (not including architect-engineer, construction, or food and specified item contracts) is the later of two events:
- a. The 30th day after the designated billing office receives a proper invoice; or
 - b. The 30th day after government acceptance of supplies delivered or services performed by the contractor.
 - (1) On a final invoice where the payment amount is subject to contract settlement actions, acceptance occurs on the effective date of the settlement.
 - (2) For the sole purpose of computing an interest penalty:
 - (a) Government acceptance occurs constructively on the seventh day after the contractor has delivered the supplies or performed the services, unless there is a disagreement over quantity, quality, or contractor compliance with a contract requirement;
 - (b) If actual acceptance occurs within the constructive acceptance period, the Government must base the determination of an interest penalty on the actual date of acceptance;

- (c) The constructive acceptance requirement does not compel Government officials to accept supplies or services, perform contract administration functions, or make payment prior to fulfilling their responsibilities; and
 - (d) Except for commercial product or commercial service, the contracting officer may specify a longer period for constructive acceptance. This is normally to afford the government a reasonable opportunity to inspect and test the supplies furnished or to evaluate the services performed, but cannot be used as a routine agency practice and must be used only when necessary to permit proper Government inspection or testing of the services/supplies. The contract file must indicate the justification for extending the constructive acceptance period beyond 7 days. Extended acceptance periods must not be a routine agency practice and must be used only when necessary to permit proper Government inspection and testing of the supplies delivered or services performed.
 - c. Special payment periods. The payment due date on contracts for perishable agricultural commodities is shorter (meat, 7 days after product delivery; fish, 7 days after product delivery; perishable agricultural commodities, 10 days after product delivery; dairy, 10 days after a proper invoice is received). RFO FAR 32.904(f).
 - d. It is DoW policy to assist small, disadvantaged businesses by paying them as quickly as possible after receipt of a proper invoice, and before normal payment due dates in the contract. This policy does not alter the payment due date for purposes of the Prompt Payment Act. DFARS 232.903 (DoW policy is to assist small business concerns by paying them as quickly as possible after invoices and all proper documentation, including acceptance, are received and before normal payment due dates established in the contract; *see also* DoW Class Deviation 2014-O0015, "Update to Accelerated Payments to Small Businesses," *see also* Memorandum, The Office of Management and Budget, for the Heads of Executive Departments and Agencies, subject: Providing Prompt Payment to Small Business Subcontractors (11 July 2012).
3. Interest penalty for late payment. The government incurs an interest penalty for late invoice payment, including late payment of progress payments under fixed-price architect-engineering contracts and fixed-price

construction contracts, and interim cost-reimbursement for services. The interest penalty accrues automatically when the government pays the contractor after the contract payment due date. Interest penalties will not accrue for more than one year. *See* RFO FAR 32.907 and 5 CFR §1315.10(a)(3).

- a. Automatic payment. The interest penalty accrues automatically and must be paid by the government without request by the contractor. The government must pay any interest penalty of \$1 or more.⁹ RFO FAR 32.907.
- b. The interest penalty is not excused by temporary unavailability of funds. RFO FAR 32.907(f).
- c. Late payment penalty in addition to interest penalty.
 - (1) The contractor is entitled to a penalty payment if the contractor is owed an interest penalty of \$1 or more, the agency fails to make a required interest penalty payment within 10 days after the date the invoice amount is paid, and the contractor makes a written demand for the penalty postmarked within 40 days after the payment was made. RFO FAR 32.907(c).
 - (2) The penalty upon penalty amount is 100% of the interest penalty owed the contractor, not to exceed \$5,000, nor be less than \$25. 5 CFR §1315.11(b) & (c).

4. Contract Disputes Act Interest Distinguished from Prompt Payment Act Interest.

- a. Under the CDA, the government pays interest on amounts found to be due to a contractor on claims submitted to the contracting officer. Such CDA interest accrues from the date the contracting officer receives a proper claim until payment of the amount due on the claim. RFO FAR 33.208. 41 U.S.C. § 7109. See Paragon Energy Corp., ENG BCA No. 5302, 91-3 BCA ¶ 24,349 (payment of CDA claim presumed to include interest).
- b. PPA and CDA interest is based on the rate established by the Secretary of the Treasury and published in the Federal Register.

⁹ The Defense Finance and Accounting Service (DFAS) has expressed concern that the costs of making such small payments may not justify the payments. In FY 1996, DFAS Columbus made 10,789 interest payments—about one quarter of all interest payments--totaling \$28,701. DFAS regulations require documentation of the reason for the late payment, and in one case a \$1.05 payment was supported with nine pages of documentation. Financial Management: The Prompt Payment Act and DoD Problem Disbursements (GAO/AIMD-97-71, May 23, 1997).

31 U.S.C. § 3902 and 41 U.S.C. § 7109.¹⁰ Under the CDA, the government pays simple interest and adjusts the rate every six months in accordance with the current Treasury rate. In contrast, PPA interest is compounded and is not adjusted during the one-year accrual period.

- c. If a contractor files a claim under the CDA for PPA interest, interest will run under the PPA until government receipt of the claim, after which CDA interest will apply. Technocratica, ASBCA No. 44444, 94-1 BCA ¶ 26,584.

C. Fixed-Price Construction Contracts.

1. The government must pay interest on approved construction contract progress payments that remain unpaid for more than 14 days after the designated billing office receives a proper payment request. RFO FAR 32.904(d).
2. Similarly, the contractor must pay interest on unearned progress payments, *e.g.*, when the contractor's performance for which progress payments are made does not conform to contract terms. RFO FAR 32.904(d)(4)(i). RFO FAR 52.232-5(d), Payments under Fixed-Price Construction Contracts.
3. The government must pay interest on any retained amount that is approved for release if the government does not pay the retained amount to the contractor by the 30th day (unless specified otherwise in contract) after release. RFO FAR 32.904(d)(1)(ii).
4. Interest penalties are not required on payment delays due to disagreement between the parties over the payment amount or other issues involving contract compliance. RFO FAR 32.907(d). Claims involving disputes and any interest thereon will be resolved in accordance with the contract's Disputes clause. RFO FAR 52.232-27(a)(4)(ii).

D. Fixed-Price Architect-Engineer Contracts. The government must pay interest penalties on approved contract progress payments that remain unpaid for more than 30 days after government approval of contractor estimates of work or services accomplished. RFO FAR 52.232-10, Payments Under Fixed-Price

¹⁰ Information concerning the interest rate is published semi-annually in the Federal Register and can also be found on the website of the Department of the Treasury, Bureau of the Fiscal Service, at: <https://www.fiscal.treasury.gov/prompt-payment/rates.html>. The rate applicable from January 2021 to June 2021 was 0.875%. The rate applicable from July 2021 through December 2021 was 1.125%. The rate from January 2022 through June 2022 was 1.625%; from July to December 2022, however, the rate jumped to 4.000%. The current rate is 4.625% (last visited on 24 June 2023).

Architect-Engineer Contracts; RFO FAR 52.232-26, Prompt Payment for Fixed-Price Architect-Engineer Contracts. RFO FAR 32.904(c).

E. Prompt Payment Discounts.

1. Discount for prompt payment means an invoice payment reduction voluntarily offered by the contractor, in conjunction with the clause at RFO FAR 52.232-8, Discounts for Prompt Payment, if payment is made by the government prior to the due date -- calculated from the date of the contractor's invoice. If the contractor has not placed a date on the invoice, the due date is calculated from the date the designated billing office receives a proper invoice, provided the agency annotates such invoice with the date of receipt at the time of receipt. When the discount date falls on a Saturday, Sunday, or legal holiday when federal government offices are closed and government business is not expected to be conducted, payment may be made on the following business day and a discount may be taken. RFO FAR 32.906(e).
2. Discounts for prompt payment cannot be considered in evaluation of offers.
3. The government may take prompt payment discounts offered by a contractor only when it makes payment within the specified discount period.¹¹
4. The PPA imposes an interest penalty on improperly taken discounts, and the agency must pay the penalty without request by the contractor. RFO FAR 32.907(b).
5. The government policy provisions at RFO FAR 32.906(a) states that the government shall not make invoice and contract financing payments earlier than 7 days prior to the dates specified in the contract unless the agency head, or designee, determines: (1) an earlier payment is warranted in a specific case; or (2) that the use of accelerated payment methods described in 5 CFR §1315.5 are necessary.

F. Waiver. A contractor may waive an interest penalty payment issued to it under the PPA either by an express written statement or by acts and conduct that indicate an intent to waive. Central Intelligence Agency - Waiver of Interest Under Prompt Payment Act, 62 Comp. Gen. 673 (1983), B-211737, CPD ¶ 475 (contractor refused to accept interest check prepared by agency).

¹¹ For a discussion on the propriety of taking a prompt payment discount for progress payments made in the normal course of contract administration, See Prompt Payment Discounts Based on Progress Payments, ARMY LAW., Aug. 1994, at 54.

VI. ELECTRONIC FUNDS TRANSFERS (EFT).

- A. Mandatory Use. Payment by EFT is the mandatory method of contract payment¹² in normal contracting situations except for the following situations listed in RFO FAR 32.1103:
1. The office making payment under a contract requiring EFT loses the ability to release payment by EFT. In such a case, the paying office shall make all the necessary payments by check or some other mutually acceptable method of payment. RFO FAR 32.1103(a).
 2. The payment will be received by or on behalf of a contractor outside the United States and Puerto Rico. RFO FAR 32.1103(b). However, the agency head may authorize EFT for a non-domestic transaction if the political, financial, and communications infrastructure in the foreign country supports EFT payment. RFO FAR 32.1106(b)(1).
 3. The payment will be paid in other than US currency. RFO FAR 32.1103(c). However, the agency head may authorize EFT if such a transaction may be made safely. RFO FAR 32.1106(b)(2).
 4. Classified contracts, where EFT payments could compromise the safeguarding of classified information or national security, or where arrangements for appropriate EFT payments would be impractical due to security considerations. RFO FAR 32.1103(d).
 5. Provided EFT is not known to be possible, or EFT payment would not support the operation's objectives, contracts executed by deployed contracting officers in the course of military operations, including but not limited to, contingency operations as defined in 10 U.S.C. § 101(a)(13), or a contract awarded during emergency operations, such as natural disasters or national or civil emergencies. RFO FAR 32.1103(e).
 6. The agency does not expect to make more than one payment to the same recipient within a one-year period. RFO FAR 32.1103(f).
 7. The agency's need for supplies and services is of such unusual and compelling urgency that the government would be seriously injured unless payment is by a method other than EFT. RFO FAR 32.1103(g).

¹² 31 USC §3332 requires use of EFT in all situations unless the agency head waives the requirement upon receipt of written certification the recipient does not have an account with a financial institution or authorized payment agent.

8. There is only one source for supplies and services and the government would be seriously injured unless payment is by a method other than EFT. RFO FAR 32.1103(h).
 9. Payment by a method other than EFT is otherwise authorized by the Department of Treasury Regulations at 31 CFR § 208. RFO FAR 32.1103(i); see 31 CFR § 208.4.
- B. Dates. RFO FAR 32.902. See also RFO FAR 52.232-33 & 34.
1. Payment Date. The date on which a check for payment is dated or, for an EFT, the settlement date.
 2. Settlement Date. As it applies to EFT, the date on which an electronic funds transfer payment is credited to the contractor's financial institution.
- C. Assignment of Claims. Using EFT payment methods is not a substitute for a properly executed assignment of claims. EFT information showing the ultimate recipient of the transfer to be other than the contractor, in the absence of a proper assignment of claims, is considered to be incorrect EFT information within the meaning of the "Suspension of Payment" paragraphs of the EFT clauses at 52.232-33 and 52.232-34. RFO FAR 32.1105.
- D. Contractor Registration. RFO FAR Subpart 4.11. RFO FAR 52.204-7.
1. Contractors provide EFT data to DoW by registering in the System for Award Management (SAM).¹³ Subject to the exceptions found in RFO FAR 4.1102(a), SAM registration is mandatory prior to award of a contract, basic agreement, basic ordering agreement, or blanket purchase agreement.
 2. Exceptions to this policy include:
 - a. Purchases under the micro-purchase threshold that use a Governmentwide commercial purchase card as both the purchasing and payment mechanism, as opposed to using the purchase card for payment only;
 - b. Classified contracts (see RFO FAR 2.101) when registration in the SAM database, or use of SAM data, could compromise the safeguarding of classified information or national security;
 - c. Contracts awarded by—

¹³ The SAM is accessible at: <https://sam.gov>.

- (1) Deployed contracting officers in the course of military operations, including, but not limited to, contingency operations as defined in 10 U.S.C. 101(a)(13) or humanitarian or peacekeeping operations as defined in 10 U.S.C. 3015;
 - (2) Contracting officers located outside the United States and its outlying areas, as defined in RFO FAR 2.101, for work to be performed in support of diplomatic or developmental operations, including those performed in support of foreign assistance programs overseas, in an area that has been designated by the Department of State as a danger pay post; or
 - (3) Contracting officers in the conduct of emergency operations, such as responses to natural or environmental disasters or national or civil emergencies, e.g., Robert T. Stafford Disaster Relief and Emergency Assistance Act (42 U.S.C. 5121);
- d. Contracts with individuals for performance outside the United States and its outlying areas;
 - e. Contracts to support unusual or compelling needs (see RFO FAR 6.302-2);
 - f. Contract actions at or below \$30,000 awarded to foreign vendors for work performed outside the United States, if it is impractical to obtain System for Award Management registration; and
 - g. Micro-purchases that do not use the electronic funds transfer (EFT) method for payment and are not required to be reported (see RFO FAR 4.6). RFO FAR 4.1102(a).
- E. Incorrect EFT Information. If the contractor's EFT information is incorrect, the Government need not make payment until the contractor supplies the correct information. Any invoice submitted under the contract is deemed not to be a proper invoice for purposes of prompt payment. RFO FAR 52.232-33(d); RFO FAR 52.232-34(d); RFO FAR 32.905(b)(ix)(B).

- F. Payment by Government Purchase Card.¹⁴ The financial institution that issued the government credit card may make immediate payment to the contractor. The government will reimburse the financial institution. RFO FAR 32.1108.¹⁵
- G. RFO FAR Clauses:
1. Unless payment will be made exclusively through the government purchase card, other third party arrangement, or pursuant to an exception in RFO FAR 32.1103, the contracting officer shall insert the clause at RFO FAR 52.232-33, Payment by Electronic Funds Transfer-System for Award Management, in all solicitations and contracts that require a contractor to be registered in the SAM database and maintain registration until final payment, unless one of the exceptions contained in RFO FAR 32.1110(a)(1) applies.
 2. The contracting officer will insert the clause at RFO FAR 52.232-34, Payment by Electronic Funds Transfer-Other than System for Award Management in all solicitations and contracts that require EFT as the method for payment, but do not require SAM registration. RFO FAR 32.1110(a)(2); RFO FAR 52.204-7.
- H. Liability for Erroneous Transfer
1. If an uncompleted or erroneous transfer occurs because the government failed to use the contractor provided EFT information in the correct manner, the government remains responsible for making a correct payment, paying any prompt penalty due, and recovering any erroneously directed funds. RFO FAR 52.232-33(e)(1); RFO FAR 52.232-34(e)(1).
 2. If an uncompleted or erroneous transfer occurs because the contractor provided incorrect EFT information or revised its EFT information within 30 days, and the funds are no longer in the control of the payment office, the government is deemed to have made payment and the contractor is solely responsible for recovery of any of the erroneously directed funds. If the funds remain under the control of the payment office, the government shall not make payment until the corrected EFT information is entered. RFO FAR 52.232-33(e)(2); RFO FAR 52.232-34(e)(2).

¹⁴ DoW requires use of the purchase card as payment for any purchase at or below the micro-purchase threshold (*see* RFO FAR 2.101). A written determination by a Senior Executive Service member, Flag Officer, or General Officer is required in certain instances where the card is not used. DFARS 213.270.

¹⁵ Written contracts to be paid by purchase card should include the clause at 52.232-36, Payment by Third Party, as prescribed by RFO FAR 32.1110(d). However, payment by a purchase card also may be made under a contract that does not contain the clause if the contractor agrees to accept the card as a method of payment. RFO FAR 32.1108(b)(1).

3. Prompt Payment Act. A payment shall be deemed to have been made in a timely manner if the EFT payment transaction instructions given to the Federal Reserve System specifies a valid date under the rules the Federal Reserve System for settlement of the payment on or before the prompt payment due date. RFO FAR 52.232-33(f); RFO FAR 52.232-34(f).

I. Wide Area Work Flow (WAWF).

Electronic submission is the only acceptable form for submission and receiving electronic payments in the DoW unless one of the exceptions contained in DFARS 232.7002(a) or DFARS 232.7003(b)(1) applies. DFARS 232.7002 and 232.7003. Wide Area Workflow (WAWF) Procurement Integrated Enterprise Environment (PIEE) combines, in a secure web-based system, electronic invoicing, receipt, and acceptance.

VII. ASSIGNMENT OF CLAIMS.

A. General Rule. A contractor may assign its right to be paid by the government for contract performance. RFO FAR 32.802.

1. Under the Assignment of Claims Act (31 U.S.C. § 3727) and RFO FAR 32.802, a contractor may assign monies due or to become due under a contract if all of the following conditions are met:
 - a. The contract specifies payments aggregating \$1,000 or more.
 - b. The contractor makes the assignment to a bank, trust company, or other financing institution, including any federal lending agency.
 - c. The contract does not prohibit the assignment (*see* RFO FAR 52.232-24; *see also* DFARS 232.803(b), which states only contract for personal services may prohibit the assignment of claims.).
 - d. Unless the contract expressly permits otherwise, the assignment:
 - (1) Covers all unpaid amounts payable under the contract;
 - (2) Is made only to one party; except that any assignment may be made to one party as agent or trustee for two or more parties participating in the financing of the contract; and
 - (3) Is not subject to further assignment.
 - e. The assignee sends a written notice of assignment together with a true copy of the assignment instrument to the:
 - (1) Contracting officer or agency head;

- (2) Surety on any bond applicable to the contract; and
 - (3) Disbursing officer designated in the contract to make payment.
 - e. *See* DFARS 232.805(b) for additional procedures for DoW.
 - 2. The provisions of the Assignment of Claims Act are construed strictly. See Summerfield Housing Limited Partnership v. United States, 42 Fed. Cl. 160 (1998).
 - 3. The DoW requires a separate Assignment of Claims clause, DFARS 252.232-7008, Assignment of Claims (Overseas), instead of the clause at RFO FAR 52.232-23, Assignment of Claims, in solicitations and contract when contract performance will be in a foreign country.
- B. Protection for the Assignee. 41 U.S.C. § 6305; RFO FAR 32.804.
- 1. Once the assignee notifies the government of the assignment, the government must pay the assignee. Payment to the contractor will not discharge the government’s obligation to pay the assignee. Tuftco Corp. v. United States, 222 Ct. Cl. 277 (1980); Capitol Indem. Corp. v. United States, 162 Fed. Cl. 388 (2022).
 - 2. The government cannot recover payments made to the assignee based on the contractor’s liability to the government. This immunity of the assignee is effective whether the contractor’s liability arises from or independently of the assigned contract. RFO FAR 32.804.
 - 3. Pursuant to 41 U.S.C. § 6305, and in accordance with the Presidential delegations by the President, the Secretary of War, and the Under Secretary of War (Acquisition, Technology, and Logistics), the Director of War Procurement has determined that, absent a determination by the contracting officer under RFO FAR 32.803(d),¹⁶ the DoW will agree to not reduce or set off any money due to become due under a contract when the proceeds have been properly assigned under the contract. DFARS 232.803(d).

¹⁶ Under RFO FAR 32.803(d), the use of the “no-setoff” provision may be appropriate to facilitate the national defense, in the event of a national emergency or natural disaster, or when the use of a “no-setoff” provision may facilitate private financing of contract performance. If the offeror is significantly indebted to the Government, this information should be used in the determination. The Assistant Secretary of the Army (Acquisition, Logistics and Technology), on a non-delegable basis, shall make the determination as described at RFO FAR 32.803(d). ARFO FAR 5132.803(d).

4. If the contract contains a no-setoff commitment clause (RFO FAR 52.232-23, Alt I), the assignee will receive contract payments free of reduction or setoff for:
 - a. Any liability of the contractor arising independent of the contract. RFO FAR 32.804(b)(1). See Bank of Amer. Nat. Trust and Sav. Ass'n v. United States, 23 F.3d 380 (Fed. Cir. 1994) (SBA loans to fund contract performance are “independent” of the contract and not subject to set-off). See also Applied Companies v. United States, 37 Fed. Cl. 749 (1997) (discussing use of no-setoff provision by assignor).
 - b. Certain liabilities arising under the same contract, such as fines, penalties, and withheld taxes (RFO FAR 32.804(b)(2)).

VIII. DEBT DETERMINATION AND COLLECTION PROCEDURES.

- A. Contract Debts are amounts that:
 1. Have been paid to a contractor to which the contractor is not currently entitled under the terms and conditions of the contract; or
 2. Are otherwise due from the contractor under the terms and conditions of the contract. RFO FAR 32.601(a).
- B. Contract Debts include, but are not limited to:
 1. Billing and price reductions resulting from contract terms for price redetermination or for determination of prices under incentive type contracts.
 2. Price or cost reductions for defective certified cost or pricing data.
 3. Financing payments determined to be in excess of the contract limitations at 52.232-16(a)(7), Progress Payments, or 52.232-32(d)(2), Performance-Based Payments, or any contract clause for commercial item financing.
 4. Increases to financing payment liquidation rates.
 5. Overpayments disclosed by quarterly statements required under price redetermination or incentive contracts.
 6. Price adjustments resulting from Cost Accounting Standards (CAS) noncompliance or changes in cost accounting practice.
 7. Reinspection costs for nonconforming supplies or services.

8. Duplicate or erroneous payments.
9. Damages or excess costs related to defaults in performance.
10. Breach of contract obligations concerning progress payments, performance-based payments, advance payments, commercial item financing, or Government-furnished property.
11. Government expense of correcting defects.
12. Overpayments related to errors in quantity or billing or deficiencies in quality.¹⁷
13. Delinquency in contractor payments due under agreements or arrangements for deferral or postponement of collections.
14. Reimbursement of amounts due under 33.102(b)(3) and 33.104(h)(8). RFO FAR 32.601(b).

C. Determination of Contractor Debt.

1. Overpayment. Contractor reconciliation of its billings to government accounting and payment data is a key procedure for identifying government overpayments.¹⁸ In 2002, Congress enacted the Improper Payments Information Act of 2002 that requires agencies to annually identify programs and activities susceptible to significant improper payments and report an annual estimate of improper payments to Congress.¹⁹
2. If the contracting officer has any indication that a contractor owes money to the government under a contract, the contracting officer is responsible for determining if an actual debt is due, the amount of debt; and if

¹⁷ The Government Accountability Office (GAO) has issued numerous reports highlighting DoW's problems concerning overpayments to contractors. In fiscal years 1994 through 1998, defense contractors returned \$4.6 billion to the Defense Finance and Accounting Center in Columbus, Ohio, due to overpayments resulting from contract administration actions and payment processing errors. See DoD Procurement: Funds Returned by Defense Contractors (GAO/NSIAD-98-46R, Oct. 28, 1997), and DoD Procurement: Millions in Overpayments Returned by DoD Contractors (GAO/NSIAD-94-106, Mar. 14, 1994). For FY 01, DFAS Columbus records revealed that DoD made approximately \$488 million in overpayments. See GEN. ACCT. OFF. REP. NO. GAO-02-635, DoD Contract Management: Overpayments Continue and Management and Accounting Issues Remain (May 30, 2002).

¹⁸ See DoD Contract Management: Greater Attention Needed to Identify and Recover Overpayments (GAO/NSIAD-99-131, July 19, 1997). In the FY 02 National Defense Authorization Act, section 831 amended Title 31 of the U.S. Code to require that the head of each executive agency establish a cost effective program for identifying payment errors and for the recovery of overpayments. Pub. L. No. 107-107, §831, 115 Stat. 1012, 1186 (2001).

¹⁹ Pub. L. No. 107-300, 116 Stat. 2350 (2002).

warranted, issuing a demand for payment. RFO FAR 32.603(a); RFO FAR 32.604(a)(1).

3. Responsibilities. RFO FAR 32.602

- a. The contracting officer has primary responsibility for identifying and demanding payment of contract debts except those resulting from errors made by the payment office. The contracting officer shall not collect contract debts or otherwise agree to liquidate contract debts (*e.g.*, offset the amount of the debt against existing unpaid bills due the contractor, or allow contractors to retain contract debts to cover amounts that may become payable in future periods).
- b. The payment office is primarily responsible for:
 - (1) Collecting debts identified by a contracting officer;
 - (2) Identifying and collecting duplicate or erroneous payments; and
 - (3) Authorizing liquidation of contract debts in accordance with agency procedures. RFO FAR 32.602(b).
- c. The disbursing officer is responsible for determining the amount and collecting contract debts whenever overpayments or erroneous payments have been made. The disbursing officer also has primary responsibility when the amounts due and dates for payment are contained in the contract, and a copy of the contract has been furnished to the disbursing officer with notice to collect as amounts become due. DFARS 232.602 (See DFARS 232.603 and DFARS 232.604 for additional details regarding the debt determination and the demand for payment).

4. Debt Determination. If the contracting officer has any indication that a contractor owes money to the Government under a contract, the contracting officer shall determine promptly whether an actual debt is due and the amount. Any unnecessary delay may contribute to-

- a. Loss of timely availability of the funds to the program for which the funds were initially provided;
- b. Increased difficulty in collecting the debt; or
- c. Actual monetary loss to the Government.

5. Procedures.

- a. Subject to the exceptions found in RFO FAR 32.604(c), upon determination of a debt, the contracting officer shall issue a demand for payment. RFO FAR 32.604.²⁰
- b. A demand for payment must include:
 - (1) A description of the debt, including the debt amount;
 - (2) A distribution of the principal amount of the debt by line(s) of accounting subject to the guidance found at RFO FAR 32.604(b)(2);
 - (3) The basis for and amount of any accrued interest or penalty.
 - (4) Either:
 - (a) For debts resulting from specific contract terms (*e.g.*, debts resulting from incentive clause provisions, Quarterly Limitation on Payments Statement, Cost Accounting Standards, price reduction for defective pricing), a notification stating that payment should be made promptly, and that interest is due in accordance with the terms of the contract; or
 - (b) For all other contract debts, a notification stating that any amounts not paid within 30 days from the date of the demand for payment will bear interest.
 - (5) A statement advising the contractor—
 - (a) To contact the contracting officer if the contractor believes the debt is invalid or the amount is incorrect; and
 - (b) If the contractor agrees, to remit a check payable to the agency's payment office annotated with the contract number along with a copy of the demand for payment to the payment office identified in the

²⁰ While RFO FAR Subpart 32.6 provides guidance and procedures for determining contractor debt, the Bureau of the Fiscal Service also includes valuable resources in the publication “Managing Federal Receivables – A Guide for Managing Loans and Administrative Debt,” which includes a section on: Delinquent Debt Collection (Chapter 6), Debt Collection Strategies (Appendix 5), Documentation of Collection Activities (Appendix 6), a Sample List of Appropriate Debt Collection Practices (Appendix 7), and a Demand Letter Checklist (Appendix 8), which goes beyond the guidance provided by the RFO FAR. <https://www.fiscal.treasury.gov/files/dms/managing-federal-receivables.pdf> (Last visited 24 June 2023).

contract or as otherwise specified in the demand letter in accordance with agency procedures.

- (6) Notification that the payment office may initiate procedures, in accordance with the applicable statutory and regulatory requirements, to offset the debt against any payments otherwise due the contractor.
- (7) Notification that the debt may be subject to administrative charges in accordance with the requirements of 31 U.S.C. 3717(e) and the Debt Collection Improvement Act of 1996.
- (8) Notification that the contractor may submit a request for installment payments or deferment of collection if immediate payment is not practicable or if the amount is disputed. RFO FAR 32.604.

- c. See additional considerations at DFARS 232.603 *et. seq.* and ARFO FARS 5132.606.

D. Enforcing Government Claims-Collecting the Debt.

1. Collection methods.

- a. Voluntary Payment by the Contractor. After receiving the demand letter, the contractor may pay, arrange to defer payment, or arrange to make installment payments. Whenever possible, the DoW should collect debt in a single lump-sum payment from the debtor. DoD FMR, vol. 16., Ch. 2, 020301; DoD FMR vol. 16., Ch. 2, 020701 (Lump-sum Repayment); DoD FMR vol. 16., Ch. 2, 020702 (Voluntary Repayment by Installment).
- b. Voluntary Offset. A debtor may also permit the withholding (offset) of funds payable to the debtor by the United States. DoD FMR, vol. 16., Ch. 2, 020301.
- c. Withholding. If the contractor fails to make payment within 30 days of a demand, and has failed to request deferment, the government shall initiate withholding of principal, interest, penalties, and administrative charges. RFO FAR 32.606.
- d. Administrative Offsets. The DoW maintains the authority to refer a debt for involuntary collection by administrative offset from any available funds payable to the debtor by the United States, as authorized by statute. Administrative offsets may be taken against tax refunds, retirement payments, contract payments, travel

reimbursements, and/or other Federal payments owed to the debtor. DoD FMR, vol. 16., Ch. 2, 020301.

- (1) See 31 U.S.C. § 3720 which authorizes the Internal Revenue Service (IRS) to collect certain past due and legally enforceable debts by offset against tax refunds. This is done through the Department of Treasury Offset Program (TOP) administered by the Financial Management Service's Debt Management Services. See DoD FMR, vol. 16., Ch. 2, 0211 for additional guidance concerning referral of debt to Treasury.
- (2) See DoD FMR, vol. 16., Ch. 2, 0209 for additional information for involuntary collection of debt by administrative offset.

2. Deferment of Collection. RFO FAR 32.607-2.

- a. If the contractor is not appealing the debt, the government and the contractor may agree to a debt deferment or installment payments if the contractor is unable to pay in full at once or if the contractor's operations under national defense contracts would be seriously impaired. RFO FAR 32.607(b)(1); RFO FAR 32.607-2.
- b. If the contractor is appealing the debt (see RFO FAR Part 33), suspension or delay of the collection action is not required. However, the responsible official shall consider whether deferment of the debt is advisable to avoid possible overcollection. RFO FAR 32.607-2(d).
- c. Deferment pending disposition of appeal may be granted when the contractor is a small business concern or is financially weak. RFO FAR 32.607-2(e).
- d. The government grants deferments pursuant to a written agreement. RFO FAR 32.607-2(g) specifies the necessary terms. According to RFO FAR 32.607-2(h), if the contractor's appeal of the debt determination is pending when it requests deferment, any deferment/installment agreement must provide that the contractor will:
 - (1) prosecute the appeal diligently; and
 - (2) pay the debt in full when the appeal is decided or the parties agree on the debt amount.

- e. The filing of an action under the contract's Disputes clause shall not suspend or delay collection of government claims. RFO FAR 32.607-2(a)(2).
 - 3. Any debt that is delinquent more than 180 days must be transferred to the Department of Treasury for collection. 31 U.S.C. § 3711(g)(1).
- E. Compromise Actions. Compromise is the acceptance of less than the full amount of the debt in satisfaction of the entire amount of the debt. The debtor is released from liability on the full amount of the debt if the compromise amount is paid in full. DoD FMR, Vol. 16, 021404. The approving authority for compromise actions may be DFAS, the DoW Component, DOJ, and/or Treasury depending on the amount of the debt. The referring office submitting the request must maintain supporting documentation pertaining to the request. A referring office may take no further action on debts referred for approval. DoD FMR, Vol. 16, 021401 and 021404.
- 1. For debts under \$100,000 (excluding interest), if further collection is not practicable or would cost more than the amount of the recovery, the department/agency finance office may compromise the debt, or terminate or suspend further collection action.²¹ DFARS 232.610; DoD FMR, Vol. 16, 021404. DoW Contracting officers do not possess this authority.
 - 2. For debts over \$100,000, DFAS must forward the debt to the Department of Justice (DOJ) for further action when the debt is not serviced by Department of Treasury. DoW FMR, vol. 16, 021404.
 - 3. DFAS and DoW Components cannot approve a compromise on a debt referred to DOJ for litigation unless the debt is returned to the DoW for disposition. DoD FMR, vol. 16, 021404.
- F. Funds Received from the Contractor.
- 1. Miscellaneous Receipts Statute (MRS). 31 U.S.C. § 3302(b). Most funds received from a source outside the appropriations process must be deposited in the general fund of the United States Treasury.
 - 2. Exceptions. Exceptions to the MRS are scattered throughout the United States Code and public law.

For more on the MRS and its exceptions, see Government Accountability Office, Principles of Federal Appropriations Law, vol. II, ch. 6, § E (3d Ed. 2006); Major Timothy D. Matheny, Go On, Take the Money and Run:

²¹ See DFARS PGI 232.070 for a listing of finance offices for DoW departments and agencies.

Understanding the Miscellaneous Receipts Statute and Its Exceptions,
Army Lawyer, Sep. 1997, at 31.

CHAPTER 18
CONTRACT CHANGES

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CHAPTER 18

CONTRACT CHANGES

I. INTRODUCTION

- A. Generally. Government contracts are not perfect when awarded. Furthermore, situations and the Government's needs may change after award. During performance, many changes may be required in order to fix inaccurate or defective specifications, react to newly encountered circumstances, or modify the work to ensure the contract meets the Government requirements. Any changes made to a Government contract may force a Contractor to perform additional work, increase their costs, and may require additional funding. Unfortunately, the parties do not always agree on the scope, value, or even the existence of a contract change. Contract changes account for a significant portion of contract litigation.
- B. References.
1. Federal Acquisition Regulation (FAR) parts (various), including: 11, 43, 50.1, 52.212-4, 52.233, 52.243.
 2. John Cibinic, Ralph Nash & James Nagle, Administration of Government Contracts, Ch. 4, Changes (5th Ed., 2016).
 3. Ralph C. Nash, Jr. & Steven W. Feldman, Government Contract Changes (June 2024 Update).
 4. Government Accountability Office Redbook, Chapter 5, Availability of Appropriations: Time (3d Ed.), available at <https://www.gao.gov/legal/appropriations-law-decisions/red-book/>
 5. Black's Law Dictionary, Thomson Reuters (11th Ed., 2019).
- C. Definitions.
1. **Contract Change** – A change to a contract under which a contractor is required to perform additional work. 31 U.S.C. 1553(c)(3). Put another way, any addition, subtraction, or modification of the work required under a contract made during contract performance. This is distinguished from an “amendment” which usually denotes a change to a solicitation.
 2. **Formal (Written) Contract Modification** – Any written change in the terms of a contract. FAR 2.101
 3. **Change Order** – A written order, signed by the Contracting Officer, directing the contractor to make a change that the Changes Clause

authorizes the Contracting Officer to unilaterally order. This right is solely within the Government's discretion; the contractor has neither a unilateral right to change the contract nor any entitlement to receive a change order. RFO FAR 43.301; RFO FAR 43.3; FAR 2.101

4. **Informal (Constructive) Contract Change** – Any contract change effected through other than formal means (verbally, government action, etc.). RFO FAR 43.204
5. **Unilateral Contract Change** – A contract modification executed only by the Contracting Officer. RFO FAR 43.203(b)
6. **Bilateral Contract Change** – A contract modification executed by both the Contracting Officer and the contractor after negotiations (also called a supplemental agreement). RFO FAR 43.203(a)
7. **Administrative Change** – A unilateral contract modification (in writing) that does not affect the substantive rights of the parties. RFO FAR 43.201
8. **Substantive Change** – A contract change that affects the substantive rights of the parties with regard to contract performance or compensation.
9. **Changes Clause** – A contract clause that allows the Contracting Officer to make unilateral, substantive changes to a contract, as long as the changes are within the general scope of the contract. RFO FAR 43.301
10. **In-Scope Change** – A contract change that is within the general scope of the original contract in terms of type and amount of work, period of performance, and manner of performance. *See Neil R. Gross & Co.*, B-237434, 90-1 CPD ¶ 212 at 2-3 (Feb. 23, 1990), *aff'd on reconsideration*, B-237434.2, 90-1 CPD ¶ 491 (May 22, 1990) (in-scope means there is no material difference between the modified contract and originally competed contract); *American Air Filter Co.*, 57 Comp. Gen. 567 (1978).
11. **Out-of-Scope (“Cardinal”) Change** – A contract change that is not within the general scope of the original contract in terms of type and amount of work, period of performance, and manner of performance. *Allied Materials & Equip. Co. v. United States*, 215 Ct. Cl. 406, 569 F.2d 562, 563-64 (Ct. Cl. 1978); *see also Air-A-Plane Corp. v. U.S.*, 187 Ct. Cl. 269, 408 F.2d 1030, 1032-33 (Ct. Cl. 1969).
12. **Equitable Adjustment** – A contract modification, usually to contract price, that enables a contractor to receive compensation for additional costs of performance including a reasonable profit, caused by an in-scope contract change.

13. **Request for Equitable Adjustment (REA)** – A contractor request (not a demand – see “claim” below) that the Contracting Officer adjust the contract price to provide an equitable (i.e., “fair and reasonable”) increase in contract price based on a change to contract requirements. REAs are handled under the contract’s Changes Clause.
14. **Claim** – a written demand, as a matter of right, to the payment of a sum certain or other relief. Claims are handled under the Contract Disputes Act (CDA). FAR 2.101
15. **Intrinsic Evidence** – evidence of the intent of the contracting parties found within the words of the contract (and supporting documentation).
16. **Extrinsic Evidence** – evidence external to, or not contained in, the body of a contract, but which is available from other sources such as statements by the parties and other circumstances surrounding the transaction. Black’s Law Dictionary.
17. **Latent Ambiguity** – An ambiguity that does not readily appear in the language of a document but instead arises from a collateral matter when the document’s terms are applied or executed. Black’s Law Dictionary.
18. **Patent Ambiguity** – An ambiguity that clearly appears on the face of a document, arising from the language itself. Black’s Law Dictionary.

II. AUTHORITY TO CHANGE A CONTRACT

- A. In whom the authority vests. Only the Contracting Officer, acting within his or her authority, can issue a contract change.¹ (RFO FAR 43.202(a)). This rule prohibits other government personnel from:
 1. Executing contract modifications;
 2. Acting in such a manner as to cause the contractor to believe they have authority to bind the government; or
 3. Directing or encouraging the contractor to perform work that should be the subject of a contract modification.
- B. Delegation. Some government officials, in executing their duties as delegated by the Contracting Officer, may direct contractor actions while still not improperly issuing contract changes. *See J.F. Allen Co. v. United States*, 25 Cl. Ct. 312 (1992) (directions issued by expert engineer were not contract changes because

¹ RFO FAR 43.302 contains a limited authority for Contract Administration Offices to issue “Change Orders,” unilateral contract changes pursuant to the contract’s “changes clause.” However, they may only do so upon proper delegation.

the contract specifically stated the work would be “as directed” by the government).

- C. Unauthorized Changes. Any contract change not made by the Contracting Officer is unauthorized. The Contractor bears the responsibility of immediately notifying the Contracting Officer, in writing, of the alleged change to confirm whether the government is officially ordering the change. RFO FAR 43.304

III. FORMAL CONTRACT MODIFICATIONS

- A. General. Any change executed in writing and made part of the contract file is a formal contract modification.
- B. Categories.
 - 1. Administrative. These unilateral changes are made in writing by the Contracting Officer, and do not affect the substantive rights of the parties. RFO FAR 43.201. These include, but are not limited to:
 - a. Changes to appropriations data (e.g., to update for new fiscal years);
 - b. Changing points of contact or telephone numbers.
 - 2. Substantive. These changes alter the terms and conditions of the contract in ways that affect the substantive rights of the parties by adding, deleting, or changing the work required and/or compensation authorized under the contract. These may be made unilaterally (for changes authorized by a changes clause) or bilaterally (with agreement between the two parties).
- C. Methods.
 - 1. Unilateral. The Contracting Officer may make certain changes to the contract without Contractor agreement or negotiation prior to the change. These changes include those of an administrative nature or those authorized by the changes clause in that contract and are executed using a **change order**.
 - a. **Changes clauses** provide the Contracting Officer with authority to make certain unilateral contract changes. RFO FAR 43.301. Some main changes clauses include:
 - (1) **Fixed-Price Supply Contracts** – RFO FAR 52.243-1. This clause authorizes changes to:
 - (a) Drawings, designs, or specifications when the supplies to be furnished are to be specially

manufactured for the Government in accordance with the drawings, designs, or specifications.

- (b) Method of shipment or packing.
- (c) Place of delivery.
- (2) **Services** – RFO FAR 52.243-1 ALTERNATE 1. This clause authorizes changes in:
 - (a) Description of services to be performed.
 - (b) Time of performance (i.e., hours of the day, days of the week, etc.).
 - (c) Place of performance of the services.
- (3) **Construction** – RFO FAR 52.243-4. This clause authorizes changes:
 - (a) In the specifications (including drawings and designs);
 - (b) In the method or manner of performance of the work;
 - (c) In the Government-furnished property or services; or
 - (d) Directing acceleration in the performance of the work.

b. Other Clauses Authorizing Unilateral Changes.

- (1) **Suspension of Work.** In fixed-price construction or architect-engineer contracts, the Contracting Officer may unilaterally suspend work for the convenience of the Government. However, if the delay is unreasonable, the Contractor is entitled to an adjustment of the contract price, through a contract modification, to account for added expense. Note that suspensions of work may entitle the Contractor to recover additional costs but not profit (since the work has not changed). RFO FAR 52.242-14
- (2) **Government Property Clause.** This clause gives the Contracting Officer broad power to unilaterally increase, decrease, substitute, or even withdraw government-furnished property. RFO FAR 52.245-1

- (3) **Options Clause.** These clauses give the Contracting Officer the ability to unilaterally extend the contract, or order additional supplies/services. RFO FAR 52.217-6 through RFO FAR 52.217-9
- (4) **Terminations.** The Contracting Officer can unilaterally terminate a contract for convenience or default. RFO FAR 49.5

2. **Bilateral.** As with any contract, the parties may agree to change the terms and conditions of the original contract. In such cases, the parties have actually created a supplemental agreement. In government contracting, the parties can only agree to make changes within the scope of the original contract.

- a. **Differing Site Conditions.** RFO FAR 52.236-2. Contractors “shall promptly, and before the conditions are disturbed, give a written notice to the Contracting Officer of:
 - (1) Subsurface or latent physical conditions at the site which differ materially from those indicated in this contract; or
 - (2) Unknown physical conditions at the site, of an unusual nature, which differ materially from those ordinarily encountered and generally recognized as inhering in work of the character provided for in the contract.”
- b. The Contracting Officer must then pay an equitable adjustment to account for the conditions, though only when the Contractor properly proposes the equitable adjustment. RFO FAR 52.243-5
- c. **Purpose for changes related to differing site conditions.** The court in *J.F. Shea Co. v. United States* explained, “The purposes served by the differing site conditions clause in a construction contract, which permits a contractor to seek an equitable adjustment in the contract price for a changed condition, is to prevent bidders from increasing their bid prices to protect against misfortunes resulting from unforeseen developments . . . and thus avoid turning a construction contract into a ‘gambling transaction.’” 4 Cl. Ct. 46, 50 (1983); *see also Shank-Artukovich v. United States*, 13 Cl. Ct. 346, 354-55 (1987) (finding contractor was entitled to equitable adjustment because the government only used ambiguous terms to describe the unusual physical condition it expected at the job site).
- d. **Other In-Scope Changes.** The parties may agree to a change that falls within the scope of the original contract (See Section VI, below).

3. Form and Procedure.

- a. Required Form. The FAR prescribes the use of Standard Form (SF) 30, "Amendment of Solicitation/Modification of Contract," for all contract modifications, both unilateral and bilateral. RFO FAR 43.401
- b. Timing. Changes may be made at any time prior to final payment on the contract. Final Payment is the last payment due under the contract, and the Contractor must take the payment with the understanding that no more payments are due. *See Design & Prod., Inc. v. United States*, 18 Cl. Ct. 168, 210-11 (1989); *Gulf & Western Indus., Inc. v. United States*, 6 Cl. Ct. 742 (1984), *Tri-O v. United States*, 28 Fed. Cl. 463 (1993).
- c. Definitization. Any contract change will likely require an increase in the cost of performance. This amount must either be negotiated ahead of time, or a maximum allowable cost identified, unless impractical. RFO FAR 43.202(b)
- d. Fiscal Considerations. Proper appropriated funds must be available to fund any contract modification. Otherwise, availability of funds or price limitation clauses must be included. RFO FAR 43.205(a)
- e. Government Benefit. There must be some benefit (i.e., consideration) to the Government in order to justify a contract change. *Parcel 49C L.P. v. General Services Administration*, GSBICA No. 16447, 05-2 BCA ¶ 33,013, at 163,607 n.3, *aff'd sub nom. Parcel 49C L.P. v. Doan*, No. 05-1525 (Fed. Cir. June 14, 2006).

IV. CONSTRUCTIVE CONTRACT CHANGES - GENERALLY.

- A. Background. A constructive change occurs when the contract work is actually changed but the procedures of the Changes Clause have not been followed. Administration of Gov't Contracts, Cibinic, Nash & Nagle (2016, p. 386). In such cases, the Contractor often argues the change entitles it to additional compensation or extension of the performance period.² Upon receiving notice of the alleged constructive change, a Contracting Officer may respond in one of three ways:
 1. Adopt the Change. The Contracting Officer may ratify the Government's action/inaction and formally establish a contract modification. If so, the

² NOTE: Contractors are required to notify the Contracting Officer in writing as soon as possible when they believe a constructive change has occurred. *See* RFO FAR 43.204

Contracting Officer must negotiate an equitable adjustment to account for any additional work. RFO FAR 43.304

2. Reject the Change. The Contracting Officer can simply disclaim unauthorized Government conduct and absolve the contractor of following the unauthorized directions. RFO FAR 43.304
3. Adopt the Conduct, but Deny a Change Exists. In many cases the Government's action/inaction may affect Contractor performance, but the Contracting Officer may conclude that the original contract requires the performance at issue and that no change has occurred. These cases include the majority of contract changes litigation. RFO FAR 43.304

B. **Three Basic Elements of Constructive Changes.** Note that these three elements are generally applicable to all constructive change claims. Nevertheless, there are additional elements that the Contractor must prove depending upon the "type" of constructive change alleged (*See* Section V, below). *Navcom Def. Elecs. v. Eng.*, 53 Fed. Appx. 897, 900 (2002), *The Sherman R. Smoot Corp.*, ASBCA Nos. 52173, 53049, 01-1 BCA ¶ 31,252 (appeal later sustained on other aspects of the case); *Green's Multi-Services, Inc.*, EBCA No. C-9611207, 97-1 BCA ¶ 28,649; *Dan G. Trawick III*, ASBCA No. 36260, 90-3 BCA ¶ 23,222; *S-TRON*, ASBCA Nos. 45893, 46466, 96-2 BCA ¶ 28,319.

1. A change occurred as the result of an authorized Government official's words or conduct. *Kos Kam, Inc.*, ASBCA No. 34682, 92-1 BCA ¶ 24,546;
2. The Contractor's changed performance was not "volunteered," but a result of the official's direction. *Jowett, Inc.*, ASBCA No. 47364, 94-3 BCA ¶ 27,110; and
3. The change resulted in an increase (or a decrease) in the cost or the time of performance. *Advanced Mech. Servs., Inc.*, ASBCA No. 38832, 94-3 BCA ¶ 26,964.

V. TYPES OF CONSTRUCTIVE CHANGES.

A. Five Types.³ There are five general types of constructive changes that comprise the majority of litigation on the subject, each of which will be dealt with in depth below:

1. Contract Interpretation (or Misinterpretation);
2. Defective Specifications;

³ In *Administration of Gov't Contracts*, Cibinic, Nash & Nagle (2016, p. 389), the authors discuss the four types of constructive changes as those in Nos. 1-3, and 5, combining No. 4, "Superior Knowledge," into the other four types.

3. Governmental Interference and Failure to Cooperate;
 4. Failure to Disclose Vital Information (Superior Knowledge); and
 5. Constructive Acceleration.
- B. Contract Interpretation. This type of constructive change occurs when the Contractor and the Government disagree on how to interpret the terms of the contract. Often, the Government insists that the contract terms require the work to be performed in a certain (usually more expensive) manner than the Contractor's interpretation requires. See Administration of Gov't Contracts, Cibinic, Nash & Nagle (2016, p. 390). The Contractor argues that the Government misinterpreted the contract's requirements, resulting in additional work or costs that would not otherwise be reimbursed to the Contractor.
1. Initial Concerns.
 - a. Before deciding how to properly interpret a contract term, the following preliminary issues must be examined:
 - (1) Did the Government's disputed interpretation originate from an employee with authority to interpret the contract terms (typically only a Contracting Officer)? *BGT Holdings LLC v. United States*, 984 F.3d 1003, 1012 (Fed. Cir. 2020); *see also J.F. Allen Co. & Wiley W. Jackson Co., a Joint Venture v. United States*, 25 Cl. Ct. 312, 320, 323 (1992). If not, there may be no genuine dispute over interpretation unless the Contracting Officer later adopts the unauthorized individuals' interpretation.
 - (2) Did the Contractor perform any work that the contract did not require? If not, there may be no issue to resolve. *See J.A. Ross & Co. v. United States*, 115 F.Supp. 187, 190 (Ct. Cl. 1953); *Ret. Communities LLC v. United States*, 92 Fed. Cl. 587, 592 (2010).
 - (3) Did the Contractor timely notify the government of the impact of the government's interpretation? Administration of Gov't Contracts, Cibinic, Nash & Nagle (2016, p. 424-33).
 - b. Contractors must continue to perform all required work until disputes are resolved if those disputes arise "under the contract." RFO FAR 52.233-1(i). Contractors bear the initial risk of non-performance pending the outcome, under penalty up to and including termination for default. Therefore, Contractors usually perform according to the requirements of a constructive change

and file a claim for equitable adjustment or breach damages. *See Aero Prods. Co.*, ASBCA No. 44030, 93-2 BCA ¶ 25,868.

c. Contract Interpretation Generally.

- (1) Contract interpretation is an effort to discern the intent of the contracting parties by examining the language of the agreement they signed and their conduct before and after entering into the agreement. Once that intent is ascertained, the parties will generally be held to that intent. *See Firestone Tire & Rubber Co. v. United States*, 444 F.2d 547, 551 (Ct. Cl. 1971); *Pub. Serv. Co. of Oklahoma v. United States*, 88 Fed. Cl. 250, 258-62 (2009).
- (2) Process. The first place to seek the intent of the parties is the intrinsic evidence - i.e. the four corners of the contract itself. If the contract terms are ambiguous (admitting of two or more reasonable meanings), the extrinsic evidence surrounding contract formation and administration may be examined. Also, some common law doctrines of contract interpretation, including contra proferentem (interpreting ambiguous terms “against the drafter”) (see section (4)(f) below) and the duty to seek clarification (of patent ambiguities) (see section (4)(g) below) apply.

2. Intrinsic Evidence and Contract Interpretation.

- a. Plain meaning. The first step to interpreting contract terms is to identify the plain meaning of a given term, this is considered strong evidence of the intent of the parties. *Coast Fed. Bank, FSB v. United States*, 323 F.3d 1035, 1040 (Fed. Cir. 2003); *see also Ahrens v. United States*, 62 Fed. Cl. 664, 669 (2004).
- b. When interpreting the language of a contract, a court must give reasonable meaning to all parts of the contract and not render portions of the contract meaningless. *LAI Servs., Inc. v. Gates*, 573 F.3d 1306, 1314 (Fed. Cir. 2009); *Big Chief Drilling Co. v. United States*, 26 Cl. Ct. 1276, 1298-99 (1992).
- c. Defining Terms.
 - (1) Give ordinary terms their ordinary definitions. *See Triax Pac., Inc. v. West*, 130 F.3d 1469, 1473 (Fed. Cir. 1997); *Elden v. United States*, 617 F.2d 254, 260-61 (Ct. Cl. 1980); *Gustafson P'ship*, GSBICA 6701-COM, 84-1 BCA ¶ 17,086

- (2) If the contract defines a term, use the definition contained in the contract itself. *See Fry Commc 'ns, Inc. v. United States*, 22 Cl. Ct. 497, 503, 505 (1991); *P.R. Burke Corp. v. United States*, 47 Fed. Cl. 340 (2000); *Sears Petroleum & Transp. Corp.*, ASBCA No. 41401, 94-1 BCA ¶ 26,414.
 - (3) Give technical, scientific, or engineering terms their recognized technical meanings unless defined otherwise in the contract. *See Travelers Cas. & Sur. Co. of Am. v. United States*, 75 Fed. Cl. 696 (2007); *Western States Constr. Co. v. United States*, 26 Cl. Ct. 818 (1992); *Tri-Cor, Inc. v. United States*, 458 F.2d 112 (Ct. Cl. 1972).
- d. **Lists of Items.** Lists of items are presumed to be exhaustive unless otherwise specified with words of qualification, e.g., “including but not limited to,” “for example,” and “or any other ____.” If words of qualification are used, such non-exhaustive lists are presumed to include only similar unspecified items (rule of *ejusdem generis*). *North Star Alaska Housing Corp. v. United States*, 30 Fed. Cl. 259, 267 (1993).
 - e. **Orders of Precedence of Contract Terms.** Contracts often contain “order of precedence” clauses to establish an order of priority between sections of the contract. “For an order of precedence clause to be applied, there must be a conflict between the provisions in question.” Administration of Gov’t Contracts, Cibinic, Nash & Nagle (2016, p. 171), *citing Amelco, Inc.*, ASBCA Nos. 50826, 99-2 BCA ¶19,687. These clauses are not used to deal with silence in contract documents. *Edward R. Marden Corp. v. United States*, 803 F.2d 701 (Fed. Cir. 1986).
 - f. **Drawings v. Specifications**
 - (1) **Non-Construction Contracts** – drawings trump specifications. RFO FAR 52.215-8.
 - (2) **Construction Contracts** – RFO FAR 52.236-21
 - (a) Anything in drawings and not specifications, or vice-versa, is given the same effect as if it were present in both;
 - (b) Specifications trump drawings if there is a difference between them;
 - (c) Any discrepancies can only be resolved by the Contracting Officer, who must resolve the matter “promptly.”

- g. Patent ambiguities in construction contracts may be resolved by applying the order of preference clauses in the contract. *See Manuel Bros., Inc. v. U.S.*, 55 Fed. Cl. 8, 36-37 (2002); *4DD Holdings, LLC v. United States*, 159 Fed. Cl. 337, 344 (2022).
 - h. In construction contracts, the DFARS states that the contractor shall perform omitted details of work that are necessary to carry out the intent of the drawings and specifications or that are performed customarily. DFARS 252.236-7001
3. Extrinsic Evidence. Courts will examine extrinsic evidence only if the intent of the parties cannot be ascertained from the contract's terms. *See Coast Federal Bank, FSB v. United States*, 323 F.3d 1035, 1038, 1040 (Fed. Cir. 2003), *Walsh Grp. Ventures*, ASBCA No. 61222, 20-1 BCA ¶37,615.
- a. Courts generally examine four main types of extrinsic evidence, which will be discussed below:
 - (1) Pre-award communications;
 - (2) Actions during contract performance;
 - (3) Prior course of dealing;
 - (4) Custom, trade, or industry standard.
 - b. Pre-Award Communications. During the solicitation period, an offeror may request clarification of the solicitation's terms, drawings, or specifications. Under the "Explanation to Prospective Bidders" clause, the Government will respond in writing (oral explanations are not binding on the Government) to all offerors. RFO FAR 14.207(b)(4); RFO FAR 52.214-6.
 - (1) Oral clarifications of ambiguous solicitation terms during pre-award communications are not generally binding on the Government. However, if the Government official making the clarification is vested with proper authority to make minor modifications to the solicitation, those clarifications may be binding. *See Max Drill, Inc. v. United States*, 192 Ct. Cl. 608, 427 F.2d 1233 (1970); *see also Ebasco Servs. v. United States*, 37 Fed. Cl. 370, 379 n.5 (1997).
 - (2) Other statements made at pre-bid conferences may bind the Government. *See Cessna Aircraft Co.*, ASBCA No. 48118, 95-2 BCA ¶ 27,560, reversed, in part, by *Dalton v. Cessna Aircraft Co.*, 98 F.3d 1298 (Fed. Cir. 1996) (finding that the Navy's statements at a pre-bid conference did not

resolve a patent contractual ambiguity, so the Contractor had a duty to clarify).

- (3) Pre-award acceptance of a contractor's cost-cutting suggestion may also bind the Government. *See Pioneer Enters., Inc.*, ASBCA No. 43739, 93-1 BCA ¶ 25,395.
- c. Actions During Contract Performance. The parties to a contract often act in ways that illuminate their understanding of contract requirements. This may aid courts in discerning the understood meanings of ambiguous contract terms. Administration of Gov't Contracts, Cibinic, Nash & Nagle (2016, p. 183), *citing Macke v. United States*, 199 Ct. Cl. 552, 467 F.2d 1323 (1972).
- (1) Words and other conduct are interpreted in the light of all the circumstances, and if the principal purpose of the parties is ascertainable it is given great weight. Restatement, Second, Contracts § 202(1)(1981).
 - (2) "In this inquiry, the greatest help comes, not from the bare text of the original contract, but from external indications of the parties' joint understanding, contemporaneously and later, of what the contract imported. . . . [H]ow the parties act under the arrangement, before the advent of controversy is often more revealing than the dry language of the written agreement by itself." *Macke Co. v. U.S.*, 467 F.2d 1323, 1325 (Ct. Cl. 1972).
 - (3) Persistent acquiescence or non-objection may indicate that a contractor originally believed the disputed performance was actually part of the original contract, thus requiring no additional compensation. *See Drytech, Inc.*, ASBCA No. 41152, 92-2 BCA 24,809 (contractor performed for over two years without complaining that it was performing work outside scope of the contract); *Tri-States Serv. Co.*, ASBCA No. 37058, 90-3 BCA ¶22,953.
- d. Prior Course of Dealing.
- (1) If a Contractor demonstrates a specific understanding of contract terms through its history of dealing with the Government on the present or past contracts, that understanding may be binding. *See Superstaff, Inc.*, ASBCA No. 46112, 94-1 BCA ¶ 26,574; *Metric Constructors v. NASA*, 169 F.3d 747, 752 (Fed. Cir. 1999).
 - (2) In some instances, Government waiver of a contract term may demonstrate the intent of the parties not to follow that

term. However, there must be many instances of waiver to establish this prior course of dealing. Thirty-six instances of waiver have been held to be sufficient. *See LP Consulting Group v. U.S.*, 66 Fed. Cl. 238, 241 (2005). However, six is not enough when the agency actively seeks to enforce the contract term in the present contract. *See Gen. Sec. Servs. Corp. v. Gen. Servs. Admin.*, GSBCA No. 11381, 92-2 BCA ¶ 24,897.

- (3) When used to show the parties' intent, both parties must have had actual knowledge of the prior course of dealing. *See Sperry Flight Sys. Div. of Sperry Rand Corp. v. United States*, 548 F.2d 915 (Ct. Cl. 1977); *Transco Contracting Co.*, ASBCA No. 25315, 82-1 BCA ¶ 15,516; *Amtec Corp. v. United States*, 69 Fed. Cl. 79, 87 (2005) (refusing to rely on the parties' course of dealing because the parties' conduct did not consistently demonstrate a shared intent and common understanding).
- e. Custom, Trade, or Industry Standard. Ambiguous contract terms may be interpreted through the lens of customary practice within that trade or industry. The following rules apply:
 - (1) Generally, parties may not use extrinsic evidence of custom and trade usage to contradict unambiguous terms. *See McAbee Const. Inc. v. U.S.*, 97 F.3d 1431, 1435 (Fed. Cir. 1996). *See also All Star / SAB Pacific, J.V.*, ASBCA No. 50856, 99-1 BCA ¶ 30,214;
 - (2) However, evidence of custom, trade, or industry standard may be used to demonstrate that an ambiguity exists in a contract term, if a party "relied reasonably on a competing interpretation" of a contract term. *Metric Constructors v. NASA*, 169 F.3d 747, 752 (Fed. Cir. 1999); *Walsh Grp. Ventures*, ASBCA No. 61222, 20-1 BCA ¶ 37,615;
 - (3) The party asserting the industry standard or trade usage bears the burden of proving the existence of the standard or usage. *Roxco, Ltd.*, ENG BCA No. 6435, 00-1 BCA ¶ 30,687; *DWS, Inc., Debtor in Possession*, ASBCA No. 29743, 93-1 BCA ¶ 25,404; *Atlantic Dry Dock Corp.*, ASBCA No. 54936, 13 BCA ¶ 35,344.

4. Common-Law Doctrines.

- a. *Contra Proferentem*. Latin for "against the offeror," this common law doctrine of contract interpretation considers the drafting party

(the offeror) to be in the best position to put what it truly means into the words of the contract. Thus, any ambiguities in the language that party drafted should be interpreted against the drafter. *See Keeter Trading Co., Inc. v. U.S.*, 79 Fed. Cl. 243, 257 (2007); *Rotech Healthcare v. U.S.*, 71 Fed. Cl. 393, 406 (2006); *Emerald Maint., Inc.*, ASBCA No. 33153, 87-2 BCA ¶ 19,907. Four requirements before applying contra proferentem:

- (1) The non-drafter's interpretation must be reasonable. The interpretation's reasonableness must be established with more than mere allegations of reasonableness. *See Wilhelm Constr. Co.*, CBCA 719, Aug. 13, 2009.
- (2) The opposing party must be the drafter (i.e., not a third party). *See Canadian Commercial Corp. v. United States*, 202 Ct. Cl. 65 (1973).
- (3) The non-drafting party must have detrimentally relied on its interpretation in submitting its bid. *Fruin-Colnon Corp. v. United States*, 912 F.2d 1426, 1430 (Fed. Cir. 1990). Reliance during performance is not enough. *Id.* at 1431. The requirement for pre-bid reliance underscores the contractor's obligation to establish actual damage as a prerequisite to recovery. *See American Transport Line, Ltd.*, ASBCA No. 44510, 93-3 BCA ¶ 26,156 (1993) (finding no evidence to support the genuineness of a contractor's self-serving statement of pre-bid reliance on a contract interpretation).
- (4) The ambiguity cannot be patent – otherwise, the Contractor has the duty to clarify.

b. Duty to Seek Clarification.

- (1) The law establishes the duty of clarification in order to ensure that the government will have the opportunity to clarify its requirements and thereby provide a level playing field to all competitors for the contract before contract award, and to avoid litigation after contract award. A Contractor proceeds at its own risk if it relies upon its own interpretation of contract terms that it believes to be ambiguous instead of asking the Government for a clarification. *Wilhelm Constr. Co. v. Dep't of Veterans Affairs*, CBCA 719, 09-2 BCA ¶ 34228; *Community Heating & Plumbing Co. v. Kelso*, 987 F.2d 1575, 1578 (Fed. Cir. 1993); *Nielsen-Dillingham Builders, J.V. v. United States*, 43 Fed. Cl. 5, 10 (1999).

- (2) Do not apply contra proferentem if an ambiguity is patent and the contractor failed to seek clarification. *See Triax Pacific, Inc. v. West*, 130 F.3d 1469, 1474 (Fed. Cir. 1997).
- (3) Latent v. Patent Ambiguities.
 - (a) Latent Ambiguity. An ambiguity that does not readily appear in the language of a document but instead arises from a collateral matter when the document's terms are applied or executed. Black's Law Dictionary. *See Foothill Eng'g.*, IBCA No. 3119-A, 94-2 BCA ¶ 26,732 (the misplacement of a comma in a figure was a latent ambiguity and did not trigger a duty to inquire, because it was not obvious and apparent in the context of a reasonable, but busy, bidder).
 - (b) Patent Ambiguity. An ambiguity that clearly appears on the face of a document arising from the language, itself. Black's Law Dictionary.
 - (i) An ambiguity is patent if it would have been apparent to a reasonable person in the claimant's position or if the provisions conflict on their face. Patent ambiguities are "obvious, gross, (or) glaring." *Grumman Data Systems Corp. v. Dalton*, 88 F.3d 990, 997 (1996); *H&M Moving, Inc. v. United States*, 499 F.2d 660, 671 (Ct. Cl. 1974). *See White v. Edsall Constr. Co., Inc.*, 296 F.3d 1081 (2002) (holding that a note disclaiming the government's warranty on one of several dozen design drawings was patent ambiguity). "A patent ambiguity is one which is so clearly evident, obvious or glaring that a reasonable man would be impelled by his own good sense, if not his conscience, to ask a question." *American Transport Line, Ltd.*, ASBCA No. 44510, 93-3 BCA ¶ 26,156 (1993).
 - (ii) A determination of what constitutes a patent ambiguity is made on a case-by-case basis given the facts in each contractual situation. Whether an ambiguity is patent or latent is a question of law. *Wilhelm Constr. Co.*, CBCA 719, Aug. 13, 2009; *Interstate*

General Gov't Contractors, Inc. v. Stone, 980 F.2d 1433 (Fed. Cir. 1992); *H.B. Zachry Co. v. United States*, 28 Fed. Cl. 77 (1993), *aff'd*, 17 F.3d 1443 (Fed. Cir. 1994)(table). *See Hensel Phelps Constr. Co.*, ASBCA No. 49716, 00-2 BCA ¶ 30,925 (holding that an objective standard applied to the latent/patent ambiguity determination); *George Hyman Constr. Co.*, ENGBCA 4653, 83-1 BCA ¶ 16,283 (setting forth elements to consider for what gives rise to a duty to inquire).

C. Defective Specifications.

1. Based on an analysis of acceptable risk and Government requirements, Government contracts may include four types of specifications:
 - a. **Design Specifications** set forth precise measurements, tolerances, materials, tests, quality control, inspection requirements, and other specific information. *See Apollo Sheet Metal, Inc. v. United States*, 44 Fed. Cl. 210, 212-13 (1999); *Q.R. Sys. North, Inc.*, ASBCA No. 39618, 92-2 BCA ¶ 24,793 (specified roofing material inadequate for roof type).
 - (1) The key issue is whether the Government required the Contractor to use detailed specifications. *Geo-Con, Inc.*, ENG BCA No. 5749, 94-1 BCA ¶ 26,359. Non-conformity to design specifications could result in a contract price reduction. *Donat Gerg Haustechnik*, ASBCA Nos. 41197, 42001, 42821, 47456, 97-2 BCA ¶ 29,272; *J. L. Simmons Co. v. United States*, 188 Ct. Cl. 684, 689, 412 F.2d 1360, 1362 (1969) (defining performance and design specifications, respectively).
 - (2) The Government is responsible for design omissions, errors, and deficiencies in the specifications and drawings. *White v. Edsall Constr. Co., Inc.*, 296 F.3d 1081 (2002); *Apollo Sheet Metal, Inc. v. United States*, 44 Fed. Cl. 210, 212 (1999); *Neal & Co. v. United States*, 19 Cl. Ct. 463 (1990) (defective design specifications found to cause bowing in wall); *International Foods Retort Co.*, ASBCA No. 34954, 92-2 BCA ¶ 24,994 (Government's requirement for chicken ala king was a design specification because it specified the ingredients to use, so it could not reject the chicken as too bland); *but see Hawaiian Bitumuls & Paving v. United States*, 26 Cl. Ct. 1234, 1241 (1992) (Contractor

may vitiate warranty by participating in drafting and developing specifications).

- (3) The constructive change theory of defective specifications only applies to “design” specifications (or to the “design” portion of “composite specifications”).
- b. **Performance Specifications** set forth the operational characteristics desired for the item. In such specifications, design, measurements, and other specific details are neither stated nor considered important as long as the performance requirement is met. *See Apollo Sheet Metal, Inc., v. United States*, 44 Fed. Cl. 210, 212 (1999); *Interwest Constr. v. Brown*, 29 F.3d 611, 615 (Fed. Cir. 1994).
- (1) If the Government uses a performance specification, the Contractor accepts general responsibility for the design, engineering, and achievement of the performance requirements. *Apollo Sheet Metal, Inc.*, 44 Fed. Cl. at 212.; *Blake Constr. Co. v. United States*, 987 F.2d 743 (Fed. Cir. 1993); *Technical Sys. Assoc., Inc.*, GSBCA Nos. 13277-COM, 14538-COM, 00-1 BCA ¶ 30,684.
 - (2) The Contractor has discretion as to the details of the work, but the work is subject to the Government’s right of final inspection and approval or rejection. *Kos Kam, Inc.*, ASBCA No. 34682, 92-1 BCA ¶ 24,546.
- c. **Purchase Descriptions (Proprietary Specifications)** are specifications that designate a particular manufacturer’s model, part number, product, or in the case of proprietary specifications, when no brand name is used but the specifications can only be met by a specific brand name product. Administration of Gov’t Contracts, Cibinic, Nash & Nagle (2016, p. 735). Use of this type of specification shall not be written to require a particular brand name, product, or a feature of a product, peculiar to one manufacturer, thereby precluding consideration of a product manufactured by another company, unless an exception applies. FAR 11.204; *M.A. Mortenson Co.*, ASBCA Nos. 50716, 51241, 51257, 99-1 BCA ¶ 30,270; *Monitor Plastics Co.*, ASBCA No. 14447, 72-2 BCA ¶ 9626.
- (1) If the Contractor furnishes or uses in fabrication a specified brand name, the responsibility for proper performance generally falls upon the Government. *William R. Sherwin v. United States*, 436 F.2d 992 (Ct. Cl. 1991).

- (2) If the Contractor furnishes or uses an acceptable and approved substitute product in accordance with the Government's designated salient characteristics, the responsibility for proper performance generally falls upon the Government. *See J.K. Richardson Co.*, ASBCA No. 46309, 94-2 BCA ¶ 26,900; *EZ Constr. Co.*, ASBCA No. 31510, 87-3 BCA ¶ 20,186. However, failure by the Government to designate salient characteristics means a substitute item need only be of the same standard of quality and functional equivalent of the brand name item. *See Jack Stone Co. v. United States*, 344 F.2d 370 (Ct. Cl. 1965).
 - (3) The Government's liability is conditioned upon the Contractor's correct use of the product.
 - (4) If the Contractor elects to manufacture an equal product, it must ensure that the product is equal to the brand name product.
- d. **Composite Specifications** are specifications that are comprised of two or more different specification types. *See Defense Sys. Co., Inc.*, ASBCA No. 50918, 00-2 BCA ¶ 30,991; *Transtechology, Corp., Space Ordnance Sys. Div. v. United States*, 22 Cl. Ct. 349 (1990).
- (1) If the Government uses a composite specification, the parties must examine each portion of the specification to determine which specification type caused the problem. This determination establishes the scope of the Government's liability. *Aleutian Constr. v. United States*, 24 Cl. Ct. 372, 378 (1991); *Penguin Indus. v. United States*, 530 F.2d 934, 937 (Ct. Cl. 1976). *Cf. Hardwick Bros. Co., v. United States*, 36 Fed. Cl. 347, 411-12 (1996) (holding that since mixed specifications were primarily performance-based there is no warranty covering the specifications).
 - (2) The Contractor must isolate the defective element of the design portion or demonstrate affirmatively that its performance did not cause the problem. *Defense Sys. Co., Inc.*, ASBCA No. 50918, 00-2 BCA ¶ 30,991 (finding that Contractor failed to demonstrate deficient fuses were due to deficient Government design rather than production problems).
 - (3) When determining if a composite specification is design or performance, courts and boards will focus on how much

discretion the specification left the Contractor. *Fireman's Fund Ins. Co. v. United States*, 92 Fed. Cl. 598, 652-53 (2010); see e.g., *Engineering Tech. Consultants, S.A.*, ASBCA No. 43600, 92-3 BCA ¶25,133, *recons. denied*, 93-1 BCA ¶25,507 (general drawings considered only schematic in nature and not detailed enough to be considered design specifications).

2. Scope of Government Liability for Defective Specifications. The Government's liability varies based on the type of specification included in the contract as follows:

Type of Specification	Description	Risk Allocation
Design Specification	If the Gov't provides and requires use of design specifications, the Gov't gives an implied warranty that specifications are free of defects.	Gov't assumes the risk of defective design specifications.
Performance Specifications	Gov't only specifies performance objectives.	Contractor bears responsibility for design and success of that design.
Purchase Specifications	Gov't provides specifications and salient characteristics necessary to identify required product/item to be purchased or used by contractor during performance.	If gov't specifies and Ktr uses properly, gov't bears the risk; if Ktr uses improperly, Ktr may be liable if incorrect use caused failure; if gov't specifies "or equal" without describing salient characteristics, Ktr need only provide or use item of same standard of quality and functional equivalent.
Composite Specifications	Identify the type of specification	See above...

3. Defective Specifications – Theories of Recovery.

- a. In some cases, judges have relied on a breach of contract theory, wherein recovery is breach of contract damages. See, e.g., *Big Chief Drilling Co. v. United States*, 26 Cl. Ct. 1276 (1992); *United States v. Spearin*, 248 U.S. 132 (1918).

- (1) Alternatively, under the theories discussed below, a breach of contract claim is effectively converted into a claim of a constructive change, in that the Government's fault in using defective specifications required (ordered) performance not originally contemplated in order to overcome the defects. Recovery takes the form of an equitable adjustment to cover costs associated with such performance. *BECO Constr. Co.*, ASBCA No. 57483, 11-2 BCA ¶ 34,817; *Spencer Explosives, Inc.*, ASBCA No. 4800, 60-2 BCA ¶ 2795; *Unexcelled Chem. Corp.*, ASBCA No. 2399, 60-1 BCA ¶ 2587; *Consolidated Diesel Elec. Corp.*, ASBCA No. 10486, 67-2 BCA ¶ 6669. Whether the change requires an actual order, as opposed to issuance of a contract containing defective specifications, has been called into question by *Winter v. Cath-dr/Balti Joint Venture*, 497 F.3d 1339 (Fed. Cir. 2007).
 - (2) To receive an equitable adjustment from the Government, the Contractor must establish liability, causation, and resultant injury and in doing so may rely on one or more of the theories below. See *Wilner v. United States*, 24 F.3d 1397, 1401 (Fed. Cir. 1994) (en banc); *Metric Constructors, Inc.*, ASBCA No. 48423, 96-2 BCA ¶ 28,459.
- b. Theory of Recovery – Implied Warranty. The theory of an implied “warranty” of design is based on an implied promise by the Government that a Contractor can follow the contract drawings and specifications and perform without undue expense. This promise has been called a warranty; however, recovery is based on breach of contract by failing in the duty to provide drawings and specifications reasonably free from defects. *White v. Edsall Constr. Co., Inc.*, 296 F.3d 1081, 1084-85 (Fed. Cir.) (2002); *Fru-Con Constr. Corp. v. United States*, 42 Fed. Cl. 94, 96-97 (1998); *United States v. Spearin*, 248 U.S. 132 (1918); *Luria Bros. & Co. v. United States*, 177 Ct. Cl. 676, 369 F.2d 701 (1966). However, in *Hol-Gar Mfg. Corp. v. United States*, 360 F.2d 634 (Ct. Cl. 1966), the court viewed a Government failure of implied warranty as a constructive change, not a breach of contract.
- (1) Recovery. See *Transtechology, Corp., Space Ordnance Sys. Div. v. United States*, 22 Cl. Ct. 349 (1990). To recover under the implied warranty of specifications, the Contractor must prove that:
 - (a) It reasonably relied upon the defective (design) specifications and complied fully with them.

Phoenix Control Sys., Inc. v. Babbitt, Secy. of the Interior, 1997 U.S. App. LEXIS 8085 (Fed. Cir. 1997); *Fruin-Colnon Corp. v. U.S.*, 912 F.2d 1426 (Fed. Cir 1990) (reasonably relied on its interpretation in submitting its bid on proposal); *Al Johnson Constr. Co. v. United States*, 854 F.2d 467 (Fed. Cir. 1988); *Gulf & Western Precision Eng'g Co. v. United States*, 543 F.2d 125 (Ct. Cl. 1976); *Mega Constr. Co.*, 29 Fed. Cl. 396 (1993); *Bart Assocs., Inc.*, EBCA No. C-9211144, 96-2 BCA ¶ 28,479; and

- (b) That the defective (design) specifications caused increased costs. *McElroy Mach. & Mfg. Co., Inc.*, ASBCA No. 46477, 99-1 BCA ¶ 30,185; *Pioneer Enters., Inc.*, ASBCA No. 43739, 93-1 BCA ¶ 25,395 (Contractor failed to demonstrate that defective specification caused its delay); *Chaparral Indus., Inc.*, ASBCA No. 34396, 91-2 BCA ¶ 23,813, *aff'd*, 975 F.2d 870 (Fed. Cir. 1992).
- (2) The Contractor cannot recover if it has actual or constructive knowledge of the defects prior to award. *M.A. Mortenson Co.*, ASBCA Nos. 50716, 51241, 51257, 99-1 BCA ¶ 30,270; *Centennial Contractors, Inc.*, ASBCA No. 46820, 94-1 BCA ¶ 26,511; *Wickham Contracting Co. v. U.S.*, 546 F.2d 1304 (Ct. Cl. 1970) (Government avoided liability by disclosing defective nature of specification prior to award); *L.W. Foster Sportswear Co. v. United States*, 405 F.2d 1285 (Ct. Cl. 1969) (Contractor had actual knowledge from prior contract). Generally, constructive knowledge is limited to patent errors because a Contractor has no duty to conduct an independent investigation to determine whether the specifications are adequate. *E.L. Hamm & Assocs., Inc. v. England*, 379 F.3d 1334 (Fed. Cir. 2004); *Jordan & Nobles Constr. Co.*, GSBCA No. 8349, 91-1 BCA ¶ 23,659. *Cf. Spiros Vasilatos Painting*, ASBCA No. 35065, 88-2 BCA ¶ 20,558 (appealed, modified on other grounds).
- (3) A Contractor may not recover if it decides unilaterally to perform work knowing that the specifications were defective. *Ordnance Research, Inc. v. United States*, 221 Ct. Cl. 641, 609 F.2d 462 (1979); *Hunter Ditch Lining, An Ariz. Gen. P'ship*, AGBCA 87-391-1, 91-2 BCA ¶ 23,673 (Contractor not able to recover where it knew of an error in

the Government's property but built the road knowing the defects).

- (4) A Contractor may not recover if it fails to give timely notice that it was experiencing problems without assistance of the Government. *McElroy Mach. & Mfg. Co., Inc.*, ASBCA No. 46477, 99-1 BCA ¶ 30,185; *JGB Enters., Inc.*, ASBCA No. 49493, 96-2 BCA ¶ 28,498; *S. Head Painting Contractor, Inc.*, ASBCA No. 26249, 82-2 BCA ¶ 15,886; *Oconto Elec., Inc.*, ASBCA No. 40421, 93-3 BCA ¶ 26,162.
 - (5) The Government may disclaim this warranty. *See, e.g., Serv. Eng'g Co.*, ASBCA No. 40272, 92-3 BCA ¶ 25,106 (reconsideration motion granted; decision modified, in part, on other grounds); *Bethlehem Steel Corp.*, ASBCA No. 13341, 72-1 BCA ¶ 9186. However, general disclaimers have been held not to be sufficient, disclaimers must be "express and specific" in order to shift the risk to the Contractor. *White v. Edsall Constr. Co., Inc.*, 296 F.3d 1081,1085 (2002) (holding that a small note disclaiming the Government's warranty found on one of several dozen design drawings was hidden and not obvious).
- c. Theory of Recovery – Impracticability/Impossibility of Performance. There are three elements to this theory. *American Mechanical, Inc.*, ASBCA No. 52033, 03-1 BCA ¶ 32,134; *Oak Adec, Inc. v. United States*, 24 Cl. Ct. 502 (1991); *Reflectone, Inc.*, ASBCA No. 42363, 98-2 BCA ¶ 28,869; *Gulf & Western Indus., Inc.*, ASBCA No. 21090, 87-2 BCA ¶ 19,881.
- (1) An Unforeseen or Unexpected occurrence.
 - (a) A significant increase in work usually caused by unforeseen technological problems. *Dynalectron Corp. v. United States*, 518 F.2d 594 (Ct. Cl. 1975) *see also Numax Elecs., Inc.*, ASBCA No. 29080, 90-1 BCA ¶ 22,280. Examine the following factors to determine whether a problem was unforeseen or unexpected:
 - (i) The nature of the contract and specifications, i.e., whether they require performance beyond the state of the art;
 - (ii) The extent of the Contractor's effort; and
 - (iii) The ability of other Contractors to meet the specification requirements.

- (b) In some cases, a Contractor must show that an extensive research and development effort was necessary to meet the specifications or that no competent Contractor can meet the performance requirements. *Hol-Gar Mfg. Corp. v. United States*, 360 F.2d 634 (Ct. Cl. 1966); *Reflectone, Inc.*, ASBCA No. 42363, 98-2 BCA ¶ 29,869 (Contractor must show specifications “required performance beyond the state of the art” to demonstrate impossibility); *Defense Sys. Corp. & Hi-Shear Tech. Corp.*, ASBCA No. 42939, 95-2 BCA ¶ 27,721.
- (2) The event or its non-occurrence was a basic assumption upon which the contract was based. *See Safety Training Systems, Inc.*, ASBCA Nos. 57095, 57166, 2014-1 BCA ¶ 35,509; *Shubhada Industries, Inc.*, ASBCA No. 54016, 2008-1 BCA ¶ 33,733 at 167,019;
- (3) The Contractor did not assume the risk of the unforeseen occurrence by agreement or custom. *RNJ Interstate Corp. v. United States*, 181 F.3d 1329 (Fed. Cir. 1999) (holding that doctrine of impossibility did not apply to a worksite fire since the contract placed the risk of loss on the Contractor until acceptance by the government); *Southern Dredging Co.*, ENG BCA No 5843, 92-2 BCA ¶ 24,886; *Fulton Hauling Corp.*, PSBCA No. 2778, 92-2 BCA ¶ 24,858.
- (a) A Contractor may assume the risk of the unforeseen effort by using its own specifications. *Short Bros., PLC v. U.S.*, 65 Fed. Cl. 695 (2005); *Coastal Indus. v. United States*, 32 Fed. Cl. 368 (1994) (use of specification drafted, in part, by Contractor’s supplier held to be assumption of risk); *Technical Sys. Assoc. Inc.*, GSBCA Nos. 13277-COM, 14538-COM, 00-1 BCA ¶ 30,684.
 - (b) By proposing to extend the state of the art, a Contractor may assume the risk of impossible performance. *See J.A. Maurer, Inc. v. United States*, 485 F.2d 588 (Ct. Cl. 1973).
- (4) Performance is commercially impracticable or impossible.
 - (a) The Contractor must show that the increased cost of performance is so much greater than anticipated that

performance is commercially senseless, not literally impossible. *See Fulton Hauling Corp.*, PSBCA No. 2778, 92-2 BCA ¶ 24,858; *Technical Sys. Assoc. Inc.*, GSBCA Nos. 13277-COM, 14538-COM, 00-1 BCA ¶ 30,684; *McElroy Mach. & Mfg. Co., Inc.*, ASBCA No. 46477, 99-1 BCA ¶ 30,185. *But see SMC Info. Sys., Inc. v. Gen. Servs. Admin.*, GSBCA No. 9371, 93-1 BCA ¶ 25,485 (the increased difficulty cannot be the result of poor workmanship).

- (b) There is no universal standard for determining “commercial senselessness.” *See Safety Training Systems, Inc.*, ASBCA Nos. 57095, 57166, 2014-1 BCA ¶ 35,509 (citing *Natus Corp. v. United States*, 371 F.2d 450, 457, 178 Ct. Cl. 1 (Ct. Cl. 1967)). Thus “[a] showing of simple economic hardship is not sufficient.” *American Combustion, Inc.*, ASBCA No. 43712, 94-3 BCA ¶ 26,961 at 134,243 (citing *Jennie-O Foods, Inc. v. United States*, 580 F.2d 400, 410, 217 Ct. Cl. 314 (Ct. Cl. 1978)).
 - (i) Courts and boards sometimes use a “willing buyer” test to determine whether the increased costs render performance commercially senseless. A showing of economic hardship on the Contractor is insufficient to demonstrate “commercial senselessness.” The Contractor must show that there are no buyers willing to pay the increased cost of production plus a reasonable profit. *Brazier Lumber Co.*, ASBCA No. 18601, 76-2 BCA ¶ 12,207; *see also Read Plastics, Inc.*, GSBCA No. 4159-R, 77-2 BCA ¶ 12,609.
 - (ii) Some decisions have stated that it must be “positively unjust” to hold the Contractor liable for the increased costs. *Raytheon Co.*, ASBCA Nos. 50166, 50987, 01-1 BCA ¶ 31,245 (57% increase insufficient) *appealed, vacated, in part, on other grounds* at 305 F.3d 1354 (Fed. Cir. 2002); *Weststates Transp. Inc.*, PSBCA No. 3764, 97-1 BCA ¶ 28,633; *Gulf & Western Indus., Inc.*, ASBCA No. 21090, 87-2 BCA ¶ 19,881

(70% increase insufficient); *HLI Lordship Indus.*, VABCA No. 1785, 86-3 BCA ¶ 19,182 (200% increase in gold prices insufficient). *But see Xplo Corp.*, DOT BCA No. 1289, 86-3 BCA ¶ 19,125 (50% increase in costs was sufficient).

D. Interference and Failure to Cooperate.

1. General Theory of Recovery. Contracting activities have an implied obligation to cooperate with their Contractors and not to administer the contract in a manner that hinders, delays, or increases the cost of performance. Whether the Government has breached its implied duty to cooperate, thus resulting in a constructive change, is based on the reasonableness of its actions. *See Ben C. Gerwick, Inc. v. United States*, 285 F.2d 432 (Ct. Cl. 1961); *Asheville Contracting Co.*, DOTCAB 74-6, 76-2 BCA ¶ 12,027; *Precision Pine & Timber, Inc. v. United States*, 50 Fed. Cl. 35, 65-70 (2001) (holding that the Forest Service breached a timber sale contract by suspending the contractor's logging operations when the Mexican spotted owl was listed as an endangered species instead of consulting with the Fish and Wildlife Service and developing a management plan as was required by the ESA) (case later reconsidered, modified judgment entered on other grounds); *Coastal Gov't Serv., Inc.*, ASBCA No. 50283, 01-1 BCA ¶ 31,353; *R&B Bewachungsgesellschaft GmbH*, ASBCA No. 42213, 91-3 BCA ¶ 24,310 (cost and fees proceeding on remand); *C.M. Lowther, Jr.*, ASBCA No. 38407, 91-3 BCA ¶ 24,296. *See also Restatement (Second) of Contracts*, § 205 (1981) (description of bad faith practices during administration of the contract).
2. Generally, a Contractor may not recover for "interference" that results from a sovereign act. *See Hills Materials Co.*, ASBCA No. 42410, 92-1 BCA ¶ 24,636, *rev'd sub nom.*, *Hills Materials Co. v. Rice*, 982 F.2d 514 (Fed. Cir. 1992); *Orlando Helicopter Airways, Inc. v. Widnall*, 51 F.3d 258 (Fed. Cir. 1995) (holding that a criminal investigation of the Contractor was a non-compensable sovereign act); *Henderson, Inc.*, DOT BCA No. 2423, 94-2 BCA ¶ 26,728 (limitation on dredging period created implied warranty); *R&B Bewachungsgesellschaft mbH*, 91-3 BCA ¶ 24,310 (criminal investigators took action in Government's contractual capacity, not sovereign capacity) (cost and fees proceeding on remand); *See also Hughes Communications Galaxy, Inc. v. United States*, 998 F.2d 953 (Fed. Cir. 1993) (holding that the Government may waive sovereign act defense); *Oman-Fischbach Int'l, a Joint Venture*, ASBCA No. 44195, 00-2 BCA ¶ 31,022 (actions of a separate sovereign were not compensable constructive changes).

3. Theory of Recovery – Interference Claims, bases include:
 - a. Overzealous inspection of the Contractor’s work. *Neal & Co., Inc. v. United States*, 36 Fed. Cl. 600 (1996) (“nit-picking punch list” held to be overzealous inspection); *WRB Corp. v. United States*, 183 Ct. Cl. 409 (1968); *Adams v. United States*, 175 Ct. Cl. 288, 358 F.2d 986 (1966).
 - b. Incompetence of Government personnel. *Harvey C. Jones, Inc.*, IBCA No. 2070, 90-2 BCA ¶ 22,762.
 - c. Water seepage or flow caused by the Government. *See C.M. Lowther, Jr.*, ASBCA No. 38407, 91-3 BCA ¶ 24,296 (water from malfunctioning sump pump was interference); *Caesar Constr., Inc.*, ASBCA No. 41059, 91-1 BCA ¶ 23,639 (Government’s failure to remove snow piles which resulted in water seepage constituted a breach of its implied duty not to impede the Contractor’s performance).
 - d. Disruptive criminal investigations conducted in the Government’s contractual capacity. *R&B Bewachungsgesellschaft GmbH*, 91-3 BCA ¶ 24,310.
4. Theory of Recovery – Failure to Cooperate Claims. The Government must cooperate with a Contractor. *See, e.g., Whittaker Elecs. Sys. v. Dalton, Secy. of the Navy*, 124 F.3d 1443 (Fed. Cir. 1997); *James Lowe, Inc.*, ASBCA No. 42026, 92-2 BCA ¶ 24,835; *Mit-Con, Inc.*, ASBCA No. 42916, 92-1 CPD ¶ 24,539. Common bases for claims are:
 - a. Failure to provide assistance necessary for efficient Contractor performance. *Chris Berg, Inc. v. United States*, 197 Ct. Cl. 503, 455 F.2d 1037 (1972) (implied requirement); *Durocher Dock & Dredge, Inc.*, ENG BCA No. 5768, 91-3 BCA ¶ 24,145 (failure to contest sheriff’s stop work order was not failure to cooperate); *Hudson Contracting, Inc.*, ASBCA No. 41023, 94-1 BCA ¶ 26,466; *Packard Constr. Corp.*, ASBCA No. 46082, 94-1 BCA ¶ 26,577.
 - b. Failure to prevent interference by another Contractor. Examine closely the good faith effort of the Government to administer the other contract to reduce interference. *Northrup Grumman Corp. v. United States*, 47 Fed. Cl. 20 (2000); *Stephenson Assocs., Inc.*, GSBCA No. 6573, 86-3 BCA ¶ 19,071.
 - c. Failure to provide access to the work site. *Summit Contractors, Inc. v. United States*, 23 Cl. Ct. 333 (1991) (absent specific warranty, site unavailability must be due to Government’s fault); *Atherton Constr., Inc.*, ASBCA No. 48527, 00-2 BCA ¶ 30,968;

R.W. Jones, IBCA No. 3656-96, 99-1 BCA ¶ 30,268; *Old Dominion Sec.*, ASBCA No. 40062, 91-3 BCA ¶ 24,173, *recons. denied*, 92-1 BCA ¶ 24,374 (failure to grant security clearances); *M.A. Santander Constr., Inc.*, ASBCA No. 35907, 91-3 BCA ¶ 24,050 (failure to provide access excused default); *Reliance Enter.*, ASBCA No. 20808, 76-1 BCA ¶ 11,831.

- d. Abuse of discretion in the approval process. When the contract makes the precise manner of performance subject to approval by the Contracting Officer, the duty of cooperation requires that the Government approve the Contractor's methods unless approval is detrimental to the government's interest. Administration of Gov't Contracts, Cibinic, Nash & Nagle (2016, pp. 417-420). Common bases for claims are:

- (1) Failure to approve substitute items or components that are equal in quality and performance to the contract requirements. *Page Constr. Co.*, AGBCA No. 92-191-1, 93-3 BCA ¶ 26,060; *Bruce-Anderson Co.*, ASBCA No. 29411, 88-3 BCA ¶ 21,135 (Contracting Officer gave no explanation for refusal).
- (2) Unjustified disapproval of shop drawings or failure to approve within a reasonable time. *Orlosky, Inc. v. U.S.*, 68 Fed. Cl. 296 (2005); *Vogt Bros. Mfg. Co. v. United States*, 160 Ct. Cl. 687 (1963).
- (3) Improper failure to approve the substitution or use of a particular subcontractor. *Lockheed Martin Tactical Aircraft Sys.*, ASBCA Nos. 49530, 50057, 00-1 BCA ¶ 30,852, *recon. denied*, 00-2 BCA ¶ 30,930; *Environmental Safety Consultants, Inc.*, ASBCA No. 47498, 00-1 BCA ¶ 30,826 (refusal to approve competent subcontractors); *Hoel-Steffen Constr. Co. v. United States*, 231 Ct. Cl. 128, 684 F.2d 843 (1982); *Liles Constr. Co. v. United States*, 197 Ct. Cl. 164, 455 F.2d 527 (1972); *Richerson Constr., Inc. v. Gen. Servs. Admin.*, GSBCA No. 11161, 93-1 BCA ¶ 25,239. *Cf.* FAR 52.236-5, Material and Workmanship.

E. Failure to Disclose Vital Information (Superior Knowledge).

1. General. If the Government fails to disclose information prior to award, or it provides incorrect information in the solicitation, and the Contractor is forced to do additional work as a result of the non-disclosure (or disclosure of incorrect information), the Contractor is entitled to recover the cost of its additional work. This situation has been treated at various times as a breach of contract or a constructive change, but under either

theory, the elements are the same. See *Petrochem Services v. United States*, 837 F.2d 1076, 1078-79 (Fed. Cir. 1988).

2. Doctrine of disclosure of superior knowledge. The Government has a duty to disclose superior knowledge about a contract when:
 - a. A Contractor undertakes to perform without vital knowledge of a fact that affects performance costs or duration;
 - b. The Government was aware the Contractor had no knowledge of and had no reason to obtain such information;
 - c. Any contract specification supplied misled the Contractor, or did not put it on notice to inquire; and
 - d. The Government failed to provide the relevant information. *Petrochem Services v. United States*, 837 F.2d 1076, 1079 (Fed. Cir. 1988).
3. Theory of Recovery – Failure to Disclose Vital Information. As with defective specifications cases, these undisclosed or incorrect information cases do not necessarily require a specific “change” being made by the Government. Rather, courts generally treat the specifications in such cases as defective and find a constructive change occurs when the Contractor has to perform work beyond the stated contract requirements as a result of the Government’s undisclosed or incorrect information. Thus, in *Kiewit Infrastructure West Co. v. United States*, 972 F.3d 1322, 1329 (Fed. Cir. 2020), the Government’s incorrect representation in the solicitation that no Clean Water Act-protected wetlands were present at the construction site constituted a constructive change entitling the Contractor to recover.

F. Constructive Acceleration.

1. General. If a Contractor encounters an excusable delay, it is entitled to an extension of the contract schedule. Constructive acceleration occurs when the Contracting Officer refuses to recognize a new contract schedule and demands that the Contractor complete performance within the original contract period.
2. Theory of Recovery – Constructive Acceleration. *Fraser Const. Co. v. United States*, 384 F.3d 1354, 1361 (Fed. Cir. 2004); *Fru-Con Constr. Corp. v. United States*, 43 Fed. Cl. 306 (1999); *Atlantic Dry Dock Corp.*, ASBCA Nos. 42609, 42610, 42611, 42612, 42613, 42679, 42685, 42686, 44472, 98-2 BCA ¶ 30,025; *Trepte Constr. Co.*, ASBCA No. 28555, 90-1 BCA ¶ 22,595. Compensable acceleration occurs when the Government orders the effort, and has five common elements, though more elaborate

requirements have been required. *See Fermont Div. Dynamics Corp. of Am.*, ASBCA 15806, 75-1 BCA ¶ 11,139, *aff'd*, 216 Ct. Cl. 448 (1978).

- a. The existence of one or more excusable delays;
 - b. Notice by the Contractor to the Government of such delay, and a request for an extension of time; *Ardelt-Horn Constr. Co.*, ASBCA No. 14550, 73-1 BCA ¶ 9901, *aff'd*, 207 Ct. Cl. 995 (1975); *Nello L. Teer Co. v. Washington Metro. Area Transit Auth.*, 695 F. Supp. 583 (D.D.C. 1988) (no notice given for one year after excusable delay had occurred); *Girardeau Contractors, Inc.*, ENGBCA No. 5034, 88-1 BCA ¶ 20,391 (no proof of notice of acceleration). But see cases wherein constructive acceleration was found without notice or request for time extension. *Hoel-Steffen Constr. Co. v. United States*, 456 F.2d 760, 768 (Ct. Cl. 1972) (“notice provisions . . . should not be applied too technically and illiberally where the Government is quite aware of the operative facts”); *William Lagnion*, ENGBCA No. 3778, 78-2 BCA ¶ 13,260 (Contracting Officer closely monitored job); *Fort Howard Paper Co.*, ASBCA No. 20284, 78-1 BCA ¶ 12,873, *recons. denied*, 78-1 BCA 13,027;
 - c. Government either denied the Contractor’s request for an extension of time or failed to act;
 - d. An express or implied order by the Government to accelerate. *See GBQC Architects v. General Svcs. Admin.*, GSBCA No. 15578, 02-1 BCA ¶ 31,846; *see also Winter v. Cath-dr/Balti Joint Venture*, 497 F.3d 1339 (2007) (requiring the order to come from a Contracting Officer); and
 - e. An actual acceleration resulting in increased costs. *See, e.g., Environment Consultants, Inc.*, IBCA No. 1192-5-78, 79-2 BCA ¶ 13,937; *Solar Foam Insulation*, ASBCA No. 46278, 94-1 BCA 26,288 (claim denied because increased cost incurred prior to acceleration order); *Atlantic Dry Dock Corp.*, ASBCA No. 42609, 98-2 BCA 30,025, *recons. denied*, 99-1 BCA 30,208 (Government liable for acceleration because officials informed and did not object to Contractor’s course of action).
3. Excusable Delays. RFO FAR 52.249-8, -9, -10, 14; RFO FAR 52.212-4(f); RFO FAR 52.213-4(e). *See also* Chapter 21 on Terminations for Default.
- a. An excusable delay is a delay which is beyond the control, fault or negligence of both the Contractor and the subcontractor. *United States v. Brooks-Callaway Co.*, 318 U.S. 120 (1943); *ECC Int’l*, ASBCA No. 55781, 2013 BCA ¶ 35,207. The focus of the

determination of "excusable delay" turns on the issue of foreseeability. *General Injectables & Vaccines, Inc.*, ASBCA No. 54930, 06-2 BCA ¶ 33,401, *aff'd*, 519 F.3d 1360 (Fed. Cir. 2008); *Automated Extruding & Packaging, Inc.*, GSBCA No. 4036, 74-2 BCA ¶ 10,949.

- b. Examples: Embargoes, fires, floods, strikes, sovereign acts, and unusually severe weather. Administration of Gov't Contracts, Cibinic, Nash & Nagle (2016, pp. 494-514).
- c. Subcontractors. The general rule is a delay in a subcontract does not excuse a prime contractor from performing on time unless the subcontractor's difficulty itself resulted from a delay that would be excusable under the contract. *See Fairfield Scientific Corp.*, ASBCA No. 21152, 78-1 BCA ¶ 12,869, *aff'd*, 611 F.2d 854 (Ct. Cl. 1979). The rationale for this rule is that the prime contractor should not be placed in a better position, risk or liability wise, if the prime subcontracts the work rather than performing the work itself. *General Injectables & Vaccines, Inc.*, ASBCA No. 54930, 06-2 BCA ¶ 33,401, *aff'd*, 519 F.3d 1360 (Fed. Cir. 2008), *mot. for rehrg. denied*, 527 F.3d 1375 (fed. Cir. 2008). (holding that a prime contractor was not excused under the sovereign act exception when the FDA refused to allow its subcontractor's to ship vaccine into the country because it was contaminated with bacteria); *Johnson Mgmt. Group CFC, Inc. v. Martinez*, 308 F.3d 1245, 1252 (Fed. Cir. 2002) ("A contractor is responsible for the unexcused performance failures of its subcontractors").
- d. Common Carriers. Generally, a delay of a common carrier is among the conditions that constitute a valid excusable delay because a common carrier delay is considered beyond the reasonable control of the Contractor. A common carrier is not considered a subcontractor. RFO FAR 52.212-4(f). *H.B. Nelson Construction Co. v. United States*, 87 Ct. Cl. 375 (1938); *Malan Construction Corp.*, VABCA No. 262, 1960 WL 151 (June 17, 1960); *General Injectables & Vaccines, Inc.*, ASBCA No. 54930, 06-2 BCA ¶ 33,401, *aff'd*, 519 F.3d 1360 (Fed. Cir. 2008).
- e. Critical Path. In many cases, most notably construction projects, the Contractor's entitlement to a time extension is demonstrated by making an analysis to ascertain whether the delay impacted work that was on the critical path. *Haney v. United States*, 676 F.2d 584, 595 (Ct. Cl. 1982). The critical path method of analysis is used in complex projects which consist of numerous interrelated separate small projects. Each project is analyzed, and some are considered to be on the "critical path" meaning that they are given no leeway for delay as they will delay the entire project. *The Clark Constr.*

Group, Inc., JCLBCA 2003-1, 05-1 BCA ¶ 32843; *Fru-Con Constr. Corp.*, ASBCA 53544, 05-1 BCA ¶ 32936. To prevail on a claim for the additional costs incurred because of the late completion of a fixed-price government construction contract, the Contractor must show that the Government's actions affected activities on the critical path of the Contractor's performance of the contract. *Ultimate Concrete, LLC v. United States*, 141 Fed. Cl. 463 (2019).

4. Examples of Constructive Acceleration.

- a. The Government threatens to terminate when the Contractor encounters an excusable delay. *Intersea Research Corp.*, IBCA No. 1675, 85-2 BCA ¶ 18,058;
- b. The Government threatens to assess liquidated damages and refuses to grant a time extension. *Fraser Constr. Co. v. U.S.*, 384 F.3d 1354 (Fed. Cir. 2004); *Norair Eng'g Corp. v. United States*, 666 F.2d 546 (Ct. Cl. 1981); *Unarco Material Handling*, PSBCA No. 4100, 00-1 BCA ¶ 30,682; or
- c. The Government delays approval of a request for a time extension. *Fraser Constr. Co. v. U.S.*, 384 F.3d 1354 (Fed. Cir. 2004); *Fishbach & Moore Int'l Corp.*, ASBCA No. 18146, 77-1 BCA ¶ 12,300, *aff'd*, 617 F.2d 223 (Ct. Cl. 1980). *But see Franklin Pavlov Constr. Co.*, HUD BCA No. 93-C-13, 94-3 BCA ¶ 27,078 (mere denial of delay request due to lack of information not tantamount to Government order to accelerate).
- d. Note: The Contractor's acceleration efforts need not be successful; a reasonable attempt to meet a completion date is sufficient. *Unarco Material Handling*, PSBCA No. 4100, 00-1 BCA ¶ 30,682; *Fermont Div., Dynamics Corp.*, ASBCA No. 15806, 75-1 BCA ¶ 11,139.

5. Measure of Recoverable Compensation.

- a. The measure of recovery will be the difference between:
 - (1) The reasonable costs attributable to acceleration or attempting to accelerate; and
 - (2) The lesser costs the Contractor reasonably would have incurred absent its acceleration efforts; plus
 - (3) A reasonable profit on the above-described difference. *United States v. Callahan Walker Constr. Co.*, 317 U.S. 56

(1942); *see also New York Shipbuilding Co.*, ASBCA No. 1614, 76-2 BCA ¶ 11,979.

b. Common acceleration costs.

- (4) Increased labor costs;
- (5) Increased material cost due to expedited delivery; and
- (6) Loss of efficiency or productivity. A method to compute this cost is to compare the work accomplished per labor hour or dollar during an acceleration period with the work accomplished per labor hour or dollar during a normal period. See Administration of Gov't Contracts, Cibinic, Nash & Nagle (2016, pp. 657).

VI. DETERMINING THE SCOPE OF A CHANGE.

- A. Generally. All modifications must be within the overall scope of the contract. Also, unilateral modifications must be authorized by the applicable changes clause as discussed in Section III above. The Government Accountability Office (GAO) has jurisdiction over bid protests
- B. Two Perspectives. The scope analysis asks different questions when looked at from the two major forums available to litigate contract modifications:
 - 1. **Bid Protest Forum.** When a third-party competitor protests to GAO that the Government made an out-of-scope contract modification, the main question asked is whether the modification changed the “scope of competition.”
 - 2. **Contract Dispute Forum.** When an incumbent contractor alleges that the Government made an out-of-scope contract modification, the main question is whether the new work was reasonably within the contemplation of the parties when they entered into the original contract.
- C. Scope Determinations in **Bid Protests**.
 - 1. As stated above, GAO has jurisdiction over bid protests, but will only review contract modifications if the protestor alleges the modification is out-of-scope.
 - a. Once a contract is awarded, GAO will generally not review modifications to that contract, because such matters are related to contract administration. They are beyond the scope of GAO’s bid protest function. See Bid Protest Regulations, 4 C.F.R. § 21.5(a).

- b. An exception exists to GAO's restriction on reviewing contract administration matters if the protestor alleges that the modification is out-of-scope of the original contract because, absent a valid sole-source determination (*see* FAR 6.103), the work covered by the modification would be subject to the statutory requirements for competition. *Engineering & Prof'l Servs., Inc.*, B-289331, Jan. 28, 2002, 2002 CPD ¶ 24 at 3.
2. The basis for a contract modification bid protest is the Competition in Contracting Act (CICA). 41 U.S.C. § 3301, et seq.; 10 U.S.C. § 2301, et seq. The CICA, as implemented in Part 6 of the FAR, requires agencies to compete contract requirements to the greatest extent practical. Any modification made to a contract that exceeds the scope of the original contract represents a new requirement that should be competed. Any out-of-scope modification is essentially an improper sole-source contract award.
3. Scope of Competition Test. GAO applies the following test to determine whether a change is within the general scope of the contract:
 - a. Did the modification so materially alter the contract that the *field of competition* for the contract, as modified, would be significantly different from that obtained for the original contract, as awarded? *Krykowski Const. Co., Inc. v. U.S.*, 94 Fed.3d 1537 (Fed. Cir. 1996); *H.G. Properties A. LP v. U.S.*, 68 Fed. Appx. 192 (Fed. Cir. 2003).
 - b. Restated: Should offerors (prior to award) have reasonably anticipated this type of Contract Change based upon what was in the solicitation? A modification falls within the scope of the original procurement if potential offerors would have reasonably anticipated such a change prior to initial award. *See American Air Filter Co.*, 57 Comp. Gen. 567, 572-73 (1978) (*affirming on reconsideration* 57 Comp. Gen. 285 (1978); *Northrop Grumman Corp. v. United States*, 50 Fed. Cl. 443 (2001).
 - c. A modification falls within the scope of the original contract if the solicitation for the original contract adequately advised offerors of the potential for the type of change found in the modification. *DOR Biodefense, Inc.; Emergent BioSolutions*, B-296358.3; B-298358.4, Jan. 31, 2006, 2006 CPD ¶ 35 at 6.
 - d. To determine whether a modification triggers the competition requirements in CICA, GAO looks to whether there is a material difference between the modified contract and the contract that was originally awarded. *MCI Telecomms. Corp.*, B-276659.2, Sept. 29, 1997, 97-2 CPD ¶ 90 at 7.

- e. Evidence of a material difference between the modification and the original contract is found by examining any changes in the work. *Neil R. Gross & Co.*, 69 Comp. Gen. 247, B-237434, 90-1 CPD ¶ 212; *AT&T Communications, Inc. v. Wiltel, Inc.*, 1 F.3d 1201 (Fed. Cir. 1993). Specifically:

- (1) The performance period;
- (2) The costs between the contract as awarded and as modified; and
- (3) Whether the agency had historically procured services under a separate contract. *Atlantic Coast Contracting, Inc.*, B-2889693.4, June 21, 2002, 2002 CPD ¶ 104 at 4; *Hughes Space and Communications Co.*, B-276040, 97-1 CPD ¶ 158.

- 4. Fiscal implications (*See* Section VI.G, below). If an otherwise proper contract modification is considered in-scope, funds available for the original contract may be used to fund the modification. *See* 23 Comp. Gen. 943 (1944); Government Accountability Office Redbook, Ch. 5, Time at 5-33 (3d Ed.), available at <https://www.gao.gov/legal/appropriations-law-decisions/red-book/>.
- 5. Result. If GAO finds a contract modification is outside the scope of the contract, GAO may recommend that the Government terminate the modification and then issue a solicitation for a separate contract for this work.

D. Scope Determinations in **Contract Disputes**.

- 1. The Boards of Contract Appeals (BCAs) have jurisdiction to review contract modifications through the Contract Disputes Act, 41 U.S.C. § 7101, et. seq., if the dispute “arises under” the contract per the Disputes Clause contained in the contract.⁴ RFO FAR 33.205-9 and RFO FAR 52.233-1; 41 U.S.C. §§ 7101-7108
- 2. **Contemplation of the Parties Test.** Should the contract, as modified, “be regarded as having been fairly and reasonably within the contemplation of the parties when the contract was entered into?”
 - a. *See Freund v. United States*, 260 U.S. 60 (1922); *Shank-Artukovich v. U.S.*, 13 Cl. Ct. 346 (1986); *Air-A-Plane Corp. v. United States*, 408 F.2d 1030 (Ct. Cl. 1969); *GAP Instrument*

⁴ Other federal court protest and dispute authorities exist, e.g. the Court of Federal Claims jurisdiction under 28 U.S.C. 1491. RFO FAR section 33.000, 33.103, 33.104 (protest to agency), 33.105 (GAO); 33.106 (COFC).

Corp., ASBCA No. 51658, 01-1 BCA ¶ 31,358; *Gassman Corp.*, ASBCA Nos. 44975, 44976, 00-1 BCA ¶ 30,720.

- b. Restated: Is the contract, as modified, essentially the same work as the parties originally bargained for?
3. Result. If the court or board finds a contract modification to be outside the scope of the contract (i.e., a “cardinal change”), then:
- a. The Contractor is not required to perform the work, and
 - b. The Contractor may be entitled to **breach damages**.
 - (1) Contractor’s acceptance of change. If the Contractor performs the out-of-scope work without reservation, the Contractor is limited to an equitable adjustment pursuant to the changes clause, and once the Contractor waives the breach and performs, the Government is obligated to pay for the out-of-scope work. *See Mac-Well Co.*, ASBCA No. 23097, 79-2 BCA ¶ 13,895; *Texas Trunk Co.*, ASBCA No. 3681, 57-2 BCA ¶ 1528 (Government bound under Changes Clause once Contractor waives right to cardinal change). The Contractor who performs the work is not entitled to breach damages. *See Silberblatt & Lasker, Inc. v. United States*, 101 Ct. Cl. 54 (1944); *Amertex Enters., Ltd. V. United State*, 41 CCF ¶ 7,047 (Fed. Cl. 1995).
 - (2) Competition. Agreeing to a change does not make an out-of-scope change into an in-scope change for purposes of competition. *Corbin Superior Composites, Inc.*, B-235019, July 20, 1989, 89-2 CPD ¶ 67. (“The Contracting Officer may not use modifications to avoid the statutory mandate for competition.”).
 - c. *See also Cities Service Helix v. U.S.*, 211 Ct. Cl. 222 (1976) (stating that if the Government contract modification results in a material breach, then the Contractor may elect to either perform or not to perform); *see also Dow Chemical Co. v. U.S.*, 226 F.3d 1334 (Fed. Cir. 2000). *E. L. Hamm & Assocs., Inc.*, ASBCA No. 43792, 94-2 BCA ¶ 26,724 (holding that that because the Navy’s modification of a lease contract—which transformed the contract into a purchase contract—was beyond the scope of the contract, the Contractor could be entitled to “breach damages”). *See also, Amertex Enter., Ltd. v. United States*, 1997 U.S. App. LEXIS 3301 (Fed. Cir. 1997), *cert. denied*, 522 U.S. 1075 (1998). Nevertheless, if the Contractor elects to perform a contract modification, the Contractor cannot later prevail on a contract claim for material

breach of contract. Once the Contractor chooses to perform a modification, the Contractor has, in fact, waived its material breach claim. *Id.*

E. **Common Scope Factors** (applied to all scope determinations). The following four factors are used to evaluate both bid protests and contract disputes that allege the existence of an out-of-scope contract modification. These factors must be weighed individually and in conjunction with each other to determine if a modification is out-of-scope.

1. Changes in the Function of the Item or the Type of Work.

- a. In determining the materiality of a change, the most important factor to consider is the extent to which a product or service, as changed, differs from the requirements of the original contract. *See E. L. Hamm & Assocs., Inc.*, ASBCA No. 43792, 94-2 BCA ¶ 26,724 (change from lease to lease/purchase and was found to be out-of-scope); *Matter of: Makro Janitorial Servs., Inc.*, B-282690, Aug. 18, 1999, 99-2 CPD ¶ 39 (task order for housekeeping outside scope of an IDIQ contract for preventive maintenance); *Hughes Space and Communications Co.*, B- 276040, May 2, 1997, 97-1 CPD ¶ 158 (modification expanding the types of satellite transponders that could be leased under a contract for satellite transponder leases was in-scope); *Aragona Constr. Co. v. United States*, 165 Ct. Cl. 382 (1964); 30 Comp Gen. 34 (B-95069)(1950) (stating that in a construction contract to build a hospital, modifying the contract to add another building to serve as living quarters for hospital employees was outside the scope of the contract).
- b. Substantial changes in the work may be in-scope if the parties entered into a broadly conceived contract. *AT&T Communications, Inc. v. Wiltel, Inc.*, 1 F.3d 1201 (Fed. Cir. 1993) (more latitude allowed where the activity requires a state-of-the-art product); *Engineering & Professional Svcs., Inc.*, B-289331, 2002 U.S. Comp. Gen. LEXIS 11, 2002 Comp. Gen. Proc. Dec. ¶ 24 (provision of technologically advanced, ruggedized, handheld computers was not beyond the scope of the original contract that called for a wide array of hardware and software and RFP indicated the engineering change proposal process would be utilized to implement technological advances); *Paragon Sys., Inc.*, B-284694.2, 2000 CPD ¶ 114 (contract awarded for broad range of services given wide latitude when issuing a task order); *Gen. Dynamics Corp. v. United States*, 585 F.2d 457 (Ct. Cl. 1978).
- c. An agency's pre-award statements that certain work was outside the scope of the contract can bind the agency if it later attempts to

modify the contract to include the work. *Octel Communications Corp. v. Gen. Servs. Admin.*, GSBCA No. 12975-P, 95-1 BCA ¶ 27,315 (appeal of decision granted on different grounds).

2. Changes in Quantity.

- a. Generally, the Changes clause permits increases and decreases in the quantity of minor items or portions of the work unless the variation alters the entire bargain. *See Connor Bros. Const. Co. v. U.S.*, 65 Fed. Cl. 657 (2005) (modification of ductwork in Army hospital was not an out-of-scope change). *See also Kentucky Bldg. Maint., Inc.*, ASBCA No. 50535, 98-2 BCA ¶ 29,846 (holding that an agency clause that implements the standard Changes Clause by prescribing a specific methodology for calculating equitable adjustments for increased work was not illegal).
- b. Increases and decreases in the quantity of major items or portions of the work are generally considered to be outside the scope of a contract. *See, e.g., Valley Forge Flag Co., Inc.*, VABCA Nos. 4667, 5103, 97-2 BCA ¶ 29,246 (stating that in a requirements contract, a major increase in the total quantity of flags ordered (over 109,000) was outside the scope of the contract); *Liebert Corp.*, B-232234.5, Apr. 29, 1991, 91-1 CPD ¶ 413, 70 Comp. Gen. 448 (order in excess of maximum quantity was a material change). *But see Master Security, Inc.*, B-274990, Jan. 14, 1997, 97-1 CPD ¶ 21 (tripling the number of work sites not out-of-scope change); *Caltech Serv. Corp.*, B-240726.6, Jan. 22, 1992, 92-1 CPD ¶ 94, 1992 U.S. Comp. Gen. LEXIS 102 (increase in cargo tonnage on containerization requirements contract was within scope).
- c. Generally, increases are new procurements, and decreases are partial terminations for convenience (See Chapter 20 on Terminations). *Cf. Lucas Aul, Inc.*, ASBCA No. 37803, 91-1 BCA ¶ 23,609 (order was deductive change, not partial termination).

3. Number and Cost of Changes.

- a. Neither the number nor the cost of changes alone dictates whether modifications are beyond the scope of a contract. *PCL Constr. Serv., Inc. v. United States*, 47 Fed. Cl. 745 (2000) (series of contract modifications did not constitute cardinal change); *Triax Co. v. United States*, 28 Fed. Cl. 733 (1993); *Reliance Ins. Co. v. United States*, 20 Cl. Ct. 715 (1990), *aff'd*, 931 F.2d 863 (Fed. Cir. 1991) (over 200 changes still held to be within scope); *Coates Indus. Piping, Inc.*, VABCA No. 5412, 99-2 BCA ¶ 30,479; *Combined Arms Training Sys., Inc.*, ASBCA Nos. 44822, 47454,

96-2 BCA ¶ 28,617; *Bruce-Andersen Co.*, ASBCA No. 35791, 89-2 BCA ¶ 21,871.

- b. However, the cumulative effect of a large number of changes may be controlling. *Air-A-Plane Corp. v. United States*, 408 F.2d 1030 (Ct. Cl. 1969) (dispute involving over 1,000 changes sent back for trial on merits). *See Caltech Serv. Corp.*, B-240726.6, Jan. 22, 1992, 92-1 CPD ¶ 94 at 5 (finding a 30 percent increase in workload volume is not beyond the scope of the original contract).

4. Changes in Time of Performance.

- a. The Supplies Changes Clause does not provide for unilateral acceleration of performance. RFO FAR 52.243-1; RFO FAR 52.243-2.
- b. Under the Services Changes Clause, the Contracting Officer unilaterally may change when a Contractor is to perform but not the overall performance period. RFO FAR 52.243-1, Alternates I-V; RFO FAR 52.243-2, Alternates I-V.
- c. The Construction Changes Clause authorizes unilateral acceleration of performance. RFO FAR 52.243-4(a)(1)(iv).
- d. Granting a Contractor additional time to perform will normally be considered within scope. *Saratoga Indus., Inc.*, B-247141, 92-1 CPD ¶ 397; *Ion Track Instruments, Inc.*, Comp. Gen. Dec. B-238893, 90-2 CPD ¶ 31; *but see CPT Corp.*, Comp. Gen. Dec. B-211464, 84-1 CPD ¶ 606 (significant modification to contract adding requirements and extending performance time was outside scope).

5. Acceptance of a Change.

- a. If a Contractor performs under a change order, it may not subsequently argue that the change constituted a breach of contract. *Ameritex Enter., Ltd. v. United States*, 1997 U.S. App. LEXIS 3301 (Fed. Cir. 1997), *cert. denied*, 522 U.S. 1075 (1998); *Silberblatt & Lasker, Inc. v. United States*, 101 Ct. Cl. 54 (1944); *C.E. Lowther & Son*, ASBCA No. 26760, 85-2 BCA ¶ 18,149. Similarly, once the Contractor waives the breach and performs, the Government is obligated to pay for the out-of-scope work. *Mac-Well Co.*, ASBCA No. 23097, 79-2 BCA ¶ 13,895.
- b. Agreeing to a change does not convert an out-of-scope change into one that is within the scope of the contract for competition purposes; it simply means that the parties have agreed to process the change under the Changes Clause. The Contracting Officer

may not use modifications to avoid the statutory mandate for competition. *Corbin Superior Composites, Inc.*, B-235019, July 20, 1989, 89-2 CPD ¶ 67.

- c. Reducing Work. A bilateral modification for a reduced scope and repricing of work operates as an accord and satisfaction as to the subject matter of the modification. It bars any claim of breach or equitable adjustment arising from the modification. *Corners and Edges, Inc.*, CBCA nos. 693, 762, 23 Sept 2008. *Trataros Construction, Inc. v. General Services Administration*, GSBCA 15344, 03-1 BCA ¶ 32,251, at 159,459; *Cygnus Corp. v. United States*, 63 Fed. Cl. 150, 156 (2004), aff'd, 177 Fed Appx. 186 (Fed. Cir. 2006) (finding no government liability arising from bilateral modification eliminating database from option year of contract and repricing option year work.).

F. Scope Determinations and the Duty to Continue Performance.

- 1. In-Scope Changes: The Contractor has a duty to continue performance pending the resolution of a dispute over an in-scope change.
 - a. See RFO FAR 52.233-1(i), Disputes (stating that the “Contractor shall proceed diligently with performance of this contract, pending final resolution of any request for relief, claim, appeal, or action arising under the contract, and comply with any decision of the Contracting Officer.”). The term “arising under the contract” refers only to in-scope changes.” See RFO FAR 33.205-7 (“A claim arising under a contract is a claim that can be resolved under a contract clause, other than the clause at RFO FAR 52.233-1, Disputes, that provides for the relief sought by the claimant; however, relief for such claim can also be sought under the clause at RFO FAR 52.233-1. A claim relating to a contract is a claim that cannot be resolved under a contract clause other than the clause at RFO FAR 52.233-1.”). See also RFO FAR 52.243-1(e), RFO FAR 52.243-3.
 - b. Exceptions to the duty to proceed.
 - (1) The Contractor may not have to proceed if the government improperly withholds progress payments. See *Sterling Millwrights v. United States*, 26 Cl. Ct. 49 (1992). But see *D.W. Sandau Dredging*, ENG BCA No. 5812, 96-1 BCA ¶ 28,064 (holding two late payments of 12 days and 19 days did not discharge the Contractor from its duty to continue performance where Contractor did not demonstrate the late payments had impacted its ability to perform).

- (2) The Contractor may not have to proceed if doing so is impractical. *See United States v. Spearin*, 248 U.S. 132 (1918) (government refused to provide safe working conditions); *Xplo Corp.*, DOT BCA No. 1289, 86-3 BCA ¶ 19,125.
 - (3) The Contractor may be justified in suspending performance if the Government fails to provide clear direction. *See James W. Sprayberry Constr.*, IBCA No. 2130, 87-1 BCA ¶ 19,645 (Contractor justified to await clarification of defective specifications). *Cf. Starghill Alternative Energy Corp.*, ASBCA Nos. 49612, 49732, 98-1 BCA ¶ 29,708 (a one-month government delay in executing modification did not excuse Contractor from proceeding).
2. Out-of-Scope Changes: A Contractor has no duty to proceed pending resolution of any dispute concerning a change that is outside the scope of the original contract (i.e. a “cardinal change”).
 - a. *See* RFO FAR 52.233-1(i). *Alliant Techsys., Inc. v United States*, 178 F.3d 1260 (Fed. Cir. 1999); *CTA Inc.*, ASBCA No. 47062, 00-2 BCA ¶ 30,947; *Airprep Tech., Inc. v. United States*, 30 Fed. Cl. 488 (1994). *Cities Service Helix v. U.S.*, 211 Ct. Cl. 222 (1976) (stating that if the Government issues a modification that is outside the scope of the contract, then the Contractor may elect not to perform the work covered by that modification).
 - b. Cardinal Change: Out-of-scope changes, or cardinal changes, are those that are “so profound that it is not redressable under the contract and thus renders the Government in breach. *Thomson and Pratt Insurance Assoc., Inc.*, GSBCA No. 15979-ST, 2005-1 BCA ¶ 32,944. These arise in disputes between Contractors and the Government.
3. Uncertainty. Contractors may believe a given modification is out-of-scope. However, until that issue is adjudicated, they run the risk that non-performance could render them in breach should the modification be found to be in-scope. *See* RFO FAR 52.233-1, Alternate I.

G. Fiscal Implications of Scope Determinations.

1. General. If a contract change is determined to be in-scope, it is considered a modification of the original *bona fide need* for the contract and may be funded as part of the original contract. If a change is determined to be out-of-scope, however, it is a new *bona fide need* that must be funded with current-year funds. *See* Fiscal Law Deskbook, Chapter 3, Availability of

Appropriations as to Time; 23 Comp. Gen. 943 (1944); Government Accountability Office Redbook, Ch. 5, Time at 5-33 (3d Ed.).

2. Antecedent Liability Rule:

- a. When a contract modification does not represent a new requirement or liability, but only adjusts an earlier liability, the amount of that modification is said to “relate back” to the pre-existing, or antecedent, liability.
- b. If the modification is within the scope of the original contract (*see* discussion of scope determinations in Part VI above), changes are funded with the same appropriation as the original contract, even if that appropriation has expired.
- c. Examples.
 - (1) Equitable Adjustments. When a contract price is made contingent upon certain performance costs that fluctuate unpredictably, the contract may include a clause allowing for equitable adjustment of the contract price. These clauses allow the Government to increase (or decrease) contract price based on changes in the price of certain performance factors.
 - (2) Changes Pursuant to Changes Clause. If a contract modification is made pursuant to the contract’s Changes Clause, it is considered within the scope of the contract, as it was authorized by the contract itself. In such cases, original funds may be used to pay for any cost increases.

3. Funding in-scope modifications.

- a. As discussed above, if a contract modification is in-scope, it relates back to the original contract for funding purposes. If the original appropriation is still available for new obligations (i.e. has not expired at the end of the fiscal year), it may be committed and obligated following standard procedures.
- b. If the original appropriation used for the contract has expired, but not yet closed, the Contracting Officer may choose to seek expired funds for the modification. However, this requires increasingly higher levels of approval.
 - (1) Changes in excess of \$4 million must be approved by the Under Secretary of Defense (Comptroller) (USD(C)). DOD 7000.14-R FMR, Vol. 3, Ch. 10, para. 3.6.

- (2) Changes in excess of \$25 million requires notice be given through the USD(C) to the Armed Services and Appropriations Committees for both the House and Senate, and a 30-day waiting period. DOD 7000.14-R FMR, Vol. 3, Ch. 10, para. 3.7.
- c. If the original appropriation is closed (cancelled), or if no funds remain in otherwise available expired appropriations accounts, the Contracting Officer should use current-year funds to fund the contract modification. *See* DOD 7000.14-R FMR, Vol. 3, Ch. 10, para. 3.9.

VII. CONTRACTOR NOTIFICATION REQUIREMENTS.

- A. Formal Changes. The standard Changes Clauses each state that “the Contractor must assert its right to an adjustment . . . within 30 days after receipt of a written [change] order.” Courts and boards, however, do not strictly construe this requirement unless the untimely notice is prejudicial to the Government. *Watson, Rice & Co.*, HUD BCA No. 89-4468-C8, 90-1 BCA ¶ 22,499; *SOSA Y Barbera Constrs., S.A.*, ENG BCA No. PCC-57, 89-2 BCA ¶ 21,754; *E.W. Jerdon, Inc.*, ASBCA No. 32957, 88-2 BCA ¶ 20,729.
- B. Constructive Changes.
 1. Supply / Service Contracts. The standard supply and service contract Changes Clauses do not prescribe specific periods within which a Contractor must seek an adjustment for a constructive change, since there was no written order that started the notice period running. *See Burton-Rodgers, Inc.*, ASBCA No. 5438, 60-1 BCA ¶ 2558.
 2. Construction Contracts. Under the Changes Clause for construction contracts, a Contractor must assert its right to an adjustment within 30 days of notifying the government that it considers a government action to be a constructive change. RFO FAR 52.243-4(b) and (e). Furthermore, unless the Contractor bases its adjustment on defective specifications, it may not recover costs incurred more than 20 days before notifying the Government of a constructive change. RFO FAR 52.243-4(d). *But see Martin J. Simko Constr., Inc. v. United States*, 11 Cl. Ct. 257 (1986) (government must show late notice was prejudicial), *vacated in part, on other grounds*, by 852 F.2d 540 (Fed. Cir. 1988).
 3. Content of Notice. A Contractor must assert a positive, present intent to seek recovery as a matter of legal right. Written notice is not required, and there is no formal method for asserting an intent to recover. The notice, however, must be more than an ambiguous letter that evidences a differing opinion. Likewise, merely advising the Contracting Officer of problems is

not sufficient notice. *CTA Inc.*, ASBCA No. 47062, 00-2 BCA ¶ 30,947; *McLamb Upholstery, Inc.*, ASBCA No. 42112, 91-3 BCA ¶ 24,081.

C. Requests for Equitable Adjustment.

1. A Contractor may first file an intent to submit a request for equitable adjustment and then file an actual request for an adjustment to the contract price or other delivery terms at a later time. The above requirement for the Contractor to assert its rights to an adjustment places the Government on notice that there has been an actual or constructive change to the contract, thus permitting the Government to possibly adjust its action/inaction.
2. RFO FAR 52.243 provides that a Contractor must assert its right to an adjustment within 30 days of a written change order from the Government. However, this requirement has been interpreted liberally in numerous holdings that failure to submit timely will not bar a Contractor's claim unless the Government can show prejudice. *Walsh/Davis Joint Venture v. General Servs. Admin.*, CBCA 1460, 11-1 BCA ¶ 34,737; *A.R. Mack Constr. Co.*, ASBCA No. 5, 01-2 BCA ¶ 31,593. However, a claim must be submitted no later than six years from the date the claim accrued in order to be timely. 41 U.S.C. § 7103(a)(4)(A).
3. Effect of Final Payment.
 - a. Requests for equitable adjustments raised for the first time after final payment are untimely. *Design & Prod., Inc. v. United States*, 18 Cl. Ct. 168 (1989) (final payment rule predicated on express contractual provisions); *Navales Enter., Inc.*, ASBCA No. 52202, 99-2 BCA ¶ 30,528; *Electro-Technology Corp.*, ASBCA No. 42495, 93-2 BCA ¶ 25,750; *Tri-O v. United States*, 28 Fed. Cl. 463 (1993).
 - b. Final payment does not bar claims for equitable adjustments that were pending or of which the Government had constructive knowledge at the time of final payment. *Mingus Constructors, Inc. v. U.S.*, 812 F.2d 1387 (Fed. Cir. 1987); *Miller Elevator Co. v. U.S.*, 30 Fed. Cl. 662 (1994); *Gulf & Western Indus., Inc. v. U.S.*, 6 Cl. Ct. 742 (1984); *Navales Enter., Inc.*, ASBCA No. 52202, 99-2 BCA ¶ 30,528; *David Grimaldi Co.*, ASBCA No. 36043, 89-1 BCA ¶ 21,341 (Contractor must specifically assert a claim as a matter of right; letter merely presented arguments).
4. Government Requests for a Downward Equitable Adjustment.
 - a. The Changes clauses do not specify the time within which the Government must claim a downward equitable adjustment. They

also do not require the Government to notify the Contractor that it intends to subsequently assert its right to an adjustment.

- b. The Government must assert any claims it has against a Contractor within six years from the accrual of the claim, except claims based upon fraud. *See* 41 U.S.C § 7103(a)(4)(B) and RFO FAR 33.205-1(b).
- c. The Government's request for an equitable adjustment must be made within a reasonable time unless the contract specifies otherwise. Generally, this will require the Government to act while the facts supporting the claim are readily available and before the Contractor's position is prejudiced by final settlement with its subcontractors, suppliers, and other creditors. *See Aero Union Corp. v. United States*, 47 Fed. Cl. 677 (2000) (denying motion for summary judgment where there were issues of fact concerning whether the Government had delayed so long the plaintiff was prejudiced by the delay).

VIII. CONCLUSION.

- A. Contract changes are often required during contract performance. They are either formal (written and intentional) or informal (unintentional, constructive). Formal contract changes may be unilateral—i.e., issued by the Contracting Officer pursuant to a changes clause in the contract—or they may be bilateral—i.e., a supplemental agreement between the parties. Constructive contract changes are not issued in writing and often result from Government conduct, unforeseen impediments to performance, or other factors. They may be adopted formally, rejected and the Contractor absolved of performance, or disputed as not truly being contract changes. In any case, a contract change that results in more work for the Contractor necessitates an equitable adjustment from the Government.
- B. Changes must be within the scope of the original contract. Scope determinations require an evaluation of quantity, type of work, and other factors to determine whether the contract, as changed, represents substantially the same contract as originally awarded. This is evaluated through the lens of incumbent Contractors who may not want the additional responsibility of performing new work, or from the perspective of potential bidders who would have competed for the contract as changed, but did not compete for the contract as originally advertised.
- C. In all cases, contract changes that require additional funding may be funded from the appropriation that originally funded the contract if the change is within the scope of the original contract, and the original appropriation is not closed. Otherwise, or if no money remains from the original appropriation, the change must be funded with current appropriations.

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CHAPTER 19A

CONTRACT DISPUTES ACT

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CHAPTER 19A

CONTRACT DISPUTES ACT

I. INTRODUCTION. As a result of this instruction, the student will understand:

- A. The claims submission and dispute resolution processes provided by the Contract Disputes Act (CDA) (41 U.S.C. §§ 7101-7109).
- B. The jurisdiction of the Armed Services Board of Contract Appeals (ASBCA) and the U.S. Court of Federal Claims (COFC) to decide appeals from Contracting Officers' final decisions.
- C. The role of the contract attorney in addressing Contractor claims, defending against Contractor appeals, and prosecuting Government claims.

II. OVERVIEW.

- A. Historical Development.
 - 1. Pre-Civil War Developments. Before 1855, Government Contractors had no forum to sue the United States. In 1855, the Congress created the Court of Claims as an Article I (legislative) court to consider claims against the United States and recommend private bills to Congress. Act of February 24, 1855, 10 Stat. 612. The service secretaries, however, continued to resolve most contract claims. As early as 1861, the Secretary of War appointed a board of three officers to consider and decide specific contract claims. *See Adams v. United States*, 74 U.S. 463 (1868). Upon receipt of an adverse board decision, a Contractor's only recourse was to request a private bill from Congress.
 - 2. Civil War Reforms. In 1863, Congress expanded the power of the Court of Claims by authorizing it to enter judgments against the United States. Act of March 3, 1863, 12 Stat. 765. In 1887, Congress passed the Tucker Act to expand and clarify the jurisdiction of the Court of Claims. Act of March 3, 1887, 24 Stat. 505, codified at 28 U.S.C. § 1491. In that Act, Congress granted the Court of Claims authority to consider monetary claims based on: (1) the Constitution; (2) an act of Congress; (3) an executive regulation; or (4) an express or implied-in-fact contract.¹ As a result, a Government Contractor could now sue the United States as a matter of right.

¹ The Tucker Act did not give the Court of Claims authority to consider claims based on implied-in-law contracts.

3. Disputes Clauses. Agencies responded to the Court of Claims' increased oversight by adding clauses to Government contracts that appointed specific agency officials (e.g., the Contracting Officer or the service secretary) as the final decision-maker for questions of fact. The Supreme Court upheld the finality of these officials' decisions in *Kihlberg v. United States*, 97 U.S. 398 (1878). The tension between the agencies' desire to decide contract disputes without outside interference and the Contractors' desire to resolve disputes in the Court of Claims continued until 1978. This tension resulted in considerable litigation and a substantial body of case law.
4. Boards of Contract Appeals (BCAs). During World War I (WWI), the War and Navy Departments established full-time BCAs to hear claims involving wartime contracts. The War Department abolished its board in 1922, but the Navy board continued in name (if not fact) until World War II (WWII). Between the wars, an interagency group developed a standard Disputes Clause. This clause made Contracting Officers' decisions final as to all questions of fact. WWII again showed that Boards of Contract Appeals were needed to resolve the massive number of wartime contract disputes. See *Penker Constr. Co. v. United States*, 96 Ct. Cl. 1 (1942). Thus, the War Department created a Board of Contract Appeals, and the Navy revived its Board. In 1949, the Department of Defense (DoD) merged the two boards to form the current ASBCA.
5. Post-WWII Developments. In a series of cases culminating in *Wunderlich v. United States*, 342 U.S. 98 (1951), the Supreme Court upheld the finality (absent fraud) of factual decisions issued under the Disputes Clause by a department head or their duly authorized representative. Congress reacted by passing the Wunderlich Act, 41 U.S.C. §§ 321-322, which reaffirmed that the Court of Claims could review factual and legal decisions by agency BCAs. At about the same time, Congress changed the Court of Claims from an Article I (legislative) to an Article III (judicial) court. Pub. L. No. 83-158, 67 Stat. 226 (1953). Later, the Supreme Court clarified the relationship between the Court of Claims and the agency BCAs by limiting the jurisdiction of the Boards to cases "arising under" remedy granting clauses in the contract. See *Utah Mining and Constr. Co. v. United States*, 384 U.S. 394 (1966).
6. The Contract Disputes Act (CDA) of 1978, 41 U.S.C. §§ 7101-7109. Congress replaced the previous disputes resolution system with a comprehensive statutory scheme. Congress intended that the CDA:
 - a. Help induce resolution of more disputes by negotiation prior to litigation;
 - b. Equalize the bargaining power of the parties when a dispute exists;

- c. Provide alternate forums suitable to handle the different types of disputes; and
- d. Insure fair and equitable treatment to Contractors and Government agencies.

S. REP. NO. 95-1118, at 1 (1978), *reprinted in* 1978 U.S.C.C.A.N. 5235.

- 7. Federal Courts Improvement Act of 1982, Pub. L. No. 97-164, 96 Stat. 25. Congress overhauled the Court of Claims and created a new Article I court (*i.e.*, the Claims Court) from the old Trial Division of the Court of Claims. Congress also merged the Court of Claims and the Court of Customs and Patent Appeals to create the Court of Appeals for the Federal Circuit (CAFC).²
- 8. Federal Courts Administration Act of 1992, Pub. L. No. 102-572, 106 Stat. 3921. Congress changed the name of the Claims Court to its current name, the United States Court of Federal Claims (COFC). This Act also expanded the jurisdiction of the Court to include the adjudication of non-monetary claims.
- 9. Federal Acquisition Streamlining Act (FASA) of 1994, Pub. L. No. 103-355, 108 Stat. 3243. Congress increased the monetary thresholds for requiring CDA certifications and requesting expedited and accelerated appeals.³

B. The Disputes Process.

- 1. The CDA establishes procedures and requirements for asserting and resolving claims subject to the Act.
- 2. Distinguishing bid protests from disputes.⁴

² The Act revised the jurisdiction of the new courts substantially.

³ This Act represented Congress's first major effort to reform the federal procurement process since it passed the CDA.

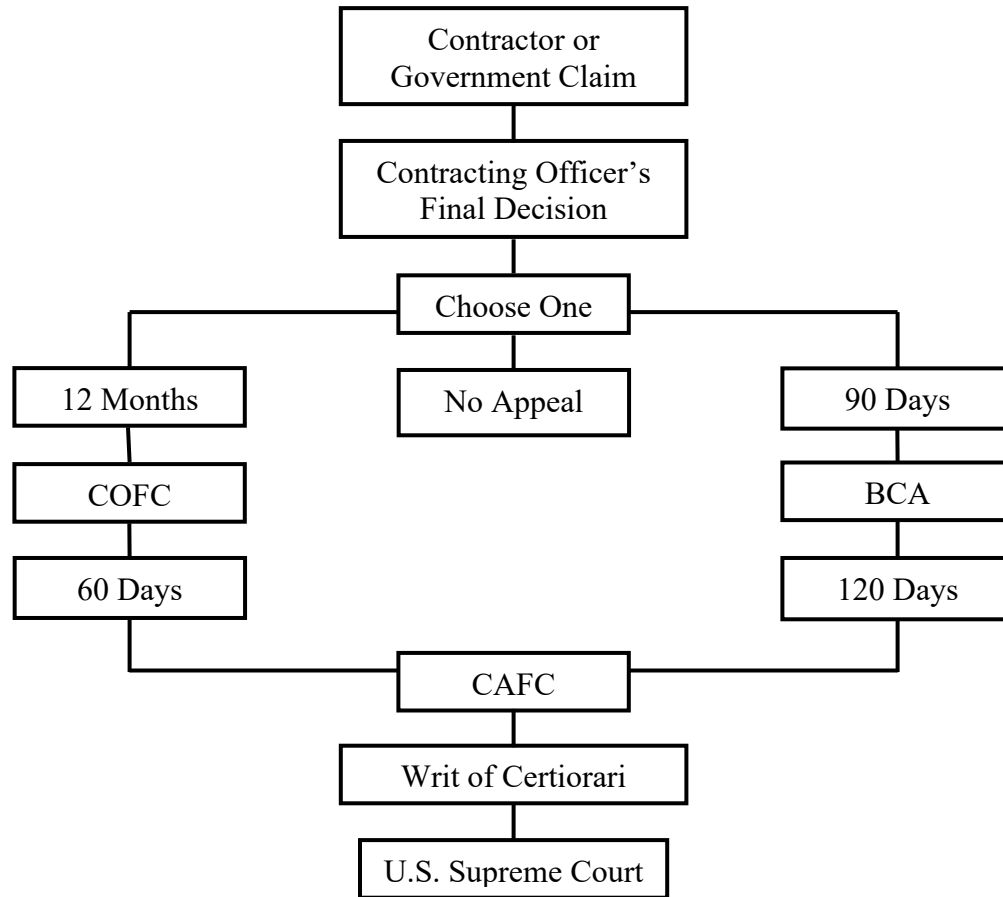
⁴ In practice, it can sometimes be difficult for contractors to determine when alleged wrongful action by the Government is a matter of contract administration (and should be a CDA claim) or rather is a matter of improper restriction of competition (which should be a bid protest). *See, e.g., Coast Prof'l, Inc. v. United States*, 120 Fed. Cl. 727 (2015) (dismissing bid protest where agency's decision not to allow plaintiffs to compete for award term extensions should have been submitted as CDA claims, notwithstanding the alleged anticompetitive effect of the decisions). This case was vacated and remanded on appeal in *Coast Prof'l, Inc. v. United States*, 828 F.3d 1349 (Fed. Cir. 2016) (holding that the lower court erred in dismissing the case for lack of subject matter jurisdiction, since the Task Orders constituted the issuance of new Task Orders for purposes of 28 U.S.C. 1491(b)(1)).

- a. In bid protests, disappointed bidders or offerors seek relief from actions that occur *before* contract award. *See generally* RFO FAR Subpart 33.1.
 - b. In contract disputes, contractors seek relief from actions and events that occur *after* contract award (i.e., during contract administration). *See generally* RFO FAR Subpart 33.2.
 - c. Think contract *formation* versus contract *administration*.
 - d. The Boards of Contract Appeals lack jurisdiction over bid protest actions. *See United States v. John C. Grimberg, Inc.*, 702 F.2d 1362, 1368 (Fed. Cir. 1983) (stating that “the [CDA] deals with contractors, not with disappointed bidders); *Ammon Circuits Research*, ASBCA No. 50885, 97-2 BCA ¶ 29,318 (dismissing an appeal based on the Contracting Officer’s written refusal to award the Contractor a research contract); *RC 27th Ave. Corp.*, ASBCA No. 49176, 97-1 BCA ¶ 28,658 (dismissing an appeal for lost profits arising from the Contracting Officer’s failure to award the Contractor a grounds maintenance services contract).
3. The Election Doctrine. The CDA provides alternative forums—*i.e.*, a BCA or the COFC—for challenging a Contracting Officer’s final decision. Once a Contractor files its appeal in a particular forum, this election is normally binding, and the Contractor can no longer pursue its claim in the other forum. *See* 41 U.S.C. § 7103(g); 41 U.S.C. § 7104 (a) - (b); *see also Menominee Indian Tribe v. United States*, 577 U.S. 250 (2016).

Note: The “election doctrine,” however, does *not* apply if the forum originally selected lacked subject matter jurisdiction over the appeal. 41 U.S.C. § 7104 (a) - (b). *See Bonneville Assocs. v. United States*, 43 F.3d 649 (Fed. Cir. 1994) (dismissing the Contractor’s suit because the Contractor originally elected to proceed before the GSBCA); *see also Bonneville Assocs. v. General Servs. Admin.*, GSBCA No. 13134, 96-1 BCA ¶ 28,122 (refusing to reinstate the contractor’s appeal), *aff’d*, *Bonneville Assoc. v. United States*, 165 F.3d 1360, 1362 (Fed. Cir. 1999); *Ogunniyi v. United States*, 124 Fed. Cl. 525, 534 (2015) (“For a complainant’s choice of forum to bar subject matter jurisdiction in the unselected forum, the reviewing forum must have had jurisdiction over the original claims.”).

4. The disputes process flowchart.⁵

The Disputes Process



III. APPLICABILITY OF THE DISPUTES CLAUSE.

A. Appropriated Fund Contracts.

⁵ Note that for maritime contract actions, the CDA recognizes jurisdiction of district courts to hear appeals of ASBCA decisions, or to entertain suits filed following a Contracting Officer's final decision. *See* 41 U.S.C. § 7102(d); *see also Marine Logistics, Inc. v. Secretary of the Navy*, 265 F.3d 1322 (Fed. Cir. 2001); *L-3 Services, Inc., Aerospace Electronics Division v. United States*, 104 Fed. Cl. 30 (2012) (holding that the exclusive jurisdiction of the Court of Federal Claims over bid protest matters involving maritime contracts has been clarified and codified by the National Defense Authorization Act for Fiscal Year 2012, Pub. L. No. 112-81, 125 Stat. 1298 and cannot be extended to provide jurisdiction over plaintiff's claims, which involve the performance of a maritime contract).

1. The CDA applies to most express and implied-in-fact⁶ contracts.⁷ 41 U.S.C. § 7102(a); RFO FAR 33.203.
2. The Federal Acquisition Regulation (FAR) implements the CDA by requiring the Contracting Officer to include a Disputes Clause in solicitations and contracts.⁸ RFO FAR 33.205-9.
 - a. RFO FAR 52.233-1, Disputes, requires the contractor to continue to perform pending resolution of disputes “arising under”⁹ the contract. *See* Attachment A.
 - b. RFO FAR 52.233-1, Alternate I, Disputes, requires the contractor to continue to perform pending resolution of disputes “arising under *or relating to*”¹⁰ the contract.¹¹ *See* Attachment A.

B. Non-Appropriated Fund (NAF) Contracts.

1. Exchange Service Contracts. The CDA applies to contracts with the Army and Air Force, Navy, Marine Corps, Coast Guard, and NASA Exchanges. *See* 41 U.S.C. § 7102(a), 28 U.S.C. §§ 1346, 1491. The CDA does *not*

⁶ An “implied-in-fact” contract is similar to an “express” contract. It requires: (1) “a meeting of the minds” between the parties; (2) consideration; (3) an absence of ambiguity surrounding the offer and the acceptance; and (4) an agency official with actual authority to bind the government. *James L. Lewis v. United States*, 70 F.3d 597, 600 (Fed. Cir. 1995). *See also Engage Learning, Inc. v. Salazar*, 660 F.3d 1346 (Fed. Cir. 2011).

⁷ The CDA normally applies to contracts for: (1) the procurement of property; (2) the procurement of services; (3) the procurement of construction, maintenance, and repair work; and (4) the disposal of personal property. 41 U.S.C. § 7102(a). *Cf. G.E. Boggs & Assocs., Inc.*, ASBCA Nos. 34841, 34842, 91-1 BCA ¶ 23,515 (holding that the CDA did not apply because the parties did not enter into a contract for the procurement of property but retaining jurisdiction pursuant to the disputes clause in the contract).

⁸ The CDA—and hence the Disputes clause—does not apply to: (1) tort claims that do not arise under or relate to an express or an implied-in-fact contract; (2) claims for penalties or forfeitures prescribed by statute or regulation that another federal agency is specifically authorized to administer, settle, or determine; (3) claims involving fraud; and (4) bid protests. 41 U.S.C. §§ 7102 - 7103; RFO FAR 33.202; RFO FAR 33.205-4; RFO FAR 33.205-5.

⁹ “Arising under the contract” is defined as falling within the scope of a contract clause and, therefore, providing a remedy for some event occurring during contract performance. RALPH C. NASH ET AL., *THE GOVERNMENT CONTRACTS REFERENCE BOOK*, at 34-5 (4th ed. 2013).

¹⁰ “Relating to the contract” means having a connection to the contract. The term encompasses claims that cannot be resolved through a contract clause, such as for breach of contract or correction of mistakes. Prior to passage of the CDA, contractors pursued relief for mutual mistake (rescission or reformation) under the terms of Pub. L. No. 85-804 (*see* RFO FAR Part 50, Extraordinary Contractual Actions). RALPH C. NASH ET AL., *THE GOVERNMENT CONTRACTS REFERENCE BOOK*, at 424 (4th ed. 2013).

¹¹ The Department of Defense (DOD) typically uses this clause for mission critical contracts, such as purchases of aircraft, naval vessels, and missile systems. RFO DFARS 233.215.

apply to other non-appropriated fund contracts.¹² See e.g. *Furash & Co. v. United States*, 46 Fed. Cl. 518 (2000) (dismissing suit concerning contract with Federal Housing Finance Board), *aff'd on other grounds*, 252 F.3d 1336 (Fed. Cir. 2001).

2. In the past, the Government often included a Disputes Clause in non-exchange NAF contracts, thereby giving a Contractor the right to appeal a dispute to a BCA. See AR 215-4, Chapter 6, para.6-13(c)(3); *Charitable Bingo Assoc. Inc.*, ASBCA No. 53249, 01-2 BCA ¶ 31,478 (holding that the Board had jurisdiction over a dispute with a NAF based on the inclusion of the Disputes Clause). Further, an agency directive granting NAF contractors a right of appeal has served as the basis for board jurisdiction, even when the contract contained no disputes clause. See DoDD 5515.6; *Recreational Enters.*, ASBCA No. 32176, 87-1 BCA ¶ 19,675 (Board had jurisdiction over NAF contract dispute because DoD directives required contract clause granting a right of appeal). Note, these clauses can also waive court review. See *The Mineson Co. v. McHugh*, 671 F.3d 1332 (Fed. Cir. 2012) (finding a waiver in the contract and dismissed the case—leaving open the question of whether of the NAFI doctrine under the CDA).
3. However, see *Pacrim Pizza v. Secretary of the Navy*, 304 F.3d 1291 (Fed. Cir. 2002) (CAFC refused to grant jurisdiction over non-exchange NAFI contract dispute; even though the contract included the standard Disputes Clause, the court held that only Congress can waive sovereign immunity, and the parties may not by contract bestow jurisdiction on a court). See also *Sodexo Marriott Management, Inc., f/k/a Marriott Mgmt. Servs. v. United States*, 61 Fed. Cl. 229 (2004) (holding that the non-appropriated funds doctrine barred the COFC from having jurisdiction over a NAF food service contract with the Marine Corps Recruit Morale, Welfare, and Recreation Center); cf. *Slattery v. United States*, 635 F.3d 1298, 1301 (Fed. Cir. 2011) (holding that the Tucker Act is not limited by the appropriation status of the agency's funds or the source of funds by which any judgment may be paid). The Federal Circuit in dicta has suggested that it might consider in the future an appeal from a board decision regarding a NAFI claim under the board's CDA decision, using the same rationale in *Slattery*. See *Mineson Co. v. McHugh*, 671 F.3d 1332, 1337 (Fed. Cir. 2012) ("Because the question of whether claims against NAFIs can be made pursuant to the CDA is complex post-*Slattery*, we will assume jurisdiction for present purposes and proceed directly to the substance of the appellate waiver argument."); *id.* at 1344-45 (Bryson, J., dissenting) ("This court made clear in *United States v. General Electric*

¹² In addition, the CDA does not normally apply to: (1) Tennessee Valley Authority contracts; (2) contracts for the sale of real property; or (3) contracts with foreign governments or agencies. 41 U.S.C. § 7102 (b)-(c); RFO FAR 33.203.

Corp., 727 F.2d 1567 (Fed. Cir. 1984), that “[n]othing in the [CDA] limits is application to appropriated funds.”).

IV. CONTRACTOR CLAIMS.

A. Proper Claimants.

1. Only the parties to the contract (*i.e.*, the prime contractor and the government) may normally submit a claim. 41 U.S.C. § 7103(a).
2. Subcontractors.
 - a. A subcontractor cannot file a claim directly with the Contracting Officer. *United States v. Johnson Controls*, 713 F.2d 1541 (Fed. Cir. 1983) (dismissing subcontractor claim and holding that the subcontractor lacked standing to file a claim because they were there was no privity of contract between the subcontractor and itself and the federal government and the subcontractor was not authorized by the prime or sub-contract to make a direct appeal); *see also Detroit Broach Cutting Tools, Inc.*, ASBCA No. 49277, 96-2 BCA 28,493 (holding that the subcontractor’s direct communication with the Government did not establish privity); *Southwest Marine, Inc.*, ASBCA No. 49617, 96-2 BCA ¶ 28,347 (rejecting the subcontractor’s assertion that the Suits in Admiralty Act gave it the right to appeal directly); *Threshold Techs., Inc. v. United States*, 117 Fed. Cl. 681 (2014) (rejecting the subcontractor’s argument that agency knowledge and approval of its subcontract established an express contract with the Government); *cf. Department of the Army v. Blue Fox*, 119 S. Ct. 687 (1999) (holding that a subcontractor may not sue the Government directly by asserting an equitable lien on funds held by the Government). *But see Choe-Kelly*, ASBCA No. 43481, 92-2 BCA ¶ 24,910 (holding that the board had jurisdiction to consider the subcontractor’s unsponsored claim alleging an implied-in-fact contract).
 - b. A prime contractor, however, can sponsor claims (also called “pass-through claims”) on behalf of its subcontractors. *Erickson Air Crane Co. of Washington, Inc. v. United States*, 731 F.2d 810 (Fed. Cir. 1984); *McPherson Contractors, Inc.*, ASBCA No. 50830, 98-1 BCA ¶ 29,349 (appeal dismissed where prime stated it did not wish to pursue the appeal). There may be no CDA jurisdiction if the prime contractor has no liability to reimburse the subcontractor for a pass-through claim—this is known as the *Severin* Doctrine. *See Severin v. United States*, 99 Ct. Cl. 435 (1943), *cert. denied*, 322 U.S. 733 (1944); *M.A. Mortenson Co.*, ASBCA No. 53761, 06-1 BCA ¶ 33,180 (to escape jurisdiction

under the *Severin* Doctrine, the prime contractor's release of liability to the subcontractor must be "iron clad").

3. Sureties. Absent privity of contract, sureties may not file claims. *Admiralty Constr., Inc. v. Dalton*, 156 F.3d 1217, 1222 (Fed. Cir. 1998) (surety must finance contract completion or take over performance to invoke doctrine of equitable subrogation); *Ransom v. United States*, 900 F.2d 242, 245 (Fed. Cir. 1990) (discussing doctrine of equitable subrogation); *but see Fireman's Fund Insurance Co. v. England*, 313 F.3d 1344 (Fed. Cir. 2002) (although the doctrine of equitable subrogation is recognized by the COFC under the Tucker Act, the CDA only covers "claims by a Contractor against the Government relating to a contract," thus a surety is not a "Contractor" under the CDA). A surety can assert CDA claims after it **executes a takeover agreement** with the Government to complete a contract. *Guarantee Co. of N. Am., USA v. Ikhana, LLC*, 941 F.3d 1140, 1143 (Fed. Cir. 2019), *rehearing and rehearing en banc denied*, 959 F.3d 1354 (Fed. Cir. 2020).
4. Dissolved/Suspended Corporations. A corporate contractor must possess valid corporate status, as determined by applicable state law, to assert a CDA appeal. *See Micro Tool Eng'g, Inc.*, ASBCA No. 31136, 86-1 BCA ¶ 18,680 (holding that a dissolved corporation could not sue under New York law). *But cf. Fre'nce Mfg. Co.*, ASBCA No. 46233, 95-2 BCA ¶ 27,802 (allowing a "resurrected" Contractor to prosecute the appeal). *Allied Prod. Management, Inc., and Richard E. Rowan, J.V.*, DOT CAB No. 2466, 92-1 BCA ¶ 24,585 (allowing a Contractor to appeal despite its suspended corporate status). In determining what powers survive dissolution, courts and boards look to the laws of the state of incorporation. *See AEI Pacific, Inc.*, ASBCA No. 53806, 05-1 BCA ¶ 32,859 (Jan. 18, 2005) (holding that a dissolved Alaska corporation could initiate proceedings before the ASBCA as part of its "winding up its affairs" as allowed by the Alaskan Statute concerning the dissolution Alaskan Corporations).

B. Definition of a Claim.

1. Contract Disputes Act. The CDA does not define the term "claim." As a result, courts and boards look to the FAR for a definition. *See Essex Electro Eng'rs, Inc. v. United States*, 960 F.2d 1576 (Fed. Cir. 1992) (holding that the executive branch has authority to issue regulations implementing the CDA, to include defining the term "claim," and that the FAR definition is consistent with the CDA).
2. FAR. The FAR defines a "claim" as "a written demand or written assertion by one of the contracting parties seeking, as a matter of right, the payment of money in a sum certain, the adjustment or interpretation of

contract terms, or other relief arising under or relating to a contract.” FAR 2.101; RFO FAR 52.233-1.

- a. Claims arising under or relating to the contract include those supported by remedy granting clauses, breach of contract claims, and mistakes alleged after award.
- b. A written demand (or written assertion) seeking the payment of money in excess of \$100,000 is *not* a valid CDA claim until the Contractor properly certifies it. FAR 2.101; RFO FAR 52.233-1(d)(2)(i)
- c. A request for an equitable adjustment (REA) may constitute a claim so long as the necessary characteristics of a claim are met. *Reflectone, Inc. v. Dalton*, 60 F.3d 1572, 1583 (Fed. Cir. 1995); *Textron Aviation Def. LLC v. United States*, 161 Fed. Cl. 256, 270 (2022) (noting that “the distinction between routine and non-routine requests for payment is a sticky wicket of epic proportions in Federal Circuit jurisprudence...”); *Zafer Constr. Co. v. United States*, 40 F.4th 1365 (Fed. Cir. 2022) (REA requested a final decision and thus considered a claim by the CAFC).
- d. A voucher, invoice, or other routine request for payment that is not in dispute when submitted is *not* a valid CDA claim. FAR 2.101; FAR 52.233-1(c). A Contractor may convert such a submission into a valid CDA claim if (RFO FAR 33.201; RFO FAR 52.233-1):
 - (1) The Contractor complies with the submission and certification requirements of the Disputes clause; and
 - (2) The Contracting Officer:
 - (a) Disputes the submission as to either liability or amount; or
 - (b) Fails to act in a reasonable time. *See S-TRON*, ASBCA No. 45890, 94-3 BCA ¶ 26,957 (Contracting Officer’s failure to respond for 6 months to contractor’s “relatively simple” engineering change proposal (ECP) and REA was unreasonable).

C. Elements of a Claim.

1. The demand or assertion must be in writing. 41 U.S.C. § 7103(a)(2); RFO FAR 33.205-1, RFO FAR 52.233-1(d). *See Honig Indus. Diamond Wheel, Inc.*, ASBCA No. 46711, 94-2 BCA ¶ 26,955 (granting the Government’s

motion to strike monetary claims that the Contractor had not previously submitted to the Contracting Officer); *Clearwater Constructors, Inc. v. United States*, 56 Fed. Cl. 303 (2003) (a subcontractor's letter detailing its dissatisfaction with a Contracting Officer's contract interpretation, attached to a Contractor's cover-letter requesting a formal review and decision, constituted a non-monetary claim under the CDA).

2. Seeking as a matter of right,¹³ one of the following:
 - a. Payment of money in a sum certain¹⁴;
 - b. Adjustment or interpretation of contract terms. *TRW, Inc.*, ASBCA Nos. 51172 and 51530, 99-2 BCA ¶ 30,047 (seeking decision on allowability and allocability of certain costs). *Compare William D. Euille & Assocs., Inc. v. General Services Administration*, GSBCA No. 15,261, 2000 GSBCA LEXIS 105 (May 3, 2000) (holding that a Contractor's request for an interpretation of contract terms and the Contracting Officer's response to that inquiry constituted a claim under the CDA), *with Rockhill Industries, Inc.*, ASBCA No. 51541, 00-1 BCA ¶ 30,693 (holding that a Contractor's money claim was "masquerading as a claim for contract interpretation")¹⁵; or
 - c. Other relief arising under or relating to the contract. *See General Electric Co.; Bayport Constr. Co.*, ASBCA Nos. 36005, 38152, 39696, 91-2 BCA ¶ 23,958 (demand for Contractor to replace or correct latent defects under Inspection clause).
 - (1) Reformation or Rescission. *See McClure Electrical Constructors, Inc. v. United States*, 132 F.3d 709 (Fed. Cir. 1997); *LaBarge Products, Inc. v. West*, 46 F.3d 1547 (Fed. Cir. 1995) (ASBCA had jurisdiction to entertain reformation claim).

¹³ Some submissions, such as cost proposals for work the government later decides it would like performed, would not be considered submissions seeking payment "as a matter of right." *Reflectone v. Dalton*, 60 F.3d 1572, 1577 n.7 (Fed. Cir. 1995).

¹⁴ Note, that the requirement to state a sum certain is no longer considered to be jurisdictional, but rather is a claim-processing rule. *See ECC Int'l Constructors, LLC v. Sec. of Army*, 79 F.4th 1364 (Fed. Cir. 2023). However, a sum certain is still required and in many cases this distinction will be of little consequence. *Id.* at 1379 ("Notably, as we have said, in the vast majority of cases the distinction between whether the sum-certain requirement is jurisdictional or non-jurisdictional will be of little consequence because the FAR mandates a sum certain for claims seeking monetary relief.")

¹⁵ Contractors may make non-monetary claims challenging past performance reports (*i.e.*, CPARS), even if there is no accompanying monetary claim for a sum certain. *Todd's Constr., L.P. v. United States*, 656 F.3d 1306; 1314-15 (finding jurisdiction under the CDA to challenge past performance evaluations but affirming dismissal on other grounds); *Versar, Inc.*, ASBCA No. 56857, 10-1 BCA ¶ 34,437.

- (2) Specific performance is not an available remedy. *Western Aviation Maintenance, Inc. v. General Services Administration*, GSBCA No. 14165, 98-2 BCA ¶ 29,816.
3. Submitted to the Contracting Officer for a decision. 41 U.S.C. § 7103(a)(1).
 - a. The Federal Circuit has interpreted the CDA's submission language as requiring the Contractor to "commit" the claim to the Contracting Officer and "yield" to his authority to make a final decision. *Dawco Constr., Inc. v. United States*, 930 F.2d 872 (Fed. Cir. 1991).
 - b. The claim need not be sent only to the Contracting Officer, or directly to the Contracting Officer. If the contractor submits the claim to its primary government contact with a request for a Contracting Officer's final decision, and the primary contact delivers the claim to the Contracting Officer, the submission requirement can be met. *Neal & Co. v. United States*, 945 F.2d 385 (Fed. Cir. 1991) (claim requesting Contracting Officer's decision addressed to Resident Officer in Charge of Construction). *See also D.L. Braughler Co., Inc. v. West*, 127 F.3d 1476 (Fed. Cir. 1997) (holding that a Contractor's initial letter that did not request a final decision was not a claim, a second letter requesting a final decision was); *J&E Salvage Co.*, 37 Fed. Cl. 256 (1997) (holding that a Contractors submission of a letter to the Department of Justice rather than the Defense Reutilization and Marketing Office did not manifest the requisite intent to make a claim under the CDA).
 - c. Only receipt by the Contracting Officer triggers the time limits and interest provisions set forth in the CDA. *See* 41 U.S.C. § 7103(a), § 7109(a).
 - d. A claim should implicitly or explicitly request a Contracting Officer's final decision. *See Ellett Constr. Co., Inc. v. United States*, 93 F.3d 1537 (Fed. Cir. 1996) (holding that submission to the Contracting Officer is required, but the request for a final decision may be implied); *Zafer Constr. Co. v. United States*, 40 F.4th 1365, 1368 (Fed. Cir. 2022) (holding that a request for a final decision can be implied from a "document's content and the context surrounding the document's submission");¹⁶ *Andrews Contracting Services*, ASBCA No. 60808, 17-1 BCA ¶ 36,766 (finding the Contractor's request for equitable adjustment not to have implicitly or explicitly requested a Contracting Officer's final

¹⁶ We recommend contract attorneys read *Zafer* in its totality.

decision, based upon a review of the totality of the correspondence between the parties”).

- e. A Contracting Officer cannot issue a valid final decision if the Contractor explicitly states that it is not seeking a final decision. *Fisherman’s Boat Shop, Inc.* ASBCA No. 50324, 97-2 BCA ¶ 29,257 (holding that the Contracting Officer’s final decision was a nullity because the contractor did not intend for its letter submission to be treated as a claim).
 - f. The Federal Circuit has stated that claims need not be submitted in any particular form, or use any particular wording, but what is required is for the Contractor to provide a clear and unequivocal statement that gives the Contracting Officer adequate notice of the basis and amount of the claim. *Contract Cleaning Maintenance, Inc. v. United States*, 811 F.2d 586, 592 (Fed. Cir. 1987). Whether a sufficient claim has been presented to the Contracting Officer is a question of judgment, which is exercised on a case-by-case basis. *Holk Dev., Inc.*, ASBCA Nos. 40579, 40609, 90-3 BCA ¶ 23,086; see e.g., *CiyaSoft Corporation*, ASBCA No. 59519, 18-1 BCA ¶ 37,084 (“We find the revised claim does not include language sufficiently clear to give the Contracting Officer an understanding that appellant was claiming the contract had been breached by the Government’s continued use of the software for more than a year.”).
4. Certification. A Contractor must certify any claim that exceeds \$100,000. 41 U.S.C. § 7103(b); FAR 33.207. CDA certification serves to create the deterrent of potential liability for fraud and thereby discourage Contractors from submitting unwarranted or inflated claims. *Fischbach & Moore Int’l Corp. v. Christopher*, 987 F.2d 759 (Fed. Cir. 1993).
- a. Determining the Claim Amount.
 - (1) A Contractor must consider the aggregate effect of increased and decreased costs to determine whether the claim exceeds the dollar threshold for certification.¹⁷ RFO FAR 33.205-2.
 - (2) Claims that are based on a “common or related set of operative facts” constitute one claim. *Placeway Constr. Corp.*, 920 F.2d 903, 907 (Fed. Cir. 1990); *K-Con Bldg.*

¹⁷ The contractor need not include the amount of any government claims in its calculations. *J. Slotnik Co.*, VABCA No. 3468, 92-1 BCA ¶ 24,645.

Sys. v. United States, 778 F.3d 1000, 1005-1006 (Fed. Cir. 2015) (defining what constitutes a separate claim).

- (3) A Contractor may *not* split a single claim that exceeds \$100,000 into multiple claims to avoid the certification requirement. *See, e.g., Walsky Constr. Co v. United States*, 3 Cl. Ct. 615 (1983); *Warchol Constr. Co. v. United States*, 2 Cl. Ct. 384 (1983); *D&K Painting Co., Inc.*, DOTCAB No. 4014, 98-2 BCA ¶ 30,064; *Columbia Constr. Co.*, ASBCA No. 48536, 96-1 BCA ¶ 27,970; *Jay Dee Militarywear, Inc.*, ASBCA No. 46539, 94-2 BCA ¶ 26,720.
- (4) Separate claims that total less than \$100,000 each require no certification, even if their combined total exceeds \$100,000. *See Engineered Demolition, Inc. v. United States*, 60 Fed. Cl. 822 (2004) (holding that appellants claim of \$69,047 and \$38,940 sponsored on behalf of appellant's sub-contractor were separate, having arose out of different factual predicates, each under \$100,000.), *Phillips Constr. Co.*, ASBCA No. 27055, 83-2 BCA ¶ 16,618; *B. D. Click Co.*, ASBCA No. 25609, 81-2 BCA ¶ 15,394.
- (5) The Contracting Officer cannot consolidate separate claims to create a single claim that exceeds \$100,000. *See B. D. Click Co., Inc.*, ASBCA No. 25609, 81-2 BCA ¶ 15,394. Courts and boards, however, can consolidate separate claims for hearing to promote judicial economy. 41 U.S.C. 7107(d). *But see CH2M Hill Hanford Group, Inc. v. United States*, 82 Fed. Cl. 139, 144-45 (2008) ("Courts must also be sensitive to the reasons why the suits have been split and should not consolidate only for the sake of consolidation") (internal quotation marks omitted).
- (6) A Contractor need *not* certify a claim that grows to exceed \$100,000 after the contractor submits it to the Contracting Officer if:
 - (a) The increase was based on information that was not reasonably available at the time of the initial submission; or
 - (b) The claim grew as the result of a regularly accruing charge and the passage of time. *See Tecom, Inc. v. United States*, 732 F.2d 935, 937 (Fed. Cir. 1984) (holding that a Contractor was not required to

certify a revised claim that increased from \$11,000 to \$72,000 because of “the intervening prolongation of the contract and the experience of actual operation”); *AAI Corp. v. United States*, 22 Cl. Ct. 541 (1991) (refusing to dismiss a claim grew from \$0 when submitted to \$500,000 after the Contractor filed their initial claim); *Mulunesh Berhe*, ASBCA No. 49681, 96-2 BCA ¶ 28,339 (“Certification is not required where the monetary threshold is exceeded as the result of a regularly accruing charge and the passage of time”) (internal quotation marks omitted).

- b. Certification Requirements. 41 U.S.C. § 7103(b)(1); RFO FAR 33.205-2. When required to do so, a contractor must certify that:
 - (1) The claim is made in good faith;
 - (2) The supporting data are accurate and complete to the best of the Contractor’s knowledge and belief;
 - (3) The amount requested accurately reflects the contract adjustment for which the Contractor believes the Government is liable; and
 - (4) The person submitting the claim is authorized to certify the claim on the Contractor’s behalf.¹⁸
- c. Proper Certifying Official. A Contractor may certify its claim through any “individual authorized to bind the Contractor with respect to the claim.” 41 U.S.C. § 7103(b)(2); FAR 33.207(e). *See Metric Constructors, Inc.*, ASBCA No. 50843, 98-2 BCA ¶ 30,088 (concluding that a senior project manager met the criteria for a proper certifying official); *Green Dream Group*, ASBCA No. 57413, Apr. 4, 2011, 11-1 BCA ¶ 34,739 (concluding that a Contractor’s finance director qualified as a proper certifying official).

¹⁸ Absent extraordinary circumstances, courts and boards will not question the accuracy of the statements in a contractor’s certification. *D.E.W., Inc.*, ASBCA No. 37332, 94-3 BCA ¶ 27,004. A prime contractor need not agree with all aspects or elements of a subcontractor’s claim. In addition, a prime contractor need not be certain of the government’s liability, or the amount recoverable. The prime contractor need only believe that the subcontractor has good grounds to support its claim. *See Oconto Elec., Inc.*, ASBCA No. 45856, 94-3 BCA ¶ 26,958 (holding that the prime contractor properly certified its subcontractor’s claim, even though the official certifying the claim lacked personal knowledge of the amount claimed); *see also Arnold M. Diamond, Inc. v. Dalton*, 25 F.3d 1006 (Fed. Cir. 1994) (upholding the contractor’s certification of a subcontractor’s claim pursuant to a court order).

- d. No Claim vs. Defective Certification. Tribunals treat cases where an attempted certification is “substantially” compliant differently from those where the certification is either entirely absent or the language is intentionally or negligently defective.
- (1) No claim.
- (a) Absence of Certification. No valid claim exists. *See* RFO FAR 33.201 (“Failure to certify shall not be deemed to be a defective certification.”); *Hamza v. United States*, 31 Fed. Cl. 315 (1994) (finding that the court lacked jurisdiction because the Contractor made no attempt to certify the claim); *Eurostyle Inc.*, ASBCA No. 45934, 94-1 BCA ¶ 26,458 (“[The complete absence of any certification of a claim] render[s] a claim invalid and precludes the Board from exercising jurisdiction.”).
- (b) Certifications made with intentional, reckless, or negligent disregard of CDA certification requirements are not correctable. *See Walashek Industrial & Marine, Inc.*, ASBCA No. 52166, 00-1 BCA ¶ 30,728 (finding that the Contractor failed to comply with two prongs of CDA certification requirements); *Keydata Sys, Inc. v. Department of the Treasury*, GSBCA No. 14281-TD, 97-2 BCA ¶ 29,330 (denying the Contractor’s petition for a final decision because it failed to correct substantial certification defects).
- (c) Failure to properly sign or execute claim not correctable. *F Tokyo Co.*, ASBCA No. 59059, Apr. 23, 2014, 14-1 BCA ¶ 35,590; *Teknocraft Inc.*, ASBCA No. 55438, Apr. 3, 2008, 08-1 BCA ¶ 33,846.
- (2) Claim with “Defective Certification.” 41 U.S.C. § 7103(b)(3); RFO FAR 33.205-2 defines a defective certification as one “which alters or otherwise deviates from the language in 33.205-2 or which is not executed by a person duly authorized to bind the contractor with respect to the claim.”
- (a) Exact recitation of the language of 41 U.S.C. § 7103(b)(1) and RFO FAR 33.205-2 is not required—“substantial compliance” suffices. *Fischbach & Moore Int’l Corp. v. Christopher*, 987

F.2d 759 (Fed. Cir. 1993) (substituting the word “understanding” for “knowledge” did not render certificate defective). However, *see URS Energy & Construction, Inc. v. Department of Energy*, CBCA No. 2589, May 30, 2012, 12-1 BCA ¶ 35,055, where the board found the purported certification to be defective and not curable because the first and fourth prong of the CDA certification language were absent.

- (b) Technical defects are correctable. *See* RFO FAR 33.201; RFO FAR 33.205-2(c); H.R. Rep. No. 102-1006, 102d Cong., 2d Sess. 28, reprinted in 1992 U.S.C.C.A. at 3921, 3937. Examples include missing certifications when two or more claims are deemed to be a larger claim requiring certification, and certification by the wrong representative of the Contractor.
- (c) Certifications used for other purposes may be acceptable even though they do not include the language required by the CDA. *See James M. Ellett Const. Co., Inc. v. United States*, 93 F.3d 1537 (Fed. Cir. 1996) (holding that the submission of an SF 1436 termination proposal form satisfied the claim certification requirement of the CDA); *Metric Constructors, Inc.*, ASBCA No. 50843, 98-2 BCA ¶ 30,088; *Zafer Taahhut Insaat Ve Ticaret A.S.*, ASBCA No. 56770, Sept. 14, 2011, 11-2 BCA ¶ 34841 (holding that the Contractor’s submitted REA constituted a claim and was sufficiently certified). *Compare SAE/Americon - Mid-Atlantic, Inc.*, GSBCA No. 12294, 94-2 BCA ¶ 26,890 (holding that the Contractor’s SF 1411 form satisfied the certification requirement, even though it deviated from the required elements of 41 U.S.C. § 7103(b)(1)), *with Scan-Tech Security, L.P. v. United States*, 46 Fed. Cl. 326 (2000) (holding that the use of SF 1411 did not constitute a correctible CDA certification sufficient for the court to exercise jurisdiction).
- (d) The KO need not render a final decision if he notifies the Contractor in writing of the defect within 60 days after receipt of the claim. 41 U.S.C. § 7103(b)(3).

- (e) Interest on a claim with a defective certification shall be paid from the date the Contracting Officer initially received the claim. RFO FAR 33.205-3.
- (f) A defect will not deprive a court or board of jurisdiction, but it must be corrected before entry of a court's final judgment or a board's decision. 41 U.S.C. § 7103(b)(3).

D. Demand for a Sum Certain¹⁹.

1. Where the essence of a dispute is the increased cost of performance, the Contractor must demand a sum certain as a matter of right. *Compare Essex Electro Eng'rs, Inc. v. United States*, 22 Cl. Ct. 757, *aff'd*, 960 F.2d 1576 (Fed. Cir. 1992) (holding that a cost proposal for possible future work did not seek a sum certain as a matter of right);²⁰ *with J.S. Alberici Constr. Co.*, ENG BCA No. 6179, 97-1 BCA ¶ 28,639, *recon. denied*, ENG BCA No. 6179-R, 97-1 BCA ¶ 28,919 (holding that a request for costs associated with ongoing work, but not yet incurred, was a sum certain); *McDonnell Douglas Corp.*, ASBCA No. 46582, 96-2 BCA ¶ 28,377 (holding that a sum certain can exist even if the Contractor has not yet incurred any costs); *Fairchild Indus.*, ASBCA No. 46197, 95-1 BCA ¶ 27,594 (holding that a request based on estimated future costs was a sum certain).
2. A claim states a sum certain if:
 - a. The Government can determine the amount of the claim using a simple mathematical formula. *Metric Constr. Co. v. United States*, 1 Cl. Ct. 383 (1983); *Mulunesh Berhe*, ASBCA No. 49681, 96-2 BCA ¶ 28,339 (simple multiplication of requested monthly rate for lease); *Jepco Petroleum*, ASBCA No. 40480, 91-2 BCA ¶ 24,038 (claim requesting additional \$3 per linear foot of excavation, when multiplied by total of 10,000 feet, produced sum certain).
 - b. Enlarged claim doctrine. Under this doctrine, a BCA or the COFC may exercise jurisdiction over a dispute that involves a sum in excess of that presented to the Contracting Officer for a final decision if:
 - (1) The increase in the amount of the claim is based on the same set of operative facts previously presented to the Contracting Officer; and

¹⁹ See Note 14, concerning the nonjurisdictional nature of the sum certain requirement *supra*.

²⁰ Overruled by *Reflectone, Inc. v. Dalton*, 60 F.3d 1572, 1574-75 (Fed. Cir. 1995) on other grounds.

- (2) The Contractor neither knew nor reasonably should have known, at the time when the claim was presented to the Contracting Officer, of the factors justifying an increase in the amount of the claim. *Johnson Controls World Services, Inc. v. United States*, 43 Fed. Cl. 589 (1999). *See also Stencel Aero Engineering Corp.*, ASBCA No. 28654, 84-1 BCA ¶ 16,951 (finding essential character or elements of the certified claim had not been changed).
 - c. Practice point: After *ECC Int'l Constructors*, where the sum certain requirement is not jurisdictional, but rather a claims processing rule, counsel should review any appeals to the claim for whether a sum certain was presented or risk it being waived. *See e.g., JE Dunn Construction Company*, ASBCA No. 63183 (holding that because the Government did not raise the sum certain issue until after a hearing on the merits, the Government forfeited its right to challenge the Contractor's satisfaction of the sum-certain requirement.)
- E. Supporting Data. Invoices, detailed cost breakdowns, and other supporting financial documentation need *not* accompany a CDA claim as a jurisdictional prerequisite. *H.L. Smith v. Dalton*, 49 F.3d 1563 (Fed. Cir. 1995) (contractor's failure to provide KO with additional information "simply delayed action on its claims"); *John T. Jones Constr. Co.*, ASBCA No. 48303, 96-1 BCA ¶ 27,997 (stating that the Contracting Officer's desire for more information did not invalidate the Contractor's claim submission).
- F. Settlement.
 1. Agencies should attempt to resolve claims by mutual agreement, if possible. RFO FAR 33.104-4, RFO FAR 33.204. *See Pathman Constr. Co., Inc. v. United States*, 817 F.2d 1573 (Fed. Cir. 1987) (stating that a "major purpose" of the CDA is to "induce resolution of contract disputes with the government by negotiation rather than litigation").
 2. Only Contracting Officers or their authorized representatives may normally settle contract claims. *See* RFO FAR 33.205-5; *see also J.H. Strain & Sons, Inc.*, ASBCA No. 34432, 88-3 BCA ¶ 20,909 (refusing to enforce a settlement agreement that the agency's attorney entered into without authority). The Department of Justice (DOJ), however, has plenary authority to settle cases pending before the COFC. *See Executive Business Media v. Department of Defense*, 3 F.3d 759 (4th Cir. 1993).
 3. Contracting Officers are authorized, within the limits of their warrants, to decide or resolve all claims arising under or relating to the contract except for:

- a. A claim or dispute for penalties or forfeitures prescribed by statute or regulation that another Federal agency is specifically authorized to administer, settle, or determine; or
- b. The settlement, compromise, payment, or adjustment of any claim involving fraud.²¹ RFO FAR 33.205-5.

G. Interest.

1. Interest on CDA claims is calculated every six months based on a rate established by the Secretary of the Treasury pursuant to Pub. L. No. 92-41, 85 Stat. 97. 41 U.S.C. § 7109; RFO FAR 33.205-3.
2. Established interest rates can be found at <https://www.fiscal.treasury.gov/prompt-payment/>. Notably, the interest rate for the Prompt Payment Act and the Contract Disputes Act is the same. *See, e.g.*, 89 Fed. Reg. 16616, Notice of prompt payment interest rate; Contract Disputes Act. (“The Contract Disputes Act of 1978 ... and the Prompt Payment Act ... provide for the calculation of interest due on claims at the rate established by the Secretary of the Treasury.”)
3. Interest may begin to accrue on costs before the Contractor incurs them. *See Servidone Constr. Corp. v. United States*, 931 F.2d 860 (Fed. Cir. 1991) (stating that 41 U.S.C. § 611 (recodified as 41 U.S.C. § 7109) “sets a single, red-letter date for the interest of all amounts found due by a court without regard to when the Contractor incurred the costs” thus interest began to accrue on the date of Servidone’s claim, even though they had not yet completed the work and incurred all its costs.); *see also Caldera v. J.S. Alberici Constr. Co.*, 153 F.3d 1381 (Fed Cir. 1998) (holding that 41 U.S.C. § [7109] “trumps” conflicting regulations that prohibit claims for future costs). *But see Raytheon Co. v. White*, 305 F.3d 1354, 1364-65 (holding that the court has never found that 41 U.S.C. [§ 7109] allows interest to accrue on costs a Contractor never incurred due to the termination of a contract).
4. Interest is calculated at a simple rate and is not compounded. *Brookfield Constr. Co. v. United States*, 228 Ct. Cl. 551, 568 n.27 (1981). This

²¹ When a claim is suspected to be fraudulent, the Contracting Officer shall refer the matter to the agency official responsible for investigating fraud. FAR 33.209. To justify a stay in a Board proceeding, the movant has the burden to show there are substantially similar issues, facts and witnesses in civil and criminal proceedings, and there is a need to protect the criminal litigation which overrides any injury to the parties by staying the civil litigation. *Afro-Lecon, Inc. v. United States*, 820 F.2d 1198 (Fed. Cir. 1987); *T. Iida Contracting, Ltd.*, ASBCA No. 51865, 00-1 BCA ¶ 30,626; *Kellogg, Brown & Root Services, Inc.*, ASBCA No. 56358, Nov. 23, 2010, 11-1 BCA ¶ 34,614. In *Suh’dutsing Techs.*, the ASBCA stated the following test: “(1) whether the facts, issues, and witnesses in both proceedings are substantially similar; (2) whether the ongoing investigation or litigation would be compromised by going forward with the case before us; (3) the extent to which the proposed stay would harm the nonmoving party; and (4) whether the duration of the requested stay is reasonable.” ASBCA No. 58760, 15-1 BCA ¶ 36,058.

contrasts with Prompt Payment Act interest, which uses the same rate but compounds every 30 days. RFO FAR 32.5-3(b); 5 C.F.R. 1315.10(a)(3).

H. Termination for Convenience (T4C) Settlement Proposals. RFO FAR 49.108.

1. A contractor may submit a settlement proposal for costs associated with the termination of a contract for the convenience of the government. RFO FAR 49.108-3. *See* Standard Form (SF) 1435, Settlement Proposal (Inventory Basis); SF 1436, Settlement Proposal (Total Cost Basis); SF 1437, Settlement Proposal for Cost-Reimbursement Type Contracts; SF 1438, Settlement Proposal (Short Form).
2. Courts and boards consider T4C settlement proposals to be “nonroutine” submissions under the CDA. *See Ellett Constr. Co., Inc. v. United States*, 93 F.3d 1542 (Fed. Cir. 1996) (stating that “it is difficult to conceive of a less routine demand for payment than one which is submitted when the government terminates a contract for its convenience”).
 - a. Courts and boards, however, do *not* consider T4C settlement proposals to be CDA claims when submitted because contractors normally do not submit them for a Contracting Officer’s final decision—they submit them to facilitate negotiations. *See Ellett*, 93 F.3d at 1537 (T4C settlement proposal was not a claim because the Contractor did not submit it to the Contracting Officer for a final decision); *see also Walsky Constr. Co. v. United States*, 173 F.3d 1312 (Fed. Cir. 1999) (T4C settlement proposal was not a claim because it had not yet been the subject of negotiations with the Government); *cf. Medina Constr., Ltd. v. United States*, 43 Fed. Cl. 537, 551 (1999) (parties may reach an impasse without entering into negotiations if allegations of fraud prevent the Contracting Officer from entering into negotiations).
 - b. A T4C settlement proposal may “ripen” into a CDA claim once settlement negotiations reach an impasse. *See Ellett*, 93 F.3d at 1544 (holding that the Contractor’s request for a final decision following ten months of “fruitless negotiations” converted its T4C settlement proposal into a claim); *Metric Constructors, Inc.*, ASBCA No. 50843, 98-2 BCA ¶ 30,088 (holding that a Contractor’s T4C settlement proposal ripened into a claim when the Contracting Officer issued a unilateral contract modification following the parties’ unsuccessful negotiations); *cf. RFO FAR 49.109-7(f)* (stating that a Contractor may appeal a “settlement by determination” under the Disputes clause unless the Contractor failed to submit its T4C settlement proposal in a timely manner); *Systems Development Corp. v. McHugh*, 658 F.3d 1341, 1345 (Fed. Cir. 2011) (impasse not required for an equitable adjustment).

claim to accrue) *rev'd in part on other grounds, Sikorsky Aircraft Corp. v. United States*, 773 F.3d 1315, 1320-21 (Fed. Cir. 2014).

3. Certification. If a CDA certification is required, the Contractor may rely on the standard certification in whichever SF the FAR requires it to submit. *See Ellett*, 93 F.3d at 1545 (rejecting the Government's argument that proper certification of a T4C settlement proposal is a jurisdictional prerequisite); *see also Metric Constructors, Inc., supra*. (concluding that the Contractor could "correct" the SF 1436 certification to comply with the CDA certification requirements).
4. Interest. The FAR precludes the Government from paying interest under a settlement agreement or determination; however, the FAR permits the Government to pay interest on a contractor's successful appeal. RFO FAR 49.112-2(d). Therefore, the government cannot pay interest on a T4C settlement proposal unless it "ripens" into a CDA claim and the contractor successfully appeals to the ASBCA or the COFC. *See Ellett*, 93 F.3d at 1545 (recognizing the fact that T4C settlement proposals are treated disparately for interest purposes).

I. Statute of Limitations.

1. In 1987, the Federal Circuit concluded that the six-year statute of limitations in the Tucker Act does not apply to CDA appeals. *Pathman Constr. Co. v. United States*, 817 F.2d 1573, 1580 (Fed. Cir. 1987).
2. But in 1994, Congress revised the CDA to impose a six-year statute of limitations. Federal Acquisition Streamlining Act of 1994, Pub. L. No. 103-355, 108 Stat. 3243 (codified at 41 U.S.C. § 7103(a)(4)(A)). *See* RFO FAR 33.205-1(b); *see also Motorola, Inc. v. West*, 125 F.3d 1470 (Fed. Cir. 1997).
 - a. For contracts awarded on or after 1 October 1995, a contractor must submit its claim within six years of the date the claim accrues. *See* RFO FAR 33.205-1(a).
 - b. A claim accrues when "all events, that fix the alleged liability...and permit assertion of the claim, were known or should have been known, and some injury has occurred." *Raytheon Company, Space & Airborne Systems*, ASBCA No. 57801, Apr. 22, 2013, 13-1 BCA ¶ 35,319 (internal quotation marks omitted).
 - c. This statute of limitations provision does **not** apply to Government claims based on Contractor claims involving fraud. *See* RFO FAR 33.205-1(b).
3. The Federal Circuit held that the CDA statute of limitations is not jurisdictional, reversing prior precedent to the contrary. *Sikorsky Aircraft*

Corp. v. United States, 773 F.3d 1315, 1320-22 (Fed. Cir. 2014). In *Sikorsky*, the court held that the Supreme Court effectively overruled *Sebelius v. Auburn Regional Medical Center*, 133 S. Ct. 817 (2013) effectively overruled prior Federal Circuit precedent, including *Systems Development Corp. v. McHugh*, 658 F.3d 1341, 1347 (Fed. Cir. 2011), which held that the CDA statute of limitations was jurisdictional. This has been recognized by the boards of contract appeals. See *Pub. Warehousing Co. K.S.C.*, ASBCA No. 59020, 2016 ASBCA LEXIS 170; *Sys. Mgmt. & Research Techs. Corp. v. Dep't of Energy*, CBCA 4068, 15-1 BCA ¶ 35,976.

- a. The effect of this is that the six-year statute of limitations can no longer be asserted in a motion to dismiss for lack of jurisdiction but can be asserted as an affirmative defense and raised on the merits or in a motion to dismiss for failure to state a claim or motion for summary judgment.

V. GOVERNMENT CLAIMS.

- A. Requirement for Final Decision. 41 U.S.C. § 7103(a)(3); RFO FAR 52.233-1(d)(1).
 1. The government may assert a claim against a contractor; however, the claim must be the subject of a Contracting Officer's final decision. 41 U.S.C. § 7103(a)(3); RFO FAR 52.233-1(d)(1).
 2. A Contractor may immediately appeal a Government claim to the appropriate BCA without submitting a monetary claim of its own to the KO. See *Malone v. United States*, 849 F.2d 1441, 1443-44 (Fed. Cir. 1988).
 3. Some Government actions are immediately appealable.
 - a. Termination for Default. A Contracting Officer's decision to terminate a contract for default is an immediately appealable Government claim. *Independent Mfg. & Serv. Cos. of Am., Inc.*, ASBCA No. 47636, 94-3 BCA ¶ 27,223. See *Malone v. United States*, 849 F.2d 1441, 1443 (Fed. Cir. 1988); cf. *Educators Assoc., Inc. v. United States*, 41 Fed. Cl. 811 (1998) (dismissing a Contractor suit as untimely because the contractor failed to appeal within 12 months of receiving the Contracting Officer's final termination decision).
 - b. Withholding Monies. A Contracting Officer's decision to withhold monies otherwise due the Contractor through a set off is an immediately appealable Government claim. *Placeway Constr. Corp. v. United States*, 920 F.2d 903, 906 (Fed. Cir. 1990); *Sprint*

Communications Co., L.P. v. General Servs. Admin., GSBCA No. 14263, 97-2 BCA ¶ 29,249; *cf. Thomas & Sons Bldg. Contractors, Inc.*, ASBCA No. 51590, Apr. 9, 2002, 02-1 BCA ¶ 31,837 (holding that the ASBCA lacked jurisdiction to hear appeal since the Contractor never submitted the withholding claim to the Contracting Officer).

- c. Cost Accounting Standards (CAS) Determination. A Contracting Officer's decision regarding the allowability of costs under the CAS is often an immediately appealable government claim. *See Newport News Shipbuilding and Dry Dock Co. v. United States*, 44 Fed. Cl. 613 (1999) (holding that the Government's determination that a Government Contractor was not in compliance with CAS requirements was an appealable final decision); *Litton Sys., Inc.*, ASBCA No. 45400, 94-2 BCA ¶ 26,895 (holding that disagreements concerning CAS are disputes under the CDA); *cf. Aydin Corp.*, ASBCA No. 50301, 97-2 BCA ¶ 29,260 (holding that a Contractor's failure to show prejudice from a Contracting Officer's failure to comply with CAS clause was not jurisdictional).
 - d. Miscellaneous Demands. *See Bean Horizon-Weeks (JV)*, ENG BCA No. 6398, 99-1 BCA ¶ 30,134 (holding that a letter sent after an initial appeal demanding repayment for improper work was an appealable final decision); *Outdoor Venture Corp.*, ASBCA No. 49756, 96-2 BCA ¶ 28,490 (holding that the Government's demand that a contract perform corrective work under a warranty clause in a contract was a claim that the Contractor could immediately appeal); *Sprint Communications Co. v. General Servs. Admin.*, GSBCA No. 13182, 96-1 BCA ¶ 28,068. *But see Boeing Co. v. United States*, 25 Cl. Ct. 441 (1992) (holding that a post-termination letter demanding the return of unliquidated progress payments was not appealable); *Iowa-Illinois Cleaning Co. v. General Servs. Admin.*, GSBCA No. 12595, 95-2 BCA ¶ 27,628 (holding that Government deductions for deficient performance are not appealable absent a Contracting Officer's final decision).
4. As a general rule, the Government may *not* assert a counterclaim that has not been the subject of a Contracting Officer's final decision. *Space Age Eng'g, Inc.*, ASBCA No. 26028, 82-1 B.C.A. ¶ 15,766. The Government does, however, have a broad right to assert fraud counterclaims at COFC in the first instance. *See Martin J. Simko Const., Inc. v. United States*, 852 F.2d 540, 544 (Fed. Cir. 1988) (holding that a Government counterclaim against a Contractor for fraud does not require a final decision from a Contracting Officer for the court to have jurisdiction); *Square One Armoring Servs. Co. v. United States*, 152 Fed. Cl. 536, 547 (2021) ("[T]he Contracting Officer's determination of good faith is irrelevant

because the Contracting Officer has no authority to decide a claim involving suspected fraud.”) *citing* 41 U.S.C. § 7103(c).

- B. Contractor Notice. Assertion of a Government claim is usually a two-step process. A letter of a demand gives the Contractor notice of the potential claim and an opportunity to respond. If warranted, the final decision follows. *See* RFO FAR 33.205-6; *Instruments & Controls Serv. Co.*, ASBCA No. 38332, 89-3 BCA ¶ 22,237 (dismissing appeal because final decision not preceded by demand); *see also Ben Horizon-Weeks Marine (JV)*, ENG BCA No. 6398, 99-1 BCA ¶ 30,134 (holding that the Government’s answer to an earlier appeal served as notice, which was then followed by a Contracting Officer’s final decision); *B.L.I. Constr. Co.*, ASBCA No. 40857, 92-2 BCA ¶ 24,963 (stating that “[w]hen the Government is considering action, the Contractor should be given an opportunity to state its position, express its views, or explain, argue against, or contest the proposed action”).
- C. Certification. Neither party is required to certify a Government claim. 41 U.S.C. § 7103(b). *See Placeway Constr. Corp.*, 920 F.2d at 906; *Charles W. Ware*, GSBCA No. 10126, 90-2 BCA ¶ 22,871; *Triasco Corp.*, ASBCA No. 42465, 91-2 BCA ¶ 23,969 (“Where the basic subject matter of a dispute concerns a Government claim and not a claim by the Contractor, certification is not required.”); A Contractor, however, must certify its request for interest on monies deducted or withheld by the Government. *General Motors Corp.*, ASBCA No. 35634, 92-3 BCA ¶ 25,149.
- D. Contractor defenses. When a Contractor seeks a modification of contract terms as a defense to a Government action, they must meet the jurisdictional and procedural prerequisites of the CDA—i.e. the modification must first be submitted as a Contractor claim and receive a final decision from a Contracting Officer. *M. Maropakis Carpentry, Inc. v. United States*, 609 F.3d 1323, 1331 (Fed. Cir. 2010). *But see Laguna Construction Company v. Carter*, 828 F.3d 1364, 1368-69 (Fed. Cir. 2016) (holding that an agency’s affirmative defense of prior material breach was not a “claim” and therefore not required to be submitted to a Contracting Officer for a final decision). Determining whether a Contractor defense is also a claim typically revolves around whether the asserted defense would “effectively request a change in the contract” like an extension of time, contract modification, or an equitable adjustment. *H&M Assocs., LLC v. United States*, 165 Fed. Cl. 174, 183 (citing *Securiforce Int’l Am., LLC v. United States*, 879 F.3d 1354, 1363)
- E. Interest. Interest on a government claim begins to run when the Contractor receives the government’s initial written demand for payment. RFO FAR 52.232-17.
- F. Finality. Once the Contracting Officer’s decision becomes final the Contractor cannot challenge the merits of that decision judicially. 41 U.S.C. § 7103(g). A contractor has 90 days from the date of receipt of a Contracting Officer’s decision

to appeal to an agency board. 41 U.S.C. § 7104(a). Alternatively, the Contractor has 12 months to file an appeal in the Court of Federal Claims. 41 U.S.C. § 7104(b)(1). *See Seaboard Lumber Co. v. United States*, 903 F.2d 1560, 1562 (Fed. Cir. 1990); *L.A. Constr., Inc.*, 95-1 BCA ¶ 27,291 (holding that despite both parties testified on the merits during the hearing, the failure to file a timely appeal on one claim required the dismissal of that claim, as the Board lacked jurisdiction).

VI. FINAL DECISIONS.

General. The Contracting Officer must issue a *written* final decision on all claims. 41 U.S.C. § 7103(d); FAR 33.206; FAR 33.211(a). *See Tyger Constr. Co.*, ASBCA No. 36100, 88-3 BCA ¶ 21,149. For proper subject matter jurisdiction to exist, the relevant final decision must be issued by the proper Contracting Officer. *McDonnell Douglas Corp.*, ASBCA No. 44637, 93-2 BCA ¶ 25,700 (dismissing the Contractor's appeal of a government claim for non-compliance with CAS because final decision was issued by the procuring Contracting Officer instead of the cognizant administrative Contracting Officer, as required by the RFO FAR and DFARS).

- A. Time Limits. A Contracting Officer must issue a final decision on a Contractor's claim within certain statutory time limits. 41 U.S.C. § 7103(f); RFO FAR 33.205-6.
1. Claims of \$100,000 or less. 41 U.S.C. § 7103(f)(1) The Contracting Officer must issue a final decision within 60 days.
 2. Certified Claims Exceeding \$100,000. The Contracting Officer must take one of the following actions within 60 days:
 - a. Issue a final decision 41 U.S.C. § 7103(f)(2); or
 - b. Notify the Contractor of a firm date by which the Contracting Officer will issue a final decision.²² *See Boeing Co. v. United States*, 26 Cl. Ct. 257 (1992); *Aerojet Gen. Corp.*, ASBCA No. 48136, 95-1 BCA ¶ 27,470 (concluding that the Contracting Officer failed to provide a firm date by making the timely issuance of a final decision contingent on the Contractor's cooperation in providing additional information); *Inter-Con Security Sys., Inc.*,

²² The Contracting Officer must issue the final decision within a reasonable period. What constitutes a "reasonable" period depends on the size and complexity of the claim, the adequacy of the contractor's supporting data, and other relevant factors. 41 U.S.C. § 7103(f)(3); RFO FAR 33.205-6. *Compare Defense Sys. Co.*, ASBCA No. 50534, 97-1 BCA ¶ 28,981 (holding that nine months to review a \$72 million claim was reasonable) *with Eaton Contract Servs., Inc.*, ASBCA Nos. 54054, 54055, 03-2 BCA ¶ 32,273 (holding that a three-month delay for an audit was unreasonable, since the claims underlying the appeal had been submitted to the government on two prior occasions over two years).

ASBCA No. 45749, 93-3 BCA ¶ 26,062 (concluding that the Contracting Officer failed to provide a firm date by stating they would render a final decision within 60 days of receiving an audit report form); *Suh'dutsing Techs., LLC*, ASBCA No. 58760, 14-1 BCA ¶ 35,596 (concluding that Contracting Officer statement that he needed “at least another sixty days” was too indefinite to comply with the requirements of 41 U.S.C. 7103(f)(2)(B)).

3. Uncertified and Defectively Certified Claims Exceeding \$100,000.

a. The Contracting Officer has no obligation to issue a final decision on a claim that exceeds \$100,000 if the claim is:

- (1) Uncertified RFO FAR 33.205-6(c); or
- (2) Defectively certified RFO FAR 33.205-6(e). If so, the Contracting Officer must notify the Contractor, in writing, within 60 days of the date the Contracting Officer received the claim of the reason(s) why any attempted certification was defective.

4. Failure to Issue a Final Decision.

a. If the Contracting Officer fails to issue a final decision within a reasonable period of time, the Contractor can:

- (1) Request the tribunal concerned to direct the Contracting Officer to issue a final decision. 41 U.S.C. § 7103(f)(4); RFO FAR 33.205-6(f). *See American Industries*, ASBCA No. 26930-15, 82-1 BCA ¶ 15,753.
- (2) Treat the Contracting Officer's failure to issue a final decision as an appealable final decision (*i.e.*, a “deemed denial”). 41 U.S.C. § 7103(f)(5); RFO FAR 33.205-6(g). *See Aerojet Gen. Corp.*, ASBCA No. 48136, 95-1 BCA ¶ 27,470.

b. A BCA, however, cannot direct the Contracting Officer to issue a more detailed final decision than the Contracting Officer has already issued. *A.D. Roe Co.*, ASBCA No. 26078, 81-2 BCA ¶ 15,231.

B. Format. 41 U.S.C. § 7103(e); RFO FAR 33.205-6(a)(4).

1. The final decision must be written. *Tyger Constr. Co.*, ASBCA No. 36100, 88-3 BCA ¶ 21,149.
2. In addition, the final decision must:

- a. Describe the claim or dispute;
- b. Refer to the pertinent or disputed contract terms;
- c. State the disputed and undisputed facts;
- d. State the decision and explain the Contracting Officer's rationale;
- e. Advise the Contractor of its appeal rights; and
- f. Demand the repayment of any indebtedness to the Government.

3. Rights Advisement.

- a. RFO FAR 33.205-6(a)(4) specifies that the final decision should include paragraphs substantially as follows:

This is the final decision of the Contracting Officer. You may appeal this decision to the agency board of contract appeals. If you decide to appeal, you must, within 90 days from the date you receive this decision, mail, or otherwise furnish written notice to the agency board of contract appeals and provide a copy to the Contracting Officer from whose decision this appeal is taken. The notice shall indicate that an appeal is intended, reference this decision, and identify the contract by number.

With regard to appeals to the agency board of contract appeals, you may, solely at your election, proceed under the board's-

(1) Small claim procedure for claims of \$50,000 or less or, in the case of a small business concern (as defined in the Small Business Act and regulations under that Act), \$150,000 or less; or

(2) Accelerated procedure for claims of \$100,000 or less.

Instead of appealing to the agency board of contract appeals, you may bring an action directly in the United States Court of Federal Claims (except as provided in 41 U.S.C. § 7102(d), regarding Maritime Contracts) within 12 months of the date you receive this decision.

- b. Failure to properly advise the contractor of its appeal rights may prevent the "appeals clock" from starting. If the Contracting

Officer's rights advisory is deficient, the contractor must demonstrate that, but for its detrimental reliance upon the faulty advice, its appeal would have been timely. *Decker & Co. v. West*, 76 F.3d 1573, 1580 (Fed. Cir. 1996).

4. Specific findings of fact are not required and, if made, are *not* binding on the government in any subsequent proceedings. *See* 41 U.S.C. § 7103(e); *Wilner v. United States*, 24 F.3d 1397 (Fed. Cir. 1994) (concluding that admissions favorable to the Contractor do not constitute evidence of government liability).

C. Delivery. 41 U.S.C. § 7103(d); RFO FAR 33.205-6(b).

1. The Contracting Officer must mail (or otherwise furnish) a copy of the final decision to the Contractor. *See Images II, Inc.*, ASBCA No. 47943, 94-3 BCA ¶ 27,277 (holding that receipt by the Contractor's employee constituted proper notice).
 - a. Delivery by FAX is sufficient to begin the 90-day appeal period. *Tyger Const. Co., Inc.*, ASBCA No. 36100, 88-3 BCA ¶ 21,149.
2. The Contracting Officer should use certified mail, return receipt requested, or by any other method that provides evidence of receipt. RFO FAR 33.205-6(b).
 - a. For example, if hand-delivering a final decision, the Contracting Officer should require the Contractor to sign for the document.
 - b. When using a FAX transmission, the Contracting Officer should confirm receipt with the Contractor. *See Mid-Eastern Indus., Inc.*, ASBCA No. 51287, 98-2 BCA ¶ 29,907 (concluding that the Government established a prima facie case by presenting evidence showing that it successfully transmitted the final decision to the Contractor's FAX number and the Contractor failed to contradict that evidence); *see also Public Service Cellular, Inc.*, ASBCA No. 52489, 00-1 BCA ¶ 30,832 (holding that a transmission via FAX is insufficient evidence of receipt of a final decision without independent evidence the Contractor received the FAX); *Riley & Ephriam Constr. Co., Inc. v. United States*, 408 F.3d 1369 (Fed. Cir. 2005) (holding that the Government's evidence of receipt—a FAX cover sheet, phone records, and a statement from the Contracting Officer that the machine indicated successful transmission—was insufficient evidence to infer receipt).
 - c. Email is okay but be sure to get 'read' receipts or request confirmation. *Aerospace Facilities Group, Inc.*, ASBCA No. 61026, 18-1 BCA ¶ 37105. ("This Board has consistently held that

the Government may transmit a final decision to the Contractor through fax, hand delivery, or email with evidence of receipt.”); *Military Aircraft Parts*, ASBCA No. 60308, 2017-1 BCA P 36,680 (email sufficient for transmitting the COFD; however, the Government failed to meet its burden to show the Contractor received the COFD); *Singleton Enterprises*, ASBCA No. 58235, 2014-1 BCA P 35,554 (the 90-day clock started to run when the Contractor received the COFD through email).

3. The Contracting Officer should preserve all evidence of the date the Contractor received the Contracting Officer’s final decision. *See Omni Abstract, Inc.*, ENG BCA No. 6254, 96-2 BCA ¶ 28,367 (relying on a Government attorney’s affidavit to determine when the 90-day appeals period started); *Trygve Dale Westergard v. Services Administration*, CBCA No. 2522, Sept. 15, 2011 (denying the Government request to dismiss the appeal as untimely because the Contracting Officer submitted the final decision to the Contractor via e-mail and could not provide any proof of a return receipt).

D. Independent Act of a Contracting Officer.

1. The final decision must be the Contracting Officer’s personal, independent act. *Compare PLB Grain Storage Corp. v. Glickman*, 113 F.3d 1257 (Fed. Cir. 1997) (unpub.) (holding that although a committee of individuals instructed the Contracting Officer to terminate a contract, the Contracting Officer’s review, agreement with, and revision of the termination order prior to its execution constituted a valid independent act) and *Charitable Bingo Associates d/b/a Mr. Bingo, Inc.*, ASBCA Nos. 53249, 53470, 05-01 BCA ¶ 32,863 (holding that a Contracting Officer utilized independent judgment in terminating appellant’s contract, even though that decision conformed to a policy memorandum issued by the Assistant Secretary of the Army (MR&A) prohibiting Contractor-operated bingo programs within the Army MWR programs) aff’d ASBCA No. 53470, 53249 05-02 BCA ¶ 33,088 with *Climatic Rainwear Co. v. United States*, 88 F. Supp. 415 (Ct. Cl. 1950) (holding that a termination was improper because the Contracting Officer’s attorney prepared the termination findings without the Contracting Officer’s participation).
2. The Contracting Officer should seek assistance from specialists, including engineers, attorneys, auditors, and other advisors, when appropriate. *See* RFO FAR 1.402-2; RFO FAR 33.205-6(a)(2) (requiring the Contracting Officer to seek assistance from “legal and other advisors”); *see also Pacific Architects & Eng’rs, Inc. v. United States*, 203 Ct. Cl. 499, 517 (1974) (“[I]t is unreasonable to construe the requirement for decision by the Contracting Officer to preclude the obtaining of legal advice, and particularly where the Contracting Officer is not a lawyer.”); *Prism Constr. Co.*, ASBCA No. 44682, 97-1 BCA ¶ 28,909 (indicating that the

Contracting Officer is not required to independently investigate the facts of a claim before issuing final decision); *Environmental Devices, Inc.*, ASBCA No. 37430, 93-3 BCA ¶ 26,138 (“[I]t is difficult to imagine how [a Contracting Officer] could make an informed decision about the best interests of the Government without consulting with the agency [personnel] most affected by the contract.”).

E. Finality. 41 U.S.C. § 7103(g).

1. A final decision is binding and conclusive and not subject to review unless timely appealed.
2. Reconsideration of a final decision.
 - a. A Contracting Officer may reconsider, withdraw, or rescind a final decision before the expiration of the appeals period. *General Dynamics Corp.*, ASBCA No. 39866, 91-2 BCA ¶ 24,017. *Cf. Daniels & Shanklin Constr. Co.*, ASBCA No. 37102, 89-3 BCA ¶ 22,060 (rejecting the Contractor’s assertion that the Contracting Officer could not withdraw a final decision granting its claim, and indicating that the Contracting Officer has an obligation to do so if the final decision is erroneous).
 - b. The Contracting Officer’s rescission of a final decision, however, will not necessarily deprive a BCA of jurisdiction because jurisdiction vests as soon as the Contractor files its appeal. *See Sec. Servs., Inc.*, GSBCA No. 11052, 92-1 BCA ¶ 24,704; *cf. McDonnell Douglas Astronautics Co.*, ASBCA No. 36770, 89-3 BCA ¶ 22,253 (indicating that the Board would sustain a Contractor’s appeal if the Contracting Officer withdrew the final decision after the Contractor filed its appeal). *But see Wimberley, Allison, Tong & Goo*, ASBCA No. 56432, 10-1 BCA ¶ 34,365 (finding, in the context of a Government claim, that rescission of the final decision robs the board of jurisdiction as no claim remains).
 - c. A Contracting Officer may vacate his or her final decision unintentionally by agreeing to meet with the Contractor to discuss the matters in dispute. *See Sach Sinha & Assocs.*, ASBCA No. 46916, 95-1 BCA ¶ 27,499 (finding that the Contracting Officer “reconsidered” her final decision after she met with the Contractor as a matter of “business courtesy” and requested the Contractor to submit its proposed settlement alternatives in writing); *Royal Int’l Builders Co.*, ASBCA No. 42637, 92-1 BCA ¶ 24,684 (“The issue to be resolved with respect to vitiation of “finality” is whether the Contractor has presented evidence showing it reasonably or objectively could have concluded that the CO’s decision was being

reconsidered.”) (holding that the Contracting Officer “destroyed the finality of his initial decision” by agreeing to meet with the Contractor, even though the meeting was cancelled and the Contracting Officer subsequently sent the Contractor a letter stating his intent to stand by his original decision).

- d. To restart the appeal period after reconsidering a final decision, the Contracting Officer must issue a new final decision. *Information Sys. & Networks Corp. v. United States*, 17 Cl. Ct. 527 (1989); *Sach Sinha and Assocs.*, ASBCA No. 46916, 95-1 BCA ¶ 27,499; *Birken Mfg. Co.*, ASBCA No. 36587, 89-2 BCA ¶ 21,581.
3. The *Fulford* Doctrine. A Contractor may dispute an underlying default termination as part of a timely appeal from a Government demand for excess procurement costs, even though the Contractor failed to appeal the underlying default termination in a timely manner. *Fulford Mfg. Co.*, ASBCA No. 2143, 6 CCF ¶ 61,815 (May 20, 1955); *Deep Joint Venture*, GSBGA No. 14511, 02-2 BCA ¶ 31,914; *RO.VIB. Srl*, ASBCA No. 56198, 09-1 BCA ¶ 34,068.

VII. APPEALS TO THE ARMED SERVICES BOARD OF CONTRACT APPEALS (ASBCA).

- A. The Right to Appeal. 41 U.S.C. § 7104(a). A Contractor may appeal a Contracting Officer’s final decision to an agency BCA.
- B. The Armed Services Board of Contract Appeals (ASBCA).
 1. The ASBCA consists of 25-30 administrative judges who dispose of approximately 800-900 appeals per year.
 2. ASBCA judges specialize in contract disputes and come from both the government and private sectors. Each judge has at least five years of experience working in the field of government contract law. *See* 41 U.S.C. 7105(a)(2)
 3. The Rules of the Armed Services Board of Contract Appeals appear in Appendix A of the DFARS (48 C.F.R. Chapter 2, Appendix A, Part 2). They are also published on the ASBCA’s website.
<https://www.asbca.mil/Rules-and-Guidance/>
- C. Jurisdiction. 41 U.S.C. § 7105(e)(1)(A). The ASBCA has jurisdiction to decide appeals regarding contracts²³ made by:

²³ An appellant “need only allege the existence of a contract to establish the Board’s jurisdiction under the CDA.” *American General Trading & Contracting, WLL*, ASBCA No. 56758, 12-1 BCA ¶ 34,905 at 171,640 *quoting*

1. The Department of Defense; or
 2. An agency that has designated the ASBCA to decide the appeal.
- D. Standard of Review. The ASBCA will review the appeal de novo. *See* 41 U.S.C. § 7103(e) (indicating that the Contracting Officer’s specific findings of fact are not binding in any subsequently proceedings); *see also Wilner v. United States*, 24 F.3d 1397 (Fed. Cir. 1994) (en banc); *Precision Specialties, Inc.*, ASBCA No. 48717, 96-1 BCA ¶ 28,054 (“The Contracting Officer’s [final decision] . . . retains no presumptive evidentiary weight, nor is it binding on the Board.”).
1. *Exception: Bad Faith.* Allegations of bad faith against Government officials must be substantiated with clear and convincing evidence or “well-nigh irrefragable proof.” *IMS Eng’rs-Architects, P.C.*, ASBCA No. 53471, 06-1 BCA ¶ 33,231 *citing Am-Pro Protective Agency, Inc. v. United States*, 281 F.3d 1234 (Fed. Cir. 2002), *aff’d*, 362 F.3d 1343 (Fed. Cir. 2004).
 2. *Exception: Discretionary Acts.* Certain Contracting Officer actions that are discretionary in nature are reviewed on a more forgiving “abuse of discretion” standard, most notably terminations for default. *Third Coast Fresh Distrib., LLC*, ASBCA No. 59696, 16-1 BCA ¶ 36,340 *citing Gen. Injectables & Vaccines, Inc. v. Gates*, 519 F.3d 1360, 1363 (Fed. Cir. 2008).
- E. Perfecting an Appeal.
1. Requirement. A Contractor’s notice of appeal (NOA) shall be mailed or otherwise furnished to the Board within 90 days from the date of receipt of the final decision. A copy shall be furnished to the Contracting Officer. 41 U.S.C. § 7104(a); ASBCA Rule 1(a). *See Cosmic Constr. Co. v. United States*, 697 F.2d 1389 (Fed. Cir. 1982) (holding that the 90-day filing requirement for an appeal is statutory and cannot be waived by the Board); *Rex Sys, Inc.*, ASBCA No. 50456, 98-2 BCA ¶ 29,956 (holding that a Contractor’s failure to send a copy of the notice of appeal to the Contracting Officer did not invalidate the appeal).
 2. Filing an appeal with the Contracting Officer can satisfy the Board’s notice requirement. *See Hellenic Express*, ASBCA No. 47129, 94-3 BCA

Engage Learning, Inc. v. Salazar, 660 F.3d 1346, 1353 (Fed. Cir. 2011). An appellant “need not prove that either an express or implied-in-fact contract exists. Whether such a contract was formed and breached goes to the merits of the appeal.” *Tele-Consultants, Inc.*, ASBCA No. 58129, 13 BCA ¶ 35,234 at 172,994. However, an appellant must be able to make a non-frivolous allegation that a contract existed between it and the government. *Leviathan Corporation*, ASBCA No. 58659, 16-1 BCA ¶ 36,372 at 177,294; *see also Tech Projects*, ASBCA No. 58789, 15-1 BCA ¶ 35,940; *Safeco Insurance Company of America*, ASBCA No. 60952, 17-1 BCA ¶ 36,819 (dismissing appeal where contractor failed to make a “non-frivolous” allegation that an implied-in-fact contract existed).

¶ 27,189 *citing Yankee Telecomm. Lab.*, ASBCA No. 25240, 82-2 BCA ¶ 15,515 (“filing an appeal with the Contracting Officer is tantamount to filing with the Board”); *cf. Brunner Bau GmbH*, ASBCA No. 35678, 89-1 BCA ¶ 21,315 (holding that serving a letter to the Government counsel constituted a proper filing of a notice of appeal).

3. Methods of filing.

a. Mail. The written NOA can be sent to the ASBCA or to the Contracting Officer via the U.S. Postal Service. *See Thompson Aerospace, Inc.*, ASBCA Nos. 51548, 51904, 99-1 BCA ¶ 30,232 (holding that a NOA postmarked to a Contracting Officer on the final day of the filing period was timely, even though it was returned to sender for insufficient postage).

(1) NOAs sent via commercial delivery services (i.e. not the U.S. Postal Service) are not treated as “delivered” on the day of mailing for the purposes of the filing period. *North Coast Remfg., Inc.*, ASBCA No. 38599, 89-3 BCA ¶ 22,232 (“The United States mail service is the only exception to actual delivery to our premises.... A commercial courier service cannot be awarded the same status under our rules as the one the U.S. mail service has been afforded for decades.”) quoting *Tyger Constr. Co.*, ASBCA No. 36100, 88-3 BCA ¶ 21,149.

b. Email. A NOA may be sent via email as well at asbca.recorder@army.mil. The contractor should cc the Contracting Officer when doing so. *See* ASBCA [Document Filing Guidance](#).

4. Contents. An adequate notice of appeal must:

a. Be in writing. *See Lows Enter.*, ASBCA No. 51585, 00-1 BCA ¶ 30,622 (holding that verbal notice is insufficient under the CDA).

b. Express dissatisfaction with the Contracting Officer’s decision;

c. Manifest an intent to appeal the decision to a higher authority. *See e.g., McNamara-Lunz Vans & Warehouse, Inc.*, ASBCA No. 38057, 89-2 BCA ¶ 21,636 (concluding that a letter stating that “we will appeal your decision through the various avenues open to us” adequately expressed the contractor’s intent to appeal); *cf. Stewart-Thomas Indus., Inc.*, ASBCA No. 38773, 90-1 BCA ¶ 22,481 (stating that a Contractor’s intent to appeal to the ASBCA must be unequivocal); *Birken Mfg. Co.*, ASBCA No. 37064, 89-1 BCA ¶ 21,248 (concluding that an electronic message to the

termination Contracting Officer did not express a clear intent to appeal); and

- d. Be timely. 41 U.S.C. § 7104(a), (b)(3); ASBCA Rule 1(a); *Thompson Aerospace, Inc.*, ASBCA Nos. 51548, 51904, 99-1 BCA ¶ 30,232.

- (1) A Contractor must file an appeal with a BCA within 90 days of the date it received the Contracting Officer's final decision. 41 U.S.C. § 7104. So far, the 90-day filing deadline is still deemed to be jurisdictional, notwithstanding the Federal Circuit's decision in *Sikorsky* regarding the six-year deadline for claims not being jurisdictional. *Military Aircraft Parts*, ASBCA No. 60139, 16-1 BCA ¶ 36,390; *Estes Bros. Constr., Inc. v. Dep't of Transp.*, CBCA 4963, 15-1 BCA ¶ 36,166.
- (2) In computing the time taken to appeal (ASBCA Rule 5(b)):
 - (a) Exclude the day the Contractor received the Contracting Officer's final decision; and
 - (b) If the 90th day is a Saturday, Sunday, or legal holiday, the appeals period shall run to the end of the next business day.

- e. The NOA should also (ASBCA Rule 1(b)):

- (1) Identify the contract, the department or agency involved in the dispute, the decision from which the Contractor is appealing, and the amount in dispute; and
- (2) Be signed by the Contractor taking the appeal or the Contractor's duly authorized representative or attorney.

- 5. The ASBCA construes appeal notices liberally. It only requires that an NOA (1) expresses dissatisfaction with the Contracting Officer's decision; (2) indicates an intention to appeal the decision to a higher authority; and (3) is filed in writing within the requisite time period. *Thompson Aerospace, Inc.*, ASBCA Nos. 51548, 51904, 99-1 BCA ¶ 30,232.

F. Regular Appeals.

- 1. Docketing. ASBCA Rule 1(c). The Recorder assigns a docket number and notifies the parties in writing.
- 2. Rule 4 (R4) File. ASBCA Rule 4.

- a. The Government must assemble and transmit an appeal file to the ASBCA and the appellant within 30 days of the date the Notice to Appeal—not the docketing notice, to include:
 - (1) The decision from which the appeal is taken;
 - (2) The contract, including pertinent specifications, amendments, plans, and drawings;
 - (3) All correspondence between the parties relevant to the appeal, including any claim in response to which the decision was issued.
 - b. The R4 file should contain the relevant documents (*e.g.*, the final decision, the contract, and the pertinent correspondence).
 - c. The appellant may supplement the R4 file within 30 days of the date it receives its copy.²⁴
3. Complaint. ASBCA Rule 6(a).
- a. The appellant must file a complaint within 30 days of the date it receives the ***docketing notice***. Recently, Contractors have increasingly requested the Board to order the Government to file the complaint in the case of government claims. To prevail on a request, the Contractor must demonstrate that requiring the Government to file the complaint will “facilitate efficient resolution of the appeal,” such as when “relevant information concerning the basis of the claim resides with the Government, and not the appellant.” *BAE Sys. Land & Armaments Inc.*, ASBCA No. 59374, 15-1 BCA ¶ 35,817.
 - b. The Board does not require a particular format; however, the complaint should set forth:
 - (1) Simple, concise, and direct statements of the appellant’s claims;
 - (2) The basis of each claim; and
 - (3) The amount of each claim, if known.
 - c. If sufficiently detailed, the board may treat the NOA as the complaint.

²⁴ As a practical matter, the ASBCA generally allows either party to supplement the R4 file up to the date of the hearing.

4. Answer. ASBCA Rule 6(b).
 - a. The Government must answer the complaint within 30 days of the date it receives the complaint.
 - b. The answer should set forth simple, concise, and direct statements of the Government's defenses to each of the appellant's claims, including any affirmative defenses.
 - c. The Board may enter a general denial on the Government's behalf if the Government fails to file its answer in a timely manner.
5. Discovery. ASBCA Rule 8.
 - a. The parties may only serve discovery after meeting and conferring about their discovery needs; this meeting must take place no later than 45 days after the pleadings are filed. ASBCA Rule 8(a).
 - b. The Board encourages the parties to engage in voluntary discovery.
 - c. Discovery may include depositions, interrogatories, requests for the production of documents, and requests for admission. ASBCA Rule 8(b)-(c).
 - d. When appropriate, the Board looks to case law interpreting the Federal Rules of Civil Procedure to resolve discovery disputes. *See e.g., Sand Point Services, LLC*, ASBCA No. 61819, 21-1 BCA ¶ 37,785 (using Federal Rules of Civil Procedure 26 and 34 to evaluate the reasonableness of a discovery subpoena).
6. Pre-Hearing Conferences. ASBCA Rule 9. The board may hold pre-hearing conferences to discuss matters that will facilitate the processing and disposition of the appeal.
7. Motions. ASBCA Rule 7.
 - a. Parties must file jurisdictional motions promptly; however, the Board may defer its ruling until the hearing. ASBCA Rule 7(b).
 - b. Parties may also file appropriate non-jurisdictional motions.
8. Record Submissions. ASBCA Rule 11.
 - a. Either party may waive its right to a hearing and submit its case on the written record. ASBCA Rule 11(a).
 - b. The parties may supplement the record with affidavits, depositions, admissions, and stipulations when they choose to submit their case

on the written record. ASBCA Rule 11(a). *See Solar Foam Insulation*, ASBCA No. 46921, 94-2 BCA ¶ 26,901 (holding that a Contractor's submission of sworn declarations of two witnesses was in compliance with Rule 11, and not inconsistent with the parties' agreement to rely on the record).

9. Hearings. ASBCA Rule 10.
 - a. The Board will schedule the hearing and choose the location. ASBCA Rule 10(a).
 - b. Hearings are relatively informal; however, the board generally adheres to the Federal Rules of Evidence. ASBCA Rule 10(c).
 - c. Both parties may offer evidence in the form of testimony and exhibits. ASBCA Rule 10(c).
 - d. Witnesses generally testify under oath and are subject to cross-examination. ASBCA Rule 10(d).
 - e. The board may subpoena witnesses and documents. ASBCA Rule 22.
 - f. A court reporter will prepare a verbatim transcript of the proceedings. ASBCA Rule 10(f).
10. Briefs. ASBCA Rule 14. The judge may order post-hearing briefs after the parties receive the transcript and/or the record is closed. The judge may also order pre-hearing briefs; if not, any party may choose to file one.
11. Representation.²⁵ ASBCA Rule 15.
 - a. An individual may represent his or her interests before the Board. ASBCA Rule 15(a).
 - b. A corporation may be represented by one of its officers. ASBCA Rule 15(a). *See Smart Construction & Engineering Co.*, ASBCA No. 59534, 15-1 BCA ¶ 36,018 (dismissing appeal where representative fails to establish that it is a corporate officer of appellant).
 - c. A partnership or joint venture may be represented by one of its members. ASBCA Rule 15(a).

²⁵ *Pro se* litigants are given leeway by the Board with regard to administrative matters but are otherwise accorded no special consideration. *See Environmental Safety Consultants, Inc.*, ASBCA No. 47498, 00-1 BCA ¶ 30,826 at 152, 143.

- d. An attorney at law, duly licensed in any state, commonwealth, territory, the District of Columbia, or in a foreign country, may represent an appellant. ASBCA Rule 15(a).
- 12. Decisions. ASBCA Rule 19.
 - a. The ASBCA issues written decisions. ASBCA Rule 19(a).
 - b. The presiding judge normally drafts the decision; however, three judges decide the case.
- 13. Motions for Reconsideration. ASBCA Rule 20.
 - a. Either party may file a motion for reconsideration within 30 days of the date it receives the board's decision.
 - b. Motions filed after 30 days are untimely. *Arctic Corner, Inc.*, ASBCA No. 33347, 92-2 BCA ¶ 24,874 (holding that since a motion to reconsider was filed more than 30 days after the date the party received the decision, it was untimely); *Bio-temp Scientific, Inc.*, ASBCA No. 41388, 95-2 BCA ¶ 86,242.
 - c. An extension to file a memorandum in support of an otherwise timely-filed motion may be granted by the Board.
 - d. Absent unusual circumstances, a party may not use a motion for reconsideration to correct errors in its initial presentation. *Metric Constructors, Inc.*, ASBCA No. 46279, 94-2 BCA ¶ 26,827.
- 14. Appeals. Either party may appeal to the Court of Appeals for the Federal Circuit (CAFC) within 120 days of the date it receives the board's decision; however, the government must also receive prior approval from the Attorney General. 41 U.S.C. § 7107(a)(1)(B).
- G. Accelerated Appeals. 41 U.S.C. § 7106; ASBCA Rule 12.3.
 - 1. If the amount in dispute is \$100,000 or less, the Contractor may choose to proceed under the Board's accelerated procedures. 41 U.S.C. § 7106(a).
 - 2. The Board renders its decision, whenever possible, within 180 days from the date it receives the Contractor's election of an accelerated appeal. ASBCA Rule 12.3(a). Therefore, the Board encourages the parties to limit (or waive) pleadings, discovery, and briefs. *Id.*
 - 3. The presiding judge normally issues the decision with the concurrence of a vice chairman. If these two individuals disagree, the chairman will cast the deciding vote. ASBCA Rule 12.3(c).

4. Either party may appeal to the CAFC within 120 days of the date it receives the decision. 41 U.S.C. § 7107(a)(1)(A).
- H. Small Claims (Expedited) Appeals. 41 U.S.C. § 7106; ASBCA Rule 12.2.
1. The rules for expedited appeals of Contracting Officer decisions apply if:
 - a. The amount in dispute is \$50,000 or less; or
 - b. The claim involves a small business concern (as defined in the Small Business Act and regulations under that Act), and the \$150,000 or less, the contractor may choose to proceed under the board's expedited procedures. 41 U.S.C. § 7106(b)(1).
 2. The board renders its decision, whenever possible, within 120 days from the date it receives the contractor's election; therefore, the board uses very streamlined procedures (e.g., accelerated pleadings, extremely limited discovery, etc.). 41 U.S.C. § 7106(b)(3).
 3. The presiding judge decides the appeal.
 - a. Written decisions contain only summary finds of fact and conclusions. ASBCA Rule 12.2(c)
 - b. The presiding judge may issue an oral decision from the bench and follow up with a memorandum to formalize the decision. *Id.*
 4. Neither party may appeal the decision, and the decision has no precedential value. *See Palmer v. Barram*, 184 F.3d 1373 (Fed. Cir. 1999) (holding that a small claims decision is only appealable for fraud in the proceedings).
- I. Remedies.
1. The Board may grant any relief that would be available to a litigant asserting a contract claim in the COFC. 41 U.S.C. § 7105(e)(2).
 - a. Money damages is the principal remedy sought.
 - b. The board may issue a declaratory judgment. *See Malone v. United States*, 849 F.2d 1441 (Fed. Cir. 1988) (holding that the Contractor validly terminated a contract due to the Government's default).
 - c. The Board may award attorney's fees pursuant to the Equal Access to Justice Act (EAJA). 5 U.S.C. § 504. *See Hughes Moving & Storage, Inc.*, ASBCA No. 45346, 00-1 BCA ¶ 30,776 (granting attorney's fees to a Contractor in termination for default case); *Oneida Constr., Inc.*, ASBCA No. 44194, 95-2 BCA ¶ 27,893

(holding that the Contractor’s rejection of the agency settlement offer, which was more than the amount the Board subsequently awarded, did not preclude recovery of attorney’s fees under the Equal Access to Justice Act); *cf. Cape Tool & Die, Inc.*, ASBCA No. 46433, 95-1 BCA ¶ 27,465 (finding rates in excess of the \$75 per hour guideline rate reasonable for attorneys in the Washington D.C. area with government contracts expertise). *Q.R. Sys. North, Inc.*, ASBCA No. 39618, 96-1 BCA ¶ 27,943 (that a Contractor could not transfer corporate assets to fall within the Equal Access to Justice Act’s ceiling). Note: “No award for the fee of an attorney or agent may exceed \$125 per hour.” Rules of the ASBCA, Addendum I, Equal Access to Justice Act Procedures (Revised 21 July 2014), at (e)(2).

2. The Board need not rely on a remedy-granting clause in a contract to grant relief. See *S&W Tire Serv., Inc.*, GSBCA No. 6376, 82-2 BCA ¶ 16,048 (awarding anticipatory profits).
3. The Board *may not* grant specific performance or injunctive relief. *General Elec. Automated Sys. Div.*, ASBCA No. 36214, 89-1 BCA ¶ 21,195. See *Western Aviation Maint., Inc. v. General Services Admin.*, GSBCA No. 14165, 98-2 BCA ¶ 29,816 (holding that the 1992 Tucker Act amendments did not waive the Government’s immunity from specific performance suits).

J. Payment of Judgments. 41 U.S.C. § 7108.

1. An agency may access the “Judgment Fund” to pay “[a]ny judgment against the United States on a [CDA] claim.” 41 U.S.C. § 7108(a). See 31 U.S.C. § 1304; *cf.* 28 U.S.C. § 2517.
 - a. The Judgment Fund is only available to pay judgments and monetary awards—it is not available to pay informal settlement agreements. See 41 U.S.C. § 7108; *see also* 31 U.S.C. § 1304.
 - b. If an agency lacks sufficient funds to cover an informal settlement agreement, it can “consent” to the entry of a judgment against it. See *Bath Irons Works Corp. v. United States*, 20 F.3d 1567, 1583 (Fed. Cir. 1994); *Casson Constr. Co.*, GSBCA No. 7276, 84-1 BCA ¶ 17,010 (1983). As a matter of policy, however, it behooves the buying activity to coordinate with its higher headquarters regarding the use of consent decrees since the agency must reimburse the Judgment Fund with current funds.
2. Prior to payment, both parties must certify that the judgment is “final” (*i.e.*, that the parties will pursue no further review). See 31 U.S.C. § 1304(a). See *Inland Servs. Corp.*, B-199470, 60 Comp. Gen. 573 (1981).

3. An agency must repay the Judgment Fund from available appropriations or by obtaining an additional appropriation. 41 U.S.C. § 7108(c). *Bureau of Land Management*, B-211229, 63 Comp. Gen. 308 (1984).
- K. Appealing an Adverse Decision. 41 U.S.C. § 7107. Board decisions are final *unless* one of the parties appeals to the CAFC within 120 days after the date the party receives the board's decision. *See Placeway Constr. Corp. v. United States*, 713 F.2d 726 (Fed. Cir. 1983).

VIII. ACTIONS BEFORE THE COURT OF FEDERAL CLAIMS (COFC).²⁶

- A. The right to file suit. Subsequent to receipt of a Contracting Officer's final decision, a contractor may bring an action directly on the claim in the COFC. 41 U.S.C. § 7104(b).
- B. The Court of Federal Claims (COFC).
 1. Over a third of the court's workload concerns contract claims.
 2. The President appoints COFC judges for a 15-year term with the advice and consent of the Senate.
 3. The President can reappoint a judge after the initial 15-year term expires.
 4. The Federal Circuit can remove a judge for incompetency, misconduct, neglect of duty, engaging in the practice of law, or physical or mental disability.
 5. The Rules of the United States Court of Federal Claims (RCFC) appear online at www.uscfc.uscourts.gov.
- C. Jurisdiction.
 1. The Tucker Act. 28 U.S.C. § 1491(a)(1). The COFC has jurisdiction to decide claims against the United States based on:
 - a. The Constitution;
 - b. An act of Congress;
 - c. An executive regulation; or
 - d. An express or implied-in-fact contract.

²⁶ We encourage readers to review Chapter 15B and 19B as well.

2. The Contract Disputes Act (CDA) of 1978. 41 U.S.C. § 7104(b). The Court has jurisdiction to decide appeals from Contracting Officers' final decisions.
 3. The Federal Courts Administration Act of 1992, Pub. L. No. 102-572, 106 Stat. 4506 (codified at 28 U.S.C. § 1491(a)(2)). The COFC has jurisdiction to decide CDA non-monetary claims (*e.g.*, disputes regarding contract terminations, rights in tangible or intangible property, and compliance with cost accounting standards) that arise under section 10(a)(1) of the CDA. However, any declaratory relief regarding non-CDA claims must be accompanied by a monetary demand.
- D. Standard of Review. 41 U.S.C. § 7104(b)(4). The COFC will review the case *de novo*. The COFC *will not* presume that the Contracting Officer's findings of fact and conclusions of law are valid. Instead, the COFC will treat the Contracting Officer's final decision as one more piece of documentary evidence and weigh it with all of the other evidence in the record. *Wilner v. United States*, 24 F.3d 1397 (Fed. Cir. 1994) (*en banc*) (overruling previous case law that a Contracting Officer's final decision constitutes a "strong presumption or an evidentiary admission" of the government's liability). *But see Meridian Eng'g Co. v. United States*, 122 Fed. Cl. 381, 416-17 (2015) (applying "arbitrary and capricious" standard of the Administrative Procedures Act in determining whether a construction punchlist was "excessive" in nature).
- E. Perfecting an Appeal.
1. Timeliness. 41 U.S.C. § 7104(b)(3); RCFCs 3 and 6.
 - a. A Contractor must file its complaint within 12 months of the date it received the Contracting Officer's final decision. *See Janicki Logging Co. v. United States*, 124 F.3d 226 (Fed. Cir. 1997) (unpub.); *K&S Constr. v. United States*, 35 Fed. Cl. 270 (1996); *see also White Buffalo Constr., Inc. v. United States*, 28 Fed. Cl. 145 (1992) (filing one day after the expiration of the 12-month period rendered the claim untimely).
 - b. Computing the appeals period. RCFC Rule 6. In computing the appeals period, exclude:
 - (1) The day the Contractor received the Contracting Officer's decision; and
 - (2) If the appeals period ends on a Saturday, Sunday, or federal holiday, then it continues until the end of the next day that is not a Saturday, Sunday or federal holiday. RCFC 6(a)(2)(c).

- (3) If the Clerk of Court's office is inaccessible on the day the appeals period ends, the period continues to run until the same time on the next day that is not a Saturday, Sunday, or legal holiday. RCFC 6(a)(3)(A).
 - (a) If the clerk's office is inaccessible during the last hour of the appeals period, then the filing time is extended to the same time on the first accessible day that is not a Saturday, Sunday, or legal holiday. RCFC 6(a)(3)(B)
 - c. The *Fulford* Doctrine. See para. VI.F.3, above.
- 2. Filing Method. RCFC 3. The contractor must deliver its complaint to the Clerk of Court. Electronic filing is generally mandatory. See RCFC Appendix E for electronic filing requirements.
 - a. Electronic filing exemption. An individual not registered as a Filing user may petition the court for an exemption from the electronic filing requirement. RCFCGC Appendix E, ¶ 7
- 3. Contents. RCFC 8(a); RCFC 9(j)-(k), (o).
 - a. If the complaint sets forth a claim for relief, the complaint must generally contain RCFC 8(a):
 - (1) A "short and plain" statement regarding the COFC's jurisdiction;
 - (2) A "short and plain" statement showing that the plaintiff is entitled to relief; and
 - (3) A demand for the relief sought.
 - b. Pleading special matters. RCFC 9.
 - (1) A statement regarding any action taken on the claim by Congress, a department or agency of the United States, or another tribunal;
 - (2) A clear citation to any statute, regulation, or executive order upon which the claim is founded; and
 - (3) A description of any contract upon which the claim is founded.
 - c. The United States is the only proper defendant to a lawsuit at COFC. Unlike APA actions in federal district court, an officer of

the United States cannot be individually named, even if sued in the individual's official capacity. RCFC 4, Rules Committee Notes, 2002 Revision.

4. The Election Doctrine. *See* para. II.B.3, above.

F. Procedures.

1. Process. RCFC 4(a). The Clerk of Court must deliver one copy of the complaint:
 - a. To the Attorney General;
 - b. via hand delivery to the Attorney General's designated agent; or
 - c. By sending it to an electronic address designated by the Attorney General for this purpose.
2. "Call Letter." 28 U.S.C. § 520.
 - a. The Attorney General must send a copy of the complaint to the responsible military department. 28 U.S.C. § 520(a).
 - b. In response, the responsible military department must provide the Attorney General with a "written statement of all facts, information, and proofs." 28 U.S.C. § 520(b).
3. Answer. RCFC 12(a)(1)(A). The Government must answer the complaint within 60 days of the date it receives the complaint.
4. The court rules regulate discovery and pretrial procedures extensively, and the court may impose monetary sanctions for noncompliance with its discovery orders. *See M. A. Mortenson Co. v. United States*, 996 F.2d 1177 (Fed. Cir. 1993); *Chevron USA, Inc. v. United States*, 110 Fed. Cl. 747, 806-07 (2014) (Government assessed with nearly \$1 million in sanctions for bad faith conduct in discovery, including broad assertions of privilege, 42% of which the Court found improper). As the rules are based on the Federal Rules of Civil Procedure, COFC often looks to district court decisions for guidance in resolving discovery disputes. *See, e.g., Ross-Hime Designs, Inc. v. United States*, 124 Fed. Cl. 69, 73-74 (2015).
5. Decisions may result from either a motion or a trial. Procedures generally mirror those of trials without juries before federal district courts. The judges make written findings of fact and state conclusions of law.

G. Remedies.

1. The COFC does not have general equitable jurisdiction (i.e. it does not have the general authority to issue injunctive relief (except, for example, in Bid Protests) or specific performance). *Vanalco, Inc. v. United States*, 48 Fed. Cl. 68, 74 (2000).
 - a. However, the court can “award any relief that the court considers proper, including declaratory and injunctive relief except that any monetary relief shall be limited to bid preparation and proposal costs.” 28 U.S.C. § 1491(b)(2).
2. The COFC may award EAJA attorneys’ fees. 28 U.S.C. § 2412.

H. Payment of Judgments. *See* para. VII.J., above.

I. Appealing an Adverse Decision.

1. Unless timely appealed, a final judgment bars any further claim, suit, or demand against the United States arising out of the matters involved in the case or controversy. 28 U.S.C. § 2519.
2. A party must appeal a final judgment to the CAFC within 60 days of the date the party receives the adverse decision. 28 U.S.C. § 2522. Federal Circuit Rules of Practice, Notes to Rule 4.

IX. APPEALS TO THE COURT OF APPEALS FOR THE FEDERAL CIRCUIT (CAFC).

A. National Jurisdiction.

1. The Federal Circuit has national jurisdiction. *Dewey Elec. Corp. v. United States*, 803 F.2d 650 (Fed. Cir. 1986); *Teller Envtl. Sys., Inc. v. United States*, 802 F.2d 1385 (Fed. Cir. 1986).
2. The Federal Circuit possesses exclusive jurisdiction over appeals from an agency BCA and the COFC pursuant to section 8(g)(1) of the CDA. 28 U.S.C. § 1295(a)(3) and (10).

B. Standard of Review. 41 U.S.C. § 7104(b)(4).

1. Jurisdiction. The court views jurisdictional challenges as issues of law which it reviews de novo. *See Reflectone, Inc. v. Dalton*, 60 F.3d 1572, 1574-75 (Fed. Cir. 1995).
2. Findings of Fact. Findings of fact are final and conclusive unless they are fraudulent, arbitrary, capricious, made in bad faith, or not supported by substantial evidence. 49 U.S.C. § 609(b). *See United States v. General*

Elec. Corp., 727 F.2d 1567, 1572 (Fed. Cir. 1984) (holding that the court will affirm a board's decision if there is "such relevant evidence as a reasonable mind might accept as adequate to support a conclusion"); *Tecom, Inc. v. United States*, 732 F.2d 935, 938 n.4 (Fed. Cir. 1995) (finding that the trier of fact's credibility determinations are virtually unreviewable); *Raytheon Co. v. United States*, 747 F.3d 1341, 1348 (Fed. Cir. 2014) (applying the "clear error" standard to findings of fact).

- C. Frivolous Appeals. The court will assess damages against parties filing frivolous appeals. *See Dungaree Realty, Inc. v. United States*, 30 F.3d 122 (Fed. Cir. 1994); *Wright v. United States*, 728 F.2d 1459 (Fed. Cir. 1984).
- D. Supreme Court Review. The U.S. Supreme Court reviews decisions of the Federal Circuit by writ of certiorari. *See, e.g., General Dynamics Corp. v. United States*, 563 U.S. 478 (2011).

X. CONTRACT ATTORNEY RESPONSIBILITIES IN THE DISPUTES PROCESS.

- A. Actions upon Receipt of a Claim.
 - 1. Review the claim and check the agency's facts and theories.
 - 2. Check for any releases or waivers in any contract modifications and or communications. Also review for any defenses such as sovereign acts, accord and satisfaction, etc.
 - 3. Verify that the Contractor has properly certified all claims exceeding \$100,000.
 - 4. Advise the Contracting Officer to consider business judgment factors, as well as legal issues.
 - 5. Consider fiscal law issues, i.e. are funds available to pay the claim.
- B. Contracting Officer's Final Decision.
 - 1. Prior to reviewing the final decision, determine whether the claim should be certified. If the claim exceeds \$100,000, ensure that a person authorized to bind the Contractor properly certified the claim.
 - 2. Ensure that the subject of the final decision is a non-routine request for payment, rather than a Contractor's invoice or preliminary request for adjustment.
 - 3. Review the final decision for sufficiency of factual and legal reasoning.

4. Ensure that the decision letter properly sets forth the Contractor's appeal rights.
- C. R4 File.
1. Oversee the preparation of the Rule 4 file. If possible, coordinate with the trial attorney assigned to the appeal as to what documents to include/omit from the Rule 4 file.
 2. Put privileged documents in a separate litigation file for transmission to the trial attorney. Do not forward the Rule 4 file without performing a privilege review.
- D. Discovery.
1. Assist the trial attorney in formulating a discovery plan.
 2. Identify knowledgeable Government and Contractor personnel and conduct preliminary interviews of Government witnesses.
 3. Draft interrogatories, requests for documents, requests for admissions, and other discovery requests. Prepare draft responses to any discovery requests propounded by the appellant.
 4. Assist the trial attorney during depositions (e.g., by identifying key contractor personnel and pertinent documents related to the dispute). Coordinate with the trial attorney regarding the feasibility of conducting one or more depositions.
- E. Hearings.
1. Through the trial attorney, coordinate with the Chief Trial Attorney concerning appearing as counsel of record.
 2. To the extent practicable, assist in witness and evidence preparation.
 3. Assist in the preparation and/or review of post-hearing briefs.
- F. Client Expectations. Assist the trial attorney in providing the Contracting Officer and other interested parties with regular status updates regarding the appeal.
- G. Settlement. Work with the Contracting Officer and the trial attorney regarding the costs and benefits of litigating the claim. Strive for a position that reflects sound business judgment and protects the interests of the government. Integrate fiscal law analysis into settlement discussions.

ATTACHMENT A

RFO FAR 52.233-1 Disputes.

As prescribed in RFO FAR 33.205-9, insert the following clause:

Disputes (May 2014)

- (a) This contract is subject to 41 U.S.C. chapter 71, Contract Disputes.
- (b) Except as provided in 41 U.S.C. chapter 71, all disputes arising under or relating to this contract shall be resolved under this clause.
- (c) “Claim,” as used in this clause, means a written demand or written assertion by one of the contracting parties seeking, as a matter of right, the payment of money in a sum certain, the adjustment or interpretation of contract terms, or other relief arising under or relating to this contract. However, a written demand or written assertion by the Contractor seeking the payment of money exceeding \$100,000 is not a claim under 41 U.S.C. chapter 71 until certified. A voucher, invoice, or other routine request for payment that is not in dispute when submitted is not a claim under 41 U.S.C. chapter 71. The submission may be converted to a claim under 41 U.S.C. chapter 71, by complying with the submission and certification requirements of this clause, if it is disputed either as to liability or amount or is not acted upon in a reasonable time.
- (d)
 - (1) A claim by the Contractor shall be made in writing and, unless otherwise stated in this contract, submitted within 6 years after accrual of the claim to the Contracting Officer for a written decision. A claim by the Government against the Contractor shall be subject to a written decision by the Contracting Officer.
 - (2)
 - (i) The contractor shall provide the certification specified in paragraph (d)(2)(iii) of this clause when submitting any claim exceeding \$100,000.
 - (ii) The certification requirement does not apply to issues in controversy that have not been submitted as all or part of a claim.
 - (iii) The certification shall state as follows: “I certify that the claim is made in good faith; that the supporting data are accurate and complete to the best of my knowledge and belief; that the amount requested accurately reflects the contract adjustment for which the Contractor believes the Government is liable; and that I am authorized to certify the claim on behalf of the Contractor.”

(3) The certification may be executed by any person authorized to bind the Contractor with respect to the claim.

(e) For Contractor claims of \$100,000 or less, the Contracting Officer must, if requested in writing by the Contractor, render a decision within 60 days of the request. For Contractor-certified claims over \$100,000, the Contracting Officer must, within 60 days, decide the claim or notify the Contractor of the date by which the decision will be made.

(f) The Contracting Officer's decision shall be final unless the Contractor appeals or files a suit as provided in 41 U.S.C. chapter 71.

(g) If the claim by the Contractor is submitted to the Contracting Officer or a claim by the Government is presented to the Contractor, the parties, by mutual consent, may agree to use alternative dispute resolution (ADR). If the Contractor refuses an offer for ADR, the Contractor shall inform the Contracting Officer, in writing, of the Contractor's specific reasons for rejecting the offer.

(h) The Government shall pay interest on the amount found due and unpaid from

(1) the date that the Contracting Officer receives the claim (certified, if required); or

(2) the date that payment otherwise would be due, if that date is later, until the date of payment.

With regard to claims having defective certifications, interest shall be paid from the date that the Contracting Officer initially receives the claim. Simple interest on claims shall be paid at the rate, fixed by the Secretary of the Treasury as provided in the Act, which is applicable to the period during which the Contracting Officer receives the claim and then at the rate applicable for each 6-month period as fixed by the Treasury Secretary during the pendency of the claim.

(i) The Contractor shall proceed diligently with performance of this contract, pending final resolution of any request for relief, claim, appeal, or action arising under the contract, and comply with any decision of the Contracting Officer.

(End of Clause)

Alternate I (Dec 1991). As prescribed in RFO FAR 33.205-9, substitute the following paragraph (i) for the paragraph (i) of the basic clause:

(i) The Contractor shall proceed diligently with performance of this contract, pending final resolution of any request for relief, claim, appeal, or action arising under or relating to the contract, and comply with any decision of the Contracting Officer.

CHAPTER 19B¹

THE COURT OF FEDERAL CLAIMS LITIGATION PROCESS

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¹ This document was prepared by Doug Mickle with the assistance of Corinne Niosi and William Rayel, and the information presented in this chapter has not been endorsed by the Department of Justice. This document is current as of May 7, 2026.

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CHAPTER 19B

THE LITIGATION PROCESS

I. REFERENCES

- A. Rules of the United States Court of Federal Claims (RCFC), (as amended through July 28, 2025)..
- B. United States Court of Federal Claims website, <http://www.uscfc.uscourts.gov/>.
- C. Role Of Federal Agencies For Civil Litigation Handled By The Department Of Justice. Department of Justice Memorandum, Vanita Gupta, Associate Attorney General, September 26, 2022 (Gupta Memo).

II. INITIATING SUIT.

- A. Action Commenced with a complaint at the Court of Federal Claims (“COFC”).
 - 1. A “short and plain” statement showing jurisdiction and entitlement to relief, and demanding judgment for the relief sought. RCFC 8(a).
 - 2. In addition, the complaint must contain:
 - a. A statement regarding any action taken on the claim by Congress, a department or agency of the United States, or another tribunal, RCFC 9(o);
 - b. A citation to any statute, regulation, or Executive Order upon which the claim is founded, RCFC 9(j); and
 - c. Identification of any contract on which the claim is founded, as well as a description or attached copy of the contract. RCFC 9(k).
 - 3. Compare: At the board of contract appeals (“BCAs”), action commenced with notice of appeal.
- B. Statute of Limitations.
 - 1. Contract claims. Generally, six years after the claim first accrues. 28 U.S.C. § 2501. Typically, a claim first accrues “on the date when all the events have occurred which fix the liability of the Government and entitle the claimant to institute an action.” Turping v. United States, 913 F.3d 1060, 1064 (Fed. Cir. 2019).
- C. The “Call Letter.”

1. The Attorney General must send a copy of the complaint to the responsible military department, along with a request for all of the facts, circumstances, and evidence concerning the claim that are within the military department's possession or knowledge. 28 U.S.C. § 520(a).
2. The responsible military department must then provide the Attorney General with a "written statement of all facts, information, and proofs." 28 U.S.C. § 520(b)
3. Don't wait for the call letter before contacting DOJ. If you think that a plaintiff might file a complaint, be proactive and contact DOJ.
4. Litigation hold. It is the obligation of the agency when litigation is anticipated or begun to retain documents and materials that are potentially relevant to this litigation, including electronically stored information ("ESI"). Once an agency reasonably anticipates litigation, it must suspend its routine document retention/destruction policy and put in place a "litigation hold" to ensure the preservation of potentially relevant documents. The type of information to be preserved in this "litigation hold" shall include all documents, records, data, correspondence, notes, and other materials, whether official or unofficial, original or duplicative, drafts or final versions, partial or complete versions, that may relate to the claims. Moreover, preservation must occur regardless of whether the information may ultimately be withheld as privileged, or ultimately determined to be unreasonably burdensome to produce.

III. RESPONDING TO THE COMPLAINT.

A. The Answer.

1. The Government must either respond with a motion under RCFC 12 or file its answer within 60 days of the date it receives the complaint. RCFC 12(a)(1)(A).
2. If the Government submits an answer, the Government must admit or deny each averment in the complaint. RCFC 8(b)(1)(B).
3. If the Government lacks sufficient knowledge or information to admit or deny a particular averment, the Government must say so. RCFC 8(b)(5).
4. If the Government only intends to oppose part of an averment, the Government must specify which part of the averment is true and deny the rest. RCFC 8(b)(4).

B. Defenses.

1. Where appropriate, the Government may assert the following defenses by motion:

- a. Lack of subject-matter jurisdiction;
 - b. Lack of personal jurisdiction;
 - c. Insufficiency of process;
 - d. Failure to state a claim upon which the Court may grant relief; and
 - e. Failure to join a party under RCFC 19. RCFC 12(b).²
2. If an answer is required, the Government must plead any the following affirmative defenses, if applicable:
- a. “accord and satisfaction;
 - b. arbitration and award;
 - c. assumption of risk;
 - d. contributory negligence;
 - e. duress;
 - f. estoppel;
 - g. failure of consideration;
 - h. fraud;³
 - i. illegality;
 - j. laches;
 - k. license;
 - l. payment;
 - m. release;
 - n. res judicata;

² While “lack of personal jurisdiction” and “insufficiency of process” are listed in the rule as affirmative defense, the author has never seen either of these successfully asserted and frankly does not know if it is actually possible for the United States to validly assert one of these defenses in the COFC.

³ Prior coordination and approval from the Department of Justice’s Civil Frauds Branch is required before asserting the affirmative defense of “fraud.”

- o. statute of frauds;
- p. statute of limitations; and,
- q. waiver.” RCFC 8(c)(1).

C. Counterclaims.

- 1. To preserve its right to judicial enforcement of a claim, the Government must state any claim it has against the plaintiff as a counterclaim if:
 - a. The claim arises out of the same transaction or occurrence as the plaintiff’s claim; and
 - b. The claim does not require the presence of third parties for its adjudication. RCFC 13(a)(1).

D. Signing Pleadings, Motions, and Other Papers.

- 1. The attorney of record must sign every pleading, motion, and other paper. The attorney’s signature constitutes a certification that the attorney has read the pleading, motion, or other paper; that to the best of the attorney’s knowledge, information, and belief formed after reasonably inquiry it is well grounded in fact and is warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law; and that it is not interposed for any improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation. RCFC 11(a) & (b).
- 2. The COFC has imposed appropriate sanctions against the attorney and/or the represented party if the attorney signs a pleading, motion, or other paper in violation of this rule. RCFC 11(c)(1); *see, e.g., Oak Grove Techs., LLC v. United States*, 116 F.4th 1364, 1383-85 (Fed. Cir. 2024) (sanctioning the Government for failing to compile an adequate administrative record in a bid protest).

E. Early Meeting of Counsel. RCFC, App. A, Pt. II.

- 1. The Case Management Procedure, located at RCFC, App. A, Pt. II, contain procedures “intended to promote cooperation among counsel, assist in early identification of issues, minimize the cost and delay of litigation, and enhance the potential for settlement.” RCFC, App. A, Pt. I.
- 2. The parties must meet after the Government files its answer to:
 - a. Identify each party’s factual and legal contentions;

- b. Discuss each party's discovery needs and discovery schedule; and
- c. Discuss settlement.
- d. As a practical matter, DOJ orchestrates this.

F. Joint Preliminary Status Report (JPSR). RCFC, App. A, Pt. III.

1. The parties must file a JPSR no later than 49 days after the Government answers or plaintiff files its reply to a Government counter-claim, unless a party files a dispositive motion addressing all issues on or before the due date. RCFC, App. A, Pt. III.
2. The JPSR must set forth answers to the following questions:
 - a. Does the Court have jurisdiction?
 - b. Should the case be consolidated with any other action?
 - c. Should trial of liability and damages be bifurcated?
 - d. Should further proceedings be deferred pending consideration of another case? Consider 28 U.S.C. § 1500; *UNR Indus., Inc. v. United States*, 962 F.2d 1013 (Fed. Cir. 1992), *cert. granted*, 113 S. Ct. 373 (1992); *Keene Corp. v. United States*, 113 S. Ct. 2035 (1993). Subsequent interpretations of 28 U.S.C. § 1500 include: *Wilson v. United States*, 32 Fed. Cl. 794 (1995) (same recovery in both actions); *McDermott Inc. v. United States*, 30 Fed. Cl. 332 (1994) (constitutional claims and challenges to Federal statutes pending in a district court action not the same as the contract actions before the COFC); *Marshall Assoc. Contractors Inc. v. United States*, 31 Fed. Cl. 809 (1994) (surety's suit against the United States pending in another Federal court not a jurisdictional bar to contractor's suit before the COFC).
 - e. Will a remand or suspension be sought?
 - f. Will additional parties be joined?
 - g. Does either party intend to file a motion to dismiss for lack of jurisdiction, failure to state a claim, or summary judgment? If so, what schedule do the parties propose?
 - h. What are the relevant issues?
 - i. What is likelihood of settlement?

- j. Do the parties anticipate proceeding to trial? If so, does any party want to request expedited trial scheduling?
 - k. Is there any other information of which the Court should be made aware?
 - l. What do the parties propose for a discovery plan and deadlines?
3. Some Judges hold a status conference to discuss the JPSR. DOJ and agency counsel should coordinate on if agency counsel should attend.

IV. BASIS FOR RESPONSE - THE LITIGATION REPORT.

- A. The agency is required, by statute, to provide a litigation report to DOJ. 28 U.S.C. § 520(b).
- 1. Army Regulation 27-40, paragraph 3-9 requires the SJA or legal advisor to prepare the litigation report when directed by the United States Army Legal Services Agency's Litigation Division. Neither the Court nor the plaintiff sees the report. Therefore, the attorney preparing the litigation report should err on the side of inclusion, not exclusion, and stamp the report "Attorney Work Product."
 - 2. Litigation Reports. AR 27-40, para. 3-9.
 - 3. Statement of Facts. A complete statement of the facts on which the action and any possible Government defenses are based. Where possible, support facts by reference to included documents and witness statements. Include details of previous administrative actions, such as the filing and results of an administrative claim. AR 27-40, para. 3-9(a).
 - 4. Setoff or Counterclaim. Identify with supporting facts. AR 27-40, para. 3-9(b).
 - 5. Responses to Pleadings. Prepare a draft answer or other appropriate response to the pleadings. Discuss whether allegations of fact are well-founded. Refer to evidence that refutes factual allegations. AR 27-40, para. 3-9(c).
 - 6. Memorandum of Law.
 - a. "Include a brief statement of the applicable law with citations to legal authority. Discussions of local law, if applicable, should cover relevant issues such as measure of damages Do not unduly delay submission of a litigation report to prepare a comprehensive memorandum of law." AR 27-40, para. 3-9(d).
 - b. Identify jurisdictional defects and affirmative defenses.

- c. Assess litigation risk. Do not hesitate to form (and support) a legal opinion. Give a candid assessment of the potential for settlement.
- 7. Potential witness information. List each person having information relevant to the case and provide an office address and telephone number. If there is no objection, also provide the individual's home address and telephone number. Also, summarize the information or potential testimony that each person listed could provide. Finally, provide potential witnesses' expected availability (retiring? PCS'ing to Greenland?). AR 27-40, para. 3-9(e).
- 8. Exhibits. "Attach a copy of all relevant documents Copies of relevant reports of claims officers, investigating officers, boards, or similar data should be attached, although such reports will not obviate the requirement for preparation of a complete litigation report . . . Where a relevant document has been released pursuant to a Freedom of Information Act (FOIA) request, provide a copy of the response, or otherwise identify the requestor and the records released." AR 27-40, para. 3-9(f).
- 9. Identify documents and information targets for discovery. Think about things you know exist or must exist that will help the agency position, as well as things that might exist that might undermine the agency's position.
- 10. Consider drafting a motion to dismiss for lack of jurisdiction, RCFC 12(b)(1), or for failure to state a claim, RCFC 12(b)(6).
- 11. Consider drafting a motion for summary judgment, RCFC 56.
- B. Analyze the Client.
 - 1. If the plaintiff's position is unbelievable, there is some chance the agency has simply misunderstood it (perhaps because the position was poorly presented). Identify the questions that will ensure the Government understands the contractor's point so we can target discovery, properly respond, and be assured the Government will not be blind-sided at trial.
 - 2. Identify any agency concerns, uncertainty, hard or soft spots (the contracting officer will fight to the death vs. the contracting officer was surprised the contractor never called to negotiate), witness problems or biases, and anything else you would like to know if you were trying the case.

V. AGENCY ROLE THROUGHOUT DISCOVERY.

- A. Discovery scope.

1. Discovery rules and discussion are located at RCFC 26 and Appendix A, Pt. V, ¶¶ 9-10. Clear communication and cooperation between the agency and DOJ throughout the litigation process are essential.
2. Agency counsel must assist in the discovery process and the preservation of records.

B. Methods of Discovery.

1. The parties may obtain discovery by depositions upon oral examination or written questions, written interrogatories, requests for the production of documents, and requests for admission. RCFC, App. A, Pt. V.
2. The scope of discovery is controlled by RCFC 26(b)(1):

“[P]arties may obtain discovery regarding any nonprivileged matter that is relevant to any party’s claim or defense and proportional to the needs of the case, considering the importance of the issues at stake in the action, the amount in controversy, the parties’ relative access to relevant information, the parties’ resources, the importance of the discovery in resolving the issues, and whether the burden or expense of the proposed discovery outweighs its likely benefit. Information within this scope of discovery need not be admissible in evidence to be discoverable.”
3. The Court must limit discovery if:
 - a. The discovery sought is unreasonably cumulative or duplicative;
 - b. The party seeking the discovery may obtain it from a more convenient, less burdensome, or less expensive source;
 - c. The party seeking the discovery has had ample opportunity to obtain the information sought; or
 - d. The burden or expense of the proposed discovery outweighs its likely benefit. RCFC 26(b)(2)(C).
4. Remember, the defendant is the United States. Thus, discovery requests could include more than one Federal agency.

C. Protective Orders.

1. It is important that all counsel involved in litigation are aware of the details of all protective orders in place. RCFC 26(c) and Form 8.
2. The Court may “for good cause, issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense.” RCFC 26(c)(1).

D. Depositions. RCFC 30.

1. Purposes.

- a. Lock in testimony; pure exploration; testing a theory; confirming a negative.
- b. Identify relevant documents to facilitate witness's testimony and support specific questioning.

2. Notice of Deposition. RCFC 30(b)(1). "A party who wants to depose a person by oral questions must give reasonable written notice to every other party."

3. A subpoena may be served at any place within the United States. RCFC 45(b)(2). A subpoena may command a person to attend a deposition, hearing, or trial within 100 miles of where the person resides, is employed, or regularly transacts business in person; or at any place within the United States if the person is a party or the party's officer or is commanded to attend a trial and would not incur substantial expense. RCFC 45(c)(1). A subpoena is not necessary for a deposition of a party witness.

4. Defending Depositions.

- a. Agency counsel should coordinate service with agency witnesses.
- b. If the party that gave notice of the deposition failed to attend (or failed to subpoena a witness who failed to attend), the Court may order that party to pay the other party's reasonable expenses, including reasonable attorney's fees. RCFC 30(g).
- c. DOJ should take the lead in preparing witnesses, including how much and how to prepare.
- d. Agency may be asked to identify relevant documents and likely questions.
- e. All contact with agency employed witnesses by opposing counsel must be coordinated with DOJ.

5. Submission of Transcript to Witness. RCFC 30(e).

The deponent may make changes to the deposition transcript; however, the deponent must sign a statement that details the deponent's reasons for making them. RCFC 30(e)(1)(B).

E. Interrogatories. RCFC 33.

1. The parties may seek discovery through interrogatories after the early meeting of counsel to address issues required by the Joint Preliminary Status Report. RCFC 26(d)(1).
 2. The party upon whom the interrogatories have been served (i.e., the answering party) must normally answer or object to the interrogatories within 30 days of service. RCFC 33(b)(2).
 3. The answering party may answer an interrogatory by producing business records if:
 - a. The business records contain the information sought; and
 - b. The burden of deriving or ascertaining the answer sought is substantially the same for both parties.
 - c. The responding party must be specific about where the information can be located. Otherwise, the burden is not the same. RCFC 33(d).
 4. The answering party must sign a verification attesting to the truth of the answers. The answering party's attorney must sign the objections. RCFC 33(b)(5).
- F. Requests for the Production of Documents. RCFC 34.
1. Request for Production of Documents may be served as early as 21 days after the complaint is filed, but they are not deemed served until the Early Meeting of Counsel. RCFC 26(d)(2).
 2. Otherwise, the rules are similar to the rules for interrogatories.
 3. The party producing the records for inspection/copying may either:
 - a. Produce them as they are kept in the usual course of business; or
 - b. Organize and label them to correspond to the production request.
 4. The bulk of document production today is either Electronically Stored Information (ESI), or results in the production of ESI (that is, converting paper documents to ESI).
 - a. DOJ has a recommended ESI protocol that it can provide agency and opposing counsel that can be modified as required for the parties to reach agreement regarding the production of ESI. *See* RCFC 34(b)(1)(C). *See generally*, Gupta Memo.

- b. A clawback provision can be integrated into an ESI protocol in lieu of or in addition to Federal Rules of Evidence Rule 502(d) claw-back agreement, discussed below. Any clawback provision integrated into an ESI protocol should not conflict with a separate 502(d) clawback agreement.
 - c. From the outset the agency counsel should be familiar with the ESI capabilities of the agency doing the production, including document transfer, formats, personnel support.
- 5. Exercise caution in privilege review: once they've got it, assume we can't take it back. Prepare a draft privilege list of documents withheld, providing sufficient detail to assure recipient can analyze applicability of privilege (usually, to, from, subject, and the identity of sender/recipient's office (e.g., "Counsel")). Assertions of privilege should be made in written responses to requests for production *prior to* producing any documents responsive to those requests.
- 6. Consider entering into a Federal Rules of Evidence Rule 502(d) claw-back agreement, which provides that the disclosure of attorney-client or work product information in a federal proceeding does not waive either privilege, regardless of whether (1) the disclosure was inadvertent, (2) the holder of the privilege took reasonable steps to prevent the disclosure, and (3) the holder promptly took reasonable steps to rectify the error. Rule 502 claw-back agreements are a way to avoid the excessive costs of pre-production review for privilege and work product because under a claw-back agreement, the parties can agree (and a court can order) that, if a party inadvertently produces a privileged document, the receiving party must return it. If a federal court enters a claw-back order, FRE 502(d) provides that the order can prevent the disclosure from being a waiver not just between the parties to the agreement, but also "in any other Federal or State proceeding." Thus, for maximum effect, parties should typically ask federal courts to enter clawback orders to give the broadest protection to the attorney-client and work product privileges in case of disclosure. Rule 502(b) already provides for a non-waiver of privilege in situations where disclosures are inadvertent and the holder of the privilege took reasonable steps to prevent the disclosure, or to rectify it. Fed. R. Evid. 502(b). Attorneys can, and should, bargain for broader protections under 502(d) to avoid disputes over whether a disclosure was truly "inadvertent" or attacks on the reasonableness of the government's procedures. The COFC encourages such Fed. R. Evid. 502(d) orders and has a model order available on its website (RCFC Form 14), though the terms of a clawback order may require tailoring in each case, including to assure broad protections for privilege over and above those that already exist under Fed. R. Evid. 502(b).

G. Requests for Admission. RCFC 36.

1. The answering party must:
 - a. Specifically admit or deny each matter; or
 - b. State why the answering party cannot truthfully admit or deny the matter. RCFC 36(a)(4).
2. The answering party may not allege lack of information or knowledge unless the answering party has made a reasonable inquiry into the matter. RCFC 36(a)(4).
3. If the answering party fails to answer or object to a matter in a timely manner (usually within 30 days after being served), the matter is admitted. RCFC 36(a)(3).
4. Admissions are conclusive unless the Court permits the answering party to withdraw or amend its answer. RCFC 36(b).
5. Great tool for narrowing the facts in dispute.

H. Agency Counsel Role in Responding to Interrogatories, Requests for Production and Admissions.

1. Identify who should answer.
2. Inform all potential witnesses and affected activities that a lawsuit has been filed; that, as a normal part of discovery, plaintiff is entitled to inspect and copy all related documents; that “documents” includes electronic documents, such as email and “personal” notes kept in performing official duties, such as field notebooks; that they should begin to collect and identify all files related to the lawsuit – including those at home. AR 27-40, para. 3-10.
3. Inform potential witnesses not to dispose of any potentially relevant documents. Disposing of relevant documents could subject the Government, attorneys, or witnesses to sanctions. Agency counsel should also work with the information technology department to ensure that all relevant electronically stored information is preserved. AR 27-40, para. 3-10.
4. Current employees should also be told they are represented by DOJ and the contractor is represented by counsel, and they should not talk to the contractor or its attorneys about the lawsuit.

I. Discovery Planning Conference.

1. Agency counsel and answering witnesses should discuss with DOJ a strategy for responding, to include:

- a. Objections in lieu of responses (what we won't tell them).
 - b. Objections with limited responses (what we will tell them), e.g., requests for "all documents" or "all information related to."
 - c. When DOJ will produce documents instead of responding to an interrogatory in accordance with RCFC 33(d).
 - d. How documents will be organized and stamped, including adoption of a stamping protocol (e.g., "HQDA0001 . . . ," "AMC0001 . . . ") to identify source of produced documents and to identify them as having been subject to discovery effort.
 - e. How copying and inspection will be handled. Are there any security concerns or cost concerns?
2. Preparation of a privilege log. All relevant documents not produced and not covered by an objection must be listed on a privilege log furnished to the other side. Typically, they list to, from, date, subject, and privilege claimed. They should be sufficiently detailed so that the basis for the privilege is evident but does not disclose the privileged matter. E.g., "Ltr. From MAJ Jones, AMC Counsel, to Smith, CO re: claim."

J. Failure to Cooperate in Discovery.

1. Motion to Compel Discovery. If a party or a deponent fails to cooperate in discovery, the party seeking the discovery may move for an order compelling discovery. RCFC 37(a)(3)(B); RCFC, Appendix A, ¶¶ 9, 10.
2. Expenses. The Court may order the losing party or deponent to pay the winning party's reasonable expenses, including attorney fees. RCFC 37(a)(5).
3. Sanctions. RCFC 37(b).
 - a. If a deponent fails to answer a question after being directed to do so by the Court, the Court may hold the deponent in contempt.
 - b. If a party fails to provide or permit discovery after being directed to do so, the Court may take one or more of the following actions:
 - (a) Order that designated facts be taken as established for purposes of the action;
 - (b) Refuse to allow the disobedient party to support or oppose designated claims or defenses;

- (c) Refuse to allow the disobedient party to introduce designated facts into evidence;
 - (d) Strike pleadings in whole or in part;
 - (e) Stay further proceedings until the order is obeyed;
 - (f) Dismiss the action in whole or in part;
 - (g) Enter a default judgment against the disobedient party;
 - (h) Hold the disobedient party in contempt; and
 - (i) Order the disobedient party—and/or the attorney advising that party—to pay the other party’s reasonable expenses, including attorney’s fees. RCFC 37(b)(2)(A).
- c. In *Mortenson Co. v. United States*, 996 F.2d 1177 (Fed. Cir. 1993), the Federal Circuit affirmed a \$22 million award of attorney fees and costs against the United States as a Rule 37(a)(4) sanction for the VA’s failure to comply with certain discovery orders. *See also 4DD Holdings, LLC v. United States*, 143 Fed. Cl. 118, 134 (2019) (imposing Rule 37 monetary sanctions and adverse inference due to spoliation), *appeal filed*, 24-1996 (Fed. Cir.); *K-Con Bldg. Systems Inc. v. United States*, 106 Fed. Cl. 652 (2012) (Court concludes that sanctions are appropriate because of the government’s failure to produce relevant documents during discovery and the disposal of those documents before plaintiff had the opportunity to review them. Court precludes use of evidence, strikes testimony and orders the government to pay costs, including, but not limited to, attorney fees and travel expenses.).

VI. TRIAL.

- A. Meeting of counsel. RCFC, Appendix A, ¶ 13.
 - 1. No later than 63 days before the pretrial conference, counsel for the parties shall:
 - a. Exchange all exhibits (except impeachment) to be used at trial.
 - b. Exchange a final list of names and addresses of witnesses.
 - c. Disclose to opposing counsel the intention to file a motion.
 - d. Resolve, if possible, any objections to the admission of oral or documentary evidence.

- e. Disclose to opposing counsel all contentions as to applicable facts and law, unless previously disclosed.
 - f. Engage in good-faith, diligent efforts to stipulate and agree to facts about which the parties know, or have reason to know, there can be no dispute for the purpose of simplifying the issues at trial.
 - g. Exhaust all possibilities of settlement.
 - 2. Ordinarily, the parties must file (RCFC, Appendix A, ¶¶ 14-17):
 - a. A memorandum of contentions of fact and law;
 - b. A joint statement setting forth the factual and legal issues that the Court must resolve NLT 21 days before the pretrial conference;
 - c. A witness list;
 - d. An exhibit list.
 - 3. Failure to identify an exhibit or a witness may cause the Court to exclude the exhibit or witness. RCFC, Appendix A ¶¶ 13(a), 13(b), 15.
 - 4. The attorneys who will try the case must attend the pretrial conference. RCFC, Appendix A, ¶ 11.
- B. Pre-Trial Preparation.
- 1. Contact all witnesses to ensure all will be present during trial.
 - 2. Outline Witness Testimony.
 - 3. Prepare Witnesses.
 - 4. Prepare FRE 1006 summaries.
 - 5. Organize documents.
- C. Offers of Judgment.
- 1. The Government may make an offer of judgment at any time more than 14 days before the trial begins. RCFC 68(a).
 - 2. If the offeree fails to accept the offer and the judgment the offeree ultimately obtains is not more favorable than the offer, the offeree must pay any costs the Government incurred after it made the offer. RCFC 68(d).

3. A successful Offer of Judgment may limit Equal Access to Justice Act (EAJA) attorney fees.

VII. SETTLEMENT.

A. Authority

1. The Attorney General has authority to settle matters in litigation, 28 U.S.C. § 516, and has delegated that authority depending upon dollar value of settlement. 28 C.F.R. § 0.160, *et seq.*, e.g., Assistant Attorney General (AAG), Civil Division may settle a defensive claim when the principal amount of the proposed settlement does not exceed \$4 million.
2. The AAG has redelegated to office heads and U.S. Attorneys, but the redelegation is subject to exceptions, including cases where the Agency opposes settlement.
3. Whether a matter is “in litigation,” is not always clear. *The Sharman Co., Inc. v. United States*, 2 F.3d 1564 (1993); *Boeing Co. v. United States*, Cl. Ct. No. 92-14C (June 3, 1992), *reversed* 92-5129, 92-5131 (Fed. Cir., March 19, 1992) (unpublished); *Durable Metal Products v. United States*, 21 Cl. Ct. 41, 45 (1990); *but see Hughes Aircraft Co. v. United States*, 209 Cl. Ct. 446, 465, 534 F.2d 889, 901 (1976). The body of law on this issue continues to develop. *See, e.g. Alaska Pulp Corporation v. United States*, 34 Fed. Cl. 100 (1995) (default terminations); *Volmar Construction, Inc. v. United States*, 32 Fed. Cl. 746 (1995) (claims and setoffs); *Cincinnati Electronics Corp. v. United States*, 32 Fed. Cl. 496 (1994) (default terminations).
4. When in doubt, assume the matter is in litigation and all settlement discussions should be made through DOJ.

B. Assume a Discussion About Settlement Is Coming.

1. The agency has little influence on the process when the agency counsel is not sufficiently familiar with case developments to offer a persuasive opinion.
2. Explain to your clients that ADR and, if warranted, settlement are more arrows in the quiver for resolving the dispute.
3. Explain that settlement should be used when it avoids injustice, when the defense is unprovable, when a decision can be expected to create an unfavorable precedent; and when settlement provides a better outcome (including the fact it might include consideration that a court judgment will not) than could be expected from a trial. The availability of expiring contract funds might also be considered.

4. In that regard, help the client understand the difference between their belief in a fact and it being legally significant and provable.
5. Identify early on who within the agency has authority to recommend settlement, and who within the agency has the natural interest or “pull” to affect that recommendation, such that they should be continually updated on the litigation.

C. Settlement Procedure.

1. Agencies must be consulted regarding “any significant proposed action if it is a party, if it has asked to be consulted with respect to any such proposed action, or if such proposed action in a case would adversely affect any of its policies.” U.S. Attorney’s Manual, para.4-3.140C.
2. The agency litigation attorney should coordinate with relevant agency interested parties, e.g., installation attorney, program officials, contracting officer, etc., to determine whether settlement is appropriate.
3. If settlement is deemed appropriate, the agency litigation attorney prepares a settlement memorandum recommending settlement.
4. The recommendation of the agency is forwarded to the DOJ. Then the DOJ goes through a similar process to get approval of a settlement.

VIII. ALTERNATIVE DISPUTE RESOLUTION (ADR).

- A. ADR Automatic Referral Procedures, General Order No. 44, was revoked in August of 2016. The COFC now follows its RCFC Appendix H procedures.

B. ADR Methods

1. The Court offers ADR methods for use in appropriate cases, including the use of a settlement judge and the mini-trial process.
2. Both ADR methods are designed to be voluntary and flexible.
3. If the parties want to employ one of the ADR methods, they should notify the presiding judge as soon as possible.
 - a. If the presiding judge determines that ADR is appropriate, the presiding judge will refer the case to the Office of the Clerk for the assignment of an ADR judge.
 - b. The ADR judge will exercise ultimate authority over the form and function of each ADR method.

- c. If the parties fail to reach a settlement, the Office of the Clerk will return the case to the presiding judge's docket.

IX. POST JUDGMENT.

A. Final Judgment Rule.

Unless timely appealed, a final judgment of the Court bars any further claim, suit, or demand against the United States arising out of the matters involved in the case or controversy. 28 U.S.C. § 2519.

B. New Trials. RCFC 59.

The COFC may, on motion, grant a new trial or rehearing or reconsideration based on common law or equity. RCFC 59(a)(1).

C. Appeals.

1. *See generally*, Jennifer A. Tegfeldt, A Few Practical Considerations in Appeals Before the Federal Circuit, 3 FED. CIR. BAR. J. 237 (1993).
2. A party may appeal an adverse decision to the Federal Circuit within 60 days of the date the party received the decision. 28 U.S.C. § 2522.

D. Paying Plaintiff's Attorney Fees.

A different attorney fee statute. The Court of Federal Claims grants Equal Access To Justice Act (EAJA) relief pursuant to 28 U.S.C. § 2412, unlike the BCAs, which grant EAJA relief pursuant to 5 U.S.C. § 504. *See also*, Form 5 in Appendix of the RCFC (application form for EAJA fees).

E. Payment of Judgments.

1. An agency may access the "Judgment Fund" to pay "[a]ny judgment against the United States on a [CDA] claim." 41 U.S.C. § 612(a). *See* 31 U.S.C. § 1304; *cf.* 28 U.S.C. § 2517.
2. The Judgment Fund also pays compromises under the Attorney General's authority.
3. If an agency lacks sufficient funds to cover an informal settlement agreement, it may "consent" to the entry of a judgment against it. *Bath Irons Works Corp. v. United States*, 20 F.3d 1567, 1583 (Fed. Cir. 1994).
4. An agency that accesses the Judgment Fund to pay a judgment in a CDA case must repay the Fund from appropriations that were current at the time the judgment was rendered against it. 41 U.S.C. § 612(c).

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CHAPTER 20

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CHAPTER 20

CONTRACT TERMINATIONS FOR CONVENIENCE

I. INTRODUCTION

A. References and Definition.

1. RFO FAR Part 49.
2. Clauses: RFO FAR 52.249-1 through 52.249-7; 52.212-4 (Commercial Products and Commercial Services); 52.213-4 (Simplified Acquisitions (Noncommercial)).
3. Definition: *Termination for convenience* means the exercise of the Government's right to completely or partially terminate performance of work under a contract when it is in the Government's interest." FAR 2.101.¹

B. Historical Development.

See Krygoski Constr. Co., Inc. v. United States, 94 F.3d 1537 (Fed. Cir. 1996) (court traces history of government's right to terminate contracts for convenience).

1. Inherent Authority. The government has always possessed the inherent authority to suspend contracts. United States v. Corliss Steam Engine Co., 91 U.S. 321 (1875) (finding the Navy Department had authority to suspend work under a contract and enter into a breach settlement for partial performance); Krygoski, 94 F.3d at 1540-41.
2. Terminations for the government's convenience "developed as a tool to avoid enormous procurements upon completion of a war effort." Krygoski, 94 F.3d at 1540. Because public policy counseled against continuing wartime contracts after the end of hostilities, the government, under certain circumstances, terminated contracts and settled with the contractor for partial performance. *Id.*
3. Following WWI, large numbers of contracts were terminated by the government. The Dent Act provided new statutory authority for the settlement of claims from those terminations. See Dent Act, 40 Stat. 1272

¹ DoW has not adopted the RFO FAR Part 2. Still continue to use the current FAR definitions in FAR Part 2. However, this definition as has not changed between the FAR and the RFO FAR.

(1919). Further statutory and regulatory provisions were provided at the onset of WWII. *See* Contract Settlement Act of 1944, 58 Stat. 649.

4. Historically, a contractor could recover breach of contract damages, which include anticipatory (lost) profits, as a result of a termination based on inherent authority. United States v. Speed, 75 U.S. 77 (1868). Currently, convenience termination clauses preclude the contractor from recovering “anticipatory profits or consequential damages” (or lost profits) when the government, in good faith, terminates the contract for its convenience. *See* FAR 49.108-3(a); FAR 49.202(a); FAR 52.249-2.
5. In 1964, the first edition of the Federal Procurement Regulation (FPR) included optional termination for convenience clauses. FPR 1-8.700-2. However, by 1967, the FPR required termination for convenience clauses in most contracts. 32 Fed. Reg. 9683 (1967). Accordingly, termination for convenience evolved into a principle of government contracting and the exigencies of war no longer limit the government’s ability to terminate. Krygoski, 94 F.3d at 1541.

II. THE RIGHT TO TERMINATE FOR CONVENIENCE.

- A. Terminations for convenience are for the convenience of the **government**. *See* RFO FAR 49.100; RFO FAR 52.249-2; 52.249-6.
 1. Some examples of when it may be in the government’s interest to terminate a contract for its convenience include: (1) the government no longer needs the supplies or services; (2) the contractor refuses to accept a modification of the contract; (3) questions have arisen regarding the propriety of the award or continued performance of the contract; (4) the contractor ceases to be eligible for the contract; (5) the business relationship between the agency and the contractor has deteriorated; or (6) the agency has decided to restructure its contractual arrangements.
 2. When a contractor is performing at a loss, termination may be beneficial to the contractor, but the government has no duty to the contractor to exercise the government’s right to terminate for the contractor’s benefit. Rotair Indus., ASBCA No. 27571, 84-2 BCA ¶ 17,417; John Massman Contracting Co. v. United States, 23 Cl. Ct. 24 (1991) (the government has no duty to terminate when it would be in the contractor’s best interest).
- B. Termination for Convenience Clauses.
 1. The FAR provides various termination for convenience clauses. *See* RFO FAR 52.249-1 through 52.249-7, 52.212-4, 52.213-4,. The proper clause for a specific contract is generally dependent upon the type and dollar

amount of the contract. *See* RFO FAR Subpart 49.5. Of note, several different termination clauses may apply to a single contract (e.g., if the contract has both fixed-price and cost-reimbursable contract line items).

- a. Contracts for commercial products and services as well as simplified acquisitions for other than commercial products or services include unique convenience termination clauses that, for the most part, are not covered by Subpart 49.5. *See* 52.212-4(l)(commercial products and commercial services) and 52.213-4(c)(simplified acquisitions-Noncommercial).
 - b. “Short form” clauses govern fixed-price contracts not to exceed the Simplified Acquisition Threshold (SAT).² *See* RFO FAR 49.502(a); RFO FAR 52.249-1. Settlement is governed by FAR Part 49. *See* Arrow, Inc., ASBCA No. 41330, 94-1 BCA ¶ 26,353 (board denied claim for useful value of special machinery and equipment because service contract properly contained short form termination clause, which limited settlement charges to services provided prior to termination).
 - c. “Long form” clauses govern fixed-price contracts exceeding the SAT. These clauses specify contractor obligations and termination settlement provisions. *See* RFO FAR 49.502(b); RFO FAR 52.249-2.
 - d. Cost reimbursement contract clauses. These clauses cover both convenience and default terminations, and specify detailed termination settlement provisions. *See* RFO FAR 49.503; RFO FAR 52.249-6.
2. The clauses give the government a right to terminate a contract, in whole or in part, when in the government's interest. *See* RFO FAR 49.5.
 3. The clauses also provide the contractor with a monetary remedy.
 - a. The contractor is entitled to:
 - (1) the contract price for completed supplies or services accepted by the government;
 - (2) reasonable costs incurred in the performance of the terminated work;

² SAT is \$350,000 in 2026, but see FAR 2.101 definition of Simplified Acquisition Threshold for specific thresholds.

- (3) a fair and reasonable profit (**UNLESS** the contractor would have sustained a loss on the contract if the entire contract had been completed); and
 - (4) reasonable costs of settlement of the work terminated. *See* RFO FAR 52.249-2(g) and 52.249-6(h).
- b. Exclusive of settlement costs, the contractor's recovery may NOT exceed the total contract price. (What constitutes the total contract price for IDIQ and Requirements contracts is discussed later in this Chapter).
 - c. The contractor cannot recover anticipated (lost) profits or consequential damages, which would be recoverable under common law breach of contract principles. RFO FAR 49.202(a).
 - d. The cost principles of RFO FAR Part 31 in effect on the date of the contract shall generally govern the claimed costs, subject to the overall principles of fairness of RFO FAR 49.201. *See* RFO FAR 49.303-5(d).

C. The "Christian Doctrine."

- 1. **Rule:** A mandatory contract clause that expresses a significant or deeply ingrained strand of public procurement policy may be considered to be included in a government contract by operation of law. G.L. Christian & Assoc. v. United States, 312 F.2d 418 (Ct. Cl. 1963) (termination for convenience clause read into the contract by operation of law).
- 2. The Christian doctrine does not turn "on whether clause was intentionally or inadvertently omitted, but on whether procurement policies are being 'avoided or evaded (deliberately or negligently) by lesser officials.'" S.J. Amoroso Constr. Co. v. United States, 12 F.3d 1072, 1075 (Fed. Cir. 1993) (Buy American Act (BAA) clause for construction contract read into contract after it had been stricken and erroneously replaced by the BAA supply clause).
- 3. The doctrine, however, does not permit the automatic incorporation of every required contract clause. General Engineering & Mach. Works v. O'Keefe, 991 F.2d 775, 779 (Fed. Cir. 1993). Rather, it must be determined whether there is any significant or deeply ingrained public procurement policy supporting incorporation of the clause. Lambrecht & Sons, Inc., ASBCA No. 49515, 97-2 BCA ¶ 20,105.
- 4. The Christian doctrine applies only to mandatory clauses reflecting significant public procurement policies. Michael Grinberg, DOT BCA

No. 1543, 87-1 BCA ¶ 19,573 (Board refused to incorporate by operation of law a discretionary T4C clause).

5. The doctrine has also been applied to incorporate less fundamental or significant mandatory clauses if they were not written to benefit or protect the party seeking the incorporation. General Engineering & Mach. Works v. O'Keefe, 991 F.2d 775, 780 (Fed. Cir. 1993) (citing Chris Berg, Inc. v. United States, 426 F.2d 314, 317 (Ct. Cl. 1970)).
6. The Christian doctrine does not apply when the contract includes an authorized deviation from the standard termination for convenience clause. Montana Refining Co., ASBCA No. 44250, 94-2 BCA ¶ 26,656 (ID/IQ contract with a stated minimum quantity included deviation in T4C clause that agency would not be liable for unordered quantities of fuel “unless otherwise stated in the contract”). However, if an incorrect clause is included in the place of a mandatory clause, the Christian doctrine may apply to substitute the incorrect/present clause with the correct/missing mandatory clause and bind the contracting parties to the mandatory contractual term. Bay Cnty., Florida v. United States, 112 Fed. Cl. 195 (2013).
7. When a services contract lacks a termination clause, an agency may be unsuccessful in arguing that the Short Form termination clause applies by operation of law because the Short Form clause is not “mandatory” for service contracts. Empres de Viacao Terceireense, ASBCA No. 49827, 00-1 BCA ¶ 30,796 (ASBCA noted that, in the case if the services contract at issue, use of the Short Form clause was predicated on a contracting officer’s determination and exercise of discretion in accordance with FAR 49.502(c), which was lacking in this case).
8. Impact of other termination clauses: Existence of “Termination on Notice” clause in contract modification, did not render T4C clause meaningless. Dart Advantage Warehousing, Inc. v. United States, 52 Fed. Cl. 694 (2002) (clause with such ancient lineage, reflecting deeply ingrained public procurement policy, and applied to contracts with the force and effect of law even when omitted, should not be materially modified or summarily rendered meaningless without good cause).

D. Convenience Terminations Imposed by Law.

1. Termination by Conversion.
 - a. The termination for default clauses provide that an erroneous default termination converts to a termination for convenience. RFO FAR 52.249-8(g); RFO FAR 52.249-10(c); ALKAI

Consultants, LLC, ASBCA 56792, 10-2 BCA ¶ 34,493 (converted T4D to T4C based on unanticipated conditions and government failure to cooperate).

- b. When the government cannot meet its burden to prove the propriety of a termination for default or a termination for cause³, the courts and boards will convert the termination for cause to a termination for convenience and return the matter to the parties to negotiate a termination settlement. Asia Commerce Network, ASBCA 58623, 17-1 BCA ¶ 36,872.
- c. Keep in mind that if the government acts in bad faith while terminating a contract for convenience or default, courts and boards will award common law breach damages rather than the usual termination for convenience costs. See Apex Int'l Mgmt. Servs., Inc., ASBCA No. 38087, 94-2 BCA ¶ 26,842 (finding 20 breaches, ASBCA finds T4D invalid and resulting T4C does not shield government from breach damages due to bad faith; holds Navy liable for breach damages); Sigal Constr. Corp., CBCA No. 508, 10-1 BCA ¶ 34,442 (finding T4C to be in bad faith where GSA deleted work from a construction contract to have that work performed by another contractor at a lower price).

2. Constructive Termination for Convenience.

- a. Constructive Termination for Convenience is a judicially created doctrine that often allows the government to avoid breach damages and to fall back on the government's right to terminate for convenience, even when the government did not actually do so. 34 Nash & Cibinic Rep. NL ¶ 39, *Constructive Termination for Convenience: A Rare Beast*.
- b. A government directive to end performance of work will not be considered a breach but rather a convenience termination if the action could lawfully fall under that clause, even if the government mistakenly thinks a contract invalid, erroneously thinks the contract can be terminated on other grounds, or wrongly calls a directive to stop work a "cancellation." ACLR, LLC v. United States, 147 Fed. Cl. 548 (2020); G.C. Casebolt Co. v. United States, 421 F.2d 710 (Ct. Cl. 1970). This judicially-created doctrine applies in situations where the government stops or

³ Note: Termination for cause is the name of the default termination provision contained in the termination clauses for Commercial Products and Services and Simplified Acquisitions. See FAR 52.212-4(m) and 52.213-4(g)

curtails a contractor's performance for reasons that are later found to be questionable or invalid. Erwin v. United States, 19 Cl. Ct. 47, 53 (1989).

- c. The constructive termination for convenience doctrine is based on the concept that a contracting party who is sued for breach may ordinarily defend on any legal excuse for nonperformance that existed at the time of the breach, even when that breaching party may have been ignorant of the ground/legal excuse. College Point Boat Corp. v. United States, 267 U.S. 12 (1925).
- d. However, the government cannot use the constructive termination for convenience theory to retroactively terminate a fully performed contract in an effort to limit its liability for failing to order the contract's minimum amount of goods or services. Ace-Federal Reporting, Inc., v. Barram, 226 F.3d 1329 (Fed. Cir. 2000); Maxima Corp. v. United States, 847 F.2d 1549 (Fed. Cir. 1988); PHP Healthcare Corp., ASBCA No. 39207, 91-1 BCA ¶ 23,647.
- e. The theory of constructive termination can apply to implied contracts and the appropriate termination for convenience clause may be read into implied contracts under the Christian Doctrine. ASFA Constrs. Indrus. and Trade, Inc., ASBCA 57269, 15-1 BCA ¶ 36,034; Guardian Safety & Supply LLC DBA Enviro Safety Products, ASBCA No. 61932, 19-1 BCA P 37333.
- f. Further, the government may not require bidders to agree in advance that the government's failure to order the contract's minimum quantity will be treated as a termination for convenience. Southwest Lab. of Okla., Inc., B-251778, May 5, 1993, 93-1 CPD ¶ 368.

3. Deductive Change v. Partial Termination for Convenience.

- a. The contracting officer must determine whether reduced or deleted work constitutes a deductive change **or** a partial termination for convenience.
- b. This distinction is important. It determines whether the measure of the contractor's recovery is under the contract's changes clause or the termination for convenience clause. This distinction also impacts which party has the burden of proof for quantifying costs and the available time period for doing so. John C. Person, *Deductive Changes*, 01-08 Briefing Papers 1 (July 2001).

- c. Generally, the courts and boards will not overturn the contracting officer's determination that the deleted work is a deductive change if the parties consistently treated the deletion as such. Dollar Roofing, ASBCA No. 36461, 92-1 BCA ¶ 24,695. *But see* Griffin Servs., Inc., GSBCA No. 11022, 92-3 BCA ¶ 25,181 (board characterized deleted work as a partial termination for convenience, but ordered recovery based on the changes clause due to the contractor's agreement with such treatment).
- d. If the contractor disputes the contracting officer's treatment of the deletion, courts and boards will examine the relative significance of the deleted work.
 - (1) If MAJOR portions of the work are deleted and no additional work is substituted in its place, the termination for convenience clause generally must be used. Nager Elec. Co. v. United States, 442 F.2d 936 (Ct. Cl. 1971).
 - (2) Courts and boards will generally treat the deletion of relatively MINOR and segregable items of work as a deductive change. Lionsgate Corp., ENG BCA No. 5425, 90-2 BCA ¶ 22,730.
 - (3) However, if the parties agree that such work was a deductive change in a bilateral modification boards or courts will likely not permit the contractor to challenge such characterization if the contractor later is not satisfied with its recovery under the Changes clause. Justman Freight Lines, Inc., PSBCA 6428, 15-1 BCA ¶ 35,819.
- e. For partial terminations, the TCO must limit settlement to fee adjustment and reduced estimated cost. RFO FAR 49.304-1(a).
- f. After partial termination, a contractor can request an equitable adjustment in the price of the continued part of a fixed-price contract. RFO FAR 49.208.

III. THE DECISION TO TERMINATE FOR CONVENIENCE

A. Regulatory Guidance

- 1. The FAR clauses give the government the right to terminate a contract in whole, or in part, if the contracting officer determines that termination is in the government's interest. *See* John Massman Contracting Co. v.

United States, 23 Cl. Ct. 24 (1991) (no duty to terminate when it would be in the contractor's best interest).

2. The FAR provides **no guidance** on factors that the contracting officer should consider when determining whether termination is “in the government’s interest.” RFO FAR 49.101(b) and the convenience termination clauses merely provide that contracting officers shall terminate contracts only when it is in the government’s interest to do so.
 - a. The right to terminate “comprehends termination in a host of variable and unspecified situations” and is not limited to situations where there is a “decrease in the need for the item purchased.” John Reiner & Co. v. United States, 325 F.2d 438 (Ct. Cl. 1963), *cert. denied*, 377 U.S. 931 (1964).
 - b. A “cardinal change” in the government’s requirements is also not a prerequisite to a termination for convenience. T&M Distributors, Inc. v. United States, 185 F.3d 1279 (Fed. Cir. 1999).
3. The FAR does provide guidance concerning circumstances in which contracting officers normally **cannot or should not** use a convenience termination.
 - a. A negotiated **no-cost settlement** is appropriate instead of a termination for convenience or default when: (1) the contractor will accept it; (2) government property was not furnished; and (3) there are no outstanding payments due to the contractor, debts due by the contractor to the government, or other contractor obligations. RFO FAR 49.101(b).
 - b. The government normally should not terminate a contract, but should allow it to run to completion, when the price of the undelivered balance of the **contract is less than \$5,000**. RFO FAR 49.101(c).
 - c. **CAUTION**—Termination simply to get the item at a **lower price** may amount to **bad faith**. Sigal Constr. Co., CBCA No. 508, 10-1 BCA ¶ 34,442 (quoting Krygoski Constr. Co., 94 F.3d 1537 (Fed. Cir. 1996) (“A contracting officer may not terminate for convenience in bad faith, for example, simply to acquire a better bargain from another source.”). *See also* Tigerswan, Inc. v. United States, 110 Fed.Cl. 336 (2013) (government may be liable for breach of contract damages where its decision to terminate for convenience violates the implied duty of good faith and fair dealing.). But see Terminations for Convenience: When Are They

Improper?, 26 No. 10 Nash & Cibinic Rep. ¶ 52 (2012) (stating the factual question is whether the government personnel *knew* of the lower price at the time of award).

4. There is no requirement to give the contractor a hearing before the termination decision. Melvin R. Kessler, PSBCA No. 2820, 92-2 BCA ¶ 24,857.
5. Notice of Termination.
 - a. When terminating a contract for convenience, the contracting officer **must provide notice** to the contractor, the contract administration office, and any known assignee, guarantor, or surety of the contractor. Notice shall be made by certified mail, hand delivery, or email (if obtaining a confirmation of receipt is possible). RFO FAR 49.102; RFO FAR 49.601. After the contracting officer issues the notice of termination, a termination contracting officer (TCO) is responsible for negotiating any settlement with the contractor. RFO FAR 49.101(d). In practice, the administering contracting officer (ACO) and the TCO are often one and the same.
 - b. For DoW components, **congressional notification** is required for any termination involving a reduction in employment of 100 or more contractor employees. RFO DFARS 249.7001. The agency liaison offices will coordinate timing of the congressional notification and public release of the information with release of the termination notice to the contractor. RFO DFARS PGI 249.7001.
 - c. Regarding the government's documenting the basis of the decision to terminate for convenience (i.e. the government interest that the termination is serving), the notice of termination itself may not be sufficient, depending on whether it contains the basis for the T4C. *See* RFO FAR 4.101 regarding the requirement for government contract files to maintain a record of the background and basis for decisions made.
6. Contractor duties after receipt of notice of termination. *See* RFO FAR 49.104, noting it is the notice and the applicable clause that control. The contractor is required generally to:
 - a. Stop work immediately and stop placing subcontracts;
 - b. Terminate all subcontracts;

- c. Immediately advise the TCO of any special circumstances precluding work stoppage;
- d. Perform any continued portion of the contract and submit promptly any request for equitable adjustment to the price;
- e. Protect and preserve property in the contractor's possession, and dispose of termination inventory as directed or authorized by TCO;
- f. Notify TCO in writing concerning any legal proceedings growing out of any subcontract or other commitment related to the terminated portion of the contract;
- g. Settle subcontract proposals;
- h. Promptly submit own termination settlement proposal; and
- i. Dispose of termination inventory as authorized by TCO.

7. Duties of TCO after notice of termination. RFO FAR 49.105.

- a. Direct the action required of the prime contractor;
- b. Examine the contractor's settlement proposal (and when appropriate, the settlement proposals of subcontractors); and
- c. Promptly negotiate settlement with the contractor (or unilaterally settle by determination for the elements that cannot be agreed upon, if unable to negotiate a complete settlement).

B. Standard of Review.

- 1. Challenging Burden for Contractor. The courts and boards recognize the government's broad right to terminate a contract for convenience. A contractor bears the burden of proof in showing a termination for convenience was improper and it is **very difficult for a contractor to successfully argue that a T4C was improper**. It is not the providence of the boards/courts to decide *de novo* whether termination of the contract was the best course of action. T&M Distributors, Inc. v. United States, 185 F.3d 1279 (Fed. Cir. 1999) ("We do not scrutinize *de novo* whether termination was the best course. In the absence of bad faith or clear abuse of discretion, the contracting officer's election to terminate for the government's convenience is conclusive.") *See also* Salsbury Indus. v. United States, 905 F.2d 1518 (Fed. Cir. 1990).

2. Seminal Cases. Practitioners should be generally familiar with three main cases when assessing the propriety of a termination for convenience, *Krygoski*, *Kalvar*, and *Torncello* (each discussed below):
- a. *Krygoski Constr. Co., Inc. v. United States*, 94 F.3d 1537 (Fed. Cir. 1996) (considered by many to be the current state of the law). As set forth in *Krygoski*: (i) **a termination for convenience is valid unless the government has acted in bad faith or an abuse of discretion**; (ii) government officials are presumed to act in good faith and it is very difficult for contractors to prove bad faith or an abuse of discretion relating to a convenience termination, (iii) if the government acted in bad faith or an abuse of discretion, that conduct constitutes a government breach of contract, and (iv) the government's terminating a contract simply to acquire a better bargain from another source may constitute bad faith (there is some disagreement on this last point).
 - b. *Kalvar Corp., Inc., v. United States*, 543 F.2d 1298 (Ct. Cl. 1976) (The "*Kalvar*" test). A contractor may establish that a termination for convenience is, in legal effect, a breach of contract by proving **bad faith** or **abuse of discretion** by the government. This is sometimes referred to as the "*Kalvar*" test. Stated another way, a termination for convenience may only give rise to a breach of contract when the government terminates in bad faith or abuses its discretion to terminate the contract; in the absence of bad faith or abuse of discretion the contracting officer's election to terminate a contract for convenience is conclusive. *Salsbury Indus. v. United States*, 905 F.2d 1518 (Fed. Cir. 1990); *Boarhog LLC v. United States*, 129 Fed. Cl. 130, 134 (2016); *Bannum, Inc. v. United States*, 151 Fed. Cl. 755, 769 (2021).
 - c. *Torncello v. United States*, 681 F.2d 756 (Ct. Cl. 1982) (The *Torncello* "change in circumstances" test requires that there have been a change in circumstances between time of award and termination). *Torncello*'s change in circumstances test is generally not the current state and has created a line of confusing termination for convenience cases. Practitioners should refer first to *Krygoski*, *Kalvar* and *Salsbury Indus. v. United States*, 905 F.2d. 1518 (Fed. Cir. 1990). However, *Torncello* is worth at least being familiar with because contractors occasionally still argue the change in circumstances test, though unsuccessfully. See *T&M Distributors, Inc. v. United States*, 185 F.3d 1279 (Fed. Cir. 1999) ("We have in fact rejected the suggestion that dicta of a plurality opinion in *Torncello* imposed a special requirement of 'changed

circumstances’ on the government's right to terminate for its convenience.”)

d. Bad Faith.

- (1) Proof of bad faith requires proof tantamount to some **specific intent to injure** the plaintiff/contractor, malice, or “designedly oppressive conduct.” Kalvar Corp., Inc., v. United States, 543 F.2d 1298, 1302 (Ct. Cl. 1976).
- (2) Courts and boards presume that contracting officers – and all government officials for that matter - act conscientiously and in good faith in the discharge of their duties. Krygoski Constr. Co., Inc. v. United States, 94 F.3d 1537, 1541 (Fed. Cir. 1996).
- (3) Overcoming this strong presumption requires “**clear and convincing evidence.**” Am-Pro Protective Services, Inc. v. United States, 281 F.3d 1234, 1241 (Fed. Cir. 2002). This “clear and convincing evidence” standard is an articulation of a long-standing precedent holding that to overcome the presumption of good faith, contractors alleging bad faith on the part of the government needed “well-nigh irrefragable proof.”⁴
- (4) Inept government actions do not constitute bad faith. TLT Constr. Corp., ASBCA No. 40501, 93-3 BCA ¶ 25,978
- (5) McHugh v. DLT Solutions, Inc., 618 F.3d 1375 (Fed. Cir. 2010) (government may T4C even where it contemplated at time of award that it might T4C the contract in the future); Caldwell & Santmyer, Inc., v. Glickman, 55 F.3d 1578, 1582 (Fed. Cir. 1995) (refusing to disallow a termination for convenience in a “situation in which the government contracts in good faith but, at the same time, has knowledge of facts supposedly putting it on notice that, at some future date, it may be appropriate to terminate the contract for convenience”).

⁴ The United States Court of Appeals for the Federal Circuit held in Am-Pro Protective Agency, Inc. v. United States, “In fact, for almost 50 years this court and its predecessor have repeated that we are ‘loath to find to the contrary [of good faith], and it takes, and should take, well-nigh irrefragable proof to induce us to do so.’” 281 F.3d 1234, 1239.

- (6) Oregon Woods, Inc. v. United States, 355 Fed. Appx. 403 (Fed. Cir. 2009) (unpublished) (no bad faith where government terminated due to inadequate specifications even though government engineers modified the specs twice before contract award).
- (7) BioFuction, LLC v. United States, 92 Fed. Cl. 167 (2010) (no bad faith where government terminated the contract for convenience after inducing contractor to perform on a related unfunded pilot program because government employee did not have authority to enter into contract).
- (8) Evidence that government acted with malice or with specific intent to injure is not necessary to establish breach of the duty of good faith and fair dealing. Teresa A. McVicker, P.C., ASBCA No. 57487, 12-2 BCA ¶ 35,127 (bad faith found in “bait and switch” situation where government contracts for PA services specifying contractor must hire two current contract employees; at same time government works to hire same individuals as federal employees).

e. Abuse of Discretion.

- (1) A contracting officer’s decision to terminate for convenience cannot be arbitrary or capricious.
- (2) The Court of Claims (predecessor to the Court of Appeals for the Federal Circuit) cited four factors to apply in determining whether a contracting officer’s discretionary decision is arbitrary or capricious. Keco Indus. v. United States, 492 F.2d 1200, 1203-04 (Ct. Cl. 1974). These factors are:
 - (a) Evidence of subjective bad faith on the part of the government official;
 - (b) Lack of a reasonable basis for the decision;
 - (c) The degree of proof to recover is related to the amount of discretion given to the government official; i.e., the greater the discretion granted, the more difficult it is to prove that the decision was arbitrary and capricious; and,

- (d) A proven violation of an applicable statute or regulation (this factor alone may be enough to show that the conduct was arbitrary and capricious).
- (3) *See TigerSwan, Inc. v. United States*, 118 Fed. Cl. 447 (2014)(An abuse of discretion where the KO did not ‘put his own mind’ to the decision to terminate the contractor but instead deferred entirely to others in requiring activity/program office). *See also Rush Constr., Inc. v. United States*, 117 Fed. Cl. 85, 87 (2014)(Court finds fault with agency decision to implement flawed GAO bid protest decision/recommendation).

3. Effect of Improper Termination.

- a. The general rule for commercial (non-government) contracts is to place the injured party in as good a position as the one the injured party would have been in had the breaching party fully performed. In the commercial context, this might include anticipatory damages and, less often, consequential damages. In most circumstances with government contracts, the termination for convenience clause in government contracts permits the government to terminate at will and pay only for the cost of the work completed at the time of the termination and a reasonable profit on the work. However the government’s improper exercise of the termination for convenience can result in increased damages.
- b. By terminating in bad faith or arbitrarily and capriciously, the government may be found in breach of contract, permitting the contractor to potentially recover **breach of contract damages**, including anticipatory (lost) profits. *See Operational Serv. Corp.*, ASBCA No. 37059, 93-3 BCA ¶ 26,190 (government breached contract by exercising option year of contract while knowing that it would T4C the current contract once it had awarded a commercial activities contract or decided to perform the work in house); *see also Sigal Constr. Corp.*, CBCA No. 508, 10-1 BCA ¶ 34442.
- c. Remote and consequential damages are not recoverable, even in the case of a government breach of contract. *San Carlos Irr. & Drainage Dist. v. United States*, 111 F.3d 1557, 1563 (Fed. Cir. 1997). *But see Energy Capital Corp. v. United States*, 47 Fed. Cl. 382 (2000) (awarding \$8.78 million in lost profits to new venture).

C. Revocation of a Termination for Convenience.

1. Reinstatement of the contract. RFO FAR 49.102(d).
 - a. A contracting officer may reinstate the terminated portion of a contract in whole or in part by amending the notice of termination if:
 - (1) The contractor has consented in writing;
 - (2) Circumstances require the terminated items; and
 - (3) The reinstatement is advantageous to the government.
 - b. The contracting officer may not reinstate a contract unilaterally. The written consent of the contractor is required. B3h Corp., GSBICA No. 12813-P-REM, 96-2 BCA ¶ 28360 (May 3, 1996).
2. A termination for convenience cannot be substituted for, or converted to, a termination for default. Roged, Inc., ASBCA No. 20702, 76-2 BCA ¶ 12,018; but see Amwest Surety Ins. Co., ENG BCA No. 6036, 94-2 BCA ¶ 26,648 (substitution from T4C back to T4D allowed in unique circumstance where government issued “conditional” T4C as part of settlement agreement for a challenged T4D).

IV. CONVENIENCE TERMINATION SETTLEMENTS

- A. Procedures. RFO FAR Part 49.
 1. After termination for convenience, the parties must:
 - a. Stop the work;
 - b. Dispose of termination inventory; and
 - c. Adjust the contract price.
 2. Timing of the Termination Settlement Proposal.
 - a. The contractor must submit its termination proposal within **one year** of notice of the termination for convenience. FAR 49.206-1; FAR 52.249-2(e); Do-Well Mach. Shop, Inc. v. United States, 870 F.2d 637 (Fed. Cir. 1989) (“we cannot hold that Congress wanted to prevent parties from agreeing to terms that would further expedite the claim resolution process.”).

- b. Timely submittal is defined as mailing the proposal within one year after receipt of the termination notice. Voices R Us, Inc., ASBCA No. 51565, 99-1 BCA ¶ 30,213 (denying government's summary judgment motion for failure to provide evidence that fax notice of termination was sent to and received by contractor); Jo-Bar Mfg. Corp., ASBCA No. 39572, 93-2 BCA ¶ 25,756 (finding timely mailing despite lack of government receipt; contractor met preponderance of evidence standard with logs and affidavits to support alleged mailing date).
- c. If a contractor fails to submit its termination settlement proposal within the required time period, or any extension granted by the contracting officer, the contracting officer may then unilaterally determine the amount due the contractor. FAR 49.109-7. Industrial Data Link Corp., ASBCA No. 49348, 98-1 BCA ¶ 29,634, aff'd 194 F.3d 1337 (Fed. Cir., 1999) (granting summary judgment in favor of government because termination settlement proposal was untimely submitted); see also Black Bear Construction Co., ASBCA No. 61181, 17-1 BCA ¶ 36,914. Harris Corp., ASBCA No. 37940, 90-3 BCA ¶ 23,257 (termination settlement proposal found untimely where contractor notified of defects in proposal and fails to correct within extension granted by TCO).
- d. A contracting officer's refusal to grant an extension of time to submit a settlement proposal is a decision that can be appealed but requires the contractor to submit a proposal and claim for jurisdiction under the Contract Disputes Act. Cedar Constr., ASBCA No. 42178, 92-2 BCA ¶ 24,896. But, failure of the contracting officer to act on a timely request for an extension cannot deny the contractor the right to appeal. The Swanson Group, ASBCA No. 52109, 01-1 BCA ¶ 31,164.

B. Methods and Basis for Settlement.

- 1. Methods of settlement. RFO FAR 49.103.
 - a. Bilateral negotiations between the contractor and the government.
 - b. Unilateral determination of the government. RFO FAR 49.109-7. This method is appropriate only when the contractor fails to submit a proposal or a settlement cannot be reached by agreement.

2. Bases of settlement. The two primary bases for settlement proposals are the inventory basis (the preferred method), and the total cost basis. RFO FAR 49.206-2.
 - a. Inventory basis. RFO FAR 49.206-2(a).
 - (1) The preferred way for a contractor to prove increased costs is by submitting actual cost data. Propellex Corp. v. Brownlee, 342 F.3d 1335, 1338 (Fed. Cir. 2003).
 - (2) Settlement proposal must itemize separately:
 - (a) Metals, raw materials, purchased parts, work in process, finished parts, components, dies, jigs, fixtures, and tooling, at purchase or manufacturing cost;
 - (b) Charges such as engineering costs, initial costs, and general administrative costs;
 - (c) Costs of settlements with subcontractors;
 - (d) Settlement expenses; and
 - (e) Other proper charges;
 - (f) An allowance for profit or adjustment for loss must be made to complete the gross settlement proposal. All unliquidated advance and progress payments and all disposal and other credits known when the proposal is submitted are then deducted.
 - b. Total cost basis. RFO FAR 49.206-2(b).
 - (1) This approach to calculating damages is disfavored. Tecom, Inc. v. United States, 86 Fed. Cl. 437, 455 (2009) (citing Serrvidone Constr. Corp. v. United States, 931 F.2d 860, 861-62 (Fed. Cir. 1991) (describing method as “a last result” that may be used “in those extraordinary circumstances where no other way to compute damages was feasible”); WRB Corp. v. United States, 183 Ct. Cl. 409, 426 (1968) (explaining this method “has been tolerated only when no other mode was available”)).
 - (2) Used only when approved in advance by the TCO and when use of inventory basis is impracticable or will unduly

delay settlement, as when production has not commenced and accumulated costs represent planning and preproduction expenses. RFO FAR 49.206-2(b)(1).

- (3) ALKAI Consultants, LLC, ASBCA 56792, 10-2 BCA ¶ 34,493 (where costs of additional work could not readily be separated from the cost of the basic contract work, a cost-based approach would be an appropriate measure of the percentage of work performed).

C. Amount of Settlement.

1. Convenience termination settlements are based on:
 - a. Costs incurred in the performance of terminated work, plus
 - b. A fair and reasonable profit on the incurred costs, plus
 - c. Settlement expenses.
 - d. *See* RFO FAR 31.205-42; Teems, Inc. v. General Services Administration, GSBCA No. 14090, 98-1 BCA ¶ 29,357.
2. The contractor has the burden of establishing its proposed settlement amount. RFO FAR 49.109-7(c); Swr, Inc., ASBCA No. 56708, 15-1 BCA ¶ 35832 (“A contractor bears the burden of proving by a preponderance of the evidence that it is entitled to a greater termination settlement amount than that determined by the TCO.”) *But see* Emerson Elec. Co., ASBCA No. 15591, 72-1 BCA ¶ 9440 (a T4C for a Cost Plus Fixed Fee contract where the government has the burden of establishing the reduced contract price to which the contractor should be entitled).
3. As a general rule, a termination for convenience converts the terminated portion of a fixed-price contract to a cost-reimbursement type of contract, so costs on the settlement proposal are determined under RFO FAR Part 31 Cost Principles and Procedures. *See* Swr, Inc., ASBCA No. 56708, 15-1 BCA ¶ 35832 and RFO FAR 31.205-42 – Termination Costs (these principles to be used in conjunction with other cost principles in Subpart 31.2), which lists the following categories of costs:
 - a. Common items;
 - b. Costs continuing after termination;
 - c. Initial costs;

- d. Loss of useful value of special tooling and machinery;
 - e. Rental under unexpired leases;
 - f. Alteration of leased property;
 - g. Settlement expenses; and
 - h. Subcontractor claims.
4. The cost principles must be applied subject to the fairness principle set forth at RFO FAR 49.201(a), which states:
- a. A settlement should compensate the contractor fairly for the work done and the preparations made for the terminated portions of the contract, including a reasonable allowance for profit. *See Ralcon, Inc.*, ASBCA No. 43176, 94-2 BCA ¶ 26,935; *Red River Holdings, LLC v. United States*, 802 F.Supp.2d 648 (D. Md., 2011) (rejecting narrow interpretation of fairness principles).
 - b. Fair compensation is a matter of judgment and cannot be measured exactly. In a given case, various methods may be equally appropriate for arriving at fair compensation.
 - c. The use of business judgment, as distinguished from strict accounting principles, is the heart of a settlement. *See Codex Corp. v. United States*, 226 Ct. Cl. 693 (1981) (board decision disallowing pre-contract costs based on strict application of cost principles was remanded for further consideration by the board based on the court's determination that cost principles must be applied "subject to" the fairness concept in FAR 49.201); *see also J.W. Cook & Sons*, ASBCA No. 39691, 92-3 BCA ¶ 25,053 (board definition of "fairness").
5. Cost of Termination Inventory. Except for normal spoilage and except to the extent that the government assumed the risk of loss, the contracting officer shall exclude from the amounts due the contractor the fair value of property that is destroyed, lost, stolen, or damaged so as to become undeliverable to the government. RFO FAR 52.249-2(h); *see Lisbon Contractors, Inc. v. United States*, 828 F.2d 759 (Fed. Cir. 1987) (contractor cannot recover "simply by pleading ignorance" of fate of materials); *Industrial Tectonics Bearings Corp. v. United States*, 44 Fed. Cl. 115 (1999) ("fair value" means "fair market value" and not the amount sought by the contractor).
6. Common Items.

- a. RFO FAR 31.205-42(a) provides that “[t]he costs of items reasonably usable on the contractor’s other work shall not be allowable unless the contractor submits evidence that the items could not be retained at cost without sustaining a loss.”
- b. Courts and boards have applied this provision to more than just materiel costs. Dairy Sales Corp. v. United States, 593 F.2d 1002 (Ct. Cl. 1979) (cost of butter wrapping machine not allowed in a partial termination of a butter packing contract); Hugo Auchter GmbH, ASBCA No. 39642, 91-1 BCA ¶ 23,645 (only depreciation, not costs for general purpose off-the-shelf computer equipment allowed).
- c. Costs for materials purchased prior to a notice to proceed may be “unreasonably premature” and not recoverable termination settlement costs. American Boys Construction Co., ASBCA No. 60515, 17-1 BCA ¶ 36,856 (dispositive to this decision was the fact that the materials at issue, which were to be used to construct sniper screening in Afghanistan, needed to be approved in advance by the government and the contractor never obtained such approval before incurring the costs).

7. Subcontract Settlements. RFO FAR 49.108.

- a. Upon termination of a prime contract, the prime and each subcontractor are responsible for prompt settlement of the settlement proposals of their immediate subcontractors. RFO FAR 49.108-1.
- b. Such subcontractor recovery amounts are allowable as part of the prime’s termination for convenience settlement with the government. RFO FAR 31.205-42(h); *see* Fluor Intercontinental, Inc. v. IAO Worldwide Serv., Inc., 2010 WL 3610449 (N.D. Fla. Sept. 13, 2010) (prime contractor liable to subcontractor for breach although prime contractor’s government contract was T4C’d).
- c. The TCO shall examine each subcontract settlement to determine that it was arrived at in good faith, is reasonable in amount, and is allocable to the terminated portion of the contract. RFO FAR 49.108-3(c). A contractor’s settlement with a subcontractor must be done at “arm’s-length”, or it may be disallowed. Bos’n Towing & Salvage Co., ASBCA No. 41357, 92-2 BCA ¶ 24,864 (denying claim for costs of terminating charter of tug boats).

- d. The contractor has a duty to determine the allowability and reimbursability of the costs submitted by the subcontractor as part of the settlement. Parsons Global Serv. Inc., ASBCA 56731, 11-1 BCA ¶ 34,643 (dismissing contractor claims for reimbursement of sub's costs as premature when prime had not evaluated costs).

D. Settlement Expenses. RFO FAR 31.205-42(g).

1. Accounting, legal, clerical, and similar costs are allowable if they are reasonably necessary for: (a) the preparation and presentation, including supporting data, of settlement claims to the contracting officer; and (b) the termination and settlement of subcontracts.
2. Reasonable costs for the storage, transportation, protection, and disposition of property acquired or produced for the contract are allowable.
3. Indirect costs are allowable if they are related to salary and wages incurred as settlement expenses in 1. and 2. above; these are normally limited to payroll taxes, fringe benefits, occupancy costs, and immediate supervision costs.
4. TCO shall allow profit on preparations made and work done by the contractor for the terminated portion of the contract but not on the settlement expenses. RFO FAR 49.202(a).
5. Profit shall not be allowed for material or services that, as of the effective date of termination, have not been delivered by a subcontractor, regardless of the percentage of completion. RFO FAR 49.202(a).

E. Limitations on Termination for Convenience Settlements.

1. A contractor is not entitled to anticipatory profits or consequential damages. RFO FAR 49.202; Dairy Sales Corp. v. United States, 593 F.2d 1002 (Ct. Cl. 1979); Centennial Leasing Corp., ASBCA No. 49217, 96-2 BCA ¶ 28,571
2. Loss Contracts.
 - a. A contracting officer may **not allow profit** in settling a termination claim if it appears that the contractor would have incurred a loss had the entire contract been completed. RFO FAR 49.203.
 - b. If the contractor would have suffered a loss on the contract in the absence of the termination, the contractor may recover only the

same **percentage of costs** incurred as would have been recovered had the contract gone to completion. The rate of loss is applied to costs incurred to determine the cost recovery. RFO FAR 49.203.

- c. The **government has the burden of proving that the contractor would have incurred a loss** at contract completion. Balimoy Mfg. Co. of Venice, ASBCA Nos. 47140 and 48165, 98-2 BCA ¶ 30,017, *aff'd*, 2000 U.S. App. LEXIS 26702 (Fed. Cir. 2000).
- d. The target price of the fixed items, rather than the ceiling price, is used to compute the loss adjustment ratio for a convenience termination of a contract with both firm fixed price items and fixed price incentive fee line items. Boeing Defense & Space Group, ASBCA No. 51773, 98-2 BCA ¶ 30,069.

3. Overall Contract Price for Fixed-Price Contracts.

- a. The total settlement **may not exceed the contract price** (less payments made or to be made under the contract) - plus the amount of the settlement expenses. RFO FAR 49.207. *See also* Tom Shaw, Inc., ENG BCA No. 5540, 93-2 BCA ¶ 25,742; Alta Constr. Co., PSBCA No. 1463, 92-2 BCA ¶ 24,824.
- b. *Compare* Okaw Indus., ASBCA No. 17863, 77-2 BCA ¶12,793 (the contract price of items terminated on an indefinite quantity contract is the price of the ordered quantity, not of the estimated quantity, where the government has ordered the minimum quantity), *with* Aviation Specialists, Inc., DOT BCA No. 1967, 91-1 BCA ¶ 23,534 (the only reasonable measure of the maximum recovery under a requirements contract is the government estimate).

4. Pending claims. Add the cost of valid pending claims for government delay, defective specifications, etc., to the original contract price to establish the “ceiling” of convenience termination recovery. *See, e.g.*, Wolfe Constr. Co., ENG BCA No. 5309, 88-3 BCA ¶ 21,122.

F. Special Considerations.

- 1. Offsets. The government may withhold a portion of the termination settlement as an offset against other claims. *See* Applied Companies v. United States, 37 Fed. Cl. 749 (1997) (Army properly withheld \$1.9 million from termination settlement due to overpayments on another contract).

2. Merger. Claims against the government arising out of contract performance are generally merged with the termination for convenience settlement proposal; therefore, it is not necessary to distinguish equitable adjustment costs from normal performance costs unless the contract is in a loss status. Worsham Constr. Co., ASBCA No. 25907, 85-2 BCA ¶ 18,016; Symbion Ozdil Joint Venture, ASBCA 56713, 10-1 BCA ¶ 34,367.
3. Equitable adjustments. In cases of partial terminations, a contractor may request an equitable adjustment for the continued portion of the contract. *See* RFO FAR 52.249-2(l) (requiring proposal to be submitted within 90 days of effective date of termination unless extended in writing by KO); Varo Inc., ASBCA Nos. 47945, 47946, 98-1 BCA ¶ 29,484 (affirmative defense of untimeliness waived where not raised until third day of hearing).
4. Mutual fault. If both the government and the contractor are responsible for the causes resulting in termination of a contract or for unnecessarily high termination costs, courts and boards have used equitable principles to deny contractors full recovery of termination costs.
 - a. In Dynalelectron Corp. v. United States, 518 F.2d 594 (Ct. Cl. 1975), the court allowed the contractor only one-half of the otherwise allowable termination for convenience costs because the contractor was at fault in continuing to incur costs while trying to meet impossible government specifications without notifying the government of its efforts.
 - b. In Insul-Glass, Inc., GSBCA No. 8223, 89-1 BCA ¶ 21,361, the board denied termination for convenience recovery because of the contractor's deficient administration of the contract. The board noted that under the default clause, if the default is determined to be improper, "the rights and obligations of the parties shall be the same as if a notice of termination for convenience of the government had been issued." . . . We may exercise our equitable powers, however, to fashion, in circumstances where both parties share in the blame for the predicament which engenders an appeal, a remedy which apportions costs fairly."

G. Commercial Products and Commercial Services – Termination for Convenience.

1. Background. The Federal Acquisition Streamlining Act of 1994, P.L. 103-355, 108 Stat. 3243 (Oct. 13, 1994), established special requirements for the acquisition of commercial products and commercial

services. Congress intended government acquisitions to more closely resemble those customarily used in the commercial marketplace.

2. RFO FAR 12.304(a) states that for termination for convenience concepts for commercial products and services to follow the procedures in 12.304 and the termination paragraphs of the clause at 52.212-4. Do not use the procedures in part 49.
3. Policy. The contracting officer should exercise the government's right to terminate a contract for a commercial product or service only when such a termination would be in the best interests of the government. A threat to terminate for convenience does not constitute duress when negotiating a bilateral modification. New Iraq Ahd Company, ASBCA No. 58768, 14-1 BCA ¶ 35,779.
4. Generally, the parties should mutually agree upon the requirements of the termination proposal. The parties must balance the government's need to obtain sufficient documentation to support payment to the contractor against the goal of having a simple and expeditious settlement. FAR 12.304(c).
5. Recovery on Commercial Product or Commercial Service Contracts.
 - a. RFO FAR 52.212-4 is the standard termination for convenience clause for commercial product or service contracts and entitles a contractor to recovery under two prongs: 1) payment of a percentage of the contract price reflecting the percentage of the work performed prior to the notice of termination and 2) reasonable charges, that the contractor can demonstrate to the government's satisfaction, resulted from the termination.
 - b. In Red River Holdings, LLC, ASBCA 56316, 09-2 BCA ¶ 34,304, a charter of a vessel to the government included the commercial [product or service] termination for convenience clause. The contractor was not entitled to recover for a termination for convenience under FAR Part 49 cost principles. The phrase in the termination for convenience clause "reasonable charges the Contractor can demonstrate . . . have resulted from the termination" is read to mean settlement expenses, and not items such as preparatory costs. This decision was reversed by a District Court decision in Red River Holding, LLC v. U.S., 802 F Supp. 2d 648 (D. Md. 2011)(noting that appeals of maritime cases from the ASBCA go to district court). In SWR, Inc., ASBCA 56708, 15-1

BCA ¶ 35,832 the board held that the contractor was entitled to recover costs reasonably incurred in anticipation of performing.

- c. For a good analysis of Red River and how the commercial product and service⁵ principles have been applied in other cases, see Seidman, Termination for Convenience of FAR Part 12 Commercial Contracts: Is Fair Compensation Required, Nash & Cibinic Report August 2010.
- d. In TriRAD Technologies Inc. ASBCA 58855, 15-1 BCA ¶ 35,898, the Board distinguished the termination provisions for commercial product or service contracts in FAR Part 12, which permits recovery for a “percentage of the contract price reflecting the percentage of the work performed,” and explained that it includes work in progress and was not limited to work delivered or accepted by the government, and found that TriRAD was entitled to recovery of “reasonable charges” not relating to work delivered but that nevertheless “resulted from the termination” and “should be reimbursed to fairly compensate the contractor.”

V. DISPUTES REGARDING TERMINATION SETTLEMENTS

- A. When does a T4C proposal become a claim? Once the parties reach an impasse, the proposal becomes a claim under the Contract Disputes Act. James M. Ellet Constr. Co. v. United States, 93 F.3d 1537 (Fed. Cir. 1996); Rex Systems, Inc. v. Cohen, 224 F.3d 1367 (Fed. Cir. 2000) (no impasse entitling contractor to interest despite taking 2.5 years to settle the termination); Mediatrix Interactive Technologies, Inc., ASBCA No. 43961, 99-2 BCA ¶ 30,318.
- B. If an Agency fails to respond to a contractor’s settlement proposal, the contractor can file an appeal with the appropriate Board. ePlus Tech., Inc. v. FCC., CBCA 2573, 2012-2 BCA ¶ 25,114 (Board found jurisdiction over appeal when Agency failed to respond for six months to termination settlement proposal that was certified as a claim).
- C. A claim based upon the termination of a contract is typically pursued under the Contract Disputes Act, 41 U.S.C. §§ 7101-09. OAQ Corp. v. Johnson, 49 F.3d 721, 724-25 (Fed. Cir. 1995); Data Monitor Sys., Inc. v. United States, 74 Fed. Cl. 66, 71 (2006). Be aware, however, the Court of Federal Claims has reviewed some terminations for convenience pursuant to its bid protest jurisdiction when

⁵ N.B. The FAR bifurcated the term “commercial item” into the terms “commercial product” and “commercial service” in late 2021. Primary sources cited throughout this chapter may thus use to the outdated commercial item terminology.

the termination is in conjunction with corrective action. Wildflower Int'l, Inc. v. United States, 105 Fed. Cl. 362 (2012).

VI. FISCAL CONSIDERATIONS - T4C

- A. An agency must analyze each contract that it plans to terminate for convenience to determine whether termination for convenience or completion of the contract is less costly or otherwise in the best interest of the government.
- B. An agency must determine whether the convenience termination settlement would be governed by standard FAR convenience termination clause provisions, or by contract specific terms, such as termination ceilings, multi-year contract termination costs, or other specific contractual terms.
- C. **Rule (Deobligation):** A termination for convenience does not result in an immediate or complete deobligation of all funding on the contract at the time of the termination. Rather, the contracting officer must release only those funds in *excess of the estimated termination settlement costs* (in the contracting officer's assessment). RFO FAR 49.101(f); 49.105-1 DOD Financial Management Regulation 7000.14-R, vol. 3, ch. 8, para. 080612.
- D. **Rule (Availability of Otherwise Expired Funding After T4C):** A prior year's funding obligation is extinguished upon termination of a contract, and those funds will **not remain available** to fund a **replacement contract** in a subsequent year where a contracting officer terminates a contract for the convenience of the government.⁶ There are two exceptions, listed below.
- E. **Two Exceptions:**
 - 1. Exception 1: **In response to judicial order.** *See generally* GAO, *Principles of Federal Appropriations Law*, Vol I, Chapter 5, Section E, Effect of Litigation on Period of Availability (3d ed. 2004).
 - a. Funds *originally obligated* in one fiscal year for a contract that is later terminated for convenience in response to a **court order** or to a determination by the Government Accountability Office or other competent authority that the award was improper, may remain available in a subsequent fiscal year to fund a replacement

⁶ This general rule is addresses funding that is otherwise expired. If the replacement contract is being awarded within the funding's normal period of availability, this rule and its exceptions are of no import. This may be the case for multiyear appropriations and/or with a T4C that happens early in a contract's period of performance.

contract, subject to the five conditions listed below. Funding of Replacement Contracts, B-232616, 68 Comp. Gen. 158 (1988).

- b. Funds *available for obligation* for a contract at the time of a GAO protest, agency protest, or court action filed in connection with a solicitation for, proposed award of, or award of such contract, remain available for obligation for 100 days after the date on which the final ruling is made on the protest or other action. A ruling is considered “final” on the date on which the time allowed for filing an appeal or request for reconsideration has expired, or the date on which a decision is rendered on such an appeal or request, whichever is later. 31 U.S.C. § 1558; DoD Financial Management Regulation 7000.14-R, vol. 3, ch. 8, para. 081303 (Bid Protests and Other Challenges). *See also* GAO, *Principles of Federal Appropriations Law*, Vol I, 5-89 (3d ed. 2004).
2. **Exception 2: Clearly erroneous award.** Funds originally obligated in one FY for a contract that is later terminated for convenience as a result of the contracting officer’s determination that award was clearly erroneous, may remain available in a subsequent FY to fund a replacement contract, subject to the five conditions listed below. Navy, Replacement Contract, B-238548, 70 Comp. Gen. 230 (1991). GAO, *Principles of Federal Appropriations Law*, Vol I, pg. 5-32 (3d ed. 2004, incorporating 2015 annual update).
3. The Five Conditions: The two exceptions above are subject to the following five conditions, all of which must be satisfied for the exceptions to apply:
 - a. The original award was made in **good faith**;
 - b. The agency has a continuing *bona fide* need for the goods or services involved;
 - c. The replacement contract is of the **same size and scope** as the original contract;
 - d. The replacement contract is executed **without undue delay** after the original contract is terminated for convenience. The DoD FMR guides that any award within 100 days of the termination is necessarily considered by the DoD to be without undue delay. DOD Financial Management Regulation 7000.14-R, vol. 3, ch. 8, para. 081303 (May 2019). However, the converse is not necessarily true; a replacement contract that takes more than 100

days to award, or even much longer, can still be considered to be made without undue delay, depending on the specific facts; and

- e. **If the defect leading to the termination is determined by the contracting officer** (as opposed to being determined by a court, the GAO, or other external reviewing authority), the contracting officer's determination that the award was improper **must be documented by a written agency determination containing the applicable findings of fact and law.** GAO, *Principles of Federal Appropriations Law*, Vol I, pg. 5-32 (3d ed. 2004) (This specific condition was added via the 2015 annual update and has to be accessed separately from the 3d ed. of the Redbook).

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CHAPTER 21

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CHAPTER 21

CONTRACT TERMINATIONS FOR DEFAULT

I. INTRODUCTION.

- A. Definition. A contractor's unexcused present or prospective failure to perform in accordance with the contract's terms, specifications, or delivery schedule constitutes contractual default under government contracts. See RFO FAR 49.401 and 2.101.
- B. Effect of Default Terminations.
 - 1. Judges often describe terminations for default as a "contractual death sentence." Pipe Tech, Inc., ENGBCA No. 5959, No. 6005, 94-2 BCA ¶ 26,649.
 - 2. A termination for default (T4D) continues to have an on-going negative effect on a contractor beyond the specific contract that was terminated. This is true even when the contractor has appealed and even prevails in challenging the termination.
 - a. Colonial Press Int'l, Inc., B-403632, 2010 CPD ¶ 247 (GAO upheld the exclusion of the defaulted contractor from the competition for the reprourement contract even though the termination was on appeal).
 - b. Commissioning Solutions Global, LLC, B-403542, 2010 CPD ¶ 272 (GAO went out of its way to find that, in evaluating offers for a contract for dry dock repairs, the Coast Guard properly could have considered the T4D of a prior similar contract in assessing past performance even though the record established that the evaluators did not consider the earlier contract; GAO found that the prior T4D could properly be considered even though it was on appeal and a few weeks later the Coast Guard agreed to convert the T4D to a T4C).
 - c. M. Erdal Kamisli Co. Ltd. (ERKA Co. Ltd.), B-403909.2, B-403909.4, 2011 CPD ¶ 63, at *5 (2011) (holding that the agency could properly consider a prior T4D in rating past performance as an evaluation factor in a new procurement even though the T4D was on appeal; the Army could "properly rely upon its reasonable perception of a contractor's inadequate performance even where the contractor disputes the agency's position").

C. Review of Default Terminations by the Courts and Boards.

1. A termination for default is regarded as the contracting officer's final decision and starts the one-year statute of limitations to file an appeal at the Court of Federal Claims. Guardian Angels Medical Service Dogs, Inc. v. U.S., 120 Fed. Cl. 8 (2015).
2. Courts and boards hold the government to a high standard when terminating a contract for default because of the adverse impact such an action has on a contractor. Lisbon Contractors, Inc. v. United States, 828 F.2d 759 (Fed. Cir. 1987) (holding that termination for default is a drastic sanction that should be imposed upon a contractor only for good cause and in the presence of solid evidence."); Mega Constr. Co. v. United States, 29 Fed. Cl. 396 (1993); SIPCO Services & Marine, Inc. v. United States, 41 Fed. Cl. 196 (1998).
 - a. Instead of focusing on how the agency reached or recorded its findings and determinations, the Court of Federal Claims makes its own findings and determinations under a de novo standard. 41 U.S.C.S. § 7104(b). "Even where a contracting officer's legal opinion and findings of fact are fully explained, such explanations are not binding on the United States before the court, as the court's review is de novo. Cherokee Gen. Corp. V. United States, 150 Fed. Cl. 270, 283 (2020); 41 U.S.C. § 7103(e)." Schneider Elec. Bldgs. Ams., Inc. V. United States, 163 fed. Cl. 708, 715 (2023).
3. Unfortunately, government officials frequently fail to follow prescribed procedures, rendering default terminations subject to reversal on appeal (the "reversal" of a T4C is normally its conversion by the Board/Court to a T4C, not the reinstating of the terminated contract; see Bowles v. United States, 144 Fed. Cl. 240, 252 (2018)). Prior to issuing a default termination notice, contracting officers must have a valid basis for the termination, must issue proper notices, must account for the contractor's excusable delay, must act with due diligence, and must make a reasonable determination while exercising independent judgment. See RFO FAR 49.402-3.
 - a. While contracting officers' determinations are treated deferentially, the decision is still subject to de novo review. See Dep't of Transportation v. Eagle Peakv Rock & Paving, Inc., 69 F.4th 1367 (Fed. Cir. 2023) ("We agree that the board committed legal errors in extensively focusing on the contracting officer's reasoning instead of simply judging de novo, on the evidence developed in the board proceeding, the claim before it (termination for default)").

4. Attorneys play a critical role in this process, ensuring that all legal requirements are met and the termination decision receives the care and attention it deserves.
5. Burden of Proof
 - a. It is the government's burden to prove, by a preponderance of the evidence, that the termination for default was proper. Lisbon Contractors, Inc. v. United States, 828 F.2d 759 (Fed. Cir. 1987); Molly Jessie Co., ASBCA No. 62134, 20-1 BCA ¶ 37,526.
 - (1) In determining whether a contracting officer's termination was arbitrary, capricious, or an abuse of discretion, the court considers "four factors: (1) evidence of subjective bad faith on the part of the government official; (2) whether there is a reasonable, contract-related basis for the official's decision, (3) the amount of discretion given to the official, and (4) whether the official violated an applicable statute or regulation." Schneider Elec. Bldgs. Ams., Inc. v. United States, 163 Fed. Cl. 708, 715 (2023).
 - b. A contractor's technical default is not determinative of its propriety. The government must exercise its discretion reasonably to terminate a contract for default. Darwin Constr. Co. v. United States, 811 F.2d 593 (Fed. Cir. 1987).
 - c. Once the government has met its burden of demonstrating the appropriateness of the default, the contractor has the burden of proof that its failure to perform was the result of causes beyond its control and without fault on its part. International Elec. Corp. v. United States, 646 F.2d 496 (Ct. Cl. 1981); Composite Int'l, Inc., ASBCA No. 43359, 93-2 BCA ¶ 25,747; Centurion Electronics Service, ASBCA No. 48750, 2000-1 BCA ¶ 30,642 at 151,325. Appeals of Stobil Enter., ASBCA No. 61688 (Appeal denied when the contractor failed to prove tasks in the statement of work were not required and failed to present other defenses).

II. THE RIGHT TO TERMINATE FOR DEFAULT.

- A. Contractual Rights. RFO FAR Subpart 49.4.
 1. The FAR contains various default clauses for use in government contracts that identify the conditions that permit the government to terminate a contract for default. *See e.g.*, RFO FAR 52.249-8; 52.249-9; and 52.249-10.

2. The clauses contain different bases for termination and different notice requirements. For example, the Fixed-Price Supply and Service clause (RFO FAR 52.249-8) is different from the Fixed-Price Construction clause (RFO FAR 52.249-10).
- B. Common-Law Doctrine.
1. The standard FAR default clauses provide: “The rights and remedies of the government in this clause are in addition to any other rights and remedies provided by law or under this contract.” See RFO FAR 52.249-8(h) and RFO FAR 52.249-10(d).
 2. Courts commonly cite the above-quoted provision to support termination based on common-law doctrines, such as anticipatory repudiation. Cascade Pac. Int’l v. United States, 773 F.2d 287 (Fed. Cir. 1985); All-State Constr., Inc., ASBCA No. 50586, 06-2 BCA ¶ 33,344 (contractor’s failure to diligently perform pending resolution of a dispute, as required by the Disputes clause, is a material breach for which termination is proper under the government’s common law rights reserved in 52.249-10(d)).

III. GROUNDS FOR TERMINATION.

- A. Failure to Deliver or Perform on Time.
1. This ground is sometimes referred to as an “(a)(1)(i)” termination because of the FAR provision setting forth this ground. RFO FAR 52.249-8(a)(1)(i); 52.249-9(a)(1)(i); and 52.249-10(a).
 2. Generally, time is of the essence in all government contracts containing fixed dates for delivery or performance. DeVito v. United States, 413 F.2d 1147 (Ct. Cl. 1969); Kit Pack Co., ASBCA No. 33135, 89-3 BCA ¶ 22,151; Matrix Res., Inc., ASBCA No. 56430, 11-2 BCA ¶ 34,789 (upholding T4D where after 2.5 years of extension the contractor demanded another 126 day extension in order to finish); Selpa Constr. & Rental Equip. Corp., PSBCA No. 5039, 11-1 BCA ¶ 34,635.
 3. When a contract does not specify delivery dates (or those dates have been waived), actual delivery could constitute the “delivery date” for purposes of the T4D clause. Aerometals, Inc., ASBCA No. 53688, 03-2 BCA ¶ 32,295, citing, Ralbo, Inc., ASBCA No. 43548, 93-2 BCA ¶ 25,624,
 4. Compliance with Specifications.
 - a. The government is entitled to strict compliance with its specifications. M. Maropakis Carpentry, Inc. v. United States, 84 Fed. Cl. 182, 188 (Fed. Cl. 2008) aff’d, 609 F.3d 1323 (Fed. Cir. 2010); Kurz-Kasch, Inc., ASBCA No. 32486, 88-3 BCA ¶ 21,053.

Contractor's request for new specifications may delay delivery, making termination for default reasonable. Industrial Consultants, Inc. DBA, ASBCA Nos. 59622, 60491, 17-1 BCA ¶ 36,619.

- b. Even if the government could have assessed financial remuneration instead of termination, it is under no obligation to do so. Trojan Horse, Ltd. v. U.S., PSBCA 6474, 15-1 BCA ¶ 36,015.
- c. Exceptions:
 - (1) The courts and boards recognize the common-law principles of **substantial compliance** (supply) and **substantial completion** (construction) to protect the contractor where timely performance departs in minor respects from that required by the contract.
 - (2) **Rule:** If the contractor substantially complies with the contract (generally meaning performance that is in good faith but falls short in minor or unimportant ways), the government must give the contractor additional time to correct the defects prior to terminating for default. Radiation Technology, Inc. v. United States, 366 F.2d 1003 (Ct. Cl. 1966); Al Khudhairy Grp., ASBCA No. 56131, 10-2 BCA ¶ 34,530 (even though 95% complete, the board held that because the termination affected only the uncompleted 5% of the work, the doctrine of substantial completion did not apply); FD Constr. Co., ASBCA No. 41441, 91-2 BCA ¶ 23,983 (contractor not protected under doctrine of substantial completion because it abandoned the work and refused to complete administrative items); Selva Constr. & Rental Equip. Corp., PSBCA No. 5039, 11-1 BCA ¶ 34,635 (rejecting defense of substantial completion where contract was not complete after extensions totaling 563 days and building was not available for intended use).

B. Failure to Make Progress so as to Endanger Performance.

- 1. Supply and Service. The default clauses for (i) fixed-price supply and service contracts and (ii) cost-reimbursement contracts provide for termination when the contractor fails to make progress so as to endanger performance. This is sometimes referred to as an “(a)(1)(ii)” termination. RFO FAR 52.249-8(a)(1)(ii); RFO FAR 52.249-6(a).
- 2. Construction. The default clause for fixed-price construction contracts provides for termination when the contractor refuses or fails to prosecute the work or any separable part, with the diligence that will insure its

completion within the time specified in the contract. RFO FAR 52.249-10(a).

3. Proof.

- a. The government is not required to show that it was impossible for the contractor to complete performance. California Dredging Co., ENGBCA No. 5532, 92-1 BCA ¶ 24,475.
- b. Rather, the contracting officer must have a **reasonable belief** that there is no reasonable likelihood that the contractor can perform the entire contract effort within the time remaining for contract performance. Lisbon Contractors, Inc. v. United States, 828 F.2d 759 (Fed. Cir. 1987) (upholding the lower court's conversion of the T4D to a T4C where government did not determine whether contractor could complete work within the required time, or determine how long it would take a follow-on contractor to do the work); Edge Constr. Co., Inc. v. United States, 95 Fed. Cl. 407 (2010) (government must demonstrate that the contracting officer included any extensions granted due to unusually severe weather when determining if the contractor could perform within the time remaining); Pipe Tech, Inc., ENGBCA No. 5959, No. 6005, 94-2 BCA ¶ 26,649 (termination improper where 92% of contract performance time remained and procurement contractor fully performed within the time allowed in defaulted contract); Advance Constr. Servs., Inc., ASBCA No. 55232, 11-2 BCA ¶ 34,776 (government not required to wait the full 45 days of the cure notice when it became clear earlier that contractor could not achieve necessary average daily production); DODS, Inc., ASBCA 57746, 58252, 2014-1 BCA ¶ 35,677 (termination proper where uncontroverted evidence showed the contractor would not have been able to complete the work even by its proposed extended date); *compare* ACM Construction and Marine Group, Inc. v. Dept. of Transportation, CBCA 2245, 2345, 2014-1 BCA ¶ 35,537 (termination improper due to unanticipated rust and customary extensions for such circumstances); AEY, Inc., ASBCA Nos. 54670, et al., 2018-1 BCA ¶ 37,076 (termination improper where KO terminated contract prior to specified delivery date).
- c. Prior to termination, the contracting officer should analyze progress problems against a specified completion date, adjusted to account for any government-caused delays. Technocratica, ASBCA No. 45077, et al, 94-2 BCA ¶ 26,606 (T4D improper based on “poor progress,” not inability to complete contract on time); Environmental Safety Consultants, Inc., ASBCA No. 51722,

11-2 BCA ¶ 34,848 (attempt to terminate for failure to make progress was rejected in absence of effective delivery date).

- d. Factors to consider include, but are not limited to:
 - (1) A comparison of the percentage of work completed and the time remaining before completion is due;
 - (2) The contractor's failure to meet progress milestones;
 - (3) Problems with subcontractors and suppliers;
 - (4) The contractor's financial situation; and
 - (5) The contractor's past performance.

See McDonnell Douglas Corp. v. United States, 323 F.3d 1006, 1016-1017 (Fed. Cir. 2003); Advance Constr. Servs., Inc., ASBCA No. 55232, 11-2 BCA ¶ 34,776 (measuring progress against the average contractor conceded was required to complete project).

C. Failure to Perform Any Other Provision of the Contract.

- 1. Supply and Service. The default clause in fixed-price supply and service contracts specifically provides this ground for termination. It is sometimes referred to as an “(a)(1)(iii)” termination. RFO FAR 52.249-8(a)(1)(iii).
- 2. Construction.
 - a. This basis does **not exist** under the construction clauses. See RFO FAR 52.249-10.
 - b. BUT . . . the courts and boards may sustain default terminations of construction contracts on this ground by reasoning that the failure to perform the “other provision” renders the contractor unable to perform the work with the diligence required to insure timely completion (see previous ground for termination at FAR 52.249-10(a)). Engineering Technology Consultants, S.A., ASBCA No. 43454, 94-1 BCA ¶ 26,586 (“The Government, reasonably we conclude, had no alternative but to stop performance based on ETC’s failure to maintain the proper amount of insurance coverage. Under the circumstances ETC was unable to perform and/or prosecute the work with the diligence required to insure completion within the performance period.”).

3. Courts and boards will not sustain a default termination unless that “other provision” of the contract is a “material” or “significant” requirement. Precision Prods., ASBCA No. 25280, 82-2 BCA ¶ 15,981 (noncompliance with first article manufacture requirements not deemed material under facts); Yonir Technologies, Inc., ASBCA No. 56736, 10-1 BCA ¶ 34,417 (noncompliance with first article manufacture requirements deemed material when First Article clause specifies that CO disapproval equals contractor failure to make delivery under Default clause of contract); 5860 Chicago Ridge, LLC v. United States, 104 Fed. Cl. 740 (2012) (the government must prove that the breach is material when relying on its general right to terminate under the standard default clause for violation of any other provision).
4. Examples of “Material” or “Significant” Requirements:
 - a. Failure to deliver an agreement with Cisco permitting contractor to perform required maintenance services on Cisco SMARTnet equipment within 5 days as specified in the contract. ZIOS Corp., ASBCA No. 56626, 10-1 BCA ¶ 24,244 (the contracting officer offered ZIOS the opportunity to withdraw from the contract when he became concerned about its ability to perform; ZIOS turned down the offer because “it wanted the money”).
 - b. Failure to employ drivers with valid licenses. Maywood Cab Service, Inc., VABCA No. 1210, 77-2 BCA ¶ 12,751.
 - c. Failure to obtain (or provide proof of) liability insurance. A-Greater New Jersey Movers, Inc., ASBCA No. 54745, 06-1 BCA ¶ 33,179; UMM, Inc., ENGBCA No. 5330, 87-2 BCA ¶ 19,893 (mowing services contract).
 - d. Violation of the Buy American Act. HR Machinists Co., ASBCA No. 38440, 91-1 BCA ¶ 23,373.
 - e. Failure to comply with statement of work. 4-D and Chizoma, Inc., ASBCA Nos. 49550, 49598, 00-1 BCA ¶ 30,782 (failure to properly videotape inspection of sewer line).
 - f. Failure to retain records under Payrolls and Basic Records Clause justified default under the Davis-Bacon Act. Kirk Bros. Mech. Contractors, Inc. v. Kelso, 16 F.3d 1173 (Fed. Cir. 1994).
 - g. Failure to provide a quality control plan. A-Greater New Jersey Movers, Inc., ASBCA No. 54745, 06-1 BCA ¶ 33,179

D. Other Contract Clauses Providing Independent Basis to Terminate for Default.

There are many clauses that provide an independent basis to terminate for default. Such clauses may or may not be in any given contract and may even come from FAR supplements. Examples include, but are not limited to:

1. RFO Gratuities clause. FAR 52.203-3.
2. Certification Regarding Responsibility Matters. RFO FAR 52.209-5; *see Spread Information Sciences, Inc.*, ASBCA No. 48438, 96-1 BCA ¶ 27,996.
3. Bid Guarantee clause. RFO FAR 52.228-1.
4. Inspection clauses. RFO FAR 52.246-2; 52.246-3; 52.246-4; 52.246-5.
5. Prohibition on Persons Convicted of Fraud or Other Defense-Contract-Related Felonies. DFARS 252.203-7001(e)(3). (Demonstrating that clauses from FAR supplements may also provide an independent basis to terminate for default).

E. Common Law Ground – Anticipatory Repudiation.

1. Each party to a contract has the common-law right to terminate a contract upon actual or anticipatory repudiation of the contract by the other party. Restatement (Second) of Contracts § 250; Uniform Commercial Code § 2-610; Dingley v. Oler, 117 U.S. 490 (1886); *see also*, Franconia Associates, et al., v. United States, 536 U.S. 129 (2002) (discussing the difference between an immediate breach and repudiation in the context of a federal housing loan program).
2. This common-law basis for default applies to all government contracts because contract clauses generally do not address or supersede this principle. Cascade Pac. Int'l v. United States, 773 F.2d 287 (Fed. Cir. 1985).
3. Requirements for anticipatory repudiation:
 - a. Anticipatory repudiation must be **express**. United States v. DeKonty Corp., 922 F.2d 826 (Fed. Cir. 1991) (must be absolute refusal, distinctly and unequivocally communicated); Marine Constr. Dredging, Inc., ASBCA No. 38412, 95-1 BCA ¶ 27,286 (no repudiation where contractor did not continue performance due to government's failure to issue appropriate instructions); Bulova Technologies Ordnance Systems LLC, ASBCA No. 59089, 18-1 BCA ¶ 37,183 (repudiation found where contractor refused to perform without an increase in price). The expression of the repudiation may be oral, or through action. Fairfield Sci. Corp.,

ASBCA No. 21151, 78-1 BCA ¶ 13,082, recons. denied, 78-2 BCA ¶13,429, aff'd, 655 F.2d 1062 (Ct. Cl. 1981).

- b. Anticipatory repudiation must be **unequivocal** and manifest either a clear intention not to perform or an inability to perform the contract. Ateron Corp., ASBCA No. 46352, 94-3 BCA ¶ 27,229 (contractor's statement that continued contract performance is impossible constituted repudiation). Compare Swiss Prods., Inc., ASBCA No. 40031, 93-3 BCA ¶ 26,163 (contractor's refusal to perform until government provided advance payments constitutes repudiation), with Engineering Professional Servs., Inc., ASBCA No. 39164, 94-2 BCA ¶ 26,762 (no repudiation where contractor's statement that "government financing must be provided to assure contract completion" was not precondition to resumed performance). Prior history of repudiation and asking for cancelation of contracts after award is not relevant to whether the standard for anticipatory repudiation had been met. Capy Machine Shop, Inc., ASBCA 59133, 2015 WL 6349584.

4. Abandonment is **actual** repudiation.

- a. Where contractor abandons the work at a site and does not intend to return, the abandonment trumps any excuse the contractor might offer. See Liquidating Trustee Ester DuVal of KI Liquidation, Inc. v. United States, 116 Fed. Cl. 338 (2014) (Government waived completion date for U.S. Embassy in Tajikistan, but the termination for default was still upheld because the contractor abandoned the worksite).
- b. Compare Ortec Sys., Inc., ASBCA No. 43467, 92-2 BCA ¶ 24,859 (termination proper when work force left site and contractor failed to respond to phone calls), with Western States Mgmt. Servs., Inc., ASBCA No. 40212, 92-1 BCA ¶ 24,714 (no abandonment when contractor was unable to perform by unreasonable start date established after disestablishment of original start date); see Brock v. United States, 2012 WL 2057036 (Fed. Cl. June 7, 2012) (unsuccessfully arguing that agency abandoned the contract at the same time that contractor refused to continue performance).

5. Examples of Anticipatory Repudiation.

- a. D&M Grading, Inc. v. Dep't of Agriculture, CBCA No. 2625, 12-2 BCA ¶35,021 (contractor's refusal to continue performance of the contract because of disagreement with agency's reasonable interpretation of the scope of the contract was anticipatory repudiation).

- b. Emiabata v. United States, 102 Fed. Cl. 787 (2012) (despite repeated opportunities, mail transportation contractor failed to provide certificates for the necessary liability insurance).
- c. Brock v. United States, 2012 WL 2057036 (Fed. Cl. June 7, 2012) (anticipatory repudiation where contractor refused to continue performance under new delivery schedule, promised litigation, and adopted a “no surrender” position).
- d. Global Constr. Inc. v. Dept. of Veterans Affairs, CBCA 1198, 10-1 BCA ¶ 34,363 (contractor’s failure to provide revised schedules and adequate assurances in response to cure notice meant that the contracting officer reasonably believed there was no reasonable possibility that the contractor could complete the work in the time remaining).
- e. Montage, Inc., GAO CAB 2006-2, 10-2 BCA ¶ 34,490 (board held that the contractor for installation of generator anticipatorily repudiated the contract by: (i) refusing to provide contractually required staging plan, (ii) refused to proceed with performance even though the contract contained a contract disputes clause, and (iii) relying on Danzig v. AEC Corp., 224 F.3d 1333 (Fed. Cir. 2000), contractor did not provide adequate assurances in response to justified cure notice).
- f. Free & Ben, Inc., ASBCA No. 56129, 12-1 BCA ¶ 34,966 (contractor anticipatorily repudiated where they could not perform on contract to supply cargo trucks in Iraq due to refusal of government to provide End Use Certificate to Japanese supplier as precondition to export trucks.); Tzell Airtrak Travel Group Corp., ASBCA No. 57313, 11-2 BCA ¶ 34,845 (contractor’s repudiation excused where government made material misrepresentation regarding volume of work during contract formation).
- g. JM Carranza Trucking Co., PSBCA No. 6354, 14-1 BCA ¶ 35,776 (failure by contractor to continue performance despite the Postal Service improperly withholding payment was anticipatory repudiation because the contractor did not show that the withholding made performance impossible.)
- h. Symvionics Inc., ASBCA Nos. 60335, 60612, 17-1 BCA ¶ 36,790 (contractor announced it could not meet delivery dates without a change to the contract specifications).

F. Common Law Ground – Demand for Assurance.

1. Failure by one party to give adequate assurances that it would complete a contract is a valid basis for a default termination under common-law. Restatement (Second) of Contracts § 251; Uniform Commercial Code § 2-609; Global Constr. Inc. v. Dept. of Veterans Affairs, CBCA No. 1198, 10-1 BCA ¶ 34,363 (contractor's failure to provide revised schedules and adequate assurances in response to cure notice meant that the contracting officer reasonably believed there was no reasonable possibility that the contractor could complete the work in the time remaining).
2. This basis for termination applies to government contracts. Danzig v. AEC Corp., 224 F.3d 1333 (Fed. Cir. 2000) (AEC's letter responses and conduct following the Navy's cure notice supported T4D); Eng'r Professional Servs., Inc., ASBCA No. 39164, 94-2 BCA ¶ 26,762; National Union Fire Ins. Co., ASBCA No. 34744, 90-1 BCA ¶ 22,266. *But see* Ranco Constr., Inc., GSBCA No. 11923, 94-2 BCA ¶ 26,678 (board questions whether demand for assurance under UCC § 2-609 applies to construction contracts).
3. The government's "cure notice" may be the equivalent of a demand for assurance. Hannon Elec. Co. v. United States, 31 Fed. Cl. 135 (1994) (contractor's failure to provide adequate assurance in response to cure notice justified default termination); Fairfield Scientific Corp., ASBCA No. 21151, 78-1 BCA ¶ 13082.

G. Grounds Unknown at Time of Termination.

1. When a contractor appeals a final decision terminating a contract for default, the government is not bound by the contracting officer's reasons for the termination as stated in the termination notice.
2. If a proper ground for the default termination existed at the time of the termination, regardless of whether the contracting officer relied on or was even aware of that basis, the termination is proper. *See* Glazer Construction Co. v. United States, 52 Fed. Cl. 513 (2002) (COFC upheld a termination for default based on Davis-Bacon Act violations committed before, but discovered after, the government issued the default termination notice); Kirk Bros. Mech. Contractors, Inc. v. Kelso, 16 F.3d 1173 (Fed. Cir. 1994) (violations of Davis-Bacon Act); Joseph Morton Co. v. United States, 757 F.2d 1273 (Fed. Cir. 1985) (fraud); Quality Granite Constr. Co., ASBCA No. 43846, 93-3 BCA ¶ 26,073 (government not required to give notice to contractor when unaware of basis for termination). Boards may uphold additional termination grounds, even when those grounds are not mentioned in the termination notice. MOQA-AQYOL JV, Ltd., ASBCA Nos. 57963, 60456, 17-1 BCA ¶ 36,909.

IV. NOTICE REQUIREMENTS.

A. Cure Notice.

1. Definition.

- a. Notice issued by the government to inform the contractor that the government considers the contractor's failure a condition that is endangering performance of the contract. RFO FAR 49.607.
- b. The cure notice specifies a period (typically ten days) for the contractor to remedy the condition.
- c. If the condition is not corrected within this period, the cure notice states that the contractor *may* face termination of its contract for default (less definite than a show cause notice – see below).
- d. Mandatory in some situations.

2. A proper cure notice must inform the contractor in writing:

- a. That the government may terminate the contract for default;
- b. Of the reasons for the termination; and
- c. That the contractor has a right to cure the specified deficiencies within the cure period (10 days). RFO FAR 49.607(a).

3. To support a default decision, the cure notice must clearly identify the nature and extent of the performance failure. Lanzen Fabricating, Inc., ASBCA No. 40328, 93-3 BCA ¶ 26,079 (show cause notice did not serve as cure notice for purposes of (a)(1)(ii) termination because it didn't specify failures to be cured); Insul-Glass, Inc., GSBCA No. 8223, 89-1 BCA ¶ 21,361 (notice directed contractor to provide acceptable drawings without specifying what the contractor had to do to make the drawings acceptable); but see Genome Communications, ASBCA Nos. 57267, 57285, 11-1 BCA ¶ 34,699 (contractor did not have to comply with directions in a cure notice that attempted to impose obligations beyond the contract requirements).

4. The government must give the contractor a minimum of ten days to cure the deficiency. Red Sea Trading Assoc., ASBCA No. 36360, 91-1 BCA ¶ 23,567 (the ten day period need not be specifically stated in the notice if a minimum of ten days was actually afforded the contractor); NCLN20, Inc. v. United States, 99 Fed. Cl. 734 (2011) (overturning T4D that took place on the second day of the required 10-day cure period); but see Advance Constr. Servs., Inc., ASBCA No. 55232, 11-2 BCA ¶ 34,776 (government not required to wait the full 45 days of the cure notice when

it became clear earlier that contractor could not achieve necessary average daily production).

5. When Is a Cure Notice Required?

- a. Failure to Perform on Time. RFO FAR 52.249-8(a)(1)(i).
 - (1) When a contractor fails to perform on time, a cure notice is not required IAW RFO FAR 52.249-8(a)(1)(i).
 - (2) Sazie Wilson, PSBCA No. 5247, 12-1 BCA ¶34,906 (cure notice not required when T4D is for failure to meet a delivery date as opposed to a T4D for failure to make progress toward meeting a delivery date that has not yet arrived).
 - (3) Delta Indus., DOTCAB No. 2602, 94-1 BCA ¶ 26,318 (government rejected desks that did not meet contract specifications; cure notice not issued by KO)
- b. Failure to Make Progress. RFO FAR 52.249-8(a)(1)(ii).
 - (1) YES, *except* construction.
 - (2) Fixed-price supply or service contracts (RFO FAR 52.249-8); fixed-price research and development contracts (RFO FAR 52.249-9); cost-reimbursement contracts (RFO FAR 52.249-6).
 - (3) Construction. RFO FAR 52.249-10(a). May terminate upon written notice. No cure notice required.
- c. Failure to perform any other provision of the contract. RFO FAR 52.249-8(a)(1)(iii).
 - (1) YES, *except* construction.
 - (2) Fixed-price supply or service contracts (RFO FAR 52.249-8); fixed-price research and development contracts (RFO FAR 52.249-9); cost-reimbursement contracts (RFO FAR 52.249-6).
 - (3) Remember – This is not a ground for T4D in construction contracts.
- d. Other Contract Clauses Providing Independent Basis to T4D.

- (1) **DEPENDS** on the clause.
 - (2) See “K” Servs., ASBCA No. 41791, 92-1 BCA ¶ 24,568 (default under FAR 52.209-5 for false certification regarding debarment status of contractor's principal; no cure notice required because false certification cannot be cured).
- e. Anticipatory Repudiation.
- (1) NO.
 - (2) Beeston, Inc., ASBCA No. 38969, 91-3 BCA ¶ 24,241; Scott Aviation, ASBCA No. 40776, 91-3 BCA ¶ 24,123.
- f. Failure to Give Adequate Assurances.
- (1) SORT OF.
 - (2) Generally, do not have to give a “cure notice,” but government does have to provide a “demand for assurances.” A cure notice suffices as a demand for assurances.
- g. Grounds Unknown at Time of Termination.
- (1) NO.
 - (2) Quality Granite Constr. Co., ASBCA No. 43846, 93-3 BCA ¶ 26,073 (government not required to give notice to contractor when unaware of basis for termination)
- h. Fraud – **NO**.
- i. Construction. RFO FAR 52.249-10.
- (1) NO.
 - (2) Professional Services Supplier, Inc. v. United States, 45 Fed. Cl. 808, 810 (2000) (no cure notice required before a fixed-price construction contract may be terminated for default).
 - (3) Although not required, the government frequently provides the contractor a cure notice prior to terminating these contracts. See Hillebrand Constr. of the Midwest, Inc., ASBCA No. 45853, 95-1 BCA ¶ 27,464 (failure to provide

submittals); Engineering Technology Consultants, S.A., ASBCA No. 43454, 94-1 BCA ¶ 26,586 (concerning contractor's failure to provide proof of insurance).

B. Show Cause Notice.

1. Definition.

- a. Notice issued by government to inform the contractor that the government intends to terminate for default unless the contractor “shows cause” why the contract should not be terminated. FAR 49.607.
- b. **Not required.** The default clauses do not require the use of a show cause notice. See RFO FAR 52.249-8 (Supply and Service); RFO FAR 52.249-9 (Research and Development); RFO FAR 52.249-10 (Construction); Alberts Assocs., ASBCA No. 45329, 95-1 BCA ¶ 27,480; Sach Sinha and Associates, Inc., ASBCA No. 46916, 96-2 BCA ¶ 28,346.
- c. **BUT . . .** if a termination for default appears appropriate, the government **should, if practicable**, notify the contractor in writing of the possibility of the termination. RFO FAR 49.402-3(f). The courts and boards may require a “show cause” notice if its use was practicable. Udis v. United States, 7 Cl. Ct. 379 (1985); Enginetics Corp., ASBCA No. 48034, 92-2 BCA ¶ 24,965 (denying government's motion for summary judgment while noting government's failure to issue show cause notice).
- d. If the government issues a show cause notice, it need not give the contractor ten days to respond. Nisei Constr. Co., Inc., ASBCA Nos. 51464, 51466, 51646, 99-2 BCA ¶ 30,448 (six days was sufficient in construction default case).

2. The show cause notice should:

- a. Call the contractor's attention to its contractual liabilities if the contract will be terminated for default.
- b. Request the contractor to show cause why the contract should not be terminated for default.
- c. State that the failure of the contractor to present an explanation may be taken as an admission that no valid explanation exists.
- d. The contracting officer is not required to include every subsequently advanced reason for the termination in the show

cause notice because the government is under no obligation to issue the notice. Sach Sinha and Associates, Inc., ASBCA No. 46916, 96-2 BCA ¶ 28,346.

3. Why use a show cause notice?
 - a. Courts and boards like to see them.
 - b. They may shock contractor into compliance.
 - c. They inform us of contractor's defenses.
 - d. Can help us avoid waiver (see discussion below).

V. CONTRACTOR DEFENSES TO A TERMINATION FOR DEFAULT

A. Excusable Delay.

1. The contractor has the burden to prove that its failure to perform was excusable. Lan-Cay, Inc., ASBCA No. 56140, 12-1 BCA ¶ 34,935.
2. A contractor's failure to deliver or to perform is excused if:
 - a. The failure is beyond the control and without the fault or negligence of the contractor. RFO FAR 52.249-8(c).
 - b. Timely performance was actually prevented by the claimed excuse. Sonora Mfg., ASBCA No. 31587, 91-1 BCA ¶ 23,444; Beekman Indus., ASBCA No. 30280, 87-3 BCA ¶ 20,118.
 - c. The specific period of delay was caused by the event. Conquest Constr., Inc., PSBCA No. 2350, 90-1 BCA ¶ 22,605.
 - d. Construction only: The delay arises from unforeseeable causes beyond the control and without the fault or negligence of the contractor. RFO FAR 52.249-10(b)(1); Local Contractors, Inc., ASBCA No. 37108, 1991 WL 517213 (Oct. 11, 1991); Charles H. Siever, ASBCA No. 24814, 83-1 BCA ¶ 16,242.
 - e. Construction only: The contractor, within ten days from the beginning of any delay (unless extended by the contracting officer), notifies the contracting officer in writing of the causes of delay. RFO FAR 52.249-10(b)(2).
3. The default clauses specifically identify some causes of excusable delay. These include:

- a. Acts of God (AKA “force majeure”) or of the public enemy. See Nogler Tree Farm, AGBCA No. 81-104-1, 81-2 BCA ¶ 15,315 (eruption of Mount St. Helens volcano); Centennial Leasing v. Gen. Servs. Admin., GSBCA No. 12037, 94-1 BCA ¶ 26,398 (death of chief operating officer not an act of God); C-Shore International, Inc. v. Dept. of Agriculture, CBCA 1696, 10-1 BCA ¶ 34, 379 (sought to excuse non-performance on hurricanes Katrina and Rita; board agreed that hurricanes are acts of God but the hurricanes occurred *before* the contracts were awarded and contractor had obligation to take into account the effect of the hurricanes before accepting the contractual commitment).
- b. Acts of the government in either its sovereign or contractual capacity.
 - (1) Sovereign capacity refers to public acts of the government not directed to the contract. Home Entertainment, Inc., ASBCA No. 50791, 99-2 BCA ¶ 30,550 (analysis of “sovereign act” relating to expulsion orders in Panama); Woo Lim Constr. Co., ASBCA No. 13887, 70-2 BCA ¶ 8451 (imposition of security restrictions in a hostile area).
 - (2) Acts of the government in its contractual capacity are most common and include delays caused by such things as defective specifications, unreasonable government inspections, and late delivery of government furnished property. See Marine Constr. Dredging, Inc., ASBCA No. 38412, 95-1 BCA ¶ 27,286 (government failed to respond to contractor’s request for directions); John Glenn, ASBCA No. 31260, 91-3 BCA ¶ 24,054 (government issued faulty performance directions); Jean E. Smith, PSBCA No. 5360, 10-2 BCA ¶ 34,546 (contractor refused to wear her badge or leave post office; arrested for criminal trespass but later acquitted; board upheld T4D based on contractor’s inability to perform the contract after being banned from the postal facilities following arrest because contractor precipitated her own arrest by her own conduct).
- c. Fires. Hawk Mfg. Co., GSBCA No. 4025, 74-2 BCA ¶ 10,764 (lack of facilities rather than a plant fire caused contractor's failure to timely deliver).
- d. Floods. Wayne Constr., ENGBCA No. 4942, 91-1 BCA ¶ 23,535 (storm damage to a dike entitled contractor to time extension).

- e. Epidemics and quarantine restrictions. Ace Elecs. Assoc., ASBCA No. 11496, 67-2 BCA ¶ 6456 (denying relief based on allegation that flu epidemic caused a 30% to 40% rate of absenteeism, without showing that it contributed to delay). Practitioners may start encountering COVID-19 related delays in courts and before boards in the coming years. *See generally* OMB Memo M-20-18, Memo Managing Federal Contract Performance Issues Associated with the Novel Coronavirus (COVID-19), March 20, 2020 (explaining that COVID-19 impacts may be considered to be excusable delays under government contracts).
- f. Strikes, freight embargoes, and similar work stoppages. Woodington Corp., ASBCA No. 37885, 91-1 BCA ¶ 23,579 (delay not excused where steel strike at U.S. Steel had been ongoing for two months prior to contractor's bid, subcontractor ordered steel after strike ended, and other steel manufacturers were not on strike); *but see* NTC Group, Inc., ASBCA Nos. 53720, 53721, 53722, 04-2 BCA 32,706 (labor conspiracy, akin to a strike was a valid defense to default termination).
- g. Unusually severe weather. Only unusually severe weather, as compared to the past weather in the area for that season, excuses performance. *See* Aulson Roofing, Inc., ASBCA No. 37677, 91-2 BCA ¶ 23,720 (contractor not entitled to day for day delay because some rain delay was to be expected); TCH Indus., AGBCA No. 88-224-1, 91-3 BCA ¶ 24,364 (eight inches of snow in northern Idaho in November is neither unusual nor unforeseeable).
- h. Acts of another contractor in performance of a contract for the government (construction contracts). RFO FAR 52.249-10(b)(1)(iii); Modern Home Mfg. Corp., ASBCA No. 6523, 66-1 BCA ¶ 5367 (housing contractor entitled to extension because site not prepared in accordance with contract specifications).
- i. Defaults or Delays by Subcontractors or Suppliers:
 - (1) Generally, problems with subcontractors are not a basis for excusable delay for the prime. Matrix Res. Inc., ASBCA Nos. 56430, 56431, 11-2 BCA ¶ 34,789 (contractor responsible for lack of progress in delivery of product caused by actions of subcontractors); New Era Contract Sales, Inc., ASBCA No. 56661, 11-1 BCA ¶ 34,738 (subcontractor's unwillingness to abide by its quoted price does not excuse contractor from fulfilling its contract to deliver); Ryll Int'l, LLC v. Dep't of Transp., CBCA No.

1143, 11-2 BCA ¶ 34,809 (critical subcontractor's abandonment of work not excusable delay).

- (2) Construction. If the delay of a subcontractor or supplier at any tier arises from unforeseeable causes beyond the control and without the fault or negligence of both the contractor and the subcontractor or supplier, and the contractor notifies the contracting officer within ten days from the beginning of the delay, it may be excusable. RFO FAR 52.249-10(b).
- (3) Supply and Services contracts, and cost-reimbursement contracts. RFO FAR 52.249-6(b); RFO FAR 52.249-8(d); RFO FAR 52.249-14(b). The general rule is that if a failure to perform is caused by the default of a subcontractor or supplier at any tier, the default is excusable if:
 - (a) The cause of the default was beyond the control and without the fault or negligence of either the contractor or the subcontractor, See General Injectables & Vaccines, Inc., ASBCA No. 54930, 06-2 BCA ¶ 33,401 (contractor not excused from failure to provide flu vaccine despite worldwide vaccine unavailability because the contractor's supplier—the vaccine manufacturer—caused the unavailability of the vaccine); and
 - (b) The subcontracted supplies or services were not obtainable from other sources in time for the contractor to meet the required delivery schedule. Progressive Tool Corp., ASBCA No. 42809, 94-1 BCA ¶ 26,413 (contractor failed to show it made all reasonable attempts to locate an alternate supplier); CM Mach. Prods. Inc., ASBCA No. 43348, 93-2 BCA ¶ 25,748 (default upheld where plating could have been provided by another subcontractor but prime refused to pay higher price).
 - (c) Failure to perform due to a subcontractor not being able to maintain a safe and secure environment for performing is not excusable. Terraseis Trading Ltd., ASBCA 58731, 2015 WL 7783658.

4. Consequence of Excusable Delay.

- a. If a delay is found to be excusable, the contractor is entitled to additional time and/or money. Batteast Constr. Co. Inc., ASBCA No. 35818, 92-1 BCA ¶ 24,697.
- b. **Constructive acceleration** of the delivery date often occurs when the contracting officer, using a threat of termination, directs compliance with the contract delivery or performance date without an extension for the time period attributable to an excusable delay. IAP Worldwide Services Inc., ASBCA No. 59397, 17-1 BCA ¶ 36,763 (contractor entitled to acceleration costs after government threatens termination following closure of AFG/PAK border, which was found to be excusable delay).

B. Waiver.

1. Waiver of the right to terminate for default occurs if:
 - a. The government fails to terminate a contract within a reasonable period of time after the default under circumstances indicating forbearance, and
 - b. Detrimental reliance by the contractor on the failure to terminate and continued performance by him under the contract, with the government's knowledge and implied or express consent.
 - c. See DeVito v. United States, 413 F.2d 1147 (Ct. Cl. 1969) (government's delay in terminating fixed-price supply contract and continued acceptance of deliveries after default constituted waiver); S.T. Research Corp., ASBCA No. 39600, 92-2 BCA ¶ 24,838 (KO's encouragement that contractor propose new delivery schedule and continue performance constituted waiver); Motorola Computer Sys., Inc., ASBCA No. 26794, 87-3 BCA ¶ 20,032 (government waived original performance schedule when there were no firm delivery dates or schedule for progress of work; new performance or delivery schedule had to be established to T4D under default clause).
 - d. For a recent in-depth review of waiver see AEY, Inc., ASBCA No. 54670, 18-1 BCA ¶ 37,076.
2. Waiver generally does **NOT** apply to **construction** contracts.
 - a. Absent government manifestation that a performance date is no longer enforceable, the waiver doctrine generally does not apply to construction contracts. Nisei Constr. Co., Inc., ASBCA No. 51464, 99-2 BCA ¶ 30,448.

- b. Construction contracts typically include a payment clause entitling the contractor to payment for work performed subsequent to the specified completion date.
 - c. Construction contracts also typically include a liquidated damages clause that entitles the government to money for late completion. *See* RFO FAR 52.211-12.
 - d. As a consequence, detrimental reliance usually cannot be found merely from government forbearance and continued contractor performance. Brent L. Sellick, ASBCA No. 21869, 78-2 BCA ¶ 13,510. *But see* B.V. Construction, Inc., ASBCA Nos. 47766, 49337, 50553, 04-1 BCA 32,604 (the lack of a liquidated damages clause coupled with the government's apparent complete lack of concern over the completion date, caused the ASBCA to find the government elected to waive the right to terminate the contract).
 - e. In AmeriscoSolutions, Inc., ASBCA No. 56811, 10-2 BCA ¶ 34,606, the board reaffirmed the rule that, barring unusual circumstances, the government cannot waive the delivery date in a construction contract. It distinguished several construction cases in recent years that found waivers. Those cases involved very long delays between the passing of the delivery date and the termination during which the government gave no indication that the date would be enforced. In Amerisco, the Corps of Engineers frequently reminded the contractor that it was in default even while permitting it to work to a new proposed schedule before terminating the contract 84 days after the stated delivery date passed. The board was not troubled by the absence of a liquidated damages provision. In 2014, the board again reaffirmed this rule in MIC/CCS Joint Venture, ASBCA 58242, 14-1 BCA ¶ 35,612 (the facts did not support that there were "unusual circumstances" justifying an exception, and nothing indicated that the contractor relied on the government by going forward.)
3. Acceptance of late delivery of an installment does NOT waive timely delivery of future installments.
- a. If a contract requires multiple deliveries, each successive increment represents a severable obligation to deliver on the contract delivery date.
 - b. Thus, the government may accept late delivery of one or more installments without waiving the delivery date for future installments. Electro-Methods, Inc., ASBCA No. 50215, 99-1

BCA ¶ 30,230; Allstate Leisure Prods., Inc., ASBCA No. 40532, 94-3 BCA ¶ 26,992.

4. Forbearance = Reasonable Time Period.

- a. Definition. Period of time during which the government investigates the reasons for the contractor's failure to meet the contract requirements.
- b. General Rule. The government may "forbear" for a reasonable period after the default occurs before taking some action. Reasonableness depends on the specific facts of each case. American AquaSource, Inc., ASBCA 56677, 10-2 BCA ¶ 34,557 (although government waited 49 days after delivery to terminate, board found the time for terminating is extended when the contractor has abandoned performance or where its situation is such as to render performance unlikely); Progressive Tool Corp., ASBCA No. 42809, 94-1 BCA ¶ 26,413 (although forbearance for 42 days after show cause notice was "somewhat long," T4D sustained because government did not encourage contractor to continue working and contractor did not perform substantial work during that period); *but see* DODS, Inc., ASBCA No. 57667, 12-2 BCA ¶35,078 (agency waived delivery date when it did not terminate for 21 months after contractor failed first article test).
- c. Government actions inconsistent with forbearance may waive a delivery date. Applied Cos., ASBCA No. 43210, 94-2 BCA ¶ 26,837 (government waived delivery date for First Article Test Report by seeking information, making progress payments, directing the contractor to rerun tests, and incorporating engineering change proposals into the contract after the delivery date); Kitco, Inc., ASBCA No. 38184, 91-3 BCA ¶ 24,190 (no clear delivery schedule established after partial termination for convenience resulted in waiver of right to terminate for default based on untimely deliveries); Beta Engineering, Inc., ASBCA Nos. 53570, 53571, 02-2 BCA ¶ 31,879 (after contractor missed a First Article Test delivery deadline, the government left itself without an enforceable schedule by failing to terminate, encouraging continued performance, and leaving contractor "in limbo" about a new delivery schedule); *but see* Tawazuh Commercial & Const. Co., Ltd., ASBCA 55656, 11-2 BCA ¶ 34,781 (Army in Afghanistan did not waive its right to reject clearly defective work merely because it was delayed in performing inspections for several months).

- d. Contracting officers should use show cause notices to avoid waiver arguments. Show cause notice is inconsistent with waiver. See Charles H. Siever Co., ASBCA No. 24814, 83-1 BCA ¶ 16,242 (using timely show cause notice preserved right to terminate despite four month forbearance period).
5. Detrimental Reliance.
 - a. The contractor must show detrimental reliance on the government's inaction before the government will be deemed to have waived the delivery schedule. Ordnance Parts Eng'g Co., ASBCA No. 44327, 93-2 BCA ¶ 25,690 (no detrimental reliance where contractor repudiated contract).
 - b. Where the contractor customarily continued performance after a missed delivery date, a board has found no inducement by the government. Electro-Methods, Inc., ASBCA No. 50215, 99-1 BCA ¶ 30,230.
 - c. American AquaSource, Inc., ASBCA No. 56677, 10-2 BCA ¶ 34,557 (nominal surveying fees that the contractor incurred between the delivery date and the termination were not sufficient to show substantial reliance by the contractor on the government's 49-day delay in terminating).
 6. Reestablishing the Delivery Schedule,
 - a. If government waived, what do we do? The government should reestablish a delivery schedule if it believes it waived the original schedule. RFO FAR 49.402-3(c). Proper reestablishment of a delivery schedule also reestablishes the government's right to terminate for default.
 - b. A delivery schedule can be reestablished either bilaterally or unilaterally. Sermor, Inc., ASBCA No. 30576, 94-1 BCA ¶ 26,302 (formal modification not required, but new delivery date must be reasonable and specific).
 - (1) **Bilateral.** A new delivery date established bilaterally is presumed to be reasonable. Trans World Optics, Inc., ASBCA No. 35976, 89-3 BCA ¶ 21,895; Sermor, Inc., ASBCA No. 30576, 94-1 BCA ¶ 26,302 (by agreeing to new delivery schedule, contractor waives excusable delay); Tampa Brass Aluminum Corp., ASBCA No. 41314, 92-2 BCA ¶ 24,865 (termination proper because unreasonable schedule was proposed by the contractor); *but see* S.T. Research Corp., ASBCA No. 39600, 92-2 BCA ¶ 24,838

(contracting officer requiring proposed schedule within 24 hours from contractor, even after contractor's objection, was not reasonable). Once new dates are agreed upon, the government cannot T4D for failure to meet the original dates. Avant Assessment, LLC, ASBCA No. 58903, 17-1 BCA ¶ 36,837.

- (2) **Unilateral.** A new delivery date the government unilaterally establishes must in fact be reasonable in light of the contractor's abilities in order to be enforceable. Rowe, Inc., GSBCA No. 14211, 01-2 BCA 31,630 (The board made an "objective determination" from "the standpoint of the performance capabilities of the contractor at the time the notice [was] given" and found the new delivery date was reasonable); McDonnell Douglas Corp. v. United States, 50 Fed. Cl. 311 (2001) (reestablished schedule was reasonable); Oklahoma Aerotronics, Inc., ASBCA No. 25605, 87-2 BCA ¶ 19,917 (unilateral date for first article delivery unreasonable); Ensil Int'l Corp., ASBCA Nos. 57297, 57445, 12-1 BCA ¶34,942 (although agency may have waived original delivery date, when contractor actually delivered the goods, it effectively established a new enforceable delivery date and was obligated to provide conforming supplies as of the actual delivery date).
- (3) A cure notice, by itself, does not reestablish a waived delivery schedule. Lanzen Fabricating, ASBCA No. 40328, 93-3 BCA ¶ 26,079. Government must reestablish a delivery schedule making time again of the essence.

C. Other Defenses. Additional excuses commonly asserted by contractors include:

1. Prior material breach of contract by the government. Todd-Grace, Inc., ASBCA No. 34469, 92-1 BCA ¶ 24,742 (breach of implied duty to not interfere with contractor); Bogue Elec. Mfg. Co., ASBCA No. 25184, 86-2 BCA ¶ 18,925 (defective government-furnished equipment); Lan-Cay, Inc., ASBCA No. 56140, 12-1 BCA ¶34,935 (contractor unsuccessful in demonstrating overzealous inspection by the government that allegedly led to delay).
2. Lack of financial capability. Contractors are responsible for having sufficient financial resources to perform a contract.
 - a. Generally, this is not an excuse. Local Contractors, Inc., ASBCA No. 37108, 1991 WL 517213 (Oct. 11, 1991) (contractor had

deteriorating financial base unconnected to the contract); Selva Constr. & Rental Equip. Corp., PSBCA 5039, 11-1 BCA ¶ 34,635 (financing difficulties did not excuse its delayed performance and contractor could not establish that government contributed to its problems).

- b. If the financial difficulties are caused by *wrongful acts of the government*, however, the delay may be excused. Nexus Constr. Co. Inc., ASBCA No. 31070, 91-3 BCA ¶ 24,303 (default converted because government's refusal to release progress payments constituted material breach of contract); see Lan-Cay, Inc., ASBCA No. 56140, 12-1 BCA ¶34,935 (failure of agency to make progress payments was not excusable delay because progress payments were not required where the contractor had failed to install the required system); Red Sea Eng'rs & Constr., ASBCA No. 57448, 11-2 BCA ¶34,880 (contractor defeated motion for summary judgment in part because of questions as to whether the government had fulfilled its obligations to pay contractor during performance).
3. Bankruptcy. Although filing a petition of bankruptcy is not an excuse, it precludes termination. Communications Technology Applications, Inc., ASBCA No. 41573, 92-3 BCA ¶ 25,211 (government's right to terminate stayed when bankruptcy filed, not when government notified); See also, Carter Industries, DOTCAB No. 4108, 02-1 BCA 31,738.
4. Small business. A-Greater New Jersey Movers, Inc., ASBCA No. 54745, 06-1 BCA ¶ 33,179 ("The Board does not accord special treatment in determining whether the burden of proof has been met to a contractor because of its status as a small business"); Kit Pack Co. Inc., ASBCA No. 33135, 89-3 BCA ¶ 22,151 (no excuse for failure to meet delivery date).
5. Impossibility or Commercial Impracticability. To establish commercial impracticability, the contractor must show it can perform only at excessive and unreasonable cost – simple economic hardship is not sufficient. Singelton Enterprises, CBCA No. 2136, 12-1 BCA ¶35,005 (rejecting excuse that government specifications were impossible to perform in light of ability of the repurchase contractor to complete the work); Montage, Inc., GAO CAB 2006-2, 10-2 BCA ¶34,490 (board held that contractor did not meet the very tough standard for practical impossibility because contractor failed to establish that increased cost made the work commercially senseless); CleanServ Executive Services, Inc., ASBCA No. 47781, 96-1 BCA ¶ 28,027; compare Soletanche Rodio Nicholson (JV), ENG BCA Nos. 5796, 5891, 94-1 BCA ¶ 26,472 (performance that might take 17 years and cost \$400 million, rather than 2 years and \$16.9 million found to be commercial impractical), with CM Mach. Prods., ASBCA No.

43348, 93-2 BCA ¶ 25,748 (no commercial impracticability where costs increased 105%).

VI. THE DECISION TO TERMINATE FOR DEFAULT.

A. Discretionary Act.

1. The standard FAR clauses generally grant the government the authority to terminate, which shall be exercised only after review by contracting and technical personnel, and by counsel, to ensure propriety of the proposed action. RFO FAR 49.402-3(a).
2. Contracting officers must exercise discretion. The default clauses do not *compel* termination; rather, they *permit* termination for default if such action is appropriate in the business judgment of the responsible government officials. Schlesinger v. United States, 182 Ct. Cl. 571, 390 F.2d 702 (1968) (Navy improperly terminated a contract because of pressure from a Congressional committee, rather than its own assessment of the government's and contractor's interests).

B. Burden of Proof.

1. The government has the burden of establishing the propriety of a default termination. Lisbon Contractors, Inc. v. United States, 828 F.2d 759 (Fed. Cir. 1987).
2. A finding of technical default is not determinative on the issue of the propriety of a default termination. Walsky Constr. Co., ASBCA No. 41541, 94-2 BCA ¶ 26,698.
3. Courts and boards review the KO's actions according to the circumstances as they existed at the time of the default. Local Contractors, Inc., ASBCA No. 37108, 1991 WL 517213 (Oct. 11, 1991).
4. Once the government establishes that the contractor was in default and that the government followed correct notice and termination procedures, the contractor then bears the burden of proving any defenses, such as that the termination was due to causes beyond its control or without its fault or negligence. Aeon Group, LLC, ASBCA No. 56142, 14-1 BCA ¶ 35692 (citing ADT Constr. Group, Inc., ASBCA No. 55358, 13 BCA ¶ 35,307 at 173,309).
5. Contractors may challenge the default termination decision on the basis that the terminating official abused his discretion or acted in bad faith. Marshall Associated Contractors, Inc., & Columbia Excavating, Inc., (J.V.), IBCA Nos. 1091, 3433, 3435, 01-1 BCA ¶ 31248 (abuse of discretion to terminate for default a contract with defective specifications,

when the reprocurement contractor received relaxed treatment); Darwin Constr. Co. v. United States, 811 F.2d 593 (Fed. Cir. 1987) (T4D found to be arbitrary and capricious where technical default used as a pretext to get rid of contractor).

a. Abuse of Discretion.

- (1) Abuse of discretion (also referred to as “arbitrary and capricious” conduct) may be ascertained by looking at the following factors:
 - (a) Subjective bad faith on the part of the government;
 - (b) No reasonable basis for the decision;
 - (c) The degree of discretion entrusted to the deciding official; and
 - (d) Violation of an applicable statute or regulation. United States Fidelity & Guaranty Co. v. U.S., 676 F.2d 622 (Ct. Cl. 1982); Quality Environment Systems, Inc., ASBCA No. 22178, 87-3 BCA ¶ 20,060; Schneider Elec. Bldgs. Ams., Inc. v. United States, 163 Fed. Cl. 708, 715 (2023).
- (2) The contractor bears the burden of showing an abuse of discretion. Walsky Constr. Co., ASBCA No. 41541, 94-1 BCA ¶ 26,264, *aff’d on recon.*, 94-2 BCA ¶ 26,698 (lieutenant colonel’s directive to the contracting officer “tainted the termination”); *see also* Libertatia Assoc., Inc. v. United States, 46 Fed. Cl. 702 (2000) (once default is established, burden shifts to contractor to show its failure to perform is excusable).
- (3) A contracting officer’s T4D, based upon materially erroneous information, is an abuse of discretion. L&H Construction Co., ASBCA No. 43833, 97-1 BCA ¶ 28,766; *but see* Delfasco LLC, ASBCA No. 59153, 17-1 BCA ¶ 36,659 (contracting officer must “act reasonably with the facts before her and that those placing the facts before the TCO must not be acting in bad faith.”).
- (4) Recent examples of abuse of discretion: Teresa A. McVicker, P.C., ASBCA No. 57487, 57653, 12-2 BCA 35,127; Ryste & Ricas, Inc., ASBCA No. 51841, 02-2 BCA ¶ 31,883 and Bison Trucking and Equipment Company, ASBCA No. 53390, 01-2 BCA ¶ 31,654.

b. Bad Faith.

- (1) There is a strong presumption that government officials act conscientiously in the discharge of their duties. Krygoski Constr. Co., Inc. v. United States, 94 F.3d 1537 (Fed. Cir. 1996).
- (2) Contractors asserting that government officials acted in “bad faith” must meet a higher standard of proof. The courts and boards require “clear and convincing evidence”¹ of “malice” or “designedly oppressive conduct” tantamount to some specific intent to injure the plaintiff, to overcome the presumption that public officials act in good faith in the exercise of their powers and responsibilities. See White Buffalo Constr. Co. v. United States, 101 Fed.Cl. 1, *aff’d in part, vacated and remanded in part* by 546 Fed.Appx. 952 (Fed. Cir. 2013); Am-Pro Protective Agency, Inc., v. United States, 281 F.3d 1234 (Fed. Cir. 2002); Kalvar Corp. v. United States, 543 F.2d 1298 (Ct. Cl. 1976); Apex Int’l Mgmt. Servs., Inc., ASBCA No. 38087, 94-2 BCA ¶ 26,842, *aff’d on recon.*, 94-2 BCA ¶ 26,852 (Navy officials acted in bad faith by “declaring war” against the contractor; contractor entitled to breach damages); Marine Constr. Dredging, Inc., ASBCA No. 38412, 95-1 BCA ¶ 27,286 (although government’s administration of the contract was “seriously flawed,” no bad faith).

C. Regulatory Guidance.

The FAR provides detailed procedures which the contracting officer should follow to terminate a contract.

1. Contracting officers should consider **alternatives** to termination. RFO FAR 49.402-4. The following, among others, are available in lieu of termination for default when in the government's interest:

¹ This “clear and convincing” or “highly probable” (formerly described as “well-nigh irrefragable”) standard was articulated by the Federal Circuit in Am-Pro Protective Agency, Inc., v. United States, 281 F.3d 1234, 1243 (Fed. Cir. 2002). For years, contractors alleging bad faith by the government needed “well-nigh irrefragable proof” to overcome the strong presumption that government officials acted in good faith. “In fact, for almost 50 years this court and its predecessor have repeated that we are ‘loath to find to the contrary [of good faith], and it takes, and should take, well-nigh irrefragable proof to induce us to do so.’” *Id.* at 1239 (quoting Schaefer v. United States, 224 Ct. Cl. 541, 633 F.2d 945, 948-49 (Ct. Cl. 1980)) (also citing Grover v. United States, 200 Ct. Cl. 337, 344 (1973); Kalvar Corp. Inc., v. United States, 543 F.2d 1298, 1302, 211 Ct. Cl. 192 (1976); Torncello v. United States, 231 Ct. Cl. 20, 681 F.2d 756, 770 (Ct. Cl. 1982); T&M Distribs., Inc. v. United States, 185 F.3d 1279, 1285 (Fed. Cir. 1999)).

- a. Permit the contractor, the surety, or the guarantor, to continue performance under a revised schedule;
 - b. Permit the contractor to continue performance by means of a subcontract or other business arrangement;
 - c. If the requirement no longer exists and the contractor is not liable to the government for damages, execute a no-cost termination.
 - d. See ZIOS Corp., ASBCA No. 56626, 10-1 BCA ¶ 34,344 (the contracting officer T4D'd the contract after offering ZIOS the opportunity to withdraw from the contract; ZIOS turned down the offer because "it wanted the money"); Yonir Tech., Inc., ASBCA No. 56736, 10-1 BCA ¶ 34,417 (contracting officer T4D'd the contract after contractor rejected 3 separate offers to cancel the order at no cost).
2. The FAR provides detailed procedures for terminating a contract for default. RFO FAR 49.402-3. When a default termination is being considered, the government shall decide which termination action to take only after review by contracting and technical personnel, and by counsel, to ensure the propriety of the proposed action. Failure to conduct such a review, while risky, will not automatically overturn a default decision. National Med. Staffing, Inc., ASBCA No. 40391, 92-2 BCA ¶ 24,837.
3. RFO FAR 49.402-3(i) states that the contracting officer shall consider the following factors in determining whether to terminate a contract for default:
 - a. The terms of the contract and applicable laws and regulations.
 - b. The specific failure of the contractor and the excuses for the failure.
 - c. The availability of the supplies or services from other sources.
 - d. The urgency of the need for the supplies or services and the period of time required to obtain them from other sources, as compared with the time delivery could be obtained from the delinquent contractor.
 - e. The degree of essentiality of the contractor in the government acquisition program and the effect of a termination for default upon the contractor's capability as a supplier under other contracts.

- f. The effect of a termination for default on the ability of the contractor to liquidate guaranteed loans, progress payments, or advance payments.
 - g. Any other pertinent facts and circumstances.
- 4. The contracting officer must explain the decision to terminate a contract for default in a memorandum for the contract file. RFO FAR 49.402-5. This memorandum should recount the factors at RFO FAR 49.402-3(i).
- 5. Failure of the contracting officer to consider factors at RFO FAR 49.402-3(i) may result in a defective termination. See DCX, Inc. v. Perry, 79 F.3d 132 (Fed. Cir. 1996) (although contracting officer's failure to consider one or more [RFO FAR 49.402-3(i)]² factors does not automatically require conversion to termination for convenience, such failure may aid the court or board in determining whether the contracting officer abused his discretion); Phoenix Petroleum Company, ASBCA No. 42763, 96-2 BCA ¶ 28,284 (failure to analyze FAR factors does not entitle contractor to relief; factors are not a prerequisite to a valid termination).
- 6. Failure to consider all information available prior to issuing a termination notice could be an abuse of discretion. Jamco Constructors, Inc., VABCA No. 3271, 94-1 BCA ¶ 26,405, *aff'd on recon.*, 94-2 BCA ¶ 26,792 (contracting officer abused discretion by failing to reconcile contradictory information and "blindly" accepting technical representative's estimates for completion of the contract by another contractor); compare, Atkins N. Am., Inc. v. United States, 106 Fed. Cl. 491, 505 (2012) (because "there is no rigid test" or "one-size-fits-all approach" for contracting officers to become sufficiently familiar with the facts and conclusions in a contracting officer's decision, "rather than compare what [the contracting officer] did and did not do with what the contracting officers did and did not do in other cases, the court focuses on whether, in the particular circumstances presented in this case, [the contracting officer] satisfied the CDA, FAR, and EFARS by becoming familiar with the facts and conclusions contained in the draft contracting officer's decision, such that the decision she issued was, in fact, her product and reflected her independent judgment.").
- 7. Before terminating a contractor for default, the contracting officer should comply with the pertinent notice requirements (cure notice or show cause notice). RFO FAR 49.402-3(c)-(f). Additional notice to the following third parties may be required:

² Previously FAR 49.402-3(f).

- a. Surety. If a notice to terminate for default appears imminent, the contracting officer shall provide a written notice to the surety. If the contractor is subsequently terminated, the contracting officer shall send a copy of the notice to the surety. RFO FAR 49.402-3(g).
 - b. Small Business Administration. When the contractor is a small business, send a copy of any required notices to the contracting office's small business specialist and the Small Business Regional Office nearest the contractor. RFO FAR 49.402-3(h). The FAR also states that the contracting officer "should whenever practicable, consult with the small business specialist before proceeding with a default termination." RFO FAR 49.402-3(h).
- 8. Although the contracting officer has authority to terminate a contract for default, she may be required to refer allegations of excusable delay to another contracting officer prior to deciding to terminate. K-Con Bldg. Sys., Inc. v. United States, 114 Fed. Cl. 722 (2014) (holding that an applicable Federal Supply Schedule clause (I-FSS-249B) and related FAR provision (8.405-5(a)), when read together, required the Coast Guard contracting officer to refer allegations of excusable delay to the GSA contracting officer for the applicable schedule).
- 9. The Default Termination Notice.
 - a. Contents of the termination notice. RFO FAR 49.102; RFO FAR 49.402-3(j). The written notice must clearly state:
 - (1) The contract number and date;
 - (2) The acts or omissions constituting the default;
 - (3) That the contractor's right to proceed further under the contract (or a specified portion of the contract) is terminated;
 - (4) That the supplies or services terminated may be purchased against the contractor's account, and that the contractor will be held liable for any excess costs;
 - (5) If the contracting officer has determined that the failure to perform is not excusable, that the notice of termination constitutes such decision, and that the contractor has the right to appeal such decision under the Disputes clause;

- (6) That the government reserves all rights and remedies provided by law or under the contract, in addition to charging excess costs; and
 - (7) That the notice constitutes a decision that the contractor is in default as specified and that the contractor has the right to appeal under the Disputes clause. RFO FAR 49.402-3(j)(7).
 - (8) RFO FAR 49.102(a) provides that the notice shall also include any special instructions and the steps the contractor should take to minimize the impact on personnel (including reduction in work force notice of RFO FAR 49.601-2(g)).
- b. A default termination is a final decision that can be appealed. Malone v. United States, 849 F.2d 1441 (Fed. Cir. 1988).
- (1) The termination notification must give notice to the contractor of right to appeal the default termination. Failure to properly advise the contractor of its appeal rights may prevent the “appeals clock” from starting if the contractor can show detrimental reliance. Decker & Co. v. West, 76 F.3d 1573 (Fed. Cir. 1996).
 - (2) When sent electronically, the notice must provide a means for confirmation of receipt by the contractor. When mailed, the notice shall be sent by certified mail, return receipt requested. When hand delivered, a written acknowledgement shall be obtained from the contractor. RFO FAR 49.102(a). A default termination notice is effective when delivered to the contractor at its place of business (not when the notice finally makes it to the individual contractor employee responsible for the contract). Fred Schwartz, ASBCA No. 20724, 76-1 BCA ¶ 11,916.
10. Contracting officers are required to report terminations for default via the Federal Awardee Performance and Integrity Information System (FAPIIS). See FAR FAR 42.1103(g).
11. Any termination involving a reduction in employment of 100 or more contractor employees specifically requires congressional notification, cleared through agency liaison offices before release. RFO DFARS 249.7001; RFO DFARS PGI 249.7001. This notification requirement does not apply for firms performing in Iraq or Afghanistan if the firm is not incorporated in the United States. DoD Class Deviation 2011-O0002.

The different services regulations should be reviewed for detailed procedures for these congressional notifications and possible additional notification procedures for other high-interest terminations.

VII. RIGHTS AND LIABILITIES ARISING FROM TERMINATIONS FOR DEFAULT.

A. Contractor Liability.

1. Rule. Upon termination of a contract for default, the contractor is liable to the government for any **excess costs** incurred in acquiring supplies or services similar to those terminated for default (*see* RFO FAR 49.402-6) **and for any other damages**, whether or not reprourement occurs (*see* RFO FAR 49.402-7). *See also* RFO FAR 49.402-2(e).
2. Excess Reprourement Costs.
 - a. Under fixed-price supply and service contracts, the government can acquire supplies or services similar to those terminated and the contractor will be liable for any excess costs of those supplies or services. RFO FAR 49.402-6; RFO FAR 52.249-8(b); Ed Grimes, GSBICA No. 7652, 89-1 BCA ¶ 21,528; CDA, Inc. v. Social Security Admin., CBCA No. 1558, 12-1 BCA ¶34,990 (upholding agency's assessment of excess reprourement costs for entire period, including option years, of the follow-on contractor's performance because original contractor had agreed to perform for that duration).
 - b. The government must show that its assessment of excess reprourement costs was proper by establishing the following:
 - (1) The reprocured supplies or services are the same as or similar to those involved in the termination. 5860 Chicago Ridge, LLC v. United States, 104 Fed. Cl. 740 (2012) (agency failed to demonstrate that building it leased as a substitute was comparable and that the amount it sought was the precise amount it had spent in reproUREMENTS); Gordon T. Smart, PSBCA No. 6123, 11-1 BCA ¶ 34,695 (post office failed to put on evidence concerning the replacement contract); Odessa R. Brown, PSBCA No. 5362, *et al.*, 11-1 BCA ¶ 34,724; International Foods Retort Co., ASBCA No. 34954, 92-2 BCA ¶ 24,994.

- (2) The government actually incurred excess costs. Sequal, Inc., ASBCA No. 30838, 88-1 BCA ¶ 20,382; 5860 Chicago Ridge, LLC v. United States, 104 Fed. Cl. 740 (2012) (agency failed to demonstrate that the amount it sought was the precise amount it had spent in reprocurements); and
 - (3) The government acted reasonably to minimize the excess costs resulting from the default. Daubert Chem. Co. Inc., ASBCA No. 46752, 94-2 BCA ¶ 26,741 (government acted reasonably where it reprocured quickly, obtained seven bids, and awarded to lowest bidder).
- c. Mitigation of damages. The government has an affirmative duty to mitigate damages on repurchase. Ronald L. Collier, ASBCA No. 26972, 89-1 BCA ¶ 21,328; Kessler Chem., Inc., ASBCA No. 25293, 81-1 BCA ¶ 14,949.
- (1) If the repurchase is for a quantity of goods in excess of the quantity that was terminated for default, the contracting officer may not charge the defaulting contractor for excess costs beyond the undelivered quantity terminated for default. RFO FAR 49.402-6(a).
 - (2) If a repurchase is for a quantity not in excess of the quantity that was terminated, the government shall repurchase at as reasonable a price as practicable. RFO FAR 49.402-6(b). The KO may use any terms and acquisition method deemed appropriate for the repurchase. RFO FAR 52.249-8(b). See Al Bosgraaf Son's, ASBCA No. 45526, 94-2 BCA ¶ 26,913 (reprocurement by modification of another contract inadequate to mitigate costs); International Technology Corp., B-250377.5, Aug. 18, 1993, 93-2 CPD ¶ 102 (may award a reprocurement contract to the next-low offeror on the original solicitation when there is a short time span between the original competition and default); Maersk Line, Ltd., B-410445, B-410445.2, Dec. 29, 2014, 2015-1 CPD ¶ 16 (approximately six months was determined to be a sufficiently short time span to permit reprocurement from the next-lowest-priced offeror for a time charter contract for United States-flagged vessel).
 - (3) The government is not required to invite bids on repurchase solicitations from a defaulted contractor. Montage Inc., B-277923.2, Dec. 29, 1997, 97-2 CPD ¶ 176.

- d. When the repurchase is defective, the defaulting contractor may be relieved of liability for excess costs. Ross McDonald Contracting, GmbH, ASBCA No. 38154, 94-1 BCA ¶ 26,316 (government failed to mitigate damages when exercising option on repurchase contract awarded to next-low offeror on the original solicitation rather than compete requirement for option year without making the requisite determinations under FAR 17.207); Astra Prods. Co. Inc. of Tampa, ASBCA No. 24474, 82-1 BCA ¶ 15,497 (recoverable repurchase costs reduced where government failed to request proposal from next lowest-priced responsible bidder).
- e. The Fulford Doctrine. A contractor may dispute an underlying default termination as part of a timely appeal from a government demand for excess repurchase costs to avoid the excess costs, even though the contractor failed to appeal the underlying default termination in a timely manner. Fulford Mfg. Co., ASBCA No. 2143, 6 CCF ¶ 61,815 (May 20, 1955); *see also* Deep Joint Venture, GSBCA No. 14511, 02-2 BCA ¶ 31,914 (GSBCA confirms validity of the Fulford doctrine for post-CDA terminations); D. Moody & Co. v. United States, 5 Cl. Ct. 70 (1984); Kellner Equip., Inc., ASBCA No. 26006, 82-2 BCA ¶ 16,077. While the majority of the existing case law supports and adopts the Fulford Doctrine, some attorneys in the field of contractor defense work believe that the Federal Circuit's recent decision in Maropakis may mean an end to the Fulford Doctrine and the beginning of the need to present defenses in anticipation of repurchase costs and future litigation in order to ensure compliance with the CDA. M. Maropakis Carpentry, Inc. v. United States, 609 F.3d 1323 (Fed. Cir. 2010); *compare* M.E.S., Inc. v. United States, 104 Fed. Cl. 620, 636 (2012) ("[I]t is because the court recognizes that termination and the resulting excess repurchase costs are separate claims that the court continues to follow the Fulford doctrine."); Hearthstone, Inc., CBCA No. 3725, 2015-1 BCA ¶ 35,895 ("Although the United States Court of Appeals for the Federal Circuit has not yet endorsed [the Fulford Doctrine], the Board continues to employ the practice [of allowing the contractor to wait until the contracting officer assesses repurchase costs to challenge the underlying default termination] as an efficient means of resolving all of the issues arising from a termination for default.").

3. Liquidated Damages.

- a. Liquidated damages serve as a contractually agreed upon substitute for actual damages caused by late delivery or late completion of

work. Liquidated damages are not assessed for periods of excusable delay. *See e.g.*, RFO FAR 52.211-11(c). The government may recover both liquidated damages and an assessment of excess costs (either for reprocurement or for completion of the work) from a contractor upon terminating a contract for default. RFO FAR 49.402-7.

- b. Liquidated damages are not punitive. RFO FAR 11.401(b). The common law rule that liquidated damages will not be enforced if they constitute a penalty applies to government acquisitions. Southwest Eng'g Co. v. United States, 341 F.2d 998 (8th Cir. 1965).
- c. A liquidated damages clause will be enforced as reasonable where, at the inception of the contract, the damages are based on a reasonable forecast of possible damages in the event of failure of performance. American Constr. Co., ENGBCA No. 5728, 91-2 BCA ¶ 24,009.
- d. If a contract does not have a liquidated damages clause or if the liquidated damages provision of a contract is unenforceable because it is punitive, the government may recover actual damages to the extent that they are proved. *See e.g.*, RFO FAR 52.249-8 (“The rights and remedies of the government in [the Default] clause are in addition to any other rights and remedies provided by law or under this contract.”); *see also* RFO FAR 52.249-10 (same).
- e. RFO DFARS 211.403 requires that the liquidated damages clause at RFO FAR 52.211-12 “be included in all construction contracts exceeding \$900,000, except cost-plus-fixed-fee contracts or contracts where the contractor cannot control the pace of the work. Use of the clause in contracts of \$900,000 or less is optional.”

4. Common Law Damages.

- a. The government may also recover common law damages, which may be in lieu of or in addition to excess costs assessed under the default termination clause. RFO FAR 52.249-8(h); Cascade Pac. Int'l v. United States, 773 F.2d 287 (Fed. Cir. 1985) (government awarded common law damages after failing to prove excess reprocurement costs); Hideca Trading, Inc., ASBCA No. 24161, 87-3 BCA ¶ 20,040 (despite failure to reprocure, government entitled to damages at the difference between the contract price and the market price for oil for the period 60 to 90 days after the default termination).

- b. The government has the burden of proving that the damages are foreseeable, direct, material, or the proximate result of the contractor's breach of contract. ERG Consultants, Inc., VABCA No. 3223, 92-2 BCA ¶ 24,905 (damages must be foreseeable); Gibson Forestry, AGBCA No. 87-325-1, 91-2 BCA ¶ 23,874 (Forest Service unable to recover cost of tree seedlings when contractor did not know that seedlings had three-week life expectancy once lifted for planting).
 5. Unliquidated advance and progress payments. The government is entitled to repayment by the contractor of advance and progress payments, if any, attributable to the undelivered work. Smith Aircraft Co., ASBCA No. 39316, 90-1 BCA ¶ 22,475.
- B. The Government's Liability.
 1. Bottom Line – Upon a *valid* termination for default, the government only pays for **value it actually received**. Supply contractor possesses biggest risk because not compensated for work-in-progress.
 2. Supply – Government is liable only for the contract price for completed **supplies delivered** and accepted. RFO FAR 52.249-8(f).
 3. Service or Construction – Government is liable only for the **reasonable value of work done** before termination, whether or not the services or construction have been contractually accepted by the government. Sphinx Int'l, Inc., ASBCA No. 38784, 90-3 BCA ¶ 22,952.
 4. Cost-reimbursement contracts – Government is generally liable for all of the reasonable, allowable, and allocable costs incurred by the contractor, whether or not accepted by the government, plus a percentage of the contract fee. The fee is somewhat limited, however, as the amount of the contract fee payable to the contractor is based on the work accepted by the government, rather than on the amount of work done by the contractor. RFO FAR 52.249-6.
 5. The government may also require the contractor to transfer title and deliver to the government its manufacturing materials that the contractor has specifically produced or acquired for the terminated portion of the contract, for which the government will pay the reasonable value. RFO FAR 52.249-8(e); RFO FAR 52.249-10(a).

VIII. COMMERCIAL PRODUCTS AND SERVICES CONTRACTS: “TERMINATION FOR CAUSE”

- A. Background. The Federal Acquisition Streamlining Act, Pub. L. 103-355 (Oct. 13, 1994), established special requirements for the acquisition of commercial products and services. Congress intended government acquisitions to more closely resemble those practices customarily used in the commercial marketplace. FAR 12.201.
- B. Applicable Rules for Terminations for Cause.
 - 1. For commercial products and services: use clause RFO FAR 52.212-4.
 - 2. The government can terminate a contract for a commercial product or service for cause. RFO FAR 12.304 and RFO FAR 52.212-4(m).
 - 3. RFO FAR 52.212-4 contains concepts that are different from “traditional” termination rules contained in FAR Part 49. Consequently, the requirements of FAR Part 49 do not apply when terminating contracts for commercial products or services. Contracting officers should not use the procedures in part 49. RFO FAR 12.304(a).
- C. Policy. The contracting officer should exercise the government’s right to terminate a contract for a commercial product or service only when such a termination would be in the best interests of the government. RFO FAR 12.304(b). Further, the contracting officer should consult counsel prior to terminating for cause
- D. General Requirements. RFO FAR 12.304; RFO FAR 52.212-4.
 - 1. Grounds. Under the rules, a contractor may be terminated for cause “in the event of any default by the Contractor, or if the Contractor fails to comply with any contract terms or conditions, or fails to provide the government, upon request, with adequate assurances of future performance.” RFO FAR 52.212-4(m).
 - 2. Excusable Delay. Contractors are required to notify contracting officers as soon as reasonably possible after the commencement of excusable delay. RFO FAR 52.212-4(f). In most situations, this requirement should eliminate the need for a show cause notice prior to terminating a contract. RFO FAR 12.304(b)(1).
 - 3. Rights and Remedies:
 - a. In the event of a termination for cause, the government shall not be liable for supplies or services not accepted. RFO FAR 52.212-4(m).

- b. If a board or court determines that the government improperly terminated for cause, such termination will be deemed a termination for convenience. RFO FAR 52.212-4(m).
- 4. Procedure to terminate for cause.
 - a. The KO shall send the contractor written notification that the contract is terminated for cause, reasons for the termination, what remedies the government intends to seek or a date they will notify the contractor of the remedy, and that the notice is a final decision that is appealable under the Disputes clause. RFO FAR 12.304(b).
 - b. Contracting officers are required to report terminations for cause through the Federal Awardee Performance and Integrity Information System (FAPIIS). RFO FAR 12.304(b)(3). *See also* RFO FAR 42.1103(g).
 - c. Any termination involving a reduction in employment of 100 or more contractor employees specifically requires congressional notification, cleared through agency liaison offices before release. RFO DFARS 249.7001; DFARS PGI 249.7001. This notification requirement does not apply for firms performing in Iraq or Afghanistan if the firm is not incorporated in the United States. DoD Class Deviation 2011-O0002.

IX. MISCELLANEOUS

- A. Severable Contract Requirements.
 - 1. Total or partial termination. A default termination may be total or partial. RFO FAR 52.249-8(a)(1).
 - 2. Where a contract includes severable undertakings, default on one effort may not justify termination of the entire contract. T.C. Sarah C. Bell, ENGBCA No. 5872, 92-3 BCA ¶ 25,076; Bulova Techs. Ordnance Sys., LLC, ASBCA No. , 2014-1 B.C.A. ¶ 35,521 (denying appeal of termination decision for medium machine gun line item where contractor failed to meet delivery date and sniper rifle and scope line items for failure to make progress, but sustaining appeal of termination decision as to heavy machine gun line items where there was no anticipatory repudiation).
- B. Revocation of Acceptance in Order to Terminate.
 - 1. In some circumstances, the government can revoke its acceptance of performance in order to terminate.

2. Fraud in the inducement of a contract renders the contract void *ab initio*, and justifies termination for default. Vertex Construction & Engineering, ASBCA No. 58988, 14-1 BCA ¶ 35,804 (submission of a fraudulent master electrician certificate in order to secure the contract); American Renovation & Construction Co., ASBCA No. 53723, 10-2 BCA ¶ 34,487 (upheld revocation of work that occurred 25 months previously where government inspector reasonably relied on the contractor's assurance that there were no defects remaining in the work since all visible defects had been corrected); Chilstead Building Co., ASBCA No. 49548, 00-2 BCA ¶31,097 (roofing contractor's representation that it was proceeding in accordance with the drawings followed shortly thereafter by installation of deviant trusses was a gross mistake amounting to fraud despite the government inspector's failure to measure or inspect); Z.A.N. Co., ASBCA No. 25488, 86-1 BCA ¶ 18,612 (delivery of improperly marked watches was a gross mistake amounting to fraud despite the fact that government representatives may not have acted "with a maximum of circumspection"); Massman Constr. Co., ENGBCA No. 3443, 81-2 BCA ¶ 15,212 (contractor's failure to use prequalified weld joints (among other things) was a gross mistake amounting to fraud despite the fact that the government's inspection was "inexcusably bad"); Jo-Bar Mfg. Corp., ASBCA No. 17774, 73-2 BCA ¶ 10, 311 (contractor's determination that aircraft bolts did not have to be heat treated and failure to treat them, coupled with misrepresentation to the government inspector that it had been advised heat treatment was not required was a gross mistake amounting to fraud despite possible lack of in-process inspection by government).
3. However, acceptance must be revoked within a reasonable time after the mistake is discovered or could have been discovered with ordinary diligence. American Renovation & Construction Co., ASBCA No. 53723, 10-2 BCA ¶ 34,487; Bar Ray Prod., Inc. v. United States, 162 Ct. Cl. 836 (1963).
4. No precise formula exists to determine the reasonableness of the delay. American Renovation & Construction Co., ASBCA No. 53723, 10-2 BCA ¶ 34,487. The determination must be made on a case-by-case basis. *Id.*
5. However, the government's efforts to determine conclusively that the work was defective or to work with the contractor to solve the problem will be taken into consideration in determining the reasonableness of the delay. Perkin-Elmer Corp. v. United States, 47 Fed. Cl. 672 (2000) (revocation of acceptance more than six years after learning of the defect was unreasonable); Chilstead Building Co. Inc., ASBCA No. 49548, 00-2 BCA ¶31,097 (seven-month delay between discovery of the defects and revocation of acceptance for the Architect-Engineering firm to investigate the cause of the defect was reasonable); Ordnance Parts & Eng'r Co.,

ASBCA No. 40293, 90-3 BCA ¶ 23,141 (one-year delay between the KO's request for tests and revocation of acceptance where tests took less than two weeks was not "remotely prompt action"); Jung Ah Industrial Co., ASBCA 22632, 79-1 BCA ¶ 13,643, *aff'd on recon.*, 79-2 BCA ¶ 13,916 (10-month delay to test wall paneling to determine if it had been "incombustible treated" was reasonable).

C. Fiscal Considerations.

1. **General Rule.** It is well-settled that when the government terminates a contract because of the contractor's default, the funds obligated under the original contract remain available, beyond their original period of obligational availability, for the purpose of engaging another contractor to complete the unfinished work. GAO, *Principles of Federal Appropriations Law*, Vol I, Pg. 5-29 (3d ed. 2004)(also referred to as the GAO "Redbook"). (The GAO notes that this rule only applies with the original contract funds were validly obligated). Note: If a re-procurement after a termination for default will result in an obligation that exceeds \$4 million against an expired account, then the action must first be submitted to USD(C) for approval. See DOD FMR, vol. 3, ch. 10, para. 100306 and 100307.
2. Funds that have been obligated but have not been disbursed at the time of termination for default as well as funds recovered as excess costs on a defaulted contract remain available for a replacement contract awarded in a subsequent fiscal year. Funding of Replacement Contracts, B-198074, July 15, 1981, 81-2 CPD ¶ 33; Bureau of Prisons-Disposition of Funds Paid in Settlement of Breach of Contract Action, B-210160, Sep. 28, 1983, 84-1 CPD ¶ 91.
3. What Constitutes a Replacement Contract.
 - a. The DoD FMR and GAO Redbook both provide three criteria for whether the future contract may be considered to be a replacement contract (i.e., expired funds from original contract *may be* used) or a new contract (i.e., expired funds from original contract *may not be* used).
 - b. Of note, the GAO Redbook and DoD FMR apply essentially the same three criteria but each uses slightly different wording. Compare DoD Financial Management Regulation 7000.14-R, vol. 3, ch. 8, para. 080305 (May 2019) (Contractor Default), with GAO, *Principles of Federal Appropriations Law*, Vol I, 5-29, 5-30 (3d ed. 2004):

	Timely Re-award	Continuing Bona Fide Need	Similar Size and Scope
DoD FMR Standard	“The replacement contract must be made <i>without undue delay</i> . ”	“The replacement contract must fulfill a <i>bona fide need that continued from the original contract</i> . ”	“The replacement contract must be awarded on the same basis and be <i>substantially similar to the original contract in its size and scope</i> . ”
GAO Redbook Standard	“The replacement contract must be awarded <i>within a reasonable time</i> after termination of the original contract.”	“A bona fide need for the work, supplies, or services must have existed when the original contract was executed, and <i>[the bona fide need] must continue to exist up to the award of the replacement contract</i> . ”	“The replacement contract must <i>not exceed the scope of the original contract</i> . ”

- D. Conversion to Termination for Convenience. All FAR default clauses provide that an erroneous default termination will be converted to a termination for convenience. RFO FAR 52.249-8(g); RFO FAR 52.249-10(c); RFO FAR 52.249-6(b). *But see* Apex Int’l Mgmt. Servs., Inc., ASBCA No. 38087, 94-2 BCA ¶ 26,842 (Board refuses to limit recovery to termination for convenience costs where government officials acted in bad faith; contractor entitled to breach damages).
- E. T4C Proposals Where T4D Appeal Is Pending.
1. A contractor, prior to the default being overturned, can submit a termination for convenience settlement proposal to the contracting officer. The proposals will be treated as a claim under the Contract Disputes Act. McDonnell Douglas Corp. v. United States, 37 Fed. Cl. 285 (1997); Balimoy Mfg. Co. of Venice, ASBCA No. 49730, 96-2 BCA ¶ 28,605.
 2. The demand for termination for convenience costs from the contracting officer who terminated the contract for default demonstrates the “impasse” required to convert a proposal into a claim. *See* England v. Swanson Group, Inc., 353 F.3d 1375, 1379-80 (Fed. Cir. 2004), *abrogated on other grounds by* Sikorsky Aircraft Corp. v. United States, 773 F.3d 1315 (Fed. Cir. 2014).

3. An appeal of a convenience settlement proposal will be dismissed without prejudice to reinstatement if the appeal of a default termination is pending. Poly Design, Inc., ASBCA No. 50862, 98-1 BCA ¶ 29,458.

CHAPTER 22

ALTERNATIVE DISPUTE RESOLUTION

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CHAPTER 22

ALTERNATIVE DISPUTE RESOLUTION (ADR)

I. INTRODUCTION.

A. Objectives.

This deskbook chapter explores the purpose and application of alternative methods of resolving disputes in the contract law arena (e.g., protests and CDA claims) as required by the Administrative Dispute Resolution Act (ADRA), the Contract Disputes Act (CDA), and the Federal Acquisition Regulation (FAR).

B. References.

1. The Contract Disputes Act of 1978 (CDA), as amended, 41 U.S.C. §§ 7101-7109. Pertinent to ADR, *See* § 7103(h).
2. The Administrative Dispute Resolution Act (ADRA), 5 U.S.C. §§ 571-584.
3. RFO Federal Acquisition Regulation (FAR) 33.214, Alternative Dispute Resolution (ADR).
4. DOD Instruction 5145.05, Alternative Dispute Resolution (ADR) and Conflict Management, May 27, 2016.
5. U.S. Army Alternative Dispute Resolution Program (ADR), Office of the Army General Counsel provides Army-specific guidance at https://ogc.altess.army.mil/Practice_Groups/ADR.aspx.
6. Alternative Dispute Resolution, Its Place In The Spectrum of Conflict Resolution, Army ADR Program, Office of the Army General Counsel (Revised January 2015), available at https://ogc.army.mil/ADR/ADR_library.aspx
7. RFO FAR Part 33; AFARS Part 5133.

C. Statutory Background of the Contract Disputes Act.

The Contract Disputes Act of 1978 (CDA) is the earliest statutory authority for the use of informal, expedited dispute resolution methods in contract disputes. The CDA requires the Boards of Contract Appeals (BCA) to provide

“to the fullest extent practicable...informal, expeditious, and inexpensive resolution of disputes.” 41 U.S.C. § 7105(g)(1).

1. The CDA was designed to encourage the resolution of contract disputes by negotiation prior to the onset of formal litigation. S. Rep. No. 95-1118.
2. The CDA favors negotiation between the contractor and the agency at the claim stage, before litigation begins. At the claim stage, the agency is typically represented by the contracting officer, who makes the initial decision on a contractor’s claim. If the dispute cannot be resolved between the contractor and the contracting officer, the CDA requires the contracting officer to issue a final decision. The contractor can then appeal this final decision to either a Board of Contract Appeals or the Court of Federal Claims. 41 U.S.C. §§ 7104, 7105; RFO FAR 33.204, 33.206 and 33.211.

D. Statutory Background of the Administrative Dispute Resolution Act. (ADRA)

Congress passed the first ADRA in 1990 in response to increasingly crowded dockets and escalating litigation costs. In the 1990 statute, Congress found that “administrative proceedings had become increasingly formal, costly, and lengthy resulting in unnecessary expenditures of time and in a decreased likelihood of achieving consensual resolution of disputes.” ADRA, Pub. L. No. 101-552, § 2(2), 104 Stat. 2736 (1990).

1. Congress decided that ADR, as used successfully in the private sector, would work in the public sector and would “lead to more creative, efficient, and sensible outcomes.” ADRA, Pub. L. No. 101-552, § 2(4), 104 Stat. 2736 (1990).
2. The 1990 ADRA explicitly authorized federal agencies to use ADR to resolve administrative disputes, including contract disputes. ADRA, Pub. L. No. 101-552, 104 Stat. 2738 (1990).
3. The 1990 ADRA defined ADR as any procedure used, in lieu of adjudication, to resolve issues in controversy, including settlement negotiations, conciliation, facilitation, mediation, fact-finding, mini-trials, and arbitration, or any combination of these techniques. ADRA, Pub. L. No. 101-552, § 4(b), 104 Stat. 2738 (1990). The ADRA of 1990 expired by its own terms on 1 October 1995.
4. In the 1990s, Congress passed three statutes (the Administrative Dispute Resolution Acts of 1990 and 1996, and the Alternative Dispute Resolution Act of 1998) which, collectively, required each agency to adopt a policy encouraging use of ADR in a broad range of decision making, and required the federal trial courts to make

ADR programs available to litigants. These initiatives also include the *Civil Rights Act of 1991*; the *National Performance Review*; Executive Order 12871, *Labor Management Partnerships*; and the Equal Employment Opportunity Commission's regulations. See <https://www.eeoc.gov/federal-sector/alternative-dispute-resolution> and [Employee Rights & Appeals \(opm.gov\)](https://www.opm.gov/policy-data-oversight/dispute-resolution/)

- E. Amending ADRA. On October 19, 1996, Congress enacted the Administrative Dispute Resolution Act of 1996, Pub. L. No. 104-320, 110 Stat 3870, amending 5 U.S.C. §§ 571-584 (*see also* Federal Acquisition Circular 97-09, 63 Fed. Reg. 58,586 (Final Rules) (1998), amending the FAR to implement the ADRA). The 1996 Act:
1. Permanently authorized the ADRA;
 2. Redefines ADR as any procedure used to resolve issues in controversy, including, but not limited to, conciliation, facilitation, mediation, fact-finding, mini-trials, arbitration, and use of ombudsman, or any combination of these techniques;
 3. Requires each agency to adopt an ADR policy, to designate a senior official as the agency “dispute resolution specialist” to implement the ADR policy, and to train agency personnel in negotiation and ADR techniques, including mediation and facilitation;
 4. Authorizes federal agencies to promulgate policies permitting the use of binding arbitration in dispute resolution on a case-by-case basis, if authorized by the agency head after consultation with the Attorney General;
 5. Extends confidentiality protection to certain “dispute resolution communications” made during the course and for the purpose of dispute resolution proceedings, and exempts such communications disclosure under the Freedom of Information Act;
 6. Authorizes an exception to full and open competition for the purpose of contracting with a “neutral person” for the resolution of any existing or anticipated litigation or dispute; and
 7. Requires the President to designate an agency or establish an interagency committee to facilitate and encourage the use of ADR. By Presidential Memorandum dated 1 May 1998, POTUS established the Interagency Alternative Dispute Resolution Working Group. In 2025, the central hub and clearinghouse for alternative dispute resolution, www.adr.gov, was retired. As of 2025, Federal agencies each manage their own ADR programs.

- F. Federal Acquisition Regulation. It is the government's express policy to attempt to resolve all procurement contract disputes at the contracting officer level. RFO FAR 33.204. Agencies are encouraged to use ADR procedures as much as possible but recognizes that certain factors may make the use of ADR inappropriate. RFO FAR 33.205-8.
1. RFO FAR 33.205-8(b) identifies four essential elements for the use of ADR techniques:
 - a. An issue in controversy;
 - b. Both parties choose to participate in the ADR process;
 - c. Both parties agree on alternative procedures and terms instead of formal litigation; and
 - d. Officials of both parties who have the authority to resolve the issue in controversy choose to participate in the process.
 2. If the contracting officer rejects a contractor's request for ADR, the contracting officer must provide the contractor a written explanation citing one or more of the conditions in 5 U.S.C. § 572(b)¹ or other specific reasons that ADR is inappropriate. RFO FAR 33.205-8(c)(1). Additionally, when a contractor rejects an agency ADR request, the contractor must inform the agency in writing of the contractor's specific reasons for rejecting the request. RFO FAR 33.205-8(c)(2) and RFO FAR 52.233-1(g).
- G. DOD Policy and Implementation. Each DOD component shall use ADR techniques "appropriate to their respective Components and in accordance with law and DoD policy" and shall establish ADR policies and programs. DOD Instruction 5145.05.

¹ 5 U.S.C. § 572(b) An agency shall consider not using a dispute resolution proceeding if—

(1) a definitive or authoritative resolution of the matter is required for precedential value, and such a proceeding is not likely to be accepted generally as an authoritative precedent;

(2) the matter involves or may bear upon significant questions of Government policy that require additional procedures before a final resolution may be made, and such a proceeding would not likely serve to develop a recommended policy for the agency;

(3) maintaining established policies is of special importance, so that variations among individual decisions are not increased and such a proceeding would not likely reach consistent results among individual decisions;

(4) the matter significantly affects persons or organizations who are not parties to the proceeding;

(5) a full public record of the proceeding is important, and a dispute resolution proceeding cannot provide such a record; and

(6) the agency must maintain continuing jurisdiction over the matter with authority to alter the disposition of the matter in the light of changed circumstances, and a dispute resolution proceeding would interfere with the agency's fulfilling that requirement.

1. Army. The Army established a centralized ADR Program Office in the Office of the General Counsel in 2008, pursuant to the Secretary of the Army's 22 June 2007 ADR policy memorandum. This policy urges Army personnel to use ADR in appropriate cases to resolve disputes as early as feasible, by the fastest and least expensive method possible, and at the lowest possible organizational level. Personnel involved in dispute resolution must receive adequate ADR training, and must consider ADR in every case. The policy designates the Principal Deputy General Counsel as the Army Dispute Resolution Specialist and directs the hiring of personnel to assist in implementing the Army ADR policy. Prior to 2007, ADR in the Army was implemented primarily through subordinate commands and components, for example, the Contract and Fiscal Law Division of the U.S. Army Legal Services Agency (for contract claims and bid protests), Army Materiel Command (workplace and bid protests), the Army Corps of Engineers (contract claims, environmental and workplace disputes), and the Army EEO Complaints Program (discrimination claims). These subordinate commands and organizations continue to have primary operational control over ADR with respect to disputes within their areas of responsibility, but certain aspects of the ADR program, such as policy and guidance, standards, training programs, and ADR support, are within OGC's area of responsibility. The Chief Trial Attorney shall determine whether to participate in ADR for any matter docketed with the ABCA, AFARS 5133.205-695(c). Additional Army OGC guidance and information is available at https://ogc.army.mil/Practice_Groups/ADR.aspx and https://ogc.army.mil/ADR/ADR_acquisition.aspx.
2. Air Force and Space Force. The Department of Air Force institutionalized its use of ADR in contract disputes by issuance of a comprehensive policy on dispute resolution entitled "ADR First." Department of Air Force policy states that ADR will be the first-choice method of resolving contract disputes if traditional negotiations fail, unless ADR would be inappropriate as judged by the statutory (ADRA) criteria. The ADR First policy represents an affirmative determination to avoid the disruption and high cost of litigation. *ADR: Air Force Launches New ADR Initiative; Drafts Legislation to Fund ADR Settlements*, Fed. Cont. Daily (BNA) (Apr. 28, 1999); *see also* Air Force Policy Directive 51-12 (5 June 2018) and AFFARS 5333.214. The Air Force ADR website is available at <http://www.adr.af.mil>.
3. Navy and Marine Corps. The first Department of Navy ADR policy was issued in 1987, stating "every reasonable step must be taken to resolve disputes prior to litigation." Memorandum, Assistant Secretary of the Navy (Shipbuilding and Logistics),

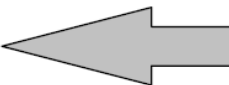
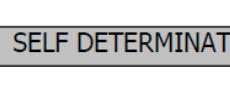
subject: Alternative Dispute Resolution (1987). Current Navy policy states ADR shall be used to the “maximum extent practicable” with the goal of resolving disputes at the earliest stage feasible, by the fastest and quickest means possible, and at the lowest possible organizational level. SECNAVINST 5800.13C (May 13, 2019). See Navy ADR website available at <https://www.secnav.navy.mil/ADR/Pages/default.aspx>; See USMC available at [Administration and Resource Management > Branches > EEO > Alternative Dispute Resolution \(marines.mil\)](#)

II. DISPUTE RESOLUTION CONTINUUM.

One method frequently employed during ADR is the dispute resolution continuum.

THE DISPUTE RESOLUTION SPECTRUM

UNASSISTED NEGOTIATIONS	ALTERNATIVE DISPUTE RESOLUTION			ADJUDICATION
Traditional Settlement Negotiations Pre-dispute Early Involvement	PROCESS ASSISTANCE	OUTCOME PREDICTION	PRIVATE LITIGATION	Admin Boards (EEOC, MSPB, FLRA, BCAs) Judicial Forums (Federal Courts)
	Conciliation	Early Neutral Evaluation	Binding Arbitration	
	Facilitation	Non-Binding Arbitration	Summary Proceeding with Binding Decision	
	Mediation	Fact Finding		
	Ombuds	Summary Jury Trial		
Mini-Trial Settlement Judge				
NON-BINDING PROCESSES			BINDING PROCESSES	

MORE  **SELF DETERMINATION (CONTROL BY PARTIES)**  **LESS**

A. Range.

Alternative dispute resolution techniques exist within a dispute resolution continuum, ranging from dispute avoidance to litigation. The purpose of any ADR method is to settle the dispute without resorting to costly and time-consuming litigation before the courts and boards.

B. Dispute Avoidance.

1. Mechanisms or processes to promote early identification and resolution of potential issues in controversy, before they become disputes. Examples of dispute avoidance processes are partnering, and issue escalation (also known as an "issue ladder") procedures.
2. Partnering.
 - a. A process by which the contracting parties form a relationship of teamwork, cooperation, and good faith performance. It is a long-term commitment between two or more parties for the purpose of achieving mutually beneficial goals.
 - b. Partnering fosters communication and agreement on common goals and methods of performance. Examples of common goals are:
 - (1) The use of ADR and elimination of litigation;
 - (2) Timely project completion;
 - (3) High quality work;
 - (4) Safe workplace;
 - (5) Cost control;
 - (6) Value engineering;
 - (7) Reasonable profit.
 - c. Partnering is NOT:
 - (1) Mandatory. It is not a contractual requirement and does not give either party legal rights. The parties must voluntarily agree to the process, because it is a commitment to an on-going relationship.
 - (2) A "Cure-All." Reasonable differences will still occur, but one of the benefits of partnering is that it ensures the differences are honest and in good faith.
 - d. Implementing Partnering. Although voluntary, partnering is typically implemented through formal, specific methods that the parties agree upon. Partnering is labor intensive, and is therefore best used on more complex projects. Special considerations relating to partnering are:

- (1) Partnering requires commitment of top management officials of all parties.
- (2) Parties need to establish clear lines of communication and responsibility and agree to ADR methods for resolving legitimate disagreements.
- (3) In the Army, both the Army Corps of Engineers and Army Materiel Command have used partnering as a dispute avoidance technique in contracts; for the Corps of Engineers, partnering is also used as a tool to foster collaboration in water projects under Corps supervision. Several very informative publications discussing the Corps' use of partnering are available for download at the Corps Institute for Water Resources' online ADR library at <http://www.iwr.usace.army.mil/>

3. Issue Escalation.

- a. A process of whereby issues that could produce disputes are first referred to a team made up of all parties to the contract or project for resolution.
- b. If the issue is not resolved at the first level of review, it is automatically elevated to a higher level of review, usually consisting of the superiors of those in the lower level, for decision.
- c. There can be several levels of review up the chain, but the incentive is to avoid higher level review by resolving the issue at the lowest possible level.

C. Unassisted Negotiations.

1. In traditional unassisted negotiation, the parties attempt to reach a settlement without involvement of outside parties.
2. Elements of Successful Negotiation:
 - a. Parties identify issues upon which they differ.
 - b. Parties disclose their respective needs and interests.
 - c. Parties identify possible settlement options.
 - d. Parties negotiate terms and conditions of agreement.

3. Goal: Each party should be in a better position than if they had not negotiated.

D. ADR Procedures.

Defined broadly to include any procedure or combination of procedures that “may include, but are not limited to, conciliation, facilitation, mediation, fact-finding, mini-trials, arbitration, and use of ombudsmen,” ADR techniques rely upon participation by a third-party neutral. *See* ADRA of 1996, 5 U.S.C. §§ 571-584 and FAR 33.201. Typically ADR types fall within one of three general categories:

1. Process Assistance/Assisted Negotiations:

- a. **Mediation.** Mediation is helpful when the parties are not making progress negotiating between themselves. Mediation is simply negotiation with the assistance of a third party neutral who is an expert in helping people negotiate but has no decision-making authority. *See Alternative Dispute Resolution – Edition III*, Briefing Papers No. 03-5, p. 1 (April 2003). *See* Donald Arnavas, *Alternative Dispute Resolution for Government Contracts* 7 (2004).

- (1) The mediator should be neutral, impartial, acceptable to both parties, and should not have any decision-making power.
- (2) A professional mediator will normally approach a dispute with a formal strategy, consisting of a method of analysis, an opening statement, recognized stages of mediation, such as ex parte caucuses, and a variety of mediation tools for breaking impasses and bringing about a resolution.
- (3) Mediators (as well as arbitrators and other neutrals) may be retained without full and open competition. FAR 6.302-3(a)(2)(iii) and (b)(3). Moreover, third-party neutral functions (like mediating and arbitrating) in ADR methods are not inherently governmental functions for which agencies may not contract. *See* FAR 7.503(c)(2).
- (4) Most mediations in contract disputes are “evaluative,” i.e., the mediator is a subject matter expert who is expected to offer an opinion on the litigation risk for each party if the matter goes to trial. However, the mediator has no power to decide the issue nor to impose a settlement.

- b. **Mini-Trials.** The term “mini-trial” is a misnomer, as it is NOT a shortened judicial proceeding. In a mini-trial, the parties present either their whole case, or specific issues, to a panel consisting of the neutral and the principals of each party in an abbreviated hearing. An advantage of the mini-trial is it forces the parties to focus on a dispute and settle it early. *See* Donald Arnavas, *Alternative Dispute Resolution for Government Contracts* 7 and 127 (2004).
- (1) Mini-trials have been used by the Army Corps of Engineers in several cases. The first was the Tennessee Tombigbee Construction, Inc. case in 1985. In that case, Professor Ralph Nash served as the neutral advisor, and a \$17.25 million settlement was worked out between the government and the contractor. *See* 44 Federal Contracts Reporter (BNA) 502 (1985).
 - (2) In a mini-trial, the attorneys engage in a brief discovery process and then present their case to a specially-constituted panel. The panel consists of party principals and the neutral advisor if desired.
 - (a) Each party selects a principal to represent it on the panel. The principal should have sufficient authority permitting unilateral decisions regarding the dispute and should not have been personally or closely involved in the dispute.
 - (b) The parties should jointly select the neutral advisor, and share expenses. The neutral advisor should possess negotiation and legal skills, and if the issues are highly technical, a technical expert is desirable.
 - (c) The neutral advisor may perform a number of functions, including answering questions from the principals, questioning witnesses and counsel to clarify facts and legal theories, acting as a mediator and facilitator during negotiations, and generally presiding over the mini-trial to keep the parties on schedule.
 - (3) After hearing the case, the principals try to negotiate a settlement, with the neutral's assistance if the principals desire it.

2. Outcome Prediction.

- a. **Non-Binding Arbitration.** This form of arbitration aids the parties in making their own settlement. It is best used when senior managers do not have time to sit through a mini-trial and when disputes are highly technical. *See* Donald Arnavas, *Alternative Dispute Resolution for Government Contracts*, 23 and 127 (2004).
 - (1) Normally an informal presentation of the case, done by counsel with client input.
 - (2) Evidence is presented by document, deposition, and affidavit.
 - (3) Few live witnesses.
 - (4) The arbitrator’s decision or opinion, sometimes called an award, serves to further settlement discussions. The parties get an idea of how the case may be decided by a court or board.
 - (5) The arbitrator may also evolve into the role of a mediator after a decision is issued.
- b. **Outcome Prediction Conference (GAO).** For bid protests at GAO, parties regularly utilize an “outcome prediction” conference, in which a GAO staff attorney advises the parties as to the perceived merits of the protest in light of the case facts and prior GAO decisions. *See* Greentree Transportation Company, Inc. B-403556.4, May 16, 2011. *See also* Bid Protests at GAO: A Descriptive Guide (Tenth Edition, 2018) available at [Bid Protests at GAO: A Descriptive Guide \(Tenth Edition, 2018\)](#). *See also* Donald Arnavas, *Alternative Dispute Resolution for Government Contracts*, 127 (2004). GAO’s various ADR techniques (including negotiation assistance, outcome prediction, and litigation risk assessment) historically have an over 80% success rate at resolving the matter in dispute. *See* [GAO Bid Protest Annual Report to Congress for Fiscal Year 2021](#).

3. Adjudication.

- a. **Binding Arbitration.** Binding arbitration is the ADR technique that most closely resembles traditional, formal

litigation. This form of arbitration results in an award, enforceable in courts.

- (1) Binding Arbitration in DOD.² Pursuant to the ADRA of 1996,³ federal agencies may use binding arbitration, but only after the head of the agency issues appropriate guidance, in consultation with the Attorney General. The Navy was the first DOD organization that has issued guidance authorizing the use of binding arbitration in FAR contracts.⁴ Practitioners should consult with their Military Department's ADR Office prior to pursuing binding for a contract related disagreement.
- (2) In Arbitration, there is normally a formal presentation of the case, much like a trial, though strict rules of evidence may not be followed.
- (3) Evidence is presented by document, deposition, affidavit, and live witnesses, with full cross-examination.
- (4) Arbitration panels generally consist of one to three arbitrators, who serve to control the proceeding, but do not take an active role in the case presentation.
- (5) Private (ex-parte) conversations between the parties and the arbitrators are normally forbidden. This is much different than mediation, during which private conversations between a party and the mediator are common.
- (6) The arbitrator has full responsibility for rendering justice under the facts and law.
- (7) The arbitrator's award is binding, so the arbitrator must be more careful about controlling the parties' case

² Binding arbitration is a voluntary dispute resolution process where the parties select a neutral decision-maker to hear the dispute and resolve it by rendering a final and binding award, with only limited rights to appeal. Unlike traditional litigation, arbitration provides for simplified procedural rules, and flexibility in the choice of the decision-maker. *See* Donald Arnavas, ALTERNATIVE DISPUTE RESOLUTION FOR GOVERNMENT CONTRACTS, 23-24 (2004).

³ *See* ADRA, 5 U.S.C. § 575(c).

⁴ *See* SECNAV Instruction 5800.15A (11 June 2018) Use of Binding Arbitration for Contract Controversies.

presentation and the reliability of the evidence presented.

- b. **Summary Proceeding with Binding Decision (ASBCA).** In addition to non-binding mediation, the ASBCA also offers binding Summary Proceedings, which, in essence, are a form of Arbitration (although these proceedings occurs under the ASBCA's CDA jurisdiction and not the ADRA). *See [ASBCA Alternative Methods of Dispute Resolution \(21 July 2014\)](#)*. A summary proceeding results in a binding decision after the parties try the case informally before a board judge on an expedited, abbreviated basis. The Administrative Judge will issue a binding "bench" decision or summary written decision which has no precedential value but is binding on the parties and the parties have no right to appeal a decision resulting from this process. *Rules of the Armed Services Board of Contract Appeals, Addendum II (July 2014)*, published at 48 CFR Chapter 2, Appendix A, Part 2.

III. TIME PERIODS FOR USING ADR.

A. Before Protest or Appeal.

1. Protests. The FAR has long provided authority for agencies to hear protests. RFO FAR 33.103 implements Executive Order 12979 and requires agencies to:
 - a. Emphasize that the parties shall use their best efforts to resolve the matter with the contracting officer prior to filing a protest (FAR 33.103(b));
 - b. Provide for inexpensive, informal, procedurally simple, and expeditious resolution of protests, using ADR techniques where appropriate (FAR 33.103(c));
 - c. Allow for review of the protest at "a level above the contracting officer" either initially or as an internal appeal (FAR 33.103(d)(4)); and
 - d. Withhold award or suspend performance if the protest is received within 10 days of award or 5 days after debriefing. FAR 33.103(f)(1)-(3). But an agency protest will not extend the period within which to obtain a stay at GAO, although the agency may voluntarily stay performance. FAR 33.103(f)(4).

2. Appeals. The ADRA provides clear authority for contracting officers to voluntarily use ADR during the period before an appeal is filed. 5 U.S.C. § 572(a); FAR 33.214(c).

B. After Protest or Appeal.

1. The GAO Bid Protest Regulations provide that GAO, on its own or upon request, may use flexible alternative procedures to resolve a protest, including ADR procedures. 4 C.F.R. § 21.10(a), (e). *See also* [Bid Protests at GAO: A Descriptive Guide \(Tenth Edition, 2018\)](#). As noted earlier, parties frequently utilize an “outcome prediction” conference during GAO bid protests.
2. With respect to contractor claims, once an appeal is filed, jurisdiction passes to the applicable BCA. When an appeal is filed, the Board gives notice suggesting the parties pursue the possibility of using ADR, including mediation, mini-trials, and summary hearings with binding decisions. For more information regarding ADR at the Armed Services Board of Contract Appeals, *see* <https://www.asbca.mil/ADR>. For more information regarding ADR at the Civilian Board of Contract Appeals, *see* <https://www.cbca.gov/adr/general.html>.
3. Parties who file appeals with the Court of Federal Claims (COFC) will also be informed of voluntary ADR methods available through the court. In 2007 the Chief Judge of COFC issued General Order No. 44, establishing the ADR Automatic Referral Program, in which all cases (except for bid protests) assigned to a presiding judge were automatically and simultaneously referred to an ADR judge for ADR consideration and participation by the parties. General Order No. 44, however, was revoked by Chief Judge Patricia Campbell-Smith in 2016 in favor of following the ADR procedures set out in Appendix H of the Court’s rules. Current information about ADR in matters before the COFC is available for download at the COFC web site. *See* <http://www.uscfc.uscourts.gov/alternative-dispute-resolution>

IV. APPROPRIATENESS OF ADR.

A. When is it appropriate to use ADR?

The ADRA provides that agencies “may use a dispute resolution proceeding for the resolution of an issue in controversy that relates to an administrative

program, if the parties agree to such proceeding.” Further, DOD Instruction 5145.05 provides that “[a]ny conflict or dispute, regardless of subject matter, is a potential candidate for ADR.” Generally, ADR is appropriate for a case when:

1. Unassisted negotiations have failed to resolve the dispute and have reached an impasse;
2. Neither party is looking for binding precedent;
3. The parties wish to preserve a continuing relationship;
4. Confidentiality is important to either or both sides.

B. When is it *inappropriate* to use ADR? The ADRA directs that an agency must consider not using ADR when:

1. A definitive or authoritative resolution of the matter is required for precedential value, and an ADR proceeding is not likely to be accepted generally as an authoritative precedent;
 2. The matter involves or may bear upon significant questions of Government policy that require additional procedures before a final resolution may be made, and an ADR proceeding would not likely serve to develop a recommended policy for the agency;
 3. Maintaining established policies is of special importance, so that variations among individual decisions are not increased and an ADR proceeding would not likely reach consistent results among individual decisions;
 4. The matter significantly affects persons or organizations who are not parties to the proceeding;
 5. A full public record of the proceeding is important, and an ADR proceeding cannot provide such a record; or
 6. The agency must maintain continuing jurisdiction over the matter with authority to alter the disposition of the matter in light of changed circumstances, and an ADR proceeding would interfere with the agency’s ability to fulfill that requirement.
- 5 U.S.C. § 572(b).

[Note: The ADRA, at 5 U.S.C. § 572(b), only requires that an agency consider not using ADR if any of the six statutory factors are present; if sufficient countervailing factors exist, an agency may use ADR even if one or more of the six factors applies.]

In addition to the statutory factors militating against ADR, there may be other additional reasons why ADR might be inappropriate for a particular dispute (e.g., a claim with a significant counterclaim of fraud). Any reason for considering ADR to be inappropriate should be articulable; in some cases, there is even a regulatory requirement for the reason(s) for refusing ADR to put in writing. *See, e.g.,* FAR 33.214(b) (rejection of an offer or request for ADR must state the reason(s) for rejection in writing). Contract Disputes Act of 1978, 41 U.S.C. § 7103(h)(3).

V. STATUTORY REQUIREMENTS AND LIMITATIONS.

A. Voluntariness.

ADR methods authorized by the ADRA are voluntary, and supplement rather than limit other available agency dispute resolution techniques. 5 U.S.C. § 572(c). *See also* FAR 33.204 (“[a]gencies have authority which is separate from that provided by the ADRA to use ADR procedures to resolve [contract related] issues in controversy . . . Agencies may also elect to proceed under the authority and requirements of the ADRA.”)

B. Limitations Applicable to Using Arbitration.

1. Arbitration may be used by the consent of the parties either before or after a controversy arises. The arbitration agreement shall be:
 - a. in writing,
 - b. submitted to the arbitrator, and
 - c. specify a maximum award and any other conditions limiting the possible outcomes. 5 U.S.C. § 575(a) (2).
2. The Government representative agreeing to arbitration must have authority to “enter into a settlement concerning the matter.” 5 U.S.C. § 575(b)(1).
3. Before using binding arbitration, the agency head, after consulting with the Attorney General, must issue guidance on the appropriate use of binding arbitration. 5 U.S.C. § 575(c). The Navy has issued such guidance, in SECNAVINST 5800.15A. However, most federal agencies, including the Department of the Army and its Corps of Engineers, have not issued guidance on binding arbitration, and therefore, are not currently eligible to offer binding arbitration for contract related disagreements. Unless/until the Army issues guidance regarding the use of binding arbitration, a binding-

arbitration type of proceeding for contract-related matters is only be available to the Army at the ASBCA.

4. An agency may not require any person to consent to arbitration as a condition of entering into a contract or obtaining a benefit. 5 U.S.C. § 575(a)(3).
5. If a contractor rejects an agency request to use ADR, the contractor must notify the agency in writing of the reasons. FAR 33.214(b).
6. Once the parties reach a written arbitration agreement, however, the agreement is enforceable in Federal District Court. 5 U.S.C. § 576; 9 U.S.C. § 4.
7. An arbitration award does not become final until 30 days after it is served on all parties. The agency may extend this 30-day period for another 30 days by serving notice on all other parties. 5 U.S.C. § 580(b).
8. A final award is binding on the parties, including the United States, and an action to enforce an award cannot be dismissed on sovereign immunity grounds. 5 U.S.C. § 580(c).
 - a. This provision, enacted as part of the 1996 ADRA, put to rest for the time being a long-standing dispute as to whether an agency can submit to binding arbitration.
 - b. DOJ's Historical Policy. The Justice Department had long opined that the Appointments Clause of Article II provides the exclusive means by which the United States may appoint its officers. DOJ's opinion was that only officers could bind the United States to an action or payment, including through arbitration. Because arbitrators are rarely appointed as officers under the Appointments clause, the government was not allowed to participate in binding arbitration under the DOJ's prior policies.
 - c. DOJ's Present Position. However, DOJ has now opined that there is no constitutional bar against the government participating in binding arbitration if:
 - (1) the arbitration agreement preserves Article III review of constitutional issues; and
 - (2) the agreement permits Article III review of arbitrators' determinations for fraud, misconduct, or misrepresentation. *See* 10 USC § 10 for the standards for a court to vacate an arbitration award. DOJ also

points out that the arbitration agreement should describe the scope and nature of the remedy that may be imposed and that care should be taken to ensure that statutory authority exists for the to effect any potential remedy. DOJ guidance, including OLC opinion on this matter.

- (3) The above discussion is somewhat academic for non-Navy personnel, as the ADRA requires an agency to issue guidance before it can use binding arbitration. Currently, the Navy is the only DoD agency to have issued such guidance.

- d. Judicial Interpretation. The Court of Federal Claims has found DOJ's memorandum persuasive and agreed that no constitutional impediment precludes an agency from submitting to binding arbitration. *Tenaska Washington Partners II v. United States*, 34 Fed. Cl. 434 (1995).

C. Judicial Review (Largely Prohibited).

Generally, an agency's decision to use or not use ADR is within the agency's discretion, and shall not be subject to judicial review. 5 U.S.C. § 581(b).

1. However, arbitration awards are subject to judicial review under the Federal Arbitration Act. *See* 9 U.S.C. § 10(b).
2. Section 10 of the Federal Arbitration Act authorizes district courts to vacate an arbitration award, upon timely application of any party, in those limited cases where the arbitrator was either partial, corrupt, or the arbitrator(s) exceeded their powers. *See* 9 U.S.C. § 10(a).

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CHAPTER 23

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CHAPTER 23

ETHICS IN GOVERNMENT CONTRACTING

“Implementing values-based decision-making from the top down will foster a culture of ethics and promote accountability, respect and transparency throughout the Department.”

-- Ash Carter (Secretary of Defense from Feb. 2015 to Jan. 2017)

I. REFERENCES

1) Statutes

18 U.S.C. § 208, Acts Affecting A Personal Financial Interest.

41 U.S.C. § 2101 – 2107, The Procurement Integrity Act.

18 U.S.C. § 207, Restrictions on Former Officers, Employers, and Elected Officials of the Executive and Legislative Branches.

2) Regulations

5 C.F.R. Part 2635, Standards of Ethical Conduct for Employees of the Executive Branch.

5 C.F.R. Part 2640, Interpretations, Exemptions and Waiver Guidance Concerning 18 U.S.C. § 208.

5 C.F.R. Part 2641, Post-Employment Conflict of Interest Restrictions.

Federal Acquisition Regulation (RFO FAR) Part 3 (March 13, 2026).

Department of Defense (DoD) Defense Federal Acquisition Regulation Supplement (DFARS) Part 203 (November 10, 2026).

National Defense Authorization Act for Fiscal Year 2004 (P. L. 108-136), Section 1125.

3) Directives.

DoD 5500.07-R, Joint Ethics Regulation (JER), including changes 1-7 (May 15, 2024).

4) Websites.

United States Department of Defense Standards of Conduct Office (SOCO), available at <https://dodsoco.ogc.osd.mil/>. Handouts and forms: <https://dodsoco.ogc.osd.mil/ETHICS-TOPICS/Other-Ethics-Topics/Toolbox-Other-Ethics-Topics/>.

United States Office of Government Ethics, available at <https://www.oge.gov/>.

II. FINANCIAL CONFLICTS OF INTEREST.

An employee is prohibited from participating personally and substantially in his or her official capacity in any particular matter in which he or she has a financial interest, if the particular matter will have a direct and predictable effect on that interest. 18 U.S.C. § 208; 5 C.F.R. § 2640.103.

1) *Applicability.*

Officers and Government Civilians – Direct application by the statute.

Enlisted Personnel – 18 U.S.C. § 208 does not apply to enlisted members, but the Joint Ethics Regulation (JER) subjects enlisted members to similar regulatory prohibitions that are punishable under the Uniform Code of Military Justice. *See* JER, paras. 1-300.b(1)(a) and 5-301. Regulatory implementation of 18 U.S.C. § 208 is found in chapters 2 and 5 of the JER and at 5 C.F.R. § 2640.

Reserve Personnel – Prior to the start of active duty for Reserve personnel, Ethics Counselors should screen such personnel to prevent conflicts of interest, the appearance of conflicts of interest, or organizational conflicts of interest. Reservists have an affirmative obligation to disclose material facts in this regard. Reserve personnel also should not be assigned to duties in which they could obtain non-public information that they or their private employer could use to gain an unfair competitive advantage. JER 5-408.

2) *Definitions.*

Financial Interests. The term financial interest means the potential for gain or loss to the employee or other persons whose interests may be imputed to the employee (discussed below), as a result of governmental action on the particular matter. The disqualifying financial interest might arise from ownership of certain financial instruments or investments such as stock, bonds, mutual funds, or real estate. Additionally, a disqualifying financial interest might derive from a salary, indebtedness, job offer, or any similar interest that may be affected by the matter. 5 C.F.R. § 2640.103(a). The statute also prohibits an employee from personally and substantially participating in a particular matter that has a direct and predictable effect on the financial interests of a prospective employer with whom the employee is seeking employment. 5 C.F.R. § 2635.604(a)(1).

Personally. Defined as direct participation, or direct and active supervision of a subordinate. 5 C.F.R. § 2640.103(a)(2).

Substantially. Defined as an employee's involvement that is significant to the matter. Participation may be substantial even though it is not determinative of the outcome of a particular matter. However, it requires more than official responsibility, knowledge, perfunctory involvement, or involvement on an administrative or peripheral issue. A finding of substantiality should be based not only on the effort devoted to the matter, but also on the importance of the effort. 5 C.F.R. § 2640.103(b)(2).

Particular Matter. Defined as a matter involving deliberation, decision, or action focused on the interests of specific persons, or an identifiable class of persons. However, matters of broad agency policy are not particular matters. 5 C.F.R. § 2640.103(a)(1).

Direct and Predictable Effect. Defined as a close, causal link between the official decision or action and its effect on the financial interest.

An effect may be direct even though it does not occur immediately. A particular matter will not have a direct effect on a financial interest, however, if the chain of causation is attenuated or is contingent upon the occurrence of events that are speculative or that are independent of, and unrelated to, the matter.

A particular matter will have a "predictable" effect if there is a real, as opposed to a speculative, possibility that the matter will affect the financial interest. It is not necessary, however, that the magnitude of the gain or loss be known, and the dollar amount of the gain or loss is immaterial. 5 C.F.R. § 2640.103(a)(3).

3) *Imputed Interests.*

Under 5 C.F.R. § 2640.103(c), the financial interests of the following persons are imputed to the employee:

- a) The employee's spouse (including same-sex marriages);¹
- b) The employee's minor child;
- c) The employee's general partner;
- d) An organization or entity which the employee serves as an officer, director, trustee, general partner, or employee; and
- e) A person with whom the employee is negotiating for employment or has an arrangement concerning prospective employment.

¹ See "Effect of the Supreme Court's Decision in *United States v. Windsor* on the Executive Branch Ethics Program," Aug. 19, 2013. <https://www.oge.gov/Web/oge.nsf/Resources/LA-13-10:+Effect+of+the+Supreme+Court's+Decision+in+United+States+v.+Windsor+on+the+Executive+Branch+Ethics+Program>

4) *Negotiating for Employment.*

The term “negotiating” is interpreted broadly. United States v. Schaltenbrand, 930 F.2d 1554 (11th Cir. 1991).

No special action is required. Any discussion regarding opportunities, however tentative, may be negotiating for employment. Something as simple as going to lunch to discuss future prospects could be the basis for a conflict of interest.

Negotiating for employment is the same as buying stock in a company. If an employee could own stock in a company without creating a conflict of interest with his official duties (*e.g.*, the company does not do business with the government), then that person may negotiate for employment with that company.

Conflicts of interest are always analyzed in the present tense. If an employee interviews for a position and decides not to work for that company, then he or she is free to later work on matters affecting that company.

The Stop Trading on Congressional Knowledge Act of 2012 (STOCK Act), Pub. L. No. 112-105, 126 Stat. 291 (2012), includes a provision that applies to OGE 278 filers who are negotiating, or have secured, future employment or compensation. Such filers may not directly negotiate, or have any agreement of future employment or compensation, unless such individual, within 3 business days after the commencement of such negotiation or agreement of future employment or compensation, files with the individual’s supervising ethics office a statement, signed by such individual, regarding such negotiations or agreement, including the name of the private entity or entities involved in such negotiations or agreement, and the date such negotiations or agreement commenced.

5) *Seeking Employment.*

OGE regulations contain additional requirements for disqualification of employees who are “seeking employment.” 5 C.F.R. §§ 2635.601 - 2635.606. “Seeking employment” is a term broader than “negotiating” found in 18 U.S.C. § 208. An employee begins “seeking employment” if he or she has directly or indirectly:

a) Engaged in employment negotiations with any person. “Negotiations” means discussing or communicating with another person, or that person’s agent, with the goal of reaching an agreement for employment. This term is not limited to discussing specific terms and conditions of employment. 5 C.F.R. § 2635.603(b)(1)(i).

b) Made an unsolicited communication to any person or that person’s agent, about possible employment. 5 C.F.R. § 2635.603(b)(1)(ii).

c) Made a response *other than an immediate rejection* to an unsolicited communication from any person or that person's agent about possible employment. 5 C.F.R. § 2635.603(b)(1)(iii).

An employee has not begun "seeking employment" if he or she makes an unsolicited communication for the sole purpose of requesting a job application.² 5 C.F.R. § 2635.603(b)(1)(ii).

An employee is no longer "seeking employment" under the following circumstances:

a) The employee or prospective employer rejects the possibility of employment and all discussions have terminated. 5 C.F.R. § 2635.603(b)(2)(i). However, a statement by the employee that merely defers discussions until the foreseeable future does not reject or close employment discussions. 5 C.F.R. § 2635.603(b)(3).

b) Two months have lapsed after the employee has submitted an unsolicited résumé or employment proposal with no response from the prospective employer. 5 C.F.R. § 2635.603(b)(2)(ii).

6) *Remedies.*

Disqualification. Disqualification is the statutory default remedy. With written notice to, and the approval of, his or her supervisor, the employee must change duties to eliminate any contact or actions affecting that company. 5 C.F.R. § 2535.402, 2640.103(d); JER, para. 2-100.

Waiver. An employee otherwise disqualified by 18 U.S.C. § 208(a) may be permitted to participate personally and substantially in a particular matter if the disqualifying interest is the subject of a waiver. Waivers may be "individual" or "blanket." Waivers are appropriate if all other options are inadequate or inappropriate. 5 C.F.R. § 2635.402(d).

Individual Waivers. The rules for individual waivers are at 5 C.F.R. §§ 2640.301-302, and JER, para. 5-302. An agency may grant an individual waiver on a case-by-case basis after the employee fully discloses the financial interest to the agency. The criterion is whether the employee's conflicting financial interest is not so substantial as to affect the integrity of his or her service to the agency. 5 C.F.R. § 2640.301(a)(4). In reaching this decision, 5 C.F.R. § 2640.301(b) directs the responsible official to consider:

² Previously, 5 C.F.R. § 2635.603(b)(1)(ii)(B) excepted from "seeking employment" submitting a resume or proposal only as part of an industry or other discrete class.

- a) The type of interest that is creating the disqualification (*e.g.*, stocks, bonds, real estate, other securities, cash payment, job offer, and enhancement of spouse's employment).
- b) The identity of the person whose financial interest is involved and if that interest is not the employee's, the relationship of that person to the employee.
- c) The dollar value of the disqualifying financial interest, if it is known or can be estimated (*e.g.*, the amount of cash payment that may be gained or lost, the salary of the job that may be gained or lost, the predictable change in either the market value of the stock or the actual or potential profit or loss or cost of the particular matter to the company issuing the stock, or the change in the value of real estate or other securities).
- d) The value of the financial instrument or holding from which the disqualifying financial interest arises (*e.g.*, face value of the stock, bond, other security, or real estate) and its value in relationship to the individual's investments.
- e) The nature and importance of the employee's role in the matter, including the extent to which the employee is called upon to exercise discretion in the matter.
- f) Other potentially relevant factors: The sensitivity of the matter; the need for the employee's services in the particular matter; and adjustments that may be made in the employee's duties that would reduce or eliminate the likelihood that the integrity of the employee's services would be questioned by a reasonable person.

Divestiture. The employee may sell the conflicting financial interest to eliminate the conflict.³ 5 C.F.R. § 2640.103(e).

Blanket (or Regulatory) Waivers and Exemptions. The rules for blanket waivers are at 5 C.F.R. § 2640, Subpart B. Blanket waivers include the following:

Pooled Investment Vehicles:

Diversified Mutual Funds. Diversified funds do not concentrate in any industry, business, or single country other than the United States. 5 C.F.R. § 2640.102(a). Diversified exchange-traded funds (ETFs) are considered diversified mutual funds for the purposes of

³ See OGE Program Advisory, "Release of OGE's Certificate of Divestiture Reference Guide," June 3, 2016, <https://www.oge.gov/Web/OGEnsf/Resources/PA-16-04:+Release+of+OGE%E2%80%99s+Certificate+of+Divestiture+Reference+Guide> and Program Advisory, "Revised Format for Requesting a Certificate of Divestiture," August 27, 2019, [https://www.oge.gov/web/oge/News+Releases/BC77D33DCFE8AAFB852585BA005BEC17/\\$FILE/PA-19-10.pdf](https://www.oge.gov/web/oge/News+Releases/BC77D33DCFE8AAFB852585BA005BEC17/$FILE/PA-19-10.pdf)

Federal ethics regulations. 5 CFR 2634.1003(b)(2). Owning a diversified mutual fund, including a diversified ETF, does not create a financial conflict of interest. 5 C.F.R. § 2640.201(a). See also U.S. Office of Government Ethics, Legal Advisory, “Determining Whether a “Thematic” Fund is a Sector or Diversified Fund for Purposes of the Regulatory Exemptions Applicable to Mutual Funds,” [https://www.oge.gov/Web/oge.nsf/Legal%20Docs/274E9FE1959B4C2E85258B9500669163/\\$FILE/LA-24-10%20-%20Thematic%20Mutual%20Funds.pdf?open](https://www.oge.gov/Web/oge.nsf/Legal%20Docs/274E9FE1959B4C2E85258B9500669163/$FILE/LA-24-10%20-%20Thematic%20Mutual%20Funds.pdf?open)

Sector Funds. Sector funds are those funds that concentrate in an industry, business, or single country other than the United States. 5 C.F.R. § 2640.201(b).

Owning a sector fund may create a conflict of interest, but there is a regulatory exemption if the holding that creates the conflict is not invested in the sector where the fund or funds are concentrated. 5 C.F.R. § 2640.201(b)(1).

An employee may participate in a particular matter affecting one or more holdings of a sector mutual fund where the disqualifying financial interest in the matter arises because of ownership of an interest in the fund and the aggregate market value of interests in any sector fund or funds does not exceed \$50,000. 5 C.F.R. § 2640.201(b)(2).

Employee Benefit Plans. An employee may participate in a particular matter affecting the holdings of (a) a Thrift Savings Plan, (b) a pension plan established or maintained by a state government or political subdivision of a State government for its employees, or (c) a diversified employee benefit plan that meets the requirements of 5 C.F.R. § 2640.201(c)(1)(iii)(A) and (B). 5 C.F.R. § 2640.201(c).

De Minimis Exemptions related to Securities. 5 C.F.R. § 2640.202 creates *de minimis* exemptions for ownership by the employee, spouse, or minor child in publicly traded, long-term Federal Government, or municipal securities. The amount of the exemption depends on the type of matter at issue, and the type of security involved.

Miscellaneous Exemptions. 5 C.F.R. § 2640.203 creates numerous “miscellaneous” exemptions, including exemptions related to hiring decisions, issues related to institutions of higher education, financial interests related to Federal Government employment; commercial discount and incentive programs; etc.

7) *Penalties.*

Violating 18 U.S.C. § 208 may result in imprisonment up to one year, or, if willful, five years. In addition, a fine of up to \$50,000 for each violation is possible. *See* 18 U.S.C. § 216.

RFO FAR 3.1003 and 3.1004(a) require contractor reporting of conflicts of interests that violate 18 U.S.C. § 208. In contracts expected to exceed \$6 million with a performance period 120 days or more, RFO FAR 52.203-13 must be included.

III. THE PROCUREMENT INTEGRITY ACT.

On January 4, 2011, the Procurement Integrity Act (PIA) was codified for the first time at 41 U.S.C. §§ 2101-2107. The codified statute does not have a name but will be referred to in this chapter as “the Procurement Integrity Act.” Prior to January 4, 2011, the PIA was found at Pub. L. No. 104-106, §§ 4001-4402, 110 Stat. 186, 659-665 (1996) (rewriting Section 27, Office of Federal Procurement Policy Act (OFPPA) amendments of 1988, 41 U.S.C. § 423).

- 1) *Background of the PIA.* The basic provisions of the statute are set forth in RFO FAR 3.104-3, and:
 - a) Prohibits disclosing and obtaining procurement information related to competitive federal procurements for supplies or services from non-federal sources using appropriated funds.
 - b) Requires reporting employment contacts related to competitive federal procurements above the simplified acquisition threshold.
 - c) Places post-employment restrictions on former officials for services provided or decisions made on or after January 1, 1997.
- 2) *Coverage.* Applies to “persons,” “agency officials,” and “former officials” as defined in the PIA. *See GEO Group, Inc. v. United States*, 100 Fed. Cl. 223 (2011) (finding that the PIA, as well as the organizational conflict of interest rules, do not cover situations in which a bidder directly obtains information from a competing bidder).
- 3) *Prohibition on Disclosing and Obtaining Contractor Bid or Proposal Information or Source Selection Information.*
 - a) Prohibitions on Disclosure of Information. 41 U.S.C. § 2102(a)(3). The following persons are forbidden from knowingly disclosing contractor bid or proposal information or source selection information before the award of a contract:
 - i) Present or former federal officials;

ii) Persons (such as contractor employees) who are currently advising the federal government with respect to a procurement; or

iii) Persons (such as contractor employees) who have advised the federal government with respect to a procurement, but are no longer doing so; and

by virtue of their office, employment, or relationship have access to contractor bid or proposal information or source selection information.

b) Prohibition on Obtaining Information. 41 U.S.C. § 2102(b). Persons (other than as provided by law) are forbidden from knowingly obtaining contractor bid or proposal information or source selection information before the award of a Federal agency procurement contract to which the information relates.

c) Relevant Definitions:

Contractor bid or proposal information. 41 U.S.C. § 2101(2) defines contractor bid or proposal information as any of the following that has not been disclosed publicly:

i) Cost or pricing data as defined in 10 U.S.C. § 3701 and 41 U.S.C. § 3501(a);

ii) Indirect costs and direct labor rates;

iii) Proprietary information about manufacturing processes, operations, or techniques marked in accordance with applicable law or regulation; and

iv) Information marked by the contractor as “contractor bid or proposal information” in accordance with applicable law or regulation. If the contracting officer disagrees with the Contractor’s position, he or she must give the contractor notice and an opportunity to respond prior to release of marked information. RFO FAR 3.104-4(d). *See Chrysler Corp. v. Brown*, 441 U.S. 281 (1979); *CNA Finance Corp. v. Donovan*, 830 F.2d 1132 (D.C. Cir. 1987), cert. den. 485 U.S. 917 (1988).

Source Selection Information. 41 U.S.C. § 2101(7) defines source selection information as any of the following that has not been disclosed publicly:

i) Bid prices before bid opening;

ii) Proposed costs or prices in negotiated procurement;

iii) Source selection plans;

iv) Technical evaluation plans;

v) Technical evaluations of proposals;

- vi) Cost or price evaluations of proposals;
- vii) Competitive range determinations that identify proposals that have a reasonable chance of being selected for award;
- viii) Rankings of bids, proposals, or competitors;
- ix) Reports and evaluations of source selection panels, boards, or advisory councils; and
- x) Other information marked as “source selection information” if release would jeopardize the integrity of the competition.

4) *Reporting Non-Federal Employment Contacts.*

Mandatory Reporting Requirement. 41 U.S.C. § 2103(a). An agency official who is participating personally and substantially in an acquisition over the simplified acquisition threshold must report employment contacts with bidders or offerors. Reporting may be required even if the contact is through an agent or intermediary. RFO FAR 3.104-5(a).

Report must be in writing and provided to the official’s supervisor and the designated agency ethics official. 41 U.S.C. § 2103(a)(1); *see also* RFO FAR 3.104-1.

The agency official must also:

- a) Promptly reject the possibility of employment; or
- b) Disqualify him/herself from the procurement until authorized to resume participation in accordance with 18 U.S.C. § 208.
 - i) Disqualification notice. Employees who disqualify themselves must submit a disqualification notice to the head of the contracting activity (HCA) or designee, with copies to the contracting officer, source selection authority, and immediate supervisor. RFO FAR 3.104-5(b).
 - ii) As discussed above in Section 3, 18 U.S.C. § 208, requires employee disqualification from participation in a particular matter if the employee has certain financial interests in addition to those which arise from employment contacts.

Both officials and bidders who engage in prohibited employment contacts are subject to criminal penalties and administrative actions.

“Participating personally and substantially” means active and significant involvement in:

- a) Drafting, reviewing, or approving a statement of work;
- b) Preparing or developing the solicitation;
- c) Evaluating bids or proposals, or selecting a source;
- d) Negotiating price or terms and conditions of the contract; or
- e) Reviewing and approving the award of the contract. RFO FAR 3.104-1.

The following activities are generally considered **not** to constitute personal and substantial participation:

- a) Certain agency level boards, panels, or advisory committees that make recommendations regarding approaches for satisfying broad agency-level missions or objectives;
- b) General, technical, engineering, or scientific effort of broad applicability and not directly associated with a particular procurement;
- c) Clerical functions in support of a particular procurement; and
- d) For OMB Circular A-76 cost comparisons: participating in management studies; preparing in-house cost estimates; preparing “most efficient organization” (MEO) analyses; and furnishing data or technical support **to be used by others** in the development of performance standards, statements of work, or specifications. RFO FAR 3.104-1.

5) *Post-Government Employment Restrictions. See RFO FAR 3.104-3(d).*

One-Year Ban. 41 U.S.C. § 2104(a). A former official of a Federal agency may not accept compensation as an employee, officer, director, or consultant from a contractor that has been awarded a contract **in excess of \$10 million** (inclusive of options), within a **period of one year** after such former official served, with respect to that contract, as:

- a) Contracting officer (procuring or administering CO),
- b) Source Selection Authority (SSA),
- c) Member of the Source Selection Evaluation Board (SSEB),
- d) The chief of a financial or technical evaluation team, or
- e) Program manager, deputy program manager, or administrative contracting officer for a contract in excess of \$10 million awarded to that contractor.

This one-year ban also applies with to a government official that personally made a decision with respect to that contract to:

- a) Award a contract, subcontract, modification of a contract or subcontract, or issue a task order or delivery order in excess of \$10 million;
- b) Establish overhead or other rates valued in excess of \$10 million;
- c) Approve a contract payment or payments in excess of \$10 million; or
- d) Pay or settle a claim in excess of \$10 million.

In “excess of \$10 million” means:

- a) The value or estimated value of the contract including options;
- b) The total estimated value of all orders under an indefinite-delivery, indefinite-quantity contract, or a requirements contract;
- c) Any multiple award schedule contract, unless the contracting officer documents a lower estimate;
- d) The value of a delivery order, task order, or order under a Basic Ordering Agreement;
- e) The amount paid, or to be paid, in a settlement of a claim; or
- g) The estimated monetary value of negotiated overhead or other rates when applied to the Government portion of the applicable allocation base. RFO FAR 3.104-1.

Start of the One-Year Ban Period.

If the former official was in a specified position (source selection type) on the date of contractor selection, but not on the date of award, the ban begins on the date of selection.

If the former official was in a specified position (source selection type) on the date of award, the ban begins on the date of award.

If the former official was in specified position (program manager, deputy program manager, administrative contracting officer), the ban begins on the last date of service in that position.

If the former official personally made certain decisions (award, establish overhead rates, approve payment, settle claim), the ban begins on date of decision. RFO FAR 3.104-3(d)(2).

The one-year ban does not prohibit an employee from working for any division or affiliate that does not produce the same or similar product or services. 41 U.S.C. § 2104(b).

Ethics Advisory Opinion. Agency officials and former agency officials may request an advisory opinion as to whether he or she is precluded from accepting compensation from a particular contractor. RFO FAR 3.104-6(a).

6) *Penalties and Sanctions.*

Criminal Penalties. 41 U.S.C. § 2105(a). Violating the prohibition on disclosing or obtaining procurement information may result in confinement for up to five years and a fine if done in exchange for something of value, or to obtain or give a competitive advantage.

Civil Penalties. 41 U.S.C. § 2105(b).

The Attorney General may take civil action for wrongfully disclosing or obtaining procurement information, failing to report employment contacts, or accepting prohibited employment.

Civil penalty is up to \$50,000 (individuals) and up to \$500,000 (organizations) plus twice the amount of compensation received or offered.

If violations occur, the agency shall consider cancellation of the procurement, rescission of the contract, suspension or debarment, adverse personnel action, and recovery of amounts expended by the agency under the contract. RFO FAR 52.203-8 advises contractors of the potential for cancellation or rescission of a contract, recovery of any penalty prescribed by law, and recovery of any amount expended under the contract. Another clause advises the contractor that the government may reduce contract payments by the amount of profit or fee for violations. RFO FAR 52.203-10.

A contracting officer may disqualify a bidder from competition whose actions fall short of a statutory violation, but call into question the integrity of the contracting process. See Compliance Corp., B-239252, Aug. 15, 1990, 90-2 CPD ¶ 126, aff'd on recon., B-239252.3, Nov. 28, 1990, 90-2 CPD ¶ 435; Compliance Corp. v. United States, 22 Cl. Ct. 193 (1990), aff'd, 960 F.2d 157 (Fed. Cir. 1992) (contracting officer has discretion to disqualify from competition a bidder who obtained proprietary information through industrial espionage not amounting to a violation of the PIA); see also NKF Eng'g, Inc. v. United States, 805 F.2d 372 (Fed. Cir. 1986) (contracting officer has authority to disqualify a bidder based solely on appearance of impropriety when done to protect the integrity of the contracting process).

The Contracting Officer must:

- a) Take action on possible violations; and

b) Determine impact of violation on award or source selection.

i) If no impact, forward information to individual designated by agency. Proceed with procurement, subject to contrary instructions.

ii) If impact on procurement, forward information to the HCA or designee. RFO FAR 3.104-7.

Limitation on protests. 41 U.S.C. § 2106. No person may file a protest, and GAO may not consider a protest, alleging a PIA violation unless the protester first reported the alleged violation to the agency within 14 days of its discovery of the possible violation. *See also* RFO FAR 33.102(f).

IV. REPRESENTATIONAL PROHIBITIONS.

- 1) *Background.* 18 U.S.C. § 207 and its implementing regulations bar certain acts by former employees that may reasonably give the appearance of making unfair use of their prior employment and affiliations.

A former employee involved in a particular matter while working for the government may not “switch sides” after leaving government service to represent another person on that matter.

18 U.S.C. § 207 does not bar a former employee from working for any public or private employer after government service. The regulations state that the statute is not designed to discourage government employees from moving to and from private positions. Rather, such a “flow of skills” promotes efficiency and communication between the government and the private sector, and is essential to the success of many government programs. The statute bars only certain acts “detrimental to public confidence.”

18 U.S.C. § 207 does not prohibit an employee from working for any entity, but it does restrict how a former employee may work for the entity. With the exception of §§ 207(b) and (f), the statute does not bar behind the scenes involvement. But see January 19, 2001, opinion from the Department of Justice to OGE suggesting that a former employee who is the sole proprietor of a business “working behind the scenes” may constitute “communication with the intent to influence”

Government decisions, found at:

https://www.justice.gov/sites/default/files/olc/opinions/2001/01/31/op-olc-v025-p0059_0.pdf.

- 2) *Applicability.* 18 U.S.C. § 207 applies to all former officers and civilian employees whether or not retired, but **does not apply to enlisted personnel** because they are not included in the definition of “officer or employee” in 18 U.S.C. § 202.

Military officers on terminal leave are still on active duty. While they may begin a job with another employer during this time, their exclusive loyalty must remain with the government until their retirement or ETS pay date.

Two restrictions apply to non-government employment during terminal leave:

- a) All officers and employees are prohibited from representing anyone in any matter in a U.S. forum, or in any claim against the United States. 18 U.S.C. § 205.
- b) Commissioned officers are prohibited from holding a state or local government office, or otherwise exercising sovereign authority. 10 U.S.C. § 973. This does not prohibit employment by a state or local government; it only prohibits the exercise of governmental authority. For example, a police officer or judge exercises governmental authority; a motor pool chief does not.

3) *Permanent Ban.*

18 U.S.C. § 207(a)(1) imposes a permanent prohibition on the former employee against communicating or appearing in connection with a particular matter⁴ **with the intent to influence a particular matter**, on behalf of anyone other than the government, when:

- a) The government is a party, or has a direct and substantial interest in the matter;
- b) The former officer or employee participated personally and substantially in the matter while in his official capacity; and
- c) At the time of the participation, specific parties other than the government were involved.

4) *Two-Year Ban.*

18 U.S.C. § 207(a)(2) prohibits, for two years after leaving federal service, a former employee from communicating or appearing with the intent to influence a particular matter, on behalf of anyone other than the government, when:

- a) The government is a party, or has a direct and substantial interest in the matter; and
- b) The former officer or employee knew or should have known that the matter was pending under his official responsibility during the one year period prior to leaving federal service; and

⁴ “Communication” and “appearance” are broadly defined under 5 C.F.R. § 2641.201(d) and (e)(4).

c) At the time of participation, specific parties other than the government were involved.

5) *One-Year Ban.*

18 U.S.C. § 207(b) prohibits, former officers and employees, for one year after leaving federal service, from knowingly representing, aiding or advising an employer or any entity regarding ongoing trade or treaty negotiations based on information that they had access to and that is exempt from disclosure under the Freedom of Information Act. This restriction begins upon separating or retiring from government service and, unlike the restrictions of provisions of 18 U.S.C. § 207(a)(1) or (2) discussed above, **prohibits former officials from providing “behind-the-scenes” assistance on the basis of the covered information to any person or entity.**

This restriction applies only if the former official was personally and substantially involved in ongoing trade or treaty negotiations within the last year of his government service, but it is not necessary that the former official have had contact with foreign parties in order to have participated personally and substantially in a trade or treaty negotiation.

The treaty negotiations covered by this section are those that result in international agreements that require the advice and consent of the Senate. 18 U.S.C. § 207(b)(2)(B).

The trade negotiations covered are those that the President undertakes under section 1102 of the Omnibus Trade and Competitiveness Act of 1988. 18 U.S.C. § 207(b)(2)(A).

18 U.S.C. § 207(c) prohibits, for one year after leaving federal service, certain “senior employees” (determined by specified pay thresholds, typically general officer or SES-level) from communicating or appearing with the intent to influence a particular matter, on behalf of anyone other than the U.S. Government, when:

The communication or appearance involves the department or agency the officer or employee served during his last year of federal service as a senior employee; and

The person represented by the former officer or employee seeks official action by the department or agency concerning the matter.⁵

⁵ 18 U.S.C. § 207(h) permits DoD to be divided into components for purposes of restrictions imposed by § 207(c). Thus, a Navy Admiral is prohibited from communicating, with the intent to influence official action, with Department of Navy officials. However, the officer may communicate with representatives of other services and OSD (unless he or she was assigned to a joint command during his last year of service).

V. SECTION 847 OF PUB. L. 110-181 - COVERED DOD EMPLOYEES

- 1) On January 15, 2009, the Department of Defense (DoD) issued an interim rule enacting Section 847 of Pub. L. 110-181 and requiring certain “Covered DOD officials” to acquire an ethics opinion letter prior to going to work for a DoD contractor. DFARS 203.171-3
- 2) The DFARS defines covered DoD officials as DoD personnel who leave or left federal service on or after January 28, 2008, and who meet either of the following two service criteria:
 - a) They participated personally and substantially in an acquisition as defined in 41 U.S.C § 131 with a value in excess of \$10 million, and serves or they served:
 - i) In an Executive Schedule position;
 - ii) In a Senior Executive Service position; or
 - iii) In a general or flag officer position in the pay grade of 0-7 or higher.
 - iv) They served in DoD in one of the following positions for a contract with a value in excess of \$10 million:
 - A) program manager (or deputy);
 - B) contracting officer (administrative or procuring);
 - C) source selection authority or source selection evaluation board member; or
 - D) chief of a financial or technical evaluation team for a contract in excess of \$10 million. DFARS 252.203-7000.
- 3) This rule prohibits Contractors from knowingly providing compensation to a covered DoD official within 2 years after the official leaves DoD service, without first determining that the official has sought and received, or has not received after 30 days of seeking, a written opinion from the appropriate DoD ethics counselor. DFARS 252.203-7000(b). Failure to comply with this requirement may subject the Contractor to recession of a contract, suspension or debarment.

VI. DEALING WITH CONTRACTORS.

- 1) General Rule. Government business shall be conducted in a manner that is above reproach, with complete impartiality, and with preferential treatment for none. RFO FAR 3.101-1.

- 2) Some pre-contract contacts with industry are permissible, and in fact are encouraged where the information exchange is beneficial (*e.g.*, necessary to learn of industry's capabilities or to keep them informed of our future needs). RFO FAR Part 5. Some examples are:
 - a) Research and development. Agencies will inform industrial, educational, research, and non-profit organizations of current and future military RDT&E requirements. However, a contracting officer will supervise the release of the information. AR 70-38, para. 1-6(c)(3), Research, Development, Test, and Evaluation of Materiel for Extreme Climatic Conditions (Reprinted W/Basic Incl C1) (Sept. 15, 1979).
 - b) Unsolicited proposals. Companies are encouraged to make contacts with agencies before submitting proprietary data or spending extensive effort or money on these efforts. RFO FAR 15.604.

VII. RELEASE OF ACQUISITION INFORMATION.

- 1) The integrity of the acquisition process requires a high level of business security.
- 2) Contracting officers may make information available to the public except for information regarding:
 - a) Plans that would provide undue discriminatory advantage to private or personal interests.
 - b) Received in confidence from offerors. 18 U.S.C. § 1905; RFO FAR 15.506(e).
 - c) Otherwise requiring protection under the Freedom of Information Act.
 - d) Pertaining to internal agency communications (*e.g.*, technical reviews). RFO FAR 5.401(b).
 - e) Estimates regarding unclassified long-range acquisition estimates. RFO FAR 5.404.
- 3) When releasing acquisition information, the Agency should:
 - a) Furnish identical information to all prospective contractors.
 - b) Release information as nearly simultaneously as possible, and only through designated officials (*i.e.*, the contracting officer).
 - c) Not give out advance information concerning future solicitations to anyone. See generally RFO FAR 14.203-2; but see RFO FAR 15.201 (early exchange of information regarding future acquisitions promotes early identification and resolution of a variety of concerns).

VIII. CONTRACTOR PERSONAL CONFLICTS OF INTEREST

Background. RFO FAR 3.11 implements the Duncan Hunter National Defense Authorization Act, 41 U.S.C. § 2303, and addresses personal conflicts of interest of Federal contractor and subcontractor employees performing “acquisition functions closely associated with inherently governmental functions.”

- 1) *Rule.* The rule requires Federal government contractors and qualifying subcontractors to:
 - a) Identify and prevent personal conflicts of interest of their covered employees; and
 - b) Prohibit covered employees who have access to non-public information--by reason of performance on a Government contract--from using such information for personal gain. RFO FAR 3.1102.
- 2) *Applicability.* RFO FAR clause 52.203-16, Preventing Personal Conflicts of Interest, must be included in Federal contracts and task or delivery orders issued after December 2, 2011 that require contractor employees to perform tasks closely associated with “inherently governmental functions.” However, the rule does not apply to certain acquisitions below the simplified acquisition threshold. *See* RFO FAR 3.1106.
- 3) *Government Requirements.* Upon receipt of a report of a possible personal conflict of interest from a contractor, the contracting officer must:
 - a) Review the actions taken by the contractor and determine whether the contractor actions have resolved the issue.
 - b) If the contractor has not satisfactorily resolved the issue, the contracting officer should take “appropriate action” after consulting with legal counsel. RFO FAR 3.1103(b).

IX. MISCELLANEOUS TOPICS.

- 1) OGE 278s. Termination Public Financial Disclosure Reports must be filed within 30 days of leaving a covered 278 position (date of retirement for Flag and General Officers). *See* JER 6-100 – 204, 7-200.
- 2) Non-public Information. All former officers and employees must protect non-public information, trade secrets, classified information, and procurement sensitive information after leaving federal service. 18 U.S.C. § 1905.
- 3) JER 11-301 requires post-employment and disqualification issues to be included in annual ethics training.

- 4) JER 8-400 requires that all public financial disclosure filers certify annually that they are aware of the post-government service restrictions and the PIA post-government service restriction. See the OGC Annual Post-Employment Certification.
http://ogc.osd.mil/defense_ethics/resource_library/post_emp_cert.pdf.
- 5) JER 9-402 requires that ethics officials provide post-government service employment guidance during out processing. Travel, Meals & Reimbursements. Government employees may accept travel expenses to attend job interviews if such expenses are customarily paid to all similarly situated job applicants. These payments must be reported on Schedule B of the OGE 278. 5 C.F.R. § 2635.204(e)(3).
- 6) Reserve Officers. Reserve officers are subject to the post-government employment law. While it is not possible to include every situation in a summary, the SOCO has prepared a quick-reference table that summarizes restrictions applicable to Reserve Officers in various situations. The table is styled as the Reserve Officer Post-Government Employment Matrix and can be found at: https://dodsoco.ogc.osd.mil/Portals/102/reserve_matrix.pdf.
- 7) OPM Notice. The Office of Personnel Management requires that Departments notify all public filers subject to 18 U.S.C. § 207(c) what the restrictions are, restrictions regarding 18 U.S.C. § 207(f), and the penalties for violating 18 U.S.C. § 207. 5 C.F.R. Part 730.104. The post-government employment handouts on the SOCO web site customized to your agency, along with the ethics official's name, address and phone number, should be given to your personnel office so that it can include this information in its notice.
- 8) Government Charge Card Abuse Prevention Act, 41 U.S.C. § 1909 requires agency heads to establish safeguards to over government charge cards, including:
 - a) Card holders may not be approving official for their own purchases.
 - b) Charges must be reconciled with receipts and supporting documentation.
 - c) Agencies must have appropriate penalties for violations, up to and including dismissal from employment.
 - d) Reporting requirements to OMB for certain violations.
 - e) Credit checks and minimum credit score before travel cards can be issued.

The requirements of 41 U.S.C. § 1909 do not apply to the Department of Defense. 41 U.S.C. § 1909(e). Rather, the Secretary of Defense is required under 10 U.S.C. § 2784 to prescribe regulations governing the use and control of all purchase cards and convenience checks.

X. CONCLUSION.

- 1) The ethical rules governing procurement officials are stricter than the general rules governing federal employees.
- 2) You must be familiar with the various ethical rules stated in the PIA and other statutes governing employment of former Federal employees.
- 3) Check the SOCO website (<https://dodsoco.ogc.osd.mil>) for the most up-to-date ethics related information.

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CHAPTER 24

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CHAPTER 24

PROCUREMENT FRAUD

I. INTRODUCTION.

- A. “Corruption wins not more than honesty.” (Shakespeare, KING HENRY THE EIGHTH, act 3, sc. 2 (Cardinal Wolsey’s concessionary speech to Lord Thomas Cromwell, after the King expresses his displeasure with Wolsey).
- B. “The United States does not stand on the same footing as an individual in a suit to annul a deed or lease obtained from him by fraud. . . . The financial element in the transaction is not the sole or principle thing involved. This suit was brought to vindicate the policy of the Government The petitioners stand as wrongdoers, and no equity arises in their favor to prevent granting the relief sought by the United States.” *Pan Am Petroleum & Transp. Co. v. United States*, 273 U.S. 456, 509 (1927).
- C. In the Army, fraud is defined as “[a]ny intentional deception of DOD (including attempts and conspiracies to effect such deception) for the purpose of inducing DOD action or reliance on that deception. Such practices include . . . bid-rigging; making or submitting false statements; submission of false claims . . . adulterating or substituting materials; or conspiring to use any of these devices.” Army Regulation (AR) 27-40, Legal Services Litigation, Glossary, Section II, Terms.

II. IDENTIFYING FRAUD.

- A. **Fraud Before Contract Award.** These types of fraud may occur prior to contract award. More than one type of fraud may be present within the same acquisition. This is not an all-inclusive list.¹
 - 1. Bribery, Kickbacks, Public Corruption, and Conflicts of Interest.
 - a. The breach of an employee’s duty of loyalty. *See, e.g., United States v. Carter*, 217 U.S. 286 (1910); *United States v. Brewster*, 408 U.S. 501 (1972). In these types of fraud, government employees collude with one or more contractors to effectuate the fraud. The breach of the government employee’s duty of confidentiality may occur as a result of a direct *quid pro quo* bribe, or an indirect conflict of interest.

¹ See AR 27-40, Chapter 8 (For additional possible indicators of fraud, the Army’s Indicators of Fraud are laid out in AR-27-40, figure 8-1); *see also* Fraud Detection Resources for Auditors, *available at* <http://www.dodig.mil/Resources/Fraud-Detection-Resources/Fraud-Scenarios/>.

- b. Potential statutes implicated.
 - (1) Anti-Kickback Act, 41 U.S.C. §§ 8701-8707
 - (2) Ethics Reform Act of 1989, 18 U.S.C. §§ 201, 208
- c. Possible indicators of Bribery, Public Corruption, and Conflicts of Interest.
 - (1) Unjustified favorable treatment toward a contractor.
 - (2) Acceptance of low-quality goods, nonconformance to contract specifications, and/or unjustifiably late delivery of goods or services.
 - (3) An unusually high volume of purchases from the same contractor or set of contractors.
 - (4) Procurement official's failure to file financial disclosure forms (this may occur when a procurement official remains directly involved in a procurement in which he/she has a substantial financial stake).
 - (5) Procurement official has family members who are employed by the contractors who were awarded a government contract.
 - (6) Purchasing unnecessary or inappropriate goods or services.

2. Bid Rigging.

- a. Under the Sherman Act, 15 U.S.C. § 1, "[e]very contract, combination in the form of trust or otherwise, or conspiracy, in restraint of trade of commerce among the several States, or with foreign nations, is declared to be illegal." Essentially, bid rigging is an agreement among competitors as to who will be the winning bidder for a solicitation. Such acts circumvent competition, increase cost to the government, and deprives the government of the most reliable measure of what price should be. The measure of damages is "the difference between what the government actually paid on the fraudulent claim and what it would have paid had there been fair, open and competitive bidding." *United States v. Killough*, 848 F.2d 1523, 1532 (11th Cir. 1988); *see also Brown v. United States*, 524 F.2d 693, 706 (Ct. Cl. 1975).

- b. Possible indicators of Bid Rigging.
 - (1) The winning bid price seems to be much higher than the independent government estimate (IGE) or industry averages.
 - (2) There is a pattern of winning bidders.
 - (3) The losing bidder(s) typically becomes the subcontractor of the winning bidder.
 - (4) The solicitations and/or specifications are written in an overly restrictive way (i.e., only one contractor could possibly provide the desired product).
 - (5) Extremely similar bids in terms of price, narrative, IP address or other indica that may indicate coordination between bidders.

3. Defective Pricing.

- a. The Truth in Negotiations Act (TINA), 10 U.S.C. §§ 3701-3708 and 41 U.S.C. Chapter 35, require contractors in certain negotiated procurements to disclose and certify that disclosed details concerning expected costs are accurate, current, and complete (see Contract Pricing, Chapter 13, Contract Attorneys Course Deskbook). Defective Pricing arises when those certified details of expected costs are inaccurate or incomplete. A perceived or actual violation of TINA may serve as the predicate for a fraud investigation and civil or criminal prosecution by the Government. *See United States v. Broderon*, 67 F.3d 452 (2d Cir. 1995).

- b. Possible indicators of Defective Pricing.

- (1) Unrealistic cost estimates.
 - (2) Incomplete cost estimates.

4. Fraudulent Sole Sourcing.

- a. Occurs when procurement officials collude with a contractor to direct a contract to a contractor unjustifiably without “full and open” competition (and at a higher price than the government would have paid if the requirement was properly competed). FAR Subpart 6.2 (Full and Open Competition After Exclusion of Sources) and FAR Subpart 6.3 (Other Than Full and Open Competition) provide the limited situations in which contracts may be awarded without full and open competition. Each of the

Subparts provides justification criteria for when full and open competition can be waived. A procurement that cannot meet these criteria may be suspect and indicative of fraud.

- b. Possible indicators of Fraudulent Sole Sourcing.
 - (1) Specifications tailored in a manner that makes it appear as if only one contractor could satisfy the requirement.
 - (2) The required J&A (Justification and Approval) to approve the sole-source acquisition is vague and/or incomplete.
 - (3) The required J&A to approve the sole-source acquisition is just below a threshold that would require the J&A to be approved by a higher-level procurement official. The J&A for a sole source acquisition whose price is \$750,000 or less, for example, requires approval of the contracting officer (unless agency rules require higher-level approval), while those greater than \$750,000 require the approval of the Competition Advocate, the head of the procuring activity, or the senior procurement executive of the agency. *See FAR 6.304.*
 - (4) Previously, the requirement being sole-sourced was successfully procured with full and open competition.
 - (5) One purchase is unjustifiably split into multiple purchases simply to fall below a threshold and therefore avoid competition (e.g., using simplified acquisition procedures).

B. **Fraud After Contract Award.** These types of fraud may occur after the contract award. This is not an all-inclusive list.

- 1. Product Substitution/Defective Product/Defective Testing.
 - a. Product substitution is “delivery to the government of a product that does not meet the contract requirements,” such as by mismarking products or deviating from specifications. Nash, O’Brien-DeBakey, & Schooner, *The Government Contracts Reference Book*, 5th Edition; The George Washington University, 2021, p. 379. These terms generally refer to situations where contractors deliver to the Government goods that do not conform to contract requirements without informing the Government. *See United States v. Hoffman*, NO. 95-3445, 1995 U.S. App. LEXIS 23143 (6th Cir. 1995).
 - b. Defective Products and Defective Testing cases are subsets of Product Substitution and occur as a result of the failure of a

contractor to perform contractually required tests, or its failure to perform such testing in the manner required by the contract.

- (1) Acquisition officials sometimes cannot spot defective products at the time of acceptance due to the high volumes of goods or services being delivered. Latent defects are the most susceptible to being undiscovered.

c. Possible indicators of product substitution.

- (1) Delivery of look-alike goods made from non-specification materials.
- (2) Non-testing or defective testing of materials contravening the contract's specifications.
- (3) Goods that appear to have been previously used when the government contract specifies that new goods should be delivered.
- (4) Missing source documentation.
- (5) Source information accompanying the shipping materials that contain the product or the actual product's identification information is removed.

d. Deliverables that contain counterfeit components.

- (1) FAR 46.101 defines a "counterfeit item" as an "unlawful or unauthorized reproduction, substitution, or alteration that has been knowingly mismarked, misidentified, or otherwise misrepresented to be an authentic, unmodified item from the original manufacturer, or a source with the express written authority of the original manufacturer or current design activity, including an authorized aftermarket manufacturer."
- (2) Section 818 of the 2012 National Defense Authorization Act brought about a renewed focus on counterfeit parts in Government procurements.² Included within this section was a change to the Federal criminal code (18 U.S.C. § 2320) to criminalize any trafficking of known counterfeit military goods or services, for which the use of the

² National Defense Authorization Act (NDAA), Fiscal Year 2012, Pub. L. No. 112-81, 125 Stat. 1493, § 818.

counterfeits could cause death, serious injury, classified disclosures, or impairment of combat operations.³

- (3) This is further implemented by DoD Instruction 4140.67, the DoD Counterfeit Prevention Policy (March 6, 2020), and in new additions to Defense Federal Acquisition Regulation Supplement (DFARS). The DoD's Counterfeit Policy sets forth a holistic approach for prevention and detection. However, the new DFARS sections pertain only to counterfeit *electronic* parts.⁴
- (4) Suspected counterfeits are reported in GIDEP (the Government-Industry Data Exchange Program), an information clearinghouse that reports and tracks instances of non-conforming materials. See <https://www.gidep.org/>.

2. False Invoices.

- a. May occur when the contractor submits false invoices and/or claims requesting government payment of goods and/or services that were not delivered to the government. *Shaw v. AAA Eng'g & Drafting, Inc.*, 213 F.3d 519, 531-32 (10th Cir. 2000) (stating that monthly invoices submitted when the contractor was knowingly not complying with contract terms can be the basis of False Claims Act liability. A claimant can premise a claim on a "false implied certification of contractual compliance"). False invoices may also occur when a contractor delivers goods but the invoices are inflated (e.g., inflated cost invoices in a cost-reimbursement contract).
- b. Possible indicators of False Invoices.
 - (1) Copied or inappropriately altered supporting documentation (e.g., white-outs or other redaction).
 - (2) Payment invoice exceeds contract amount.
 - (3) Invoiced goods cannot be located.
 - (4) Missing or copied receiving documents.
- c. Audits can uncover credible evidence of False Invoices

³ *Id.* at § 818(h), 125 Stat. 1497, codified at 18 U.S.C. § 2320(a)(3).

⁴ *Detection and Avoidance of Counterfeit Electronic Parts*, 79 FR 26092 (DFARS Case No. 2012-D055); codified at 48 CFR 202, 231, 244, 246, and 252 (May 6, 2014).

- (1) Contractors are put on notice of the Defense Contract Audit Agency (DCAA) audit practices and procedures, as found in Information for Contractors, DCAA Manual No. 7641.90 (June 26, 2012).
 - (2) Employees completing false timesheets and/or supervisors who allow this to happen can be spotted during labor floor checks or interviews. *See* DCAA Manual No. 7641.90 at enclosure 2, page 16.
3. DCIS has developed a more comprehensive list of “Fraud Red Flags and Indicators” available at: <https://www.dodig.mil/resources/fraud-detection-resources/fraud-red-flags/>

III. REPORTING FRAUD.

- A. ***Stop Everything Upon Uncovering Fraud.*** Upon uncovering substantial indications of procurement fraud, ***stop everything*** related to that procurement until the allegations of fraud are properly investigated and resolved. Of note, 41 U.S.C. §7103(c), as implemented by FAR 33.210(b), prohibits any contracting officer or agency head from *settling, paying, compromising or otherwise adjusting* any claim involving fraud.
- B. **Government Reporting.** Upon receiving or uncovering substantial indications of procurement fraud, the Procurement Fraud Advisor (PFA), usually a contracts attorney in the respective installation or deployed Area of Responsibility (AOR), will need to report the suspected fraud to the appropriate authorities. AR 27-40, Chapter 8. Prior to submitting any official reports, the PFA should first consult with the Procurement Fraud Division (PFD) at the Office of the Judge Advocate General (OTJAG). After consulting with the PFD, the PFA should take the following actions:
1. Report the matter promptly to their supporting Army Criminal Investigation Division (CID) element.
 2. Submit a “Procurement Flash Report” to PFD. The flash report should contain the following information:
 - a. Name and address of contractor;
 - b. Known subsidiaries of parent firms;
 - c. Contracts involved in potential fraud;
 - d. Nature of the potential fraud;

- e. Summary of the pertinent facts; and
 - f. Possible damages.
3. FAR Subsection 9.406-3. Promptly refer to debarring official of matters appropriate for that official's consideration.
 4. Remedies Plan. Prepare a comprehensive remedies plan. The remedies plan should include the following:
 - a. Summary of allegations;
 - b. Statement of adverse impact on DoD mission;
 - c. Statement of impact upon combat readiness and safety of DA personnel; and
 - d. Consideration of each criminal, civil, contractual, and administrative remedy available.
 5. Litigation Report. Consult PFD to determine if a litigation report is necessary.

C. **Contractor “Mandatory Disclosure” Reporting.** The FAR now *requires* contractors to disclose “credible evidence” of criminal and/or civil fraud. Prior to 2008, there was a *voluntary* reporting regime.

1. Contractor Disclosure to Avoid Suspension or Debarment (FAR 3.1003(a)(2) and (3)): This requirement applies to all contractors and subcontractors, in all current and future government contracts *and remains a cause of action* for suspension and/or debarment until 3 years after final payment on a contract.
 - a. FAR 3.1003(a)(2): A contractor may be suspended and/or debarred if a “principal”⁵ of the contractor knowingly fails to timely disclose to the Government (in connection with the award, performance, or closeout of a Government contract, *performed by the contractor or one of their subcontractors*) credible evidence of:
 - (1) a violation of federal criminal law involving fraud, conflict of interest, bribery, or gratuity violations of Title 18, U.S. Code; or
 - (2) a violation of the Civil False Claims Act (31 U.S.C. §§ 3729-3733).

⁵ FAR 2.101 (“Principal means an officer, director, owner, partner, or a person having primary management or supervisory responsibilities within a business entity”). Also found at FAR 52.203-13(a).

- b. Violations of FAR 3.1003(a)(2) remain a cause for suspension and/or debarment for three (3) years *after* the final payment on a contract.
 - c. FAR 3.1003(a)(3): A contractor may be suspended and/or debarred if a principal of the contractor knowingly fails to timely disclose to the Government (in connection with the award, performance, or closeout of a Government contract, *performed by the contractor or one of their subcontractors*) credible evidence of significant overpayments of a contract.
- 2. Disclosures Required for Certain Contractors by Contract Clause:⁶ This is prescribed in FAR 3.1004(a) for when the value of the contract exceeds \$7.5 million and will have a performance period of 120 days or more. FAR 52.203-13(b)(3) requires the contractor to timely disclose in writing to the agency Inspector General (with a copy to the contracting officer) credible evidence that a principal, employee, agent, or subcontractor has committed:
 - a. a violation of federal criminal law involving fraud, conflict of interest, bribery, or gratuity violations of Title 18, U.S. Code; or
 - b. a violation of the Civil False Claims Act (31 U.S.C. §§ 3729-3733).
- 3. Business Ethics Awareness and Compliance Program and Internal Control System Required by Contract Clause (FAR 52.203-13(c)): Unless the contractor holds itself out as a small business to obtain contract award, or unless the contract is for acquisition of a commercial product or service, FAR clause 52.203-13(c) applies to contracts that exceed \$7,500,000 and the period of performance is 120 days or more.⁷ If the FAR 3.1004 threshold (\$7.5 million/120 days) is met, then the small business and commercial item exemptions do not apply to the other sections of 52.203-13, such as 52.203-13(b).
 - a. FAR 52.203-13(b)(1) requires the contractor to:
 - (1) within 30 days of contract award, have a written business code of ethics; and
 - (2) make this code of ethics available to each employee engaged in the performance of the contract.

⁶ FAR 52.203-13, *Contractor Code of Business Ethics and Conduct*, applies if FAR 3.1004 thresholds are met.

⁷ FAR 52.203-13(d) requires that contractors incorporate the provisions of FAR 52.203-13 in all subcontracts that have a value of more than \$7.5 million and a period of performance of more than 120 days.

- b. FAR 52.203-13(c) requires contractors, within 90 days of award, to establish:an ongoing Business Ethics Awareness and Compliance Program that periodically trains the contractor’s principals, employees, and if appropriate, its agents and subcontractors, on the standards and procedures of the contractor’s business ethics awareness and compliance program; and
 - (1) an Internal Control System that facilitates the timely discovery of improper conduct related to the contractor’s Government contracts, and ensures the corrective measures are promptly instituted and carried out. Among other minimum requirements, the Internal Control System must provide for the timely disclosure, in writing, to the agency Inspector General (IG), whenever the contractor has “credible evidence” that a principal, employee, agent, or a subcontractor has committed:
 - (a) a violation of federal criminal law involving fraud, conflict of interest, bribery, or gratuity violations of Title 18, U.S. Code; or
 - (b) a violation of the Civil False Claims Act (31 U.S.C. §§ 3729-3733).
- c. FAR 42.302(a)(71) requires contract administrators to ensure that contractors are complying with the requirements of FAR 52.203-13.

D. Individual Reporting.

- 1. Hotline Posters / General Notice to Employees. FAR 3.1004(b) states that unless the contract is for acquisition of a commercial product or service or will be performed entirely outside the United States, FAR 52.203-14, Display of Hotline Poster(s) shall be inserted into the contract if it exceeds \$6 million or a lesser amount established by the agency⁸; and
 - a. The agency has a fraud hotline poster; or
 - b. The contract to be performed is funded with disaster assistance funds.
 - c. NOTE: DFARS 203.1004(a) instructs that the clause at DFARS 252.203-7003 should be used in solicitations and contracts. DFARS 203.1004(b) instructs that the clause at DFARS 252.203-

⁸ FAR Clause 52.203-14, *Display of Hotline Poster(s)*, also applies to subcontractors, unless meeting the commercial product/service or foreign performance exceptions, and if the value meets the \$6 million and/or agency determined thresholds noted for prime contractors.

7004 should be used in lieu of the clause at FAR 52.203-14 in solicitations and contracts not for the acquisition of commercial products or services, if the contract value exceeds \$6 million.

2. Whistleblower Protection for Contractor Employees.

- a. The 2008 NDAA (Pub. L. 110-181); 2009 NDAA (Pub. L. 110-417); and 2013 NDAA (Pub. L. 112-239) provided enhanced whistleblower protections for contractor employees, by amending 10 U.S.C. § 4701, Contractor employees: protection from reprisal for disclosure of certain information.
- b. 10 U.S.C. § 4701 is applicable only to DoD, NASA, and the Coast Guard. 41 U.S.C. § 4705 provides protections for contractor employees from reprisals for disclosures of certain information pertaining to contracts issued by the civilian agencies. 41 U.S.C. § 4712 codifies the pilot program for enhancement of those protections.
- c. The DoD/NASA/Coast Guard statute (10 U.S.C. § 4701) prohibits a contractor or a subcontractor employee from being discharged, demoted, or otherwise discriminated against as a reprisal for disclosing information to the following bodies: a Member of Congress; a committee representative of Congress; an IG;⁹ a DoD employee responsible for contract management or oversight; the Government Accountability Office; an authorized official of the Department of Justice or other law enforcement; or a management official or other employee of the contractor with responsibility to investigate, discover, or address misconduct. Applicable information is that which the person reasonably believes is evidence of –
 - (1) Gross mismanagement of an agency contract or grant;
 - (2) Gross waste of agency funds;
 - (3) Abuse of authority relating to an agency contract or grant;
 - (4) A violation of law, rule, or regulation related to an agency contract; or
 - (5) A substantial and specific danger to health and safety.
- d. FAR Subpart 3.9, Whistleblower Protections for Contractor Employees, implements the statutory authority and further

⁹ For DoD commands, activities, or agencies, it is an Inspector General that receives funding from or has oversight over contracts awarded for or on behalf of the DoD. DFARS 203.903(3)(ii).

provides procedures for the filing of complaints and their investigation, along with remedies the head of the agency or designee may take if reprisal is substantiated.

- (1) FAR Clause 52.203-17, Contractor Employee Whistleblower Rights and Requirement to Inform Employees of Whistleblower Rights shall be placed in all solicitations and contracts that exceed the simplified acquisition threshold. Per DFARS 203.970, DoD uses the clause at DFARS 252.203-7002 to inform employees of rights in all solicitations and contracts.

IV. COMBATING FRAUD: COORDINATING THE FOUR REMEDIES.

- A. **The Four Government Remedies.** There are four general types of remedies available to the government in response to fraud: criminal, civil, administrative, and contractual. Prior to taking any action in response to fraud, the government must determine what its response strategy will be because action in one remedy type may limit action in other remedy types. The Department of Justice (DOJ) will be the lead agency when the government pursues criminal and civil remedies, while the affected agency will be the lead when pursuing administrative and contractual remedies.
- B. **The Government Fraud Fighters.**
 1. DOD Inspector General and DCIS. Inspector General Act of 1978, Pub. L. 95-452, as amended by Pub. L. No. 97-252; DOD Directive 5106.01, Inspector General of the Department of Defense (IG DoD) (May 29, 2020).
 2. Military Criminal Investigative Organizations: CID, NCIS, AFOSI.
 3. Department of Justice. DOD Instruction 5525.07, Implementation of the Memorandum of Understanding between the Departments of Justice and Defense Relating to the Investigation and Prosecution of Certain Crimes (Mar. 5, 2020).
 4. Army-Specific: Procurement Fraud Division, Office of The Judge Advocate General. AR 27-40, Litigation, Ch. 8. Procurement Fraud Advisors (PFA) (subordinate commands) ensure that commanders and contracting officers pursue, in a timely manner, all applicable criminal, civil, contractual, and administrative remedies.
 5. Air Force-Specific: Deputy General Counsel of the Air Force, Contractor Responsibility & Conflict Resolution (SAF/GCR), Office of the Judge Advocate General, Civil Law Directorate (AF/JAC), and local Acquisition

Fraud Counsel (AFC). DAFI 51-1101, Acquisition Integrity Program, 4 October 2021.

- C. **DOJ Fraud Policy.** *DOJ policy requires coordination of parallel criminal, civil, and administrative proceedings* so as to maximize the government's ability to obtain favorable results in cases involving procurement fraud. *See* U.S. Dep't of Justice, Justice Manual ch. 1-12.000 (Coordination of Parallel Criminal, Civil, Regulatory and Administrative Proceedings) (Nov. 2018), citing Attorney General policy on the same subject, dated January 30, 2012, at www.justice.gov/usao/eousa/foia_reading_room/usam/title1/doj00027.htm.
- D. **DOD Fraud Policy.** *DOD policy requires the coordinated use of criminal, civil, administrative, and contractual remedies* in suspected cases involving procurement fraud. *See* DoDI 7050.05, Coordination of Remedies for Fraud and Corruption Related to Procurement Activities (July 7, 2020). This policy is further explained in individual service regulations.
 - 1. DOD policy requires that each department establish a centralized organization to monitor all *significant* fraud and corruption cases.
 - 2. Definition of a "significant" case.
 - a. All fraud cases involving an alleged loss of \$500,000 or more.
 - b. All corruption cases that involve bribery, gratuities, or conflicts of interest.
 - c. All investigations into defective products, non-conforming products, counterfeit materiel, or product substitution.
 - d. Any investigation otherwise determined to be significant by the cognizant agency official.
 - 3. Each centralized organization individually and jointly monitors all significant cases to ensure that all proper and effective criminal, civil, administrative, and contractual remedies are considered and pursued in a timely manner.
 - 4. Product Substitution/Defective Product cases receive special attention.
- E. **Service Policies.**
 - 1. Army Policy: U.S. Dep't of Army Reg. 27-40, Litigation, 19 Sept. 1994.
 - 2. Air Force/Space Force Policy: Department of the Air Force Instruction (DAFI) 51-1101, Acquisition Integrity Program, 4 October 2021.

3. Navy/USMC Policy: SECNAVINST 5430.92C, Assignment of Responsibilities to Counteract Acquisition Fraud, Waste, and Related Improprieties, 11 June 2018.

V. CRIMINAL REMEDIES.

- A. **Conspiracy to Defraud**, 18 U.S.C. § 286 (with claims) and 18 U.S.C. § 371 (in general). The general elements of a conspiracy under either statute include:
 1. Knowing agreement by two or more persons which has as its object the commission of a criminal offense, or to defraud the United States; *United States v. Upton*, 91 F.3d 677 (5th Cir. 1996);
 2. Intentional and actual participation in the conspiracy; and
 3. Performance by one or more of the conspirators of an overt act in furtherance of the unlawful goal. *United States v. Falcone*, 311 U.S. 205, 210-211 (1940); *United States v. Richmond*, 700 F.2d 1183, 1190 (8th Cir. 1983).
- B. **Criminal False Claims**, 18 U.S.C. § 287.
 1. The elements required for a conviction under Section 287 include:
 - a. Proof of a claim for money or property, which is false, fictitious, or fraudulent and material;
 - b. Made or presented against a department or agency of the United States; and
 - c. Submitted with a specific intent to violate the law or with a consciousness of wrongdoing, i.e., the person must know at the time that the claim is false, fictitious, or fraudulent. *See generally United States v. Slocum*, 708 F.2d 587, 596 (11th Cir. 1983) (*citing United States v. Computer Sciences Corp.*, 511 F. Supp. 1125, 1134 (E.D. Va. 1981), *rev'd on other grounds*, 689 F.2d 1181 (4th Cir. 1981)) (false indemnity claims made to USDA).
 2. It is of no significance to a prosecution under section 287 that the claim was not paid. *United States v. Coachman*, 727 F.2d 1293, 1302 (D.C. Cir. 1984), *cert. denied*, 419 U.S. 1047 (1984).
- C. **False Statements**. 18 U.S.C. §1001.
 1. The elements include proof that:
 - a. The defendant made a statement or submitted a false entry. “Statement” has been interpreted to include oral and unsworn

statements. *United States v. Massey*, 550 F.2d 300, 305 (5th Cir.), *on remand*, 437 F. Supp. 843 (M.D. Fla. 1977).

- b. The statement was false.
- c. The statement concerned a matter within the jurisdiction of a federal department or agency.
- d. The statement was “material.” The test of materiality is whether the natural and probable tendency of the statement would be to affect or influence governmental action. *United States v. Lichenstein*, 610 F.2d 1272, 1278 (5th Cir. 1980); *United States v. Randazzo*, 80 F. 3d 623, 630 (1st Cir. 1996); *United States ex. Rel. Berge v. Board of Trustees University of Alabama*, 104 F.3d 1453 (4th Cir. 1997).
- e. Intent.
 - (1) The required intent has been defined as “the intent to deprive someone of something by means of deceit.” *United States v. Lichenstein*, 610 F.2d 1272, 1277 (5th Cir. 1980).
 - (2) A false statement must be knowingly made and willfully submitted. *United States v. Guzman*, 781 F.2d 428, 430-31 (5th Cir. 1986).

D. Mail Fraud and Wire Fraud, 18 U.S.C. §§ 1341-1343.

- 1. The essence of the mail fraud and wire fraud statutes is the use of mail or wire communications to execute a scheme to defraud the United States. Both statutes are broadly worded to prohibit the use of the Postal Service, private or commercial interstate carrier, or interstate wire, radio, or television communication to further such schemes.
- 2. The elements of the two offenses are similar. Because the elements are similar, the cases interpreting the more recent wire fraud statute rely on the precedents interpreting mail fraud. *See, e.g., United States v. Cusino*, 694 F.2d 185 (9th Cir. 1982), *cert. denied*, 461 U.S. 932 (1983); *United States v. Merlinger*, 16 F. 3d 670 (6th Cir. 1994). They include:
 - a. Formation of a scheme and artifice to defraud.
 - b. Use of either the mails or interstate wire transmissions in furtherance of the scheme. *See United States v. Pintar*, 630 F.2d 1270, 1280 (8th Cir. 1980) (mail fraud); *United States v. Wise*, 553 F.2d 1173 (8th Cir. 1977) (wire fraud).

E. Major Fraud Act, 18 U.S.C. § 1031.

1. The Act creates a criminal offense of “major fraud” against the United States. It is designed to deter major defense contractors from committing procurement fraud by imposing stiffer penalties and significantly higher fines.
2. Maximum Punishments: ten years confinement and/or a fine determined on a sliding scale based on certain aggravating factors. Basic Offense: \$1,000,000 per count. Government loss or contractor gain of \$500,000 or more: \$5,000,000. Conscious or reckless risk of serious personal injury: \$5,000,000. Multiple counts: \$10,000,000 per prosecution.
3. Elements:
 - a. Knowingly engaging in any scheme with intent to defraud the U.S. or to obtain money by false or fraudulent pretenses;
 - b. On a U.S. contract, grant, subcontract, subsidy, loan, guarantee, insurance, or other form of Federal assistance; and
 - c. Valued at \$1,000,000 or more. *United States v. Brooks*, 111 F.3d 365 (4th Cir. 1997); *United States v. Nadi*, 996 F.2d 548 (2nd Cir. 1993); *United States v. Sain*, 141 F.3d 463 (3d Cir. 1998).

F. Bid Rigging, 15 U.S.C. §1

1. “Every contract, combination in the form of trust or otherwise, or conspiracy, in restraint of trade or commerce among the several States, or with foreign nations, is hereby declared to be illegal.”
2. Maximum Penalty. Fine not exceeding \$ 100,000,000 if a corporation, or, if any other person, \$1,000,000, or by imprisonment not exceeding 10 years, or by both said punishments, in the discretion of the court.
3. Elements.
 - a. An agreement;
 - (1) Not to Bid, or
 - (2) To Submit a Sham Bid, or
 - (3) To Allocate Bids;
 - b. Between two or more independent, horizontal entities;
 - c. Affecting interstate or foreign commerce.

G. Title 10 (UCMJ) Violations. Within the Uniform Code of Military Justice, there are several criminal charges that could apply to servicemembers involved in

fraud, including Article 124, Fraud Against the United States; Article 92, Failure to Obey Order or Regulation; Article 107, False Official Statements; Article 121, Larceny and Wrongful Appropriation; Article 133, Conduct Unbecoming an Officer and a Gentleman; and Article 134, the General Article, either as conduct prejudicial to good order and discipline, conduct of a nature to bring discredit upon the armed forces, or as a violation of a federal or state criminal law.

VI. CIVIL REMEDIES.

A. The Civil False Claims Act (FCA). 31 U.S.C. §§ 3729-3733.

1. In General. 31 U.S.C. § 3729(a) imposes liability on any person (defined comprehensively to include corporations, companies, associations, partnerships and individuals) who:
 - a. Knowingly presents, or causes to be presented, a false or fraudulent claim for payment or approval.
 - b. Knowingly makes, uses, or causes to be made or used, a false record or statement material to a false or fraudulent claim.
 - c. Conspires to defraud the government by having a false or fraudulent claim allowed or paid.
2. The Fraud Enforcement and Recovery Act of 2009 (FERA) clarifies the FCA by holding a contractor liable if it “knowingly presents, or causes to be presented a false or fraudulent claim for payment or approval” or “knowingly makes, uses, or causes to be made or used, a false record or statement material to a false or fraudulent claim.”¹⁰ This change eliminated language “to get a false or fraudulent claim paid” and thereby clarified the reach of the FCA.
 - a. Clarification of the FCA was necessary because the Supreme Court decision in *Allison Engine*¹¹ had held that the FCA did not extend to claims submitted to prime contractors that were then submitted to the government for payment.

¹⁰ Pub. L. No. 111-21, 123 Stat. 1617 (2009).

¹¹ *Allison Engine, et al. v. United States, ex rel. Sanders*, 553 U.S. 662 (2008). The Allison Engine Company was a subcontractor to a Navy prime shipyard contractor for a contract to build destroyers. Allison Engine was subcontracted to build the destroyer generators. Allison Engine knowingly submitted false Certificates of Conformance (CoCs) to the prime contractor asserting that the generators met all the required contract specifications, even though they knew that the generators did not meet the required contract specifications. Allison Engine also submitted payment requests (claims) for the generators. The shipyards subsequently submitted payment claims to the KO with the fraudulent CoCs (unknown to the prime) provided by Allison Engine. The government only introduced the fraudulent claims and CoCs submitted by Allison Engine to the primes, but no evidence of the subsequent claims submitted to the government, or evidence of Allison Engine’s intent to defraud the government (as opposed to an intent to defraud the primes).

3. There is no requirement for the United States to prove that it suffered any damages. *Fleming v. United States*, 336 F.2d 475, 480 (10th Cir. 1964), *cert. denied*, 380 U.S. 907 (1965). The government also does not have to show that it made any payments pursuant to false claims. *United States v. Am Precision Products Corp.*, 115 F. Supp. 823, 827-28 (D.N.J. 1953).
4. *United States v. Halper*, 490 U.S. 435 (1989). Defendant faced aggregated penalties of \$130,000 for fraud, which had damaged the government in the amount of \$585. The Court disallowed the full \$130,000 penalties, holding that a civil sanction, in application, may be so divorced from any remedial goal as to constitute punishment under some circumstances. The scope of the holding is a narrow one, addressed to “the rare case . . . where a fixed-penalty provision subjects a small-gauge offender to a sanction overwhelmingly disproportionate to the damages he has caused.” *Id.* at 449; *see also United States v. Hatfield*, 108 F.3d 67 (4th Cir. 1997) (holding debarment does not violate the *Halper* test because it is not punitive).

D. The “Qui Tam” Provisions of the Civil False Claims Act. “Qui tam pro domino rege quam pro se ipso in hac parte sequitur.” (“Who as well for the King as for himself sues in this matter.”). Allows a private individual to sue contractors for fraud in civil court on behalf of the government.

1. The Civil False Claims Act authorizes an individual, acting as a private attorney general, to bring suit in the name of the United States. 31 U.S.C. § 3730. The statute gives the Government 60 days to decide whether to join the action. The Government may ask for an extension, and extensions are often sought in six month increments, depending on the district. The qui tam complaint typically remains under seal while the investigation proceeds. If the Government intervenes in the action, the Government conducts the action. If the Government decides not to intervene in the suit, the individual, known as the “relator,” conducts the action.
2. As an inducement to be a whistleblower, the statute provides that relators are entitled to portions of any judgment against the defendant. 31 U.S.C. § 3730(d).
 - a. If the government joins and conducts the suit, the relator is entitled to between 15 and 25 percent of judgment, depending on the relator’s contribution to the success of the suit.
 - b. If the Government declines to join and the relator conducts the suit, the relator is entitled to between 25 and 30 percent of the judgment, at the discretion of the court.
3. Limitations on Relators. 31 U.S.C. § 3730(e)(4) limits a person’s ability to become a qui tam relator if the court finds that substantially the same

allegations or transactions as alleged in the action or claim were publicly disclosed (i) in a Federal criminal, civil, or administrative hearing in which the Government or its agent is a party; (ii) in a Congressional, Government Accountability Office, or other Federal report, hearing, audit, or investigation; or (iii) from the news media, unless the action is brought by the Attorney General or the person bringing the action is an original source of the information. This is referred to as the “public disclosure bar.”

4. Government Dismissal of Qui Tam Over Relator’s Objection. The Government may dismiss an action brought by a relator over the relator’s objection if the relator has been notified of the motion to dismiss and provided an opportunity for a hearing. 31 U.S.C. § 3730(c)(2)(A)
5. Elements.
 - a. Knowingly (Scienter)
 - (1) actual knowledge that information in the claim was false; or
 - (2) deliberate ignorance of the truth or falsity of the information; or
 - (3) reckless disregard of the truth or falsity of the information.
 - (4) “[T]he FCA’s scienter element refers to [defendant’s] knowledge and subjective beliefs - not to what an objectively reasonable person may have known or believed *United States ex rel. Schutte v. Supervalu Inc.*, 598 U.S. 739, 749 (2023).
 - b. Presented or caused to be presented
 - c. Claim. Broadly defined by statute, 31 USC § 3729(b)(2), which has been interpreted to include any request for money in which the Government provided (at a minimum) a “portion” of the money applied for. . See *Wisconsin Bell, Inc. v. United States ex rel. Heath*, 604 U.S. 140, 143 (2025) (internal citations omitted).
 - d. Material. Having a natural tendency to influence, or be capable of influencing, the payment or receipt of money or property.” 31 U.S.C. § 3729(b)(4). Below are several factors bearing on materiality:
 - (1) Whether the requirement is labeled a condition of payment f of materiality.” *Universal Health Servs., Inc. v. United States ex rel. Escobar*, 579 U.S. 176, 194-195.]

- (2) Whether the violation goes to the “essence of the bargain” [*Id.* at 193, n.5.]
 - (3) Whether the violation is significant or “minor or insubstantial” [*Id.* at 194]
 - (4) Whether the government took action in this and other cases when it had knowledge of similar violations [*Id.* at 191.]
- e. Materiality example “[C]ommon sense strongly suggests that the Government's decision to pay a contractor for providing base security in an active combat zone would be influenced by knowledge that the guards could not, for lack of a better term, shoot straight.” *United States v. Triple Canopy, Inc.*, 775 F.3d 628, 637 (4th Cir. 2015)
- f. False or fraudulent
 - (1) Fraud in the Inducement
 - (2) Facially false
 - (3) Express false certification
 - (4) Implied false certification
 - (5) “[H]alf-truths—representations that state the truth only so far as it goes, while omitting critical qualifying information—can be actionable misrepresentations.” *Universal Health Servs., Inc. v. United States ex rel. Escobar*, 579 U.S. 176, 188, (2016)

6. Statute of Limitations. Six years from the date of payment or three years from discovery by an “official of the United States with authority to take action,” but never more than 10 years after claim submitted See *Cochise v. US ex rel. Hunt*, 139 S.Ct. 1507 (2019).

E. Special Plea in Fraud. 28 U.S.C. § 2514.

- 1. A claim against the US *shall be forfeited* to the US by any person who corruptly practices or attempts to practice fraud against the United States in the proof, statement, establishment, or allowance thereof.
- 2. Can only be pled before the Court of Federal Claims.

VII. ADMINISTRATIVE REMEDIES.

A. Administrative False Claims Act. 31 U.S.C. §§ 3801-3812.

1. **In General.** The Administrative False Claims Act (AFCA), formerly known as the Program Fraud Civil Remedies Act (PFCRA), provides an administrative remedy for smaller-dollar false claims and false statements. Congress renamed and significantly revamped the PFCRA as the AFCA in § 5203(a) of the FY 2025 NDAA. The AFCA supplements, but does not replace, the civil False Claims Act. See 31 U.S.C. § 3811.
2. **Definitions.**
 - a. **Person.** “Person” includes any individual, partnership, corporation, association, or private organization. 31 U.S.C. § 3801(a)(6).
 - b. **Claim.** A “claim” includes a request, demand, or submission made to an authority or to certain recipients of federal funds, property, or services, for property, services, or money, including money representing grants, loans, insurance, or benefits. 31 U.S.C. § 3801(a)(3). The FY 2025 NDAA expanded the definition to include certain “reverse false claim” submissions that conceal or improperly avoid or decrease an obligation to pay or transmit property, services, or money to the authority. See 31 U.S.C. § 3801(a)(3)(C); Pub. L. No. 118-159, div. E, tit. LII, § 5203(b)(1), 138 Stat. 1773 (2024).
 - c. **Statement.** A “statement” means any representation, certification, affirmation, document, record, or accounting or bookkeeping entry made with respect to a claim or to obtain approval or payment of a claim. 31 U.S.C. § 3801(a)(9).
 - d. **Knowledge.** “Knows or has reason to know” means that a person, with respect to a claim or statement: (1) has actual knowledge that the claim or statement is false, fictitious, or fraudulent; (2) acts in deliberate ignorance of the truth or falsity of the claim or statement; or (3) acts in reckless disregard of the truth or falsity of the claim or statement. Proof of specific intent to defraud is not required. 31 U.S.C. § 3801(a)(5).
 - e. **Materiality.** The AFCA incorporates the civil False Claims Act definition of “material,” and materiality is determined in the same manner as under 31 U.S.C. § 3729. See 31 U.S.C. § 3801(a)(10), (d); Pub. L. No. 118-159, div. E, tit. LII, § 5203(i), 138 Stat. 1773 (2024).
 - f. **Obligation.** The AFCA also incorporates the civil False Claims Act definition of “obligation.” 31 U.S.C. § 3801(a)(11); see 31 U.S.C. § 3729(b)(3); Pub. L. No. 118-159, div. E, tit. LII, § 5203(i), 138 Stat. 1773 (2024).
3. **Liability.**
 - a. **False Claims.** A person is liable under the AFCA if the person makes, presents, submits, or causes to be made, presented, or submitted, a claim that the person knows or has reason to know:

- (1) Is false, fictitious, or fraudulent;
- (2) Includes or is supported by a written statement that asserts a material fact that is false, fictitious, or fraudulent;
- (3) Includes or is supported by a written statement that omits a material fact, is false, fictitious, or fraudulent as a result of the omission, and is a statement in which the person had a duty to include the material fact; or
- (4) Is for payment for the provision of property or services that the person has not provided as claimed.

31 U.S.C. § 3802(a)(1).

- b. **False Statements.** A person is also liable if the person makes, presents, submits, or causes to be made, presented, or submitted, a written statement that the person knows or has reason to know asserts a material fact that is false, fictitious, or fraudulent, or omits a material fact that the person had a duty to include, if the written statement contains or is accompanied by an express certification or affirmation of truthfulness and accuracy. 31 U.S.C. § 3802(a)(2).

4. **Monetary Limit.** An agency may proceed administratively only if the claim, or the group of related claims submitted at the same time, does not exceed \$1,000,000, subject to statutory inflation adjustment. 31 U.S.C. § 3803(c). The FY 2025 NDAA increased this ceiling from \$150,000 to \$1,000,000 and added the inflation-adjustment provision. Pub. L. No. 118-159, div. E, tit. LII, § 5203(c), 138 Stat. 1773 (2024).

- a. **Related Claims.** A related group of claims generally includes only claims arising from the same transaction, such as the same grant, loan, application, or contract, that are submitted simultaneously as part of a single request, demand, or submission. See, e.g., 5 C.F.R. § 2419.3(c)(3).
- b. **Joinder of Unrelated Claims.** The monetary limit does not prevent an agency from joining unrelated claims, or claims not submitted simultaneously, in a single complaint against the same person. See, e.g., 5 C.F.R. § 2419.3(c)(4).

5. **Penalties and Assessments.**

- a. **Civil Penalties.** A person liable for a false claim or false statement is subject to a civil penalty for each claim or statement. 31 U.S.C. § 3802(a). The statutory maximum penalty is subject to inflation adjustment under the Federal Civil Penalties Inflation Adjustment Act. Practitioners must consult the agency's current civil monetary penalty regulation for the applicable amount.
- b. **DoD Penalty Amount.** For DoD, the current inflation-adjusted maximum civil penalty is \$14,308 for each false claim under 31 U.S.C. § 3802(a)(1) and each false statement under 31 U.S.C. §

3802(a)(2). See 32 C.F.R. § 269.4(d). OMB directed agencies not to increase civil monetary penalties for calendar year 2026 because the October 2025 CPI-U data necessary to calculate the annual adjustment multiplier was unavailable. See OMB Memorandum M-26-11, Cancellation of Penalty Inflation Adjustments for 2026.

- c. Assessments. For false claims, the agency may also impose an assessment of not more than twice the amount of the claim. 31 U.S.C. § 3802(a)(1). Assessments are tied to false claims, not standalone false statements. For reverse false claims under 31 U.S.C. § 3801(a)(3)(C), the FY 2025 NDAA caps the assessment at not more than double the value of the property, services, or money wrongfully withheld from the authority. See 31 U.S.C. § 3802(a)(3)(B); Pub. L. No. 118-159, div. E, tit. LII, § 5203(b)(2), 138 Stat. 1773 (2024).

6. Procedure and DOJ Coordination.

- a. Investigating Official. The agency's investigating official investigates allegations and reports findings and conclusions to the reviewing official. 31 U.S.C. § 3803(a).
- b. Reviewing Official and DOJ Approval. If the reviewing official determines that there is adequate evidence to believe a person is liable, the reviewing official must transmit written notice to the Attorney General. The agency may not issue a complaint unless the Attorney General, or the Attorney General's designee, approves the issuance of the complaint in writing. 31 U.S.C. § 3803(b).
- c. Ninety-Day DOJ Review. The Attorney General has 90 days after receipt of the reviewing official's notice to approve or disapprove issuance of the complaint. If DOJ disapproves, the agency may not proceed administratively. 31 U.S.C. § 3803(b).
- d. Compromise or Settlement Notice. The FY 2025 NDAA added a DOJ notice requirement for compromises and settlements. The reviewing official must notify the Attorney General in writing not later than 30 days before entering into any agreement to compromise or settle allegations of liability under 31 U.S.C. § 3802 and before the date on which the reviewing official may refer allegations to a presiding officer. 31 U.S.C. § 3803(j)(2); Pub. L. No. 118-159, div. E, tit. LII, § 5203(f), 138 Stat. 1773 (2024).
- e. Complaint and Hearing. After DOJ approval, the agency may issue an administrative complaint. The respondent is entitled to notice and an opportunity for a hearing before a presiding officer. 31 U.S.C. § 3803.

- f. Burden of Proof. The government must prove liability and the amount of any penalty or assessment by a preponderance of the evidence. 31 U.S.C. § 3803(f).
- g. Board of Contract Appeals. The FY 2025 NDAA amended the AFCA to permit certain hearings to be referred to an agency board of contract appeals when the authority does not employ an available presiding officer. See 31 U.S.C. §§ 3801(a)(7)(C), 3803(d)(2)(B)-(C); 41 U.S.C. § 7105(e)(1)(E); Pub. L. No. 118-159, div. E, tit. LII, § 5203(g), 138 Stat. 1773 (2024). When a board of contract appeals conducts the hearing, the board's rules and procedures apply. 31 U.S.C. § 3803(d)(2)(C).

7. Limitations.

- a. Notice of Liability. The FY 2025 NDAA revised the limitations period. A notice of liability must be mailed or delivered not later than the later of: (1) six years after the violation of 31 U.S.C. § 3802 is committed; or (2) three years after facts material to the action are known or reasonably should have been known by the authority head, but in no event more than ten years after the violation. 31 U.S.C. § 3808(a); Pub. L. No. 118-159, div. E, tit. LII, § 5203(h), 138 Stat. 1773 (2024).
- b. Collection Action. A civil action to recover a penalty or assessment must be commenced within three years after the date on which the determination of liability becomes final. 31 U.S.C. § 3808(b).

8. Collection and Administrative Offset.

- a. Collection. If a penalty or assessment becomes final and is not paid, the government may collect the amount by civil action. 31 U.S.C. § 3806.
- b. Administrative Offset. The government may also collect by administrative offset against amounts otherwise payable by the United States to the liable person. 31 U.S.C. § 3807.
- c. Disposition of Amounts Collected. The FY 2025 NDAA revised the disposition of amounts collected. Amounts collected are first available to reimburse the authority or federal entity for costs incurred in investigating and prosecuting the action, including court or hearing costs. Remaining amounts are deposited as miscellaneous receipts. 31 U.S.C. § 3806(g); Pub. L. No. 118-159, div. E, tit. LII, § 5203(d), 138 Stat. 1773 (2024).

9. Relationship to Civil False Claims Act and Qui Tam Actions.

- a. Relationship to Civil FCA. The AFCA and civil False Claims Act are related remedial statutes. The Supreme Court has described PFCRA and the civil False Claims Act as “twin” statutes designed

to operate together, with PFCRA addressing smaller-dollar administrative claims. *Vermont Agency of Nat. Res. v. United States ex rel. Stevens*, 529 U.S. 765, 786 (2000). Civil FCA precedent may be persuasive when interpreting analogous AFCA terms, particularly knowledge and materiality, but practitioners must account for AFCA-specific text, procedures, monetary limits, and remedies.

- b. No Qui Tam Provision. Unlike the civil False Claims Act, the AFCA contains no qui tam mechanism. Private relators may not bring AFCA actions.

- 10. **Corruption Referral.** If the authority head receives or discovers specific information concerning bribery, gratuities, conflicts of interest, or other corruption relating to a false claim or statement, the authority head must report that information immediately to the Attorney General and, where applicable, the agency Inspector General. 31 U.S.C. § 3803(i).

B. Debarment and Suspension Basics. 10 U.S.C. § 4654; FAR Subpart 9.4.

- 1. Suspension. Action taken by a suspending official to disqualify a contractor temporarily from Government contracting and Government-approved subcontracting. FAR 2.101.
- 2. Debarment. Action taken by a debarring official to exclude a contractor from Government contracting and Government-approved subcontracting for a reasonable, specified period. FAR 2.101.
- 3. Government policy is to solicit offers from, award contracts to, and consent to subcontracts with *responsible contractors* only. FAR 9.103.
- 4. Debarment and suspension are discretionary administrative actions to effectuate this policy and shall not be used for *punishment*. FAR 9.402; *United States v. Glymp*, 96 F.3d 722, 724 (4th Cir. 1996).
- 5. Debarring and suspending officials (SDOs). DFARS 209.403. Any person may refer a matter to the agency debarring official. In the Army, the debarring official is the Director, Soldier and Family Legal Services. In the Air Force, the debarring official is the Deputy General Counsel (Contractor Responsibility) (SAF/GCR).
- 6. Debarments can be narrowly tailored to individuals, portions of a company, or to specific products that were the subject of the misconduct. FAR 9.406-1(b).

C. Causes for Debarment. FAR 9.406-2. DFARS 209.406-2.

- 1. Debarring official may debar a contractor for a **conviction of or civil judgment** for:

- a. commission of fraud or a criminal offense in connection with (i) obtaining, (ii) attempting to obtain, or (iii) performing a public contract or subcontract;
 - b. violation of federal or state antitrust statutes relating to the submission of offers;
 - c. commission of embezzlement, theft, forgery, bribery, falsification or destruction of records, making false statements, tax evasion, violating Federal criminal tax laws, or receiving stolen property;
 - d. intentionally affixing a “Made in America” label to a product sold in or shipped to the United States or its outlying areas, when the product was not made in the United States or its outlying areas;
 - e. commission of any other offense indicating a lack of business integrity or business honesty that seriously and directly affects the present responsibility of a government contractor or subcontractor; or
 - f. knowingly providing compensation to a former DoD official in violation of section 847 of the National Defense Authorization Act for Fiscal Year 2008 (involving post-employment restrictions.)
2. Debarbing official may debar a contractor, based upon a **preponderance of the evidence** for:
- a. Violation of the terms of a government contract or subcontract so serious as to justify debarment, such as:
 - (1) Willful failure to perform in accordance with the terms of one or more contracts.
 - (2) A history of failure to perform, or unsatisfactory performance of, one or more contracts.
 - b. Violation of the Drug-Free Workplace Act of 1988, Pub. L. No. 100-690, 102 Stat. 4181.
 - c. Intentionally affixing a label bearing a “Made in America” inscription (or any inscription having the same meaning) to a product sold in or shipped to the United States or its outlying areas, when the product was not made in the United States or its outlying areas (see Section 202 of the Defense Production Act (Pub. L. 102-558)).

- d. Commission of an unfair trade practice as defined in RFO FAR 9.403 (see Section 201 of the Defense Production Act (Pub. L. 102-558)).
- e. Delinquent Federal taxes in an amount that exceeds \$10,000.
- f. Knowing failure by a principal, until 3 years after final payment on any Government contract awarded to the contractor, to timely disclose to the Government, in connection with the award, performance, or closeout of the contract or a subcontract there under, credible evidence of—
 - (1) Violation of Federal criminal law involving fraud, conflict of interest, bribery, or gratuity violations found in Title 18 of the United States Code;
 - (2) Violation of the civil False Claims Act (31 U.S.C. 3729-3733); or
 - (3) Significant overpayment(s) on the contract, other than overpayments resulting from contract financing payments as defined in RFO FAR 32.001.
- 3. A contractor may be debarred based on a determination by the Secretary of Homeland Security or the Attorney General of the United States that the contractor is not in compliance with Immigration and Nationality Act employment provisions (*see* Executive Order 12989, as amended by Executive Order 13286). Such determination is not reviewable in the debarment proceedings. RFO FAR 9.406-2(b)(2).
- 4. A contractor or subcontractor may be debarred for any other cause of so serious or compelling a nature that it affects the present responsibility of a government contractor or subcontractor. RFO FAR 9.406-2(c).

D. Causes for Suspension. RFO FAR 9.407-2.

- 1. Upon **ADEQUATE EVIDENCE** of:
 - a. commission of fraud or a criminal offense in connection with (i) obtaining, (ii) attempting to obtain, or (iii) performing a public contract or subcontract;
 - b. violation of federal or state antitrust statutes relating to the submission of offers;

- c. commission of embezzlement, theft, forgery, bribery, falsification or destruction of records, making false statements, or receiving stolen property;
 - d. violation of the Drug-Free Workplace Act of 1988, Pub. L. No. 100-690, 102 Stat. 4181;
 - e. intentionally affixing a “Made in America” label to non-American made goods (*see* section 202 of the Defense Production Act (Pub. L. 102-558));
 - f. commission of an unfair trade practice as defined in FAR 9.403 (*see* section 201 of the Defense Production Act (Pub. L. 102-558));
 - g. delinquent Federal taxes in an amount that exceeds \$10,000. See the criteria at RFO FAR 9.406-2(b)(1)(v) for determination of when taxes are delinquent;
 - h. knowing failure by a principal, until 3 years after final payment on any Government contract awarded to the contractor, to timely disclose to the Government, in connection with the award, performance, or closeout of the contract or a subcontract there under, credible evidence of—
 - (1) Violation of Federal criminal law involving fraud, conflict of interest, bribery, or gratuity violations found in Title 18 of the United States Code;
 - (2) Violation of the civil False Claims Act (31 U.S.C. 3729-3733); or
 - (3) Significant overpayment(s) on the contract, other than overpayments resulting from contract financing payments as defined in RFO FAR 32.001; or
 - i. Commission of any other offense indicating a lack of business integrity or business honesty that seriously and directly affects the present responsibility of a government contractor or subcontractor.
2. Upon adequate evidence, contractor may also be suspended for any other cause of so serious or compelling a nature that it affects the present responsibility of a government contractor or subcontractor. RFO FAR 9.407-2.
 3. “Adequate evidence” means information sufficient to support the reasonable belief that a particular act or omission has occurred. RFO FAR 2.101.

4. Indictment for any of the causes above constitutes “adequate evidence” for suspension. RFO FAR 9.407-2.
5. “Adequate evidence” may include allegations in a civil complaint filed by another federal agency. *See VSDA, Inc.*, B-253355, Aug. 24, 1993, 93-2 CPD ¶ 132.

E. Effect of Debarment or Suspension. RFO FAR 9.405; DFARS 209.405.

1. FAR 9.401 provides for government-wide effect of the debarment, proposed debarment, suspension, or any other exclusion of an entity from procurement OR non-procurement activities.
2. Contractors proposed for debarment, suspended, or debarred may not receive government contracts, and agencies may not solicit offers from, award contracts to, or consent to subcontracts with these contractors, unless the acquiring agency’s head or designee determines that there is a *compelling reason* for such action. RFO FAR 9.405(a).
3. The general rule is that absent contrary direction by the agency head, debarment has no effect on the *continued performance* of contracts or subcontracts in existence at the time of the proposed or actual suspension or debarment. However, unless an agency head makes a compelling needs determination, orders exceeding the guaranteed minimums may not be placed under indefinite delivery contracts, nor may they be placed orders against Federal Supply Schedule contracts or blanket purchase agreements, nor may options be exercised or the period of performance be extended in anyway. RFO FAR 9.405-1.
4. Bids received from any listed contractor are opened, entered on the abstract of bids, and rejected unless there is a compelling reason for an exception.
5. Proposals, quotations, or offers from listed contractors shall not be evaluated, included in the competitive range, or discussions held unless the agency head determines in writing there is a compelling reason for an exception.

F. Period of Debarment. RFO FAR 9.406-4.

1. Commensurate with the seriousness of the cause(s). Generally, debarment should not exceed three years. The period of any prior suspension, is considered in determining period of debarment. RFO FAR 9.406-4(a).
2. Administrative record must include relevant findings as to the appropriateness of the length of the debarment. *Coccia v. Defense Logistics Agency*, Civ. A. No. 89-6544, 1992 WL 345106, (E.D. Pa. Nov. 12, 1992) (upholding 15-year debarment of former government employee

convicted of taking bribes and kickbacks from contractors in exchange for contracts).

3. Debarment period may be extended, but not solely on the original basis for the debarment. If extension is necessary, normal procedures at RFO FAR 9.406-3 apply. RFO FAR 9.406-4(b).
4. Period may be reduced upon the contractor's request for reasons such as new evidence, reversal of conviction or judgment, elimination of the causes for the debarment, and bona fide change in management. RFO FAR 9.406-4(c).
5. The APA does not usually provide a right to judicial review of an agency's decision not to take enforcement action. *Heckler v. Chaney*, 470 U.S. 821 (1985). In *Caiola v. Carroll*, 851 F.2d 395 (D.C. Cir. 1988), however, the DC Circuit Court rejected an agency suspension of two corporate officials, but not a third, when the agency did not provide in their administrative record support for the differing treatment. In *Kisser v. Cisneros*, 14 F.3d 615 (D.C. Cir. 1994), the court made clear that there is no "reasoned explanation" requirement when exercising discretion.

G. Period of Suspension. RFO FAR 9.407-4.

1. Suspension is temporary, pending completion of investigation or any ensuing legal proceedings.
2. If legal proceedings are not initiated within 12 months after the date of the suspension notice, terminate the suspension unless an Assistant Attorney General requests extension.
3. Extension upon request by an Assistant Attorney General shall not exceed six months.
4. Suspension may not exceed 18 months unless legal proceedings are initiated within that period.

H. Other Administrative Remedies. Although suspension and debarment are the most well-known administrative remedy used by government agencies, other less types of remedies are available. Procedures and approval authorities for these are largely driven by agency policy, as the FAR has few if any requirements for these.

1. **Information Gathering.** SDOs or others can request a contractor to voluntarily provide information to address an agency's concerns. Contractor response is not mandatory, but the response (or lack thereof) can reflect on its present responsibility. These requests for information bring a contractor's attention to a concern of the government and the prospect of debarment proceedings.

2. Show Cause Letter. This letter enumerates a basis for potential debarment and provides a contractor the opportunity to be heard before formal suspension and debarment proceedings are initiated.
3. Administrative Agreements. These bilateral agreements between an agency and contractor can be specifically tailored to address the agency's concerns. These can include a remediation plan, prohibited activities, training requirements, cooperation and site inspections, prohibitions on work with or employment of certain parties, and indemnification of the government. Administrative agreements can be useful where a contractor has admitted wrongdoing and developed a remediation strategy, or where debarring the contractor is not in the government's best interest. Each SDO office will have its own template and guidance on using administrative agreements. The only requirement in the FAR is that agreements entered into to resolve a debarment proceeding must be entered into on the Federal Awardee Performance and Integrity Information System (FAPIIS). RFO FAR 9.406-3(f).
4. Letter ("Informal") Agreements. SDOs have discretion to enter into informal agreements in lieu of a suspension and debarment proceeding or administrative agreement. These letter agreements are not entered into FAPIIS and have no independent monitor, but they can be useful to document less serious misconduct or issues so that the contractor knows the government's expectations going forward.

VIII. CONTRACT REMEDIES.

A. Historical Right.

1. Under common law, where a party to a contract committed an act of fraud affecting a material element of the contract, the fraudulent act constituted a breach on the part of the party committing the act. The innocent party could then, at its election, insist on continuation of contract performance, or void the contract. Once voided, the voiding party would be liable under equity to the other party for any benefit received. *Stoffela v. Nugent*, 217 U.S. 499 (1910); *Diamond Coal Co. v. Payne*, 271 F. 362, 366 (App. D.C. 1921) ("equity refuses to give to the innocent party more than he is entitled to").
2. Since the U. S. government was often viewed as acting in a "commercial capacity" when it engaged in commercial transactions, the rules of common law and equity applied to resolution of disputes. As such, if the government sought to rescind a contract, it was obligated to restore the contractor to the position it would be in, but-for the breach. *Cooke v. United States*, 91 U.S. 389, 398 (1875) ("If [the government] comes down from its position of sovereignty, and enters the domain of commerce, it submits itself to the same laws that govern individuals there.");

Hollerbach v. United States, 233 U.S. 165 (1914); *United States v. Fuller Co.*, 296 F. 178 (D. Kan. 1923).

3. The Supreme Court later rejected the general rule that the government should be treated like any other party to a contract when fraud occurred. *Pan Am Petroleum & Transp. Co., v. United States*, 273 U.S. 456 (1927).
4. Courts and boards have developed an implied or common-law right to terminate or cancel a contract in order to effectuate the public policy of protecting the government in instances of procurement fraud. See *United States v. Mississippi Valley Generating Co.*, 364 U.S. 520, *reh'g denied* 365 U.S. 855 (1961); *Four-Phase Sys., Inc.*, ASBCA No. 26794, 86-2 BCA ¶ 18,924.
5. A contractor that engages in fraud in dealing with the government commits a material breach, which justifies terminating the entire contract for default. *Joseph Morton Co., Inc. v. United States*, 3 Cl. Ct. 120 (1983), *aff'd* 757 F.2d 1273 (Fed. Cir. 1985).

B. Contracting Officer Authority.

1. **Actions Clearly Exceeding KO Authority.** The Contract Disputes Act (CDA), 41 U.S.C. § 7103(a), as implemented by FAR 33.210(b), prohibits any contracting officer or agency head from *settling, paying, compromising or otherwise adjusting* any claim involving fraud.
2. **Actions Clearly Within KO Authority.**
 - a. **Refusing Payment.** It is the plain duty of administrative, accounting, and auditing officials of the government to refuse approval and to prevent payment of public monies under any agreement on behalf of the United States as to which there is a reasonable suspicion of irregularity, collusion, or fraud, thus reserving the matter for scrutiny in the courts when the facts may be judicially determined upon sworn testimony and competent evidence and a forfeiture declared or other appropriate action taken. *To the Secretary of the Army*, B-154766, 44 Comp. Gen. 111 (1964).
 - b. **Suspend Progress Payments.** Upon a determination of “substantial evidence that the request of a contractor for advance, partial, or progress payment under a contract...is based on fraud,” the agency head may reduce or suspend payments to the contractor. 10 U.S.C. § 3806; FAR 32.006; FAR 32.503-6; FAR 52.232-16; *Brown v. United States*, 207 Ct. Cl. 768, 524 F.2d 693 (1975); *Fidelity Construction*, DOT CAB No. 1113, 80-2 BCA ¶ 14,819.
 - c. **Withhold Payment.**

- (1) When a debarment/suspension report recommends debarment or suspension based on fraud or criminal conduct involving a current contract, all funds becoming due on that contract shall be withheld unless directed otherwise by the Head of the Contracting Activity (HCA) or the debarring official. FAR 32.006; AFARS 5109.406-3.
 - (2) Labor standards statutes provide for withholding for labor standards violations. Walsh-Healey Act (minimum wage, maximum hours, safety and health standards) – 41 U.S.C. § 6503; Davis-Bacon Act (wage rates for construction contracts) – 40 U.S.C. § 3144.
 - (3) Specific contract provisions may provide for withholding (e.g., service contract deductions for deficiencies in performance).
- d. Terminate Negotiations. FAR 49.106 requires the contracting officer to end settlement discussions regarding a terminated contract upon suspicion of fraud or other criminal conduct. *K&R Eng'g Co., Inc., v. United States*, 222 Ct. Cl. 340, 616 F.2d 469 (1980).
 - e. Determine contractor to be non-responsible. FAR 9.4.
 - f. Price reduction for defective certified cost or pricing data. FAR 52.215-10.
 - g. Price or fee adjustment for illegal or improper activity. FAR 52.203-10. This requires a head of contracting activity or designee determination of a violation of 41 U.S.C. § 2102 (pre-award disclosure of contractor bid or proposal information or source selection information) or 41 U.S.C. § 2103 (actions required of procurement officers when contacted regarding non-Federal employment).
 - h. Other authority that is normally part of contract administration, including change orders (FAR 52.243); inspection (FAR 52.246); performance evaluations; and surveillance (FAR 42.11; 52.242-2).

C. Denial of Claims.

1. Section 7103(a) of the CDA prohibits an agency head from settling, compromising or otherwise adjusting any claim involving fraud. 41 U.S.C. § 7103(a). This limitation is reflected in FAR 33.210, which states that the authority of a contracting officer to decide or resolve a claim does not extend to the “settlement, compromise, payment, or adjustment of any

claim involving fraud.” FAR 33.209 of the FAR further provides that contracting officers must refer all cases involving suspected fraud to the agency official responsible for investigating fraud.

2. As a practical matter, the term “denial” is a misnomer in that the contracting officer is precluded from making a final decision on a contractor’s claim where fraud is suspected. As such, denial of a claim consists simply of doing nothing with the claim while other courses of action are pursued.
3. Denial of a claim should be viewed as simply the first of possibly many steps in the resolution of a fraudulent claim.

D. Counterclaims under the CDA.

1. Per 41 U.S.C. § 7103(c)(2): “If a contractor is unable to support any part of the contractor’s claim and it is determined that the inability is attributable to a misrepresentation of fact or fraud by the contractor, then the contractor is liable to the Federal Government for an amount equal to the unsupported part of the claim plus all of the Federal Government’s costs attributable to reviewing the unsupported part of the claim.”
2. Until recently, this provision of the CDA has been applied in only a small number of cases. This may be due in part to the deterrent effect of this statute. *See United States ex. re. Wilkins v. North American Const.*, 173 F.Supp.2d 601, 648 (S.D. Tex. 2001) (district court unwilling to enforce this provision of the CDA because there were “very few cases applying 41 U.S.C. 604 [previous location in the US Code].”). *But see Railway Logistics Intern. v. United States*, 103 Fed. Cl. 252 (Fed. Cl. 2012) (finding for the government on counterclaim of fraud under 41 U.S.C. §7103(c)(2)); *Larry D. Barnes, Inc. (d/b/a TRI-AD Constructors) v. United States*, 45 Fed. Appx. 907 (Fed. Cir. 2002) (provision successfully applied by CAFC); *UMC Elecs. Co. v. United States*, 249 F.3d 1337 (Fed. Cir. 2001) (upholding the COFC determination that the plaintiff was liable under a CDA counterclaim).
3. It is not possible to enforce this section of the CDA in litigation before the boards because of the language at 41 U.S.C. § 7103(a)(5), which states: “[t]he authority of this subsection . . . does not extend to a claim or dispute for penalties or forfeitures prescribed by statute or regulation that another Federal agency is specifically authorized to administer, settle or determine.” The boards have generally interpreted this language as meaning only the DOJ has the authority to initiate a claim under this provision. This is because (in the eyes of the boards) only the DOJ has the authority to administer or settle disputes involving fraud under the current statutory scheme. *See TDC Management*, DOT CAB 1802, 90-1 BCA ¶ 22,627.

E. Default Terminations Based on Fraud.

1. Where a contractor challenges the propriety of a default termination before a court or board, the government is not precluded under the CDA from introducing evidence of fraud discovered after the default termination, and using that evidence to support the termination in the subsequent litigation. *See Joseph Morton Co., Inc. v. United States*, 757 F.2d 1273, 1279 (Ct. Cl. 1985) (upholding termination for default when the contractor fraud was unknown at the time of the termination).
2. Some grounds for default termination.
 - a. Submission of falsified test reports. *Michael C. Avino, Inc.*, ASBCA No. 31752, 89-3 BCA ¶ 22,156.
 - b. Submission of forged performance and payment bonds. *Dry Roof Corp.*, ASBCA No. 29061, 88-3 BCA ¶ 21,096.
 - c. Submission of falsified progress payment requests. *Daff v. United States*, 31 Fed. Cl. 682 (1994).

F. Voiding Contracts Pursuant to RFO FAR 3.7.

1. Subpart 3.7 of the FAR establishes a detailed mechanism for voiding and rescinding contracts where there has been either a final conviction for illegal conduct in relation to a government contract, or an agency head determination by a preponderance of the evidence that contractor bid or proposal information or source selection information has been disclosed or received in exchange for a thing of value, or for the purpose of obtaining or giving anyone a competitive advantage.
2. Authority to void a contract pursuant to FAR 3.7 is derived from:
 - a. 18 U.S.C. § 218;
 - b. Executive Order 12448, 50 Fed. Reg. 23,157-01 (May 31, 1985); and,
 - c. 41 U.S.C. § 2105(c)(1).

G. Suspending Payments Upon a Finding of Fraud.

1. RFO FAR 32.006 allows an agency head to reduce or suspend payments to a contractor when the agency head determines there is “substantial evidence that the contractor’s request for advance, partial, or progress payments is based on fraud.”

- a. NOTE: This authority does not apply to commercial item interim payments (RFO FAR 32.2) or performance-based payments (RFO FAR 32.10).
2. The authority of the agency head under this provision may be delegated down to Level IV of the Executive Schedule; for the Department of the Army this is the Assistant Secretary of the Army for Acquisition, Logistics, and Technology (ASA (ALT)).
3. This provision of the FAR is a potentially powerful tool in that the government can stay payment of a claim without the danger of a board treating the claim as a deemed denial, thus forcing the government into a board proceeding before the government's case can be developed.
4. There is at least one board decision involving this provision of the FAR. *TRS Research*, ASBCA No. 51712, 01-1 BCA ¶ 31,149 (contracting officer suspended payment on invoices pending completion of an investigation involving fraud allegation, but failed to seek written permission from the agency head to take such action; ASBCA found the government in breach of the contract and sustained the appeal).

H. **Voiding Contracts Pursuant to the Gratuities Clause.**

1. RFO FAR 52.203-3 allows the DOD to unilaterally void contracts, prior to the beginning of performance, upon an agency head finding that contract is tainted by an improper gratuity. Decision authority for the Department of the Army has been delegated to the ASA (ALT).
2. Authority stems from 10 U.S.C. § 4651, which requires the clause in all DOD contracts (except personal service contracts).
3. Contractors received considerable due process protections.
4. However, violators can be assessed exemplary damages of between three to ten times the amount of the gratuity.
5. Procedures used very effectively in response to a fraudulent bidding scheme centered out of the Fuerth Regional Contracting Office, Fuerth, Germany. See *Schuepferling GmbH & Co.*, ASBCA No. 45564, 98-1 BCA ¶ 29,659; ASBCA No. 45565, 98-2 BCA ¶ 29,739; ASBCA No. 45567, 98-2 BCA ¶ 29,828; *Erwin Pfister General-Bauunternehmen*, ASBCA Nos. 43980, 43981, 45569, 45570, 2001-2 BCA ¶ 31,431; *Schneider Haustechnik GmbH*, ASBCA Nos. 43969, 45568, 2001 BCA ¶ 31,264.

IX. **BOARDS OF CONTRACT APPEALS' TREATMENT OF FRAUD.**

A. **Jurisdiction.**

1. Theoretically, the boards are without jurisdiction to decide appeals tainted by fraud.
 - a. Under 41 U.S.C. § 7105(e), the boards have jurisdiction to decide any appeal from a decision by a contracting officer involving a contract made by their respective agencies.
 - b. Because the CDA precludes contracting officers from issuing final decisions where fraud is suspected, and the boards only have jurisdiction over cases that can be decided by a contracting officer, the boards are effectively barred from adjudicating appeals involving fraud. *See* 41 U.S.C. § 7103(a)(5).
 - c. As a practical matter, the boards exercise a form of de facto jurisdiction in that a decision concerning a motion to dismiss an appeal for fraud will have a dispositive effect on the case.

B. Dismissals, Suspensions, and Stays.

1. Government must demonstrate that the possibility of fraud exists or that the alleged fraud adversely affects the Board's ability to ascertain the facts. *Triax Co., Inc.*, ASBCA No. 33899, 88-3 BCA ¶ 20,830.
2. Mere allegations of fraud are not sufficient. *General Constr. and Dev. Co.*, ASBCA No. 36138, 88-3 BCA ¶ 20,874. *Four-Phase Systems, Inc.*, ASBCA No. 27487, 84-1 BCA ¶ 17,122.
3. Boards generally refuse to suspend proceedings except under the following limited circumstances:
 - a. When an action has been commenced in a court of competent jurisdiction, by the handing down of an indictment or by filing of a civil action complaint, so that issues directly relevant to the claim before the board are placed before that court;
 - b. When the Department of Justice or other authorized investigatory authority requests a suspension to avoid a conflict with an ongoing criminal investigation;
 - c. When the government can demonstrate that there is a real possibility that fraud exists that is of such a nature as to effectively preclude the board from ascertaining the facts and circumstances surrounding a claim; and
 - d. When an appellant so requests to avoid compromising his rights in regard to an actual or potential proceeding. *See Fidelity Constr.*, DOTCAB No. 1123, 80-2 BCA ¶ 14,819 at 73,142.

C. Fraud as an Affirmative Defense.

1. Most often, the government elects to treat fraud as a jurisdictional bar, and pursues the issue in a motion to dismiss.
2. When fraud is cited as an affirmative defense, the boards generally treat the issue consistent with cases where it is presented as a jurisdictional bar. *See ORC, Inc.*, ASBCA No. 49693, 97-1 BCA ¶ 28,750.

X. CONCLUSION. Government agencies have a number of tools available to address procurement fraud. In order to ensure all of these tools remain available for use in a particular case, agency counsel should ensure close coordination between the contracting officer, law enforcement, department of justice, suspension and debarment official, and agency procurement fraud counsel to coordinate among the four categories of remedies.

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CHAPTER 25

LABOR STANDARDS

I. INTRODUCTION

- A. Contract labor laws exist to prevent exploitation of the employees working on Government contracts and to eliminate the wage-depressing tendencies of the federal procurement process. This chapter summarizes these labor laws and the current application to Government contracts. Knowledge of the basic requirements will enable contract attorneys to advise contracting officers on labor standards to ensure contractor compliance in order to avoid labor disputes that could cause costly delays in performance of contracts.
- B. Each Service has a designated Agency labor advisor to advise contracting agency officials on Federal contract labor matters. See FAR RFO 22.1002-01; DFARS 222.101-1; and <https://sam.gov>¹ for names and phone numbers. Defense Pricing, Contracting, and Acquisition Policy has a helpful website to assist government officials. See <https://www.acq.osd.mil/asda/dpc/cp/index.html>.

II. FAIR LABOR STANDARDS ACT OF 1938 (FLSA)

29 U.S.C. §§ 201-219, 29 C.F.R. Parts 500-899.

- A. Covered Workers:
 - 1. General Applicability. Most employees in the United States are covered by the FLSA. Its application is not limited to government contracts.
 - 2. Exempted Employees. Executive, Administrative, Professional, Computer, and Outside Sales Employees that meet the following standards are exempted from the wage and overtime requirements of the FLSA. (See Exemption Tests in 29 C.F.R. Part 541).
 - a. Salary Level: earning an income, at a rate per week, of not less than the minimum amount provided by operative regulations at 29

¹ Effective 14 June 2019, the Wage Determination Online website (www.wdol.gov) moved to www.beta.sam.gov. On May 24, 2021, www.beta.sam.gov was deactivated and succeeded by www.sam.gov, which now contains Labor Advisor contact information and wage determinations.

C.F.R. Subpart 541.600. As of January 1, 2025, that salary level is \$1,128 per week.²

- b. Salary Basis: receives regularly predetermined amount of compensation each pay period that does not vary based on the quality or quantity of work performed.
- c. Job Duties: in addition to salary basis and level tests, there are duties tests that must be met for each category to qualify as exempt.
 - (1) Executive (29 C.F.R. Subpart 541.100)
 - (2) Administrative (29 C.F.R. Subpart 541.200)
 - (3) Professional (29 C.F.R. Subpart 541.300)
 - (4) Computer Analysts, Programmers, Software Engineers, or similarly skilled workers (29 C.F.R. Subpart 541.400)
 - (5) Outside Sales (C.F.R. Subpart 541.500)

B. Requirements.

- 1. Federal Minimum Wage: employers must pay all covered nonexempt employees a minimum of \$7.25 per hour (current rate under 29 U.S.C. § 206).
- 2. Overtime Pay.
 - a. Employers must pay for any work performed over 40 hours in a workweek at a rate not less than one and one-half times the regular rate of pay. (29 U.S.C. § 207).
 - b. Practitioner's Note: Federal Government policy requires that contractors perform contracts without the use of overtime when practicable unless overall costs are lower for the Government or when necessary to meet urgent program needs. (See FAR RFO 22.101-2).
- 3. Record Keeping. All employers with FLSA covered employees must make, keep, and preserve certain records, to include wages, hours, conditions and practices of employment. There is no particular form required, but the records must contain the information and data required

² 2016 regulatory changes were to raise the standard salary level to \$913 per hour. In 2017, a federal district court invalidated that change. The district court decision was appealed and the appeal was dismissed. *Nevada v. United States Department of Labor*, 2017 WL 3780085, E.D.Tex., Aug. 31, 2017.

by the FLSA and its implementing regulations. (29 U.S.C. § 211; 29 C.F.R. Part 516).

4. Child Labor. Must be at least 16 years old to work in most non-farm occupations covered under the FLSA and at least 18 years old to work in non-farm hazardous jobs. (29 U.S.C. §§ 212, 213(c); 29 C.F.R. § 570.2). Child labor restrictions also exist for agricultural employment. (29 U.S.C. § 213(c); 29 C.F.R. §§ 570.70-570.72).
 5. Reasonable break time for nursing mothers. Employers must provide reasonable break time and a suitable place for an employee to express breast milk for her nursing child for one year after birth each time employee needs to express the milk. (29 U.S.C. § 207(r)).
- C. Enforcement. Department of Labor (DoL) enforces the requirements of the FLSA. (29 U.S.C. §§ 204, 216). The FLSA also provides a private right of action. (29 U.S.C. § 216 (b)).
- D. “Independent Contractor” Rule.
1. On January 10, 2024, the U.S. Department of Labor published a final rule, effective March 11, 2024, revising the Department’s guidance on how to analyze who is an employee or independent contractor under the FLSA. *See* 29 C.F.R. Part 795; <https://www.federalregister.gov/documents/2024/01/10/2024-00067/employee-or-independent-contractor-classification-under-the-fair-labor-standards-act>. This final rule rescinded the Independent Contractor Status under the FLSA rule (2021 IC Rule), that was published on January 7, 2021, and replaced it with an analysis of the “economic realities” of the worker’s relationship with the purported employer to determine whether that worker was an employee or an independent contractor. Specifically, in the 2024 Rule, the DoL’s enforcement position was that, if the worker was economically dependent on the employer for work, then the worker would be considered an employee.
 2. However, on May 1, 2025, the DoL’s Wage and Hour Division (WHD) issued a Field Assistance Bulletin stepping back from the 2024 Rule and directing WHD investigators not to apply the 2024 Rule in their current enforcement matters, even though the 2024 Rule remains in place. *See* <https://www.dol.gov/sites/dolgov/files/WHD/fab/fab2025-1.pdf>. The Bulletin directs a return to the more traditional “economic realities” test. This means weighing several factors to determine whether a worker is truly in business for themselves or dependent on the hiring entity. The factors are:
 - Whether the work is integral to the business;
 - The duration and permanency of the relationship;

- The worker's investment in equipment or materials;
- The business's degree of control over the worker;
- The worker's opportunity for profit or loss;
- The level of market competition and initiative exercised; and
- The degree of independent business operation.

III. CONTRACT WORK HOURS AND SAFETY STANDARDS ACT (CWHSSA)

40 U.S.C. §§ 3701-3708, 29 C.F.R. § 4.181(b), 29 C.F.R. §§ 5.5(b), 5.8., 5.15, FAR Subpart 22.3, FAR RFO 22.4, FAR 52.222-4, DFARS Subpart 222.3

A. Covered Workers.

1. Laborers and Mechanics. Includes apprentices, trainees, helpers, watchmen, guards, firefighters, and workmen who perform services in connection with dredging or rock excavation in rivers and harbors (but not seamen).
2. Working on construction or service contracts in excess of \$200,000.
3. Exemptions.
 - a. Contracts valued at or below \$200,000. (FAR RFO 22.301-2).
 - b. Commercial products or services.
 - c. Transportation or transmission of intelligence.
 - d. Work performed outside the U.S., Puerto Rico, American Samoa, Guam, the U.S. Virgin Islands, Johnston Island, Wake Island, and the outer Continental Shelf (See FAR RFO 22.301-2).
 - e. Supplies that include incidental services that do not require substantial employment of laborers or mechanics.
4. Specific exemption by the Secretary of Labor in special circumstances, such as public interest or to avoid serious impairment of government business. (FAR RFO 22.301, 29 C.F.R. § 5.15).

B. Requirements.

1. Standard workweek: 40 hours of labor.
2. Overtime pay:

- a. Minimum of 1.5 times basic rate of pay for any hours in excess of 40 hours.
 - b. Practitioner's Note: As noted supra at II.B.2.b., Federal Government policy generally requires that contractors perform contracts without the use of overtime. (See FAR RFO 22.101-2).
 - 3. Certain health and safety requirements for construction industry (see 40 U.S.C. § 3704).
 - 4. For 3 years following contract completion, contractors and subcontractors must maintain the payroll and basic payroll records for each laborer and mechanic working on a contract. (See FAR 52.222-4(d)).
- C. Enforcement.
- 1. Day-to-day enforcement is by the Contracting Agency when used in conjunction with the Davis-Bacon Act; while DoL retains administrative and oversight enforcement authority.
 - 2. DoL has all enforcement authority when used in conjunction with the Service Contract Act.
- D. Remedies for Violations.
- 1. Termination for Default: After investigation and non-compliance found. (40 U.S.C. § 3704; FAR 49.401).
 - 2. Debarment: upon finding of aggravated or willful violation. (40 U.S.C. § 3704; 29 C.F.R. § 5.12).
 - 3. Liquidated Damages: contracting officer assesses at a rate of \$33 (as of July 2025, adjusted annually) for each affected employee per calendar day on which the employee worked in excess of 40 hours without paying required overtime compensation. (40 U.S.C. § 3703; 29 C.F.R. § 5.8; FAR Subpart 22.302 and 52.222-4(b)). Violations are investigated by DoL. The DoL report is ordinarily sent to the agency contract labor advisor who contacts the contracting office to collect the assessed liquidated damages.³
 - 4. Withholding Contract Funds:
 - a. Contracting officer withholds from payments due to contractor sufficient funds to satisfy subcontractor liabilities for unpaid wages and liquidated damages. (40 U.S.C. §3703; 29 C.F.R. § 5.9; FAR 22.302 and 52.222-4(c)).

³ The term "liquidated damages" for purposes of CWHSSA means a type of civil money penalty.

- b. Consult agency regulations for guidance on disposition of withheld funds.

IV. COPELAND (ANTI-KICKBACK) ACT

18 U.S.C. § 874 (criminal), 40 U.S.C. § 3145, 29 C.F.R. Part 3, 29 C.F.R. § 5.5(a)(3), FAR RFO 22.402-2, FAR RFO 22.404-1, FAR RFO 22.402-4; FAR 52.222-10

- A. Covered Workers. Any person engaged in the construction or repair of a public building or public work (including projects that are financed at least in part by federal loans or grants under the so-called Davis-Bacon related Acts). The Copeland Act applies in tandem with the Davis-Bacon Act and the Davis-Bacon related Acts.
- B. Requirements.
 - 1. Purpose: Prohibits employers from exacting “kickbacks” from employees as a condition of employment.
 - 2. Reporting: For construction contracts in excess of \$2,000, every covered contractor and subcontractor must provide the contracting officer with a weekly statement of wages, a “certified payroll,” paid to each laborer and mechanic during the preceding week and a signed compliance statement. Contractors may use Standard Form WH-357. (See FAR RFO 22.402-46; FAR 52.222-8 and -10; 29 C.F.R. § 3.3; 29 C.F.R. 5.5(a)(3)).
 - 3. Recordkeeping: Both the contractors and the agency must keep payroll records for three years after completion of the contract. (See FAR RFO 22.404-1).
 - 4. Construction contracts above \$2,000 must contain the clauses at FAR 52.222-8 (payroll and recordkeeping) and 52.222-10 (compliance with Copeland Act requirements). (FAR RFO 22.402-4).
- C. Enforcement.
 - 1. Contracting Agency conducts day-to-day enforcement (because linked to Davis-Bacon Act covered contracts).
 - 2. DoL administers the provisions of the Act and has oversight enforcement authority.
- D. Remedies.
 - 1. Civil and or Criminal Prosecution: up to 5 years imprisonment and/or a criminal fine.
 - 2. Termination for Default: based on willful falsification of statement of compliance.

3. Debarment: based on aggravated or willful violations or willful falsification of compliance statement.

V. DAVIS-BACON ACT (DBA) ((a.k.a. the CONSTRUCTION WAGE RATE REQUIREMENTS STATUTE))

40 U.S.C. §§ 3141-3144, 3146-3148, 29 C.F.R. Parts 1, 3, and 5,⁴ FAR Subpart 22.4, FAR clauses 52.222-5,6,7,9,11,12,13,14,15,16, DFARS Subpart 222.4.

A. Covered Workers and Contracts. (29 C.F.R. § 5.2; FAR 22.401).

1. Laborers or mechanics. (FAR 22.401, FAR RFO 22.402-3).

- a. Workers, employed by a contractor or subcontractor at any tier,⁵ whose duties are manual or physical in nature as distinguished from mental or managerial, including:

- (1) Apprentices, trainees, helpers – subject to specific limitations;
- (2) Working foremen who devote more than 20 percent of their time during a workweek to performing duties as a laborer or mechanic; and
- (3) Every person performing duties of laborer or mechanic, regardless of contractual relationship.

b. Exempted Employees:

- (1) clerical workers;
- (2) salaried workers with duties that are primarily executive, supervisory, or administrative in nature (see 29 C.F.R. Part 541); or
- (3) Watchmen and guards.⁶

⁴ On October 23, 2023, the Department of Labor updated regulations issued under the Davis-Bacon and Related Acts as part of the first comprehensive regulatory review in nearly 40 years. DOL updated and modernized the regulations at 29 CFR parts 1, 3, and 5, which implement the Davis-Bacon Act and the Davis-Bacon Related Acts, as described in detail here: <https://www.federalregister.gov/documents/2023/08/23/2023-17221/updating-the-davis-bacon-and-related-acts-regulations>.

⁵ The act applies to workers employed by a contractor or subcontractor at any tier. (29 C.F.R. §§ 5.2(h), 5.5(a)(6), 5.5(b)(4). *Cf. Ken's Carpets Unlimited v. Interstate Landscaping, Inc.*, 37 F.3d 1500 (6th Cir. 1994) (unpublished) (holding prime contractor alone responsible for DBA wages where prime failed to include proper clauses in subcontract, and failing to hold subcontractor accountable under the *Christian* doctrine)).

⁶ While guards and watchmen are not considered laborers or mechanics for DBA purposes, they are covered by the overtime requirements of CWHSSA. Therefore, contractors should include them on the payrolls for contracts with CWHSSA.

2. Working on federal contracts for construction, alteration, or repair of public buildings or public works performed in the U.S. that exceed \$2,000.
 - a. “Public building” or “public work” means a construction or repair project that is carried on by the authority, or with the funds, of a federal agency to serve the interests of the general public. (29 C.F.R. § 5.2).
 - b. “Site of the work.” (FAR 22.401; 29 C.F.R. § 5.2).
 - (1) The primary site of the work. The physical place or places where the construction called for in the contract will remain when it is completed; and
 - (2) The secondary site of the work, if any. Any other site located in the U.S. where a significant portion of the building or work is constructed, if it is established specifically for the performance of the contract or project.
 - (3) The site of the work can also include fabrication plants, mobile factories, batch plants, borrow pits, job headquarters, tool yards, etc., provided that they are: (1) dedicated exclusively (or nearly so) to performance of the contract or project, and (2) adjacent (or virtually adjacent) to the primary or secondary site of the work.
 - c. Construction, Alteration, or Repair means all types of work done by covered workers on a particular building or work at the site, including:
 - (1) Altering, remodeling, installation on the site of work of items fabricated off-site;
 - (a) Carpeting. If carpet installation is performed in connection with construction or general renovation project, DBA applies.
 - (b) Environmental Cleanup. If involves substantial excavation and reclamation or elaborate landscaping activity, DBA applies. Does not apply to simple grading and planting of trees, shrubs, and lawn, unless in conjunction with substantial excavation and reclamation.
 - (c) Demolition. DBA applies to demolition when further construction activity at the site is contemplated that would be covered by DBA or a DBRA. For example, demolition performed to

permit construction of a new building or highway.

- (d) Installation work in conjunction with a supply contract. DBA applies to installation of supplies (such as a security system) where the installation involves more than an incidental amount of construction.⁷
- (2) Painting and decorating;
 - (a) Asbestos and/or Paint Removal. DBA generally applies. However, the Service Contract Act applies if asbestos or paint is removed prior to demolition, and subsequent construction on the site is not contemplated. (*See* 29 C.F.R. 4.131(f)).
 - (b) Refinishing wood floors or concrete sealant application, DBA applies.
 - (c) For painting, the work is subject to the DBA if the order requires painting of 200 square feet or more, regardless of work hours. (*See* DFARS 222.402-70(d)(3)).
- (3) Manufacturing or furnishing of materials, articles, supplies, or equipment on the site of the building or work;
- (4) Transportation of materials within the site of the work (e.g., between the primary and secondary sites) is considered “construction” covered by the DBA.
- (5) Transportation of materials to and from the site is not considered “construction” covered by the DBA.⁸
- (6) Practitioner’s Note: Maintenance vs. Repairs. The DFARS provides a bright line test to determine whether, in unclear circumstances, work is maintenance (Service Contract Act) or repair (DBA). If a service order requires 32 or more work hours (or the painting of 200 square feet or more) the work is DBA-covered as “repair.” Otherwise, consider the work to be Service

⁷ The Department of Labor Field Operations Handbook, Chapter 15, contains discussions of this and other examples of the applicability of the DBA. <https://www.dol.gov/agencies/whd/field-operations-handbook>.

⁸ *See* 29 C.F.R. § 5.2; *Building & Constr. Trades Dep’t, AFL-CIO v. Department of Labor Wage Appeals Board*, 932 F.2d 985 (D.C. Cir. 1991), *rev’d* 747 F. Supp. 26 (D.D.C. 1990).

Contract Act-covered as “maintenance.” (DFARS 222.402-70(d)).⁹

3. Non-Construction contracts with partial DBA coverage. (See RFO FAR 22.402-1(b); DFARS 222.402-70).
 - a. Apply DBA standards to the work in question if the contract requires a substantial and segregable amount of construction, repair, painting, alteration, or renovation that also exceeds the DBA monetary threshold of \$2,000. (See 29 C.F.R. 4.116(c)(2)).
 - (1) Substantial: the type and quantity of construction work, not merely the dollar value.
 - (2) Segregable: the construction work being physically or functionally separate.
 - b. Apply DBA standards to supply contracts where there is more than a minor or incidental amount of construction. For example, an information technology acquisition may include infrastructure improvements to the facility as well as the purchase of the various computers, servers, network cabling, and other hardware.
 - c. Do not apply DBA standards to the work in question if the
 - (1) Construction work is merely incidental to other contract requirements; or the
 - (2) Construction work is so merged with non-construction work, or so fragmented in terms of the locations or time spans in which it is to be performed, that it cannot be segregated as a separate contractual requirement.

B. Requirements. (40 U.S.C. § 3142; RFO FAR 22.402-3).

1. Contractors must pay mechanics and laborers at least the applicable “prevailing wage rate” on covered contracts.
 - a. Coverage is determined on the prime contract level. This means that any subsequent task orders or subcontracts that are less than \$2,000 are still covered by the DBA once it was determined that the work on the overarching contract exceeded \$2,000.
 - b. DoL determines the prevailing wage rate, which normally is based on the wage actually paid to the majority of a class of employees in an area. (See 29 C.F.R. § 1.2).

⁹ While DFARS 222.402-70 applies primarily to installation support contracts, the coverage yardstick at subsection (d) applies more broadly.

- c. A wage determination is not subject to review by the Government Accountability Office or boards of contract appeals.¹⁰ However, an interested party can seek review of a wage determination within DoL. (29 C.F.R. § 1.8, 29 C.F.R. Part 7).
 - d. DBA “Wages” include the basic hourly pay rates plus fringe benefits.
2. Wage Determinations (WDs). (29 C.F.R. § 1.6; RFO FAR 22.404-1 and 22.404-3)
- a. Character of the Construction. There are four types of DBA WDs based on the character of the construction that is being done (*See* DoL All Agency Mem. No. 130):
 - (1) Residential – construction, alteration, or repair of single-family houses or apartment buildings of no more than 4 stories. Includes incidental items such as site work, parking, utilities.
 - (2) Building – construction of sheltered enclosures with walk-in access for the purpose of housing persons, machinery, equipment, or supplies. Examples include industrial buildings, barracks, detention facilities.
 - (3) Highway – the construction, alteration, or repair of streets, highways, runways, taxiways, alleys, trails, paths, parking areas, and other similar projects not incidental to building or heavy construction.
 - (4) Heavy – a “catch-all” category – those projects that are not properly classified as “building”, “highway”, or “residential”. Examples include dams, dikes, antenna towers, pipe lines, land leveling (not incidental to other construction).
 - b. General WDs. (*See* 29 C.F.R. §§ 1.5(b) and 1.6(a)(2); RFO FAR 22.404-1(a)).
 - (1) Contains prevailing wage rates for the types of construction specified in the determination and is used in contracts performed within a specified geographical area.

¹⁰ *See American Fed’n of Labor - Congress of Indus. Org., Bldg., and Constr. Trades Dep’t*, B-211189, Apr. 12, 1983, 83-1 CPD ¶ 386; *Woodington Corp.*, ASBCA No. 34053, 87-3 BCA ¶ 19,957; *but see Inter-Con Sec. Sys., Inc.*, ASBCA No. 46251, 95-1 BCA ¶ 27,424 (finding board has jurisdiction to consider effect of wage rate determination on contractual rights of a party).

- (2) Remains valid until modified or canceled by DoL.¹¹
 - (3) General WDs incorporated into a contract ordinarily remain effective for the life of a contract. However, if the contracting officer exercises an option to extend the term of the contract, the contract must be modified at that time to include the most current wage determination. (FAR RFO 22.404-1).
 - (4) If a general WD is applicable to the project, the agency may obtain a WD from sam.gov without notifying DoL. (FAR RFO 22.402-3).
- c. Project WDs. (29 C.F.R. § 1.6(a)(1); FAR RFO 22.402-3).
- (1) Issued at the specific request of a contracting agency only when no general WD applies.
 - (2) The project WD is effective for 180 calendar days from date of issuance. If it expires, the contracting officer must follow special procedures for extension of the 180-day life depending on whether sealed bidding or negotiation was used. (FAR RFO 22.402-3(b)).
 - (3) Once incorporated into a contract, the project WD is effective for the duration of that contract unless the contracting officer exercises an option to extend the term of the contract. (FAR RFO 22.404-1).
 - (4) Contracting officers may request project WDs from DoL by specifying the location of the project and including a detailed description of the types of construction involved and the estimated cost of the project. SF-308 is available for use.
 - (5) Processing time for a project WD is at least 30 days.
- d. Conformance Procedure (missing job classifications). (FAR RFO 22.404-1(d) and 52.222-6(b), 29 C.F.R. § 1.6(a)(1) and § 5.5(a)).
- (1) When a WD applicable to a contract or solicitation does not include all labor classifications needed for the contract, missing classifications must be added, or “conformed,” as follows.
 - (a) The contractor completes a SF-1444, proposing a wage rate for the missing classification that bears “a reasonable relationship” to one or more

¹¹ WDs of the DOL Wage and Hour Division appear at sam.gov.

labor classification listed in the WD, and sends the SF-1444 to the contracting officer.

- (b) The contracting office submits the completed SF-1444, related documentation and written concurrence or disagreement with the contractor's proposal to DoL for their determination and response.¹²
- (c) After receiving DoL's controlling response, the contracting officer provides a copy to the contractor.

- (2) While the conformance request is pending, the contractor may pay employees the rate it proposed for approval. If DoL approves a rate higher than the proposed rate, the contractor must pay the higher rate retroactive to the start of performance of that classification on the contract.

3. Contract Process.

a. Solicitations.

- (1) The contracting officer must include the appropriate WD and designate the work to which each determination applies in each solicitation covered by the DBA.
- (2) When the construction site is unknown at the time of a contract award, the contracting officer will incorporate the most current, applicable DBA WD at the issuance of each task order.
- (3) Solicitations issued without a WD must advise that the contracting officer will issue a schedule of minimum wage rates as an amendment to the solicitation. FAR RFO 22.402-3(c).¹³

¹² Contracting officers may submit completed SF1444 requests to DoL via email at DBAconformance@dol.gov by attaching a scanned completed form and all supporting documents in a 'pdf' file. SF-1444 are available at <https://www.gsa.gov/forms-library/request-authorization-additional-classification-and-rate>.

¹³ If an offeror fails to acknowledge an amendment to an IFB that adds or modifies a wage rate, the offer is nonresponsive if the trade covered by the WD is involved in the contract's scope. *ABC Project Mgmt., Inc.*, B-274796.2, Feb. 14, 1997, 97-1 CPD ¶ 74.

- (a) Sealed Bidding: may not open bids until a reasonable time after furnishing the WD to all bidders.
 - (b) Negotiated Procurements: may open the proposals and conduct negotiations before obtaining the WD, but the contracting officer must include the WD in the solicitation before calling for final proposal revisions. (FAR RFO 22.402-3(d)).
 - b. When the contract is awarded without the required WD, the contracting officer must:
 - (1) Modify the contract to incorporate the required WD, retroactive to the date of award, and equitably adjust the contract price, if appropriate. (FAR RFO 22.404-1(c)(1)(i)); or
 - (2) Terminate the contract. (FAR RFO 22.404-1(c)(1)(ii)).
- 4. Inclusion of Current WDs.¹⁴ (FAR Subpart 22.403).
 - a. General Rule: The requirement to include a current, new or revised DOL WD in a solicitation depends upon when the Contracting Agency “receives” notice of the WD.
 - (1) General WDs: receipt by the agency of actual written notice or constructive notice (publication on www.sam.gov) whichever occurs first.
 - (2) Project WD: actual receipt by the agency.
 - (3) Practitioner Note: “Agency” receipt is broadly defined. It is not dependent on when the contracting officer receives notice (as that may occur later). Contracting officers should continually monitor the www.sam.gov website for any new/revised version of WDs that may affect a solicitation.
 - b. Sealed Bidding. (FAR RFO 22.403(b)).
 - (1) Before bid opening, a new/revised WD is effective if:
 - (a) ≥ 10 calendar days before bid opening date: the contracting agency receives it, or DoL publishes

¹⁴ Revisions to DBA WDs are termed “modifications;” however, to avoid confusion with contract modifications, this chapter describes updates to WDs as revisions.

notice of the new or revised WD on
www.sam.gov.

- (b) < 10 calendar days before bid opening: the contracting agency receives it, or DoL publishes notice on the dedicated website, unless the contracting officer finds there is insufficient time before bid opening to notify prospective bidders.
 - (c) Practitioner's Note: when new/revised WDs for the primary site of work are effective before bid opening, the contracting officer must permit bidders to amend their bids. If necessary, bid opening must be postponed.
- (2) After bid opening, but before an award, a new or revised WD is effective if:
- (a) Award is not made within 90 days after bid opening. (FAR RFO 22.403(b)(6).
 - (b) Practitioner's Note: when new/revised WDs for the primary site of work are effective after bid opening, but before award, the contracting officer must:
 - (i) Award the contract and incorporate the effective WD on the date of contract award; or
 - (ii) Cancel the solicitation in accordance with FAR 14.404-1.
- (3) An effective new/revised WD received after award requires the contracting officer to do the following: (FAR RFO 22.403(b)(5)).¹⁵
- (a) Modify the contract to incorporate the revised rates retroactive to the date of award, and
 - (b) Equitably adjust the contract price.

c. Negotiated Procurements. (FAR RFO 403(d)(2)).

¹⁵ This exception - for either sealed bid or negotiated procurement - occurs when the Contracting Agency erred by failing to incorporate a WD in a covered contract, or incorporated the wrong WD. *See* FAR 22.404-6(b)(5) and 404-6(c)(3); *Twigg Corp. v. General Servs. Admin.*, GSBCA No. 14639, 99-1 BCA ¶ 30,217 (holding contractor entitled to an equitable adjustment where agency failed to incorporate a revised WD).

- (1) A new or revised WD before award is effective for contract incorporation purposes if:
 - (a) Received by the contracting agency or published on www.sam.gov. (FAR RFO 22.403(c)).
 - (b) If the contracting officer receives an effective WD before award, the solicitation must be amended to incorporate the new/revised WD. (FAR RFO 403(c)(1)).
 - (i) If closing date has not passed, all prospective offerors who were sent solicitations must be given a reasonable opportunity to revise proposals.
 - (ii) If closing date has passed, all offerors who submitted proposals must be given a reasonable opportunity to revise proposals.
- (2) An effective new/revised WD received after award, requires the contracting officer to do the following: (FAR RFO 22.403(b)(5)).
 - (a) Modify the contract to incorporate the new or revised rates retroactive to the date of award, and
 - (b) Equitably adjust the contract price.

5. Contracts with Options.

- a. The WD incorporated in a contract must be updated for the current version when contract options are exercised to extend the term of the contract. The contracting officer must modify the contract to incorporate the revised rates. (FAR RFO 22.404-1(h)).
- b. Whether or not incorporating current WDs at option exercise will result in a contract price adjustment depends on type of contract and the contract clause incorporated by the contracting officer. (FAR RFO 22.404-1(h)(6), 52.222-30, 52.222-31, 52.222-32, 52.222-5).
 - (1) FAR RFO 22.402-4(d), (e), and (f) require including one of three price adjustment clauses in solicitations and contracts that contain option provisions:
 - (a) FAR 52.222-30 (None or Separately Specified Method)

(b) FAR 52.222-31 (Percentage Method)

(c) FAR 52.222-32 (Actual Method)

C. Enforcement. While DoL retains administrative and oversight enforcement, day-to-day enforcement is by the Contracting Agency.

1. Contracting Agency: Compliance Checks and Investigations. (FAR RFO 22.404-2, DFARS 222.406-1).

a. Regular compliance checks:

- (1) Employee interviews;
- (2) On-site inspections;
- (3) Payroll reviews; and
- (4) Comparison of information gathered during checks with available data, e.g., inspector reports and construction activity logs.

b. Special compliance checks:

- (1) When inconsistencies, errors, or omissions are discovered during regular checks; or
- (2) Complaints are filed.

c. Labor Standards Investigations. (FAR RFO 22.404-2(c);; DFARS 222.406-8).

- (1) The contracting agency investigates when compliance checks indicate that violations are substantial in amount, willful, or uncorrected.
- (2) Practitioner's Note: DoL also may perform or request an investigation.
- (3) The contracting officer notifies the contractor of preliminary findings, proposed corrective actions, and certain contractor rights. (FAR RFO 22.404-2(c)(1)(vi)).
- (4) The contracting officer forwards a report to the agency head and to DoL within 60 days in the following circumstances (FAR RFO 22.404-2(c)(1)(vii)):
 - (a) Contractor/subcontractor underpaid by \$1,000 or more.

- (b) Contracting officer believes violations are aggravated or willful.
 - (c) Contractor/subcontractor has not made restitution.
 - (d) Future compliance has not been assured.
- (5) If the contracting officer finds substantial evidence of criminal activity, the agency head must forward the report to the U.S. Attorney General.

2. Department of Labor.

- a. Upon receipt of a complaint, DoL immediately refers the complaint to the Contracting Agency for enforcement action.
- b. If Contracting Agency enforcement attempts fail, DoL reviews the investigative file for final attempt at resolution of disputes concerning the labor standards provisions of the contract. (FAR 22.402-4(a)(9); FAR 52.222-14). DoL may also exercise its overarching enforcement authority.
- c. The Boards of Contract Appeals and federal courts review claims relating to labor disputes if the dispute is based on the contractual rights and obligations of parties.¹⁶
- d. Federal district courts also have jurisdiction to review appeals of DoL's implementation and adjudication of the DBA.¹⁷

D. Military Housing Privatization Initiative (MHPI)/Residential Communities Initiative (RCI).

- 1. The Army, Navy, and Air Force, through the Military Housing Privatization Initiative (MHPI) or Residential Communities Initiative (RCI), has entered into Public Private Ventures to privatize on-base housing. Under this initiative, in most instances, a private developer leases the land for a long term and then is responsible for constructing or renovating existing housing developments using military rental referrals to fund and maintain the newly renovated and privatized developments. Each Service has agreed to include DBA provisions and

¹⁶ See, e.g., *Burnside-Ott Aviation Training Center, Inc. v. United States*, 985 F.2d 1574, 1579-81 (Fed. Cir. 1993); *MMC Constr., Inc.*, ASBCA No. 50,863, 99-1 BCA ¶ 30,322 (claim for excessive DBA wage withholding); *Commissary Servs. Corp.*, ASBCA No. 48613, 97-1 BCA ¶ 28,749 (dispute regarding DBA offset when ultimate issue was whether same prime contractor was involved in both contracts); cf. *Page Constr. Co.*, ASBCA No. 39685, 90-3 BCA ¶ 23,012 (declining jurisdiction over claim that government breached statutory obligation).

¹⁷ See, e.g., *Building and Constr. Trades Dep't, AFL-CIO v. Secretary of Labor*, 747 F. Supp. 26 (D.D.C. 1990), reversed on other grounds by *Building and Constr. Trades Dep't, AFL-CIO v. U.S. Dep't. of Labor Wage Appeals Bd.*, 932 F.2d 985 (D.C. Cir. 1991).

applicable WDs in all MHPI contracts and has agreed that all developers will be required to comply with the DBA labor standard provisions.

2. The Installation Housing Asset Manager administers the application of DBA to MHPI.¹⁸

E. Remedies.

1. Suspending Contract Payments. The contracting officer shall suspend any further payment, advance, or guarantee of funds otherwise due to a contractor if a contractor or subcontractor fails or refuses to comply with the DBA. (FAR RFO 22.404-2(f)).
2. Withholding contract payments. The contracting officer shall withhold contract payments if the contracting officer believes a violation of the DBA has occurred, or upon request by the DoL. (40 U.S.C. § 3142(c)(3); 29 C.F.R. § 5.5(a)(2); FAR RFO 22.404-2(e)).¹⁹
3. Termination for Default. (40 U.S.C. § 3143).
4. Debarment. The contractor may be debarred for disregard of its DBA obligations to employees or subcontracts. (40 U.S.C. § 3144; 29 C.F.R. § 5.12).

F. Private Right of Action. The *Christian* doctrine does not provide a DBA private right of action. The Supreme Court has determined that if clauses required by the DBA are omitted from a construction contract, a contractor ***is not subject to private suit by aggrieved employees***. This is because Congress intended the DBA to strike a balance between the rights of employees and the rights of contractors. *Univs. Research Ass'n, Inc. v. Coutu*, 450 U.S. 754, 782-84 (1981).

G. Miller Act (a.k.a. the Bonds Statute) (40 U.S.C. §§ 3131-3134, FAR 28.102, FAR 52.228-15).

1. The Miller Act requires surety bonds on federal construction projects for contracts exceeding \$150,000. Prime contractors must post a performance bond and a payment bond covering all labor and material. The payment bond protects those supplying labor and/or materials. Applicable forms are referenced FAR 53.300 and available at

¹⁸ The Army Assistant Chief of Staff for Installation Management (ACSIM) has prepared a Portfolio and Asset Manager's Handbook that identifies the duties and responsibilities of the Asset Manager to include DBA compliance procedures. Available at https://www.asaie.army.mil/sites/default/files/PDF/PAM_Handbook_Version%206.0%20Final_Reduced_Size.pdf.

¹⁹ See *Westchester Fire Insurance Co. v. United States*, 52 Fed. Cl. 567 (2002) (although contract terminated five months earlier, contracting officer was required to withhold funds per DoL request).

www.gsa.gov/forms (SF-25 Performance Bond and SF-25A Payment Bond).

2. The contracting officer shall insert FAR 52.228-15 (or one accomplishing the same purpose) in solicitations and contracts for construction expected to exceed \$150,000. (If the expected contract value is over \$35,000 but under \$150,000, the contracting officer shall insert FAR 52.228-13 specifying the payment protection selected. (FAR 28.102-1(b)).
3. Failure by a prime contractor to pay suppliers and subcontractors gives such suppliers and subcontractors the right to sue the contractor in U.S. District Court. https://www.gsa.gov/cdnstatic/miller_brochure.pdf.

VI. MCNAMARA-O'HARA SERVICE CONTRACT ACT OF 1965 (SCA) (a.k.a. the SERVICE CONTRACT LABOR STANDARDS STATUTE)

41 U.S.C. §§ 6701-6707, 29 C.F.R. Part 4, FAR Subpart 22.10, DFARS Subpart 222.10.

A. Covered Contracts and Workers. (FAR 22.1002-1).

1. Service Contracts. (41 U.S.C. § 6702; FAR RFO 22.1002-2).
 - a. Contracts made by the federal government;
 - b. Amount > \$2,500; and
 - c. Principal purpose is to furnish services through the use of service employees. (*See* 29 C.F.R. § 4.130 and FAR RFO 22.001 for examples of service contracts covered).
 - d. SCA does NOT apply if the principal purpose of the contract is to provide something other than services, or the services performed are merely incidental to a non-service contract.²⁰ (*See* 29 C.F.R. § 4.134).
2. Service Employees. (41 U.S.C. § 6701).
 - a. Any person engaged in the performance of a service contract or subcontract;

²⁰ For example, the rental of vehicles alone is a contract for a tangible item and not a covered service contract; however, the SCA does apply if the rental is for vehicles with operators. Also, contracts for printing, reproduction, and duplicating are ordinarily for the principal purpose of furnishing written materials rather than the furnishing of services through the use of service employees; however, in some cases, the details of the procurement may indicate that its purpose is chiefly the furnishing of services.

- b. Regardless of the existence of a contractual relationship with a contractor or subcontractor; but
 - c. Does NOT include persons employed in bona fide executive, administrative, or professional capacities, under 29 C.F.R. Part 541.
3. Exemptions. (41 U.S.C. § 6702; 29 C.F.R. §§ 4.115 to 4.122; FAR RFO 22.1002-1(e).
- a. Contracts principally for the construction, alteration, or repair (including painting and decorating of public buildings or public works).
 - (1) These are covered by the DBA.
 - (2) Practitioner’s Note: Contracting Officers must incorporate DBA provisions and clauses into a service contract if there is a substantial amount of segregable construction work. (*See supra* at V.A.3.a.).
 - b. Contracts principally for the manufacture or delivery of supplies, materials or equipment are covered by the Walsh-Healy Public Contracts Act, 41 U.S.C. §§ 6501-6511. (*See infra* at VII). The remanufacturing of equipment falls within this SCA exemption and requires that the
 - (1) Equipment is completely or substantially torn down and totally rebuilt – such as with aircraft engines or large generators and compressors – at a contractor's facility. Remanufacturing work differs from SCA-covered work maintaining, testing and otherwise servicing equipment to keep it in working order. Prior to applying the remanufacturing exemption, all criteria at FAR 22.1003-6 should be carefully reviewed.
 - (2) Practitioner’s Note: Under certain circumstances, an SCA-covered contract may include some non-covered work that is, for example, for the manufacture or delivery of supplies, materials, or equipment. (*See infra* at VII.A.3.).
 - c. Contracts for transporting freight or personnel by vessel, aircraft, bus, truck, express, railroad, or oil or gas pipelines where published tariffs are in effect.
 - d. Contracts for public utility services.
 - e. Contracts for furnishing services by radio, telegraph, telephone, or cable companies subject to the Communications Act of 1934.

- f. Employment contracts providing for direct services to a Federal Agency by an individual or individuals.
 - g. Contracts principally for operating postal contract stations for the U.S. Postal Service.
4. Administrative Limitations, Variances, Exemptions. (29 C.F.R. § 4.123; FAR RFO 22.1002-1).
- a. The DoL may establish reasonable variations, tolerances, and exemptions from SCA provisions (41 U.S.C. § 6707) if it determines that it is:
 - (1) necessary in the public interest, or
 - (2) avoids serious impairment of federal government business, and
 - (3) is within the overall purpose of protecting prevailing labor standards.
 - b. When services are to be performed by both non-exempt and exempt employees, if a substantial portion (around 20% or more) of the services are performed by non-exempt employees, then the SCA applies to that work performed by those employees. (29 C.F.R. §§ 4.113(a)(3), 4.113(a)(4)).

B. Requirements.

- 1. Covered service contracts must contain the applicable FAR clauses and mandatory provisions regarding:
 - a. Minimum wages. (29 C.F.R. §§ 4.161 - 4.163; FAR 22.1002-2).
 - (1) A contractor must pay service employees wages not less than what is required by the prevailing WD applicable to the contract, or
 - (2) In accordance with economic terms of an applicable collective bargaining agreement (CBA), or
 - (3) If there is no prevailing WD or an effective CBA, the FLSA minimum wage applies. (But note, for covered contracts, EO 13658 requires a higher minimum wage than the FLSA, *see infra* at IX.)
 - b. Fringe benefits,²¹

²¹ Examples of those provided include medical/hospital care, pensions, workers compensation, unemployment benefits, life insurance, disability pay, and those not otherwise required under federal, state or local law.

- c. Safe and sanitary working conditions,
 - d. Recordkeeping and posting requirements such as notification to employees of the minimum allowable compensation, and
 - e. Statement of rates paid to equivalent federal employees.
2. SCA WDs. (FAR RFO 22.1004-1; DFARS 222.1008; 29 C.F.R. § 4.143).
- a. The contracting officer must obtain current WDs for:
 - (1) Each new solicitation and contract exceeding \$2,500;
 - (2) A contract modification that increases the contract value to over \$2,500, and,
 - (a) Extends the contract pursuant to an option clause or otherwise; or
 - (b) Changes the scope of a contract in a way that affects labor requirements significantly.
 - (3) On multiple year contracts in excess of \$2,500,²² obtain the current new or revised WD at the following times:
 - (a) Annually, on the anniversary date of the start of performance, if funding is subject to annual appropriations, or
 - (b) Biennially, on the anniversary date of the start of performance, if funding is not subject to annual appropriations and its proposed term exceeds two years.
 - (c) Practitioner's Note: the default practice for updating service task orders exceeding one year is to use the task order's start of performance date as the annual/biennial anniversary date on which to obtain WDs.
 - b. Proper WD (FAR RFO 22.1002-3).
 - (1) General Rule: use the current prevailing WD for the area or locality of contract performance from www.sam.gov.

²² For purposes of FAR Subpart 22.10, the term "multiple year contract" means a contract having a term of more than 1 year. Compare FAR 17.103.

- (2) Contract Specific WD: where no standard prevailing WD is available, the contracting officer must request a contract specific determination from DoL by submitting a SF-e98 electronically.
 - (3) If DoL does not issue a WD to cover SCA employees, then the EO 13658 minimum wage for government contractors applies. (*See infra* at IX).
- c. CBA-Based WDs: Successor Contract Rule. (41 U.S.C. § 6707(c); FAR RFO 22.1002-3; 29 C.F.R. 4.163).
 - (1) Under the statute, a contractor must pay wages and fringe benefits at least equal to those contained in a CBA effective under the previous contract for new contracts, or options, for substantially the same services, performed in the same locality.
 - (2) Contracting officers must inquire “early in the acquisition cycle” if the predecessor/incumbent contractor has a CBA applicable to workers performing on the contract. (FAR 22.1008-2(a)).
 - (3) The “Successor Contract” rule usually applies only to the base period of the follow-on contract, after which a prevailing WD would apply, or a WD based on a CBA between the follow-on contractor and the union.
 - (4) Successor Contract Rule Limitations. (FAR RFP 22.1002-3(b), FAR RFO 22.1003(b)).
 - (a) The CBA’s wage and fringe benefit terms must apply during the predecessor contract/period of performance to control for the successor contract/period of performance. Thus, a CBA is NOT applicable to a follow-on period of performance/contract if it did not become effective until after the expiration of the incumbent’s contract.
 - (b) DoL may determine, usually after an evidentiary hearing, that a CBA was not negotiated at arms-length, or that a CBA’s rates vary substantially from locally prevailing rates for the same or similar services. The party challenging the CBA bears the evidentiary burden of proof. (29 C.F.R. §§ 4.10, 4.11 and 4.163).

- d. Conformance Procedure (missing job classifications). (FAR RFO 22.1004-2 and 52.222-41(c), 29 C.F.R. §§ 4.6(b)(2) and 4.152(c)(1)). See Section V.B.2.d, *infra*.
- e. Timeliness Rules for Including Revised/New WDs. (29 C.F.R. § 4.5(a)(2); FAR RFO 22.1003).
 - (1) Sealed bidding. (FAR RFO 22.1003).
 - (a) If notice of WD or CBA is received 10 days or more before bid opening, then incorporate the WD or CBA into the solicitation.²³
 - (b) If notice of WD or CBA is received less than 10 days before bid opening do not incorporate the WD or CBA into the solicitation, unless the Contracting Officer finds that there is reasonable time to notify bidders.²⁴
 - (2) Negotiations. (FAR RFO 22.1003).
 - (a) If notice of WD or CBA is received before contract award - or modification to exercise an option or extend the contract - then incorporate the WD or CBA into the solicitation or the existing contract to be effective the first day of the new period of performance.
 - (b) If notice of WD or CBA is received after award of contract - or option exercise/extension - and performance starts within 30 days after award/option, then do NOT incorporate the WD or CBA.

CBA example: An option is exercised on 15 Sept., and performance begins 1 Oct. Then the contractor's CBA notice deadline is 15 Sept.
 - (c) If notice of WD/CBA is received after award/option but performance starts later than 30 days after award/option, then incorporate WD/CBA provided notice of WD/CBA received NLT 10 days before start of performance.

²³ Only the CBA's economic terms (wages and fringe benefits) become part of the government contract.

²⁴ A special rule applies to WDs obtained by the e98 process for which delays over 60 days in bid opening occurred - for both sealed bidding and negotiated procurement. (FAR 22.1014).

CBA example: A contract is awarded on 15 Aug., and performance begins 1 Oct. Then the contractor's CBA notice deadline is 21 Sept.

- (3) FAR RFO 22.1003(d) - Notification to interested parties under CBAs
 - (a) Contracting officers must provide written notification to the incumbent contractor and any union recognized by the contractor NLT 30 days prior to the issuance of a solicitation, exercise of options, extensions, or award of a new contract.
 - (b) Practitioner's Note: Issuing a letter of intent to exercise an option, per FAR Part 17, does not fulfill the FAR 22.1003 notice requirement, unless the letter of intent has an explicit section for FAR 22.1003 purposes and is sent to the union representative in addition to the contractor.
 - (c) Practitioner's Note: Failure to provide proper, timely FAR 22.10003 notification will prevent application of the contractor's FAR 22.1003 CBA notice deadlines, resulting in late CBAs applying, nonetheless, to the service contract.

A sample letter for FAR 22.10003 notification is at Appendix A.

- 3. Nondisplacement of Qualified Workers. Provides that when a service contract expires, and a follow-on contract is awarded for the same or similar services, the Federal Government's procurement interests in economy and efficiency are best served when the successor contractor or subcontractor hires the predecessor's employees, thus avoiding displacement of these employees. *On January 20, 2025, this rule was revoked.* However, the revocation does not automatically void existing contractual terms for contractors that impose obligations under EO 14055 or the DOL Final Rule codified in 29 C.F.R. § 9.1, et seq. Rather, it provides a directive to Agency officials to take appropriate steps, using their agency authority, to comply with the Rescinding EO.
 - a. Executive Order 14148, dated January 20, 2025, revoked this rule by rescinding Executive Order 14055. Executive Order 14055 had revoked Executive Order 13897 of October 31, 2019 (Improving Federal Contractor Operations by Revoking Executive Order 13495). *See* 29 C.F.R. Part 9.

- b. Executive Order 13897, issued October 31, 2019, revoked Executive Order 13495. FAR Case 2020-01 removed subpart 22.12 effective 5 June 2020 (85 Fed. Reg. 27,087, June 5, 2020).
 - c. Executive Order 13495, issued January 30, 2009, imposed a requirement that successor contractors and subcontractors offer the employees of the predecessor contract a right of first refusal of employment. This requirement was implemented in FAR 22.12, FAR 52.222-17, and 29 C.F.R. Part 9.
 - d. On October 31, 2019, Executive Order 13897 was issued revoking EO 13495 and the nondisplacement rule.
 - e. FAR Case 2020-01 removed FAR 22.12 effective 5 June 2020. Contracting Officers should not take any action on any complaints filed under the former FAR subpart 22.12.
4. Price Adjustments Contract Clauses.²⁵ (FAR 52.222-43; 52.222-44).
- a. Generally, SCA price adjustments are allowed only for increases due to Congressional or DoL action. For example, if the FLSA minimum wage rate is amended or a WD revision incorporated upon exercise of an option increases labor costs, then the contractor is entitled to an adjustment under the applicable clause,²⁶ however
 - (1) Adjustments for increased wages arising out of a CBA negotiated during a contract period of performance are not retroactive to date of CBA execution. Contract price adjustments in these cases apply only upon subsequent option exercise or to a follow-on contract.²⁷
 - (2) A contractor is not entitled to a price adjustment for the increased costs, such as during a base year, of

²⁵ These price adjustment clauses are generally not included in cost contracts.

²⁶ See *Williams Servs., Inc.*, ASBCA No. 41121, 91-1 BCA ¶ 23,486; *Cf. Sterling Servs., Inc.*, ASBCA No. 40475, 91-2 BCA ¶ 23,714 (allowing partial relief on claim arising from corrected WD).

²⁷ See *Ameriko, Inc., d/b/a Ameriko Maint. Co.*, ASBCA No. 50356, 98-1 BCA ¶ 29,505 (holding contractor was not entitled to price adjustment for increase in base year wages where increase was due to CBA executed after contract award); *Classico Cleaning Contractors, Inc.*, DOTBCA No. 2786, 98-1 BCA ¶ 29,648 (holding contractor could not recover during first option year for increases under CBA executed during same year). *Phoenix Management, Inc.*, ASBCA No. 53409, 02-1 BCA ¶ 31,704 (agency required to comply with DoL's WD because contracting officer failed to seek clarification regarding employees included in the CBA). But See *Alutiiq Commercial Enterprises, Inc.*, ASBCA No. 61503, 20-1 BCA ¶ 37,506 (finding that the contractor was entitled to a price adjustment under FAR 52.222-43 for increased costs associated with a new CBA executed after an option was exercised because the CO failed to provide the 30-day notice required by FAR 22.1010(b) to the contractor and the CBA agent).

complying with a WD that existed at the time of contract award.²⁸

Exception: The Federal Circuit has allowed SCA price adjustments for fringe benefit compliance cost increases in option years, even when not caused by Congressional or DoL action. (*See Lear Siegler Servs. v. Rumsfeld*, 457 F.3d 1262, 1269 (Fed. Cir. July 28, 2006) (CBA health benefits plan increases); *United States v. Serv. Ventures, Inc.*, 899 F.2d 1 (Fed. Cir. 1990) (vacation benefit amount increases)). In these cases, the contractor did not cause the unforeseen fringe benefit compliance cost increases. These decisions do not support a price adjustment in the base year of the service contract for unanticipated costs of fringe benefit compliance – such as vacation benefits.

- b. It is the contractor's responsibility to submit a detailed proposal to adjust the contract price because of a new/revised WD or CBA.
 - (1) The contractor is only entitled to an adjustment when it demonstrates there is a causal relationship between the new/revised WD and the increased cost it incurs in wages and fringe benefits for its service employees.
 - (2) Contract price may also be adjusted downward when voluntarily made by the contractor. Request must be made within 30 days of the date when the new/ revised WD is incorporated into the contract.
- c. Recovery under the price adjustment clauses is limited to wages, fringe benefits, social security, unemployment taxes, and workers' compensation. It will NOT include general or administrative costs, overhead, or profit. (FAR 52.222-43(e)). In this respect, SCA price adjustments differ from equitable adjustments.
- d. Adjustments on other bases.
 - (1) Not all adjustments for increased wage rates are made under the FAR "price adjustment" clauses. The contractor may be able to show that recovery is based on a clause other than a price adjustment clause (e.g., changes clause).²⁹

²⁸ *Holmes & Narver Servs.*, ASBCA No. 40111, 93-3 BCA ¶ 26,246 (holding contractor could not recover cost of complying with WD that had not changed); *Johnson Controls World Servs., Inc.*, ASBCA No. 40233, 96-2 BCA ¶ 28,548 (agency not liable for failing to inform contractor of previously disapproved conformance request).

²⁹ For example, the parties may agree to wage revisions outside the terms of the price adjustment clauses. *Security Servs. Inc. v. General Servs. Admin.*, GSBCE No. 11052, 93-2 BCA ¶ 25,667. The price adjustment clauses may not

- (2) Mutual mistake concerning employee classification or the propriety of a WD may shift the cost burden to the government.³⁰ For this reason, contracting agency should avoid opining on the exempt status of contract employees.

C. Enforcement.

1. DoL enforces SCA compliance.
2. Contracting Agency responsibility is to ensure that the proper labor standard clauses and appropriate WDs are in the contract.

D. Remedies.

1. Termination for Default. (41 U.S.C. § 6705(c)).
2. Three-Year Prohibition on New Contracts. (41 U.S.C. § 6706).
3. Withholding of Contract Funds. (41 U.S.C. § 6705; 29 C.F.R. § 4.187).

VII. WALSH-HEALEY PUBLIC CONTRACTS ACT (PCA) (a.k.a. the CONTRACTS FOR MATERIALS, SUPPLIES, ARTICLES AND EQUIPMENT STATUTE)

41 U.S.C. §§ 6501-6511; 41 C.F.R. Parts 50-201 to 50-210; FAR Subpart 22.6: FAR 52.222-20; DFARS Subpart 222.6.

A. Covered Workers and Contracts.

1. Contracts for manufacture or furnishing of materials, supplies, articles, and equipment that exceed \$20,000.
2. Exemptions. (FAR RFO 22.601-3).
 - a. Perishables, including livestock, dairy, and nursery products.
 - b. Agricultural or farm products processed for first sale by the original producer.

apply where the adjustment occurred during base year of contract and was not due to a FLSA minimum wage increase. *See, e.g., Lockheed Support Sys., Inc. v. United States*, 36 Fed. Cl. 424 (1996) (holding that price adjustment clause did not apply to a wage rate price adjustment made four months after the start of a contract). *Professional Servs. Unified, Inc.*, ASBCA No. 45799, 94-1 BCA ¶ 26,580 (price adjustment clause inapplicable where adjustment occurred after contract award).

³⁰ *See, e.g., Richlin Sec. Serv. Co.*, DOTBCA Nos. 3034, 3035, 98-1 BCA ¶ 29,651 (mutual mistake as to employee classification).

- c. Agricultural commodities or products purchased under contract by the Secretary of Agriculture.
- d. Public utility services.
- e. Supplies manufactured outside the U.S., Puerto Rico, and the U.S. Virgin Islands.
- f. Newspapers, magazines, or periodicals contracted for with sales agents or publisher representatives
- g. Items where the contracting officer is authorized by a PCA-exempting statute to purchase “in the open market,” such as commercial items. .

3. Dual Statute Coverage.

- a. PCA and SCA. When supplies and services specifications are combined in the same contract for the procurement of different or unrelated items, the PCA and SCA may apply to different portions of the procurement. (29 C.F.R. §§ 4.117, 4.131 and 4.132).
- b. PCA and DBA. If installation of supplies is “minor and incidental,” then DBA will not be required. If installation requires more than an incidental amount of construction, DBA will likely be required for that portion of contract performance. (FAR RFO 22.402-1(a) and 29 C.F.R. 4.116).

B. Requirements. (41 U.S.C. § 6502).

- 1. Must pay at least the prevailing minimum wage, if any, otherwise the FLSA minimum wage.
 - a. In the past, DoL determined the PCA prevailing wage based on similar wages in the applicable industry and locale in which the supplies are to be manufactured or furnished under a contract.
 - b. Currently, there is no PCA prevailing wage rate determination activity, nor has there been for over 40 years. As a result, the FLSA minimum wage also serves as the PCA minimum wage.
- 2. Overtime Provisions. Maximum workweek is established as 40 hours.
- 3. Child and Convict Labor. No one under the age of 16 or incarcerated individual.
- 4. Health and Safety Requirements.

C. Enforcement by DoL.

D. Remedies. (41 U.S.C. § 6503-6504)

1. Termination for Default.
2. Three-Year Prohibition on New Contracts.
3. Withholding Contract Funds.
4. Liquidated Damages (\$10.00 a day for each employee paid improperly).

VIII. DEFENSE BASE ACT (OVERSEAS CONTRACTS ONLY)

42 U.S.C. §§ 1651-1655; FAR Subpart 28.3.

A. Covered Workers and Contracts.

1. The Defense Base Act, in conjunction with the War Hazards Compensation Act, 42 U.S.C. 1701, provides workers compensation type insurance coverage for contractor employees performing under government contracts outside the United States, including those in U.S. Territories and possessions.
2. Applies to federal contracts with employees:
 - a. Engaged in U.S. government funded public works.
 - b. Engaged in public works or military contracts with a foreign government which has been deemed necessary to U.S. national security.
 - c. Providing services funded by U.S. government outside realm of regular military issue or channels.
 - d. Any subcontractor of prime involved in a contract that qualifies under a-c supra.
 - e. If any one of the above criteria is met, all employees engaged in such employment, regardless of nationality, are covered under the Act.
 - f. May be waived by the Secretary of Labor.
 - (1) Once granted, the waiver is only valid if alternative workers' compensation benefits are provided to the waived employees pursuant to applicable local law.
 - (2) A list of countries with Defense Base Act waivers, as well as procedures for requesting a waiver, can be found at the DPC website
<https://www.acq.osd.mil/asda/dpc/cp/policy/dba-insurance.html>.

3. Used in conjunction with the Longshore and Harbor Workers' Compensation Act (LHWCA), 33 U.S.C. 901 et seq.
 - a. Provides workers compensation type insurance coverage for federal contractor employees engaged in maritime employment.
 - b. The Defense Base Act adopts the provisions of the LHWCA, with a few exceptions. The insurance requirements for the Defense Base Act are identical to those found in the LHWCA.
- B. Requirements.
 1. Covers injury or death of covered employees.
 2. Requires contractor to obtain Defense Base Act insurance prior to performance of contract.
 3. Provides injury benefits such as medical care, disability compensation, and death benefits.
 4. Provides minimum insurance coverage for covered employees.
- C. Contract Actions. As prescribed by FAR 28.309 or 28.310, insert FAR 52.222-3, 52.222-4, or 52.222-5 in applicable contracts.
- D. Enforcement. DoL, Office of Workers' Compensation Program (OWCP). ([See https://www.dol.gov/owcp/dlhwc/lsdba.htm](https://www.dol.gov/owcp/dlhwc/lsdba.htm)).

IX. CONTRACT MINIMUM WAGE - EXECUTIVE ORDERS 13658 AND 14026

79 Fed. Reg. 9,851, 83 Fed. Reg. 2,531, FAR Subpart 22.19, FAR 52.222-55, 29 C.F.R. Part 10

- A. DoL annually adjusts the minimum wage rate for immediate application to covered contracts.
- B. FAR Implementation.
 1. The FAR amendments established Subpart 22.19 and FAR clause 52.222-55.
 2. The clause requiring the minimum wage is inserted in contracts that include FAR 52.222-6 (DBA Contracts) or FAR 52.222-41 (SCA Contracts). (FAR 22.1906).³¹

³¹ The minimum wage EO also applies to concession contracts excluded from SCA coverage at 29 C.F.R. § 4.133(b), and to contracts in connection with Federal property or lands that offer services for Federal employees, their dependents, or the general public. (29 C.F.R. § 10.2).

3. The EO, as amended, at § 7(f) excludes from coverage seasonal recreational services, or seasonal recreational equipment rental services, for the general public on federal lands. Not exempted, however, are lodging and food services associated with seasonal recreational services. (EO 13838, 83 Fed. Reg. 2531 (June 1, 2018)).
 4. Various provisions are in place to enforce this requirement, including payroll records, enforcement procedures, special requirements for tipped workers, and subcontract flow down requirements.
- C. Price adjustment. When an annual raise is implemented, there are procedures under FAR 52.222-55 for the contractor to request a price adjustment for any costs resulting from the annual raise.
 - D. Practitioner’s Note: The EO minimum wage usually appears on the first page of DBA and SCA WDs. In most cases, all the other rates listed on the WDs will exceed that of the EO minimum wage.
 - E. EO 14026 (86 Fed. Reg. 22,835) – On April 27, 2021, President Biden signed Executive Order 14026. EO 14026 superseded EO 13658 for particular contracts and directed that the minimum wage for federal contractors increase to \$15.00 effective January 30, 2022. Similar to current provisions, the minimum wage has then increased annually, effective January 1 of each year, beginning January 1, 2023. On January 1, 2023, the minimum wage increased to \$16.20 per hour and on January 1, 2024, the minimum wage increased to \$17.20 per hour. *On March 14, 2025, President Trump revoked EO 14026 through EO 14236. See <https://www.whitehouse.gov/presidential-actions/2025/03/additional-recissions-of-harmful-executive-orders-and-actions/>. Thus, new contracts are not be subject to the Biden-era minimum wage and the minimum wage is now \$13.30 per hour for federal contractors covered by President Obama’s 2014 EO 13658, which remains in effect.*

X. EXECUTIVE ORDER 13665 – NON-RETALIATION FOR DISCLOSURE OF COMPENSATION INFORMATION

79 Fed. Reg. 20,749,, , 41 C.F.R. Part 60-1

- A. Prohibits contractors from discharging or otherwise discriminating against any employees or job applicants because they inquire about, discuss, or disclose their own compensation or the compensation of another employee or applicant. (79 Fed. Reg. 20,749 (Apr. 11, 2014)).
- B. In effect, the rule prohibits federal contractors from enforcing compensation confidentiality agreements.
- C. DoL regulations, implemented in the FAR, apply to covered federal contracts and subcontracts entered into on, or modified after, January 11, 2016. <https://www.dol.gov/ofccp/paytransparency.html>.

D.

XI. EXECUTIVE ORDER 13706 – CONTRACT PAID SICK LEAVE

80 Fed. Reg. 54,697, FAR Subpart 22.21, FAR 52.222-62, 29 C.F.R. Part 13.

- A. Requires federal contractors to provide at least 1 hour of paid sick leave for every 30 hours worked to covered employees. (80 Fed. Reg. 54,697 (Sept. 10, 2015), FAR RFO 22.2102-3).
- B. FAR Implementation. The FAR requires contracting agencies to include FAR 52.222-62 in covered solicitations and contracts that include FAR 52.222-6 (DBA Contracts) or FAR 52.222-41 (SCA Contracts).³²
- C. Overview.
 - 1. PSL does not preempt or supersede state or local leave requirements.
 - 2. PSL is available for certain use not related to illness, such as those related to domestic violence, assault, or stalking circumstances.
 - 3. Employees exempt under 29 C.F.R. Part 541 are entitled to PSL.
 - 4. In addition to the basic paid leave requirement, FAR 52.222-62 mandates various record keeping and enforcement provisions, but does not contain price adjustment procedures.

XII. LABOR RELATIONS

29 U.S.C. §§ 157, 158, FAR 22.101, DFARS 222.101, PGI 222.101, AFARS 5122, AAFARS 5322, NMCARS 5222, 32 C.F.R. § 552.18(k)

- A. Strict Impartiality.
 - 1. “Agencies shall remain impartial concerning any dispute between labor and contractor management and not undertake the conciliation, mediation, or arbitration of a labor dispute.” (FAR RFO 22.104-1(a)).
 - 2. Civilian and military personnel must avoid interfering with or influencing the contract labor relations activity, including collective bargaining negotiations. Contracting officers, however, may wish to engage the contractor to seek assurance of continued contract performance. Some contracts will contain FAR 52.222-1 (Notice to the Government of Labor Disputes) and a contractor strike plan.

³² The PSL EO also applies to concession contracts excluded from SCA coverage at 29 C.F.R. § 4.133(b), and to contracts in connection with Federal property or lands that offer services for Federal employees, their dependents, or the general public. (29 C.F.R. § 13.3).

B. Base Access.

1. Within an installation commander's general authorities and general responsibilities is responding to requests from private sector union representatives to enter the installation. (32 C.F.R. § 552.18(k); *see, e.g.*, SECNAV Instruction 4200.36A).
2. Such access, exclusively for matters directly connected with the Government contract on the installation, are often granted provided, among other things, that
 - a. The presence and activities of the labor representatives will not interfere with the progress of the contract work involved; and
 - b. The entry of the representatives to the installation will not violate pertinent safety or security regulations.

C. Reserve Gates

1. Demonstrations involving labor disputes generally are not permitted on installations or controlled sites. For labor demonstrations or picketing in the immediate vicinity outside an installation, apply procedures established by policy, or recommended by the contract labor advisor, to minimize adverse impact on base operations or missions without interfering with rights under the National Labor Relations Act, 29 U.S.C. §§ 151-169.
2. Under a reserve gate system, command designates an access gate, or gates, for the exclusive use of the relevant contract.
3. Overview.
 - a. Designated gate provides the sole means of access for the targeted contractor's employees and suppliers.
 - b. Other gates are reserved for the use of other, neutral contractors and their employees and suppliers.
 - c. Related picketing occurs only in the vicinity of the designated gate
 - d. Command sends letters to contractor and union; provides notices to base personnel, posts signs, and monitors gates. Sample documents are provided at Appendices B and C.

- D. Role of the Contract Labor Advisor. The command contracting office shall contact the agency contract labor advisor for assistance concerning such contract labor relations matters. (AFARS 5122.101, PGI 222.101).

XIII. CONCLUSION.

Direct all questions concerning DoL regulations, usually implemented in FAR Part 22, to the agency contract labor advisor. (DFARS 222.403-470).

APPENDIX A: SAMPLE FAR RFO 22.1004-6 NOTIFICATION LETTER

Mr. John Jones, President
ABC Janitorial Services, Inc.
123 Main Street
Washington DC 20374

and

Mr. Harry Smith, Business Representative
Laborers Union Local #10
456 Front Street
Washington DC 20374

Subject: Contract N12345-01-D-1234, Janitorial Services at Army Facilities,
Washington DC

Dear Sirs:

This letter will serve as notice to you under Federal Acquisition
Regulation Section 22.1010 that the Government is considering . . .

[issuing a resolicitation of]
[issuing a modification to significantly change the scope of work in a manner
that may significantly affect labor requirements on]
[issuing a modification to exercise the First Option [Second, etc] on], [issuing
a modification to extend the term of]

the subject contract. The [modification, solicitation] may be issued on or after [date
]. The new period of performance effective subsequent to this contract action will
begin on or about XXXXXXXXXXXX.

If you have any questions, please contact me at (123) 456-7890.

Sincerely,

Ms. April Showers
Contracting Officer

APPENDIX B: SAMPLE RESERVE GATE LETTER³³

Mr. John Jones, President
ABC Janitorial Services, Inc.
123 Main Street
Washington DC 20374

and

Mr. Harry Smith, Business Representative
Laborers Union Local #10
456 Front Street
Washington DC 20374

Subject: Reserved Gate Procedure in the Event of Picketing

I have been advised that a labor dispute may result in picketing of (contractor) during performance of (contract) at (base). The Army maintains strict neutrality in contractor labor disputes. Consistent with this policy, I must make every effort to ensure the ability of the Army to perform its mission is not adversely affected by your dispute.

Accordingly, observe the following procedures for the duration of the dispute or until otherwise removed by official action:

- a. Do not picket within the confines of the installation.
- b. All employees, vendors and suppliers of (contractor) will enter and exit the installation only through the reserved gate: (gate designation, may be more than one).
- c. Confine demonstrations, including picketing, to the reserved gate, (restate the reserved gates).

The Government will post appropriate signs identifying the reserved gate at all entrances to the installation. You must ensure all individuals are aware of and fully comply with these procedures. Direct any questions or problems regarding these procedures to (point of contact for commander) at (phone no.)

Sincerely

Installation Commander
Signature Block

³³ The Reserve Gate sample documents provided here reflect materials at AF Instruction 64-107 and SECNAV Instruction 4200.36A.

APPENDIX C: SAMPLE RESERVE GATE SIGNS

Sign for the Designated Reserve Gate

NOTICE:

ALL EMPLOYEES AND SUPPLIERS OF

[Name of Contractor Involved in Dispute]

MUST ENTER AND EXIT THIS INSTALLATION VIA

THIS GATE ONLY

BY ORDER OF THE COMMANDING OFFICER

Sign for all other, Non-Reserve Gates on the Installation

NOTICE:

ALL EMPLOYEES AND SUPPLIERS OF

[Name of Contractor Involved in Dispute]

MAY NOT ENTER OR EXIT THIS INSTALLATION VIA

THIS GATE.

GATE [Clearly identify the Reserved Gate by Name] IS

RESERVED FOR THE USE OF [Contractor Name]

EMPLOYEES AND SUPPLIERS

BY ORDER OF THE COMMANDING OFFICER

CHAPTER 26

COMPETITIVE SOURCING, INSOURCING, AND PRIVATIZATION

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CHAPTER 26

COMPETITIVE SOURCING, INSOURCING, AND PRIVATIZATION

I. COMPETITIVE SOURCING

A. Resources.

1. Statutes.

- a. 10 U.S.C. § 2461 (Public-Private Competition Required Before Conversion to Contractor Performance).
- b. 10 U.S.C. § 4505 (formerly § 2330a) (Inventory of Contracts for Services).
- c. 31 U.S.C. § 501 note (Federal Activities Inventory Reform Act).
- d. Annual DoW Appropriations and Authorization Acts.

2. OMB Guidance.

- a. OMB Circular A-76 (2003).¹
- b. OFFICE OF FED. PROCUREMENT POL., OFFICE OF MGMT. & BUDGET, EXEC. OFFICE OF THE PRESIDENT, OFPP POL. LETTER 11-01, PERFORMANCE OF INHERENTLY GOVERNMENTAL AND CRITICAL FUNCTIONS (2011).

3. DoW Guidance.

- a. U.S. Dep't of Defense Instruction (DoDI) 7041.04, Estimating and Comparing the Full Costs of Civilian and Active Duty Military Manpower and Contract Support (3 July 2013).²
- b. Asst. Sec. of Defense for Manpower and Reserve Affairs Memorandum, Suspension of DoD Public-Private Competitions and Related Policy Affecting Use of Contracts for Services (10 July 2023).

¹ Circular A-76 (Revised), *supra* note 1. OMB has since amended this Circular without changing the date, the latest amendment being the 2006 version.

² Available at <https://www.esd.whs.mil/Portals/54/Documents/DD/issuances/dodi/704104p.pdf>

- c. Dept. of Defense Memorandum, Implementation of Executive Order 14222 – Department of Government Efficiency Cost Efficiency Initiative (27 May 2025).
- d. Under Secretary of the Army Memorandum, Authorization for Commanders to Enter Contracts of Certain Commercial Work Associated with Eliminated Civilian Employee Positions (13 May 2026).

B. Introduction.

1. While referred to in the past as “contracting out” or “outsourcing,” this chapter will use the term-of-art “competitive sourcing.” Competitive sourcing as used herein describes the implementation of procedures whereby a federal agency formally compares the performance of a commercial activity by government employees against performance by the private sector, to determine which is more cost-effective.
2. OMB Circular A-76. The primary vehicle for competitive sourcing in the federal government has been OMB Circular A-76, first issued in 1966 and most recently revised in May 2003. Circular A-76 establishes the policies and procedures federal agencies use to determine whether commercial activities should be performed by government personnel or by the private sector, and prescribes the streamlined and standard competition processes through which those determinations are made. It also establishes the definitions — including “commercial activity,” “inherently governmental function,” and “new requirement” — that form the analytical foundation for all competitive sourcing decisions. Although Circular A-76 remains formally in effect as policy, its competition procedures are currently suspended and unavailable to DoW practitioners, as described in paragraph 3 below. Practitioners encountering A-76 references in existing contracts, prior decisions, or policy documents should understand it as the historical and definitional framework underlying current law, rather than as an active procedural tool.
 - a. Inapplicability. Agencies were not required to conduct A-76 competitions under the following circumstances:
 - (1) Private sector performance of a “new requirement”³;

³ Circular A-76 (Revised) Attachment D. A “new requirement” is defined as “[a]n agency’s newly established need for a commercial product or service that is not performed by (1) the agency with government personnel; (2) a fee-for-service agreement with public reimbursable source; or (3) a contract with the private sector. Any activity that is performed by the agency and is reengineered, reorganized, modernized, upgraded, expanded or changed to become more efficient, but still essentially provides the same service is *not* considered a new requirement.” Id.

- (2) Private sector performance of a segregable expansion⁴ of an existing commercial activity performed by government personnel; or
- (3) Continued private sector performance of a commercial activity (i.e. following contract award after an A-76 competition or otherwise). Circular A-76 (Revised) ¶ 5.d.

Note: Circular A-76 (Revised) ¶ 5.d. mandates that before government personnel may perform a “new requirement,” an expansion to an existing commercial activity, or an activity performed by the private sector, the agency must conduct a competition which determines that government personnel should perform this activity. **However:** 10 U.S.C. § 2463(c) specifically prohibits SECWAR from conducting an A-76 (or other such) competition before assigning the function to DoW civilians (not to mention the plethora of legislation mentioned above which have suspended A-76 studies in general).

- b. Application to wartime and contingencies. “The DoD Competitive Sourcing Official⁵ (without delegation) shall determine if this [A-76] circular applies during times of a declared war or military mobilization.” Circular A-76 (Revised) ¶ 5.h.

- 3. Current Suspension of Competitive Sourcing. The government-wide moratorium on the use of appropriated funds for public-private competitions has been extended through successive annual appropriations acts and remains in effect today.⁶ The DoW specific suspension of public-private competitions remains in effect per section 325 of the National Defense Authorization Act for Fiscal Year 2010.⁷ Practitioners should check all current policies and review OASD Memo, dated 10 July 2023,

⁴ Circular A-76 (Revised) Attachment D. An “expansion” is defined as “an increase in the operating costs of an existing commercial activity based on modernization, replacement, upgrade or increased workload. An expansion of an existing commercial activity is an increase of 30 percent or more in the activity’s operating costs (including the cost of FTEs) or total capital investment.” *Id.* In contrast, a “segregable expansion” is defined as “an increase to an existing commercial activity that can be separately competed.” *Id.*

⁵ The Competitive Sourcing Official (CSO) is an assistant secretary or equivalent level official within an agency responsible for implementing the policies and procedures of the circular. Circular A-76 (Revised) ¶ 4.f. For the DoD, the designated CSO is the Deputy Under Secretary of Defense (Installations and Environment). Memorandum, Deputy Secretary of Defense, to Secretaries of the Military Departments et al., subject: Designation of the Department of Defense Competitive Sourcing Official (12 Sept. 2003). The DoD CSO has in turn appointed DoD Component CSOs (CCSOs) and charged them with providing Circular A-76 (Revised) implementation guidance within their respective Components. Memorandum, Deputy Under Secretary of Defense (Installations and Environment), to Assistant Secretary of the Army (Installations and Environment) et al., subject: Responsibilities of the DoD CSO and Component CSOs (29 Mar. 2004).

⁶ Consolidated Appropriations Act, 2026, Pub. L. No. 119-75, div. E, § 741 (2026).

⁷ Pub. L. No. 111-84

“Suspensions of DoD Public-Private Competitions and Related Policy
Affecting Use of Contracts for Services.”

C. Origins and Development of Circular A-76

1. 1955: The Bureau of the Budget (predecessor of the Office of Management and Budget (OMB)) issued a series of bulletins establishing the federal policy to obtain goods and services from the private sector. See Federal Office of Management and Budget Circular A-76, Performance of Commercial Activities, ¶ 4.a (Aug. 4, 1983, Revised 1999) [hereinafter Circular A-76 (1999)].⁸
2. 1966: The OMB first issued Circular A-76, which restated the federal policy and the principle that “[i]n the process of governing, the Government should not compete with its citizens.” The OMB revised the Circular in 1967, 1979, 1983, and again in 1999. See Circular A-76 (1999), ¶ 4.a.
3. 1996: The OMB issued a Revised Supplemental Handbook setting forth procedures for determining whether commercial activities should be performed under contract by a commercial source or in house using government employees. In June 1999, OMB updated the Revised Supplemental Handbook. See Circular A-76 (1999), ¶ 1.
4. 2003: The OMB issued the current version of OMB Circular A-76 superseding the prior circular and any related guidance.⁹
5. 2009: In March 2009, Congress established a government-wide moratorium on the use of appropriated funds for new public-private competitions under OMB Circular A-76, which effectively halted the conversion of federal employee positions to contractor performance across the executive branch.¹⁰ This moratorium has been extended through successive annual appropriations acts and remains in effect today.¹¹ Separately, the FY2010 NDAA suspended all ongoing DOD public-private competitions and established specific conditions, including a required certification to be published in the Federal Register, that must be satisfied before DoW may resume such competitions.¹² Because that

⁸ The full text of Circular A-76 (2003) is available on-line at https://bidenwhitehouse.archives.gov/wp-content/uploads/legacy_drupal_files/omb/circulars/A76/a76_incl_tech_correction.pdf. See Federal Office of Management and Budget Circular A-76, Performance of Commercial Activities, (May 29, 2003) [hereinafter Circular A-76 (Revised)]

⁹ Circular A-76 (Revised), *supra* note 2.

¹⁰ Omnibus Appropriations Act, 2009, Pub. L. No. 111-8, § 737 (2009).

¹¹ The government-wide moratorium, including the Department of Defense, on the use of funds for public-private competitions was extended for FY 2014 by section 737 (Title VII, General Provisions - Government-wide) of Division E- Financial Services and General Government Appropriations of the Consolidated Appropriations Act, 2014 (Public Law 113-76).

¹² Pub. L. No. 111-84 § 325 (2009).

certification has never been published, the DoW-specific suspension also remains in force.¹³ As a result, competitive sourcing within DoW is currently limited to situations involving work not already performed by federal employees, such as new work or work currently performed by contractors.

6. 2011: OMB (OFPP) issued Policy Letter 11-01, which remains the governing guidance for determining which government functions may and may not be performed by contractors.¹⁴ Policy Letter 11-01 establishes three categories of functions relevant to outsourcing decisions: (1) "inherently governmental functions," which may never be outsourced; (2) "functions closely associated with inherently governmental functions," which may be outsourced but require heightened agency oversight; and (3) "critical functions," which agencies must manage with particular care to preserve their capacity and control.¹⁵ Policy Letter 11-01 has not been superseded or rescinded.
7. 2025 Significant Updates.
 - a. Revolutionary FAR Overhaul under Executive Order 14275 deleted the now-dormant A-76 competition clauses that existed within FAR Part 7. The RFO DFARS now references PGI 207.170, Public-Private competitions, for additional guidance.
 - b. In May 2025, DoD issued implementing guidance for Executive Order 14222, "Implementing the President's "Department of Government Efficiency" Cost Efficiency Initiative."¹⁶ This memo establishes that contractor employees may only be used where a workforce sufficiency analysis demonstrates the role is not inherently governmental, no existing DoW employees have the capacity or skills to perform it, the gap cannot be addressed through hiring or training, and better rates cannot be achieved through contract consolidation. For IT consulting and advisory

¹³ See Office of the Assistant Secretary of Defense (OASD) Memo, "Suspension of DoD Public-Private Competitions and Related Policy Affecting Use of Contracts for Services" dated 10 Jul 2023.

¹⁴ OFFICE OF FED. PROCUREMENT POL., OFFICE OF MGMT. & BUDGET, EXEC. OFFICE OF THE PRESIDENT, OFPP POL. LETTER 11-01, PERFORMANCE OF INHERENTLY GOVERNMENTAL AND CRITICAL FUNCTIONS (2011) [hereinafter POLICY LETTER 11-01]. On February 13, 2012, OFPP published a correction to POLICY LETTER 11-01. POLICY LETTER 11-01 was originally addressed only to the Civil Executive Branch Departments and Agencies. See 77 Fed. Reg. 29, 7609 (Feb. 13, 2012) (extending the application of POLICY LETTER 11-01 to Defense Executive Branch Departments and Agencies). (Sec. C, Public Comments to the Notice of Final Policy Letter).

¹⁵ In response to Policy Letter 11-01, the Army updated and significantly expanded its Request for Services Contract Approval (RSCA) form, codified in AR 70-13 and required by AFARS 5107.503(e), to serve as the Army's primary mechanism for implementing the three-category framework described in Policy Letter 11-01 before any service contract is awarded. The RSCA requires the requiring activity, not the contracting officer, to certify that the proposed contract does not involve inherently governmental functions, and to identify whether it involves closely associated or critical functions requiring heightened oversight.

¹⁶ Dept. of Defense Memorandum, Implementation of Executive Order 14222 – Department of Government Efficiency Cost Efficiency Initiative (27 May 2025).

services specifically, components must now obtain Deputy Secretary of War approval prior to contract execution, supported by a cost-benefit analysis and justification that the work cannot be insourced anywhere within DoW.

8. 2026: The Army issued guidance authorizing Senior Commanders to execute service contracts and intergovernmental support agreements for the performance of key functions, where civilian employees are not available to execute the installations management and organic industrial base missions.¹⁷ This guidance does not authorize the elimination or conversion of functions performed by civilian personnel and instead authorizes temporary contract or surge actions to meet mission requirements that have been disrupted due to civilian hiring delays.

- D. Historical Use of Competitive Sourcing Prior to Government-Wide Moratorium. Until 2009, the OMB issued an annual report on competitive sourcing describing the competitive sourcing efforts throughout the government for the past fiscal year. The table below indicates government-wide numbers for fiscal years 2003 through 2007.

	FY 2003	FY 2004	FY 2005	FY 2006	FY 2007
Sourcing Competitions	662	217	181	183	132
FTE's Affected	17,000+	13,000+	10,000+	6,000+	4,000+
Retained In-house	89%	91%	83%	87%	73%

Source: OMB, Report on Competitive Sourcing Results: Fiscal Year 2004 (May 2005); OMB, Report on Competitive Sourcing Results: Fiscal Year 2005 (April 2006); OMB, Report on Competitive Sourcing Results: Fiscal Year 2006 (May 2007); OMB, Report on Competitive Sourcing Results: Fiscal Year 2007 (May 2008).

- E. DoW and Competitive Sourcing. DoD released a 2013 instruction implementing many of the procedural and policy changes which requires the use of DTM compare which is very similar to the A-76 competitions. This instruction is DoDI 7041.04 Estimating and Comparing the Full Costs of Civilian and Active Duty Military Manpower and Contract Support (3 July 2013).

- a. When determining workforce mix the instruction recognizes that 10 U.S.C. §§ 129a, 2330a, 2461, and 2463, DoDI 1100.22, "Policy and Procedures for Determining Workforce Mix," April 12, 2010,

¹⁷ Under Secretary of the Army Memorandum, Authorization for Commanders to Enter Contracts of Certain Commercial Work Associated with Eliminated Civilian Employee Positions (13 May 2026).

Office of Management and Budget Circular A-76, and Office of Federal Procurement Policy letter 11-01 are particularly relevant to decisions on workforce mix.¹⁸ Cost analysts must consult these references when determining workforce mix options.¹⁹

(1) If a manpower analysis shows that a **new or expanded mission** requirement is not inherently governmental or exempt from private-sector performance, as required by § 2463, the official responsible for the function(s) in question will conduct a cost comparison using the business rules prescribed in DoDI 7041.04 Enclosure 3 to determine which would cost less: DoD civilian employees or a private-sector contractor.²⁰

(2) When considering conversion from contractor to government performance (**In-sourcing**) the analysis must first determine if the function was inherently governmental or exempted by § 2463. If the function is neither exempted nor inherently governmental, then a cost comparison (using the business rules prescribed in DoDI 7041.04 Enclosure 3) must be done prior to converting to DoD civilian employee performance. The purpose of the cost comparison is to determine whether DoD civilian employees or a private sector contractor would perform the function at a lower cost. Conversions must meet the cost differential requirements set forth by § 2463.²¹

(3) For manpower conversions between military and DoD civilian where manpower may be either military or DoD civilian performance based, and can be converted from one to the other as needed in accordance the analysis should be done IAW DoDI 1100.22. Although cost is not the only factor in such decisions, analysts may be asked to estimate the cost impact of the conversions. In such cases, an analyst will conduct a cost comparison (using the business rules prescribed in DoDI 7041.04, Enclosure 3) to estimate the cost of converting a function from military to DoD civilian performance or from DoD civilian to military performance.²²

(4) For conversions from government to contractor performance (**outsourcing**) DoD Components are required to conduct public-private competitions in accordance with OMB A-76, 10 USC 2461, and other applicable laws and regulations, in determining whether to convert a commercial activity performed by any number of civilian

¹⁸ DoDI 7041.04 Enclosure 3, Estimating and Comparing the Full Costs of Civilian and Active Duty Military Manpower and Contract Support (3 July 2013).

¹⁹ Id.

²⁰ Id.

²¹ Id.

²² Id.

DoD personnel to private-sector performance.²³ Note currently there is a moratorium on A-76 studies.²⁴

F. Competitive Sourcing Limitations - Inherently Governmental Functions and DoW Service Contract Oversight.

1. Key Terms. The heart and soul of competitive sourcing rests on whether a governmental activity/function is categorized as commercial or inherently governmental in nature.
 - a. Commercial Activity. A recurring service that could be performed by the private sector. Circular A-76 (Revised), Attachment A, ¶ B.2. Some examples include functions that are primarily ministerial and internal in nature (i.e. building security, mail operations, operation of cafeterias, housekeeping, facilities operations and maintenance, warehouse operations, motor vehicle fleet maintenance, routine electrical or mechanical services).²⁵ **If a service is determined to be a “commercial activity,” then that service *MAY* be subject to a streamlined or standard competition under OMB Circular A-76.** Circular A-76 (Revised) ¶ 4.c.
 - b. Inherently Governmental Activities.²⁶ An activity so intimately related to the public interest as to mandate performance by government personnel. Such “activities require the exercise of *substantial* discretion in applying government authority and/or making decisions for the government.” Circular A-76 (Revised), Attachment A, ¶ B.1.a. (emphasis added). **If a service is determined to be an “inherently governmental activity,” then that service *MAY NOT* be subject to a competition under OMB Circular A-76.** Circular A-76 (Revised) ¶ 4.b.
2. Policy Letter 11-01 provides three methods to determining whether the work in question is an inherently governmental function: does it satisfy the definition, is it one of the examples and, even if the answer to the first two questions above is no, does it fall under one of the catch-all test?²⁷

²³ Id.

²⁴ *See Supra* note 13.

²⁵ Cf. Federal Activities Inventory Reform Act (FAIR Act) of 1998, Pub. L. No. 105-270, 112 Stat. 2382 (1998) (codified at 31 U.S.C. § 501 (note)).

²⁶ Additionally, absent specific authority to do so, the Federal Acquisition Regulation (FAR) generally prohibits the award of any contract for the performance of inherently governmental activities stating “contracts shall not be used for the performance of inherently governmental functions.” RFO 7.503(a).

²⁷ POLICY LETTER 11-01., *supra* note 7 para. 5-1(a).

- b. Policy Letter 11-01’s definition of inherently governmental function is not a new definition but rather adopts the definition contained in the FAIR Act.²⁸ The policy’s standardized definition of inherently governmental function is “a function that is so intimately related to the public interest as to require performance by Federal Government Employees.”²⁹ As additional guidance, Policy Letter 11-01 states that, “The term [inherently governmental function] includes functions that require *either* the exercise of discretion in applying Federal Government authority *or* the making of value judgments in making decisions for the Federal Government.”³⁰
- c. Policy Letter 11-01, Appendix A: Examples of Inherently Governmental Functions. The list contains 24 historically and commonly accepted examples of inherently governmental functions³¹ the primary purpose of the list is illustrative in nature and not intended to be interpreted as an exhaustive list.³²
- d. Policy Letter 11-01, Catch-All Tests: Nature of the Function and Exercise of Discretion Tests. The OFPP created a third method for making inherently governmental functions determination.³³ This third method involves applying two separate tests: the nature of the function test and the exercise of discretion test.³⁴ Under the nature of the functions test, a function is inherently governmental when it involves the exercise of the Government’s sovereign powers.³⁵ This test does not look to see whether the work has the ability to exercise discretion, but rather classifies work based “strictly on its uniquely governmental nature.”³⁶ In contrast, the exercise-of-discretion test classifies work as inherently governmental when the work leaves room for the actor to commit the government to a certain course of action where “two or more alternative courses of action exist.”³⁷

3. Inherently governmental activities fall into two broad categories:

²⁸ See FAIR ACT, *supra* note 26, § 5, 2384-5.

²⁹ POLICY LETTER 11-01., *supra* note 7 para. 3.

³⁰ Id. para. 3(a) (emphasis added).

³¹ Id.

³² Id.

³³ Id. para. 5-1(a).

³⁴ Id. paras. 5-1(a)(1)(i)-(ii).

³⁵ Id. para. 5-1(a)(1)(i) (listing representing the government at governmental functions and engaging in law enforcement and judicial type activities as examples of inherently governmental functions).

³⁶ Id.

³⁷ Id. para. 5-1(a)(1)(ii).

- a. The exercise of sovereign government authority. For example, exercise of command, prosecuting those accused of crimes, investigating crimes, awarding contracts, or to otherwise determine, advance, or protect the United States' interests by military or diplomatic action, civil or criminal judicial proceedings, contract management, etc.³⁸
 - b. The establishment of procedures and processes related to the oversight of monetary transactions or entitlements. For example, making the decision to pay claims against the government, disbursing appropriated funds, or developing policies for the disbursement of appropriated funds.³⁹
4. Closely Associated Functions.⁴⁰ Closely associated functions are not *per se* inherently governmental but may become so when the nature of the functions impacts or impinges on a federal employee's ability to execute inherently governmental powers.⁴¹
 5. Policy Letter 11-01, Appendix B: Examples of Closely Associated Functions. Closely associated functions may be competed out to contractors to perform but before doing so, agencies are required to at least consider reserving these functions for federal employees.⁴²
 6. Critical Functions. Critical function is "a function that is necessary to the agency being able to effectively perform and maintain control of its mission and operations"⁴³ and typically "are recurring and long-term in duration."⁴⁴ Critical functions are defined as those functions that are critical to the mission and operations of an agency. Does not necessarily require the exercise of discretion or making of a value judgment that may bind the government, but it may depending on the size of the office, capacities of other employees, etc.

G. Post-Award Inventory and Oversight Requirements.

1. Federal executive agencies remain subject to a government-wide requirement under the Federal Activities Inventory Reform (FAIR) Act of 1998, Pub. L. No. 105-270, to submit annual inventories to OMB categorizing all activities performed by government personnel as either commercial or inherently governmental. OMB Circular A-76 (Revised)

³⁸ See FAIR Act, *supra* note 26.

³⁹ POLICY LETTER 11-01., *supra* note 7 para. 5-1(a)(1)(ii).

⁴⁰ *Id.* para. 5-1(a)(2).

⁴¹ *Id.* para. 5-2(a)(2).

⁴² *Id.*

⁴³ *Id.* para. 3(b).

⁴⁴ *Id.*

further prescribes a detailed challenge and appeal process governing how those inventories are classified and contested, which includes designated challenge and appeal authorities, written justifications, and six reason codes. For DoW practitioners, however, this machinery has no operational significance: because the DoW-specific moratorium on public-private competitions remains in force, the A-76 inventory process feeds no active competition pipeline. Practitioners should be aware these requirements exist government-wide but need not master their procedural detail.

2. The operationally relevant inventory obligation for DoW is the annual Inventory of Contracted Services review, a separate and distinct requirement from the FAIR Act inventory. In 2008, Congress required DoD to compile and review an annual inventory of its contracted services to identify the number of contractors performing services and the functions those contractors performed. This requirement is codified at 10 U.S.C. § 4505 (formerly § 2330a), and the annual inventory reviews are designed to help inform agency managers whether contractors are being used appropriately or whether rebalancing the workforce may be needed.
3. Under 10 U.S.C. § 4505, DoW is required to collect and report data to Congress for each purchase of services in excess of \$3 million within four service acquisition portfolio groups: logistics management services, equipment-related services, knowledge-based services, and electronics and communications services. The statute requires that this data be collected in a manner comparable to the manpower data elements used in inventories of functions performed by DoW civilian employees, including the calculation of contractor full-time equivalents based on direct labor hours.

II. INSOURCING

- A. Introduction. Insourcing is the opposite of competitive sourcing as it involves the conversion of work currently performed by contractors to performance by government civilian employees (or, in some contexts, military personnel). Insourcing does not require a competition but is rather an affirmative management decision to bring contracted work in-house, driven by workforce mix, cost, oversight, or mission considerations. Insourcing is governed by a separate statutory framework and remains fully available to DoW even while competitive sourcing is suspended.
- B. Statutory Framework: 10 U.S.C. § 2463. The primary insourcing authority for DoW is 10 U.S.C. § 2463, which was enacted by the FY2008 NDAA and has been amended several times since. Its key provisions are as follows.
 1. Affirmative Obligation to Consider Insourcing. Section 2463 requires the Under Secretary of Defense for Personnel and Readiness to devise and implement guidelines and procedures to ensure that consideration is given, on a regular basis, to using DoD civilian employees to perform new

functions and functions that are currently performed by contractors and could be performed by DoD civilian employees.⁴⁵

2. No Caps on Conversions. The guidelines and procedures required under § 2463 may not include any specific limitation or restriction on the number of functions or activities that may be converted to performance by DoD civilian employees.
3. No Numerical Goals or Quotas. The Secretary of Defense may not establish, apply, or enforce any numerical goal, target, or quota for the conversion of DoD functions to performance by civilian employees, unless such goal, target, or quota is based on considered research and analysis as required by §§ 2463 and 4505.
4. Cost Methodology Requirement. When costs are the sole basis for an insourcing decision, the Secretary of Defense must use the costing methodology outlined in Directive-Type Memorandum 09-007 (Estimating and Comparing the Full Costs of Civilian and Military Manpower and Contractor Support), or any successor guidance.
5. Scope. Section 2463 applies to both new functions (work not currently performed by either government employees or contractors) and existing contractor-performed functions. The statute thus creates a standing obligation to periodically assess whether contractor-performed work could and should be brought in-house, feeding directly into the Inventory of Contracted Services review process discussed previously.

C. Recent developments.

1. The insourcing framework took on renewed practical significance in 2025, as the current administration moved to reduce DoW's reliance on service contractors, particularly in consulting, advisory, and IT services, and bring those functions in-house.
2. DoD IT Insourcing Directive.⁴⁶ DoD ordered the termination of several IT services contracts and directing the Pentagon's chief information officer to develop plans for insourcing IT consulting and management services to the Department's civilian workforce. The stated rationale was that the terminated contracts represented spending on third-party consultants

⁴⁵ See DoDI 1100.22, "Policy and Procedures for Determining Workforce Mix" (April 12, 2010, incorporating Change 1, December 1, 2017); DoD Memorandum, Implementation of EO 14222 — DOGE Cost Efficiency Initiative (May 27, 2025) (establishing current workforce sufficiency analysis requirements).

⁴⁶ Memorandum from Secretary of Defense Pete Hegseth, "Continuing Elimination of Wasteful Spending at the DoD" (Apr. 10, 2025), available at <https://media.defense.gov/2025/Apr/10/2003687449/-1/-1/1/SECRETARY-OF-DEFENSE-PETE-HEGSETH-UPDATE-ON-CONTINUING-ELIMINATION-OF-WASTEFUL-SPENDING-AT-THE-DOD.PDF>.

performing services "more efficiently performed by the highly skilled members of our DoD workforce using existing resources."

3. DoD Memorandum on Workforce Optimization.⁴⁷ In May 2025, DoD issued implementing guidance for Executive Order 14222, "Implementing the President's "Department of Government Efficiency" Cost Efficiency Initiative." This memorandum identified four distinct policies aimed at insourcing expertise, reducing reliance on external support, and harnessing the talent of existing DoD experts. Contractor employees may be used to augment government roles only when a workforce sufficiency analysis demonstrates that: (1) the role is not inherently governmental; (2) no existing employees within the organization or any DoD support unit have the capacity or skills to fulfill the requirement; (3) the organization cannot address the gap through hiring, training, technology, or other resourcing; and (4) better rates cannot be achieved by consolidating contracts.

III. HOUSING PRIVATIZATION

- A. Generally. Privatization involves the process of changing a federal government entity or enterprise to private or other non-federal control and ownership. Unlike competitive sourcing, privatization involves a transfer of ownership and not just a transfer of performance.
- B. Authority.
 1. 10 U.S.C. §§ 2871-85 provides permanent authority for military housing privatization.⁴⁸ This authority applies to family housing units on or near military installations within the United States and military unaccompanied housing units on or near installations within the United States.
 2. Service Secretaries may use any authority or combination of authorities to provide for acquisition or construction by private persons. Authorities include:
 - a. Direct loans and loan guarantees to private entities.
 - b. Build/lease authority.
 - c. Equity and creditor investments in private entities undertaking projects for the acquisition or construction of housing units (up to a specified percentage of capital cost). Such investments require a

⁴⁷ Dept. of Defense Memorandum, Implementation of Executive Order 14222 – Department of Government Efficiency Cost Efficiency Initiative (27 May 2025) (also cited above in Competitive Sourcing section).

⁴⁸ Originally granted in 1996 as "temporary" legislation, this authority was made permanent by the FY 2005 National Defense Authorization Act. Pub. L. No. 108-375, § 2805, 115 Stat. 1012 (2005).

collateral agreement to ensure that a suitable preference will be given to military members.

- d. Rental guarantees.
 - e. Differential lease payments.
 - f. Conveyance or lease of existing properties and facilities to private entities.
3. Establishment of Department of Defense housing funds.
- a. The Department of Defense Family Housing Improvement Fund.⁴⁹
 - b. The Department of Defense Military Unaccompanied Housing Improvement Fund.⁵⁰

C. Implementation.

- 1. The service conveys ownership of existing housing units, and leases the land upon which the units reside for up to fifty years.
- 2. The consideration received for the sale is the contractual agreement to renovate, manage, and maintain existing family housing units, as well as construct, manage, and maintain new units.
- 3. The contractual agreement may include provisions regarding:
 - a. The amount of rent the contractor may charge military occupants (rent control).
 - b. The manner in which soldiers will make payment (allotment).
 - c. Rental deposits.
 - d. Loan guarantees to the contractor in the event of a base closure or realignment.
 - e. Whether soldiers are required to live there.
 - f. The circumstances under which the contractor may lease units to nonmilitary occupants.
 - g. Termination provisions and criteria.

⁴⁹ 10 U.S.C. § 2883(a)(1).

⁵⁰ 10 U.S.C. § 2883(a)(2).

D. Issues and Concerns.⁵¹

1. Making the transition positive for occupants; including keeping residents informed during the process.
2. Loss of control over family housing.
3. The effect of long-term agreements.
 - a. Future of installation as a potential candidate for housing privatization.
 - (1) DoD must determine if base is a candidate for closure.
 - (2) If not, then DoD must predict its future mission, military population, future housing availability and prices in the local community, and housing needs.
 - b. Potential for poor performance or nonperformance by contractors.
 - (1) Concerns about whether contractors will perform repairs, maintenance, and improvements in accordance with agreements. Despite safeguards in agreements, enforcing the agreements might be difficult, time-consuming, and costly.
 - (2) Potential for a decline in the value of property towards the end of the lease might equal decline in service and thus quality of life for military member.
4. Effect on federal employees
 - a. The privatization of housing will result in the elimination of those government employee positions that support family housing.
 - b. Privatization is not subject to Circular A-76.
5. Prospect of civilians living on base.
 - a. Civilians are allowed to rent units not rented by military families.

⁵¹ See Government Accountability Office, Privatized Military Housing: Update on DoD's Efforts to Address Oversight Challenges, Report No. GAO-22-105866 (March 2022); Government Accountability Office, Military Housing: Management Issues Require Attention as the Privatization Program Matures, Report No. GAO-06-438 (April 2006); Government Accountability Office, Military Housing: Management Improvements Needed As Privatization Pace Quickens, Report No. GAO-02-624 (June 2002).

- b. This prospect raises some issues, such as security concerns and law enforcement roles.

IV. UTILITIES PRIVATIZATION

- A. Authority. 10 U.S.C. § 2688 (originally enacted as part of the FY 1998 National Defense Authorization Act) permits the service secretaries to convey all or part of a utility system to a municipal, private, regional, district, or cooperative utility company. This permanent legislation supplements several specific land conveyances involving utilities authorized in previous National Defense Authorization Acts.
- B. Implementation.
 - 1. In 1998, DoD set a goal of privatizing all utility systems (water, wastewater, electric, and natural gas) by 30 September 2003, except those needed for unique mission/security reasons or when privatization is uneconomical. Memorandum, Deputy Secretary of Defense, to Secretaries of the Military Departments, et al., subject: Defense Reform Initiative Directive (DRID) #49—Privatizing Utility Systems (23 Dec. 1998).
 - 2. In October 2002, DoD revised its goal and replaced DRID #49 with updated guidance. Memorandum, Deputy Secretary of Defense, to Secretaries of the Military Departments, et al., subject: Revised Guidance for the Utilities Privatization Program (9 Oct. 2002) [hereinafter Revised Guidance Memo]. The Revised Guidance Memo establishes 30 September 2005 as the date by which “Defense Components shall complete a privatization evaluation of each system at every Active, Reserve, and National Guard installation, within the United States and overseas, that is not designated for closure under a base closure law.” In addition to revising the milestones for utilities privatization, the Revised Guidance Memo addresses:
 - a. Updated guidance concerning the issuance of solicitations and the source selection considerations in utilities privatization;
 - b. DoD’s position concerning the applicability of state utility laws and regulations to the acquisition and conveyance of the Government’s utility systems;
 - c. New instruction on conducting the economic analysis, including a class deviation from the cost principle at FAR 31.205-20 authorized by DoD for “utilities privatization contracts under which previously Government-owned utility systems are conveyed by a Military Department or Defense Agency to a contractor;” and

- d. The authority granted the Service Secretaries to include “reversionary clauses” in transaction documents to provide for ownership to revert to the Government in the event of default or abandonment by the contractor.
3. On 2 November 2005, the Undersecretary of Defense for Acquisition, Technology and Logistics issued a supplemental guidance. This guidance stated that “each Component shall provide the DUSD(I&E) [Deputy Under Secretary of Defense for Installations and Environment] with a plan of action and timeline by November 18, 2005 for the completion of all remaining evaluations. The Components shall continue to conduct privatization evaluations and provide quarterly updates to DUSD(I&E) until all remaining evaluations are complete.” Memorandum, Deputy Secretary of Defense, to Secretaries of the Military Departments, et al., subject: Supplemental Guidance for the Utilities Privatization Program (2 Nov. 2005).
4. Requests for exemption from utility systems privatization, based on unique mission or safety reasons or where privatization is determined to be uneconomical, must be approved by the Service Secretary.
5. Agencies must use competitive procedures to sell (privatize) utility systems and to contract for receipt of utility services. 10 U.S.C. § 2688(b). DoD may enter into ten-year contracts (but not to exceed 50-years) for utility service when conveyance of the utility system is included. 10 U.S.C. § 2688(d)).
6. Any consideration received for the conveyance of the utility system may be accepted as a lump sum payment, or a reduction in charges for future utility services. If the consideration is taken as a lump sum, then payment shall be credited at the election of the Secretary concerned for utility services, energy savings projects, or utility system improvements. If the consideration is taken as a credit against future utility services, then the time period for reduction in charges for services shall not be longer than the base contract period. 10 U.S.C. § 2688(c).
7. Installations may, with Secretary approval, transfer land with a utility system privatization. 10 U.S.C. § 2688(i)(2); U.S. Dep’t of Army, Privatization of Army Utility Systems—Update 1 Brochure (March 2000). In some instances (environmental reasons) installations may want to transfer the land under wastewater treatment plants.
8. Installations must notify Congress of any utility system privatization. The notice must include an analysis demonstrating that the long-term economic benefit of privatization exceeds the long-term economic cost, and that the conveyance will reduce the long-term costs to the DoD concerned for utility services provided by the subject utility system. The

installation must also wait twenty-one days after providing such congressional notice. 10 U.S.C. § 2688(e).

C. Issues and Concerns.

1. Effect of State Law and Regulation. State utility laws and regulations, the application of which would result in sole-source contracting with the company holding the local utility franchise at each installation, do not apply in federal utility privatization cases. See Virginia Electric and Power Company; Baltimore Gas & Electric, B-285209, B-285209.2 (Aug. 2, 2000) 2000 U.S. Comp. Gen. LEXIS 125 (holding 10 U.S.C. § 2688 does not contain an express and unequivocal waiver of federal sovereign immunity); see also Baltimore Gas & Electric v. United States, US District Court, District of Maryland, No AMD 00-2599 Mar. 12, 2001 (following the earlier GAO decision and finding no requirement for the Army to use sole-source procedures for the conveyance of utilities distribution systems and procurement of utilities distribution services). The DoD General Counsel has issued an opinion that reached the same conclusion. Dep't. of Def. General Counsel, The Role of State Laws and Regulations in Utility Privatization (Feb. 24, 2000).
2. Utility Bundling. An agency may employ restrictive provisions or conditions only to the extent necessary to satisfy the agency's needs. Bundled utility contracts, which not only achieve significant cost savings, but also ensure the actual privatization of all utility systems, are proper. Virginia Electric and Power Company; Baltimore Gas & Electric, B-285209, B-285209.2 (Aug. 2, 2000) 2000 U.S. Comp. Gen. LEXIS 125.
3. Reversionary Clauses. The contractual agreement must protect the government's interests in the event of a default termination. The use of reversionary clauses, which revoke the conveyance of the utility system, are an option. Revised Guidance Memo, supra.

CHAPTER 27

INTELLECTUAL PROPERTY

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CHAPTER 27

INTELLECTUAL PROPERTY

I. REFERENCES

A. Statutes and Regulations

1. [Title 10, Chapter 275, United States Code, Proprietary Contractor Data and Rights in Technical Data.](#)
2. [Title 15, Chapter 22, United States Code, Trademarks.](#)
3. [Title 17, United States Code, Copyrights.](#)
4. [Title 35, United States Code, Patents.](#)
5. 41 U.S.C. §§ [2302](#), [4703](#).
6. [Federal Acquisition Regulation \(FAR\), Part 27, Patents, Data, and Copyrights.](#)
7. [Department of Defense FAR Supplement \(DFARS\), Part 227, Patents, Data, and Copyrights.](#)

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2. Ralph C. Nash, Jr. and Leonard Rawicz, *Intellectual Property in Government Contracts* (CCH 6th ed. 2008).
3. Robert W. Gomulkiewicz, Xuan-Thao N. Nguyen, and Danielle M. Conway, *Licensing Intellectual Property: Law and Application* (Wolters Kluwer 4th ed. 2018).

II. OVERVIEW

- A. Intellectual property (“IP”) refers to creations of the mind. Despite the term “property,” IP is better characterized as a proprietary interest in intangibles. The term IP is used in reference to, *inter alia*, inventions, literary and artistic works, symbols, names, images, and designs.
- B. IP has value because federal and state laws, the laws of other countries, and contracts (including licenses) recognize ownership interests therein and provide exclusive rights to the owners thereof.
- C. The policies supporting the protection of IP are myriad and, at times, contrary to other important policies such as competition and best value. These policies include, but are not limited to, providing incentives to inventors/authors to encourage scientific and technological advances, innovation, and creativity; providing a *quid pro quo* between inventors/authors and the public; promoting consumer protection; and upholding the standard of commercial ethics. There are also those of the view that respecting and protecting IP rights fosters national security through its impact on the economy. See Reggie Ash, [*Protecting Intellectual Property and the Nation’s Economic Security, Landslide, Vol. 6, No. 5 at 20-24*](#) (May/June 2014).
- D. From a contractor’s perspective, IP is a valuable corporate asset that can be used to generate revenue, to create a competitive advantage, to create barriers to entry by competitors, and to act as a deterrent to litigation.
- E. “DoD IP Acquisition has the challenge of meeting the DoD’s mission for national security while incentivizing innovation in industry and protecting the nation’s resources. This task places a monumental responsibility on DoD acquirers to balance the inherent need to justly pay industry for their development and encourage continued innovative work, while also being good stewards of taxpayer dollars by acquiring what is necessary to sustain defense capabilities and protecting the Government’s ROI.” DoD IP Guidebook, para. 1.1.
- F. From the Government’s perspective, considering IP issues during the acquisition planning process can help promote competition, reduce lifecycle/operations and

maintenance (O&M) costs, and reduce re-procurement costs, among other advantages. See Department of Defense Instruction 5010.44, Intellectual Property (IP) Acquisition and Licensing (16 October 2019); Government Accountability Office (GAO), *Defense Acquisitions: DOD Should Take Additional Actions to Improve How it Approaches Intellectual Property* (GAO-22-104752) (Nov. 2021); GAO, *Defense Contracting: Early Attention in the Acquisition Process Needed to Enhance Competition* (GAO-14-395) (May 2014).

- G. DoD guidance seeks to balance the contractor's interest in preserving its rights and recouping its investment in innovation with the Government's interest in increased competition and reduced cost. To do this, the DoD IP Guidebook recommends incorporating an IP strategy into the Acquisition Strategy as early as possible, identifying the need for IP rights and deliverables.
 - 1. Importantly, full and open competition can often be achieved without nullifying the competitive advantage that IP affords their owners (i.e., the offerors in government contracts). In some instances, DoD is prohibited from "strong-arming" offerors into licenses.
 - a. DoD policy permits the evaluation of data deliverables and data rights as part of the source selection process. See, e.g., DoD IP Guidebook, Table 8.
 - b. Care must be taken, however, to ensure that the evaluation criteria, either as written or as applied, do not have the prohibited effect of:
 - (1) Requiring, as a condition of responsiveness or of award, that the contractor give the Government greater rights when otherwise entitled to assert limited or restricted rights. 10 U.S.C. § 3771(a)(8); or
 - (2) Prohibiting or discouraging the contractor from proposing limited rights technical data or restricted rights computer software. DFARS 227.7103-10(a)(5)(i) (RFO DFARS 227.7103-1(d)).
 - 2. As important, is DoD's ability to accurately account for the rights for which it paid, and to which it is entitled. DoD guidance emphasizes that the Government should audit restrictive legends applied to data deliverables and initiate challenges to, and validations of, restrictive markings when appropriate. DoD IP Guidebook, para. 6.1-6.3.

III. TYPES OF INTELLECTUAL PROPERTY

A. Patents

1. Art. I, § 8, cl. 8 of the U.S. Constitution authorizes the patent system in order “[t]o promote the progress of science and useful arts, by securing for limited times to authors and inventors the exclusive right to their respective writings and discoveries.” Based upon this authority, Congress enacted the Patent Act of 1952, now codified as amended at Title 35, United States Code.
2. A patent is a written instrument issued by the U.S. Patent and Trademark Office (PTO), an agency of the Department of Commerce.
3. Types of patents:
 - a. Plant (*e.g.*, a new variety of rose bush). *See* 35 U.S.C. §§ 161-164.
 - b. Design (*e.g.*, a new ornamental/non-functional design for a piece of furniture). *See* 35 U.S.C. §§ 171-173.
 - c. Utility. *See* 35 U.S.C. §§ 100-157. Can be a “new and useful process, machine, manufacture, or composition of matter, or any new and useful improvement thereof.” 35 U.S.C. § 101.
4. An issued patent bestows a limited government-granted monopoly to an inventor and grants the inventor the right to exclude all others from practicing the invention (*e.g.*, making, using, selling, or importing the invention or offering the invention for sale) for a period of 20 years (15 for design patents) from the date the patent application is filed. *See* 35 U.S.C. §§ 154(a)(2), 173, 271.
5. To receive the exclusive rights associated with a patent, the inventor must make an application to the PTO and submit to an examination process. As part of the process, the inventor must provide a sufficiently detailed written description of the invention. This written description, or “specification,” must describe the invention in a manner that enables a person skilled in the art to practice the invention without undue experimentation. It must also disclose the subjective best mode of practicing the invention. *See* 35 U.S.C. § 112(a). Failure to disclose the best mode, however, is no longer a defense to a charge of infringement. *See* 35 U.S.C. § 282(b)(3)(A).
6. “Inventors” listed on a patent application can only be natural persons. *Thaler v. Vidal*, 43 F.4th 1207, 1213 (Fed. Cir. 2022). Corporations, sovereigns, nor artificial intelligence can be inventors under the Patent Act. (*Id.*)
7. An invention is patentable if it is:
 - a. Patent-eligible subject matter (*see* 35 U.S.C. § 101).

- (1) The Supreme Court has held that “anything under the sun that is made by man” qualifies as patent-eligible subject matter. *Diamond v. Diehr*, 450 U.S. 175 (1981). The only exclusions are laws of nature, physical phenomena, and abstract ideas. See *Bilski v. Kappos*, 561 U.S. 593 (2010).
- (2) In *Alice Corp. Pty. Ltd. v. CLS Bank Int’l*, 573 U.S. 208 (2014), the Supreme Court set forth a two-part test to determine whether a patent claim is patent-eligible:
 - (a) Is the claim directed to a patent-ineligible concept (*i.e.*, a law of nature, a physical phenomenon, or an abstract idea)?
 - (b) If so, do the remaining elements of the claim, considered both alone and as an ordered combination, “transform the nature of the claim into a patent eligible application?”

Id. at 217-18 (internal quotations omitted).

- (3) “[T]ransformation into a patent-eligible application requires ‘more than simply stat[ing] the [abstract idea] while adding the words ‘apply it.’” *Id.* at 221. “The introduction of a computer into the claims does not alter the analysis [T]he prohibition against patenting abstract ideas cannot be circumvented by attempting to limit the use of [the idea] to a particular technological environment. . . . Stating an abstract idea while adding the words ‘apply it with a computer’ simply combines those two steps, with the same deficient result.” *Id.* at 223 (internal quotations omitted).
- (4) A claim is likely patent-eligible if it “is necessarily rooted in computer technology in order to overcome a problem specifically arising in the realm of computer networks.” *DDR Holdings, LLC v. Hotels.com, L.P.*, 773 F.3d 1245, 1257 (Fed. Cir. 2014). This analysis applies primarily at step 2 of the *Alice* test.
- (5) At step 1 of the *Alice* test, a claim may be considered non-abstract, and thus patent-eligible, if “the focus of the claims is on the specific asserted improvement in computer capabilities” rather than “on a process that qualifies as an ‘abstract idea’ for which computers are invoked merely as a tool.” *Enfish, LLC v. Microsoft Corp.*, 822 F.3d 1327, 1336 (Fed. Cir. 2016).

- b. Useful (*see* 35 U.S.C. § 101). This is an exceptionally low hurdle. For most inventions, it requires little more than a single, credible, real-world use for the invention. The invention need not be marketable, work particularly well, or have industrial applicability in order to be useful.
- c. Novel (*see* 35 U.S.C. § 102).
 - (1) Novelty requires that the invention be different than any single thing that came before.
 - (2) An invention is not novel if it was patented, described in a printed publication, in public use, on sale, or otherwise available to the public prior to the application for patent. *See* 35 U.S.C. § 102(a)(1). Subject to certain limitations (*see* 35 U.S.C. § 102(b)(2)), issued patents and published patent applications are deemed effective as prior art as of the date they were filed, not the day they were actually published. *See* 35 U.S.C. § 102(a)(2).
 - (3) Most countries apply an “absolute novelty” standard, such that any of the acts described above are immediate and absolute bars to patentability. The United States, however, has a unique exception to the absolute novelty standard allowing, under certain circumstances, a one-year grace period to file a patent application following a disclosure by the inventor or by one who obtained the disclosure from the inventor. *See* 35 U.S.C. § 102(b)(1). As noted above, additional exceptions limit the retroactive applicability of issued patents and published applications. *See* 35 U.S.C. § 102(b)(2).
- d. Non-obvious (*see* 35 U.S.C. § 103). The obviousness analysis considers whether the invention is sufficiently different than the state of the art when viewed through the eyes of one of ordinary skill in the art. Certain objective evidence, such as commercial success, copying, or simultaneous independent invention, can also be considered as part of the obviousness analysis. *See Graham v. John Deere Co.*, 383 U.S. 1 (1966); *see also KSR Int’l Co. v. Teleflex Inc.*, 550 U.S. 398 (2007).

B. Trade Secrets

- 1. Trade secrets are protected by a combination of state and federal laws which prescribe a combination of civil and criminal penalties for trade secret “misappropriation”—the improper acquisition, disclosure, or use of a trade secret. Historically, the protection of trade secrets has primarily

been a matter of state law. To protect trade secrets from misappropriation, the various states rely on some or all of the following sources:

- a. State common law and/or statutes.
 - b. The Restatement (First) of Torts §§ 757-759.
 - c. [The Uniform Trade Secrets Act.](#)
 - d. The Restatement (Third) of Unfair Competition §§ 39-45.
 - e. Defend Trade Secrets Act of 2016, Pub. L. 114-153, 130 Stat. 376 (May 11, 2016) (amending Chapter 90, Title 18, U.S. Code).
2. The Uniform Trade Secrets Act (UTSA) has been adopted in some form by nearly every state, the District of Columbia, Puerto Rico and the U.S. Virgin Islands.¹ This uniform act represents a largely accepted legal framework for the protection of trade secrets and commercial industry.
 3. Although the precise definition will vary from state to state, a “trade secret” is generally defined as information that derives independent economic value from not being generally known to, or readily ascertainable by proper means by, others. To preserve a trade secret, the owner thereof must make reasonable efforts to maintain its secrecy. UTSA § 1(4).
 - a. A substantial amount of trade secret litigation centers on whether the company seeking protection took reasonable measures to keep the information a secret.²
 - (1) The only way an owner of a trade secret can economically benefit from it is to sell access to that information to others.
 - (2) As long as the disclosure is made to a recipient who agrees to keep the information confidential, the trade secret retains its protection.

¹ See Congressional Research Services. (Jan. 27, 2023). *An Introduction to Trade Secrets Law in the United States*. (CRS Report No. IF12315). <https://sgp.fas.org/crs/secret/IF12315.pdf>.

² See, e.g., *Solid Wood Cabinet Co. v. Partners Home Supply*, No. 13-cv-3598, 2015 WL 1208182 (E.D. Pa. March 13, 2015) (granting summary judgment in favor of defendants finding no evidence of protective steps); *International Mezzo Technologies Inc. v. Frontline Aerospace Inc.*, no. 3:10-cv-397, at *18 (M.D. La. Sept. 25, 2014) (“Although [the report at issue] was marked as proprietary and confidential, the plaintiff did not introduce evidence to demonstrate its affirmative efforts to maintain the secrecy of the information contained in the report.”); *SortiumUSA LLC v. Hunger*, No. 3:11-cv-1656-M, 2013 WL 11730655, at *23 (N.D. Tex. March 31, 2013) (granting a motion to dismiss based on plaintiff’s failure to mark the information as confidential, require the defendant to execute a confidentiality agreement, and “its failure to plead any other steps to protect the secrecy”).

- b. There is no limit to how long a trade secret may last; duration depends only upon how long it remains secret and retains independent economic value as a result of its secrecy.
- 4. Trade secrets do not protect against independent discovery by others. Nor do they, by themselves, protect against reverse engineering. Thus, trade secret owners typically include a contractual prohibition against reverse engineering when sharing their trade secrets with others.
- 5. By their nature, trade secrets cannot co-exist with patents in the same intellectual property (though a single article may have some aspects protected by patents and other aspects protected by trade secret). The following factors, among others, will inform the decision of which form of protection is more appropriate for a particular piece of IP:
 - a. How quickly the market moves/how quickly the IP will become obsolete;
 - b. How easy it is to maintain the secret in light of reverse engineering efforts, the likelihood of independent discovery, and the level of access the public will have to articles embodying the trade secret (and whether they can be bound by contract not to reverse engineer the secret);
 - c. How easy it is to detect infringement/misappropriation; and
 - d. Whether foreign protection is desired.
- 6. Federal Protection for Trade Secrets
 - a. Two of the most well-known federal protections for trade secrets include: The Economic Espionage Act (18 U.S.C. §§ 1831-1839), which makes it a crime to steal trade secrets, and the Trade Secrets Act (18 U.S.C. § 1905), which makes it a crime for a Federal Government employee to release confidential or proprietary information gained during the course of her employment.
 - b. Amendments to the Economic Espionage Act, contained in the Theft of Trade Secrets Clarification Act of 2012 (18 U.S.C. § 1832(a)) and the Foreign and Economic Espionage Penalty Enhancement Act of 2012, strengthened the federal protections for trade secrets.
 - (1) The Theft of Trade Secrets Clarification Act of 2012 makes express coverage for trade secrets that are services. It also expands coverage to products and services “used in or intended for use in” interstate commerce, rather than the

more limited “produced for or placed in” interstate commerce.

- (2) The Foreign and Economic Espionage Penalty Enhancement Act of 2012 increases penalties for violations of the EEA ten-fold.

c. In 2016, the Defend Trade Secrets Act (DTSA) was signed into law. The DTSA amends the Economic Espionage Act to provide a federal, private, civil cause of action for trade secret misappropriation. Defend Trade Secrets Act of 2016, 130 Stat. 376 (May 11, 2016) (codified at, *inter alia*, 18 U.S.C. § 1836.)

- (1) One difference between DTSA and UTSA is their extraterritorial reach (i.e., applicability to conduct outside the United States). One district court has held that, under DTSA, plaintiffs could recover damages for foreign acts of misappropriation so long as “an act in furtherance” of the misappropriation—such as marketing knock-off products at a trade show—took place in the United States. *See Motorola Solutions, Inc. v. Hytera Communications Corp.*, 436 F. Supp. 3d 1150 (N.D. Ill. 2020). By contrast, the court held that Illinois’s UTSA did not reach such extraterritorial conduct. *See id.*

d. Although it protects information that likely meets the applicable definition of trade secret, the Procurement Integrity Act is not, strictly speaking, a trade secret statute. Instead, it protects contractor bid and proposal information, which may include proprietary trade secrets. The Department of Justice provides an excellent [outline of the Procurement Integrity Act](#).

C. Copyrights

1. Like the patent system, the copyright system is authorized by Art. I, § 8, cl. 8 of the U.S. Constitution.
2. Congress extensively amended copyright laws in 1976. Prior to 1976, there was a dual federal and state system of copyright protection. The Copyright Act of 1976 preempted state copyright laws. *See* 17 U.S.C. § 301. However, some residual, copyright-like state law claims survive.
3. The Register of Copyrights within the Library of Congress (LOC) is the Government agency that has oversight responsibility for the copyright system. 17 U.S.C. § 701.

4. Copyright laws give the author of an original work of authorship fixed in a tangible medium of expression (*see* 17 U.S.C. § 102) a bundle of five exclusive rights (*see* 17 U.S.C. § 106):
 - a. The right to reproduce the copyrighted work;
 - b. The right to prepare derivative works based upon the original work;
 - c. The right to distribute copies of the work to others;
 - d. The right to perform the work in public; and
 - e. The right to display the work in public.
5. The types of original works that may be copyrighted include, but are not limited to (*see* 17 U.S.C. § 102(a)):
 - a. Literary works;
 - b. Musical works, including any accompanying words;
 - c. Dramatic works, including any accompanying music;
 - d. Pantomimes and choreographic works;
 - e. Pictorial, graphic, and sculptural works;
 - f. Motion pictures and other audiovisual works;
 - g. Sound recordings; and
 - h. Architectural works.
6. The term of this right varies. For a sole author who created a work after 1978, the term is for the life of the author plus 70 years. Alternate terms depend upon when the work was created, whether there was more than one author, whether the work was done anonymously, and whether the work qualifies as a “work made for hire.” 17 U.S.C. §§ 302-305.
7. Although the work must be “original,” the statute does not define the term. Courts have interpreted the term to merely require that the work be independently created and possess some modicum of creativity—a very low hurdle. Unlike patents, the work need not entail more than an obvious revision to existing art. *Feist Publ’ns, Inc. v. Rural Telephone Serv. Co., Inc.*, 499 U.S. 340 (1991). The strength of the copyright, however, is related to the level of originality in the work.

8. Authors may place the work on notice that they are claiming a copyright in the work by placing a notice on all distributed copies of the work. This notice commonly consists of the symbol “©” followed by the year the work was first published and the name of the copyright owner. 17 U.S.C. § 401. Distribution of material without the copyright notice may invalidate the copyright in certain older (pre-1988) works under certain circumstances. 17 U.S.C. § 405(a). Even where the copyright is not invalidated, the author will not be able to recover royalties from an innocent infringer, one who was unaware of the copyright. 17 U.S.C. § 405(b).
9. Authors may (but are not required to) register for a copyright in a work by depositing a copy of the work at the LOC. 17 U.S.C. § 407(a). Registration is a prerequisite to filing suit in federal court (that is, to enforcement of the copyright). Moreover, unless a work is timely registered, certain remedies for copyright infringement will not be available. 17 U.S.C. §§ 411-412.
10. No copyright subsists in U.S. Government works (that is, works that were created, modified, or improved by various officers and employees of the U.S. Government acting in the scope of their official duties). The Government can, however, own copyrights via assignment. 17 U.S.C. § 105.

D. Trademarks

1. The Patent and Copyright provision of the U.S. Constitution does not expressly grant Congress any authority to enact Trademark Laws.
2. In 1870, Congress, relying upon its inherent authority under the Constitution’s Interstate Commerce Clause, enacted the first federal trademark statute, but it opted not to preempt state law. The Lanham Act of 1946 (15 U.S.C. §§ 1051-1127) established the current federal trademark law. The Lanham Act continues to co-exist with state and common law, allowing trademark owners to enforce their rights under multiple, co-existing regimes of protection.
3. Trademark law allows manufacturers and service providers to use marks that distinguish their goods or services from the goods and services of others and to restrict others from using confusingly similar marks. 15 U.S.C. § 1125.
4. Types of marks:
 - a. Trademarks. Used to identify the source or origin of goods. 15 U.S.C. §§ 1051-1152.

- b. Service marks. Used to identify the source or origin of services. *Id.*
 - c. Collective marks. Used by members of an organization or group to distinguish their products or services from non-group members. *Id.*
 - d. Certification marks. Used to show the product or service meets certain characteristics or function levels. *Id.*
- 5. The first user of an “inherently distinctive” mark, or of a “descriptive” mark that has acquired “secondary meaning” (e.g., a mark that, once descriptive, has nonetheless acquired distinctiveness), has the right to continue to make use of that mark so long as the mark is used in commerce in association with goods or services. The first user can exclude others from, *inter alia*:
 - a. Using the mark in a confusingly similar manner (e.g., selling a similar product under the same mark);
 - b. Using confusingly similar marks (e.g., selling a similar product under a similar mark); and
 - c. Diluting the value of the mark (e.g., tarnishing the value of a mark by associating it with lewd material). *See United Drug Co. v. Theodore Rectanus Co.*, 248 U.S. 90 (1918); *Matal v. Tam*, 582 U.S. 218, 137 S. Ct. 1744, 198 L. Ed. 2d 366 (2017)
- 6. Registration of the mark with the PTO is not required to gain these rights but doing so establishes *prima facie* evidence of the registrant’s exclusive right to use the mark. 15 U.S.C. § 1115. If the user registers the mark and makes continuous usage of the mark for five years, the *user’s* right to the continued use of the mark, upon application, may become incontestable. 15 U.S.C. § 1065.
- 7. The Government achieves some trademark-like protection through statutes other than the Lanham Act. *See, e.g.*, 14 U.S.C. § 639 (“USCG,” “USCGR,” “Coast Guard,” etc.); 18 U.S.C. § 711 (Smokey Bear). The Government also owns federally registered trademarks, particularly after 1999 amendments to the Lanham Act clarified that the Government could register marks.
- 8. The Departments of Defense and Homeland Security have special authority to use the proceeds earned by licensing certain of their trademarks for morale, welfare, and recreation activities. *See* 10 U.S.C. § 2260. As a result, there is an increased focus on military “branding.” *See* DoDD 5535.09, *DoD Branding and Trademark Licensing Program* (19 Dec 2007); DoDI 5535.12, *DoD Branding and Trademark Licensing*

Program Implementation (29 Apr 2020); MAJ Jeffrey T. Breloski, *S.O.S.: Save Our Service Marks*, 203 MILITARY L. REV. 78 (Spring 2010).

9. Trademark considerations also appear in the procurement context, such as when contractors attempt to register (or actually succeed in registering) marks that have an association with the Government (*e.g.*, HUMVEE, which AM General has registered in connection with numerous goods and services beyond the military vehicle). Brand name or equal solicitations also implicate trademarks.
- E. Multiple Avenues of Protection. Many innovations/creative concepts may be protected under more than one of the above areas.
1. Opting to protect under one regime often will not prevent later protection under an alternate regime, so long as requirements are met, and terms of protection have not expired.
 2. Sometimes inventors will have to choose among alternate regimes, such as between patent protection and trade secret protection.

IV. RIGHTS IN TECHNICAL DATA AND COMPUTER SOFTWARE – HISTORICAL BACKGROUND AND FUNDAMENTAL PRINCIPLES

- A. Editorial Note.
1. The data rights allocation regimes do not represent a stand-alone form of intellectual property. Rather, they are a merger of the different intellectual property protections and contract law. In other words, technical data rights are not an additional form of intellectual property, but rather an amalgamation of copyright and trade secret rights. Likewise, the Government's rights, for example, in a contractor's computer software are the derivative to the copyrights and trade secrets protections embodied in that computer software.
 2. Moreover, the Government's rights in Technical Data are wholly separate from any rights derived from a contractor's patent. As explained above, patent law permits the patent-holder to, *inter alia*, exclude others from "practicing the invention." Often, the Government does not intend to practice the invention, and so patent rights are not included within the scope of data rights clauses in procurement contracts. As such, patent rights are discussed much later in this chapter, and ought not be confused with the following discussion of rights in technical data and computer software.
- B. Purpose, Policy, and Historical Background. *See* FAR 27.402 (data generally); DFARS 227.7102-1 (commercial technical data); DFARS 227.7103-1 (non-

commercial technical data); DFARS 227.7202-1 (commercial computer software); DFARS 227.7203-1 (non-commercial computer software).

1. There are numerous purposes underlying the technical data and computer software regimes, including:
 - a. Fulfilling certain responsibilities for disseminating and publishing results of activities;
 - b. Ensuring appropriate utilization of the results of research, development, and demonstration activities, including the dissemination of technical information to foster subsequent technological developments;
 - c. Acquiring maintenance and repair from other than the original equipment manufacturer (OEM); and
 - d. Planning for competitive re-procurement.
2. Historical Development
 - a. Prior to World War II, there was no standing military of significant size, so there was also no need to maintain, repair, and replace large quantities of equipment. Regulations first addressed technical data separately from patent rights in 1955 and provided the Government with complete access to data. *See Bell Helicopter Textron*, ASBCA No. 21192, 85-3 BCA ¶ 18,415. This was unacceptable to many contractors, who gradually refused to do work for the Government (at least, refusing to do the work at what the Government deemed a reasonable price).
 - b. The current system was established in 1984 as part of the drastic overhaul that Congress made to the government contracts process in the Competition in Contracting Act and the Defense Procurement Reform Act.³ Congress believed a lack of technical data forced the Government to reprocure on a sole-source basis with the original manufacturer, thus causing inflated prices. Some of these same criticisms persist. *See United States Government Accountability Office, Defense Contracting: Early Attention in the Acquisition Process Needed to Enhance Competition* (GAO-14-395) (May 2014).

³ Despite the many advances that came about in 1984, the FAR did not initially address substantive data rights. FAR subpart 27.4 finally did so when it was added in 1987. For many years after that, both technical data and computer software were addressed together in DFARS 252.227-7013. The DFARS data rights provisions were significantly revised in 1995, when treatment of technical data in DFARS 252.227-7013 was separated from that of computer software, which received its own analogous provision in DFARS 252.227-7014. There have, however, been efforts in the past several years to reconsolidate the DFARS data rights regime into a single clause.

- c. The Government adopted the policy that it is not in its best interest to use its bargaining power to obtain unlimited rights to use all of a contractor's technical data. Rather, the policy is to balance the interests in establishing rights to technical data when the contractor has developed items, components, or processes partially or fully at private expense.
 - d. The relevant statutes (*e.g.*, 10 U.S.C. § 3771 and 41 U.S.C. § 2302) speak only to the Government's rights in technical data and are silent as to the Government's rights in computer software. *But see* 10 U.S.C. § 4576 (mandating certain considerations during negotiations for the acquisition of noncommercial computer software). Computer software, however, is generally treated analogously to technical data. This is important because while the government's minimum technical data rights are statutory and cannot be waived, the government's minimum data rights in computer software are regulatory and can be waived through appropriate DFARS or FAR waiver authority, depending on the agency.
3. In general, there are two separate data rights regimes. The data rights regime for civilian federal agencies is set forth in FAR Part 27, with the corresponding clauses at FAR Subpart 52.227. The data rights regime for defense agencies is set forth in DFARS Part 227, with the corresponding clauses at DFARS Subpart 252.227.
- a. Unlike most procurements, the IP-related sections of the FAR and DFARS are not simultaneously applied in the same procurement. With the exception of the general policy statement in FAR 27.402, the Department of Defense is exempt from FAR Part 27 and the clauses at FAR Subpart 52.227. *See* FAR 27.400; DFARS 227.400.
 - b. It is important to understand which regime controls your procurement, because the FAR and DFARS take divergent approaches to the Government's rights in a contractor's IP. As a result, a contract or solicitation that includes data rights clauses from both the FAR and DFARS (*e.g.*, FAR 52.227-14 and DFARS 252.227-7013) is, at best, ambiguous. This can be especially problematic in GSA Schedule and GWAC orders by defense agencies.
4. Other agencies (notably including the Department of Energy and NASA) have slight variations on the basic FAR and DFARS regimes discussed in this outline in their relevant agency FAR supplements. These variations, however, can be understood by analogy (and, in certain cases, exception) to the discussion herein.

C. Fundamental Data Rights Principles and Concepts

1. Ownership vs. License: The Government rarely takes ownership of contractor IP. Typically, the contractor retains ownership of its IP, subject to a non-exclusive Government license, the scope of which depends on several factors discussed *infra*.
2. Deliverables vs. Rights
 - a. “Deliverables” are the items of data that the contractor is required to deliver as an element of contract performance (*e.g.*, a particular technical data package or drawing; a particular piece of computer software). Typically, the deliverables are set forth in a contract data requirements list (“CDRL”).
 - b. “Rights” are what the Government is permitted to do with the data deliverables (*e.g.*, to whom the Government may disclose the data deliverables, and for what purposes). The rights are set forth in a license that is incorporated into the contract.
 - c. The Government may have rights in items of technical data or computer software that are not deliverables. In this situation, the Government is often said to have “inchoate rights,” because, without the data deliverable, the Government is unable to exercise its rights therein. The deferred delivery and/or deferred ordering clauses (*see* Section X.E below) can be used to remedy the inchoate rights situation.
3. Taking the Minimum Necessary Data and Rights: As discussed above, the Government’s policy is to take only the minimum necessary deliverables, and the minimum necessary rights in those deliverables, in order to meet its needs. *See, e.g.*, FAR 27.102(d); FAR 27.406-1(a); DFARS 227.7103-1; DFARS 227.7203-1. The determination of minimum needs, however, involves multiple considerations including short- and long-term requirements. *See* DFARS 227.7103-2(b)(1); DFARS 227.7203-2(b)(1).
4. The Doctrine of Segregability: Under contracts with defense agencies (*i.e.*, contracts subject to DFARS Part 227), rights can be allocated at the sub-item or sub-component level for technical data (*see* DFARS 227.7103-4(b) (RFO DFARS 227.7103-4(b))), and at “the lowest segregable portion of the software or documentation” for computer software and computer software documentation (DFARS 227.7203-4(b) (RFO DFARS 227.7103-4(b))). This concept of segregability does not exist in FAR Part 27.

D. The following questions provide a framework to help identify what data rights provision(s) and/or clause(s) should be included in a solicitation or contract.

1. Is the contract with a civilian agency or a defense agency?

2. Is the item in question technical data or computer software?
 3. Are the data deliverables related to commercial products or commercial services (as defined by FAR 2.101), or noncommercial items?
- E. For purposes of explanation, this outline will use non-commercial technical data under defense contracts as an explanatory baseline. Other aspects of both the defense and civilian agency data rights regimes will be explained by analogy thereto.

V. RIGHTS IN NON-COMMERCIAL TECHNICAL DATA – DEFENSE AGENCIES (DFARS 252.227-7013)

- A. Definition of Technical Data. *See* 10 U.S.C. § 3013; DFARS 252.227-7013(a)(15) (RFO DFARS 227.7101).
1. “Technical data” is recorded information, regardless of the form or method of the recording, of a scientific or technical nature.
 2. “Technical data” includes computer software documentation and computer databases. It does not include computer software. For example, if the agency is buying a software application that includes a packaged database, both the rights in computer software and rights in technical data clauses would be appropriate.
 3. “Technical data” does not include data incidental to contract information, such as financial or management information (*e.g.*, cost and pricing data). Nor does it include unrecorded information (*e.g.*, general “know how” or “show how”).
 4. “Technical data” does not include information on vendor lists as it is not technical in nature. *Raytheon Co. v. United States*, 160 Fed. Cl. 428, 439 (2022).
 5. “Technical data” does not include the end item itself. *See Night Vision Corp. v. United States*, 68 Fed. Cl. 368, 381 n.16 (2005) (opining that the tangible product is not recorded information and therefore not technical data as defined by the FAR/DFARS).
 - a. As a result, absent an express contractual prohibition, the Government is free to reverse engineer items and components or provide those items and components to third parties to do the same, including to generate additional quantities of the end item. *Id.*
 - b. Reverse engineering is expressly contemplated as a viable alternative when a contractor is unwilling or unable to grant the Government a sufficient license in its technical data, unless the

contract specifically prohibits such reverse engineering. *See* DFARS 227.7103-5(d)(2)(iii); DFARS PGI 217.7504(4). Indeed, the contracting officer must consider whether reverse engineering is a sufficient alternative to entering into a Specially Negotiated License. DFARS 227.7103-5(e) (RFO DFARS 227.7103-5(e)(2)).

- c. Note that this is the case even if the contractor properly asserted restrictions in the technical data corresponding to the item or component. The Government may be prohibited from sharing the technical data package with the contractor's competitors, but it is likely not prohibited from "reinventing the wheel" through reverse engineering.
- d. Note that while this is the case for noncommercial procurements, commercial item software procurements typically include license provisions that prohibit reverse engineering.

B. Standard Licenses. DFARS 252.227-7013 provides three standard categories of licenses:

- 1. Unlimited Rights: An unlimited rights license allows the Government to use, modify, reproduce, perform, display, release, or disclose technical data in whole or in part, in any manner, and for any purpose whatsoever, and to have or authorize others to do the same. DFARS 252.227-7013(a)(16) (RFO DFARS 227.7101).

- a. This is the broadest of the standard licenses and is occasionally characterized as the Government "owning" the technical data. Such a characterization is inaccurate, because the contractor retains ownership rights in the technical data. The contractor also retains ownership of any copyrights.

- (1) Thus, although the Government's rights are broad, the Government does not have the right to exclude anyone, including the owner, from using the technical data (at least, not as a consequence of its license in and to the technical data).

- (a) A contractor may benefit from being able to use the technical data in which the Government has unlimited rights, including for commercial purposes.

- (b) The breadth of the Government's license, however, may make it difficult for the contractor to do so, at least relative to technical data controlled exclusively by the contractor.

- (2) The contractor may have lost any trade secret protection otherwise applicable to the technical data, depending on the relevant trade secrets law. At least one court has held that an unlimited rights license given to the government extinguishes trade secret protection from competitors. *See L-3 Comm's Westwood Corp. v. Robichaux*, 2008 U.S. Dist. LEXIS 15682 at *24, 2008 WL 577560 (Feb. 29, 2008). However, numerous courts have issued rulings that would support that trade secret protections would not be lost after an unlimited rights license has been granted. *See United States v. Liew*, 856 F.3d 585, 601 (9th Cir. 2017); *GlobeRanger Corp. v. Software AG*, 27 F. Supp. 3d. 723, 748 (N.D. Tex. 2014) (holding that if a “[i]f a voluntary disclosure occurs in a context that would not ordinarily occasion public exposure, and in a manner that does not carelessly exceed the imperatives of a beneficial transaction, then the disclosure is properly limited and the requisite secrecy retained”); *Taco Cabana Int'l, Inc. v. Two Pesos, Inc.*, 932 F.2d 1113 (5th Cir. 1991) (holding that filing architectural plans with a city does not make them public information within the context of trade secrets for the same reason); *Wellogix, Inc. v. Accenture, LLP*, 823 F. Supp. 2d 555, 564 (S.D. Tex. 2011), *aff'd*, 716 F.3d 867 (5th Cir. 2013)).
 - b. Because the license belongs to the Government, the Government has the discretion to decide whether and to whom it will further disclose the technical data and for what purposes the technical data can be used if it is further disclosed by the Government. Thus, even though the Government could provide the technical data to a competitor to use (including for commercial purposes), the competitor cannot simply point to the Government's unlimited rights and make use of the technical data absent a sublicense thereto from the Government or a license thereto from the owner.
2. Government Purpose Rights (“GPR”): A GPR license provides the Government with rights to use, modify, reproduce, release, perform, display, or disclose the technical data within the Government. The Government can also release or disclose GPR technical data outside the Government, and authorize third parties to use, modify, reproduce, release, perform, display, or disclose such technical data, for government purposes. DFARS 252.227-7013(a)(13) (RFO DFARS 227.7101).
 - a. “Government purposes” means any activity in which the Government is a party. It includes competitive procurement (such that GPR technical data can, for example, be included in an online bidder's library for follow-on procurements). “Government

purposes” excludes commercial purposes but can include foreign military sales by the Government. DFARS 252.227-7013(a)(12) (RFO DFARS 227.7103-16).

- b. Disclosure of GPR technical data outside the Government must be either (i) subject to the non-disclosure agreement at DFARS 227.7103-7; or (ii) to a Government contractor receiving access to the technical data for performance of a Government contract that contains DFARS 252.227-7025. DFARS 252.227-7013(b)(2)(iii) (RFO DFARS 227.7103-5(b)(4)).
 - c. By default, GPR become unlimited rights five years after execution of the contract, option, or similar instrument that requires development of the technical data. 10 U.S.C. § 3772; DFARS 227.7103-5(b)(2)-(3); DFARS 252.227-7013(b)(2)(ii) (RFO DFARS 227.7103-5(b)(2)). This five-year sunset period can be, and often is, extended by mutual agreement of the parties.
 - d. When and for so long as the Government has GPR, the contractor retains the exclusive right to license the technical data to others for commercial purposes. DFARS 252.227-7013(b)(2)(iv) (RFO DFARS 227.7103-5(b)(4)).
3. Limited Rights: A limited rights license provides the Government with rights to use, modify, reproduce, release, perform, display, or disclose the technical data within the Government. The Government cannot release or disclose limited rights technical data outside the Government except in limited circumstances. The Government also cannot use limited rights technical data for manufacture. DFARS 252.227-7013(a)(14) (RFO DFARS 227.7101).
- a. The two most common circumstances where outside disclosures of limited rights technical data are permitted are disclosures necessary for emergency repair and overhaul, and disclosures to covered government support contractors.
 - (1) A covered government support contractor is a technical assistance/advisory services contractor acting in support of the Government’s management and oversight of a program or effort (*e.g.*, a management consultant). The covered government support contractor cannot be affiliated with a direct competitor of the prime contractor or a first-tier subcontractor in furnishing end items or services of the type developed or produced on the effort. DFARS 252.227-7013(a)(5) (RFO DFARS 227.7101).

(2) The owner of limited rights technical data will be notified of any outside disclosures. DFARS 252.227-7013(a)(14)(iii) (RFO DFARS 227.7103-5(c)(3)). Outside disclosures of limited rights technical data must also be subject to prohibitions on the further reproduction, release, disclosure, or use of the technical data. DFARS 252.227-7013(a)(14)(ii) (RFO DFARS 227.7103-5(c)(4) and RFO DFARS 227.7103-7). For example:

- (a) A recipient of limited rights technical data disclosed for emergency repair or overhaul must be required to destroy the data upon completion of the repair or overhaul and to notify the technical data owner of the destruction. DFARS 252.227-7013(b)(3)(ii).
- (b) The owner of limited rights technical data disclosed to a covered government support contractor can require the covered government support contractor to sign a non-disclosure agreement. DFARS 252.227-7013(b)(3)(iv)(C)-(D) (RFO DFARS 227.7103-7).

C. Specifically Negotiated License Rights. DFARS 252.227-7013 also allows the Government and the contractor to modify the standard licenses described above. 10 U.S.C. § 3771(b)(5)-(7); 10 U.S.C. § 3772(b)(3); DFARS 227.7103-5(d); DFARS 252.227-7013(b)(4) (RFO DFARS 227.7103-5).

- 1. The Government may not receive less than limited rights in the technical data. DFARS 227.7103-5(d); DFARS 252.227-7013(b)(4) (RFO DFARS 227.7103-5(e)(4)).
 - a. A specifically negotiated license that goes “below” limited rights (*e.g.*, a license that is limited to a single military department) would constitute a deviation.
 - b. Deviations to DFARS Subpart 227.4, and as such to DFARS Subparts 227.71 and 227.72, require approval from the Director of Defense Procurement and Acquisition Policy (“DPAP”) in the Office of the Under Secretary of Defense (Acquisition, Technology, and Logistics). DFARS 201.402(1)(ii).
- 2. The specifically negotiated license must be made part of the contract. DFARS 252.227-7013(b)(4).

D. Funding-Based Allocations of Rights in Technical Data. In many cases, the Government’s default rights in non-commercial technical data are dictated by the source of development funding for the item, component, or process to which the technical data pertain.

1. “Developed” (DFARS 252.227-7013(a)(7) (RFO DFARS 227.7101))
 - a. An item, component, or process is “developed” when it exists and is workable (*e.g.*, the item has been constructed or the process practiced).
 - b. Workability is generally established when the item, component, or process has been analyzed or tested sufficiently to demonstrate to reasonable people skilled in the art that there is a high probability that it will operate as intended. The level of proof required will depend upon the nature of the item and the state of the art, but workability generally does not require that the item, component, or process be at a stage where it could be offered for sale or sold on the commercial market. Nor does workability require an actual reduction to practice within the meaning of patent law.
2. The Source of Funds Determination
 - a. An item, component, or process is “developed exclusively at private expense” if development was accomplished entirely with costs charged to indirect cost pools and/or costs not allocated to a Government contract. DFARS 252.227-7013(a)(8).
 - (1) Independent research and development (IR&D) costs and bid and proposal costs are two examples of private expense. 10 U.S.C. § 3771(c)(2). The allowability of IR&D costs in DoD contracts is covered in DFARS 231.205-18 (RFO DFARS 231.205-18).
 - (2) Provided doing so is consistent with their disclosed accounting practices, contractors are free to charge any costs that are not “specifically required” by a contract to IR&D. *See ATK Thiokol, Inc. v. United States*, 598 F.3d 1329 (Fed. Cir. 2010).
 - (3) Development costs in excess of the firm-fixed-price or ceiling price in a firm-fixed-price contract are not considered as part of the source of funds determination. DFARS 252.227-7013(a)(8)(ii) (*see* RFO DFARS 227.7101(a) (included in the definition of “Developed exclusively at private expense”).
 - b. An item, component, or process is “developed exclusively at Government expense” if it is not developed exclusively or partially at private expense. DFARS 252.227-7013(a)(9) (RFO DFARS 227.7101(a)).

- c. An item, component, or process is “developed with mixed funding” if development is accomplished partially with costs charged to indirect cost pools and/or costs not allocated to a Government contract and partially with costs charged directly to a Government contract. DFARS 252.227-7013(a)(10) (DFARS 227.7101(a)).
- d. Under the doctrine of segregability, determinations of the source of development funding are made at the lowest practicable level, allowing the contractor to assert funding-based restrictions in technical data pertaining to a “segregable sub-item, subcomponent, or portion of a process.” DFARS 227.7103-4(b); DFARS 252.227-7013(a)(8)(i); *see also* Section IV.C.4, *supra*.

3. Default Funding-Based Allocations of Rights in Technical Data

- a. The Government shall have unlimited rights in technical data:
 - (1) Pertaining to items, components, or processes developed exclusively at Government expense. DFARS 252.227-7013(b)(1)(i) (RFO DFARS 227.7103-5(a)).
 - (2) Created exclusively with Government funds in the performance of a contract that does not require the development, manufacture, construction, or production of items, components, or processes. DFARS 252.227-7013(b)(1)(iii) (RFO DFARS 227.7103-5(a)).
- b. Unless the Government is entitled to unlimited rights (*see* Section V.E below), the Government shall have GPR for a five-year (or other specifically negotiated) period in the following technical data. After the five-year period, the Government shall have unlimited rights in the technical data:
 - (1) Pertaining to items, components, or processes developed with mixed funding. DFARS 252.227-7013(b)(2)(i)(A) (RFO DFARS 227.7103-5(b)).
 - (2) Created with mixed funding in the performance of a contract that does not require the development, manufacture, construction, or production of items, components, or processes. DFARS 252.227-7013(b)(2)(i)(B) RFO DFARS 227.7103-5(b)).
- c. Unless the Government is entitled to unlimited rights (*see* Section V.E below), the Government shall have limited rights in technical data:

- (1) Pertaining to items, components, or processes developed exclusively at private expense. DFARS 252.227-7013(b)(3)(i)(A) (RFO DFARS 227.7103(c)).
- (2) Created exclusively at private expense in the performance of a contract that does not require the development, manufacture, construction, or production of items, components, or processes. DFARS 252.227-7013(b)(3)(i)(B) (RFO DFARS 227.7103-5(c)).

E. Non-Funding-Based Categories of Unlimited Rights Technical Data. The Government shall also have unlimited rights in additional categories of technical data, without regard to funding. These include (and are listed in RFO DFARS 227.7103-5(a)):

1. Studies, analyses, test data, or similar data that are produced for the contract when the work was specified as an element of contract performance. DFARS 252.227-7013(b)(1)(ii).
2. Form, fit, and function (“FFF”) data. DFARS 252.227-7013(b)(1)(iv). FFF data is “technical data that describes the required overall physical, functional, and performance characteristics . . . of an item, component, or process to the extent necessary to permit identification of physically and functionally interchangeable items.” DFARS 252.227-7013(a)(11).
3. Data necessary for operations, maintenance, installation, or training purposes (“OMIT” data), other than detailed manufacturing or process data. DFARS 252.227-7013(b)(1)(v).
4. Corrections or changes to technical data furnished to the contractor by the Government. DFARS 252.227-7013(b)(1)(vi).
5. Technical data that is otherwise publicly available or released/disclosed by the contractor without restriction. DFARS 252.227-7013(b)(1)(vii).
6. Technical data in which the Government has obtained unlimited rights under another contract or as a result of negotiation. DFARS 252.227-7013(b)(1)(viii).
7. Technical data furnished with GPR and the restrictions have expired (*e.g.*, the default 5-year period, or other specifically negotiated sunset period, has elapsed). DFARS 252.227-7013(b)(1)(ix).

F. Contractors cannot be required to provide the Government with additional rights, beyond those to which the Government is entitled, as a condition of responsiveness to a solicitation or contract award. DFARS 227.7103-1(c). For example, the Government cannot condition eligibility for award on receiving unlimited rights where the contractor is entitled to assert limited rights.

- G. The Government can, however, consider the rights a contractor is willing to grant when making its source selection decision, provided such consideration is consistent with the established evaluation criteria. DFARS 227.7103–10(a)(5); *see also Keuffel & Esser Co.*, 57 Comp. Gen. 413 (B-190774), 78-1 CPD ¶ 281. For example, assuming the established evaluation criteria so provide, the Government can, as part of its cost-technical tradeoff analysis, rate a proposal that offers GPR higher than a proposal that offers only limited rights, so long as the limited rights proposal was allowed the opportunity to qualify as technically acceptable.
- H. Subcontractor technical data is subject to the same rules discussed above. DFARS 252.227-7013(k) (RFO DFARS 227.7103-15).
 - 1. The data rights clauses allocate rights as between the Government and a contractor at any tier, not as between contractors at various tiers.
 - 2. Prime contractors and higher-tier subcontractors are required to satisfy their obligations to the Government and are permitted to negotiate (on what is essentially a commercial basis) for rights in lower-tier contractor technical data. They are not, however, permitted to use their position and power to award subcontracts to leverage rights for themselves. .
 - 3. Subcontractors are also permitted to submit their technical data directly to the Government, particularly where the technical data to be submitted is GPR or limited rights technical data. 10 U.S.C. § 3771.

VI. RIGHTS IN NON-COMMERCIAL COMPUTER SOFTWARE – DEFENSE AGENCIES (DFARS 252.227-7014)

- A. The predicate statute for the DoD’s rights in non-commercial technical data, 10 U.S.C. § 3771, does not speak to computer software. Nonetheless, the regulations addressing the Government’s rights in non-commercial computer software generally parallel those discussed in connection with non-commercial technical data. As such, the discussion in Section V above generally applies *mutatis mutandis* to DoD acquisitions of non-commercial computer software. This section highlights certain salient points and differences unique to acquisitions of non-commercial computer software.
- B. Definitions. *See* DFARS 252.227-7014(a)(4) (RFO DFARS 227.7101).
 - 1. “Computer software” means computer programs, source code, source code listings, object code listings, design details, algorithms, and the like that would enable the software to be reproduced, recreated, or recompiled.
 - 2. “Computer software” excludes computer software documentation and computer databases, which are technical data.

- a. “Computer software documentation” means owner’s manuals, user’s manuals, installation instructions, operating instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or provide instructions for using the software.
 - b. A “computer database” is a collection of recorded data in a form capable of being processed by a computer.
 - 3. A “computer program” is a set of instructions, rules, or routines, recorded in a form that is capable of causing a computer to perform a specific operation or series of operations.
 - 4. Modern “Software-as-a-Service” and “Cloud” applications may combine delivery of software, databases, and documentation. Therefore, both the standard technical data and computer software clauses may be applicable to a particular software procurement.
- C. Standard Licenses. DFARS 252.227-7014 provides three standard licenses, which are analogous to those provided for non-commercial technical data (the RFO-proposed DFARS Part 227 combines the sections and clauses that pertain to the license rights into RFO DFARS 227.7103-4 and -5, and DFARS 252.227-7989):
- 1. Unlimited Rights: Unlimited rights in the computer software context are defined identically to unlimited rights in the technical data context. *See* DFARS 252.227-7014(a)(16).
 - 2. Government Purpose Rights: GPR in the computer software context are defined identically to GPR in the technical data context. *See* DFARS 252.227-7014(a)(12).
 - 3. Restricted Rights: The narrowest standard license in non-commercial computer software is known as “Restricted Rights,” and is analogous to limited rights in technical data. *See* DFARS 252.227-7014(a)(15). Under a restricted rights license, the Government can:
 - a. Use a computer program with one computer at one time. The program may not be accessed by more than one terminal or central processing unit or time shared unless otherwise permitted under the contract.
 - b. Transfer a computer program to another Government agency without the further permission of the contractor, provided the transferor agency destroys all copies of the program and related computer software documentation in its possession and notifies the contractor of the transfer. The transferred software remains restricted rights software.

- c. Make the minimum number of copies of the computer software required for archive, backup, or modification purposes.
- d. Modify the software. The modified software is itself restricted rights computer software.
- e. Permit contractors or subcontractors performing certain service contracts to use the computer software to diagnose and correct deficiencies in a computer program, to modify computer software to enable a computer program to be combined with, adapted to, or merged with other computer programs, or when necessary to respond to urgent tactical situations.
 - (1) The Government must notify the owner of the computer software of the disclosure to the other contractor.
 - (2) The recipient contractor must either be (i) subject to the non-disclosure agreement at DFARS 227.7103-7 or (ii) receiving the software under a contract that contains DFARS 252.227-7025.
 - (3) The Government must prohibit the recipient contractor from decompiling, disassembling, or reverse engineering the software.
 - (4) Additional restricted rights limitations apply as well. *See* DFARS 252.227-7014(a)(15)(v).
- f. Permit contractors or subcontractors performing emergency repairs or overhaul of items or components of items procured under certain contracts to use the computer software when necessary to perform the repairs or overhaul, or to modify the computer software to reflect the repairs or overhaul made.
 - (1) The recipient contractor must either be (i) subject to the non-disclosure agreement at DFARS 227.7103-7 or (ii) receiving the software under a contract that contains DFARS 252.227-7025.
 - (2) The Government must prohibit the recipient contractor from decompiling, disassembling, or reverse engineering the software.
 - (3) Additional restricted rights limitations apply as well. *See* DFARS 252.227-7014(a)(15)(vi).
- g. Permit covered Government support contractors in the performance of covered Government support contracts that contain

DFARS 252.227-7025 to use, modify, reproduce, perform, display, or release or disclose the computer software to a person authorized to receive restricted rights computer software.

- (1) The Government must prohibit the covered Government support contractor from decompiling, disassembling, or reverse engineering the software.
- (2) Additional restricted rights limitations apply as well. *See* DFARS 252.227-7014(a)(15)(vii).

See DFARS 252.227-7014(a)(15).

D. Specifically Negotiated License Rights. The DFARS also allows the Government and the contractor to modify the standard licenses described above so long as the Government receives no less than restricted rights in the computer software. DFARS 227.7203-5(d); DFARS 252.227-7014(b)(4). The specifically negotiated license must be made part of the contract. *Id.* *See also* Section V.C.1 above regarding deviations.

E. Funding-Based Allocations of Rights in Computer Software. As with technical data, in many cases, the Government's rights in non-commercial computer software will be dictated by the source of development funding for the software itself.

1. "Developed" (DFARS 252.227-7014(a)(7)) (RFO DFARS 227.7101).
 - a. A computer program is "developed" when it has been successfully operated in a computer and tested to the extent sufficient to demonstrate to reasonable persons skilled in the art that the program can reasonably be expected to perform its intended purpose.
 - b. Computer software is "developed" when it has been tested or analyzed to the extent sufficient to demonstrate to reasonable persons skilled in the art that the software can reasonably be expected to perform its intended purpose.
 - c. Computer software documentation required to be delivered under a contract is "developed" when it has been written, in any medium, in sufficient detail to comply with contractual requirements.
2. The Source of Funds Determination
 - a. The definitions of "developed exclusively at private expense," "developed exclusively at Government expense," and "developed with mixed funding" are identical to the definitions of these terms in the technical data context.

- b. As with technical data, the doctrine of segregability applies, allowing the source of funding to be determined “at the lowest practicable segregable portion of the software or documentation (*e.g.*, a software sub-routine that performs a specific function).” DFARS 227.7203-4(b); DFARS 252.227-7014(a)(8)(i) (RFO DFARS 227.7103-4(b)(2)).
 - 3. The default funding-based allocations of rights in computer software parallel those in the technical data context. Thus:
 - a. The Government shall have unlimited rights in computer software developed exclusively with Government funds;
 - b. The Government shall have GPR in computer software developed with mixed funding (unless otherwise entitled to unlimited rights); and
 - c. The Government shall have restricted rights in computer software developed exclusively at private expense (unless otherwise entitled to unlimited rights).
- F. Non-Funding-Based Categories of Unlimited Rights Computer Software. Similar to non-commercial technical data, the Government shall also have unlimited rights, without regard to funding, in:
 - 1. Computer software documentation required to be delivered under the contract. DFARS 252.227-7014(b)(1)(ii) (RFO DFARS 227.7103-5(a));
 - 2. Corrections or changes to Government-furnished computer software or computer software documentation. DFARS 252.227-7014(b)(1)(iii) (RFO DFARS 227.7103-5(a));
 - 3. Computer software or computer software documentation that is otherwise publicly available or has been released or disclosed without restriction, except in the case of a transfer of ownership (*e.g.*, an acquisition of the computer software by another company). DFARS 252.227-7014(b)(1)(iv) (RFO DFARS 227.7103-5(a));
 - 4. Computer software or computer software documentation obtained with unlimited rights under another contract or as a result of negotiations. DFARS 252.227-7014(b)(1)(v) (RFO DFARS 227.7103-5(a)); and
 - 5. Computer software or computer software documentation furnished with restrictions that have expired, including the sunset of GPR to unlimited rights. DFARS 252.227-7014(b)(1)(vi) (RFO DFARS 227.7103-5(a)).
- G. As with technical data, contractors cannot be required to provide the Government with additional rights, beyond those to which the Government is entitled, as a

condition of responsiveness to a solicitation or contract award. DFARS 227.7203-1(c) (RFO DFARS 227.7103-1(c)). The Government can, however, consider the rights a contractor is willing to grant when making its source selection decision, provided such consideration is consistent with the established evaluation criteria.

- H. Finally, just as in the case of technical data, subcontractor computer software is subject to the same rules discussed above. DFARS 252.227-7014(k) (RFO DFARS 227.7103-15).

VII. RIGHTS IN COMMERCIAL TECHNICAL DATA AND COMPUTER SOFTWARE – DEFENSE AGENCIES

- A. Commercial Technical Data (DFARS 252.227-7015 (RFO DFARS Subpart 227.72)).

- 1. Commercial Technical Data Deliverables.

- a. The Government generally acquires only the technical data customarily provided to the public with a commercial item or process. DFARS 227.7102-1(a) (RFO DFARS 227.7208-1).
- b. Exceptions include: FFF data; data required for repair or maintenance of commercial items or processes; data required for the proper installation, operation, or handling of a commercial item; and data that describe the modifications made at Government expense to a commercial item or process in order to meet Government requirements. *Id.*

- 2. Commercial Technical Data Rights.

- a. The Government receives the equivalent of unlimited rights in the following commercial technical data:
 - (1) Technical data that have been provided to the Government or others without further restriction, except in the case of a transfer of ownership (*e.g.*, an acquisition of the intellectual property by another company). DFARS 252.227-7015(b)(1)(i) (RFO DFARS 252.227-7990(c)(1));
 - (2) FFF data. DFARS 252.227-7015(b)(1)(ii) (RFO DFARS 252.227-7990(c)(1));
 - (3) Corrections and changes to technical data furnished to the contractor by the Government. DFARS 252.227-7015(b)(1)(iii) (RFO DFARS 252.227-7990(c)(1));

- (4) OMIT data (other than detailed manufacturing or process data). DFARS 252.227-7015(b)(1)(iv) (RFO DFARS 252.227-7990(c)(1)); and
 - (5) Technical data provided with unlimited rights in a prior contract or agreement. DFARS 252.227-7015(b)(1)(v) (RFO DFARS 252.227-7990(c)(1)).
 - b. For all other commercial technical data, the Government is subject to similar restrictions as with non-commercial technical data subject to limited rights. *See* DFARS 252.227-7015(b)(2) (RFO DFARS 252.227-7990(c)(2)).
 - (1) The Government shall have rights to use, modify, reproduce, perform, display, or disclose the technical data within the Government.
 - (2) The Government shall not use the technical data to manufacture additional quantities of the commercial item.
 - (3) The Government shall not release or disclose the technical data outside of the Government, except for emergency repair or overhaul or to a covered government support contractor. Disclosures of commercial technical data to a covered government support contractor are restricted similarly to disclosures of non-commercial technical data to covered government support contractors.
 - c. The parties can also negotiate specific license rights in commercial technical data. DFARS 252.227-7015(c) (RFO DFARS 227.7208-2(b)). Any additional rights granted to the Government must be made part of the contract. *Id.*
- 3. The Government's default rights in commercial technical data closely resemble limited rights because commercial items are typically developed exclusively at private expense.
 - a. If, however, some or all of the commercial item was developed at Government expense, DFARS 252.227-7013 (RFO DFARS 252.227-7989) will apply to those (segregable) portions of the commercial item that were so developed. DFARS 252.227-7015 (RFO DFARS 252.227-7990) will continue to apply to those portions of the commercial item developed exclusively at private expense. *See* DFARS 227.7102-4(b).
 - b. For purposes of validation of and challenges to a contractor's assertion of restrictions on technical data (*see* Section X.D below), commercial items will be presumed to have been developed

exclusively at private expense. DFARS 227.7103-13(c)(2)(i) (RFO DFARS 227-7208-3).

4. Subcontractor technical data is subject to the same rules discussed above. DFARS 252.227-7015(e).

B. Commercial Computer Software (No Clause) (RFO DFARS 227.7202-3(b))

1. The Government licenses commercial computer software subject to the same license as any other commercial licensee unless that license is inconsistent with federal law or otherwise does not meet the Government's needs. The license must be incorporated into the contract. DFARS 252.227.7102-1 (RFO DFARS 227.7202-3(c)). When the government accepts a commercial license, no standard rights in computer software clause should appear. However, the standard Technical Data – Commercial Items clause may be appropriate for computer software documentation or computer databases.
2. There are numerous clauses common to commercial license agreements to which the Government often objects. These include:
 - a. Click-wrap and browse-wrap license terms;⁴
 - b. Open-ended indemnification by the licensee. Per FAR 52.212-4, such clauses are unenforceable against the Government and are severed from the agreement, unless otherwise authorized by law;
 - c. Choice of law and choice of forum clauses;
 - d. Contractual limitations on actions;
 - e. Automatic renewal terms;
 - f. Limitations on warranties;
 - g. Injunctive relief for breach by the licensee;
 - h. Clauses that permit immediate, unilateral termination by the licensor for breaches by the licensee;
 - i. Clauses that permit the licensor to unilaterally modify the license terms or terms of service;
 - j. Clauses that impose liability on the licensee for the licensor's taxes; and

⁴ Click-wrap and browse-wrap licenses may also be objectionable to contractors because of the risk that it is the end-user (who may not have authority to bind the Government), not a contracting officer, that agrees to the license.

- k. Certain confidentiality provisions (*e.g.*, to the extent inconsistent with the Freedom of Information Act).
- 3. The General Services Acquisition Manual (GSAM), GSA's FAR supplement, contains a unique contract clause at GSAM 552.212-4, which deviates from FAR clause 52.212-4 by making "click-wrap" or "browse-wrap" agreements unenforceable, and enumerating specific terms regarding disputes, renewals, indemnification, taxes, and other terms that supersede any contrary language in a commercial supplier agreement.

VIII. RIGHTS IN DATA – CIVILIAN AGENCIES (FAR 52.227-14)

- A. The FAR has a single clause, FAR 52.227-14, which controls the Government's rights in "data," including both technical data and computer software and commercial and non-commercial procurements. FAR 52.227-14 does not, however, apply to commercial computer software.
- B. Data (Other Than Commercial Computer Software)
 - 1. "Data" is defined to include recorded information, regardless of the form or media on which it may be recorded. FAR 52.227-14(a).
 - a. "Data" includes both technical data and computer software. The definitions, inclusions, and exclusions of "technical data" and "computer software" under the FAR are similar to those discussed above in connection with the DFARS. Specifically:
 - (1) "Technical data" means recorded information, regardless of the form or method of recording, of a scientific or technical nature. The term includes information in computer databases. "Technical data" excludes computer software and data incidental to contract administration (*e.g.*, financial, administrative, cost or pricing, or management information). FAR 52.227-14(a).
 - (2) "Computer software" means computer programs that comprise a series of instructions, rules, routines, or statements, regardless of the media in which recorded, that allow or cause a computer to perform a specific operation or series of operations. It also includes recorded information comprising source code listings, design details, algorithms, processes, flow charts, formulas, and related material that would enable the computer program to be produced, created, or compiled. "Computer software" does not include computer databases or computer software documentation. FAR 52.227-14(a).

- b. “Data” does not include information incidental to contract administration, such as financial, administrative, cost or pricing, or management information.
- c. “Data” also does not include the end item itself.

2. Other Key Contrasts with the DFARS Regime

- a. The standard manner in which the FAR allows a contractor to protect data that qualifies as limited rights technical data or restricted rights computer software is by withholding that data from delivery to the Government and delivering FFF data in its place. FAR 52.227-14(g). Indeed, under FAR 52.227-14(b)(1), the Government receives unlimited rights in all data delivered under the contract. Some Alternates of the clause contemplate delivery of data with other limited rights, subject to disclosure and marking requirements.
- b. More Limited Standard Licenses. The FAR expressly recognizes only unlimited rights, limited rights (for certain technical data), and restricted rights (for certain computer software). The FAR does not expressly recognize GPR or specifically negotiated license rights. Moreover, limited rights and restricted rights are only provided for in *alternate* clauses.
- c. The FAR does not expressly recognize the doctrine of segregability.
- d. The FAR generally does not consider the source of development funding when allocating rights, unless it is considering issuing an alternate clause. Nonetheless, to the extent that the Government receives unlimited rights in “data first produced in the performance of” a contract (FAR 52.227-14(b)(1)(i)), it is likely that the data was generated at Government expense.

3. Standard Licenses. FAR 52.227-14 provides three standard licenses (two of which would only be applicable if the relevant alternate clauses are included in the contract):

- a. Unlimited Rights: Unlimited rights allow the Government to use, disclose, reproduce, prepare derivative works, distribute copies to the public, and perform publicly and display publicly, in any manner and for any purpose, and to have or permit others to do so.
- b. Limited Rights: Limited rights, which are applicable to technical data, are defined by reference to the rights provided in a limited rights notice. The basic limited rights notice prevents the Government from using limited rights technical data for

manufacture and from disclosing limited rights technical data outside the Government. The parties can negotiate the purposes for which the Government can disclose limited rights technical data outside the Government. *See* FAR 52.227-14 Alternate II.

- c. Restricted Rights: Restricted rights, which are applicable to computer software, are defined by reference to the rights provided in a restricted rights notice. The basic restricted rights notice limits the Government's rights in the computer software in a manner similar to that applicable to restricted rights under DFARS 252.227-7014, discussed above. In particular, as set forth in FAR 52.227-14 Alternate III:

- (1) The software may be used or copied for use in or with the computer(s) for which it was acquired, including use at any Government installation to which the computer(s) may be transferred.
- (2) The software may be used or copied for use in a backup computer if any computer for which it was acquired is inoperative.
- (3) The software may be reproduced for archival or backup purposes.
- (4) The software may be modified, adapted, or combined with other computer software, *provided* that the modified, adapted, or combined portions of the derivative software incorporating any of the restricted computer software shall itself be restricted computer software.
- (5) The software may be disclosed to and reproduced for use by certain support service contractors.
- (6) The software may be used or copied for use in or transferred to a replacement computer.
- (7) The parties can negotiate other rights and limitations.

4. Allocation of Rights in Data (Other Than Commercial Computer Software)

- a. The Government shall have unlimited rights in the following data:
 - (1) Data first produced in the performance of the contract. FAR 52.227-14(b)(1)(i).

- (2) FFF data delivered under the contract. FAR 52.227-14(b)(1)(ii).
- (3) Data delivered under the contract (except for restricted computer software) that constitute manuals or instructional and training material for OMIT or repair of items, components, or processes delivered or furnished for use under the contract. FAR 52.227-14(b)(1)(iii).
- (4) All other data delivered under the contract, unless provided otherwise as limited rights data or restricted computer software (pursuant, as noted above, to an alternate clause). FAR 52.227-14(b)(1)(iv).

b. Limited Rights Data and Restricted Computer Software

(1) Definitions

- (a) Limited rights data are data, other than computer software, that embody trade secrets or are commercial or financial and confidential or privileged, to the extent that such data pertain to items, components, or processes developed at private expense, including minor modifications to the same. FAR 52.227-14(a).
- (b) Restricted computer software is computer software developed at private expense and that is a trade secret; is commercial or financial and is confidential or privileged; or is copyrighted computer software, including minor modifications thereof. *Id.*

(2) Protecting Limited Rights Data and Restricted Computer Software

- (a) Under the standard FAR 52.227-14 clause, limited rights technical data and restricted computer software can only be protected by withholding it and delivering FFF data (subject to unlimited rights) instead.
 - (i) FFF data for limited rights data are data sufficient to enable physical and functional interchangeability, and data identifying source, size, configuration, mating, and attachment characteristics, functional characteristics, and performance requirements.

(ii) FFF data for restricted computer software are data identifying source, functional characteristics, and performance requirements. FFF data for restricted computer software expressly excludes the source code, algorithms, processes, formulas, and flow charts of the software.

(b) If the Government requires delivery of limited rights data and/or restricted computer software, it should include Alternates II and/or III, respectively. The Government should not generally require, as a condition of the procurement, that the contractor surrender unlimited rights in data that qualify as limited rights data or restricted computer software. FAR 27.406-1(c).

5. Contractors are responsible for securing all subcontractor data and rights therein necessary to fulfill the contractor's obligations to the Government. If a subcontractor refuses to accept terms affording the Government such rights, then the contractor must notify the contracting officer and withhold subcontract award unless it receives written authorization from the contracting officer. FAR 52.227-14(h).

C. Commercial Computer Software

1. In general, the rules that civilian agencies will follow when licensing commercial computer software are identical to those that the DoD will follow when licensing commercial computer software. That is, civilian agencies will also generally license commercial computer software subject to the same license as any other commercial licensee, unless that license is inconsistent with federal law or otherwise does not meet the Government's needs. The license must be incorporated into the contract. FAR 12.212.
2. Unlike the DFARS, however, the FAR provides a "standard" commercial license clause, FAR 52.227-19, that can be used, *inter alia*, if there is confusion as to whether the Government's needs are satisfied by the customary commercial license, if there is confusion as to whether the customary commercial license is consistent with federal law, or if the contractor has no customary commercial license. FAR 27.405-3; FAR 27.409(g). FAR 52.227-19 is ***not*** a mandatory clause in commercial software procurements.

	Commercial Technical Data	Commercial Software	Non-commercial Technical Data	Non-commercial Software
Defense	252.227-7015 (for elements	No clause; adopt standard	252.227-7013	252.227-7014

	developed exclusively at private expense) 252.227-7013 (for elements developed at Government expense)	commercial license unless inconsistent with federal law or does not meet needs		
Civilian	52.227-14	Adopt standard commercial license unless inconsistent with federal law or does not meet needs; can use 52.227-19	52.227-14	52.227-14

Table 1: Summary of Applicable Clauses

IX. OTHER DATA RIGHTS PROVISIONS

A. Rights in Bid and Proposal Data

1. Unsolicited Proposals (FAR Subpart 15.6)

- a. Generally, the Government shall not use data, concepts, ideas, or other parts of an unsolicited proposal as the basis for a solicitation or negotiation with other firms, unless the offeror is notified and agrees. FAR 15.608(a) (RFO FAR 15.502(e)).
- b. The Government shall not disclose restrictively marked unsolicited proposal data. FAR 15.608(b) (RFO FAR 15.502(e)).
 - (1) If an offeror desires to protect information in its unsolicited proposal from disclosure, the offeror is required to mark the title page and each subsequent page with prescribed legends. FAR 15.609 (RFO FAR 15.503-3).
 - (2) If any other legend is used, the Government is required to return the unsolicited proposal with a letter indicating that it will review the proposal if it is resubmitted with the prescribed legends. FAR 15.609(c) (RFO FAR 15.503-3).

2. Other Proposals

- a. FAR 52.215-1(e)(1) (RFO FAR 52.215-1(e)) allows offerors to restrict the Government's rights in data contained in proposals. As with unsolicited proposals, the offeror is required to mark the proposal with a prescribed restrictive legend.

- b. If present (in a civilian agency solicitation), FAR 52.227-23 allows the Government to obtain unlimited rights in technical data in successful proposals. The offeror/awardee can exclude technical data from this grant of unlimited rights by specific identification of page(s) of its proposal. *See* FAR 27.407; 27.409(I).
- c. The rules are more restrictive for defense solicitations. *See* DFARS 252.227-7016.
 - (1) For bid and proposal information other than technical data and/or computer software to be delivered under the contract:
 - (a) Pre-award, the Government may copy and use the information for evaluation purposes only and may not disclose it to others unless such person is authorized by the contracting officer or the agency head to receive the information.
 - (b) Post-award, the Government may use and disclose the information within the Government.
 - (c) There is generally no prescribed legend to effect these restrictions. Many contractors, however, will borrow the restrictive legend from the FAR as a best practice. Additionally, like civilian agency solicitations, DoD solicitations may contain FAR 52.215-1, which includes a prescribed legend in subparagraph (e).
 - (2) For technical data and/or computer software deliverables, the Government's rights are dictated by the rights allocation clause(s) contained in the contract (*e.g.*, DFARS 252.227-7013, -7014, and/or -7015).

B. Rights in Special Works

- 1. The Special Works clauses are used when the Government has a specific need to limit the contractor's distribution and/or use of a work created under contract or when the Government needs to obtain indemnification from the contractor for liabilities that may arise out of the content, performance, or disclosure of the work. For example:
 - a. Contracts for the production of audiovisual works, or for the preparation of motion picture scripts, musical compositions, sound tracks, translations, adaptations, and the like;
 - b. Histories of departments, agencies, services, or units thereof;

- c. Surveys of Government establishments;
- d. Instructional works or guidance to Government officers and employees on the discharge of their official duties;
- e. Reports, books, studies, surveys, or similar documents;
- f. Collections of data containing information pertaining to individuals that, if disclosed, would violate the right of privacy or publicity of the individuals to whom the information relates; and
- g. Investigative reports.

See FAR 27.405-1; DFARS 227.7106.

- 2. The Special Works clauses not only grant the Government unlimited rights in the works, but they also enable the Government to restrict the contractor's use of the work or to require that title in the work be assigned to the Government.
 - a. For example, FAR 52.227-17 (RFO FAR 52.227-17) allows the contracting officer "to limit the release and use of certain data" belonging to the contractor and/or "to obtain assignment of copyright in that data[.]" FAR 52.227-17(b) (RFO FAR 52.227-17).
 - b. Similarly, DFARS 252.227-7020 (RFO DFARS 252.227-7989), the contractor is required to assign to the Government copyright in works first produced, created, or generated under a contract, and required to be delivered under the contract.
- 3. The Special Works clauses also require the contractor to indemnify the Government against certain liabilities. *See FAR 52.227-17(e) (RFO FAR 52.227-17); DFARS 252.227-7020(e) (The RFO-proposed deviation of DFARS Subpart 52.227 does not contain a clause specific to special works).*

C. Rights in Existing Works

- 1. The Existing Works clauses are used when the Government is acquiring an existing work, such as a motion picture, television recording, sound recording, sculptural work, or the like, without modification. FAR 27.405-2; DFARS 227.7105-2 (The RFO-proposed deviations of FAR Subpart 52 and DFARS Subpart 52.227 do not contain clauses specific to existing works).

2. The Existing Works clauses grant the Government rights to distribute, publicly perform, and publicly display the work. FAR 52.227-18(a); DFARS 252.227-7021(b).
 3. The Existing Works clauses also require the contractor to indemnify the Government against certain liabilities. FAR 52.227-18(b); DFARS 252.227-7021(c).
- D. Small Business Innovation Research and Small Business Technology Transfer Program (“SBIR/STTR”) Data Rights
1. Section 9 of the Small Business Act, 15 U.S.C. § 638, provides authority for the SBIR Program. The Small Business Administration (SBA) is the Executive Branch agency responsible for administering this program. 15 U.S.C. § 638(b). The SBA promulgated a policy directive with mandatory guidance for federal agencies participating in the SBIR or Small Business Technology Transfer (STTR) programs. U.S. Small Business Administration Office of Investment and Innovation, Small Business Innovation Research (SBIR) and Small Business Technology Transfer (STTR) Program Policy Directive, May 2, 2019, https://www.sbir.gov/sites/default/files/SBIR-STTR_Policy_Directive_2019.pdf (hereinafter SBIR Policy Directive).
 2. SBIR is a three-phase acquisition process, with the first two phases constrained by funding and durational limitations. SBIR Policy Directive, § 4, p. 67-80.
 - a. Phase I explores project feasibility.
 - b. Phase II covers project development to prototyping.
 - c. Phase III focuses on commercialization.
 - (1) “Phase III refers to work that derives from, extends, or completes an effort made under prior SBIR/STTR Funding Agreements, but is funded by sources other than the SBIR/STTR programs.” SBIR Policy Directive, § 4(c), p. 75.
 - (2) Phase III contracts can be awarded to businesses of any size. *Id.* § 4(c)(6), p. 77.
 3. Contracts awarded under the SBIR program enable contractors to assert unique protections commonly referred to as “SBIR Rights” or “SBIR Data Rights.” *See* FAR 52.227-20; DFARS 252.227-7018(a)(19); SBIR Policy Directive § 8(b), p. 101-06. SBIR Data Rights also apply to subcontracts that meet the requirements of any phase of the SBIR program. SBIR Policy Directive § 8(b)(2), p. 102. Specifically negotiated data rights that

deviate from the standard terms are permitted, but only after issuance of an SBIR/STTR award. SBIR Policy Directive § 8(b)(6), p. 105-06.

4. SBIR contractors are entitled to assert SBIR Rights/SBIR Data Rights regardless of the source of development funding. Stated another way, contractors can assert SBIR Rights/SBIR Data Rights to all data developed under the SBIR contract, even if that data was developed exclusively with Government funds. FAR 27.409(h); DFARS 227.7104(a). This is true even for data generated during the performance of a Phase III SBIR contract. SBIR Policy Directive § 4(c)(2), p. 75-76; § 4(b)(2), p. 102.
5. Additionally, for data (including both technical data and computer software) developed exclusively with private funds or outside the SBIR contract, a SBIR contractor can assert limited rights or restricted rights as applicable. FAR 52.227-20(b)(2)(iv); DFARS 252.227-7018(b)(2), (3).
6. Similar to Government Purpose Rights under DFARS 252.227-7013 and -7014, SBIR Rights/SBIR Data Rights broaden after the passage of a designated period of time. FAR 52.227-20(d); DFARS 252.227-7018(b)(4). As discussed below, both the duration of SBIR Rights/SBIR Data Rights protection and the scope of the Government's rights during and after the protection period differs as between the FAR and DFARS.
7. In 2014, the DoD IG concluded that the inconsistencies between the DoD and SBA policies on SBIR Data Rights led to inconsistent application of protections for contractors. U.S. DEP'T OF DEFENSE INSPECTOR GENERAL, DOD CONSIDERED SMALL BUSINESS INNOVATION RESEARCH INTELLECTUAL PROPERTY PROTECTIONS IN PHASE III CONTRACTS, BUT PROGRAM IMPROVEMENTS ARE NEEDED, REPORT NO. DODIG-2014-049, 27 Mar. 2014, at 10-11.
8. SBIR Rights – Civilian Agencies (FAR 52.227-20)
 - a. “SBIR Data” means data first produced by a contractor that is a small business concern in performance of an SBIR contract, which data are not generally known, and which data without obligation as to its confidentiality have not been made available to others by the contractor or are not already available to the Government. FAR 52.227-20(a).
 - b. For SBIR data that are delivered under the contract, the “Government will use these data for Government purposes only, and they shall not be disclosed outside the Government (including disclosure for procurement purposes) . . . without permission of the Contractor, except that, subject to the foregoing use and disclosure prohibitions, these data may be disclosed for use by support Contractors.” FAR 52.227-20(d).

- c. FAR 52.227-20(d) protects SBIR Data Rights for four years from the date of “acceptance of all items to be delivered under [the] contract.”
 - d. FAR 27.409(h) permits extending this period of protection by using authority in the SBA SBIR Policy Directive to extend protections through subsequent SBIR awards.
 - e. Following the expiration of the SBIR Data Rights protection period, the Government has “a paid-up license to use, and to authorize others to use on its behalf [the SBIR Data] for Government purposes[.]” FAR 52.227-20(d).
9. SBIR/STTR Data Rights – Defense Agencies (DFARS 252.227-7104)⁵
- a. For technical data, SBIR/STTR Data Rights are equivalent to limited rights. For computer software, SBIR Data Rights are equivalent to restricted rights. DFARS 252.227-7104-2(a)(2).
 - b. The SBIR Data Rights period begins upon contract award and ends 20 years after completion of the project from which the technical data or computer software was generated. DFARS 252.227-7104-2(a)(2).
 - c. The DFARS does not explicitly authorize extending SBIR/STTR Data Rights by tacking on periods of protection from subsequent SBIR awards.
 - d. After the expiration of the SBIR/STTR Data Rights protection period, the Government has unlimited rights in the SBIR Data. DFARS 252.227-7018(b)(1)(vi).

X. DATA RIGHTS IN PRACTICE

A. Asserting Proprietary Rights for Noncommercial Items

- 1. Contractors’ restrictions on the Government’s rights in data are not self-executing and depend upon proper pre- and post-award identification and the application of prescribed markings. In other words, the Government receives unlimited rights in technical data and computer software

⁵ DFARS 252.227-7018 was recently amended to implement the SBIR/STTR Policy Directive, these amendments were codified in DFARS 252.227-7104. These changes include, among other things: adoption of a new term, “SBIR/STTR data,” which encompasses all technical data or computer software developed or generated in the performance of a phase I, II, or III; adoption of a 20-year SBIR/STTR data protection period; inclusion of the new SBIR/STTR data category, which specifies (1) Limited rights in SBIR/STTR technical data and (2) Restricted rights in SBIR/STTR computer software during the SBIR/STTR data protection period (thereafter, SBIR/STTR data shall be subject to Government Purpose rights).

delivered to the Government unless the contractor takes affirmative steps to limit such rights.

2. To preserve its proprietary rights, a contractor must both identify data to be delivered with less than unlimited rights in its proposal (*see* Section X.B below), and mark the deliverable (*see* Section X.C below). Only those items that have been identified can be marked and only properly marked items are entitled to protection.

B. Contractor Identification and Assertion of Restrictions

1. Contractors identify data in which the Government will have less than unlimited rights by including with their offers a listing of all data in which the Government will not have unlimited rights. *See* FAR 52.227-15 (RFO FAR 52.227-14); DFARS 252.227-7017 (RFO DFARS 252.227-7989(f)-(g)).
 - a. For civilian agencies, FAR 52.227-15 (RFO FAR 52.227-14) requires the offeror to represent either (1) that none of the data proposed to be delivered under the contract qualifies as limited rights data or restricted computer software; or (2) that certain data to be delivered under the contract qualifies as limited rights data or restricted computer software. Where the contractor represents that data to be delivered under the contract qualifies as limited rights data or restricted computer software, the contractor must identify the same.
 - b. For defense agencies, DFARS 252.227-7017 (RFO DFARS 252.227-7989) requires offerors to identify, to the extent known at the time the offer is submitted, the technical data and/or computer software that the offeror and its actual or potential subcontractors and suppliers assert should be furnished with less than unlimited rights.
 - (1) Assertions at all tiers are submitted as an attachment to the offer in a prescribed tabular format (known as a “rights assertion table”), dated and signed by an authorized representative of the offeror.

Identification and Assertion of Restrictions on the Government's Use, Release, or Disclosure of Technical Data or Computer Software.

The Offeror asserts for itself, or the persons identified below, that the Government's rights to use, release, or disclose the following technical data or computer software should be restricted:

Technical Data or Computer Software to be Furnished With Restrictions* (LIST)*****	Basis for Assertion** (LIST)	Asserted Rights Category*** (LIST)	Name of Person Asserting Restrictions**** (LIST)
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*For technical data (other than computer software documentation) pertaining to items, components, or processes developed at private expense, identify both the deliverable technical data and each such item, component, or process. For computer software or computer software documentation identify the software or documentation.

**Generally, development at private expense, either exclusively or partially, is the only basis for asserting restrictions. For technical data, other than computer software documentation, development refers to development of the item, component, or process to which the data pertain. The Government's rights in computer software documentation generally may not be restricted. For computer software, development refers to the software. Indicate whether development was accomplished exclusively or partially at private expense. If development was not accomplished at private expense, or for computer software documentation, enter the specific basis for asserting restrictions.

***Enter asserted rights category (e.g., government purpose license rights from a prior contract, rights in SBIR data generated under another contract, limited, restricted, or government purpose rights under this or a prior contract, or specially negotiated licenses).

****Corporation, individual, or other person, as appropriate.

*****Enter "none" when all data or software will be submitted without restrictions.

Date _____
Printed Name and Title _____
Signature _____

- (2) If the proposal is successful, the rights assertion table is attached to the contract.
- (3) The contractor shall not deliver any technical data or computer software with restrictive markings (*see* Section X.C below) unless the technical data or computer software is listed in the rights assertion table. DFARS 252.227-7013(e)(2); DFARS 252.227-7014(e)(2) (RFO DFARS 252.227-7989(f)).
- (4) Additional data to be provided with restrictions may be identified and added to the assertion table after award only if the addition is based on new information (*e.g.*, a new deliverable is added to the contract) or was inadvertently omitted, unless the inadvertent omission would have materially affected the source selection decision. DFARS 252.227-7013(e)(3); DFARS 252.227-7014(e)(3) (RFO DFARS 252.227-7989(f)).

C. Marking of Technical Data and Computer Software

1. Contractors assert restrictions by marking the deliverable technical data or computer software with an appropriate legend. The "appropriate" legends are those set forth in the rights allocation clauses themselves, which are reproduced below.
2. DFARS Marking Requirements
 - a. Contractors are prohibited from delivering technical data and computer software with restrictive markings unless that data is identified on the assertion table or other attachment to the contract. *See* DFARS 252.227-7013(e)(2); DFARS 252.227-7014(e)(2) (RFO DFARS 252.227-7989(g)).
 - b. Contractors are required to have procedures that ensure restrictive legends are only used when appropriate, and to have records that justify the validity of any restrictive legends. *See* DFARS

252.227-7013(g); DFARS 252.227-7014(g) (RFO DFARS 252.227-7989(g)).

- c. The marking must be conspicuous and legible. It must appear on the transmittal document or storage container and on each page of printed material where applicable. *See* DFARS 252.227-7013(f)(1). For software, the restrictive legend should also be embedded in the software (*e.g.*, on splash screens) and the code (*e.g.*, headers), except where doing so could impair the usability of such software in combat situations or simulations. *See* DFARS 252.227-7014(f)(1) (RFO DFARS 252.227-7989(g)).
- d. Per the DFARS, only specific markings are authorized. (The RFO combines these into a single clause (RFO DFARS 252.227-7989(g)).⁶
 - (1) DFARS 252.227-7013(f) allows government purpose rights, limited rights, or specifically negotiated license rights in technical data for noncommercial items.
 - (2) DFARS 252.227-7014(f) allows government purpose rights, restricted rights, or specifically negotiated license rights in noncommercial computer software and noncommercial computer software documentation.
 - (3) DFARS 252.227-7018(f) allows limited rights, restricted rights, SBIR data rights, or specifically negotiated license rights in SBIR program noncommercial technical data and computer software.
- e. Marking Commercial Items.
 - (1) Although DFARS 252.227-7015(d) (RFO DFARS 252.227-7990(e)) requires commercial technical data to be restrictively marked in order for the government to be liable for such data's improper release or disclosure, the clause does not prescribe any specific format for the legend. Many contractors will adopt a marking analogous to the authorized legend for non-commercial technical data, but they are not required to do so.
 - (2) There is no regulatory marking requirement for commercial computer software. Contractors often follow their standard

⁶ *See The Boeing Co. v. Secretary of the Air Force*, 983 F.3d 1321 (Fed. Cir. 2020) (holding that markings not specifically authorized by the DFARS did not violate DFARS 252.227-7013(f) so long as the markings did not seek to assert restrictions on the Government's rights.)

commercial practices to mark commercial computer software. William C. Anderson, *Comparative Analysis of Intellectual Property Issues Relating to the Acquisition of Commercial and Noncommercial Items by the Federal Government*, 33 Pub. Cont. L. J. 37, 58-59 (2013).

3. FAR Marking Requirements

- a. As discussed above, the standard FAR Rights in Data-General clause (FAR 52.227-14) grants the Government unlimited rights in all data delivered under contract. Thus, in order for a contractor to protect its limited rights technical data or restricted rights computer software under FAR 52.227-14, it must withhold the protected data and deliver FFF data instead. FAR 52.227-14(g)(1) (RFO FAR 52.227-14).
- b. If the Government requires delivery of limited rights technical data or restricted computer software, it must include Alternate II or Alternate III to FAR 52.227-14, respectively. Both provide a legend that must be applied to the data being delivered.

- (1) Alternate II prescribes the following notice that must be affixed to limited rights technical data:

Limited Rights Notice (Dec 2007)

(a) These data are submitted with limited rights under Government Contract No. _____ (and subcontract _____, if appropriate). These data may be reproduced and used by the Government with the express limitation that they will not, without written permission of the Contractor, be used for purposes of manufacture nor disclosed outside the Government; except that the Government may disclose these data outside the Government for the following purposes, if any; provided that the Government makes such disclosure subject to prohibition against further use and disclosure: [Agencies may list additional purposes as set forth in 27.404(c)(1) or if none, so state.]

(b) This Notice shall be marked on any reproduction of these data, in whole or in part.

- (2) Alternate III prescribes the following notice that must be affixed to restricted computer software:

Restricted Rights Notice (Dec 2007)

(a) This computer software is submitted with restricted rights under Government Contract No. _____ (and subcontract _____, if appropriate). It may not be used, reproduced, or disclosed by the Government except as provided in paragraph (b) of this notice or as otherwise expressly stated in the contract.

(b) This computer software may be—

- (1) Used or copied for use in or with the computer(s) for which it was acquired, including use at any Government installation to which such computer(s) may be transferred;
- (2) Used or copied for use in a backup computer if any computer for which it was acquired is inoperative;
- (3) Reproduced for safekeeping (archives) or backup purposes;
- (4) Modified, adapted, or combined with other computer software, *provided* that the modified, adapted, or combined portions of the derivative software incorporating any of the delivered, restricted computer software shall be subject to the same restricted rights;
- (5) Disclosed to and reproduced for use by support service Contractors or their subcontractors in accordance with paragraphs (b)(1) through (4) of this notice; and
- (6) Used or copied for use in or transferred to a replacement computer.

(c) Notwithstanding the foregoing, if this computer software is copyrighted computer software, it is licensed to the Government with the minimum rights set forth in paragraph (b) of this notice.

(d) Any other rights or limitations regarding the use, duplication, or disclosure of this computer software are to be expressly stated in, or incorporated in, the contract.

(e) This Notice shall be marked on any reproduction of this computer software, in whole or in part.

- (3) Alternate III also includes a “short form” notice that can be used when the longer form notice, shown above, is “impractical:”

Restricted Rights Notice Short Form (Jun 1987)

Use, reproduction, or disclosure is subject to restrictions set forth in Contract No. _____ (and subcontract, if appropriate) with _____ (name of Contractor and subcontractor).

- (4) FAR 52.227-20(d) provides that the following legend is authorized for SBIR data delivered under a FAR-based contract:

SBIR Rights Notice (Dec 2007)

These SBIR data are furnished with SBIR rights under Contract No. _____ (and subcontract _____, if appropriate). For a period of 4 years, unless extended in accordance with FAR 27.409(h), after acceptance of all items to be delivered under this contract, the Government will use these data for Government purposes only, and they shall not be disclosed outside the Government (including disclosure for procurement purposes) during such period without permission of the Contractor, except that, subject to the foregoing use and disclosure prohibitions, these data may be disclosed for use by support Contractors. After the protection period, the Government has a paid-up license to use, and to authorize others to use on its behalf, these data for Government purposes, but is relieved of all disclosure prohibitions and assumes no liability for unauthorized use of these data by third parties. This Notice shall be affixed to any reproductions of these data, in whole or in part.

- c. There is no regulatory marking requirement for commercial computer software. Contractors often follow their standard commercial practices to mark commercial computer software. William C. Anderson, *Comparative Analysis of Intellectual Property Issues Relating to the Acquisition of Commercial and Noncommercial Items by the Federal Government*, 33 Pub. Cont. L. J. 37, 58-59 (2013).
- d. FAR 52.227-14 does not prescribe the manner in which the notices must be affixed to the data.

4. Unmarked Data

- a. If non-commercial technical data or computer software are delivered without restrictive markings of any sort, then they are presumed to be delivered with unlimited rights. FAR 52.227-14(f)(1) (RFO FAR 52.227-14(f)(1)); DFARS 227.7103-10(c); DFARS 227.7203-10(c).
- b. The contractor can request permission to correct this omission, at its expense, within six months (or longer, at the contracting officer’s discretion) after the unmarked data is delivered.
 - (1) The contractor must identify the technical data or computer software to be marked, demonstrate that the omission of markings was inadvertent, justify the proposed markings, and acknowledge in writing that that Government is not liable for any disclosure, use, or release of the data made before the markings were added or resulting from the lack of markings.

- (2) The contracting officer should only grant the request where the data has not yet been distributed absent compatible restrictions on its use or disclosure.

5. Non-Conforming Markings

- a. For contracts with defense agencies, if technical data or computer software are delivered with non-conforming markings (i.e., markings that do not match a prescribed legend, such as “Confidential and Proprietary”), the Government must notify the contractor of the non-conformity. If the non-conforming legend is not corrected or removed within 60 days, the Government may remove, ignore, or correct the non-conforming marking. DFARS 252.227-7013(h); DFARS 252.227-7014(h) (RFO DFARS 252.227-7989(i)(2)). This process can constitute a claim over which the Boards of Contract Appeals have jurisdiction. *See Alenia North America, Inc.*, ASBCA No. 57935, 2013 WL 1871512 (Mar. 26, 2013).
- b. For contracts with civilian agencies, if technical data is delivered with an incorrect marking, the Government may allow the contractor to correct the marking at the contractor’s expense or correct the marking itself. FAR 52.227-14(f)(3) (RFO FAR 52.227-14(f)(3)).

D. Validations and Challenges of Restrictive Markings

1. Contracts that include the delivery of noncommercial technical data or computer software will include a clause that allows the Government to challenge and validate the contractor’s asserted restrictions. *See* FAR 52.227-14(e) (RFO FAR 52.227-14(e)); DFARS 252.227-7019 (computer software); DFARS 252.227-7037 (technical data) (RFO DFARS 252.227-7997).⁷ This clause enables contracting officers to challenge potentially unjustified restrictive markings.
2. General Procedure – Defense Agencies
 - a. The challenge process begins when the contracting officer has “reasonable grounds to challenge the validity of an asserted restriction.” DFARS 227.7103-13(c)(1); *see also* DFARS 227.7203-13 (RFO DFARS 252.227-7997(b)). Where the presumption that commercial items (including computer software) are developed at private expense applies (*see* Section VII.A.3.b above), the Government cannot initiate a challenge unless it can

⁷ Note that a new version of DFARS 252.227-7037 was implemented in April 2022.

demonstrate that it contributed to development. DFARS 227.7103-13(c)(2) (RFO DFARS 252.227-7997).

- b. Prior to initiating a challenge, the contracting officer can request that the contractor provide a written justification for any restriction asserted and can request further information (*e.g.*, contracts, correspondence, engineering documents, accounting and financial records) as necessary to justify the basis for the contractor's asserted restrictions. DFARS 252.227-7019(d); DFARS 252.227-7037(d) (RFO DFARS 252.227-7997). This essentially serves as a pre-challenge request for information (RFI). If the contracting officer determines that reasonable grounds exist to question the validity of the marking, the contracting officer can initiate a challenge.
- c. To initiate the challenge, the contracting officer sends a written notice to the contractor. DFARS 252.227-7019(g); DFARS 252.227-7037(e) (DFARS 252.227-7997(f)).
 - (1) The notice must state specific grounds for challenging the contractor's asserted restriction.
 - (2) The contractor is required to provide a response justifying the restrictive marking within 60 days. The contracting officer has discretion to extend this deadline.
 - (3) For challenges under DoD contracts, a prior contracting officer's final decision sustaining the validity of an identical restrictive marking within three years shall be conclusive justification for the restrictive marking. DFARS 252.227-7037(e)(1)(iii); DFARS 252-22.7019(g)(1)(iv).
- d. The contractor's response to the challenge notice constitutes a claim under the Contract Disputes Act and is required to be certified in the form prescribed by FAR 33.207 (RFO FAR 52.233-1(d)) regardless of amount. Contractors may respond by providing a timeline of the development history, timekeeping records showing development outside of the contracts, test reports, documents evidencing that the technology is segregable (*e.g.*, drawings, diagrams, code analysis), and the like.
- e. Following the contractor's response (or after the period for response has elapsed with no response), the contracting officer will issue a final decision.
 - (1) If the contracting officer finds that the restriction is valid, then the Government will be bound by the contracting officer's finding.

- (2) If the contracting officer finds that the restriction is not justified, then the Government will be bound by the restrictive marking for 90 days, pending notice of the contractor's decision to appeal the contracting officer's final decision to the Court of Federal Claims or the Board of Contract Appeals, and until final disposition if the decision is appealed.
 - f. The Government's right to challenge a contractor's asserted restrictions extends until the later of three years after the software or technical data is delivered or three years after final payment on the contract. *See* DFARS 252.227-7037(i); DFARS 252.227-7019(e)(1) (The RFO-proposed deviation of the DFARS permits a challenge within 6 years of the latter of delivery of the technical data, or final contract payment. RFO DFARS 252.227-7997(j)).
 3. The general procedure for civilian agencies, found in FAR 52.227-14(e) (RFO FAR 52.227-14(e)), parallels that of the DFARS (*e.g.*, the contracting officer makes a written inquiry requiring the contractor to justify its restrictive markings; the contractor responds; the contracting officer issues a final decision; the contractor can appeal). The most substantial difference is that FAR 52.227-14(e)(1) (RFO FAR 52.227-14(e)(1)) permits the Government to bring its challenge "at any time." It is unclear if this means the Government can bring such a challenge after final acceptance and payment; ostensibly, the Government's ability to challenge data could at least be constrained by the CDA's six-year statute of limitations for government claims.
- E. Deferred Delivery and Deferred Ordering of Non-Commercial Technical Data and Computer Software
1. Deferred Delivery. Several versions of an item or process may be developed before it is finalized for production and fielding. The Government may not want or need data related to every iteration. To accommodate these considerations, the DFARS Deferred Delivery clause (DFARS 252.227-7026) permits the Government to defer delivery of data for up to two years after either acceptance of all items (other than data or computer software) or contract termination. The data should be identified in the contract as "deferred delivery."
 2. Deferred Ordering. It is also sometimes the case that the Government may not know at contract award what data it will require, or even whether it will require data at all. The Deferred Ordering clauses (FAR 52.227-16 (RFO FAR 52.227-16); DFARS 252.227-7027 (RFO DFARS 252.227-7995)) allow the Government to order technical data and computer

software generated in performance of the contract for up to three years after contract termination.⁸

- a. The deferred ordered data is subject to the rights allocation clauses otherwise in the contract.
- b. The contractor is compensated only for the cost of converting the data into its prescribed form and for the costs of reproduction and delivery. The contractor is not entitled to additional consideration for the deferred ordered data itself.

F. Withholding of Payment

- 1. DFARS 252.227-7030 (RFO DFARS 252.227-7996) authorizes withholding payment of up to ten percent of the total contract price or amount “[i]f technical data specified to be delivered under th[e] contract, is not delivered within the time specified by th[e] contract or is deficient upon delivery.” This withholding clause enables a contracting officer to withhold payment “pending correction or replacement of the nonconforming technical data or negotiation of an equitable reduction in contract price.”
 - a. While the clause authorizes withholding up to ten percent of the price or amount of the contract, DFARS 227.7103-14 states that “the amount subject to withholding shall be determined giving consideration to the relative value and importance of the data.”
 - b. DFARS 252.227-7030 is a key IP management clause. Although this clause can be a powerful tool to protect the Government’s interests, contracting officials should consider whether other contractual remedies are available to more effectively protect the Government or accomplish its objectives. *See* DFARS 252.227-7030(b) (“The withholding of any amount or subsequent payment to the Contractor shall not be construed as a waiver of any rights accruing to the Government under this contract.”).
- 2. FAR 52.227-21 (RFO FAR 52.227-21) is the FAR counterpart to DFARS 252.227-7030. The FAR clause, however, only authorizes withholding payment of “an amount not exceeding \$100,000 or 5 percent of the amount of th[e] contract, whichever is less,” for failure to make timely

⁸ DFARS Case Number 2019-D044 is an open case to amend the DFARS to implement Section 809(c) of the FY2017 NDAA, which provides that DoD has until 6 years after DoD accepts the last item (other than technical data) under a contract or until 6 years after the date of contract termination, whichever is later, to require a contractor to deliver technical data generated in the performance of a contract. *See* <https://www.acq.osd.mil/dpap/dars/opencases/dfarscasenum/dfars.pdf>.

delivery of technical data or for failing to provide the declaration, corrections, or revisions required by the clause.

G. Other Transaction Authority (OTA)

1. 10 U.S.C. §§ 4021-4022 expanded DoD's authority to use Other Transactional (OT) Authority to "adopt and incorporate business practices that reflect commercial industry standards and best practices into its award instruments" in order to obtain prototypes. *See* Office of the Under Secretary of Defense for Acquisition and Sustainment, Other Transactions Guide, July 2023, p. 4, https://www.acq.osd.mil/asda/dpc/cp/policy/docs/guidebook/TAB%20A1%20-%20DoD%20OT%20Guide%20JUL%202023_final.pdf [hereinafter DoD OT Guide].
2. Because of the unique nature of OTs, the Government has enormous flexibility when negotiating with industry on the terms and conditions of OT agreements (to include IP terms). The Government should negotiate rights consistent with the objectives of the program. "If a strategy, practice, or procedure is in the best interest of the Government and is not prohibited by law or Executive Order, the Government team should assume it is permitted." *Id.*, p. 3.
3. For OTs, the IP rights under the Bayh-Dole Act (35 U.S.C. §§ 201-204) and 10 U.S.C. §§ 3771-3786 **do not apply**. Agreements Officers are permitted and encouraged to negotiate rights of a different scope from the above statutes if advantageous to the government. DoD OT Guide, p. 18-19 and Appendix F.

XI. RIGHTS IN PATENTS UNDER GOVERNMENT CONTRACTS

- A. The FAR and DFARS distinguish between the Government's rights in a contractor's technical data and computer software, on the one hand, and the Government's rights in a contractor's patents, on the other hand. *See* FAR 52.227-14(i) (RFO FAR 27.200); DFARS 252.227-7013(i); DFARS 252.227-7014(i) (RFO DFARS Subpart 227.3).
- B. The Bayh-Dole Act, codified as amended at 35 U.S.C. §§ 200-212, is the primary source of rights and duties in this area.
 1. Prior to World War II, industry, not the Federal Government, was the leader in research and development (R&D) funding. After World War II, the Government's desire to maintain a standing military, explore space, and develop nuclear energy caused it to become the largest sponsor of R&D.

2. There was initially a great deal of disparity among the federal agencies concerning who took what rights in a patent. Some agencies took title to the patent, while others left ownership with the inventor and merely required a license.
 3. To remedy the disparity and to attract more contractors to participate in the Government's "information industrial complex," Congress passed the Bayh-Dole Act in 1980, which gave the patent title to the inventor and required the agency to take certain license rights in the invention. 35 U.S.C. §§ 202-203.
 4. Only small and non-profit firms fall under the statutory language of the Bayh-Dole Act. 35 U.S.C. § 201(c). Congress feared that granting title in inventions to large firms would enable them to monopolize their respective technological fields.
 5. Executive Orders in the 1980s extended coverage of the Act to large, for-profit firms as well. *See* Executive Order 12591, Apr. 10, 1987; Executive Order 12618, Dec. 22, 1987. This policy may be waived under certain circumstances. Some provisions of Bayh-Dole still apply specifically to nonprofit organizations engaged in research by operation of Bayh-Dole's implementing regulations.
 6. The Bayh-Dole Act does not apply to agreements awarded under the authority of OTs, e.g., 10 U.S.C. §§ 4021-4022.
- C. The requirements of the Bayh-Dole Act apply to "subject inventions," which are [1] inventions; [2] of the contractor; [3] conceived or first actually reduced to practice; [4] in the performance of work under a funding agreement. 35 U.S.C. § 201(e).
1. An "invention" is something that is or may be patentable. 35 U.S.C. § 201(d).
 2. An invention is "of the contractor" if the contractor (or a contractor employee) is an inventor.
 3. The terms "conception" and "actual reduction to practice" have their ordinary patent law meanings.
 - a. "Conception" is "the formation in the mind of the inventor of a definite and permanent idea of the complete and operative invention as it is thereafter to be applied in practice." *Townsend v. Smith*, 36 F.2d 292, 295 (C.C.P.A. 1930).
 - b. "Actual reduction to practice" occurs when the invention is embodied in a physical form used to demonstrate its workability.

- (1) The invention is embodied when the physical form has all of the claimed elements.
 - (2) The invention is workable when it has been tested to the extent necessary to show that the invention will perform as intended beyond a probability of failure. Perfection is not required.
4. Work is “in the performance of work under a funding agreement” if it occurs during the period of the funding agreement and is related to the work specified by the funding agreement. A project that is “closely related,” but that nonetheless “falls outside the planned and committed activities of a government-funded project” is not a subject invention. 37 C.F.R. § 401.1(a)(1); *see also Collins v. Western Digital Techs., Inc.*, No. 2:09-cv-219-TJW, 2011 WL 3848631, at *3 (E.D. Tex. 2011).
- D. **Procedural Requirements.** The Bayh-Dole Act includes certain procedural requirements relative to subject inventions. These requirements are implemented in patent rights clauses. *See, e.g.*, 37 C.F.R. Part 401; FAR 52.227-11; FAR 52.227-13; DFARS 252.227-7038; DFARS 252.227-7039 (required when FAR 52.227-11 is used by a Defense agency). Thus, a contractor’s specific obligations vis-à-vis a subject invention will be spelled out in the contract itself. Generally, however, the obligations include:
1. **Disclosure of Subject Inventions.** The contractor must timely disclose subject inventions to the Government. 35 U.S.C. § 202(c)(1); FAR 52.227-11(c); FAR 52.227-13(c)(1)(iii); FAR 52.227-13(e). The purpose of the disclosure requirement is to protect the Government’s interests in potentially patentable inventions under both domestic and international laws.
 - a. The statute requires disclosure within a reasonable time.
 - b. The standard patent rights clause (*i.e.*, FAR 52.227-11) provides that disclosure must be made within two months after the inventor discloses the invention to the contractor or six months after the contractor otherwise becomes aware of the invention.
 - c. The disclosure must have sufficient technical detail to convey a clear understanding of the subject invention. It must also provide information as to any potentially novelty-defeating acts (*e.g.*, publications, on-sale activities, and the like).
 - d. No particular form of disclosure is specified in either the standard patent clause or the FAR patent rights clauses. *But see Campbell Plastics Eng’g & Mfg., Inc. v. Brownlee*, 389 F.3d 1243 (Fed. Cir. 2004) (allowing agency to take rights where disclosure was not in a single disclosure, as required by FAR 52.227.11, but was done

piecemeal). Within the Department of Defense, disclosure may be made on a DD Form 882, Report of Inventions and Subcontracts. *See* DFARS 252.227.304-1.

2. Election of Title. Once the contractor has disclosed the subject invention to the Government, the contractor must decide whether it wishes to retain title to the invention. FAR 27.302(b)(1). By statute, this election must be done within two years of disclosure of the subject invention. 35 U.S.C. § 202(c)(2); FAR 52.227-11(c)(2). This deadline can be shortened if there has been a potentially novelty-defeating event.
3. Filing of Patent Application. If the contractor elects to retain title, it is required to timely file a United States patent application (*e.g.*, within one year of any novelty-defeating event). 35 U.S.C. § 202(c)(3); FAR 52.227-11(c)(3). Optionally, the contractor can file foreign and international counterpart applications.
4. Additional procedural requirements will be spelled out in the contract's patent rights clause.
5. The contractor can request, and the contracting officer can grant, extensions of time to the deadlines for disclosure of subject inventions, election of title, and filing of patent applications. Under a first-to-file system, however, such extensions may jeopardize both the contractor's rights and the Government's rights. *See* Scott A. Felder, *Where AIA Meets Bayh-Dole Act: Beware the Ticking Clock*, Law360 (Oct. 29, 2013), available at <http://www.wileyrein.com/publications.cfm?sp=articles&id=9198>.

E. Allocation of Rights

1. If the contractor elects title, the Government is granted a “nonexclusive, nontransferable, irrevocable, paid-up license” to practice, or have practiced for or on behalf of the United States, the subject invention throughout the world. 35 U.S.C. § 202(c)(4); FAR 27.302(c); FAR 52.227-11(d)(2); FAR 52.227-13(c)(1). Note that this license is to the *invention*, not to a *patent on the invention*.
2. If the contractor does not elect title, or fails to meet a deadline (*e.g.*, fails to timely file a patent application), the Government can take title to the invention. FAR 52.227-11(d)(1).
3. The Government can also take title in countries where the contractor decides not to file a patent application and in countries where the contractor abandons its efforts to secure patent protection. FAR 52.227-11(d)(1).

4. When the Government takes title, the contractor will generally be granted a revocable, nonexclusive, paid-up, worldwide license to the invention. FAR 27.302(i).
- F. March-in rights. March-in rights are reservations by the funding agency in elected subject inventions that permit the agency to require the contractor to grant licenses to responsible applicants on reasonable terms. 35 U.S.C. § 203; FAR 27.302(f); FAR 52.227-11(h). The contractor is given procedural due process, including the right to be heard and an opportunity for oral arguments. There is also a mandate that only the head of the agency can exercise these march-in rights. 35 U.S.C. § 203(2); FAR 27.302(f); FAR 27.304-1(g); 37 C.F.R. § 401.6.
- G. Domestic Licensing. Contractors are prohibited from exclusively licensing their patented invention to US firms unwilling to “substantially manufacture” their product within the U.S. 35 U.S.C. § 204; FAR 27.302(g); FAR 52.227-11(g); FAR 52.227-13(h). There are exceptions if the contractor can demonstrate it was unable to find a domestic licensee or that domestic manufacturing is not commercially feasible. 35 U.S.C. § 204; FAR 27.302(g); FAR 52.227-11(g); FAR 52.227-13(h). For example, if a contractor develops a new bulletproof material that it patents, it is generally required to license that invention only to firms willing to manufacture the bulletproof material within the US.
- H. Applicability to Subcontractors
1. The Bayh-Dole Act prevents prime contractors from obtaining rights in subcontractor inventions within the subcontract itself. 35 U.S.C. § 202(a); FAR 27.304-3; FAR 52.227-11(k); FAR 52.227-13(i).
 2. The contractor may obtain rights in subcontractor inventions but must do so outside of the subcontract and must pay some additional compensation to the subcontractor. FAR 27.304-4; FAR 52.227-11(k); FAR 52.227-13(i).
 3. These same protections are also given to lower tier subcontractors. FAR 52.227-11(k); DFARS 252.227-7038.
 4. Put simply, the Bayh-Dole Act establishes the allocation of rights in an invention between the *Government* and a contractor at any tier, and does not allocate rights in an invention as between contractors at various tiers.
- I. Use of DFARS 252.227-7038. Defense agencies will use the clause at DFARS 252.227-7038, rather than FAR 52.227-11, in solicitations and contracts for experimental, developmental, or research work if the contractor is other than a small business or nonprofit and an alternative patent rights clause (e.g., FAR 52.227-13, discussed *infra*) is not used. DFARS 252.227.303(2). FAR 52.227-11, DFARS 252.227-7038 includes disclosure, election, and patent filing requirements, as well as additional procedural requirements.

- J. Use of FAR 52.227-13. The basic patent rights clause is FAR 52.227-11, which allows the contractor to elect to retain title. In certain circumstances, however, FAR 52.227-13 is used instead. The clause at FAR 52.227-13 requires the contractor to assign title to the Government, subject to a license back to the contractor.
1. The contractor's minimum license is a revocable, nonexclusive, paid-up license in each patent application filed in any country on a subject invention and any resulting patent in which the Government retains title, unless the contractor fails to make the required Bayh-Dole disclosure. FAR 52.227-13(d).
 2. The contractor can request, and the Government can grant, greater rights to the contractor, up to and including allowing the contractor to retain ownership. FAR 52.227-13(b)(2).
 3. If the contractor is allowed to retain ownership after a greater rights determination, the Government receives a nonexclusive, nontransferable, irrevocable, paid-up, worldwide license to practice the invention or have the invention practiced on its behalf. FAR 52.227-13(c). The Government also receives march-in rights. *Id.*
 4. Per FAR 27.303(e)(1), the following are reasons to use FAR 52.227-13:
 - a. The contractor is not in the US;
 - b. The contractor has no place of business in the US;
 - c. The contractor is subject to the control of a foreign government;
 - d. The invention relates to foreign intelligence or counterintelligence activities;
 - e. The invention relates to a Department of Energy Government Owned-Contractor Operated facility for nuclear propulsion or weapons programs; or
 - f. Other exceptional circumstances, as determined by the agency head.

XII. GOVERNMENT USE OF PATENTS

A. Contractor Background Patents

1. "Background patents" are patents that the contractor brings to the table. They are not expressly addressed by the FAR or DFARS. Nonetheless, many contractors will choose to place the Government on notice of their background IP, and the rights (if any) the Government will receive therein.

Often, contractors use a format similar to that found in DFARS 252.227-7017 for technical data and computer software.

2. The ownership of background patents may provide a contractor a competitive advantage in the procurement process. Ownership of a patent, however, is not, in and of itself, sufficient to justify a sole-source award to the patent owner. *See* FAR 27.102(b), *see also Herbert Cooper Co.*, 38 Comp. Gen. 276 (B-136916) (1958) (This idea has seemingly been removed from the RFO).

B. Third-Party Patents

1. Contractors may need to utilize inventions made by others when working on Government contracts. Generally, the Government will not refuse to award a contract on the grounds that the prospective contractor may infringe a patent. FAR 27.102(b).
2. In the ideal case, the parties will identify, up front, any patents that will need to be practiced in performing the contract. This allows offerors to seek a license and include the same in their proposal. Certain requirements are imposed upon patent royalties that the contractor may need to pay as a result. *See* FAR 52.227-9; DFARS 252.227-7006.
3. Most cases, however, are not ideal. Instead, the parties discover during contract performance that they are practicing a third-party's patent. To address this situation, many Government contracts include three types of clauses: Authorization and Consent (*e.g.*, FAR 52.227-1); Notice and Assistance (*e.g.*, FAR 52.227-2); and Indemnification (*e.g.*, FAR 52.227-3 to -5).
 - a. Authorization and Consent. Authorization and consent clauses can shift the liability for acts of patent infringement by the contractor back to the Government in the first instance. *See* Section XIII.A.2.a(2) below.
 - b. Indemnification.
 - (1) Just because the Government accepts liability for its contractors' acts of infringement in the first instance does not mean that the contractor can escape liability for patent infringement entirely. By including an indemnification clause in the contract, the Government can shift the burden of infringement back to the contractor.
 - (2) Indemnification can be blanket (*e.g.*, FAR 52.227-3), or by specific inclusion and/or exclusion of particular patents, products, and/or services (*e.g.*, FAR 52.227-3, Alt. I and

Alt. II). Indemnification is, however, always a contractual question.

- c. Notice and Assistance. The Notice and Assistance clause requires contractors to notify the Government of claims of patent infringement and to assist the Government in defending such claims by turning over “all evidence and information in the Contractor’s possession pertaining to such claim or suit.”

XIII. “PATENT INFRINGEMENT” BY THE GOVERNMENT AND ITS CONTRACTORS⁹

A. Judicial Remedy – 28 U.S.C. § 1498(a)

“Whenever an invention described in and covered by a patent of the United States is used or manufactured by or for the United States without license of the owner thereof or lawful right to use or manufacture the same, the owner’s remedy shall be by action against the United States in the United States Court of Federal Claims for the recovery of his reasonable and entire compensation for such use and manufacture.

* * *

For purposes of this section, the use or manufacture of an invention described in and covered by a patent of the United States by a contractor...for the Government and with the authorization or consent of the Government, shall be construed as use or manufacture for the United States.”

1. The plain meaning of 28 U.S.C. § 1498 makes clear that, when the Government itself manufactures or uses a patented invention, the patentee’s remedy is an action for compensation at the Court of Federal Claims.
2. Additionally, when a contractor uses or manufactures a patented invention “for the United States,” the patentee’s remedy is an action at the Court of Federal Claims, and the contractor is immune from suit for patent infringement in the district courts. *Richmond Screw Anchor Co. v. United States*, 275 U.S. 331, 343 (1928) (stating that the purpose of § 1498(a) is to “relieve the contractor entirely from liability of every kind for the infringement of patents in manufacturing anything for the government, and to limit the owner of the patent . . . to suit against the United States”);

⁹ Strictly speaking, the Government does not infringe patents. Rather, the Government’s use of a patented invention constitutes the taking of a compulsory license in the patent through an exercise of the eminent domain power. *See Leeson Corp v. United States*, 599 F.2d 958, 966 (Ct. Cl. 1979); *see also Decca, Ltd. V. United States*, 640 F.2d 1156, 1166 (Ct. Cl. 1980).

see also Zoltek Corp. v. United States, 672 F.3d 1309, 1324 (Fed. Cir. 2012) (reinforcing the rationale of *Richmond Screw Anchor Co.*).

a. A contractor's use or manufacture is "for the United States" if it is "for the Government" and "with the authorization or consent of the Government." This immunity is broadly construed "so as not to limit the Government's freedom in procurement by considerations of private patent infringement." *TVI Energy Corp. v. Blane*, 806 F.2d 1057, 1060 (Fed. Cir. 1986).

(1) Use or manufacture is "'for the Government' if it is 'in furtherance and fulfillment of a stated Government policy; which serves the Government's interests and which is 'for the Government's benefit.'" *Madey v. Duke Univ.*, 413 F. Supp. 2d 601, 607 (M.D.N.C. 2006).

(a) Performance of a Government contract will almost certainly qualify as "for the Government." *See, e.g., Severson Envtl. Servs., Inc. v. Shaw Envtl., Inc.*, 477 F.3d 1361, 1366 (Fed. Cir. 2007) ("[W]here infringing activity has been performed by a government contractor pursuant to a government contract and for the benefit of the government, courts have all but bypassed a separate inquiry into whether infringing activity was performed 'for the Government.'").

(b) Activities during and/or leading up to a competitive selection process will likely qualify as "for the Government." *See Trojan, Inc. v. Shat-R-Shield, Inc.*, 885 F.2d 854, 856-57 (Fed. Cir. 1989); *TVI Energy Corp.* 806 F.2d at 1060.

(c) Activities under a non-Government contract that nonetheless benefits the Government can qualify as "for the Government." *Advanced Software Design Corp. v. Federal Reserve Bank of St. Louis*, 583 F.3d 1371, 1375-76 (Fed. Cir. 2009).

(d) Performing a quasi-Governmental function pursuant to a statutory and/or regulatory scheme can qualify as "for the Government." *IRIS Corp. v. Japan Airlines Corp.*, 769 F.3d 1359, 1362-63 (Fed. Cir. 2014) (passport inspection by commercial airline).

(2) Authorization and consent may be express (*e.g.*, by contract clause) or implied (*e.g.*, from the Government's conduct).

See TVI Energy Corp., 806 F.2d at 1060. It may be narrow (e.g., FAR 52.227-1) or broad (e.g., FAR 52.227-1 Alt. I). It may be provided up front (e.g., in the contract) or after the fact (e.g., by the Government inserting itself into litigation between the patentee and the contractor). *See Hughes Aircraft Co. v. United States*, 534 F.2d 889, 901 (Ct. Cl. 1976); *see also Advanced Software Design Corp.*, 583 F.3d at 1376-77.

- (3) In the case of service contracts, authorization and consent will often be found where the contractor cannot adopt a non-infringing alternative without breaching the contract. *See, e.g., Severson Envtl. Servs.*, 477 F.3d at 1367 (“Shaw’s use of a noninfringing alternative would put it in breach of its contracts. Thus, Shaw’s use of the accused method was ‘necessar[y]’”); *TDM America, LLC v. United States*, 83 Fed. Cl. 780, 785-86 (2008) (“If the contractor deviated from the proposed processing methods...that contractor would have been in breach of the contract.”). *Accord IRIS Corp.*, 769 F.3d at 1362 (“In this case, the government has clearly provided its authorization or consent because—as the parties and the United States agree—JAL cannot comply with its legal obligations without engaging in the allegedly infringing activities.”).
- b. “Reasonable and entire compensation” is most typically measured as a reasonable royalty for the use or manufacture, considered in light of the factors set forth in *Georgia-Pacific Corp. v. U.S. Plywood Corp.*, 318 F. Supp. 1116 (S.D.N.Y. 1970). *See Honeywell Int’l, Inc. v. United States*, 107 Fed. Cl. 659, 679-80 (2012).
- (1) Other measures, such as lost profits and cost savings to the Government, are disfavored, but have been used in limited circumstances. *See, e.g., Decca, Ltd.*, 640 F.2d at 1167.
 - (2) Reasonable and entire compensation can include attorneys’ fees and costs. *See* 28 U.S.C. § 1498(a).
 - (3) Reasonable and entire compensation does not include treble damages for willfulness. *See Leeson Corp.*, 599 F.2d at 964.
- c. The monetary remedy provided by § 1498(a) is exclusive (“reasonable and entire”). *See Morpho Detection, Inc. v. Smiths Detection Inc.*, No. 2:11-cv-498, 2013 WL 5701522, at *5 (E.D. Va. Oct. 17, 2013).

- (1) A patent owner cannot enjoin the Government from manufacturing or using its patented invention. *See Motorola, Inc. v. United States*, 729 F.2d 765, 768 n.3 (Fed. Cir. 1984) (holding that injunctive relief is not available against the Government).
- (2) A patent owner cannot enjoin a Government contractor from manufacturing or using its patented invention “for the United States.” *See, e.g., Trojan, Inc.*, 885 F.2d at 856-57 (“[A] patent owner may not use its patent to cut the government off from sources of supply, either at the bid stage or during performance of a government contract.”).
- (3) Section 1498 also applies to immunize a contractor from claims for indirect infringement (*i.e.*, inducing infringement under 35 U.S.C. § 271(b) and/or contributory infringement under 35 U.S.C. § 271(c)) where the predicate direct infringement is use and/or manufacture of the patented invention by the United States. *See Astornet Techs. Inc. v. BAE Systems, Inc.*, 802 F.3d 1271, 1277-78 (Fed. Cir. 2015) (“The language [of § 1498(a)] is not limited to claims that are *filed against the United States or its government agencies*. . . . Doing so would expose a significant range of government contractors to direct liability (and possible injunctive remedies), namely, those accused of indirect infringement of claims directly infringed by the government.”) (emphasis in original).

B. Administrative Remedy for “Infringement” By Defense Agencies.

1. 10 U.S.C. § 3793, which permits DoD appropriations to be used to procure intellectual property licenses, allows DoD to settle patent infringement claims administratively.
2. The administrative claim procedures are set forth at DFARS Subpart 227.70.
3. An advantage of the administrative claims process is that it potentially allows the parties to avoid the time and expense of litigation.
4. Disadvantages of the administrative claims process include “piecemeal” settlements (*e.g.*, settlement on an agency-by-agency basis instead of a Government-wide settlement brokered by the Department of Justice) and the use of agency appropriations (vs. the Judgment Fund for Department of Justice settlements).

CHAPTER 28

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CHAPTER 28

CONSTRUCTION CONTRACTING

I. INTRODUCTION. By the end of this chapter, students should:

- A. Understand the unique clauses and procedures used in construction contracting.
- B. Understand how to analyze common legal issues that arise in construction contracting.

II. REFERENCES.

- A. Federal Regulations.
 - 1. Revolutionary FAR Overhaul (RFO) Federal Acquisition Regulation (FAR) Part 36.
 - 2. FAR Companion Part 36.
 - 3. RFO Defense Federal Acquisition Regulation Supplement (DFARS) Part 236 (Class Deviation 2026-O0019).
 - 4. Army Federal Acquisition Regulation Supplement (AFARS) Part 5136.
 - 5. Department of the Air Force Federal Acquisition Regulation Supplement (DAFFARS) Part 5336.
 - 6. Navy Marine Corps Acquisition Regulation Supplement (NMCARS) Part 5236.
- B. Army Regulations (AR).
 - 1. AR 420-1, Army Facilities Management (12 February 2008) (RAR Issue Date 24 August 2012) [hereinafter AR 420-1].
 - 2. AR 415-32, Engineer Troop Unit Construction in Connection with Training Activities (18 June 2018) [hereinafter AR 415-32].
 - 3. DA PAM 420-11, Project Definition and Work Classification (03 October 2023) [hereinafter DA PAM 420-11].
- C. U.S. Army Corps of Engineers (USACE) Guidance.

1. USACE Acquisition Instruction (Effective 3 June 2019, Updated 18 June 2024) [hereinafter UAI].
 2. Engineering Regulation (ER) 1180-1-9, Design-Build Contracting (31 March 2012) [hereinafter ER 1180-1-9].
 3. Engineering Pamphlet (EP) 715-1-7, Architect-Engineer Contracting in USACE (12 January 2026) [hereinafter EP 715-1-7].
- D. Department of Air Force Directives and Instructions.
1. Department of Air Force Policy Directive (DAFPD) 32-90, Real Property Management (20 April 2021) [hereinafter AFPD 32-90].
 2. AFI 32-9002, Management of Real Property (18 December 2020) [hereinafter DAFI 32-9002].
 3. DAFI 32-1020, Planning and Programming Built Infrastructure Projects (23 January 2026) [hereinafter DAFI 32-1020].
- E. Navy Regulation. OPNAVINST 11010.20J, Navy Facilities Projects (27 Dec 2022) [hereinafter OPNAVINST 11010.20J].

III. CONCEPTS.

- A. Definitions.
1. Construction.
 - a. Statutory Definition. 10 U.S.C. § 2801(a). The term “military construction” includes “any construction, development, conversion, or extension of any kind carried out with respect to a military installation, whether to satisfy temporary or permanent requirements.”¹
 - b. Regulatory Definitions.

¹ The term “military installation” means “a base, camp, post, station, yard, center, or other activity under the jurisdiction of the Secretary of a military department or, in the case of an activity in a foreign country, under the operational control of the Secretary of a military department or the Secretary of Defense, without regard to the duration of operational control.” 10 U.S.C. § 2801(c)(4).

- (1) RFO FAR 2.101. The term “construction” refers to the construction, alteration, or repair of buildings, structures, or other real property.
 - (a) Construction includes dredging, excavating, and painting.
 - (b) “Buildings, structures, or other real property” includes improvements of all types, such as bridges, streets, sewers, power lines, docks, etc.
 - (c) Construction does not include work performed on vessels, aircraft, or other items of personal property (except that for use in subpart 22.5).
- (2) Service Regulations. See, e.g., AR 420-1, paragraph 4-17 and Glossary, sec. II; AR 415-32, Glossary, sec. II; AFI 32-1020, para. 5.1; OPNAVINST 11010.20J, ch. 4, para. 3. The term “construction” generally includes:
 - (a) The erection, installation, or assembly of a new facility;²
 - (b) The addition, expansion, extension, alteration, relocation, or replacement of an existing facility;
 - (c) Site preparation, excavation, filling, landscaping, land improvements, utility connections, and installed equipment; and
 - (d) Related real property requirements, such as land acquisitions.

2. Military Construction Project. 10 U.S.C. § 2801(b). The term “military construction project” includes “all military construction work . . . necessary to produce a complete and usable facility or a complete and usable improvement to an existing facility”

B. Fiscal Distinctions.

1. As a general rule, the government funds military construction projects costing not more than \$4 million with Operation and Maintenance (O&M)

² The term “facility” means “a building, structure, or other improvement to real property.” 10 U.S.C. § 2801(c)(2).

funds; projects costing more than \$4 million, but not more than \$9 million, with Unspecified Minor Military Construction (UMMC) funds; and projects costing more than \$9 million with Military Construction (MILCON) funds. §2802 of the National Defense Authorization Act (NDAA) for Fiscal Year 2024, Pub. L. No. 118-31, 137 STAT. 743 (2023). See Construction Funding chapter in Contract & Fiscal L. Dep't, The Judge Advocate General's School, U.S. Army, *Fiscal Law Deskbook* (current Edition), available on the Judge Advocate General's Legal Center and School Web Page in the "TJAGLCS Publications" library (<https://tjagls.army.mil/adk>).

2. For fiscal law purposes, "construction" does not include repair or maintenance. Therefore, the government may fund repair and maintenance projects with O&M funds, regardless of the cost. AR 420-1, Glossary, sec. II; AFI 32-1020, paras. 3.3, 5.2; OPNAVINST 11010.20J, ch. 4, para. 3.
3. The Department of War (DOW) must award construction contracts in accordance with RFO FAR Part 36, RFO DFARS Part 236, and any applicable service supplement, regardless of the funding source.

C. Contracting Procedures.

1. As with most procurements, the government must take certain steps to procure construction properly.
2. These steps normally include:
 - a. Deciding which acquisition method to use;
 - b. Deciding which contract type to use;
 - c. Determining what source of funding is appropriate;
 - d. Deciding what, if any, pre-bid communications are required (or otherwise warranted);
 - e. Deciding what information and which clauses to place in the solicitation;
 - f. Deciding which contractor should receive the award; and
 - g. Administering the contract.
3. An Independent Government Estimate, or IGE, is necessary if the proposed contract, or any proposed modification to a construction

contract, exceeds the simplified acquisition threshold (SAT), currently \$350,000. RFO FAR 36.101-6; RFO FAR 2.101. The Contracting Officer may require an IGE for contracts less than the SAT. The IGE is not normally disclosed to offerors and will be marked “CUI” unless the information is classified. RFO DFARS PGI 236.101-6.

IV. METHODS OF ACQUIRING CONSTRUCTION.

- A. Sealed Bidding. RFO FAR 6.101(b)(1); RFO FAR 36.101-1(a). Contracting officers will only use sealed bidding procedures to acquire construction if:
 - 1. Time permits;
 - 2. Award will be made on the basis of price and price-related factors;
 - 3. Discussions with bidders are unnecessary; and
 - 4. There is a reasonable expectation of receiving more than one bid.
- B. Negotiated Procedures. RFO FAR 6.101(b); RFO FAR 15.103.
 - 1. Contracting officers should use negotiated procedures to acquire construction if:
 - a. Time does not permit the use of seal bidding procedures;
 - b. Award will not be made on the basis of price and price-related factors;
 - c. Discussions are necessary, **or**
 - d. There is not a reasonable expectation of receiving more than one bid. See Viereck Co., B-222520, Aug. 5, 1986, 86-2 CPD 152; Pardee Constr. Co., B-256414, June 13, 1994, 94-1 CPD 372.
 - 2. Contracting officers should use negotiated procedures to acquire construction performed outside the United States and its outlying areas, even if sealed bidding is otherwise required. RFO FAR 36.101-1(a).
 - 3. Contracting officers must use negotiated procedures to acquire architect-engineer services. RFO FAR 36.102-2.
- C. Design and Construction Acquisition Procedures.
 - 1. Background. In the past, a contracting officer could not award a contract to build a project to the firm that designed the project unless the agency head or authorized representative approved. FAR 36.209. See Lawlor

Corp., B-241945.2, Mar. 28, 1991, 70 Comp. Gen. 375, 91-1 CPD ¶ 335. However, Congress established two-phase design-build selection procedures in 1995 that allow the same firm to design and build a project. NDAA of 1996, Pub. L. No. 104-106, 110 Stat. 186 (1995).

2. Definitions. FAR Companion 36.000.

- a. Design-Bid-Build (DBB): With the DBB process, the government will issue two contracts. The first is to an Architect-Engineer (A-E) firm for the design of the facility; the second is to a construction contractor for the building of the facility in accordance with the provided design. Once a need is identified, the government will select an A-E firm in accordance with the procedures in RFO Part 36. The selected firm will design the facility pursuant to the terms of the contract. The completed design will include the technical drawings, materials, and estimated cost. This becomes the basis for the construction requirements and the Independent Government Estimate (IGE). Once the design is developed, the government will use the IGE to obtain funding and the design to solicit a construction contract. The offerors for the construction contract will base their bids on the design provided by the government.
- b. Design-Build (DB): With DB, the end user (in this instance, the government) issues one contract to a construction contractor where the contractor is responsible for developing the design of the construction and subsequently performing the construction. Procedures for using DB are spelled out in RFO Part 36. In phase one, the government develops the scope of work describing the needs of the facility and the salient characteristics of the facility to include the estimated budget. The government also develops the technical evaluation factors, which assess and determine those vendors that will proceed from phase one to phase two. Vendors prepare their design to meet the requirements of the government and make a phase one offer to the solicitation, which does not include price. The government evaluates offers in accordance with the evaluation factors and selects vendors to move to phase two. Phase one follows RFO Part 36 procedures. The vendors selected to advance to phase two are given the opportunity to prepare a complete proposal for their design evaluated in phase one. The phase two proposal will include pricing and technical information regarding their plan to implement their phase one design. The proposals are evaluated by the government, and the government makes a best value determination based on the evaluation criteria. The contract is awarded, and the contractor builds the facility to their design. Phase 2 follows RFO Part 15 procedures.

3. Policy. RFO FAR 36.002.

- a. A contracting officer must use one of the following acquisition procedures when contracting for the design and construction of a public building, facility, or work:
 - (1) Design-bid-build established under 40 U.S.C. 11.
 - (2) Two-phase design-build selection procedures authorized by 10 U.S.C. 3241 or 41 U.S.C. 3309.
 - (3) Another acquisition procedure authorized by law. *See, e.g.*, 10 U.S.C. 2862: Turn-key selection procedures; Alternative Delivery Authorities discussed *infra* Section IV(D).
- b. Unless a contracting officer decides to use design-bid-build (or another authorized acquisition procedure), the contracting officer must use two-phase design-build procedures to acquire construction if:
 - (1) The contracting officer anticipates receiving three or more offers;
 - (2) Offerors must perform a substantial amount of design work (and incur substantial expenses) before they can develop their price proposals; and
 - (3) The contracting officer has considered the factors set forth in RFO FAR 36.101-2(a)(3), including:
 - (a) The extent to which the agency has adequately defined its project requirements;
 - (b) The time constraints for delivery;
 - (c) The capability and experience of potential contractors;
 - (d) The suitability of the project for two-phase selection procedures;
 - (e) The capability of the agency to manage the two-phase selection process;
 - (f) Other criteria established by the agency.

4. Two Phase Design-Build Procedures. RFO FAR 36.101-2.

- a. The agency may issue one solicitation covering both phases or two solicitations in sequence.
- b. Phase-one. RFO FAR 36.101-2(b).
 - (1) The phase-one solicitation must include:
 - (a) The scope of work;
 - (b) The phase-one evaluation factors, which must include technical approach, technical qualifications, and other appropriate factors (excluding cost or price related factors);
 - (c) The phase-two evaluation factors; and
 - (d) A statement regarding the maximum number of offerors that will be selected to submit phase-two proposals.³
 - (2) The agency evaluates phase-one proposals based upon the stated phase-one evaluation criteria to determine the most highly qualified offerors the agency will ask to submit phase-two proposals.
- c. Phase-two. RFO FAR 36.101-2(d). Phase two evaluation and evaluation factors are independent from phase one and must be prepared and evaluated in accordance with RFO FAR Part 15. The phase-two solicitation must include evaluation factors, such as design concepts and proposed technical solutions; and require submission of separate technical and price proposals.

D. Alternative Delivery Authorities and Approaches

- 1. Progressive Design Build (PDB). The FY 2026 NDAA provided authority to use PDB procedures for military construction projects. §2809 NDAA of 2026, Pub. L. No. 119-60, 139 Stat. 1299 (2025). PDB emphasizes qualifications-based, single-phase selection and early collaboration between the Government requirement owner and industry partners. PDB allows the Government and the contractor to collaborate on scope and

³ This number should not exceed 5 unless the contracting officer determines that including more than five offerors in the competitive range is in the government's best interests. RFO FAR 36.101-2(b)(4). DoW further requires that the phase-two solicitation must be limited to no more than five offerors if the contract value exceeds \$5.5 million, unless the solicitation is issued for an IDIQ contract for design-build construction or the HCA or delegable authority determines in writing that a maximum number greater than five is in the best interest of the Government and is consistent with the purposes and objectives of the two-phase selection procedures. RFO DFARS 236.101-2.

design before a price is established. PDB procedures include the following requirements:

- a. Contract is awarded in a single phase based on qualifications and demonstrated capabilities of the offeror without submission of a detailed construction cost or price proposal at the time of award.
 - b. Contract provides for collaboration between the Secretary concerned and the contractor to develop and refine the project scope and design, including cost estimates.
 - c. Following development of the project scope and preliminary design, the contract provides for the Secretary concerned and contractor to negotiate a guaranteed maximum price or other fixed-price agreement for the construction phase of the military construction project.
 - d. If negotiations described in paragraph c. above fail, the contract includes terms for termination or negotiation.
2. Accelerated Design Build (ADB). The FY 2026 NDAA provided authority to use ADB procedures for military construction projects. The FY 2026 NDAA provided authority to use ADB procedures for military construction projects. §2809 NDAA of 2026, Pub. L. No. 119-60, 139 Stat. 1299 (2025). ADB procedures follow the traditional two-phase design build requirements, but allow for selection of the design build contractor prior to the project's specific authorization by law and before funds are appropriated for the construction portion of the project. 10 U.S.C. 3241(f). The use of such funds for the design portion of a military construction project may continue despite the subsequent authorization of the project. *Id.* Construction contracts procured under ADB procedures must limit the Government's liability to the final design costs for a termination for convenience that occurs before funds are made available for the construction portion of the project. *Id.*
3. Other Transaction Authority (OTA). The FY 2026 NDAA provided authority to use OTAs to carry out repair and construction for military facilities, including the planning, design, engineering, prototyping, piloting, and execution of such repair and construction projects. §2802 NDAA of 2026, Pub. L. No. 119-60, 139 Stat. 1299 (2025). The NDAA does not appear to limit the authority to a particular dollar threshold, facility type, or project category, though practitioners should consider implementing regulations and DoD policy guidance that will further define the parameters of its use.

4. Design Build to Budget (DBtB). A construction acquisition approach that operates within the design-build legal framework established by 10 U.S.C. §§ 2862 and 3241, RFO Part 36, USACE ER 1180-1-9, and the expanded alternative delivery authority of § 2809 of the FY 2026 NDAA. Under DBtB, the Government discloses the design and construction cost ceiling to industry at the time of solicitation, allowing design-build teams to align their scope and proposals to a known budget. Rather than competing primarily on price, offerors compete on the quality, innovation, and value of the facility they can design and build within the disclosed budget ceiling. The goal is to optimize the available budget by delivering the most value.
- E. Construction as “Acquisition of Commercial Products and Commercial Services,” FAR Part 12.
1. On 3 July 2003, the Administrator of the Office of Federal Procurement Policy (OFPP) issued a memorandum stating that FAR Part 12, Acquisition of Commercial Items, “should rarely, if ever be used for new construction acquisitions or non-routine alteration and repair services.” Rather, “in accordance with long-standing practice, agencies should apply the policies of FAR Part 36 to these acquisitions.” See Memorandum, Administrator of Office of Federal Procurement Policy, to Agency Senior Procurement Executives, Subject: Applicability of FAR Part 12 to Construction Acquisitions (July 3, 2003).
 2. The OFPP memorandum stated that Part 12 acquisitions are generally well suited for certain types of construction activities “that lack the level of variability found in new construction and complex alteration and repair,” such as routine painting or carpeting, simple hanging of drywall, everyday electrical or plumbing work, and similar noncomplex services.”
 3. The RFO FAR revised the definition of a Commercial Service to mean “Services, including construction, of a type offered and sold competitively in substantial quantities in the commercial marketplace based on established catalog or market prices for specific tasks performed or specific outcomes to be achieved and under standard commercial terms and conditions.” RFO FAR 2.101.
 4. Practitioners must analyze a construction requirement to determine whether it fits the meaning and intent of a commercial service. Pursuing a construction requirement as a commercial service under RFO FAR Part 12 will limit the Government’s ability to utilize standard construction clauses, such as clauses providing for progress payments, suspension of work, inspections, warranties, and the standard clauses for both changes and default. RFO FAR 12. 205(d)(2). Regardless of the limitations imposed by

RFO FAR Part 12 on tailoring or deviating from commercial terms, a construction contract procured as a commercial service must still abide by statutory requirements unique to construction such as those related to labor policies, trade agreements, or bonding.

V. CONTRACT TYPES.

A. Firm Fixed-Price (FFP) Contracts. RFO FAR 36.101-1.

1. Agencies normally award FFP contracts for construction.
2. The contracting officer may require pricing on a lump-sum, unit price, or combination basis of a and b below.
 - a. With lump sum pricing, the agency pays a lump sum for:
 - (1) The total project; or
 - (2) Defined portions of the project.
 - b. With unit pricing, the agency pays a unit price for a specified quantity of work units.
 - c. Agencies must use lump-sum pricing unless (RFO FAR 36.101-1(b)(2)):
 - (1) The contract involves large quantities of work such as grading, paving, building outside utilities, or site preparation;
 - (2) The agency cannot estimate the quantities of work with sufficient confidence to permit a lump-sum offer without a substantial contingency;
 - (3) The estimated quantities of work may change significantly during construction; or
 - (4) Offerors would have to expend unusual effort to develop adequate estimates.

B. Fixed-Price Contracts with Economic Price Adjustment Clauses (FP w/EPA). RFO FAR 36.101-1(b)(3). Agencies may use this contract type if:

1. The use of an EPA clause is customary in contracts for the type of work the agency is acquiring;

2. A significant number of offerors would not bid unless the agency included an EPA clause in the contract; or
 3. Offerors would include unwarranted contingencies in their prices unless the agency included an EPA clause in the contract.
- C. Cost-Reimbursement Contracts. RFO DFARS 236.101-1(3); RFO DFARS 216.304-2. Annual military construction appropriations prohibit the use of cost-plus-fixed-fee contracts that are funded by a military construction appropriations act, are estimated to exceed \$25,000, and will be performed within the United States, except Alaska. This prohibition does not apply to contracts specifically approved in writing in accordance with:
1. The Secretaries of the military departments are authorized to approve such contracts that are for environmental work only, provided the environmental work is not classified as construction, as defined by 10 U.S.C. 2801.
 2. The Secretary of Defense or designee must approve such contracts that are not for environmental work only or are for environmental work classified as construction.
- D. Incentive and Other “Fee” Contracts. RFO FAR 36.101-1(b)(4). Activities cannot use incentive, cost-plus-fixed-fee, or other types of contracts with cost variation or cost adjustment features at the same work site with firm fixed-price contracts without the approval of the HCA.
- E. Indefinite Delivery / Indefinite Quantity Contracts. RFO FAR 16.504. Tyler Const. Group v. United States, 83 Fed. Cl. 94 (2008), aff’d 570 F.3d 1329 (Fed. Cir. 2009). The Federal Circuit held that using an ID/IQ contract to procure construction projects was not specifically prohibited by statute or regulation; thus, it was a permissible innovation under RFO FAR 1.102(b)⁴. Generally, ID/IQ contracts are used to procure services and supplies, but the Federal Circuit affirmed the Army Corps of Engineer’s “innovative” approach to use ID/IQ contracts to procure large-scale construction projects.
- F. Job Order Contracting. AFARS Subpart 5117.90. (Salmon & Assoc., B-227079, Aug. 12, 1987, 87-2 CPD ¶ 152).

⁴The role of each member of the Acquisition Team is to exercise personal initiative and sound business judgment to meet the agency’s mission and manage risk. To continually promote innovation, the FAR encourages acquisition team members to pursue new approaches, and document successes and lessons learned. In this spirit, acquisition team members may assume that if a specific strategy, practice, policy, or procedure is in the best interests of the Government and is not addressed in the FAR, nor prohibited by law (statute or case law), Executive order or other regulation, then they are allowed to use the strategy, practice, policy, or procedure.

1. A Job Order Contract (JOC) is an indefinite-delivery, indefinite-quantity contract and an alternative contracting method to fulfill repair, maintenance, and minor construction requirements on a variety of projects ranging from sustainment, restoration, and modernization, simplified acquisition of base repair requirements, civil works operations and maintenance, small renovations, real property repair and maintenance with an estimated value more than the micro-purchase threshold for acquisitions of construction. AFARS PGI 5117.9000.
2. A JOC includes a comprehensive collection of detailed repair, maintenance, and minor construction task descriptions or specifications, units of measure, and pre-established unit prices for discrete tasks (a JOC price book). AFARS PGI 5117.9000. The contractor then multiplies the government's unit price by its own coefficient (e.g., profit + overhead) to arrive at its bid/proposal price. AFARS PGI 5117.9001.
3. Except as otherwise specified AFARS 5117.9004-3 Ordering, job orders must be executed in accordance with RFO 16.506 and 16.507.
4. JOC Limitations.
 - a. The government should not use a JOC for projects with an estimated value less than micro-purchase threshold for acquisitions of construction, or greater than the threshold established in 10 U.S.C. 2805(c) (Operations and Maintenance Funds threshold for unspecified minor military construction projects). Special procedures must be followed when using a JOC for projects valued over the Simplified Acquisition Threshold. AFARS 5117.9005(c).
 - b. The government cannot use a JOC to acquire reoccurring facilities engineering support services (e.g., custodial, grounds maintenance, refuse collection and disposal, or similar work). AFARS 5117.9002(b).
 - c. The government cannot use a JOC to acquire Architect-Engineer services or Design-Build Requirements. Informal shop and as-built drawings, incidental to the job, reflecting the plan of action and the completed project, are anticipated under a JOC. AFARS 5117.9002(b).

VI. SOLICITATION.

A. Pre-Solicitation Notice for Construction and Architect-Engineer Contracts.

1. The contracting officer must post a presolicitation notice to the Government-wide Point of Entry (GPE) for any proposed contract action

expected to exceed \$20,000, except when exempted by RFO FAR 5.101. RFO FAR 36.101-4, RFO FAR 5.002.

2. The FAR Companion advises that a presolicitation notice is intended to stimulate interest in the upcoming construction project. This is especially important for small businesses as they need as much time as possible to assemble a team to compete for the project. The presolicitation notice should include a brief description of the work, the location of the work, tentative dates for the acquisition process, state the availability of construction plans, and if the construction will be limited to small businesses. FAR Companion 36.1.
- B. Forms. RFO FAR 36.201-2. The contracting officer must use Standard Form (SF) 1442, Solicitation, Offer, and Award (Construction, Alteration, or Repair) to solicit and submit offers, award construction or dismantling, demolition, or removal of improvements contracts expected to exceed the SAT.
- C. Supplemental Documents. The contracting officer will provide drawings and specifications in either hard-copy or completely in electronic format. RFO DFARS 252.236-7001.
- D. Statutory Cost Limitations. RFO FAR 36.201-1; RFO DFARS 252.236-7006.
1. The solicitation must include any statutory cost limitations. (K.C. Brandon Constr., B-245934, Feb. 3, 1992, 92-1 CPD, ¶ 139); RFO DFARS 252.236-7006(b), Cost Limitation (Jan 1997) (“[an] offeror which does not state separate prices for the items identified in the Schedule as subject to a cost limitation may be considered nonresponsive”).
 2. DOW Solicitations containing one or more items subject to statutory cost limitations shall state --
 - a. The applicable cost limitation for each affected item in a separate schedule;
 - b. That an offer which does not contain separately-priced schedules will not be considered; and
 - c. That the price on each schedule shall include an approximate apportionment of all estimated direct costs, allocable indirect costs, and profit.
 3. The government must normally reject any offer that:
 - a. Exceeds the applicable statutory cost limitations; or

- b. Is only within the statutory limitations because it is materially unbalanced. (William G. Tadlock Constr., B-252580, June 29, 1993, 93-1 CPD ¶ 502; H. Angelo & Co., B-249412, Nov. 13, 1992, 92-2 CPD ¶ 344).
- 4. Some statutory limitations are waivable. 10 U.S.C. § 2853; TECOM, Inc., B-240421, Nov. 9, 1990, 90-2 CPD ¶ 386.
- 5. A-E Statutory Fee Limitation. 10 U.S.C. §§ 7540, 8612, and 9540; RFO DFARS 236.202-371.
 - a. The contract price (or fee) for A-E services for the preparation of designs, plans, drawings, and specifications is limited to:
 - (1) Six percent of the project's estimated construction cost earned by contractors providing certain architect and engineering services under contracts in support of public works or utilities. RFO FAR 15.404-9(c)(4)(ii).
 - (2) Ten percent of the project's estimated construction cost earned by contractors providing certain architect and engineering services under contracts in support of the Departments of the Army, Navy, and Air Force. RFO DFARS PGI 236.202-371.

E. Site Familiarization Clauses.

- 1. Site Investigation and Conditions Affecting the Work. RFO FAR 52.236-3, FAR Companion 36.1.
 - a. Pre-award site visits under RFO Part 36 enable potential contractors to physically inspect project locations, evaluate site conditions and constraints, and gather critical information necessary for developing accurate proposals and realistic project approaches. These visits support informed bidding by allowing contractors to assess site accessibility, existing conditions, environmental factors, and logistical challenges that may impact construction methods, scheduling, and costs. FAR Companion 36.1.
 - b. When submitting a bid/proposal, a contractor acknowledges that it has taken steps reasonably necessary to ascertain the nature and location of the work, and that it has investigated and satisfied itself as to the general and local conditions which can affect the work or its cost, including:

- (1) Conditions bearing upon transportation, disposal, handling, and storage of materials;
 - (2) The availability of labor, water, electric power, and roads;
 - (3) Uncertainties of weather, river stages, tides, and similar physical conditions at the site;
 - (4) The conformation and conditions of the ground;
 - (5) The character of needed equipment and facilities;
 - (6) The character, quality, and quantity of reasonably ascertainable surface and subsurface materials and/or obstacles. See Aulson Roofing, Inc., ASBCA No. 37677, 91-2 BCA 23,720; Fred Burgos Constr. Co., ASBCA No. 41395, 91-2 BCA ¶ 23,706.
- c. A contractor need not hire its own geologists or conduct extensive engineering efforts to verify conditions that it can reasonably infer from the solicitation or a site visit. See Michael-Mark Ltd., IBCA No. 2697, 94-1 BCA ¶ 26,453; see also Atherton Constr., Inc., 02-2 BCA ¶ 31,918 (“The duty of bidders to investigate the job site does not require them to conduct time-consuming or costly technical investigations to determine the accuracy of the Government's drawings or other indications in the solicitation documents.”)
- d. A contractor must perform at the contract price if the contractor could have discovered a condition by a reasonable site investigation. See H.B. Mac, Inc. v. United States, 153 F.3d 1338, 1346 (Fed. Cir. 1998) (“It is well settled that a contractor is charged with knowledge of the conditions that a pre-bid site visit would have revealed.”); Conner Brothers Constr. Co., Inc. v. United States, 65 Fed. Cl. 657, 673 (2005) Weeks Dredging & Contracting, Inc. v. United States, 13 Cl. Ct. 193 (1987); Avisco, Inc., ENG BCA No. 5802, 93-3 BCA ¶ 26,172; Signal Contracting, Inc., ASBCA No. 44963, 93-2 BCA ¶ 25,877; cf. I.M.I., Inc., B-233863, Jan. 11, 1989, 89-1 CPD ¶ 30.
- e. The government is not normally bound by the contractor’s interpretation of government data and representations not included in the solicitation. See Eagle Contracting, Inc., AGBCA No. 88-225-1, 92-3 BCA ¶ 25,018.

2. Changes After Solicitation Closing Date. The government is normally responsible for increased performance costs caused by changes at a site after the date of bid submission, even if bidders agree to extend the bid acceptance period. See Valley Constr. Co., ENG BCA No. 6007, 93-3 BCA ¶ 26,171.
- F. Bid Guarantees. RFO FAR 28.101; RFO FAR 52.228-1; FAR 53.301-24, SF 24, Bid Bond.
1. A bid guarantee ensures that a prospective contractor will:
 - a. Not withdraw its bid/offer during the bid acceptance period; and
 - b. Execute a written contract and furnish other required bonds at the time of contract award.
 2. Requirement. RFO FAR 28.101-1.
 - a. The contracting officer must require a bid guarantee whenever the solicitation requires performance and payment bonds. Performance and payment bonds are required by the Miller Act, (40 U.S.C. 3131 et seq.) for construction contracts exceeding \$150,000, except as authorized by law. RFO FAR 28.101-1; RFO FAR 28.102-1. (See Section VII.B, below.)
 - b. Contracting Officers may still require bid guarantees in construction contracts less than \$150,000. See, Lawson's Enterprises, Inc. Comp. Gen., B-286708, Jan. 31, 2001, 2001 CPD ¶ 36.
 - c. The chief of the contracting office may waive the requirement to provide a bid guarantee if they determine that it is not in the government's best interest to require a bid guarantee (e.g., for overseas construction, emergency acquisitions, and sole-source contracts). RFO FAR 28.101-1(c).
 3. Form.
 - a. The bid guarantee must be in the form required by the solicitation. See HR Gen. Maint. Corp. B-260404, May 16, 1995, 95-1 CPD ¶ 247; Concord Analysis, Inc., B-239730, Dec. 4, 1990, 90-2 CPD ¶ 452. But see Mid-South Metals, Inc., B-257056, Aug. 23, 1994, 94-2 CPD ¶ 78.
 - b. The FAR permits offerors to use surety bonds, postal money orders, certified checks, cashier's checks, irrevocable letters of

credit, U.S. bonds, and/or cash. See RFO 52.228-1; Treasury Dept Cir. 570 (listing acceptable commercial sureties).

- c. If a bidder uses an individual surety, the surety must provide a security interest in acceptable assets equal to the penal sum of the bond. RFO 28.203. See Paradise Const. Co., Comp. Gen. Dec. B-289144, 2001 CPD ¶ 192.

- (1) The adequacy of an individual surety's offering is a matter of responsibility, not responsiveness. See Gene Quigley, Jr., B-241565, Feb. 19, 1991, 70 Comp. Gen. 273, 91-1 CPD ¶ 182; Tip Top Constr., Inc. v. United States, 2008 WL 3153607 (Fed. Cl. 2008); Harrison Realty Corp., B-254461.2, 93-2 CPD ¶ 345.

- (2) A bidder may not be its own individual surety. See Astor V. Bolden, B-257038, Apr. 26, 1994, 94-1 CPD ¶ 288.

- 4. Penal Amount. RFO FAR 28.101-2 (b). The bid bond must equal at least 20% of the bid/proposal price, but not exceed \$3,000,000. Unless waiver applies as outlined in RFO FAR 28.101-4(c).

- 5. The contracting officer may not accept a bid accompanied by an apparently unenforceable guarantee. Conservatek Indus., Inc., B-254927, Jan. 26, 1994, 1994 WL 29903; MKB Constructors, Inc., B-255098, Jan. 10, 1994, 94-1 CPD ¶ 10; Arlington Constr., Inc., B-252535, July 9, 1993, 93-2 CPD ¶ 10; Cherokee Enter., Inc., B-252948, June 3, 1993, 93-1 CPD ¶ 429; Hugo Key & Son, Inc., B-245227, Aug. 22, 1991, 91-2 CPD ¶ 189; Techno Eng'g & Constr., B-243932, July 23, 1991, 91-2 CPD ¶ 87; Maytal Constr. Corp., B-241501, Dec. 10, 1990, 90-2 CPD ¶ 476; Bird Constr., B-240002, Sept. 19, 1990, 90-2 CPD ¶ 234.

- 6. Noncompliance with Bid Guarantee Requirements. RFO FAR 28.101-4.

- a. In sealed bidding, noncompliance with bid guarantee requirements normally renders a bid nonresponsive. See Leeward Construction, Inc. v. United States, 160 Fed. Cl. 446 (2022).

- b. In negotiated procurements, noncompliance with bid guarantee requirements triggers rejection of an initial proposal as unacceptable, if a determination is made to award the contract based on initial proposals without discussion. If the conditions for awarding based on initial proposals are not met, deficiencies in bid guarantees submitted by offerors determined to be in the competitive range shall be addressed during discussions and the offeror shall be given an opportunity to correct the deficiency.

- c. However, the contracting officer may waive a contractor's noncompliance with a requirement to submit a bid guarantee under nine circumstances. See RFO FAR 28.101-4(c) for detailed list.
- G. Balance of Payments Program. RFO DFARS 225.75; RFO DFARS 252.225-7044; RFO DFARS 252.225-7045.
 - 1. Under the DoD Balance of Payments Program, a contractor may use only domestic construction material for construction to be performed OCONUS. See RFO FAR 25.003 for the definition of domestic construction material.
 - 2. Before issuance of the solicitation, exceptions to the default preference for domestic construction materials include but are not limited to:
 - a. The estimated cost of the acquisition or the value of a particular construction material is at or below the Simplified Acquisition Threshold.
 - b. The acquisition is covered by the World Trade Organization Government Procurement Agreement and over the Trade Act Agreement Threshold, which allows for construction materials from designated countries.
 - c. The acquisition of specified construction material is required by a treaty or executive agreement between governments (e.g. foreign military sales letter of offer and acceptance).
 - d. Construction materials are exempted by a contracting officer written determination IAW RFO DFARS 225.7501(a)(7). A list of exempted construction materials must be finalized and included in the solicitation prior to the receipt of bids/offers.
 - 3. After receipt of offers, exceptions to the default preference for domestic construction materials include:
 - a. The evaluated low offer is an offer of an end product that:
 - (1) Is a qualifying country end product;
 - (2) Is an eligible product; or
 - (3) Is a nonqualifying country end product, but application of the Balance of Payments Program evaluation factor would result in award on a domestic offer.

4. At any time during the acquisition process, the head of the agency can determine that it is not in the public interest to apply the restrictions of the Balance of Payments Program to a particular construction material or end product.
- H. Pre-Bid Conferences. FAR Companion 14.3. In complex acquisitions, a pre-bid conference may be held after the invitation for bids is issued but before bids are opened. The purpose is to be brief prospective bidders and clarify complicated specifications and requirements; however, client control is critical. See Cessna Aircraft Co., ASBCA No. 48118, 95-1 BCA ¶ 27,560.
- I. Pre-Award Considerations for Architect-Engineer Acquisitions. RFO FAR Part 36.102, RFO DFARS 236.102, USACE EP 715-1-7.
 1. A-E acquisitions are conducted using the procedures outlined in RFO FAR 36.102-2 in lieu of RFO FAR Parts 13, 14, or 15.
 2. The RFO FAR removed the FAR's explanation of what services should be considered A-E services. Given the nuance of determining this service type, that explanation has been included here solely for reference from FAR 36.102-2:
 - a. Professional services of an architectural or engineering nature, as defined by applicable State law, which the State law requires to be performed or approved by a registered architect or engineer.
 - b. Professional services of an architectural or engineering nature associated with design or construction of real property.
 - c. Other professional services of an architectural or engineering nature or services incidental thereto (including studies, investigations, surveying and mapping, tests, evaluations, consultations, comprehensive planning, program management, conceptual designs, plans and specifications, value engineering, construction phase services, soils engineering, drawing reviews, preparation of operating and maintenance manuals and other related services) that logically or justifiably require performance by registered architects or engineers or their employees.
 - d. Professional surveying and mapping services of an architectural or engineering nature.

VII. AWARD.

- A. Responsiveness Issues in Construction Acquisitions.

1. The concept of responsiveness applies exclusively to RFO FAR Part 14, Sealed Bidding. To be considered for an award under Seal Bidding procedures, a bid must comply in all material respects with the invitation for bids. RFO FAR 14.306-1.
2. A bid is nonresponsive if it fails to return the SF 1442 form with its bid. (C.J.M. Contractors, Inc., B-250493.2, Nov. 24, 1992, 92-2 CPD ¶ 376).
3. A bid is nonresponsive if it exceeds a statutory dollar limitation. RFO FAR 36.201-1; RFO DFARS 252.236-7006. See Ward Constr. Co., B-240064, July 30, 1990, 90-2 CPD ¶ 87; Wynn Constr. Co., B-220649, Feb. 21, 1986, 86-1 CPD ¶ 184.
4. A bid is nonresponsive if the bidder fails to comply with the bid guarantee requirements unless waiver applies under RFO FAR 28.101-4(c). RFO FAR 28.101-4(a). See Maytal Constr. Corp., B-241501, Dec. 10, 1990, 90-2 CPD ¶ 476. But see FAR 28.101-4(c) (listing the eight circumstances under which the contracting officer may waive the requirement to submit a bid guarantee).
5. A bid is nonresponsive if the bidder offers a shorter bid acceptance period than the solicitation requires. See SF 1442, Block 13D.
6. A bid is nonresponsive if the bidder fails to acknowledge a material amendment. See Dutra Constr. Co., B-241202, Jan. 31, 1991, 91-1 CPD ¶ 97; see also MG Mako, Inc., B-404758, April 28, 2011, 2011 CPD ¶ 88 (affirming the agency's rejection of a proposal in response to an RFP for failing to acknowledge a material amendment).
7. A bid is nonresponsive if the bidder fails to acknowledge a Davis-Bacon wage rate amendment unless the offeror is bound by a wage rate equal to or greater than the new rate. See Tri-Tech Int'l, Inc., B-246701, Mar. 23, 1992, 92-1 CPD ¶ 304; Fast Elec. Contractors, Inc., B-223823, Dec. 2, 1986, 86-2 CPD ¶ 627.
8. A bid is nonresponsive if the bidder equivocates on the requirement to obtain permits and licenses. See Bishop Contractors, Inc., B-246526, Dec. 17, 1991, 91-2 CPD ¶ 555.
9. A bid is nonresponsive if it is materially unbalanced. FAR 52.214-19(d).
 - a. The government may reject a bid if the bid prices are materially unbalanced between line items, or between subline items.
 - b. A bid is materially unbalanced when:

- (1) The bid is based on prices that are significantly less than cost for some work, and significantly greater than cost for other work and there is reasonable doubt that the bid will result in the lowest overall cost to the government; or
- (2) The bid is so unbalanced that it is tantamount to allowing the contractor to recover money in advance of performing the work.

B. Responsibility Issues.

1. Prior to making a purchase or award, a contracting officer must make an affirmative responsibility determination for all proposed contracts with any prospective contractor that is located in the United States or its outlying areas; or elsewhere, unless such determination would be inconsistent with the laws and customs where the contractor is located. RFO FAR 9.102 and 9.103. A responsibility determination is not required for proposed contracts with foreign, state, or local governments; other U.S. government agencies or their instrumentalities; or Agencies for people who are blind or severely disabled. RFO FAR 9.102(b).
2. Performance Evaluation Reports. RFO FAR 42.11.; FAR 53.301-1420, SF 1420, Performance Evaluation, Construction Contracts; AFARS 5142.11; DD Form 2626, Performance Evaluation (Construction). Contracting activities must prepare performance evaluation reports for: (RFO FAR 42.1102(e) and (f))
 - a. Construction contracts valued at \$900,000 or more;
 - b. Architect-Engineer services contracts valued at \$45,000 or more; and
 - c. Default terminated construction and A-E contracts regardless of contract value.
3. Small Businesses. RFO FAR 19.204. Before a contracting officer can reject a small business as nonresponsible, withhold the contract award and must refer the matter to the SBA for a Certificate of Competency (COC).
4. Performance of Work by Contractor. FAR 36.501; FAR 52.236-1.
 - a. The RFO FAR removed FAR 36.501 and FAR 52.236-1, which was established to assure adequate interest in and supervision of all work involved in larger projects. Under the previously used FAR clause, the contractor was required to perform a significant part of the contract work with its own forces. The Contracting Officer had

discretion to determine the appropriate amount for the specific project, but it was ordinarily not less than 12 percent. Agencies can still implement self-performance of work requirements as a supplementary condition or clause if determined necessary.

- b. Whether a contractor intends to perform the contractually required percentage of work with its own forces is normally a matter of responsibility, not responsiveness. See Luther Constr. Co., B-241719, Jan. 28, 1991, 91-1 CPD ¶ 76. But see Blount, Inc. v. United States, 22 Cl. Ct. 221 (1990); C. Iber & Sons, Inc., B-247920.2, Aug. 12, 1992, 92-2 CPD ¶ 99.

C. Price Evaluation.

1. Sealed Bidding Considerations.

- a. The contracting officer must evaluate additive items properly.
- b. The contracting officer must award the contract to the bidder who submits the low bid for the base project and the additive items which, in order of priority, provide the most features within the applicable funding constraints.
- c. The contracting officer must select the low bidder based on the funding available at the time of bid opening. See Huntington Constr., Inc., B-230604, June 30, 1988, 67 Comp. Gen. 499, 88-1 CPD ¶ 619; Applicators Inc., B-270162, Feb. 1, 1996, 96-1 CPD ¶ 32.

2. Overseas Military Construction—Preference for United States Firms. RFO DFARS 236.201-170.

- a. Military construction contracts funded with military construction appropriations, that are estimated to exceed \$1,000,000 and are to be performed in the United States outlying areas in the Pacific and on Kwajalein Atoll, or in countries bordering the Arabian Gulf (i.e., Iran, Oman, United Arab Emirates, Saudi Arabia, Qatar, Bahrain, Kuwait, and Iraq) shall be awarded only to United States firms, unless:
 - (1) The lowest responsive and responsible offer of a United States firm exceeds the lowest responsive and responsible offer of a foreign firm by more than 20 percent; or

- (2) the contract is for military construction on Kwajalein Atoll and the lowest responsive and responsible offer is submitted by a Marshallese firm.
 - b. RFO DFARS 252.236-7010 requires DoD Agencies to evaluate all offers from firms that do not qualify as United States firms by adding 20 percent to the offer price.
- D. Award Considerations for Architect-Engineer Acquisitions. RFO FAR Part 36.202, RFO DFARS 236.202, USACE EP 715-1-7.
 - 1. The basis of award for Architect-Engineer (A-E) acquisitions is the demonstrated competence and qualifications of prospective contractors to perform the services at fair and reasonable prices in accordance with the Brooks Act, 40 U.S.C. 1101.
 - 2. The FAR RFO removed specific selection criteria to be used for A-E selections (previously found in FAR 36.602-1). While no longer mandatory criteria under the RFO FAR, see below for the historical criteria used by Agencies in A-E selections:
 - a. Professional qualifications necessary for satisfactory performance of required services;
 - b. Specialized experience and technical competence in the type of work required, including, where appropriate, experience in energy conservation, pollution prevention, waste reduction, and the use of recovered materials;
 - c. Capacity to accomplish the work in the required time;
 - d. Past performance on contracts with Government agencies and private industry in terms of cost control, quality of work, and compliance with performance schedules;
 - e. Location in the general geographical area of the project and knowledge of the locality of the project; provided, that application of this criterion leaves an appropriate number of qualified firms, given the nature and size of the project; and
 - f. Acceptability under other appropriate evaluation criteria.
 - 3. A-E Evaluation Boards shall perform the following functions:

- a. Review the current qualifications forms on eligible firms and responses to a public notice concerning the particular project (see RFO FAR 36.202-1(b)(1).
 - b. Hold discussions with at least three of the firms regarding anticipated concepts and compare alternative methods for furnishing services. RFO FAR 36.202-1(b)(2).
 - c. Prepare a selection report for the agency head or other designated selection authority recommending, in order of preference, at least three firms that are considered to be the most highly qualified to perform the required services. The report shall include a description of the discussions and evaluation conducted by the board to allow the selection authority to review the considerations upon which the recommendations are based. RFO FAR 36.202-1(b)(3).
4. The A-E selection authority shall review the recommendations of the evaluation board and shall, with the advice of appropriate technical and staff representatives, make the final selection. This final selection shall be a listing, in order of preference, of the firms considered most highly qualified to perform the work. If the firm listed as the most preferred is not the firm recommended as the most highly qualified by the evaluation board, the selection authority shall provide for the contract file a written explanation of the reason for the preference. All firms on the final selection list are considered "selected firms" with which the contracting officer may negotiate in accordance with RFO FAR 36.202-2.
5. Architect-engineer contracts funded by military construction appropriations that are estimated to exceed \$500,000 and are to be performed in Japan, in any North Atlantic Treaty Organization member country, or in countries bordering the Arabian Gulf (i.e., Iran, Oman, United Arab Emirates, Saudi Arabia, Qatar, Bahrain, Kuwait, and Iraq), shall be awarded only to United States firms or to joint ventures of United States and host nation firms. RFO DFARS 236.202-370.
6. Unless otherwise specified by the selection authority, the final selection authorizes the contracting officer to begin negotiations. Negotiations shall be conducted in accordance with RFO FAR Part 15.
7. If a mutually satisfactory contract cannot be negotiated with the most highly qualified firm selected, the contracting officer must formally terminate negotiations. The contracting officer shall then initiate negotiations with the next most qualified firm. This procedure shall be continued until a fair and reasonable contract has been negotiated. If

negotiations fail with all selected firms, the contracting officer must reject all bids and reissue the solicitation. RFO FAR 36.202-3.

VIII. CONSTRUCTION CONTRACT ADMINISTRATION.

- A. Preconstruction Orientation. FAR Companion 36.3. The RFO FAR removed the requirement for a preconstruction orientation that was previously required by FAR 36.212 and FAR 52.236-26. In light of the RFO FAR changes, a preconstruction orientation is now considered a best practice. FAR Companion 36.3 and 42.3.
 - 1. The contracting officer should consider informing successful offerors of significant matters of interest (e.g., statutory matters, subcontracting plan requirements, contract administration matters, labor standards, construction responsibilities, etc.).
 - 2. A preconstruction orientation can be provided through an explanatory preconstruction letter or through a preconstruction conference.
- B. Performance and Payment Bonds.
 - 1. Requirements. 40 U.S.C. §§ 3131 et seq.; RFO FAR 28.102.
 - a. Contracts Over \$150,000. RFO FAR 28.102-1(a); RFO FAR 28.102-3(a); RFO FAR 52.228-15. The contractor must provide performance and payment bonds before it can begin work. See TLC Servs., Inc., B-254972.2, Mar. 30, 1994, 94-1 CPD ¶ 235.
 - b. Contracts Between \$35,000 and \$150,000. 40 U.S.C. § 3132; RFO FAR 28.102-1(b); RFO FAR 28.102-3(b); RFO FAR 52.228-13.
 - (1) The contracting officer must select two or more of the following payment protections:
 - (a) Payment bonds.
 - (b) Irrevocable letters of credit.⁵
 - (c) Tripartite escrow agreements.
 - (d) Certificates of deposit.

⁵ The contracting officer is supposed to give “particular consideration” to including irrevocable letters of credit as one of the selected payment protections. RFO FAR 28.102-1(b).

- (e) A deposit of the types of security listed in RFO FAR 28.204-1 and RFO FAR 28.204-2.
 - (2) The contractor must submit one of the selected payment protections before it can begin work.
2. Performance Bonds. RFO FAR 28.102-2; RFO FAR 52.228-15.
- a. Performance bonds protect the government's interest in obtaining a completed construction requirement.
 - b. The penal amount of the bond is normally 100% of the original contract price.
 - (1) The contracting officer may reduce the penal amount if the contracting officer determines that a lesser amount adequately protects the government.
 - (2) The contracting officer may require additional protection if the contract price increases.
3. Payment Bonds. RFO FAR 28.102-2; RFO FAR 52.228-15.
- a. Payment bonds protect against the non-payment of the prime contractor's employees, subcontractors, and suppliers.
 - b. The penal amount must equal 100% of the original contract price unless the contracting officer determines, in writing, that requiring a payment bond in that amount is impractical.
 - (1) If the contracting officer determines that requiring a payment bond in an amount equal to 100% of the original contract price is impractical, the contracting officer must set the penal amount of the bond.
 - (2) The amount of the payment bond may never be less than the amount of the performance bond.
4. Waiver Provisions. 40 U.S.C. §§3131(d) and 3134; RFO FAR 28.102-1(a).
- a. The contracting officer may waive the requirement to provide performance and payment bonds if:
 - (1) The contractor performs the work in a foreign country and the contracting officer determines that it is impracticable to require the contractor to provide the bonds (see Assist

Consultants Inc., ASBCA No. 61525, 21-1 BCA ¶ 37850);
or

- (2) The Miller Act (or another statute) authorizes the waiver.
- b. The Service Secretaries may waive the requirement to provide performance and payment bonds for cost-type contracts.
5. Noncompliance with Bond Requirements. Failure to provide acceptable bonds justifies terminating the contract for default. See, e.g., RFO FAR 52.228-1; Assist Consultants Inc., ASBCA No. 61525, 21-1 BCA ¶ 37850; Pacific Sunset Builders, Inc., ASBCA No. 39312, 93-3 BCA ¶ 25,923; see also Airport Indus. Park, Inc. v. United States, 59 Fed.Cl. 332, 334-35 (2004) (“[F]ailure to furnish adequate bonding [as] required by a government ... contract is a material breach that justifies termination for default.”).
6. Withholding Contract Payments. RFO FAR 28.106-7.
 - a. During Contract Performance. The contracting officer should not withhold payments due contractors or assignees because subcontractors or suppliers have not been paid. RFO FAR 28.106-7(a). But see Balboa Ins. Co. v. United States, 775 F.2d 1158 (Fed. Cir. 1985); National Surety Corp., 31 Fed. Cl. 565 (1994); Johnson v. All-State Constr., 329 F.3d 848 (Fed. Cir. 2003) (Government was entitled to withhold progress payments pursuant to its common-law right to set-off pending liquidated damages).⁶
 - b. After Contract Completion. RFO FAR 28.106-7(b). The contracting officer must withhold final payment if the surety provides written notice regarding the contractor’s failure to pay its subcontractors or suppliers.
 - (1) The surety must agree to hold the government harmless from any liability resulting from withholding the final payment.
 - (2) The contracting officer may release final payment if:
 - (a) The contractor and surety reach an agreement; or
 - (b) A court determines the parties’ rights.

⁶ However, see RFO FAR 52.232-5 -- Payments Under Fixed-Price Construction Contracts. Permits withholding from future payments for improper certification of subcontractor payments.

- c. Labor Violations. See generally RFO FAR Part 22.
- C. Differing Site Conditions (DSC). RFO FAR 52.236-2.
1. This clause allows for an equitable adjustment if the contractor provides prompt, written notice of a DSC.
 2. There are two types of DSCs. See Renda Marine, Inc. v. United States, 509 F.3d 1372, 1376 (Fed. Cir. 2007); Consolidated Constr., Inc., GSBCA No. 8871, 88-2 BCA ¶ 20,811.
 - a. Type I DSC. RFO FAR 52.236-2(a)(1). To recover for a Type I condition, the contractor must prove that:
 - (1) The contract either implicitly or explicitly indicated a particular site condition. See H.B. Mac, Inc. v. United States, 153 F.3d 1338 (Fed.Cir.1998); Franklin Pavkov Constr. Co., HUD BCA No. 93-C-C13, 94-3 BCA ¶ 27,078; Glagola Constr. Co., Inc., ASBCA No. 45579, 93-3 BCA ¶ 26,179; Konoike Constr. Co., ASBCA No. 36342, 91-1 BCA ¶ 23,440; cf. Jack L. Olsen, Inc., AGBCA No. 87-345-1, 93-2 BCA ¶ 25,767.
 - (2) The contractor reasonably interpreted and relied on the contract indications. See Nova Group, Inc., ASBCA No. 55408, 10-2 BCA ¶ 34533 (finding that it was reasonable for the contractor to rely upon the boring logs and geotechnical reports to prepare its bid and that the contractor reasonably interpreted the logs and reports as indicating weak subsurface conditions); R.D. Brown Contractors, Inc., ASBCA No. 43973, 93-1 BCA ¶ 25,368.
 - (3) The contractor encountered latent or subsurface conditions that differed materially from those indicated in the contract. See Winter v. Cath-dr/Balti Joint Venture, 497 F.3d 1339 (Fed. Cir. 2007) (upholding a Type I differing site condition claim recovery for encountered roofing materials that differed materially from those anticipated); see also Meredith Constr. Co., ASBCA No. 40839, 93-1 BCA ¶ 25,399; Caesar Constr., Inc., ASBCA No. 41059, 91-1 BCA ¶ 23,639.
 - (4) The claimed costs were attributable solely to the DSC. See P.J. Dick, Inc., GSBCA No. 12036, 94-3 BCA ¶ 27,073.

- b. Type II DSC. RFO FAR 52.236-2(a)(2). To recover for a Type II condition, the contractor must prove that:
 - (1) The conditions encountered were unusual physical conditions that were unknown at the time of contract award. See Walser v. United States, 23 Cl. Ct. 591 (1991); Gulf Coast Trailing Co., ENG BCA No. 5795, 94-2 BCA ¶ 26,921; Soletanche Rodio Nicholson (JV), ENG BCA No. 5796, 94-1 BCA ¶ 26,472.
 - (2) The conditions differed materially from those ordinarily encountered. See Green Constr. Co., ASBCA No. 46157, 94-1 BCA ¶ 26,572; Virginia Beach Air Conditioning Corp., ASBCA No. 42538, 92-1 BCA ¶ 24,432; Parker Excavating, Inc., ASBCA No. 54637, 06-01 BCA ¶ 33217 (“A Type II differing site condition requires proof of the recognized and usual physical conditions at the work site, proof of the actual physical conditions, proof that the conditions differed from the known and the usual, and proof that the different conditions caused an increase in contract performance.”)
3. The DSC clause only covers conditions existing at the time of contract award. Acts of nature occurring after contract award are not differing site conditions. See Arundel Corp. v. United States, 96 Ct. Cl. 77, 1942 WL 4438 (Ct.Cl.); Meredith Constr. Co., ASBCA No. 40839, 93-1 BCA ¶ 25,399; PK Contractors, Inc., ENG BCA No. 4901, 92-1 BCA ¶ 24,583. But see Valley Constr. Co., ENG BCA No. 6007, 93-3 BCA ¶ 26,171; but see Kilgallon Constr. Co., Inc., ASBCA No. 51601, 01-2 BCA ¶ 31,621 (“[Plaintiff] must also prove that interaction of the rain with the pre-existing and unknown site condition produced unforeseeable consequences, i.e., in this case, that unknown soils exhibited behavior or properties when saturated that were not reasonably anticipated.”).
4. The contractor may not recover if the contractor could have discovered the condition during a reasonable site investigation. See O.K. Johnson Elec. Co., VABCA No. 3464, 94-1 BCA ¶ 26,505; cf. Urban General Contractors, Inc., ASBCA No. 49653, 96-2 BCA ¶ 28,516; Indelsea, S.A., ENG BCA No. PCC-117, 95-2 BCA ¶ 27,633; Steele Contractors, Inc., ENG BCA No. 6043, 95-2 BCA ¶ 27,653; Operational Serv. Corp., ASBCA No. 37059, 93-3 BCA ¶ 26,190; Sagebrush Consultants, 01-1 BCA ¶ 31,159 (IBCA), and American Constr., 01-1 BCA ¶ 31,202.
5. The contractor cannot create its own DSC. See Geo-Con, Inc., ENG BCA No. 5749, 94-1 BCA ¶ 26,359.

6. The contractor must prove its damages. See H.V. Allen Co., ASBCA No. 40645, 91-1 BCA ¶ 23,393; see also Praught Constr. Corp., ASBCA No. 39670, 93-2 BCA ¶ 25,896.
7. The contractor must promptly notify the government. See Engineering Tech. Consultants, S.A., ASBCA No. 43376, 92-3 BCA ¶ 25,100.
 - a. Untimely notification may bar a differing site condition claim if the late notice prejudices the government. See Moon Constr. Co. v. General Servs. Admin., GSBCA No. 11766, 93-3 BCA ¶ 26,017; see also Hemphill Contracting Co., ENG BCA No. 5698, 94-1 BCA ¶ 26,491; Meisel Rohrbau, ASBCA No. 35566, 92-1 BCA ¶ 24,434; Holloway Constr., Holloway Sand & Gravel Co., ENG BCA No. 4805, 89-2 BCA ¶ 21,713.
 - b. If the government's defense to a DSC claim is made more difficult—but not impossible—by the late notice, courts and boards will normally waive the notice requirement and place a heavier burden of persuasion on the contractor. See Glagola Constr. Co., ASBCA No. 45579, 93-3 BCA ¶ 26,179.
 - c. When the government is on notice of DSCs, but takes no exception to the contractor's notice or its corrective actions, the government must pay the contractor's increased costs. See Potomac Marine & Aviation, Inc., ASBCA No. 42417, 93-2 BCA ¶ 25,865; Parker Excavating, Inc., ASBCA No. 54637, 06-1 BCA ¶ 33217 ("The written notice requirements are not construed hyper-technically to deny legitimate contractor claims when the government was otherwise aware of the operative facts.")
 - d. Lack of notice of a DSC will not bar a contractor's recovery when the government breaches its duty to cooperate by failing to designate an inspector to whom the contractor may give notice during scheduled weekend work. See Hudson Contracting, Inc., ASBCA No. 41023, 94-1 BCA ¶ 26,466.
8. A DSC claim will not succeed if the contract does not contain the DSC clause. See Marine Industries Northwest, Inc., ASBCA No. 51942, 01-1 BCA ¶ 31,201 (board rejected a Type II DSC claims solely on the basis that there was no DSC clause in the contract. Without the DSC clause, the contractor bears complete risk for any differing conditions encountered); see also Stewartsville Postal Properties, LLC, PSBCA No. 6309, 10-2 BCA ¶ 34559 ("The lease did not include a differing site conditions or changes clause that could result in recovery were Appellant able to prove the required underlying factual conditions.").

9. Final payment bars an unreserved differing site condition claim. RFO FAR 52.236-2(d).

D. Suspension of Work. RFO FAR 52.242-14.

1. The contracting officer may suspend, interrupt, or delay work for the convenience of the government. See Valquest Contracting, Inc., ASBCA No. 32454, 91-1 BCA ¶ 23,381.
2. A government delay is compensable if:
 - a. It is unreasonable. See Southwest Constr. Corp., ENG BCA No. 5286, 94-3 BCA ¶ 27,120; C&C Plumbing & Heating, ASBCA No. 44270, 94-3 BCA ¶ 27,063; Kimmins Contracting Corp., ASBCA No. 46390, 94-2 BCA ¶ 26,869; F.G. Haggerty Plumbing Co., VABCA No. 4482, 95-2 BCA ¶ 27,671.
 - b. The contracting officer orders it. See Mergentime Corp., ENG BCA No. 5765, 92-2 BCA ¶ 25,007; Durocher Dock & Dredge, Inc., ENG BCA No. 5768, 91-3 BCA ¶ 24,145. But see Fruehauf Corp. v. United States, 218 Ct. Cl. 456, 587 F.2d 486 (1978); Asphalt Roads & Materials Co., ASBCA No. 43625, 95-1 BCA ¶ 27,544; Henderson, Inc., DOT BCA No. 2423, 94-2 BCA ¶ 26,728; Lane Constr. Corp., ENG BCA No. 5834, 94-1 BCA ¶ 26,358.
 - c. The contractor has not caused the suspension by its (or its subcontractor's) negligence or failure to perform. See Hvac Constr. Co., Inc. v. United States, 28 Fed. Cl. 690 (1993).
 - d. The cost of performance increases. See Missile Sys., Inc., ASBCA No. 46079, 94-3 BCA ¶ 27,091; Frazier-Fleming Co., ASBCA No. 34537, 91-1 BCA ¶ 23,378.
3. The contractor may be entitled to delay costs (even if it finishes work on time) if it proves that it planned to finish the work early, but was delayed by the government. See Oneida Constr., Inc., ASBCA No. 44194, 94-3 BCA ¶ 27,237; Labco Constr., Inc., AGBCA No. 90-115-1, 94-2 BCA ¶ 26,910.
4. The contractor may not recover delay costs where the government provides greater access to a work site for a portion of the performance period, without binding the government to increased access for the duration of the entire contract, and the government then restricts access to the original contract requirements. See Atherton Constr., Inc., ASBCA No. 48527, 00-2 BCA ¶ 30,968. (In a family housing renovation contract,

the government provided access to more than the contractually required 14 dwelling units for a period of 48 days. Unilateral action by the government, no recovery allowed.)

5. A contractor may be entitled to a performance period extension even if the delay is reasonable. A contractor also may raise government delay as a defense to a default termination or an assessment of liquidated damages. See Farr Bros., Inc., ASBCA No. 42658, 92-2 BCA ¶ 24,991.
6. If both the contractor and the government contribute to a delay and the causes of the delay are so intertwined that the periods and costs of delay cannot be apportioned clearly, neither party can recover for the delay. See Wilner v. United States, 994 F.2d 783, 786 (Fed. Cir. 1993); cf. G. Bliudzius Contractors, ASBCA No. 42366, 93-3 BCA ¶ 26,074.
7. Profit is not recoverable and final payment bars unreserved suspension claims. RFO FAR 52.242-14(b).
8. Constructive Suspensions.
 - a. A constructive suspension of work may arise if:
 - (1) The government fails to issue a notice to proceed within a reasonable time after contract award. See Marine Constr. & Dredging, Inc., ASBCA No. 38412, 95-1 BCA ¶ 27,286.
 - (2) The government fails to provide timely guidance following a reasonable request for direction. See Tayag Bros. Enters., Inc., ASBCA No. 42097, 94-2 BCA ¶ 26,962.
 - b. A contractor may not recover delay costs for more than 20 days unless the contractor notifies the government of the delay and it must be in writing. RFO FAR 52.242-14. This rule, however, is subject to a prejudice test. See George Sollitt Const. Co. v. U.S., 64 Fed. Cl. 229 (Fed. Cl. 2005).

E. Permits and Responsibilities. RFO FAR 52.236-7.

1. A contractor must obtain applicable permits and licenses (and comply with applicable laws and regulations) at no additional cost to the government. See GEM Eng'g Co., DOT BCA No. 2574, 94-3 BCA ¶ 27,202; C'n R Indus. of Jacksonville, Inc., ASBCA No. 42209, 91-2 BCA ¶ 23,970; Holk Dev., Inc., ASBCA No. 40137, 90-2 BCA ¶ 22,852. But see Hills Materials v. Rice, 982 F.2d 514 (Fed. Cir. 1992); Hemphill Contracting Co., ENG BCA No. 5698, 94-1 BCA ¶ 26,491.

2. Burden on contractor is continuing and applies to requirements arising after contract award. See Shirley Const. Co., ASBCA No. 42954, 92-1 BCA ¶ 24,563 (“It is well established that the Permits and Responsibilities clause requires contractors to comply with laws and regulations issued subsequent to award without additional compensation unless there is another clause in the contract that limits the clause to laws and regulations in effect at the time of award.”).
 3. Normally, licensing is a question of responsibility, not responsiveness. See Restec Contractors, Inc., B-245862, Feb. 6, 1992, 92-1 CPD ¶ 154; Chem-Spray-South, Inc., B-400928.2, June 25, 2009, 2009 CPD ¶ 144; Computer Support Sys., Inc., B-239034, Aug. 2, 1990, 69 Comp. Gen. 645, 90-2 CPD ¶ 94. But see Bishop Contractors, Inc., B-246526, Dec. 17, 1991, 91-2 CPD ¶ 555.
 4. A contractor assumes the risk of loss or damage to its equipment.⁷ In addition, a contractor is responsible for injuries to third persons. See Potashnick Constr., Inc., ENG BCA No. 5551, 92-2 BCA ¶ 24,985; Aulson Roofing, Inc., ASBCA No. 37677, 91-2 BCA ¶ 23,720.
 5. A contractor is responsible for work in progress until the government accepts it. See Labco Constr., Inc., ASBCA No. 44945, 93-3 BCA ¶ 26,028; Tyler Constr. Co., ASBCA No. 39365, 91-1 BCA ¶ 23,646; D.J. Barclay & Co., ASBCA No. 28908, 88-2 BCA ¶ 20,741. But see Fraser Eng’g Co., VABCA No. 3265, 91-3 BCA ¶ 24,223; Joseph Beck & Assocs., ASBCA No. 31126, 88-1 BCA ¶ 20,428.
- F. Specifications and Drawings. RFO FAR 52.236-21; RFO DFARS 252.236-7001.
1. The omission or misdescription of details of work that are necessary to carry out the intent of the contract drawings and specifications (or are customarily performed) does not relieve a contractor from its obligation to perform the omitted or misdescribed details of work. A contractor must perform as if the drawings and specifications describe the details fully and correctly. See Wood & Co. v. Dep’t of Treasury, GSBCA No. 12452-TD, 94-1 BCA ¶ 26,365; Single Ply Sys., Inc., ASBCA No. 42168, 91-2 BCA ¶ 24,032.
 2. The contractor must review all drawings before beginning work, and the contractor is responsible for any errors that a reasonable review would have detected. M.A. Mortenson Co., ASBCA 50,383, 00-2 BCA ¶ 30,936, (denying Mortenson’s claim based on omissions in construction

⁷ The contractor may bear similar responsibilities under a Government Furnished Property clause. See Technical Servs. K.H. Nehlsen GmbH, ASBCA No. 43869, 94-1 BCA ¶ 26,377.

drawings), But see Wick Constr. Co., ASBCA No. 35378, 89-1 BCA ¶ 21,239.

3. If the specifications contain provisions that conflict with the contract drawings, the specifications govern. The parties may rely on this order of precedence regardless of whether an ambiguity is patent. See Hensel Phelps Constr. Co., 886 F.2d 1296 (Fed. Cir. 1989); Shemya Constructors, ASBCA No. 45251, 94-1 BCA ¶ 26,346; Rohr, Inc., ASBCA No. 44193, 93-2 BCA ¶ 25,871. But see J.S. Alberici Constr. Co v. General Servs. Admin., GSBCA No. 12386, 94-2 BCA ¶ 26,776. Contracts that contain specifications for alternative CLINs are not conflicting. Fort Myer Construction Corporation v. U.S., Fed. Cir. 2000 (unpub. 24 Jan 2000).
4. The government cannot shift the responsibility for defective design specifications to a contractor through the use of a disclaimer. White v. Edsall Const. Co., Inc., 296 F.3d 1081 (Fed. Cir. 2002) (contractor is not obligated to “ferret out” hidden ambiguities and errors in the Government’s specifications and designs.)

G. Liquidated Damages (LDs). RFO FAR 11.4; RFO FAR 36.101-5; RFO FAR 52.211-12, RFO DFARS Subpart 211.4.

1. Solicitations shall include the applicable LDs clause and the LDs rate if the contract will include LDs. The LDs rate(s) should include the estimated daily cost of Government inspection and superintendence and should also account for other expected expenses associated with delayed completion.
2. The government may assess LDs if:
 - a. The parties intended to provide for LDs;
 - b. Anticipated damages attributable to untimely performance were uncertain or difficult to quantify at the time of award; and
 - c. The LDs bear a reasonable relationship to anticipated government losses resulting from delayed completion.
 - d. See K-Con Bldg. Systems, Inc. v. United States, 97 Fed. Cl. 41 (2011) (Contractor failed to establish that the liquidated damages rate of \$551 per day was an unreasonable forecast of the damages that the Government would sustain in the event of contractor’s breach of contract for the design and construction of prefabricated metal building, and therefore, contracted-for liquidated damages clause was enforceable); D.E.W., Inc., ASBCA No. 38392, 92-2 BCA ¶ 24,840; Brooks Lumber Co., ASBCA No. 40743, 91-2

BCA ¶ 23,984; JEM Dev. Corp., ASBCA No. 42645, 92-1 BCA ¶ 24,428; Dave's Excavation, ASBCA No. 35956, 88-3 BCA ¶ 20,911; P&D Contractors, Inc. v. United States, 25 Cl. Ct. 237 (1992).

3. If the damage forecast was reasonable, the government may assess LDs even if it did not incur any actual damages. See Cegers v. United States, 7 Cl. Ct. 615 (1985); American Constr. Co., ENG BCA No. 5728, 91-2 BCA ¶ 24,009. But see Atlantic Maint. Co., ASBCA No. 40454, 96-2 BCA ¶ 28,323. Using a rate from an agency manual that is part of its procurement regulations is presumed reasonable. See Fred A. Arnold, Inc. v. United States, 18 Cl. Ct. 1 (1989), aff'd in part, 979 F.2d 217 (Fed. Cir. 1992); JEM Dev. Corp., ASBCA No. 45912, 94-1 BCA ¶ 26,407.
4. The government may not assess LDs if a project is substantially complete. See Hill Constr. Corp., ASBCA No. 43615, 93-3 BCA ¶ 25,973; Wilton Corp., ASBCA No. 39876, 93-2 BCA ¶ 25,897.
5. The government may not assess LDs if it is partly responsible for the completion delay. See H.G. Reynolds Co., Inc., ASBCA No. 42351, 93-2 BCA ¶ 25,797.
6. A contractor may be excused from LDs if it shows that the delay was: (a) excusable or beyond its control; and (b) without the fault or negligence of it or its subcontractors. See Potomac Marine & Aviation, Inc., ASBCA No. 42417, 93-2 BCA ¶ 25,865; K-Con Bldg. Systems, Inc. v. United States, 97 Fed. Cl. 41, 56 (2011) (“A contractor seeking the remission of liquidated damages on account of excusable delay bears the burden of proving ‘the extent of the excusable delay to which it is entitled.’”) quoting Sauer Inc. v. Danzig, 224 F.3d 1340, 1345 (Fed. Cir. 2000).
7. Contracting officers must ensure that project completion dates are reasonable to avoid having contractors “pad” their bids to protect against LDs.
8. Another contract clause that sets an alternate rate of compensation for standby time may be enforceable, even if it is quite high, if it serves a different purpose in the contract than a liquidated damages clause. See Stapp Towing Co., ASBCA No. 41584, 94-1 BCA ¶ 26,465.

H. Use/Possession Prior to Completion. RFO FAR 52.236-11.

1. The government may take possession of a construction project prior to its completion (beneficial occupancy).

2. Possession does not necessarily constitute acceptance. See Tyler Constr. Co., ASBCA No. 39365, 91-1 BCA ¶ 23,646. The contractor must complete a project as required by the contract, including all “punch list” items. See Toombs & Co., ASBCA No. 34590, 91-1 BCA ¶ 23,403.
3. The contractor is not responsible for any loss or damage that the government causes. See Fraser Eng’g Co., supra.
4. The contractor may be due an equitable adjustment if possession by the government causes a delay.

ATTACHMENT - DIFFERING SITE CONDITIONS (DSC)

What a Contractor Must Show to Recover for DSCs.

TYPE I	TYPE II
Contract documents either implicitly or explicitly indicate a particular site condition.	Conditions encountered were unusual physical conditions that were not known about at time of contract award.
Contractor reasonably interpreted and relied upon the contract indications.	Conditions differed materially from those ordinarily encountered.
Contractor encountered latent/subsurface conditions that differed materially from the conditions indicated in the contract and were reasonably unforeseeable.	
Contractor incurred increased costs that were solely attributable to the DSC.	Contractor incurred increased costs that were solely attributable to the DSC.
<u>Note:</u> 1. If the government made no representations and provided no information, contractor cannot recover. 2. If the contractor discovers the differing conditions prior to bid opening, reliance is unreasonable.	<u>Examples:</u> unexpected soil conditions, old dump at site, buried hazardous materials

NOTES:

1. DSC clause only covers conditions existing at the time of award. Acts of nature occurring after award are not DSCs.
2. A contractor may not recover if the contractor could have discovered the condition during a reasonable site investigation.
3. Recovery for DSC is not available if the contract does not contain the DSC clause.

CHAPTER 29

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CHAPTER 29

CONTINGENCY AND DEPLOYMENT CONTRACTING

I. REFERENCES.

- A. GENERAL SERVS. ADMIN. ET AL., FEDERAL ACQUISITION REG. (May 2026) [hereinafter RFO FAR]; U.S. DEP'T OF DEFENSE, DEFENSE FEDERAL ACQUISITION REG. SUPP. (May 2026) [hereinafter RFO DFARS]; service supplements.
- B. JOINT CHIEFS OF STAFF, JOINT PUB. 4-0, JOINT LOGISTICS (22 May 2025) [hereinafter JP 4-0].
- C. JOINT CHIEFS OF STAFF, JOINT PUB. 4-10, OPERATIONAL CONTRACT SUPPORT (4 Mar. 2019) [hereinafter JP 4-10].
- D. U.S. DEP'T OF ARMY, REG. 715-9, OPERATIONAL CONTRACT SUPPORT PLANNING AND MANAGEMENT (18 Sep. 2024) [hereinafter AR 715-9]
- E. U.S. DEP'T OF ARMY, REG. 700-137, LOGISTICS CIVIL AUGMENTATION PROGRAM (LOGCAP) (22 Nov. 2024) [hereinafter AR 700-137].
- F. U.S. DEP'T OF ARMY, FIELD MANUAL 3-84, LEGAL SUPPORT TO OPERATIONS (1 Sep. 2023) [hereinafter FM 3-84].
- G. U.S. DEP'T OF ARMY, ARMY TECHNIQUES PUBLICATION 4-71, CONTRACTING SUPPORT BRIGADE (3 Oct 2024) [hereinafter ATP 4-71].
- H. U.S. DEP'T OF ARMY, FIELD MANUAL 4-80, FINANCIAL MANAGEMENT OPERATIONS (21 Apr. 2024) [hereinafter FM 4-80].
- I. Defense Pricing and Contracting webpage, *located at* <https://www.acq.osd.mil/asda/dpc/index.html> (containing training materials, checklists, policy documents, acquisition instructions, and contract clauses).

II. INTRODUCTION

- A. General. The consistent combat and humanitarian operations of the 21st century have demonstrated the importance of contingency contracting as a force multiplier. Many of the goods and services required to successfully engage in extended deployment operations cannot be provided by current uniformed forces. To meet those needs, the Department of War relies more and more on contracted support. The apparatus for competing, awarding, and supervising contractors in deployed or contingency environments is called “contingency contracting.” The Joint Chiefs of Staff, in Joint Publication (JP) 4-10, define Contingency Contracting as: “The process of obtaining goods, services, and construction via contracting means in support of contingency operations.” JP 4-10.
- B. Legal Support to Operations. Doctrine covering legal support to operations provides that the Staff Judge Advocate’s “contract law responsibilities include furnishing legal advice and assistance to commanders and procurement officials during all phases of the contracting planning process and overseeing an effective procurement integrity program.” FM 3-84, para. 4-19. Specifically, judge advocates are to provide “legal advice to the command concerning requirement scoping, battlefield acquisition, contingency contracting, bid protest and contract dispute litigation, use of Logistics Civil Augmentation Program (known as LOGCAP), acquisition and cross-servicing agreements, and real estate and construction outside the United States.” *Id.*
 - 1. Scope of Duties. Depending on their assigned duties, “[l]egal personnel participate in the contract process by involving themselves early in acquisition planning, communicating closely with procurement officials and contract lawyers in the technical supervision chain, and providing legal and business advice as part of the contract management team. To accomplish these actions, OSJAs usually provide contract law support at the main and tactical CPs in the modular divisions and corps, theater support command headquarters, theater army headquarters, and each joint and multinational headquarters.”
 - 2. Pre-Deployment. Judge Advocates should “marshal resources and assist the early entry CP’s final coordination, including the identification of funding sources and other legal requirements. They also establish liaison with the contracting support brigade or joint theater support contracting command, and the Department of State country team in the theater of operations.” FM 3-84, para. 4-22. This begins with the

Judge Advocate ensuring they receive the contract and fiscal law training necessary to succeed in their contingency mission. This also includes the judge advocate holding contract/fiscal law training for key personnel such as claims officers and logistics personnel; reviewing acquisition and logistics plans as part of the units' operation plan (OPLAN), and being available to give advice on the best practices to obtain goods and services while deployed.

3. Operational Support. To provide contract law support in operations, judge advocates with contract law experience or training should be assigned to division and corps-level main and tactical command posts, Theater Sustainment Command (TSC) headquarters, theater army headquarters, and each joint and multinational headquarters. Depending on mission requirements, command structure, and the dollar value and/or complexity of contracting actions, contract law support may be required at various command levels including brigade or battalion. FM 3-84 paras. 4-20 to 4-21.
 4. Contract-Specific Roles. Judge Advocates may be assigned as Brigade Judge Advocates or Deputy Brigade Judge Advocates for a Contract Support Brigade (CSB). These judge advocates serve as the primary legal advisors to CSB commanders, staff, and contracting officials on the full spectrum of legal and policy issues affecting the CSBs' peacetime and operational missions. ATP 4-71, para. 1-16. Judge Advocates at sustainment brigades, theater sustainment brigades, and expeditionary sustainment brigades perform similar functions. FM 3-84, para. 4-21. Judge Advocates assigned to these and other contracting organizations should have contract and fiscal law training. *Id.*
 5. Demonstrated Importance. After action reports (AAR) from Iraq, Afghanistan, Syria, and other contingency operations consistently indicate that judge advocates, including Brigade Judge Advocates, regardless of the position to which they are assigned, practiced fiscal law on a daily basis. These same AARs indicate that while most judge advocates encountered contract law issues less frequently, they needed an understanding of basic government contract law principles to intelligibly conduct fiscal law analyses. For judge advocates assigned to contracting or logistics-heavy units, knowledge of contract law was a prerequisite to their daily duties.
- C. Applicable Law during a Deployment. Contracting during a deployment requires knowledge in international law, and U.S. contract and fiscal law. Contract and Fiscal Law Attorneys must understand the authorities and limitations imposed by these two bodies of law.

1. International Law.
 - a. The Law of Armed Conflict – Combat. The Law of Armed Conflict applies during combat operations and imposes limitations, for example, on the use of prisoners of war (POW) for labor. Many contractors are authorized to accompany the force, a technical distinction that allows them to receive POW status should they be captured. *See* GCIV, ART 4(A)(4).
 - b. The Law of Armed Conflict – Occupation. The Law of Armed Conflict also applies during occupation, and may also be followed as a guide when no other body of law clearly applies; such as in Somalia in Operation Restore Hope.
 - c. International Agreements. A variety of international agreements, such as treaties and status of forces agreements (SOFA) may apply. Judge advocates should ensure they have a current version of all international agreements applicable to their area of operations. These agreements can have substantial impact on contingency contracting by, for example, limiting the ability of foreign corporations from operating inside the local nation, placing limits and tariffs on imports, and governing the criminal and taxation jurisdiction over contractors and their personnel.
2. U.S. Contract and Fiscal Law. There is no “deployment exception” to Contract or Fiscal Law. Judge Advocates in contingency operations must apply the same standards applicable during garrison operations. However, local regulations, policies, and authorities that are not otherwise available may exist in contingency operations and provide greater flexibility for commanders in those areas.
 - a. FAR and agency supplements. The FAR fully applies to contingency contracting. However, the following Parts are most relevant during contingency operations:
 - (1) RFO FAR Part 6 details the competition requirements for procurement contracts not subject to simplified acquisition procedures.
 - (2) RFO FAR Part 12 details the use of simplified acquisition procedures (SAP). Approximately 95% of all contracting actions in contingency operations will use SAP, which are based primarily on acquisitions falling below a certain cost threshold. More expensive acquisitions may not qualify.

- (3) RFO FAR Part 18 provides a listing of the various FAR provisions allowing expedient and relaxed procedures that may be useful in a contingency situation.
 - (4) RFO FAR Part 25 and RFO DFARS Part 225 cover foreign acquisitions, including the “Buy American” Act (41 U.S.C. §§ 8301-8305) and other requirements. However, included in the Buy American Act is an exception for any “articles, materials, or supplies for use outside the United States,” and purchases under the micro-purchase threshold. 41 U.S.C. 8302(a)(2)(A) and (C).
 - (5) RFO FAR Part 50 outlines the extraordinary contractual actions available during emergency situations.
- b. Fiscal Law. Title 31, U.S. Code; Department of Defense (DOD) Financial Management Regulation FMR (DOD FMR); DFAS Manual 37-100-XX (XX=current fiscal year (FY)). For a more in-depth discussion of fiscal law principles, *see generally* CONTRACT & FISCAL LAW DEP’T, THE JUDGE ADVOCATE GENERAL’S SCHOOL, U.S. ARMY, FISCAL LAW DESKBOOK (updated frequently and available online at <https://tjagls.army.mil/publications>).
 - c. Executive Orders and Declarations.
 - d. Contingency Funding and Contract Authorizations. Generally, ordinary fiscal and acquisition rules apply during contingency operations. There is no blanket “wartime” or “contingency” exception to these rules. The fact that an operation is ongoing, however, may:
 - (1) Make the use of existing authorities easier to justify. For example, the operational situation in a contingency operation will likely give rise to circumstances making it easier to develop a justification and approval to support the use of the unusual and compelling urgency exception to full and open competition located at RFO FAR 6.103-2.

- (2) Appropriation and authorization acts may contain temporary, extraordinary fiscal and contract authorities specific to a particular operation. For example, during foreign security assistance efforts in support of the Russia-Ukraine conflict, the Department of War leveraged RFO FAR 6.103-7. Also,
 - (a) Public Law 118-31, section 843 (2024 NDAA) provided the Combatant Commanders the ability to offer input to a contracting official to leverage flexible contracting authorities. This did not include contracting or fiscal authority.
 - (b) Public Law 119-60, section 873 (2026 NDAA) provided the Combatant Commanders the authority to conduct experimentation, prototyping, and technology demonstrations. This did not include contracting or fiscal authority to conduct these activities.¹
- e. Permanent Extraordinary Contract Authority. During a national emergency declared by Congress or the President, and for six months after the termination thereof, the President and his delegates may initiate or amend contracts notwithstanding any other provision of law whenever it is deemed necessary to facilitate the national defense. Pub. L. No. 85-804, codified at 50 U.S.C. §§ 1431-1435; Executive Order 10789 (14 Nov. 1958); RFO FAR Part 50; RFO DFARS Part 250. These powers are broad, but the statute and implementing regulations contain a number of limitations. For example, these powers do not allow waiving the requirement for full and open competition, and the authority to obligate funds in excess of \$90,000 may not be delegated lower than the Secretariat level. This authority is rarely used. Additionally, despite this grant of authority, Congress still must provide the money to pay for obligations.

¹ Proposed language in the draft legislation included fiscal authority; however, that was explicitly removed in the final legislation. Therefore, Combatant Commanders would still need to conduct the proper fiscal analysis for these particular activities.

III. DEPLOYMENT CONTRACTING AUTHORITY, PLANNING, PERSONNEL, AND ORGANIZATION

- A. Contract vs. Command Authority. Commanders have broad authority to direct operations as required. However, they *do not* have the authority to obligate the U.S. Government to expend funds.
 - 1. Command Authority. Prescribed by 10 U.S.C. § 164. Includes the authority to perform functions involving organizing and employing commands and forces, assigning tasks and designating objectives, and giving authoritative direction over all aspects of an operation. In a contingency operation, command authority runs from the President thru the Secretary of War to the Geographic Combatant Commanders (GCC) and ultimately joint force commanders. Command authority does NOT include the ability to make binding contracts for the U.S. Government. ATP 4-71, para. 1-32; *see also* JP 4-10, p. I-12.
 - 2. Contract Authority. Premised on the U.S. Constitution, federal statutes, and regulatory authority (FAR, DFAR, Service supplements). Contracting authority in the operational area flows from the President, then to the Secretary of War, through the Service/Agency Head, to the Head of Contracting Activity (HCA), then to the Senior Contracting Official (SCO) or Principal Assistant Responsible for Contracting (PARC), and finally to the contracting officer. **Only the contracting officer, by virtue of his or her contracting warrant, has the authority to obligate the U.S. Government on contractual matters.** Any binding contract attempt made by anyone other than a contracting officer will result in an unauthorized commitment. JP 4-10, p. I-13; ATP 4-71, para. 1-31.
 - 3. Commanders at all levels must avoid improper command influence, or perception thereof, on the contracting process. The contracting officer must be able to independently exercise sound, unbiased business judgment and contract oversight in the accomplishment of the contracting mission. JP 4-10, p. I-13.
- B. Planning. The type of organization to which a judge advocate is assigned will dictate the degree to which they must become involved in planning for contract support. At a minimum, however, judge advocates should be familiar with how Joint and Army doctrine incorporate planning for contract and contractor personnel support through the Contract Support Integration Plan and Contractor Management Plan.
 - 1. Contract Support Integration Plan (CSIP).

- a. In all operations where there will be a significant use of contracted support, the supported geographic combatant command and their subordinate commanders and staffs must ensure that this support is properly addressed in the appropriate OPLAN/OPORD. JP 4-10, Chapter III. To achieve this integration, a CSIP must be developed by logistics staff contracting personnel, assisted by the lead Service contracting element (if a lead Service is designated). *Id.* Annex W to the GCC OPLAN/OPORD contains the CSIP. *Id.*
- b. The CSIP is a planning mechanism to ensure effective and efficient contract support to a particular operation. The CSIP development process is intended to ensure the operational commander and supporting contracting personnel conduct advanced planning, preparation, and coordination to support deployed forces, and that the contract support integration and contractor management related guidance and procedures are identified and included in the overall plan.
- c. At a minimum, the CSIP must include: theater support contracting organization responsibilities; boards and/or center information; operational specific contracting policies and procedures to include Service civil augmentation program/external contract, multinational, and host-nation support coordination guidance; and, contract administration services delegations. Other elements may include but are not limited to the identification of major requiring activities and information on commercial support capabilities to satisfy requirements.

2. Contractor Management Plan (CMP).

- a. The CMP is related to, but not the same as, the CSIP. While the CSIP is focused on how to acquire and manage contracted support, the CMP is focused on government obligations under contracts to provide support to contractor personnel. JP 4-10, Chapter V.
- b. Contractor management is accomplished through a myriad of different requiring activities, contracting officer representatives, supported units, contracting organizations, and contractor company management personnel. JP 4-10, Chapter V. Therefore, the GCC and subordinate joint forces commander must establish clear, enforceable, and well understood theater entrance, accountability, force protection, and general contractor management and procedures early in the planning stages of any military contingency. *Id.* To accomplish this task, the GCC should publish

a CMP. JP 4-10, Chapter V.

- c. The CMP should specify operational specific contractor personnel and equipment requirements in order for the Joint Forces Commander, Service components, theater support contracting command, special operations forces, external support contracts, and the Defense Logistics Agency to incorporate these into applicable contracts. These requirements may include, but are not limited to: restrictions imposed by applicable international and host-nation support agreements; contractor related deployment, theater reception, accountability, and strength reporting; operations security plans and restrictions; force protection; personnel recovery; contractor personnel services support; medical support, and redeployment requirements.
- d. The contracting officer, working with the requiring activity and the supporting command's SJA, determines contractor employee CAAF/non-CAAF status in all operations outside the US as early as possible in the contracting process. For many employees, determining their status is relatively simple; for others, it is not. The key to success is for the contracting officer to be familiar with and follow DOW contractor management policy, including applicable DFARS guidance and specific theater requirements. This determination should be made in close coordination with the command's SJA. JP 4-10, p.V-7.
- e. For more detailed information on contingency contractor personnel, *see* CONTRACT & FISCAL LAW DEP'T, THE JUDGE ADVOCATE GENERAL'S SCHOOL, U.S. ARMY, ACQUISITION ATTORNEYS DESKBOOK, Contingency Contractor Personnel (updated frequently and available online at <https://tjaglcs.army.mil/publications>).

- 3. In a developed theater, judge advocates should familiarize themselves with theater business clearance procedures, theater specific contract clauses and policies, contract and acquisition review boards, as well as resource management policies and standard operating procedures. These documents may be called "Money as a Weapons System" or a "Financial Management Guidebook." Whatever the name, they will likely be created and updated by the theater Resource Manager (J-8) with significant input from the Staff Judge Advocate. AARs from Afghanistan indicate that familiarity with this resource is foundational to anyone who will be providing fiscal or contract law advice in theater.

C. Deployment Contracting Personnel. Contracting authority runs from the

Secretary of War to the Heads of Contracting Activities (HCA). The HCA appoints a Senior Contracting Official (SCO) or Principal Assistant Responsible for Contracting (PARC). The HCA and SCO/PARC warrant contracting officers at various levels and with varying levels of authority. The chief of a contracting office, also a contracting officer, may appoint field ordering officers (FOOs) or Government Purchase Cardholders (GPC) to conduct relatively low dollar value purchases. FOOs are authorized to obligate the government to pay for goods or services in accordance with their appointment letters, but FOOs do not normally handle money. Soldiers or DOW civilians known as paying agents (formerly known as Class A Agents), handle money and pay merchants for purchases made by the FOOs.

1. Head of Contracting Activity (HCA). Official who has overall responsibility for managing a contracting activity. RFO FAR 2.101.
 - a. The HCA serves as the approving authority for contracting as stipulated in regulatory contracting guidance.
 - b. DOW Contracting Activities are generally listed in the DFARS, and have included, among others, Headquarters, U.S. Army Materiel Command, U.S. Army Corps of Engineers, U.S. Transportation Command, U.S. Special Operations Command, etc. The head of each contracting activity is an HCA.
2. Senior Contract Official (SCO). The SCO is a lead service or joint command designated contracting official who has direct managerial responsibility over theater support contracting. *See* 10 U.S.C. 1735.
 - a. There may be multiple SCOs in the same operational area based on mission or regional focus. For example, at one time in Operation Iraqi Freedom (OIF), there were two SCOs; one for support to forces and one for reconstruction support. JP 4-10, para. I-2c(2) (17 Oct. 2008).
 - b. In the Army, SCOs were previously known as Principal Assistants Responsible for Contracting (PARC). The 10 September 2019 AFARS update changed the term in AFARS 5101.693 PARC to SCO aligning the Army with much of the rest of the Executive branch. However, the term and title of PARC is still used throughout many contracting offices and by many Army regulations and doctrinal publications.
 - c. HCAs appoint SCOs.
 - d. The SCO serves as the senior Army contracting advisor

responsible for planning and managing all Army contracting functions which the FAR, DFARS, PGI, AFARS, and other directives do not require the HCA to perform personally (except when the HCA elects to exercise selected authorities). The SCO, by virtue of the organizational position occupied, may execute command functions for the contracting activity, however, these functions are separate and distinct from procurement authority.

3. Contracting Officer (KO). The government official (military officer, enlisted, or civilian) with the legal authority to enter into, administer, modify, and/or terminate contracts. RFO FAR 1.402.
 - a. Appointed in writing through a warrant (Standard Form 1402) by the HCA or SCO/PARC. JP 4-10, p. I-7. Only duly warranted contracting officers are authorized to obligate the U.S. Government, legally binding it to make payments against a contract. *Id.*
 - b. Three main types of contracting officers: procuring contracting officers (PCOs), administrative contracting officers (ACOs), and terminating contracting officers (TCOs). *Id.* PCOs enter into contracts. ACOs administer contracts. TCOs settle terminated contracts. A single contracting officer may be responsible for duties in any or all of these areas. FAR 2.101 (definition of “contracting officer”).
4. Contracting Officer’s Representative (COR). CORs operate as the KO’s “eyes and ears” regarding contract performance, and provide the key link between the command and the KO regarding the command’s needs. CORs are organic members of the unit and are assigned to be a COR as an additional duty. CORs are necessary because KOs are normally not located at the site of contract performance. In many cases, contracts will already be in place before the unit deploys, and the KO for the contract is in CONUS or at geographically remote Regional Contracting Center. Commanders must consider whether to request that the KO appoint at least one COR for each contract affecting the unit. The COR can only be appointed by the KO (usually after nomination by the unit command). CORs do NOT exercise any contract authority and are used for communication regarding contract performance. *See* RFO FAR 1.404. Any issues with the contractor must still be resolved by the KO. *See* DFARS 201.602-2; JP 4-10, p. I-6.
 - a. A properly trained COR shall be designated in writing prior to contract award. RFO FAR 1.404. CORs must be a U.S. Government employee, unless authorized by agency-specific

regulations. In this case, RFO DFARS 201.404 authorizes officers of foreign governments to act as CORs as well.

- b. Local policies and mission specific orders may dictate additional responsibilities regarding CORs due to their importance for mission success. Many of these require the identification and training of CORs well in advance of deployment or mission execution. *See also* <https://www.acq.osd.mil/asda/dpc/cp/cc/cor-handbook.html> for a Defense Contingency COR Handbook.

5. Field Ordering Officer (FOO).

- a. Service member or DOWD civilian appointed in writing and trained by a contracting officer.
- b. FOOs are usually not part of the contracting element, but are a part of the forward units.
- c. FOOs may be authorized to make purchases over the counter with SF44s up to the micro-purchase threshold, place orders against certain indefinite delivery contracts established by KOs, make calls under Blanket Purchase Agreements (BPAs) established by KOs, and make purchases using imprest funds. FOOs may also be government purchase card holders. However, FOOs are still subject to limitations in their appointment letters, procurement statutes and regulations, and fiscal law. Contracting authority may be limited by dollar amount, subject matter, purpose, time, etc. Typical limitations are restrictions on the types of items that may be purchased and on per purchase dollar amounts.
- d. The Department of the Army provides a guide book on the appointment, training, surveillance, and termination of FOOs. Additionally, contracting activities publish additional FOO guidance applicable to FOOs appointed under the authority of the contracting activity. <https://armyeitaas.sharepoint-mil.us/sites/ASA-ALT-PAM-ProcProc/SitePages/GPC.aspx>

6. Paying Agents. Finance specialists, and Soldiers and DOW civilians appointed and trained by Finance, hold money. When FOOs or KOs make purchases using SF44s, the merchant can present the form to the paying agent for payment. Alternatively, and most likely a necessity in an immature theater, the paying agent will accompany the FOO or KO. Once the FOO/KO completes the transactions, the paying agent will pay the merchant. Pre-deployment coordination with finance to determine who

the paying agents are and where they will be located will aid the deployed contracting process. Paying agents may not be FOOs. For detailed guidance on paying agents, *see generally*, FM 1-06; *see also* DOD FMR, vol. 5, chapter 2 (discussing the appointment and responsibilities of paying agents).

D. Sources of Contracted Support in a Contingency Operation.

1. General. Three different sources of contract support generally are used in support of contingency operations: Theater Support Contracts, Systems Support Contracts, and External Support Contracts.
2. Theater Support Contracts. Contracts awarded by contracting officers in the operational area serving under the direct contracting authority of the Service component, special operations forces command, or designated joint HCA for the designated contingency operation. JP 4-10, p. I-9 and Glossary. These contracts are commonly referred to as contingency contracts. *Id.* For example, theater support contracts in Afghanistan included contracts awarded by the CENTCOM Joint Theater Support Contracting Command or any of its Regional Contracting Centers or Offices.
3. Systems Support Contracts. Contracts awarded by Military Department and Program Management officers that provide technical support, maintenance and, in some cases, repair parts for selected military weapon and support systems. Systems support contracts are routinely put in place to provide support to newly fielded weapons systems, including aircraft, land combat vehicles, and automated command and control systems. These contracts are often awarded long before—and unrelated to—a specific operation. JP 4-10, I-9 and Glossary. Of note, only the contracting activity that issued the contract has the authority to modify or terminate the contract.
4. External Support Contracts. Contracts awarded from contracting organizations whose contracting authority does not derive directly from the theater support contracting HCA or from system support contracting authorities. External support contracts provide a variety of logistic and other noncombat related services and supply support. JP 4-10, p. I-9 and Glossary.

- a. Types of Support.
 - (1) Logistic support includes base operating support, transportation, port and terminal services, warehousing and other supply support functions, facilities construction and management, prime power, and material maintenance. *Id.*
 - (2) Non-logistic support may include communication services, interpreters, commercial computers and information management, and subject to congressional as well as DOW policy limitations, interrogation and physical security service support. *Id.*
- b. External support contracting authority does not come as a direct result of the contingency operation. Generally, these contracts are issued during peacetime for use during contingencies by the Service Components. Contracting authority, and therefore the ability to modify contracts, remains with the Service Component. For example, requirements for the Army's Logistics Civil Augmentation Program (LOGCAP) contract are managed by the Army Sustainment Command and the contracts are awarded and managed by the Army Contracting Command, both of which fall under the Army Materiel Command (AMC). *See generally*, JP 4-10, p. I-9-10. Only warranted contracting officers have the authority to change the LOGCAP contract (to include issuing Letters of Technical Direction).
- c. Major External Support Contracts include each Service's civil augmentation program (CAP) contracts (LOGCAP for the Army, the Air Force Contract Augmentation Program (AFCAP), and the U.S. Navy Global Contingency Construction Contract (GCCC) and Global Contingency Service Contract (GCSC)); fuel contracts awarded by DLA Energy; Classes of Supply contracts by DLA, construction contracts awarded by the U.S. Army Corps of Engineers and Air Force Center for Engineering and Environmental Excellence; and translator contracts awarded by the Army Intelligence and Security Command. JP 4-10, p. I-9.
- d. Civil Augmentation Program (CAP) Contracts. Provide the supported GCC and subordinate Joint Forces Commander an alternative source for meeting logistic services and general engineering shortfalls when military, host-nation support, multinational, and theater support contract sources are not available or adequate to meet the force's needs. Because these contracts are generally more expensive than theater support

contracts, every effort should be made to transition to theater support contracts as soon as possible. JP 4-10, p. I-9.

- (1) Service CAP similarities. JP 4-10, app. B.
 - (a) Augment organic military capabilities.
 - (b) Long term (four to nine years depending on the program) competitively awarded contracts.
 - (c) Use, or can opt to use, cost-plus award fee ID/IQ task orders.
 - (d) Potentially compete for the same general commercial support base.
- (2) Service CAP differences. JP 4-10, app. B.
 - (a) Authorized expenditure limit and planning and management capabilities.
 - (b) Support focus:
 - (i) LOGCAP focuses on general logistic support and minor construction support. The program utilizes separate support (planning and program support) and performance (task order execution) contracts.
 - (ii) AFCAP focuses on both construction and general logistic support and can be used for supply support.
 - (iii) The Navy GCCC focuses exclusively on construction.
 - (iv) The Navy GSCS focuses on facilities support.

E. Theater Contracting Support Organizational Options.

- 1. General. There is no single preferred contracting organizational option for theater support contracting organizations; the specific organization option is determined by the Geographic Combatant Commander (GCC) in

coordination with the subordinate Joint Force Command and Service Components. JP 4-10. In general, however, there are three main organizational options: service component support to own forces, choosing a lead Service, and forming a joint theater support contracting command. *Id.* Within the Army (outside of the theater contracting organization options discussed herein), corps, divisions, and brigades do not have any organic contracting officers or authority.

2. Service Component Support to Own Forces. During smaller scale operations with an expected short duration, the GCC may allow the Service component commanders to retain control of their own theater support contracting authority and organizations. This organizational option is also applicable to operations where the bulk of individual Service component units will be operating in distinctly different areas of the joint operations area thus limiting potential competition for the same vendor. JP 4-10, p. IV-2.
3. Lead Service Responsible for Theater Support Contracting.
 - a. GCCs may designate a specific Service component responsible to provide consolidated theater contracting support. JP 4-10, p. IV-2 to IV-3.
 - b. Most appropriate for major, long-term operations where the supported GCC and supported joint force commander desire to ensure that there is a consolidated contracting effort within the operational area, but without the need to stand-up an entirely new joint contracting command. *Id.*
 - c. The lead service often has command and control of designated other Service component theater contracting organizations and also has its staff augmented by other Services' contingency contracting personnel. *Id.*
 - d. Within the Army, the CSB may be designated as the lead Service contracting organization (with or without command and control of other Service contracting elements). ATP 4-71, ch. 7.

4. Joint Theater Support Contracting Command.
 - a. Established by GCC. The joint theater support contracting command is a joint, functional command that has a specified level of command and control authority over designated Service component theater support contracting organizations and personnel within a designated support area. JP 4-10, IV-4.
 - b. Since GCCs do not have their own contracting authority, the joint theater support contracting command's HCA authority flows from one of the Service component's to the operational area. In this option, the joint theater support contracting command headquarters should be established by a Joint Manning Document (JMD). *Id.*
5. There is no formally approved, established model for lead Service theater support or the joint theater support contracting command organization options. JP 4-10, Chapter IV, however, provides a general model or organization framework for each type of organization, to include a discussion of legal support to these organizations.

IV. REQUIREMENTS GENERATION, APPROVAL, AND CONTRACTING PROCESS

- A. General. Once a requirement for goods or services is identified and approved by a requiring activity, resource management, finance operations, and contracting personnel must work in concert to actually acquire and pay for the good or service. FM 1-06, at 1-6;.
1. Requiring Activity. Units requesting the goods and services are requiring activities, regardless of their organizational level. For example, whether a company or a corps requires fuel or base support services, each is a requiring activity. The unit is responsible for developing the requirement, to include clearly defining the requirement and conducting basic market research. JP 4-10, p. III-15. Unit commanders and staff identify, develop, validate, prioritize, and approve requirements. ATP 4-71, pp. 1-40 and 4-13 to 4-14.
 - a. Requiring activities are responsible for developing "acquisition ready" or "procurement ready" requirement. In coordination with the supporting contracting activity (e.g., RCC or RCO), the requiring activity must be able to describe what is needed to fulfill the minimum acceptable standard for the government. This information allows the contracting activity to create a solicitation against which commercial vendors can bid a proposal and successfully deliver in accordance with the terms of the contract

to satisfy a government requirement. *Id* at 4-13; *see also* JP 4-10, app. C.

- b. Specifically, the requiring activity, in coordination with the supporting contracting office, must conduct basic market research, develop an independent government estimate, develop a performance work statement or statement of work, and obtain certified funding from the requiring activity's resource manager. JP 4-10, p. III-15. Judge Advocates conducting fiscal and contract reviews must carefully review each of these documents. For example, requirements which superficially appear to be services and therefore properly funded with operations and maintenance appropriations may in fact include requirements for construction or the procurement of investment items that may require the use of a different appropriation.

2. Resource Management (RM).

- a. Serves as the commander's representative to lead the requirement validation, prioritization, and approval effort.
- b. Certifies the availability of funds by executing a purchase, request, and commitment (PR&C) and ensures the use of the funds is legal and proper.

3. Contracting Officers.

- a. The only government officials (military officer, enlisted, or civilian) with the legal authority to enter into, administer, and/or terminate contracts. RFO FAR 1.402.
- b. Upon receipt of certified funding and properly developed requirement, contracts on behalf of the U.S. Government to obtain the good or service. ATP 4-71, pp. 4-13.
- c. Responsible for appointing and training field ordering officers (FOO).

4. Finance Operations.

- a. As the government's banker, finance is the only triad element with funds disbursement authority. Once a contract has been awarded, finance operations provide vendor payment through cash, check, government purchase card, or electronic funds transfer. FM 1-06, p. 1-26.

- b. Funds and clears paying agents.

B. Requirements Approval Process.

1. Ensures the appropriate functional staffs coordinate on, prioritize, approve, and certify funding for the “procurement ready requirements” package before it is forwarded to the appropriate contracting activity. These staff reviews can include, but are not limited to:
 - a. Legal
 - b. Supply/logistics/property book.
 - c. Engineer
 - d. Medical
 - e. Signal (information technology and communication)
 - f. Resource Management
 - g. Other as needed/required by the circumstances.
2. In major operations, common user logistics (CUL) (also known as base life support or base operations support) are coordinated by the GCC and subordinate Joint Forces Commander among the functional staffs through the use of three important contracting related review boards as discussed below. JP 4-10, Appendix C.
3. Combatant Commander Logistic Procurement Support Board (CLPSB). Ensures that contracting and other related logistics efforts are properly coordinated across the entire AOR. JP 4-10, Appendix C. Focuses on general policies and AOR-wide issues related to contracting support at the GCC level, to include:
 - a. Identifying contracting and related issues that may require Joint Staff Office of Primary Responsibility, J-4, and/or Office of the Secretary of War action;
 - b. Establishing AOR-wide contracting and contractor management policies and procedures; and
 - c. Determining theater support contracting organization structure.

4. Joint Requirements Review Board (JRRB). JP 4-10, Appendix C.
 - a. Utilized to coordinate and control the requirements generation and prioritization of joint common user logistics (CUL) supplies and services that are needed in support of the operational mission.
 - b. Normally chaired by the Joint Forces Deputy Commander or designated staff officer, with participation by the functional staff (to include judge advocates) as well as theater, external, and system support contracting members.
 - c. Main role is to make specific approval and prioritization recommendations for all GCC directed, subordinated Joint Forces Commander controlled, high-value and/or high visibility CUL requirements and to include recommendations on the proper source of support for these requirements.
 - d. The role of theater support and external support contracting members is to inform the other JRRB members which contracting mechanisms are readily available for a particular acquisition.
 - e. Once a requirement is validated and approved by the JRRB, the resource manager certifies funding and the packet is provided to a contracting activity.
 - f. Judge advocate should serve as an advisory (non-voting) member of the JRRB.
5. Joint Contracting Support Board (JCSB). JP 4-10, C-9.
 - a. Focuses on how contracting will procure support in the Joint Operations Area.
 - b. Reviews contract support requirements forwarded by the JARB and makes recommendations on which specific contracting organizations/venues (e.g., theater v. external) are best suited to fulfill the requirement.
 - c. Establishes theater support contracting procedures.
 - d. Chaired by SCO/PARC or subordinate J-4 acquisition officer.
6. Legal Reviews. Judge Advocates supporting the commander exercising

requirement approval authority should review contract support requirements for legal sufficiency. These legal reviews encompass funding sources and constraints, contracting methods, and associated issues. They also include operational and jurisdictional issues concerning HN agreements, security agreements, and other contractor personnel- related issues. Legal reviews should also address any statutory and regulatory issues, as well as any other pertinent issues (e.g., appropriateness of armed PSC support) that may not have a statutory or regulatory basis but do reflect appropriate judgment and analysis for the best decision.

V. CONTRACTING DURING A DEPLOYMENT

- A. General. This section discusses various methods used to acquire supplies and services. It begins with a general discussion of seeking competition, and discusses specific alternatives to acquiring supplies and services pursuant to a new contract to meet the needs of a deploying force.
- B. Competition Requirements. The Competition in Contracting Act (CICA), 10 U.S.C. § 2304, requires the government to seek competition for its requirements. *See also* RFO FAR Part 6. In general, the government must seek full and open competition by providing all responsible sources an opportunity to compete. No automatic exception is available for contracting operations during deployments.
 - 1. There are seven statutory exceptions that permit contracting without full and open competition, which are set forth in 10 U.S.C. § 2304(c) and RFO FAR Section 6.103:

- a. Only one responsible source and no other supplies or services will satisfy agency requirements. RFO FAR subsection 6.103-1. The contracting officer may award a contract without full and open competition if the required supplies or services can only be provided by one or a limited number of sources. For example, it may be necessary to award to a particular source where that source has exclusive control of necessary raw materials or patent rights. This exception allows the KO to limit the competition to those sources that can meet the Government's need.
- b. Unusual and compelling urgency. RFO FAR subsection 6.103-2. This exception applies where the need for the supplies or services is of such an unusual or compelling nature that delay in awarding the contract would result in serious injury to the government. Use of this exception enables the contracting officer to limit the procurement to the only firm(s) he or she reasonably believes can properly satisfy the requirement in the limited time available.¹ Because of the urgency, the contracting officer is permitted to award the contract even before the written "Justification and Approval" (see paragraph 2 below) is completed.
- c. Industrial mobilization, engineering, developmental, or research capability; or expert services for litigation. RFO FAR 6.103-3. This exception is used primarily when it is necessary to keep vital facilities or suppliers in business, to prevent insufficient availability of critical supplies or employee skills in the event of a national emergency.

¹ This exception can be particularly applicable to meet urgent critical needs relating to human safety and which affects military operations. For example, it was used to procure sandbags in support of Operation Iraqi Freedom (Total Industrial & Packaging Corporation, B-295434, 2005 U.S. Comp. Gen. Proc. Dec. ¶ 38 (Feb. 22, 2005)) and to procure automatic fire suppression systems for the U.S. Marine Corps's light armored vehicles (Meggitt Safety Systems, Inc., B-297378, B-297378.2, 2006 U.S. Comp. Gen. LEXIS 27 (Jan. 12, 2006)). However, this exception cannot be used where the urgency was created by the agency's lack of advanced planning. 10 U.S.C. § 2304(f)(5); *see, e.g.*, WorldWide Language Resources, Inc.; SOS International Ltd., B-296984; B-296984.2; B-296984.3; B-296984.4; B-296993; B-296993.2; B-296993.3; B-296993.4., 2005 U.S. Comp. Gen. Proc. Dec. ¶ 206 (Nov. 14, 2005) (protest of December 2004 award of sole-source contract for bilingual-bicultural advisor/subject matter experts in support of Multinational Forces-Iraq sustained where the urgency – the immediate need for the services prior to the January 2005 elections in Iraq – was the direct result of unreasonable actions and acquisition planning by the government 2-3 months earlier).

- d. International agreement. RFO FAR 6.103-4. This exception is used where supplies or services will be used in another country, and the terms of a SOFA or other international agreement or treaty with that country specify or limit the sources. This exception also applies when a foreign country who will reimburse the acquisition costs (e.g., pursuant to a foreign military sales agreement) directs that the product be obtained from a particular source.
 - e. Authorized or required by statute. RFO FAR 6.103-5. Full and open competition is not required if a statute expressly authorizes or requires the agency to procure the supplies or services from a specified source, or if the need is for a brand name commercial item for authorized resale.
 - f. National security. RFO FAR 6.103-6. This exception applies if disclosure of the government's needs would compromise national security. Mere classification of specifications generally is not sufficient to restrict the competition, but it may require potential contractors to possess or qualify for appropriate security clearances.
 - g. Public interest. RFO FAR 6.103-7. Full and open competition is not required if the agency head determines that it is not in the public interest for the particular acquisition. Though broadly written, this exception is rarely used because only the head of the agency can invoke it – it requires a written determination by the Secretary of War.
- 2. Use of any of these exceptions to full and open competition often requires a “Justification and Approval” (J&A). RFO FAR 6.104. For the contents and format of a J&A, refer to RFO FAR 6.104-1. The approving authority is responsible for the J&A, but attorney involvement and assistance is critical to successful defense of the decision to avoid full and open competition. Limiting competition in any way invites protests of the procurement which may interrupt the procurement process. Approval levels for justifications, as listed in RFO FAR 6.104 and RFO DFARS 206.104-70. *See also* Competition Chapter of this Deskbook.
 - 3. Contract actions awarded and performed outside the United States, its possessions, and Puerto Rico, for which only local sources will be solicited, generally are exempt from compliance with ordinary publication rules. RFO FAR 5.302(b).

4. Temporary Exceptions. During contingency operations, Congress may authorize temporary exceptions to normal contacting and competition rules through authorization acts or annual or supplemental appropriations acts. Examples in Afghanistan included the Commander's Emergency Response Program, Afghan First Program, and the SC-CASA Program (allowing preferences and set-asides for certain acquisitions from vendors in certain countries along major supply routes to Afghanistan).
- C. Methods of Acquisition – Sealed Bidding. This is the appropriate method if award is based only on price and price-related factors, and is made to the lowest, responsive, responsible bidder. *See* RFO FAR Part 14.
1. Sealed bidding procedures must be used if the four conditions enumerated in the Competition in Contracting Act exist. 10 U.S.C. § 2304(a)(2)(A); *see also*, Racal Filter Technologies, Inc., B-240579, Dec. 4, 1990, 70 Comp. Gen. 127, 90-2 CPD ¶ 453. These four conditions, commonly known as the “Racal factors,” are:
 - a. Time permits the solicitation, submission, and evaluation of sealed bids; Award will be made only on the basis of price and price-related factors;
 - b. It is not necessary to conduct discussions with responding sources about their bids; and
 - c. There is a reasonable expectation of receiving more than one sealed bid.
 2. Use of sealed bidding allows little discretion in the selection of a source. Bids are solicited using Invitations for Bids (IFB) under procedures that do not allow for pre-bid discussions with potential sources. A clear description/understanding of the requirement is needed to avoid having to conduct discussions. Sealed bidding requires more sophisticated contractors because minor errors in preparing a bid can make the bid non-responsive and prevent the government from accepting the offer. Only fixed-price type contracts are awarded using these procedures. Sealed bidding procedures are rarely used during active military operations in foreign countries because it is usually necessary to conduct discussions with responding offerors to ensure their understanding of, and capability to meet, U.S. requirements.
- D. Methods of Acquisition – Negotiations (also called “competitive proposals”).
1. With this acquisition method, award is based on stated evaluation criteria, one of which must be cost, and is made to the responsible offeror whose proposal offers the “best value” to the government. The contracting officer

informs potential offerors up front whether best value will be based upon an offeror submitting the “lowest cost, technically acceptable” solution to the government’s requirement, or whether best value will be determined on a “cost-technical tradeoff” basis, which allows the government to accept a higher-priced offer if the perceived benefits of the higher-priced proposal outweigh the additional cost. The basis for award (low-cost, technically-acceptable *or* cost-technical tradeoff), and a description of all factors and major subfactors that the contracting officer will consider in making this determination, must be stated in the solicitation. *See* RFO FAR Part 15.

2. Negotiations are used when the use of sealed bids is not appropriate. 10 U.S.C. § 2304(a)(2)(B). Negotiations permit greater discretion in the selection of a source, and allow consideration of non-price factors in the evaluation of offers, such as technical capabilities of the offerors, past performance history, etc. Offers are solicited by use of a Request for Proposals (RFP). Proposals are submitted by offerors and are evaluated in the manner stated in the solicitation. Consistent with the solicitation, the contracting officer may establish a competitive range comprised of the most highly-rated proposals and conduct negotiation with those offerors, after which those offerors submit revised proposals for evaluation. Award is made to the offeror whose proposal represents the best value to the government. Negotiations permit the use of any contract type.

E. Simplified Acquisition Procedures.

1. Thresholds. Simplified procedures may be used for procurements below certain dollar amounts. These amounts are specified in RFO FAR Part 2. However, there are increased thresholds for procurements in support of a contingency operation as defined in 10 U.S.C. § 101(a)(13), or to facilitate defense against or recovery from a cyber, NBC, or radiological attack. Presently, the base thresholds and the increased contingency thresholds are as follows:
 - a. Department of War (DOW) Simplified Acquisition Threshold (SAT). The normal Department of War SAT is \$350,000. For DOW purchases supporting a contingency operation but made (or awarded and performed) inside the United States, the SAT is now **\$1,000,000**. For DOW purchases supporting a contingency operation made (awarded and performed) outside the United States, the SAT is **\$2 million**. The SAT is **\$650,000** when the DOW is soliciting or awarding contracts to be awarded and performed outside the United States to support a humanitarian or peacekeeping operation.

- b. Micro-purchase threshold. The normal DOW “micro-purchase threshold,” below which purchases may be made without competition (except construction and most services), is **\$15,000**. For DOW purchases supporting a contingency operation but made (or awarded and performed) inside the United States, the micro-purchase threshold is **\$25,000**. For DOW purchases supporting a contingency operation made (or awarded and performed) outside the United States, the micro-purchase threshold is **\$40,000**. 41 U.S.C. § 1903; RFO FAR 2.101.
 - c. Commercial items. Commercial Products and Services may be procured using Simplified Acquisition Procedures (SAP) using increased thresholds. The normal SAP threshold is **\$9,000,000**. For purchases supporting a declared contingency operation, or to defend or recover from a chemical, biological, radiological, nuclear (CBRN) or cyber attack, the threshold is **\$15,000,000**. 41 U.S.C. § 1903; RFO FAR 12.001(c).
- 2. About 95% of the contracting activity conducted in a deployment setting will be simplified acquisitions. The following are various methods of making or paying for these simplified purchases. Types of simplified acquisition procedures likely to be used during a deployment are:
 - a. Purchase Orders. RFO FAR 12.403.
 - b. Blanket Purchase Agreements (BPA). RFO FAR 12.201-1(e)(3).
 - c. Imprest Fund Purchases. RFO FAR 12.403(c) and RFO DFARS 212.403(c).
 - d. Government Purchase Card Purchases. RFO FAR 12.403(a)(1) and RFO DFARS 212.403.
- 3. Simplified Acquisition Competition Requirements. The requirement for full and open competition does not apply to simplified acquisitions. However, for simplified acquisitions above the micro-purchase threshold, there is still a requirement to obtain competition “to the maximum extent practicable,” which ordinarily means soliciting at least 3 quotes from sources within the local trade area. RFO FAR 12.201-1(c). For purchases at or below the micro-purchase threshold, there is no competition requirement at all, and obtaining just one oral quotation will suffice so long as the price is fair and reasonable. RFO FAR 12.204(a). Additional simplified acquisition competition considerations:

- a. Micro-purchases. While there is no competition requirement, micro-purchases shall be distributed equitably among qualified sources to the extent practicable. RFO FAR 12.402(a). If practicable, solicit a quotation from other than the previous supplier before placing a repeat order.).
 - b. Simplified acquisitions above the micro-purchase threshold. Because there is still a requirement to promote competition “to the maximum extent practicable,” KOs may not sole-source a requirement above the micro-purchase threshold unless the need to do so is justified in writing and approved at the appropriate level. RFO FAR 12.102(b). Soliciting at least three sources is a good rule of thumb to promote competition to the maximum extent practicable. Whenever practicable, request quotes from two sources not included in the previous solicitation. Contracting officers normally should also solicit the incumbent contractor. J. Sledge Janitorial Serv., B-241843, Feb. 27, 1991, 91-1 CPD ¶ 225.
 - c. Requirements aggregating more than the SAT or the micro-purchase threshold may not be broken down into several purchases merely to avoid procedures that apply to purchases exceeding those thresholds. RFO FAR 12.001(d).
4. Publication (Notice) Requirements. Normally, contracting officers are required to *publish* a synopsis of proposed contract actions over \$20,000 on the Government-wide point of entry (GPE) at sam.gov. 15 U.S.C. § 637(e); 41 U.S.C. § 1708; RFO FAR 5.101(a) and RFO FAR 5.201(d). For actions estimated to be between \$20,000 and \$25,000, public posting (displaying notice in a public place) of the proposed contract action for 10 days is normally required. 15 U.S.C. § 637(e); 41 U.S.C. § 1708; RFO FAR 5.101(d). None of these notice requirements exist if the disclosure of the agency’s needs would compromise national security. 15 U.S.C. § 637(g)(1)(B); 41 U.S.C. § 1708. Disclosure of most needs in a deployment would not compromise national security.
5. Existing ordering agreements, indefinite delivery contracts, and requirements contracts may be available to meet recurring requirements, such as fuel, subsistence items, and base support services. Investigate the existence of such contracts with external and theater support contracting activities. For a discussion of theater and external support contracts, *see above*
6. Theater Support Contracts. In developed theaters, the theater contracting activity (regardless of organizational type) may have existing indefinite quantity-indefinite delivery (IDIQ) contracts, BPAs, or requirements

contracts available to efficiently satisfy a unit's needs. For example, C3 may have multiple award IDIQ contracts for base support services and security services. If a unit has a requirement for either of these services, C3 may expeditiously award the task order to one awardee of the underlying IDIQ contract utilizing the "fair opportunity" to be considered procedures in RFO FAR 16.

- F. Use of Existing Contracts to Satisfy Requirements. New and existing contracts are not the only method of meeting the needs of deployed military forces. The military supply system is the most common source of supplies and services. Cross-servicing agreements and host-nation support agreements exist with NATO, Korea, and most other major U.S. allies. Similarly, under the Economy Act, other government agencies may fill requirements for deployed forces, either from in-house resources or by contract. Finally, service secretaries retain substantial residual powers under Public Law 85-804 that may be used to meet critical requirements that cannot be fulfilled using normal contracting procedures.
1. Host nation support and acquisition and cross-servicing agreements (ACSA) are also means of fulfilling the needs of deployed U.S. forces and are addressed in 10 U.S.C. §§ 2341-2350. These authorities permit acquisitions and transfers of specific categories of logistical support, supplies, and services (LSSS) to take advantage of existing stocks in the supply systems of the U.S. and allied nations. Transactions may be accomplished notwithstanding certain other statutory rules related to acquisition and arms export controls. For further information, *see* Contract & Fiscal Law Dep't, The Judge Advocate General's School, U.S. Army, Fiscal Law Deskbook, ch. 10, Operational Funding (updated frequently and available online at <https://tjagls.army.mil/publications>).
 2. The Economy Act (31 U.S.C. § 1535) provides another alternative means of fulfilling requirements. An executive agency may transfer funds to another agency, and order goods and services to be provided from existing stocks or by contract. For example, the Air Force could have construction performed by the Army Corps of Engineers, and the Army might have Department of Energy facilities fabricate special devices for the Army. Procedural requirements for Economy Act orders, including obtaining contracting officer approval on such actions, are set forth in RFO FAR 17.5; DFARS 217.5; *see* Contract & Fiscal Law Dep't, The Judge Advocate General's School, U.S. Army, Acquisition Attorneys Deskbook, ch. 32, Interagency Acquisitions (updated frequently and available online at <https://tjagls.army.mil/publications>).
 3. Extraordinary contractual actions under Public Law 85-804. During a national emergency declared by Congress or the President and for six months after the termination thereof, the President and his delegees may

initiate or amend contracts notwithstanding any other provision of law whenever it is deemed necessary to facilitate the national defense. Pub. L. No. 85-804, codified at 50 U.S.C. §§1431-1435; Executive Order 10789 (14 Nov. 1958); RFO FAR Part 50; RFO DFARS Part 250. These powers are broad, but the statute and implementing regulations contain a number of limitations. For example, these powers do not allow waiving the requirement for full and open competition, and the authority to obligate funds in excess of \$70,000 may not be delegated lower than the Secretariat level. This authority is rarely used. Additionally, despite this grant of authority, Congress still must provide the money to pay for obligations.

- G. Leases of Real Property. The Army is authorized to lease foreign real estate for military purposes. 10 U.S.C. § 2675. True leases normally are accomplished by the Army Corps of Engineers using Contingency Real Estate Support Teams (CREST).

VI. POLICING THE CONTRACTING BATTLEFIELD

- A. Ratification of Contracts Executed by Unauthorized Government Personnel. Only warranted KOs can legally bind the government in contract. However, sometimes other government officials purport to bind the government. This may occur, for example, when a commander directs a contractor to take actions beyond the scope of an existing contract or in the absence of a contract. An “unauthorized commitment” is an agreement that is not binding on the government solely because it was made by someone who did not have authority to bind the government. (RFO FAR 1.405).
1. Because the person making the unauthorized commitment had no authority to bind the government, the government has no obligation to pay the unauthorized commitment. However, someone with actual authority to bind the government may choose to subsequently ratify the unauthorized commitment.
 2. Based upon the dollar amount of the unauthorized commitment, certain officials have the authority to ratify the unauthorized commitment.
 3. These officials may ratify only when (RFO FAR 1.405(c)):
 - a. The government has received the goods or services.
 - b. The ratifying official has the authority to enter into a contractual commitment.
 - c. The resulting contract would have otherwise been proper if made by an appropriate contracting officer.
 - d. The price is fair and reasonable.
 - e. The contracting officer recommends payment and legal counsel concurs, unless agency procedures do not require such concurrence.
 - f. Proper funds are available and were available at the time the unauthorized commitment was made.

B. Extraordinary Contractual Actions. If ratification is not appropriate, for example, where no agreement was reached with the supplier, the taking may be compensated as an informal commitment. RFO FAR 50.

1. Requests to formalize informal commitments must be based on a request for payment made within 6 months of furnishing the goods or services, *and* it must have been impracticable to have used normal contracting procedures at the time of the commitment. RFO FAR 50.102-3(d).
2. These procedures have been used to reimburse owners of property taken during the Korean War (AFCAB 188, 2 ECR § 16 (1966)); in the Dominican Republic (Elias Then, Dept. of Army Memorandum, 4 Aug. 1966); in Jaragua S.A., ACAB No. 1087, 10 Apr. 1968; and in Panama (Anthony Gamboa, Dep't of Army Memorandum, Jan. 1990).

C. Quantum Meruit.

1. Prior to 1995-1996, the Comptroller General had authority under 31 U.S.C. § 3702 to authorize reimbursement on a *quantum meruit* or *quantum valebant* basis to a firm that performed work for the government without a valid written contract.
2. Under *quantum meruit*, the government pays the reasonable value of services it actually received on an implied, quasi-contractual basis. Maintenance Svc. & Sales Corp., B-242019, Aug. 5, 1991, 70 Comp. Gen. 664 (1991).
3. The GAO used the following criteria to determine justification for payment:
 - a. The goods or services for which the payment is sought would have been a permissible procurement had proper procedures been followed;
 - b. The government received and accepted a benefit;
 - c. The firm acted in good faith; and
 - d. The amount to be paid did not exceed the reasonable value of the benefit received. *Id.*
4. Congress transferred the claims settlement functions of the GAO to the Office of Management and Budget, which further delegated the authority.

See The Legislative Branch Appropriations Act, 1996, Pub. L. 104-53, 109 Stat. 514, 535 (1995); 31 U.S.C. 3702.

- D. Contract Disputes Act (CDA) Claims. If the contractor believes it can meet its burden in proving an implied-in-fact contract, it can appeal a contracting officer's final decision to the United States Court of Federal Claims (COFC) or the cognizant board of contract appeals. 41 U.S.C. §§ 7101-7109; RFO FAR Subpart 33.2.
- E. Contracting With the Enemy.
1. Section 841 of the 2012 NDAA (Pub. L. 112-81) authorized the HCA to restrict award, terminate contracts already awarded, or void contracts over \$100,000 to contractors who directly or indirectly fund the insurgency or forces opposing the U.S. in the CENTCOM theater of operations. Section 831 of the FY14 NDAA (Pub. L. 113-66) carried forward the requirements of Section 841, lowered the contract threshold to \$50,000, and expanded the law's scope to include the U.S. European Command, U.S. Africa Command, U.S. Southern Command, and U.S. Pacific Command. Section 831 is implemented through DFARS 252.225-7993, "Prohibition on Contracting with the Enemy (DEVIATION 2014-O0020)." Further, the CENTCOM Commander can use battlefield intelligence to make this determination and does not have to disclose that intelligence to the affected contractor.
 2. Section 842 of the 2012 (Public Law 112-81) NDAA required the inclusion of a contract term for contracts covered by sections 841 and 842 that allowed the government to inspect "any records of the contractor" or subcontractor to ensure contract funds are not going to support the insurgency or otherwise oppose U.S. action in the CENTCOM AOR. See DFARS 252.225-7994 (DEVIATION 2014-O0020). Section 842(c) of the FY15 NDAA (Pub. L. 113-291) amended section 842(d) of the FY12 NDAA to also include that funds are not "(1) [s]ubject to extortion or corruption; or (2) Provided, directly or indirectly, to persons or entities that are actively supporting an insurgency or otherwise actively opposing United States or coalition forces in a contingency operation." DFARS DEVIATION 2015-O0013.
 3. Section 823 of the 2024 NDAA (Public Law 118-31) amended this to be named Vendor Threat Mitigation in Commercial Support to Operations. There is no longer a dollar threshold, applies to all operations outside the United States and to all Combatant Commands. Also, the

types of activities have been altered to include additional categories. *See also* DoDD 3000.16, DoWI 3115.VI, and DoWI 3000.19, as well as DFARS 252.225-7993.

VII. CONCLUSION

Individuals who have little to no contracting experience often spend staggering sums of money in support of their unit's mission. The most important thing to remember when dealing with the expenditure of appropriated funds—whatever the vehicle or mechanism—is that each decision to spend money carries consequences. To that extent, it is worth the time and effort to prepare, research, reach out, and be diligent to adhere to contracting rules and regulations. Judge Advocates are encouraged to develop reach-back relationships prior to deployment, both within their command and outside, so difficult questions can be answered accurately and quickly. This deskbook chapter is only a part of the discussion when it comes to contracting. Legal practitioners should also consult RFO FAR Part 25, RFO FAR Part 29, amongst other sections within the RFO FAR.

CHAPTER 30

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CHAPTER 30

CONTINGENCY CONTRACTOR PERSONNEL

I. INTRODUCTION

Throughout the history of U.S. military operations, the U.S. has relied upon goods and services provided by contractors. Contractors multiply the effectiveness of the fighting force by freeing up uniformed personnel to focus on primary duties. However, this reliance has grown over the years to the extent that there are often as many contractors in the battlespace as there are uniformed personnel. A report by the Commission on Wartime Contracting cited that the Defense Department alone had 207,533 contractors in Iraq and Afghanistan as of 31 March 2010. This represented a ratio of Soldiers to contractors of approximately 1:1. In 2016, reports from DOD and the Congressional Research Service showed a contractor to Soldier ratio of 3:1 in Afghanistan and 2:1 in Iraq. Contractor roles have also expanded, now including such tasks as personnel and static security. No matter what type of unit a deploying Judge Advocate is advising, it is almost certain that the unit will rely on contracted support for at least some functions. Accordingly, Judge Advocates must understand the relationship between DOD and contractor personnel while conducting contingency operations.

II. REFERENCES

- A. U.S. Dep't of Defense, Defense Federal Acquisition Reg. Supp. 225.371 [hereinafter DFARS]; DFARS 252.225-7040, Contractor Personnel Supporting U.S. Armed Forces Deployed Outside the United States; U.S. Dep't of Defense, Defense Procedures, Guidance, and Information 225.371. [hereinafter DFARS PGI]; DFARS Class Deviation 2017-O0004, Contractor Personnel Performing in the United States Central Command Area of Responsibility, with its accompanying clause at DFARS 252.225-7995 (updated Sep 2017).
- B. U.S. Dep't of Defense, Instr. 3020.41, Operational Contract Support (27 November 2024) [hereinafter DoDI 3020.41].
- C. JOINT PUBLICATION 4-10, OPERATIONAL CONTRACT SUPPORT (4 Mar. 2019) [hereinafter JP 4-10].
- D. U.S. Dep't of Defense, Instr. 3020.50, Private Security Contractors (PSCs) Operating in Contingency Operations, Humanitarian or Peace Operations, or Other Military Operations or Exercises (13 Oct. 2022) [hereinafter DoDI 3020.50].
- E. 32 CFR Part 153, CRIMINAL JURISDICTION OVER CIVILIANS EMPLOYED BY OR ACCOMPANYING THE ARMED FORCES OUTSIDE THE UNITED STATES, CERTAIN SERVICE MEMBERS, AND FORMER SERVICE MEMBERS (2025).

- F. Contingency Contracting Resources, available at <https://www.acq.osd.mil/asda/dpc/cp/cc/cc-resources.html> (containing links to materials relevant to contingency contracting; deployments; contingency contractor personnel; suggested contracting clauses; contingency contracting articles; etc.).
- G. U.S. Dep't of Army, Reg. 715-9, Operational Contract Support Planning and Management (18 Sept 2024) [hereinafter AR 715-9].
- H. U.S. Dep't of Army, Reg. 700-137, Logistics Civil Augmentation Program (LOGCAP) (22 Nov 2024) [hereinafter AR 700-137].
- I. See Section XII below for additional references.

III. CATEGORIES OF CONTRACTORS

A. General.

1. The contract is the principal document for establishing the legal relationship between a contractor and the U.S. Government. As such, the contract is the primary resource one should consult on issues relating to contractor support and operations in theater. Known generally as contingency “contractor personnel,” these are individuals “employed by a firm, corporation, partnership, or association, performing under contract with the DoD to furnish services, supplies, or construction.” *See* DODI 3020.41, Glossary G.2. However, they are not all afforded the same legal status, access to government-provided benefits, and access to government property (installations, billeting, etc.).
2. Types of contingency contractors. A contract may generally characterize a contractor’s relationship to the U.S. Government into one of four broad categories, based on the terms included in their respective contracts: (1) Contractors Authorized to Accompany the Force (CAAF); (2) DOD contractors not accompanying the U.S. Armed Forces in the CENTCOM AOR; (3) DOD contractors not accompanying the U.S. Armed Forces *outside* the CENTCOM AOR; and (4) Non-DOD contractors (*e.g.*, Department of State, etc.).
3. Letter of Authorization (LOA). The LOA is a document that memorializes all the support due to a contractor under their contract. Each individual contractor must carry a copy of his or her LOA on their person at all times, as this document provides their authorization to obtain the support/services that are called for under the contract. Without this document, it will be very difficult to determine what support a particular individual should receive. DFARS 252.225-7995 and 252.225.7040.

B. Contractors Authorized to Accompany the Force (CAAF).

1. Contractors authorized to accompany the force (CAAF) may receive Government-furnished support commensurate with the operational situation in accordance with the terms and conditions of their contract. These contractors are imbedded in units, live in government housing on the compound or camp, and often perform duties alongside uniformed personnel. They are often highly skilled, and many are former members of the military.
2. Legal Status. CAAF personnel are neither combatants nor noncombatants. This means that CAAF are entitled to most protections afforded to noncombatants in addition to some protections afforded to combatants. For instance, if captured during international armed conflict, contractors with CAAF status are entitled to prisoner of war status. CAAF may not be legitimately targeted by enemy forces, but CAAF personnel could be exposed to risk of injury or death while supporting military operations. CAAF status does not apply to contractor personnel supporting domestic contingencies.
3. Government Support.
 - a. DoDI 3020.41 establishes and implements policy and guidance, assigns responsibilities, and serves as a comprehensive source of DOD policy and procedures concerning requirements for management and interaction with CAAF.
 - b. Obtaining CAAF status begins with the language in the underlying contract. If the contract (or portions of the contract) requires employees to have CAAF status, that contract will contain DFARS Clause 252.225-7995, Contractor Personnel Performing in the United States Central Command Area of Responsibility. This clause applies to CAAF who accompany U.S. forces in contingency operations, humanitarian or peacekeeping operations, or other operations or exercises as approved by the Combatant Commander. For important authorizations and requirements, to include health care access or government-provided security based on areas of responsibility, see clauses referenced in DFARS 225.371-5 and DFARS Class Deviation 2017-O0004 with its accompanying clause at DFARS 252.225-7995.
4. When armed for personal protection, contingency contractor personnel are only authorized to use force for individual self-defense. Unless immune from local laws or host nation (HN) jurisdiction by virtue of an international agreement or international law, the contract shall include language advising contingency contractor personnel that the inappropriate use of force could subject them to U.S. and local or host nation prosecution and civil liability. DoDI 3020.41, para 3-15 9d(4)(c)2.

5. To be considered a prisoner of war if captured by the enemy, CAAF must carry a Geneva Conventions ID card identifying the individual as one authorized to accompany the force.

C. Non-CAAF, Performing in CENTCOM AOR.

1. Not all contractor personnel in a designated operational area are or will be CAAF, even though they are operating in the CENTCOM AOR and often at the same location, or even alongside, DOD employees.
2. DFARS Class Deviation 2017-O0004, Contractor Personnel Performing in the United States Central Command (CENTCOM) Area of Responsibility (AOR), governs contractor personnel in a Designated Operational Area or Supporting a Diplomatic or Consular Mission within the CENTCOM AOR, but who are not considered CAAF.
3. The main difference between these contractors and those designated as CAAF is found in the support provided to, and accountability of, those contractors:
 - a. Non-CAAF contractors typically receive a lower level of support from the U.S. Government (e.g., security protection and medical treatment), and
 - b. Non-CAAF may not be subject to the UCMJ for offenses committed in theater.

D. Non-CAAF, Performing Outside the CENTCOM AOR.

Some contractors may be hired to perform work outside the United States in support of a contingency operation but will not actually go into the CENTCOM AOR (for example, to support operations in Haiti and Liberia). DFARS 225.301-4 requires use of the clause at RFO FAR 52.225-19 when defense contractors will (a) not accompany the Armed Forces and (b) perform in a designated operational area or support a diplomatic or consular mission outside the United States.

E. Non-DOD Contractors in Contingency Environments.

Contractors of other government agencies, such as the Department of State, are governed by RFO FAR 25.301 and agency-specific regulations and directives.

IV. TYPES OF CONTRACTS

A. General.

Contingency operations require many contracts to support full operations. These may be issued by local contracting personnel (for smaller requirements). However, many of the contracts required are too large and complicated to be executed within theater. Accordingly, some contracts are awarded CONUS to support operations overseas. Still others are issued based on the requirement to support specific systems (weapons or otherwise) wherever they may be used. All of these contracts may support a contingency operation, but they are grouped into three main categories for purposes of understanding the contracting authorities used to procure the various services.

B. External Support Contracts.

These contracts are awarded by contracting organizations with a contracting authority not derived directly from theater support contracting HCAs or from systems support contracting authorities. External support contracts provide a variety of logistics and other noncombat-related services and supply support. External support contracts are illustrated by the services' CAP (Civil Augmentation Programs) contracts, including the Army LOGCAP, Air Force AFCAP, Navy GCCC and GCSC, DLA prime vendor contracts, and Navy fleet husbanding contracts. External support contracts normally include a mix of U.S. citizens, third-country nationals, and local national contractor employees. Support under external support contracts is often designated as "essential contractor services" under the contract. External support contractors include Other Country National (OCN) personnel and local national personnel who are hired under a subcontract relationship of a prime external support contract.

C. System Support Contracts.

1. These contracts are awarded by a military department acquisition PMO (Program Management Office) that provides technical support, maintenance, and (in some cases) repair parts for selected military weapon and support systems. Systems support contracts are routinely put in place to support newly fielded weapons systems, including aircraft, land combat vehicles, and automated command and control systems. Systems support contracting, contract management, and program management authority reside with the military department systems materiel acquisition program offices. Support under systems support contracts is often designated as "essential contractor services" under the contract.
2. Systems support contractor employees, mostly U.S. citizens, provide support in garrison and often deploy with the force in both training and contingency operations. Much of a service component's equipment is maintained partially or fully through contracted logistics support. These are often U.S. Citizens and are considered CAAF in most cases.

D. Theater Support Contracts.

1. These contracts are awarded by contracting officers in the operational area, serving under the direct contracting authority of the service component, SOF command, or designated joint HCA for the specific contingency operation. During a contingency, theater support contracts are normally executed under expedited contracting authority and provide supplies, services, and construction from commercial sources that, in general, are in the operational area. Also important from the contractor management perspective are the local national personnel who make up the bulk of the theater support contract employees.
2. Theater support contracting can be used to acquire support from commercial sources, similar to external support contract services. In addition, theater support contracting can be used to acquire commercially available supply items from local and global sources.
3. These contracts often rely on local nationals (LNs) or other country nationals (OCNs). These personnel are usually not considered CAAF.

V. LEGAL STATUS

A. International Law.

1. Contractors, who support military operations, must be provided an appropriate identification (ID) card under the Geneva Conventions.
2. If captured during armed conflict, CAAF are entitled to POW status.
3. CAAF may support operations through indirect participation, such as by providing communications support, transporting munitions and other supplies, performing maintenance on military equipment, and other logistic services. CAAF who “engage in hostilities” risk being treated as combatants (and thus being targeted, etc.). Further, they risk being treated as “unprivileged belligerents” (and thus as war criminals).
4. Arming of CAAF, and CAAF performance of security services, are addressed below in Section VIII.
5. Each service to be performed by CAAF in contingency operations shall be reviewed, on a case-by-case basis, in consultation with the servicing legal office to ensure compliance with applicable laws and regulations.

B. Host Nation (HN) and Other-Country National (OCN) Laws.

1. Subject to international agreements, CAAF are subject to HN law and the law of their home country (OCN law).

2. Status of Forces Agreements (SOFAs). SOFAs are international agreements between two or more governments that provide various privileges, immunities, and responsibilities and enumerate the rights and responsibilities of individual members of the deployed force. The United States does not have SOFA arrangements with every country, and some SOFAs do not adequately cover all contingencies. As such, it is possible that CAAF and Soldiers will be treated differently by a local government.
 - a. The United States may have a lesser international agreement than a SOFA, such as diplomatic notes.
 - b. CAAF may or may not be subject to criminal and/or civil jurisdiction of the host country to which they are deploying. CAAF status will depend upon the specific provisions of the international agreement, if any, that are applicable between the U.S. and the country of deployment at the time of deployment.
 - c. If an international agreement (*e.g.*, SOFA) does not address CAAF status, the contractor may be unable to perform because its employees may not be able to enter the country or the contractor could be treated as a foreign corporation subject to local laws and taxation policies.
 - d. The North Atlantic Treaty Organization (NATO) SOFA is generally accepted as the model for bilateral and multilateral SOFAs between the U.S. Government and host nations around the world.
 - e. The NATO SOFA covers three general classes of sending state personnel: 1) members of the “force” (*i.e.*, members of the armed forces of the sending state); 2) members of the “civilian component” (*i.e.*, civilian employees of the sending state); and 3) “dependents” (*i.e.*, the spouse or child of a member of the force or civilian component that is dependent upon them for support).
 - f. Under the generally accepted view of the NATO SOFA, contractor employees are not considered members of the civilian component. Accordingly, special technical arrangements or international agreements generally must be concluded to afford contractor employees the rights and privileges associated with SOFA status.
 - g. If there is no functioning government with which the Department of State can negotiate a SOFA, contract planners must comply with the policy and instructions of the Combatant Commander when organizing the use of contractors in that country.
 - h. If there is any contradiction between a SOFA and an employer’s contract, the terms of the SOFA will take precedence.

- i. The Department of State official website may help determine if the U.S. has a SOFA agreement with a particular country and contains country studies to help deploying personnel learn about a country to which they are deploying.
3. Contingency contractor personnel remain subject to the laws of their home country. Application of U.S. law is discussed below in Section IX.

VI. ADMINISTRATIVE ACCOUNTABILITY AND PROCESSING

- A. General. Combatant Commanders are responsible, with assistance from their Component Commanders, for visibility of all personnel within their AOR, including contractors.
- B. The Synchronized Pre-deployment and Operational Tracker (SPOT).
 1. All defense contractors awarded contracts that support contingency operations are required to register their employees in the SPOT system. DFARS 252.225-7995(g). Registration in SPOT is required in order to receive a Letter of Authorization (LOA). *See infra* Subpart III(A)(3) for a discussion of LOAs.
 2. The Departments of Defense and State use the SPOT system as the system of record for tracking all contractor personnel in contingency operations. All CAAF must register in SPOT-ES by name. Non-CAAF must be registered in SPOT-ES by name if they are performing on a DoD contract for at least 30 consecutive days unless a lesser number of days is requested by the CCDR or if they require access to a U.S. or coalition-controlled installation. 32 CFR § 158.5(h).
 3. SPOT may be accessed at <https://spot.dmdc.mil/>.
- C. Contractor Responsibilities.
 1. Accountability. All contingency contractor personnel must be registered in SPOT. These contractors are responsible for knowing the general location of their employees and shall keep the database updated. DFARS Class Deviation 2017-O004, and DFARS 225.301-4, which prescribes the use of the Clause at RFO FAR 52.225-19, impose this same requirement on all defense contractors in any contingency environment covered by the clauses.
 2. Personnel Requirements.
 - a. Medical. Contractors are responsible for providing medically and physically qualified personnel. Any CAAF deemed unsuitable to

deploy during the deployment process, due to medical or dental reasons, will not be authorized to deploy. Further, the SECDEF may direct mandatory immunizations for CAAF performing DOD-essential services. Contracts must stipulate that CAAF must provide medical, dental and DNA reference specimens, and make available medical and dental records.

- b. Contracting officers may authorize contractor-performed medical deployment processing. Contracting officers shall coordinate with and obtain approval from the military departments for contractor-performed processing.

D. CONUS Replacement Centers (CRC) and Individual Deployment Sites (IDS).

1. All CAAF shall report to a deployment center designated in the contract or be processed through a government-authorized deployment processing facility before deploying to a contingency operation. Actions at the deployment center include:
 - a. Validating accountability information in the joint database; verify: security background checks completed, possession of required vehicle licenses, passports, visas, and next of kin/emergency data cards;
 - b. Issuing/validating proper ID cards;
 - c. Issuing applicable government-furnished equipment;
 - d. Providing medical/dental screenings and required immunizations. Screening will include HIV testing, pre and post-deployment evaluations, dental screenings, and TB skin tests. A military physician will determine if the contractor employee is qualified for deployment and will consider factors such as age, medical condition, job description, medications, and requirements for follow-up care;
 - e. Validating/completing required theater-specific training (e.g., law of war, detainee treatment, Geneva Conventions, General Orders, standards of conduct, force protection, nuclear/biological/chemical, etc.);
 - f. All CAAF shall receive deployment processing certification (annotated in the LOA or separate certification letter) and shall bring this certification to the JRC and carry it with them at all times.
2. Waivers. For less than 30-day deployments, the Combatant Commander may waive some of the formal deployment processing requirements,

including processing through a deployment center. Non-waivable requirements include possession of proper ID card, proper accountability, and medical requirements (unless prior approval of qualified medical personnel). CAAF with waivers shall carry the waiver with them at all times.

3. Contractor Personnel Other than CAAF. Contractors not accompanying the Armed Forces and who are arriving from outside the area of performance must also process through the departure center specified in the contract or complete another process as directed by the contracting officer to ensure minimum theater admission requirements are satisfied.
- E. Joint Replacement Center (JRC). CAAF shall process through an in-theater reception center upon arrival at the deployed location. The JRC will validate personnel accountability, ensure theater-specific requirements are met, and brief CAAF on theater-specific policies and procedures. DFARS 252.225-7995(f) subjects CAAF to similar procedures. Contractors not accompanying the Armed Forces arriving from outside the area of performance must process through a reception center as designated by the contracting officer upon arrival at the place of performance.

VII. LOGISTICS SUPPORT

A. Policy.

Generally, contractors are responsible for providing for their own logistical support and logistical support for their employees. However, in austere, uncertain, and/or hostile environments, the DOD *may* provide logistical support to ensure continuation of essential contractor services. The contracting office is required to verify the logistical and operational support that will be available for CAAF.

B. Letter of Authorization (LOA).

1. An LOA shall be issued via the SPOT system for all CAAF, as well as for other designated non-CAAF contractors. The LOA will be required for processing through a deployment center and travel to/from/within the AOR, and will detail the privileges and government support to which each contractor employee is entitled.
2. All contractors issued an LOA shall carry the LOA with them at all times.
3. The LOA shall state the intended length of assignment in the AOR, and identify the government facilities, equipment, and privileges the CAAF/non-CAAF is entitled to use.

C. Individual Protective Equipment (IPE).

Upon determination of the Combatant Commander, CAAF and designated non-CAAF contractors will be provided body armor, a ballistic helmet, and a chemical/biological ensemble. The equipment is typically issued at the deployment center and must be returned upon redeployment. The decision of contractor personnel to wear any issued protective equipment is voluntary; however, the Combatant Commander, subordinate JFC and/or ARFOR Commander may require contractor employees to be prepared to wear Chemical, Biological, and Radiological Element (CBRE) and High-Yield Explosive defensive equipment.

D. Clothing.

Generally, contractors are required to furnish their own appropriate clothing and may not wear military or military look-alike clothing. However, the Combatant Commander may authorize contractor wear of certain items for operational reasons. Any such wear must be distinguishable from combatants (through the use of armbands, headgear, etc.).

E. Government Furnished Equipment (GFE).

1. GFE may include protective equipment, clothing, or other equipment necessary for contract performance.
2. The contract must specify that the contractor is responsible for storage, maintenance, accountability, and performance of routine inspection of Government furnished property. The contract must also specify contractor responsibilities for training and must specify the procedures for accountability of Government furnished property.
3. Contractor employees will be responsible for maintaining all issued items and must return them to the issuer upon redeployment. In the event that issued clothing and/or equipment is lost or damaged due to negligence, a financial liability investigation of property loss will be initiated IAW AR 735-5. According to the findings of the Survey Officer, the government may require reimbursement from the contractor.

F. Legal Assistance. Legal assistance services are not available to contractors either in theater or at the deployment processing center.

G. I.D. Cards.

1. Contingency Contractor Personnel will receive one or more of the following three distinct forms of identification:

- a. Common Access Card (CAC). Required for access to facilities and use of privileges afforded to military, government civilians, and/or military dependents. CAAF are issued CACs.
 - b. DD Form 489 (Geneva Conventions Identity Card for Persons who accompany the Armed Forces). Identifies one's status as a contractor employee accompanying the U.S. Armed Forces. Must be carried at all times when in the theater of operations. Pursuant to the Geneva Convention Relative to the Treatment of Prisoners of War, Article 4(4), if captured, contractors accompanying the force are entitled to prisoner of war status.
 - c. Personal identification tags. The Army requires all CAAF to have personal ID tags. The identification tags will include the following information: full name, social security number, blood type, and religious preference. These tags should be worn at all times when in the theater of operations.
 2. In addition, other identification cards, badges, etc., may be issued depending upon the operation. For example, when U.S. forces participate in United Nations (UN) or multinational peace-keeping operations, contractor employees may be required to carry items of identification that verify their relationship to the UN or multinational force.
 3. If the contractor processes CAAF for deployment, it is the responsibility of the contractor to ensure its employees receive required identification prior to deployment.
- H. Medical and Dental Care. CAAF are entitled to resuscitative care, stabilization, hospitalization at level III Military Treatment Facilities (MTF), and assistance with patient movement in emergencies where loss of life, limb, or eyesight could occur. The following applies:
1. All costs associated with treatment and transportation are reimbursable to the government.
 2. Resuscitative care. The aggressive management of life and limb-threatening injuries. Examples of emergencies include refills of prescription/life-dependent drugs, broken bones, and broken teeth.
 3. Primary care. Support beyond resuscitative or emergency care, such as primary medical or dental care cannot be authorized under the terms of the contract. DFARS 252.225-7995(c)(2)(iii).
 4. Long-term care. Long-term care will not be provided.

- I. Evacuation, Next of Kin (NOK) Notification, Personnel Recovery, Mortuary Affairs.
 - 1. Evacuation. The government will provide assistance, to the extent available, to U.S. and OCN contractors if the Combatant Commander orders a mandatory evacuation.
 - 2. NOK Notification. The contractor is responsible for notification of the employee-designated NOK in the event an employee dies, requires evacuation due to an injury, or is isolated, missing, detained, captured, or abducted.
 - 3. The government will assist, in accordance with DoDD 3002.01, Personnel Recovery, in the case of isolated, missing, detained, captured, or abducted CAAF.
 - 4. Mortuary Affairs. Mortuary affairs will be handled in accordance with DoDD 1300.22, Mortuary Affairs Policy.
- J. Religious Support. Access to military religious support may be authorized under the terms of a contract.
- K. Military Postal Service (MPS). U.S. citizen CAAF contractors will be authorized to use MPS. However, non-U.S. citizen CAAF and other contractors may only use MPS to send their paychecks to their homes of record.
- L. Morale, Welfare, and Recreation (MWR) Support. CAAF who are also U.S. Citizens will be authorized to use MWR and exchange services, including post exchanges and vendors. However, non-U.S. and non-CAAF contractors will not be authorized.
- M. American Red Cross (ARC) Services. ARC services such as emergency family communications and guidance for bereavement airfare are available to contractors in the area of operations.
- N. Hostage Aid. When the Secretary of State declares that U.S. citizens or resident aliens are in a “captive status” as a result of “hostile action” against the U.S. Government, CAAF personnel and his/her dependents become entitled to a wide range of benefits. Potential benefits include: continuation of full pay and benefits, select remedies under the Servicemembers’ Civil Relief Act, physical and mental health care treatment, education benefits to spouses or dependents of unmarried captives, and death benefits. Eligible persons must petition the Secretary of State to receive benefits. Responsibility for pursuing these benefits rests with the contractor employee, the employee’s family members, or the contractor.

VIII. SECURITY, WEAPONS, AND USE OF FORCE

- A. Security.

1. CAAF and designated non-CAAF personnel may be eligible for US-provided security. It is DOD policy to develop a plan for protection of CAAF in locations where there is not sufficient or legitimate civil authority and the commander decides it is in the interests of the government to provide security because the contractor cannot obtain effective security services, such services are unavailable at a reasonable cost, or threat conditions necessitate security through military means.
2. The contracting officer shall include the level of protection to be provided to contractor personnel in the contract.
3. In appropriate cases, the Combatant Commander may provide security through military means, commensurate with the level of security provided to DOD civilians.
4. All contingency contractors shall comply with applicable Combatant Commander force protection orders, directives, and instructions. However, only the Contracting Officer is authorized to modify the terms and conditions of the contract. (DFARS 252.225-7995(p)).

B. CAAF Arming for Self-Defense.

1. In accordance with applicable U.S., HN, and international law, and relevant international agreements, on a case-by-case basis, the Combatant Commander, may authorize CAAF arming for *individual* self-defense.
2. The contractor's request shall be made through the Contracting Officer.
3. The Contracting Officer will notify the contractor what weapons and ammunition are authorized, and the contractor will ensure its personnel are adequately trained, will adhere to all applicable combatant commander and local commander force protection policies, and understand that the use of force could subject them to U.S or host-nation prosecution and civil liability. DFARS 252.225-7995(j).
4. The contractor must ensure that employees are not prohibited under U.S. law to possess firearms (*e.g.*, the Lautenberg Amendment codified in 18 U.S.C. § 922(d)(9)).

C. Security Services.

1. If consistent with applicable U.S., HN, and international law, international agreements, DoDI 3020.41, and DoDI 3020.50, a defense contractor may be authorized to provide security services for other than uniquely military functions. Contracts for security services shall be used cautiously in contingency operations where major combat operations are ongoing or imminent. Whether a particular use of contract security personnel to protect military assets is permissible is dependent on the facts and requires

legal analysis considering the nature of the operation, the type of conflict, and a case-by-case determination.

- a. Private Security Company (PSC). A PSC is a company contracted by the USG to perform private security functions under a covered contract. PSC personnel include any individual performing private security functions under a covered contract. DODI 3020.50, Glossary G.2.
 - b. Private Security Functions include:
 - (1) Guarding of personnel, facilities, designated sites, or property of a Federal agency, the contractor or subcontractor, or a third party.
 - (2) Any other activity for which personnel are required to carry weapons in the performance of their duties in accordance with the terms of their contract. DoDI 3020.41 prescribes policies related to personnel allowed to carry weapons for self-defense.
 - (3) Contractors are not authorized to perform inherently governmental functions. Therefore, any private security function is limited to a defensive response to hostile acts or demonstrated hostile intent.
 - c. Covered Contracts include:
 - (1) A DoD contract for the performance of security services or delivery of supplies in an area of contingency operations, humanitarian or peace keeping operations, or other military operations or exercises, outside the United States. A “contingency operation” is a military operation that is either designated as such by the Secretary of Defense or becomes a contingency operation as a matter of law under 10 U.S.C. § 101(a)(13).
 - (2) A contract of a non-DOD Federal agency for performance of services or delivery of supplies in an area of combat operations or other significant military operations, as designated by the Secretary of Defense.
2. Requests for permission to arm PSCs to provide security services shall be approved or denied by the Combatant Commander.
 3. Requirements for requesting permission to arm PSCs to provide security services are listed in DODI 3020.50.

4. Upon approval of the request, the Combatant Commander will issue written authorization to the defense contractor identifying who is authorized to be armed and the limits on the use of force.
5. DoDI 3020.50, Section 2, tasks Combatant Commanders to develop and implement guidance and procedures to maintain accountability of PSC personnel. This instruction discusses in-depth the minimum requirements for this guidance, which deals with security, arming, accountability, and rules for the use of force.
6. DFARS Class Deviation 2017-O0004 requires non-CAAF PSC personnel to comply with all United States, DOD, and other rules and regulations as applicable, to include guidance and orders issued by the CENTCOM Commander regarding possession, use, safety, and accountability of weapons and ammunition.

IX. COMMAND, CONTROL AND DISCIPLINE

- A. Contractors in the Workplace. Command and control, including direction, supervision, and discipline, of contractor personnel is significantly different than that of military personnel or even government civilian employees.
 1. The contract is the primary vehicle establishing the legal relationship between DOD and the contractor. The contract shall specify the terms and conditions under which the contractor is to perform.
 2. Functions and duties that are inherently governmental are barred from private sector performance. Additionally, the contracting officer is statutorily required to make certain determinations before entering into a contract for the performance of each function closely associated with inherently governmental functions.
 3. Contractor personnel are not under the direct supervision of military personnel in the chain of command. However, CAAF and certain non-CAAF personnel working on military facilities are under the direct authority of local commanders for administrative and force protection issues. Contractor personnel shall not be supervised or directed by military or government civilian personnel.
 4. The Contracting Officer is the designated liaison for implementing contractor performance requirements. The Contracting Officer is the only government official with the authority to increase, decrease, or materially alter a contract scope of work or statement of objectives.

5. Contractor personnel cannot command, supervise, or control military or government civilian personnel.

B. Orders and Policies.

1. All contracts involving contractor personnel should include provisions requiring contractor personnel to comply with: applicable U.S. and HN laws; applicable international agreements; applicable U.S. regulations, directives, instructions, policies, and procedures; orders, applicable directives, and instructions issued by the Combatant Commander relating to force protection, security, health, safety, or relations and interaction with local nationals.
2. Commanders and legal advisers must be aware that interaction with contractor personnel may lead to unauthorized commitments and possible Anti-Deficiency Act (ADA) violations. While Contracting Officers are the only government officials authorized to change contracts, actions by other government officials, including commanders, CORs, etc., may bind the government under alternative theories of recovery.
3. Contract changes (direction to contractor personnel) in emergency situations.
 - a. DFARS. Only Contracting Officers may change a contract, even in emergency situations. In the context of contingency operations, the Contracting Officer has the authority to modify contract provisions covering government-furnished facilities, equipment, and services whenever necessary.
 - b. DoDI. Ranking military commander may, in emergency situations (*e.g.*, enemy or terrorist actions or natural disaster), urgently recommend or issue warnings or messages urging that CAAF and non-CAAF personnel take emergency actions to remove themselves from harm's way or take other appropriate self-protective measures. DoDI 3020.41, para. 3-15c(1)(a).

C. Discipline.

1. The contractor is responsible for disciplining contractor personnel; commanders have LIMITED authority to take disciplinary action against contractor personnel.
2. Commander's Options.
 - a. Revoke or suspend security access or impose restriction from installations or facilities.

- b. Request the contracting officer to inquire whether the employer intends to take any disciplinary action against the employee.
 - c. Request that the contracting officer direct removal of the individual. However, Government may be liable if the employee successfully claims they were wrongfully terminated and that termination was based upon Government direction.
- 3. Contracting Officer Options. If permitted under the contract, the Contracting Officer may direct the contractor, at its own expense, to remove and replace any contractor personnel who jeopardize or interfere with mission accomplishment or who fail to comply with or violate applicable requirements of the contract. The contractor shall have on file a plan showing how the contractor would replace contractors who are so removed.
- 4. Specific jurisdiction for criminal misconduct is subject to the application of international agreements. Application of HN and OCN law is discussed above in Section V.
- 5. Military Extraterritorial Jurisdiction Act of 2000, *as amended by* Section 1088 of the Ronald W. Reagan National Defense Authorization Act for Fiscal Year 2005 (MEJA).
 - a. Background. Since the 1950s, the military has been prohibited from prosecuting—by courts-martial—civilians accompanying the Armed Forces overseas in peacetime who commit criminal offenses. Many federal criminal statutes lack extraterritorial application, including those penalizing rape, robbery, burglary, and child sexual abuse. In addition, many foreign countries decline to prosecute crimes committed within their nation, particularly those involving U.S. property or another U.S. person as a victim. Furthermore, military members who commit crimes while overseas, but whose crimes are not discovered or fully investigated prior to their discharge from the Armed Forces are no longer subject to court-martial jurisdiction. The result is jurisdictional gaps where crimes go unpunished.
 - b. Solution. The MEJA closes the jurisdictional gaps by extending Federal criminal jurisdiction to certain civilians overseas and former military members.
 - c. Covered Conduct:
 - (1) Conduct committed outside the United States that
 - (2) Would be a crime under U.S. law if committed within U.S. special maritime and territorial jurisdiction; that is

- (3) Punishable by imprisonment for more than one year.
- d. Covered Persons include:
 - (1) Members of the Armed Forces who, by Federal indictment or information, are charged with committing an offense with one or more defendants, at least one of whom is not subject to the UCMJ.
 - (2) Members of a Reserve component who commit an offense when they are not on active duty or inactive duty for training.
 - (3) Former members of the Armed Forces who were subject to the UCMJ at the time the alleged offense was committed, but are no longer subject to the UCMJ.
 - (4) Civilians employed by the Armed Forces outside the United States, who are not a national of or resident in the HN, who commit an offense while outside the United States in connection with such employment. Such civilian employees include:
 - (a) Persons employed by DoD, including NAFIs;
 - (b) Persons employed as a DoD contractor, including subcontractors at any tier;
 - (c) Employees of a DoD contractor, including subcontractors at any tier;
 - (d) Civilian employees, contractors (including subcontractors at any tier), and civilian employees of a contractor (including subcontractors at any tier) of any other Federal agency, or any provisional authority, to the extent such employment relates to supporting the mission of the DoD overseas.
 - (5) Civilians Accompanying the Armed Forces (CAAF):
 - (a) Dependents of anyone covered above if the dependent resides with the person, allegedly committed the offense while outside the United States, and is not a national of or ordinarily resident in the HN. Command sponsorship is not required for the MEJA to apply.

- (6) The MEJA does not apply to persons whose presence outside the United States at the time the offense is committed is solely that of a tourist, student, or is otherwise not accompanying the Armed Forces.
 - (7) Foreign Criminal Jurisdiction. If a foreign government, in accordance with jurisdiction recognized by the U.S., has prosecuted or is prosecuting the person, the U.S. will not prosecute the person for the same offense, absent approval by the Attorney General or Deputy Attorney General.
 - (8) OCNs who might meet the requirements above for MEJA jurisdiction may have a nexus to the United States that is so tenuous that it places into question whether the Act should be applied. The Department of States (DOS) should be notified of any potential investigation or arrest of an OCN.
 - e. DoDI 5525.11 contains detailed guidance regarding the procedures required for MEJA use, including investigation, arrest, detention, representation, initial proceedings, and removal of persons to the United States or other countries. Further, much authority is delegated to Combatant Commanders. Practitioners must research and follow local policies.
6. Uniform Code of Military Justice.
- a. Retired military members who are also CAAF are subject to the UCMJ. Art. 2(a)(4), UCMJ. DA policy provides that retired Soldiers subject to the UCMJ will not be tried for any offense by any courts-martial unless extraordinary circumstances are present. Prior to referral of courts-martial charges against retired Soldiers, approval will be obtained from Criminal Law Division, ATTN: DAJA-CL, Office of The Judge Advocate General, HQDA.
 - b. Under the law for at least the past 30 years, CAAF were only subject to the UCMJ in a Congressionally declared war. During that time, there was never UCMJ jurisdiction over CAAF because there were no Congressionally declared wars.
 - c. Congress amended the UCMJ in the John Warner National Defense Authorization Act for Fiscal Year 2007 (2007 NDAA). In section 552 of the 2007 NDAA, Congress changed UCMJ Article 2(a)(10), addressing UCMJ jurisdiction over civilians accompanying the Armed Forces, from “time of war” to “time of declared war or contingency operation.” This change now subjects CAAF and other civilians accompanying the Armed Forces to the UCMJ in contingency operations.

- d. The constitutional validity of extending UCMJ jurisdiction to civilians during hostilities not formally declared by Congress remains a subject of significant legal debate. Prior Congressional attempts at expanding UCMJ jurisdiction have been rejected by courts as unconstitutional.
- e. The Secretary of Defense published guidance on the exercise of this expanded UCMJ jurisdiction in March 2008. Office of the Secretary of Defense memorandum, Subject: UCMJ Jurisdiction Over DoD Civilian Employees, DoD Contractor Personnel, and Other Persons Serving with or Accompanying the Armed Forces Overseas During Declared War and in Contingency Operations, dated March 10, 2008. This guidance requires, among other things, that the Department of Justice be notified and afforded an opportunity to pursue U.S. federal criminal prosecution under the MEJA or other federal laws before disciplinary action pursuant to the UCMJ authority is initiated.
- f. However, see *United States v. Ali*, 71 M.J. 256, No. 12-0008/AR (C.A.A.F. 2012) (where CAAF upheld the Court-Martial conviction of and jurisdiction over an Iraqi/Canadian citizen contractor for attacking a fellow translator in Iraq) and, *United States v. Brehm*, 691 F.3d 547 (4th Cir. 2012) (where the 4th Circuit upheld the MEJA prosecution of a foreign national for an offense against another foreign national based on his status as a military contract employee)).

X. OTHER CONTINGENCY CONTRACTOR ISSUES

A. Working Conditions.

- 1. Tours of Duty. Contingency Contractor Personnel tours of duty are established by the contractor and the terms and conditions of the contract between the contractor and the government. Emergency-based on-call requirements, if any, will be included as special terms and conditions of the contract.
- 2. Hours of Work. Contractors must comply with local laws, regulations, and labor union agreements governing work hours. Federal labor laws that govern work hours and minimum rates of pay do not apply to overseas locations. RFO FAR 22.103-1 authorizes workweeks exceeding standard hours if such schedules are justified by local legal requirements or customary practices. SOFAs or other status agreements may impact work-hours issues.

B. Life and Health Insurance.

1. Unless the contract states otherwise, the U.S. Government is not statutorily obligated to provide health and/or life insurance to a contractor employee. Policies that cover war time deployments are usually available from commercial insurers.
2. Contractors and their employees bear the responsibility to ascertain how a deployment may affect their life and health insurance policies and to remedy whatever shortcomings a deployment may cause.

C. Worker's Compensation-Type Benefits.

1. Several programs are available to ensure "worker's comp" type insurance cover contractor employees while deployed and working on government contracts. Pursuing any of the following benefits is up to the contractor employee or the contractor.
2. Defense Base Act (DBA) 42 U.S.C. §§ 1651 *et seq.*; RFO FAR 28.305 and 52.228-3; DFARS 228.305, 228.370(a), and 252.228-7000.
 - a. Requires contractors to obtain worker's compensation insurance coverage or to self-insure with respect to injury or death incurred in the scope of employment for "public work" contracts or subcontracts performed outside the United States.
 - b. RFO FAR Clause 52.228-3, Workers' Compensation Insurance (Defense Base Act), is required in all DOD contracts performed outside the U.S. or contracts approved - or financed - under the Foreign Assistance Act of 1961 (Pub.L.87-195).
3. Longshoreman and Harbor Worker's Compensation Act (LHWCA) 33 U.S.C. §§ 901-950, DA Pamphlet 715-16, paragraphs 10-5c to 10-5d. Applicable by operation of the DBA. The LHWCA provides compensation for partial or total disability, personal injuries, necessary medical services/supplies, death benefits, loss of pay and burial expenses for covered persons. The statute does not focus on fault.
4. War Hazards Compensation Act (WHCA) 42 U.S.C. §§ 1701-17, RFO FAR 28.309 and 52.228-4, DFARS 228.370(a) and 252.228-7000. The WHCA provides that any contractor employee who is killed in a "war risk hazard" will be compensated in some respects as if the CAAF were a full-time government civilian employee. WHCA benefits apply regardless of whether the injury or death is related to the employee's scope of employment.

D. Pay. CAAF pay and benefits are governed by the CAAF employment contract with the contractor. The U.S. Government is not a party to this employee-

employer relationship. CAAF are not entitled to collect any special pay, cash benefits or other financial incentives directly from the U.S. Government.

- E. Veteran's Benefits. Service performed by CAAF is NOT active duty or service under 38 U.S.C. 106. DOD policy is that contractors operating under this clause shall not be attached to the armed forces in a way similar to the Women's Air Forces Service Pilots of World War II. The rationale behind this policy is that contractors today are not being called upon to obligate themselves in the service of the country in the same way as the Women's Air Forces Service Pilots or any of the other groups listed in 38 U.S.C. § 106.
- F. Continued Performance During a Crisis.
 - 1. During non-mandatory evacuation times, Contractors shall maintain personnel on location sufficient to meet contractual obligations.
 - 2. DoDI 3020.41 requires planning to minimize the impact of losing essential contractor services by, among other things, including contract terms that obligate contractors to ensure the continuity of essential contractor services.
 - 3. There is no "desertion" offense for contractor personnel. Commanders should plan for interruptions in services if the contractor appears to be unable to continue support.

XI. COMBATING TRAFFICKING IN PERSONS

- A. Policy. U.S. Government is committed to proactively prevent trafficking in persons and ensuring our contractors and subcontracts do as well. 22 USC § 7101 *et. seq.*
 - 1. RFO FAR Subpart 22.17 and 52.222-50 have been revised to reflect this Government priority.
 - 2. DOD established a Task Force to Combat Trafficking in Persons involving senior personnel from all Services, AAFES, DLA and other organizations.
 - 3. DOS releases a *Trafficking in Persons Report* each June.
 - 4. DFARS PGI 222.1703 applies to contracts outside the United States.
- B. Living Conditions.
 - 1. Generally, when provided by the government, CAAF living conditions, privileges, and limitations will be equivalent to those of the units supported, unless the contract with the Government specifically mandates or prohibits certain living conditions.

2. CENTCOM requires contractor personnel be provided square footage equivalent to an E1 in government-furnished facilities. Previously, CENTCOM required 50 sq. ft. of living space for contractor employees in government furnished facilities. (C-JTSCC Clause 5152.222-5900, revised March 2014)
 3. Contractors are still required to provide 50 sq. ft. in contractor-provided facilities within the CENTCOM AOR.
- C. Passports.
1. Contractors may not knowingly destroy, conceal, remove, confiscate, or possess any passport or similar document in order to maintain the employment of any person (18 USC § 1592).
 2. Contractors shall only hold an employee's passport or other identification documents for the shortest period of time reasonable for administrative processing purposes.
- D. Native Language.
1. Employees must be provided a signed copy of their employment contract in both English *and* their native language.
 2. Contractors should have informational posters in their employees' native languages regarding reporting Trafficking in Person violations and hotlines with native speakers.

XII. ADDITIONAL REFERENCES

1. Geneva Conventions of 1949 and Additional Protocol of 1977.
2. 18 U.S.C. § 922(d), Unlawful Acts (providing firearms to certain persons).
3. 22 U.S.C. § 3261 *et seq.*, Responsibility of the Secretary of State (for U.S. citizens abroad).
4. AR 700-4 (Logistics Assistance).
5. AR 570-9 (Host Nation Support).
6. Department of the Army Regulation Security Assistance and International Logistics Series
 - a. AR 12-1 (Security Assistance, Training, and Export Policy)
 - b. AR 12-7 (Security Assistance Teams)
 - c. AR 12-15 (Joint Security Cooperation Education and Training)
7. ATP 4-92 (FM 4-92) (Contracting Support to Unified Land Operations)
8. DoDI 4161.02 (Accountability and Management of Government Contract Property).
9. DoDI 1000.01 (Identification Cards Required by the Geneva Convention).
10. DoDI 1100.22 (Policies and Procedures for Determining Workforce Mix).
11. DoDD 5000.01 (The Defense Acquisition System).

12. DoDD 3025.14 (Evacuation of U.S. Citizens and Designated Aliens from Threatened Areas Abroad).
13. Defense Contingency COR Handbook and Additional COR Guidance (Sep. 2012, with Jun. 2019 updates to Ch. 7), *available at* <https://www.acq.osd.mil/asda/dpc/cp/cc/cor-handbook.html>.
14. Under Secretary of Defense, Acquisition, Technology, and Logistics and Defense Procurement and Acquisition Policy, Defense Contingency Contracting Handbook: Essential Tools, Information, and Training to Meet Contingency Contracting Needs for the 21st Century (Apr. 2017), *available at* https://www.acq.osd.mil/asda/dpc/cp/cc/docs/ctrhb/DCC_Handbook_v.5_April2017.pdf

XIII. CONCLUSION

During Contingency Operations, the U.S. Forces will continue to use contractor support to perform many non-governmental functions. The individuals employed by defense contractors will be present in the theater of operations and will often live and work side-by-side with uniformed military personnel. Given this close relationship and mutual dependence, Judge Advocates must understand the proper legal context for our relationship with contractors on the battlefield and know how to ensure they are properly provided for, supervised, and employed.

CHAPTER 31

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CHAPTER 31

ARMY NONAPPROPRIATED FUND CONTRACTING

I. INTRODUCTION.

Non-appropriated funds (NAFs) are monies derived from sources other than the U.S. Treasury (i.e. other than the U.S. taxpayers). Although NAFs are not subject to the fiscal controls applied to normal appropriated funds, such as the Antideficiency Act (31 U.S.C. § 1341 et. seq.) and the Federal Acquisition Regulation (FAR), they are still subject to many requirements and controls to ensure they are not misused or wasted. This chapter details the primary DOD and Army resources for the use of NAFs for contracting purposes.

II. REFERENCES

- A. 10 U.S.C. § 2783. Requires the Secretary of Defense to prescribe regulations governing NAF funds and sets out punishments for violating those regulations.
- B. U.S. DEP'T OF DEFENSE, INSTR. 1015.15, ESTABLISHMENT, MANAGEMENT, AND CONTROL OF NONAPPROPRIATED FUND INSTRUMENTALITIES AND FINANCIAL MANAGEMENT OF SUPPORTING RESOURCES (31 October 2007, with Change 1, administratively reissued 20 March 2008) [hereinafter DODI 1015.15].
- C. U.S. DEP'T OF DEFENSE, INSTR. 4105.67, NONAPPROPRIATED FUND (NAF) PROCUREMENT POLICY AND PROCEDURE (26 February 2014, with Change 2, 1 December 2017 [hereinafter DODI 4105.67].
- D. U.S. DEP'T OF DEFENSE, REG. 7000.14-R, FINANCIAL MANAGEMENT REGULATION, vol. 13, *available at* <https://comptroller.defense.gov/FMR.aspx> [hereinafter DOD FMR] (discussing nonappropriated funds policy and procedures).
- E. Army Regulations.
 - 1. NAFI General Contracting and Funding Policies: The U.S. DEP'T OF ARMY, ARMY FEDERAL ACQUISITION REG. SUPP. pt 5101.9001 [hereinafter AFARS], provides that NAF contracting policies and procedures are set forth in Army regulation. U.S. DEP'T OF ARMY, REG. 215-4, NONAPPROPRIATED FUND CONTRACTING (25 June 2021) [hereinafter AR 215-4]; U.S. DEP'T OF ARMY, REG. 215-1, MILITARY MORALE, WELFARE, AND RECREATION PROGRAMS AND NONAPPROPRIATED FUND INSTRUMENTALITIES (24 September 2010) [hereinafter AR 215-1], and; U.S. DEP'T OF ARMY, REG. 215-7, CIVILIAN NONAPPROPRIATED FUNDS AND MORALE, WELFARE, AND RECREATION ACTIVITIES (30 August 2019), govern overall Army nonappropriated contracting and funding policies.

U.S. DEP'T OF ARMY, REG. 215-8, ARMY AND AIR FORCE EXCHANGE SERVICE OPERATIONS ch. 8 (14 July 2023) [hereinafter AR 215-8], provides additional guidance on Army and Air Force Exchange contracting. Each Army Nonappropriated Fund Instrumentality (NAFI) also promulgates its own individual regulations governing their NAFI-specific funding policies, which must conform to the DOD and Army policies.

2. NAFI Construction and Funding Policies: U.S. DEP'T OF ARMY, REG. 215-4, NONAPPROPRIATED FUND CONTRACTING (25 June 2021) [hereinafter AR 215-4]; U.S. DEP'T OF ARMY, REG. 420-1, ARMY FACILITIES MANAGEMENT ch. 4 (RAR 24 August 2012); and; U.S. DEP'T OF ARMY, PAM 420-1-2, ARMY MILITARY CONSTRUCTION AND NONAPPROPRIATED-FUNDED CONSTRUCTION PROGRAM DEVELOPMENT AND EXECUTION (2 April 2009), govern Army NAFI construction contracting and funding.

- F. U.S. GOV'T ACCOUNTABILITY OFFICE, PRINCIPLES OF FED. APPROPRIATIONS LAW, Vol. III, ch. 15, subch. C, Nonappropriated Fund Instrumentalities, GAO-08-978SP (2008) [hereinafter GAO REDBOOK].

III. DEFINITIONS AND STATUTORY CONTROLS

- A. “Nonappropriated Fund Instrumentality (NAFI),” AR 215-4, Consolidated Glossary, Sec. II, Terms:

A DoD organizational and fiscal entity supported in whole or in part by NAFs. It acts in its own name to provide or assist other DoD organizations providing MWR programs for military personnel and civilians. It is established and maintained individually or jointly by the heads of the DoD components. As a fiscal entity, it maintains custody of the control over its NAFs. It is responsible for the prudent administration, safeguarding, preservation, and maintenance of those APF resources made available to carry out its function. With its NAFs, the NAFI contributes to the MWR programs of other authorized organizational entities when so authorized. It is not incorporated under the laws of any State (or the District of Columbia), but has the legal status of an instrumentality of the United States.

- B. “Nonappropriated Funds (NAFs),” AR 215-4, Consolidated Glossary, Sec. II, Terms:

Cash and other assets received by NAFIs from sources other than monies appropriated by the Congress of the United States. NAFs are government funds used for the collective benefit of those who generate them: military personnel, their dependents, and authorized civilians. These funds are separate and apart from funds that are recorded in the books of the Treasurer of the United States.

- C. General NAFI Legal Structure. Congress directed DOD to issue regulations governing the management and use of NAFs, and has made DOD personnel subject to penalties for their misuse. All NAFIs are created by DOD and its components, and all NAFs are government funds. However, NAFs are not appropriated by Congress or controlled by the Treasury Department. NAFIs, as fiscal entities, control their NAFs. As a result, the basic fiscal structure of appropriated funds (Purpose, Time, Amount) may not apply to a NAFI, depending on the type of NAFI and the source of funds being used by a respective NAFI. Congress may legislate restrictions on the use of NAFs, and/or it may exempt *appropriated* funds from the basic fiscal structure when a NAFI is provided appropriated funds. For example:
1. Purchase of Malt Beverages and Wine. A NAFI in the United States may purchase beer and wine for resale on an installation only from in-State sources. In States other than Alaska & Hawaii, alcoholic beverages containing distilled spirits will be purchased from the most competitive source, with price and other factors taken into account. 10 USC § 2495; Department of Defense Appropriations Act, 2012, Pub. L. 112-74, § 8066 (23 December 2011); *see also* AR 215-1, para. 10-6. In Alaska and Hawaii, this restriction extends to the purchase and delivery of alcoholic beverages containing distilled spirits.
 2. Pricing of Wine Overseas. NAFIs located on military installations outside the United States must price and distribute wines produced in the United States equitably when compared with wines produced by the host nation. *See* AR 215-1, para.10-13.
 3. MWR Programs and UFM accounting: MWR programs are a type of Army program authorized to use a mixture of appropriated (APF) funds and NAF to carry out its mission. MWR programs are designated by DOD as critical to provide for esprit de corps, comfort, pleasure, contentment, as well as mental and physical productivity of authorized DOD personnel. AR 215-1. Once DOD designates a NAFI to support an MWR program, the MWR NAFI may use Uniform Funding and Management (UFM) procedures authorized by Congress. *See* 10 U.S.C. § 2491; *see also* DODI 1015.15; AR 215-1, para. 5-3. UFM accounting procedures allow the MWR NAFI to treat any appropriated funds received by the program as if they were nonappropriated funds, subject only to the regulations of use.

IV. NAFI FUNDING OVERVIEW

- A. What are Nonappropriated Funds (NAFs)?
1. NAFs are Government funds subject to controlled use. All DOD personnel have a fiduciary responsibility to use NAFs properly and

prevent waste, loss, mismanagement, or unauthorized use. Violators are subject to administrative and criminal sanctions. *See* 10 U.S.C. § 2783.

2. NAFs are monies which are not appropriated by the Congress of the United States. These funds are separate and apart from funds that are recorded in the books of the U.S. Treasury.
3. Within the Department of Defense (DOD), NAFs come primarily from the sale of goods and services to military and civilian personnel and their family members, and may be used to support Morale, Welfare, and Recreation (MWR), lodging, civilian welfare, post restaurant, certain religious and educational programs, and a variety of non-MWR activities.
4. NAFs are government funds used for the collective benefit of military personnel, their family members, and authorized civilians. DODI 1015.15, para. 4; AR 215-1, Glossary.

B. Nonappropriated Fund Instrumentality (NAFI).

1. A U.S. Government organization and fiscal entity that performs an essential Government function. It acts in its own name to provide or assist other DOD organizations in providing a variety of MWR and non-MWR programs for military personnel, their families, and authorized civilians.
2. It is established and maintained individually or jointly by two or more DOD components. As a fiscal entity, it maintains custody and control over its NAFs, equipment, facilities, land, and other assets. It enjoys the legal status of an instrumentality of the United States. DOD FMR vol.13, ch. 1; DODI 1015.15, para. 4; AR 215-1, Glossary.
3. In *Standard Oil Co. of California v. Johnson*, 316 U.S. 481 (1942), the Supreme Court concluded that post exchanges were an integral part of the War Department and enjoyed whatever immunities the Constitution and federal statutes provided the Federal Government.

V. AUTHORITY TO CONTRACT

- A. Generally. Only warranted contracting officers are authorized to execute, administer, and terminate NAF contracts. Army regulations govern the appointment of NAF contracting officers. Also, AFARS 5101.9002 authorizes APF contracting officers to also be designated as NAF contracting officers.¹ The authority of these contracting officers is limited by their warrant. AR 215-4, para.

¹ Note that if an APF contracting officer obtains a NAF warrant, the NAF warrant will help establish that a NAF procurement is not an “agency procurement” for the purposes of GAO protest jurisdiction. For a discussion of GAO protest jurisdiction, *see infra* Subpart XIII.A.

1-14. An exception exists for “emergency situations.” *See infra* subparagraph VI.B.6.

B. Contracting Officers and Related Personnel.

1. The Commanding General, U.S. Army Material Command, is responsible for providing command oversight of NAF contracting and will execute or delegate to the CG, IMCOM, NAF contracting activities to include management of IMCOM’s NAF contracting functions at Headquarters IMCOM, IMCOM directorates, and the local garrison levels.
2. The Commanding General, IMCOM, implement NAF contracting policies and procedures; establish clear lines of authority, accountability, ethics, procurement integrity training, and responsibility for decision making; ensure the separation of functions to the maximum extent possible IAW AR 215-4 para. 1-17; issue certificates of appointment to contracting officers at any dollar level, provide that the action is otherwise compliant with the requirements in AR 215-4; grant exceptions to the regulation in order to remain consistent with applicable acquisition laws, policies, and executive orders; appoint and provide oversight to the chief acquisition officer (CAO).
3. Chief Acquisition Officer: Senior acquisition advisor to senior leadership on NAF acquisition policies and processes. Possesses authority to appoint contracting officers with warrants not to exceed \$50 million. AR 215-4, para. 1-11.
4. Contracting officer authority. AR 215-4, para. 1-14.
 - a. Negotiate, award, administer, or terminate contracts and make related determinations and findings.
 - b. Appoint administrative contracting officers (ACOs), contracting officer’s representatives (CORs), blanket purchase agreement (BPA) callers, and ordering officers, in writing, clearly defining responsibilities and the limits of authority.
5. A warranted contracting officer may appoint some, or all, of the following:
 - a. Ordering Officers. Must be appointed in writing by a warranted contracting officer. Can place delivery orders against indefinite delivery type contracts, up to \$25,000, providing the ID/IQ contract terms permit such orders. AR 215-4, paras. 1-14b(2), 6-9.
 - b. Blanket Purchase Agreement (BPA) Callers. Must be appointed in writing by warranted contracting officer.

- (1) Call authority up to simplified acquisition threshold (\$350,000, **but note AR 215-4 raises the amount to \$1 million for commercial items**) if caller is within the contracting office. AR 215-4, paras. 1-14b(6)
 - (2) Limited to competition threshold (currently \$10,000 – see para. 2-11) if caller is outside a contracting office. AR 215-4, paras. 1-14(b)(7)
 - c. Administrative Contracting Officers (ACO). Appointed in writing by warranted contracting officer to handle certain delineated aspects of contract management. AR 215-4, paras. 1-14b(2).
 - d. Contracting Officer's Representatives (COR). Appointed in writing by a warranted contracting officer and serves as liaison between the contractor and the contracting officer. Responsible for the technical and administrative monitoring of the contract. No authority to change the terms or conditions of the contract. AR 215-4, para. 1-14b(2) and Glossary, Section II.
6. Emergency purchases – No warrant requirement.
- a. When unforeseeable events occur that are likely to cause a loss of NAFI property, assets, or revenues if immediate action is not taken, unwarranted individuals may incur obligations on behalf of a NAFI. Emergency purchases create binding obligations, so they need not be ratified by the contracting officer. The emergency purchase action, however, must be received in the NAF contracting office not later than 2 working days following the emergency action. AR 215-4, para. 2-24.
 - b. NAF contracting officers must train personnel in emergency contracting procedures and maintain a list of individuals authorized to make such purchases. AR 215-4, para. 2-24.
 - c. Emergency purchase procedures will not be used to alleviate the need for planning. In the absence of valid emergency criteria and prompt formalization of the purchase, actions will be handled as unauthorized commitments and will be processed as ratification actions. AR 215-4, para. 2-24.
7. Ratification actions. AR 215-4, para. 1-18.
- a. Contracting decisions made by unwarranted officials or by warranted officials exceeding their warrant authority are not binding on the NAFI. Accordingly, requiring activities shall forward acquisition requirements to a warranted contracting officer for action in accordance with the policies and principles of AR

215-4. If an official other than a contracting officer binds the NAFI, that action is an unauthorized commitment and requires ratification.

- b. Ratification is the act of approving, by an official who has the authority to do so, an unauthorized commitment for the purpose of paying for supplies or services provided to the NAFI. Ratification approval authorities can be found at AR 215-4, para. 1-18d.
- 8. Restriction on Obligation of Appropriated Funds (APF). When obligating only NAF, contracting officials (both APF and NAF), shall follow the NAF policy and guidance contained in AR 215-4, and based on prudent discretion and sound business judgment, may employ other appropriate acquisition procedures that do not violate applicable laws, statutes, and regulations. AR 215-4, para. 1-6; *see also* DODI 4105.67, para. 4.1. Generally, however, procurements that combine APF and NAF dollars will be accomplished by an APF contracting officer using APF contracting procedures. AR 215-4, para. 1-15f. There are two exceptions to this rule:
 - a. MWR Utilization, Support, and Accountability Funding (MWRUSA) Funding. AR 215-4, para. 1-15f; see AR 215-1, para. 5-2.
 - b. Uniform Funding and Management (UFM). 10 USC § 2783; AR 215-1, para. 5-3.

VI. ACQUISITION PLANNING AND DEVELOPMENT

- A. Purpose. Obtain the best value for its supply, service, and construction requirements. AR 215-4, para. 2-1.
- B. Requiring Activity. Requiring activity prepares a statement of work (SOW), justifies a sole-source or brand-name purchase where requested, and submits purchase request with necessary approvals and certification of funds availability. AR 215-4, para. 2-1a.
- C. Contracting Office. Provides advice to requiring activity, maintains source lists, determines appropriate acquisition process, awards contracts, appoints ACOs and CORs as necessary, and administers contracts. AR 215-4, para. 2-1b.
- D. Written Acquisition Plans are required for all acquisitions over the SAT (unless commercial items), including option years. AR 215-4, para. 2-1d.
- E. Bulk Funding. System establishes a reserve of funds to be used for an approved purpose over an identified period of time (like a prepaid credit card). Enables contracting officers to purchase ongoing requirements more efficiently. Bulk funding should be used whenever practicable. AR 215-4, para. 2-1f(3).

- F. Contracting Methods. AR 215-4, para. 2-5; *see also infra* Part VIII (discussing acquisition methods). Just like an “agency acquisition”, NAFI’s have a wide range of options to choose from when selecting the method and type of a contract.
1. Simplified Acquisitions. AR 215-4, Chapter 3. Simplified acquisition procedures may be used for the purchase of supplies and services, including construction, that do not exceed the SAT as set forth in paragraph 3–3 of AR 215-4. NAFIs may use simplified acquisition methods for the purchase of items meeting the definition of commercial items up to \$1,000,000. Construction is never considered a commercial item.
 - a. Can be accomplished by oral quotations, or by a written paper or electronic solicitation to prospective offerors, if evaluating price alone.
 - b. Other simplified acquisition techniques include BPAs, purchase cards, delivery or task orders can also be used.
 2. Negotiations. AR 215-4, Chapter 4. Negotiations is the preferred method of contracting for NAFIs. AR 215-4, para. 4-1.
 3. Sealed Bidding. AR 215-4, Chapter 5. Sealed bidding may be used only in limited circumstances. See VIII.D below.
- G. Types of Contracts. AR 215-4, para. 2-8.
1. Purchase Orders. Most commonly used to acquire simple supplies and services. Para. 2-8h.
 2. Firm-fixed price (FFP) contracts *are the preferred contract type for most NAF procurements*. Least risk to the NAFI. Para. 2-8b. *See also* DODD 4105.67, para. 4.6.
 3. FFP with economic price adjustments. Allows price fluctuation based on specified contingencies. Para. 2-8c.
 4. Indefinite delivery contracts. Includes requirements contracts, indefinite quantity, and definite quantity contracts. Para. 2-8d.
 5. Cost-plus-percentage-of-cost contracts are prohibited. Para. 2-8a.
- H. Types of Agreements. AR 215-4, para. 2-9.
1. Basic Ordering Agreements (BOA). A written agreement between the NAFI and a contractor containing terms and conditions that will apply to future, potential orders, including pricing, a description of supplies or services to be provided, and the method for issuing orders under the

agreement. A BOA is not a contract because it does not require the placement of any orders against it. An order placed in accordance with the terms of the BOA is a contractual instrument against which funds are obligated. Para. 2-9b.

2. Blanket Purchase Agreements (BPA). A simplified method of procurement for filling anticipated, repetitive needs for goods or services. The BPA is not a contract because it does not require the placement of any orders and no funds are obligated until the time of ordering. Ordering officer places call orders against BPA when supplies or services are needed. Para. 2-9c.

- I. Length of Contracts. Contracts subject to the SCA (41 USC 6701–41 USC 6707) cannot exceed five years, including options, without written justification and approval by the contracting officer. NAF contracts may not exceed 10 years except public-private venture contracts upon a written determination of the contracting officer. This limitation does not apply to construction contracts with a specified delivery date. AR 215-4, para. 2-4.

VII. COMPETITION AND SOURCES OF SUPPLIES AND SERVICES

- A. Competition. The Competition in Contracting Act (CICA) does not apply to NAFIs unless appropriated funds are obligated; *Gino Morena Enters.*, B-224235, Feb. 5, 1987, 87-1 CPD ¶ 121; DODI 4105.67, para. 4.9.
 1. Although CICA statutory requirements do not apply to NAFI acquisitions involving only NAFs, service regulations require maximum practicable competition. Sole source procurements must be justified. AR 215-4, paras. 1-1, 2-11, and 2-12.
 - a. For purchases of \$10,000 or less, NAFIs need not seek competition if the price obtained is fair and reasonable and purchases are distributed equitably among qualified suppliers. AR 215-4, para. 2-11.
 - b. For purchases costing more than \$10,000, NAFIs must compete the acquisitions (except those for commercial entertainment) unless a sole source acquisition is justified. AR 215-4, paras. 2-11 and 2-12; *see also* AR 215-1, para. 8-18; AR 215-4, para. 7-8*d* (discussing “competition” rules for entertainment contracts). Competition exists if:
 - (1) the activity solicits at least three responsible offerors; and
 - (2) at least two offerors independently submit responsive offers. AR 215-4, para. 2-11.
 - c. A NAFI may, but need not, synopsise acquisitions at sam.gov.

2. Sole source acquisitions. AR 215-4, para. 2-13.
 - a. Contracting officers must approve all sole source acquisitions in writing. AR 215-4, para. 2-14.
 - b. Sole source acquisitions can be based on:
 - (1) The NAFI's minimum needs can only be satisfied by unique supplies, services, or capabilities available from only one source and no other types or sources of supplies or services will satisfy the NAFI requirement;
 - (2) The supplies or services are protected by limited rights in data, patents, copyrights, secret processes, trade secrets, or other proprietary restrictions, warranties, or licenses and are available only from the originating source;
 - (3) The requester has determined that only specified makes or models of equipment, components, accessories, or specific academic or professional credentials will satisfy the requirement, and only one source meets the criteria;
 - (4) The requirement is for unique repair or replacement parts for existing equipment for which substitutions cannot be made; or
 - (5) Access to utility services such as electric power or energy, gas, water, or cable television is restricted by local law, custom, or availability, and only one supplier can furnish the service within that geographical area or the contemplated contract is for construction of a part of a utility system and the local utility company is the only source available or authorized to work on the system.

B. Use of existing contracts and agreements.

1. Government sources of supply for NAFI requirements include the General Services Administration (GSA), Defense Supply Depots, and commissaries. AR 215-4, para. 2-22.
2. Other NAF sources include, but are not limited to, the Army and Air Force Exchange Service (AAFES), AFNAFPO, Navy Exchange Command, Marine Corps Exchange System, and NAF Contracting. AR 215-4, para. 2-22.
3. FAR Subparts 8.6 and 8.7, which require activities to purchase certain supplies from the Federal Prison Industries, Inc. (UNICOR) and the blind

or severely disabled, apply to NAF acquisitions. 18 U.S.C. § 4124; 41 U.S.C. §§ 8502-8504; AR 215-4, para. 2-11.

4. Competition requirements for use of existing contracts and agreements. AR 215-4, para. 2-22.
 - a. Contracts / schedules that were previously awarded competitively, such as GSA multiple award schedules and the ID/IQ consolidated contracts, are considered to have met the competition requirement. Ordering officers need not obtain further competition or make a fair and reasonable price determination when using these sources. Procedures for using schedules or contracts that have not been competitively awarded:
 - (1) Ordering officers can place orders at or below the competition threshold.
 - (2) Orders exceeding the competition threshold (but not exceeding the maximum order threshold) should be placed with the schedule contractor that can provide the best value to the NAFI. At a minimum, at least three sources / schedules must be checked.
5. NAFIs may solicit commercial vendors. Activities may use solicitation mailing lists developed by the NAF contracting office or obtained from the APF contracting office. AR 215-4, para. 2-6.
6. A NAFI may contract with Government employees and military personnel when such contracts are funded solely with NAF. Such contracts shall be nonpersonal service contracts. Examples of these types of contracts include sports officials, arts and crafts instructors, and other MWR activities. Under previous regulations, such contracts were prohibited without installation commander's approval. AR 215-4, para. 1-19; AR 215-4, para. 7-10.

C. Prohibited Sources.

1. NAFIs may not solicit offers from, award contracts to, or consent to subcontracts with firms or individuals that have been suspended, debarred, or proposed for debarment. AR 215-4, para. 1-22.
 - a. NAFIs may or may not continue contracts or subcontracts in existence at the time the contractor was debarred, suspended, or proposed for debarment. The CG, IMCOM, or designee, with input from contracting, technical personnel, and legal counsel, will make a determination, in writing, as to whether continued performance is in the best interest of the NAFI. Para. 1-22c.

- b. Absent termination, the NAFI can continue to place orders against existing contracts.
 - c. Options may be extended only if the CG, IMCOM, IMCOM regional director, garrison commander, or designee, states in writing the compelling reason for the extension or renewal.
- 2. Contractors on the “List of Parties Excluded from Federal Procurement and Nonprocurement Programs” as having been declared ineligible on the basis of statute or other regulatory procedure are excluded from receiving contracts or subcontracts. AR 215-4, para. 1-22*b*.
- 3. Economy Act and Interagency Acquisition Authority. NAFIs are instrumentalities of the Federal Government. *Standard Oil Co. of California v. Johnson*, 316 U.S. 481 (1942); GAO REDBOOK, 15-238 to 15-241. Notwithstanding this status, the Comptroller General has determined that the Economy Act and other interagency acquisition authorities do not extend to NAFIs. *Obtaining Goods & Servs. from Nonappropriated Fund Activities Through Intra-Dept. Procedures*, B-148581, Nov. 21, 1978, 58 Comp. Gen. 94; GAO REDBOOK, 15-249 to 15-250. “[O]btaining goods and services from a NAFI is ‘tantamount to obtaining them from non-Governmental, commercial sources.’” GAO REDBOOK, 15-250 (quoting *Obtaining Goods & Servs. from Nonappropriated Fund Activities Through Intra-Dept. Procedures*, B-148581, Nov. 21, 1978, 58 Comp. Gen. 94). Therefore, absent a statutory exception, agencies must use competitive contractual procedures or sole source justifications for other than full and open competition when acquiring goods or services from a NAFI. GAO REDBOOK, 15-250.
- 4. Historically, the Comptroller General questioned whether it was even appropriate for agencies to contractually acquire goods and services from a NAFI because NAFIs exist “primarily to help foster the morale, welfare, and recreation needs of government officers and employees.” GAO REDBOOK, 15-250. Notwithstanding these concerns, the Comptroller General had “recognized situations in which it may be appropriate for agencies to procure goods and services from NAFIs through the competitive procurement process and sole sourcing procurements [with proper justification and approval].” GAO REDBOOK, 15-250 to 15-252.
- 5. Major DOD NAFI Statutory Exception. In 1997, Congress provided that Department of Defense NAFIs “may enter into a contract or other agreement with another element of the Department of Defense or with another Federal Department, agency, or instrumentality to provide or obtain goods and services beneficial to the efficient management and operation of the exchange system or that morale, welfare, and recreation system.” 1997 National Defense Authorization Act, Pub. L. 104-201, § 341(a)(1), 110 Stat. 2422, 2488 (Sept. 23, 1996), *codified at* 10 U.S.C.

§2492; DODI 4105.67, para. 4.10; AR 215-1, para. 13-12*d*; AR 215-8, para. 8-1*e* (AAFES).² Note, however, that:

- a. There is no statutory definition of “other agreements”.
- b. In applying 10 U.S.C. §2492, there must be a benefit to the NAFI which is usually financial in nature. Accordingly, the Government may not require performance by a NAFI to benefit the Government without any benefit to the NAFI.
- c. The authority in 10 U.S.C. §2492 is limited to agreements in support of MWR services and does not allow the Government to consolidate MWR services with mission essential services and rely upon 10 U.S.C. §2492 to avoid competition and FAR contracting requirements. *See Asiel Enterprises, Inc.*, B-406780, 406836, 2012 CPD ¶ 242 (August 28, 2012) (Asiel I) and *Asiel Enterprises, Inc.*, B-408315.2, 2013 CPD ¶ 205 (September 5, 2013) (Asiel II).
- d. Department of Defense NAIs may not enter into contracts or agreements with DOD elements or other federal agencies that will result in the loss of existing contractor jobs on the installation created pursuant to the Randolph-Sheppard, Javits-Wagner-O’Day Act, or small business programs. AR 215-1, para. 13-12*d*; AR 215-8, para. 8-1*e* (AAFES).
- e. AR 215-1, para. 13-12*c*(2) specifically authorizes the use of APF Government Purchase Cards at NAIs, including AAFES, up to \$2,500³ provided the Government rotates purchases among available vendors.

VIII. ACQUISITION METHODS

- A. DOD Policy. DODI 4105.67, paras. 3b and Enclosure 2, para. 4c, provide that NAIs shall conduct procurements:
 1. Primarily through competitive negotiation;
 2. By trained procurement personnel;

² Government agencies may consider AAFES as a provider of goods and services pursuant to 10 U.S.C. § 2492 prior to the initiation of the competitive procurement process. However, if the competitive procurement process by other Government activities has been initiated, then pursuant to 10 U.S.C. § 2492, AAFES may submit bids or proposals in response to the competitive procurement. AR 215-8, para. 9-1*f*.

³ It is unclear why AR 215-1, limits the GPC threshold to \$2,500. The current micro-purchase threshold for DoD is \$10,000.

3. In a fair, equitable, and impartial manner; and
 4. To the advantage of the NAFI.
- B. Simplified Acquisitions and Commercial Items. AR 215-4, ch. 3.
1. Policy.
 - a. NAFIs shall use Simplified Acquisition Procedures to the maximum extent practical for the acquisition of supplies and services, including construction, that do not exceed the simplified acquisition threshold. NAFIs may use simplified acquisition procedures for “commercial items” up to \$1 Million. AR 215-4, para. 3-2.
 - (1) Construction is not considered a commercial item.
 - (2) Authorized personnel shall make purchases using the simplified acquisition method that is most suitable, efficient, and economical based on the circumstances of each acquisition using any appropriate combination of simplified acquisition procedures and formal acquisition procedures. AR 215-4, para. 3-2e.
 - b. Do not split purchases to get under the simplified acquisition threshold.
 - c. Contracting officer must also:
 - (1) Promote competition by soliciting at least three sources;
 - (2) Establish reasonable deadlines for submissions;
 - (3) Consider all quotations or offers timely received; and
 - (4) Use innovative simplified acquisition procedures where appropriate and not otherwise prohibited. AR 215-4, para. 3-2f.
 2. The NAF policy for using Simplified Acquisitions does not apply if NAFI can meet its requirement using –
 - a. Required sources of supply;
 - b. Existing indefinite delivery contracts; or
 - c. Other established contracts. AR 215-4, para. 3-2a.

3. The NAF contracting officer should solicit quotations orally if the acquisition does not exceed the SAT and it is more efficient than electronic communication. AR 215-4, para. 3-6(c).
4. Construction. Solicitations for construction contracts must be in writing if requirement exceeds \$2,000. AR 215-4, para. 3-6*d*.
5. Competition.
 - a. The contracting officer shall solicit at least three sources of supplies or services from the sources whose offer may be the most advantageous to the NAFI. AR 215-4, para. 3-6*a*.
 - b. If the contracting officer determines that there are fewer than three sources available that can meet the requirement, the contracting officer must document the file with the reasons why additional sources could not be obtained. AR 215-4, para. 3-6*a*.
 - c. The contracting officer shall not solicit on a sole source basis unless the provisions of AR 215-4, paras. 2-12 or 2-13 apply. AR 215-4, para. 3-6*a*.
 - d. When soliciting offers or quotations, the contracting officer must notify potential offerors of the basis upon which award might be made (price alone or price and other factors such as past performance and quality). Solicitations may, but need not, inform potential offerors of relative weights of evaluation factors. AR 215-4, para. 3-6*b*.
6. Legal effect of quotations. AR 215-4, para. 3-4.
 - a. A quote received in response to a request for quotation (DA form 4067) is not an offer and cannot be accepted by the NAFI to form a binding contract. Issuance by the NAFI of an order for supplies and services also does not form a contract – the order in response to the quote constitutes the offer.
 - b. The order/offer becomes a contract if and when the contractor accepts the order, either in writing or by furnishing the requested supplies, or beginning performance on the requested service.
 - c. The NAFI may amend or cancel its order at any time prior to the contractor accepting the order.
7. Evaluations of quotes and offers. AR 215-4, para. 3-5

- a. Generally. The contracting officer will evaluate all offers received by the specified date in an impartial manner, inclusive of transportation costs, against criteria established in the solicitation.
 - b. The contracting officer has broad discretion in developing suitable evaluation procedures.
 - c. Formal evaluation plans, establishing competitive ranges, conducting discussions, and scoring offers are not required, but contracting officers must ensure that offers can be evaluated in a fair and efficient manner.
 - d. Evaluation of factors other than price, such as past performance, are not required, but if used, they must be based on information such as the contracting officer's knowledge of and previous experience with the supply or service being requested, customer surveys, or other reasonable basis.
8. Award and documentation. AR 215-4, para. 3-7.
- a. Fair and reasonable price determination must be made in writing before award.
 - b. File documentation should be minimal but must support the contracting officer's process and decisions.
 - c. The contracting officer can request a contractor's written acceptance of a purchase order if acceptance prior to performance is deemed appropriate by the contracting officer. AR 215-4, para. 3-8.
9. Solicitation and Contract Forms.
- a. Commercial Items. Use DA Form 4066.
 - b. Other than Commercial Items. Use DA Form 4067 unless quotes are solicited orally or electronically.
 - c. Generally, a purchase order is used for simplified acquisitions unless the contracting officer determines that due to risk or other factors, a formal contract, including all of its requisite clauses, is appropriate.
10. Blanket Purchase Agreements (BPA). BPAs provide a simplified method for filling anticipated repetitive needs for supplies and services by establishing "charge accounts" with qualified sources of supply. AR 215-4, paras. 3-10.

- a. Prepared on DA Form 4067-1. Do not cite accounting codes. AR 215-4, para. 3-12*a*.
 - b. Must include: terms of agreement; a list of authorized BPA callers authorized to make purchases under the BPA; extent of obligations; purchase limits; requirement for delivery tickets; invoicing information. AR 215-4, para. 3-12*b*.
 - c. Existence of BPA does not justify sole source procurement. AR 215-4, para. 3-12*c*(5).
 - d. Review requirements. A sampling of BPAs must be reviewed annually by the contracting officer to ensure proper procedures are being followed. AR 215-4, para. 3-13.
 - 11. Purchase Card Program. The Army NAF purchase card program provides a method of payment for the purchase of supplies and services for Government/NAFI use. AR 215-4, para. 3-16*a*; *see also* AR 215-1, para. 13-12.
 - a. GSA is the issuing authority for the purchase card program contract. AR 215-4, para. 3-16*a*.
 - b. NAF Contracting Directorate, Policy Division coordinates the program. AR 215-4, para. 3-16.
 - 12. Contracting officers may issue task or delivery orders for the future delivery of supplies, or the future performance of nonpersonal services against existing contracts. The NAFI must pay the amount stated on the order if the contractor performs. Contract clauses are not used with task or delivery orders because they are already included in the contract against which the orders are placed. AR 215-4, para. 3-17.
- C. Negotiated Acquisitions. AR 215-4, ch. 4.
- 1. Generally.
 - a. Negotiation is a means of contracting using either competitive or noncompetitive proposals and discussions. It is a flexible contracting method that permits contracting personnel to discuss contractual issues related to price, schedule, technical requirements, type of contract, or other terms. AR 215-4, para. 4-1.
 - b. Negotiation is the preferred method of contracting for NAF procurements and will be accomplished on a competitive basis to the maximum extent practicable. AR 215-4, para. 4-1.

- c. Best Value. Contracting officers can obtain “best value” by either a tradeoff process or a lowest priced, technically acceptable process. AR 215-4, para. 4-2a(1) and 4-2a(2).
- d. Price and quality must be an evaluation factor in every source selection. AR 215-4, paras. 4-2c and 4-2d.
- e. Multiple Awards. Solicitation must inform potential offerors if multiple awards will be considered. AR 215-4, para. 4-2e.
- f. Solicitation terms and conditions. AR 215-4, para. 4-3.
 - (1) Options are permissible. The NAFI, not the contractor, exercises options. Options should not be used in some situations, such as when supplies or services are readily available on the open market, the option will cause the contractor to incur undue risk, or market prices are likely to change substantially. AR 215-4, para. 4-3a(2).
 - (2) Delivery and performance time must be realistic and stated in all contracts.
 - (3) Quality assurance. Appropriate inspection, acceptance, and warranty requirements must be included.
 - (4) Liquidated damages. AR 215-4, para. 2-20 and 4-3d. Amount must be reasonable. Consider using only if:
 - (a) The time of delivery or performance is critical and the NAFI may reasonably expect to suffer damage if delivery or performance is late; and
 - (b) The exact amount of damage would be difficult or impossible to ascertain or prove if contractor fails to perform, IAW contract requirements.
- g. Uniform Contract Format. AR 215-4, para. 4-7. Contracting officers will normally prepare solicitations and resulting contracts using the uniform contract format located at Appendix D, AR 215-4.

2. Negotiated procedures.

- a. Source Selection Authority. The contracting officer is the source selection authority unless the Chief Acquisition Officer formally appoints another individual as the SSA for a particular acquisition or group of acquisitions. AR 215-4, para. 4-4.

- b. Early (prior to receipt of proposals) exchange of information with industry is encouraged. AR 215-4, para.4-5.
- c. Request for proposals (RFP). Instrument by which negotiated acquisitions are initiated. Serves as the written solicitation that provides a potential offeror with the opportunity to offer a price and a plan for accomplishing a particular acquisition.
 - (1) Issued on a DA Form 4069. AR 215-4, para. 4-6.
 - (2) Proposal in response to an RFP is an offer that the government can accept to form a binding contract.
- d. Amending the solicitation. AR 215-4, para. 4-8.
 - (1) Before closing date, issue amendments on DA Form 4073 to all prospective offerors.
 - (2) After closing date for RFP, issue to all offerors who have not been eliminated from the competition.
 - (3) If amendment is so substantial as to alter the playing field and additional sources may be interested, the contracting officer shall cancel the original solicitation and re-solicit, regardless of the stage of the process.
- e. Late proposals and late modifications can only be considered in limited circumstances. AR 215-4, para. 4-11b(1)-(4).
- f. Exchanges with offerors after receipt of proposals. AR 215-4, para. 4-14.
 - (1) Clarifications. If award will be made without discussions, clarifications may be used to allow an offeror to clarify certain aspects of its proposal (for example, the relevance of an offeror's past performance information and adverse past performance information to which the offeror has not had a previous opportunity to respond) or to resolve minor or clerical errors.
 - (2) Communications. Exchanges with offerors after receipt of proposals but prior to the establishment of the competitive range – intended to aid the contracting officer in determining which proposals should be included in the competitive range. The competitive range is the group of most highly rated offerors with whom discussions will be conducted.

- (a) Limited to offerors who submitted proposals.
 - (b) May only be held with offerors whose exclusion or inclusion in the competitive range is uncertain.
 - (c) Shall be held with offerors whose past performance information is the determining factor preventing them from being placed in the competitive range.
 - (d) May be conducted to enhance NAFI understanding of the proposal, allow reasonable interpretation of the proposal, or facilitate the NAFI's evaluation process.
 - (e) Are for the purpose of addressing issues that must be explored to determine whether a proposal should be placed in the competitive range.
 - (f) Do not provide an opportunity for an offeror to revise its proposal.
- (3) Discussions. Negotiations that occur after establishment of a competitive range that may, at the contracting officer's discretion, result in an offeror being allowed to revise its proposal.
- (a) Discussions must be held with each offeror in the competitive range and must be tailored to the individual offeror's proposal.
 - (b) The contracting officer must disclose to each offeror in the competitive range, the significant weaknesses, deficiencies, and other aspects of its proposal (such as cost, price, technical approach, past performance, and terms and conditions) that in the contracting officer's opinion could be altered or amended to materially enhance the proposal's potential for award.
 - (c) Primary purpose is to maximize best value to NAFI.
 - (d) Award may be made without discussions if the solicitation states that is the NAFI's intent.
- (4) Limitations on discussions.
- (a) Cannot favor one offeror over another.

- (b) Cannot reveal names of other offerors.
 - (c) Cannot reveal another offeror's technical solution or any other information that would compromise an offeror's intellectual property.
 - (d) Cannot reveal another offeror's prices but can reveal to an offeror that its price is considered too high or low and reveal the results of analysis supporting that conclusion.
 - (e) Cannot reveal the names of individuals providing reference information about an offeror's past performance.
- g. Proposal Revisions must be requested at the conclusion of discussions. AR 215-4, para. 4-15.
- h. Contract award and Debriefing Offerors. AR 215-4, paras. 4-18 through 4-20. All unsuccessful offerors, upon request, will be debriefed. Guidance on what will and will not be included in the debrief is set out in AR 215-4, para 4-20.
- i. Protests. AR 215-4, para. 4-21.
 - (1) A protest is a written objection by an interested party. An interested party is an actual or prospective offeror whose direct economic interest would be affected by the award of, or failure to award, a particular contract.
 - (2) Unlike APF protests, the Government Accountability Office (GAO) does not generally have jurisdiction over contracts obligating NAF, although obligation of NAF by APF contracting officers may result in GAO jurisdiction.
 - (3) Protests are made to the contracting officer.
 - (4) Protests prior to award. Award will be delayed until the protest is resolved unless contracting officer's supervisor makes a determination that the award should be made in accordance with AR 215-4, para. 4-21c, and legal advice is obtained.
 - (5) The contracting officer considers the merits of protest and takes appropriate actions which can include rejection of all proposals and the issuance of a new solicitation or using

revised evaluation criteria (with corresponding notice to potential offerors and adjusting the due date for proposals).

- (6) Protests after award. To be considered, a protest must be received within 10 days of notification of award. No requirement to suspend performance, but if compelling reasons dictate performance should be suspended, the contracting officer should seek a no-cost suspension with the awardee until the protest can be resolved. If no-cost suspension cannot be reached, seek legal counsel.
 - (7) Written decision required by the contracting officer with notice of appeal rights to the office issuing the contract.
 - (8) Appeals. Appellate authority must seek legal advice before deciding appeal. Appeal decision is final.
 - (9) Litigation. For a discussion of NAFI protest litigation, *see infra* Part XIII.A.
- j. Mistakes after award. AR 215-4, para. 4-22. Generally, only correct a mistake if there is a benefit to the NAFI and if modification does not change the essential requirements of the contract.

D. Sealed Bidding. AR 215-4, Chapter 5.

- 1. Constitutes the least used method of contracting and is not preferred for NAFI contracting. It can be used only if all of the following apply:
 - a. Received approval for use by the CAO.
 - b. Price is the only evaluation factor;
 - c. Current and accurate purchase descriptions or specifications have been developed;
 - d. Time permits the solicitation, submission, and evaluation of bids;
 - e. Discussions with bidders are unnecessary; and
 - f. There is a reasonable expectation of receiving more than one sealed bid. *See* AR 215-4, para. 5-1.
- 2. Sealed bidding procedures. AR 215-4, paras. 5-2 through 5-23.
 - a. Preparation of Invitations for bids (IFBs). AR 215-4, para. 5-2.

- b. Late bids, late bid modifications, and late bid withdrawals.
Generally, bidders are responsible for submitting bids, modifications, or withdrawals to the NAFI office designated in the IFB by the time specified in the IFB. Bidders may use any method of transmission authorized in the IFB, to include facsimile. If no time is specified, the time for receipt is 4:30 pm. local time for the designated NAFI location on the date the bids are due. Bids submitted late will not be considered unless an exception set out in AR 215-4, para 5-12c applies. AR 215-4, para. 5-12.
- c. Amendment and cancellation of bids. AR 215-4, paras. 5-10, 5-11.
- d. Mistakes. AR 215-4, paras. 5-16 and 5-18.
- e. Two-step sealed bidding. AR 215-4, para. 5-19 through 5-23.
 - (1) Generally. A combination of competitive procedures designed to obtain benefits of sealed bidding when adequate specifications are not available.
 - (2) Step 1. Requests for, submission, evaluation, and (if necessary) discussion of technical proposals. No pricing is involved. The objective is to determine the acceptability of the supplies or services offered.
 - (3) Step 2. Sealed priced bids submitted by those who submitted acceptable technical proposals. Submitted bids are evaluated and the awards made in accordance with evaluation factors stated in the solicitation.
 - (4) Use in preference to negotiated procurement if:
 - (a) Available specifications are not definite or complete or may be too restrictive without technical evaluation, and any necessary discussion of the technical aspects of the requirement to ensure mutual understanding between each source and the NAFI;
 - (b) Definite criteria exist for the evaluation of the technical proposals;
 - (c) More than one technically qualified source is expected to be available;
 - (d) Sufficient time is available; and

- (e) A firm-fixed price or FFP with EPA contract will be used. AR 215-4, para. 5-20.
- f. Contract award. Award to the lowest responsible, responsive bidder. Only award contracts that are firm-fixed price (FFP) or FFP with economic price adjustment. AR 215-4, para. 5-17.
- g. Protests. AR 215-4, para. 4-21. *See supra* para. VIII.C.2.i (discussing protests to the agency); *infra* subpart XIII.A (discussing protest litigation).

IX. CONTRACT ADMINISTRATION

- A. Contract Modifications. Contracting officers acting within the scope of their authority may issue contract modifications using DA Form 4073 electronic formats. AR 215-4, para. 6-3.
 - 1. Unilateral – signed by the contracting officer only and used to:
 - a. Make administrative changes;
 - b. Issue change orders under the changes clause;
 - c. Make changes authorized by other contract clause (e.g. option clause); and
 - d. Issue termination notices.
 - 2. Bilateral (also called supplemental agreements) – require mutual consent and signature by both parties and are used to:
 - a. Make negotiated equitable adjustments resulting from a change order under the changes clause or a constructive change; and
 - b. Document other within scope agreements of the parties that change the terms of the contract.
- B. Change Orders. NAF contracts generally contain a changes clause that permits the contracting officer to make unilateral changes, in designated areas, within the general scope of the contract. The contractor must continue performance of the contract as changed. The changes clause provides for an equitable adjustment to be made if the contractor experiences an increase or decrease in cost of the work as a result of the change. AR 215-4, para. 6-3.
- C. Constructive Changes. Any conduct by a contracting officer or other authorized representative, other than an ordered change, having the effect of requiring the contractor to perform new work or work different from that required by the contract. Constructive changes entitle the contractor to relief under the changes

clause. Examples include requiring a contractor to meet a delivery schedule despite an excusable delay, NAFI furnishing defective specs or misinterpreting the contract, or overzealous inspection. AR 215-4, para. 6-6.

D. Contracting Officers Representative (COR) / Administrative Contracting Officers (ACO) / Ordering Officers. AR 215-4, paras. 6-7 to 6-9.

1. A COR may be appointed by the contracting officer in writing with the COR's authority and limitations set out in the appointment memo. A COR may not issue, authorize, agree to, or sign any contract or modification or in any way obligate the payment of funds by the NAFI.
2. Administrative Contracting Officers (ACO), if appointed, must be appointed in writing and must be warranted contracting officers in their own right.
3. Ordering Officers, if appointed, must be appointed in writing. Ordering officers can place delivery orders against indefinite delivery type contracts awarded by the contracting officer. The ordering officer will be under the technical supervision and review of the contracting officer.

E. Performance or Delivery Delay. AR 215-4, para. 6-10.

1. Excusable delay for causes beyond the contractor's control should be handled by a bilateral contract modification extending contract performance or terminating the contract for convenience.
2. Inexcusable delays have a variety of remedies from termination to bilateral modification and downward price adjustment.

F. Suspension of Work and Stop-Work. AR 215-4, para. 6-11.

1. The contracting officer may order a suspension of work for a reasonable period of time in a construction contract where appropriate.
2. The contracting officer may give a stop work order in either a service or supply contract where appropriate. Work stoppage may be required for state-of-the-art breakthroughs in technology or program realignment.
3. The contracting officer must include a suspension of work clause in all fixed price construction or architect-engineer contracts.
4. The contracting officer may include a stop-work order clause in solicitations and contracts for supplies and services.

G. Terminations. AR 215-4, para. 6-12.

1. The terminations clause authorizes contracting officers to terminate contracts when it is in the NAFI's best interest. Terminations can be for convenience or default. All termination notices must be in writing. Contracting officers can enter settlement agreements.
2. No-fault terminations. For use in concession contracts only, under the no-fault clause (optional), either party can terminate by giving advanced written notice of a predetermined amount of time (usually 30 days).
3. Termination for default – can be used in response to contractor's actual or anticipated failure to perform, but should only be used after careful review of the situation.
 - a. Cure notice. Typically required by the default clause and issued if time permits prior to delivery date.
 - b. Show cause notice. Issue if no realistic time for a cure notice or if delivery period has expired.
4. Contract Disputes and Appeals. AR 215-4, para. 6-13.
 - a. In accordance with the Disputes Clause, the Contracts Disputes Act (CDA) does not apply to NAFI contracts. AR 215-4, para. 6-11a.⁴ As an exception, the CDA applies to contracts with military exchange services, including the Army and Air Force Exchange Service. 41 U.S.C. § 7102(a); 28 U.S.C. §§ 1346, 1491; AR 215-8, para. 9-3b; *see also Pacrim Pizza Co. v. Prie*, 304 F.3d 1291 (Fed. Cir. 2002); *PNL Commercial Corp.*, ASBCA No. 53816, 04-1 BCA ¶ 32552.
 - b. Prior to final decision, the contracting officer should make every reasonable attempt to settle the dispute amicably. If that fails, the contracting officer issues a final decision.
 - c. Requirements for final decision.
 - (1) Burden rests on the contractor. The contractor must submit written evidence substantiating the claim “to the

⁴ *But see infra* Part XIII.B.2 (discussing *Slattery v United States*, 635 F.3d 1298 (C.A.F.C. 2011), in which the *en banc* Federal Circuit overruled *AINS* and found that the Court of Federal Claims had Tucker Act jurisdiction over contract disputes involving all NAFIs if the NAFIs were performing a governmental function and *Parsons Evergreene, LLC*, ASBCA No. 58634, 18-1 BCA ¶ 37,137.4, in which the ASBCA relied upon *Slattery* to find that it had CDA jurisdiction over NAFI contracts.). *Parsons* was appealed to the Court of Appeals for the Federal Circuit, which affirmed in part and reversed in part and found that the contract was not actually a NAFI contract and was a “procurement” for purposes of the CDA. *Parsons Evergreene, LLC v. Secretary of the Air Force*, 968 F.3d 1359 (Fed.Cir. 2020).

satisfaction of the contracting officer,” on both merits and quantum of claim.

- (2) Final decision must be in writing and include relevant facts and basis for the decision.
 - (3) Notice that this is a final decision and notice of appeal. See required paragraph language at AR 215-4, para. 6-13c(3).
 - (4) Mail final decision to contractor by certified mail, return receipt requested.
- d. Processing Appeals. Contractor will forward notice of appeal without comment, together with envelope showing postmark, to relevant higher headquarters and to the ASBCA for docketing. A copy of the notice of appeal and the transmittal letter to the ASBCA will be forwarded to the servicing Staff Judge Advocate.
 - e. Within 30 days of notice of appeal, the contracting officer, with the assistance of legal counsel, will compile five copies of the appeal file (Rule 4 file) and comply with the direction of the trial attorney at the Army Legal Services Agency, Contract and Fiscal Law Division, who will coordinate with the ASBCA.
 - f. The decision of the ASBCA is a final decision.
 - g. Litigation. For a discussion of NAFI disputes litigation, *see infra* Part XIII.B.
5. Contract Claims. AR 215-4, para. 6-14.
- a. Claims arising out of the operations of the Army and IMCOM Directorates, other than AAFES and the Army Civilian Welfare Funds (ACWF), will be paid out of the supporting fund.
 - b. Claims arising from operations of the ACWF will be settled as directed in AR 215-7.
 - c. Claims arising out of AAFES claims will be settled as directed in AR 215-8.
 - d. The Equal Access to Justice Act,⁵ 5 U.S.C. § 504, does not apply to NAFI contracts with the exception of exchange services contracts because jurisdiction to award fees and cost under the

⁵ The EAJA provides that “[a]n agency that conducts an adversary adjudication shall award, to a prevailing party other than the United States, fees and other expenses incurred by that party in connection with that proceeding, unless the adjudicative officer of the agency finds that the position of the agency was substantially justified or that special circumstances make an award unjust.” 5 U.S.C. § 504(a)(1).

EAJA is limited to appeals adjudicated under the Contracts Disputes Act. *See PNL Commercial Corp.*, ASBCA No. 53816, 04-1 BCA ¶ 32552.

6. Payment.

- a. Advance payments may be provided on any type of contract, but they are the least preferred method of contract financing. They are not authorized if other standard payments (partial, progress, or on-receipt) are available. AR 215-4, para. 6-20.
- b. Prompt Payment Act. 5 C.F.R. 1315. NAF contracting officers must comply with policies and clauses for implementing Office of Management and Budget (OMB) prompt payment regulations. Include specific prompt payment clause in each applicable solicitation. Refer to FAR, Subpart 32.9 for details. AR 215-4, para. 6-18.
- c. Fiscal issues. Because Congress does not appropriate NAF monies, **funds do not expire at the end of the fiscal year**. However, finance offices may close out actions based on fiscal years so contracting officers must coordinate with their finance offices to keep monies active if contracts cross fiscal years. AR 215-4, para. 6-30.

7. Contract Close-out. AR 215-4, para. 6-34.

X. SPECIAL CATEGORIES OF CONTRACTING

A. Concession Contracts—General. AR 215-4, para. 7-2.

1. A concession contract is a license or permit for an activity/business to sell goods and services to authorized NAFI patrons at a designated location for a specified period of time. Examples include retail merchandise, vending or amusement machines, special events, food service or instruction. Concession contracts may be for a long or short term.
2. Before a concession contract is awarded, the garrison commander or general manager at an Armed Forces Recreation Center, Army Recreation Machine Program, or designee, must determine that the requirement is normally a part of, and directly related to, the purpose of the MWR program as specified in AR 215-1 and must authorize, in writing, the MWR activity to operate a resale activity by concession contract.
3. The NAFI receives a flat fee or percentage of gross sales from the concessionaire.

4. Insurance. Contracting officer shall determine the types of insurance coverage necessary for the contractor to obtain to protect the interests of the NAFI. Coverage may include bodily injury and property damage; workmen's compensation; property insurance; automobile liability; etc. Contact IMCOM risk management office for assistance in determining appropriate amounts of insurance.
 - a. Amusement company contracts must include requirements for public liability insurance in the amounts specified by the contracting officer.
 - b. Certificates of insurance, in the types and amounts determined appropriate by the contracting officer, must be provided to the contracting officer before beginning contract performance.
- B. Long-Term Concession Contracts. AR 215-4, para. 7-3.
1. Over 30 days, even if days do not run consecutively (for example, every Sunday for one year).
 2. Solicitation must put offerors on notice of:
 - a. Records that must be kept by the concessionaire;
 - b. NAFI's right to audit and inspect records and premises;
 - c. Concessionaire's responsibility to safeguard all assets in its possession in which the Government or NAFI have an interest;
 - d. Concessionaire must certify the integrity of its financial records;
 - e. The reports the concessionaire must provide;
 - f. Whether the concessionaire fee is a fixed fee or based on a percentage of sales;
 - g. The fact that prices must be clearly listed in English and that the contracting office approves prices and changes to pricing;
 - h. A schedule of prices for any service charges and the fee or commission to be offered the NAFI;
 3. Price competition may be based on the selling price, concession fee, or both.
- C. Short-Term Concession Contracts. AR 215-4, para. 7-6.
1. Performance for 30 days or less (regardless whether days are consecutive).

2. The contracting officer may format a standard short-term concessionaire contract (DA Form 5756) for a one-time legal sufficiency determination for repetitive short-term concession contracts.
3. Contract will include, at a minimum:
 - a. NAFI furnished supplies and services (space, water, etc.);
 - b. Concessionaire furnished supplies and equipment (signage, displays, chairs, etc.);
 - c. Any limitations on performance or non-competition clauses, such as restrictions on concessionaire advertisements or selling beyond booth area;
 - d. Days and hours of operation;
 - e. Concessionaire's responsibility for site appearance and clean up;
 - f. Points of contact;
 - g. Responsibility for obtaining licenses, passes, permits, and health and safety requirements;
 - h. Mandatory clauses (termination, disputes, and audit).

D. Merchandise Concessions. AR 215-4, para. 7-4.

1. Prices for items should be included in contract.
2. In addition to requirements for concession contracts generally, additional requirements to be included in merchandise concession contract include:
 - a. The party responsible for purchasing the supplies to be sold in the shop;
 - b. The type of supplies and services to be offered in the shop;
 - c. Establishment of reporting procedures for use upon discovery of vandalism or theft;
 - d. The party responsible for maintaining rented equipment in good working condition to ensure customer safety;
 - e. The party responsible for the utilities and procedures for reporting problems with utilities;

- f. Procedures for the disposition of any unsold merchandise or trade fixtures upon expiration or termination of the contract (see AR 215-1);
 - g. The party responsible for cleaning up the concession site upon expiration or termination of the contract;
 - h. The deadline for the concessionaire to leave the site upon expiration or termination of the contract.
- E. Vending and Amusement Machines (not including slot machines or other machines operated by the Army Recreation Machine Program). AR 215-4, para 7-5.
 - 1. In addition to general concession contract requirements, vending and amusement machine contracts must include:
 - a. The number of machines plus the machine type, manufacturer, and ID number;
 - b. Location of machines during contract performance;
 - c. Procedures for locking devices and sales accountability (*see* AR 215-1);
 - d. The responsibility of the concessionaire to notify the contracting officer before rotating, removing, or changing machines;
 - e. Time period for stocking, repairing, and servicing the machines;
 - f. Customer refund procedures;
 - g. Capability of coin counting machines to reject “slugs” or foreign coins;
 - h. Requirements for inspection and handling of food placed in vending machines;
 - i. Establishment of reporting procedures to be used if the concessionaire discovers the machines have been vandalized;
 - j. The concessionaire shall not make any alteration in the physical structure of the area in the NAFI facility provided for placement of the machines, without prior approval from the contracting officer;
 - k. Space, plumbing, electrical requirements available to the concessionaire.

2. Randolph-Sheppard Act may apply. *See* 20 U.S.C. § 107, *et. seq.*; U.S. Dep't of Army, Reg. 210-25, Vending Facility Program for the Blind on Federal Property (17 June 2021).
- F. Consignment Agreements. Use DA form 5755, Consignment Agreement (Nonappropriated Funds). AR 215-4, para. 7-7.
- G. Entertainment Contracts. AR 215-4, para. 7-9.
1. Entertainment is any form of activity that provides amusement, enjoyment, interest, or diversion from daily routine activities and promotes the general morale and recreation of soldiers and their families. These types of contracts are referred to as revenue-generating contracts when awarded on a percentage basis. Funding is IAW AR 215-1 requirements.
 2. AR 215-4 does not normally require competition for these contracts; however, it does prohibit the exclusive use of one entertainer or agent when there is more than one entertainer or agent who can provide similar, comparably priced services within the geographic area. *See* AR 215-4, para. 7-9b and c.
 3. Copyrighted material.
 - a. Clearances are required before copyrighted material can be performed on stage. Procedures for obtaining these clearances is contained in AR 215-1, Appendix H.
 - b. Copyright and royalty clearances will be included in the contract file.
 4. Government Employees. An entertainment contract will not be entered into between an MWR activity and a government employee or any organization substantially owned or controlled by one or more government employees unless the activity's needs cannot otherwise reasonably be met. AR 215-1, para. 8-18b(7). *But see* AR 215-4, para. 1-23, for language generally permitting contracts with government employees when funded only with NAF.
 5. The Service Contract Act (SCA) may apply if the entertainment requires the use of stage hands or other technicians. *See* AR 215-4, para. 7-9e.
 6. The contract must contain a cancellation clause and a liquidated damages clause, as well as insurance requirements. AR 215-4, para. 7-9d.
- H. Contracts with Amusement Companies and Traveling Shows. AR 215-4, para. 7-8.

- I. Service Contracts. AR 215-4, para. 7-10.
1. Contracts to perform an identifiable task, rather than furnish an end product. Examples include operation of NAFI equipment or facilities, instructions and training, sports officials, architect-engineer services (*see* AR 215-4, para. 8-2), housekeeping, grounds maintenance, repair of equipment, etc.
 2. Nonpersonal service contracts are those in which contractor personnel are not subject, whether by the contract terms or by the manner of its administration, to the supervision and control usually prevailing in relationships between the Government or the NAFI and its employees
 3. Personal services contracts are contracts that, by their express terms or by the manner of its administration, make the contractor personnel appear to be NAFI or Government employees.
 4. Policy:
 - a. Agencies should use performance based contracting methods to the maximum extent practicable for the acquisition of services except for: construction, architect-engineer services, utility services, and services that are incidental to supply purchases.
 - b. A NAFI shall not award a contract for the performance of an inherently governmental function. *See* AR 215-3, Nonappropriated Funds Personnel Policy (7 May 2024).
 - c. Personal services contracts are generally prohibited. AR 215-4, para. 7-9d.
 5. The Service Contract Act (SCA).
 - a. 41 U.S.C §§6701 et seq; *see also* FAR Companion at p. 63.
 - b. The SCA is primarily for services performed by non-exempt service workers. The SCA provides for minimum wages and fringe benefits for service workers engaged in contracts valued over \$2,500. The contracting officer is responsible for incorporating wage determinations acquired from Department of Labor at www.sam.gov into the solicitation.

- c. The Army labor advisor has determined that the exception to the Services Contract Act for National Park Service concession contracts does not apply to MWR NAFIs.⁶
- 6. Davis Bacon Act. 40 U.S.C §§3141 *et seq*; FAR 22.403-1, FAR 22.404. Generally covers wages for construction contractor employees. However, certain services performed under construction contracts are still covered by the SCA. If construction contract is solely for services for dismantling, demolition, or removal of improvements without follow on construction, then the SCA applies. Otherwise the Davis-Bacon Act applies (federally funded construction projects over \$2000). AR 215-4, para. 8-1.
- J. Insurance Contracts. AR 215-4, para. 7-11.
- K. Acquisition of Information Technology Requirements. AR 215-4, para. 7-12.
- L. Construction and Architect-Engineer (A-E) Contracts. AR 215-4, Chapter. 8.
 - 1. The process for awarding NAF construction and A-E service contracts is similar to that for the same type of APF contracts.
 - 2. Performance and payment bonds are required for most construction projects. AR 215-4, paras. 8-10*o* and *p*.
 - 3. Labor standards. The Davis-Bacon Act, the Copeland Act, and Contract Work Hours and Safety Standards Act apply to construction contracts that exceed \$2,000. AR 215-4, para. 8-1*l*.
 - 4. Buy American Act. The Buy American Act – Balance of Payments Program (Construction Materials) is not applicable to NAF funded construction contracts. By its terms, the Act only applies to APF funded contracts. AR 215-4, para. 1-27*b*.
 - 5. AR 215-1, Chapter 15, Section II, contains additional guidance on NAFI construction planning, programming, funding, and project documentation. AR 215-1, Appendix E, contains detailed construction funding guidance. AR 420-1 and DA PAM 420-1-3, Army Military Construction and Nonappropriated-Funded Construction Program Development and Execution (2 April 2009) contain additional significant guidance.
- M. Purchase of Alcoholic Beverages. See Section III.C.1 and .2 above.
- N. Commercial Sponsorship. AR 215-1, Chapter 11, Section II.

⁶ 36 C.F.R. § 51.3 describes National Park Service concession contracts as follows: “Concession contracts are not contracts within the meaning of . . . the Contracts Dispute Act and are not service or procurement contracts within the meaning of statutes, regulations or policies that apply only to federal service contracts or other types of federal procurement actions.”

1. Definition. “Commercial sponsorship is the act of providing assistance, funding, goods, equipment (including fixed assets), or services to a MWR program(s) or event(s) by . . . [a sponsor] . . . for a specific (limited) period of time in return for public recognition or opportunities for advertising or other promotions.” AR 215-1, para. 11-6.
2. Advertising and Commercial Sponsorship are marketing, not contracting functions and are performed by personnel specifically designated by a command authority (normally the Director, Family Morale, Welfare, and Recreation). AR 215-1, para. 11-13.
3. Procedures. Activities using commercial sponsorship procedures must ensure, among other matters, that:
 - a. Obligations and entitlements of the sponsor and the MWR program are set forth in a written agreement that does not exceed one year, though such agreements may be renewed for a total of 5 years. All agreements require a legal review by the servicing legal office. AR 215-1, para. 11-8a;
 - b. The activity disclaims endorsement of any supplier, product, or service in any public recognition or printed material developed for the sponsorship event. AR 215-1, para. 11-8d;
 - c. The commercial sponsor certifies in writing that it shall not charge costs of the sponsorship to any part of the government. AR 215-1, para. 11-9c; and
 - d. Officials responsible for contracting are not directly or indirectly involved with the solicitation of commercial vendors, except for those officials who administer NAF contracts. AR 215-1, para. 11-13a.

O. MWR Advertising. AR 215-1, Chapter 11, Section I.

XI. LABOR AND SOCIO-ECONOMIC POLICIES.

A. Socioeconomic Policies.

1. The Small Business Act does not apply to NAF acquisitions. However, contracting officers may solicit small businesses and minority firms to compete for NAF requirements. AR 215-4, para. 1-25.
2. Foreign acquisition. NAF contracting officers will comply with the following when acquiring foreign supplies and services, as applicable. AR 215-4, para. 1-27.

- a. Buy American Act – Balance of Payments Program (excluding NAF funded construction because the Buy American Act by its terms only applies to APF funded contracts). 41 U.S.C § 8301-8305; AR 215-4, para. 1-25*b*.
 - b. The Trade Agreements Act of 1979. 19 U.S.C § 2501, *et seq.*
 - c. The Caribbean Basin Recovery Act. Pub. L. No. 98-67, Title II, as amended.
 - d. Israeli Free Trade Implementation Act of 1985. 19 U.S.C § 2112 note.
 - e. The North American Free Trade Agreement Implementation Act of 1993. 19 U.S.C § 3301 *et seq.*
- B. Labor laws. AR 215-4, para. 1-22.
 - 1. Davis-Bacon Act (40 U.S.C § 3141 *et. seq.*) – construction wages.
 - 2. Copeland Act (18 U.S.C § 874 and 40 U.S.C § 3145) – construction – anti-kickback.
 - 3. Walsh-Healey Public Contracts Act (41 U.S.C §§ 6501 *et seq*; FAR 22.6) – all contracts over \$15,000 – wages and working conditions.
 - 4. Equal Employment Opportunity. Executive Order 11246, as amended; FAR 22.807.
 - 5. Service Contract Act of 1965 as amended (41 U.S.C § 6701 *et seq.*; FAR 22-1007 and 22-1008). Minimum wage in service contracts greater than \$2500.
 - 6. Contract Work Hours and Safety Standards Act (40 U.S.C § 3701 *et seq.*) for contracts greater than \$100,000.

XII. LEGAL REVIEW

- A. Legal counsel should review NAF contracting actions in all cases required by regulation and in any other cases when requested by the NAF contracting officer. AR 215-4, para. 1-19 provides an exhaustive list of all actions that require a legal review.
- B. Legal reviews will, in writing, state whether a proposed action is legally sufficient and will recommend a course of action to overcome any deficiencies. If action is legally sufficient but contains other deficiencies, those should be addressed separately from the legal sufficiency decision.

XIII. LITIGATION INVOLVING NAF CONTRACTS

A. Protests. AR 215-4, para. 4-21.

1. GAO Jurisdiction.

- a. NAFI procurements. Normally, the GAO will not exercise jurisdiction regarding protests of NAFI contracts because its authority extends only to “federal agency” acquisitions. *See* 31 U.S.C. § 3551; 4 C.F.R. § 21.5(g) (GAO bid protest rule implementing its statutory jurisdiction). A NAFI is not a “federal agency.” *See DSV, GmbH*, B-253724, June 16, 1993, 93-1 CPD ¶ 468; GAO REDBOOK, 15-253 to 15-254. Protests are resolved under agency “appeal” procedures set forth in AR 215-4, para. 4-21, as discussed *supra* Part VIII.C.2.i.
- b. Exceptions:
 - (1) Procurements conducted by an APF contracting officer. The GAO has jurisdiction to consider protests involving procurements conducted “by or for a federal agency,” regardless of the source of funds involved. *Barbarosa Reiseservice GmbH*, B-225641, May 20, 1987, 87-1 CPD ¶ 529. *See also Thayer Gate Development Corp.*, B-242847.2, Dec. 9, 1994 (GAO will assert jurisdiction if it finds the agency involvement so pervasive that the NAFI has become a conduit for the agency). APF activities may also provide “in-kind” support to NAFIs. APF contracting support to NAFIs may subject the action to the Competition in Contracting Act.
 - (2) The GAO may consider a protest involving a NAFI if the protestor alleges the agency used a NAFI to avoid competition requirements. *Premier Vending*, B-256560, July 5, 1994, 94-2 CPD ¶ 8; *cf. LDDS Worldcom*, B-270109, Feb. 6, 1996, 96-1 CPD ¶ 45 (no evidence Exchange was acting as a conduit for Navy or that Navy participation was pervasive).

2. COFC Jurisdiction. The COFC also normally will not exercise jurisdiction over protests involving a NAFI contract. But note that the COFC held in *Southern Foods* that because the NAFI did not meet all four prongs of the *AINS* test for determining whether an entity is a NAFI (specifically in that the Army NAFI did receive some appropriated funds),

the COFC could exercise jurisdiction over the contractor's claim.
Southern Foods, Inc. v. United States, 76 Fed. Cl. 769 (2007).⁷

B. Disputes. AR 215-4, paras. 6-13 to 6-15.

1. The requirement for a final decision.
 - a. If the contracting officer fails to resolve a dispute arising under or relating to the contract, the contracting officer issues a final decision per the disputes clause contained in the NAF contract. AR 215-4, para. 6-13; *see supra* Subpart IX.G.4 (discussing the final decision process).
 - b. The contracting officer's decision lacks finality if it advises the contractor of its appeal rights under the contract incorrectly and the contractor is prejudiced by the deficiency. *Decker & Co. v. West*, 76 F.3d 1573 (Fed. Cir. 1996); *Wolverine Supply, Inc.*, ASBCA No. 39250, 90-2 BCA ¶ 22,706.
2. Historically, courts and boards did not exercise jurisdiction over NAFI contract disputes. As instrumentalities of the United States, NAFIs were immune from suit because Congress has not waived immunity for NAFIs under the Tucker Act (28 U.S.C. § 1346(a)(2)), the Contract Disputes Act (CDA) (41 U.S.C. § 7102(a)), or the Administrative Procedures Act. *See Swiff-Train Co. v. United States*, 443 F.2d 1140 (5th Cir. 1971); *AINS, Inc. v. United States*, 56 Fed. Cl. 522 (2003) (aff'd at 365 F. 3d. 1333, Fed. Cir. 2004); *Commercial Offset Printers, Inc.*, ASBCA No. 25302, 81-1 BCA ¶ 14,900).
 - a. Established Exceptions.
 - (1) Express or implied-in-fact contracts entered into by DOD, Coast Guard, and NASA exchange services, although NAFIs, are contracts of the United States for purposes of determining jurisdiction under the Tucker Act and the Contract Disputes Act. 28 U.S.C. § 1491(a)(1); *Pacrim Pizza Co. v. Prie*, 304 F.3d 1291 (Fed. Cir. 2002); *PNL Commercial Corp.*, ASBCA No. 53816, 04-1 BCA ¶ 32552.
 - (2) The Court of Appeals for the Federal Circuit (CAFC) held that the COFC has jurisdiction over a contract dispute with

⁷ In *Southern*, the court based its decision on a finding that the U.S. Army Community and Family Support Center (CFSC), the predecessor of FMWRC, was not a NAFI. Although the CFSC was not a NAFI, the court attributed the execution of the contract to CFSC instead of correctly attributing the execution of the contract to the Army Morale, Welfare, and Recreation Fund. Therefore, the court may have based its decision on a faulty premise.

the Navy Resale and Services Support Office (NAVRESSO) even though it was not mentioned by name in the Tucker Act as an enumerated NAFI. The court treated NAVRESSO the same as the exchange services because of its responsibility for managing Navy exchanges. *McDonald's Corp. v. United States*, 926 F.2d 1126 (Fed. Cir. 1991).

- b. Court of Federal Claims (COFC) Treatment. COFC held in *AINS* that it did not have jurisdiction over a contract dispute with the U.S. Mint because the Mint is a NAFI and as such, there is no waiver of sovereign immunity. *AINS* at 543. To determine whether a federal entity is a “NAFI” and thus not subject to the CDA (so, federal courts are generally without jurisdiction), the *AINS* court used a four-part test:

- (1) It must *not* receive its monies by federal appropriations;
- (2) Its funding must derive “primarily from [the entity’s] own activities, services, and product sales”;
- (3) There “must be a clear expression by Congress that the agency was to be separated from general federal revenues”; and
- (4) Absent a statutory amendment, there is no situation in which appropriated funds could be used to fund the federal entity.

- c. Court of Appeals for the Federal Circuit Abrogates *AINS*:

- (1) In *Slattery v United States*, 635 F.3d 1298 (C.A.F.C. 2011), the *en banc* Federal Circuit abrogated *AINS* and found that the Court of Federal Claims had Tucker Act jurisdiction over contract disputes involving all NAFIs if the NAFIs were performing a governmental function.
- (2) “The jurisdictional criterion is not how the government entity is funded or its obligations met, but whether the government entity was acting on behalf of the government.” *Slattery*, 635 F.3d at 1301. “When a government agency is asserted to have breached an express or implied contract that it entered on behalf of the United States, there is Tucker Act jurisdiction of the cause unless such jurisdiction was explicitly withheld or withdrawn by statute.” *Id.* at 1321. Accordingly, the court found that Tucker Act jurisdiction does not depend on nor is limited

by whether the government entity receives or draws upon appropriated funds.

- d. The Armed Services Board of Contract Appeals (ASBCA) has applied the rationale of *Slattery* to hold that the ASBCA has jurisdiction over CDA appeals of NAFI contracts. *Parsons Evergreene, LLC*, ASBCA No. 58634, 18-1 BCA ¶ 37,137.⁸ Parsons was appealed to the Court of Appeals for the Federal Circuit, which affirmed in part and denied in part, holding that the contract was not actually a NAFI contract and was a “procurement” for purposes of the CDA. *Parsons Evergreene, LLC v. Secretary of the Air Force*, 968 F.3d 1359 (Fed.Cir. 2020). See also, *Club Car, Inc.*, ASBCA No. 61710, 20-1 BCA ¶ 37,493 (stating that the Army MWF Fund is a NAFI and that the Board has jurisdiction pursuant to the CDA and citing to *Parsons* without further discussion of jurisdiction). Prior to *Parsons Evergreene*, the ASBCA only had jurisdiction over NAFI contract disputes if:
 - (1) The contract incorporated a disputes clause that granted such jurisdiction. *COVCO Hawaii Corp.*, ASBCA No. 26901, 83-2 BCA ¶ 16,554;
 - (2) The contract did not contain a disputes clause, but DOD regulations required incorporation of a jurisdiction-granting clause in the NAF contract. *Recreational Enters.*, ASBCA No. 32176, 87-1 BCA ¶ 19,675;
 - (3) The contractor sought non-monetary, declaratory judgment. See *SUFI Network Services, Inc.*, ASBCA No. 54503, 04-01 BCA ¶ 32,606; or
 - (4) The ASBCA was reviewing breach of contract claims under the Tucker Act rather than the CDA. See *SUFI Network Servs., Inc. v. United States*, (102 Fed. Cl. 656 (2012) (applying *Slattery* holding to ASBCA).
3. The CAFC has refused to hear appeals from decisions of the ASBCA concerning NAFI contracts. It most recently affirmed this stance in *Minesen Co. v. McHugh*, 671 F.3d 1332 (Fed. Cir. 2012), where the court upheld a contract provision that waived any appeals rights beyond the ASBCA’s final decision. See also *Strand Hunt Constr., Inc. v. West*, 111

⁸ In *Parsons Evergreene*, the ASBCA stated that its decision was not inconsistent with the Federal Circuit decision in *Minisen Co. v. McHugh*, 671 F.3d 1332 (C.A. Fed., 2012) because the CAFC did not directly address the issue of application of the NAFI Doctrine (the doctrine, based on Federal Circuit precedent, that the CDA did not grant the COFC or Boards of Contract Appeals jurisdiction over matters involving NAFIs).

F.3d 142 (Fed. Cir. 1997) (unpub); *Maitland Bros. v. Widnall*, 41 F.3d 1521 (Fed. Cir. 1994) (unpub).

4. The ASBCA has refused to read the Protest After Award clause into a NAF contract awarded by an APF contracting officer, even though the clause was required by regulation. *F2M, Inc.*, ASBCA No. 49719, 97-2 BCA ¶ 28,982 (citing *Dawn Cleaners, Inc.*, ASBCA No. 20653, 76-2 BCA ¶ 12,198 for the proposition that the Christian Doctrine is inapplicable to NAFI procurements).

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CHAPTER 32

INTERAGENCY TRANSACTIONS

I. INTRODUCTION.

A. Key References.

1. The Economy Act of 1932, as amended, 31 U.S.C. §§ 1535-1536.
2. The Project Order Statute, 41 U.S.C. § 6307
3. Revolutionary Federal Acquisition Regulation (RFO FAR) Overhaul Subparts 17.5 (Interagency Acquisitions); 17.6 (Interagency Acquisitions: Acquisitions by Nondefense Agencies on Behalf of the Department of Defense).¹
4. Defense Federal Acquisition Regulation Supplement (DRFO FARs) Subparts 217.5 (Interagency Acquisitions); 217.6 (Interagency Acquisitions: Acquisitions by Nondefense Agencies on Behalf of the Department of Defense).
5. Department of Defense Financial Management Regulation (DoD FMR), volume 11A, chapters 1-4, 6, 18.
6. Department of Defense Instruction (DoDI) 4000.19, *Support Agreements* December 16, 2020.
7. Treasury Financial Manual (TFM), volume I, part 2, chapter 4700.
8. Government Accountability Office (GAO) Principles of Federal Appropriations Law (“GAO Redbook”) Vol. 3, Chapter 12
9. Army Regulation 5-9, *Installation Agreements*, 17 April 2018

B. Interagency Transactions: Interagency Acquisition & Support Agreements.

1. Interagency Acquisition. “A procedure by which an agency needing supplies or services (the requesting agency) obtains them from another agency (the servicing agency), by an assisted or direct acquisition.” RFO FAR 2.101. This includes acquisitions under the Economy Act (31 U.S.C. § 1535) and Non-Economy Act acquisitions (e.g., GSA FSS, GWACs). *See* RFO FAR 2.101.

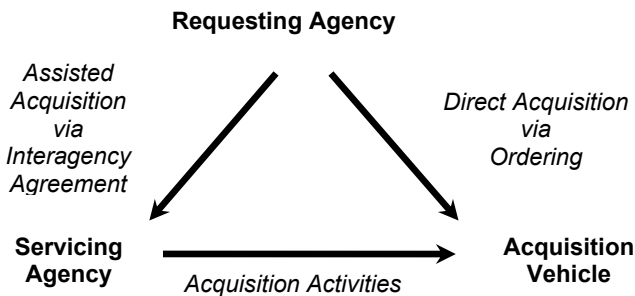
¹ This Chapter reflects DARS Tracking Number 2026-O0027, Class Deviation—Revolutionary Federal Acquisition Regulation (RFO FAR) Overhaul Part 17, Defense RFO FAR Supplement (RFO DFARS) Part 217.

2. “Support Agreements. “A negotiated arrangement between parties to provide or receive support. With the exception of Federal Acquisition Regulation Subparts 17.5 and 17.[6], Federal Acquisition Regulation-based contracts, all federal assistance awards (e.g., grants and cooperative agreements in accordance with Chapter XI of Title 2, Code of Federal Regulations), real property transactions, and Other Transaction Agreements authorized and executed in accordance with Sections 2371, 2371b, and 2373 of Title 10, U.S.C., are not support agreements.” DoDI 4000.19, *Support Agreements*, Glossary, G.2. Definitions, December 16, 2020. RFO FAR Subparts 17.5 and 17.6 cover Interagency Acquisitions.
3. Difference with a Distinction. An interagency acquisition does not necessarily require interagency or intra-agency support, whether through the Economy Act, another authority, or most transactions involving revolving fund operations. The key distinction between “support,” and “acquisition” is that an interagency acquisition results in an acquisition (either assisted or directed), whereas “support” does not necessarily result in an acquisition.²

C. Types of Interagency Acquisitions.

1. Assisted Acquisitions. “...a type of interagency acquisition where a servicing agency performs acquisition activities on a requesting agency’s behalf, such as awarding and administering a contract, task order, or delivery order.” RFO FAR 2.101. A written agreement must be signed by both parties, which covers the responsibility for management and administration by establishing the basic terms and conditions (GT&C) governing the relationship. RFO FAR 17.502-1(a). The GT&C is the first part of a support agreement documented in a FS 7600A.
2. Direct Acquisitions: “...a type of interagency acquisition where a requesting agency places an order **directly** against a servicing agency’s indefinite-delivery contract. The servicing agency manages the indefinite-delivery contract but does not participate in the placement or administration of an order.” RFO FAR 2.101 (emphasis added).

² RFO FAR 17.500(c)(1), explicitly notes that Subpart 17.5 “Interagency Acquisitions” does not apply to “Reimbursable work performed by one agency’s employees for another agency (except acquisition assistance), or interagency activities where contracting is not the primary purpose. . . or Order at or below \$750,000 issued against Federal Supply Schedules.” The key point is that interagency assisted acquisitions likely require some sort of support agreement. Fiscal and Contract attorneys must be aware of the distinction because both acquisitions & support require specific authority to ensure compliance with the Purpose statute and prevent the improper augmentation of appropriated funds. I.e., Government agencies cannot mix appropriated funds, whether to buy things (acquisitions) or to give things away (support), without authority.



D. Categories & Formats of Support Agreements covered by DoD 4000.19.

1. Categories

- a. Intragovernmental Agreements: Agreements within the Federal Government: (1) intra-agency: an agreement between two or more entities within a single federal agency (e.g., Department of the Navy supports the Department of the Army); and (2) inter-agency agreement: between an Office of the Secretary of Defense or DoD component and one or more non-DoD federal agencies (e.g., Department of Army supported by the Department of State).
- b. Intergovernmental Agreements: Agreements between the DoD and a State, local, or tribal government.
- c. Governmental to Non-governmental Agreements: Agreements between an OSD or DOD Component and a non-governmental entity specified as a congressionally chartered nonprofit organization pursuant to Title 36, U.S.C. (e.g., The American Red Cross, Boy Scouts of America, Girl Scouts of America, and United Service Organizations, Inc., etc.).

2. Formats

- a. FS Form 7600A/B & DD Form 448/-2.
 - (1) FS Form 7600A: The FS Form 7600A must be used to document the General Terms & Conditions for all reimbursable support which requires payment between federal agencies and may be used to document non-reimbursable support.
 - (2) FS Form 7600B: This is the Fiscal Service order form for intragovernmental buy/sell transactions designed for use with the FS Form 7600. Its use is expected to be

mandatory upon the DoD's full incorporation of the Department of Treasury's G-Invoicing system.

- (3) DD Form 448/-2: DD Forms 448 and 448-2 are Military Interdepartmental Purchase Request (MIPR) and Acceptance of MIPR respectively. These ordering forms must be continued to be accepted by DoD trading partners during the implementation of the G-Invoicing system and must be placed against an FS Form 7600A.

- b. Memorandum of Agreement (MOA) and Memorandum of Understanding (MOU). MOAs are used to document agreements or deliver support without reimbursement, or to supplement a FS Form 7600A where reimbursement is required. MOUs document mutual understanding without an expectation of payment and "where the parties do not rely on each other to execute or deliver on any responsibilities."

E. Interagency Acquisition Contract Vehicle.

Interagency acquisitions are often made using indefinite delivery/indefinite quantity (ID/IQ) contracts under RFO FAR Subpart 16.5 that permit the issuance of task or delivery orders during the term of the contract. Contract vehicles used most frequently to support interagency acquisitions are the General Services Administration (GSA) Schedules (also referred to as Multiple Award Schedules (MAS) and Federal Supply Schedules (FSS)), government-wide acquisition contracts (GWAC) (a GWAC is a multi-agency task or delivery order contract, typically for information technology, established by one agency for governmentwide use under authority other than the Economy Act), and multi-agency contracts (a MAC is a task or delivery order contract established by one agency for use by other Government agencies consistent with the Economy Act).

F. Fiscal Policy.

Unless otherwise authorized by Congress, interagency transactions are generally prohibited. *See* 31 U.S.C. § 1532 (generally prohibiting transfers of funds between agencies).³ Where permitted to be transferred, "appropriated funds are still required to be used for the purposes originally appropriated, unless otherwise provided."⁴

³ "Unless otherwise authorized by law, transfers of funds between government agencies and instrumentalities are prohibited." *United States Chem. Safety & Hazard Investigation Bd.*, B-331739, Mar. 18, 2021, 2021 U.S. Comp. Gen. LEXIS 80 (citing 31 U.S.C. § 1532).

⁴ *Matter of: Off. of Mgmt. & Budget/General Servs. Admin.--Reimbursement Requirement for the Tech. Modernization Fund*, B-333396 (July 14, 2022)(citing 31 U.S.C. § 1532 and 31 U.S.C. § 1301(a)).

1. Under 31 U.S.C. § 1301 (the “purpose statute”) a federal agency must use its appropriated funds for the purposes for which the appropriations were made. Therefore, unless authorized by Congress, funds appropriated for the needs of one federal agency may not be used to fund goods and services for the use of another federal agency.
 - a. From the standpoint of the requesting agency, receiving goods or services funded by another agency’s appropriations without reimbursing the servicing agency would constitute an improper augmentation of the requesting agency’s funds.
 - b. Funds sent by the requesting agency to the servicing agency as reimbursement for goods or services provided could not be retained and spent by the servicing agency, but instead would have to be turned over to the Treasury under 31 U.S.C. § 3302(b) (the Miscellaneous Receipts Statute).
2. Congress has provided several statutory authorities for interagency transactions, allowing agencies to avoid these fiscal law limitations.
 - a. The Economy Act: 31 U.S.C. §§ 1535-1536. This is the general authority for interagency acquisitions but is used only when more specific authority does not apply (see below).
 - b. The Project Order Statute: 41 U.S.C. § 6307.
 - c. Other Non-Economy Act Authorities: Government Employees Training Act (GETA), Federal Supply Schedules (FSS), Government Wide Acquisition Contracts (GWAC), and other required sources.
 - d. An agency must use the more specific “non-Economy Act” authorities instead of the Economy Act if applicable. RFO FAR 17.502-2(a)(3).

G. Practitioner’s Note.

1. While the statutory requirements driving interagency transactions are fairly straightforward, this is an area of law that is predominantly regulatory-driven. Those practicing in this area need to be keenly aware as to whether the governing regulations have been updated.
2. Moreover, the regulatory framework for interagency transactions is incredibly fact specific. Depending on the nature of the transaction, certain regulations may or may not apply.

3. DoD is currently transitioning to the U.S. Department of the Treasury's computer-based government invoicing (G-Invoicing) system to administer all interagency agreements. DoD FMR vol. 11A, ch. 3, para. 030503. However, certain subagencies of the DoD are not able to meet this deadline. For example, DLA states that it is "on track to be fully compliant in **Fiscal Year 2026**." See <https://www.dla.mil/Finance/G-Invoicing/> (emphasis original).

II. THE ECONOMY ACT (31 U.S.C. §§ 1535-1536)

A. Purpose.

Provides authority for federal agencies to order goods and services from other federal agencies, or with a major organizational unit within the same agency, if:⁵

1. Funds are available;
2. The head of the ordering agency or unit decides the order is in the best interests of the government;
3. The agency or unit filling the order can provide or get by contract the ordered goods or services; **and**
4. The head of the agency decides that the ordered goods or services cannot be provided as conveniently or cheaply by a commercial enterprise.⁶

B. Authorized Uses.

1. The Economy Act applies only in the absence of a more specific acquisition authority. RFO FAR 17.502-2(a)(3).⁷
2. The Economy Act may not be used by an agency to circumvent conditions and limitations imposed on the use of funds, including extending the period of availability of cited funds. The Economy Act may not be used for services which the servicing agency is required by law to provide the requesting agency and for which it receives appropriations. DoD FMR vol. 11A, ch. 3, para. 030303.

C. Determinations and Findings (D&F) Requirements.

(RFO FAR 17.502-2(b); DRFO FARS 217.503(d) and PGI 217.503; DoD FMR vol. 11A, ch. 3, para. 030501)

1. Basic Determinations. All Economy Act orders must be supported with a written D&F by the requesting agency stating that:

⁵ 31 U.S.C. § 1535(a); DoD FMR, vol. 11A, ch. 3, para. 030301; RFO FAR 17.502-2(a).

⁶ See also *Dictaphone Corp.*, B-244691.2, Nov. 25, 1992, 92-2 CPD ¶ 380 (denying protest where protester claimed the Navy lacked a reasonable basis to conclude that a competitor's product could be acquired cheaper).

⁷ See also *An Interagency Agreement—Admin. Office of the U.S. Courts*, B-186535, 55 Comp. Gen. 1497 (1976).

- a. The use of an interagency acquisition is in the best interest of the government; RFO FAR 17.502-2(b)(1); DoD FMR, vol. 11A, ch. 3, para. 030301.B
- b. The supplies or services cannot be obtained as conveniently or economically by contracting directly with a private source; RFO FAR 17.502-2(b)(2); DoD FMR, vol. 11A, ch. 3, para. 030301.D; **and**
- c. A statement that at least one of the three following circumstances apply: The servicing agency has an existing contract that was created before this order and meets the same needs; or The servicing agency has expertise or abilities to enter a contract that is not available within the requesting agency. RFO FAR 17.502-2(b)(3).

2. D&F Approval Authority.

- a. The D&F must be approved by a contracting officer of the requesting agency with the authority to contract for the supplies or services ordered (or by another official designated by the agency head). RFO FAR 17.502-2(b)(4). (E.g., Army policy requires that the written D&F for Economy Act orders with non-DoD agencies must be approved at no lower than senior executive service (SES)/flag/general office, and an O6 or GS-15 for orders within the DoD. See, AR 5-9, paragraph 4-8b, 17 April 2018).
- b. If the servicing agency is not covered by the RFO FAR, then the D&F must be approved by the requesting agency's Senior Procurement Executive. RFO FAR 17.502-2(b)(4).
- c. The requesting agency shall furnish a copy of the D&F to the servicing agency with the order. RFO FAR 17.502-2(b)(4).

D. Additional Determinations by DoD Policy.

- 1. In accordance with the FY 2008 NDAA, Pub. L. 110-181, Section 801, as amended, use of a non-DoD contract to procure goods or services in excess of the simplified acquisition threshold are allowed "only if the head of the nondefense agency has certified that the agency will comply with

applicable defense procurement requirements for that fiscal year except when waived” RFO FAR 17.603(b); DRFO FARS 217.670.⁸

- a. With some slight differences between the military departments, current policies generally require additional statements including:
 - (1) The order is in the best interest of the military department considering the factors of ability to satisfy customer requirements, delivery schedule, availability of a suitable DoD contract vehicle, cost effectiveness, contract administration (including ability to provide contract oversight), socioeconomic opportunities, and any other applicable considerations;
 - (2) The supplies or services to be provided are within the scope of the non-DoD contract;
 - (3) The proposed funding is appropriate for the procurement and is being used in a manner consistent with any fiscal limitations; and
 - (4) The servicing agency has been informed of applicable DoD-unique terms or requirements that must be incorporated into the contract or order to ensure compliance with applicable procurement statutes, regulations, and directives.
- b. The officials with authority to make these determinations are designated by agency policy.

E. Economy Act Agreements.

- 1. As part of the U.S. Department of the Treasury’s computer-based government invoicing (G-Invoicing) requirement, there are two Fiscal Service Forms (Fiscal Service Forms 7600A & 7600B) that are required for interagency between federal entities. DoD FMR, vol. 11A, ch. 18, para. 180402.
- 2. The 7600A captures the general **agreement** or general terms and conditions between the parties. This form replaces DD Form 1144, Support Agreement.

⁸ Non-DoD agency certifications and additional information are available at the Defense Pricing & Contracting (DPC) webpage under “Interagency Acquisition” *available at* <https://www.acq.osd.mil/asda/dpc/cp/policy/interagency-acquisition.html>.

3. The 7600B captures the **order** and its funding. This form replaces DD Form 448, Military Interdepartmental Purchase Request (MIPR).
4. Practitioner's point. Please note that not all DoD subagencies have completely transitioned to using Treasury's G-Invoicing system. Thus, use of the DD forms may still be required for some interagency acquisitions.

F. Fiscal Matters.

1. Economy Act orders are funded either on a reimbursable basis or by a direct fund citation basis. The ordering agency must pay the actual costs of the goods or services provided 31 U.S.C. § 1535(b); DoD FMR, vol. 11A, ch. 3, para. 030801.⁹
 - a. Actual costs include:
 - (1) All direct costs attributable to providing the goods or services, regardless of whether the performing agency's expenditures are increased; DoD FMR, vol. 11A, ch. 3, para. 030801;¹⁰ **and**
 - (2) Indirect costs, to the extent they are funded out of currently available appropriations, bear a significant relationship to providing the goods or services, and benefit the ordering agency. DoD FMR, vol. 11A, ch. 3, para. 030801.¹¹
 - (3) DoD activities not funded by working capital funds normally do not charge indirect costs to other DoD activities.¹²
 - b. When providing goods or services via a contract, the servicing agency may not require, or the requesting agency pay, any fee or charge which exceeds the actual cost (or estimated cost if the

⁹ See *Use of Agencies' Appropriations to Purchase Computer Hardware for Dep't of Labor's Executive Computer Network*, B-238024, Jun. 28, 1991, 70 Comp. Gen. 592 (concluding that payment in excess of actual costs not only violated the Economy Act, but also the Purpose Statute. Accordingly, the actual cost limitation is **applicable to both Economy Act and non-Economy Act** transactions).

¹⁰ See *Washington Nat'l Airport; Fed. Aviation Admin.*, B-136318, Aug. 14, 1978, 57 Comp. Gen. 674; *GSA Recovery of SLUC Costs for Storage of IRS Records*, B-211953, Dec. 7, 1984 (unpub.) (storage costs); *David P. Holmes*, B-250377, Jan. 28, 1993 (unpub.) (inventory, transportation, and labor costs).

¹¹ See *Washington Nat'l Airport, supra* (depreciation and interest); *Obligation of Funds Under Mil. Interdep'tal Purchase Requests*, B-196404, 59 Comp. Gen. 563 (1980) (supervisory and administrative expenses).

¹² A DoD Working Capital Fund is a revolving, reimbursable operations fund established by 10 U.S.C. § 2208 to sell support goods and services to DoD and other users with the intent to be zero-profit. See DoD FMR vol. 11B.

actual cost is not known) of entering into and administering the contract. RFO FAR 17.502-2(d)(4); DoD FMR, vol. 11A, ch. 3, para. 030801.

- c. Payments by the requesting agency are credited to the appropriation or fund that the servicing agency used to fill the order 31 U.S.C. § 1536; 10 U.S.C. § 2205.
- d. Economy Act orders may **NOT** be used to circumvent the fiscal principles of purpose, time, and amount for appropriations. It is the responsibility of the requesting agency to certify that the funds used are proper for the purpose of the order and for a bona fide need in the fiscal year for which the appropriation is available.¹³
- e. Practitioner's point. There are numerous reimbursement provisions, allowances, and caveats. When used in an interagency agreement, the parties should document therein.
 - (1) The following non-exhaustive list provides some of the reimbursement provisions:
 - (a) Advancing Funds (31 U.S.C. §3324; DoD FMR Vol. 4, Ch. 5 (Direct Costs));
 - (b) Waiving Reimbursement (including direct costs) between DoD Activities (*see* 10 U.S.C. §2571);
 - (c) Waiving De Minimis Costs (*see* DoDI 4000.19, §3.4(c));
 - (d) DoD activities not funded by Working Capital Funds normally do not charge indirect costs to other DoD activities (*see* DoD FMR, Vol. 11A, Ch. 3, Para. 030801);
 - (e) When the contracting activity of one DoD Component provides acquisition support to deployed units or personnel from another DoD Component – Procurement support should be on a nonreimbursable basis, unless the parties mutually agree, in writing, for reimbursable support. (*see* DRFO FARS PGI 217.502-1).

2. Obligation and Deobligation of Funds.

¹³ DoD FMR vol. 11A, ch. 3, para. 030303. *See also*, RFO FAR 17.501(b).

- a. Obligation.
 - (1) Reimbursable Order: the requesting agency obligates funds current when the performing activity accepts the reimbursable order. 31 U.S.C. § 1535(d); DoD FMR, vol. 11A, ch. 3, para. 030604.A.
- b. Deobligation.
 - (1) At the end of the period of availability of the requesting agency's appropriation, funds must be deobligated to the extent that the servicing agency has not itself incurred obligations by: (1) providing the goods or services; or (2) by entering into an authorized contract with another entity to provide the requested goods or services. 31 U.S.C. § 1535(d); DoD FMR, vol. 11A, ch. 3, para. 030604.B.¹⁴
 - (2) This deobligation requirement is intended to prevent attempts to use the Economy Act to "park" funds with another agency to extend the life of an appropriation.

¹⁴ See GAO Redbook, vol. III, ch. 12 (3d Ed.), pp. 12-43 to 12-50.

III. THE PROJECT ORDER STATUTE (41 U.S.C. § 6307).¹⁵

A. Purpose.

Provides DoD with authority to order goods and nonseverable services from DoD-owned and operated activities, separate and distinct from the Economy Act.

1. Allows DoD to place orders or contracts pertaining to “approved projects” with Government-owned establishments. These orders are obligations “in the same manner as provided for similar orders or contracts placed with...private contractors.” 41 U.S.C. § 6307.
 - a. The term “approved projects” in the statute simply refers to projects approved by officials having legal authority to do so. DoD FMR, vol. 11A, ch. 2, para. 020205.
 - b. A “project order” is a specific, definite, and certain order issued under the Project Order Statute. DoD FMR, vol 11A, ch.2, para 020101 and 020506.
2. Within DoD, regulatory guidance on project orders is found at DoD FMR, vol. 11A, ch. 2.¹⁶

B. Applicability.

1. DoD-Owned Establishment. Although the language of the statute refers broadly to “Government-owned establishments,” it applies only to transactions between military departments and government-owned, government-operated (GOGO) establishments within DoD. DoD FMR, vol. 11A, ch. 2, para. 020201 and 020504.
2. GOGO establishments include:
 - a. Equipment overhaul or maintenance shops, manufacturing or processing plants or shops, research and development laboratories, computer software design activities, testing facilities, proving grounds, and engineering and construction activities. DoD FMR, vol. 11A, ch. 2, para. 020201.

¹⁵ Numerous sections of Title 41 were renumbered by Pub. L. 111-350, Jan. 4, 2011. The Project Order Statute was previously identified as 41 U.S.C. § 23.

¹⁶ The Coast Guard has similar project order authority, at 14 U.S.C. § 151.

- b. GAO decisions have also “found arsenals, factories, and shipyards owned by the military to be GOGOs.” *Matter of John J. Kominski*, B-246773, May 5, 1993, 72 Comp. Gen. 172.
- 3. Government-Operated.
 - a. The DoD-owned establishment must substantially do the work in-house.
 - b. While the DoD-owned establishment may contract for incidental goods or services pursuant to a project order, it must itself incur costs of not less than 51% of the total costs attributable to performing the work. DoD FMR, vol. 11A, ch. 2, para. 020515.
- 4. Nonseverable Work Only.
 - a. Under DoD FMR, vol. 11A, ch. 2, para. 020509, activities may use project orders only for nonseverable or “entire” efforts that call for a single or unified outcome or product, such as:
 - (1) Manufacture, production, assembly, rebuild, reconditioning, overhaul, alteration, or modification of:
 - a) Ships, aircraft, and vehicles of all kinds;
 - b) Guided missiles and other weapon systems;
 - c) Ammunition;
 - d) Clothing;
 - e) Machinery and equipment for use in such operations; and
 - f) Other military and operating supplies and equipment (including components and spare parts)
 - (2) Construction or conversion of buildings and other structures, utility, and communication systems, and other public works;
 - (3) Development of software programs and automated systems when the purpose of the order is to acquire a specific end-product;
 - (4) Production of engineering and construction related products and services.

- b. Activities may **not** use project orders for severable services, such as:
 - (1) Custodial, security, fire protection, or refuse collection;
 - (2) Routine maintenance in general, such as grounds maintenance, heat and air conditioning maintenance, or other real property maintenance;
 - (3) Services such as education, training, subsistence, storage, printing, laundry, wellRFO FARE, transportation, travel, utilities, or communications; or
 - (4) Efforts where the stated or primary purpose of the order is to acquire a level of effort (e.g., 100 hours, or one year) rather than a specific, definite, and certain end-product.

C. Fiscal Matters.

1. Obligation of Funds.

- a. A project order is a valid and recordable obligation of the requesting agency when the order is issued and accepted. DoD FMR, vol. 11A, ch. 2, para. 020302.1.¹⁷
- b. The project order must serve a valid *bona fide need* that exists in the fiscal year in which the project order is issued. DoD FMR, vol. 11A, ch. 2, para. 020508.

2. Deobligation of Funds.

- a. Unlike orders under the Economy Act, there is no general requirement to deobligate the funds if the servicing agency has not performed before the expiration of the funds' period of availability. 41 U.S.C. § 6307.
- b. At the time of acceptance, evidence must exist that the work will be commenced without delay (usually within 90 days) and that the work will be completed within the normal production period for the specific work ordered. DoD FMR, vol. 11A, ch. 2, para. 020510.A.
- c. If that evidence existed at the time of acceptance and is documented in the file, then there are no consequences if the

¹⁷ Providing the obligation otherwise meets the criteria for recordation of an obligation contained in 31 U.S.C. §1501(a) (the "Recording Statute").

servicing agency subsequently fails to begin work within the 90 days unless that delay extends beyond 1 January of the following calendar year.

- (1) If work on a project order does not begin, or is not expected to begin, by January 1 of the following calendar year, then the project order must be returned for cancellation and the funds deobligated.
- (2) If it is documented that the delay is unavoidable and could not have been foreseen at the time of project order acceptance and that documentation is retained for audit review, then the project order can be retained and executed. DoD FMR, vol. 11A, ch. 2, para. 020510.B.

D. Ordering Procedures.

1. Project orders are analogous to contracts placed with commercial vendors and, similar to such contracts, must be specific, definite, and certain both as to the work and the terms of the order itself. DoD FMR, vol. 11A, ch. 2, para. 020506.
2. Project orders shall be issued on a reimbursable basis only (no direct cite orders). DoD FMR, vol. 11A, ch. 2, para. 020519. The project order may be on a fixed-price or costs-incurred (cost-reimbursement) basis. DoD FMR, vol. 11A, ch. 2, para. 020701.
3. Per DoD FMR, vol. 11A, ch. 2, para. 020303, Treasury has established a standard Interagency Agreement form containing the GT&Cs (FS Form 7600A) and the Order (FS Form 7600B) for federal-wide use in carrying out buy/sell transactions between trading partners.
4. At the time of acceptance, evidence must exist that the work will be commenced without delay (usually within 90 days) and that the work will be completed within the normal production period for the specific work ordered. DoD FMR, vol. 11A, ch. 2, para. 020510.1.
5. Because project orders are not made under the authority of the Economy Act, there is no requirement for determinations and findings (D&F).¹⁸

¹⁸ See RFO FAR 17.500(c), which excludes interagency reimbursable work performed by federal employees from the requirements of RFO FAR 17.5.

IV. OTHER NON-ECONOMY ACT AUTHORITIES.

A. Purpose.

Specific statutory authority for interagency acquisitions for DoD to obtain goods and services from a non-DoD agency outside of the Economy Act. When any of these more-specific non-Economy Act authorities apply, they must be used instead of the Economy Act.

B. Fiscal Matters.

1. Obligation of Funds. The requesting agency records an obligation upon meeting all the following criteria:¹⁹
 - a. A binding agreement, in writing, between the agencies;
 - b. For a purpose authorized by law;
 - c. Serve a bona fide need of the fiscal year or years in which the funds are available for new obligations;²⁰
 - d. Executed before the end of the period of availability of the appropriation used; and
 - e. Provides for specific goods to be delivered or specific services to be supplied.
2. Deobligation of Funds.
 - a. DoD Policy: In response to several GAO and DoD Inspector General audits indicating contracting and fiscal abuses with DoD agencies' use of interagency acquisitions, the DoD has issued policy that severely restricts the flexibility that these non-Economy Act authorities provide. DoD FMR, vol. 11A, ch. 18, para. 180506.
 - (1) General: Expired funds must be returned by the servicing agency and deobligated by the requesting agency to the extent that the servicing agency has not:

¹⁹ DoD FMR vol. 11A, ch. 18, para. 180505.

²⁰ While *bona fide need* is generally a determination of the requesting agency and not that of the servicing agency, a servicing agency can refuse to accept a non-Economy Act order if it is obvious that the order does not serve a need existing in the fiscal year for which the appropriation is available. DoD FMR, vol. 11A, ch. 18, para. 180208.

- (a) Provided the goods or services (or incurred actual expenses in providing the goods or services); or
 - (b) Entered into a contract with another entity to provide the goods or services before the funds expired, subject to the bona fides need rule.
- (2) Non-Severable Services: the contract must be funded entirely with funds available for new obligations at the time the contract was awarded, even though performance may extend across fiscal years. DoD FMR, vol. 11A, ch. 18, para. 180506.²¹
- (3) Severable Services: one-year funds may be used to fund up to twelve months of continuous severable services beginning in the fiscal year of award and crossing fiscal years under the authority of 10 U.S.C. § 3133. DoD FMR, vol. 11A, ch. 18, para. 180506.²²
- (4) Goods: if the contract is for goods that were not delivered within the funds period of availability, the funds must be deobligated and current funds used, unless the goods could not be delivered because of delivery, production or manufacturing lead time, or unforeseen delays that are out of the control and not previously contemplated by the contracting parties at the time of contracting. DoD FMR, vol. 11A, ch. 18, para. 180506.

3. Advance Payment.

- a. DoD agencies are prohibited from making advance payments to non-DoD agencies unless specifically authorized by law. DoD FMR, vol. 11A, ch. 18, para. 030701.
- b. For those few exceptions where DoD is specifically authorized to advance funds, the specific appropriation or law authorizing the

²¹ See DoD FMR, vol. 11A, ch. 18, para. 180401 (requiring a statement that “I certify that the goods or non-severable services to be acquired under this agreement are necessary expense of the appropriation charged, and represent a bona fide need of the fiscal year in which these funds are obligated.”).

²² See DoD FMR, vol. 11A, ch. 18, para. 180401 (requiring a statement on the funding document that states: “all funds not placed on contract this fiscal year shall be returned promptly to the ordering activity, but *no later than one year after the acceptance of the order, or upon completion of the order, which ever is earlier*”) (emphasis added). Therefore, a DoD requesting activity can still “lose” funds if the servicing agency does not award a contract promptly after acceptance of the order. See *U.S. Army Europe--Obligation of Funds for an Interagency Agreement for Severable Service*, B-323940, Jan 7, 2015, 2015 U.S. Comp. Gen. LEXIS 4.

advance must be cited on the obligating and/or interagency agreement documents and orders, and any unused amounts of the advance must be collected from the servicing agency immediately and returned to the fund from which originally made. DoD FMR, vol. 11A, ch. 18, para. 030701.

C. DoD Policy for non-DoD orders.

1. If the non-Economy Act order is over the Simplified Acquisition Threshold (SAT), comply with your Military Department's policy requirements for use of non-DoD contracts over the SAT, in addition to the requirements below. (*See supra* part II.D., discussing determinations for Economy Act orders).
2. Best Interest Determination.
 - a. Each requirement must be evaluated to ensure that non-Economy Act orders are in the best interest of DoD. Factors to consider include: satisfying customer requirements; schedule, cost effectiveness, considering the discounts and fees; and contract administration, to include oversight. DRFO FARS 217.670; DoD FMR, vol. 11A, ch. 18, para. 180403.
 - b. Additionally procedures include ensuring the tasks to be accomplished or supplies to be provided are within scope of the contract to be used; funding is within appropriation limitations, and the collection of data and reporting of data on assisted acquisitions occurs pursuant to DRFO FARS 204.301.
 - c. If the order is in excess of the SAT, then the best interest determination must be documented in accordance with individual Military Department policy.

D. Commonly used non-Economy Act transaction authorities.

1. Government Employees Training Act (GETA). (5 U.S.C. § 4104).
 - a. Purpose: permits agencies to provide training to employees of other federal agencies on a reimbursable basis.
 - (1) Servicing agency is authorized to collect and to retain a fee to offset the costs associated with training the employees of other agencies.

- (2) Reimbursement is NOT authorized for training of other agency employees if funds are already provided for interagency training in its appropriation.²³
 - b. Federal agencies must provide for training, as RFO FAR as practicable, by, in, and through government facilities under the jurisdiction or control of the particular agency.
 - c. Limitation: Non-government personnel.
 - (1) This authority applies only to transactions between federal government agencies; therefore, it does not authorize the provision of training to non-government personnel.
 - (2) The Comptroller General has not objected to federal agencies providing training to non-government personnel on a space-available basis incidental to the necessary and authorized training of government personnel, but the non-government personnel must reimburse the government for the costs of that training, and the agency providing the training must deposit the fees collected in the Treasury as miscellaneous receipts.²⁴
- 2. Federal Supply Schedules (FSS). (41 U.S.C. §§ 251-266-- The Federal Property and Administrative Services Act of 1949; 40 U.S.C. § 501; RFO FAR Subpart 8.4).
 - a. Purpose: authorizes the General Services Administration (GSA) to enter into contracts for government-wide use outside of the restrictions of the Economy Act.
 - (1) The FSS program (also known as the GSA Schedules Program or the Multiple Award Schedule Program) provides federal agencies with a simplified process for obtaining commercial supplies and services at prices associated with volume buying.
 - (2) The GSA negotiates with vendors for the best prices afforded their preferred customers for the same or similar items or services, and awards thousands of government-

²³ OFFICE OF PERSONNEL MANAGEMENT, TRAINING POLICY HANDBOOK: AUTHORITIES AND GUIDELINES 26, May 11, 2007.

²⁴ *Army Corps of Engineers - Disposition of Fees Received from Private Sector Participants in Training Courses*, B-271894, Jul. 24, 1997, 1997 U.S. Comp. Gen. LEXIS 252; *To the Secretary of Commerce*, B-151540 Jun. 7, 1963, 42 Comp. Gen. 673.

wide ID/IQ contracts for over 11 million commercial items and services.

- (3) Agencies place orders or establish blanket purchasing agreements against these Schedule contracts.
 - b. The procedures of RFO FAR 17.5 do not apply to orders of \$750,000 or less issued against Federal Supply Schedules. RFO FAR 17.500(c)(2).
3. Committee for Purchase From People Who Are Blind or Severely Disabled. (41 U.S.C. §§ 46-48c – The Javits-Wagner-O’Day Act (JWOD Act); 41 C.F.R. Part 51; RFO FAR Subpart 8.7).
- a. Purpose: provides authority to orchestrate agencies’ purchase of goods and services provided by nonprofit agencies employing people who are blind or severely disabled.
 - b. Program Oversight: the Committee for Purchase From People Who Are Blind or Severely Disabled (the Committee) oversees the AbilityOne program (formerly known as the JWOD Program).
 - c. Ordering Requirements:
 - (1) The JWOD Act requires agencies to purchase supplies or services on the Procurement List (this list may be accessed at <http://www.abilityone.gov>) maintained by the Committee,²⁵ at prices established by the Committee, from AbilityOne nonprofit agencies if they are available within the period required.
 - (2) These supplies or services may be purchased from commercial sources only if specifically authorized by the applicable central nonprofit agency or the Committee.
4. Federal Prison Industries, Inc. (FPI or UNICOR). (18 U.S.C. §§ 4121-4128; RFO FAR Subpart 8.3).
- a. Originally required federal departments and agencies to purchase products of FPI that met requirements and were available at market

²⁵ The decision to place an item or service on the procurement list is subject to review. See Systems Application Technologies v. United States, 107 Fed. Cl. 795 (2012) (concluding that the Committee’s decision to place Army live-fire range operation and maintenance services on the Procurement List was arbitrary and capricious).

price or less, unless FPI granted a waiver for purchase of the supplies from another source. 10 U.S.C. § 3905.²⁶

- b. Current Requirements: RFO FAR Subpart 8.3 provides contracting officer requirements for a written determination to demonstrate the assessment that purchasing an item of supply listed in the FPI schedule are comparable to supplies available from the private sector and meet the government's specified needs. RFO FAR 8.303.

5. The Clinger-Cohen Act of 1996. (40 U.S.C. §§ 11101-11704).

- a. Purpose: required the Director, Office of Management and Budget (OMB) to improve the way the federal government acquires and manages information technology by designating one or more heads of executive agencies as executive agent for Government-wide acquisitions of information technology.
 - (1) Government-wide Acquisition Contracts (GWACs) are multiple award task order or delivery order contracts used by other agencies to procure information technology products and services outside of the Economy Act. RFO FAR 2.101; *see also* discussion and references at section I.B *supra* regarding business-case analysis for new or renewed GWACs.
 - (2) To use GWACs, agencies may either obtain a delegation of authority from the GWAC Center or work through a procurement support operation such as GSA's Office of Assisted Acquisition Services.
- b. Presently, three agencies serve as executive agents to award and administer GWACs pursuant to OMB designation: GSA, NASA, and the National Institutes of Health. These agencies operate several GWACs. A list of some current GWACs is available at www.gsa.gov/gwacs; <https://nitaac.nih.gov/services/cio-sp3>; <https://www.contractdirectory.gov/contractdirectory/>.
- c. Currently, the National Institutes of Health is in the process of evaluating the Chief Information Officers-Solutions and Partners (CIO-SP4) GWAC. <https://nitaac.nih.gov/gwacs/cio-sp4>. CIO-SP3 is extended through 20 April 2026.

²⁶ FPI products are listed in the FPI Schedule, at <http://www.unicor.gov>. FPI also offers services, though agencies have never been required to procure services from FPI.

6. Franchise Funds. (The Government Management Reform Act of 1994, Pub. L. No. 103-356, Title IV, § 403, 103 Stat. 3413 (Oct. 13, 1994)).
 - a. Purpose: authorized the Director of OMB to establish six franchise fund pilot programs to provide common administrative support services on a competitive and fee basis.
 - (1) OMB designated pilots at Department of Interior, Department of Treasury, Department of Commerce, Environmental Protection Agency, Veterans Affairs, and Department of Health and Human Services.
 - (2) Of these, the DoD most frequently uses Interior Business Center (formerly GovWorks was the Department of the Interior franchise fund),²⁷ run by the Department of the Interior, and FedSource, run by the Department of the Treasury.
 - b. Operating Details:
 - (1) Franchise funds are revolving, self-supporting businesslike enterprises that provide a variety of common administrative services, such as payroll processing, information technology support, employee assistance programs, and contracting services.
 - (2) To cover their costs, the franchise funds charge fees for services. Unlike other revolving funds, the laws authorizing each franchise fund allow them to charge for a reasonable operating reserve and to retain up to 4 percent of total annual income for acquisition of capital equipment and financial management improvements.
 - c. Although these pilots were to expire at the end of fiscal year 1999, they have been extended several times.
 - (1) The termination provision at section 403(f) was amended to be limited to the DHS Working Capital Fund.

²⁷ A previous DoD-wide prohibition on purchases in excess of \$100,000 through GovWorks imposed on June 14, 2007, has since been rescinded. *See* Office of the Under Secretary of Defense (Acquisition, Technology and Logistics) memorandum, subject: Revision to DoD Prohibition to Order, Purchase, or Otherwise Procure Property or Services through the Acquisition Services directorate of the Department of Interior's National Business Center locations, Herndon, Virginia (formerly known as GovWorks and now known as AQD-Herndon) and Sierra Vista, Arizona (formerly known as Southwest Branch and now known as ACQ-Sierra Vista), dated March 28, 2008, available at <http://www.acq.osd.mil/dpap/policy/policyvault/2008-0213-DPAP.pdf>. However, this memo imposed a new restriction on acquisition of furniture.

(Consolidated Appropriations Act, 2008, Pub. L. No. 110-161, Title VII, § 730, 121 Stat. 1844 (Dec. 26, 2007)).

- (2) Because the termination provision no longer applies to the other franchise fund pilot programs, the others are now apparently permanent.
 - (3) OMB recently released guidance on the use of these funds with efforts to transform the delivery these types of services into a shared services model.²⁸ This transformation is ongoing, and as a result, OMB will have the latest guidance on how agencies can best utilize these shared services.
- d. NOTE: while the deobligation requirements of the Economy Act do not apply, various audits have identified contracting and fiscal abuses with DoD's use of franchise funds.²⁹ Accordingly, the deobligation policies described in section IV.B *supra*, would apply here as well.

7. The International Cooperative Administrative Support Services (ICASS)

- a. Purpose: The International Cooperative Administrative Support Services (ICASS) is a system, mandated by law³⁰ that provides and manages U.S. federal agencies' costs for administrative support at Department of State (DoS) facilities outside the United States.
 - (1) The Department of State has Title 22 authority to enter into ICASS agreements.³¹ Under that authority, DoS can enter into an agreement with other federal agencies for administrative services when those services can "be performed more advantageously and more economically on

²⁸ Improving Administrative Functions Through Shared Services, OMB M-16-11 dated May 4, 2016.

²⁹ See, e.g., GOVERNMENT ACCOUNTABILITY OFFICE, INTERAGENCY CONTRACTING: FRANCHISE FUNDS PROVIDE CONVENIENCE, BUT VALUE TO DOD IS NOT DEMONSTRATED, GAO-05-456 (July 2005); *Expired Funds and Interagency Agreements between GovWorks and the Department of Defense*, B-308944, Jul. 17, 2007 CPD ¶ 157.

³⁰ The Omnibus Consolidated Appropriations Act of 1997, Pub. L. No. 104-208, § IV, 110 Stat. 3009, 46 (1997) (Mandated the establishment of a system "that allocates to each department and agency the full cost of its presence outside of the United States").

³¹ The State Department Basic Authorities Act of 1956 § 23, 22 U.S.C. § 2695 (2018) (authorizes the Department of State to enter into a support agreement to provide administrative services to a United States federal agency when that agency is conducting a foreign affairs function and it is determined that the consolidation of the administrative services performed in common is more advantageous and economical to both agencies).

a consolidated basis.”³² ICASS is the current consolidated service system.³³ It was designed to share costs of operating DoS posts overseas among the various federal agencies permanently present in an Embassy such as Federal Bureau of Investigation (FBI), Defense Intelligence Agency (DIA), and others. Department of State manages those costs and expenses through a working capital fund.³⁴ The DoS Foreign Affairs Handbook³⁵ (FAH) implements ICASS.

- (2) The Department of Defense Instruction (DODI) 7060.06 provides guidance on using ICASS. The DODI 7060.06 states that the DoD will participate in ICASS “when such participation is determined to be the most economical means of obtaining support and when mission performance necessitates ICASS support.”³⁶ The DODI also the department guidance for managing ICASS.

NOTE: Agreeing to ICASS and then overseeing the implementation of ICASS are both challenging.³⁷ DOS requires DOD agencies sign a Memorandum of Understanding (MOU). Practitioners should note that certain clauses may violate the most basic DOD fiscal law provisions. The management of ICASS is also challenging. The ICASS guidance³⁸ requires requesting agencies maintain accountability on the administration of ICASS. When a DOD

³² *Id.* at § 2695(a) (2018).

³³ The Omnibus Consolidated Appropriations Act of 1997, Pub. L. No. 104-208, § IV, 110 Stat. 3009, 46 (1997); *See also* Geri Kam, *ICASS: Revolution Underway*, U.S. DEP’T OF STATE ARCHIVE, https://1997-2001.state.gov/publications/statemag/statemag_nov-dec/featxt3.html (last visited Apr. 09, 2024).

³⁴ The State Department Basic Authorities Act of 1956 § 13, 22 U.S.C. § 2684 (authorizing a working capital fund necessary for providing administrative services to a United States federal agency).

³⁵ *See* U.S. DEP’T OF STATE, FOREIGN AFFAIRS HANDBOOK 6 FAH-5, Home Page - Foreign Affairs Manual <https://fam.state.gov/>.

³⁶ U.S. DEP’T OF DEF., INSTR. 7060.06, INTERNATIONAL COOPERATIVE ADMINISTRATIVE SUPPORT SERVICES (ICASS), 1 (2 Oct. 2020).

³⁷ Inspector Gen., U.S. DEP’T OF DEF., No. 2016-048, U.S. Army Central Did Not Implement Controls to Effectively Manage the Shared Cost of Administrative Support Functions in Iraq (17 Feb. 2016) (USARCENT did not participate in International Cooperative Administrative Support Service committees, nor did it have an ability to assess its billing accuracies).

³⁸ U.S. DEP’T OF DEF., INSTR. 7060.06, INTERNATIONAL COOPERATIVE ADMINISTRATIVE SUPPORT SERVICES (ICASS), encl. 2, para. 4 (2 Oct. 2020) (heads of the Department of Defense components will establish and maintain procedures for tracking and paying service charges; attend conferences; and establish a representative for the ICASS Council and budget committee).

agency is an occasional user of ICASS, this aspect can present its challenges.

8. Reimbursable Orders for Design and Construction of DoD Facilities (10 U.S.C. § 2818)³⁹
 - a. Purpose: Permits DoD elements to place reimbursable orders with other DoD elements for the design and construction of DoD facilities, including facility maintenance and repair projects, and unspecified minor military construction projects under 10 U.S.C. § 2805.40
 - b. Reimbursable orders placed under this non-Economy act authority are “considered to be an obligation ... in the same manner” as a similar order or contract placed with a private entity.⁴¹
 - c. The servicing agency “may include an amount equal to not more than 10 percent of the proposed value of the contract for contingency expenses.”⁴²
 - d. Fund obligations under this authority do not require deobligation like Economy Act orders. However, under the Recording Statute (31 U.S.C. § 1501) an order must describe the design and construction work in specific, definite and certain terms (e.g., similar to what is included in a Statement of Work). These orders must serve the bona fide need that exists in the fiscal year in which the order is executed.

³⁹Enacted under the National Defense Authorization Act for Fiscal Year 2025 (“FY25 NDAA”), Pub. L. 118-159, Div. B, Title XXVIII, Subtitle C, §2843, 138 Stat. 2263 (2024))

⁴¹ 10 U.S.C. § 2818(b).

⁴²10 U.S.C. § 2818(c).

VI. DOD POLICY ON USE OF NON-DoD CONTRACTS.⁴³

- A. Requirements For Use of Non-DoD Contracts Over the Simplified Acquisition Threshold.
1. The policies of the Military Departments require certain written determinations or certifications prior to using a non-DoD contract for goods or services over the simplified acquisition under the Economy Act or under any non-Economy Act authority, to include orders against GSA's FSS). *See* DRFO FARS 217.600; DoD FMR, vol. 11A, ch. 18, para. 180303.
 2. The officials with authority to make these determinations/certifications are designated by agency policy (e.g., Army policy requires that these written certifications be executed by the head of the requiring activity (O-6/GS-15 level or higher, and requires concurrence by specific contracting activity officials depending on the value of the acquisition.)). *See* ARFO FARS PGI 5117.670.
 3. This requirement is separate and distinct from the D&F required for Economy Act transactions but may be combined with the D&F for approval by an official with authority to make all determinations and issue all approvals.
 4. With some slight differences between the Military Departments (see your individual service policy), these policies generally require:
 - a. The order is in the best interest of the Military Department considering the factors of ability to satisfy customer requirements, delivery schedule, availability of a suitable DoD contract vehicle, cost effectiveness, contract administration (including ability to provide contract oversight), socioeconomic opportunities, and any other applicable considerations;
 - b. The supplies or services to be provided are within the scope of the non-DoD contract;
 - c. The proposed funding is appropriate for the procurement and is being used in a manner consistent with any fiscal limitations; and
 - d. The servicing agency has been informed of applicable DoD-unique terms or requirements that must be incorporated into the contract

⁴³ Common policy applicable for Economy Act and non-Economy Act transactions.

or order to ensure compliance with applicable statutes, regulations, and directives. DRFO FARS 217.670.

B. Certifications.

Under RFO FAR 17.6, the requesting agency may not procure from a non-DoD servicing agency that fails to comply with DoD procurement laws and regulations unless the Under Secretary of Defense determines in writing that “it is necessary in the interest of the Department of Defense to continue to procure property and services through the non-defense agency during such fiscal year.” Pub. L. No. 110-181 (2008 National Defense Authorization Act, § 801).⁴⁴ Certifications from non-DoD agencies indicating that they will comply with defense procurement and financial management regulations are maintained at <https://www.acq.osd.mil/asda/dpc/cp/policy/interagency-acquisition.html>.

⁴⁴ See Office of the Under Secretary of Defense (AT&L) memorandum, Subject: Delegation of Authority under Section 801 of the National Defense Authorization Act for Fiscal Year 2008, dated July 19, 2008. See also Office of the Under Secretary of Defense (AT&L) memorandum, Subject: National Defense Authorization Act for Fiscal Year 2008 (Pub. L. No. 110-181, Section 801, *Internal Controls for Procurements on Behalf of the Department of Defense by Certain Non-Defense Agencies, Requests for “Waiver,”* dated September 18, 2009. Waiver procedures are also addressed in RFO FAR 17.703(e) and (f).

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CHAPTER 33

OTHER TRANSACTION AUTHORITY

“[T]he [Senate Armed Services] committee remains frustrated by an ongoing lack of awareness and education regarding other transactions, particularly among . . . lawyers.

This lack of knowledge leads to . . . restrictive, risk averse interpretations . . . [and]. . . unnecessarily restrictive contracting methods, needlessly adding bureaucracy, cost, and time.”

S. Rep. No. 115-125, at 189 (2017)

“If a strategy, practice, or procedure is in the best interest of the Government and is not prohibited by law or Executive Order, the Government team should assume it is permitted.”

[2023 DoD OT Guide 2.0, July 2023](#), page 3.

“To make the best use of the [Other Transaction Authority], we strongly encourage the Department to invest in continuous and experiential education for management, technical, and contracting personnel, as well as attorneys, to understand how to effectively and innovatively use other transaction authority and explore flexible means to achieve mission results more quickly and with more value added.”

[Joint Explanatory Statement](#) accompanying the FY2023 NDAA

I. INTRODUCTION¹

Over the past several decades, various changes in the market and geopolitics have revolutionized the process of innovation. Merely a generation ago, technological advancements were developed by the government for military use. Government spending on research and development (R&D) used to outpace the private sector. However, the predominance of technological innovation has shifted to the commercial sector, which now leads the way in cutting-edge military-compatible advancements in areas such as robotics, artificial intelligence, cybersecurity, autonomous systems, and space. This shift in sources of innovation - from the military to the commercial sector - has increased military competition with foreign forces that now have access to the same global technology marketplace.

Given the speed at which technology advances, DoW must leverage those advances to preserve national security. Adversaries are narrowing technological advantages of the United States; acquisition professionals must be able to procure the right technology quickly. In order to

¹ Sections of this chapter appear in Andrew Bowne, *Introduction to Other Transaction Authority and Intellectual Property Issues*, in STREAMLINED PROCUREMENT: THE EFFECTIVE USE OF “OTHER TRANSACTION AUTHORITY” ACQUISITIONS AND SPECIAL ISSUES RELATED TO INTELLECTUAL PROPERTY AND DATA RIGHTS 4-28 (2019).

attract interest from innovators, flexibility in contracting is key. The DoW has a unique statutory authority, under 10 U.S.C. § 4021 and 4022, that permits agile acquisition of next-generation technology. This authority is commonly known as **Other Transaction Authority (OTA)**. The authority permits the DoW to enter into agreements that are not traditional procurement contracts bound by the Federal Acquisition Regulations (FAR).

Other Transaction (OTs) agreements give the DoW the necessary flexibility to engage with nontraditional defense contractors in a way that is fundamentally different from contracting under the FAR. When used appropriately, OTs can provide the DoW with access to state-of-the-art technology solutions from traditional and nontraditional defense contractors, through a multitude of potential teaming arrangements tailored to the particular project and the needs of the participants. This flexibility permits the military services to accelerate technology development and fielding of resulting capabilities to warfighters. Effective utilization of OTs can assist the DoW in maintaining a technological advantage vital to the preservation of national security.

II. OBJECTIVES

- A. The learning objectives of this chapter are:
 - 1. Understand the reasons for using OTA for prototype projects.
 - 2. Understand when the use of OTA is appropriate within the statutory framework.
 - 3. Understand the statutes and regulations that apply to OTs and those that apply to procurement contracts but not to OTs.
 - 4. Understand what a consortium does and how one is used by the government in competing and awarding OT agreements.
 - 5. Understand common terms and conditions used in an OT agreement.
 - 6. Understand how the government can award a follow-on production contract after successful completion of an OT prototype.

III. BACKGROUND

- A. Definition of Other Transaction
 - 1. OTs are not defined in statute or in the FAR. Rather, they are defined in the negative; they are not procurement contracts, grants, or cooperative agreements.² Nonetheless, these agreements are still legally binding contracts. Because this statutory authority places OTs outside the legal and regulatory construct of federal procurement contracts, OTs can

² Courts have also adopted this “negative” definition of OTs, defining them as transactions “other than contracts, cooperative agreements, and grants.” (*See e.g. Hydraulics Int’l Inc. v. United States*, 161 Fed. Cl. 167, 172 (2022)).

provide greater flexibility than what may be possible under a FAR-based contract. This flexibility helps the DoW to reduce barriers to entry for nontraditional defense contractors and offers a streamlined method for carrying out prototype projects and transitioning to follow-on production. OTs may be the only contract vehicle flexible enough to permit the government to engage with certain sectors of industry that may be unwilling or unable to comply with the various compliance requirements and data rights framework inherent to traditional procurement methods.

B. History

1. OTs are not new. OTA predates the FAR by about 16 years. The first OTA was provided by Congress to the National Aeronautics and Space Administration (NASA) in the Space Act of 1958 in response to the Soviet Union's successful Sputnik mission. The Space Act created NASA and provided authority for the new agency "to enter into and perform such contracts, leases, cooperative agreements or other transactions as may be necessary in the conduct of its work." NASA still utilizes this authority today. Space Act, Pub. L. 85-568, 72 Stat 426 (1958).
2. Since the Space Act, Congress has provided various forms of OTA, some permanent and others temporary, to many federal agencies. These agencies include NASA, DoW, National Institutes of Health, Federal Aviation Administration, Department of Transportation, Transportation Security Administration, Department of Homeland Security (DHS), Department of Energy, Department of Health and Human Services, Domestic Nuclear Detection Office, Advanced Research Projects Agency – Energy. The scope of authority provided to each agency varies and most agencies only have research and development authority as only DHS and DoW currently have prototype authority. This chapter focuses on authority provided to the DoW.
3. In 1989, Congress authorized the Defense Advanced Research Projects Agency (DARPA) to carry out basic, applied, or advanced research projects via OTs. Several years later, Congress extended that authority to the rest of the DoW under Section 845 of the Fiscal Year (FY) 1994 National Defense Authorization Act (NDAA), which amended Section 2371. Section 845 also authorized the DoW temporary authority to carry out OT agreements for prototype projects. Though initially used sparingly, OTs became the focus of Congress in recent years due to their flexibility and attractiveness to nontraditional defense contractors such as the tech firms in Silicon Valley. Section 815 of the FY 2016 NDAA repealed Section 845 and replaced it with expanded and permanent OTA for prototypes projects then codified at 10 U.S.C 2371b (since renumbered to 10 U.S.C. 4022).

4. In the years since, Congress has demonstrated a preference for the use of OTs and has expressed frustration at the lack of awareness and education regarding OTA, “particularly among senior leaders, contracting professionals, and lawyers.” S. Rep. 115-125 (2017).
5. In the FY 2018 NDAA, Congress provided several new updates to OTA, including:
 - a. Section 216 authorizes the use of OTs for prototype projects with nonprofit research institutions.
 - b. Section 861, Contract Authority for Advanced Development of Initial or Additional Prototype Units.
 - c. Section 862, Methods for Entering into Research Agreements.
 - d. Section 863, Education and Training for Transactions Other than Contracts of Grants, mandating DoW personnel receive adequate education and training, including continuous learning on OTA.
 - e. Section 864, OT Authority for Certain Prototype Projects, increasing dollar thresholds for delegated approval authority; expanding the definition of “transaction” to include “all individual prototype subprojects awarded under the transaction to a consortium of the United States industry and academic institutions”; and adding Small Business Innovation Research (SBIR) and Small Business Technology Transfer (SSTR) as significant participants.
 - f. Section 865, Amendment to the Nontraditional and Small Contractor Innovation Prototyping Program.
 - g. Section 866, Middle Tier of Acquisition for Rapid Prototyping and Rapid Fielding.
 - h. Section 867, Preference for Use of OT and Experimental Authority, directing the Secretary of War to establish a preference for using OTA for research and prototype projects.
6. In the FY 2023 NDAA, Congress further expanded DoW’s OTA, including:
 - a. Section 842 in Title VIII, Acquisition Policy, Acquisition Management, and Related Matters, revising 10 U.S.C. § 4022. Notably, the statutory revision contained in Section 842 now allows a follow-on production contract or transaction to be awarded “even if explicit notification was not listed within the request for proposal for the transaction” under certain conditions.

This is a significant change to OT practice and essentially reverses the GAO's decision in *Oracle America*, B-416061, May 31, 2018.

- b. Section 843 codified the definition of prototype. Section 843 also makes clear that a pilot or novel application of commercial technologies in the defense area, agile development activity, and the creation, design, development or demonstration of operational activity are all within DoW's prototype authority.
 - c. Section 717 in Title VII, Health Care Provisions, extends DOW's OT authority to include using such authority to conduct studies and demonstration projects on the health care delivery system of the uniformed services related to improving the quality, efficiency, convenience, and cost-effectiveness of providing health care services to service members and former members and their dependents.
 - d. Section 6711 in Title LXVII, Matters Relating to Emerging Technology, amends 50 U.S.C. § 3024(n), among other things, to grant the Director of National Intelligence (DNI) OT authority consistent with DoW's research and development (10 U.S.C. § 4021) and prototype (10 U.S.C. § 4022) OT authority.
 - e. Section 8160 of the Water Resources Development Act of 2022, among other things, grants the Secretary of the Army authority for prototype OT projects, including follow-on production OTs, to support basic, applied, and advanced research activities that are directly relevant to water-resources development projects and to support the missions and authorities of the Corps of Engineers.
7. In the FY 2024 NDAA, Congress continued to expand DoW's OTA, including:
- a. Section 821 clarifies that an award for a follow-on *production* agreement or contract pursuant to 10 U.S.C. § 4022(f) *does not* need to satisfy the participant-status requirements contained at 10 U.S.C. § 4022(d)(1).
 - b. Section 822 modified the authority for installation or facility prototyping. Specifically, this Sec. 822 (1) clarifies that, with regard to the pilot program for installation or facility prototyping, the two-prototype project limit per fiscal year does not apply to projects carried out for the purpose of repairing a facility, (2) increases the permissible aggregate value of all transactions entered into under the pilot program from \$200M to \$300M, and (3) addresses available appropriations the DoW may use for the pilot.

- c. Section 913 elevates and codifies the Defense Innovation Unit and grants the DIU Director authority similar to that of the DARPA Director for research and prototype OTs undertaken pursuant to 10 U.S.C. §§ 4021-4022.
 - d. Section 1603 provides the DoW additional authorities related to OTs and procurement contracts for commercial space launches on military installations.
- 8. The FY 2025 NDAA made the following changes to the DoW's OTA:
 - a. Section 816 modified the authority to exercise OT authority for prototype projects between \$100,000,000 and \$500,000,000 to the head of contracting activity (authority was previously the agency senior procurement executive). Authority to exercise OT authority for agreements over \$500,000,000 was modified to the agency senior procurement executive or directors of the Defense Advanced Research Projects Agency (DARPA), the Defense Innovation Unit (DIU), and the Missile Defense Agency (MDA) (authority was previously the Under Secretary of Defense for Research and Engineering or the Under Secretary of Defense for Acquisition and Sustainment). These new authorities are non-delegable.
 - b. Section 817 made several additions to 10 U.S.C. § 4022 for the purpose of clarifying when OTA may be used for follow-on production:
 - (1) Added a definition of follow-on production contract or transaction: "a contract or transaction to produce, sustain, or otherwise implement the results of a successfully completed prototype project for continued or expanded use by the Department of Defense."
 - (2) Added language to 10 U.S.C. § 4022(f)(1) and (2) which clarifies that awards of follow-on production efforts for prototype projects may consist of one or more separate contract or transaction awards, or a combination thereof.
 - c. Section 818 made clarifying changes to 10 U.S.C. § 4022(i), which addresses use of OTs for installation a facility prototyping.
 - d. Section 888 implemented tracking requirements, at the Under Secretary of Defense for Acquisition and Sustainment level, for the number and value or OT agreement awards to small business and nontraditional defense contractors.
- 9. The FY 2026 NDAA made the following changes to DoW's OTA:

- a. Section 827 modified 10 U.S.C. § 4022(a)(2)(B)(ii) to change the timing of congressional notice. The 30-day notice requirement was replaced with “at the time” the authority is authorized.
- b. A new subsection (j) was added to 10 U.S.C. § 4022. The new 4022(j) authorizes awarding a production OT with or without competition to field existing capabilities in exceptional circumstances to address a high priority warfighter need.
- c. Section 875 requires Research OTs (10 U.S.C. § 4021) to report as other DoW expenditures. Data must be searchable on a public website established by the Federal Funding Accountability and Transparency Act of 2006.
- d. Section 849A amends 10 U.S.C. § 4817 to allow the use of OTAs to create, maintain, or restore domestic industrial base capabilities.
- e. Section 807 allows technology that has met an operational need during a combatant command experiment to serve as a justification for using follow-on production authorities under section 4022.
- f. Section 2823 expanded the use of OTs for installation or facility prototyping for an unaccompanied housing project.
- g. Using OTs for developing medical prototypes requires a briefing.

C. OT Types

- 1. Within the DoW, there are three basic types of OTAs, provided for by two statutes. OT agreements awarded under 10 U.S.C. § 4021 are for basic, applied, and advanced **research** projects. OT agreements awarded under 10 U.S.C. § 4022 are for **prototypes**, and in certain circumstances, for follow-on **production**.
 - a. **Research OT:** 10 U.S.C. § 4021 (formerly 10 U.S.C. § 2371) provides authority for basic, applied, and advanced research projects that can be used for research projects when a procurement contract, grant, or cooperative agreement is not feasible or appropriate and the project does not duplicate research under an existing program. The main purpose of section 4021 OTs is “to advance knowledge in science and technology and apply that knowledge to the needs of DoD operations and warfighting capabilities without the encumbrance of extraneous restrictions and unnecessary policies.” Richard Dunn, 10 U.S.C. 2371 “OTHER TRANSACTIONS”: BEYOND TIA’S, Strategic Institute (July 2017). These Research OTs may be used for dual-use technologies or defense-specific research. Research OTs may be used as a Technology Investment Agreement (TIA); if so, then the DoD

Grant and Agreement Regulations (DoDGARs) under 32 CFR Part 21 applies.

- b. **Prototype OT:** 10 U.S.C. § 4022 (formerly 10 U.S.C. § 2371b) provides authority for the DoW to enter into agreements for prototype projects “*that are directly relevant to enhancing the mission effectiveness of personnel of the Department of Defense or improving platforms, systems, components, or materials proposed to be acquired or developed by the Department of Defense, or to improvement of platforms, systems, components, or materials in use by the armed forces.*” 10 U.S.C. § 4022(a). While this chapter briefly discusses OT for basic, applied, and advanced research, the focus is on prototype project authority under Section 4022.
- c. **Production OT:** 10 U.S.C. § 4022(f) provides a pathway to non-competitive follow-on production through an OT or FAR-based procurement. A follow-on production OT is defined as “a contract or transaction to produce, sustain, or otherwise implement the results of a successfully completed prototype project for continued or expanded use by the Department of Defense.” 10 U.S.C. § 4022(e)(6).

D. Laws and Regulations *Inapplicable* to OTs

- 1. There is no dispositive list of what laws apply to OTs. For each statute, practitioners must review the text and determine whether it applies to a “procurement contract” or whether Congress intended the statute to apply more generally. One indicator is the statute's location in the US Code (that is, what title and chapter is it under?). For statutes that apply to procurement contracts (previously Title 10, Chapter 137), does the language of the statute or legislative history suggest application to more than just procurement contracts?
- 2. The following laws and regulations are generally understood to not apply to DoW OTs:
 - a. Competition in Contracting Act (CICA) (10 U.S.C. §§ 3201-3205)
 - b. Truthful Cost and Pricing Data Act (10 U.S.C. §§ 3701-3708 and 41 U.S.C. Chapter 35)
 - c. Cost Accounting Standards (CAS)
 - d. Contract Disputes Act (CDA) (41 U.S.C. Chapter 71)
 - e. GAO bid protest procedures
 - f. Cost plus a percentage of cost prohibition

- g. Buy American Act (41 U.S.C. Chapter 83)
- h. Bayh-Dole Act (35 U.S.C. §§ 202-204)
- i. Rights in Technical Data (10 U.S.C. §§3781-3786)
- j. FAR and agency-specific regulations (DFARS, DAFFARS, AFARS, NMCARS)
- k. Department of Defense Grant and Agreement Regulations (DODGARS)
- l. Commercial law (i.e., Uniformed Commercial Code)

E. Laws and Regulations *Applicable* to OTs

- 1. While there are many procurement regulations that do not apply to OTs, these legally enforceable contracts do not exist in a legal vacuum. The following laws, regulations, and policies apply to OTs in addition to the OT statutory authority itself:
 - a. Fiscal law (The “Purpose Statute” 31 U.S.C. § 1301, The Anti-Deficiency Act, 31 U.S.C. § 1341-1342, 1350-1351, The “Recording Statute” 31 U.S.C. 1501(a)(9) (*see U.S. Department of Health and Human Services—Application of Fiscal Law to Other Transactions*, B-333150 (April 8, 2024) and 1511-1519, etc.).
 - b. Comptroller General access to records for OTs over \$5 Million (10 U.S.C. § 4022(c))
 - c. Tucker Act (28 U.S.C. § 1491)
 - d. Criminal law (Title 18, including false claims, false statements, etc.)
 - e. Procurement Integrity Act (41 U.S.C. §§ 2101-2107)
 - f. Other ethics laws and regulations. *See Bader v. United States*, 97 F.4th 904 (Fed. Cir. 2024) (upholding the Air Force’s application of 18 U.S.C. § 207(c) “cooling off” period and 5 C.F.R. § 2635 to a former military officer’s employment at a company seeking and performing work under a DoD consortium other transaction).
 - g. Laws of general applicability and laws that would apply to any entity doing business in the United States (e.g., environmental laws, import/export control, criminal, civil rights, etc.)
 - h. Arms and export control related laws and restrictions

- i. Programmatic requirements (DoDI 5000 series)³
- j. Trade Secrets and Defend Trade Secrets Acts (18 U.S.C. Chapter 90; 18 U.S.C. § 1836)
- k. Economic Espionage Act (18 U.S.C. § 1831-39)
- l. Freedom of Information Act (FOIA) (5 U.S.C. § 552)⁴
- m. Privacy Act (5 U.S.C. § 552a)
- n. Additionally, the government may apply principles/provisions of any inapplicable statute that provides important protections to the government or the participants. Examples could include incorporating Buy American requirements into a prototype OT (which is often prudent when considering potential follow-on production), including a unilateral termination clause, or indemnification under 10 U.S.C. § 3861 for unusually hazardous R&D efforts.
- o. Production OTs under Section 4022(f), which are generally for the purchase and delivery of goods, may trigger the applicability of some statutes not applicable to prototype OTs. *See* Richard Dunn, OTHER TRANSACTION AGREEMENTS: WHAT APPLIES?, 32 Nash & Cibinic Rep. ¶ 22 (May 2018).

F. Purpose of OTA and Reasons for Use

- 1. As provided in 10 U.S.C. § 4022(a)(1), the purpose of prototype OTs is to enhance mission effectiveness. This authority is intended to encourage development of dual-use research and development, defense-specific prototype projects and provides flexible, fast acquisition. Proper use of OTA allocates risk early on in the acquisition process, instead of during the production phase, when mistakes and mishaps are more costly. The “fail fast” approach allows program managers to quickly iterate and mature technology enough to ensure risk is minimized before establishing a program of record.
- 2. OTs are well suited for:

³ The determination of whether OTs are subject to DoD Instruction (DoDI) 5000.02 depends upon the acquisition pathway selected by the program office. OTs are neither inherently subject to, nor exempt from DoDI 5000.02. Selection of the award instrument is a separate, but complementary decision. *See* 2023 DoD OT Guide, pg 5.

⁴ *But see* 10 U.S.C. §4021(i) providing a FOIA exception that allows information submitted during the course of a competitive or noncompetitive Research OT process to be withheld from release for 5 years.

- a. Research and Development (R&D) activities to advance new technologies and processes and prototyping or models to evaluate the feasibility or utility of a technology
 - b. Addressing perceived obstacles to doing business with the government by nontraditional vendors to include IP rights and compliance with CAS
 - c. Providing flexibility to tailoring agreements to reach nontraditional vendors with innovation research development and demonstration (RD&D) solutions
 - d. Negotiating unique funding arrangements, payment milestones, and agreement lengths to achieve project objectives
3. Proper use of OT has advantages, including flexibility, promotion of innovative thinking, efficiency, funding, and attracting commercial companies. *See* Richard Dunn, Five Reasons for Using “Other Transactions,” Strategic Institute (Jan. 16, 2017).
- a. General Flexibility: Because OTs are not constrained by the same regulatory and statutory barriers imposed on procurement contracts, the process of forming the agreement can be based on the relationship between parties rather than focusing on the rules governing the contracting process. This flexibility allows participant goals to be the primary force in forming the contractual relationship.
 - b. Promote Innovative Thinking: To be utilized effectively, OTs require critical and independent thought to avoid non-value-added, time-consuming processes and promote innovative approaches to problems.
 - c. Speed and Efficiency: The acquisition lead time of procurement contracts costs the government time and opportunities. Streamlined processes and the inapplicability of CICA (sometimes) allow OTs to award projects quickly and efficiently (especially when using a consortia model with largely established contractual terms). Additionally, because 10 U.S.C. § 4022(f) provides authority to award a follow-on production OT or procurement contract, the path from development to production can be streamlined. Speed can be a byproduct of the less restrictive procedures in the pre-award phase of OTs, but speed is never guaranteed with OTs. OTs may require careful negotiation of terms and clauses that would otherwise be automatically included in a FAR Part 15 negotiated procurement; such clause-by-

clause negotiations for a stand-alone OT can take as long, or longer, than the traditional FAR-based contracting process.

- d. **Funding Flexibility:** OTs can be funded in a variety of ways. While these agreements may still be fully funded by the government, they may be funded jointly by the parties, or even by third parties.

Attractiveness to Commercial Entities: Common barriers to entry in the procurement process include Intellectual Property (IP) requirements and expensive accounting and compliance requirements (for example, Cost Accounting Standards). Congress cited OTs as a way to “access new source[s] of technological innovation, such as Silicon Valley startup companies and small commercial firms,” because OTs are “attractive to firms and organizations that do not usually participate in government contracting due to the typical overhead burden and ‘one size fits all’ rules” that are common in traditional procurement contracts. H. Rep. 114-270, [Conference Report to Accompany H.R. 1735, NDAA for FY2016](#) (Sept. 29, 2015).

IV. REQUIREMENTS AND DEFINITIONS

A. Statutory Authority

- 1. Several agencies, such as NASA, have broad authority to enter into OTs for any purpose necessary to carry out their agency functions. In contrast, the DoW is limited by statute in the types of projects the DoW may use OTs for.
- 2. **Prototype**
 - (1) 10 U.S.C. § 4022(a) requires OTs only be used for “*prototype projects that are directly relevant to enhancing the mission effectiveness of personnel of the Department of Defense or improving platforms, systems, components, or materials proposed to be acquired or developed by the Department of Defense, or to improvement of platforms, systems, components, or materials in use by the armed forces.*” This broad authority does not limit the subject matter of the acquisition, so long as the acquisition is for a prototype project.
 - (2) Section 843 of the FY23 NDAA codified the definition of prototype project. 10 U.S.C. § 4022(e)(5) defines a prototype project as one that includes:

- (a) a proof of concept, model, or process, including a business process;
 - (b) reverse engineering to address obsolescence;
 - (c) a pilot or novel application of commercial technologies for defense purposes;
 - (d) agile development activity;
 - (e) the creation, design, development, or demonstration of operational utility; or
 - (f) any combination of the preceding subparagraphs.
- (3) Attorneys interpreting the DoW’s prototype OT statute should note that the [Joint Explanatory Statement](#) accompanying the FY2023 NDAA clarifies that “[t]he list of prototype project types at [§ 4022(e)(5)] *is not meant to be restrictive.*”

B. Funding

1. General fiscal law requirements (e.g., Purpose/Time/Amount; the Anti-Deficiency Act (ADA); prohibitions on the use of appropriated funds for certain items from foreign sources, etc.) apply to all OTs. *See generally U.S. Dep’t of Health & Hum. Servs.*, B-333150, Apr. 8, 2024 (GAO decision applying fiscal law to other transactions).
 - a. Potential References for OT Funding Questions:
 - (1) DoD Financial Management Regulation (FMR), DoD 7000.14-R (particularly, Vol. 2A, Ch. 1, “General Information”).
 - (a) Note: The term “prototype” in the OT statute (10 USC 4022) *does not* mean the same thing as the term “prototype” in the DoD FMR. Thus, where the DoD FMR may state all “prototypes” are funded with RDT&E appropriations, that does not mean that all Section 4022 prototype projects must be RD&E funded.
 - (2) DFAS-IN Manual 37-100-23 (particularly, Ch. A0-2040, para. D.7.a(1)).
 - (3) Army Regulation (AR) 73-1, Test and Evaluation Policy, 8 June 2018, (particularly, Ch. 11 “Test and Evaluation

Budget and Financial Considerations”) and associated memo, Director, Army Test and Evaluation, Test Types, 16 August 2021 (removing EUT test type from pending AR 73-1 update).

- (4) Dept. of the Air Force Manual 65-605V1, Budget Guidance and Technical Procedures, 31 March 2021, (particularly, Sec. 14C “Funding Test and Evaluation Costs”).
 - (5) Air Force SAF/FMB memo, Fiscal Policy for Prototype Funding, 10 U.S. Code § 4022, 23 January 2023.
- b. In general, Research, Development, Test & Evaluation (RDT&E) appropriations will normally be appropriate for **Research OTs** under Section 4021, as the purpose of these types of OTs is basic, applied, and advanced research.
- c. In general, follow-on **production projects** under Section 4022(f) (whether using a production OT or production FAR-based contract) will be funded with procurement or O&M funds, subject to the investment/expense threshold and whether the production items are centrally managed or not.
- d. **Prototype OTs** under Section 4022 are where complex fiscal analysis comes in. While prototype OTs are most often funded with RDT&E appropriations, they require a case-by-case analysis depending on the nature of the project and the nature of any associated testing.
 - (1) For more information on funding prototype OTs, see the TJAGLCS/DAU co-hosted video, titled “OT Counsel Corner: How to Determine the Appropriate Color of Money”, available at https://media.waru.edu/media/t/1_2b0t49ik
- e. When OTs provide for incremental funding or include expenditure-based (that is, cost reimbursable) characteristics, the Agreements Officer should include appropriate provisions and clauses that address the limits on government obligations, such as an explicit statement that funding of the project is subject to the availability of funds. Agreements Officers should also exercise good business judgment to ensure the government does not pay the contractor an unjustifiably high percentage of the overall project value before the government actually receives the prototypes.
- f. Unlike many types of FAR-based contracts, OTs do not need to be fully funded by the government. Cost-sharing is permitted and sometimes required by the OT statutes. OT projects can even be

completely unfunded, where third parties fund the entirety of the project. Finally, funds coming to the government during a cost-share on a Research OT may be used for additional R&D without converting to the Treasury under the miscellaneous receipts statute. *See* 10 U.S.C. 4021(d).

- g. OTs are considered “legal liabilities of the government” for purposes of the “Recording Statute” (31 U.S.C. 1501(a)(9)) and must be recorded as an obligation. *See U.S. Department of Health and Human Services—Application of Fiscal Law to Other Transactions*, B-333150 (April 8, 2024).

2. Resource-Sharing

- a. For a § 4022 prototype OT, resource-sharing is required if the only party making significant contributions to the OT is a traditional defense contractor. This situation is fairly uncommon because traditional defense contractors are often able to pair with a non-traditional defense contractor (an NDC) to avoid any cost-sharing requirement; this approach is permitted by §4022(d). While many OTs will not require resource-sharing, resource-sharing provides funding flexibility. Section 4022(d) only requires that *sources other than the federal government* pay at least one-third of the costs. There is no longer a requirement that the parties to the transaction must pay the resource-share themselves; parties may be able to secure other funding sources for any required cost share.
- b. Resource-sharing is defined as: resources for the OT provided by sources other than the federal government, which may be in cash or non-cash form. *See* 2023 DoD OT Guide for an additional definition and examples.
- c. Two Types of Resource-Sharing
 - (a) Cash: Outlays of funds to perform the OT project
 - (i) Includes labor, materials, new equipment, subcontractor effort.
 - (ii) Sources may include new Independent Research and Development (IR&D) funds.
 - (b) In-Kind: reasonable value of labor, equipment, materials, IP rights, facilities, or other non-government property used in the performance of OT work.

- (c) Costs incurred during negotiations but before execution of the transaction may be counted towards the cost share if the agreement officer determines, in writing, that the party incurred the costs in anticipation of entering into the transaction and it was appropriate for the party to incur the costs before the transaction became effective in order to ensure the successful implementation of the transaction. 10 U.S.C. § 4022(d)(2)(B).

C. Participation (i.e., Who can receive a prototype OT award?)

1. Use of Section 4022(d) requires one of the following:

- a. There is at least one *nontraditional defense* contractor or nonprofit research institution *participating to a significant extent*;
- b. *All significant participants in the transaction are small businesses or nontraditional defense contractors*;
- c. At least one-third of the total cost of the prototype project is paid by sources other than the federal government;
- d. A senior procurement executive (SPE) determines, in writing, that exceptional circumstances justify the use of the authority that provides for innovative business arrangements or structures that would not be feasible or appropriate under a contract, or would provide an opportunity to expand the defense supply base in a manner that would not be practical or feasible under a contract. (Note: This option is rarely used within the DoW).

2. Nontraditional Defense Contractor

- a. Under Section 4022(e)(2), “nontraditional defense contractor” has the same meaning as under 10 U.S.C. § 3014.
 - (1) Under the Section 3014 definition, a nontraditional defense contractor is an entity that is *not currently performing* and *has not performed, for at least the one-year period preceding the solicitation of sources by the DoD for the procurement or transaction, any contract or subcontract for the DoD that is subject to full CAS coverage*.
 - (2) Most entities – except the largest defense contractors – will qualify as nontraditional defense contractors, because:
 - (a) They are a small business exempt from CAS requirements

- (b) They exclusively perform contracts under commercial procedures
- (c) They perform exclusively under firm-fixed-price (FFP) contracts with adequate price competition
- (d) They performed less than \$50M in CAS-covered efforts during the preceding cost-accounting period
- (e) Note on Cost-Reimbursable OTs:
 - (i) Cost-reimbursable (also called expenditure-type) OTs *are* permitted and may be used if appropriate based on the risks and goals of the project and the specific parties. However, Agreements Officers should be aware that nontraditional defense contractors likely lack the same level of cost accounting systems maintained by traditional defense contractors. Accordingly, Agreements Officers should ensure that OTs which utilize cost-reimbursable structures include language which allows for accurate cost accounting, as well as other cost-reimbursable considerations such as limitation of cost/funds clauses. *See 2023 DoD OTA Guide, 25.*

b. “Significant Extent”

- (1) While the requirement that a nontraditional defense contractor participate to a significant extent is not statutorily defined, the 2023 DoD OTA Guide provides several examples of qualifying participation. 2023 DoD OTA Guide, 37. These examples include:
 - (a) Supplying new key technology or products; or
 - (b) Accomplishing a significant amount of the effort; or
 - (c) Causing a material reduction in the cost or schedule or increase in performance.
- (2) Nontraditional defense contractors do not have to be the prime contractor to meet participation requirements. Participation requirements may be satisfied by a subcontractor, lower-tier vendor, intra-company business unit, or via teaming with a traditional defense contractor as

long as participation by the nontraditional defense contractor is “significant.”

Determination of what constitutes significant participation should be made by the Agreement Officer, with the advice of technical experts. There is no requirement for formulaic or percentage of work performed, so it is best practice for Agreement Officers to avoid constraining participation requirements unnecessarily.

D. Competition

For prototype OTs, Section 4022(b) requires the DoW to use competitive procedures “*to the maximum extent practicable.*” Although CICA does not generally apply to the use of OTs, they should be awarded fairly and transparently (and in a manner that would survive the arbitrary and capricious standard of review at COFC). DoW entities using OTA have the discretion to solicit and select sources, free from the Request for Proposal or Broad Agency Announcement processes detailed in the FAR. 2023 DoD OTA Guide, 17-18. Because OTAs are generally unencumbered by CICA, the pre-award acquisition cycle can be reduced significantly.

E. Approval Authority

1. Section 4022 provides the directors of the Defense Advanced Research Projects Agency (DARPA) and the Defense Innovation Unit (DIU), and each service secretary authority to enter into an OT agreement. 10 U.S.C. § 4022(a)(1). The Secretary of War may also designate this authority to other officials. For example, the Director of the Missile Defense Agency (MDA) has been granted such authority. 2023 DoD OTA Guide, page 11 and Appendix A.
2. The current statutory approval authorities for *prototype projects* are based on OT dollar value (including any options):
 - a. Delegable by service up to \$100 million
 - b. Head of contracting activity (HCA) and directors of DARPA, DIU, and MDA for projects expected to cost over \$100 million and up to \$500 million (changed from senior procurement executive (SPE) in FY 25 NDAA). This authority may be authorized only if the participation requirement is met and use of the authority is determined to be essential to *promoting the success of the prototype*. Section 4022(a)(2)(A)(ii).
 - c. Senior procurement executive (SPE) and directors of DARPA, DIU, or MDA for prototype projects expected to cost over \$500

million (changed from the Under Secretary of Defense for Research and Engineering or the Under Secretary of Defense for Acquisition and Sustainment in FY 25 NDAA).

- (1) Authority may be authorized only if the participation requirement is met, and the use of the authority is determined to be essential to meet critical national security objectives. Section 4022(a)(2)(B)(i)(II).
 - (2) Requires notice to the congressional defense committees at the time the authority is exercised. Section 4022(a)(2)(B)(ii). FY 26 NDAA replaced the “at least 30 days before” requirement with “at the time.”
- d. Approval authorities for prototype OTs over \$100 million are non-delegable as of the FY 25 NDAA. Section 4022(a)(3).
3. Non-competitive *follow-on production* awards over \$100 million require high-level approval, must meet critical national security objectives standard and require congressional notification. Section 4022(a)(2)(C).
4. Each prototype project carried out under Section 4022 requires a separate determination and findings (D&F) by the appropriate approval authority.
5. Agreements Officer (AO) Requirements: AOs must be warranted as an Agreements Officer and have a level of responsibility, business acumen, and judgment that enables them to operate in this relatively unstructured environment. Of significance, AOs *need not also be* warranted contracting officers, unless required by the DoD Component’s appointment process. *See* 2023 DoD OT Guide, page 10 and Appendix A. Many delegations of authority require an AO to complete training on OTs through Defense Acquisition University (DAU) prior to obtaining their appointment. Agreements Officers should not merely copy a previously issued OT agreement, template, or model. A standard, “one size fits all” model does not exist, given the need to exercise business judgment appropriate for the situation and the flexibility inherent in the authority. An AO should consider the intent and protections provided to each party in typical FAR procedures and clauses, standard commercial business practices typical of that market segment, as well as other OTs. Ultimately, the AO is responsible for negotiating clauses that appropriately reflect the risk to be undertaken by all parties on their particular prototype project.

V. FOLLOW-ON PRODUCTION AUTHORITY

A. Transitioning from Prototype to Production

1. One of the most significant aspects of DoW's Section 4022 prototype OT authority is that it allows the DoW to award follow-on production contracts or transactions, on a non-competitive/sole-source basis, upon successful prototype project completion. Section 4022(f)(2) provides that a follow-on production contract or transaction may be awarded without the use of competitive procedures if:
 - a. The original prototype OT was awarded through competitive procedures; and
 - b. The participants successfully completed the prototype project.
2. Anticipated follow-on activities should be addressed in the acquisition planning before the award of a prototype OT. While the FY2023 NDAA eliminated the requirement to provide notice of potential follow-on activities, it is a beneficial, transparency-enhancing practice to include notice of such activities in the prototype solicitation and prototype agreement. Long-range planning about potential production is still necessary during prototyping to ensure the government is well-postured to address production-phase issues such as life cycle costs, sustainability, test and evaluation, and intellectual property requirements. 2023 DoD OTA Guide, page 16.
3. Section 4022(f) permits the use of a non-competitive follow-on production contract or transaction provided the following two criteria are met:
 - a. **Criteria 1. Competitive procedures were used for the OT.**
 - (a) While the nature of the procedure is not defined, competitive procedures should be to the maximum extent practicable and appropriate given the nature of the project.
 - (b) The follow-on effort is not considered a FAR-based sole source award and FAR Part 6 does not apply if using the follow-on OT authority at §4022(f). However, an agency may, in limited instances and for reasons of business judgment, elect to use a FAR Part 6 justification and J&A for a sole-sourced FAR-based production contract in lieu of the authority provided by §4022(f). *DRS Sustainment Systems, Inc.*, B-417628, Sept. 9, 2019 (GAO denies a protest where the Army elected to use a FAR Part 6 J&A to proceed from a prototype OT to a non-competitive FAR-based production award, rather than using the OT authority at 4022(f))

b. **Criteria 2. The OT participants successfully completed the prototype project provided for in the transaction.**

- (1) Because successful completion is not defined by statute, it is a good practice to define it broadly in the prototype OT.
- (2) An example of such a broadly written definition might be: “Successful completion” means the prototype effort “substantially met technical goals,” or has achieved a particularly favorable result that justifies the transition to production. Successful completion may occur at any time prior to, or after, the end of the OT’s period of performance.
- (3) Follow-on production with consortia – A follow-on production contract or transaction may be awarded when the Department determines that an individual prototype or prototype subproject as part of a consortium is successfully completed. There is no requirement that all prototype projects or subprojects awarded to a consortium be completed prior to award for follow-on production for successfully completed projects or subprojects within that consortium.

c. The successful completion should be documented in the memorandum or D&F approving follow-on production.

4. The follow-on production effort may consist of one or more separate FAR-based procurement contracts, other transactions, or a combination of the two. 10 U.S.C. § 4022(f)(1), (2).
5. The FY 26 NDAA added a new subsection, 10 U.S.C. § 4022(j), which authorizes the award of a production OT with or without competition to rapidly field an existing capability. Existing capabilities are “emergent and proven technologies” and “new or upgraded systems that do not require additional development and have been demonstrated in a relevant environment.” To award under 4022(j), the appropriate service or component acquisition executive must provide to the Secretary of War a written determination that exceptional circumstances justify the use of such a transaction to address a high priority warfighter need.

B. Best Practices

1. **Transparency should be the default, not the exception.**

- a. The REAN Cloud OTA follow-on award from early 2018 serves as a cautionary tale of follow-on production award. *See* Christian Davenport & Aaron Gregg, *FACED WITH INCREASED CRITICISM*,

PENTAGON SLASHES CLOUD COMPUTING CONTRACT AWARDED TO AN AMAZON PARTNER, Wash. Post (Mar. 5, 2018), https://www.washingtonpost.com/news/the-switch/wp/2018/03/05/faced-with-increased-criticism-pentagon-slashes-cloud-computing-contract-awarded-to-an-amazon-partner/?noredirect=on&utm_term=.913450841da5. The surprising scope (\$950 million value for DoD-wide migration of legacy software application to a commercial cloud service provider) of the follow-on production OTA led to complaints from industry that the agency was not transparent, leading to the DoD unilaterally taking corrective action (down-scoping the award to \$65 million for migration of U.S. Transportation Command's software applications). Oracle protested the follow-on award and GAO sustained the protest on the grounds that the agency did not comply with the statutory preconditions in 10 U.S.C. § 2371b(f) addressing the award of a follow-on production OTA. *Oracle America, Inc.* B-416061 (May 31, 2018). Specifically, GAO found that the agency failed to provide for a follow-on in its initial prototype OT instrument, and that the award of a sole-source follow-on violated the requirements of Section 2371b(f) because REAN Cloud did not successfully complete the initial prototype. *Id.*

- b. While the 2018 *Oracle America, Inc.* GAO decision is no longer good law, the lesson learned from the REAN Cloud OTA is that the initial announcement of the project was too limited. Had the scope of the follow-on production award been announced prior to award of the initial prototype OT, there likely would have been less of an uproar by industry. Had the agency waited longer for completion of the initial prototype transaction, including all modifications to the OT, then it is likely GAO would not have found the agency failed to comply with its statutory requirements.

- 2. **There are often benefits to competing the production award.** Even when the authority for non-competitive follow-on production is available, it may not always be the most prudent decision. The government should thoughtfully consider whether a follow-on award under Section 4022(f) is prudent. For example, using a competitive procedure for a production contract may afford the government the benefit of competitive pricing. Even when a non-competitive follow-on production contract/OT is authorized, the government may still elect to use competition for the production phase; a successful prototype awardee/performer is in no way entitled to a sole-source production contract.

VI. PLANNING AND EXECUTION

- A. Process: Requirement to Award

1. Defining Needs

- a. Use of an OT is often appropriate when an agency knows there is a need but does not know how to describe a solution that would satisfy the need.⁵ When an agency requires help from industry to determine an appropriate solution, the flexibility of an OT allows the agency to state the issue, and leave it up to the contractor to determine how to solve the issue. Focusing on the problem, rather than the ideal solution, provides industry with the opportunity to propose innovative solutions.

2. Solicitation

- a. When possible, agencies should avoid using procurement terms of art, such as “request for proposals” when drafting OT-related solicitations.
- b. Many OT solicitations state an issue/problem/need and request white papers or pitches discussing the proposed solution. Starting with a white paper or pitch allows the Agreements Officer and competitors to shape the statement of work later in the process collaboratively.

3. Publication

- (1) Agreements officers should publish opportunities where they are most likely to reach solution providers. Innovation is encouraged for identifying and competitively selecting sources. Accordingly, marketing the solicitation may be more difficult than for procurement contracts. Publishing on SAM.gov alone is often an insufficient practice as the purpose of using an OT is to include nontraditional competitors. The goal is to identify a method that maximizes competition and nontraditional defense contractor participation. However, it is still good practice to post prototype OT solicitations on SAM.gov, to demonstrate that the agency satisfied the statutory requirement of using competitive procedures to the maximum extent possible.
- (2) Examples of possible solicitation methods include:
 - (a) Request for White Papers (a stand-alone, one-time request, or a standing call)

⁵ Note, however, that methods – such a Broad Agency Announcement under FAR RFO 35.102 – may also be appropriate for similar situations where an agency requires contractor support in further defining a specific need.

- (b) Request for Prototype Proposals
 - (c) Broad Agency Announcement. *See also* FAR RFO 35.102.
 - (d) Research Announcement. *See also* FAR RFO 35.102.
 - (e) Consortium-Model Procedures
 - (f) Commercial Solutions Opening
 - (g) Trade Show
 - (h) Shark-tank like Pitch Events
4. Competition. Competitive efforts leading to award of an OT can take many forms. However, these efforts commonly focus on streamlined processes – such as a review of white papers – rather than traditional proposal instructions, established evaluation criteria, and formal evaluation and decision. These processes often allow for a more informal interactive process between the government and industry than what would typically be possible through formal discussions. *See* the 2023 DoD OT Guide for further discussion of competitive considerations for OTs.

VII. TERMS AND CONDITIONS

A. Negotiation of Terms

1. OTs vary greatly from FAR-based contracts in scope and scale of negotiated terms. Without the required clauses that FAR-based contracts contain, the terms of OTs are the product of negotiation, often on an agreement-by-agreement basis. Negotiated terms can vary greatly from project to project. This allows terms to be tailored to the needs of the project. This permissive environment allows the government to conduct business like a business, which may be more attractive to commercial entities more accustomed to engaging in the commercial industry than government procurement processes with which they are unfamiliar.
2. Common terms include:
 - a. Scope of work
 - b. Term of agreement and termination procedures
 - c. Administration
 - d. Payment

- e. Disputes
- f. Confidential Information, such as trade secrets
- g. Intellectual property, specifically patent and technical data rights
- h. Export control
- i. OPSEC
- j. Quality assurance
- k. Modifications
- l. Identification of government-furnished equipment
- m. Indemnification
- n. Phasing/options

B. Modifications

1. Without established FAR or DFARS clauses, there will be no changes clauses in OTs other than what the parties may negotiate. Modifications are typically made under bilateral agreements, though the agency can negotiate for a unilateral changes clause for administrative changes. Ideally, the OT will address how changes will be handled.
2. Unilateral Changes: The Agreements Officer should consider whether the government should have the right to make a unilateral change to the agreement, or whether all changes should be bilateral. The 2023 DoD OT Guide cautions that Agreements Officers contemplating unilateral changes should consider the potential of disputes and claims, particularly in agreements with fixed-amount (that is, fixed-price) characteristics. If unilateral changes are made, the agreement should normally allow for additional compensation (similar to an equitable adjustment under a FAR-based contract).
3. One of the benefits of using an OT is the improved management of risks and uncertainties through the freedom to modify the OT as the program evolves.

C. Terminations

1. Without the established FAR termination causes, there is no automatic right of the government to terminate an OT for government convenience. Termination clauses should therefore be carefully drafted, and the Agreements Officer should consider the nature of the OT prototype project

when determining whether a unilateral right to termination is appropriate. In cases where there is an apportionment of risk allocation and cost shares, it could be appropriate to allow an awardee termination right as well.

- a. Such a contractor-initiated termination could occur in instances in which an awardee discovers that the expected commercial value of the prototype technology does not justify continued investment, or the government fails to provide funding in accordance with the agreement.
- b. If the Agreements Officer decides there are reasons to provide the awardee the right to terminate, then termination settlements should be limited to the payable milestone amount of the last completed milestone.

2. Termination clauses should:

- a. Identify the conditions that would permit terminations
- b. Identify the process for how terminations are exercised
- c. Consider whether the government should be provided an opportunity to terminate for convenience, for cause, or both
- d. Address what remedies are available to the government, such as recoupment or acquiring IP rights so government can continue the project

D. Required “Clauses”

- 1. The DoW, through policy memos from the Office of Defense Pricing, Contracting, and Acquisition Policy (DPCAP), has continuously added to the required “clauses” for OTs. *See* <https://www.acq.osd.mil/dpap/policy/index.html> for DPCAP memos including:
 - a. Required and Recommended Use of eBusiness Tools When Awarding and Administering Other Transactions (July 12, 2022)
 - b. Implementation Guidance for Section 889(a)(1)(B) Prohibition on Contracting with Entities Using Certain Telecommunications and Video Surveillance Services or Equipment on Other Transactions for Prototype Projects (Aug. 13, 2020)
 - c. Reporting of Department of Defense Use of Other Transactions for Prototype Projects (Dec. 12, 2020)

- d. Implementation Guidance for Section 3610 (CARES Act)
Reimbursement Requests on Other Transactions for Prototype
Projects (Aug. 17, 2020)

VIII. INTELLECTUAL PROPERTY

A. Intellectual Property Issues in OTs

1. Based on the nature of OTs, the Intellectual Property (IP) clauses are often the most important, yet perilous, part of agreements. Because OTs are not restricted by the stringent and predefined IP requirements under Bayh-Dole or the FAR and DFARS, each agreement can be tailored to suit the project's goals. Skill and strategy are required to draft and negotiate IP terms that will result in the government obtaining the data deliverables and data rights it requires, while also not discouraging the potential pool of competitors.
2. While the Bayh-Dole Act for patents and 10 U.S.C. §§ 3771-3775, 3781-3786 for technical data and computer software do not apply to OTs, the AO should have a good understanding of these statutes as a baseline for negotiations. However, one of the advantages of using an OT is the flexibility it gives both parties, government and commercial vendor, in negotiating IP terms. It is well-recognized that many in industry, especially in high-tech sectors, view assured government rights to IP under FAR-based contracts as overly burdensome. IP terms should be carefully considered and negotiated according to the deliverables desired in the agreement. The terms should be consistent with the acquisition strategy for the follow-on production, if any.
3. Common IP terms include royalty provisions, limited licenses, options, conditions, right of first refusal, and exclusive dealing terms.
4. When project goals may rely on the commercial marketplace to produce, maintain, modify, or upgrade technology, the government may still require rights in IP for those purposes. Because the government tends to use commercial solutions longer than the norm in the commercial marketplace, the government should negotiate data deliverables and licenses sufficient to address long-term maintenance, modifications, and upgrades to prevent obsolescence.
5. Many OTs use variations of Bayh-Dole as a starting point. Examples of terms could include:
 - a. Permitting the contractor to keep the patentable invention as a trade secret.
 - b. Narrowing the government-purpose license so that:

- (1) it applies to only one agency (versus the entire government), or
 - (2) it can be used only to make weapon systems.
- c. Eliminating march-in rights or placing further limitations on their exercise than currently apply under existing laws and regulations.
- d. Eliminating the “or first actually reduced to practice” provision in the definition of “subject invention.”

6. Data Rights

- a. Since FAR-based data rights definitions, clauses, and marking legends do not automatically apply to OTs, Agreements Officers must ensure that data rights language used in agreements is clearly defined and that instructions and procedures related to data rights issues are addressed. Agreements Officers should work closely with technical personnel to ensure that desired data deliverables and agreement clauses align with the government’s needs.
- b. In all cases, OT awardees should be required to mark any proprietary data/software and, if applicable, utilize marking procedures outlined in the agreement. The agreement should state that all technical data and computer software delivered without appropriate legends are delivered with unlimited government rights.
- c. The government may negotiate for rights whether or not such data is actually being delivered. However, it is rarely productive for the DoW to obtain license rights in data deliverables that the DoW isn’t actually receiving under the contract/OT (this is called the inchoate rights problem).
- d. Licensing artificial intelligence algorithms is particularly complex, considering the training tools and architecture may owned by the vendor, but the training data is often owned by the government. Licensing agreements should run both ways to allow vendors access to government-owned data sets, but also provide the government sufficient rights to test, evaluate, and accredit algorithms.

7. Caution when Relying on DFARS Clauses

- a. Although the DFARS does not apply to OTs, nothing prohibits the use of DFARS clauses or provisions on OTs. In fact, many OTs default to the DFARS for technical data rights clauses, and Bayh-Dole for patent rights. DoW DPCAP policy memos actually

require the inclusion of some DFARS clauses in OTs. However, extra caution is required when using DFARS clauses, as many DFARS clauses – when separated from the context of the rest of the supplement – lack necessary definitions and cross references.

- (1) One example of a situation when DFARS clauses were used in an agreement that was not governed by DFARS is *The Boeing Co., ASBCA No. 60373 (2018)*. In this case, Boeing developed computer software under two TIAs (TIAs, like OTAs, are not governed by DFARS). Boeing asserted that the TIA-developed software was subject to restricted rights. The government challenged this assertion, claiming that the software was developed with government funds, with no cost share by Boeing, and the government could assert Government Purpose Rights. The question the Board reviewed was whether software developed under a TIA, using government financial contributions, “developed exclusively at private expense” under DFARS 252.227-7014. Under -7014, the funding determination hinges on whether the software was developed exclusively at private expense, or *costs not allocated to a government contract*. Development is considered funded by the government if it is determined the funding was not a private expense. The Board found the government’s funding was allocated to a cooperative agreement, not a government contract, thus, under -7014, the development was funded as a private expense and Boeing was entitled to assert restricted rights.
- (2) Although Boeing was not an OT case, presumably similar analysis would apply in an OT context. Thus, data rights clauses should be carefully drafted to ensure that the government is not relying on cherry-picked DFARS clauses without the rest of the FAR and DFARS to protect the government.

B. DoW Intellectual Property Strategy

1. The negotiation of IP clauses in an OT should be consistent with the DoW’s IP Strategy, especially when follow-on production and sustainment requirements are likely. DoD Instruction 5010.44 (Intellectual Property Acquisition and Licensing). The strategy carefully balances the goals of fostering private innovation with long-term sustainment considerations.
2. The four key principles of the DoW IP policy are:

- a. Foster greater communication with industry early in the process so that the data requirements are clear to all parties.
- b. Plan early for data requirements and develop customized IP strategies, based on the unique needs of the system. This requires the program managers to think through needed data and rights, from acquisition through sustainment.
- c. Negotiate for custom data and licenses. The DoW should seek access only to the necessary IP. The policy discourages the impractical, costly approach of seeking the maximum amount of IP.
- d. Negotiate for prices early in the process while competition exists.

IX. PROTESTS AND DISPUTE JURISDICTION

A. Bid Protests

1. GAO

- a. Until recently, the GAO has consistently held that it has limited bid protest jurisdiction over OTs. *MorphoTrust USA, LLC*, B-412711 (May 16, 2016) (finding agreements awarded under agency's OT authority "are not procurement contracts, and therefore [GAO] generally does not review protests of the award, or solicitations for the award, of these agreements under our bid protest jurisdiction"); *see also, MD Helicopters, Inc.*, B-417379 (Apr. 4, 2019) (dismissing protest that the agency unreasonably evaluated its proposal because GAO does not review the award of non-procurement instruments issued under an agency's OT authority).

However, the GAO recently suggested that it may have protest jurisdiction over non-procurement awards which restrict the competitive field in which a later contract award may occur. *ARiA*, B-422365 et al. (May 28, 2024). In *ARiA*, the GAO considered an Army motion to dismiss filed on the basis that the GAO lacked jurisdiction over the agency's award of cash prizes for advanced technology under 10 U.S.C. § 4025, as the statute did not involve the award of a contract. The GAO rejected the Army's jurisdictional argument, finding that – in this case – the cash award process narrowed a competitive pool which could result in a later contract award. The case was ultimately dismissed on other grounds, but suggests that the GAO may be willing to consider jurisdiction where a non-procurement statutory authority may result in a "down-select" for contract award.

- b. The GAO will also review a timely protest alleging that an agency is improperly using its OT Authority. *Spartan Medical, Inc.*, B-419503, Feb. 26, 2021 (OT protest dismissed as untimely); *System Architecture Information Technology*, B-418721, June 2, 2020 (OT protest dismissed; GAO explains it only has jurisdiction to hear a timely, pre-award protest alleging that the agency is improperly exercising OT to avoid using a procurement contract); *DRS Sustainment Systems, Inc.*, B-417628, Sept. 9, 2019 (GAO denies a protest where the Army successfully used a FAR Part 6 J&A to proceed to a non-competitive production award, rather than the OT authority at 4022(f)).

2. Court of Federal Claims (COFC) and U.S. District Court

- a. Recent COFC decisions suggest the court is open to expanding its jurisdiction over OTAs. However, COFC decisions are not binding on other COFC judges. Differing decisions on when OT jurisdiction exists is still unclear. Practitioners should continue to monitor OTA cases until a definitive answer is provided.
 - (1) On February 24, 2025, COFC ruled that it holds exclusive jurisdiction over DoW OT awards issued under 10 U.S.C. §§ 4021-22. The Court again addressed the issue of COFC jurisdiction over OTs under the Tucker Act in *Raytheon Co. v. United States*, 175 Fed. Cl. 281 (2025). In *Raytheon*, COFC held that **any acquisition instrument other than a traditional procurement vehicle which is “intended to provide the government with a direct benefit in the form of products of services” falls under the Court’s jurisdiction.** *Id.* at 293. Furthermore, in determining whether this threshold is met, COFC will examine “the agency’s demonstrated intent, actions to date, and intentions moving forward.” *Id.* at 294. In reaching this holding, the Court specifically stated that **COFC is “the de facto forum for bid protests involving “other transactions” (OTs) and “other transaction agreements” (OTAs) awarded under 10 U.S.C. §§ 4021-22.”** *Id.* at 284.
 - (2) However, on 2 June 2025, the Court restricted its jurisdiction to **when** an agency commits to a procurement. In *Telesto Group, LLC v. United States*, No. 24-1784, 2025 WL 1551279 (Fed. Cl. 2025) – The Court held that after reviewing the agency’s actions, jurisdiction existed during the prototyping phase of an OTA.

b. Pre-*Raytheon/Telestro* Caselaw – COFC cases which lead to the establishment of jurisdiction over OTs. Notable past cases include:

- (1) *Indep. Rough Terrain Ctr., LLC v. United States*, 172 Fed. Cl. 250 (2024) – COFC finds jurisdiction over the subject OT, holding that solicitations which concern OTs for follow-on production contract which provides goods or services are subject to the Court’s jurisdiction. The Court noted that OTs may qualify as “procurements” rather than being simply “connected” to procurements, and that the relevant jurisdictional inquiry requires looking beyond the label on the contracting vehicle to determine whether the government sought to acquire actual goods or services.
- (2) *Hydraulics Int’l, Inc. v. United States*, 161 Fed. Cl. 167 (2022) – in which COFC found it had bid protest jurisdiction over the protested OT as the OT at issue was “in connection with a procurement” since it provided for a potential follow-on FAR-based production contract.
- (3) *Kinematics, Inc. v. United States*, 155 Fed. Cl. 777 (2021) – COFC found it held jurisdiction over the subject OT solicitation because the solicitation included a FAR-based delivery order and resulted in a standard indefinite delivery/ indefinite quantity (IDIQ) contract. Therefore, the Court concluded, the action was in connection with a procurement.
- (4) *MD Helicopters Inc. v. United States*, 435 F. Supp. 3d 1003 (D. Ariz. 2020) - the District Court dismissed the subject case, determining that the OT at issue, which contemplated a “down-select process” was “in connection with a procurement or a proposed procurement.” Accordingly, the District Court lacked jurisdiction under the Tucker Act due to COFC’s exclusive jurisdiction.
- (5) *Space Expl. Techs. Corp. v. United States*, 144 Fed. Cl. 433 (2019); *SpaceX vs. U.S.*, 2020 WL 7344615 (C.D. Ca., 2020) - COFC found that it did not have jurisdiction over the case because the prototype OT at issue, which did not involve procurement of goods or services, was not “in connection with a procurement or a proposed procurement.” As a result, the case was transferred to federal District Court.

3. Agency Protest

- a. There is nothing prohibiting agencies from establishing a process for an agency-level protest. A protest can be filed with the agency seeking action if the solicitation document provides for such redress.
- b. Arguably, an agency also has inherent authority to review an agency-level protest of an OT – even if the solicitation doesn’t provide for such a procedure – based on the agency’s general obligation to comply with law and regulation. Stated another way, if a party notifies the agency of likely violation(s) of law or regulation related to an OT competition, the agency should generally be willing to review such allegations, regardless of the solicitation’s terms.

B. Disputes

1. The CDA only applies to procurement contracts. As discussed above, OTs are not procurement contracts, and are therefore outside of the jurisdiction of the Board of Contract Appeals (BCA), which can only hear contract disputes under the CDA.
2. **Under a broad reading of the Tucker Act, COFC has jurisdiction over disputes which arise under OTs.**
 - a. Just because an Other Transaction agreement is not a *procurement contract* does not mean that it is not a contract. *See* OTHER TRANSACTIONS” ARE GOVERNMENT CONTRACTS, AND WHY IT MATTERS, 48 PUB. CONT. L.J. 485 (2019). *See also* LITIGATING “OTHER TRANSACTIONS”: PERFORMANCE DISPUTES, 38 Nash & Cibinic Rep. NL ¶ 31.
 - b. COFC asserted jurisdiction over alleged breaches of a NASA Space Act Agreement in *Spectre Corp. v. United States*, 132 Fed. Cl. 626 (2017). COFC explained the Tucker Act permits the court to render judgement on any claim based on “any express or implied contract with United States.” OTs are unquestionably contracts with the United States. *See also Spectre Corp. v. United States*, 160 Fed. Cl. 486 (2022).
 - c. In *CLogic LLC v. United States*, 170 Fed. Cl. 450 (2024), COFC denied a motion to dismiss over alleged improper takings of the contractor property which arose during the execution of an Air Force OT. *See also Thermalon Indus. v. United States*, 51 Fed. Cl. 464 (2002) (finding that under the Tucker Act, COFC held jurisdiction over disputes which arose under the subject grant; the grant, which was not subject to the Contract Disputes Act, satisfied the criteria of an express or implied contract).

3. A successful COFC claim for money by an OT awardee should point to a provision in the OT that states the agency will be liable to pay damages for its breach. Absent a money-mandating provision in the OT, the Tucker Act merely provides jurisdiction for a claim to survive a Rule 12(b)(6) motion at COFC, but likely no remedy for breach damages. Due to the lack of case law, procedures for disputes should be addressed in each OT.

Alternate Disputes Resolution (ADR): Given the nature of OTs, ADR can be an effective and efficient way to handle disputes. ADR practices that are common in the commercial sector can reduce the risk of costly litigation.

X. STAND-ALONE OT AND CONSORTIA

A. Types of OT

1. OTs can be awarded to a single entity, called a stand-alone agreement, or to a consortium. These two categories are also known as internal (stand-alone) vehicles and external (consortia) vehicles.

B. Stand-alone OT

1. In a stand-alone agreement, the agency awards the OT directly to a single entity. A stand-alone agreement does not involve a consortium. In a stand-alone OT award, the agency and the commercial entity are in privity of contract. Based on the requirements of 10 U.S.C. § 4022, a stand-alone OT is often awarded to a nontraditional defense contractor or a traditional contractor with at least one nontraditional defense contractor participating to a significant extent (i.e. subcontracting).
2. Because stand-alone agreements require a blank-page approach to drafting the agreement, they offer the most flexibility but also tend to take longer than consortia OTs to negotiate and award.

C. Consortium Approach

1. A consortium is an association of two or more individuals, companies, organizations, or governments (or any combination of these entities) with the objective of participating in a common activity or pooling their resources to achieve a common goal. The consortium business model is designed to facilitate mutually beneficial collaborative research and development activities between the government and industry/academia.
2. The benefits of utilizing a consortium include:
 - a. Leveraging industry-wide capabilities.
 - b. Building communities of practice with expertise in the sector.

- c. Maintaining effective competition (several consortia, such as C5, has nearly 1,000 members).
- d. Allowing for faster award and obligation of funds as the baseline relationship is in place, and most standard/boilerplate terms and conditions have already been negotiated. In this respect, using a consortia is sometimes analogized to issuing an order against an already-established multiple-award ID/IQ.

3. The Consortia Model

- a. There are a variety of ways to use a consortium. However, in general terms, the use of a consortium resembles the following Consortium Management Group (CMG) example:
 - (1) Each consortium reflects a different sector of industry (e.g., cyber, armaments, counter-WMD, vertical lift, robotics systems. etc.).
 - (2) The consortium solicits members.
 - (3) Members may or may not sign membership agreement with the consortium. The membership typically poses a low barrier to entry (e.g., \$500 fee).
 - (4) The agency issues a long-term, high-value OT to the consortium.
 - (a) A consortium management company, often a non-profit, is given exclusive access to the requirements to distribute among the consortium members.
Aaron Boyd, THE GATEKEEPERS OF THE GOVERNMENT'S OTHER TRANSACTION DEALS, Nextgov (April 18, 2018).

This approach is somewhat analogous to the Section 8(a) program of the Small Business Administration.

- (5) The consortium organizes competitions and awards sub-OTs to member companies. Generally, the consortium and member enter into separate agreements for each project.
- (6) In many consortia models, the agency has privity of contract with only the consortium. Therefore, the agency pays the consortium which then pays the project-level awardee.

- (7) The government or awardees pay the consortium, typically a percentage of the award's value or an administrative fee.
 - b. Successful consortium agreements require careful selection of partner entities, management, clearly understood roles and objectives, communication, and thorough planning.
 - c. Some examples of current or past sector-based consortia include:
 - (1) AFLCMC Consortium Initiative (ACI)
 - (2) AFLCMC Propulsion Directorate Consortium Initiative (PCI)
 - (3) AFRL Open System Acquisition Initiative (OSAI)
 - (4) AFRL OTAFI
 - (5) Aviation & Missile Technology Consortium (AMTC)
 - (6) Consortium for Command, Control, and Communications in Cyberspace (C5)
 - (7) Consortium for Energy, Environment, and Demilitarization (CEED)
 - (8) Cornerstone Consortium
 - (9) Countering Weapons of Mass Destruction (CWMD) Consortium
 - (10) Cyberspace Operations Broad Responsive Agreement (COBRA)
 - (11) Defense Automotive Technologies Consortium (DATC)
 - (12) Defense Electronics Consortium (DEC)
 - (13) DoD Ordnance Technology Consortium (DOTC)
 - (14) Engineer, Research, and Development Center (ERDC) Consortium
 - (15) Homeland Security Technology (HSTech) Consortium
- 4. Additional explanation of the consortium model can be found in [DoD IG Report DoDIG-2021-77](#) (Audit of Other Transactions Awarded Through Consortia) and at <https://aida.mitre.org/demystifying-dod/ots-otconsortia/>.

XI. CONCLUSION

Used appropriately, with the support of senior acquisition leadership, OTAs can effectively secure technology vital to national security while removing barriers to entry for industry, reducing burdensome compliance regulations, and permitting the government to conduct business like a business. However, to ensure appropriate and effective use of OTs, an educated and trained corps of acquisition professionals, including contract attorneys, is necessary.

XII. RESOURCES

DoD Other Transactions Guide for Prototype Projects (July 2023),
https://www.dau.edu/sites/default/files/Migrated/CopDocuments/DoD%20OT%20Guide%20JUL%202023_final.pdf

DoD Guide to Research Other Transactions Under 10 U.S.C. 4021 (September 2023),
<https://www.dau.edu/sites/default/files/2024-03/Guide%20to%20Research%20Other%20Transactions%2009132023.pdf>

Defense Advanced Research Projects Agency (DARPA):
<https://acquisitioninnovation.darpa.mil/>

Warfighting Acquisition University, Other Transaction
https://www.waru.edu/acquisition-knowledge_matrix?field_acquisition_category_target_id=181555&page=0&combine=&items_per_page=10

Strategic Institute
<https://strategicinstitute.org/>

Department of Defense Use of Other Transaction Authority: Background, Analysis, and Issues for Congress (Updated February 22, 2019)
<https://crsreports.congress.gov/product/pdf/R/R45521>

CHAPTER 34

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CHAPTER 34

PARTNERSHIP AGREEMENTS

I. INTRODUCTION

In addition to the procurement instruments discussed in the Federal Acquisition Regulation (FAR) and elsewhere in this deskbook, several other agreements may be available to assist the Government in fulfilling its needs or with sharing various resources with the public. These agreements, sometimes referred to as “partnership agreements,” are legally-binding agreements between the federal government and various non-federal entities such as state/local governments, educational institutions, or other parties.

II. OBJECTIVES

- A. The learning objectives of this chapter are:
 - 1. Gain an awareness of various partnership agreements.
 - 2. Understand the basic purpose of these agreements, including the statutory and regulatory framework governing their use.
 - 3. Understand the advantages and disadvantages of these agreements, as well as when they can and cannot be used.

III. COOPERATIVE AGREEMENTS

- A. Introduction
 - 1. Cooperative agreements, which are neither procurement contracts nor grants, are important tools that federal agencies, including the U.S. Department of War (DoW), can use to facilitate activities to serve the public. These agreements differ from procurement contracts in that their primary purpose is not to acquire property or services strictly for the federal government. Additionally, they differ from grants in that they serve as an ongoing partnership between the parties, whereas a grant typically involves performance primarily by the awardee. In general, the goal of a cooperative agreement is for the government to provide something of value to another entity “for a public purpose of support or stimulation.”

2. An executive agency shall use a cooperative agreement as the legal instrument reflecting a relationship between the United States Government and a state, a local government, or other recipient when:¹
 - a. The principal purpose of the relationship is to transfer a thing of value to the state, local government, or other recipient to carry out a public purpose of support or stimulation authorized by a law of the United States instead of acquiring (by purchase, lease, or barter) property or services for the direct benefit or use of the United States Government; and
 - b. Substantial involvement is expected between the executive agency and the state, local government, or other recipient when carrying out the activity contemplated in the agreement.
3. Legislative History
 - a. The primary statute addressing cooperative agreements is 31 U.S.C. § 6305. This statute grew out of 41 U.S.C. § 505, which in turn became law in 1978.² In the late 1970s, Congress decided there was “a need to distinguish Federal assistance relationships from procurement relationships and thereby to standardize usage and clarify the meaning of the legal instruments which reflect such relationships.”³ Circumstances had shown that unclear definitions of various types of agreements had led to “operational inconsistencies, confusion, inefficiency, and waste for recipients of awards as well as for executive agencies.”⁴ As a result, Congress enacted the Federal Grant and Cooperative Agreement Act of 1977.⁵
 - b. The Federal Grant and Cooperative Agreement Act of 1977 had four purposes:
 - (1) First, Congress intended the Act to support understanding and efficiency by “characterize[ing] the relationship between the Federal Government and contractors, state and local governments, and other recipients in the acquisition of

¹ 31 U.S.C. § 6305.

² Federal Grant and Cooperative Agreement Act of 1977, Pub. L. No. 95-224, 92 Stat. 3 (1978).

³ *Id.* § 2(a)(1).

⁴ *Id.* § 2(a)(2).

⁵ *Id.* §§ 1–2.

property and services and in the furnishing of assistance by the Federal Government.”⁶

- (2) Second, Congress intended the Act to better “establish Government-wide criteria for selection of appropriate legal instruments to achieve uniformity in the use by the executive agencies of such instruments.”⁷
 - (3) Third, Congress intended the Act to “promote increased discipline in the selection and use of types of contracts, grant agreement, and cooperative agreements and to maximize competition.”⁸
 - (4) Fourth, Congress intended to “require a study of the relationship between the Federal Government and grantees and other recipients in Federal assistance programs.” It also wanted to examine the possibility of “a comprehensive system of guideline for the use of grant and cooperative agreements, and other forms of Federal assistance in carrying out such programs.”⁹
- 4. The Act established criteria for using contracts, grant agreements, and cooperative agreements.¹⁰ For cooperative agreements, the language was substantially the same as the current 31 U.S.C. § 6305. Furthermore, under the Act, the Office of Management and Budget [hereinafter “OMB”] had authority “to issue supplementary interpretative guidelines” for cooperative agreements.¹¹
 - 5. In 1982, Congress repealed and replaced the Act.¹² In part, the goal of the replacement legislation was to revise and codify laws “related to money and finance” and enact them under Title 31, United States Code, “Money and Finance.”¹³ Accordingly, some of the statutory language in 41 U.S.C. § 505 moved to 31 U.S.C. § 6305 – with some revisions.

⁶ *Id.* § 2(b)(1).

⁷ *Id.* § 2(b)(2).

⁸ *Id.* § 2(b)(3).

⁹ *Id.* § 2(b)(4).

¹⁰ *Id.* §§ 4–6.

¹¹ *Id.* § 9.

¹² Pub. L. No. 97-258, § 5(b), 96 Stat. 877, 1068–85.

¹³ *Id.*, at 877.

B. References

1. Federal Grant and Cooperative Agreement Act of 1977, Pub. L. No. 95-224, 92 Stat. 3 (1978).
2. Title 31 Revision and Codification Act of September 13, 1982, Pub. L. No. 97-258, 96 Stat. 877.
3. 10 U.S.C. § 2391, 4001, 4954.
4. 31 U.S.C. § 6301–6302; 6305–6308.
5. 2 C.F.R. Part 200.
6. 2 C.F.R. Part 1104.
7. 32 C.F.R. Subtitle A, ch. 1, Subchapter C. (DoDGARS)
8. 37 C.F.R. §§ 401.2, 401.3, 401.14.
9. Defense Federal Acquisition Regulation Supplement (DFARS).
10. U.S. Dep’t of Def., 7000.14-R, DoD FINANCIAL MANAGEMENT REGULATION vol. 12, ch. 5 (Dec. 2024) [hereinafter DoD FMR].
11. U.S. Dep’t of Def., Instr. 1025.08, NATIONAL GUARD YOUTH CHALLENGE PROGRAM (31 Dec. 2020) (C1, 2 Nov. 2023).
12. *Hyman v. U.S.*, 810 F.3d 1312 (Fed. Cir. 2016).
13. *Power Density Solutions, LLC v. U.S.*, 159 Fed. Cl. 208 (Fed. Cl. 2022).
14. *The Boeing Co.*, ASBCA No. 60373, 18-1 BCA ¶ 37112.

C. Definitions

1. **Cooperative agreement** – a legal instrument which, consistent with 31 U.S.C. § 6305, is used to enter into the same kind of relationship as a grant, except that substantial involvement is expected between the DoW and the recipient when carrying out the activity contemplated by the cooperative

agreement. The term does not include “cooperative research and development agreements” as defined in 15 U.S.C. 3710a.¹⁴

a. Cooperative agreements also do not include agreements which provide only:¹⁵

- (1) direct United States Government cash assistance to an individual;
- (2) a subsidy;
- (3) a loan;
- (4) a loan guarantee; or
- (5) insurance.

2. **Agreements officer** - an official with the authority to enter into, administer, and/or terminate technology investment agreements.¹⁶

D. Establishing and Administering Cooperative Agreements

1. Several authorities allow the DoW to utilize cooperative agreements.¹⁷

- a. 10 U.S.C. § 2391 provides the Secretary [hereinafter “Secretary”] of the U.S. Department of War with authority to utilize cooperative agreements when working with state and local governments to mitigate the effects of major military restructuring such as base closures.
- b. 10 U.S.C. § 4001 allows for the heads of DoW military departments to utilize cooperative agreements “to engage in certain basic research, applied research, advanced research, and development projects.”
- c. 10 U.S.C. § 4954 provides the Secretary with authority to utilize cooperative agreements with an “eligible entity” that will “agree to sponsor programs to furnish procurement technical assistance to

¹⁴ 32 C.F.R. § 21.640.

¹⁵ 31 U.S.C § 6302.

¹⁶ 32 C.F.R. § 21.610.

¹⁷ See, e.g., 32 C.F.R. § 21.420.

business entities.” With exceptions, the usual financial limit for DoW assistance is “75 percent of the eligible entity's cost of furnishing such assistance under such programs.”¹⁸ Waiver of those exceptions can occur.¹⁹

2. Cooperative differ from other types of government transactions. The DoD FMR describes the difference between cooperative agreements and contracts.²⁰
 - a. The DoD FMR states, “Grants and cooperative agreements are legal instruments used to enter into a relationship, the **principal purpose of which is to transfer a thing of value to the recipient to carry out a public purpose and stimulate the economy.**”²¹
 - b. Contracts, on the other hand, are for the acquisition of “property or services for a DoW Component’s direct benefit or use.”²²
 - c. The decision to use a cooperative agreement rather than a procurement contract for an activity hinges on whether “the principal purpose of the activity to be carried out under the instrument is to stimulate or support a public purpose (i.e., to provide assistance).”²³ If it is not, or if it involves a fee or profit, a procurement contract is normally more appropriate.²⁴
3. Cooperative agreements differ from grants in that **grants are for situations where a federal agency will have minimal involvement in the activity that the grant funds.**²⁵ Cooperative agreements, by contrast, are for situations where the federal agency will have substantial involvement in the activity.²⁶ The rationale for the decision to use a cooperative agreement instead of a grant should be documented, to include the nature of the

¹⁸ *Id.* § 4954(b)(1).

¹⁹ *Id.* § 4954(b)(2).

²⁰ U.S. DEP’T OF DEF., 7000.14-R, DoD FINANCIAL MANAGEMENT REGULATION vol. 12, ch. 5, ¶ 1.1.1 (Dec. 2024).

²¹ *Id.*; *see also* 32 C.F.R. § 21.640.

²² *Id.*

²³ *Id.* § 22.205(a)(1).

²⁴ *Id.* § 22.205.

²⁵ *Id.* ¶ 1.1.2.

²⁶ *Id.* ¶ 1.1.2; 32 C.F.R. § 22.215.

substantial involvement, and should not hinge on a desire merely to have stricter controls than a grant would have.²⁷

4. FAR 2.101 states that cooperative agreements do not count as contracts for purposes of the FAR. Per 32 C.F.R. § 21.325, most of the FAR and most of the DFARS do not apply to cooperative agreements. Potential exceptions may exist though.²⁸
5. However, where the law requires or where possible, “[g]rants officers shall use merit-based competitive procedures to award grants and cooperative agreements.”²⁹ With exceptions, a cooperative agreement award recipient should have sufficient “management capability” and financial resources and have a “satisfactory record” executing similar programs.³⁰ It should also have a “satisfactory record” related to “integrity and business ethics” and be “otherwise qualified and eligible.”³¹
6. Because 31 U.S.C. § 6307 gives OMB the ability to establish regulations for use of cooperative agreements, federal agencies should ensure that they follow OMB regulations where applicable.³²
 - a. DoW guidance for implementing the OMB regulations is found in 2 C.F.R. Chapter XI.
 - b. The DoW also maintains a Defense Grant and Regulation System (DoDGARs) to help streamline cooperative agreements through such means as publishing policies and procedures.³³
7. DoW regulations require DoW components to standardize the format of cooperative agreement awards in keeping with current guidance.³⁴ Practitioners should also be aware that other regulations may apply to cooperative agreements; examples would include regulations addressing patent rights in contracting environments.³⁵

²⁷ 32 C.F.R. § 22.215.

²⁸ *Id.*

²⁹ *Id.* § 22.305(b); *see also* 31 U.S.C. § 6301(3); 32 C.F.R. § 22.315.

³⁰ 32 C.F.R. § 22.415.

³¹ *Id.*

³² *See, e.g.*, 2 C.F.R. § 200.201(a).

³³ 32 C.F.R. §§ 21.200–2.220.

³⁴ 2 C.F.R. § 1104.100.

³⁵ *See, e.g.*, 37 C.F.R. §§ 401.2(a), 401.3(a), 401.14.

8. When awarding a cooperative agreement, grants officers should ensure the award has the proper terms and conditions and that it is reported in the Defense Assistance Award System.³⁶ For instance, cooperative agreements should include provisions for handling claims and disputes.³⁷ Regulations also set basic requirements for administration of the cooperative agreement after the award.³⁸
9. “The accounting treatment for grants and cooperative agreements is the same.”³⁹ Provisions for either advance payments or reimbursable payments exist depending on the nature of the agreement and whether it meets certain criteria.⁴⁰

E. Examples of Cooperative Agreements

1. “A technology investment agreement, as defined in 32 [CFR] 37 is a cooperative agreement while a cooperative research and development agreement, as defined in Title 15 [U.S.C.], Section 3710a, is neither a grant nor a contract.”⁴¹ In one example, litigation before the Armed Services Board of Contract Appeals indicated that certain technology investment agreements between the U.S. Army and the Boeing Company had been set up to be cooperative agreements.⁴² The agreements involved the development of software and other technology associated with aircraft.⁴³
2. The U.S. Defense Advanced Research Projects Agency (DARPA) utilized cooperative agreements with defense contractors and research institutions for purposes of advancing “technology to cool computer circuitry and electronic components.”⁴⁴
3. DoW guidance references the use of cooperative agreements with states regarding the National Guard Youth Challenge Program, which was a program intended to “improve the education, life skills, and employment

³⁶ *Id.* § 22.605.

³⁷ *Id.* § 22.815.

³⁸ *Id.* § 22.715–22.810.

³⁹ U.S. DEP’T OF DEF., 7000.14-R, DoD FINANCIAL MANAGEMENT REGULATION vol. 12, ch. 5, ¶ 1.1.4 (Dec. 2024).

⁴⁰ *Id.* § 3.4.1.

⁴¹ *Id.* § 1.1.3; *see also* 32 C.F.R. § 37.1260.

⁴² *The Boeing Co.*, ASBCA No. 60373, 18-1 BCA ¶ 37112.

⁴³ *Id.*

⁴⁴ *Power Density Solutions, LLC v. U.S.*, 159 Fed. Cl. 208, 212 (Fed. Cl. 2022).

potential of youth who are disengaged from traditional educational settings.”⁴⁵

4. The U.S. Fish and Wildlife Service has at times established cooperative farming agreements “with farmers to manage public lands in the National Wildlife Refuge System for the conservation of migratory birds and wildlife.”⁴⁶ The United States Court of Appeals for the Federal Circuit has said at least some of those agreements constituted “cooperative agreements.”⁴⁷

IV. EDUCATIONAL PARTNERSHIP AGREEMENTS (EPA).

A. Introduction

1. An Education Partnership Agreement (EPA) is an agreement entered into between the Department of War (DoW) and an educational institution at any level. Most often, an EPA is used to set expectations for the exchange of ideas and personnel between a defense research laboratory and a university. DoW employees may be invited to provide instruction or lecture at a university, a faculty member may take sabbatical while conducting a defense research project, students may be given a paid internship to participate in a defense research project, or the laboratory may loan state-of-the art equipment to the university.
2. The primary purpose of an EPA is to provide assistance to non-DoW institutions in order to promote the study of science, technology, engineering, and math in the United States. EPAs may also support the technology transfer and transition objectives discussed later in this chapter.
3. Legislative History
 - A. Section 2194 of Title 10, U.S. Code was added by Public Law 101-510, the National Defense Authorization Act (NDAA) for Fiscal Year 1991. The origins of the statute grew out of Executive Order 12591, Facilitating Access to Science and Technology, signed by President Ronald Reagan on April 10, 1987.

⁴⁵ U.S. DEP’T OF DEF., INSTR. 1025.08, NATIONAL GUARD YOUTH CHALLENGE PROGRAM §§ 1.2(b), 3.7 (31 Dec. 2020) (C1, 2 Nov. 2023).

⁴⁶ *Hymas v. U.S.*, 810 F.3d 1312, 1314 (Fed. Cir. 2016).

⁴⁷ *Id.* at 1327.

- B.** Section 2194 authorizes the Secretary of War to allow directors of defense laboratories to enter into education partnership agreements (EPA) with educational institutions in the United States to encourage and enhance study in scientific disciplines at all education levels. These partnerships can involve local education agencies, colleges, universities, and nonprofit institutions dedicated to improving science, mathematics, business, law, and engineering.
- C.** The statute has received minor adjustments to correct and update language for consistency with other Federal statutes. For example, in the NDAA for Fiscal Year 2013 added the definition of “United States” such that it was inclusive of possessions and territories.⁴⁸

B. References

1. 10 U.S.C. § 2194.
2. DoDI 5535.08, DoD Domestic Technology Transfer Program, dated September 22, 2022.
3. 15 U.S.C. § 3710(i).
4. Executive Order 12999.

C. Definitions

- a. Defense laboratory** – any laboratory, product center, test center, depot, training and education organization, or operational command under the jurisdiction of the DoW.⁴⁹
- b. Local educational agency** – a public board of education or other public authority legally constituted within a State for either administrative control or direction of, or to perform a service function for, public elementary schools or secondary schools in a city, county, township, school district, or other political subdivision of a State, or of or for a combination of school districts or counties

⁴⁸ Pub. L. No. 112-239, Sec. 251.

⁴⁹ 10 U.S.C. § 2194(f).

that is recognized in a State as an administrative agency for its public elementary schools or secondary schools.⁵⁰

D. Assistance Provided Through an EPA

1. Under 10 U.S.C. § 2194, directors of defense laboratories may provide assistance by:⁵¹
 - a. Loaning defense laboratory equipment for any purpose and duration in support of the agreements as the director deems appropriate;
 - b. Transferring computer equipment, or other scientific equipment, that doesn't violate other law or regulation, and that is
 - (1) commonly used by education institutions;
 - (2) surplus to the needs of the defense laboratory; and
 - (3) determined by the director to be appropriate for such agreement;
 - c. making laboratory personnel available to teach science courses or to assist in the development of science courses and materials for the institution;
 - d. providing sabbatical opportunities for faculty and internship opportunities for students
 - e. involving faculty and students in defense laboratory projects;
 - f. cooperating with the institution in developing a program under which students may be given academic credit for work on defense laboratory projects;
 - g. providing academic and career advice and assistance to students; and

⁵⁰ 10 U.S.C. § 2194(f); Section 8101 of the Elementary and Secondary Education Act of 1965.

⁵¹ 10 U.S.C. § 2194(b).

- h. entering into new and separate contracts or cooperative agreements, or making grants, to provide financial assistance for activities conducted under such partnership agreement.

E. EPA Format and Structure

1. Though there is no standard EPA format used by any component of the DoW, EPAs should be in writing.
2. A typical EPA will include the following sections:
 - a. Authority;
 - b. Purpose;
 - c. Benefit for each party;
 - d. Actions expected under the agreement;
 - e. Effective date;
 - f. Termination date;
 - g. Points of contact; and
 - h. As appropriate:
 - (1) Intellectual property and data rights requirements;
 - (2) Security clearance requirements.
3. An agreement may last for any amount of time as agreed to by the parties.
4. Practitioners have wide latitude and flexibility to craft an agreement that will fit the needs of the laboratory and the educational agency.
5. While there is no standard form or format for EPAs, the Navy has a generic template available online.⁵²

F. Example EPAs:

⁵² https://acqnotes.com/wp-content/uploads/2014/09/DON_T2_Handbook_1stEd_v1_09-2018.pdf.

1. In 2024 the Air Force Research Laboratory (AFRL) signed and renewed its EPA with La Salle University that enables faculty to conduct research projects at the AFRL laboratory using AFRL equipment and expertise of AFRL scientists. Faculty members may be accompanied by one or two university students in order to gain valuable experience and the agreement allows a stipend to both the faculty member and the student to engage in research and development projects.⁵³
2. In early 2025, the U.S. Naval Meteorology and Oceanography Command (CNMOC) signed an EPA with Mississippi State University to facilitate academic exchanges focused on geosciences and data sciences.⁵⁴ Under the agreement students will be able to visit Naval research facilities and work on research projects guided by CNMOC staff and expertise.
3. In 2025 the U.S. Navy's Naval Surface Warfare Center (NSWC) and California State University, San Bernadino (CSUSB) signed an EPA that includes a pathway for converting defense-related research into commercial applications, internship and mentorship opportunities for CSUSB students, and hands-on opportunities for both faculty and students in the areas of cybersecurity, artificial intelligence, remote sensing and advanced manufacturing.⁵⁵
4. The U.S. Army Cyber Command and Dakota State University entered in an EPA in 2023 to engage students in the development of cyber tools to defend critical infrastructure.⁵⁶
5. The NSWC-Carderock Division uses the authority of 10 USC 2194 to enter into EPAs with primary, secondary, and college-level institutions to engage in Science, Technology, Engineering, and Math (STEM) and other basic

⁵³ The renewed partnership with Air Force Research Laboratory is an exceptional opportunity for La Salle students and faculty - La Salle University, <https://www.lasalle.edu/news/the-renewed-partnership-with-air-force-research-laboratory-is-an-exceptional-opportunity-for-la-salle-students-and-faculty>.

⁵⁴ MSU signs educational agreement with U.S. Naval Meteorology and Oceanography Command, <https://www.msstate.edu/newsroom/article/2025/01/msu-signs-educational-agreement-us-naval-meteorology-and-oceanography>.

⁵⁵ CSUSB and U.S. Navy to sign landmark Education Partnership Agreement | CSUSB News | CSUSB, <https://www.entrcsusb.edu/newsMgr/index.php?newsId=170>

⁵⁶ US Army Cyber Command, DSU sign education partnership agreement, <https://dsu.edu/news/2023/06/dsu-army-cyber-sign-partnership.html>.

research activities.⁵⁷ Carderock engages at all levels, from engineering competitions in primary schools to post-doctoral opportunities.

6. The NSWC-Philadelphia Division (NSWCPD) renewed an EPA with Rowan University in January, 2025. In the continuation of a long-time partnership, NSWCPD will share its scientific, engineering, and technology resources and subject matter experts with Rowan faculty and staff. The EPA also provided for the sharing of specialized equipment and hardware with Rowan. Additionally, NSWCPD experts will assist in teaching courses at Rowan University. NSWCPD has signed EPAs with six other universities, including the University of Puerto Rico, Mayaguez, and continues to collaborate to create leaders, innovators, and problem solvers.⁵⁸

V. TECHNOLOGY TRANSFER AND TRANSITION (T3) AGREEMENTS

A. Introduction

1. Technology Transfer and Transition (T3) is the intentional communication of knowledge, expertise, facilities and equipment, and other resources for application to military and nonmilitary use outside of the FAR. T3 uses a variety of agreement mechanisms for the Government to partner with commercial, academic, or other private entities for mutual benefit. The primary methods of T3 are Cooperative Research and Development Agreements (CRADAs), Partnership Intermediary Agreements (PIAs), and Technology Investment Agreements (TIAs).⁵⁹ However, Education Partnership Agreements (EPAs) may also support T3 objectives.
2. Federal Technology Transfer Act establishes, as national policy, the continuing responsibility of the federal government to ensure the full use of the results of the nation's federal investment in research and development. To this end the federal government, "shall strive where appropriate to transfer federally owned or originated technology to State and local governments and to the private sector."⁶⁰

⁵⁷ <https://www.navsea.navy.mil/Home/Warfare-Centers/NSWC-Carderock/STEM/STEM-Programs/Educational-Partnership-Agreements/>.

⁵⁸ NSWCPD Renew Education Partnership Agreement with Rowan University, <https://www.navsea.navy.mil/Media/News/Article-View/Article/4041636/nswcpd-renew-education-partnership-agreement-with-rowan-university/>.

⁵⁹ DoDI 5535.08.

⁶⁰ 15 U.S.C. § 3710.

3. T3 authorities can be used in conjunction with other non-T3 transactions such as cooperative agreements, other transactions, contracts, grants, etc. to facilitate use of those authorities. However, when T3 authorities are used, clear provisions must be included in the T3 agreement(s) for the appropriate retention of rights to any intellectual property developed thereunder.⁶¹

B. References

1. 15 U.S.C. § 3715.
2. 10 U.S.C. § 4124(f).
3. 15 U.S.C. § 3710.
4. 15 U.S.C. § 3710a .
5. 10 U.S.C. § 4026 (formerly § 2371a).
6. 31 U.S.C. § 6505.
7. 32 C.F.R. Part 37.
8. Federal Technology Transfer Act (FTTA) of 1986, Pub. L. No. 99-502.
9. Technology Transfer Improvement Act of 1995, Pub. L. No. 104-113.
10. Army Technology Transfer Program, *Army T2 Agreements* (last visited June 13, 2025), <https://www.t2.army.mil/>.
11. DAU, *Partnership Intermediary Agreements (15 USC § 3715)* (last visited June 13, 2025), <https://aaf.dau.edu/aaf/contracting-cone/rd-agreements/pia/>.
12. DAU, *Cooperative Research and Development Agreement (15 USC § 3710a)* (last visited June 13, 2025), <https://aaf.dau.edu/aaf/contracting-cone/rd-agreements/crada/>.
13. Dep't of the Air Force Technology Transfer and Transition, *What Is Tech Transfer and Why Do You Need It?*, <https://www.aft3.af.mil/Technology-Transfer/> (last visited June 13, 2025).

⁶¹ DoDI 5535.08, para. 3.3(d).

14. VANESSA PEÑA ET AL., OPPORTUNITIES TO ADVANCE DEPARTMENT OF DEFENSE TECHNOLOGY TRANSFER WITH PARTNERSHIP INTERMEDIARY AGREEMENTS (November 2020).
15. RALPH C. NASH JR. & LEONARD RAWICZ, INTELLECTUAL PROPERTY IN GOVERNMENT CONTRACTS 895-1029 Chapter 7, Technology Transfer Mechanisms (6th ed. 2008).
16. Bricc PIA, <https://briccpia.org> (last visited June 13, 2025).
17. Apex Innovates, <https://apex-innovates.org> (last visited June 13, 2025).
18. U.S. DEP'T OF DEF., INSTR. 5535.08, DoD DOMESTIC TECHNOLOGY TRANSFER PROGRAM (SEPTEMBER 22, 2022).

C. Definitions

1. **Nonprofit institution** – an organization owned and operated exclusively for scientific or educational purposes, no part of the net earnings of which inures to the benefit of any private shareholder or individual.⁶²
2. **Federal laboratory** – any laboratory, any federally funded research and development center, or any Center established under section 3705 or 3707 of this title that is owned, leased, or otherwise used by a Federal agency and funded by the Federal Government, whether operated by the Government or by a contractor.⁶³
3. **Dual use** – technology that has both DoW and private sector applications.⁶⁴
4. **Spin in** – transition of technology into the DoW in support of a planned or projected capability advancement by the DoW, which may be useful in any project or effort typically involving technology selection and/or technology maturation. These activities are typically supported by acquisition and/or collaboration (e.g. CRADAs). T3 related spin in includes the use of at least one T3 authority. Sources of spin in technologies are:⁶⁵

⁶² 15 U.S.C. § 3703.

⁶³ 15 U.S.C. § 3703.

⁶⁴ DoDI 5535.08.

⁶⁵ DoDI 5535.08.

- a. Non-DoW originated technology into the DoW for its own purposes.
 - b. DoW originated technology brought back into the DoW after additional private sector development.
- 5. **Spin out** – transfer of DoW originated technology to non-DoW activities including the private sector and other public sectors for conversion into new products and services. These activities:⁶⁶
 - a. Are beneficial to U.S. citizens in supporting the advancement of technology and industrial innovation, offering an improved standard of living, increased public and private sector productivity, creation of new industries and employment opportunities, improved public services, and enhanced competitiveness of U.S. products in world markets.
 - b. Are beneficial to the DoW in supporting the national technology and industrial base as well as gaining access to resulting products and services of potential interest to DoW.
 - c. May also include making available and use of DoW technology by non-DoW entities for non-military purposes.
- 6. **“Made”** – when used in conjunction with any invention means the conception or first actual reduction to practice of such invention.⁶⁷

D. Office of Research and Technology Applications (ORTA)

- 1. Every federal laboratory must form and staff an Office of Research and Technology Applications (ORTA).⁶⁸ The ORTA is to identify and assess the commercial applicability and value of laboratory technologies, know-how and ideas, and to disseminate them where appropriate.⁶⁹ The ORTA will play a large role in conjunction with the federal laboratory director in negotiating the terms of T3 agreements with non-federal entities.

⁶⁶ DoDI 5535.08.

⁶⁷ 15 U.S.C. § 3703.

⁶⁸ 15 U.S.C. § 3710(b).

⁶⁹ 15 U.S.C. § 3710(c).

2. An ORTA's primary responsibilities are: ⁷⁰
 - a. To prepare application assessments for selected research and development projects in which that laboratory is engaged and which in the opinion of the laboratory may have potential commercial applications;
 - b. To provide and disseminate information on federally owned or originated products, processes, and services having potential application to State and local governments and to private industry;
 - c. To cooperate with and assist the National Technical Information Service, the Federal Laboratory Consortium for Technology Transfer, and other organizations which link the research and development resources of that laboratory and the Federal Government as a whole to potential users in State and local government and private industry;
 - d. To provide technical assistance to State and local government officials; and
 - e. To participate, where feasible, in regional, State, and local programs, designed to facilitate or stimulate the transfer of technology for the benefit of the region, State, or local jurisdiction in which the Federal Laboratory is located.
3. No ORTA or other organizational structures performing T3 functions may substantially compete with similar services available in the private sector.⁷¹

E. Cooperative Research and Development Agreements (CRADA)

1. Introduction
 - a. A Cooperative Research and Development Agreement (CRADA) is an arrangement between a federal agency and a non-federal partner. CRADA enables a federal lab to commit resources such as personnel, facilities, equipment, intellectual property, or other resources – but not funds – to any interested non-federal party. CRADAs are a legally binding alternative to the creation of

⁷⁰ 15 U.S.C. § 3710(c).

⁷¹ 15 U.S.C. § 3710(c)(5).

traditional procurement mechanisms like FAR or DFARS contracts. Because CRADAs are non-FAR based, the approval authority is the director of the federal laboratory; not a contracting officer.⁷²

- b. **Legislative History.** In attempting to bolster economic development and technology transfer from government research laboratories to state, local governments, and the private sector, Congress enacted the Stevenson-Wydler Technology Innovation Act of 1980.⁷³ This act was expanded upon by the Federal Technology Transfer Act (FTTA) of 1986⁷⁴ and the Technology transfer Improvement Act of 1995.⁷⁵ These acts expanded CRADA usage from only Government-owned, Government-operated laboratories to including Government-owned, Contractor-operated laboratories. Amendments to the FTTA in 200 improved the ability of agencies to license government owned inventions including the licensing of such inventions to a collaborator at the time it enters into a CRADA. Technology Transfer Commercialization Act of 2000.⁷⁶

2. Definitions

a. **Federal laboratory** —⁷⁷

- (1) A facility or group of facilities owned leased or otherwise used by a federal agency, a substantial purpose of which is the performance of research, development, or engineering by employees of the federal Government;
- (2) A group of Government-owned, Contractor-operated facilities (including a weapon production facility of the Department of Energy) under a common contract, when a substantial purpose of the contract is the performance of research and development, or the production, maintenance, testing, or dismantlement of a nuclear weapon or its components, for the federal government; and

⁷² DoDI 5535.08.

⁷³ Pub. L. No. 96-480.

⁷⁴ Pub L. No. 99-502 (codified in 15 U.S.C. § 3710a).

⁷⁵ Pub. L. No. 104-113.

⁷⁶ Pub. L. No. 106-404.

⁷⁷ 15 U.S.C. § 3710a(d)(2); *see also* 15 U.S.C. § 3703(4).

- (3) A government-owned, contractor operated facility (including a weapon production facility of the Department of Energy) that is not under a common contract described in subparagraph (b), and the primary purpose of which is the performance of research and development, or production, maintenance, testing, or dismantlement of a nuclear weapon or its components for the federal Government.
 - (4) Federal Laboratories does not include any facility covered by Executive Order No. 12344, dated February 1, 1982, pertaining to the naval nuclear propulsion program.
 - (5) The term federal agency in the definition includes agencies of both the executive and legislative branches.
 - (6) A complete listing of DoW laboratories is available on the website for the Office of the Under Secretary of War for Research and Engineering.
<https://www.ctoinnovation.mil/innovation-organizations>.
 - (7) A complete list of Army laboratories and other resources is available at: <https://www.t2.army.mil/>.
- b. **Cooperative Research and Development Agreement (CRADA)** – Any agreement between one or more federal laboratories and one or more non-Federal parties under which the government, through its laboratories, provides personnel, services, facilities, equipment, intellectual property, or other resources with or without reimbursement (but not funds to non-Federal parties) and the non-Federal parties provide funds, personnel, services, facilities, equipment, intellectual property, or other resources toward the conduct of specified research or development efforts which are consistent with the missions of the laboratory.⁷⁸
 - c. **Collaborator** - the non-federal party to a CRADA.
 - d. **Joint Work Statement** – a proposal prepared for a Federal Agency by the director of a federal laboratory describing the purpose and scope of a proposed CRADA, and assigning rights and

⁷⁸ 15 U.S.C. § 3710a(d)(1).

responsibilities among the agency, the laboratory, and any other party or parties to the proposed agreement.⁷⁹

3. Assistance Provided by CRADAs

- a. Under a CRADA, the federal laboratory agrees to perform certain R&D tasks with its personnel, tangible and intangible property and facilities, and the collaborator agrees to contribute personnel, information and/or funding for the performance of these tasks.
- b. In return for the funding and the other contributions by the collaborator, the federal laboratory usually provides the collaborator with rights in the resulting technology and often requests the payment of a royalty for the use of CRADA inventions. The non-federal partner may retain ownership of IP rights resulting from the collaborations.
- c. Regardless of licensing or patent agreements prior to the collaboration or within the joint work statement, the Government retains a non-exclusive, irrevocable, paid-up license to practice the invention or have the invention practiced throughout the world by or on behalf of the Government, non-transferable irrevocable paid-up license to innovations developed under a CRADA.⁸⁰
- d. A CRADA allows mutual benefit in cooperation, particularly with regard to resultant technology, intellectual property, or other data rights. While data rights, intellectual property, and other inventions are part of the negotiated agreement, the government retains a non-transferable and irrevocable license to practice any technique or invention as part of the agreement.⁸¹
- e. CRADAs must have either a “spin in” or “spin out” structure or potential have both.⁸²

⁷⁹ 15 U.S.C. § 3710a(d)(3)

⁸⁰ 15 U.S.C. § 3710a(b)(1)(A). Note, however, that in exercising this license the Government may not publicly disclose trade secrets or commercial or financial information that is privileged or confidential within the meaning of 5 U.S.C. § 552(b)(4) of or which would be considered as such if it had been obtained from a non-Federal party. *See Id.*

⁸¹ 15 U.S.C. § 3710a(b).

⁸² *See* DoDI 5535.08, para. 3.3b.

- f. Collaborators may be:
 - (1) Units of state or local government;
 - (2) Industrial organizations (corporations, partnerships, limited partnerships, and industrial development organizations);
 - (a) 15 U.S.C. § 3710a(4)(B) contains a preference for the award of CRADAs businesses located within the United States, which agree that products embodying inventions made under the CRADA will be manufactured substantially in the United States.
 - (b) 15 U.S.C. § 3710a(4)(A) requires laboratory directors to give special consideration to small business firms.
 - (3) Public and private foundations;
 - (4) Nonprofit organizations (including universities); and
 - (5) Other federal agencies
- g. CRADAs do not allow:
 - (1) Use of government funds;⁸³ or
 - (2) Research that duplicates research being conducted under existing programs carried out by the Government.
- h. CRADAs do allow:⁸⁴
 - (1) Federal labs to accept, retain, and use funds, personnel, service, and property from the private sector partner;
 - (2) Federal labs to provide personnel, services, and use of property to the private sector;

⁸³ 15 U.S.C. § 3710a(d)(1).

⁸⁴ 15 U.S.C. § 3710a(b)(3).

- (3) Granting of patent licenses or options to the private sector partner with retention of government use rights;
- (4) Waiving of rights to inventions (except for Government use rights);
- (5) Former federal employees to participate in efforts to commercialize inventions;
- (6) Nonfederal partners to choose an exclusive license for a renegotiated field of use for any invention under the CRADA.

4. CRADA Process

- a. Submit a Concept for Partnership - either the scientists/engineer in the lab/organization or the non-federal partner can begin the process with the submittal of a concept for the collaboration.
- b. Conduct Technical Discussions - technical discussions are held between the lab/organization and the non-federal partner to define exactly what will be accomplished through the agreement based on the concept submitted.
- c. Develop a Joint Work Statement - after discussions on what is to be accomplished, a mutually agreeable joint work statement (JWS) is established and becomes a part of the CRADA.
 - (1) The JWS shall describe:⁸⁵
 - (a) The scope of the work to be performed by each party;
 - (b) The goals and objective of the collaboration;
 - (c) The roles, responsibilities, and contributions of each party;
 - (d) The timeline and milestones of the collaboration;

⁸⁵15 U.S.C. § 3710a(5)(C)(i-v)

- (e) Any anticipated inventions, intellectual property rights, and how the results of the collaboration will be shared and commercialized;
 - (f) A Federal agency that receives a JWS shall review and approve, request specific modifications to, or disapprove the proposed JWS within 30 days after such submission;
 - (g) No Federal laboratory may enter into a CRADA before approval of the JWS.
 - d. Conduct Reviews - both parties are responsible for performing legal and financial reviews to ensure compliance with established statutes.
 - e. Begin the Cooperative R&D - the cooperative research and development begin after the CRADA is signed.
 - f. Report at End of CRADA - A final report documents the effort performed under the CRADA, including identifications of any inventions made as part of the work effort.
5. CRADA Restrictions
- a. CRADAs are limited to government owned, government operated or government owned, contractor operated labs.⁸⁶
 - b. Government may contribute a wide variety of resources, but no funds.⁸⁷
 - c. In implementing this section, each agency which has contracted with a non-Federal entity to operate a laboratory shall be guided by the following principles:⁸⁸
 - (1) The implementation shall advance program missions at the laboratory, including any national security missions. An

⁸⁶ National Defense Authorization Act for FYs 1990, 1991, §§ 3131-3133, Pub. L. No. 101-189.

⁸⁷ 15 U.S.C. § 3710a(d)(1).

⁸⁸ 15 U.S.C. § 37(e),(g)(1-2).

agency shall make separate determinations of the mission or missions of each of its laboratories.

- (2) Classified information and unclassified sensitive information protected by law, regulation, or Executive order shall be appropriately safeguarded.

- d. CRADAs with small business seeking or receiving Small Business Innovation Research program and Small Business Technology Transfer program awards must comply with protections prescribed in 15 U.S.C. § 638(ee), and the Small Business Administration's Small Business Innovation Research and Small Business Technology Transfer Program Policy Directive.⁸⁹

6. Intellectual Property Considerations. CRADAs have a complex statutory scheme for ownership and licensing of intellectual property developed under a CRADA. Though not addressed here, practitioners are encouraged to review 15 U.S.C. § 3710a and consult with an attorney specializing in intellectual property law when working matters involving a CRADA.

F. Partnership Intermediary Agreements (PIAs)

1. Introduction.

- a. Partnership Intermediary Agreements (PIAs) are agreements between federal laboratories and an intermediary organization, such as state and/or local government agencies and nonprofit entities to advance T3 activities. These intermediary organizations perform services that increase the likelihood of success in the conduct of cooperative or joint activities with small business firms and educational institutions that need technology-related assistance from a federal laboratory.⁹⁰
- b. PIAs may be formed through contract, memorandum of understanding (MOUs), or other transactions (OTs) between federal laboratories and a partnership intermediary. These agreements facilitate and accelerate the transfer of technology for the benefit or economic development of a state or local government, small

⁸⁹ DoDI 5535.08.

⁹⁰ DoDI 5535.08, para. 3.7(a).

business, or educational institutions and supports the mission of the defense laboratory.

- (1) PIAs allow for accessing non-traditional vendors through government-funded research centers and identifying long term-partners for scaling further government funded research projects.
 - (2) For the DoW, 10 U.S.C. § 4124 authorizes Science and Technology Reinvention Laboratories (STRs) Center Directors to use PIAs.
- c. The key statutes government PIAs are 10 U.S.C. § 4124 and 15 U.S.C. § 3715.

2. Definitions:

- a. **Partnership intermediary** - an agency of a state or local government, or a nonprofit entity owned in whole or in part by, chartered by, funded in whole or in part by, or operated in whole or in part by or on behalf of a State or local government that:⁹¹
- (1) Assists, counsels, advises, evaluates or otherwise cooperates with industry or academic institutions that need or can make demonstrably productive use of technology-related assistance from a Center;
 - (2) Facilitates technology transfer from industry or academic institutions to a Center; or
 - (3) Assists and facilitates workforce development in critical technology areas for technology transition activities to fulfill unmet needs of a Center.
- b. **Centers** – 10 U.S.C. § 4124 uses the term Centers to refer to Center for Science, Technology, and Engineering Partnerships, which is the DoW party to the PIA. The Secretary of War, in coordination with the Secretaries of the military departments, designates each science and technology reinvention laboratory as a Center for Science,

⁹¹ 10 U.S.C. § 4124(f).

Technology, and Engineering Partnership in the recognized core competencies of the designee.⁹²

- c. **Capabilities** – facilities, equipment, personnel, intellectual property, and other assets that support the core competencies of a Center.
- d. **National technology and industrial base** – the persons and organizations that are engaged in research, development, production, integration, services, or information technology activities conducted within the United States, the United Kingdom of Great Britain and Northern Ireland, Australia, New Zealand, and Canada.⁹³
- e. **Science and technology reinvention laboratory** – means a science and technology reinvention laboratory designated under 10 U.S.C. § 4124(b).

3. Assistance Provided by PIAs.

- a. Subject to the approval of the Secretary or the head of the other department or agency of the Federal Government concerned, the Director of a Center may enter into a contract, MOU, or OT with a partnership intermediary that calls for the partner to provide services for the DoW that increase the likelihood of success in the conduct of cooperative or joint activities of the Center with industry or academic institutions.⁹⁴ The Director of a Center may pay the Federal costs of such contract or MOU out of funds available for the support of the technology transfer function pursuant to 15 U.S.C. § 3710(b).
 - (1) The agency's contracting office and a warranted contracting officer may, but need not, be involved in the creation of a PIA.⁹⁵

⁹² 10 U.S.C. § 4124(a).

⁹³ 10 U.S.C. § 4801(1)).

⁹⁴ 10 U.S.C. § 4124(f).

⁹⁵ See 15 U.S.C. § 3715(a)(1) (discussing use of contracts or memoranda of understanding for partnership intermediary agreements).

- (2) PIAs may not authorize a change from the performance of work at a Center by personnel of the Department of War to performance by a contractor.⁹⁶
 - (3) PIAs are limited to federal laboratories as defined in 15 U.S.C. § 3715 and 10 U.S.C. § 4124.
- b. Partnership intermediaries connect DoW laboratories with private business/industry, state or local government agencies, public or private foundations or nonprofit organizations, or academia. These intermediaries help DoW laboratories to engage in:
 - (1) Spin Off: Works with industry or academic institutions that need or can make demonstrably productive use of technology-related assistance from a Center.
 - (2) Spin On: Facilitates technology transfer from industry or academic institutions to a Center to:⁹⁷
 - (a) Maximize the use of the capacity of a Center.
 - (b) Reduce or eliminate the cost of ownership of a Center by the DoW;
 - (c) Reduce the cost of science, technology, or engineering activities of the DoW.
 - (d) To leverage private sector investment in:
 - (i) Such efforts as research and equipment recapitalization for a Center; and
 - (ii) The promotion of the undertaking of commercial business ventures based on the capabilities of a Center, as determined by the director of the Center.

⁹⁶ 10 U.S.C. § 4124(g).

⁹⁷ 10 U.S.C. § 4124(b)(2)(A-C).

- (e) To foster cooperation and technology transfer between the armed forces, academia, private industry, and State and local government.
- (f) To increase access by a Center to a skilled technical workforce that can contribute to the effective and efficient execution of the missions of the DoW.
- (g) To increase the ability of a Center to access and use non-DoW methods to develop and innovate and access capabilities that contribute to the effective and efficient execution of the missions of the DoW.

4. Examples.

- a. MilTech. Located at Montana State University, MilTech works with Department of Homeland Security to bring innovative technology into the DoW. MilTech was instrumental in the development of Rev MedX's "XStat" syringe, offering a first-in-kind hemostatic device for the treatment of gunshot and shrapnel wounds
- b. Basic Research Innovation Collaboration Center (BRICC) PIA. Powered by the Virginia Tech Applied Research Corporation (VT-ARC), the BRICC PIA supports the Air Force Office of Scientific Research with discovering and promoting basic research that impacts the U.S. Air Force while also facilitating STEM events to promote scientific careers and future innovators.

G. Fee-for-Service Agreements ("Work for Others")

- 1. Introduction. The Government may, pursuant to various authorities under Title 10, provide to private entities government materials, equipment, access to facilities, and services for the purpose of research and development, ultimately to aid a governmental purpose.
- 2. Section 4175 (Contractor T&E at Major Ranges). This statute authorizes the SECDEF to enter into contracts with commercial entities who desire to conduct test and evaluation activities at Major Range and Testing Facilities. 10 U.S.C. § 4175. The contract must require the commercial entity to reimburse the direct costs, and may require it to reimburse the indirect costs, of the range or testing facility. *Id.*

3. Section 4892 (Test Service Agreements).
 - a. This statute authorizes the SECDEF to sell, rent, lend, give, or make available certain items, including equipment, information, and governmental services at certain laboratories and facilities. 10 U.S.C. § 4892. These items and services are typically provided at a fee. *Id.*
 - b. DoW implements this statute through DoDI 5535.11. The DoDI requires consideration of information security and information classification. Moreover, the facility director must find that the agreement will not constitute undue competition with services offered by the private sector.
 - c. For services and use of government facilities and equipment, the DoDI requires recoupment of the total cost incurred by the Government, including “capital improvement costs, utility costs, depreciation, and all other ancillary support costs” unless there is a “compelling reason.” DoDI 5535.11, para. 3(b)(1).
 - d. Contrasted with § 4175, where a contractor conducts the testing at a military range, § 4892 permits the DoD to provide information to a contractor without the contractor’s use of a DoD facility. This agreement covers, e.g., the provision of Soldier-generated testing data of a contractor’s prototype for a fee. Army Regulation 70-57 implements this statute for the Army. AR 70-57, para.1-10. Generally, the government obtains no intellectual property rights in any of the testing data; however, such data may be helpful in determining the government’s future requirements, or useful for inclusion in future weapons safety reviews.
4. Section 2474 (Public-Private Partnerships at Depots and Arsenals). DoW has many authorities regarding Public-Private Partnerships (PPP). One of these, 10 U.S.C § 2474(b) authorizes the SECDEF to permit private industry to use the excess capacity of designated military depots and arsenals.
 - a. Section 2466 Limits. Section 2466 of Title 10, U.S.C., provides that not more than 50% of the funds made available in a fiscal year for depot-level maintenance and repair may be used to contract for the performance of that work by non-Federal Government personnel. The idea is that the funds should be used to develop expertise by

DoW employees. Section 2474 acts as an exclusion to this prohibition; indeed, the use of excess capacity continues to enhance the efficient operation of the depot.

H. Technology Investment Agreements (TIAs)

1. Introduction – TIAs are specialized assistance instruments with the ability to operate as a cooperative agreement or research OT. This dual agreement mechanism stimulates research and development and fosters civil-military integration with as little barriers as possible. ⁹⁸ Accordingly TIAs are designed to:⁹⁹
 - a. Reduce barriers to commercial firms' participation in defense research, to give the Department of War (DoW) access to the broadest possible technology and industrial base.
 - b. Promote new relationships among performers in both the defense and commercial sectors of that technology and industrial base.
 - c. Stimulate performers to develop, use, and disseminate improved practices.
2. References
 - a. 32 CFR Part 37.
 - b. 10 U.S.C. § 4001.
 - c. 10 U.S.C. § 4021.
3. Use of TIAs
 - a. Authority.
 - (1) The statutory authorities governing TIAs straddle 10 USC 4001 (contracts, cooperative agreements, and grants) and 10 USC 4021 (research OT). An agreements officer needs an appointment that explicitly authorizes TIAs (not just cooperative agreements) because the AO needs the

⁹⁸ 32 CFR § 37.115.

⁹⁹ 32 CFR § 37.115.

flexibility to execute both types of agreements depending on the TIA's patent provision.¹⁰⁰

- (2) TIAs are ideal for situations where the patent provision may initially be unclear. The research starts similar to provisions under a cooperative agreement. The product developed through the research is not always predictable and therefore, further patent negotiations may ensue after the research begins. The patent provision may either be negotiated in accordance with the Bayh-Dole Act or less restrictive terms authorized under an OT. The Bayh-Dole Act is favorable to the federal government. If the other party wants to include provisions less restrictive than the Bayh-Dole Act, then the AO must comply with additional requirements under 10 USC 4021.¹⁰¹

- (a) TIAs which comply with 35 U.S.C. Chapter 30 (the Bayh-Dole statute) are awarded as cooperative agreements.

- (b) TIAs which are less restrictive than 35 U.S.C. Chapter 30 are awarded as assistance transactions.

- (3) Organizations must have specific authority to award TIAs under the controlling statute or a delegation from the Secretary of War or the military department concerned.¹⁰²

- (4) Agreements officers must have specific authority to award TIAs as an aspect of their appointment.¹⁰³

- b. Agreements officers are responsible for ensuring appropriate use of TIAs in consideration of the following:¹⁰⁴

- (1) The nature of the project;

- (2) The type of recipient;

¹⁰⁰ 32 CFR § 37.105.

¹⁰¹ See 32 CFR Part 37, Appendix B.

¹⁰² 32 CFR § 37.120.

¹⁰³ 32 CFR § 37.125(a).

¹⁰⁴ 32 CFR § 37.200.

- (3) The recipient's commitment and cost sharing;
- (4) The degree of involvement of the Government program official; and
- (5) A determination that the use of a TIA could benefit defense research objectives in ways that likely would not happen if another type of assistance instrument were used.
- (6) 32 CFR § 37.205-225 provides agreements officers with further detail on what to consider in making the above determinations.

4. TIA Award and Structure

- a. It is DoW policy to award TIAs competitively. 32 CFR Part 37, Subpart D provides further discussion regarding proper solicitation and competition of TIAs.
- b. TIAs may be structured to resemble both firm-fixed price or cost-reimbursement contract types. These structures, referred to as "fixed-support" and "expenditure-based" respectively, are detailed further in 32 CFR § 37.300-315.
- c. TIAs may not be used if the awardee or any subawardees are to receive fee or profit.¹⁰⁵
- d. TIAs, including those awarded as cooperative agreements under 10 U.S.C. § 4001, may include the recovery of funds provision within 10 U.S.C. § 4021, which would require the non-Federal party to the agreement to make payments to the agency as a condition for receiving the underlying support.¹⁰⁶
- e. TIAs typically include cost-sharing provisions which consider both cash and in-kind contributions such as real property and equipment. However, agreements officers are cautioned against considering intellectual property as a cost sharing contribution and *may not*

¹⁰⁵ 32 CFR § 37.230; *see also* 32 CFR § 22.205(b) (discussing the requirement to use a procurement contract rather than an agreement where fee or profit is to be paid).

¹⁰⁶ *See* 32 CFR Part 37, Appendix B.

consider a participant's prior research costs as a cost sharing contribution.¹⁰⁷

VI. INTERGOVERNMENTAL SUPPORT AGREEMENTS

A. Introduction

1. Intergovernmental Support Agreements (IGSAs) were established to allow formal public-to-public partnerships agreements between DoW installations and their state or local governments for the provision, receipt, or sharing of installation support services where the state or local government currently provides the service for its own residents or where the installation has excess capacity to provide the service off-post.¹⁰⁸
2. Intragovernmental support agreements – those between entities within the federal Government – are not addressed in this chapter.

B. References

1. 10 U.S.C. § 2679.
2. DoDI 4000.19, Support Agreements, dated December 16, 2020.
3. Army Regulation (AR) 5-9, Management of Installation Agreements.

C. Definitions

1. **Installation support services** – those services, supplies, resources, and support typically provided by a local government for its own needs and without regard to whether such services, supplies, resources, and support are provided to its residents generally, except that the term does not include security guard or fire-fighting functions. (Examples may include: garbage and recycling collection and disposal; ground and utilities O&M; pavement clearance and maintenance; pest control; water, wastewater treatment O&M; roadway paint striping; salt brine treatment and snow removal; electrical support agreements; and stray animal control.)¹⁰⁹

¹⁰⁷ See 32 CFR § 37.525-555.

¹⁰⁸ 10 U.S.C. § 2679; Army Regulation (AR) 5-9, Installation Agreements, Ch. 8, para 4(a).

¹⁰⁹ 10 U.S.C. § 2679(f)(1).

2. **Local government** – a county, parish, municipality, city, town, township, local public authority, school district, public universities, special district, any agency or instrumentality of local government.¹¹⁰

D. Use of IGSAs

1. The DoW can enter into IGSAs with state, local, and tribal governments – on a sole source basis – in order to provide, receive, or share installation support services if:
 - a. The department Secretary determines such an agreement serves the best interests of the department by enhancing mission effectiveness or creating efficiencies or economies of scale, including by reducing costs.¹¹¹
 - b. The service being provided is pre-existing and is currently being provided for the state, local, or tribal government’s own use.¹¹²
 - c. Any contract being awarded for the provision of services pursuant to an IGSA is awarded by the party to the IGSA – whether it is the federal Government or the state/local/tribal Government – on a competitive basis.¹¹³
 - (1) Note: This means that while the DoW’s agreement with the state/local/tribal government itself (the actual IGSA) need not be the result of competition, any contractual agreement – for example, with a private contractor – to perform the services must be competitively awarded.
2. IGSAs may not exceed ten years for the complete life cycle of installation support service.¹¹⁴
3. Agencies may not use IGSAs to circumvent any existing Office of Management and Budget (OMB) Circular A-76’s requirement to determine

¹¹⁰ 10 U.S.C. § 2679(f)(2).

¹¹¹ 10 U.S.C. § 2679(a)(1).

¹¹² 10 U.S.C. § 2679(a)(3).

¹¹³ 10 U.S.C. § 2679(a)(3). AR 5-9, para 8-3(b)(5).

¹¹⁴ 10 U.S.C. § 2679(a)(2)(A); However, agencies may choose to renew IGSAs. For example, the Army allows for renewal after ten years with Assistant Secretary of the Army (IE&E) approval. *See* AR 5-9, para. 8-3b.(6).

whether commercial activities should be performed by in-house government teams or private contractors.¹¹⁵

4. IGSAs do not require the use of the FAR for the IGSA itself. However, the FAR may apply to procurements conducted by agencies to contract for services provided under the agreement.
5. IGSA terms and provisions may be created, negotiated, and developed into a proposal by local contracting officers which is then is routed to respective authorities depending on annual cost:
 - a. For Air Force and Space Force, if the 10-year life cycle cost of IGSA exceeds \$15 mil, must receive concurrence from SAF/IEL. Otherwise, authority rests at Installation Command Level.¹¹⁶
 - b. For Navy and Marine Corps, Installation Commanders can approve IGSA valued at less than \$100,000 per year. If the annual cost is between \$100,000 and \$250,000, the IGSA proposal must be sent to the respective regional command for approval. If the annual cost is between \$250,000 and \$1 million, it must be forwarded from the installation, to regional command, to the Navy/Marine Installation Command for Approval. If the annual cost is over \$1 million, it needs to be forwarded from the aforementioned offices to the Principal Deputy Assistant Secretary of the Navy for Energy, Installations, and Environment.
 - c. For Army, there is no approval authority at the Installation Command Level. Army Installations Management Command (IMCOM) approves IGSAs with an annual cost of \$1 million or less. If the annual execution value of the IGSA exceeds \$1,000,000 (\$1M), the proposal is forwarded to the Deputy Assistant Secretary of the Army for Installations, Energy, and Environment (IE&E). IGSA's valued at over \$3 million per year are forwarded in turn to the Assistant Secretary of the Army (IE&E). This process must be submitted through the Office of the Assistant Chief of Staff for Installation Management (OACSIM), which will prepare the proposal for review, process, and vet through the Army staff prior to forwarding to the appropriate approval authority depending on the annual IGSA execution value. However, OACSIM will not forward

¹¹⁵ 10 U.S.C. § 2679(d).

¹¹⁶ Air Force Instruction (AFI) 25-201, para. 1.8.13.

a proposal without an endorsement from the headquarters of the local command.¹¹⁷

6. O&M funds may be used to pay for such installation-support services. The costs of agreements under this section for any fiscal year may be paid using annual appropriations made available for that year.
7. Consult service specific regulations, or guidance published by service approval authorities, installations, and/or managing organizations regarding administration of existing IGSA's.

¹¹⁷ AR 5-9, para. 8-5.

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CHAPTER 35

GOVERNMENT INFORMATION PRACTICES

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I. INTRODUCTION

1. The federal government collects an immense amount of information on individuals and organizations, both commercial and non-commercial. Whether to process passport applications, determine compliance with workplace safety regulations, or solicit bids on construction projects at military bases, information is gathered, processed, stored, and disseminated by a variety of entities of the federal government. Over time, an elaborate system of statutes, regulations, and policies has developed which governs these information practices.
2. The purpose of this chapter is to highlight some of the more important statutes, regulations, and policies which govern federal government information practices, with an emphasis on practices relevant to the federal acquisitions process.

II. RESTRICTIONS ON THE RELEASE OF INFORMATION

A. CLASSIFIED INFORMATION

1. Classified information is “official information that has been determined to require, in the interests of national security, protection against unauthorized disclosure and which has been so designated.” Joint Publication 1-02, Department of Defense Dictionary of Military and Associated Terms (November 8, 2010, as amended through April 2018).
2. Determining what information can be classified has traditionally been an executive branch prerogative.¹
3. Executive Order 13526 establishes guidelines for the classification of information. Exec. Ord. No. 13526, 3 C.F.R. 2009 Comp. at 298.
4. Information may be classified only if all the following conditions are met. *Id.*

¹ For an overview of the history of classified information, see Harold C. Relyea, Security Classified and Controlled Information: History, Status, and Emerging Management Issues, CRS REPORT, RL 33494, (Updated February 11, 2008), <http://fas.org/sgp/crs/secrecy/RL33494.pdf>. For an overview of the legal framework for protecting classified information, see Jennifer K. Elsea, The Protection of Classified Information: The Legal Framework, CRS REPORT, RS21900 (January 10, 2013), <http://www.fas.org/sgp/crs/secrecy/RS21900.pdf>.

- a. §1.1(1) The information must be classified by an official possessing original classification authority;²
 - b. §1.1(2) The information must be owned by, produced by or for, or is under the control of the United States Government;
 - c. §1.1(3) The information falls within one or more of specific categories of information;³ and
 - d. §1.1(4) The original classification authority determines that the unauthorized disclosure of the information could reasonably be expected to result in damage to national security.
5. There are three classification levels for information:
 - a. Top Secret;⁴
 - b. Secret;⁵ and
 - c. Confidential.⁶
 6. The original classification authority establishes the level of classification and sets the duration for this classification.
 7. The dissemination of information that does not meet the standard for classification may still be restricted. Information labeled “For Official Use Only (FOUO)” or “LIMITED DISTRIBUTION” are examples of controlled unclassified information (CUI). Department of Defense Manual (DoDM) 5200.01, Volume 4 provides guidance for the identification and protection of CUI.⁷

² According to Exec. Ord. 13526, §1.3 (1-3) this authority is limited to the President and the Vice President; agency heads and officials designated by the President, and United States Government officials delegated this authority. Delegations of this authority must be limited to the minimum required to comply with this order.

³ Exec. Ord. No. 13526, §1.4. These categories include the following:

- (a) military plans, weapons systems, or operations;
- (b) foreign government information;
- (c) intelligence activities (including covert action), intelligence sources or methods, or cryptology;
- (d) foreign relations or foreign activities of the United States, including confidential sources;
- (e) scientific, technological, or economic matters relating to the national security;
- (f) United States Government programs for safeguarding nuclear materials or facilities;
- (g) vulnerabilities or capabilities of systems, installations, infrastructures, projects, plans, or protection services relating to the national security; or
- (h) the development, production, or use of weapons of mass destruction

⁴ §1.2(1) “‘Top Secret’ shall be applied to information, the unauthorized disclosure of which reasonably could be expected to cause exceptionally grave damage to the national security that the original classification authority is able to identify or describe.” Exec. Ord. No. 13526, 2009 Supp. §1.2(1) at 298.

⁵ §1.2(2) “‘Secret’ shall be applied to information, the unauthorized disclosure of which reasonably could be expected to cause serious damage to the national security that the original classification authority is able to identify or describe.” *Id.* at §1.2(2) at 299.

⁶ §1.2(3) “‘Confidential’ shall be applied to information, the unauthorized disclosure of which reasonably could be expected to cause damage to the national security that the original classification authority is able to identify or describe.” *Id.* at §1.2(3) at 299.

⁷ See U.S. Dep’t of Def., Manual 5200.01, Volume 2 (February 24, 2012).

8. Information that is derived from classified information is also classified. This information receives *derivative classification*.⁸
9. In some cases, the mere existence of particular records may be classified. Phillippi v. CIA, 546 F.2d 1009 (D.C. Cir. 1976) (request for records concerning the Glomar Explorer, a ship built for the CIA in order to covertly retrieve a Soviet submarine that sank in the Pacific Ocean, led to the CIA's position that the very existence of such records was itself classified and that the CIA would neither confirm or deny the existence of these records). Afterwards, the "neither confirm nor deny" response was known as the "Glomar" response or Glomarization.
10. Department of Defense Manual No. 5200.01, Volume 2 provides extensive guidance on the correct marking of classified information.⁹
11. Information should be declassified as soon as it no longer meets the standards for classification. In general, only the original classification authority or his or her successor may declassify information prior to the declassification date established when the information was classified. Exec. Ord. 13526 at §3.1.

National Industrial Security Program

12. In 1993, President Clinton established the National Industrial Security Program (NISP), whose purpose was to safeguard classified information that may be released or has been released to government contractors. Exec. Ord. No. 12829, 3 C.F.R. 1994 Comp. at 570.
13. Department of Defense Manual 5220.22, Volume 2 (August 2018) implements policy, assigns responsibilities, establishes requirements, and provides procedures for the protection of classified information that is disclosed to, or developed by contractors, licensees, and grantees of the U.S. Government (USG).
14. The Defense Security Service, a component of the Department of Defense, manages and administers the DOD portion of the NISP. Department of Defense Directive 5105.42, para. 1.2 (January 16, 2025).
15. Executive Order 12829 required the Secretary of Defense to issue a National Industrial Security Program Operating Manual, now known as the Industrial Security

⁸ Exec. Ord. No. 13526, at §2.1.

⁹ See U.S. Dep't of Def., Manual 5200.01, Volume 4 (February 24, 2012, incorporating Ch. 4, July 28, 2020)

Manual for Safeguarding Classified Information (ISM).¹⁰ This manual includes provisions that apply to the release of classified information “during all phases of the contracting process including bidding, negotiation, award, performance, and the termination of contracts, the licensing process, or the grant progress, with our under the control of departments or agencies.” Exec. Ord. No. 12829, §201(b), 3 C.F.R. 1994 Comp. at 572.

16. The ISM also contains detailed instructions for safeguarding classified information in the custody of government contractors or under their control.¹¹
17. The ISM binds contractors upon execution of the Department of Defense Security Agreement (DD Form 441), and by reference in the “Security Requirements Clause” in the contract. DoDM 5220.22, Volume 2, Section 3.2.b. (Aug. 1, 2018).
18. The Federal Acquisition Regulation (FAR) requires that contracting officers prepare a Department of Defense Contract Security Classification (DD Form 254) for contracts involving contractor access to classified information. This form provides guidance on the security classification of information that the contractor will access and how to safeguard this information. FAR §4.403(c)(1).

B. DOD POLICY ON THE RELEASE OF ACQUISITION-RELATED INFORMATION

1. In Section 822 of the National Defense Authorization Act for Fiscal Years 1990 and 1991, P.L. 101-189, 103 STAT. 1352, Congress required the Secretary of Defense to amend the FAR to provide a uniform regulation regarding the dissemination of, and access to, acquisition information.
2. DOD policy on the release of acquisition-related policy is codified at 32 C.F.R. §286h.1-§286h.4.
3. It is DOD policy to make information related to the acquisition process available to the public **except** for the following types of information §286h.3(a)(emphasis added):
 - a. Release is subject to statutory restrictions. §286h.3(b)(1)

¹⁰ Department of Defense Directive 5220.22-M, National Industrial Security Program Operation Manual (February 28, 2006).

¹¹ See DoD 5220.22-M, Ch. 5.

The release of acquisition-related information must comply with statutory requirements. Once statutory requirements are fulfilled, the release of the information described in the remaining categories is governed by DOD policy.

- b. Classified Information. §286h.3(b)(2)
 - i. National security information must be protected against unauthorized disclosure and marked with the appropriate classification.
 - ii. Release, access, and dissemination of classified information must be in accordance with DoDM 5220.22, Volume 2; DoD 5220.22-M; and DoDM 5200.01, Volumes 1- 4.
- c. Contractor Bid or Proposal Information. §286h.3(b)(3)
 - i. Contractor bid and proposal information is information submitted by an offeror to the government in support of the offeror's bid to enter into a contract with the government whose release would place the offeror at a competitive disadvantage.
 - ii. Contractor bid and proposal information includes cost and pricing data, profit data, overhead and direct labor rates, and manufacturing processes and techniques.
 - iii. Prior to the opening of sealed bids or the conclusion of negotiated procurements, no contractor bid or proposal information may be released to anyone other than those who are involved in the evaluation of the bid or proposal.
 - iv. After the awarding of the contract, contractor bid information may be disclosed by those authorized by the Head of the DoD Component, unless the release of the information is subject to a restrictive legend authorized by FAR §52.215-12 or FAR §15.509 or otherwise restricted by law.
- d. Source Selection Information. §286h.3(b)(4)
 - i. Source selection information is information prepared for use by the Government when selecting bids or proposals for the award of a contract and consists only of the following information:
 - 1. Bid prices
 - 2. Proposed costs or prices
 - 3. Source selection plans
 - 4. Technical evaluation plans
 - 5. Technical evaluations of competing proposals
 - 6. Cost or price evaluations of competing proposals
 - 7. Competitive range determinations

8. Rankings of competitors
 9. The reports and evaluations or source selection boards, advisory councils, or the source selection authority
 10. Any other information, if disclosed, would give an offeror a competitive advantage or jeopardize the integrity of the procurement process.
- ii. Prior to the contract award, source selection information will not be released unless the Head of the DoD Component determines that release of the information is in the public interest and its release will not jeopardize the integrity of the procurement process.
 - iii. After the award of the contract, the contracting officer may release source selection information related to the contract except for:
 1. Source Selection Information specifically developed for more than one solicitation of bids when there is a continuing need to protect the information;
 2. Source Selection Information which contains contractor data protected by law;
 3. Information which would reveal the relative merits or technical standing of the competitors or evaluation scoring;
 4. Pre-decisional or other information not subject to release under the Freedom of Information Act.
- e. Planning, programming, and budgetary information. §286h.3(b)(5)
 In general, Planning, Programming, and Budgeting System (PPBS) documents¹² and supported data are not to be disclosed outside the Department of Defense. Exceptions to this policy may be granted on a case-by-case basis by the Head of the OSD office responsible for the PPBS phase, in coordination with the Office of General Counsel. Disclosure of PPBS information to Congress or the General Accounting Office is covered by statute.
 - f. Negotiating Documents. §286h.3(b)(6)
 Documents that would reveal the government's negotiating position or would adversely impact the government negotiating strategy should not be disclosed.
 - g. Drafts and Working Papers. §286h.3(b)(7)

¹² A list of PPBS documents for each phase can be found at 32 CFR §286b.3(b)(5)(ii)(C).

Unless required by statute, drafts and working papers shall not be released where their release would inhibit the development of agency positions, jeopardize the free exchange of information, or compromise the decision-making process.

h. Freedom of Information Act Request. §286.3(b)(8)

Release of information pursuant to a request under the Freedom of Information Act shall be in accordance with Department of Defense Manual 5400.07, DoD Freedom of Information Act (FOIA) Program (25 January 2017) and applicable Service regulation (e.g., AR 25-55, AFMAN 33-302, SECNAVINST 5270-42G, USCG COMDTNOTE 5260).

C. EXECUTIVE PRIVILEGE

1. There are two primary uses of the executive privilege: to protect presidential communications from congressional inquiries, and to protect information held by the executive branch from disclosure during litigation.
2. The executive privilege protects information that reflects the “deliberative process” of executive branch officials.
3. There are at least three policy bases for this privilege. The privilege protects:
 - a. “creative debate and candid consideration of alternatives within an agency, and, thereby, improves the quality of agency policy decisions;”
 - b. “the public from the confusion that would result from premature exposure to discussions occurring before the policies affecting it had actually been settled upon;” and
 - c. “the integrity of the decision-making process itself by confirming that ‘officials’ should be judged by what they decided, not for matters they considered before making up their minds.” Jordan v. U.S. Dep’t of Justice, 591 F.2d 753, 772-773 (D.C. Circuit 1978).
4. To assert the privilege,
 - a. “there must be a formal claim of privilege, lodged by the head of the department which has control over the matter, after actual personal consideration by that officer.” United States v. Reynolds, 345 U.S. 1, 7 (1953). This authority may be delegated to a high-ranking authority provided the head of the agency has issued

guidelines on the use of the privilege. Mobile Oil Corp. v. Dep't of Energy, 520 F.Supp 414, 416 (N.D.N.Y. 1981);

- b. the person claiming the privilege must provide “a specific designation and description of the documents within its scope,” Black v. Sheraton Corp. of America, 371 F.Supp. 97, 101 (D.D.C. 1974); and
 - c. the person claiming the privilege must provide “precise and certain reasons for preserving their confidentiality.” *Id.*
5. The information withheld must be pre-decisional and deliberative. In re SEALED CASE, 121 F.3d 729, 737 (D.C. Cir. 1997) (holding that documents created at the request of White House Counsel during a grand jury investigation of a former Secretary of Agriculture were privileged). Such information includes “intra-governmental documents reflecting advisory opinions, recommendations and deliberations comprising part of a process by which governmental decisions and policies are formulated.” Carl Zeiss Stiftung v. V.E.B. Carl Zeiss, Jena, 40 F.R.D. 318, 324 (D.D.C. 1966) (refusing to order the U.S. Government to disclose documents that revealed the Government’s decision-making process in previous litigation).
6. Pre-decisional information is generated prior to a final decision or the adoption of an agency policy. Maricopa Audubon Soc. v. U.S. Forest Serv., 108 F.3d 1089, 1094 (9th Cir. 1997)(holding that an agency must identify a specific decision or policy by which to date pre-decisional information); In re Charlesgate Construction Company, 1997 DOL BCA LEXIS 2 at *4 (asserting that information produced after the contracting officer’s final decision is not protected by the deliberative process privilege); Walsky Construction Company v. United States, 20 Cl. Ct. 317, 322 (1990) (stating that the final report of an investigation into U.S. Air Force contract administration conducted by the U.S. Air Force Inspector General did not contain pre-decisional information and therefore was not protected).
7. Information that is purely factual in nature is not protected by the privilege. EPA v. Mink, 410 U.S. 73, 87-88 (1973); *see also* Soucie V. David, 448 F.2d 1067 (D.C. Cir. 1971) (requiring the disclosure of the factual portions of a report prepared by the Office of Science and Technology on the Government’s development of a supersonic transport aircraft); Appeal of Ingalls Shipbuilding Division, Litton Systems, Inc., 73-2, B.C.A. 48,093, 48,100 (identity of persons with first-hand knowledge of facts relevant to a claim is not protected).

8. Factual information contained in documents that also contain privileged information must be released to the extent the factual information can be severed from the privileged information. Appeal of Federal Data Corp., 1991 DOT BCA LEXIS 6 at *54 (DOT B.C.A. 1991).
9. Despite the privilege, a court may order the disclosure of information if there is a compelling need for the information. Sun Oil Co. v. United States, 514 F.2d 1020, 1025 (Cl.Ct. 1975)(ordering the disclosure of records regarding Government's decision to deny plaintiff's application to install an offshore oil drilling platform).
10. In determining whether to order the disclosure of information, courts look at a number of factors: 1) the relevance of the evidence sought to be protected; 2) the availability of other evidence; 3) the seriousness of the litigation and the issues involved; 4) the role of the government in the litigation; and 5) the possibility of future timidity by government employees who will be forced to recognize that their secrets are violable. In re Franklin National Bank Securities Litigation, 478 F. Supp. 577, 583 (E.D.N.Y. 1979).

D. THE PRIVACY ACT OF 1974

1. The Privacy Act of 1974, Pub. L. No. 93-579, 88 STAT. 1896 (codified at 5 U.S.C. §552a), was passed by Congress to balance the government's need to collect information about individuals with the individual's right to protect this information from disclosure.
2. Keys to understanding the Privacy Act:
 - a. The Privacy Act applies only to federal agencies.¹³
 - b. The Privacy Act protects information collected on individuals, not corporations and organizations. 5 U.S.C. §552(a)(2). See St. Michaels Convalescent Hosp. v. California, 643 F.2d 1369, 1373 (1981) (holding that corporations are not individuals and therefore lack standing to file a claim under the Privacy Act).
 - c. The Privacy Act applies to "a group of records under the control of any agency from which information is retrieved by the name of the individual or by some

¹³ For the purposes of the Privacy Act, the definition of agency is provided by the Freedom of Information Act. *See infra* pp. 12-13.

identifying number, symbol, or other identifying particular assigned to the individual”. 5 U.S.C. §552a(a)(5).

- d. The Privacy Act prohibits agencies from disclosing information contained in a system of records without the written consent of the individual to whom the record pertains unless such disclosure fits in one of the twelve exemptions. 5 U.S.C. §552a(b)(1-12). These exemptions include, for example, disclosure within the same agency based on a need-to-know basis, disclosure mandated by court order, disclosure to support a law enforcement investigation if requested in writing by the head of the agency, and disclosure in response to a valid Freedom of Information Act request.

III. DISCLOSURE OF INFORMATION

A. ADMINISTRATIVE PROCEDURE ACT OF 1946

1. The New Deal of the 1930s led to a vast expansion of federal administrative power, including the creation of dozens of agencies within the executive branch. As administrative action began to impact more private citizens, pressure mounted within Congress to establish guidelines for promulgating regulations and adjudicating rights. The result was the Administrative Procedure Act (APA), Pub. L. No. 404, 60 STAT. 237 (1946).
2. The APA established a “simple and standard plan of administrative procedure”¹⁴ and was not a comprehensive statement of administrative law. A basic premise of the APA was that administrative rules and procedures affecting the public should not be kept secret.
3. Section 3 of the APA delineated three types of information for disclosure. 60 STAT. at 238:
 - a. Rules – To be published in the Federal Register
 - The agency’s organizational structure
 - The agency’s places of doing business with the public
 - The agency’s methods of rule-making and adjudication
 - The agency’s substantive rules that apply to the public
 - b. Opinions and Orders – To be made available for public inspection
 - All final opinions or orders from the agency’s adjudication of cases

¹⁴ S. Rep. No. 752, at 1 (1945).

- c. Public Record – To be made available to persons properly and directly concerned
 - Matters of official record generated by the agency
- 4. However, an agency could withhold information if secrecy was in the public interest or the information pertained solely to the internal management of the agency. *Id.*
- 5. The APA did not provide a mechanism by which an individual could challenge an agency for denying a request for information.

B. FREEDOM OF INFORMATION ACT

- 1. History
 - a. The Freedom of Information Act (FOIA), Pub. L. No. 89-487, 80 STAT. 250 (1966), was passed to remedy perceived deficiencies in the APA.
 - b. Contrary to the purpose of Section 3 of the APA, which was to provide information to the public, a House committee in 1966 noted that this section had become “the major statutory excuse for withholding Governments records from public view.”¹⁵
 - c. The FOIA eliminated the APA requirement that the person requesting the information must be properly and directly concerned with the information.
- 4. Keys to Understanding the FOIA.
 - a. The FOIA applies only to federal agencies.
 - b. The FOIA applies to records—that is, information that is collected, produced or maintained by the government.
 - c. The FOIA does not require federal agencies to create new records or retain records (though other authorities/policies may require records retention).
 - d. The FOIA applies to information that is readily retrievable and reproducible.

¹⁵ H.R. Rep. No. 1497, at 3 (1966).

- e. Upon request, federal agencies must release information that the agency possesses and controls unless the information is protected by one of the nine FOIA exemptions.

5. The FOIA applies only to federal agencies.

- a. An agency means “any executive department, military department, Government corporation, Government controlled corporation, or other establishment in the executive branch of the Government (including the Executive Office of the President), or any independent regulatory agency.” 5 U.S.C. §552(f).
- b. The definition of agency does not include:
 - i. The Office of the President and those organizations within the Executive Office of the President whose function is limited to advising and assisting the President. Armstrong v. Executive Office of the President, 90 F.3d 553, 567 (D.C. Cir. 1996);
 - ii. Congress,¹⁶ the Judiciary,¹⁷ or state agencies;¹⁸
 - iii. Private organizations, unless the government engages in “extensive, detailed, and virtually day-to-day supervision.” Burka v. HHS, 87 F.3d 508, 515 (D.C. Cir. 1996) (finding data tapes created and possessed by contractor to be agency records because of extensive supervision exercised by agency which provided evidence of constructive control); or
 - iv. Private citizens. Allnut v. Dep’t of Justice, 99 F.Supp. 2d 673, 678 (D. Md. 2000) (records held by a private bankruptcy trustee acting as agent for the federal government are not subject to the FOIA).
- c. Subdivisions of an agency are not treated as independent agencies. *See* Judicial Watch, Inc. v. FBI, 190 F.Supp.2d 29, 30 n.1 (D.D.C. 2002) (holding that the proper defendant in a FOIA action filed against the FBI is the Department of Justice rather than the FBI. The FBI is a component of the Department of Justice and therefore not an “agency” within the FOIA). The Military Departments are all considered to be under one agency. Accordingly, since the Departments of the Army, Air Force, and Navy are subdivisions of the Department of Defense, the

¹⁶ 5 U.S.C. §551(1)(A).

¹⁷ *Id.* at §551(1)(B).

¹⁸ *Id.* at §551(1)(A).

proper defendant in a FOIA action would be the Department of Defense. Disclosure under the FOIA exemption for interagency sharing with a need-to-know would also be permitted between Military Departments.

6. FOIA applies to records - information that is collected, produced or maintained by the government.
 - a. The agency must both possess and control the information (“the record”). Dep’t of Justice v. Tax Analysts, 492 U.S. 136, 144-145 (1989) (agency must create or obtain the records and must possess them due to the legitimate conduct of agency business). *See also* DoDM 5400.07, para. 6.2.h.
 - b. Records in the possession of one agency, but created by another agency are deemed agency records of the agency in possession of them for the purposes of FOIA requests. McGehee v. CIA, 697 F.2d 1095, 1109 (D.C. Cir. 1983).
 - c. For the FOIA to apply to records generated from sources outside the Government, the records must be either government-owned or subject to substantial government control or use. Burka v. HHS, 87 F.3d 508, 515 (D.C. Cir. 1996) (data tapes created and possessed by contractor are agency records because the agency had “constructive control” of the tapes); Hercules, Inc. v. Marsh, 839 F.2d 1027, 1029 (4th Cir. 1988) (a telephone directory for an Army ammunition plant is an agency record even though the directory was prepared by a government contractor because the entire cost of preparing the directory was borne by the Government).
 - d. Private parties can request data held by third parties if the data was generated by federally-funded research.¹⁹
 - e. The OPEN Government Act of 2007, P.L. 110-175, 121 STAT. 2524, amended the definition of record to include information “maintained for an agency by an entity under government contract, for the purpose of records management.”
 - f. The following categories are *not* agency records for FOIA purposes:
 - i. Personal records. Documents created or maintained without official requirement for the convenience of the creator as a memory refresher and not shared with others. Bureau of Nat’l Affairs v. DOJ, 742 F.2d 1484, 1494-1496 (D.C. Cir. 1984) (appointment calendar and telephone message slips

¹⁹ Circular A-110 (November 19, 1993, as amended September 30, 1999), 2 C.F.R. §215.36(d)(1).

of agency official are not agency records); Fortson v. Harvey, 407 F.Supp. 2d 13, 15-16 (D.D.C. 2005) (the notes of an Army officer conducting an equal opportunity investigation were personal records because the notes were used only to refresh the officer's memory and were neither integrated into agency files nor relied on by other agency employees). *See also* DoDM 5400.07, para. G.2., "personal file."

- ii. Tangible, evidentiary objects. Nichols v. United States, 325 F.Supp 130, 133-137 (D. Kan. 1971) (archival exhibits consisting of guns, bullets, and clothing pertaining to the assassination of President Kennedy are not agency records).
- iii. Documents generated by and under the control of federal entities, which are not agencies under the FOIA. United States v. Anderson, Crim. No. 95-0040, 2003 U.S. Dist. LEXIS 725 (E.D. La. Jan. 16, 2003) (grand jury transcripts are court records and, therefore, not agency records under the FOIA).

7. The FOIA does not require federal agencies to create or retain records.

- a. A request for information under the FOIA does not imply that an agency must create a new record to accommodate a request. FlightSafety Services Corp. v. DOL, 326 F.3d 607, 613 (5th Cir. 2003) (requester's demand that the agency "simply insert new information in the place of the redacted information requires the creation of new agency records, a task the FOIA does not require the government to perform"); *See also* DoDM 5400.07, para. 6.2.h.
- b. While the FOIA does not require agencies to create or retain records, the Federal Records Act (now known as the National Archives Act), 44 U.S.C. §2101 *et seq.*, does require record retention pursuant to National Archives and Records Administration schedules.
- c. DoD *may* create a new record when more useful to requester or less burdensome to agency. DoDM 5400.07, para. 6.2.h.(1).

8. FOIA applies to information that is readily retrievable in the requested format and reproducible.

- a. Components of the DoD "will make reasonable efforts to maintain records in forms and formats that are reproducible." DoDM 5400.07, para. 3.12.a.(3).
- b. A record is not considered readily reproducible if the DoD Component does not have the reproduction capability or if significant resources must be expended to reproduce it into the requested format. DoDM 5400.07, para. 3.12.b.

9. Upon request, federal agencies must release information that the agency possesses and controls *unless* the information is protected by one of the nine FOIA exemptions.

a. Exemption 1: Classified Records. 5 U.S.C. §552(b)(1)

- i. This exemption applies to information that has been properly classified under the criteria established by Executive Order and implemented by regulations. DoD Manual 5400.07, para. 5.2.a.
- ii. The doctrine of segregability applies to Exemption 1. Church of Scientology v. U.S. Dep't of Army, 611 F.2d 738, 743-744 (9th Cir. 1979) (remanding case to lower court to determine whether specific portions of a document withheld by the Government in its entirety might be released); Judicial Watch, Inc. v. Dep't of the Navy, 971 F. Supp 2d 1, 4 (D.D.C. 2013) (information redacted from e-mail chains regarding the preparation for and the burial at sea of a terrorist leader was properly withheld); Winter v. NSA/CSS, 569 F. Supp. 545, 549 (S.D. Cal. 1983) (holding that no portion of a document containing information about the interception of foreign communications could be redacted to permit disclosure).
- iii. During FOIA litigation, a court may order an agency to submit a detailed index of the documents it seeks to withhold and provide reasons for withholding each document. This is known as a "Vaughan Index." Vaughan v. Rosen, 484 F.2d 820 (9th Cir. 1991).

b. Exemption 2: Internal Personnel Rules and Practices. 5 U.S.C. §552(b)(2)

- i. Exemption 2 permits an agency to withhold from disclosure information about the agency's internal personnel rules and practices.
- ii. Exemption 2, consistent with the plain meaning of the phrase internal personnel rules and practices, encompasses only records pertaining to issues of employee relations and human resources. Milner v. Dep't of the Navy, 131 S. Ct. 1259, 1264-1265 (2011) (citing examples such as hiring and firing, work rules, discipline, compensation, and benefits).
- iii. In Milner, the U.S. Supreme Court established a three-part test for information to fall within Exemption 2:²⁰ (1) The information must be related to personnel rules and practices; (2) the information must "solely"

²⁰ DOJ's Office of Information Policy provides guidance for the interpretation of Exemption 2 after the *Milner* decision at <http://www.justice.gov/oip/blog/foia-guidance-7>.

relate to those personnel rules and policies;²¹ and (3) the information must be “internal” to the agency for their records and use.²²

- c. Exemption 3: Other Federal Withholding Statutes. 5 U.S.C. §552(b)(3)
 - i. Exemption 3 permits agencies to withhold information whose disclosure is prohibited by federal statutes other than the FOIA. These statutes are known as Exemption 3 statutes.
 - ii. To qualify as an Exemption 3 statute, the statute must “[require] that the matters be withheld from the public in such a manner as to leave no discretion on the issue, establish particular criteria for withholding or refer to particular types of matters to be withheld and, if enacted after the date of enactment of the OPEN FOIA ACT of 2009, specifically [cite] to this paragraph.” 5 U.S.C. §§ 552(b)(3)(A)-(B).
 - iii. An example of an Exemption 3 statute is 10 U.S.C. §2305(g)(1), which prohibits releasing contractor proposals in the possession of certain agencies, including the Department of Defense, in response to FOIA requests.
 - iv. The DoD Freedom of Information Act Annual Report includes a list of Exemption 3 statutes relied upon by DoD during the reporting period. <http://open.defense.gov/Transparency/FOIA/DoD-Annual-Reports-to-AG/>
 - v. The Department of Justice maintains a complete list of statutes currently in force that qualify as withholding statutes at <http://www.justice.gov/oip/exemption3.pdf>.
- d. Exemption 4: Trade Secrets and Confidential or Financial Information. 5 U.S.C. §552(b)(4)
 - i. Exemption 4 applies to “trade secrets and commercial or financial information obtained from a person and privileged or confidential.” 5 U.S.C. §552(b)(4).
 - ii. Exemption 4 has three prongs:
 - 1. The information must be a trade secret, commercial information, or financial information;

²¹*Milner* at 1265, n. 4. The Court does not explain the difference between the first and second requirements.

²² *Id.*

2. obtained from a person; and
 3. privileged or confidential.
- iii. Trade Secrets
1. The FOIA does not define the term trade secrets.
 2. The Restatement (First) on Torts provides non-binding guidance on the definition of a trade secret. “A trade secret may consist of any formula, pattern, device, or compilation of information which is used in one’s business, and which gives him an opportunity to obtain an advantage over competitors who do not know or use it.” Restatement (First) on Torts §757, cmt. B (AM. LAW. INST. 1939)
 3. Factors in determining whether information is a trade secret include:
 - a. the extent to which the information is known outside of his business;
 - b. the extent to which it is known by employees and others involved in his business;
 - c. the extent of measures taken by him to guard the secrecy of the information;
 - d. the value of the information to him and to his competitors;
 - e. the amount of effort or money expended by him in developing the information; and
 - f. the ease or difficulty with which the information could be properly acquired or duplicated by others. *Id.*
 4. However, courts have found that the Restatement definition is too broad and “inconsistent with the language of the FOIA and its underlying policies.” Public Citizen Health Research Group v. FDA, 704 F.2d 1280, 1288 (D.C. Cir. 1983) (declining also to follow the FDA’s regulatory definition of trade secrets found at 21 C.F.R. §20.61(a)).
 5. For the purposes of Exemption 4, courts have used the common law definition of trade secrets, which links information to its creative

process. Accordingly, the D.C. Circuit defined a trade secret “as a secret, commercially valuable plan, formula, process, or device that is used for the making, preparing, compounding, or processing of trade commodities and that can be said to be the end product of either innovation or substantial effort.” Public Citizen Health Research Group, 704 F.2d at 1280. Other courts adopting the D.C. Circuit’s definition include Anderson v. HHS, 907 F.2d 936, 939, 944 (10th Cir. 1990) and Burnside-Ott Aviation Training Center, Inc. v. United States, 617 F.Supp. 279, 285 (S.D. Fla. 1985).

6. Examples of information held by courts to be trade secrets exempt from disclosure include line-item pricing for a contract to provide turbojet engine services to the Air Force²³ and drawings of fuel pumps for aircraft used by the U.S. Air Force;²⁴ but not the physical and performance characteristics of airbags,²⁵ or information about staffing, organization, experience in the field of aviation management, and personnel qualifications submitted in a technical proposal to provide helicopter maintenance services to the U.S. Navy.²⁶

iv. Commercial or Financial Information.

1. The FOIA does not define the terms “commercial” or “financial.”
2. Absent statutory definitions, courts have applied the ordinary meaning of both terms. Public Citizen Health Research Group, 704 F.2d at 1290.
3. Under Exemption 4, information is commercial if it serves a commercial function or is of a commercial nature. National Ass’n of Home Builders v. Norton, 309 F.3d. 26, 38-39 (D.C. Cir. 2002) (U.S. Fish and Wildlife Service information about nesting locations of pygmy owls on private property is not commercial information); Judicial Watch, Inc. v. U.S. Dept. of Commerce, 337 F.Supp. 2d 146, 168 (D. D.C. 2004) (holding that the term “commercial” should be broadly construed to include information in which the submitting party has a commercial interest”); Chicago Tribune Co. v. FAA, 1998 WL

²³ *Canadian Commercial Corp. v. Dep’t of Air Force*, 514 F.3d. 37 (D.C. Cir. 2008).

²⁴ *Pacific Sky Supply, Inc. v. Dep’t of the Air Force*, 1987 WL 25456 (D. D.C. Nov. 20, 1987).

²⁵ *Center for Auto Safety v. National Highway Traffic Safety Admin.*, 244 F.3d. 144 (D.C. Cir. 2001).

²⁶ *Burnside-Ott Aviation Training Center, Inc v. United States*, 617 F.Supp. 279 (S.D. Fla. 1985).

242611 (N.D. Ill. 1998) at *3 (asserting that for information to be considered commercial, it has to have a direct relationship to the operations of a commercial venture).

4. However, “[n]ot every type of information provided to the government by an entity engaged in commerce falls within (b)(4).” British Airports Auth. v. U.S. Dep’t. of State, 530 F. Supp. 46, 49 (D. D.C. 1981) (information given to the U.S. Government regarding negotiating strategies of airlines with the British Airports Authority was not commercial or financial); Chicago Tribune Co. v. FAA, 1998 WL 242611 at *3 (stating that “[i]f Congress intended the exemption to cover documents containing information concerning anything that occurs during a commercial operation, the words ‘commercial information’ are scarcely suitable words to express the idea”).

v. Obtained from a person.

1. A person includes “an individual, partnership, corporation, association, or public or private organization other than an agency.” 5 USC §551(2).
2. For Exemption 4 to apply, courts have held that the information must be obtained from outside the government. Consumers Union of U.S. Inc. v. VA, 301 F. Supp. 796, 803 (S.D.N.Y. 1969) (claiming that to include information from government sources would pervert the purpose of the FOIA by allowing commercial and financial information to be rendered non-disclosable by transferring this information from one agency to another under seal of confidentiality); *But see* Brockway v. Dep’t of the Air Force, 518 F.2d 1184, 1188 (8th Cir. 1975) (claiming that the language of Exemption 4 does not support the distinction between intra-governmental and extra-governmental sources).

vi. Privileged.

1. For the purposes of Exemption 4, “privileged” refers only to privileges created by the U.S. Constitution, statute, or common law. Sharyland Water Supply Corp. v. Block, 755 F.2d 397, 400 (5th Cir. 1985).

2. Because Exemption 4 has three required prongs, the privileged information must also be a trade secret, or commercial or financial information. McDonnell Douglas Corp. v. EEOC, 922 F. Supp. 235, 241-243 (E.D. Mo. 1996) (holding that corporate records about the impact on employees of the company's reduction in force prepared for counsel for use in providing legal advice were protected from disclosure by Exemption 4).
3. Most litigation that arises under Exemption 4 is focused on whether the information is confidential,²⁷ and few cases discuss privilege in the context of this exemption.

vii. Confidential.

1. To determine whether a commercial or financial matter is confidential, courts apply a two-part test: (1) Would disclosure of the information negatively impact the government's ability to obtain necessary information in the future; and (2) Would disclosure of the information cause harm to the competitive position of the person from whom the information was obtained? National Parks & Conservation Ass'n v. Morton, 498 F.2d 765, 770 (D.C. Cir. 1974).
2. However, the D.C. Circuit in Critical Mass Energy Project v. NRC, 975 F.2d, 871, 678-880 (D.C. Cir. 1992), limited this two-part test to cases in which the Government required a person to provide commercial or financial information to the Government.
3. Information required by the Government to be included in contract bids and proposals is considered a "required submission." Therefore, requests for disclosure of this information are analyzed under the National Parks two-part test. See Honeywell Technology Solutions Inc. v. Dep't of Air Force, 779 F.Supp. 2d 14 (D. D.C. 2011) (finding it was a genuine issue of fact whether the Air Force's request for proposals for technical services for its satellite control network mandated submission of work solutions for work beyond the "core" requirements specified in the contract).

²⁷ Department of Justice Guide to the Freedom of Information Act, Exemption 4 at 263 (2009 edition), http://www.justice.gov/oip/foia_guide09/exemption4.pdf.

4. If the commercial or financial information was submitted voluntarily, the information will be deemed confidential if the information “would customarily not be released to the public by the person from whom it was obtained.” Sterling Drug Inc. v. FTC, 450 F.2d 698, 709 (D.C. Cir. 1971) (quoting S. Rep. No. 813 at 9 (1965)); Judicial Watch v. Dep’t of the Army, 466 F. Supp. 2d 112 (D. D.C 2006) (holding that documents containing detailed pricing and equipment information in no-bid oil well fire-fighting contracts in aftermath of the U.S. invasion of Iraq in 2003 would not customarily be released by the contractor to the public).
- e. Exemption 5: Privileged Memoranda and Internal Agency Communications. 5 U.S.C. §552(b)(5)
- i. The FOIA allows an agency to withhold “inter-agency or intra-agency memorandums or letters which would not be available by law to a party other than an agency in litigation with the agency.” 5 U.S.C. §552(b)(5).
 - ii. The U.S. Supreme Court developed a two-part test for the application of Exemption 5:
 1. The source of the information must be a government agency; and
 2. the information must be information that would be privileged under civil discovery rules. Dep’t of Interior v. Klamath Water Users Protective Ass’n, 121 S.Ct. 1060, 1065 (2001).
 3. Courts have developed the consultant corollary principle, which extends Exemption 5 to communications between an agency and outside consultants hired by the agency. “[R]ecords submitted by outside consultants played essentially the same part in an agency’s process of deliberation as documents prepared by agency personnel might have done.” Klamath, 121 S.Ct. at 1062; Nat’l Inst. of Military Justice v. DOD, 512 F.3d 677 (D.C. Cir. 2008) (memoranda provided to the Department of Defense by outside experts for consideration in establishing regulations for terrorist trial commissions qualify for the consultant corollary principle under Exemption 5).
 - iii. Exemption 5 incorporates civil discovery privileges into the FOIA. Accordingly, the test under Exemption 5 is whether the information would

normally be disclosed upon a showing of relevance, which is the standard for disclosure under the civil discovery rules. A privileged document would normally not be disclosed during discovery. FTC v. Grolier Inc., 462 U.S. 19, 26 (1983).

- f. Exemption 6: Protection of Personal Privacy. 5 U.S.C. §552(b)(6)
- i. An agency may withhold “personnel and medical files and similar files the disclosure of which would constitute a clearly unwarranted invasion of personal privacy.” 5 U.S.C. §552(b)(6).
 - ii. The U.S. Supreme Court has interpreted the term “similar files” broadly. If the information pertains to a particular individual, the information meets the initial threshold for Exemption 6 protection. U.S. Dep’t of State v. Washington Post. Co., 456 U.S. 595, 600-602 (1982).
 - iii. However, the information must be roughly equivalent to the personal information found in personnel and medical records and in which the individual has a privacy interest. Maclean v. Dep’t of Army, No. 05-1519, 2007 WL 935604 at *14 (S.D. Cal. Mar. 6, 2007) (finding that Exemption 6 applies even though the files contain much information that is not intimate in nature such place of birth or employment history); Bonilla v. DOJ, 798 F. Supp. 2d 1325, 1331 (S.D. Fla 2011) (finding that Exemption 6 applied to reference letters from Assistant U.S. Attorneys describing the personal characteristics of another Assistant U.S. Attorney); Judicial Watch Inc. v. Dep’t of the Navy, 25 F. Supp. 3d 131 (D. D.C. 2014) (holding that names of Department of Navy employees who signed an internal memorandum supporting a contract for renewal energy were “similar files” under Exemption 6); Sims v. CIA, 479 F.Supp. 84, 89 (D. D.C. 1979) (claiming that the names of researchers under contract with the CIA for the MK-ULTRA program could fall under Exemption 6 if the researchers had a reasonable expectation of privacy).
 - iv. The privacy interests protected by Exemption 6 reflect both common law and literal concepts of privacy. DOJ v. Reporters Comm. for Freedom of the Press, 489 U.S. 749, 763-65 (1989); Sherman v. Dep’t of the Army, 244 F. 3d 357, 363 (“[t]he privacy interest at stake in FOIA exemption analysis belongs to the individual, not the agency holding the information”). Therefore, only the individual whose privacy interests are implicated may validly waive them. *Id.* at 364.

- v. To be exempt, the privacy interest must be substantial and the privacy interest must outweigh the public interest in disclosure. Multi Ag Media LLC v. USDA, 515 F.3d 1224 (D.C. Cir. 2008) (finding that the public interest in the disclosure of information about crops derived from hundreds of thousands of individual farms outweighed the individual privacy interests involved); L.A. Times Commc'ns LLC v. DOL, 483 F. Supp.2d 975, 985-86 (C.D. Cal 2007) (holding that Exemption 6 protected the identities of civilian contractors supporting Allied military operations in Iraq and Afghanistan); Sheet Metal Workers Intern. Ass'n Local No. 9 v. U.S. Air Force, 63 F.3d 994 (10th Cir. 1995) (preventing the release of the names of employees working for government contractors to union representatives seeking information about contractor compliance with the Davis-Bacon Act); Homer J. Olsen, Inc. v. DOT, 2002 U.S. Dist. LEXIS 23292 at *20 (N.D. Cal. 2002) (stating that the Government had met its burden under Exception 6 and would not compel the disclosure of names of employees found in the oversight contractor's monthly reports).

g. Exemption 7: Law Enforcement Records. 5 U.S.C. §552(b)(7)

- i. Exemption 7 applies to “records or information compiled for law enforcement purposes, but only to the extent that the production of such law enforcement records or information:
 - 1. [(7)(A)] could reasonably be expected to interfere with enforcement proceedings;
 - 2. [(7)(B)] would deprive a person of a right to a fair trial or an impartial adjudication;
 - 3. [(7)(C)] could reasonably be expected to constitute an unwarranted invasion of personal privacy;
 - 4. [(7)(D)] could reasonably be expected to disclose the identity of a confidential source, including a State, local, or foreign agency or authority or any private institution which furnished information on a confidential basis, and, in the case of a record or information compiled by criminal law enforcement authority in the course of a criminal investigation or by an agency conducting a lawful national security intelligence investigation, information furnished by a confidential source;
 - 5. [(7)(E)] would disclose techniques and procedures for law enforcement investigations or prosecutions, or would disclose guidelines for law

enforcement investigations or prosecutions if such disclosure could reasonably be expected to risk circumvention of the law; or

6. [(7)(F)] could reasonably be expected to endanger the life or physical safety of any individual” 5 U.S.C. §552(b)(7)(A)-(F).

ii. For a record to qualify under Exemption 7, an agency must use the record for a law enforcement purpose, which includes the detection and investigation of violations of federal law. Malizia v. DOJ, 519 F.Supp. 338, 347 (S.D.N.Y. 1981) (holding that there must be a rational nexus between the investigative activities and suspected violations of federal law for Exemption 7 to apply); Raytheon Co. v. Dep’t of Navy, 731 F.Supp. 1097, 1100-1101 (D. D.C. 1989) (federal contractor audit documents originally prepared for non-law enforcement purposes were exempt from disclosure if later segregated and compiled for use in a law enforcement investigation);

iii. Exception 7(A):

1. “The principle purpose of Exemption 7(A) is to prevent disclosures which might prematurely reveal the government’s cases in court, its evidence and strategies, or the nature, scope, direction, and focus of its investigations, and thereby enable suspects to establish defense or fraudulent alibis or to destroy or alter evidence.” Maydak v. DOJ, 218 F.3d. 760, 762 (D.C. Cir. 2000). *See* Ctr. for Nat’l Sec. Studies v. DOJ, 331 F.3d 918, 928 (D.C. Cir. 2003) (upholding the withholding of the identities of detainees held during the post-9/11 terrorist investigation, because disclosure “would give terrorist organizations a composite picture of the government investigation” and thus enable them to impede it through “counter-efforts.”).
2. However, this exception does not require the agency to make a specific showing within the context of a particular case. *See* NLRB v. Robbins Tire & Rubber Co., 437 U.S. 214, 236 (1978) (stating that federal courts may determine “that, respect to particular kinds of enforcement proceedings, disclosure of particular kinds of investigatory records while a case is pending would generally ‘interfere with enforcement proceedings’”).

iv. Exception 7(B):

1. Use of this exemption is dependent upon a two-part test: (1) a pending or imminent proceeding and (2) a determination that disclosure more likely than not would interfere with fairness. *See* Dow Jones Co., Inc. v. FERC, 219 F.R.D. 167, 174 (C.D. Cal. 2003) (agency has not shown that any trial or adjudication is

“pending or truly imminent” or that disclosure would generate pretrial publicity that could deprive the companies or their employees of their right to a fair trial).

v. Exception 7(C):

1. Exception 7(C) protects the personal privacy of individuals named in law enforcement files. *See SafeCard Serv. V. SEC*, 926 F.2d 1197, 1205-1206 (D.C. Cir. 1991) (“[U]nless there is compelling evidence that the agency denying the FOIA request is engaged in illegal activity, and access to the names of private individuals appearing in the agency’s law enforcement files is necessary in order to confirm or refute that evidence, there is no reason to believe that the incremental public interest in such information would ever be significant”).
2. Privacy protections standards are greater under 7(C) than under Exemption 6. *DOJ v. Reporters Comm. for Freedom of the Press*, 489 U.S. 749, 757 (1989) (“reasonably be expected to constitute an unwarranted invasion of personal privacy” [Exemption 7(C)] versus “clearly unwarranted invasion” [Exemption 6]).
3. Exception 7(C) protects the names of both witnesses and investigators. *See O’Keefe v. DoD*, 463 F.Supp. 2d 317, 324 (E.D.N.Y. 2006) (protecting the identity of DOD personnel conducting an investigation into alleged misconduct by plaintiff’s commanding officers).
4. Within the context of Exception 7(C), Glomar responses to targeted requests are appropriate. *DOJ v. Reporters Comm. For Freedom of the Press*, 489 U.S. at 780 (ruling that FBI properly refused to confirm or deny whether it had a “rap sheet” on a specific alleged member of organized crime); *Oguaju v. United States*, 288 F.3d 448, 451 (D.C. Cir. 2002) (Marshall Service properly refused to confirm or deny the existence of records regarding an escapee-turned-informant/witness at the requester’s trial); *see also* DoD Manual 5400.07, paras. 5.1.f.(1)-(2).
5. The U.S. Supreme Court has held that corporations do not have personal privacy interests under Exception 7(C). *FCC v. AT&T, Inc.*, 131 S. Ct. 1177, 1183 (2011)(rejecting the argument that the word “personal” included a corporation in the phrase “personal privacy”).

vi. Exception 7(D):

1. The purpose of Exemption 7(D) is to ensure that “confidential sources are not lost through retaliation against the sources for past disclosure or because of the source’s fear of future disclosure.” Brandt Construction v. EPA, 778 F.2d 1258, 1262 (7th Cir. 1985).
2. This exception protects the source’s identity whenever the source provides information if there has been an explicit assurance of confidentiality or circumstances “from which such an assurance could reasonably be inferred.” Landano v. DOJ, 956 F.2d 422 (3rd Cir. 1992) (quoting S. Rep. No. 93-1200, at 13 (1974)). However, “[t]he Government is not entitled to a presumption that a source is confidential within the meaning of Exemption 7(D) whenever the source provides information to the FBI in the course of a criminal investigation.” DOJ v. Landano, 508 U.S. 165, 181 (1993).

vii. Exception 7(E):

For Exception 7(E) to apply, the investigative techniques used by law enforcement officials must not be well known to the public. Rugiero v. DOJ, 257 F.3d 534, 551 (6th Cir. 2001); Judicial Watch, Inc. v. U.S. Dep’t of Commerce, 337 F. Supp. 2d at 181-82 (refusing to order the disclosure of Department of Commerce techniques of identifying parties to monitor for violations of Export Administration regulations).

viii. Exception 7(F):

The agency must only show a reasonable likelihood of physical danger to withhold information. L.A. Times Common’s, LLC v. Dep’t of the Army, 442 F.Supp.2d 880 (C.D. Cal. 2006) (applying Exemption 7(F) where disclosure of the names of private security contractors contained in serious incident reports could endanger the lives of these individuals currently in Iraq); Ctr. for Nat’l Sec. Studies v. DOJ, 215 F.Supp.2d 94 (D.D.C. 2002) (disclosure of the dates and locations of arrest, detention, and release of post-September 11th detainees would make detention facilities and their occupants vulnerable to retaliatory attacks).

ix. Exemption 8: Regulation of Financial Institutions. 5 U.S.C. §552(b)(8)

1. An agency may withhold information “contained in or related to examination, operating, or condition reports prepared by, on behalf of, or for the use of any agency responsible for the

regulation or supervision of financial institutions.” 5 U.S.C. §552(b)(8)

2. Courts have found two purposes for Exemption 8: (1) protecting the security of financial institutions, which full disclosure of agency regulating the financial institutions might jeopardize; and (2) safeguarding the relationship between the financial institutions and their agency regulators. *See Nat’l Cmty. Reinvestment Coal v. Nat’l Credit Union Admin*, 290 F. Supp. 2d 124, 135-36 (D. D.C. 2003).
- x. Exemption 9: Geological, Geophysical Information and Data on Wells. 5 U.S.C. §552(b)(9)

Agencies may withhold information on “geological and geophysical information and data, including maps, concerning wells. 5 U.S.C. §552(b)(9)

IV. CONCLUSION

The introductory paragraph to Executive Order 13526 states that “[o]ur democratic principles require that the American people be informed of the activities of their Government.” To further this goal, Congress passed the Freedom of Information Act, which made the disclosure of government information the default position. Absent a contrary rule restricting disclosure, upon request, government agencies are required to disclose the information they have in their possession. Under the current framework for the governance of government information, the burden of justifying the withholding of information rests firmly on the shoulders of the Government.